



QUALIFICATION PROGRAMME

Associate **Module 10**

Business and Company Law

FOURTH EDITION



Hong Kong Institute of
Certified Public Accountants
香港會計師公會



Hong Kong's
CPA Qualification
香港會計師專業資格



MODULE 10
**BUSINESS AND
COMPANY LAW**

Qualification Programme

Fourth Edition



Hong Kong Institute of
Certified Public Accountants
香港會計師公會

WILEY

Fourth edition 2023

ISBN 9781394154951

Library of Congress Cataloging-in-Publication Data

Library of Congress Cataloging-in-Publication data is available for this book

Published by

John Wiley & Sons, Inc.
111 River Street
Hoboken
NJ 07030, USA

www.wiley.com

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Cover image: © New Africa

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DIRECTOR'S MESSAGE

Congratulations on choosing the Qualification Programme ('QP') of the Hong Kong Institute of Certified Public Accountants ('HKICPA') as your pathway to becoming a CPA! You have joined thousands of others on this exciting and important journey to develop the knowledge, skills and perspectives you need to succeed in your career and becoming a valued member of the Institute.

The world is evolving rapidly, so too is the business environment. The Accounting profession faces a number of challenges and trends including technological enhancement, regulatory development, changing societal expectations and more.

Professional accountants are no longer left only to deal with numbers, but also to analyse and advise. We are also expected to be highly strategic, collaborative, and building trust by demonstrating relevance and value to many aspects of society.

The QP of the HKICPA aims at qualifying accountants with the agility needed to embrace the changing environment. You will grow and discover a plethora of relevant competencies through QP by completing training programmes, passing professional examinations and acquiring practical experience under an authorised employer or supervisor. In the longer term, we hope that you will succeed not only in accountancy but also in enhancing your employability and portability so that you will be able to help business and society move forward.

We are delighted to partner with you on your development journey.

The QP consists of three levels of designations:

- The Associate Level aims to build a solid foundation of technical accounting knowledge.
- The Professional Level aims to deepen your technical capabilities and develop core enabling competences in the workplace.
- The Capstone integrates your knowledge, skills and experiences to resolve business problems and emerge as a top tier accounting professional.

We have designed this Learning Pack to provide you with the valuable resources for your development on attaining your CPA designation under the QP. I trust you will be successful and enjoy your QP journey!

Should you require any assistance at any time, please feel free to contact us on (852) 2287 7228.

Kit Wong
Director of Education and Training
Hong Kong Institute of Certified Public Accountants



INTRODUCTION

Successfully preparing for a career in accounting is a significant undertaking. To better prepare you for this challenging profession, the Hong Kong Institute of Certified Public Accountants (HKICPA) provides a qualification programme (QP) comprising three progressive levels: A 10-module Associate Level, a four-module Professional Level including workshops and a Capstone that includes three-day workshops and a final examination.

The Associate Level of the QP comprises 10 modules. Each of these modules involves approximately 80 hours of self-study and a closed-book module examination (except for Module 10: Business and Company Law in which the examination is open-book).

- **Module 1:** Accounting
- **Module 2:** Management Accounting
- **Module 3:** Business Economics
- **Module 4:** Business Management
- **Module 5:** Information Management
- **Module 6:** Financial Accounting
- **Module 7:** Financial Management
- **Module 8:** Principles of Auditing
- **Module 9:** Principles of Taxation
- **Module 10:** Business and Company Law

While each of the Associate Level and Professional Level modules stands on its own, the modules are also arranged in a series of ‘verticals’ that map to the CPA competence blueprint. These verticals are designed to develop an area of knowledge, through two or three modules, from basic understanding to professional excellence.

The Financial Accounting and Reporting vertical runs from Module 1, through Module 6 to Professional Level Module 11: Financial Reporting. A second vertical, Management Accounting, runs from Module 2, via Module 7 to Professional Level Module 12: Business Finance. The third vertical, Audit and Assurance, develops from Module 8 to Professional Level Module 13: Business Assurance. The fourth vertical, Taxation, takes students from Module 9 to Professional Level Module 14: Taxation.

Each Associate Level module of the new QP requires students to sit a three-hour examination. Two exam sittings are held each year in June session and December session. Please refer to the Student Handbook for the examination structure and the cut-off rule on the examinable content.



HKICPA PROFICIENCY LEVELS AND TAXONOMY

The proficiency level indicated in the table below reflects the level at which the topics covered in particular learning outcome is tested. There are three levels of proficiency:

- Level 1 is the foundational level, covering the skills of knowledge and comprehension.
- Level 2 is the intermediate level, covering the skills of application and analysis.
- Level 3 is the advanced level, covering the skills of integration and evaluation.

You are expected to understand which skill is exercised based on the taxonomy verbs with which it is associated.

Please note that the list of taxonomy verbs below is for reference only and does not represent an exhaustive list.

LEVEL 1: FOUNDATION		
Skill	Verb	Definition
Knowledge The remembering of previously learned material (recall of facts)	<i>Define</i>	Give the accepted meaning of
	<i>Identify</i>	List or ascertaining possibilities before analysis; Point to the essential part or parts
	<i>List</i>	Provide a concise summary of the relevant points, often in bullet point format
	<i>Outline</i>	Give the main facts about something
	<i>State</i>	Accurately articulate established principles, concepts, terms etc.
Comprehension Demonstrative understanding of facts and ideas by organising, comparing, translating, interpreting, giving descriptions and stating main ideas	<i>Describe</i>	Communicate the key features of something, present a detailed account of something focusing on depth of knowledge
	<i>Explain</i>	Make clear the details of something; or show the reason for, or underlying cause of, or the means by which something occurs
	<i>Illustrate</i>	Offer examples to show how something happens, that something happens, or make concrete a concept by giving examples
	<i>Interpret</i>	Make clear the meaning of something and its implications
	<i>Summarise</i>	Describe something concisely; bring together the main facts

LEVEL 2: INTERMEDIATE

Skill	Verb	Definition
Application Using new knowledge. Solve problems to new situations by applying acquired knowledge, facts, techniques and rules in a different way	<i>Account for / Demonstrate</i>	Give details of accounting entries to be made for in the context of financial reporting or justify (if used in a more general context); Demonstrate the accounting treatment by using a set of accounts
	<i>Apply</i>	Demonstrate knowledge, concepts or techniques; Use established methods / tools / procedures to resolve relatively straightforward scenarios or problems
	<i>Calculate / Compute</i>	Determine by computation or arrive at by mathematical means or processes
	<i>Prepare</i>	Follow established procedures / methods to create a report of financial information or commentary (e.g. using a proforma spreadsheet)
	<i>Solve</i>	To work out to a result or conclusion
	<i>Use</i>	Apply in a practical way
Analysis Examine and break information into parts by identifying motives or causes. Make inferences and find evidence to support generalisation	<i>Analyse</i>	To examine methodically by separating into parts and studying the interrelationships in order to discover essential features
	<i>Compare</i>	Critically consider two or more things, emphasising their similarities
	<i>Contrast</i>	Critically consider two or more things, emphasising their differences
	<i>Classify / Categorise</i>	Apply concepts to categorise information or groups into categories
	<i>Justify</i>	Explain the reason for recommendation made, or underlying cause of, based on an analysis of a range of available options
	<i>Prioritise / Determine</i>	Determine the order for dealing with a series of items or tasks according to their relative importance e.g. Determine the priorities / determine the level of importance

LEVEL 3: ADVANCED

Skill	Verb	Definition
Integration Compile information together in a different way by combining elements in a new pattern or proposing alternative solutions	<i>Construct</i>	To form an idea, a process or procedure by bringing together various theoretical and conceptual elements
	<i>Design</i>	Develop a procedure/process or course of action based on selection of the optimum combination from a range of available options
	<i>Develop</i>	To bring something into existence that has not previously existed, or to reshape something from its initial position into something more refined; Use judgement to bring to a more advanced or effective state or to create a plan
	<i>Formulate</i>	Devise and put a plan into words
	<i>Integrate</i>	Combine one aspect of learning with another to form a holistic understanding of a process, procedure or course of action
	<i>Plan / Propose</i>	Formulate a detailed proposal for doing or achieving something
	<i>Produce</i>	Draw together similar or disparate items to form a report containing financial and/or non-financial information
Evaluation The ability to judge the value of material for a given purpose	<i>Advise</i>	Communicate appropriately the recommended course of action based on an analysis of specific circumstances in a manner suited to the recipient
	<i>Appraise</i>	Assess the value or quality of something; or to assess its performance
	<i>Consider</i>	Think carefully about something before making a decision, to look closely or attentively at something through a process involving critical thinking
	<i>Evaluate</i>	Assess and determine the value, importance or qualities of something, normally with reference to specific criteria and draw conclusions
	<i>Recommend</i>	Select the best course of action or choice; Advocate a particular outcome or course of action based on an analysis of a range of available options

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The International Federation of Accountants. (2016). *Framework for International Education Standards for Professional Accountants and Aspiring Professional Accountants*. (2015). Retrieved from <https://www.ifac.org>

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LEARNING OUTCOMES

Each module includes Principal Learning Outcomes and Supporting Learning Outcomes arranged along a series of proficiency levels.

Module 10

Syllabus area	Weighting (%)
Analyse and apply the key aspects of corporate laws and regulations that govern the different forms of legal entities:	30–40
• Forms of business entities • Formation of companies • Capital and financing of companies • Administration of companies • Company liquidation and winding-up	
Explain and apply the key aspects of corporate laws and regulations that govern public companies	5–10
Explain the key aspects of the legal system and the key roles of external regulatory bodies in Hong Kong	5–10
Analyse and apply the key concepts and principles of the law of tort and negligence	10–15
Analyse and apply the key concepts and principles of the contract law	10–15
Analyse and apply the key concepts and principles of the consumer laws	5–10
Analyse and apply the key concepts and principles of the employment laws	5–10
Apply the key concepts and principles of the prevention of bribery & corruption and anti-money laundering laws	5–10
Analyse the key aspects of agency relationship	5–10

The syllabus weighting table indicates the relative weightings of the syllabus areas encompassed in this module. It serves as a guide to the percentage of study time spent on each syllabus area. In the long run, the marks allocation in the module examinations would conform to the weightings as shown above. The exact range of marks allocation in each module examination may deviate from the weightings for suitably robust questions to be set.

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO1: ANALYSE AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN THE DIFFERENT FORMS OF LEGAL ENTITIES:		
Forms of business entities		
LO1.01: Analyse the structures of different types of businesses and apply the relevant legislations	2	
1.01.01 Analyse the structures of the following types of businesses: • Sole traders • Partnerships • Companies • Joint ventures	2	8
1.01.02 Analyse the rights, duties and liabilities of a partner	2	8
1.01.03 Apply the concept of separate legal personality	2	8
1.01.04 Apply the concept of limited liability	2	8
1.01.05 Analyse the relationship between separate legal personality and limited liability	2	8
1.01.06 State the key provisions in joint venture agreements	1	8
1.01.07 Explain the registration obligations under the Business Registration Ordinance	1	8
1.01.08 Explain and apply the non-Hong Kong company provisions under the Companies Ordinance	2	8
1.01.09 Apply the Transfer of Businesses (Protection of Creditors) Ordinance	2	8
Formation of companies		
LO1.02: Explain and apply the process of forming an incorporated body	2	
1.02.01 Illustrate and apply the procedures in the formation of a registered company and the role of the Registrar of Companies	2	8
1.02.02 Explain the relevance of the provisions contained in a company's articles	1	8
1.02.03 Analyse the legal effects of a company's article and apply the legal requirements for the alteration of a company's articles	2	8
1.02.04 Apply the concepts of: • The object clauses of a company • The contractual capacity of a company and analyse the legal effects of the abolition of <i>ultra vires</i>	2	8, 10
1.02.05 Apply the requirements for the registration of dormant companies	2	8
1.02.06 Apply the requirements for the deregistration of companies	2	8
1.02.07 Apply the requirements for the registration of: • Shares • Charges • Directors • Directors' shareholdings	2	9, 11, 12
1.02.08 Apply the accounting and audit requirements for a company	2	9
1.02.09 Apply the requirements for record keeping and returns	2	9
1.02.10 Apply the requirements for the register of significant controllers	2	8

Learning Outcomes	Proficiency Level	Chapter where covered
Capital and financing of companies		
LO1.03: Analyse the legal implications of issuing share capital and loan capital	2	
1.03.01 Compare and contrast the different classes of share capital	2	11
1.03.02 Analyse the legal meaning of loan capital and debentures	2	11
1.03.03 Compare and contrast share capital from loan capital and the different rights held by shareholders and debenture holders	2	11
1.03.04 Describe and analyse the legal implications of raising share capital including: • Issue of shares with or without prospectus • Principle of maintenance of capital • Buy-back and redemption of shares • The application of the Codes on Takeovers and Mergers and Share Buy-backs • Dividends including scrip dividend • Changes to capital	2	11, 12
1.03.05 Describe and analyse the legal implications of raising loan capital including: • Borrowing powers • Types of debentures and their creation • Company charges • Registration of charges • Remedies of secured creditors and unsecured creditors	2	11
1.03.06 Compare and contrast the differences between fixed and floating charges and the priority in the event of receivership and winding-up	2	11
Administration of companies		
LO1.04: Analyse how companies make decisions and manage their activities, and apply the rules and requirements to practical business situations	2	
1.04.01 Analyse how a director is appointed and removed	2	9
1.04.02 Analyse the fiduciary duties and other duties of a director and how he/she exercises powers and authority to act for a company	2	10
1.04.03 Analyse how a director exercises the duty of reasonable care, skill and diligence	2	10
1.04.04 Apply the concepts of: • Insider dealing • Disqualification order • The Corporate Governance Code in the Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited ('Listing Rules') in relation to a director of a company	2	9, 12
1.04.05 Analyse the appointment, role, duties and resignation of a company secretary	2	8

Learning Outcomes	Proficiency Level	Chapter where covered
1.04.06 Describe the statutory requirements on the contents and format of a company's financial statements and the accounting related provisions of the Listing Rules	1	12
1.04.07 Analyse the duties and liabilities of auditors and their appointment, removal, resignation and replacement	2	9
1.04.08 Analyse the business of a company decided by directors and matters requiring the approval of the shareholders in general meetings	2	9
1.04.09 Describe different types of meetings: an annual general meeting and a general meeting	1	9
1.04.10 Explain and analyse the relevant matters in relation to company meetings including: • Procedures for convening a meeting • Members' resolution • Quorum, proxy and voting • Passing members' resolution without meeting • Corporate Governance Report as required by the Listing Rules	2	9, 12
1.04.11 Describe and apply the concepts of shareholders' rights and remedies, including derivative action and the unfair prejudice remedy, and just and equitable winding-up	2	10
1.04.12 State the rules about protection of outsiders	1	10
1.04.13 Apply the rules and requirements regarding administration of companies to practical business situations	2	8, 9, 10, 12
Company liquidation and winding-up		
LO1.05: Analyse and apply the rules and requirements regarding company liquidation and winding-up	2	
1.05.01 Analyse the legal implications of the following types of liquidation: • Compulsory winding-up by the court • Members' voluntary winding-up • Creditors' voluntary winding-up	2	13
1.05.02 Analyse the powers, duties and liabilities of a liquidator, and his/her appointment and resignation	2	13
1.05.03 Apply the procedures for liquidation	2	13
1.05.04 Apply the concept of avoidance powers such as unfair preference, extortionate transactions, fraudulent trading, etc	2	13
1.05.05 Describe the actions against delinquent officers	1	13
1.05.06 Describe the proof of debts and determine the priority in which the debts should be paid off	2	13
1.05.07 Analyse the appointment, powers, rights and duties of a receiver	2	13
1.05.08 Apply the rules and requirements regarding company liquidation and winding-up to practical business situations	2	13

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO2: EXPLAIN AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN PUBLIC COMPANIES		
LO2.01: Explain and apply the important rules and requirements applicable to public companies	2	
2.01.01 Explain and apply the rules and requirements applicable to public companies in relation to the following areas: • Fund-raising by public issuer - methods of listing, qualifications for listing • Prospectus contents and liabilities • Continuing obligations of listed companies (e.g. connected transactions, notifiable transactions, and mandatory disclosure of inside information)	2	12
LO2.02: Explain and apply the schemes of arrangement, reconstruction, and the take-over provisions under the Codes on Takeovers and Mergers and Share Buy-backs	2	
2.02.01 Apply the Codes on Takeovers and Mergers and Share Buy-backs	2	12, 13
2.02.02 Explain takeover by way of a scheme of arrangement or general offer	1	12, 13
2.02.03 State the provisions on compulsory acquisition	1	13
2.02.04 Explain the roles of a director and an accountant in a takeover	1	12, 13
PRINCIPAL LO3: EXPLAIN THE KEY ASPECTS OF THE LEGAL SYSTEM AND THE KEY ROLES OF EXTERNAL REGULATORY BODIES IN HONG KONG		
LO3.01: Describe the principal features of the Hong Kong legal environment and the key roles of external regulatory bodies	1	
3.01.01 Describe the constitutional framework of Hong Kong and the application of the Basic Law in Hong Kong	1	1
3.01.02 Describe the system of courts and administration of justice and alternative dispute resolution in Hong Kong	1	1
3.01.03 Describe legislation and case law as the main sources of law in Hong Kong	1	1
3.01.04 Describe the doctrine of precedents and its practice in Hong Kong	1	1
3.01.05 Explain how legislation is created	1	1
3.01.06 Describe the key principles of statutory interpretation	1	1
3.01.07 State the work of a solicitor and a barrister	1	1

Learning Outcomes	Proficiency Level	Chapter where covered
3.01.08 Identify important external regulatory bodies and describe their roles, structures, duties and powers, in relation to the work of an accountant: • The Hong Kong Monetary Authority • The Securities and Futures Commission • The Hong Kong Stock Exchange • The Accounting and Financial Reporting Council • The Insurance Authority	1	1, 12
PRINCIPAL LO4: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE LAW OF TORT AND NEGLIGENCE		
LO4.01: Analyse and apply the law of tort as it relates to negligence and business liability	2	
4.01.01 Analyse the legal meaning and effects of tort	2	4
4.01.02 Analyse the required elements to establish a legal action in the law of negligence	2	4
4.01.03 Apply the concepts of damages and defences as they relate to negligence	2	4
4.01.04 Apply the concept of defamation and defences to defamation cases	2	4
4.01.05 Analyse the features of employers' liability in tort, occupiers' liability and vicarious liability	2	4
4.01.06 Explain and apply the principal concepts of tort of negligence, including: • The duty of care • Standard of care • Breach of duty of care • Damage • Causation • Remoteness of damage • Defences	2	4
PRINCIPAL LO5: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE CONTRACT LAW		
LO5.01: Analyse the essential elements of a contract and the consequences of breaching a contract, and apply the principles of the contract law to practical business situations	2	
5.01.01 Analyse the essential elements in the formation of contract and the means of communicating acceptance of offer	2	2
5.01.02 Analyse the legal effects of different contractual terms and exemption clauses	2	2
5.01.03 Analyse the different vitiating factors and their legal effects	2	3
5.01.04 Analyse how a contract can be discharged	2	3
5.01.05 Analyse the legal meaning and effects of breach of contract	2	3
5.01.06 Apply the rules relating to the award of damages	2	3

Learning Outcomes	Proficiency Level	Chapter where covered
5.01.07 Analyse the range of remedies for breach of contract, and the circumstances in which specific performance and injunctions may be suitable remedies	2	3
5.01.08 Apply the principles of the contract law to practical business situations	2	2, 3
PRINCIPAL LO6: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE CONSUMER LAWS		
LO6.01: Analyse and apply the key provisions of the consumer laws in Hong Kong	2	
6.01.01 Analyse the scope and apply the key provisions of the Sales of Goods Ordinance and the Supply of Services (Implied Terms) Ordinance	2	3
6.01.02 Analyse the scope and apply the key provisions of: • The Control of Exemption Clauses Ordinance • The Trade Descriptions Ordinance	2	2, 3
PRINCIPAL LO7: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE EMPLOYMENT LAWS		
LO7.01: Analyse and apply the key provisions of the employment laws in Hong Kong	2	
7.01.01 Analyse the scope and apply the key provisions of the Employment Ordinance, in particular in relation to the following: • Minimum wages • Holidays • Severance and long service payments • Mandatory Provident Fund ('MPF') and other retirement benefits • Termination of employment	2	7
7.01.02 Analyse the scope and apply the key provisions of the following Ordinances: • Sex Discrimination Ordinance • Disability Discrimination Ordinance • Family Status Discrimination Ordinance • Race Discrimination Ordinance	2	7
PRINCIPAL LO8: APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE PREVENTION OF BRIBERY & CORRUPTION AND ANTI-MONEY LAUNDERING LAWS		
LO8.01: Apply the key provisions of the prevention of bribery & corruption and anti-money laundering laws in Hong Kong	2	
8.01.01 State the scope and apply the key provisions of the Prevention of Bribery Ordinance	2	6
8.01.02 State the role of the Independent Commission Against Corruption	1	6
8.01.03 Apply the obligations and requirements under the anti-money laundering legislation	2	6
8.01.04 Analyse the role of accountants as trust or company service providers	2	6

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO9: ANALYSE THE KEY ASPECTS OF AGENCY RELATIONSHIP		
LO9.01: Analyse the essential elements of agency relationship	2	
9.01.01 Define the role of an agent, both disclosed and undisclosed, and analyse such relationships with regard to partners and company directors	2	5
9.01.02 Analyse how an agency is created	2	5
9.01.03 Explain the different types of authority of an agent	1	5
9.01.04 Analyse the rights, duties and liabilities of an agent and a principal	2	5



STUDY TEXT KEY FEATURES

Each of the Associate Level and Professional Module texts include a series of pedagogical features designed to help QP candidates better absorb the material, reach the required proficiency levels and meet the outlined Learning Outcomes (LOs).

The aim of these features is to help students understand the content while regularly reinforcing concepts and building the skills necessary to successfully complete each of the modules and progress through the Associate Level, the Professional Level and the Capstone.

Each chapter includes these features:

- **Chapter topic list:** A succinct list of the specific topics covered in the chapter.
- **Learning outcomes:** Outlines the specific knowledge points covered in the chapter and the specific skills related to each learning outcome (LO) discussed in the chapter.
- **Opening case:** A case study that aims to relate the material covered in the chapter to a real-life situation. At times, this opening case may be linked to opening cases in other chapters.
- **Overview:** Provides a more detailed preview of the material covered in the chapter.
- **Exhibits and charts:** Through illustrations and examples, exhibits and charts aim to convey information in graphic fashion or actual examples of accounting, reporting or calculations that are likely to be used in actual practice.
- **Illustrative examples:** Case studies that explore specific issues related to the chapter topics and further understanding of the LOs.
- **Apply and analyse:** Exam questions with analysis provided to show how to approach answering the question and apply what was learned from the concepts presented in the chapter.
- **Ethics in practice:** Ethical discussions on issues that may arise during professional practice.
- **Key learning point:** A concise summary of a salient point that is key to achieving chapter LOs.
- **Knowledge check questions:** A set of questions geared at furthering students understanding of specific topics, work through problems and meet the chapter LOs.
- **Summary:** A list of the concepts and topics covered in the chapter in an easy-to-review format.
- **Mind map:** A graphic depiction of the knowledge conveyed in the chapter to facilitate understanding of the LOs.
- **List of formulas:** A compilation of the equations introduced in the chapter.
- **Exam practice questions:** Questions similar to those likely to be featured in the examination paper required for each QP module.

Part A

The Laws of Hong Kong



- 
- Chapter 1** Legal System and Regulatory Bodies in Hong Kong
 - Chapter 2** Principles of Contract and Consumer Law in Hong Kong (Part 1)
 - Chapter 3** Principles of Contract and Consumer Law in Hong Kong (Part 2)
 - Chapter 4** The Law of Tort and Negligence
 - Chapter 5** Aspects of Agency Law
 - Chapter 6** Money Laundering, Bribery and Corruption
 - Chapter 7** Introduction to Employment Law in Hong Kong

1

Legal System and Regulatory Bodies in Hong Kong



CHAPTER TOPIC LIST

1.1 Constitutional Framework of Hong Kong

1.1.1 The Basic Law

1.1.2 June 2020 – The New National Security Law

1.2 Sources of Law

1.2.1 Common Law and Rules of Equity

1.2.2 Ordinances

1.2.3 Subordinate Legislation

1.2.4 Chinese Customary Law

1.3 Court System and Alternative Dispute Resolution

1.3.1 Court System and Administration of Justice

1.3.2 Tribunals and Special Courts

1.3.3 Magistrates' Courts

1.3.4 District Court

1.3.5 High Court

1.3.6 Court of Final Appeal

1.3.7 Alternative Dispute Resolution

1.4 Doctrine of Precedent

1.4.1 What is Doctrine of Precedent?

1.4.2 Practice of Doctrine of Precedent in Courts

1.4.3 When Doctrine of Precedent is not Followed?

1.5 Enactment of Legislation

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1.8 External Regulatory Bodies

1.8.1 Roles, Structures, Duties and Powers of Hong Kong Monetary Authority

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1.9 Work of Accountants in Relation to External Regulatory Bodies

1.9.1 In Relation to Hong Kong Monetary Authority

1.9.2 In Relation to Securities and Futures Commission

1.9.3 In Relation to Hong Kong Stock Exchange

1.9.4 In Relation to Accounting and Financial Reporting Council

1.9.5 In Relation to Insurance Authority



LEARNING OUTCOMES

PRINCIPAL LO3: EXPLAIN THE KEY ASPECTS OF THE LEGAL SYSTEM AND THE KEY ROLES OF EXTERNAL REGULATORY BODIES IN HONG KONG

LO3.01: Describe the principal features of the Hong Kong legal environment and the key roles of external regulatory bodies

3.01.01 Describe the constitutional framework of Hong Kong and the application of the Basic Law in Hong Kong

3.01.02 Describe the system of courts and administration of justice and alternative dispute resolution in Hong Kong

3.01.03 Describe legislation and case law as the main sources of law in Hong Kong

3.01.04 Describe the doctrine of precedents and its practice in Hong Kong

3.01.05 Explain how legislation is created

3.01.06 Describe the key principles of statutory interpretation

3.01.07 State the work of a solicitor and a barrister

3.01.08 Identify important external regulatory bodies and describe their roles, structures, duties and powers, in relation to the work of an accountant:

- The Hong Kong Monetary Authority
- The Securities and Futures Commission
- The Hong Kong Stock Exchange
- The Accounting and Financial Reporting Council
- The Insurance Authority

 OPENING CASE

A CONTRACTUAL DISPUTE BEFORE THE DISTRICT COURT

The plaintiff, a rich couple who own their pleasure cruise boat in a harbour, had hired the defendant company, WK Limited ('WKL'), to provide security and to take care of their boat. One day while a staff member of WKL was performing a maintenance check, the boat had a head-on collision with a larger vessel. The front end of the boat was so severely hit that the boat capsised and sank in the water.

The security service contract between the couple and WKL contained a limitation clause that set a limit on the liability of WKL at a maximum of HK\$200,000 for whatever damage to the boat that was caused in whatever manner, including the negligence of the staff. A marine engineering firm was hired to investigate the cause of the incident and the likely losses of the boat, and the estimated costs of repair in its damaged state were found to be HK\$700,000. The original purchase price of the boat was HK\$3.5 million.

The couple now wanted to challenge the validity of the limitation clause in the contract before the court and asked for a full claim of HK\$700,000 from the defendant. The solicitor for the couple, Johnny, explained that the dispute with such a contractual amount would be heard in the District Court, since the court has the civil jurisdiction to hear any contractual breach of an amount up to HK\$3 million. Johnny further said that the barrister would not be necessary at this stage because Johnny has the right of audience to argue for their case before the District Court.

In the Hong Kong legal system, an individual may be brought before the court in a civil case or a criminal case. For a business dispute, parties are likely to get involved in civil procedures if they bring the case before the court. The opening case above is just one of the civil disputes over contract that happens day in and day out. It is important that a community or a country has a robust legal system that helps individuals sort things out and allows the innocent parties to obtain damages to cover their losses. 



OVERVIEW

A legal system refers to a procedure or process for interpreting and enforcing the law. Laws are rules or principles to regulate or control the conduct of individuals in the interests of society as a whole. They are created to resolve conflicts in a peaceful way between individuals in society, to deter people from harmful conduct towards each other and to establish a framework or relationship between individuals and their government.

In this chapter, we shall take a look at the sources of law, the judiciary and the court system that form our robust legal system. Alternative types of dispute resolution other than the legal proceedings to resolve disputes will be discussed. Further, the chapter will examine the major approaches used to understand the meaning of critical words and phrases in the legislation. At the end, we shall briefly introduce the important external regulatory bodies that help maintain Hong Kong as an international financial centre that regularly attracts investors from all over the world.



1.1 CONSTITUTIONAL FRAMEWORK OF HONG KONG

1.1.1 The Basic Law

The Basic Law was enacted in accordance with Article 31 of the Constitution of the People's Republic of China. As a constitutional document for the Hong Kong Special Administrative Region ('HKSAR'), the Basic Law consists of nine chapters with 160 articles. The Basic Law has two important parts: one is about the organisations and functions of different branches of the government and the other is about the rights and obligations of the citizens.

The Basic Law was adopted on 4 April 1990 by the Seventh National People's Congress of China and was put into effect on 1 July 1997. The Basic Law has incorporated the basic policies of China in the Joint Declaration into its constitutional provisions. As described in Article 11, the Basic Law is above local laws enacted by Hong Kong, like written constitutions in other countries.

The Basic Law comprises a total of nine chapters with 160 articles:

1. Chapter I introduces the general principles enshrined in the Basic Law.
2. Chapter II describes the relationship between the Central Authorities and Hong Kong.
3. Chapter III describes the fundamental rights and duties that Hong Kong residents have.

4. Chapter IV depicts the political structure of Hong Kong, including the Chief Executive, the Executive Authorities, the Legislature and the Judiciary, etc.
5. Chapter V describes how Hong Kong manages its public finance, monetary affairs, trade, industry and commerce, etc.
6. Chapter VI states that the HKSAR Government shall formulate its policies in the areas of education, science, culture, sports, religion, labour and social services.
7. Chapter VII describes the role of Hong Kong with respect to its external affairs.
8. Chapter VIII lists the methods on how the Basic Law is interpreted and amended.
9. Chapter IX contains only one supplementary provision, Article 160, which restates the effect of Articles 8 and 18 (See Section 1.2).

Chapter III of the Basic Law describes the fundamental rights and duties of the Hong Kong residents. Under Article 6, the HKSAR Government protects the residents with their right to private ownership of property. Under Articles 25 and 26, permanent residents have the right to vote and the right to stand for election. Under Articles 27 to 38, Hong Kong residents enjoy freedom in speech, in press and in publication. Other freedoms like association, procession and demonstration are also respected by law.

The Basic Law contains three Annexes that set out specific arrangements for Hong Kong. Annex I sets out the method for electing the Chief Executive of the HKSAR Government, Annex II sets out the method to form the Legislative Council and its voting procedures and Annex III provides the national laws applicable to Hong Kong and the designs of the regional flag and emblem.

1.1.2 June 2020 – The New National Security Law

'The Law of the People's Republic of China on Safeguarding National Security in the Hong Kong Special Administrative Region', publicly known as 'Hong Kong National Security Law' ('HKNSL'), contains six chapters with a total of 66 articles. The HKNSL is annexed to Annex III of the Basic Law as part of the national laws that apply in Hong Kong. In a case of conflict between local laws and the HKNSL, the latter will prevail. The HKNSL took effect from 11:00 p.m. on 30 June 2020 upon its publication in the *Government Gazette*.

1.1.2.1 General Principles and Coverage

The general principles of the HKNSL include the following:

1. The Central People's Government ('CPG') has an overarching responsibility for national security affairs relating to the HKSAR, while the HKSAR Government bears the constitutional duty of safeguarding national security (Article 3 of the HKNSL).
2. Human rights will be respected and protected in safeguarding national security, including the freedom of speech, of the press, of publication, of association, of assembly, of procession and of demonstration, as well as the international covenants currently applied to Hong Kong (Article 4 of the HKNSL).
3. In safeguarding national security, the HKSAR shall uphold the principle of the rule of law (Article 5 of the HKNSL).



The HKNSL stipulates the offences and the relevant penalties under four categories, namely, (1) secession, (2) subversion, (3) terrorism and (4) collusion. The coverage of these offences is set out below:

1. **Secession:** Secession is an act of withdrawal or separation from a party (Articles 20 to 21 of the HKNSL).
2. **Subversion:** Subversion covers the acts that undermine the power and authority of a government (Articles 22 to 23 of the HKNSL).
3. **Terrorist activities:** A person commits an offence if he/she organises, plans, commits, participates in or threatens to commit terrorist activities with the intention to coerce the CPG, the HKSAR Government, or an international organization, or intimidate the public to pursue a political agenda (Article 24 of the HKNSL).
4. **Collusion with a foreign country or external elements:** Collusion means secret cooperation with a third party to do something illegal. A person commits an offence if he/she steals, spies, obtains with payment or unlawfully provides State secrets or national security intelligence for a foreign country, organisation or individual outside the mainland China, the HKSAR and the Macao SAR (Article 29 of the HKNSL).

1.1.2.2 Relationship with the Basic Law

The HKNSL was passed by the Standing Committee of the National People's Congress ('SCNPC'), which has legislative power in mainland China. Under Article 18 of the Basic Law, the SCNPC may add to or delete from the list of laws in Annex III of the Basic Law, after consulting the Committee for the Basic Law of the HKSAR and the HKSAR Government. For this reason, the SCNPC was empowered by the Basic Law to put the HKNSL to Annex III as part of the national laws that apply in Hong Kong.

1.1.2.3 Relationship with the Rule of Law

The important principles of the rule of law ensure that everyone is equal before the law and the citizen's rights are protected by the courts (See Section 1.3.1.1). The rule of law is maintained to safeguard the interests of offenders when the HKNSL is applied in their cases.

1. While safeguarding national security, the HKSAR Government must respect and protect human rights and the rights and freedoms of HKSAR residents according to the Basic Law and the provisions of the relevant international covenants (e.g. the International Covenant on Civil and Political Rights) as applied to Hong Kong.
2. Article 5 of the HKNSL lays down the principles of the rule of law that no one shall be convicted and punished for an act that does not constitute an offence under the law. Principles relating to the resumption of innocence, the double jeopardy rule (i.e. no person should be tried and punished a second time for the same offence), the right to defence and a fair trial are all stressed and observed before and during the trial process.
3. Article 42 of the HKNSL stipulates that, when applying the laws in force in the HKSAR concerning the detention and time limit for trial, the law enforcement and judicial authorities shall ensure that cases concerning offences endangering national security are handled in a fair and timely manner.

4. Article 58 of the HKNSL provides that, in a case over which jurisdiction of the National Security Office is exercised, a criminal suspect shall have the right to retain a lawyer to represent him/her from the day he/she first receives an inquiry made by the National Security Office or from the day a mandatory measure is taken against him/her.

1.1.2.4 Relationship with Common Law

Article 62 of the HKNSL states that provisions of the local laws, including the common law, are applicable unless they are inconsistent with the HKNSL. Pursuant to Article 65 of the HKNSL, the power of interpretation of HKNSL shall be vested in the SCNPC. That means that the SCNPC has the authority to interpret the HKNSL. A legal issue arises as to whether the HKNSL will be subject to common law interpretation by the Hong Kong courts or civil law interpretation by the SCNPC.

The Court of First Instance in *Tong Ying Kit v. HKSAR* [2020] HKCFI 2133, the first case that was tried using the HKNSL, has confirmed the important issue – that the Hong Kong courts should apply the common law approach to give interpretation to the HKNSL. The line of reasoning is that the Basic Law, which is also a national law enacted by the SCNPC, is construed using the common law approach rather than the civil law approach. Thus, the judges see no valid basis for the courts to adopt a second approach to give interpretation to the HKNSL. In that case, the consistency using the same approach of interpretation to both the Basic Law and HKNSL has confirmed the established role of the common law in Hong Kong.

1.2 SOURCES OF LAW

The sources of Hong Kong law are as follows:

1. Article 8 of the Basic Law provides that the laws previously in force in Hong Kong, that is, the common law, rules of equity, ordinances, subordinate legislation and customary law shall be maintained, except for any that contravene this Law, and subject to any amendment by the legislature of the Hong Kong Special Administrative Region.
2. Article 18 of the Basic Law states that the laws in force in the Hong Kong Special Administrative Region shall be this Law, the laws previously in force in Hong Kong as provided for in Article 8 of this Law, and the laws enacted by the legislature of the Region.

As can be seen above, Article 8 of the Basic Law spells out that the sources of Hong Kong law before 1 July 1997, that is, common law, rules of equity, ordinances, subordinate legislation and customary law, are still adopted after 1 July 1997, except those declared to be in contravention of the Basic Law and those parts in the sources of law subject to amendment made by the legislature. Article 18 of the Basic Law spells out the sources of Hong Kong law after 1 July 1997, and clearly it provides that Basic Law is one of the sources.



1.2.1 Common Law and Rules of Equity

1.2.1.1 Common Law System and Civil Law System

The term 'common law' has different meanings when it is used in two major different contexts:

1. When common law is used to refer to a legal system in a country or a place, the law is applied in its courts. This is in contrast to a country that has a civil law system, which is primarily governed by codes, and the case law is theoretically not binding on future decisions of the courts.
2. When common law is used to distinguish itself from the concept of equity and its rules, it is binding on future courts.

The discussion of common law invites us to study what a common law system is about. The two major legal systems in the world today are those of common law and civil law. The common law system has been developing in England since 1066. The civil law system has its roots in ancient Roman law and was later developed by the French and German jurists.

Central to the common law system is case law, which has been created by court decisions, especially in cases regarding the law of contracts, torts and property. The United States, Canada, Australia and Singapore are countries that have adopted this legal system. The concept of precedent, expressed in the Latin phrase *stare decisis* (i.e. 'let the decision stand'), has further developed alongside case law such that the decisions in cases made by a higher court bind a lower court when the lower court gives judgments to similar cases. Civil law countries, such as Central European and some Asian countries, in contrast, have adopted comprehensive civil codes, penal codes, commercial codes and procedural codes. Codes are the collections of legislation in specific legal areas that are heavily relied on by the courts and the judgments in previous cases are not binding on judges.

1.2.1.2 Common Law

Common law is a body of legal rules that have been made by judges in their judgments on the cases they tried. In other words, common law is the type of law that is established by particular cases. If a section of legislation is followed in a case, a judge will make his/her decision based on an interpretation of that legislation. However, in common law, the judges determine a case based upon the particular facts and circumstances in the dispute. Moreover, the judge can look to prior decisions when making a determination. These prior decisions are called precedents and are central to the common law system.

When in a trial, the court would always see whether there are relevant sections in legislation that are applicable to the case. If the judges are able to find the relevant legislation and the relevant case law, they would use the case law to fill the gaps where the legislation is silent on a legal issue. If there is no legislation available, the judges would refer to the case law.

The interaction between the Basic Law and the common law is essential but may not be easily noticed. According to Article 84 of the Basic Law, the courts of the HKSAR may refer to the precedents of other common law jurisdictions. In this case, the judiciary may refer to thousands of reported cases as precedents in common law jurisdictions that are found helpful in their decisions. The judiciary is also able to invite judges from other common law jurisdictions to participate in the judicial processes, which now becomes a practice in the Court of Final Appeal when hearing appeal cases.

1.2.1.3 Rules of Equity

Equity was developed as a supplement to the strict statutory laws that were used to relieve the harshness and rigidity imposed by the common law. Equity is a system of justice and defines a set of legal principles to achieve fairness and natural justice. In history, the Courts of Equity followed the notion of natural justice and differed from the common law courts that follow strictly the doctrine of precedent. Instead of common law damages, the judges in the Courts of Equity applied their discretion to grant equitable relief. Where there is conflict between common law and the law of equity, the law of equity prevails. By Articles 8 and 18 of the Basic Law, **rules of equity** are stated as one of the sources of law.

One of the usual remedies under equity is injunction, which is a court order requiring someone to stop doing something. Another example is specific performance, which is a court order requiring one of the parties to a contract to perform his/her part of the contract.

1.2.1.4 Differences between Common Law and Rules of Equity

There is an important distinction between the common law and equity. First, the common law remedy of damages (i.e. compensation in monetary terms) is sometimes found to be inadequate. In some cases, this may not properly compensate the loss suffered by the plaintiffs (e.g. when the subject matter under purchase is unique in the world). Equity comes in to award court orders to the plaintiffs that appear to be a fair and just remedy. Please note that a common law remedy is monetary damages only. Remedies under equity, however, are decrees (i.e. court orders) that direct the parties to act in a certain way. Thus, equity recognises new rights but common law does not. An example is that the equity recognises the concept of trust and the rights under it. Trust arises when one party gives property to trustees to hold for the use of beneficiaries and give beneficiaries rights against trustees. The common law does not recognise the right of the beneficiary of a trust and considers the trustees as owners.

Illustrative Example 1

In a sales and purchase contract where the seller and the buyer have signed for a sale of a property in Hong Kong, the property is unique in its room views. If the seller later decides to keep the property and thus breaches the contract, the buyer may consider common law damages insufficient to compensate his/her loss. The buyer could ask the court for an order of specific performance (an equitable remedy) on the contract. The order would compel the seller to complete the sale. However, it is at the discretion of the court to award the equitable remedy. If the court considers that common law damages are sufficient, it will not award such a remedy to the buyer. That means the buyer is not entitled to the remedy as of right (i.e. entitled to the remedy automatically from the seller).

1.2.2 Ordinances

By Articles 8 and 18 of the Basic Law, legislation is stated as one of the sources of law.

Legislation is created to respond to changes taking place in a society and necessary laws will have to be passed to meet that need. Moreover, the need to keep the law effective and up to date will call for reforms and new legislation.



Legislation in Hong Kong comprises ordinances and subordinate legislations under the ordinances. Ordinances are arranged in the order of Chapters, and 'Chapter' is abbreviated to 'Cap'. For example, the Sale of Goods Ordinance, according to its chapter number, is 26 and it is usually cited as 'the Sale of Goods Ordinance (Cap.26)'.

A piece of legislation usually has the following format:

1. The short title, the name of the legislation, regulation, rule, policy, proclamation or notice by which it is cited.
2. The long title, found under the short title, describing the scope or purpose of the legislation.
3. An interpretation section, with provisions defining terms for the purposes of the legislation.
4. Hierarchy for the structure of the legislation: Chapters, Parts, Divisions and Subdivisions.
5. Schedules, at the end of the legislation, have a number of uses including matters of detail or definition, setting out the text of agreements referred to in the legislation and transitional matters.

1.2.3 Subordinate Legislation

Subordinate legislation comes in the form of proclamation, rule, regulation, order, resolution, notice, rule of court, bylaw or other instrument made under any ordinance. Generally, the Legislative Councillors are too busy or perhaps even too inexperienced to make very detailed laws for the use of specific entities. Often the detail to make a piece of effective subordinate legislation is left to special authorities to draw up. Entities are conferred the right by a parent ordinance or an enabling ordinance to create the subordinate legislation.

Subordinate legislation is also known as 'delegated legislation' or 'subsidiary legislation', because such legislation remains subordinate to the ordinances created by the Legislative Council. Subordinate legislation can often be enacted quickly and flexibly rather than waiting for the formal and slow legislative process. Such legislation often has to be formally presented to the Legislative Council to give the members the opportunity to examine it (See Section 1.5.2). In practice, these days most of the legislation passed in the Legislative Council is subordinate legislation.

Illustrative Example 2

Under s.47 of the Mandatory Provident Fund Schemes Ordinance (Cap.485) ('MPFSO'), the Mandatory Provident Fund Authority is conferred the power to make rules (which are subordinate legislation) with respect to any matter under the parent ordinance, MPFSO. For example, some relevant rules had been made for matters relating to the administration of MPF schemes and the payment of mandatory contributions under Mandatory Provident Fund Schemes (General) Regulation (Cap.485A).

Illustrative Example 2 (*continued*)

S.85 of the Inland Revenue Ordinance (Cap.112) ('IRO') is another example that illustrates the concept of 'subordinate legislation' for the Inland Revenue Rules. S.85 of the parent ordinance, IRO, with the title 'Power to make rules', states that 'the Board of Inland Revenue may from time to time make rules generally for carrying out the provisions of this ordinance and for the ascertainment and determination of any class of income or profits'. S.85 of the IRO confers the right to the Board of Inland Revenue to make rules (i.e. subordinate legislation) to, for example, determine income or profits made by a business entity (Inland Revenue Rules (Cap.112A)).

1.2.3.1 Advantages and Disadvantages of Subordinate Legislation

The advantages of subordinate legislation include:

1. Regulations are subordinate legislation made by government departments. They are best left to the experts because they generally deal with technical details or procedures. The detailed rules and regulations made are to provide for technical or procedural details necessary for the implementation of an ordinance.
2. The empowered entity to create the subordinate legislation is given much flexibility to change such legislation when there is a need to do so in a quicker way.
3. Much time and costs are saved for the Legislative Council to focus its work in areas other than examining and studying the subordinate legislation in detail.

The disadvantages of subordinate legislation include:

1. The subordinate legislation may be created in a way that goes beyond the prescribed limits set by the parent ordinance. The subordinate legislation in question may be enforced for some time before the issue of *ultra vires* (i.e. beyond one's given power) is discovered either in the vetting stage or when it is challenged by judicial review.
2. The subordinate legislation is not open to consultation or sufficient public debate.
3. The subordinate legislation may be used by the government to make significant changes to the law without submitting them to the scrutiny of the Legislative Council.

1.2.4 Chinese Customary Law

Most of the customs in Hong Kong are derived from Qing Law, the Imperial Code of the Qing Dynasty. Qing Law itself mainly consisted of rules that punished people for criminal conduct. Civil laws were intermingled with the criminal statutes. The most common civil rules concerned land disputes, marriage, inheritance and debts.

In *Re Wong Choi Ho & Another* (1969) HKLR 391, the court held that the **Chinese customary law** that was applicable in Hong Kong was Qing Law and customs followed in Hong Kong since 1843. Chinese customary law still has influence in areas like marriage, divorce, adoption and succession.

Some Chinese customary law is still applicable in Hong Kong. A good example is seen in the New Territories Ordinance (Cap.97) ('NTO'). It is known that the Court of First Instance or the District Court both have the jurisdiction to hear the disputes over the land in the New Territories. Under s.13 of the NTO, the two courts are conferred the power to recognise and enforce Chinese custom affecting such land. Thus, the courts may recognise and enforce Chinese customs or customary rights in relation to land in the New Territories.

Another example is found in the Legitimacy Ordinance (Cap.184) ('LO'). Chinese laws and customs are recognised under s.14 of the LO. It states that a person who is a child of marriage entered in accordance with Chinese laws and customs shall be a legitimate child of the marriage.

► Knowledge Check Questions

Question 1

Describe the laws that are currently enforced in Hong Kong.

Question 2

Explain what subordinate legislation is in Hong Kong.



1.3 COURT SYSTEM AND ALTERNATIVE DISPUTE RESOLUTION

1.3.1 Court System and Administration of Justice

The Judiciary is responsible for the administration of justice in Hong Kong. By Article 80 of the Basic Law, the Hong Kong courts at all levels shall be the judiciary of the HKSAR, exercising the judicial power of the HKSAR. The courts hear all criminal prosecutions and civil disputes.

1.3.1.1 Rule of Law versus Rule by Law

The rule of law was first introduced in the Magna Carta (the 'Great Charter' of rights) in 1215, agreed by King John of England to protect the rights of the Church and the barons. The term 'rule of law' has not been well defined in law but it refers to the fundamental principles of law that govern the way a government may exercise its powers. Three important principles of rule of law are universally understood:

1. Everyone shall be equal before the law.
2. Everyone, including the government and its servants, shall abide by the law.
3. Citizens' rights are protected by the courts.

The rule of law requires the power of the government (i.e. the executive) and all of its servants to be based on the law created by the legislature. Furthermore, the rule of law stresses that the courts are free from interference and hence independent of the executive when the courts come to decide whether the acts of government are legal or not. For example, when the executive has deprived an individual of his/her civil liberty on wrong legal grounds, the innocent party could challenge such an act in court and request the court to declare the executive's act invalid and to award him/her compensation.

Democratic countries will never adopt 'rule by law' instead of 'rule of law'. In contrast, rule by law refers to the situation in a nation where the laws made by the supreme legislative body of a nation enjoy the highest level of hierarchy in its legal system. For example, the supreme legislative body may be a dictator who may have his/her own set of laws to administer the justice and govern his/her people, while his/her cronies or related parties are exempt from obeying such laws. In such a country, the fundamental concept of the rule of law does not exist because not everyone is equal before the law.

1.3.1.2 Judicial Review and Its Role

The rule of law and Article 64 of the Basic Law provide that the HKSAR Government must abide by the law. If the government (or its departments and public bodies) or statutory bodies have departed from the law in its decisions, an individual whose personal right or public right is affected by the decisions may file an application of judicial review. Judicial review is a form of court proceeding in which the judge reviews the decision or action by a public body on the grounds of illegality, unreasonableness or procedural impropriety. In other words, the role of a judicial review is a means for citizens or interested parties to control the unlawful acts of the government. The court will grant permission for a judicial review if the case has a realistic prospect of success.

The limitation of the judicial review is shown as follows:

1. The petitioner (i.e. the person who files the application for a judicial review) must show to the court that he/she has sufficient interest in the case that is filed for a judicial review.
2. The court will not decide whether the decision made by the body in question is right or wrong.
3. If the petitioner loses his/her case, he/she has to cover the legal costs incurred by the government, statutory or public bodies.

1.3.1.3 Judicial Independence

The term 'judicial independence' refers to the status of the courts where the decisions made by the judges are free from interference by the executive or legislature parts of the government. The judiciary is obliged to maintain an independent and effective judicial system that upholds the rule of law and safeguards the rights and freedoms of individuals within Hong Kong.

Judicial independence is constitutionally entrenched in the Basic Law. Article 2 of the Basic Law states that the Hong Kong courts enjoy independent judicial power, including that of final adjudication. Article 19 of the Basic Law provides that Hong Kong shall be



vested with independent judicial power. Article 85 provides that the judiciary is completely independent of the executive and legislative branches of the government. Furthermore, the Chief Executive of the HKSAR Government is not able to appoint judges directly. According to Article 88 of the Basic Law, an independent statutory body named the 'Judicial Officers Recommendation Commission', together with members of local judges and lawyers are to make recommendations of judges to the Chief Executive of the HKSAR Government.

1.3.2 Tribunals and Special Courts

1.3.2.1 Lands Tribunal

The Lands Tribunal is established under the Lands Tribunal Ordinance (Cap.17). There are four professional judges who preside over the Lands Tribunal: the President, who is a judge of the Court of First Instance of the High Court, and three Presiding Officers, who are District Judges.

Its four principal judicial functions are:

1. To determine the sums payable for compensation to persons whose land is resumed or its value is reduced due to development;
2. To determine building management disputes;
3. To determine appeals from decisions of the Commissioner of Rating and Valuation and appeals against the assessment of the prevailing market value of property; and
4. To determine all matters under the Landlord and Tenant (Consolidation) Ordinance (Cap.7).

1.3.2.2 Labour Tribunal

The Labour Tribunal, set up under the Labour Tribunal Ordinance (Cap.25), offers a quick and inexpensive way of settling disputes between employees and employers. The Labour Tribunal does not allow lawyers to represent any party in the informal process. It deals with claims arising from the alleged breach of a term in a contract of employment, specifically regarding wages, statutory leave pay, double pay, severance pay and long service payments.

The Labour Tribunal only hears cases in two categories: (1) where the amount of a claim exceeds HK\$8,000 for at least one of the claimants in a claim or (2) where the number of claimants exceeds 10. Cases that do not fall into either category are taken up by the Minor Employment Claims Adjudication Board.

1.3.2.3 Small Claims Tribunal

The Small Claims Tribunal, set up under the Small Claims Tribunal Ordinance (Cap.338), hears monetary claims involving amounts not exceeding HK\$75,000. If the claim exceeds HK\$75,000, the claimant may consider abandoning part of the claim to bring the action in the Small Claims Tribunal. The main types of claims handled by the Small Claims Tribunal are debts, service charges, damage to property and consumer claims.

The hearing in the Small Claims Tribunal is informal and does not allow legal representation. Even if the judgment is in favour of the claimant, the claimant needs to take further action to enforce judgment if the defendant refuses to pay.

Illustrative Example 3

In the opening case, the couple may start their case before the Small Claims Tribunal without spending much on legal fees. However, it should be noted that the maximum amount of a claim would be limited to amounts of not more than HK\$75,000. Moreover, the Small Claims Tribunal does not welcome any legal representation for the claimant. In that case, the couple may not be satisfied with the claim amount available for their losses. For this reason the Small Claims Tribunal may not be an appropriate venue for their case.

1.3.2.4 Competition Tribunal

The Competition Tribunal is a tribunal set up as a superior court of record under the Competition Ordinance (Cap.619), which was enacted in 2012. The Competition Tribunal, as part of the Judiciary, hears and decides cases connected with competition law in Hong Kong. The Competition Tribunal has the same jurisdiction as that of the Court of First Instance to grant legal or equitable remedies and reliefs, and all the powers, rights and privileges of the Court of First Instance. Though it is a court in its nature, the Competition Tribunal conducts its proceedings informally as required to see justice done.

Its major jurisdictions are to review and determine:

1. Applications made by the Competition Commission or Communications Authority with regard to alleged contraventions of the competition rules;
2. Private actions in respect of contraventions of the conduct rules;
3. Applications for the disposal of property;
4. Applications for the enforcement of commitments; and
5. Cases transferred from the Court of First Instance.

1.3.2.5 Inland Revenue Board of Review

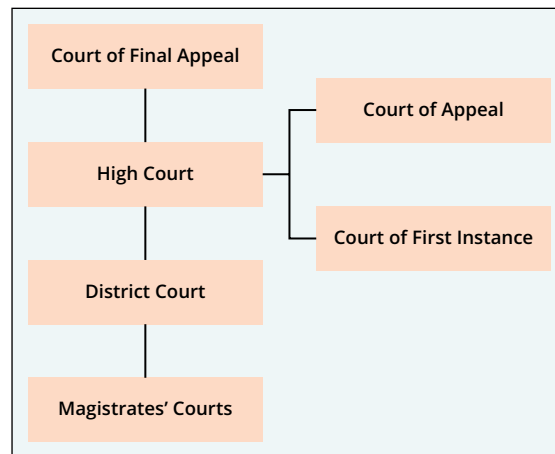
The Board of Review (the 'Board') is a statutory body constituted under s.65 of the Inland Revenue Ordinance (Cap.112) to hear tax appeals. The members of the Board are all appointed by the Chief Executive of the HKSAR Government. At present, the Board has one chairman, 80 deputy chairmen and 66 members.

Any person may file an appeal in writing if:

1. He/She has validly objected to an assessment by the Inland Revenue Department, but the Commissioner has not agreed with the objection.
2. He/She has been assessed for additional tax but he/she has evidence to object to this.

1.3.3 Magistrates' Courts

The Magistrates' Courts sit at the bottom of the hierarchy of the court system (Exhibit 1.1). Their main jurisdictions are criminal and all criminal cases would reach them for an initial hearing. Jurisdiction of a court means the power to hear and determine cases. Magistrates' Courts hear a wide range of offences, both summary and indictable. Summary offences are minor offences



► **EXHIBIT 1.1 Court structure**

that must be tried in the Magistrates' Courts. Examples of summary offences are hawking, traffic contraventions and littering. The cases are heard by Special Magistrates, who cannot impose a prison sentence and the normal maximum fine is HK\$50,000, except where a greater sum is specified in the applicable ordinance.

Indictable offences are those that are serious in nature, such as murder, robbery or arson. Magistrates' Courts are not able to give a hearing to these cases due to its limited jurisdiction. The maximum sentence that may be imposed by the Magistrates' Courts is normally a two-year imprisonment and a fine of HK\$100,000, but under some ordinances a single offence may carry a three-year imprisonment and a fine of HK\$5 million. The Magistrates will refer more serious indictable offences, which are out of the court's jurisdiction, to either the District Court or the Court of First Instance.

1.3.4 District Court

The District Court, established in 1953, is an inferior court in the court system and has both civil and criminal jurisdictions. There were over 40 District Court judges in early 2018.

For criminal cases, the District Court hears indictable offences, which involve serious crime or an offence for which a magistrate is empowered to send the accused to prison for trial before the court, except for murder, manslaughter and rape. The maximum term of imprisonment imposed by the District Court is up to seven years. The District Court uses no jury system in all criminal cases and a District Court judge sits in the court to try the cases. Since the District Court is an inferior court, most of its decisions go unreported.

The civil jurisdiction of the District Court is able to hear disputes based on contract with the claim amount up to HK\$3 million. The District Court also tries civil claims or recovery of land with an amount of up to HK\$7 million and other cases involving the annual rent or ratable value with an amount not exceeding HK\$320,000. It has jurisdiction over employees' compensation, equal opportunity claims and matrimonial matters including divorce and maintenance.

As the District Court has no appellate jurisdiction to review appeal cases, the appeals against its decisions are heard by the Court of Appeal. Leave from a District Court judge is usually required for such an appeal.

1.3.5 High Court

The High Court is made up of the Court of First Instance and the Court of Appeal.

1.3.5.1 Court of First Instance

The Court of First Instance ('CFI') has unlimited jurisdiction in both civil and criminal matters. There were 27 judges sitting in the CFI in 2018.

For its civil jurisdiction, the CFI hears claims over HK\$3 million. A High Court judge sits in the CFI in the absence of a jury, except for defamation. The CFI also exercises jurisdiction in admiralty, bankruptcy, company winding up, adoption, probate and mental health cases.

For its criminal jurisdiction, a High Court judge together with a jury decide criminal offences, such as murder, manslaughter, rape, armed robbery and complex commercial frauds. The term of imprisonment imposed is unlimited.

When exercising its appellate jurisdiction, the CFI hears appeals from the Magistrates' Courts, the Labour Tribunal, the Small Claims Tribunal and the Obscene Articles Tribunal.

1.3.5.2 Court of Appeal

The right of appeal is of paramount importance to a legal system. It allows a higher court to review the judgment of a lower court. The appeal system would properly rectify its mistakes by way of appeal to a higher court.

The Court of Appeal ('CA') is part of the High Court and has both civil and criminal jurisdictions. When the CA exercises its civil jurisdiction, it hears appeals from the Court of First Instance, the District Court, the Lands Tribunal, the Competition Tribunal and some statutory bodies.

1.3.6 Court of Final Appeal

The Court of Final Appeal ('CFA') is the highest court in Hong Kong. It was established on 1 July 1997 under the Hong Kong Court of Final Appeal Ordinance (Cap.484). The CFA hears the appeal by a panel of five judges, including the Chief Justice, three permanent judges and one non-permanent judge.

The permanent judges are local judges and the non-permanent judges are eminent jurists who are retired Hong Kong judges and from other common law jurisdictions. They are appointed by the CFA under Article 92 of the Basic Law. The appointment of non-permanent judges helps boost a high degree of confidence in the legal system for investors overseas and allows Hong Kong to benefit from legal developments elsewhere in the common law world. The Chief Justice decides when an overseas non-permanent judge or a Hong Kong non-permanent judge will sit in the full court.

The CFA has a civil jurisdiction to hear cases with claims over HK\$1,000,000. It hears appeals of civil matters if the question involved in the appeal is of great general or public importance. No appeal to the court will be accepted unless leave to appeal from the CA or CFA is granted.

Before 24 December 2014, a right to appeal from the CA to the CFA was given to the appellant when the disputed amount was over the HK\$1,000,000 threshold. An appeal was allowed for cases with a lower threshold only when they were of great general or public importance. The Administration of Justice (Miscellaneous Provisions) Ordinance 2014, effective

on 24 December 2014, has repealed such an unsatisfactory right of appeal based on the artificial financial limit. Appellants in cases that are now of great general or public importance, or leave is granted in the opinion of the CA or CFA, are given the right of appeal.

In its criminal jurisdiction, the CFA hears appeals against the final decision of the CFA in the High Court, but leave to appeal is required. Applications for leave are heard by the Appeal Committee, which consists of three members of the court. Under the Basic Law, the CFA does not have jurisdiction over such acts of state as defence and foreign affairs.

The Standing Committee of the National People's Congress ('SCNPC') authorises the Hong Kong courts to give interpretation on their own to the Basic Law provisions when adjudicating cases. However, under Article 158 of the Basic Law, if the cases require the courts to interpret the Basic Law provisions concerning affairs that are the responsibility of the Chinese government, or concerning the relationship between the Central Authorities and Hong Kong, the courts shall seek an interpretation of the relevant provisions from the SCNPC through the CFA.

1.3.7 Alternative Dispute Resolution

Disputed parties have turned to routes other than litigation for resolving disputes. They are very concerned about the cost and the time for pursuing a legal action. At the same time, they also notice that a successful outcome in court does not always solve the fundamental dispute. More often than not, litigation in court may ruin the business relationship between the parties, which results in loss of business and trust.

An **Alternative Dispute Resolution** ('ADR') is an ideal alternative to the court processes. Different from a litigation, which requires a third party to adjudicate on the issue, most methods of dispute resolution are non-adjudicative so that the parties resolve the dispute themselves. Both parties have given more control over to a third party who is intervening to help solve the dispute.

1.3.7.1 Arbitration

Arbitration is an adjudicative process by which the parties agree to submit a commercial dispute to an independent third party named as an arbitrator for decision. The parties may appoint the arbitrator after the dispute has arisen or they may do it in advance by inserting a clause in their contract to that effect. Both parties could select a person who is skilled in the area in dispute.

The arbitration process does not need to follow a formal hearing process as found in litigation. The rules of evidence are more likely to be relaxed and there are no detailed pleadings as required in a court action. The arbitrator will make a decision based on the merits of the evidence from both sides and the award is final and binding on the parties.

The major differences between using the court and arbitration to resolve the dispute are:

1. Only in rare circumstances is it that a party is able to appeal against the decision of the arbitrator, which is final.
2. The parties to an arbitration need to pay the arbitrator and for the arbitral venue.
3. The arbitration is conducted in a closed venue where the public is not allowed to sit in, as opposed to the court proceedings which are open to the public.

The current policy of the HKSAR Government has encouraged a diversity of arbitration institutions in Hong Kong, which has succeeded in making it a regional dispute resolution centre. Hong Kong has also developed as a leading centre for international arbitration in the world and now thrives with a significant increase in arbitration business.

1.3.7.2 Mediation

Mediation is a non-confrontational process in which the mediator, an independent person, assists parties in dispute to explore options leading to settlement of a dispute. A mediator conducts mediation in a fair manner. He/She starts the fact-finding process and locates individual interests of each party to highlight the issues and propose a fair outcome to both parties. The mediator does not offer any decision, but helps the parties to focus on the relevant issues to reach a resolution themselves. The principle of confidentiality in mediation communication (i.e. what was said and what was not said in the mediation) needs strict compliance until a final agreement has included what may or may not be disclosed in the settlement agreement.

On 1 January 2013, the Mediation Ordinance (Cap.620) ('MO') came into effect and it provides a regulatory framework in mediation. It promotes and encourages the resolution of disputes through mediation. The MO applies to any mediation that is wholly or partly conducted in Hong Kong or the agreement in dispute provides that the MO or Hong Kong law is the governing law in the mediation. Moreover, the MO gives exceptions to the confidentiality rule so that a person may disclose a mediation communication when, for example, the consent of the parties and mediator have been obtained (s.8(2)(a) of the MO), information disclosed has already been available to the public (s.8(2)(b) of the MO) or disclosure is required by law (s.8(2)(g) of the MO).

Mediation is suitable for all disputes except the following cases:

1. For disputes that require the court to give a declaratory relief.
2. For family disputes that involve child abuse, domestic violence, or where one or more parties are in a severely disturbed emotional state.

1.3.7.3 Conciliation

Conciliation is a method of resolving the dispute of the parties with the assistance of the conciliator. The conciliator takes a less active role in the negotiation than a mediator. The conciliator may make suggestions for terms of settlement, give expert advice on likely settlement terms and may actively encourage the participants to reach an agreement. The parties may not follow the proposal given by the conciliator. In short, the conciliator plays the role of evaluator and intervener and bases the solution on the most beneficial solution to the parties. Conciliation is best used in a preventive way to stop a dispute from developing into a substantial one.

Conciliation is more suitable for workplace disputes between the employers and employees where discrimination based on race, gender or family circumstances are at issue.

1.3.7.4 Advantages and Disadvantages of ADR

The advantages of ADR include the following:

1. The cost of the ADR process involved in the dispute is much less than the cost involved in the litigation.
2. The ADR process is less formal and less lengthy than the litigation.



3. The parties can withdraw their case from the ADR any time they want, but costs will be incurred.
4. The dispute is resolved quickly in the ADR with the assistance of an impartial third party rather than a judge, who would not advise the parties according to their needs.
5. The resolution of the dispute is made faster by ADR since the date of hearing is fixed by both parties.
6. The discussions of proceedings in the ADR are confidential and no public record is to be maintained. The discussions in the court involve knowledge of the public.

The disadvantages of ADR include the following:

1. If the parties use mediation or conciliation as the ADR, the process does not always guarantee a resolution and the dispute may ultimately end up in court.
2. Mediation between an individual and a large organisation with greater resources could put the individual at a disadvantage.
3. Use of an ADR by one party could not obtain an immediate legal remedy.
4. A decision in arbitration is final and cannot be appealed to the court, unless there is an obvious error of law.
5. If one party is not willing to resolve the dispute using mediation or conciliation, both parties may still need to attend court.

Apply and Analyse 1

Apply

Ss.15 to 17 of the Sale of Goods Ordinance (Cap.26) ('SOGO') were in force in Hong Kong before the handover of Hong Kong to mainland China. Up to now, there has been no amendment to these sections.

Analyse why the above-mentioned sections remain a part of the laws of Hong Kong.

Analysis

By Article 8 of the Basic Law, the laws previously in force in Hong Kong shall be maintained, except for any that contravene this Law, and subject to any amendment by the legislature. Ss.15 to 17 of the SOGO in question are the part of the legislation that was in force in Hong Kong and, by Article 8 of the Basic Law, they were maintained beyond the point of time when Hong Kong was handed over to mainland China.

Article 18 of the Basic Law further provides that the laws in force in the HKSAR shall be the Basic Law, the laws previously in force in Hong Kong as provided for in Article 8 of the Basic Law and the laws enacted by the legislature of the HKSAR. Ss.15 to 17 of the SOGO are the laws that were previously enforced in Hong Kong and thus by Article 18 of the Basic Law, the sections should be regarded as the laws in Hong Kong.

Apply and Analyse 2

Apply

Jeffrey has come to seek your advice. Analyse the nature of the legal proceedings on the following cases and the venue in which the judges would hear the cases:

1. Jeffrey's company sent a letter of demand to one client for an outstanding payment of HK\$150,000 in two invoices.
2. Jeffrey's friend committed an offence of shoplifting in the supermarket.

Analysis

1. An action on debt is a civil case where monetary remedies are sought by the claimant. If each of both invoices has an amount less than HK\$75,000, Jeffrey's company may bring its case before the Small Claims Tribunal. An adjudicator instead of a judge will attend the hearing and no legal representation is allowed.

If the claim in one invoice exceeds HK\$75,000, Jeffrey's company may start its action on that outstanding payment in the District Court, but the legal fees for hiring a lawyer to attend before the court should be a factor to take into account. His company may still consider bringing the case before the Small Claims Tribunal, but it has to reduce its claim to HK\$75,000 only.

2. Shoplifting is a criminal offence and the prosecution will represent the government to bring the case before the court. All first hearings on criminal offences will go to the Magistrates' Courts. The maximum sentence on defendants is normally a two-year imprisonment and a fine of HK\$100,000. As shoplifting is not a serious crime and is within the jurisdiction of the Magistrates' Courts, this case will not be transferred to the District Court or the Court of First Instance.

► Knowledge Check Questions

Question 3

Describe the advantages of using an Alternative Dispute Resolution rather than the judicial route to resolve a commercial dispute.

Question 4

Explain the civil jurisdiction of the High Court.



1.4 DOCTRINE OF PRECEDENT

1.4.1 What is Doctrine of Precedent?

The concept of the **doctrine of precedent** is that any legal issue should be decided in the same way as a similar issue in the past. In other words, similar cases should be treated alike. This



idea is well explained by the Latin term *stare decisis*, which means 'let the decision stand'. Under *stare decisis*, a common law judge must look to prior decisions that are similar and base his/her decisions on the precedent. The legal principle or decision in a case remains available so that a case involving similar facts and issues may be decided by using the reasoning for the decision in a previous case. If a judge fails to follow prior decisions in a similar matter, higher courts in the future are likely to overturn his/her decision.

In principle, the doctrine of precedent was developed as a way of achieving consistency and impartiality in the law. For its effective operation, the doctrine relies upon the availability of an authoritative set of law reports covering decisions of legal significance. It allows judges to concentrate on the facts and other issues of evidence. The judges could then decide quickly which legal principles from the range of possible precedents fit the case before them.

1.4.2 Practice of Doctrine of Precedent in Courts

The number of decided cases in the common law world is so huge that the doctrine of precedent is only effective in association with the concept of a hierarchy of courts. In the concept of the hierarchy of courts, the decisions of a higher court are binding on the lower court. With such a concept, precedent gives the law a particular predictability, and thus precedent assists lawyers to give advice to their clients about their positions in their dispute.

It is the *ratio decidendi* ('ratio') of a case that becomes the precedent for later cases. *Ratio* is the legal principles on which the judgments are based to give their decisions in a case. Any statements by judges that are not strictly necessary to reach a decision in the case are *obiter dicta*, meaning 'statements by the way'. Sometimes these *dicta* can be reflections by influential judges on how they think the law should develop. For this reason, the courts may consider *obiter dicta* in the opinions of higher courts. *Dicta* of a higher court, though not binding, will often be persuasive to lower courts.

At a vertical level, the District Court and Magistrates' Courts are bound by the decisions of the CFI. The decisions made by the CA and CFA are binding on the CFI and on inferior courts such as the District Court and the Magistrates' Courts.

At a horizontal level, courts of equal status usually do not bind each other. In other words, the precedent of the Court of First Instance is not binding on another Court of First Instance.

1.4.3 When Doctrine of Precedent is not Followed?

There are times when the courts would depart from the decisions of the higher court for the following grounds:

1. When a case is distinguished

Judges may distinguish a case from what at first sight might look like a precedent that applies. Here, the word '**distinguish**' means judging that some previously decided cases were not precedents for a current case. Judges refused to apply the precedent of previously decided cases because they thought the material facts of the current case involved are different from those of the decided cases leading to their own particular decisions. They may think that a decided case has such special facts that the resulting *ratio* should not be generally applied in future cases but its application should be confined to its facts only.

Illustrative Example 4

In *Grant v Australian Knitting Mills Ltd* (1936) AC 85, the plaintiff Dr. Grant bought a pair of long underpants from the retailer. The defendant manufacturer negligently left the chemicals used in the manufacture process in the underpants. As a result, the plaintiff suffered dermatitis which hospitalised him for several months. It was held that the manufacturer owed a duty of care to the consumer even though there was no contract between the parties.

A few years later, there was the case of *Griffiths v Peter Conway* (1939) 1 All ER 685, in which the plaintiff Mr. Griffiths (i.e. the purchaser) developed dermatitis after wearing an overcoat. At first sight, the application of the doctrine of precedent from Grant's case seemed as if it would help the plaintiff have a good case against the manufacturer. However, the plaintiff was found to have abnormally sensitive skin. The plaintiff did not mention this when buying the coat. Medical evidence revealed that people with normal skin would not have suffered any damage. The duty of care by the manufacturer in such a case did not go beyond a duty to the normal range of people.

In coming to their decision in Griffiths' case, the judges distinguished it from Grant's case. The court said that it was not reasonable to expect the manufacturer to anticipate that an ordinary consumer would be so sensitive to the fabric. The judgment would have been different if the coat had been specially made for people with skin problems and sold by a shop that claimed to be specialised in selling clothes for customers with sensitive skin.

2. When a case is overruled

A precedent is **overruled** when a higher court declares that the precedent established in a previous case by a lower court is no longer a binding authority and that the higher court has put forward a different rule.

Illustrative Example 5

The Court of Appeal ('CA') and the Court of Final Appeal also have the power to overrule the decision of a lower court in a different case. For example, the Court of First Instance ('CFI') may reach a decision in case X, and that decision becomes a precedent for the future. Some time later, a similar case, case Y, is heard by the CFI. Case X is used as a precedent, but the losing party appeals to the CA. The CA finds the original decision in case X to have been wrong and has the power to overrule such a decision.

3. When a case is reversed

A higher court may **reverse** the decision of a lower court in a case where the appeal comes to a decision opposite to that of the lower court for the same case.

Illustrative Example 6

Mary Fong was convicted by the Court of First Instance ('CFI') of the murder of her husband George. In her defence, Mary claimed that George had continuously battered her throughout their whole marriage, and raised the defence of provocation (i.e. the murder was done in the heat of anger), even though George did not use violence on Mary immediately before the murder. The CFI had been persuaded by this argument and regarded Mary's defence as correct in law. On appeal by the prosecution, the Court of Appeal ('CA') held that this extension of the defence was incorrect. The decision of the CFI on this point of law was reversed by the CA.

In a similar case, Cathy Kwan was charged with the murder of her husband John Chan. She raised the defence of provocation. The CFI regarded itself as bound by the previous decision in the CA. However, in Cathy's case, there was evidence to prove that John had been violent towards her within an hour of the murder taking place. Because of this difference in the important facts, the CFI distinguished its case from the case of Mary Fong, and did not follow the decision by the CA.

In a later case, Fanny Poon was charged with the murder of her husband, with the facts identical to those found in the Mary Fong case. Both the CFI and the CA followed the precedent set in the Mary Fong case. On appeal to the Court of Final Appeal, it was decided that the interpretation of the law was completely incorrect and the case was overruled.

4. When *obiter dicta* are referred

This occurs where statements of law by the judges of previous cases were only *obiter dicta*. The Latin phrase, *obiter dicta*, usually refers to comments made or opinions given by judges and would not be based as legal principles by future courts. For example, *obiter dicta* may contain the dissenting comments from a judge who does not agree with the decision made by the majority.

5. When the reasoning is divergent and unclear

This is where the reasoning for the decisions of the previous cases is unclear with divergent reasoning.

6. When decisions of a previous case were given *per incuriam*

This is where the judges have failed to consider the relevant case law or legislation applicable to the case. Such decisions are said to be given *per incuriam*. The Latin phrase, *per incuriam*, means 'by mistake'.

► Knowledge Check Questions

Question 5

Explain when and why overruling of a case takes place.

Question 6

Describe the meaning of distinguishing the facts of a case with that of a previous case.



1.5 ENACTMENT OF LEGISLATION

The Law Drafting Division ('LDD'), headed by the Law Draftsman, is one of the six Divisions of the Department of Justice ('DOJ'). The primary function of LDD is to provide legislative drafting services to the HKSAR government and is responsible for drafting all government legislation. On average, the LDD drafts about 25 bills a year. The LDD also drafts about 150 items of subsidiary legislation a year.

1.5.1 Stages in Passing Ordinances

A proposal for primary legislation is presented to the Legislative Council as a bill. The drafting work on a bill usually begins only after the bill has been allocated a place in the HKSAR Government's legislative timetable.

The HKSAR Government may introduce bills known as 'government bills', which are related to public expenditure or political structure or the government operation. The Legislative Council Members may introduce bills known as 'members' bills'. If the members' bill is related to government policies, the written consent of the Chief Executive of the HKSAR Government is required before it is introduced to the Legislative Council. The Legislative Council Members may also introduce a private bill, which provides for the particular benefit of an individual, association or body corporate rather than for the benefit of the public.

1.5.1.1 Drafting Stage

Before the drafting stage, the Committee on Legislative Priorities must approve the proposal of drafting the bill. Next, the drafter must get himself/herself understanding of the proposal. Then the drafter needs to study the Common Law, any relevant legislation and the Basic Law that may affect the proposal. The last step is that the drafter must undertake a thorough analysis of the proposal as to its soundness and implementation. The drafter would finally start the drafting stage.

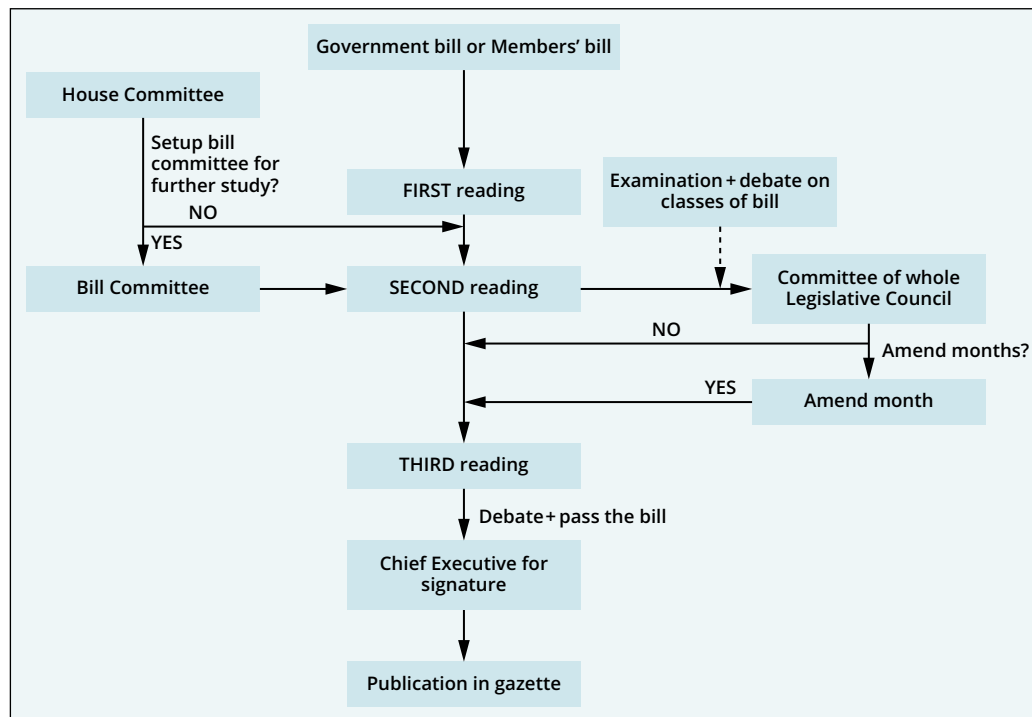
Once the bill is ready, it has to go through three procedural stages, commonly known as the 'three readings' (i.e. the first reading, the second reading and the third reading) in the Legislative Council, before it can become legislation (Exhibit 1.2).

First Reading

The first reading is purely formal and there is no debate. The short title of the bill is read by the Clerk to the Legislative Council and the first reading is finished.

Second Reading

A date for the second reading is then fixed after the first reading comes to an end, or the second reading begins when the person in charge of the bill has moved that the bill be read a second time. The person in charge of the bill would be a designated public officer for a government bill or a Legislative Council Member if it is a non-government bill.



► EXHIBIT 1.2 The stages for passing a bill

At the second reading the person in charge of the bill makes a speech explaining the merits and principles of the bill. After the speech is finished, the debate in the Legislative Council is adjourned and the bill is referred to the House Committee to decide whether to allocate the bill to a Bills Committee for consideration.

In many cases, the bill is allocated to a Bills Committee, which carries out the detailed examination on the principles of the bill. The drafter of the bill attends the meetings of the Bills Committee to advise on and answer questions relating to drafting. Subsequently the drafter prepares the amendments that the HKSAR Government proposes or agrees to be added to the bill.

Third Reading

After the debate on the second reading restarts, the Legislative Council moves into the committee stage. At this stage, the details of the bill are considered and amendments are moved and voted on. Once the committee stage has been completed, the Legislative Council is resumed. The third reading takes place on a motion that the bill be read a third time. A voting procedure is required and its requirement varies according to the nature of the bill (please refer to the paragraph immediately below). After the third reading, the bill is passed by the Legislative Council and is ready for the Chief Executive of the HKSAR Government to sign before its publication in the Government Gazette. The Chief Executive of the HKSAR Government promulgates the ordinance through publication in the Government Gazette.

Third Reading – Voting

Under Annex II of the Basic Law, a government bill requires at least a simple majority vote of members present (over 50% of members voting for the bill). For a members' bill, at least a

simple majority vote of two groups of members present is required: (1) members by functional constituencies and (2) members by geographical constituencies.

Under Article 49 of the Basic Law, the Chief Executive of the HKSAR Government may return a bill to the Legislative Council for reconsideration if such a bill passed by the Legislative Council is not compatible with the overall interests of Hong Kong. If the Legislative Council passes the original bill again by not less than a two-thirds majority of all the members, the Chief Executive of the HKSAR Government must sign and promulgate it or he/she may dissolve the Legislative Council.

The Legislative Council will adopt the two-third voting procedure in the following situations:

1. To amend the method for forming the Legislative Council and its voting procedure (Annex II to the Basic Law);
2. To disqualify a member of the Legislative Council from his/her office for imprisonment or for misbehavior or breach of oath (Articles 79(6) and 79(7) of the Basic Law);
3. To pass a returned bill for promulgation which the Chief Executive of the HKSAR Government considers is not in the interest of Hong Kong (Article 49 of the Basic Law) (Note: If the Chief Executive of the HKSAR Government considers a bill passed by the Legislative Council not compatible with the overall interests of HKSAR, he/she may return the bill to the Legislative Council within three months for reconsideration.);
4. To pass a motion of impeachment the Chief Executive of the HKSAR Government on the charge of serious breach of law or dereliction of duty (Article 73(9) of the Basic Law);
5. To amend the Basic Law (together with the consent of the Chief Executive of the HKSAR Government and that of two-thirds of HKSAR deputies to the National People's Congress) (Article 159 of the Basic Law).

Effective Date of Legislation

Legislation comes into operation on the date of its publication in the Government Gazette or a day proposed by the appointing authority by notice in the Government Gazette. For the majority of ordinances and government subsidiary legislation, the appointing authority is a government official.

However, in some circumstances, some legislative amendments could be effected immediately upon commencement and well before the completion of legislative procedures. For example, The Stamp Duty (Amendment) (No. 2) Bill 2010, an amendment to Stamp Duty Ordinance (Cap. 117), was passed by the Legislative Council on 22 June 2011 and was gazetted on 3 December 2011. The amendment has retrospective effect such that the Amendment Ordinance is deemed to have come into operation on 20 November 2010.

At times the Chief Executive of the HKSAR is entitled to issue executive order to introduce the relevant legislative amendments into the Legislative Council as soon as possible or to give immediate effect on the legislative amendment at a specified date or retrospective effect on the amendment under Article 48(4) of the Basic Law. The Chief Executive of the HKSAR is empowered to issue such an order to amend legislation under certain ordinances (See Section 1.2.3), and the final version of the amendment of the Ordinance will appear as a bill, which is finally passed by the Legislative Council.

For example, the Chief Executive of the HKSAR Government gave out the order introducing a 'Special Stamp Duty' on residential properties acquired on or after 20 November 2010 and



resold within 24 months after purchase. The Stamp Duty (Amendment) (No. 2) Bill 2010, an amendment to Stamp Duty Ordinance (Cap. 117), was passed by the Legislative Council on 22 June 2011 and was gazetted on 3 December 2011. The amendment has retrospective effect such that the Amendment Ordinance is deemed to have come into operation on 20 November 2010.

1.5.2 Stages in Subordinate Legislation

1.5.2.1 Drafting Stage

The LDD of the DOJ is responsible for drafting both ordinances and subordinate legislation proposed by the HKSAR Government.

A proposal for making subordinate legislation would come from a government official, a government department or an organisation empowered to create subordinate legislation. The subordinate legislation is drafted by the LDD of the DOJ according to instructions from the department in question. The LDD will make sure that the drafted subordinate legislation by non-government bodies satisfies the requirements of style and format. The final draft will then be published in the Government Gazette. The subordinate legislation will commence at the date of publication in the Government Gazette or at a day specified by its user.

1.5.2.2 Approval Procedures

An item of subsidiary legislation is subject to scrutiny and approval by the Legislative Council in two alternative procedures: (1) the positive vetting procedure or (2) the negative vetting procedure. **Vetting** is a term that refers to a set of assessments processed by experts that a subject (in our context this is the subsidiary legislation) must go through to become qualified or approved.

A subsidiary legislation is readily enforced if the relevant parent ordinance (i.e. an ordinance that empowers the making of subsidiary legislation) states that such scrutiny is unnecessary. In this case, the Legislative Council has no power to repeal or propose any amendment to that subsidiary legislation.

Negative Vetting Procedure

If the subsidiary legislation is intended to be subject to negative vetting, the enabling provision does not need to provide for it expressly. A piece of subsidiary legislation shall be laid on the table for examination at the next sitting of the Legislative Council after its publication in the Government Gazette. Not later than 28 days after that sitting, the Legislative Council may amend the subsidiary legislation by resolution at a Council meeting of the Legislative Council or may extend the scrutiny period. Unless another date is provided, the subsidiary legislation has legislative effect on the date of its publication in the Government Gazette.

Positive Vetting Procedure

If a parent ordinance provides that a subsidiary legislation shall be subject to the Legislative Council's approval, a public officer may move a motion in the Legislative Council to seek its approval. The Legislative Council may approve or reject the subsidiary legislation by passing or not passing the motion and may also amend the subsidiary legislation. Amended subsidiary legislation is deemed to have legislative effect on the date of its publication in the Government Gazette.

Apply and Analyse 3

Apply

For the purpose of this question, a hypothetical Road Traffic Ordinance has been newly announced that would impose a higher penalty on jaywalkers. Manfred was fined under this Road Traffic Ordinance for jaywalking in Nathan Road. He was very worried because he had heard that this hypothetical ordinance would be published in the Government Gazette in one month's time.

Analyse Manfred's liability under the new ordinance.

Analysis

Manfred should be advised that a bill becomes an ordinance and will be published in the Government Gazette. The new Road Traffic Ordinance generally commences (i.e. 'comes into operation') at the beginning of the day it is published in the Government Gazette. If a provision is made for the new Road Traffic Ordinance to commence on a day other than the publication date, it would come into operation at the beginning of that day.

As there would still be a month to go before the new ordinance was published in the Government Gazette, the ordinance has not yet been in force. For this reason Manfred would only be required to pay the old fines under the existing ordinance.

► Knowledge Check Questions

Question 7

Describe the voting procedures for the passage of a bill introduced by the government and a bill introduced by members at Third Reading.

Question 8

Explain what positive vetting is in the context of subordinate legislation.

1.6 STATUTORY INTERPRETATION

1.6.1 Why Statutory Interpretation is Required?

Though legislation has many advantages, it also has some problems. One of them is that words have alternative meanings and can mean different things in different contexts. Therefore, at times the judges may find that the meaning and intention of the legislature are not always clear.

On the other hand, the legislation may deal with a very technical topic or otherwise be written in such specialised language that most people cannot understand it. The legislation may be written in such broad and inexact language that many people are affected in ways that the legislature never intended.

There are three rules of statutory interpretation, including: (1) the literal rule, (2) the golden rule and (3) the mischief rule, which will be discussed in turn.



1.6.2 Literal Rule

The **literal rule** gives guidance to the courts that, when looking for the meaning in words or phrases of the statutes, they simply interpret the words for their ordinary and natural meaning. In this approach, if the meaning of a section of legislation in question is quite clear with no ambiguity, then that is the exact meaning the courts will apply. If the application of the literal rule leads to an unjust result, this will not bother the courts and the courts will still stick to the literal meaning.

In *London and North Eastern Railway v Berriman* (1946) AC 278, a railway worker was knocked down and killed by a reversing train and his widow attempted to claim damages. The Fatal Accidents Act 1864 provided that compensation was available to deceased employees only when they were engaging in 'relaying or repairing' tracks.

It was held that, by the literal rule, at the time of the accident the deceased was oiling the tracks, whose activity was routine maintenance and did not come within the meaning of 'relaying and repairing'. In that case, the widow was not entitled to the compensation.

1.6.3 Golden Rule

The courts would apply the **golden rule** when they found that the use of the literal rule would produce an absurd result or an injustice, which presumably the legislature did not intend that to happen. Under the golden rule, the judge adopts the interpretation that produces the least absurd result. This is adopted especially where the words of a statute are capable of two or more meanings.

In *Adler v George* (1964) 2 QB 7, a man was charged with obstructing a member of the Security Forces while on duty. The incident took place on a Royal Air Force Station, which was a prohibited place. S.3 of the Official Secrets Act 1920 stated that no person 'in the vicinity' of any prohibited place shall obstruct . . . any member of His Majesty's forces engaged in guard, sentry, patrol, or other similar duty in relation to the prohibited place.

The defendant argued that he had not committed an offence because the incident took place 'on' or 'at the prohibited place' and not 'in the vicinity'. The court turned down this argument because the judges thought that it would be absurd if an indictable offence was created when the obstruction took place outside the precincts of the station, albeit in the vicinity, and no offence at all was created if the obstruction occurred on the station itself. The court was prepared to allow that this statute should read 'in' or 'in the vicinity of'.

1.6.4 Mischief Rule

The mischief approach involves a consideration of what the legislature intended, which is usually tied up with the question: What mischief does the legislation attempt to stamp out? The **mischief rule** has become a major modern approach in statutory interpretation. The rule goes back to an English case known as *Heydon's case* (1584) 76 ER 637 in the sixteenth century. The principles established in that case can be stated in the form of four questions:

1. What was the law before the legislation was passed?
2. What mischief or defect existed for which the law before the legislation did not provide?
The assumption is that usually legislature will only change the existing law if it is seen

to be ineffective or because the legal position is either unclear or a new situation has arisen for which there is no existing law.

3. What remedy has the legislature provided in the legislation to cure the mischief or defect?
4. What is the true reason for the remedy?

In modern times, this rule is often spoken of as the purposive construction of a statute. The role of the judge is to suppress the mischief and advance the remedy.

In *Smith v Hughes* (1960) 2 All ER 859, the Street Offences Act 1958 ('the Act') made it a criminal offence for a prostitute to solicit potential customers in a street or public place. The court had to consider appeals by six women charged under the Act. They argued that they were not guilty because at the time of soliciting their business, they were not in the street or a public place. What they did was in their own houses, tapping on the window or yelling out to attract the attention of the customers walking by.

The judge used the mischief rule and observed that the aim of the Act was to enable people to walk along the streets without being solicited. Since the solicitation of the business in question was aimed at people in the street, even though the prostitutes were not in the street, the judge interpreted the section in the Act to include these activities leading to the solicitation.

In s.19 of the Interpretation and General Clauses Ordinance (Cap.1), the general principle for the interpretation of all ordinances is stated. The section states that all ordinances are deemed to be remedial and shall receive such fair and liberal construction and interpretation as will best ensure attainment of the object of the ordinance according to its true intent, meaning and spirit. In other words, the purpose of the statute was to cure a mischief resulting from a defect in the common law. Therefore, the remedy of the statute was limited to curing that defect. Accordingly, the judges are supposed to construe statutes by seeking the true intent of the makers of the legislation.

1.6.5 Other Rules

Apart from the three common law rules of interpretation, there are other rules that could assist the courts to achieve the purpose or object of the legislation.

1.6.5.1 *Ejusdem Generis* Rule

This rule means that, where a number of more specific words or terms are followed by a general word or phrase, that word or phrase must be limited to the same genus (or class) as the specific words.

Illustrative Example 7

If a law refers to automobiles, trucks, tractors, motorcycles and other motor-powered vehicles, 'motor-powered vehicles' would not include airplanes, since the class of 'vehicles' is limited to those means of transportation that are used on roads.



1.6.5.2 Contextual Rule

The contextual rule means that the meaning of a word should be construed in its context. When interpreting an ordinance, the court has to read an ordinance as a whole. That means that every section should be read with reference to other sections in the same ordinance, which includes the long and short titles, interpretation section and the schedules.

1.6.5.3 Interpretation and General Clauses Ordinance

The Interpretation and General Clauses Ordinance (Cap.1) ('IGCO') contains over one hundred definitions of terms and, unless a contrary intention appears in a particular legislation, the Legislative Council is to be presumed to have intended those meanings in that legislation. Another rule that helps judges to give meanings to words or phrases is found in s.7 of the IGCO. The section states that words and expressions indicating the masculine gender include the female and words and expressions in the singular include the plural and *vice versa*.

Apply and Analyse 4

Apply

For the purpose of this question, s.14 of the hypothetical Road Traffic Ordinance states that the court may invalidate the driving licence of a person who is convicted for any offence in connection with the driving of a motor car.

Seth was the holder of a driver's licence under the hypothetical Road Traffic Ordinance. One day when he wanted to use his car key to start the engine of his car in his carpark, he became annoyed by the way another driver was parking just next to his car. Seth went over to punch that driver in his face and drove his car away. Seth was later convicted of assault and his licence was invalidated under s.14 of the hypothetical Road Traffic Ordinance.

Analyse whether Seth has grounds for appeal against his conviction.

Analysis

On the facts, Seth was not actually driving his car before hitting the victim driver. He was about to start his car engine in his driver's seat and the car had not yet moved out from his parking space. If Seth is convicted under s.14 of the hypothetical Road Traffic Ordinance, his offence must be connected to the driving of a motor car.

The issue is whether staying inside a car and taking steps to start the car engine would be seen as an act of driving a motor car. According to the dictionary, the usual meaning of 'driving' is 'the control and operation of a motor vehicle'. An application of the literal rule points out that Seth's acts to start the car are not likely to fall under the literal meaning of 'control and operation'.

However, the general principle for the interpretation of ordinances comes under s.19 of the Interpretation and General Clauses Ordinance (Cap.1). The section states that all ordinances are interpreted in a way so as to find out the true intent of the legislature and the use of mischief rule is recommended. It is just and fair to see that the purpose of the hypothetical Road Traffic Ordinance was to prevent people from committing any offence immediately before and after driving a car to protect others' life and property. In that case,

Apply and Analyse 4 (continued)

the court may have used the mischief rule to cover any offence committed before the driver had started his car and fled away.

Therefore, Seth was advised that he would be correctly charged under the hypothetical Road Traffic Ordinance.

► Knowledge Check Questions

Question 9

Explain the difference between the literal rule and the golden rule.

Question 10

Describe the factors that we need to consider when applying the mischief rule.

1.7 SOLICITOR AND BARRISTER

1.7.1 Legal Profession

There were some discussions in the past about the possibility of fusion between the two professions, but the outcomes were not promising. For this reason, a legal practitioner in Hong Kong must work as a solicitor or a barrister, but not both.

An obvious difference found in the two professions is their working venues. Most solicitors act out of the court, seeing their clients and drafting documents in their offices. Barristers spend most of their time working as advocates in courts or dealing with court-related matters in their own chambers. Another difference is that barristers cannot have direct contact with the lay clients without the presence of their instructing solicitors. In other words, solicitors can instruct barristers to meet the lay clients but not the other way round. A barrister is also unable to instruct other barristers.

The Law Society of Hong Kong is the institution responsible for maintaining professional standards of solicitors, while the Hong Kong Bar Association regulates the professional conduct of the barristers. For solicitors with professional misconduct against the principles of the Solicitors' Guide and other rules, principles and guidelines governing professional conduct, they have to present themselves before the Solicitors Disciplinary Tribunal to answer for disciplinary actions brought by the Law Society of Hong Kong. Barristers in breach of the Code of Conduct issued by the Hong Kong Bar Association have to face punishment imposed by the Barristers Disciplinary Tribunal, which is an independent body with members appointed by the Chief Justice. The punishment may include a fine, suspension or striking off of one's name from the Bar List.



1.7.2 Work of Solicitors

Solicitors join a solicitors' firm on salary, in partnership or practice as a sole proprietor. They deal directly with clients and instruct barristers if further advice is required. Solicitors deal with more legal documents, such as various types of contracts, including conveyancing agreements and wills, than barristers do.

Solicitors have rights of audience in the Magistrates' Courts and the District Court. A right of audience refers to the right of a lawyer to appear and conduct proceedings in court on behalf of his/her client. Although solicitors have no rights of audience in the CFA and only limited rights in the High Court, a few of them do work as advocates if they have a higher right of audience granted by the Higher Rights Assessment Board ('HRAB'). HRAB is a statutory board established under the Legal Practitioners Ordinance (Cap.159), which is empowered to make rules regarding higher rights of audience and to review such applications.

1.7.3 Work of Barristers

Graduates of the law school may want to pursue a career as a barrister. Barristers are advocates in court and have rights of audience in superior courts. They possess great skills in advocacy in arguing their cases before the judges. They are self-employed and work with other barristers in offices named chambers. Their typical work duties include researching and preparing case materials, and understanding and interpreting the law to provide legal advice to solicitors and their clients. Their work requires a significant amount of hours in legal research, which is presented to their clients or solicitors in writing.

There are about 1,500 barristers practising in Hong Kong, out of which 100 have been appointed Senior Counsels by the Chief Justice as a recognition of their ability and standing in the legal profession. A barrister in practice for at least 10 years may apply for the title of Senior Counsel. The expertise of a Senior Counsel is usually sought in complex criminal and civil cases.

Barristers cannot take instructions from the clients directly, but some professionals like the members of the Hong Kong Institute of Certified Public Accountants are permitted to instruct the barristers directly. Their first point of contact must be the solicitors for the instructions to act. It is reasonable to see why the professional fees for barristers are paid by the solicitors but not directly by their clients.

To handle a criminal case, a barrister would represent their clients by putting forward a case in their defence in court. He/She has to study evidence supplied by the solicitors and draw conclusions. Before the court, a barrister has to present the case, cross-examine witnesses and do mitigation on behalf of clients.

► Knowledge Check Questions

Question 11

Explain the difference between a solicitor and a barrister.

1.8 EXTERNAL REGULATORY BODIES

1.8.1 Roles, Structures, Duties and Powers of Hong Kong Monetary Authority

1.8.1.1 Roles

The Hong Kong Monetary Authority ('HKMA'), established on 1 April 1993, is a government authority that has merged the Office of the Exchange Fund with the Office of the Commissioner of Banking. It is seen as Hong Kong's central banking institution and reports directly to the Financial Secretary. HKMA's primary objective is to ensure the stability of the Hong Kong currency and the banking system. It is also responsible for promoting the efficiency, integrity and development of the financial system.

1.8.1.2 Structures

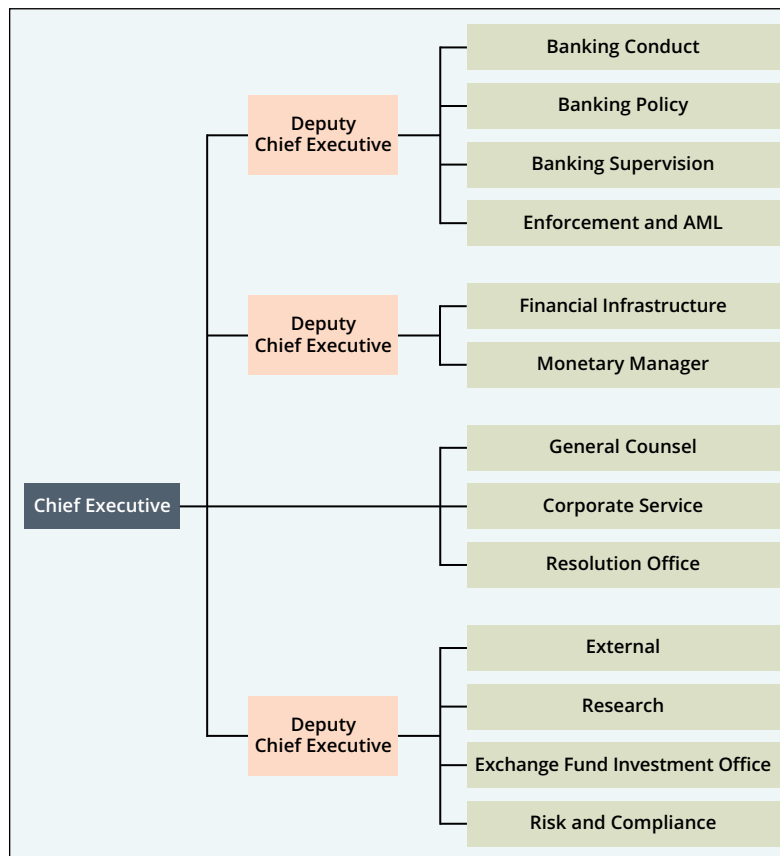
HKMA has many different committees and sub-committees to maintain the stability and integrity of Hong Kong's financial system and the status of Hong Kong as an international financial centre (Exhibit 1.3). Some of these committees are:

1. The Chief Executive's Committee comprises the Chief Executive of the HKMA, the Deputy Chief Executives and the Executive Directors. This Committee meets weekly to report to the Chief Executive of the HKMA on the progress of major tasks being managed by the departments of HKMA and to advise him/her on policy matters relating to the operations of the HKMA.
2. The Banking Advisory Committee advises the Chief Executive of the HKSAR Government on matters relating to banks and the carrying out of banking business.
3. The Exchange Fund Advisory Committee advises the Financial Secretary on investment policies and strategies for the Fund and on projects (e.g. development of financial infrastructure).
4. The Currency Board Sub-Committee monitors and reports on the Currency Board arrangements regarding Hong Kong's Linked Exchange Rate system.
5. The Investment Sub-Committee makes recommendations on the investment policy and strategy of the Exchange Fund and on risk management issues.
6. The Financial Infrastructure Sub-Committee makes recommendations on measures to strengthen international competitiveness of Hong Kong's financial services.

1.8.1.3 Statutory Duties and Powers

The HKMA is responsible for the promotion of the Hong Kong's safety banking system. It plays this important role by:

1. Maintaining the stability of the Hong Kong dollar and managing Hong Kong's official reserves, the Exchange Fund, in a way that is sound and effective.
2. Keeping Hong Kong's banking system safe and constructing the financial infrastructure of Hong Kong for the smooth and free flow of money in the territory.



► **EXHIBIT 1.3 HKMA organisational structure** (Source: www.hkma.gov.hk.)

The Banking Ordinance (Cap.155) ('BO') has conferred the powers to the HKMA to regulate and supervise banking business and the deposit-taking business. Under the BO, the MA is the authority responsible for all authorisation matters, including the authorisation, suspension and revocation of all three types of authorised institutions. The MA has the powers to approve and supervise money brokers.

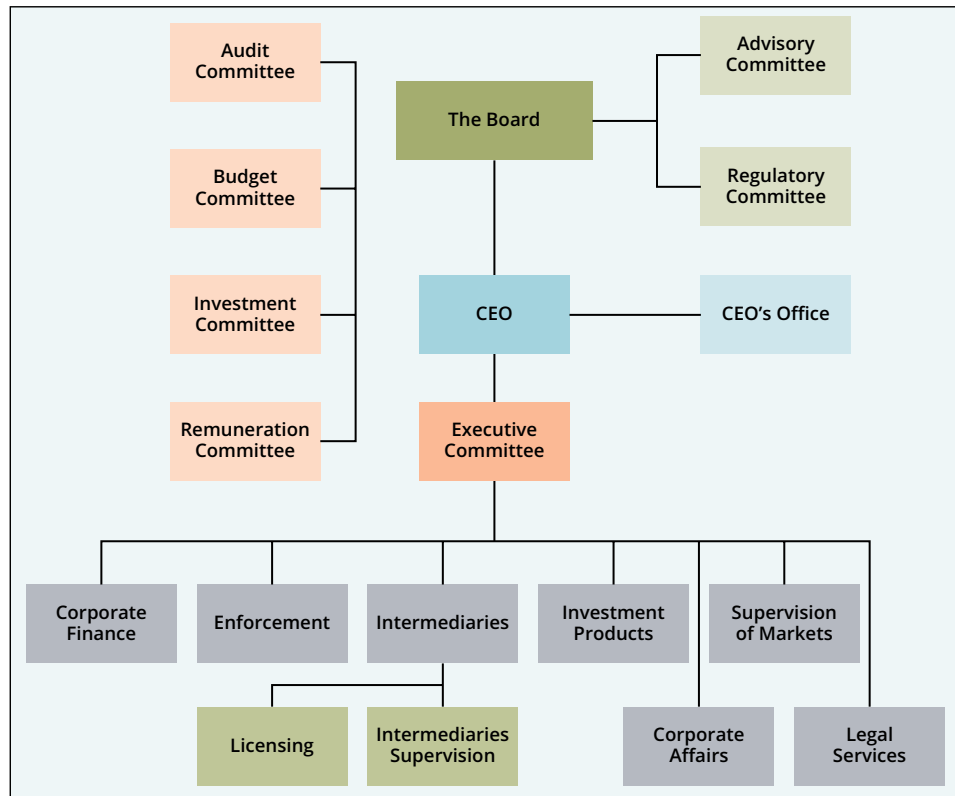
1.8.2 Roles, Structures, Duties and Powers of Securities and Futures Commission

1.8.2.1 Roles

The Securities and Futures Commission ('SFC') is the independent statutory body with the duty to regulate the securities and futures markets in Hong Kong. Its major role is to enforce the laws governing the securities and futures markets and to take action to suppress illegal and certain improper or unethical conduct by brokers, investment advisers and fund managers.

1.8.2.2 Structures

The structure of the SFC consists of the Board of Directors, the Executive Committee, four Board committees and two external committees (Advisory and Regulatory) that monitor the SFC's performance. An organisational chart is shown in Exhibit 1.4.



► **EXHIBIT 1.4 SFC organisational structure** (Source: www.sfc.hk.)

1.8.2.3 Statutory Duties and Powers

The SFC has the following four operational divisions to perform their various statutory duties:

1. The Corporate Finance Division oversees regulations governing takeovers and mergers of public companies and of regulation of listing matters.
2. The Enforcement Division sets and enforces market regulations and investigates breaches of rules and market misconduct.
3. The Intermediaries and Investment Products Division licenses and supervises intermediaries, authorises investment products and offers documents prior to their distribution to retail investors.
4. The Supervision of Markets Division supervises market operators, including exchanges, clearing houses, share registrars and alternative trading platforms.

The SFC has extensive statutory powers so that it can perform its enforcement responsibilities, which include:

1. To supervise the performance of the Hong Kong Stock Exchange over its listing-related functions and responsibilities.
2. To require a listed company or its group of companies to produce documents where the company business has been carried on with intent to defraud its creditors, or for a fraudulent or unlawful purpose.

3. To direct SFC staff to investigate matters where the offences under financial laws that it administers may have been committed or where insider dealing may have taken place.
4. To institute disciplinary proceedings against registered or licensed persons for misconduct, which may lead to a reprimand or a suspension or revocation of their registration or licence.

1.8.3 Roles, Structures, Duties and Powers of Hong Kong Exchanges and Clearing Limited

1.8.3.1 Roles

Hong Kong Stock Exchange ('HKSE'), Hong Kong Futures Exchange ('HKFE') and Hong Kong Securities Clearing Company Limited ('HKSCC') became a group of wholly owned subsidiaries under Hong Kong Exchanges and Clearing Limited ('HKEX') on 6 March 2000. The Group also leads and runs four clearing houses, namely, HKSCC, HKFE Clearing Corporation Limited, the HKSE Options Clearing House Limited and OTC Clearing Hong Kong Limited.

HKSE, the third largest stock exchange in the world in terms of market capitalisation, is set up to serve as the primary regulator of market participants with respect to trading matters of listed companies on the Main Board and Growth Enterprise Market.

HKFE provides an efficient market for trading futures and options contracts. It introduced Hang Seng Index futures contracts in May 1986.

1.8.3.2 Structures

HKEX owns and operates the only stock exchange and futures exchange in Hong Kong and their related clearing houses.

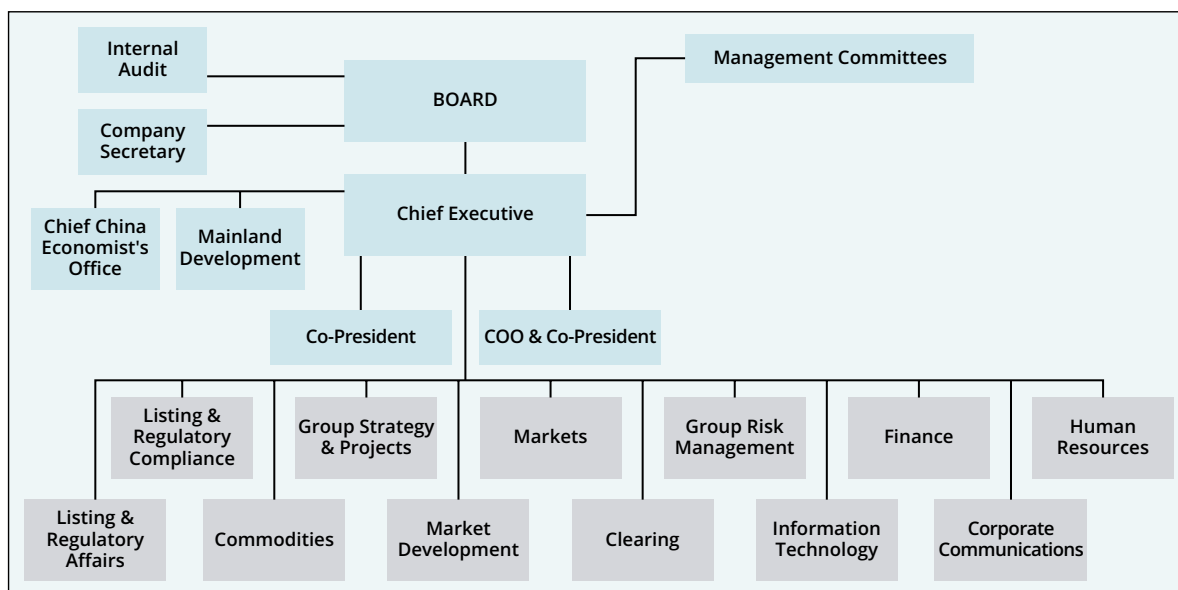
Exhibit 1.5 shows the overall organisational structure of HKEX. HKEX has different major boards and committees to perform its duties (https://www.hkexgroup.com/About-HKEX/Organisation/Board-and-Committees/Committees?sc_lang=en). For example,

1. The Executive Committee monitors and reviews policies in relation to the launch of new products or services by HKEX and its subsidiaries, and the implementation of such policies.
2. The Investment Advisory Committee reviews investment performance and advises the Finance and Treasury functions of the HKEX on their investment of financial assets.
3. The Risk Management Committee reviews and assesses policies employed by HKEX Executives, and proposed changes to control various types of risks.

1.8.3.3 Duties and Powers

The statutory duties and powers of HKEX are:

1. To ensure that the Hong Kong markets are fair, orderly and informed.
2. To offer an efficient trading platform to broking firms to trade securities.
3. To supply real-time prices and financial news to the global financial community.
4. To administer the Listing Rules on a fair and impartial basis to enable local and foreign companies to raise the required capital at regulated markets.
5. To monitor and enforce listed issuers' compliance with the Listing Rules.



► **EXHIBIT 1.5** HKEX organisational structure (Source: www.hkexgroup.com.)

1.8.4 Roles, Structures, Duties and Powers of Accounting and Financial Reporting Council

1.8.4.1 Roles

The Financial Reporting Council ('FRC') was established on 1 December 2006 to be an independent statutory body under the Financial Reporting Council Ordinance (Cap.588). The major role of the FRC was to maintain the quality on the corporate reporting done by the listed companies in Hong Kong. The FRC had the statutory powers to investigate auditing irregularities and accounting non-compliances of listed companies and collective investment schemes. As the powers of the HKICPA to investigate members and firms concerning audits of listed companies were transferred to the FRC, the FRC took up a greater role in auditor oversight in Hong Kong. In 2019, the FRC was further empowered by the Financial Reporting Council (Amendment) Ordinance 2019 to regulate the auditors of public interest entities ("PIEs").

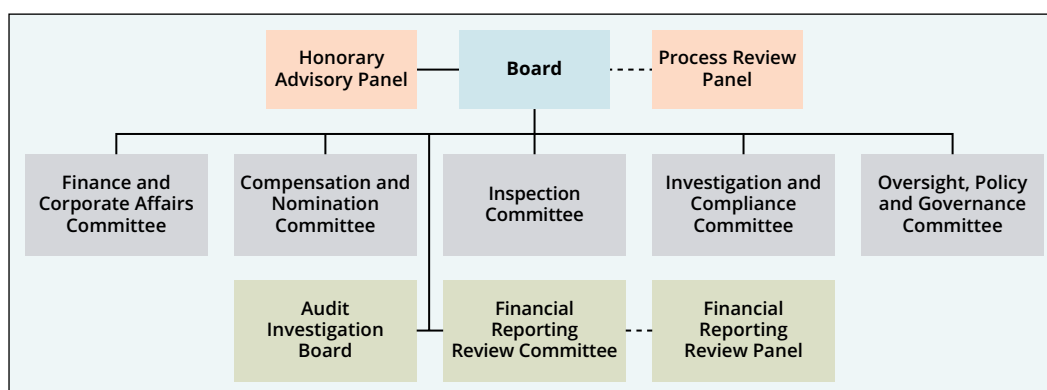
The most recent development for the FRC was the enactment of the Financial Reporting Council (Amendment) Ordinance 2021 (the 'FRCAO 2021'). The FRCAO 2021, passed by the Legislative Council on 22 October 2021, has laid down a new regulatory regime of the accounting profession. Under the FRCAO 2021, the FRC will become a full-fledged independent regulator of the accounting profession and will be renamed as the Accounting and Financial Reporting Council ('AFRC'). Many regulatory powers in relation to the accounting profession will be transferred from the Hong Kong Institute of Certified Public Accountants to the AFRC, including the registration of PIE auditors and practice units, issuing of practising certificates, inspection of practice units and investigation and discipline against practice units and certified public accountants ('CPAs'). The AFRC will also oversee the HKICPA's performance of its various statutory professional functions.

The effective date of the AFRCO will be 1 October 2022, but the provisions relating to the establishment of the new Advisory Committee and the Government's power to make transitional provisions commenced earlier on 4 July 2022.

1.8.4.2 Structures

The AFRC has the following major boards and committees to perform its duties (Exhibit 1.6):

1. Finance and Corporate Affairs Committee that advises the Board on finance, budgeting, audit of the AFRC's financial statements, corporate communications, administration and other corporate matters of the AFRC.
2. Compensation and Nomination Committee that advises the Board on all human resources related matters and nominations to be made by the AFRC.
3. Inspection Committee that advises the Board on matters concerning the inspection function of the AFRC in relation to the PIE engagements completed by a PIE auditor.
4. Investigation and Compliance Committee that advises the Board on matters concerning the investigation function of the AFRC.
5. Oversight, Policy and Governance Committee that is responsible for overseeing the performance of the HKICPA in relation to their functions and matters concerning policy research and guidance on governance issues.



► **EXHIBIT 1.6 AFRC governance structure (Extract)** (Source: <https://www.afrc.org.hk/en-hk/corporate-governance/governance-structure/>)

Some new committees (e.g. Inspection Committee, Compensation and Nomination Committee, and Investigation and Compliance Committee) have been constituted due to the implementation of new regulatory regime of the accounting profession.

1.8.4.3 Duties

The duties of the AFRC will include the following:

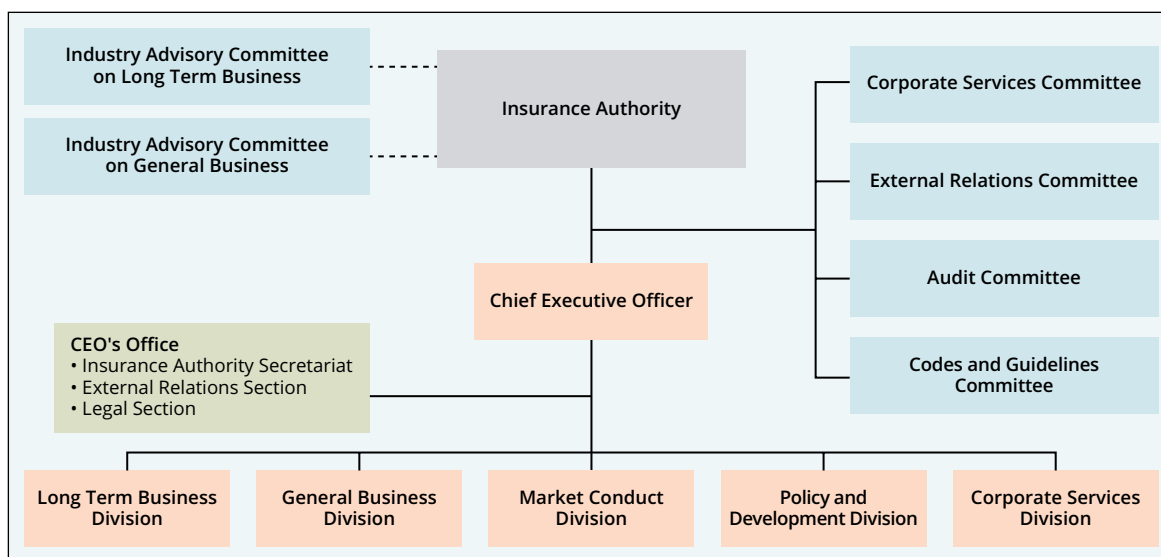
1. To regulate:
 - (a) CPAs through issuing practising certificates, and through investigation and disciplinary sanction;
 - (b) CPA firms and corporate practices through registration, and practice units through inspection, investigation and disciplinary sanction; and
 - (c) Auditors of listed entities through a registration and recognition mechanism, and through inspection, investigation and disciplinary sanction.

2. To oversee the HKICPA's performance of the following functions:
 - (a) Ascertaining whether persons are qualified for registration as CPAs by conducting examinations and acting in such other manner as may be necessary, and dealing with applications and other matters relating to the registration of CPAs;
 - (b) Arranging with accountancy bodies in places outside Hong Kong for the mutual or reciprocal recognition of accountants;
 - (c) Setting continuing professional development requirements for CPAs;
 - (d) Issuing or specifying standards on professional ethics, and accounting, auditing and assurance practices, for CPAs; and
 - (e) Providing training for qualifying for registration as, and the continuing professional development of, CPAs.

1.8.5 Roles, Structures, Duties and Powers of Insurance Authority

1.8.5.1 Roles

The Insurance Authority ('IA') is an independent statutory regulator responsible for the regulation of the insurance industry (Exhibit 1.7). It regulates and supervises the industry to promote market stability and to protect policyholders. It focuses on risk management and internal control systems to ensure that intermediaries' business is conducted properly in accordance with policies formulated by the IA. The IA will also verify compliance with standing requirements on maintenance of assets in Hong Kong, corporate governance, and prevention of money laundering.



► **EXHIBIT 1.7 IA organisational structure** (Source: www.ia.org.hk.)

1.8.5.2 Structures

The IA is organised along five main divisions as follows:

1. The Long-Term Business Division oversees authorised insurers underwriting long-term business in all aspects from product development to post-sale controls.



2. The General Business Division oversees authorised insurers underwriting general business in all aspects.
3. The Market Conduct Division supervises the market conduct of insurers for long-term and general business and insurance intermediaries.
4. The Policy and Development Division sets out policies to promote consumer protection measures.
5. The Corporate Services Division advises on the development of policies and procedures relating to human resources, financial and administrative matters.

1.8.5.3 Duties and Powers

The statutory duties and powers of IA are:

1. To regulate and supervise the insurance industry for promoting market stability and protecting existing and potential policyholders.
2. To monitor and scrutinise the financial position of insurers by examining financial statements and returns as well as analysing critical areas to ensure that insurers comply with solvency standards and the financial strength of insurers.
3. To undertake on-site inspections on aspects like underwriting, claims handling, asset management, reinsurance arrangements and supervision of intermediaries.
4. To monitor all merger and acquisition activities within the insurance industry to safeguard the interests of policyholders.
5. To propose reforms of the law regarding insurance business.
6. To familiarise existing and potential policy holders with insurance products.
7. To assist the Financial Secretary in maintaining financial stability of Hong Kong by taking appropriate measures.
8. To assist financial services supervisory authorities of Hong Kong or of any place outside Hong Kong.

► Knowledge Check Questions

Question 12

Describe the major difference in the regulatory function between the Hong Kong Monetary Authority and the Securities and Futures Commission.

Question 13

Explain briefly the duties of the Accounting and Financial Reporting Council.



1.9 WORK OF ACCOUNTANTS IN RELATION TO EXTERNAL REGULATORY BODIES

1.9.1 In Relation to Hong Kong Monetary Authority

The auditor is appointed by the banks, restricted licence banks and deposit-taking companies (named as 'Authorised Institutions' or 'AIs') with the approval of the HKMA for the purpose of preparing specific reports under the BO. The BO recognises the auditor as a person appointed by the AIs to report on whether the AIs' financial statements give a true and fair view or those appointed by the AIs to submit a report to the HKMA under the BO. The duties of reporting responsibilities may also include notification of audit qualifications or adverse statements, reporting of significant adverse matters and non-compliance by the bank's auditors.

Apart from the reporting responsibilities under the BO, the auditor is required to report to the relevant authorities in accordance with the Anti-Money Laundering and Terrorist Financing Ordinance (Cap.615), the Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405), the Organized and Serious Crimes Ordinance (Cap.455) and the United Nations (Anti-Terrorism Measures) Ordinance (Cap.575) for combating money laundering and terrorism financing.

1.9.2 In Relation to Securities and Futures Commission

As we have seen, the SFC is the independent non-governmental statutory body responsible for regulating the securities and futures markets in Hong Kong. Members of HKICPA who conduct business related to securities and futures or corporate finance in 10 types of regulated activities under the Securities and Futures Ordinance (Cap.571) ('SFO') are generally required to be licensed with the SFC. However, the members of HKICPA need not get the licences for Type 4 (Advising on Securities), Type 5 (Advising on Futures Contracts), Type 6 (Advising on Corporate Finance) or Type 9 (Asset Management) regulated activity if the services provided are wholly incidental to the practice as a certified public accountant.

Members of HKICPA may also work in Open-Ended Fund Companies ('OFCs'), which are regulated by the SFC in respect of matters relating to the registration, management and operation of such businesses. An open-ended fund, including mutual funds and exchange-traded funds, is a diversified portfolio of funds in which investors own their investments in the form of shares. These shares are valued on a daily basis based on their current net asset value.

The auditors of the OFCs must be independent of the investment manager, the custodian and the directors of the OFCs. They prepare accounts compliant with Hong Kong Financial Reporting Standards or International Financial Reporting Standards. Other accounting standards may be subject to the approval of the SFC.

1.9.3 In Relation to Hong Kong Stock Exchange

When dealing with listing work on the HKEX, as the reporting accountant in the Initial Public Offering ('IPO'), the certified public accountant provides assurance on the historical financial statements and offers due diligence for the underwriters by means of comfort letter procedures on the historical financial information included in the prospectus. After the IPO, the accountants need to further advise the listed company by embedding the accounting policies, revising accounting standards into business reporting systems and enhancing internal audit



and other governance systems. The accountants taking up the role of reporting accountant in the IPO are subject to evaluation and examination by the HKEX and the AFRC.

An accountant may have a huge opportunity to take a leading role in senior management when he/she becomes the Chief Financial Officer ('CFO') of a listed company. On top of overseeing the finance function of the company, the CFO is responsible for implementing financial controls to a company. He/She should also help improve corporate governance and develop stringent controls against fraudulent activities. When it comes to the IPO, the role of the CFO in the pre-IPO stage has to put in systems and procedures according to the compliance procedures and the stringent requirements laid down in the listing rules by HKEX. After the IPO, the major roles of the CFO are focusing on regulatory compliance and risk management, as well as maintaining investment relations.

1.9.4 In Relation to Accounting and Financial Reporting Council

Auditors in listed companies have to exercise their due care and skill and maintain their professional integrity in their daily work since a third party may file complaints with the AFRC against them in the following matters:

1. Auditing/reporting irregularities by an auditor/reporting accountant of a listed entity; or
2. Non-compliance with accounting requirements by listed entity.

An auditing or reporting irregularity may include some of the following practices:

1. Falsification of a document;
2. Material statement made in a document that the accountant knows was untrue;
3. Professional negligence;
4. Professional misconduct;
5. Omission that has brought discredit to the accountant or to the accountancy profession;
6. Non-compliance with a professional standard (e.g. professional ethics, accounting standard or auditing and assurance practices); or
7. Non-compliance with the provisions of bylaws or rules made by the HKICPA.

1.9.5 In Relation to Insurance Authority

Under the Insurance Ordinance (Cap.41), the authorised insurer must appoint an auditor who is qualified as a member of HKICPA or qualified as an auditor in a country of incorporation with qualifications acceptable by the IA.

Members of HKICPA may lead and manage internal audits in the insurance sector from planning, risk assessment, fieldwork to reporting. They evaluate the effectiveness of internal controls, identify areas for improvement and provide sound recommendations. They also provide business stakeholders with recommendations on how to improve efficiency or optimise business processes.

► Knowledge Check Questions

Question 14

Describe the major difference in the work of a certified public accountant relating to the Hong Kong Monetary Authority and to the Hong Kong Stock Exchange, respectively.



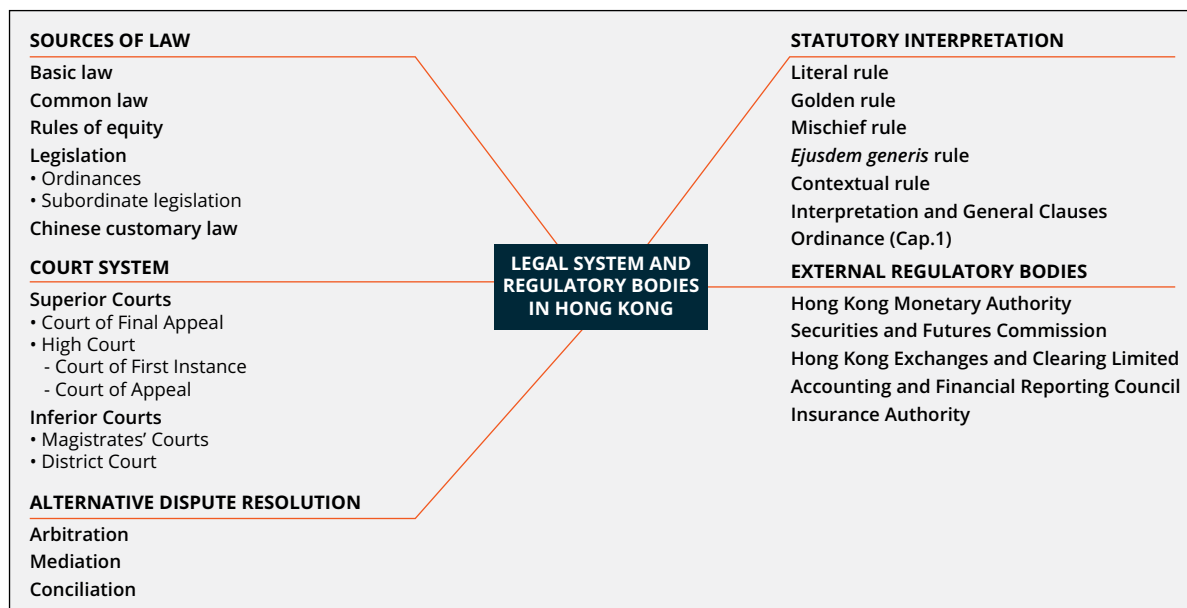
SUMMARY

- The Basic Law has two important parts: one is about the organisations and functions of different branches of the government and the other is about the rights and obligations of the citizens. The Basic Law is above local laws enacted by Hong Kong.
- Article 8 of the Basic Law provides that the laws previously in force in Hong Kong, that is, the common law, rules of equity, ordinances, subordinate legislation and customary law shall be maintained, except for any that contravene this Law, and subject to any amendment by the legislature of the Hong Kong Special Administrative Region ('HKSAR').
- Common law is a body of legal rules that have been made by judges in their judgments on the cases they tried. Equity is a system of justice and defines a set of legal principles to achieve fairness and natural justice.
- Legislation is created to respond to changes taking place in a society and necessary laws will have to be passed to meet that need. They are arranged in the order of chapters.
- Subordinate legislation comes in the form of proclamation, rule, regulation, order, resolution, notice, rule of court, bylaw or other instrument made under any ordinance. They are created by the bodies to which the Legislative Council has conferred the legislative power through parent ordinances.
- The Chinese customary law in Hong Kong derives from the Qing Law (or the Imperial Code of the Qing dynasty) and still has influence in areas like marriage, divorce, adoption and succession.
- By Article 80 of the Basic Law, the Hong Kong courts at all levels shall be the judiciary of the HKSAR, exercising the judicial power of the HKSAR. The court system includes the Magistrates' Courts, District Court, High Court and the Court of Final Appeal. Specialist tribunals such as Land Tribunal, Labour Tribunal, Small Claims Tribunal and Competition Tribunal were set up to help relieve the burden of the court system.
- Alternate dispute resolution offers an alternative route to the court processes. Cost-effective and time-effective, the dispute resolution methods, such as arbitration, mediation and conciliation, have proved to be increasingly popular.
- Under the concept of the doctrine of precedent (*stare decisis*), a judge at a lower court must follow decisions made by a higher court. This concept may also be named as vertical *stare decisis*. Opposite to this is the horizontal *stare decisis*, where courts of equal status usually do not bind each other. The doctrine of precedent may not be followed when a previous decision has been reversed, overruled or distinguished from the present case. The judge may also divert from the doctrine if a previous decision was made *per incuriam*, or delivered by the judges with divergent reasoning.
- *Ratio decidendi* is the legal principle on which the judgments are based to give their decisions in a case. Any statements by judges not strictly necessary to reach a decision in the case are *obiter dicta*, meaning let the decision stand. These *dicta* may have high reference values when they are delivered by influential judges in higher courts.



- A government bill or member's bill may be introduced to the Legislative Council. A bill has to go through three readings before it becomes legislation. Voting for the bill is necessary after the three readings and it is then passed to the Chief Executive of the HKSAR Government for signature. The bill becomes legislation on the date of publication in the Government Gazette, or some other day that has been specified in the Government Gazette.
- Subsidiary legislation is subject to scrutiny and approval by the Legislative Council in positive vetting or negative vetting. For positive vetting, the Legislative Council may approve, amend or reject a subsidiary legislation. For negative vetting, the Legislative Council may amend the subsidiary legislation or extend the scrutiny period.
- There are three major rules of statutory interpretation, including the literal rule, golden rule and mischief rule.
- The literal rule requires the courts to simply interpret the words or phrases for their ordinary and natural meaning.
- The courts would apply the golden rule when the use of the literal rule would produce an absurd result. The judge adopts the interpretation of the words that produces the least absurd result.
- The mischief rule requires the court to consider what the legislature intended, which is usually related to the mischief that the legislation attempts to stamp out. S.19 of the Interpretation and General Clauses Ordinance (Cap.1) ('IGCO') requires the courts to apply the mischief rule.
- There are other rules that assist the judges in finding out the meanings in the words or phrases in the legislation. The *ejusdem generis* rule states that, where a number of more specific words or terms are followed by a general word or phrase, that word or phrase must be limited to the same class as that of the specific words. The contextual rule requires the judges to read every section in the entire piece of legislation in order to find the meaning of words or phrases. The IGCO contains over one hundred definitions of terms that the Legislative Council is presumed to have intended to mean.
- In Hong Kong, there are two branches of legal profession: solicitors, who draft legal documents for clients, and barristers, who present their cases in courts on behalf of their clients. Barristers are instructed by the solicitors to meet their clients. Both solicitors and barristers are bound by their own rules of conduct.
- The external regulatory bodies, such as the Hong Kong Monetary Authority, the Securities and Futures Commission, the Hong Kong Stock Exchange, the Accounting and Financial Reporting Council and the Insurance Authority, are present to regulate and supervise the financial industry for promoting market stability and protecting the interests of existing investors. Accountants should understand how their work may be related to these external regulatory bodies.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

The laws that are currently enforced in Hong Kong include the common law and rules of equity, the legislation, the subordinate legislation and the Chinese customary law covered by Article 8 of the Basic Law maintained after 1997, except for those that contravene the Basic Law and are subject to any amendment by the HKSAR legislature.

Question 2

The subordinate legislation are the laws (rules, regulations, orders or bylaws) made by a government department or non-government bodies. The Legislative Council has delegated power to these bodies to make laws through legislation named parent ordinances.

Question 3

The advantages of using an alternative dispute resolution ('ADR') rather than the judicial route to resolve commercial disputes include:

1. The cost of the ADR process involved in the dispute is much less than the cost involved in the litigation.
2. The process is less formal and less lengthy than the litigation.
3. The parties can withdraw their case any time they want.
4. The dispute is resolved quickly with the assistance of an impartial third party rather than a judge, who would not advise the parties according to their needs.



5. The resolution of the dispute is made faster by the ADR since the date of hearing is fixed by both parties.
6. Discussions of the proceedings in the ADR is confidential and no public record is to be maintained.

Question 4

The High Court is made up of the Court of First Instance ('CFI') and Court of Appeal ('CA'). The civil jurisdiction of the CFI is that it is able to hear a dispute of an amount more than HK\$3 million. The CFI also has jurisdiction in admiralty, bankruptcy, company winding-up, adoption, probate and mental health cases. The civil jurisdiction of the CA is unlimited.

Question 5

Overruling is the procedure where a higher court sets aside a decision established by a lower court in a previous case, with the effect that the legal principles of law being overruled are held never to have been law.

Question 6

Distinguishing the facts of a case with that of a previous case refers to the situation where judges refused to apply the precedent because they thought the material facts of the current case involved are different from those of the precedent.

Question 7

For a bill to pass on the third reading, the following procedures should be followed:

For a government bill to pass, at least a simple majority vote of members present for the bill is required. For a members' bill to pass, at least a simple majority vote of two groups of members is required: members by functional constituencies and members by geographical constituencies.

Question 8

If a parent ordinance provides that a subsidiary legislation shall be subject to the Legislative Council's approval, the Legislative Council may approve, reject or amend the subsidiary legislation. The amended subsidiary legislation is deemed to have legislative effect on the date of its publication in the Government Gazette.

Question 9

The literal rule states that the words used in an ordinance must be given their literal or usual meaning. The golden rule states that the literal rule should be followed, unless to do so would lead to absurdity.

Question 10

Here are the factors to consider when applying the mischief rule:

1. The common law position prior to the enactment of the legislation;
2. The defect that the legislation tries to deal with;
3. The remedy provided for by the legislature; and
4. The true reason for the remedy.

Question 11

The difference between a solicitor and a barrister includes the following:

1. A solicitor joins a solicitors' firm on a salary, whereas a barrister is self-employed and works in chambers.
2. A solicitor deals directly with clients but a barrister provides further advice if required.
3. A solicitor deals with more legal documents than a barrister.
4. A solicitor has limited rights of audience and may argue his/her case up to the District Court. A barrister has no such limitations in the hierarchy of courts.

Question 12

The Hong Kong Monetary Authority ('HKMA') and Securities and Futures Commission ('SFC') are two financial regulators in Hong Kong that share regulatory duties in the financial industry. The HKMA governs the banking sector and regulates financial institutions such as banks, deposit-taking companies and money lenders. The SFC has a significant presence in the securities and futures sector and enforces market regulations to suppress market misconduct by brokers, investment advisers and fund managers.

Question 13

The duties of the Accounting and Financial Reporting Council will include the following:

1. To regulate:
 - (a) CPAs through issuing practising certificates, investigation and disciplinary sanction;
 - (b) CPA firms through registration, and practice units through inspection, investigation and disciplinary sanction; and
 - (c) Auditors of listed entities through registration, inspection, investigation and disciplinary sanction.
2. To oversee the HKICPA's performance of:
 - (a) Ascertaining qualified persons for registration as CPAs by conducting examinations, and dealing with applications relating to the registration of CPAs;
 - (b) Arranging mutual or reciprocal recognition of accountants with accountancy bodies overseas;
 - (c) Setting continuing professional development requirements for CPAs;
 - (d) Specifying standards for CPAs on professional ethics, and accounting, auditing and assurance practices; and
 - (e) Providing training for qualifying for registration as, and the continuing professional development of, CPAs.

Question 14

The accountant is appointed to report on whether the financial statements of the authorised institutions (such as banks and deposit-taking companies) give a true and fair view or submit a report to the HKMA under the Banking Ordinance (Cap.155). With regards to the initial public offering ('IPO') on the Hong Kong Stock Exchange, the accountants provide assurance on the historical financial statements and offer due diligence for the underwriters. The accountant also needs to further advise the listed companies after the IPO in matters such as accounting policies, accounting standards and the governance systems.

EXAM PRACTICE

QUESTION 1

The doctrine of precedent (also known as 'the doctrine of *stare decisis*') must be strictly followed by the Hong Kong courts. Explain whether this statement is correct or not.

QUESTION 2

In a hypothetical case, *HKSAR v Omar*, the defendant read information displayed on a police computer screen and intended to use the information in a way not permitted by a hypothetical Data Protection Ordinance ('DPO'). In fact, the information was not further deployed as the defendant had intended. The defendant was charged with using personal data for an improper purpose contrary to s.5(2)(b) of the hypothetical DPO.

The legal issue is whether a person 'uses' data within s.5(2) of the hypothetical DPO merely by retrieving information from a computer screen or whether the information so retrieved has to be further applied for an improper purpose in order for an offence to be committed.

Judge Bimer in part of his judgment said the following:

'It seems to me that the above reading of the statute accords not only with the natural and ordinary meaning of the word 'use' in its statutory context, but also with the statutory purpose of protecting personal data from improper use (or disclosure). It is a startling fact that, if the construction urged upon your Lordships by the prosecution were correct, a police officer who idly operated the police computer, retrieving personal data onto the screen without putting it to any use, would not merely be subject to disciplinary action (where appropriate) but would be guilty of a criminal offence; whereas another police officer who learned from a colleague of certain information constituting personal data stored in the database of the police computer and then, knowing of its source, used the information for business purposes, would not. This surely cannot be the statutory intention; indeed if it were so, it could give rise to justifiable concern on the part of individuals who are the subject of personal data. Strange results such as these would, in my opinion, be avoided if the relevant words in the statute were given their natural and ordinary meaning'.

Analyse the common law rules of statutory interpretation that Judge Bimer referred to and applied in his judgment cited above.

QUESTION 3

Explain the meaning of subordinate legislation and how it is controlled by the Legislative Council.

QUESTION 4

Andrew hired a decoration contractor, Elegant Decoration Limited ('EDL') to refurbish his home. EDL was experienced and had done work for Andrew before without any issue. There was only a written note between parties about the scope of work and a quotation for the work done. The total fees, which were estimated to be HK\$300,000 for the work, were quoted for Andrew's reference.

Andrew came to dispute the contractor's invoice when the final invoice payable was HK\$450,000. Communication between the parties had broken down and now the contractor wanted to bring the case before the court.

Analyse the information about the court that the contractor's case will be heard and what the other option is available for his case.

ANSWERS TO EXAM PRACTICE

QUESTION 1

The case law system is based on the operation of the doctrine of precedent ('doctrine of *stare decisis*'), which requires that like cases should be treated alike and dissimilar cases should be treated differently. The idea underlying the doctrine is that a judge should follow previous decisions of higher courts. In other words, under the doctrine, decisions of the higher courts are binding on the lower courts.

The object of the doctrine is to ensure consistency in the application of the law. However, it is only the legal principles, i.e. the *ratio decidendi*, of the previous decisions that are binding. Further, not all the previous decisions are binding on future courts. Only the courts with higher ranking establish binding precedent. In Hong Kong, the highest ranking court is the Court of Final Appeal and its decisions bind on all the courts below.

Nevertheless, the judges may choose not to apply precedents to their cases if any of the following conditions are satisfied:

1. Where there are material differences in the facts between the precedent and the case in question.
2. Where the decision has been overruled by a higher court.
3. Where the decision has been appealed and reversed by a higher court.
4. Where statements of law by the judges of previous cases were made on the basis of hypothetical facts, the statements are only the judges' opinions (i.e. they are *obiter dicta* and not the *ratio decidendi* of the cases). The opinion does not bind the lower courts, though such opinion may be a persuasive precedent from distinguished judges of high-ranking courts.
5. Where the reasoning for the decisions of the previous cases is unclear because the judges gave a unanimous decision with divergent reasoning.



6. Where the judges have failed to consider the relevant case law or legislation applicable to the case. Such decisions are said to be given *per incuriam*.

By reasons of what has been said above, it is argued that the doctrine of precedent would not be strictly followed by the judges for valid reasons.

QUESTION 2

In the judgment, Judge Bimer said that the reading of the statute 'accorded with the natural and ordinary meaning of the word 'use' in its statutory context'. He referred to the literal rule to assist him in the interpretation. Under this rule, the intention of the legislature has to be ascertained according to the ordinary and natural meaning of the words used in the ordinance. Provided that the meaning of the words is clear and unambiguous, the meaning must be adopted even though it may appear to be absurd. A judge may look up the definition of words in a dictionary.

On the other hand, in the judgment Judge Bimer said 'It seems to me that the above reading of the statute accords . . . also with the statutory purpose of protecting personal data from improper use', the statutory purpose found indicates that he has applied the mischief rule in the case. This rule is sometimes referred to as the rule in *Heydon's case*. The aim of this rule serves to resolve the ambiguities that render the literal rule incapable of being applied in the interpretation of an ordinance. Under this rule, consideration should be given to the following:

1. The common law position prior to the enactment of the ordinance in question;
2. The mischief or defect which the ordinance was trying to deal with;
3. The remedy provided for by the Legislative Council; and
4. The true reason for the remedy.

Having considered the foregoing factors, the court will then construe an ordinance in such a way as to suppress the mischief and enhance the remedy.

QUESTION 3

Subordinate legislation is a term that describes the laws being made under the authority of the Hong Kong by bodies other than the Legislative Council. These bodies are conferred powers to make laws by the 'enabling' or 'parent' ordinances. Subordinate legislation may also be made by the Executive Council or the Chief Justice. Subordinate legislation may take the form of regulations, by-laws, orders and rules. They can be passed more quickly and hence it is especially useful in times of emergency.

Subsidiary legislation is subject to scrutiny by the Legislative Council in two alternative procedures: the positive vetting procedure or the negative vetting procedure.

1. Negative vetting procedure

If the subsidiary legislation is intended to be subject to negative vetting, it shall be laid on the table for examination at the next sitting of the Legislative Council after its publication in the Government Gazette. The Legislative Council may amend the subsidiary legislation by resolution at a Council meeting or may extend the scrutiny period.

2. Positive vetting procedure

If the parent ordinance provides that a subsidiary legislation shall be subject to the Legislative Council's approval, a public officer may move a motion in the Legislative Council to seek its approval. The Legislative Council may approve or reject the subsidiary legislation and may also amend the subsidiary legislation. The amended subsidiary legislation is deemed to have a legislative effect on the date of its publication in the Government Gazette.

QUESTION 4

The contractual dispute in question is HK\$450,000. Elegant Décoration Limited ('EDL') may start their case before the District Court since the maximum amount of claim heard would be up to HK\$3 million. Lawyers may be appointed in court to represent their case and argue for their interests. If EDL loses their case before the District Court and the case involves any point of law, an appeal is to be heard by the Court of Appeal rather than the District Court. This is because the District Court has no appellate jurisdiction to review appeal cases. Leave from a District Court judge is usually required for such an appeal.

An alternative type of resolution method for the dispute is mediation. Mediation is a process in which an independent mediator makes a serious effort to resolve the issues in dispute and to explore options leading to settlement of a dispute. The parties provide the mediator with relevant documents to the dispute. The mediator then starts the fact-finding process, locates individual interests and proposes a fair outcome to both parties. The dispute is usually resolved quickly with the assistance of a mediator rather than a judge.

As the principle of confidentiality dominates the whole process, the consent of the other party and mediator must be obtained before one party is able to disclose what was said in the mediation. In that case, discussions of the mediation are confidential and no public record is maintained.

EDL should be further informed that the cost of the mediation process is much less than the cost involved in bringing the case before the court. Another advantage is that the dispute resolution is made faster since the date of mediation is fixed by the parties.

2

Principles of Contract and Consumer Law in Hong Kong (Part 1)

CHAPTER TOPIC LIST

2.1 Introduction to Contract Law

- 2.1.1 What is a Contract?
- 2.1.2 Why Do We Need Contract Law?
- 2.1.3 Freedom and Sanctity of Contract
- 2.1.4 An Objective Approach

➤ Fundamentals of Formation and Enforceability of the Contract

2.2 Offers and Invitations to Treat

- 2.2.1 Definitions
- 2.2.2 Distinct Concepts, Sometimes Difficult to Distinguish in Practice
- 2.2.3 Established Categories of Offers and Invitations to Treat
- 2.2.4 Termination of Offers

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- 2.6.4 Distinct from a Condition
- 2.6.5 Must Move from the Promisee

2.6.6 May Be Executory or Executed

2.6.7 Must Be Sufficient but Need not Be Adequate

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2.6.9 Performance of Existing Obligations

2.6.10 Agreements to Terminate the Contract

2.6.11 Agreements to Vary the Contract

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2.7 Promissory Estoppel

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2.9.1 Unilateral Mistake as to Terms

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2.10 Privity and Third Party Rights

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2.10.2 Third Party Rights under the Contracts (Rights of Third Parties) Ordinance (Cap.623)

➤ Contents of the Contract

2.11 Express Terms

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2.11.3 Incorporating Express Terms into a Contract

2.11.4 Interpretation of Contract Terms

2.12 Implied Terms

2.12.1 Terms Implied in Fact

2.12.2 Terms Implied in Law

2.12.3 Terms Implied by Trade Custom

2.12.4 No Implied Term of Good Faith

2.13 Exemption Clauses

2.13.1 Common Law Control

2.13.2 Statutory Control

2.14 Unfair Terms

2.14.1 Unfair Terms in Standard Form Consumer Contracts

2.14.2 Unconscionable Contracts Ordinance (Cap.458)



LEARNING OUTCOMES

PRINCIPAL LO5: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE CONTRACT LAW

LO5.01: Analyse the essential elements of a contract and the consequences of breaching a contract, and apply the principles of the contract law to practical business situations

5.01.01 Analyse the essential elements in the formation of contract and the means of communicating acceptance of offer

5.01.02 Analyse the legal effects of different contractual terms and exemption clauses

5.01.08 Apply the principles of the contract law to practical business situations

PRINCIPAL LO6: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE CONSUMER LAWS

LO6.01: Analyse and apply the key provisions of the consumer laws in Hong Kong

6.01.02 Analyse the scope and apply the key provisions of:

- The Control of Exemption Clauses Ordinance
- The Trade Descriptions Ordinance (*)

For the topics marked with (*), please refer to discussions in Chapter 3.

OPENING CASE

CARLILL v CARBOLIC SMOKE BALL COMPANY (1893) 1 QB 256

The Carbolic Smoke Ball Company ('CSBC') owned and sold a medical preparation called 'The Carbolic Smoke Ball'. CSBC placed an advertisement in a newspaper, which read as follows:

'GB£100 reward will be paid by the Carbolic Smoke Ball Company to any person who contracts the increasing epidemic influenza, colds, or any disease caused by taking cold, after having used the Carbolic Smoke Ball according to the printed directions supplied with each ball. GB£1,000 is deposited with the Alliance Bank, Regent Street, showing our sincerity in the matter.'

'During the last epidemic of influenza, many thousand Carbolic Smoke Balls were sold as preventives against this disease, and in no ascertained case was the disease contracted by those using the Carbolic Smoke Ball.'

Believing this advertisement, Mrs. Carlill purchased one of the balls and used it as directed, i.e. three times per day for two weeks. Nevertheless, it did not prevent Mrs. Carlill from catching influenza and, as such, Mrs. Carlill claimed the GB£100 reward as per CSBC's promise in the newspaper advertisement. However, CSBC refused to pay the reward, stating that they had no legal obligation to do so.

Is there a binding contract between Mrs. Carlill and CSBC? 



OVERVIEW

This chapter will begin with a brief introduction to the concept of contract law before going on to consider the requirements for the formation of a legally enforceable contract (See Sections 2.2 to 2.10) as well as the contents of a contract and validity of certain terms (See Sections 2.11 to 2.14).

To facilitate learning and put the relevant law into context, this chapter will also include real case examples, illustrative scenarios and questions with worked answers. This should provide the reader with a better understanding of the relevant legal principles and the ability to apply them to practical business situations, including business-to-business transactions and business-to-consumer transactions.

The contract law knowledge acquired from this chapter will then be built upon in Chapter 3 Principles of Contract and Consumer Law in Hong Kong (Part 2). To this end, cross-references will be made, where appropriate, to concepts dealt with in Chapter 3.



2.1 INTRODUCTION TO CONTRACT LAW

2.1.1 What is a Contract?

A contract may be defined as a voluntary agreement between two or more parties that creates obligations on those parties, recognised and enforceable at law.

Contracts are made every day, from buying a newspaper to complicated commercial transactions. They can be oral or written or both. They may even be purely by conduct, such as where a person buys a newspaper by simply picking up the newspaper and handing over the money to the vendor.

2.1.2 Why Do We Need Contract Law?

For a market economy, such as Hong Kong, to work efficiently, people need to be able to plan their business or consumer activities with certainty, knowing that they can legally enforce particular promises made to them.

Although the courts rarely force a party to actually perform its contractual obligations (See Section 3.15), the courts will at least force that party to pay monetary compensation to the other party if it fails to perform its contractual promises (See Section 3.11). Indeed, if a breach of contract is established, monetary compensation will be available as of right. Such a right to compensation will at least provide some certainty as to what a party can expect if promises made to that party are not fulfilled, as well as providing an incentive to the other party to actually perform its obligations rather than breaching them.

2.1.3 Freedom and Sanctity of Contract

Two repeated themes that underpin the law of contract are the concepts of the freedom of contract and the sanctity of contract. Indeed, as stated by one judge:

*'... if there is one thing which is more than another public policy requires it is that men of full age and competent understanding shall have the utmost liberty of contracting, and that their contracts when entered into freely and voluntarily shall be held sacred and shall be enforced by Courts of justice.'*¹

However, the freedom of parties to contract on any terms they choose, and the sanctity of those contracts being binding at law, are qualified by the need to maintain fairness. Indeed, the courts and legislature have developed the law to protect weaker parties from their inequality of bargaining power by controlling, for example, unfair contractual terms (See Section 2.14).

2.1.4 An Objective Approach

Since many contracts are not in writing or, where they are, often leave out important points, the law will generally look at the (alleged) contract objectively so as to determine whether a binding agreement has been reached and on what terms. In other words, the court will consider the situation from the viewpoint of a reasonable person, in the position of the parties, in order to ascertain the presumed intentions of those parties. In this regard, the court ignores evidence of the subjective intentions of the parties in favour of an objective assessment through the eyes of a reasonable person. Indeed, as stated by one judge:

'If, whatever a man's real intention may be, he so conducts himself that a reasonable man would believe he was assenting to the terms proposed by the other party, and that other party upon that belief enters into the contract with him, the man thus conducting himself would be equally bound as if he had intended to agree to the other party's terms.' (See Blackburn J, *Smith v Hughes* (1870–1871) LR 6 QB 597 at 607.)

The reason for the courts taking an objective approach is because it is commercially convenient: a purely subjective approach would not work efficiently in practice since it would involve too much disputed evidence and uncertainty. However, there are exceptions, most notably where one party knows that the other party did not intend to contract with him/her, or contract on particular terms, and there is evidence of such knowledge (See Section 2.9).

Again, such an objective approach relates to commercial certainty, which is another repeated theme throughout the law of contract that forms the justification for many court decisions, albeit often balanced against the need for fairness and flexibility.

¹ Sir George Jessel MR, *Printing & Numerical Registering Company v Sampson* (1874–1875) LR 19 Eq 462 at 465.



FUNDAMENTALS OF FORMATION AND ENFORCEABILITY OF THE CONTRACT

There are certain basic elements that must exist in order for there to be a validly formed and legally enforceable contract. In general, subject to certain qualifications, these include an offer made by one party that is properly accepted by the other party for the purchase or supply of goods or services, exchange for money or some other consideration, where both parties intended to create a legally binding relationship and who were of an adult age with sufficient mental capacity to enter into such a legal relationship. Further, it may be possible in some circumstances for third parties – who were not involved in the formation of the contract – to nevertheless legally enforce certain obligations in the contract as against one or both of the contracting parties.

2.2 OFFERS AND INVITATIONS TO TREAT

2.2.1 Definitions

An **offer** may be defined as an expression of willingness to contract on specified terms without further negotiation. An **invitation to treat** may be defined as a statement indicating a willingness to receive offers.

2.2.2 Distinct Concepts, Sometimes Difficult to Distinguish in Practice

Although offers and invitations to treat are very distinct concepts, it is sometimes very difficult to draw that distinction in a particular situation. Offers should be sufficiently specific with regard to the main obligation and price, and should be made with the intention that the terms will be legally binding upon the one making the offer (i.e. the **offeror**) upon being accepted by the person to whom the offer is made. This intention to be bound through acceptance is determined objectively, based on the language used.

Harvey v Facey (1893) AC 552

Facts: The plaintiffs asked the defendants whether they would sell a particular property and requested that the defendants reply with their lowest price. The defendants replied, stating that the lowest price would be GB£900.

Issue: Whether the reply to minimum price query constituted an offer.

Held: The defendant's reply did not constitute an offer – rather, it was merely an indication of the minimum price in the event that the defendants decided to sell in the future.

Clifton v Palumbo (1944) 2 All ER 497

Facts: The plaintiff in the case wrote to R without legal assistance, 'I am prepared to offer you my estate for GB£600,000. I also agree that a reasonable and sufficient time shall be granted to you for the examination and consideration of all the data and details necessary for the preparation of the Schedule of Completion'. The defendant later indorsed the letter and authorised R to accept the offer on his behalf although negotiations for the sale and purchase had not been completed.

Issue: Whether the statement constituted an offer to sell the estate on the terms of an open contract.

Held: The statement 'I am prepared to offer you my estate for GB£600,000' was not sufficiently definite to constitute an offer. Certainly, with regard to the sale of land (i.e. real estate), particularly clear language is required in order to constitute an offer.



2.2.3 Established Categories of Offers and Invitations to Treat

Although the courts will always take into account any evidence relating to the objective intentions of the parties, based on the factual circumstances and the language of communication, there are some generally established categories of offers and invitations to treat where the courts recognise the distinction.

2.2.3.1 Advertisements, Brochures, Catalogues, Price Lists and Menus

Advertisements are generally taken as an invitation to treat and do not constitute an offer as the case that follows illustrates.

Partridge v Crittenden (1968) 1 WLR 1204

Facts: This case concerned a newspaper advertisement to sell a particular type of wild bird. Since it was a statutory offence to offer wild birds for sale, the attempted seller was convicted.

Issue: Whether the newspaper advertisement constitutes an offer.

Held: The seller's conviction was quashed on appeal as the appeal court held that the advertisement did not constitute an 'offer' – rather, it was held that there was 'business sense' in treating advertisements as invitations to treat.

Illustrative Example 1

If a person wants to sell his/her one and only green Mercedes car and his/her newspaper advertisement constituted an offer, then if 250 people replied accepting that offer, the seller would be in breach of contract to 249 of those people since he/she only has one such car to actually sell. Therefore, by treating his/her advertisement as an invitation to treat (notwithstanding that he/she may have used the language of 'offer'), and treating the replies to that advertisement as offers, the seller is then free to accept just one of those offers to form the sale contract and avoid any breaches of contract by not being able to supply the car to all the others who replied to the advertisement.

The justification for this is the so-called 'limited stock' argument: if an advertisement to sell goods was an offer, a seller might find himself/herself unable to supply all those people who reply to the advertisement – i.e. those who accept that offer (See Section 2.3) – and therefore put that seller in breach of contract.

Exceptions: Unilateral Contracts

The below case represents an exception to the general rule. Essentially, this is a unilateral contract and stands as an exception to the general rule that advertisements do not constitute offers. This makes practical sense because if such rewards/advertisements were invitations to treat, then performance of the act would be an offer that could be accepted or rejected by the person advertising the reward. This would then mean that that person would have the benefit of seeing their requested act performed and yet not be legally bound to pay the reward money. In this case, the company's benefit would be the increase in sales of the smoke ball.

Carlill v Carbolic Smoke Ball Co (1893) 1 QB 256

Facts: The defendant company was so confident in its product that a reward was offered in a newspaper whereby the company promised to pay GB£100 to any person who caught the influenza virus after using the defendant's medicinal smoke ball three times per day for two weeks. After seeing the advertisement, the plaintiff bought and used the smoke ball as directed yet still caught influenza. As such, the plaintiff claimed the GB£100 from the defendant company but the defendant argued that it was not bound to pay the money, partly because the advertised promise of the reward did not constitute an offer.

Issue: Whether the advertisement with a promised reward constituted an offer.

Held: That such an advertisement did constitute an offer because it requested performance of an act (i.e. using the smoke ball as directed) as constituting the acceptance.

Illustrative Example 2

Assume A loses his wallet and advertises a HK\$500 reward to anyone who finds and returns it to him. If B finds and returns the wallet to A, that act of finding and returning the wallet constitutes B's acceptance of A's offer, thereby legally compelling A to pay the reward sum. However, if A's reward advertisement constituted a mere invitation to treat, it would mean that B's act of finding and returning the wallet would only constitute an offer which, despite having the benefit of having the wallet returned to him, A would be free to simply reject. This would mean that A would have the benefit of having his wallet safely returned and not have to pay the reward to B. Therefore, in the context of these so-called unilateral contracts, the advertisement constitutes an offer and the act of performing pursuant to that offer constitutes acceptance and can create a binding contract.

Illustrative Example 3

In the opening case, Carbolic Smoke Ball Company ('CSBC') denied that they were contractually obliged to pay the GB£100 reward to Mrs. Carlill. One of the reasons, according to CSBC, was that the words in the advertisement did not amount to an offer or promise but merely expressed an intention. However, the court held that advertisements offering rewards are offers to anybody who performs the conditions set out therein. In this case, the advertisement constituted an offer to pay GB£100 to anyone who used the Carbolic Smoke Ball, as directed, yet still caught influenza.

2.2.3.2 Shop Displays: On Supermarket Shelves and in Shop Windows

Generally, shop displays will often be treated as an invitation to treat. However, this does not mean that the sale contract is formed until check-out.

The court in this case concluded that the display of goods on shop shelves does not constitute an offer for sale and, therefore, a customer's act of removing the goods from the shelves does not constitute an acceptance.



Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd (1953) 1 QB 401

Facts: This case involved the statutory offence of selling certain drugs and medicines without the supervision of a registered pharmacist. The defendant chemists had recently introduced self-service shopping (what is nowadays the norm), where customers collected items from the shelves and took them to the cashier at the check-out desk for payment.

Issue: At what point was the sale contract formed? At the moment the customer picked up the item from the shelf (where there was no registered pharmacist present) or at the check-out desk (where there was a registered pharmacist, overseeing the transaction)?

Held: The display of medicines/goods on the shelves only constituted an invitation to treat and the sale contract was actually formed at the check-out desk, therefore under the supervision of a registered pharmacist.

This makes practical sense since, not only does it preserve a shopkeeper's freedom to refuse to sell goods to a particular person (subject to any anti-discrimination laws) by simply not accepting a particular customer's offer to buy them, it also means that customers will not be bound to pay for the goods once they have removed them from the shelves and so be unable to change their mind before reaching the check-out.

Note that it is not clear from the case as to precisely what act constitutes the offer and when it occurs. Perhaps the offer comes from the customer when the customer presents the goods to the cashier and, by taking the money from the customer, the cashier is accepting the customer's offer to buy.

Fisher v Bell (1961) 1 QB 394

Facts: This case surrounded the statutory offence of offering for sale an offensive weapon where a shop displayed such a weapon (a knife) in its window, with a price tag.

Issue: Whether the shop display constituted an offer.

Held: Such a display was merely an invitation to treat – and not an offer – even though it was inviting people to buy it and was, in ordinary language, 'for sale'.

Exceptions: Standing Offers

There are exceptions to displays acting as invitations to treat, namely, displays that involve self-service or automatic machines, as they cannot be negotiated with, for example, a shopkeeper.

Thornton v Shoe Lane Parking Ltd (1971) 2 QB 163

Facts: This case involved a ticket issued by a machine on entry to a car park.

Issue: Whether the ticket machine was an offer or an invitation to treat.

Held: The court recognised that automatic machines – including vending machines – constitute standing offers. The reason for this was said to be that, when the machine is activated, there is no possibility of negotiation.

Illustrative Example 4

A further example would be in the context of a self-service petrol station: the petrol pump machine is a standing offer. The customer's act of putting petrol into his/her car constitutes acceptance and he/she is liable to pay the amount shown on the machine.²

2.2.3.3 Websites

Generally, as an electronic form of display, a website will constitute an invitation to treat. The offer will come from the customer at the check-out stage when the customer clicks the relevant instruction to process the order. This means that a seller can refuse to sell to online buyers in certain jurisdictions and, further, will not be bound to supply more goods than he/she has in stock (the 'limited stock' rationale). Nevertheless, online sellers should be careful how they present an advertisement because there is still the possibility of it being construed as a unilateral contract by virtue of the language used and perceived intention, objectively ascertained.³

2.2.3.4 Tenders

Generally, requests for **tenders** will constitute invitations to treat: indeed, they are often referred to as invitations to tender. Essentially, the party so requesting is inviting bids. For example, when the Government invites tenders from construction companies, the companies who submit a bid (or tender) are actually making an offer that the Government is then free to accept or reject.⁴

Exceptions: Promises to Accept the Most Competitive Bid

An invitation to tender which promises to accept the most competitive tender will legally bind that promisor to do exactly that. In other words, such an invitation to tender will be treated as an offer, which will be accepted by whoever makes the most competitive bid. This means that the party who requested the tenders on such terms will not be at liberty to choose between them but will be bound to the one that is the most competitive.

Harvela Investments Ltd v Royal Trust Co of Canada (CI) Ltd (1986) AC 207

Facts: The seller promised to accept the highest offer received from two interested parties, A and B, in sealed envelopes. Both A and B submitted their secret bid price. A's bid figure was slightly higher than B's bid figure but B's bid also included the words 'or GB£101,000 in excess of any other offer'.

Issue: Whether the seller could accept B's preferential bid.

Held: The seller could not accept B's preferential bid – even though it would have provided the seller with a higher sum – because such preferential bidding was impliedly forbidden given that it would undermine competitive sealed tender bargaining. Indeed, if both parties had submitted preferential bids, how could an actual sum ever be arrived at? Accordingly, the seller was compelled to accept A's bid since this was, from the actual figures expressly stated, the highest.

² *Re Charge Card Services Ltd* (1988) 3 All ER 702.

³ *Chwee Kin Keong v Digilandmall.com Pte Ltd* (2004) 2 SLR 594.

⁴ *Spencer v Harding* (1870) LR 5 CP 561.



2.2.3.5 Auctions

An auctioneer's request for a bid is an invitation to treat. Each individual bid is an offer and is accepted with the fall of the auctioneer's hammer (s.60(b) of the Sales of Goods Ordinance (Cap.26)).

2.2.4 Termination of Offers

An offer can come to an end by acceptance or a counter-offer – these concepts will be dealt with in Section 2.3. Other ways in which an offer can terminate include by revocation, lapse of time and, possibly, change of circumstances.

2.2.4.1 Revocation

Revocations can be either: (1) express revocation and (2) implied revocation.

Express Revocation

An offer can be expressly revoked at any time before it is accepted.⁵ Note, however, that this assumes that the offeror and offeree have not entered into a separate contract whereby the offeror has agreed to keep the offer open (i.e. not to revoke it) for a set period of time, in exchange for some consideration (See Section 2.6) from the offeree, usually in the form of payment.⁶ This (separate) contract is called an 'option contract' whereby the offeree is, essentially, buying time to consider the offer without having the time pressure of knowing that the offer could be revoked at any given moment.

Assuming that there is no such option contract, or that the time period stipulated therein has expired, the offer can be revoked. However, such revocation must be properly communicated to the offeree before the offeree accepts the offer.⁷

It seems that, if the revocation is sent to a company (as offeree) during normal business hours, it will be effective as soon as it is received.⁸ If it is sent outside normal business hours, it is very likely to be affected as soon as normal business hours recommence. If the offer takes the form of a reward (or unilateral contract) made to the public in, for example, a newspaper, it would seem that it can be effectively revoked by communicating the revocation through the same medium.⁹ Although this could not guarantee communication of the revocation to all the offerees (i.e. the world), it is the only pragmatic solution.

Implied Revocation

An offer is implied to be revoked if the offeror makes a second/different offer to the offeree, even though he/she has not expressly revoked the earlier offer.¹⁰

2.2.4.2 Lapse of Time

If an offer expressly stipulates a fixed period of time for which it is open, the offer will terminate upon the expiration of that period. However, if no fixed time period is stipulated, the offer will

⁵ *Offord v Davies* (1862) 12 CB NS 748.

⁶ *Routledge v Grant* (1828) 4 Bing 653.

⁷ *Byrne & Co v Van Tienhoven* (1880) 5 CPD 344.

⁸ *Eaglehill Ltd v J Needham (Builders) Ltd* (1973) AC 992 and *The Brimnes* (1975) QB 929.

⁹ *Shuey v US* (1875) 92 US 73.

¹⁰ *Pickfords Ltd v Celestica Ltd* (2003) EWCA Civ 1741.

terminate after the expiration of a reasonable time period. The court will determine what is a reasonable period based on the circumstances of each case, including the nature of the subject matter (for example, perishable goods such as food or something that is subject to sudden price fluctuations, such as company shares).¹¹

2.2.4.3 Death of the Offeror or Offeree

Despite there being a lack of clarity from various case authorities as to the status of an offer after the death of either the offeror or offeree, it does seem clear that an offer will terminate where either party was to perform a personal service. However, in other situations, it might be possible to bind the offeror's executors/administrators if the offer is accepted without knowledge of the offeror's death.

2.2.4.4 Change of Circumstances

It might be possible that, where there has been a significant change of circumstances after an offer has been made (but before it has been accepted), it can be implied that the offer has lapsed as a result of such a change of circumstances. However, the actual legal position is debatable.¹²

► Knowledge Check Questions

Question 1

Explain the difference between an offer and an invitation to treat.

Question 2

Identify whether newspaper advertisements are generally recognised as offers or invitations to treat and what is the exception.

Question 3

List the ways that an offer can come to an end before being accepted.

➤ 2.3 ACCEPTANCE

2.3.1 Definition

Acceptance may be defined as an unequivocal expression of assent to all the terms of an offer, properly communicated to the offeror.

¹¹ *Ramsgate Victoria Hotel Co Ltd v Montefiore* (1866) LR 1 Ex 109.

¹² *Nielsen v Dysart Timbers Ltd* (2009) NZSC 43 (noted in L. Mason, 'Change of circumstances and the lapse of an offer: *Nielsen v Dysart Timbers Ltd*' (2011) 17 NZBLQ 3).



In the process of lengthy business negotiations, it is often difficult to identify at what precise point an agreement is actually reached, i.e. when an offer is properly accepted. If there is a dispute, the court will consider all the correspondence between the parties in order to objectively determine this.

2.3.2 Unconditional Acceptance

In order to be valid, the acceptance must be an unconditional assent to all the terms of the offer. This is known as the so-called **mirror-image rule**. Therefore, if a response to an offer is such that it seeks to vary the terms of the offer, or introduce new terms, it will constitute a counter-offer. A counter-offer is, itself, capable of being accepted or rejected by the (original) offeror but, either way, it has the effect of destroying the original offer so that the original offer is no longer capable of being accepted.

Hyde v Wrench (1840) 3 Beav 334

Facts: A offered to sell land to B for GB£1,000. B replied, offering GB£950. A rejected this counter-offer. Therefore, B purported to accept A's (original) offer of GB£1,000. However, A refused to recognise that this was a valid acceptance. (Note that the reason why A was eager not to be bound was because he had received a better offer from a third party.)

Issue: Whether the original offer was still valid after a counter-offer had been made.

Held: B could not accept A's (original) offer since B's counter-offer destroyed that offer.

The party who makes a counter-offer would have to wait for the original offeror to make the (original) offer again in order for it to be accepted. It is important to note that the mirror-image rule is strict: even a slight variation of the terms of the offer – however minor, immaterial or reasonable – will be sufficient to destroy the offer and constitute a counter-offer.¹³

2.3.2.1 Counter-Offer Distinguished from a Mere Request for Information

An offeree who replies to an offeror with a request for information will not have made a counter-offer destroying the offer. For example, a reply asking whether there is any flexibility in the terms of the offer is not a counter-offer.¹⁴ Accordingly, if A offers to sell his car to B for HK\$100,000 and B replies asking 'would you be prepared to accept HK\$90,000 for it?', then it is likely that B's reply will be a mere request for information. However, if B's reply was 'I will give you HK\$90,000 for it', then it is likely that this will constitute a counter-offer. Note, however, that the distinction between a counter-offer and a mere request for information is not always clear.

2.3.3 The Battle of Forms

Many commercial contracts are made on printed forms that contain a party's standard terms of business. Such terms are often printed on the back and form what are colloquially referred to as the small print. When an offeror makes an offer through a document containing its standard

¹³ *Jones v Daniel* (1984) 2 Ch 332.

¹⁴ *Stevenson, Jacques & Co v McLean* (1880) 5 QBD 346.

terms and an offeree makes an acceptance through a document containing its own standard terms, the question is on whose terms the contract has been concluded. This dilemma is known as the **battle of forms**.

As, in Section 2.3.2, by virtue of the mirror-image rule, the purported acceptance of an offer on different terms (however minor) will constitute a counter-offer. In this situation, where an offeree counter-offers on its own (differing) standard terms of business, the original offeror may unwittingly accept the counter-offer, on those terms, through mere conduct (See Acceptance by Conduct in Section 2.3.4.2), such as by taking delivery of goods contracted for. Essentially, the party on whose terms the contract is concluded will be the party whose correspondence constituted the last shot.

Butler Machine Tool Co Ltd v Ex-Cell-O Corp (England) Ltd (1979) 1 WLR 401

Facts: The sellers offered to supply a machine for a specified sum, on specified terms, including a 'price variation' clause (designed to take account of prices ruling at the date of delivery). The sellers' offer also had printed on the reverse side: 'All orders are accepted only upon, and subject to, the terms set out in our quotation and the following conditions. These terms and conditions shall prevail over any terms and conditions in the buyer's order' (emphasis added).

The buyers replied, on their own order form, which contained their own, conflicting, terms and conditions and which, crucially, made no reference to a price variation. This order form also contained a tear-off acknowledgment slip, for the sellers to sign, which stated that the sellers accepted the order on the buyers' terms and conditions.

Upon receipt, the sellers signed the acknowledgment slip, acknowledging the buyers' order, and returned it along with a letter stating that the sellers would deliver the machine 'in accordance with our . . . quotation'.

Later, the sellers tried to invoke the price variation clause – to increase the price of the machine – as per the sellers' terms and conditions.

Issue: Whether the seller could invoke its price valuation clause after having signed the acknowledgement slip.

Held: The sellers could not rely on that clause because they had accepted the buyers' terms when they signed and returned the tear-off acknowledgement slip on the buyers' order form. In other words, the sellers had accepted the buyers' counter-offer, so the buyers' order form constituted the last shot. Therefore, the contract was formed on the buyers' terms – which did not include the price variation clause.

Although in this case the sellers had sent a letter (along with the acknowledgment slip) stating that they would deliver the machine in accordance with their (earlier) quotation, the court held that this reference to their quotation was only relevant for the purposes of identifying the subject matter (i.e. the machine) and price. The court considered the language of the letter to be ambiguous and ineffective to override the clear terms of the printed acknowledgment slip. As such, the letter was not sufficient to reiterate and re-introduce the sellers' terms and conditions, and so was insufficient to reintroduce the term stating that their terms and conditions shall prevail over those of the buyers.



2.3.4 Communication of Acceptance

2.3.4.1 Acceptance Must Be Communicated to the Offeror

The general rule is that acceptance is not effective until it is communicated to the offeror.¹⁵ Clearly, it would be unfair to contractually bind the offeror before it had notice that its offer had been accepted. If the offeror is a company, acceptance is usually effective at the exact moment of its receipt during normal business hours (such as by facsimile or post), even though it may not be read by anyone until a later time.

2.3.4.2 Exceptions to the General Rule

There are, nevertheless, a few exceptions (or qualifications) to the general rule of communicating the acceptance to the offeror.

Communication to the Offeror's Agent

One of the exceptions is where the acceptance is communicated to an agent of the offeror (assuming that the agent has express or implied authority to receive that acceptance¹⁶). An example would be where acceptance is communicated to the managing director of the company that made the offer.

Unilateral Contracts

Another exception is in the context of a **unilateral contract** (See Section 2.2.3.1). Where there is a unilateral contract, the offeree need not notify the offeror of its acceptance – rather, the mere doing of the act for which the reward is offered is enough to constitute acceptance. For example, where a dog owner offers a reward for the finding and returning of his lost dog, the mere act of finding and returning the dog to the owner would constitute effective acceptance and thus bind the dog owner to his promise of the reward.

Illustrative Example 5

In the opening case, the court held that the plaintiff had accepted the defendant company's offer by the act of using the medicinal smoke ball as directed by the defendant (three times per day for two weeks).

The Postal Rule

The so-called **postal rule** is a further exception to the general rule inasmuch as, where the acceptance is posted by mail, that acceptance will become effective as soon as it is inserted into the postbox.¹⁷ Note, however, that the postal rule only applies to acceptances (not offers). According to this rule, even if the acceptance letter is lost in the post or delayed, acceptance will

¹⁵ *Holwell Securities Ltd v Hughes* (1974) 1 WLR 155.

¹⁶ *Henthorn v Fraser* (1892) 2 Ch 27.

¹⁷ *Adams v Lindsell* (1818) 1 B & Ald 681.

still be deemed to be effective as at the time when it was posted.¹⁸ However, if the acceptance letter is lost or delayed due to the offeree's fault – such as writing the wrong address – then the postal rule would not apply.¹⁹

Naturally, the postal rule could lead to many disputes and practical problems (too many to elaborate upon here) but, in reality, does not present any significant difficulties because there are various limitations to its applicability. For example, the rule only applies when it is deemed reasonable to accept an offer by post, such as where the offer, itself, was made by post (assuming that the offeror did not stipulate another means by which acceptance must be communicated).

Of course, in the modern world of instantaneous communication through email, etc., there is far less justification for postal acceptance, unless specifically stipulated by the offeror. Furthermore, the postal rule will not apply where the offeror expressly stipulates that acceptance will only be valid upon receipt – or where receipt of the acceptance is implied to be required because, otherwise, it would be manifestly inconvenient or absurd.²⁰

Acceptance by Conduct

It may be possible to accept an offer by conduct. For example, an offer to buy goods could be accepted by the offeree simply by delivering those goods to the offeror.²¹ However, it is important to note that acceptance by conduct will only be effective where such conduct was intended by the parties to constitute acceptance. Such intention will be determined objectively, from the viewpoint of a reasonable person.

Apply and Analyse 1

Apply

X's pet dog disappeared. X put up posters, with the relevant details, offering a reward of HK\$5,000 to anyone who finds his dog and reunites them. Y neither saw the posters nor knew about the reward. However, when X's dog randomly appeared in Y's garden, Y saw that the dog had a collar with its owner's contact details and so duly telephoned X to organise the dog's return. Later, after X and his dog were reunited, Y saw the reward posters and telephoned X asking for the HK\$5,000 reward. X refused. Analyse whether Y should be able to enforce X's promise of the reward.

Analysis

No – Y cannot accept in ignorance of the offer. This basically means that a person cannot accept an offer if he/she did not know there was an offer made²² (See Section 2.6.8).

Apply and Analyse 2

Apply

X offers to pay Y HK\$1,000 if Y changes X's burst car tyre. Y immediately begins the work. However, after removing the old tyre, Y refuses to continue and affix the new tyre. Analyse whether Y should be free to refuse to continue the work.

¹⁸ *Household Fire and Carriage Accident Insurance Co Ltd v Grant* (1879) 4 Ex D 216.

¹⁹ *LJ Korbetis v Transgrain Shipping BV* (2005) EWHC 1345 (QB).

²⁰ *Holwell Securities Ltd v Hughes* (1974) 1 WLR 155.

²¹ *Harvey v Johnston* (1848) 6 CB 295.

²² *R v Clarke* (1927) 40 CLR 227.



Apply and Analyse 2 (continued)

Analysis

Arguably, no. The law is not clear on this point but it might be said that there is an implied promise to complete the work, otherwise X is left in a worse position (a car with only three tyres!). It could be argued that this unilateral contract has become a bilateral contract (the usual type of contract) insofar as Y's commencement of the work constituted Y's acceptance and agreement to complete the work.

Apply and Analyse 3

Apply

X offers a reward to anyone who finds and returns his lost cat. Y begins searching for the cat but eventually gives up. Analyse whether Y is free to discontinue searching for the cat.

Analysis

Yes. X is in no worse position (contrast this with the burst car tyre analysis in Apply and Analyse 2).

Apply and Analyse 4

Apply

X offers to pay Y HK\$10,000 if Y walks from Central to Shek O. Y immediately begins the journey. When Y gets half-way, he receives a mobile phone call from X, telling Y that he is revoking the offer. Analyse whether X would be free to revoke the offer.

Analysis

Arguably, no. Although Y has only partly performed this unilateral contract – and such part-performance would not constitute acceptance – it may nevertheless prevent X from revoking the offer.²³

Apply and Analyse 5

Apply

On 5 September, Wong Ltd ('WL') sought a quotation from Lam Ltd ('LL') for the supply of 5,000 umbrellas. LL sent a quotation of HK\$100,000 for delivery on 5 October, using its standard quotation form with its terms of business on the back. After receiving the quotation from LL, WL sent an order to LL for 5,000 umbrellas, using WL's standard order form with its own terms of business on the back, including a term allowing for a 10% discount for payments made within 30 days of delivery. LL sent an acceptance back to

²³ *Errington v Errington* (1952) 1 KB 290.

Apply and Analyse 5 (continued)

WL using LL's standard acceptance form containing the same terms of business as those on the back of LL's standard quotation form, which did not include a discount of any sort. On 5 October, the umbrellas were delivered. Two weeks after delivery, WL made a payment of HK\$90,000. Analyse whether LL could argue that this was not the agreed sum payable and demanded that WL pay the remaining HK\$10,000.

Analysis

Yes. WL sought a quotation. This was an invitation to treat or tender. LL's quotation constituted an offer. WL's order constituted a counter-offer. WL took delivery which constituted acceptance (by conduct) of LL's counter-offer. Therefore, a contract was formed on LL's terms (i.e. without the discount) and so LL is eligible to claim the remaining HK\$10,000 (See Section 2.3.3).

Apply and Analyse 6

Apply

On 5 August, Trendy Tablets Ltd ('TTL') placed an advert in the Hong Kong Daily Times, stating the following:

'Bargain iPads! – 500 iPad 3 tablets at HK\$3,000 each. Will go to the first 500 replies received enclosing a cheque for HK\$3,000. Send a cheque to: Trendy Tablets Ltd, Office 8A, Tawny Towers, Admiralty, Hong Kong.'

On 7 August, Eddie posted his letter to the above address sending HK\$3,000 cash and confirming that he wished to buy one of the iPad 3 tablets. Unfortunately, by this time, there was a supply shortage which meant that TTL was unable to provide the iPads as advertised. As such, on 8 August, TTL posted an apology in the same newspaper, announcing that the iPads were no longer available. There is evidence to show that Eddie's letter arrived on 9 August and was one of the first 500 to be received. Eddie wanted to argue that he had a binding contract with TTL. Analyse the legal position of Eddie as to whether he has a binding contract with TTL.

Analysis

It is very unlikely that there was a binding contract. TTL took reasonable steps to revoke the offer by placing the revocation in the same newspaper (before acceptance was received from Eddie).²⁴ Further, and in any event, Eddie did not make a mirror-image acceptance because he sent cash rather than a cheque (as stipulated in the offer) (see *Hyde v Wrench* in Section 2.3.2). To break this down further:

1. **5 August:** The advert was TTL's offer – not an invitation to treat because the advert reads will go to – and stipulates how acceptance can take place. It is a unilateral contract.

²⁴ *Shuey v US* (1875) 92 US 73.



Apply and Analyse 6 (continued)

2. **7 August:** Eddie's (purported) acceptance was posted – but it was not effective because, first, the postal rule was excluded by reference to the first 500 replies being received and, in any event, second, Eddie sent cash so there was no mirror-image acceptance of the offer's terms (enclosing a cheque).
3. **8 August:** TTL's newspaper revocation of the offer is very likely to be valid because, although the general rule is that the revocation must be communicated to the offeree, since this is a unilateral contract (offered to the world), TTL has taken reasonable steps to bring it to all offerees' attention by placing the new advert.
4. **9 August:** Eddie's reply was received – but after TTL's revocation (on 8 August) and, even if TTL's revocation was not valid, Eddie did not make a mirror-image acceptance.

Illustrative Example 6

In the opening case, Carbolic Smoke Ball Company ('CSBC') denied that they were contractually obliged to pay the GB£100 reward to Mrs. Carlill. One of the reasons, according to CSBC, was that Mrs. Carlill had not accepted the offer because she did not communicate her intention to accept the offer or perform some overt act, and that the mere act of using the Carbolic Smoke Ball in private is not enough. However, the court held that notification of acceptance was not necessary because CSBC had dispensed with the requirement of notification by expressly or by implication intimating in its offer that mere performance of the condition (i.e. using the Carbolic Smoke Ball as directed, three times per day for two weeks) constitutes sufficient acceptance.

► Knowledge Check Questions

Question 4

Explain what is meant by the mirror-image rule.

Question 5

Describe what the consequences are if the mirror-image rule has not been complied with.

Question 6

Explain what is the battle of forms.

Question 7

List the exceptions to the general rule requiring communication of acceptance to the offeror.

2.4 CAPACITY

The ability of a party to enter into a legally binding contract depends on whether that party has the **capacity** to contract. The best example of an individual person with the capacity to enter into a legally binding contract is an adult of sound mind. Anything less than that will mean that the legal enforceability of the purported contract can be called into question.

Indeed, for some people, the ability to enter into legally enforceable contracts is limited by law – in particular, minors (i.e. people under the age of 18) and people suffering from mental incapacity. Essentially, both of these groups of people lack the capacity to contract.

Further, there are limits to a corporation's capacity to contract, depending on what type of corporation it is. This is explored elsewhere in Chapter 8 Incorporation in Hong Kong.

2.4.1 Minors

In general, a child (i.e. a person under the age of 18) lacks the capacity to contract (s.2(1) of the Age of Majority (Related Provisions) Ordinance (Cap.410)). Therefore, contracts entered into by children are not legally binding on them – the contracts are **void**. However, there are exceptions where the child will be bound or where the contract is merely **voidable**. This means that the contract is capable of being declared void by the court but is not automatically void.

2.4.1.1 Contracts for Necessaries

A minor will be bound by contracts for necessary goods and services where they are – on the whole – for the benefit of the child and do not contain harsh or onerous terms. With regard to the sale of goods, necessities is defined in s.4(2) of the Sale of Goods Ordinance (Cap.26) ('SOGO'), as being 'goods suitable to the condition in life of such . . . minor. . . and to his/her actual requirements at the time of the sale . . .'. The common law has also adopted quite a wide interpretation of what constitutes necessities for a minor, taking into account his/her status in life (the higher his/her status, the greater the range of necessities)²⁵ and his/her actual needs at the time of contracting.²⁶ Naturally, contracts for food, shelter and clothing would likely – in most cases – constitute necessities.

2.4.1.2 Contracts of Employment for the Minor's Benefit

A minor will be bound by a contract of employment if, on the whole, the employment is beneficial to him/her. Essentially, beneficial in this sense means that the minor gains some training, experience or instruction for an occupation, such as in an apprenticeship.²⁷

²⁵ *Peters v Fleming* (1840) 6 M & W 42.

²⁶ *Nash v Inman* (1908) 2 KB 1.

²⁷ *Clements v London and North Western Railway Co* (1894) 2 QB482 and *De Francesco v Barnum* (1890) 45 Ch D 430.



2.4.1.3 Contracts That Are not Void but Only Voidable

Certain contracts with minors will not be void but only possibly voided later (i.e. voidable). Essentially, such contracts are binding on the adult party but not on the minor because the minor can – at any time before reaching the age of 18 or within a reasonable time thereafter – simply terminate the contract. This includes contracts whereby the minor acquires an interest in land, shares or where the minor enters into a partnership agreement. If the minor chooses to terminate (or ‘repudiate’) the contract, he/she is released from his/her future obligations under the contract. However, he/she can only recover any money paid under the contract where there has been a total failure of consideration (See Section 2.6) in the sense that he/she has received no part (at all) of the performance from the other party that was owed to the minor.²⁸

2.4.1.4 Comment

The law on capacity of minors is rather outdated and not in line with the modern world. Indeed, most of the case law in this area arose at a time when the adult age was 21 and so usually involved children between the ages of 18 and 21. Furthermore, and more particularly, any capacity of a minor to contract – even today – generally concerns older children: it does not include very young children. For example, a 14-year old boy could contract to buy a sandwich but a four-year old boy could not. Indeed, with regard to very young children, the rules on mental incapacity would apply.

2.4.1.5 A Modern Day Example

Below is a modern-day case that concerns a 15-year old boy who entered into a contract and sought to terminate or void the contract before the period stipulated in the contract was up.

Proform Sports Management Ltd v Proactive Sports Management Ltd (2006) EWHC 2903

Facts: This case concerned the English football player, Wayne Rooney. At the age of 15, Rooney entered into a contract with Proform Sports Management Ltd (‘PSML’) whereby he agreed that PSML would act as his representative in respect of any transfer negotiations during a period of two years. At the time of making the contract with PSML, Rooney was already signed with Everton Football Club, providing him with training. Before expiry of the two-year period stipulated in the Proform contract, Rooney sought to terminate the Proform contract.

Issue: Whether Rooney was entitled to terminate or void the contract with PSML.

Held: Rooney was entitled to terminate the contract because, as a contract with a minor, it was voidable. The court considered that, whilst the contract with Everton Football Club constituted a contract for necessities or apprenticeship, the contract with PMSL did not.

²⁸ *Corpe v Overton* (1833) 10 Bing 252 and *Steinberg v Scala (Leeds) Ltd* (1923) 2 Ch 452.

2.4.2 Mental Incapacity

Contracts made with a person suffering from a mental disability (including mental illness and mental handicap) will generally be valid unless, at the time when the contract was entered into, that person was incapable of understanding the nature of the transaction and the other party knew this. In such a situation, the contract is voidable. However, if the other party is not aware of the mental disability, the courts will ignore the incapacity.

***Hart v O'Connor* (1985) AC 1000**

Facts: This case concerned the sale of land by a person of unsound mind.

Issue: Whether the seller could set aside the contract on the grounds that he was of unsound mind.

Held: Since the buyer did not realise that the seller was suffering from any mental disability, the mentally incapacitated seller was bound by the agreement.

Note that, in a situation such as in *Hart v O'Connor*, the mentally incapacitated person may possibly – depending on the factual evidence – be able to obtain equitable relief on the grounds of undue influence (See Section 3.4) or unconscionability (See Section 3.5). He may also possibly be able to obtain relief through the Unconscionable Contracts Ordinance (Cap.458) with regard to contracts for goods and services, albeit not land (See Section 2.14).

A mentally incapacitated person will, however, be bound by a contract for necessities;²⁹ (s.4 of the SOGO) (See Section 2.4.1.1).

Apply and Analyse 7

Apply

X entered into a contract with Y. Later, Y breached the contract and X sued Y for damages (See Section 3.11). Just before the commencement of court proceedings, X suffered an accident and became mentally incapacitated within the meaning of the Mental Health Ordinance (Cap.136). Before the X–Y legal proceedings were concluded, Y offered to settle the matter out of court for 50% of the value of X's damages claim. X accepted Y's settlement offer. Assuming Y is aware of X's mental incapacity, analyse whether X is bound by the settlement agreement.

Analysis

According to specific court procedural rules, X is only bound by this settlement/compromise agreement if it was approved by the court (See Order 80, Rule 10 of the Rules of the High Court) (Cap.4A).

²⁹ *Gore v Gibson* (1843) 13 M & W 623.

Apply and Analyse 8

Apply

X and Y discussed a business proposal over lunch. During the lunch, X consumed two glasses of white wine. By the end of the lunch, X and Y had made a contract. One week later, after X breached the contract terms, Y sought to sue X for damages but X argued that their contract was void because, when the contract was made, X's business sense had been blurred by the two glasses of white wine. Analyse whether X can successfully defend Y's claim on the basis of drunkenness.

Analysis

Drunkenness can be treated in the same way as mental incapacity. However, in order for drunkenness to be successfully used as a defence to an action brought on the basis of a contract, the drunkenness (at the time of the contract formation) must be extreme. In other words, the drunkenness must be such that it prevents the person from understanding the nature of the contract. Further, the other person must have known of such drunkenness at the time.³⁰ Nevertheless, the drunken person will be liable if he/she later ratifies the contract once he/she is sober.³¹ However, in this scenario, having only consumed two glasses of wine over lunch, X cannot be said to be extremely drunk nor incapable of understanding the nature of the contract; even if his/her business sense was blurred, this is not enough to avoid the contract.

► Knowledge Check Questions

Question 8

Explain to what extent a child can enter into a legally binding contract.

Question 9

Explain whether drunkenness can provide a successful defence to a claim brought in contract.

➤ 2.5 INTENTION TO CREATE LEGAL RELATIONS

2.5.1 An Essential Element in Creating a Legally Binding Contract

Apart from offer and acceptance, it is also essential that the parties intended to be legally bound by their agreement. Since proving or disproving such intention may be evidentially

³⁰ *Gore v Gibson* (1843) 13 M & W 623.

³¹ *Matthews v Baxter* (1873) LR 8 Ex 132.

difficult, the law recognises certain presumptions of intention, depending on the context of the agreement, albeit that are capable of being rebutted with evidence to the contrary.

2.5.2 Domestic and Social Agreements

Where an agreement is made in a domestic or social context, there is a legal presumption that the parties did not intend it to be legally binding. For example, if a husband promises to wash the dishes in return for his wife ironing his shirts, although there is an outward appearance of a valid contract (i.e. there is an offer, acceptance, certainty (See Section 2.8) and consideration (See Section 2.6)), it is quite unlikely that either of them would have intended to sue the other for non-performance. Similarly, as between two friends making promises to each other at a local bar. Such a presumption may be rebutted by showing evidence of detrimental reliance upon the agreement, albeit not always.

***Balfour v Balfour* (1919) 2 KB 571**

Facts: A wife tried to enforce a promise made by her husband of GB£30 per week as financial support while he worked abroad.

Issue: Whether the wife could enforce the promise as a legal binding contract.

Held: Notwithstanding the fact that the wife had not provided any consideration (See Section 2.6), the agreement was not intended to be legally binding. Such agreements between husband and wife, according to the court, are outside the realm of contracts.

See also *Jones v Padavatton* (1969) 1 WLR 328 (a presumption that a mother-daughter agreement was not intended to have legal force had not been rebutted on the facts) and *Wu Chiu Kuen v Chu Shui Ching* (1992) HKCU 29 (a presumption that an agreement between a messenger and a Mahjong school patron was not intended to have legal force was rebutted on the facts).

2.5.3 Commercial Agreements

Where an agreement is made in a commercial context, there is a strong legal presumption that the parties did intend it to be legally bound. Everyday commerce would be severely jeopardised if such a presumption did not exist.³² Therefore, the burden of rebutting this presumption is a heavy one.³³ Perhaps the easiest way to rebut the presumption is if there is an express term (See Section 2.11) somewhere in the parties' written correspondence or draft documents, during negotiations, stating that the agreement was subject to contract, i.e. subject to a finalised (formal) contract.³⁴ Nevertheless, the term subject to contract is not conclusive evidence that there was no intention to be legally bound by a particular agreement – there may be other evidence to the contrary.³⁵

³² *Esso Petroleum Co Ltd v Commissioners of Customs and Excise* (1976) 1 WLR 1.

³³ *New World Development Co Ltd v Sun Hung Kai Securities Ltd* (2006) 9 HKCFAR 403.

³⁴ *World Food Fair Ltd v Hong Kong Island Development Ltd* (2007) 1 HKLRD 498.

³⁵ *Hong Kong Housing Authority v Hung Pui* (1987) 3 HKC 495.



2.5.3.1 Advertisements

Advertisements in newspapers, on the internet, television or radio, often contain statements or claims that are neither intended to be understood as legally enforceable contractual promises, nor would a reasonable person understand them as such. Such claims and statements are called mere puffs. An example would be: 'Super Energy – the best energy drink you'll ever taste!' However, in some situations, the court may decide that such phrases are legally binding promises.

Illustrative Example 7

In the opening case, Carbolic Smoke Ball Company ('CSBC') promised to pay GB£100 to anyone who caught the influenza virus after using CSBC's medicinal smoke ball as directed. However, when the plaintiff sought to claim the GB£100, CSBC tried to argue that the promise was simply marketing rhetoric and not intended to be legally enforceable. However, elsewhere in the advertisement, CSBC had stated that it had lodged GB£1,000 in a bank account, showing their sincerity to make good on the promise.

It was held that this wording in the advertisement was sufficient to demonstrate CSBC's intention to be legally bound to pay the GB£100 to the plaintiff.

2.5.4 Signatures

Choosing to sign on a contractual document may be regarded as showing a *prima facie* **intention to create legal relations**, requiring evidence to the contrary in order to rebut the (apparent) intention.³⁶ However, it is by no means conclusive of showing an intention to be legally bound.

2.5.5 Formalities

Some agreements are only enforceable if certain formalities have been complied with. For example, in order to bring an action on an agreement for the disposition of land, that agreement (or some memorandum or note) must be in writing and signed (s.3(1) of the Conveyancing and Property Ordinance (Cap.219)). There are further formalities for the actual disposition of the land but these are beyond the scope of this work (ss.4 to 5 of the Conveyancing and Property Ordinance (Cap.219)).

Illustrative Example 8

In the opening case, Carbolic Smoke Ball Company ('CSBC') denied that they were contractually obliged to pay the GB£100 reward to Mrs. Carlill. One of the reasons, according to CSBC, was that the advertisement was too vague to be the basis of a contract, there being no time limit for persons coming forward to claim the reward and no means of proving or disproving the use of the Carbolic Smoke Ball as directed

³⁶ *Ever-Long Securities Co Ltd v Wong Sio Po* (2004) 2 HKLRD 143.

Illustrative Example 8 (*continued*)

(See Section 2.8). As such, CSBC argued that this showed that it had no intention to create legal relations but, rather, the promise of the reward was simply a mere puff. However, the court held that the advertisement did not constitute a mere puff because this is not how the general public – i.e. an ordinary person – would understand it. Rather, the advertisement was clearly intended to have some effect, i.e. to encourage people to use the Carbollic Smoke Ball because the suggestions and allegations contained therein are directed toward the use of the Carbollic Smoke Ball, as distinct from the purchase of it. Essentially, CSBC's intention was to promote the circulation of the Carbollic Smoke Ball and increase the use of it. Further, the court thought that the ordinary person would read the advertisement as meaning that anyone who used the Carbollic Smoke Ball as directed (i.e. three times per day for two weeks), and then caught influenza, would be entitled to the GB£100 reward. Furthermore, the court considered that such a reading is supported by the fact that the advertisement expressly stated that 'GB£1,000 is deposited with the Alliance Bank, Regent Street, showing our sincerity in the matter' (emphasis added.).

► Knowledge Check Questions

Question 10

Explain whether a signature on a contractual document is conclusive evidence of an intention to be legally bound.

Question 11

In a commercial contract context, describe a simple way to rebut the strong legal presumption that the parties intended that a particular document contains legally binding terms.

2.6 CONSIDERATION

2.6.1 Definition

Consideration may be defined as some right, interest, profit or benefit accruing to one party or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other party.³⁷ It is, essentially, something that is given in return for something else under the contract – or, in other words, it is the price paid by one party for which the promise of another party is bought.

³⁷ *Currie v Misa* (1875) LR 10 Ex 153.



For example, X agrees to supply a car to Y in return for HK\$200,000; both the car and the HK\$200,000 constitute the consideration given by, and received from, the respective parties.

2.6.2 The Need for Reciprocity

For the vast majority of contracts, consideration must be reciprocal. A bare or gratuitous promise is not enforceable. As such, if X simply agrees to supply a car to Y (and Y promises or gives nothing in return), Y cannot enforce X's promise to supply the car. (However, this scenario would likely create a binding contract under civil law regimes, such as in mainland China.) The only exception where consideration is not required in return for a promise is where such a promise is made by deed.

2.6.2.1 Exception: Promises Made by Deed

A **deed** is a special type of contract that does not require the presence of reciprocal consideration. A gratuitous promise in deed form is sufficient to bind the promisor. However, there are certain formalities that must be complied with. First, the deed must be in writing. Second, the written document must be clearly labelled as deed or else clearly indicates that it is to take the effect of a deed. Third, the deed must be signed by the **promisor** (the person making the deed). Fourth, the promisor's signature must be attested by a witness. Fifth, it must be delivered, which, nowadays, simply means that there must be some conduct by the promisor that shows that he/she intended to be legally bound by it. Note that there is no longer a requirement that the deed is sealed.

Contracts that are not made by deed are known as simple contracts and these make up the overwhelming majority of daily contracts. As such, simple contracts (not deeds) shall be the focus of this chapter.

2.6.3 Benefit to the Promisor or Detriment to the Promisee or Both

As can be seen from the above definition, consideration can be in the form of a benefit to the promisor or a detriment to the promisee or (and most usually) both. For example, where X promises to supply a car to Y in return for HK\$200,000, Y's consideration (i.e. HK\$200,000) is both a benefit to X (i.e. the promisor) as well as being a detriment to Y (i.e. the promisee).

2.6.4 Distinct from a Condition

Consideration is distinct from a condition. For example, if X promises to give HK\$100 to Y in the event that Y breaks Y's leg, there is no contract because X's promise is a gratuitous promise, which is subject to a condition.³⁸

Illustrative Example 9

In the opening case, Carbolic Smoke Ball Company (i.e. the defendant) promised to pay GB£100 to any person who caught the influenza virus after using its Carbolic Smoke Ball as directed.

³⁸ *Shadwell v Shadwell* (1860) 9 CBNC 159.

Illustrative Example 9 (continued)

It was held that although catching the influenza virus was a condition of Mrs. Carlill (i.e. the plaintiff) being able to claim the GB£100, it did not constitute the consideration for the defendant's promise. Rather, the consideration was the inconvenience suffered by the plaintiff in using the smoke ball as directed (i.e. three times per day for two weeks) as well as the benefit to the company of an increase in sales.

As can be seen, such consideration in this case is both a detriment to the promisee (the plaintiff) and a benefit to the promisor (the defendant).

2.6.5 Must Move from the Promisee

Consideration must always move from the **promisee**, i.e. the party that seeks to enforce the promise. However, it is not necessary that the consideration should benefit the promisor. In other words, consideration must move from the promisee but need not necessarily move to the promisor.

2.6.5.1 Confusion with the Doctrine of Privity

The rule that consideration must move from the promisee is often confused with the doctrine of privity of contract (See Section 2.10). Under the doctrine of privity, a contract cannot confer rights upon a third party (i.e. a party who is not a party to that contract), even though the contract itself may be purely for the benefit of that third party. This means that, by virtue of the doctrine of privity, a third party to a contract cannot sue the promisor to enforce that promisor's promise (to the promisee) to provide a benefit to the third party; only the promisee can sue the promisor to enforce it.

This doctrine of privity reflects what the law regards as who is capable of suing to enforce a contract and is, therefore, quite distinct from the doctrine of consideration, which reflects what the law regards as which promises are legally enforceable (*Dunlop Pneumatic Tyre Co Ltd v Selfridges & Co Ltd* (1915) AC 847.) Nevertheless, the fact that a third party will not (normally) have provided consideration will also constitute the reason why that third party cannot sue the promisor to enforce the promise.

***Tweddle v Atkinson* (1861) 1 B & S 393**

Facts: A contract was made between two fathers, X and Y, who agreed to each pay X's son, Z, a sum of money upon the marriage of Z to Y's daughter.

Issue: Whether it would be possible for Z (X's son) to enforce the contract while Z was not a party to the X-Y contract.

Held: Since the contract was between X and Y, it was not possible for Z to enforce Y's promise to pay Z the sum of money after Z married Y's daughter. In this situation, only X, as promised, could sue Y to enforce the promise. The reason the court gave was based on Z having provided no consideration for Y's promise.



This case also stands as authority for the doctrine of privity, i.e. the fact that Z was not privy to the X–Y contract. Indeed, the case highlights how the doctrines of consideration and privity often complement, and coincide with, each other. That said, they still remain distinct doctrines. For more on privity of contract, see Section 2.10.

2.6.6 May Be Executory or Executed

Consideration may be executory or executed.

2.6.6.1 Executory

Consideration may be executory in the sense that it may take the form of an exchange of promises. For example, X promises to provide a service and Y promises to pay for that service. Although a contract has been formed, both parties have not yet performed their respective side of the bargain (the promises are to be performed at a later date).

2.6.6.2 Executed

Alternatively, consideration can be described as executed where a promise is exchanged for an act, thereby leaving the outstanding liability on one party only. This will be the situation in unilateral contracts. For example, X promises to pay a reward to anyone who finds and returns X's lost wallet; the promise becomes binding (and outstanding) upon someone's act of finding and returning the wallet to X. In this case, if Y had found and returned the wallet, Y's consideration is said to be executed.

Note that, in this situation, Y's act of finding and returning the wallet constitutes both his acceptance of the reward offer and his consideration for the promise to pay the reward (See Section 2.3).

In Exchange for, and in Response to, a Promise

It is important to note that exchange is vital: the promisee's performance of the act must be given in exchange for the promisor's promise in order to legally bind the promisor. Therefore, if Y performs the act in ignorance of the reward promised by X, Y's act will not constitute valid consideration for X's promise.³⁹

Similarly, the act must be in response to the promise. For example, suppose Y finds and returns X's lost dog. Feeling very grateful, X then promises to pay Y HK\$500. In this situation, Y cannot enforce X's promise since Y's act of finding and returning X's lost dog was not done in response to X's promise. Rather, Y's act constitutes past consideration (See Section 2.6.8).

2.6.7 Must Be Sufficient but Need not Be Adequate

Consideration must have some value but it need not be of equivalent value to that which is promised in return.⁴⁰ This reflects the concept of freedom of contract, as well as the practical inconvenience of proving adequacy. The only necessity is that the consideration is of some value. Therefore, HK\$1 could be sufficient consideration for the purchase of a car.

³⁹ *R v Clarke* (1927) 40 CLR 227.

⁴⁰ *Chappell & Co Ltd v Nestle Co Ltd* (1960) AC 87.

2.6.7.1 Settlement Agreements

Settlement agreements – to avoid or cease litigation – are like any other contract in the sense that they must be properly formed, including the need for consideration. In this situation, the consideration will be a promise not to sue (or a promise to cease legal proceedings currently under way) in return for (usually) a sum of money. It is irrelevant whether the legal proceedings would have been successful had they gone ahead (or continued), so long as the party foregoing (or ceasing) those proceedings honestly believed that it had a good claim.⁴¹

2.6.7.2 Easy to Establish

Although it remains an essential ingredient in contract formation, the existence of consideration in any alleged agreement is usually easy to establish, in some shape or form. There are many case examples where the courts have come to quite surprising decisions as to what constitutes consideration (e.g. used chocolate bar wrappers⁴²), usually though in the interests of justice where, otherwise, there would be no legally binding contract due to some technicality or unmeritorious reason. Indeed, this has led some commentators to suggest that the court will sometimes invent consideration in order to establish a legally binding contract and reflect the intentions of the parties,⁴³ though such practice has been criticised for its inconsistency in approach that can lead to uncertainty in the law.⁴⁴

2.6.8 Past Consideration

Generally, past consideration is not a valid consideration at all. For example, assume X unknowingly drops his wallet. If Y finds and returns the wallet to X, prompting X to promise to reward Y with HK\$500, then Y's act of finding and returning the wallet is not valid consideration for X's promise to reward him. Although X has benefited from Y's act, Y's act was not done in exchange for X's promise. In other words, X's promise is purely gratuitous and therefore legally unenforceable.

Roscorla v Thomas (1842) 3 QB 234

Facts: The plaintiff purchased a horse from the defendant. After the sale transaction was completed, the defendant assured the plaintiff that the horse was sound and free from vice. However, it later transpired that the horse was vicious and, as such, the plaintiff sued the defendant for breach of warranty, arguing that the sale contract was the consideration for the warranty.

Issue: Whether there was a valid consideration for the purpose of suing for alleged breach of the warranty.

Held: The sale contract was past consideration and therefore an invalid consideration for the purpose of suing for alleged breach of the warranty.

⁴¹ *Horton v Horton (No. 2)* (1961) 1 QB 215 and *Cosmo Sea Freight (HK) Ltd v Gold King Consolidator Ltd* (1994) HKCU 29.

⁴² *Chappell & Co Ltd v Nestle Co Ltd* (1960) AC 87.

⁴³ E. Peel, *Treitel: The Law of Contract*, 13th edn (Sweet & Maxwell), p. 75.

⁴⁴ *Ibid.*



If this case was heard today, the plaintiff could base his claim on breach of a statutory implied term of merchantable quality (s.16 of the SOGO) (See Section 2.12).

In *Re McArdle* (1951) Ch 669, a promise to reimburse a person's expenditure after home improvements have been made could not be legally enforced because such expenditure occurred before the promise of reimbursement – the promise had not been given in exchange for the expenditure.

2.6.8.1 Exception

Despite the general rule, there is an important exception – that is where the act was done at the request of the promisor. This exception is sometimes referred to as the doctrine of **implied assumpsit**.

***Lampleigh v Brathwait* (1615) Hob 105**

Facts: The defendant was facing the death penalty and asked the plaintiff to ride to London to obtain a Pardon from the King. When the plaintiff later returned, with the Pardon, the defendant promised to pay the plaintiff GB£100.

Issue: Whether the defendant's promise was legally binding.

Held: Although the plaintiff's act or performance was carried out before the defendant's promise of payment, the defendant's promise was legally binding because when the defendant asked the plaintiff to go to London to obtain the Pardon, there was an implied promise to pay him.

The requirements for establishing the exception are, essentially, that: (1) the act was performed at the promisor's request; (2) the parties understood that the act was to be remunerated either by a payment or the conferment of some other benefit; and (3) such payment or conferment of benefit would have been legally enforceable if it had been made before the act.⁴⁵

This third criterion would, of course, preclude the exception in a case involving an agreement to kill someone. Even if the killing was carried out at the request of the promisor and the parties understood that payment would follow, such payment would not be legally enforceable because it would amount to an illegal contract (See Section 3.6).

2.6.9 Performance of Existing Obligations

It might be questioned to what extent, if at all, the performance of one party's existing legal obligation can constitute valid consideration for another party's promise.

2.6.9.1 Duties Imposed by Law

Where a party is already compelled under an existing public duty, a promise to perform that duty will not constitute valid consideration for another party's promise. Clearly, there is no

⁴⁵ *Pao On v Lau Yiu Long* (1980) AC 614.

detriment to the performing party, or benefit to the other party, over and above their existing obligations and rights.

***Collins v Godefroy* (1831) 1 B & Ad 950**

Facts: The defendant promised to pay the plaintiff in return for the plaintiff providing expert evidence in court.

Issue: Whether the plaintiff was able to legally enforce the defendant's promise of payment.

Held: Since the plaintiff had already been served with a court order to attend court and give evidence (a 'subpoena'), the plaintiff was unable to legally enforce the defendant's promise of payment because the plaintiff was under an existing duty, imposed by law, to give evidence.

Nevertheless, where there is a promise to do something more than is legally required (i.e. over and above the existing legal obligation), this may constitute a valid consideration.⁴⁶

2.6.9.2 Duties Owed to a Third Party

Performance of an existing contractual duty owed to a third party can constitute valid consideration for another party's promise.⁴⁷

***Scotson v Pegg* (1861) 6 Hurl & N 295**

Facts: X promised to deliver coal to Y or to Y's order. Y ordered that the coal be delivered to Z. Z then promised X that, if X delivered the coal to Z as Y had ordered, Z would unload and discharge the coal at a fixed rate from a specified date. When X sued Z for breach of Z's promise, Z argued that the promise was not binding because X was doing no more than performing X's existing contractual duty owed to Y.

Issue: Whether the performance by X constitutes a valid consideration for Z's promise.

Held: Notwithstanding the existing contractual duty owed to Y, such performance by X constituted valid consideration for Z's promise.

Apply and Analyse 9

Apply

Edith, who lived at Middle Towers in Happy Valley, was assaulted one evening by some triad members just outside the lobby and suffered some minor injuries. The triad members escaped but Edith reported the incident to the police as well as the security staff in Middle Towers. Edith promised the police officers and the security staff interviewing her, including Oscar, that she would pay a HK\$10,000 reward to anyone who caught the culprits and

⁴⁶ *Glasbrook Brothers Ltd v Glamorgan County Council* (1925) AC 270 and *Ward v Byham* (1956) 1 WLR 496.

⁴⁷ *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd (The Eurymedon)* (1975) AC 154 and *Pao On v Lau Yiu Long* (1980) AC 614.

Apply and Analyse 9 (continued)

brought them to justice. Two days later, Oscar apprehended the culprits and they were subsequently prosecuted and jailed. However, Edith refused to pay Oscar the HK\$10,000.

Analyse whether Oscar can successfully claim the reward under the following two alternative further facts:

1. There is a statutory duty on the part of security personnel of any apartment buildings to assist in apprehending criminals who have committed crimes in the vicinity of their workplaces.
2. Under Oscar's contract with the company providing the security services, he is obliged to assist in apprehending criminals who have committed crimes in the vicinity of Middle Towers.

Analysis

1. Can Oscar's act of apprehending the culprits constitute good consideration for Edith's promise, despite Oscar being already statutorily obligated to assist in the apprehension?

The general rule is that performance of an existing duty imposed by law does not constitute good consideration (*Collins v Godefroy* and see Section 2.6.9.1) because there is no benefit or detriment over and above the existing rights and obligations.

However, an exception to this rule is where a person does more than he/she is legally obligated to do.⁴⁸ Therefore, if Oscar is simply performing a statutory duty, then the act of apprehending the culprits would not constitute good consideration to bind Edith to her promise. However, it could possibly be argued that Oscar has done more than the statutory duty to assist in the apprehension since he has actually apprehended them – perhaps physically – yet assist may simply mean assisting in the investigation (e.g. putting up posters and making enquiries) to discover who the culprits are. On this reasoning, Oscar may be able to successfully claim the reward. Essentially, Oscar's success will likely depend on the court's interpretation of assist and whether the court considers that Oscar's actions have exceeded his statutory obligation.

2. Can Oscar's act of apprehending the culprits constitute good consideration for Edith's promise, despite Oscar already being obligated to assist in such apprehension by virtue of his contract with his employer?

Performing an existing duty owed to a third party can constitute good consideration (See *Scotson v Pegg* (1861) 6 Hurl & N 295 and *New Zealand Shipping Co Ltd v AM Satterthwaite & Co Ltd (The Eurymedon)* (1975) AC 154). Although Oscar's employment contract obligated him to assist in apprehending the culprits, such an act of assisting in (not to mention, actually) apprehending can nevertheless constitute good consideration for Edith's promise of the reward. Therefore, it is very likely that Oscar can successfully claim the reward.

⁴⁸ *Glasbrook Brothers Ltd v Glamorgan County Council* (1925) AC 270 and *Ward v Byham* (1956) 1 WLR 496.

2.6.9.3 Duties Owed to the Promisor

As a general rule, performance of an existing contractual duty owed to the promisor cannot constitute valid consideration for a further promise by the promisor. Clearly, there would be no additional benefit to the promisor over and above that to which he/she is already legally entitled – nor would there be any additional detriment to the promisee over and above that which he/she is already legally obligated to suffer.

Stilk v Myrick (1809) 2 Camp 317

Facts: A group of sailors had agreed to sail a ship from London to the Baltic and back for a fixed sum. During the voyage, two of the crew members deserted and so the Master of the ship promised to divide the deserters' wages amongst the remaining sailors if they worked the ship back to London. However, upon arrival back in London, the Master refused to pay the additional wages to the crew. Therefore, the crew sued to enforce the Master's promise.

Issue: Whether the group of sailors could enforce the promise of extra payment.

Held: The promise of extra payment was unenforceable because the crew had provided no consideration for the promise of extra payment. The reason for this was because the crew had already agreed, under their original employment contract, to do their utmost to bring the ship back to London under all emergency situations, which would include where part of the crew deserts.

Interestingly, the outcome in *Stilk v Myrick* may be contrasted with a similar fact situation in *Hartley v Ponsonby (1857) 7 E & B 872* where, due to the sheer number of deserting crew members, the continued voyage became extremely dangerous with so few crew members, such that, by agreeing to continue working the ship, the remaining crew were doing more than they were contractually obligated to do. Accordingly, they were able to enforce the promise of additional wages.

Practical Benefit

One (somewhat controversial) exception to the general rule that performance of an existing contractual duty owed to a promisor cannot constitute a valid consideration for a further promise by the promisor is where the promisor obtains a **practical benefit** from the promisee's performance of that existing contractual duty.

Williams v Roffey Bros & Nicholls (Contractors) Ltd (1991) 1 QB 1

Facts: This case involved work as part of a building refurbishment project. The defendants (the main contractors) entered into a contract with a Housing Association to renovate some apartments. This contract included a time penalty clause (See Section 3.11.4), which was payable by the defendants if they were late in completing the renovation works. The defendants subcontracted the carpentry work to the plaintiff.

The plaintiff eventually fell behind schedule, due to financial difficulties and poor management of his workforce. As such, the defendants became concerned about late

Williams v Roffey Bros & Nicholls (Contractors) Ltd (1991) 1 QB 1 (continued)

completion because of the time penalty clause in their contract with the Housing Association. This prompted the defendants to offer the plaintiff an extra sum of money for completing the carpentry work on time, as previously agreed. This incentivised the plaintiff to finish on time, as originally agreed. However, when the plaintiff sought to enforce the promise of extra pay, the defendants refused. They argued that the plaintiff had provided no fresh consideration for the promise because they were originally contracted to finish on time anyway.

Issue: Whether the plaintiff provided a valid consideration.

Held: There was a valid consideration provided by the plaintiff because the defendants had received a practical benefit (or, rather, avoided a disbenefit). On these facts, the practical benefit included, for example, the fact that the defendants had avoided a time penalty under their contract with the Housing Association, as well as having avoided the trouble and expense of engaging replacement subcontractors.

Based on *Williams v Roffey Bros and Nicolls (Contractors) Ltd*, it seems there are, nevertheless, quite strict criteria that must be fulfilled before the practical benefit argument can be successfully utilised as a means of circumventing the general rule. These criteria are as follows:

1. If A has entered into a contract with B to do work for, or to supply goods or services to, B in return for payment by B;
2. At some stage, before A has completely performed his obligations under the contract, B has reason to doubt whether A will, or will be able to, complete his/her side of the bargain;
3. B thereupon promises A an additional payment in return for A's promise to perform his/her contractual obligations on time;
4. As a result of giving his/her promise, B obtains in practice a benefit, or obviates a disbenefit;
5. B's promise is not given as a result of economic duress or fraud on the part of A; and
6. The benefit to B is capable of being a consideration for B's promise, so that the promise will be legally binding (See *Williams v Roffey Bros & Nicholls (Contractors) Ltd (1991) 1 QB 1*).

See also *UBC (Construction) Ltd v Sung Foo Kee Ltd (1993) 2 HKLR 207* (the facts of this case are very similar to those in *Williams v Roffey Bros and Nicolls (Contractors) Ltd*).

Comment

It might be questioned as to how cases such as *Williams v Roffey Bros and Nicolls (Contractors) Ltd* are reconcilable with *Stilk v Myrick* since, surely, there was also a practical benefit in the latter case insofar as the ship owners received their ship safely back in London. However, the decision in *Stilk v Myrick* may be viewed on public policy grounds, i.e. to prevent extortion by sailors effectively holding ship owners to ransom on the high seas. Nowadays, such a

problem could be dealt with by the relatively more recent doctrine of economic duress (See Section 3.3.2). Indeed, *Williams v Roffey Bros and Nicolls (Contractors) Ltd* is said to have simply refined and limited the application of the general rule in *Stilk v Myrick*. In any event, it must be remembered that there remain strict criteria (See Section 2.6.9.3) that must be fulfilled in order to depart from the general rule.

2.6.10 Agreements to Terminate the Contract

Where a contract is wholly or partly executory (i.e. both parties still have some obligations left to perform under the contract), the consideration for an agreement to terminate the contract would be the mutual release by both parties giving up the right to have the remainder of their respective contractual rights performed in return for each party not performing their outstanding obligations. However, where one party, X, has already performed all of its contractual obligations, the other party, Y, would have to provide some other form of consideration in return for X giving up its right to have Y perform Y's outstanding obligations.⁴⁹

2.6.11 Agreements to Vary the Contract

After a contract has been formed, it may be varied by agreement of the parties at any time. However, any agreement to make a variation will still require valid consideration in order for the variation to be legally enforceable.

2.6.11.1 Promises to Pay More

As noted above, promises to pay more must be supported by consideration, either by the promisee providing an additional benefit to the promisor or incurring an additional detriment (*Stilk v Myrick* (1809) 2 Camp 317) or even, subject to fulfilling strict criteria, by the promisor gaining a practical benefit from the promisee's originally contracted performance (*Williams v Roffey Bros & Nicholls (Contractors) Ltd* (1991) 1 QB 1).

2.6.11.2 Promises to Accept Less

With regard to promises to accept less, it should be noted that a debtor cannot enforce a creditor's promise to accept less money and not sue for the balance of the debt. In other words, mere part payment of a debt cannot constitute a valid consideration for a promise to discharge the whole debt.⁵⁰ Rather, some fresh consideration would be required, i.e. something other than the lesser payment (assuming it is accepted by the creditor). For example, in *Pinnel's Case* (1602) 5 Co Rep 117a, the lesser sum plus a horse, a hawk or a robe was considered as being valid consideration for a promise to accept less money for an outstanding debt. Another example would be where the lesser sum is paid earlier than when the debt is legally due. Again, assuming this was either requested or agreed to by the creditor.

⁴⁹ *British Russian Gazette and Trade Outlook Ltd v Associated Newspapers Ltd* (1933) 2 KB 616.

⁵⁰ *Pinnel's Case* (1602) 5 Co Rep 117a.

Foakes v Beer (1884) 9 App Cas 605

Facts: This case involved a judgment debt of GB£2,090. The creditor promised the debtor that, if the debtor paid the creditor GB£500 in cash and the remaining balance in instalments, the creditor would take no further legal proceedings. After the debtor repaid all of the debt, the creditor then claimed interest on the debt, to the sum of GB£360. As such, the debtor argued that the creditor's promise not to take further legal proceedings meant that the debtor's obligation to pay interest had been discharged.

Issue: Whether the debtor had provided any consideration for the creditor's promise.

Held: The debtor had not provided consideration for the creditor's promise. By paying the principal sum due, the debtor had done no more than what the debtor was already legally obligated to do.

Practical Benefit Argument Does not Apply

Although it was recognised in *Foakes v Beer* that – particularly where the debtor's creditworthiness is dubious – there may often be a commercial advantage to businessmen accepting prompt payment of a lesser sum rather than insisting on and pursuing the whole sum, such a commercial advantage is not a sufficient consideration for an enforceable promise by the creditor to accept less. Indeed, it was made clear in *Re Selectmove Ltd* (1995) 1 WLR 474 that the practical benefit analysis (referred to above in relation to promises to pay more) does not apply in the context of promises to accept less.

Although the distinction, in this context, between the applicability of the practical benefit analysis (i.e. in the context of promises to pay more and promises to accept less) may appear logically inconsistent, it is the result of adherence to the doctrine of *stare decisis* and the hierarchy of case precedent. *Williams v Roffey Bros & Nicholls (Contractors) Ltd* (See Section 2.6.9.3), which introduced the concept of practical benefit in the context of promises to pay more, was a Court of Appeal decision but *Foakes v Beer* was a (superior court) House of Lords decision; as such, the Court of Appeal in *Re Selectmove* was bound by the decision in *Foakes v Beer vis-à-vis* promises to accept less.

Exceptions: Where promises to accept less are enforceable in the absence of consideration**1. Composition agreements**

Where all creditors of a particular debtor each agree to accept a lesser sum, each, in full satisfaction of the debt owed to them, will be bound by that promise to accept less.⁵¹ Despite the lack of consideration from the debtor, no single creditor would be able to enforce the full debt owed from the debtor as each creditor has promised the other creditors to accept less, thus conferring a benefit on all creditors generally.⁵² Indeed, if one creditor was able to claim the full debt owed to it by the debtor, this would effectively be to commit a fraud on the other creditors (who would then receive less from the debtor).⁵³

⁵¹ *Cook v Lister* (1863) 13 CB (NS) 543.

⁵² *Good v Cheeseman* (1831) 2 B & Ad 328.

⁵³ *Wood v Roberts* (1818) 2 Stark 417.

2. Part-payment by a third party

If a creditor accepts part-payment of a debt from a third party, in full satisfaction of the debtor's debt, then the creditor cannot later recover the balance from the debtor. Indeed, if the creditor was able to recover the balance, this would effectively be to commit a fraud on the third party.⁵⁴

2.6.12 Conclusion

Notwithstanding the exceptions and apparent means of circumventing the doctrine, consideration 'still remains a cardinal necessity of the formation of a contract'.⁵⁵

Illustrative Example 10

In the opening case, Carbolic Smoke Ball Company ('CSBC') denied that they were contractually obliged to pay the GB£100 reward to Mrs. Carlill. One of the reasons, according to CSBC, was that there was no consideration for their promise of the reward and that the use of the Carbolic Smoke Ball as directed was only a condition that did not constitute consideration. However, the court held that the inconvenience sustained by Mrs. Carlill in putting the Carbolic Smoke Ball to her nostrils, three times per day for two weeks, was enough to constitute consideration for CSBC's promise of the reward. Indeed, referring to the definition of consideration, the court reiterated that it can be either a benefit to the promisor or a detriment to the promisee. The court further noted that consideration need only be sufficient but need not be adequate. Furthermore, in addition to the inconvenience suffered by Mrs. Carlill as a promisee, there was a benefit received by CSBC, as promisor, insofar as the use of the Carbolic Smoke Ball was contemplated by CSBC as being indirectly beneficial to CSBC because increased usage would promote the sale of the Carbolic Smoke Ball.

► Knowledge Check Questions

Question 12

Identify which type of contract is valid without the need to show any consideration, i.e. where a gratuitous promise is sufficient to legally bind the promisor and describe the formality requirements for such a contract.

Question 13

Explain when past consideration can be a valid consideration.

⁵⁴ *HirachandPunamchand v Temple* (1911) 2 KB 330.

⁵⁵ *Combe v Combe* (1951) 2 KB 215.

► Knowledge Check Questions (*continued*)

Question 14

Explain when performance of an existing contractual duty owed to the promisor can constitute valid consideration for a further promise by the promisor.

Question 15

Explain whether part-payment of a debt can ever constitute valid consideration for a promise to discharge the whole debt.

2.7 PROMISSORY ESTOPPEL

2.7.1 Definition

Promissory estoppel is a doctrine that protects a promisee in a situation where the promisor promises not to enforce its strict (existing) contractual rights against the promisee and then later reneges on its promise after the promisee has already relied on it.⁵⁶

For example, X owes Y HK\$100. Y makes a promise to X that Y will accept HK\$80 in full satisfaction of the debt. X then, relying on that promise, spends the HK\$20 that X has saved. If Y then tries to go back on Y's promise and sues X for the HK\$20 balance, X may be able to rely on the doctrine of promissory estoppel as a defence to Y's action.

Central London Property Ltd v High Trees House Ltd (1947) KB 130

Facts: The plaintiffs leased a block of flats to the defendants for 99 years at GB£2,500 rent per year. In 1940, due to the outbreak of World War Two and the evacuation of people from London, the defendants realised that they were unable to sublet many of the flats. Therefore, the plaintiffs agreed to reduce the annual rent to GB£1,250 (albeit this promise was not supported by any consideration). In 1945, after the war had ended, the rental market had resumed to normal prices and the flats were all rented out. The plaintiffs therefore demanded that the defendants resume payment of the originally agreed annual rent of GB£2,500 from 1945 onwards.

Issue: Whether the defendants could rely on the doctrine of promissory estoppel as a defence to the plaintiff's action to demand for the original rental payment.

Held: The plaintiffs were entitled to demand the originally agreed rent from the date when the flats became fully rented out in 1945. However, the court clarified that the plaintiffs would not be entitled to any arrears from 1940 to 1945 because of the doctrine of promissory estoppel operating during that period.

⁵⁶ *Hughes v Metropolitan Railway Co* (1877) 2 App Cas 439.

2.7.2 Criteria for Establishing Promissory Estoppel

Essentially, for the doctrine of promissory estoppel to operate, the following criteria must be established:

1. The promisor has made a clear promise that it will not insist on its existing contractual rights against the promisee.
2. The promisee has relied on that promise (albeit not necessarily to its detriment – merely acting differently than it otherwise would be enough⁵⁷).
3. It would be inequitable for the promisor to go back on its promise (again, it is not necessary that the promisee has suffered a detriment in reliance on the promise but, if it did, it would certainly strengthen its ability to establish inequity).⁵⁸

2.7.3 Suspensory, not Extinctive

Promissory estoppel is (generally) only suspensory, not extinctive. In other words, it merely suspends the promisor's rights rather than extinguishing them altogether. Accordingly, a promisor could withdraw its promise not to rely on its strict legal rights if it gives reasonable notice to the promisee.⁵⁹

2.7.3.1 Lump Sums and Instalments

Where a debt consists of a single lump sum amount, the suspensory nature of promissory estoppel simply provides the debtor with more time to pay off the debt. However, where a debt is to be paid by instalments, it could be argued that the right to payment during the suspensory period has been extinguished. For example, in *Central London Property Ltd v High Trees House Ltd* (See Section 2.7.1), although never claimed by the landlord, the court said that the landlord would not have been able to recover any rent arrears that would otherwise have been due during the suspensory period (1940–1945) had the landlord tried to.

2.7.4 A Defence Only, not a Cause of Action

Promissory estoppel may only be used as a defence; it cannot be used as a **cause of action** to bring a claim. For example, the subcontractor in *Williams v Roffey Bros and Nicolls (Contractors) Ltd* (See Section 2.6.9.3) could not use promissory estoppel to claim the extra payment promised to it because it was the plaintiff, i.e. the one bringing the court action. As such, promissory estoppel is often referred to as being a shield, not a sword. Note, however, that in Australia, promissory estoppel has been used as a sword but only under very limited circumstances, involving unconscionability.⁶⁰ The justification for this is that, otherwise, the doctrine of consideration would be overthrown by a side-wind when, as noted above in *Combe v Combe*, consideration remains a cardinal necessity.⁶¹

⁵⁷ *Dixie Engineering Co Ltd v Vernaltex Co Ltd t/a Wing Wo Engineering Co* (Unrep.), CACV 343 and 344/2002).

⁵⁸ *Luo Xing Juan v Estate of Hui Shui* See (2009) 12 HKCFAR 1.

⁵⁹ *Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd* (1955) 1 WLR 761.

⁶⁰ *Waltons Stores (Interstate) Ltd v Maher* (1988) 1 64 CLR 387.

⁶¹ *Combe v Combe* (1951) 2 KB 215.

2.7.5 Impact on Part-payment of a Debt

In *Central London Property Ltd v High Trees House Ltd* (See Section 2.7.1), the court noted the apparent inconsistency between estoppel and the principle in *Foakes v Beer* (See Section 2.6.11) – i.e. that part-payment of a debt could not, by itself, constitute valid consideration for a promise to discharge the whole debt – and explained this as being the result of the fusion of law and equity. However, it would now seem that promissory estoppel at least has the potential to undermine the principle in *Foakes v Beer*.

Indeed, based on *Collier v P & MJ Wright (Holdings) Ltd* (2008) 1 WLR 643, it seems that if (1) a debtor offers to pay only part of the amount it owes, (2) the creditor voluntarily (i.e. there is no economic duress (See Section 3.3.2)) accepts that offer, and (3) in reliance on the creditor's acceptance, the debtor pays that part of the amount it owes in full, then the creditor will – by virtue of the doctrine of promissory estoppel – be bound to accept that sum in full satisfaction of the whole debt. The court considered that, if the creditor resiled from its earlier acceptance, it would be inequitable such that, in these circumstances, promissory estoppel would have the effect of extinguishing the creditor's right to the balance of the debt.

As will be noted, *Collier v P & MJ Wright (Holdings) Ltd*, which, to date, has not been followed by the Hong Kong courts – seems to contradict the principle in *Foakes v Beer*. However, although the latter case (which was heard in the nineteenth century) might possibly be decided differently today, it should be borne in mind that criteria in that case, set out above, appear to have only lukewarm support. Indeed, at least one out of the three judges in *Collier v P & MJ Wright (Holdings) Ltd* appeared to be more hesitant.

► Knowledge Check Questions

Question 16

Describe the essential requirements to establish promissory estoppel.

Question 17

Explain whether promissory estoppel extinguishes a promisor's contractual rights.

Question 18

Explain whether the doctrine of promissory estoppel can be invoked as a cause of action.



2.8 CERTAINTY OF TERMS

A contract will be unenforceable if it lacks certainty as a result of either (1) vagueness or (2) incompleteness. Indeed, a lack of certainty may also indicate a lack of intention to be legally bound (See Section 2.5).⁶²

⁶² *Baird Textile Holdings Ltd v Marks & Spencer Plc* (2001) EWCA Civ 274.

2.8.1 Vagueness

If the agreement has no definite meaning without introducing new terms, it will lack the requisite certainty. However, the court will do its best to avoid holding the contract to be unenforceable, particularly in the business context and/or where the parties have acted on the agreement.⁶³ One way in which the courts will try to avoid a finding of uncertainty is where there is objective criteria to assess reasonableness.⁶⁴

However, the court's willingness to uphold an agreement in the face of vagueness will depend on the importance attached to the particular term by the parties. Important terms that are vague are more likely to be regarded as causing the agreement to be too uncertain to be enforceable.

2.8.2 Incompleteness

Incompleteness arises when (1) the parties have left important points unsettled or (2) the parties have reached agreement but that agreement expressly requires further agreement to be reached on points left open.

2.8.2.1 Important Points Left Unsettled

It is not always necessary for a contract to contain all the details because it may be possible to fill in the gaps by way of implied terms (See Section 2.12) or by reference to reasonableness. However, the very reason that the parties have not reached agreement on an important point (such as price) may be because they consider that there is no contract yet and that the important point is yet to be fixed by further agreement.

2.8.2.2 Agreement Expressly Requires Further Agreement to Be Reached on Points Left Open

The parties may agree terms during discussions with the intention that a formal document will be drawn up at a later date. It is often assumed that there is no binding agreement until such formal documentation is drawn up. However, the court will look objectively at the parties' words and conduct in order to determine whether they intended to be bound immediately or only when the formal documentation is drawn up.

The use of the phrase 'subject to contract' provides strong (albeit not conclusive) evidence that the parties did not intend to create an immediately binding contract. However, references to recording the agreement in a formal document, or to an agreement being in principle, may not necessarily be sufficient to preclude an immediately binding agreement.⁶⁵ Nevertheless, an 'agreement to agree' is not enforceable because there is no way of determining what the parties are obligated to do.

⁶³ *Tito v Waddell (No.2)* (1977) Ch 106 and *Shaw v Lighthouseexpress Ltd* (2010) EWCA Civ 161.

⁶⁴ *Hillas & Co Ltd v Arcos Ltd* (1932) 147 LT 503.

⁶⁵ *Newbury v Sun Microsystems* (2013) EWHC 2180 (QB) ('such settlement to be recorded in a suitably worded agreement') and *Bieber v Teathers Ltd* (2014) EWHC 4205 (Ch) ('in principle').

► Knowledge Check Questions

Question 19

Explain when a contract will be unenforceable for lack of certainty.

2.9 AGREEMENT MISTAKE

Even where the basic elements of contract formation are (or appear to be) present, the contract may nevertheless be void for agreement mistake. Agreement mistake, in this sense, can essentially be divided into three different types:

1. Unilateral mistake as to terms;
2. Mistake as to identity; and
3. *Non est factum*.

2.9.1 Unilateral Mistake as to Terms

If one party ('X') knew that the contract contained a term that the other party ('Y') thought was not there, or knew that Y was mistaken about its meaning, the court can refuse to allow X to enforce the contract.⁶⁶

In other words, if X is aware of the error made by Y, X cannot claim that there is the requisite agreement. X cannot enforce a contract where X knows that the objective appearance of the terms does not correspond with the reality. It would lead to injustice if Y was bound by such a contract.⁶⁷

***Smith v Hughes* (1871) LR 6 QB 597**

Facts: A buyer purchased oats believing them to be old oats but which were actually new oats (unsuitable for his purposes). When he discovered this mistake, he refused to accept the oats and, as such, the seller sued for the price.

Issue: Whether there was a unilateral mistake as to terms of the contract.

Held: On the facts, there was no unilateral mistake as to terms but, rather, that the principle of *caveat emptor* ('let the buyer beware') applied.

⁶⁶ *Hartog v Colin and Shields* (1939) 3 All ER 566. Note that this marks one important exception to the objective nature of contract law: it marks a subjective qualification to the objective test as to whether the parties have reached an agreement.

⁶⁷ *Chwee Kin Keong v Digilandmall.com Pte Ltd* (2005) 1 SLR 502.

Note that, essentially, this old common law principle means that a buyer of goods takes the risk as to their quality upon himself/herself, having no remedy against the seller if he/she has chosen to rely on the bare representations of that seller, unless he/she can show that such representations were made fraudulently. However, this old principle is now qualified to some extent, most particularly by ss.16(2) and (3) of the SOGO (See Chapter 3 Principles of Contract and Consumer Law in Hong Kong (Part 2)). The court distinguished between two types of situations:

1. One situation is where the buyer correctly understands that the seller's offer is an offer to sell oats, but the buyer mistakenly believes that they are old oats, and the seller knows that the buyer is mistaken: in this situation, the seller is under no duty to inform the buyer that he/she is mistaken – rather, it is the buyer's own responsibility to check and ensure that the oats are of the type he believes them to be and so he/she cannot successfully claim that the contract is void on this basis.
2. The other situation is where the buyer is mistaken as to the terms of the seller's offer to sell the oats, i.e. the buyer mistakenly believes the seller's offer is to sell old oats and the seller knows that the buyer has mistakenly understood the offer. In this situation, the seller does have a duty to inform the buyer of the true nature of the offer, otherwise the contract would be void (i.e. there will be an agreement mistake).

Essentially, it is important to note that the mistake must relate to the terms of the contract, not merely a collateral matter. In *Smith v Hughes*, since there was no express stipulation for old oats, the actual age of the oats merely related to a quality (i.e. a collateral matter), not a term.

2.9.2 Unilateral Mistake as to Identity

The true identity of a contracting party is particularly important where payment for goods or services is to be made by cheque or credit card: if the buyer is not who they claim to be, the seller may be unable to demand payment from the bank or the credit card company. However, the legal difficulties commonly arise where a rogue buyer sells goods on to a third party who buys those goods from the rogue in good faith and without knowledge of any earlier fraud. In this situation, since the rogue is likely to have disappeared or may now be impecunious, the original seller is likely to bring a claim against the third party who now possess the goods, most likely for the tort of conversion. The tort of conversion occurs where X deals with Y's goods in such a way as to interfere with Y's rights as owner of those goods, i.e. where X treats Y's goods as if the goods belonged to X. Whether the original seller's claim against the third party will be successful depends on who legally owns the goods in question.

2.9.2.1 Ownership of Goods Bought and Sold by a Rogue

In accordance with the general principle of *nemo dat quod non habet*, a person cannot pass better legal title than he/she, himself/herself, has (See Section 3.17.1). This means that a rogue can only pass on to a third party such rights as he/she (the rogue) had. Therefore, it is necessary to examine the rights possessed by the rogue immediately prior to the rogue selling the goods to the third party buyer. There are two ways of analysing these rights: (1) one is based on fraudulent misrepresentation (See Section 3.2) and (2) one is based on a unilateral mistake.

Analysis 1: Fraudulent Misrepresentation

Since the rogue has assumed a false identity (and is therefore criminally liable for fraud), the contract between the original seller and the rogue can be described as vitiated



by fraudulent misrepresentation because the seller was induced to contract with the rogue by that misrepresentation, thereby making the contract voidable. However, since misrepresentation only makes a contract voidable (not automatically void), the contract would remain valid until the misrepresentation is discovered by the original seller and the contract is rescinded (See Section 3.2.2). Until then, a valid contract exists and so the rogue would be able to validly transfer ownership of (or title to) the goods to a *bona fide* third party, i.e. a third party who buys the goods in good faith and without knowledge of the fraud. In this instance, the innocent third party will have acquired valid ownership of the goods, meaning that the original seller would lose out.

Indeed, as set out in s.25 of the SOGO (See Chapter 3):

'When the seller of goods has a voidable title thereto, but his title has not been avoided at the time of the sale, the buyer acquires a good title to the goods, provided he buys them in good faith and without notice of the seller's defect of title.'

Analysis 2: Unilateral Mistake

By way of an alternative analysis, the contract between the original seller and the rogue could be described as being void (*ab initio*, a Latin term meaning from the outset, automatically) on the basis of a unilateral mistake such that no contract between the original seller and the rogue was ever formed. This would mean that the rogue never obtained legal ownership of the goods so that, in accordance with the *nemo dat quod non habet* principle, the rogue could not legally transfer the goods to a third party buyer. Accordingly, since the third party buyer acquired no legal title, the original seller could recover the goods (or their monetary value) from that third party buyer, notwithstanding that he was a *bona fide* purchaser.

This *nemo dat quod non habet* principle is set out in s.23(1) of the SOGO (See Chapter 3):

'... where goods are sold by a person who is not the owner thereof, and who does not sell them with the authority or with the consent of the owner, the buyer acquires no better title to the goods than the seller had ...'

However, it is important to note that this provision is subject to the so-called market overt rule, which permits a *bona fide* purchaser to acquire good title to the goods if he/she bought them on the open market, provided that he/she had no knowledge of the seller's defect in title.

The market overt rule is set out in s.24(1) of the SOGO (See Chapter 3):

'Where goods are openly sold in a shop or market in Hong Kong ... the buyer acquires a good title to the goods, provided he buys them in good faith and without notice of any defect or want of title on the part of the seller.'

In this instance, if innocently bought on the open market, the third party buyer will have acquired valid ownership of the goods, meaning that the original seller could not successfully sue him/her for the return of the goods (or monetary equivalent). Albeit the original seller may (possibly) have recourse against the person or shop who sold the goods to that *bona fide* purchaser.

2.9.2.2 Contracts with a Rogue: Void or Voidable?

As can be seen from the above two analyses, there are different possible consequences for an original seller – the one who has been defrauded by a rogue – depending on whether the

mistake as to identity is treated as being voidable for fraudulent misrepresentation or void *ab initio* for a unilateral mistake. In order to determine whether the contract between the original seller and the rogue is automatically void for mistake as to identity, it is necessary to determine whether the contract was concluded (1) purely in writing or (2) face-to-face (including by telephone).

There is a strong (albeit, rebuttable) presumption that, where the parties deal with each other face-to-face, each party intends to deal with the party facing him. In such circumstances, the contract will not be held void *ab initio* for a mistake merely because the original seller was mistaken as to the identity of the other party facing him. However, where the parties deal with each other purely in writing, the original seller who is mistaken as to the true identity of the other party may have the contract declared void *ab initio*. Indeed, where the contract is purely in writing, there is no presumption that the original seller intended to deal with the party writing the correspondence, or signing the document, where that party is actually different from whom the original seller thought he/she was dealing. Note that there is much academic and judicial criticism of the courts' difference in treatment between written and face-to-face contracts⁶⁸

Contracts Made Purely in Writing

Below are two cases of selling goods to a rogue party, presented to show the distinction of intending to sell to a known identifiable party and to one that has merely misrepresented itself.

Cundy v Lindsay (1878) 3 App Cas 459

Facts: A rogue named Blenkarn ordered some handkerchiefs from the plaintiffs. Blenkarn signed his name so as to appear as Blenkiron & Co, a respectable company – known to the plaintiffs – whose address was 123 Wood Street, Cheapside, London. Blenkarn gave his address as 37 Wood Street, Cheapside, London. Believing the order to be a genuine one from a reputable company, the plaintiffs duly sent the handkerchiefs to Blenkiron & Co, 37 Wood Street, where they were received by Blenkarn. Upon receipt – and without paying for the goods – Blenkarn sold the handkerchiefs to the defendants. When the plaintiff sellers discovered their mistake, they sued the defendants to recover the handkerchiefs.

Issue: Whether the plaintiffs could recover the goods from the defendants.

Held: The plaintiffs could recover the handkerchiefs from the defendants because the contract between the plaintiffs and Blenkarn was void for mistake: the plaintiffs had intended to deal with Blenkiron & Co, a company known to them, and the parties had corresponded purely in writing, responding to an order form signed as Blenkiron & Co.

King's Norton Metal Co v Edridge Merrett & Co Ltd (1897) 14 TLR 98

Facts: The plaintiffs delivered goods (on credit) to Hallam & Co which purported to be a large company but was actually a rogue named Wallis. Upon receipt of the goods (and without having paid for them), Wallis sold them to the defendants. When the plaintiffs discovered their mistake, they sought to recover the goods from the defendants.

Issue: Whether the plaintiffs could recover the goods from the defendants.

⁶⁸ *Shogun Finance Ltd v Hudson* (2004) 1 AC 919.

King's Norton Metal Co v Edridge Merrett & Co Ltd (1897) 14 TLR 98 (continued)

Held: The plaintiffs' claim failed because they intended to contract with the author of the written correspondence, regardless of who that was. In order for there to be a mistake as to identity, one existing entity must be mistaken for another existing entity. In this case, there was only one existing entity – i.e. the rogue using the alias of the company – and the plaintiffs clearly intended to deal with that existing entity. The court found that the plaintiffs only made a mistake as to one of his attributes, i.e. his creditworthiness.

The distinction between the decisions in *Cundy v Lindsay* and *King's Norton Metal Co v Edridge Merrett & Co Ltd* may seem puzzling at first sight. However, in *Cundy v Lindsay*, there was a mistake as to identity because the plaintiffs intended to deal with an identifiable party (i.e. Blenkiron & Co) whom they knew, whereas, in *King's Norton Metal Co v Edridge Merrett & Co Ltd*, the plaintiffs did not know Hallam & Co and simply intended to deal with the author of the correspondence (i.e. whoever was using the name 'Hallam & Co').

Contracts Made Face-to-Face

In comparison to contracts in writing, face-to-face contracts are significantly harder to be declared void.

Ingram v Little (1961) 1 QB 31

Facts: A rogue sought to buy a car from the plaintiff sisters. The rogue produced a cheque for the agreed amount but one of the plaintiffs refused to accept the cheque. The rogue told the plaintiffs that he was 'P.G.M. Hutchinson' of Stanstead House, Caterham. One of the plaintiffs then went to the Post Office to check the telephone directory to confirm that there existed such a person. Upon discovering that there was such a person at that address, the plaintiffs accepted the rogue's cheque and handed over the keys to their car. The rogue then sold the car to the defendants. However, when the rogue's cheque turned out to be worthless, the plaintiffs sought to recover the car from the defendants (the third party buyer).

Issue: Whether the plaintiffs could recover the car from the defendants.

Held: The contract between the plaintiffs and the rogue was void *ab initio* for the mistake. Although there is a *prima facie* presumption that, in face-to-face dealings, a party intends to contract with the party in front of him, such a presumption was rebutted on the facts of this case. The presumption was rebutted because the plaintiffs had refused to accept the rogue's offer to contract by cheque until his identity had been checked (by reference to the telephone directory), which demonstrated that the rogue's identity was essential to concluding the contract with the plaintiffs, not just essential to the method of payment.

Lewis v Avery (1972) 1 QB 198

Facts: A rogue, claiming to be an actor called Richard Greene, offered to buy the plaintiff's car. After signing a cheque, the plaintiff told him that he could only take the car once the cheque had cleared. Therefore, in order to persuade the plaintiff to let him take the car immediately, the rogue showed the plaintiff an admission pass to Pinewood Studios (a famous UK film studio) which bore the name of 'Richard A. Green', his address, photo and official stamp. Therefore, the plaintiff agreed to let the rogue take the car immediately. The rogue then sold the car to the defendants. However, upon realising their mistake and that the cheque was worthless, the plaintiff sought to recover the car from the defendants.

Issue: Whether the plaintiff could recover the car from the defendants.

Held: The plaintiff could not recover from the defendants: the presumption that the plaintiff intended to deal with the party in front of him was not rebutted. Rather, the court found that the plaintiff was not concerned about the actual identity of the rogue but, rather, his creditworthiness, which was a mistake as to an attribute only. (Note that the distinction between mistakes and attributes as opposed to identity may be likened to the distinction noted in *Smith v Hughes* (See Section 2.9.1) between mistakes as to a quality (or collateral matter) as opposed to terms.)

The decisions in *Ingram v Little* and *Lewis v Avery* do seem difficult to reconcile since both cases appear to have concerned the ability to pay or creditworthiness. Indeed, it has been suggested⁶⁹ that *Ingram v Little* was wrongly decided and is of questionable authority. Indeed, it is now accepted that the presumption that a party intends to contract with the person he/she is face-to-face with is a strong presumption, which is not sufficiently rebutted by the mere fact that one party believed that the party in front of him/her was actually somebody else. In fact, it is very difficult to rebut the presumption: it is only likely to be rebutted in situations where a rogue impersonates an individual's family member or someone else personally acquainted with the individual.⁷⁰

2.9.3 Non Est Factum

The legal doctrine of ***non est factum*** ('it is not my deed') can be pleaded as a defence to a claim brought in reliance upon a signed written contract where the party who signed the document was unaware of the true nature of the document at the time of signing. Under ordinary circumstances, a signature on a document will bind the signatory to the contents of that written contract.⁷¹ There is, however, a very narrow exception provided by *non est factum*. A successful plea of *non est factum* would void the contractual document. It should be noted that successful pleas are rare.

⁶⁹ *Shogun Finance Ltd v Hudson* (2004) 1 AC 919.

⁷⁰ *Ibid.*

⁷¹ *L'Estrange v E Graucob Ltd* (1934) 2 KB 394.



***Lewis v Clay* (1897) 67 LJ QB 224**

Facts: The plaintiff tricked the defendant into signing promissory notes (written promises to pay a stated sum to a specified person or the bearer at a specified date or on demand) made out to the plaintiff. The plaintiff had asked the defendant to witness some deeds for him, though claimed that the contents must remain confidential and so held a piece of paper over the deeds, with holes cut out to reveal the spaces where the defendant's signature was to appear. The plaintiff then sought to enforce the promissory notes.

Issue: Whether the defendant could successfully rely on *non est factum* as a defence.

Held: The defendant could successfully rely on *non est factum* as a defence.

2.9.3.1 Criteria for Invoking the Defence

Persons Eligible to Plead the Defence

The defence of *non est factum* originated from *Thoroughgood's Case* (1584) 2 Co Rep 9a for persons who were illiterate and had signed a deed after it had been incorrectly read over to them. However, the defence was later extended to cover other situations where 'the mind of the signer did not accompany the signature'.⁷² Indeed, the defence may be used by those who are permanently or temporarily unable (through no fault of their own) to have, without explanation, any real understanding of the purpose of a particular document, due to lack of education, illness or innate incapacity, including those who have been tricked into signing the document. See *Saunders v Anglia Building Society (sub nom Gallie v Lee)* (1971) AC 1004.

Requisite Degree of the Mistake

In order to make a successful plea of *non est factum*, the document which is signed must be sufficiently different in substance to the transaction intended.

***Saunders v Anglia Building Society (sub nom Gallie v Lee)* (1971) AC 1004**

Facts: An elderly aunt intended to legally convey her house to her nephew so that the nephew could use the house as security for a loan from the building society (it being a condition that the aunt would remain living in the house). The nephew's friend, who was known to be helping the nephew in obtaining the loan, asked the aunt to sign a document which he told her was a deed of gift of the house to the nephew. The aunt signed the document, despite not having read it due to her broken glasses. However, the document

⁷² *Foster v Mackinnon* (1869) LR 4 CP 704.

Saunders v Anglia Building Society (sub nom Gallie v Lee) (1971) AC 1004 (continued)

actually conveyed the house to the nephew's friend who then mortgaged the property to the building society. After the nephew's friend defaulted on his mortgage repayments, the building society sought possession of the house. However, the aunt pleaded *non est factum*.

Issue: Whether the defendant could successfully rely on *non est factum* as a defence.

Held: The aunt's plea of *non est factum* was unsuccessful. The court considered that the difference between what the aunt thought she was signing and what she actually signed was not sufficient to establish that she did not consent to it: she thought she was signing a deed conveying ownership of the house and that is precisely what she did (albeit to a different person). The court made clear that the transaction that the document purports to effect must be essentially different in substance or in kind from the transaction intended in order for the defence of *non est factum* to be successfully invoked.

Accordingly, as can be seen from *Saunders v Anglia Building Society*, the burden of proof is a heavy one, requiring clear and positive evidence before *non est factum* can be successfully pleaded. Such an essential difference would also include a difference in the capacity in which the signer thought he was signing. For example, in *Lewis v Clay* (See Section 2.9.3), the defendant did not know what he was signing (or was supposed to be signing, since he was told it was confidential) and therefore it could not be said that what he did sign was 'essentially different' to what he thought he was signing. However, the rationale for the successful plea of *non est factum* in *Lewis v Clay* was based on the fact that the defendant was mistaken as to the capacity in which he was signing, i.e. he thought he was signing merely as a witness.

2.9.3.2 Limitations on Invoking the Defence

There are narrow limitations on invoking the defence of *non est factum*.

No Defence for the Lazy, Too Busy or Those Who Do not Understand the Legal Effect

The plea of *non est factum* is not available for those who are too lazy or too busy to read through the document before signing it.⁷³ However, the defence may possibly be available if, although not having read the document, such a reading would not have revealed the true character of that document to a person of the disadvantaged capacity as that of

⁷³ *Chiswick Investments v Pevats* (1990) 1 NZLR 169.



the signer (for example, an elderly lady who might, even if she had read the document, be none the wiser as to its nature). Nevertheless, the defence is not available for those who sign a document and later claim that they did not understand the legal effect of the terms.⁷⁴ For example, in *Gillman v Gillman* (1946) 174 LT 272, a wife was held to be bound to a separation deed which she signed, despite having no definite idea about what she was signing.

Carelessness in Signing (Third Party Situation)

In *Saunders v Anglia Building Society* (See Section 2.9.3.1), it was also held that even if the document signed is essentially different from the transaction intended, the party who signed the document will not be able to succeed with the defence of *non est factum* against a third party unless she can show that she exercised reasonable care when signing the document. This was the second ground for rejecting the plea in *Saunders v Anglia Building Society*. The aunt had failed to check the name on the document. This means that if a person is careless and fails to read the document he/she is signing, the defence of *non est factum* cannot be used. However, it would be unfair to assess such carelessness by the standard of a reasonable person (as in the tort of negligence), given that such a person is unlikely to fall within the class of persons that could claim *non est factum* in the first place (i.e. those persons being incapacitated in some form). Therefore, it seems that carelessness is to be assessed by reference to the reasonable precautions that a person so incapacitated as the one pleading *non est factum* could have taken.⁷⁵ Nevertheless, even where the signers are illiterate, blind or simply lack understanding, the law will have regard to innocent third parties who cannot be expected to know the condition or status of the signer. Therefore, the law will require even illiterate or blind people, or those lacking in understanding, to act carefully according to their circumstances in putting their signature to legal documents (See *Saunders v Anglia Building Society (sub nom Gallie v Lee)* (1971) AC 1004).

2.9.3.3 Documents Signed in Blank

If a person were to sign a blank document, allowing another person to insert the terms of their orally agreed contract, they may theoretically be able to rely on *non est factum* as a defence if the terms written in the document are essentially different from the transaction that was intended. However, unless there are exceptional circumstances where it could be said that the signer did not act carelessly, the signer of a blank document takes responsibility for it and bears the risk of fraud or error when the terms are later inserted.⁷⁶ As such, a defence of *non est factum* is very unlikely to succeed in such a situation.

⁷⁴ *Muskham Finance Ltd v Howard* (1963) 1 QB 904.

⁷⁵ *Petelin v Cullen* (1975) 132 CLR 355.

⁷⁶ *United Dominions Trust Ltd v Western* (1976) QB 513.

► Knowledge Check Questions

Question 20

Explain what a unilateral mistake as to terms is.

Question 21

Explain what is meant by constructive knowledge of the non-mistaken party.

Question 22

Explain the difference between a contract that is void *ab initio* and one that is voidable.

Question 23

If a rogue impersonates another person to buy goods on credit, explain whether the contract is void or voidable.

Question 24

Describe the doctrine of *non est factum*.

2.10 PRIVACY AND THIRD PARTY RIGHTS

2.10.1 Privity of Contract

If a person is not a party to a contract, then they are said to be not **privity** to it. The doctrine of privity of contract can be broken down into two rules: (1) the burden rule and (2) the benefit rule.

2.10.1.1 The Burden Rule

Essentially, the burden rule is that a party cannot be legally subject to an obligation (or 'burden') under a contract to which they are not privy. Any such alleged obligation is unenforceable and such a party has no legal obligation to fulfil it.

Dunlop Pneumatic Tyre Co Ltd v Selfridge & Co Ltd (1915) AC 847

Facts: A company ('Dunlop') sold tyres to another company ('Dew') under a contract which specified that Dew would: (1) not re-sell those tyres at a price less than Dunlop's list price and (2) contractually require those who bought the tyres from Dew also not to re-sell those tyres at a price less than Dunlop's list price. Dew re-sold the tyres in question to another company ('Selfridge'), duly incorporating a term into the sale contract that Selfridge would not re-sell those tyres at a price less than Dunlop's list price. However, in breach of its contract with Dew, Selfridge re-sold the tyres at a lower price than Dunlop's list price. Therefore, Dunlop sued Selfridge for breach of Selfridge's obligation in the Dew-Selfridge contract.

Issue: Whether Dunlop could successfully sue Selfridge for breaching the Dew-Selfridge agreement.

Held: Dunlop was unsuccessful because Dunlop was not a party (or privy) to the Dew-Selfridge contract, under which the said breach occurred – rather, only a party who is a privy to a contract can sue on it. Selfridge was only bound by its obligations set out in Selfridge's contract with Dew and, if such obligations were breached, only Dew could properly sue Selfridge.

2.10.1.2 The Benefit Rule

Essentially, the benefit rule is that a party cannot legally enforce a right (or benefit) that is to be conferred upon that party under a contract to which they are not a privy.

Beswick v Beswick (1968) AC 58

Facts: An uncle (X) sold his coal delivery business to his nephew (Y) in return for a promise from Y that Y would pay a weekly sum to X for the rest of X's life and, thereafter, a weekly sum to X's widow (Z) for the remainder of Z's life. However, despite Y paying X (as agreed) until X's death, Y then only paid one sum to Z and refused to make further payments. Therefore, Z sued Y for specific performance (See Section 3.15), i.e. a court order to compel Y to continue making payments to Z as per the X-Y agreement. Z brought the action in two capacities: (1) as administratrix of X's estate and (2) in her own personal capacity.

Issue: Whether Z could successfully enforce the X-Y agreement in capacity as administratrix of X's estate and in her own capacity.

Held: Insofar as Z was acting in her personal capacity, she could not enforce the X-Y agreement because she was not privy to it. However, since she also brought the action in her administratrix capacity, she was entitled to specific performance – Z faced no problem with privity or consideration since, as X's administratrix, it was as if X himself was suing Y.

See also *Scruttons Ltd v Midland Silicones Ltd* (1962) AC 446.

Exceptions and Means of Circumventing the Rule

Due to the potential injustice and commercial inconvenience caused by the benefit rule (as can be seen from *Beswick v Beswick* in Section 2.10.1.2 and *Scruttons Ltd v Midland Silicones Ltd*), there are many exceptions to it and means of circumventing it, both at common law and under statute. For example, at common law, the rule can be circumvented by way of a collateral contract whereas, under statute, a third party may be able to rely on the Contracts (Rights of Third Parties) Ordinance (Cap.623).

Collateral Contract

A collateral contract is, essentially, a judicial invention to do justice where the doctrine of privity may cause hardship. In appropriate cases, the court may be willing to find the existence of a separate contract in addition to the main contract in a particular dispute.

Shanklin Pier Ltd v Detel Products Ltd (1951) 2 KB 854

Facts: Pier owners ('X') employed contractors ('Y') to paint X's pier. A paint company ('Z') made representations to X about the durability of Z's paint – in particular, that the paint would last for seven years. As a result, X instructed Y to use the paint manufactured by Z and, accordingly, Y purchased paint from Z for use in the X-Y painting contract. However, the paint actually lasted only three months after it had been applied. Since there was no contractual relationship between X and Z, it would seem that X could not sue Z for breach of contract.

Issue: Whether X could sue Z for breach of contract.

Held: There was a collateral contract between X and Z, whereby X's consideration (for Z's assurances about the paint's durability) was X's instruction to Y to purchase the paint from Z (i.e. giving Z the benefit of a sale). As such, X could successfully sue Z for breach of contract.

However, the courts are less likely to find a collateral contract in situations involving experienced commercial parties.⁷⁷

See also *Charnock v Liverpool Corporation* (1968) 1 WLR 1498.

2.10.2 Third Party Rights under the Contracts (Rights of Third Parties) Ordinance (Cap.623)

Probably the most important statutory limitation to the doctrine of privity comes from the Contracts (Rights of Third Parties) Ordinance (Cap.623). With effect from 1 January 2016, it enables contracting parties to confer enforceable contractual rights on third parties.

Unless otherwise stated, all references to statutory provisions in Section 2.10.2 are made to the Contracts (Rights of Third Parties) Ordinance (Cap.623) ('CRTPO').

2.10.2.1 Scope

Under s.3, certain types of contract are excluded from its scope, such as, for example, bills of exchange, covenants relating to land, employment contracts and contracts for the carriage of goods by sea (except in relation to exemption clauses).

2.10.2.2 Tests of Enforceability

Section 4: Third party's right to enforce a contractual term

1. A third party may enforce a term of a contract (including a term that excludes or limits liability) if:
 - (a) the contract expressly provides that the third party may do so; or
 - (b) the term purports to confer a benefit on the third party.

⁷⁷ *Fuji Seal Europe Ltd v Catalytic Combustion Corp* (2005) EWHC 1659.



2. The third party must be expressly identified in the contract by name, as a member of a class or as answering a particular description.
3. Subsection (1)(b) does not apply if, on a proper construction of the contract, the term is not intended to be enforceable by the third party.
4. The enforcement of the term by a third party under this section is subject to any other term of the contract relevant to the term.
5. Subsection (1) applies whether or not the third party has given consideration for the term.
6. Subsection (1) applies to a third party even if the third party was not in existence when the contract was entered into.

As seen from the above extract from the CRTPO, there are two tests of enforceability: (1) the first test under s.4(1)(a) and (2) the second test under s.4(1)(b). Before considering these two tests in further detail, it is important to note a couple of points that are common to both tests.

First, as per s.4(2), the third party must be expressly identified in at least one of the following ways: by name (i.e. a specific person or company); as a member of a class (e.g. stevedores or subsequent owners) or as answering a particular description (e.g. a creditor of one of the contracting parties or a person living at a particular address).

Second, as per s.4(6), the third party need not be in existence at the time of contract formation. Therefore, enforcement rights can be conferred on, for example, unborn children, future spouses or as-yet unincorporated companies.

The first test under s.4(1)(a)

The first test is very straightforward. It allows a third party to enforce a contractual term where the contract expressly provides for the third party to do so. For example, the contract term may simply read: 'John Smith shall have the right to enforce this Agreement'.

The second test under s.4(1)(b)

The second test is more contentious. It allows a third party to enforce a contractual term where the term purports to confer a benefit on that third party. However, there is a qualification in s.4(3): any presumption of enforceability under the second test will be rebutted if, on a proper construction (i.e. interpretation), the term is not intended to be enforceable by the third party. In other words, s.4(3) disapplies s.4(1)(b) if, on an objective contractual interpretation, it is clear that the contracting parties did not intend to confer any right of enforcement on the third party.

Such a rebuttal may be done in either of two ways. The first way is that there could be an express term precluding third party enforceability or simply contracting out of the CRTPO. For example, the contract may contain a term such as the following:

'A person who is not party to this Agreement shall have no right under the Contracts (Rights of Third Parties) Ordinance (Cap.623) to enforce any of its terms.'

Another way to rebut the presumption is where there is any term that is inconsistent with the contracting parties' intention to confer a right of enforceability on the third party.

For example, where, although there is a term dealing with the assignment of a benefit to a third party, there nevertheless exists another term that prohibits one contracting party from assigning that benefit without the consent of the other contracting party.

2.10.2.3 Remedies

S.5 essentially provides that a third party can claim the same remedies as those that would be available to the contracting parties, which includes damages (See Section 3.11) at common law as well as the equitable remedies such as specific performance (See Section 3.15).

2.10.2.4 Defences, Set-offs and Counter-claims

S.8(2) essentially provides that a contracting party can raise a defence or set-off to a claim by a third party as would have been available to that contracting party if the claim had been brought by another party to the contract, where such a claim arises from, or is in connection with, the contract and is relevant to the term in question or where the defence or set-off is made expressly available to the contracting party. S.8(3) essentially provides that a contracting party can counterclaim against a third party for a matter not arising from the contract that would have been available to that contracting party if the third party had been a contracting party. S.8(4) essentially provides that the availability of such defences, set-offs and counterclaims can be restricted by way of an express term in the contract.

2.10.2.5 Rescission and Variation

S.6 essentially provides that the contracting parties may – by agreement – **rescind** the contract or vary it in a way that affects the third party's right, unless the third party has assented to the term (and the contracting party making the promise has received notice of such assent) or the third party has relied on the term (and the contracting party making the promise is aware of, or could have reasonably foreseen, such reliance), in which case the contracting parties would require the third party's consent in order to rescind the contract or vary the term. However, s.6(4) essentially allows for the contracting parties to include an express term that either dispenses with the need for the third party's consent or requires the third party's consent in other, contractually specified, circumstances rather than those set out in the CRTPO, but only if the third party was aware of such an express term before the third party assented to or relied on the term conferring the benefit, or where the contracting parties have taken reasonable steps to make the third party so aware.

► Knowledge Check Questions

Question 25

In the context of the doctrine of privity of contract, explain what is meant by the benefit rule and what is the main statutory limitation to this rule.

Question 26

In the context of the doctrine of privity of contract, explain what is meant by the burden rule.



CONTENTS OF THE CONTRACT

Although there may be no disagreement between the contracting parties as to whether there exists a valid and legally enforceable contract, there may be a disagreement with regard to the terms of the contract. Such disagreement may arise from what was actually agreed and what was meant to form part of the contractual obligations, especially if the contract was wholly or partly oral in nature. Other than being expressly stated (orally or in writing), some terms can be implied into a contract. Further, where a disagreement arises as to the fairness of a particular contract term, most notably where one party has expressly included a term that seeks to unreasonably exclude or limit his/her liability for breach of his/her contractual obligations, the court may hold that such a term is not enforceable.

2.11 EXPRESS TERMS

2.11.1 Pre-contractual Statements

Terms form part of a contract and identify the respective obligations of the parties. They are statements made that involve promises and, as such, attract contractual liability. Failure to fulfil any of the terms will constitute a breach of contract (See Section 3.9). Therefore, when considering pre-contractual statements (often made orally), it is important to identify which statements are terms and which are mere puffs or representations.

2.11.1.1 Puffs

Puffs are statements that are not meant to be taken seriously or literally. They are not intended to be legally binding (See Section 2.5) but are simply marketing rhetoric. For example, an advertisement may read: 'Shek-O Beer – the best beer in the world!'.

Chan Yeuk Yu v Church Body of the Hong Kong Sheng Kung Hui (2001) **1 HKC 621**

Facts: This case concerned an alleged misrepresentation based on the phrase 'regal surroundings for the select few' that was used in a sales brochure for apartments.

Issue: Whether the phrase used in a sales brochure was simply vague promotional language.

Held: This phrase was no more than a mere puff and was simply vague promotional language. The phrase was therefore not sufficient to sustain a claim for misrepresentation.

2.11.1.2 Representations

Representations are statements that induce a party to enter into a contract and, although attracting no contractual liability, may attract tortious liability if they turn out to be untrue (See Section 3.2).

2.11.2 Distinguishing a Term from a Representation

2.11.2.1 The Reason for Distinguishing

It is important to distinguish terms from representations because of the different legal consequences for breach of a term as opposed to a misrepresentation. These legal consequences are detailed later in Sections 3.2 and 3.11. Breach of a term of a contract automatically entitles the non-breaching party to damages. However, a misrepresentation can only afford the representee damages upon proof of fault, i.e. the representee would have to prove that the statement was made either fraudulently or negligently.

Furthermore, the measure of damages is different, depending on whether there was a breach of contract or a misrepresentation: the former will normally protect the non-breaching



party's expectation interest so as to put him/her into the position he/she would have been had the contract been properly performed according to its terms, whereas the latter will protect the representee's reliance interest, so as to put him/her into the position he/she would have been had the contract never been entered into in the first place. Moreover, in relation to the measure of damages, the rules on remoteness of loss also differ: a claim for damages based on a breach of contract involves a stricter remoteness test than a claim for damages based on misrepresentation.

2.11.2.2 The Method of Distinguishing

When determining whether a particular statement is a term or representation, the court will take an objective approach so as to ascertain the parties' intentions, i.e. whether the maker of the statement intended to make a binding promise and so attract contractual liability.⁷⁸ As such, the courts have developed certain guiding principles in order to determine the status of the statement as being either a term of the contract or a representation that induced the contract. However, these are only guiding principles and are capable of being rebutted – they are not decisive tests.⁷⁹

Whether the Statement Was Put into Writing

If, shortly after the statement was made, the contract was written up but did not include that statement, then the presumption is that the statement was not intended to be a contractual term.⁸⁰

The Length of Time That Has Elapsed Between the Making of the Statement and the Contract Being Entered Into

The more time that has elapsed in between the making of the statement and the contract being formed, the stronger will be the presumption that the statement is a representation.⁸¹

Whether the Statement-Maker Assumed Responsibility for Its Truth or Advised Its Verification

Where the maker of a statement assumes responsibility for the truth of the statement, the statement is more likely to be treated as a term.⁸² However, where the maker of the statement advises the other party to check the reliability of the statement (such as through an independent survey or audit), that statement is more likely to be treated as a representation; it is difficult to regard the statement-maker as having made a binding promise as to the statement's truth.

Whether One Party Had Specialist Knowledge or Skill

If the party making the statement has, or purports to have, specialist knowledge or skill and the other party has relied on this when entering into the contract, there will be a stronger presumption that the statement was a term.

⁷⁸ *Heilbut Symons & Co v Buckleton* (1913) AC 30.

⁷⁹ *Ibid.*

⁸⁰ *Ibid.*

⁸¹ *Routledge v McKay* (1954) 1 WLR 615.

⁸² *Schawel v Reade* (1913) 2 IR 81.

Dick Bentley Productions Ltd v Harold Smith (Motors) Ltd (1965) 1 WLR 623

Facts: The defendant car dealership had stated that a car had run for 20,000 miles and the plaintiff relied on this statement in purchasing the car. However, after numerous problems with the car, the plaintiff eventually discovered that the car had actually run closer to 100,000 miles and, therefore, the plaintiff sued the car dealership for breach of contract, arguing that the statement about the car's mileage was a term.

Issue: Whether the dealership's statement as to mileage was a term of the contract.

Held: Since the car dealership had specialist knowledge and was in a better position to discover the true mileage of the car, the dealership's statement as to mileage was a term of the contract.

See also, and in contrast, *Dick Bentley: Oscar Chess v Williams (1957) 1 WLR 370*. This was a private seller's statement as to the age of the car being sold to a car dealership and was held to be a representation. Since he had no specialist knowledge, the car dealership could not have reasonably relied upon such a statement; rather, the car dealership was in a better position to discover the truth of the statement with regard to its age.

The Importance of the Statement

The court will consider the importance placed upon the statement and whether the maker of the statement realised the importance of the statement to the other party. Such importance to the other party may have been expressly communicated to the maker of the statement before the statement was actually made or the surrounding circumstances may have indicated the importance of such a statement.

Bannerman v White (1861) 10 CB NS 844

Facts: A potential buyer asked a hops seller whether sulphur had been used in the production of the hops, stating that he would not be interested in purchasing them if sulphur had been used. In response, the seller stated that no sulphur had been used. However, after the sale, the buyer discovered that sulphur had been used and so rejected the hops and claimed breach of contract.

Issue: Whether the seller's statement was a term in the contract.

Held: The seller's statement was a term of the contract. If the statement had not been made, the buyer would not have entered into the contract.

Whether There Was a Collateral Warranty

A statement made by a person with specialist knowledge may be interpreted as a 'collateral warranty' insofar as there is an implied promise (See Section 2.12) that reasonable care and skill have been used in making the statement. This is usually the situation where an expert makes a forecast; if the forecast turns out to be incorrect and it is shown that the expert failed to use reasonable care and skill, the court may treat the incorrect forecast as a breach of a contractual term.⁸³ However, it would seem that there must be clear evidence that

⁸³ *Esso Petroleum Co Ltd v Mardon (1976) QB 801*.



the statement was intended to have contractual force; the courts will not readily find such collateral warranties.⁸⁴

2.11.3 Incorporating Express Terms into a Contract

Express terms are terms that have been specifically mentioned and agreed by both parties at the time the contract is made. The ways they are incorporated depends on whether the contract is in writing or oral.

2.11.3.1 Written Contracts

The Parol Evidence Rule

The parol evidence rule is that parol evidence (i.e. anything that is extrinsic to the written contract, including oral statements) cannot be admitted to add to or vary the written contract,⁸⁵ though there are so many exceptions to this rule that the rule has, effectively, become the exception. Although the idea that the contract as written should be given effect does seem to have some merit (in the interests of certainty), there is a problem with this if the parties did not intend their agreement to be found only within the four corners of the actual written contract document but, rather, intended that their agreement consists of more than just one such document.

Essentially, the question is whether the parties intended the whole of their agreement to be recorded in a particular document. If they did, then parol evidence is excluded and cannot be used for the interpretation of the contract; if they did not, then such extrinsic evidence is not excluded. Again, this intention of the parties is to be determined objectively. As such, the parol evidence rule does not cause any real problem in practice since it only applies where the contract was intended by the parties to be wholly in writing and, in determining such intention, the court will consider all the evidence, including extrinsic evidence. Indeed, the rule is, in practice, all but defunct since it is very rarely referred to as an aid to contract interpretation.

Entire Agreement Clauses

After many long discussions (including emails, phone calls, letters and face-to-face meetings), the parties eventually negotiate and sign a written agreement that represents their deal. Given that the parol evidence rule is practically defunct, parties may nevertheless protect themselves from one of them later by dredging up statements made in an email or oral conversation during the contract negotiations – and claiming that such statements form part of the contract – and by incorporating an entire agreement clause into the contract.

An entire agreement clause is designed to make clear that the contract, as written in a particular document, constitutes the whole contract between the parties.⁸⁶ In other words, the entire agreement clause states that any other prior written documents or oral statements do not form part of the contract, making it clear what the parties' intention is and, in turn, essentially replacing the parol evidence rule as a mechanism for identifying the terms of the contract that are to be interpreted.

⁸⁴ *Heilbut Symons & Co v Buckleton* (1913) AC 30 and *Bank of China (Hong Kong) Ltd v Fung Chin Kan* (2002) 5 HKCFAR 515.

⁸⁵ *Jacobs v Batavia & General Plantations Trust Ltd* (1924) 1 Ch 287.

⁸⁶ *Inntrepreneur Pub Co Ltd v East Crown Ltd* (2000) 2 Lloyd's Rep 611.

Nevertheless, the entire agreement clause device could be viewed as merely persuasive evidence rather than conclusive evidence that the document manifests the entire contract between the parties. Indeed, it could simply be included as a standard boiler-plate clause and not actually constitute a true statement as to what the parties have agreed in reality. On the other hand, it might be argued that, if the interpretation of contracts is, indeed, concerned with establishing the objective intention of the parties, there is no more obvious outward manifestation of intent than what is written in the contract document, including a statement that the document contains the entire agreement between the parties.

Furthermore, if entire agreement clauses are not conclusive, then this would undermine the very commercial certainty that the common law strives for, as well as undermining freedom of contract and the parties' autonomy to stipulate and agree that what they have written within the four corners of the document constitutes the entirety of the contract. Fortunately, the courts do recognise the efficacy of entire agreement clauses and will, usually, give effect to them.

The Difference Between an Entire Agreement Clause and a Non-reliance Clause

The non-reliance clause is a typical boiler-plate clause designed to preclude arguments of misrepresentation (See Section 3.2) based on any representations made during pre-contractual negotiations. Essentially, the parties acknowledge in writing that they have not relied upon any pre-contractual representations in entering into the contract and, as such, are confined to bringing an action for breach of express terms only.

In this regard, the non-reliance clause is distinct, and serves a different purpose, from an entire agreement clause. Whereas the non-reliance clause seeks to exclude liability for misrepresentation by stating that any pre-contractual representations have not been relied upon, the entire agreement clause seeks to exclude collateral terms by asserting that the contract, as written, contains all of the agreed terms and therefore constitutes the whole agreement.⁸⁷ Nevertheless, it is clear to see how the non-reliance clause supplements the entire agreement clause insofar as attempting to secure and uphold the contract as agreed on the terms within the actual contract document.

A typical non-reliance clause might read as follows:

'The Parties agree that no statements or representations made by either Party have been relied upon by the other in agreeing to enter into the Contract.'

A typical entire agreement clause might read as follows:

'The Parties agree that the terms and conditions contained in this Contract represent the entire agreement between the Parties.'

The Extent of the Binding Force of a Signature

In the interests of certainty, a contractual document that is signed will have the effect of binding the signer to the terms therein, even if those terms are not read by the signer.⁸⁸

⁸⁷ *AXA Sun Life Services Plc v Campbell Martin Ltd* (2011) EWCA Civ 133.

⁸⁸ *L'Estrange v E Graucob Ltd* (1934) 2 KB 394 and *Bank of China (Hong Kong) Ltd v Fung Chin Kan* (2002) 5 HKCFAR 515.


Landale Development Ltd v ZhumHeng Development Ltd (1990) 1 HKC 274

Facts: The clause was contained in the contractual document that was faxed by ZhumHeng to Landale. However, only the face of the document was faxed; the reverse side, which contained the arbitration clause, was not transmitted. Landale signed the fax and faxed it back to ZhumHeng. ZhumHeng argued that the arbitration clause, although only appearing on the unfaxed reverse, was nevertheless incorporated into the contract.

Issue: Whether an arbitration clause had been incorporated into the contract.

Held: In favour of ZhumHeng – since one of the clauses on the faxed face of the document referred to terms and conditions, Landale must have known that the reverse of the document had not been faxed and yet still signed the document, without clarifying such terms and conditions, and faxed it back. In other words, Landale was in the same position as if it had received the original document and had signed it without turning it over to read the conditions on the reverse side.

However, due to the potential for injustice, the binding force of a signature has its limitations. For example, a signature will not be binding where it has been fraudulently obtained or where there has been a misrepresentation as to the document's contents (See Section 2.9.3).

Curtis v Chemical Cleaning and Dyeing Co (1951) 1 KB 805

Facts: This case concerned a term found in a receipt that excluded a dry-cleaning company's liability for any type of damage to a wedding dress.

Issue: Whether the term was binding.

Held: The term was not binding, despite the customer's signed acknowledgment, because the company's assistant had misrepresented the extent of the exemption, i.e. that it only exempted liability for damage to beads and sequins.

Other limitations to the principle include statutory regulation (such as the Control of Exemption Clauses Ordinance (Cap.71)), mistake, *non est factum*, duress, undue influence and lack of mental capacity – these are covered in the present chapter and in Chapter 3 Principles of Contract and Consumer Law in Hong Kong (Part 2).

2.11.3.2 Oral Contracts

Any statement that is purported to be a term incorporated into a contract must be made before or at the time of contract formation. The primary ways in which terms can be incorporated into oral contracts are: (1) by signature (for partly oral contracts); (2) by reasonable notice; (3) by usual course of dealings or (4) by reference to trade custom.

By Signature

Incorporation of a term by signature is dealt with under Section 2.11.3.1. However, it is also relevant where a contract is part-oral, part-written.

By Reasonable Notice

Whether written terms in unsigned documents have been incorporated into an oral contract will depend on whether those terms are found within a document in which such contractual terms would be expected to be found – as well as whether reasonable notice of such terms has been given before or at the time of contract formation.

Whether the Document has Contractual Status

It should also be noted that, where a ticket – such as a receipt – is issued after the contract has been formed (See Sections 2.2 and 2.3), it cannot introduce terms into that contract. Other documents that are usually of a non-contractual status include invoices, timesheets and statements of account.⁸⁹ Nevertheless, it may be possible for an invoice to constitute a contractual document where it constitutes the offer to contract (See Section 2.2).

Chapelon v Barry Urban District Council (1940) 1 KB 532

Facts: This case concerned a contract for the hire of deck chairs. A ticket issued by the deck chair attendant contained a term purporting to exempt liability.

Issue: Whether the ticket had contractual status.

Held: The ticket was a mere voucher or receipt and not a contractual document. As such, the terms contained within the voucher – including the exemption clause (See Section 2.13) – could not be relied upon because the ticket did not form part of the contract.

Whether There Was Reasonable Notice of the Term's Existence

Notice of the existence of the written terms must be given before or at the time of contract formation, i.e. when the offer is accepted. Assuming that a reasonable person receiving the document would know that it contains writing, and that such writing includes contractual terms, the person receiving the document will be bound by those terms.⁹⁰

Incorporation by Reference

Terms can be incorporated by reference to a separate document that contains such terms. For example, terms set out in a train timetable may be held to be incorporated where a ticket – issued at the time of contract formation – contains the words 'SEE BACK'.⁹¹ Another example might be where the rules governing a scratch card game are incorporated by virtue of a reference – appearing on the scratch card itself – to the existence of the rules, even though those rules are only available upon request.⁹²

Timing of the Notice

In order to be reasonable, notice of the terms must be given before or at the time of contract formation.

⁸⁹ *Grogan v Robin Meredith Plant Hire* (1996) CLC 1127.

⁹⁰ *Parker v South Eastern Railway Co* (1876–1877) LR 2 CPD 416.

⁹¹ *Thompson v London, Midland and Scottish Railway* (1930) 1 KB 41.

⁹² *O'Brien v MGN Ltd* (2001) EWCA Civ 1279.

Olley v Marlborough Court Ltd (1949) 1 KB 532

Facts: A guest of a hotel, the plaintiff, had her fur coat stolen from her room when she was away. The hotel, the defendant, pointed to an exclusion clause on a notice behind the door of the bedroom which said that they were not responsible for lost or stolen items.

Issue: Whether the exemption clause formed part of the contract.

Held: An exemption clause contained in a notice on the back of a hotel bedroom door did not exempt the hotel's liability for the loss of a guest's personal possessions because the contract between the hotel and the guest had been formed downstairs, at the reception desk. Essentially, notice of the exemption clause had come after the contract had been concluded.

It may, in certain specific circumstances, be possible for terms contained in tickets to be incorporated into a contract even though the ticket is actually issued after the contract has been formed.⁹³ However, it has been considered not possible to incorporate terms in a ticket where the ticket is issued by automatic machines, such as those issuing tickets in modern day car parks (*Thornton v Shoe Lane Parking Ltd* (1971) 2 QB 163). In particular, it has been thought that such tickets are no more than vouchers or receipts for the money that has been paid into the machine on terms that have been offered and accepted before the ticket is issued (such as by way of prominent signs). The contract is formed at the moment when the money is put into the coin slot, i.e. before the term-bearing ticket is issued – therefore, any new terms written on the ticket are not incorporated into the car parking contract.

A Higher Degree of Notice for Particularly Onerous or Unusual Terms

Where a term is considered to be particularly onerous or unusual, a higher degree of notice of the term is needed in order for it to be incorporated into the contract.

Interfoto Picture Library Ltd v Stiletto Visual Programmes Ltd (1989) QB 433

Facts: A picture library delivered 47 photographic transparencies to a company that had been planning to use them. The company did not use them and did not open and read the standard terms and conditions inside the bag that held the transparencies. An onerous penalty fee was charged for each transparency after a month by the picture library when the transparencies were not returned.

Issue: Whether the penalty fee should be treated as a contract term.

Held: A penalty fee for the late return of transparencies (at GB£5 per day per transparency) was particularly onerous and unusual and could only be incorporated as a term of the hire contract if it was drawn to the customer's attention in the most explicit way (for example, by being written prominently in red ink).

By Course of Dealings

Terms may be incorporated on the basis of the parties' previous course of dealings with each other.⁹⁴ However, the party that wishes to rely on the terms of past dealings as being incorporated into a present contract will have the burden of proving consistent past dealings on those terms.

⁹³ *Parker v South Eastern Railway Co* (1876–1877) LR 2 CPD 416.

⁹⁴ *Henry Kendall & Sons v William Lillico & Sons Ltd* (1969) 2 AC 31.

McCutcheon v David MacBrayne Ltd (1964) 1 WLR 125

Facts: The defendant ferry company had *sometimes* previously asked the plaintiff customer, who had used the ferry service on a number of occasions, to sign a note containing an exemption clause. The ferry sank, losing the plaintiff's car, on an occasion when the note was not signed.

Issue: Whether the defendant is able to rely on previous dealings to incorporate the exemption clause.

Held: Since the defendant company had only sometimes required the plaintiff to sign the note, the defendant could not rely on previous dealings to incorporate the exemption clause on the occasion in question when the ferry sank and no note had been signed.

By Reference To Trade Custom

Terms may be incorporated by trade custom. This is dealt with in Section 2.12.

2.11.4 Interpretation of Contract Terms

The interpretation of contracts concerns the court determining what the parties wanted to achieve from their words and actions. This will be done by way of an objective assessment, i.e. through the eyes of a reasonable person. Essentially, the courts will interpret a contract by giving the contractual wording its ordinary meaning in the context of the contract as a whole – and as against the background facts – as at the time of contract formation.⁹⁵ However, if there is any genuine ambiguity arising from the words when read in such a context, then the court will give the words such meaning as makes the most business common sense *vis-à-vis* the other possible meanings.⁹⁶

► Knowledge Check Questions

Question 27

Explain what a puff is.

Question 28

Explain what a representation is and why it is important to distinguish it from a term.

Question 29

List the factors that may be taken into account to help determine the status of a particular statement as being a representation or a term.

Question 30

Identify the difference between an entire agreement clause and a non-reliance clause.

Question 31

List the ways terms can be incorporated into oral contracts.

⁹⁵ *Investors Compensation Scheme v West Bromwich Building Society* (1998) 1 WLR 896.

⁹⁶ *Rainy Sky SA v Kookmin Bank* (2011) UKSC 50.

2.12 IMPLIED TERMS

Other than express terms (See Section 2.11), terms may be implied into a contract: (1) in fact, (2) in law or (3) by trade custom.

2.12.1 Terms Implied in Fact

The court may imply certain terms into a contract where it is necessary to ascertain what the parties would have included, expressly, if they had thought about the issue currently in dispute. Essentially, this process of implication is used as a 'gap-filler'.

Note that this is in contrast to necessary implication, whereby terms are implied to give effect to express terms, such as where an express term is phrased in the positive so that the corresponding negative meaning is implied (for example, an express term that states 'this obligation can be waived with the written consent of the Obligee' necessarily implies that the obligation cannot be waived without the written consent of the Obligee).

2.12.1.1 It Is Rare

Since the effect of implying terms in a contract is so potentially intrusive and undermining of party autonomy, terms are only seldom implied and are done so within strict constraints.⁹⁷ The usual inference is that nothing is to be added; if the parties had intended words to appear in the contractual document, they would have expressly included such words.⁹⁸ This may be thought especially so for contracts that are detailed and comprehensive.

However, it is quite possible (and quite common) that parties simply choose not to agree on or make provision for particular aspects of, or potential happenings in, their intended transaction. Nevertheless, such deliberate and conscious decisions not to expressly provide for particular aspects or potential happenings will not normally be sufficient grounds for the court to engage in an implication exercise. Rather, what the parties have agreed, expressly, may be viewed as representing the totality of their willingness to agree and, as such, their acceptance of risk in relation to a lack of particular express provision being made.

2.12.1.2 The Tests

There are, essentially, two tests for implying terms into a contract: (1) the business efficacy test and (2) the officious bystander test. Either test may be used in the implication process since they may be regarded as alternatives insofar as only one needs to be satisfied (albeit it would be a rare case where only one could be satisfied but not the other).⁹⁹

Business Efficacy Test

According to the business efficacy test, a term may be implied into a contract where it is necessary to give business efficacy to the transaction that is making it workable, as must have

⁹⁷ *Philips Electronique Grand Public SA v British Sky Broadcasting Ltd* (1995) EMLR 472.

⁹⁸ *Attorney-General of Belize v Belize Telecom Ltd* (2009) UKPC 10.

⁹⁹ *Marks & Spencer Plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* (2015) UKSC 72.

been intended by both parties.¹⁰⁰ There are two important aspects of this test: (1) first, implying the term must be necessary (not simply reasonable) and, (2) second, the focus should be on how a reasonable person would understand the contract in its business context.

Kensland Realty Ltd v Whale View Investment Ltd (2001) 4 HKCFAR 381

Facts: This case concerned a 'time is of the essence' clause (a condition to be strictly complied with¹⁰¹) in a contract for the sale of a commercial property. The purchaser was six minutes late in making payment.

Issue: Whether the vendor could rely on the 'time is of the essence' clause to terminate the contract.

Held: The vendor could not terminate the contract for the purchaser's (apparent) breach of the 'time is of the essence' clause because the purchaser's lateness was due to the vendor's own failure to provide the purchaser with the necessary payment details within a reasonable time.

The court reasoned that business efficacy requires that the notice be given so as to allow the purchaser's solicitor a reasonable time in which to do what has to be done to comply with the notice prior to the time fixed for completion. In other words, the giving of reasonable notice, by the vendor, was an implied term. As such, since the vendor breached this implied term, the vendor could not take advantage of its own wrong by refusing to proceed with the sale transaction based simply on the purchaser's lateness in making payment six minutes after the payment deadline. The court made clear that a contractual party, who is in breach of an obligation owed to the other party, will be prevented from asserting rights or claiming benefits that arise in consequence of his breach.

Officious Bystander Test

According to the officious bystander test, a term may be implied into a contract where it is so obvious that it goes without saying¹⁰² in other words, if such a term was suggested to the parties by an officious bystander during pre-contractual negotiations, the contracting parties would both respond with 'Oh, of course!'.¹⁰³ Importantly, the phrase 'goes without saying' underlines the point that the court is ultimately concerned with what the parties objectively intended, i.e. what a reasonable person would consider the parties' common intention to be.

Other Requirements for Implying Terms

Other than satisfying either the business efficacy test or the officious bystander test, there have been other points made with regard to the process of implication. For example, it has been said that the term to be implied must be reasonable and equitable,¹⁰⁴ albeit it has been subsequently made clear that this is simply a necessary but not sufficient ground for implying

¹⁰⁰ *The Moorcock* (1889) 14 PD 64.

¹⁰¹ *Union Eagle Ltd v Golden Achievement Ltd* (1997) UKPC 5.

¹⁰² *Shirlaw v Southern Foundries (1926) Ltd* (1939) 2 KB 206.

¹⁰³ *Ibid.*

¹⁰⁴ *BP Refinery (Westernport) Pty Ltd v The Shire of Hastings* (1977) 16 ALR 363.

a term.¹⁰⁵ Further requirements include that the term must be capable of clear expression and must not contradict any express term of the contract.¹⁰⁶

Lynch v Thorne (1956) 1 WLR 303

Facts: A builder agreed to sell a partially built house and agreed to complete the house in accordance with certain specifications, including nine-inch thick brick walls. After the house was built (in accordance with the specifications), it became evident that the walls did not keep out the driving rain. The buyer claimed that he had relied on the builder's skill and, as such, that there was an implied term that the house would be fit for human habitation.

Issue: Whether there was an implied term that the house would be fit for human habitation.

Held: In favour of the builder – there was no such implied term because it would be inconsistent with the expressed term that the brick walls should be nine inches thick.

2.12.2 Terms Implied in Law

Other than terms being implied based on what the parties must have, objectively, intended (i.e. terms implied in fact), some terms are implied in law, either at common law or, most notably, by statute.

Liverpool City Council v Irwin (1977) AC 239

Facts: This case concerned a tenancy agreement. The tenants of a block of flats claimed that there was an implied term requiring the landlord to exercise reasonable care to keep the common parts of the property in reasonable repair.

Issue: Whether there was an implied term that the landlord should exercise reasonable care to keep common parts of the property in reasonable repair.

Held: A term was implied (in law) on the basis that it was essential to the relations between the landlord and tenants.

Sale of Goods Ordinance (Cap.26) ('SOGO')

Ss.14 to 17 of the SOGO set out various implied conditions (For the definition and status of a condition, see Section 3.17.1.6) in relation to the sale of goods. These include, for example, an implied condition that: the seller has title to the goods, i.e. a right to sell (s.14(1)(a) of the SOGO); for sales by description, the goods supplied will correspond with their description (s.15(1) of the SOGO); the goods supplied are of merchantable quality (s.16(2) of the SOGO); and, for sales by sample, the bulk of the goods will correspond with the sample in quality (s.17(2)(a) of the SOGO) (See Section 3.17).

¹⁰⁵ *Marks & Spencer Plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* (2015) UKSC 72.

¹⁰⁶ *BP Refinery (Westernport) Pty Ltd v The Shire of Hastings* (1977) 16 ALR 363.

Supply of Services (Implied Terms) Ordinance (Cap.457) ('SSITO')

Ss.5 to 7 of the SSITO set out various implied terms in relation to the supply of services. These include an implied term that:

1. The supplier will carry out the service with reasonable care and skill (s.5 of the SSITO);
2. Where the time for carrying out the service has not been agreed, the supplier will carry out the service within a reasonable time (s.6(1) of the SSITO); and
3. Where the price to be paid for the service has not been agreed, the party contracting with the supplier will pay a reasonable charge (s.7(1) of the SSITO).

Unlike terms implied in fact, terms implied in law are not based on the intentions of the contracting parties: rather, they are either default rules that are applicable to particular types of contract (such as contracts for the sale of goods or employment contracts) unless the parties have expressly agreed otherwise, or they may be overriding rules that apply regardless of any express terms to the contrary. For example, by virtue of s.8(1) of the SSITO, a business cannot, by reference to any express contract term, exempt any liability arising under a contract with a consumer. See Section 3.18.

2.12.3 Terms Implied by Trade Custom

British Crane Hire Corp Ltd v Ipswich Plant Hire Ltd (1975) QB 303

Facts: The plaintiff, a crane company, and the defendant, a plant hire company, had contracted with each other previously a few times. On an occasion when a crane was urgently needed, hire and transport charges were agreed over the phone, with a form sent afterwards. When the crane had to be recovered after sinking into marshland, the plaintiff argued that the unsigned form was incorporated into the oral contract, given previous dealings.

Issue: Whether the terms of an unsigned contract could be implied in the contract.

Held: Terms could be implied pursuant to those customarily used by the Contractors' Plant Association and which were familiar to both parties who were in the plant hire business.

It may be possible to have a term implied into a contract by reference to trade custom, provided that it is not inconsistent with an express term of the contract.¹⁰⁷

See also *Hutton v Warren* (1836) 1 M & W 466 at 475 (a term could be implied into an agricultural lease that gave the tenants a right to claim an allowance for seed and labour because there existed such a custom for these types of contracts).

However, not all trade customs can be implied into a contract: rather, the custom in question must be notorious, certain and reasonable.¹⁰⁸

2.12.4 No Implied Term of Good Faith

Hong Kong law, like English law, does not recognise a general doctrine of good faith in contracts.¹⁰⁹ Although it might be possible to have an effective express obligation

¹⁰⁷ *Palgrave, Brown & Son Ltd v Owners of SS Turid* (1922) 1 AC 397.

¹⁰⁸ *Eggar, Forrester Offshore Ltd v Hong Kong United Dockyards Ltd* (1987) 1 HKC 318.

¹⁰⁹ *MSC Mediterranean Shipping Co SA v Cottonex Anstalt* (2016) EWCA Civ 789.



(See Section 2.11) to negotiate in good faith¹¹⁰ or to perform in good faith,¹¹¹ it is very unlikely that the court will recognise an implied obligation to either negotiate in good faith¹¹² or perform in good faith.¹¹³

2.12.4.1 No Implied Obligation to Negotiate in Good Faith

It seems well established that there can be no implied obligation to negotiate contract terms in good faith.¹¹⁴ Indeed, it is said that such an obligation would be inherently repugnant to the individual negotiating positions of the parties insofar as the parties are entitled to pursue their own individual interests. Provided that such parties do not make fraudulent misrepresentations, any party should be at liberty to threaten to, or actually, withdraw from negotiations in order to encourage the other party to offer better contract terms. Any agreement to negotiate in good faith – just like an ‘agreement to agree’ – would, it is said, be unworkable in practice and create uncertainty (See Section 2.8).

Although the expectation of honesty is a general norm that underlies all contractual relationships, it is seldom, if ever, made an express obligation of a contract lest doing so signifies a lack of trust and therefore damages the parties’ relationship.¹¹⁵ However, it is clear that there can be no general implied term to perform contractual obligations in good faith.¹¹⁶

► Knowledge Check Questions

Question 32

Briefly describe the alternative tests for implying terms (in fact) into a contract.

Question 33

List two examples of terms implied into a contract by legislation in respect of the sale of goods and supply of services.

Question 34

State whether English law recognises an implied obligation to negotiate a contract in good faith.

¹¹⁰ *Petromec Inc v Petroleo Brasileiro SA Petrobras (No 3)* (2005) EWCA Civ 891.

¹¹¹ *Mid Essex Hospital Services NHS Trust v Compass Group UK and Ireland Ltd (t/a Medirest)* (2013) EWCA Civ 200.

¹¹² *Walford v Miles* (1992) 2 AC 128.

¹¹³ *Mid Essex Hospital Services NHS Trust v Compass Group UK and Ireland Ltd (t/a Medirest)* (2013) EWCA Civ 200.

¹¹⁴ *Walford v Miles* (1992) 2 AC 128.

¹¹⁵ *Yam Seng Pte v International Trade Corp Ltd* (2013) EWHC 111.

¹¹⁶ *Mid Essex Hospital Services NHS Trust v Compass Group UK and Ireland Ltd (t/a Medirest)* (2013) EWCA Civ 200.



2.13 EXEMPTION CLAUSES

An **exemption clause** is a term that seeks to exclude or limit liability for breach of contract (See Section 3.9) or negligence (See Chapter 4 The Law of Tort and Negligence). Such clauses are used as a means of risk allocation, allowing the parties to know in advance which one of them will bear the loss in case of a defective performance or non performance, and to what extent. This allows the parties to take out appropriate insurance, as well as reducing the complexity of any post-breach litigation (if any at all). However, exemption clauses are subject to certain controls (both at common law and under statute) in order to prevent a party who is in a stronger bargaining position from depriving the weaker party of remedies for breach of contract.

2.13.1 Common Law Control

Since there is no power at common law to strike down a clause on the basis of unreasonableness, the courts have, instead, used other means of avoiding the validity of a particular exemption clause which is considered to be unfair. Such other means include: (1) taking a strict approach to incorporation, i.e. whether the clause has been properly incorporated into the contract (See Section 2.11);¹¹⁷ (2) taking a strict approach to interpretation, i.e. whether the clause actually covers the liability that it seeks to exempt, particularly when applying the *contra proferentem* principle;¹¹⁸ (3) considering whether the extent of exempted liability has been misrepresented (See Section 3.2) (*Curtis v Chemical Cleaning and Dyeing Co* (1951) 1 KB 805) and (4) considering whether there was, before or at the time of contract formation, an inconsistent oral undertaking (See Section 2.11.3.2).¹¹⁹

2.13.2 Statutory Control

Statutory control is the control or regulation provided for by legislation. In this section, we cover three ordinances:

1. Control of Exemption Clauses Ordinance (Cap.71);
2. Supply of Services (Implied Terms) Ordinance (Cap.457); and
3. Misrepresentation Ordinance (Cap.284).

2.13.2.1 Control of Exemption Clauses Ordinance (Cap.71)

Common law controls have faded in importance since the introduction of statutory protection against unreasonable exemption clauses in the form of the Control of Exemption Clauses Ordinance (Cap.71) ('CECO').

¹¹⁷ *Parker v South Eastern Railway Co* (1876–77) LR 2 CPD 416.

¹¹⁸ *Houghton v Trafalgar Insurance Co Ltd* (1954) 1 QB 247. Note, in this context, the *contra proferentem* principle is simply that, where there is *ambiguity* in an exemption clause, the court can interpret it *against* the party who relies on (or 'proffers') it, in favour of the other party.

¹¹⁹ *J Evans & Son (Portsmouth) Ltd v Andrea Merzario Ltd* (1976) 1 WLR 1078.



Scope

Subject to certain exceptions, the CECO applies to business liability, i.e. liability from acts or omissions in the course of business (s.2(2)(a) of the CECO). The types of clauses covered are: those seeking to exclude or limit liability, including clauses that seek to make liability subject to conditions or that seek to exclude or limit any rights or remedies (ss.5(1)(a) and (b) of the CECO) and also clauses that seek to emasculate the legislation by purporting to exclude a duty of care arising in the first place.¹²⁰ However, the CECO does not cover insurance contracts, contracts relating to interests in land and certain international supply contracts (Sch. 1(1)(a) and (b) and s.16 of the CECO).

Negligence Liability (S.7 of the CECO)

Not all contractual obligations are strict in the sense that there would be a breach of contract unless a particular end result was achieved. Contrast, for example, a contract to deliver goods on a specified date (strict obligation) and a contract with a doctor for medical treatment or a lawyer for litigation proceedings. In neither of the latter two examples can success be assured – rather, those obligations are said to be qualified. Such qualified obligations will only be breached where there was a failure to exercise reasonable care and skill by the service provider (ss.2(1)(a) and (b) of the CECO) – in other words, where the service was carried out negligently.

In any event, the CECO makes clear that a person cannot exempt his/her liability for death or personal injury resulting from his/her negligence (s.7(1) of the CECO). However, a person may exempt his/her liability for other types of loss or damage resulting from negligence provided that such an exemption satisfies the reasonableness test (ss.7(2) and 3(1) of the CECO). Therefore, subject to being reasonable, liability for loss or damage arising from property damage and financial loss can be exempted.

Liability Arising in Contract (S.8 of the CECO)

With regard to contracts where one party deals as a consumer or on the other's written standard terms of business, liability from breaches of (strict) contractual obligations cannot be exempted, unless that exemption of liability satisfies the reasonableness test (ss.8(1), (2)(a) and 3(1) of the CECO). Further, as against such a party, the other party is not entitled to render performance that is substantially different from that reasonably expected or renders no performance at all, unless the term purporting to entitle that party to do so satisfies the reasonableness test (ss.8(1), (2)(b) and 3(1) of the CECO).

Dealing as a Consumer

A party deals as a consumer where that party does not make the contract in the course of a business but where the other party does (s.4(1) of the CECO). It may even be possible for a business to deal as a consumer.

¹²⁰ *Smith v Eric S. Bush* (1990) 1 AC 831.

R & B Customs Brokers Co Ltd v United Dominions Trust Ltd (1988)
1 WLR 321

Facts: This case concerned the purchase of a car by a company that was owned and managed by a husband and wife who used the car for both business and private matters. It turned out that the car was defective. When the husband and wife's company brought an action against the seller, the seller tried to rely on an exemption clause in the contract that excluded implied conditions as to the quality of the car except where the buyer was dealing as a consumer. The seller argued that, since the plaintiff company was dealing in the course of a business, any implied condition as to quality could be properly excluded.

Issue: Whether implied conditions as to quality could be excluded given that the plaintiff company was dealing in the course of business.

Held: The plaintiff company was dealing as a consumer and that a contract is only entered into in the course of business where such a contract could be said to be an integral part of the business, or where such contracts were regularly entered into so that they could be treated as being integral to the business. However, in this case, the plaintiff's purchase of the car was neither integral nor had it been made on a regular basis.

Dealing on the Other Party's Standard Terms

A party deals on the other party's written standard terms of business when there was no negotiation of the exemption clause in question and there was no substantial amendment to other standard terms of the contract.¹²¹

Unreasonable Indemnity Clauses (S.9 of the CECO)

An indemnity clause provides for one party to indemnify another party for a liability which that other party might incur. Essentially, it is a means of transferring liability away from the party who would otherwise be liable. An example in the commercial context would be where a subcontractor agrees to indemnify the main contractor against any loss arising out of a damages claim successfully made against that main contractor, by a third party, as a result of the subcontractor's fault. However, such clauses in consumer contracts, where a consumer is to indemnify the other party or a third party, are subject to the reasonableness test (ss.9(1) and 3(1) of the CECO).

Guarantee of Consumer Goods (S.10 of the CECO)

With regard to consumer goods, a manufacturer's guarantee (which contains or purports to contain some promise or assurance that defects will be made good by complete or partial replacement, or by repair, monetary compensation or otherwise) cannot exempt liability for loss or damage arising from defective goods or resulting from negligent manufacture (s.10 of the CECO).

Seller's Liability (S.11 of the CECO)

Notwithstanding the general contractual liability (s.8 of the CECO), the CECO also deals specifically with liability arising from breach of the obligations under the SOGO (See Section 2.12). In particular, implied undertakings by a seller as to his/her title to sell (s.14 of the SOGO) cannot

¹²¹ *St Albans City and District Council v International Computers Ltd* (1996) 4 All ER 481.



be exempted (s.11(1) of the CECO). However, it is possible to exempt a seller's liability for breach of his implied undertakings as to conformity of goods with a description (s.15 of the SOGO) or sample (s.17 of the SOGO), or as to their quality or fitness for a particular purpose (s.16 of the SOGO), subject to the reasonableness test (ss.11(3) and 3(2) of the CECO), but not as against a person dealing as a consumer (s.11(2) of the CECO). In consumer contracts, liability for breaches of these implied undertakings in the SOGO simply cannot be excluded.

Evasion by Means of a Secondary Contract (S.14 of the CECO)

No party can circumvent the provisions and protections under the CECO by way of a separate contract. In other words, no contracting party can be bound by any separate contract that seeks to prejudice or take away the rights given to that party by virtue of the CECO (s.14 of the CECO). For example, where a contract between X and Y states that Y cannot exercise any rights against Z in a separate contract between Y and Z, that X-Y contract cannot validly take away Y's rights against Z that Z would not, himself, be able to exempt under the Y-Z contract by virtue of the CECO.

The Reasonableness Test (S.3 of the CECO)

Not all exemption clauses are subject to the reasonableness test. For example, as noted above, a party can never exempt liability for death or personal injury resulting from its negligence (s.7(1) of the CECO). However, where the reasonableness test does apply, the clause in question must, for the requirement of reasonableness to be satisfied, be a fair and reasonable one to be included, having regard to the circumstances that were, or ought reasonably to have been, known to or in the contemplation of the parties when the contract was made (s.3(1) of the CECO). Note the reference to when the contract was made – reasonableness is not assessed as at the date of breach.

The burden of proving reasonableness is on the party who so claims that the clause is reasonable, i.e. the party relying on the exemption clause (or indemnity clause).

Assessing Reasonableness

When assessing reasonableness in the context of a seller's liability (s.11 of the CECO), the court should have regard to the matters set out in Schedule 2 of the CECO. These are, effectively, guidelines and include, for example: the relative bargaining strengths of the parties (Sch 2(a) of the CECO) and whether the customer received an inducement to agree to the term (Sch 2(b) of the CECO), such as where the goods were offered at a cheaper price with the exemption clause. Although there is no obligation under the CECO for the court to refer to the Schedule 2 guidelines in the context of liability arising under contract generally (s.8 of the CECO), it is now widely accepted that the court should or, at least, may have regard to those guidelines.¹²² Further, in the general contractual context, the court will have regard to the language of the term and whether such language is understood by the party against whom reliance on the term is sought (s.3(4) of the CECO). This is particularly important in Hong Kong where contracts are written in Chinese or English.

¹²² *Overseas Medical Supplies Ltd v Orient Transport Services Ltd* (1999) 2 Lloyd's Rep 273.

Essentially, when assessing the reasonableness of a particular term, the court will consider a whole range of matters and then decide on balance.¹²³ Naturally, the decision as to reasonableness will be very fact-dependent, on a case-by-case basis.¹²⁴ Further, once the court has heard all of the evidence relevant to this fact-based decision, the court's decision as to reasonableness will be treated with the utmost respect by any appellate court if the decision is appealed.¹²⁵ An appellate court will only interfere with a decision as to reasonableness if it is satisfied that the decision was plainly and obviously wrong.¹²⁶

Schedule 2: Guidelines for Application of Reasonableness Test

The matters to which the court or arbitrator shall have regard in particular for the purposes of ss.11(3) and 12(3) and 4 are any of the following that appear to be relevant:

- (1) The strength of the bargaining positions of the parties relative to each other, taking into account (among other things) alternative means by which the customer's requirements could have been met.
- (2) Whether the customer received an inducement to agree to the term, or in accepting it had an opportunity of entering into a similar contract with other persons, but without having to accept a similar term.
- (3) Whether the customer knew or ought reasonably to have known of the existence and extent of the term (having regard, among other things, to any custom of the trade and any previous course of dealing between the parties).
- (4) Where the term excludes or restricts any relevant liability if some condition is not complied with and whether it was reasonable at the time of the contract to expect that compliance with that condition would be practicable.
- (5) Whether the goods were manufactured, processed or adapted to the special order of the customer.

As seen from the above extract from the CECO, despite these guidelines being expressly relevant for the purposes of determining reasonableness in the context of ss.11(3) and 12(3) and 4 of the CECO, it is now accepted that the guidelines are relevant for determining reasonableness in the context of all other such references thereto in the CECO.¹²⁷ Exhibit 2.1 lists key statutory provisions in the CECO.

¹²³ *George Mitchell (Chesterhall) Ltd v Finney Lock Seeds Ltd* (1983) 2 AC 803.

¹²⁴ *Phillips Products Ltd v Hyland* (1987) 1 WLR 659.

¹²⁵ *George Mitchell (Chesterhall) Ltd v Finney Lock Seeds Ltd* (1983) 2 AC 803.

¹²⁶ *George Mitchell (Chesterhall) Ltd v Finney Lock Seeds Ltd* (1983) 2 AC 803. Indeed, appellate courts generally only deal with issues of *law*, not fact; unlike the first instance/trial court, an appellate court will not have the benefit of hearing evidence being tested before it.

¹²⁷ *Overseas Medical Supplies Ltd v Orient Transport Services Ltd* (1999) 2 Lloyd's Rep 273.

Section	Content
2(2)(a)	Generally for business liability only
3(1), (2) and (4); Schedule 2	The reasonableness test
4(1)	Dealing as a consumer
5(1)(a) and (b)	Varieties of exemption clauses
7(1) and (2); 2(1)(a) and (b)	Negligence liability
8(1), (2)(a) and (b)	Liability arising in contract
9(1)	Unreasonable indemnity clauses
10	Guarantee of consumer goods
11(1), (2) and (3)	Seller's liability for breach of obligations under ss.14, 15, 16 and 17 of the Sale of Goods Ordinance (Cap.26)
14	No evasion by means of a secondary contract
16; Schedule 1(1)(a) and (b)	Exempted contracts

► **EXHIBIT 2.1 Key statutory provisions in the CECO**

2.13.2.2 Supply of Services (Implied Terms) Ordinance (Cap.457)

The Supply of Services (Implied Terms) Ordinance (Cap.457) ('SSITO') controls exemption clauses that affect the supply of services (s.8 of the SSITO). See Section 3.18.

2.13.2.3 Misrepresentation Ordinance (Cap.284)

The Misrepresentation Ordinance (Cap.284) ('MO') controls clauses that seek to exempt liability for misrepresentation (s.4 of the MO) (See Section 3.2). Any term that seeks to exempt any liability or remedy by reason of a pre-contractual misrepresentation will be subject to the reasonableness test in the CECO. This would include non-reliance clauses.

Nature of a Non-reliance Clause

The non-reliance clause is a typical boiler-plate clause designed to preclude arguments of misrepresentation based on any representations made during pre-contractual negotiations. Essentially, the parties acknowledge in writing that they have not relied upon any pre-contractual representations in entering into the contract and, as such, are confined to bringing an action for breach of express terms only. A typical clause might read as follows:

'The Parties agree that no statements or representations made by either Party have been relied upon by the other in agreeing to enter into the Contract.'

In this regard, the non-reliance clause is distinct, and serves a different purpose, from an entire agreement clause (See Entire Agreement Clauses in Section 2.11.3.1). Whereas non-reliance clauses seek to exclude liability for misrepresentation by stating that any pre-contractual representations have not been relied upon, entire agreement clauses seek to exclude collateral terms by asserting that the contract, as written, contains all of the agreed terms and, therefore, constitutes the whole agreement. Nevertheless, the non-reliance clause supplements the entire agreement clause insofar as attempting to secure and uphold the contract as agreed on the terms within it.

Validity of a Non-reliance Clause

There are two clauses, one in the MO and one in the CECO, that cover the validity of a non-reliance clause (Exhibit 2.2).

Section	Misrepresentation Ordinance (Cap.284)
4	Exempting liability for misrepresentation
Section	Control of Exemption Clauses Ordinance (Cap. 71)
3(1)	The reasonableness test

► **EXHIBIT 2.2** Key statutory provisions in the MO and the CECO regarding validity of a non-reliance clause

S.4 of the MO

Since the non-reliance clause seeks to prevent a representee from obtaining a remedy for misrepresentation, it is subject to s.4 of the MO, which requires the clause to satisfy the reasonableness test in s.3 of the CECO.

Indeed, according to s.4 of the MO: 'If a contract contains a term which would exclude or restrict – (a) any liability . . . by reason of any misrepresentation . . . or (b) any remedy . . . by reason of such misrepresentation, that term shall be of no effect except in so far as it satisfies the requirement of reasonableness as stated in s.3(1) of [CECO]. . . '.

S.3(1) of the CECO

According to s.3(1) of the CECO: ' . . . the requirement of reasonableness for the purposes of . . . S.4 of [MO] is satisfied only if the court . . . determines that the term was a fair and reasonable one to be included having regard to the circumstances which were, or ought reasonably to have been, known to or in the contemplation of the parties when the contract was made' (emphasis added).

Fraudulent Misrepresentation

As a matter of public policy, it would never be fair and reasonable for a contracting party to exclude liability for his/her own fraudulent misrepresentation.¹²⁸ However, it is possible for him/her to exclude his/her liability for his/her agent's fraudulent misrepresentation, provided that he/she does so in clear and unmistakable terms on the face of the contract.¹²⁹

Determining What Is a Fair and Reasonable Non-reliance Clause

Whether a non-reliance clause is fair and reasonable is a question of fact, based on the particular circumstances of the case. Some guidance on what factors may be taken into account when determining fairness and reasonableness can be found in Schedule 2 of the CECO (See Section 2.13.2.1) as well the various case laws.¹³⁰

¹²⁸ *Raiffeisen Zentralbank Osterreich AG v Royal Bank of Scotland Plc* (2010) EWHC 1392 (Comm).

¹²⁹ *HIH Casualty & General Insurance Ltd v Chase Manhattan Bank* (2003) 2 Lloyd's Rep 61.

¹³⁰ *Food Co UK LLP v Henry Boot Developments Ltd* (2010) EWHC 358 (Ch).



Comment

The non-reliance clause serves an important purpose in the pursuit of commercial certainty, protecting contracting party X from contracting party Y trying to rely on a chance remark or representation, made during pre-contractual negotiations, which turned out to be false, and on which to base a claim for rescission (See Section 3.2) despite Y having agreed that any such representations have not been relied upon. It is particularly important where Y attempts to use such misrepresentations as a means of escaping a contract that has now turned out to be a bad bargain for him/her.

► Knowledge Check Questions

Question 35

Briefly describe the reasonableness test under the Control of Exemption Clauses Ordinance (Cap.71).

Question 36

Describe when a party deals as a consumer.

Question 37

In a consumer contract, explain whether it is ever possible for a seller to exempt its liability for the implied obligation that the goods sold will be of merchantable quality (as per the Sale of Goods Ordinance (Cap.26)). Explain when such a liability can be exempted.

Question 38

Describe to what extent, if at all, can a party exempt its liability for death or personal injury resulting from its negligence.

Question 39

Describe to what extent, if at all, a party can exempt its liability for fraudulent misrepresentation.



2.14 UNFAIR TERMS

The focus of this section will be on unfair terms in consumer contracts, other than unfair exemption clauses or indemnity clauses, which are dealt with elsewhere in this chapter (See Section 2.13).

2.14.1 Unfair Terms in Standard Form Consumer Contracts

The written terms of consumer contracts are almost never individually negotiated between a business entity (a supplier of goods or services) and the consumer. Other than the terms that are related to the price and subject matter, the contractual terms will almost always be set out

in a standard form where the terms are often only favourable to the supplier of the goods or service. These terms are also often written in small print or in legalese, which limit consumers' understandability of these terms.

In addition to this, consumers often sign contracts on the spot without having read or understood the terms. Much of the time, they would feel pressured to conclude the contract quickly and skip reading the contents of the contract. Even in the cases where there is an awareness of unfavourable terms, consumers might believe that they have no bargaining power to negotiate the terms, particularly if they think that the terms are of standard use in a particular industry. Examples of industries that make use of these types of non-negotiable contracts with the general public include those in the telecommunications, social media, beauty and fitness industries.

There is enough statutory protection for consumers against unfair terms in most instances. However, such statutory protection does not address unfair terms which seek to serve purposes aside from requiring a consumer to either indemnify a supplier for losses caused by the consumer's negligence or to exclude or limit a supplier's liability for breach of contract, negligence or misrepresentation, which are covered under the CECO, the SSITO and the MO.

The Unconscionable Contracts Ordinance (Cap.458) is the only statutory recourse against other unfair terms. The ordinance allows such terms to be ruled unenforceable by a court. Examples of unfair terms include:

1. Terms that allow a supplier to unilaterally change the terms of a contract without notifying a consumer.
2. Terms that allow a supplier to collect fees for early cancellation of a contracted service that the consumer has to pay.
3. Terms that allow a supplier to automatically renew contractually expired services.

2.14.2 Unconscionable Contracts Ordinance (Cap.458)

There is no power at common law to strike down a term for being unfair or unreasonable. However, as noted above, statutory powers exist to enable a court to strike down terms that are unfair or unreasonable. For terms other than exemption clauses and indemnity clauses, the court's power comes from the Unconscionable Contracts Ordinance (Cap.458) ('UCO'), which allows for an unconscionable contract (or a particular term within it) to be declared unenforceable. Exhibit 2.3 lists the key provisions in the UCO.

Section	Unconscionable Contracts Ordinance (Cap.458)
5(1)	Types of contract covered
5(1)(a), (b) and (c)	Court's powers
5(2)	Burden of proof
6(1) and (2)(a)	Factors for determining unconscionability

► **EXHIBIT 2.3** Key statutory provisions in the UCO



2.14.2.1 Scope

The UCO only concerns contracts for the sale of goods or supply of services and where one of the parties deals as a consumer (s.5(1) of the UCO). This means that land/real estate transactions are not covered by the UCO – nor are contracts that are purely commercial in nature, between two business entities.

2.14.2.2 Burden of Proof

It is for the person claiming that the contract, or a particular term therein, is unconscionable to prove that it is (s.5(2) of the UCO).

2.14.2.3 Court's Powers

Where the court finds that the contract, or a particular term therein, to be unconscionable, it may: (1) refuse to enforce the contract; (2) enforce the remainder of the contract without the unconscionable part; or (3) limit the application of, or revise or alter, any unconscionable part so as to avoid any unconscionable result (s.5(1) of the UCO). Note that the court's power to 'revise or alter' the contract is very controversial and such power has never been used – nor is it envisaged that it ever would be used.

2.14.2.4 Determining Unconscionability

As noted above, the court's powers can only be exercised where the contract, or a particular term therein, is found to be 'unconscionable' (s.5(1) of the UCO). Note that this may suggest a higher threshold than 'unfairness', which is the test used in, for example, the UK's Consumer Rights Act 2015. Although the UCO does not define exactly what constitutes an **unconscionable** term, it does provide a non-exhaustive list of factors that the court may have regard to when determining the existence of such unconscionability (s.6(1) of the UCO). These include, for example, the relative bargaining strengths of the parties and the possibility of the consumer having acquired the same goods or services from another party on terms different to the terms in question. Further, it has been held that, in determining whether a contract term is unconscionable as per the UCO, the court must have regard to all circumstances relevant to that issue, as well as the non-exhaustive list of factors (See *Shum Kit Ching v Caesar Beauty Centre Ltd* (2003) 3 HKLRD 422). However, it is made clear in the UCO that the court shall not have regard to any unconscionability arising from circumstances that were not reasonably foreseeable at the time when the contract was made (s.6(2)(a) of the UCO).

2.14.2.5 Comment

Since the court will seemingly consider the totality of the circumstances when determining whether the contract (or a particular term therein) is unconscionable, it would suggest that one single unfair term, by itself, will not be enough to be rendered unconscionable and set aside or amended under the UCO. Rather, it would seem that, so long as there is procedural fairness in the way the contract has been formed, any substantive unfairness from an individual term could be overlooked and incapable of being found unconscionable under the UCO.

The fact that the requirement of unconscionability seems to be a higher test than mere unfairness or unreasonableness may go some way to explain the sheer lack of successful claims brought under the UCO since it came into force in 1995. Indeed, even the Law Reform Commission has commented that the UCO would ‘apply only to extreme cases, which would be very rare’; see *Law Reform Commission Report on Sale of Goods (1990)*. Furthermore, since its scope excludes land transactions, the UCO is clearly far less effective – with regard to protecting consumers from unfair contract terms – than its name suggests.

2.14.3 Examples of Unfair Terms in Consumer Contracts

The following clauses are commonly found in consumer contracts in Hong Kong. They have been brought to the attention of Hong Kong’s Consumer Council but, as a body without any enforcement powers, the Consumer Council can do no more than simply highlight the problem. See *Report on Unfair Terms in Standard Form Consumer Contract (April 2002)* published by Consumer Council of Hong Kong.

1. No refund

‘The Service Package once sold is not refundable and transferable.’

‘This Agreement is signed by consent of both parties and becomes effective forthwith. Therefore the Customer shall not be entitled to any refund under any circumstances.’

These clauses often occur in contracts where consumers make substantial pre-payments, such as a package of facial treatments at a beauty salon. Consumers are misled into thinking that they are completely bound by the contract and therefore deterred from bringing any legal action where the supplier defaults in its own performance obligations or terminates the contract early, due to no fault of the customer, before the customer has enjoyed all of the benefits paid for. Further, it means that consumers believe that they will have to accept the forfeiture of their whole pre-payment even in the case of early termination.

However, legally, such clauses cannot be enforced. In *Shum Kit Ching v Caesar Beauty Centre Ltd* (2003) 3 HKLRD 422, it was held that the pre-payment was not a deposit (See Section 3.14) capable of being forfeited in the event of early termination but, rather, was full payment. As such, an innocent party could recover some or all of the pre-payment as damages for early termination by the supplier – and, even if the consumer was the one who terminated early, such a provision would likely constitute a penalty since non-refunding of money is unlikely to be a genuine pre-estimate of the likely loss suffered by the supplier for such early termination (See Section 3.14). Accordingly, such provisions were held to be unenforceable.

2. Automatic renewal of gym membership or television service contract

For the customer who elects to pay the fee by one-time payment or by instalment plan, immediately before the expiry date of such a plan (unless otherwise he/she terminates the auto-pay authorisation in the manner as prescribed hereof), the fitness card will automatically be extended and the customer shall continue to procure the auto-pay, and [the gym club] shall also be entitled to continue to debit from the relevant credit card into [the gym club’s] account for the monthly fees of the fitness card.



'Upon the expiry of the Commitment Period, your subscription for the Services will be automatically renewed from month to month at the then prevailing bundled rate for the Services unless we receive from you not less than 30 days' notice (in our prescribed form) for service termination or change of service plan or payment plan.'

This type of clause is commonly found in fixed-term contracts. It is unfair because there is no equivalent term requiring the supplier to give clear notice in writing to the consumer at a reasonable time before the contract expires. It may mean, in some clauses (such as in the Pay TV clause), that the then prevailing rate to be charged for the renewal period is higher than the original rate which was charged under the initial contract.

► Knowledge Check Questions

Question 40

Describe the types of contract the Unconscionable Contracts Ordinance (Cap.458) cover.

Question 41

Give two examples of factors that the court may have regard to in determining whether the contract is unconscionable.

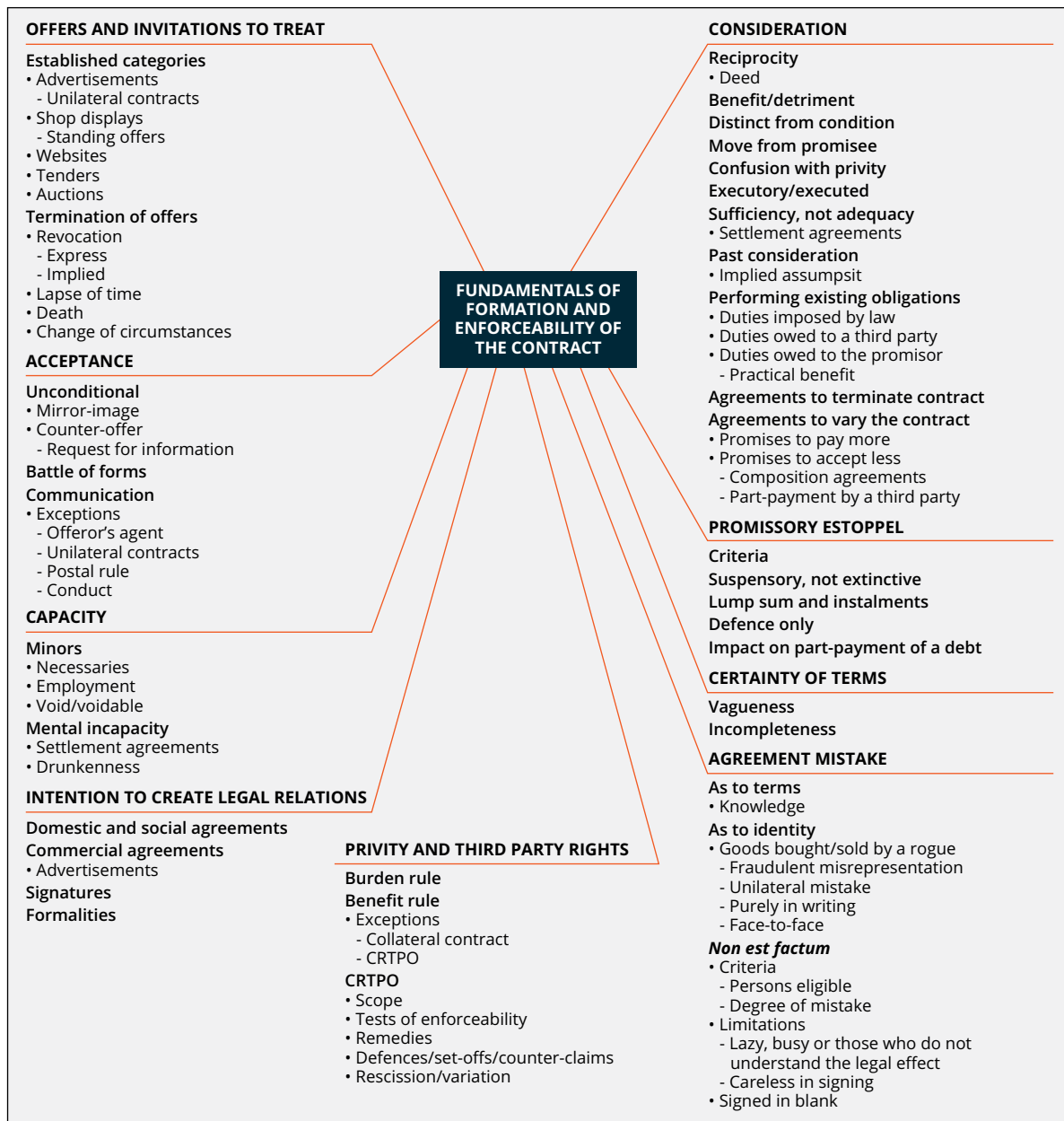


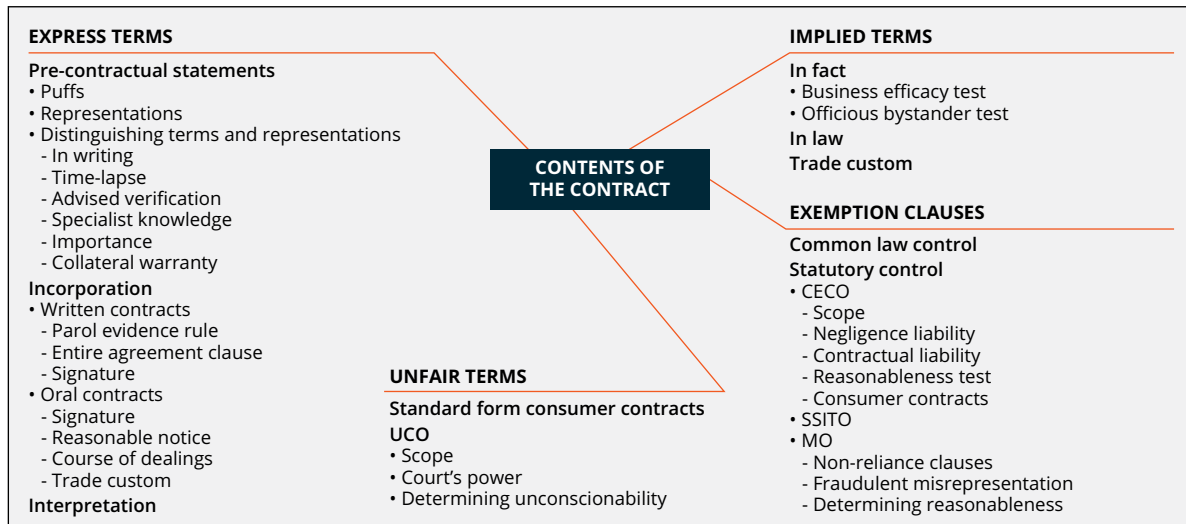
SUMMARY

- In general, to form a legally enforceable contract, there must be a clear and unconditional acceptance of an unambiguous offer, between two or more parties who all have capacity and intention to enter into a legally binding relationship, and who have each provided something in return for the other's promise to do something.
- The ability to enter into legally enforceable contracts is limited by law. Minors and people suffering from mental incapacity lack the capacity to enter into contract. There are exceptions where minors are bound by contracts for 'necessaries' and employment for the minor's benefit. Certain contracts with minors are not void but only voidable.
- The intention to create legal relations is an essential element to binding contracts. When an agreement is made in the domestic or social context, there is a presumption that the parties do not intend for it to be legally binding, while in a commercial context, the presumption is that the parties intend it to be legally binding.
- Consideration may be defined essentially as something that is given in return for something else under the contract. Consideration must be reciprocal for a majority of contracts. The exception is promises by deed.
- A party attempting to renege on a promise not to enforce a particular contractual right may be prevented – at least temporarily – from doing so where the other party has relied on that promise, notwithstanding the fact that nothing was given in return for the promise.
- A contract is unenforceable if it lacks a certainty to the terms due to vagueness or incompleteness.
- Where it turns out that one party made a mistake as to the terms or identity of the other party, the contract may be avoided.
- It may be possible, under certain circumstances, for a non-contracting third party beneficiary to obtain rights of enforceability – in its favour – against one of the contracting parties.
- Exemption clauses are used to limit liability for breach of contract or negligence. They are also subject to certain controls in order to prevent a party who is in a stronger bargaining position from depriving a weaker party of remedies for breach of contract. Courts are able to use common law controls and statutory controls to avoid the validity of a particular exemption clause that is considered unfair.
- Although most terms of a contract will be expressly stated, some contractual terms may be implied, either objectively as being obviously intended by the parties and/or in order to make the contract work, or as a matter of law, most particularly by virtue of legislation.

Unfair terms, including terms that unreasonably seek to exclude or limit one party's liability for breach of contract, will be unenforceable.

MIND MAP





► Answers to Knowledge Check Questions

Question 1

An offer is, essentially, an expression of willingness to contract on specified terms without further negotiation, whereas an invitation to treat is, essentially, a statement indicating a willingness to receive offers.

Question 2

Newspaper advertisements are generally considered to be invitations to treat. An exception is where there is a unilateral contract.

Question 3

Counter-offer; revocation; lapse of time; death of the offeror or offeree; and change of circumstances.

Question 4

To be valid, an acceptance must be an unconditional assent to all the terms of the offer, exactly the same as offered.

Question 5

The purported acceptance will actually constitute a counter-offer, capable of being accepted or rejected by the original offeror but, in any event, it destroys the original offer.

Question 6

When an offeror makes an offer through a document containing its standard terms and an offeree makes an acceptance through a document containing its own standard terms, the question is on whose terms the contract has been formed.

Question 7

Communication to the offeror's agent; unilateral contracts; the postal rule; and acceptance by conduct.



Question 8

Although, generally, contracts entered into by children are void, there are some exceptions where the contract will be binding or, at least, only voidable. Such exceptions include, for example, necessities (i.e. goods and services that are necessary for the child's survival, like food, shelter and clothing) and some employment contracts where such employment is 'beneficial' to the child, such as traineeships and apprenticeships. In any event, child in this sense refers to an older child and not a very young child.

Question 9

Drunkenness can be treated in the same way as mental incapacity. However, the drunkenness (at the time of contract formation) must have been extreme so that it prevented the person from understanding the nature of the contract. Further, the other person must have known of such drunkenness at the time. Nevertheless, the drunken person will be liable if he/she later ratifies the contract once he/she is sober.

Question 10

No, signature only provides evidence of a *prima facie* intention to create legal relations.

Question 11

By including the phrase 'subject to contract' (which, essentially, equates to 'subject to a formal and finalised contract') in all written correspondence and draft documents.

Question 12

Contracts by deed. Such contracts must be: in writing; clearly labelled as a 'deed' or otherwise indicating that it is to take effect as such; signed by the promisor; attested to by a witness; and there must be some conduct by the promisor showing that he intended to be legally bound.

Question 13

Generally, past consideration is not a valid consideration but there is an exception when, essentially, the act done (before the promise was made) was performed at the request of the promisor and the parties understood that such an act was to be remunerated in some way – sometimes referred to as implied assumpsit.

Question 14

Performance of an existing contractual duty owed to the promisor can constitute valid consideration for a further promise by the promisor if the promisor obtains a practical benefit from the promisee's performance of the promisee's existing contractual duty (assuming that there has been no economic duress or fraud by the promisee).

Question 15

Generally, no – some fresh/other consideration is necessary and this must be accepted by the creditor. The concept of 'practical benefit' does not apply in the context of promises to accept less. However, two exceptions to this general rule include: (1) composition agreements, where all creditors of a particular debt each agree to accept a lesser sum in full satisfaction of the debt owed to each of them individually and (2) part-payments made by third parties that are accepted by the creditor in full satisfaction of the debtor's debt.

Question 16

The promisor made a clear promise not to insist upon his existing contractual rights against the promisee; the promisee relied on this promise; and it would be inequitable or unjust for the promisor to go back on his promise.

Question 17

A promissory estoppel does not extinguish a promisor's contractual rights. A promissory estoppel merely suspends his rights (albeit he must give reasonable notice to the promisee in order to re-establish them).

Question 18

The doctrine of promissory estoppel cannot be invoked as a cause of action. A promissory estoppel is a shield, not a sword, i.e. it can only be raised as a defence.

Question 19

A contract will be unenforceable for lack of certainty when it is either too vague (so that it has no clear meaning without introducing new terms) or incomplete (where the parties have left important points unsettled or have expressly required a further agreement to be reached on points left open).

Question 20

A unilateral mistake as to terms occurs where one party (X) knew that the contract contained a term that the other party (Y) thought was not there, or knew that Y was mistaken about its meaning.

Question 21

Constructive knowledge is knowledge that the non-mistaken party ought to have known, including wilfully shutting his eyes to an obvious mistake and wilfully or recklessly failing to make enquiries as a reasonable man would make.

Question 22

A contract described as void *ab initio* is one that is void from the outset, automatically. In other words, it was never valid. However, a contract that is voidable means that it is currently alive and valid but is capable of being avoided (i.e. made void) at some later point.

Question 23

This depends which analysis is applied. If such a contract between the seller and the rogue is regarded as having been made on the basis of a unilateral mistake, the contract is void. However, if the contract is regarded as having been made on the basis of a fraudulent misrepresentation, the contract is merely voidable and remains valid until it is rescinded.

Question 24

The doctrine of *non est factum* It is a doctrine that can be pleaded where a person who signed a document can show that he was unaware of the true nature of the document at the time of signing and so seeks not to be bound by its contents.

Question 25

Essentially, a party cannot legally enforce a right (or benefit) that is to be conferred upon that party under a contract to which they are not privy. However, unless expressly



excluded from being applicable, the Contracts (Rights of Third Parties) Ordinance (Cap.623) acts as a major limitation on the benefit rule.

Question 26

Essentially, a party cannot be legally subject to an obligation (or burden) under a contract to which he is not a privy.

Question 27

A puff is a statement that is not meant to be taken seriously or literally – being simply marketing rhetoric – and is not intended to be legally binding.

Question 28

A representation is a statement that induces a party to enter into a contract. It is important to distinguish this from a term because of the different legal consequences between breaching a term and making a misrepresentation.

Question 29

Whether the statement was in writing; the length of time that has elapsed between the making of the statement and the contract being entered into; whether the statement-maker assumed responsibility for its truth or advised its verification; whether one party had specialist knowledge or skill; the importance of the statement and whether there was a collateral warranty.

Question 30

Whereas the non-reliance clause seeks to exclude liability for misrepresentation by stating that any pre-contractual representations have not been relied upon, the entire agreement clause seeks to exclude collateral terms by asserting that the contract, as written, contains all of the agreed terms and therefore constitutes the whole agreement.

Question 31

By signature; by reasonable notice; by usual course of dealings and by reference to trade custom.

Question 32

The business efficacy test: a term may be implied into a contract where it is necessary to give business efficacy to the transaction, i.e. to make it workable. The officious bystander test: a term may be implied into a contract where it is so obvious that it goes without saying.

Question 33

Examples in the Sale of Goods Ordinance (Cap.26) ('SOGO') include that: a seller of goods has legal title to the goods, i.e. a right to sell (s.14(1)(a) of the SOGO); for sales by description, the goods supplied will correspond with their description (s.15(1) of the SOGO); the goods supplied are of a merchantable quality (s.16(2) of the SOGO) and, for sales by sample, the bulk of the goods will correspond with the sample in quality (s.17(2)(a) of the SOGO). Examples in the Supply of Services (Implied Terms) Ordinance (Cap.457) ('SSITO') include that: the supplier will carry out the service with reasonable care and skill (s.5 of the SSITO); where the time for carrying out the service has not been agreed, the supplier will carry out the service within a reasonable time (s.6(1) of the SSITO) and where the price to be paid for

the service has not been agreed, the party contracting with the supplier will pay a reasonable charge (s.7(1) of the SSITO).

Question 34

English law does not recognise an implied obligation to negotiate a contract in good faith. Each party is entitled to pursue its own individual interests, being at liberty to threaten to (or actually) withdraw from negotiations in order to encourage the other party to offer better contract terms (provided, of course, that neither party makes fraudulent misrepresentations).

Question 35

If a clause that exempts liability must be reasonable in order to be valid, it means that the clause must be a fair and reasonable one to be included, having regard to the circumstances that were, or ought reasonably to have been, known to or in the contemplation of the parties when the contract was made.

Question 36

When that party does not make the contract in the course of a business but where the other party does.

Question 37

Such liability can never be exempted in consumer contracts. However, in business-to-business contracts, such liability can be exempted insofar as it satisfies the reasonableness test.

Question 38

A liability for death or personal injury resulting from a party's negligence can never be exempted.

Question 39

A party can never exempt liability for his own fraudulent misrepresentation. However, it may be possible for him to exempt his liability for his agent's fraudulent misrepresentation, provided that he does so in clear and unmistakable terms on the face of the contract.

Question 40

The Unconscionable Contracts Ordinance (Cap.458) only covers consumer contracts for the sale of goods or supply of services. It does not cover land/real estate transactions, nor business-to-business contracts.

Question 41

Examples of factors that the court may have regard to in determining whether the contract is unconscionable include: the relative bargaining strengths of the parties; whether the consumer was required to comply with conditions that were not reasonably necessary for the protection of the other party's legitimate interests; whether the consumer was able to understand any relevant documents; whether there had been any undue influence or pressure exerted on, or unfair tactics used against, the consumer by the other party and the possibility of the consumer having acquired the same goods or services from another party on terms different to the terms in question.

EXAM PRACTICE

QUESTION 1

Harry is a frequent guest at the Windsor Hotel, staying there at least twice a month, every month, when on his business trips to Hong Kong. During his stay, Harry always pays to use the fitness gym at the hotel. Inside the gym are large notice boards displaying large lettering which reads:

'Customers store personal belongings in the gym locker rooms at their own risk. (Clause X1)'

Beneath this large lettering is smaller lettering which reads: *'Terms and conditions'*. One of those terms reads:

'Windsor Hotel Ltd, its employees and agents accept no responsibility for any damage to customers' personal belongings whatsoever and howsoever caused. Any term, condition or warranty, whether express, implied or statutory, covering damage to customer personal belongings is hereby excluded. (Clause X2)'

On his last visit to the hotel, Harry did not see a large notice placed on the wall behind the hotel reception desk where he bought his gym ticket, which read:

'Gym locker room maintenance works underway. Windsor Hotel Ltd regrets any inconvenience caused to customers. Customers may continue to use the locker room but do so entirely at their own risk. Windsor Hotel Ltd, its employees and agents accept no responsibility whatsoever for any loss or damage howsoever caused. Customers are advised to keep personal belongings with them or store them in their room safety deposit box. (Clause Y)'

Harry bought a gym ticket and went into the gym. When he walked into the locker room, a metal scaffolding pole came loose, slicing his ear off and smashing his Rolex watch.

Harry wants to know whether he can recover damages for (a) his own injury and (b) the damage to his watch. Analyse Harry's legal position with regard to (a) and (b).

QUESTION 2

On 15 February 2019, Aesop (a rogue) telephoned Bao Jewellers Ltd ('BJL') and told the sales manager, Celia, that he was Dermot Dreg, a well-known billionaire businessman. Celia had personally served Dermot Dreg on many occasions as he was a regular customer of BJL and had an account there. Impersonating Dermot Dreg's voice, Aesop ordered a gold ring (priced HK\$1,000,000) which he saw advertised on the BJL's website. Since Celia was convinced that she was speaking with Dermot Dreg, she agreed that one of Aesop's employees could come to the shop later that day and collect the golden ring, and that she would put the HK\$1,000,000 on Dermot Dreg's account for payment at the end of the month. Later that day, Aesop went to the shop, posing as Dermot Dreg's employee, and Celia handed over the gold ring, after which Aesop promptly left the shop. An hour later, Celia discovered the fraud and immediately notified the Police. Three hours later, Aesop went to Chungking Mansions where he found an independent jewellery shop and sold the gold ring to Eamon, the shop's owner, for HK\$500,000 (cash). Aesop then disappeared.

BJL would like to recover the gold ring from Eamon after discovering the fact that the gold ring has been kept by Eamon. Analyse the legal position of BJL, particularly whether BJL would have a legal right to recover the gold ring.

QUESTION 3

- (a) On 8 March 2020, Health-Wise Ltd ('HWL') posted the following announcement on their company website:

'N95 FACE MASKS: 200 boxes at HK\$50 per box of 10. One box will exclusively go to each of the first 200 replies received by registered post, enclosing a cheque for HK\$50 payable to 'Health-Wise Ltd', along with a note stating your postal address, to: Health-Wise Ltd, Unit 501, Corona Tower, Quarry Bay, Hong Kong.'

On 10 March 2020, Raymond posted a letter by registered post containing a HK\$50 note – along with a note stating his postal address – to HWL's address as advertised. Unfortunately, by this time, there was a supply shortage which meant that HWL was unable to provide the N95 masks as advertised. On 11 March 2020, HWL posted an apology on its website, announcing that the N95 masks were no longer available. There is evidence to show that Raymond's letter arrived on 12 March 2020 and was one of the first 200 received by HWL.

Analyse whether Raymond has a binding contract with HWL.

- (b) On 20 March 2020, Raymond lost his diary, containing all of his business appointments and other key dates, whilst out shopping in Causeway Bay. Raymond decided to put up a reward and so put up a post on his Facebook page and LinkedIn page, with the relevant details, offering a reward of HK\$8,000 to anyone who finds his diary and returns it to him.

Kenneth was walking through Victoria Park, a public park in Causeway Bay and spotted a diary on the floor. Kenneth opened it and found Raymond's contact details in the inside cover, after which Kenneth immediately telephoned Raymond to organise the diary's return. One week later, after Kenneth had returned the diary to Raymond, Raymond's reward post somehow popped up on Kenneth's LinkedIn page (via a mutual business contact) and so Kenneth emailed Raymond asking for the HK\$8,000 reward. However, when Raymond refused to pay it, Kenneth threatened to sue Raymond for the reward.

Analyse whether Raymond has a binding contract with Kenneth.

QUESTION 4

Stop 'n' Shop Ltd ('SNS') employs Chiu-mei as a security guard at one of its shops in Causeway Bay. Nine months ago, Chiu-mei was kicked by a female suspected shoplifter whom Chiu-mei tried to prevent from leaving the store whilst the store's management called the police. As such, the suspected shoplifter was able to escape and disappeared into the crowded street. However, the incident was reported to the police as soon as they arrived, as well as to other SNS staff at that Causeway Bay shop. SNS promised all of its staff members working at that particular shop on that day, including security guard Roger, that it would pay a reward of HK\$8,000 to anyone who caught Chiu-mei's female attacker and brought her to justice. Two days later, whilst on duty, Roger apprehended the attacker as she re-attempted to steal items from the same shop. The attacker was subsequently prosecuted and jailed. However, SNS has refused to pay Roger the reward of HK\$8,000.



Analyse whether Roger can successfully claim the reward under the following two alternative further facts:

- (a) Under Roger's employment contract with SNS, he is obliged to assist in apprehending people who have committed crimes on, or in the vicinity of, any SNS shop in which he is working.
- (b) There is a statutory duty on the part of any security personnel of any shopping store to assist in apprehending people who have committed crimes on, or in the vicinity of, their workplaces.

QUESTION 5

Kent Bunt & Co ('KBC') is a private equity firm that has just relocated to new office premises in Central. KBC's authorised officer, Derek, has entered into various contractual arrangements, in relation to the office relocation, as follows.

Provision of cleaning services by Free-Flow Ltd

Derek engaged Free-Flow Ltd ('FFL') to clean the air-conditioners and ventilation shafts at KBC's new offices. Derek met with FFL's contract manager, Paul, to make the necessary contractual arrangements. Derek and Paul agreed the extent of the work to be done and the price. FFL drafted a contract and presented it to Derek. However, as Derek was about to sign the contract, he noticed a clause in the contract headed '14. Exemption of Our Liability'. Since Derek had left his reading glasses back at the office, Derek asked Paul what the clause covered. Paul responded: 'Oh, it just means that we are not liable if we damage the ceiling tiles when cleaning the ventilation shafts.'. Derek confirmed that this was okay and proceeded to sign the cleaning contract.

One week later, FFL's staff attended KBC's new offices to commence the contracted work. However, during the work, one of FFL's workers accidentally knocked over a ladder which hit and smashed the screen of one of KBC's partner's computers, along with a set of Qing Dynasty porcelain tea cups, causing many thousands of dollars' worth of damage. When Derek reported this to Paul, Paul simply replied that, pursuant to Clause 14 of their contract, FFL's liability for any loss or damage, whatsoever, caused by any of their employees, representatives or agents is limited to HKD\$500'.

Luxury bespoke set-dinner and theft incident at the Mayflower Hotel

The next day, Derek drove KBC's company car to the Mayflower Hotel to book a luxury bespoke set-dinner for all of the KBC partners, by way of a relocation celebration, for the following week. Derek wanted to talk to the dining manager, John, about the courses in the set-dinner, having received very specific instructions from the KBC partners about the menu. Upon arrival at the Mayflower Hotel, Derek drove to the entrance of the hotel's short-term carpark (the 'Carpark'), wound down the car window, tapped his company credit card on the barrier-machine (to pay for the short stay) and was issued with a ticket receipt (which simply stated the date, time and price paid for a 1-hour stay) as the barrier lifted. Derek then drove into the Carpark and parked his car and took the lift up to the hotel's lobby.

During his discussions with John about the contents of the set-dinner menu, Derek asked for confirmation that the 'Scottish Smoked Salmon' appetisers were made from Scottish salmon, explaining that the two founding partners are both of Scottish heritage and insist that any salmon served must be either caught or reared in Scotland. John assured

Derek that the smoked salmon was Scottish and so, shortly after, Derek orally agreed to the set-dinner and paid the deposit.

Upon returning to the car in the carpark, Derek saw that one of the car windows had been smashed and that someone had stolen his company laptop computer from the back seat. Derek immediately reported the incident to the hotel staff but they bluntly referred him to a large sign inside the carpark that read: 'Vehicles are left at the driver's own risk. Mayflower Hotel Ltd takes no responsibility for any theft or damage to vehicles on these premises'. The hotel staff also pointed out that, up until yesterday, there was a huge sign declaring the same at the entrance to the carpark (albeit yesterday this had been temporarily taken down whilst workmen dug up the ground to repair some underground pipes). Derek was outraged, replying that he had luncheoned at the Mayflower Hotel twice per week, parking in this carpark, for the last three years and had never been treated with such disrespect by the staff.

The following week, after the partners had enjoyed dinner at the Mayflower Hotel, it later transpired that the salmon was not Scottish at all; it was only *smoked* in Scotland but was actually caught in Canada. Derek complained to John that there was a breach of contract; John apologised saying that he did not understand the difference between 'Scottish Smoked Salmon' and 'Smoked Scottish Salmon' but that, in any event, the origin of the salmon was not a term of the set-dinner contract.

- (a) Without discussing details of the statutory validity of exemption clauses or damages, analyse the contractual nature, if any, of:
 - (i) Clause 14 in KBC's contract with FFL; and
 - (ii) The Mayflower Hotel's carpark sign.
- (b) Without discussing details of a tortious, or statutory, claim for misrepresentation or damages, analyse the contractual nature, if any, of John's statement as to the salmon's origin.

ANSWERS TO EXAM PRACTICE

QUESTION 1

First, were the relevant clauses (i.e. X1, X2 and Y) incorporated into the contract to use the gym? X1 (notice inside the gym) was not incorporated by way of a reasonable notice because it was not given before or at the time of entering into the contract at the hotel's reception desk where he bought the gym ticket (*Olley v Marlborough Court*), but it seems that it is incorporated through course of dealings since Harry regularly stays at the hotel and uses the gym. X2 (details of the exemption clause), for the same reasons as with X1, was not incorporated by way of reasonable notice but may be said to have been incorporated through course of dealings. Is the exemption particularly onerous? If so, a higher degree of notification would be required (*Interfoto Picture Library Ltd v Stiletto Visual Programmes Ltd*) – how small was the smaller lettering? Was it clearly brought to the customers' attention? Y (the notice at the hotel reception desk) seems to be incorporated (notwithstanding the fact that Harry did not see it) because it was large and therefore presumably visible at the time of contract formation.



Second, was the wording of the clauses clear insofar as covering the liability that they purport to exempt? X1 and X2 seem to be clear in the liability that they purport to exempt – i.e. damage howsoever caused to customers' personal belongings. However, Y seems a little ambiguous as to whether it purports to cover loss/damage to both a customer's property and person (i.e. personal injury). Accordingly, the court is likely to read this clause *contra proferentem* (against the hotel) and read it as covering loss/damage to property only (See Section 2.13.1).

Finally, are these clauses valid under statute? With regard to Harry's ear injury, Windsor Hotel cannot (at all, even if the wording is clear) exempt its liability for personal injury caused to Harry as a result of its negligence, including the negligence of the maintenance workers (as employees or agents) (See Chapter 4 The Law of Tort and Negligence – including 'vicarious liability') who erected/secured the scaffolding (s.7(1) of Control of Exemption Clauses Ordinance (Cap.71) ('CECO'). With regard to Harry's damaged watch, Windsor Hotel can exempt its liability for damage to such property, even if the maintenance workers were negligent, if such exemption of liability passes the reasonableness test in s.3(1) of the CECO (s.7(2) of the CECO). To this end, Windsor Hotel will have the burden of proving that its exemption of liability is reasonable (s.3(6) of the CECO) and the court will/should take into account the guidelines set out in Schedule 2 of the CECO.

Therefore, assuming that Harry can prove that the hotel/maintenance workers were negligent in erecting/securing the scaffolding, Harry can recover damages for his personal injury (his ear being sliced off) but will only be able to recover damages for his smashed watch if Windsor Hotel cannot prove that its exemption clause was reasonable.

QUESTION 2

Aesop spoke to Celia over the telephone – which is akin to face-to-face dealings (See Section 2.9.2.2). Therefore, there is a strong presumption that Celia or BJL intended to deal with Aesop (See Section 2.9.2.2) and it appears that Aesop has avoidable title due to his fraudulent misrepresentation. However, was Aesop's avoidable title actually made void before he sold the golden ring to Eamon? In other words, was the Aesop–BJL contract rescinded when Celia notified the Police? If it was, then no good title has passed from Aesop to Eamon (s.23(1) the Sales of Goods Ordinance (Cap.26) ('SOGO')) because such a rescission took place before Eamon bought the ring – and the market overt rule (s.24(1) of the SOGO) does not apply (see below).

However, if notifying the Police did not constitute voiding/rescinding the contract, then Eamon would take good title to the ring, provided that he bought it in good faith without notice of any defect (s.25 of the SOGO). The problem with this is that, even if Eamon had no actual knowledge of the illegitimate circumstances through which Aesop came to have the ring in his possession, it might be argued that Eamon had at least constructive knowledge of such, based on the fact that Aesop was selling the golden ring for *cash* to a back-street jeweller and for half of its market value.

However, and in any event, it is possible that the strong presumption (that Celia/Bao Jewellers Ltd intended to deal with Aesop) can be rebutted given that Aesop had impersonated Dermot Dreg who is somebody with whom Celia is personally acquainted). If such a rebuttal is successful, then this situation can be dealt with as if it were a unilateral mistake as to identity in contracts made purely in writing (*Cundy v Lindsay*) and, as such, Aesop would have void title (i.e. he never had legal title capable of passing to anyone

because the Aesop-BJL contract was void *ab initio*). This would mean that Aesop was not capable of passing any legal title to Eamon and nor can Eamon rely on the market overt rule (s.24 of the SOGO) because that rule does not cover a situation where shops buy from people on their premises.

Altogether, on either analysis, it seems that Eamon does not have good legal title to the ring and that, accordingly, BJL can recover it.

QUESTION 3

- (a) It will be very difficult to argue that there is a binding contract between Raymond and HWL. HWL took reasonable steps to revoke the offer by posting its revocation on its website and this was before HWL received 'acceptance' from Raymond (*Shuey v US* (1875) 92 US 73). Further, and in any event, Raymond did not make a mirror-image acceptance because he sent HK\$50 in cash rather than by the mode stipulated in HWL's offer, i.e. by cheque (*Hyde v Wrench* (1840) 3 Beav 334).

This analysis can be broken down thus: on 8 March 2020, the website advert was an HWL's offer – not an invitation to treat – because the advert stated 'will . . . go to' – and it stipulated exactly how acceptance should take place. It is a unilateral contract (*Carlill v Carbolic Smoke Ball Co* (1893) 1 QB 256). On 10 March 2020, Raymond's (purported) acceptance was posted – but it was not effective because (1) the so-called 'postal rule' was excluded by reference to the first 200 replies being 'received' (*Holwell Securities Ltd v Hughes* (1974) 1 WLR 155) and (2) in any event Raymond sent cash so there was no mirror-image acceptance of the offer's requirement of 'enclosing a cheque' (*Hyde v Wrench* (above)). On 11 March 2020, HWL's website revocation of the offer is very likely to be valid because, although the general rule is that the revocation must be communicated to the offeree, the fact that this is a unilateral contract (offered to 'the world') means that HWL has taken reasonable steps (indeed, all that it can do) to bring it to all offerees' attention by posting the notification in the same manner as the offer (*Shuey v US* (above)). On 12 March 2020, Raymond's reply was received – but after HWL's revocation on 11 March 2020 (*Byrne & Co v Van Tienhoven* (1880) 5 CPD 344) and, even if HWL's revocation was not valid, Raymond did not make a mirror-image acceptance (as noted above).

- (b) There is no binding contract between Raymond and Kenneth because Kenneth did not know about Raymond's reward offer (i.e. the unilateral contract) when Kenneth found the diary and returned it to Raymond. Essentially, one cannot 'accept' in ignorance of the offer (*R v Clarke* (1927) 40 CLR 227). Furthermore, Kenneth's act of returning the diary would amount to 'past' consideration (and, therefore, no consideration at all) because it came before his knowledge of the reward and therefore was not 'given' in response to, or in exchange for, Raymond's promise of the reward (*Roscorla v Thomas* (1842) 3 QB 234).

QUESTION 4

- (a) Can Roger's act of apprehending Chiu-mei's attacker constitute good consideration for SNS's reward promise, despite Roger already being obligated to assist in such apprehension by virtue of his employment contract with SNS?

Performing an existing contractual duty owed to the promisor cannot, generally, constitute valid consideration for a further promise by that promisor (*Stilk v Myrick*



(1809) 2 Camp 317) because there is no benefit to the promisor – nor additional detriment to the promisee – over and above their respective existing rights and obligations. Of course, if a person does more than he/she is legally obligated to do, that additional performance can constitute good consideration (*Hartley v Ponsonby* (1857) 7 E & B 872).

Roger's contractual duty is to 'assist' in the apprehension of people who have committed crimes on, or in the vicinity of, the premises in question – which may simply mean assisting in an investigation, such as by putting up posters and making enquiries, to discover who the culprit is. However, if he can show that, by *actually* apprehending the culprit, perhaps physically, then he has arguably done *more* than his contractual duty and is therefore seemingly entitled to the reward. Essentially, Roger's success with this argument will ultimately depend on the court's interpretation of the word 'assist', as used in his employment contract, and whether his actions have exceeded that contractual obligation.

However, if Roger *cannot* show that he has done more than his existing contractual duty, he might nevertheless still be entitled to the reward if he can show that SNS obtained a 'practical benefit' from Roger's performance of his existing contractual obligations (*Williams v Roffey Bros & Nicholls (Contractors) Ltd* (1991) 1 QB 1 and *UBC (Construction) Ltd v Sung Foo Kee Ltd* (1993) 2 HKLR 207). However, there are strict criteria that must be fulfilled before such 'practical benefit' argument can be successfully utilised in order to circumvent the general rule (*Williams v Roffey Bros & Nicholls (Contractors) Ltd* (above)) – and it is debatable the extent to which the 'practical benefit' analysis can be generalised (See Section 2.6.9.3). As such, it is far from certain whether Roger could successfully rely on the 'practical benefit' argument on these facts.

- (b) Can Roger's act of apprehending Chiu-mei's attacker constitute good consideration for SNS's reward promise, despite Roger being already statutorily obligated to assist in the apprehension?

The general rule is that performance of an existing duty imposed *by law* does not constitute good consideration (*Collins v Godefroy* (1831) 1 B & Ad 950) because there is no benefit/detriment over and above the existing rights and obligations.

However, an exception to this rule is where a person does *more* than he is legally obligated to do (*Glasbrook Brothers Ltd v Glamorgan County Council* (1925) AC 270 and *Ward v Byham* (1856) 1 WLR 496). Therefore, if Roger is simply performing a statutory duty, then the act of apprehending Chiu-mei's attacker would not constitute good consideration to bind SNS to its promise. However, it could possibly be argued that Roger has done *more* than the statutory duty to 'assist' in the apprehension since he has *actually* apprehended the culprit – perhaps physically – yet 'assist' may simply mean assisting in the investigation (e.g. putting up posters and making enquiries) to discover who the culprit is. On this reasoning, Roger would seemingly be entitled to the reward. Essentially, Roger's success will ultimately depend on the court's interpretation of the word 'assist', as used in the relevant piece of legislation, and whether the court considers that Roger's actions have exceeded that statutory obligation.

QUESTION 5

- (a)(i) Since Derek – on behalf of KBC – signed the contract with FFL, the terms contained therein are binding on KBC, even if Derek did not read them (*L'Estrange v E Graucob Ltd* (1934) 2 KB 394). Therefore, *prima facie*, the Clause 14 is incorporated and binding upon KBC, meaning that FFL's liability for damage to the computer and the porcelain cups is limited to HK\$500. However, since Paul misrepresented the extent of the exemption of liability (i.e. that Clause 14 only limited FFL's liability in respect of damage to the ceiling tiles), then it is not binding on KBC (*Curtis v Chemical Cleaning and Dyeing Co* (1951) 1 KB 805) and so, if KBC can show that one of FFL's workers caused the damage, KBC can claim damages for the loss sustained (to be calculated), beyond a mere \$500.
- (a)(ii) The purported exemption of liability written on the carpark sign seems unlikely to form part the parking contract because such notice came *after* the parking contract had been entered into at the barrier-machine by tapping the credit card, thereby activating access to the carpark (*Olley v Marlborough Court Ltd* (1949) 1 KB 532). (Note: there was nothing about the exemption of liability printed on the ticket receipt and, even if there had been, this would still arguably have come too late, i.e. after the precise point in time when the contract had been entered into (*Thornton v Shoe Lane Parking Ltd* (1971) 2 QB 163)).

However, Derek admitted that he was a frequent visitor to the carpark, twice per week for the last three years; if the (recently removed) liability exemption sign at the entrance of the carpark had been there throughout that period, the Mayflower Hotel might be able to argue that the notice of liability exemption for theft or damage was incorporated through course of dealings (*McCutcheon v David MacBrayne Ltd* (1964) 1 WLR 125) because such exemption formed part of each previous (consistent) contract of stay (*viz.* the notification coming just before Derek activated the barrier-machine to enter the carpark on those consistent previous occasions).

Therefore, if the Mayflower Hotel can establish that the liability exemption notice was incorporated into the parking contract by way of course of dealings then, subject to statutory reasonableness, the Mayflower Hotel would not be liable for the theft. However, if the Mayflower Hotel cannot (positively) establish this, Derek can successfully argue that the notice of exemption liability was not incorporated into the parking contract and so *may* have a claim against the Mayflower Hotel for the loss of the laptop computer.

- (b) The issue here is whether John's assurance – that the salmon was of Scottish origin – was a term of the set-dinner contract between KBC and Mayflower Hotel, thereby entitling KB to claim compensation for breach of contract, or a mere representation, thereby giving rise to a claim for remedies for misrepresentation. In determining whether the statements are of a contractual nature, thereby attracting contractual liability, the courts have developed various guiding principles to distinguish terms from mere representations.

First, if John's statement that the salmon was of Scottish origin was put into writing, there is a presumption that it was a contractual term (*Heilbut Symons & Co v Buckleton* (1913) AC 30). However, the facts state that the contract was 'orally agreed' (and even if a printed set-dinner menu was shown to Derek with the words 'Scottish Smoked



Salmon', this is of no contractual significance to establish breach because the salmon was smoked in Scotland, meaning that there was no breach of any such printed term). However, given that Derek agreed to the set-dinner 'shortly after' being given the oral assurance by John that the salmon was Scottish, there is a stronger case for arguing that John's assurance was a term (*Routledge v McKay* (1954) 1 WLR 615).

Further, it could be argued that John, as the Dining Manager, had specialist knowledge about the origin of the foodstuffs supplied to, and served by, the Mayflower Hotel and so was in a better position to know the true origin of the salmon. As such, when John made the assurance to Derek, there is a stronger presumption that the statement was a term of the contract (*Dick Bentley Productions Ltd v Harold Smith (Motors) Ltd* (1965) 1 WLR 623).

Finally, since Derek made clear the importance of the salmon being 'either caught or reared in Scotland' due to the founding partners' Scottish heritage, John must have realised the importance of any such statement of assurance to Derek, it being clear that the set-dinner contract would not have been entered into if the salmon was of a non-Scottish origin. Therefore, this makes for a stronger argument that John's assurance was a term (*Bannerman v White* (1861) 10 CB NS 844).

Altogether, it seems that John's statement, assuring Derek that the salmon was of Scottish origin, is more likely to be regarded as a term of the set-dinner contract. This term has seemingly been breached and, if so, KBC would be entitled to damages.

3

Principles of Contract and Consumer Law in Hong Kong (Part 2)

CHAPTER TOPIC LIST

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LEARNING OUTCOMES

PRINCIPAL LO5: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE CONTRACT LAW
LO5.01: Analyse the essential elements of a contract and the consequences of breaching a contract, and apply the principles of the contract law to practical business situations
5.01.03 Analyse the different vitiating factors and their legal effects
5.01.04 Analyse how a contract can be discharged
5.01.05 Analyse the legal meaning and effects of breach of contract
5.01.06 Apply the rules relating to the award of damages
5.01.07 Analyse the range of remedies for breach of contract, and the circumstances in which specific performance and injunctions may be suitable remedies
5.01.08 Apply the principles of the contract law to practical business situations
PRINCIPAL LO6: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE CONSUMER LAWS
LO6.01: Analyse and apply the key provisions of the consumer laws in Hong Kong
6.01.01 Analyse the scope and apply the key provisions of the Sales of Goods Ordinance and the Supply of Services (Implied Terms) Ordinance
6.01.02 Analyse the scope and apply the key provisions of: • The Control of Exemption Clauses Ordinance (*) • The Trade Descriptions Ordinance

For the topics marked with (*), please refer to discussion in Chapter 2.



OPENING CASE

CLEAN GYM MEMBERSHIP

On his way home from work, Johnny saw a poster outside Clean Gym, advertising 50% off its Yoga Club membership. As a result, Johnny went into Clean Gym, seeking to purchase the yoga membership deal. However, when Johnny enquired at the reception desk, he was told that Yoga Club was now full and, instead, was offered a 20% discount if he joined Clean Gym's 'Premium' membership on that day. The receptionist told Johnny that Premium membership would entitle him to unlimited access to all the facilities of Clean Gym, including priority sign-up for Yoga Club as soon as a place became vacant.

Johnny told the receptionist that Premium membership was too expensive and that he could not afford it. The receptionist then called a member of Clean Gym's sales staff who promptly arrived at the reception desk and proceeded to persuade Johnny to buy the Premium membership, reiterating the unlimited access to the facilities and priority sign-up for the Yoga Club.

After a couple of minutes, Johnny was ushered into a side-room where three very muscular male staff members were seated. Johnny felt very intimidated as all four staff members were now pressuring him to purchase the Premium membership. Upon hearing Johnny's reluctance to sign up, one of the staff members punched the wall and another kept raising his voice. After about one hour, Johnny could sense their impatience and agreed to the purchase. The Premium membership was for a minimum of 24 months, with no break clause, and the first 12 months had to be paid in advance. Reluctantly, Johnny provided the sales staff with his credit card details.

The following Saturday, when Johnny tried to use Clean Gym's facilities, he was told by a different receptionist that Premium members can only use the facilities on weekdays. The receptionist directed Johnny's attention to the small print in the 'Terms & Conditions' booklet available at the reception desk. Essentially, according to the 'Terms & Conditions' booklet, for unlimited access (including weekends and public holidays), Johnny would have to upgrade to the much more expensive Diamond membership. Reluctantly, Johnny upgraded his membership there and then and proceeded to use Clean Gym's facilities.

The next day, Sunday, whilst exercising in Clean Gym, Johnny overheard a patron telling his friend that he was leaving Yoga Club. Johnny immediately went to the reception desk and sought priority sign-up for Yoga Club as soon as a place became vacant. However, the receptionist told Johnny that the priority sign-up is only available for Premium and Diamond members after 24 months of continued membership.



When Johnny arrived at Clean Gym on the following Saturday, he discovered that the doors were locked and could see that the lights were off. Johnny could also see through the glass window that all the fitness equipment had been removed. At that point, a passer-by said to Johnny: 'There's no one there, mate – Clean Gym has gone into liquidation!'

Based on these facts, has Clean Gym committed any offences? 



OVERVIEW

This chapter will consider the various factors that can vitiate (or undermine the validity of) a contract, as well as the ways in which a contract can be discharged (or come to an end) and the remedies available to a party after its contract has been breached by another party. The chapter will then go on to consider the statutory regimes for the purchase of goods, the supply of services and the protection of consumers from unfair trade practices. To facilitate learning and put the relevant law into context, the chapter will also include real case examples, illustrative scenarios and questions with worked answers. This should provide the reader with a better understanding of the relevant legal principles and the ability to apply them to practical business situations, including business-to-business transactions and business-to-consumer transactions. This chapter will build on the contract law knowledge acquired from Chapter 2 Principles of Contract and Consumer Law in Hong Kong (Part 1). To this end, cross-reference will be made, where appropriate, to concepts dealt with in Chapter 2.



VITIATING FACTORS

Even if the requirements of offer, acceptance, capacity, intention to create legal relations, consideration and certainty (See Chapter 2 Principles of Contract and Consumer Law in Hong Kong (Part 1)) are fulfilled, the validity of a contract may still be undermined if, at the time when it was entered into, certain factors were present that vitiated (or invalidated) a party's consent. These **vitiating factors** have the effect of either rendering the contract void or voidable, depending on which vitiating factor was present at the time of entering into the contract. If the contract is declared void, the effect is that the contract was never valid in the first place; if the contract is voidable, it means that there was a valid contract created, albeit that contract is capable of being set aside by the court at the election of the party whose consent was vitiated.

3.1 COMMON MISTAKE

A **common mistake** occurs where both parties make the same mistake and the mistake is only discovered after the contract has been entered into. For example X and Y contract for the sale of a car but, unknown to both of them, the car has – prior to the contract being entered into – been destroyed. The consequence of a common mistake is that the contract is void *ab initio* (i.e. from the beginning).

3.1.1 Narrow Scope

The doctrine of common mistake operates within narrow limits. Since the effect of a common mistake is to make the contract void, the doctrine is limited in scope in the interests of commercial certainty and convenience, as well as to avoid the potential adverse effects on third parties.

3.1.1.1 The Necessary Elements

The following elements must be present if a common mistake is to render a contract void: (1) there must be a common assumption as to the existence of a state of affairs; (2) there must be no promise by either party that that state of affairs exists; (3) the non-existence of the state of affairs must not be attributable to the fault of either party; (4) the non-existence of the state of affairs must render performance of the contract impossible; and (5) the state of affairs may be the existence, or a vital attribute, of the consideration to be provided or circumstances that must subsist if performance of the contractual adventure is to be possible. See *Great Peace Shipping Ltd v Tsavliris Salvage (International) Ltd* (2002) EWCA Civ 1407.

3.1.1.2 Contractual Allocation of Risk

The doctrine of a common mistake will not apply where one of the parties has assumed the risk of the true state of affairs, i.e. assuming the risk of the mistake.¹ Such assumption or allocation of risk may be express or implied.

***Jan Albert (HK) Ltd v Shu Kong Garment Factory Ltd* (1990) 1 HKLR 317**

Facts: This case concerned a contract for the manufacture and export of garments. The defendant was to arrange the necessary export licence to export the garments from mainland China. However, unknown to both the plaintiff and defendant at the time of entering into the contract, no further export licences were being issued by the Chinese authorities, due to the relevant export quota being already filled. As such, the plaintiff sued the defendant for breach of contract but the defendant argued that the contract was void for common mistake.

Issue: Whether the export contract was void due to common mistake.

Held: There was no common mistake due to an express contractual allocation of risk. The defendant expressly undertook to procure sufficient quota to enable the goods to be exported from mainland China, together with the necessary export licence and, therefore, the defendant accepted responsibility for – and bore the risk of – any failure to procure sufficient quota and the necessary licences.

¹ *Associated Japanese Bank (International) Ltd v Credit du Nord SA* (1989) 1 WLR 255.



See also *Tony Investments Ltd v Fung Sun Kwan* (2006) 1 HKLRD 835 (in a real estate sale and purchase agreement, where there is no express exclusion, there must be an implied promise that the seller has good title and shall show and pass a good title – this alone would defeat the seller's defence of common mistake).

3.1.1.3 Fault

It should also be noted that the doctrine of common mistake will not operate where one of the parties is at fault for the non-existent state of affairs.

3.1.2 Categories of Common Mistake

There are three categories of common mistake:

1. Mistake as to subject matter;
2. Mistake as to ability to perform; and
3. Mistake as to quality.

3.1.2.1 Mistake as to Subject Matter

Performance will be impossible where the subject matter of the contract no longer exists at the time when the contract was entered into. For example, where the parties agree on the sale of a car but, unknown to both of them, the car had been destroyed before the contract was formed.

***Couturier v Hastie* (1856) 5 HL Cas 673**

Facts: This case concerned a contract for the sale of a cargo of corn, believed to be in transit, but which had, unknown to the parties, already been sold, by the ship's master, *en route*, because the corn had begun to deteriorate in the heat. The seller argued that the buyer was nevertheless liable to pay the price for the cargo on the basis that the buyer had assumed all risks.

Issue: Whether the sale contract was void due to common mistake.

Held: The buyer was not liable to pay for the goods because the sale was for goods that no longer existed by the time the parties entered into the sale contract.

3.1.2.2 Mistake as to Ability to Perform

Other than a physical impossibility to perform, a contract may also be void for common mistake where the performance of the contract would be legally impossible. For example, performance may actually be a criminal offence (See Section 3.6). Another example of legal impossibility would be where X contracts to buy property that he already owns.²

Other than legal impossibility, there may be a common mistake where the purpose for entering into the contract is impossible to realise.

² *Cooper v Phibbs* (1867) LR 2 HL 149.

***Griffith v Brymer* (1903) 19 TLR 434**

Facts: This case concerned a contract for the hire of a room to view the Coronation procession of King Edward VII. The contract was entered into a few days before the scheduled procession. However, unknown to both parties, the Coronation procession had been cancelled about one hour earlier. Note that, if the Coronation procession had been cancelled after the contract had been formed, then the contract may be said to be frustrated (See Section 3.10).

Issue: Whether the hire contract was void due to common mistake.

Held: The hire contract was void for common mistake because the very purpose of hiring the room was to view the Coronation procession.

3.1.2.3 Mistake as to Quality

The doctrine of common mistake can operate where there is a mistake as to quality. In this context, the word 'quality' refers to some special quality that relates to the subject matter, i.e. something sufficiently fundamental that goes to the root of the matter.

***Bell v Lever Bros Ltd* (1932) AC 161**

Facts: This case concerned a termination of employment agreement. Bell was an executive of one of Lever Bros' subsidiaries. The subsidiary was later closed down and Lever Bros contracted with Bell that, in return for Bell's termination of employment, Bell would receive compensation. However, it was later revealed that Bell had, during his employment, breached his terms of service which, if discovered at the time, would have entitled Lever Bros to dismiss him without compensation. Since Bell had forgotten about this previous breach at the time of entering into the compensation agreement, he was not guilty of fraudulent concealment (See Section 3.2) but Lever Bros sought to recover the compensation, paid to Bell, on the basis that the compensation agreement was void for mistake.

Issue: Whether the compensation agreement was void due to common mistake.

Held: Lever Bros' claim could not succeed because the compensation agreement remained valid; the mistake merely related to the quality of the employment contract (i.e. the subject matter of the compensation agreement) which was not fundamental.

Although there was found to be no common mistake on the facts in *Bell v Lever Bros Ltd*, this case does recognise that some mistakes as to quality will be sufficiently fundamental so as to avoid the contract, provided that it is the mistake of both parties and is a mistake as to the existence of some quality that makes the thing without the quality essentially different from the thing as it was believed to be. This is known as 'the test of essential difference'.

The Test of Essential Difference

According to *Bell v Lever Bros Ltd*, the test for establishing a common mistake as to quality is whether the mistake as to the existence of the quality means that the subject matter of the contract, without that quality, is essentially different from what had been contracted for. An example was given by the court in that case: X buys a picture from Y; both X and Y believe



it to be the work of a famous painter and so X pays a high price for it; it later turns out to be a modern copy. In those circumstances, X has no remedy unless he/she can show that there was a misrepresentation or breach of a term (See Sections 3.2 and 3.9). It is not enough to simply argue that the contract would not have been entered into if the true state of affairs had been known.

Leaf v International Galleries (1950) 2 KB 86

Facts: The plaintiff bought a painting that he thought to be by John Constable (and was represented as such by the defendant seller). However, some five years later, when the plaintiff sought to sell the painting, it was discovered that this was not a painting by John Constable. Therefore, the plaintiff sought to have his earlier purchase agreement with the seller set aside on the grounds of misrepresentation (See Section 3.2).

Issue: Whether the purchase agreement was void due to common mistake.

Held: The legal action should fail for lapse of time (one of the bars to rescission (See Section 3.2.3.1)). The court noted that there would be no alternative remedy for common mistake since this was only a mistake as to quality but did not prevent the contract, as agreed, from being performed. The court found that the plaintiff had not contracted to buy a Constable but, rather, what he contracted to buy and what he bought was a specific chattel (namely, an oil painting of Salisbury Cathedral) and that is what he received.

Both the example given in *Bell v Lever Bros Ltd* and the findings of *Leaf v International Galleries* are, arguably, quite difficult to follow. They both assume that the parties would identify the subject matter as a picture, i.e. the parties contracted to buy a picture and that is what was bought. However, it has been commented that such an assumption is wrong. For example, if X has just paid Y the sum of HK\$100 million for what both X and Y believe to be a painting by Rembrandt, then, if someone asked X what he/she had just bought, X would almost certainly reply a Rembrandt – not a picture.

The Test of Impossibility

The test of essential difference is sometimes interpreted as, or equated with, the test of impossibility.

Great Peace Shipping Ltd v Tsavliris Salvage (International) Ltd (2002) EWCA Civ 1407

Facts: The contract involved the hiring of the vessel 'Great Peace', for a minimum of five days, to sail toward the vessel 'Cap.Providence' (a damaged vessel) and to stand by for the purpose of saving life. When the parties entered into the hire contract, they were both mistaken as to the distance between the two vessels (thought to be 35 miles but actually was 410 miles) and therefore as to how long it would take 'Great Peace' to sail to 'Cap.Providence'. When the salvage company discovered the mistake, they hired another vessel and sought to cancel the hire of 'Great Peace'. However, the owners of 'Great Peace' sought the minimum five-day hire fee, as per the contract terms. The salvage company argued that the contract was void for common mistake.

Issue: Whether the hire contract was void due to common mistake.

Great Peace Shipping Ltd v Tsavliris Salvage (International) Ltd (2002)
EWCA Civ 1407 (continued)

Held: Performance of this contract was not impossible and, therefore, the contract was not void for mistake but, rather, that the salvage company was liable for the five-day hire fee. The court applied the test of essential difference, i.e. whether the common mistake (concerning the distance between the two vessels) meant that performance according to the terms of the contract would be essentially different from the performance as contemplated by the parties. The court found, on the facts, that 'Great Peace' would have arrived at 'Cap.Providence's' location in time to provide the contracted service, and that the salvage company, upon discovering the mistake as to distance, failed to act immediately in cancelling the hire contract.

In the *Great Peace Shipping Ltd* case, the court seemingly interpreted the test of essential difference as being one of impossibility. It has been commented that, in most cases, the application of either test will lead to the same conclusion because they are both very narrow and can only be satisfied in exceptional circumstances, albeit the impossibility test is probably easier to apply (See *Tony Investments Ltd v Fung Sun Kwan* (2006) 1 HKLRD 835).

► **Knowledge Check Questions**

Question 1

Define what is common mistake.

Question 2

Describe two important limitations on the operation of the doctrine of common mistake.

Question 3

Explain three categories of common mistake.



3.2 MISREPRESENTATION

During pre-contractual discussions and negotiations, if one party ('X') makes a false statement of fact that induces the other party ('Y') to enter into a contract, then Y may be able to have the contract rescinded (See Section 3.2.3.1) if the contract is made with X and/or recovers damages (See Section 3.11) from X, regardless of whether the contract is entered into with Y or a third party. The contract is said to be vitiated by **misrepresentation** (or misstatement). Misrepresentation is a tort (See Chapter 4 The Law of Tort and Negligence) and is probably the most common vitiating factor in the law of contract.



3.2.1 Requirements for an Actionable Misrepresentation

In order for a party to establish that there has been an actionable misrepresentation (i.e. one capable of vitiating the contract), that party must show that there was a false statement of fact that induced that party to enter into a contract.

3.2.1.1 False

The statement made must have been false. However, the party making the representation (i.e. the **representor**) will not be liable where the **representee** has put an unreasonable interpretation on the statement. In other words, the representor will not be liable where, on an objective or reasonable interpretation, the statement is true.

3.2.1.2 Statement

Conduct May Be Sufficient

Other than a statement by written or spoken words, it may also be possible to establish a misrepresentation by conduct if such conduct misleads the other party or conveys a false impression.⁴ This could include, for example, a nod, a wink, a shake of the head or even a smile if such conduct was intended to induce a party to believe the existence of a non-existent fact.⁵

Shum Kong v Chui Ting Lin (2001) HKCU 531

Facts: An estate agent showed a prospective purchaser a house that was for sale, as well as an adjacent garage and surrounding garden. Neither the garage nor the garden formed part of the property for sale but, since being shown them by the agent, the prospective purchaser believed they were and so entered into the purchase agreement on that basis. However, once the purchaser found out that the property only consisted of the house, the purchaser acted to have the purchase agreement rescinded on the grounds of misrepresentation.

Issue: Whether the purchase agreement could be rescinded by relying on the grounds of misrepresentation.

Held: By showing the purchaser the garage and surrounding garden without telling him that the property for sale comprised the house only, both the seller and the estate agent made a misrepresentation by conduct. Under the circumstances, it was entirely reasonable for the purchaser to conclude that what was being offered for sale was the house, the garage and the garden.

It is worth noting that the conduct in question does not have to have been intended to induce the representee to believe in a certain state of affairs.⁶

Silence or Non-disclosure

As a general rule, a party does not have to disclose facts that, if known by the other party, would affect that party's decision to enter into the contract.⁷ This reflects the principle of

³ *McInerny v Lloyds Bank Ltd* (1974) 1 Lloyd's Rep 246.

⁴ *Curtis v Chemical Cleaning & Dyeing Co Ltd* (1951) 1 KB 805.

⁵ *Walters v Morgan* (1861) 3 De G F & J 718.

⁶ *Green Park Properties Ltd v Dorku Ltd* (2001) 1 HKLRD 139.

⁷ *Keates v The Earl of Cadogan* (1851) 10 CB 591.

caveat emptor (i.e. let the buyer beware). However, there are certain exceptions to this general rule, as outlined below.

Active Steps to Conceal

Taking active steps to conceal can amount to a misrepresentation. For example, deliberately concealing a serious defect in a gun for sale by inserting a metal plug would constitute a misrepresentation.⁸

Half-Truths

If a party makes a statement that is true but misleading insofar as it does not reveal all the facts, this can amount to a misrepresentation because it is a **half-truth**. Even if what the representor says is true, he/she will be liable for misrepresentation if he/she omits important qualifications that distort the representee's assessment of what was said. Essentially, in this situation, the representor is misleading by omission by effectively implying that the material facts omitted do not exist.

Dimmock v Hallett (1866) LR 2 Ch App 21

Facts: A seller of land described the two farms on that land as being fully let, which was true at the time of making the statement.

Issue: Whether the seller's statement was considered a misrepresentation.

Held: The seller was still liable for misrepresentation because he did not reveal the fact that he also knew (at the time of making the statement) that the tenants had been given notice to terminate the tenancies. Accordingly, the purchaser was able to rescind the contract.

Change of Circumstances

If a party makes a statement that is true but is later rendered untrue or misleading due to a change in circumstances, that party has an obligation to correct the impression held by the representee based on the original (albeit then correct) statement before the representee enters into the contract in reliance on it.

With v O'Flanagan (1936) Ch 575

Facts: This case concerned the sale of a medical practice. The seller (truthfully) told the prospective buyer about the income yield from the practice. However, when the seller subsequently became ill, the income derived from the practice dramatically declined.

Issue: Whether the seller's representation was considered a misrepresentation.

Held: When the buyer eventually bought the practice (some months later), he was able to have the contract rescinded after discovering that the current income yield was significantly lower than what he had previously been told. Although the seller's representation of the income yield was true at the time it was made, the court held that the seller's failure to correct that representation – after the later change of circumstances – constituted a misrepresentation.

⁸ *Horsfall v Thomas* (1862) 1 H & C 90.



Fiduciary Relationships

Fiduciary relationships – such as solicitor–client, principal–agent, trustee–beneficiary – impose a special duty of care on those to whom confidence is entrusted. Accordingly, there is a duty to disclose all material facts.

Contracts Uberrimae Fidei

Contracts *uberrimae fidei* (i.e. of utmost good faith) impose a duty to disclose all material facts. Perhaps the best example would be insurance contracts; an insured party has an obligation to disclose all material facts before the insurance policy is agreed, otherwise the insurance policy will be voidable.

3.2.1.3 Fact

The false statement must be one of fact rather than one of mere opinion or future intention. Nevertheless, if a statement of opinion or future intention is made fraudulently, it will be treated as if it was a statement of fact.

Statements of Opinion

In general, a statement of opinion is not a statement of fact.

Bisset v Wilkinson (1927) AC 177

Facts: A seller of land told a prospective buyer that the land was, in his opinion, capable of supporting 2,000 sheep. However, the buyer knew that the seller had not previously used the land for sheep farming and that the statement was a mere honest estimate, without expertise. Later, after purchasing the land, the buyer discovered that the land could not support 2,000 sheep.

Issue: Whether the seller's statement was considered a misrepresentation.

Held: The seller's statement was not actionable as a misrepresentation because the statement was merely one of opinion.

In *Bisset v Wilkinson*, the statement maker was in no better position to know the facts than the person to whom the statement was made. However, where the statement maker is in a better position to know the truth, he is effectively representing that he has reasonable grounds for believing it to be true. Therefore, if there are no reasonable grounds for his belief, the false statement can constitute a misrepresentation.

Smith v Land & House Property Corp (1884) 28 Ch D 7

Facts: This case concerned the sale of a hotel. The sellers described their current tenant as a most desirable tenant when, in reality, he had a history of being overdue with payment of his rent.

Issue: Whether the sellers' statement was considered a misrepresentation.

Held: Although the sellers' representation might be regarded as an opinion, it still amounted to a misrepresentation because they were in a better position to know the facts than the buyer. The sellers' opinion involved a statement of material facts since the sellers implied that they knew facts that justified their opinion. This meant that the sellers were, effectively, asserting that nothing had occurred in the relations between themselves and their tenant that could be considered undesirable – and this was an assertion of specific fact that was not true.

With regard to expert forecasts, although there is no way to prove the truth of the statement at the time it was made, misrepresentation may still be established if the statement was made negligently by an apparent expert who intended the expert forecast to be relied on.⁹

Statements of Future Intention

Generally, statements of future intention will not constitute a statement of fact. However, a statement of future intention may constitute a misrepresentation if the statement maker had no real such intention at the time of making it because a present intention is a fact and is therefore capable of being falsely stated.¹⁰

Statements of Law

A misstatement of law, without reference to particular facts, cannot amount to a misrepresentation. For example, rent control laws do not apply to premises that have been substantially altered so that they are, in effect, new premises. However, a misstatement of law combined with facts such that it is a statement of the effect of law on a particular set of facts will amount to a misrepresentation if it is false. For example, the alterations done to these premises have made them new premises in the eyes of the law and, therefore, rent control laws do not apply to these premises.

3.2.1.4 Induced

In order for the false statement of fact to have induced the representee to enter into the contract, such inducement must be: (1) material; (2) known to the representee; (3) intended to be acted upon and (4) actually acted upon.

Material

The representation must have been material in the sense that it would influence a reasonable person to decide to enter into the contract. This, therefore, excludes trivial misstatements.

Known to the Representee

The representation must have been known to the representee in order for him/her to be induced. Therefore, deliberately concealing a serious defect in a gun for sale by inserting a metal plug would not constitute an actionable misrepresentation if the buyer failed to inspect the gun before purchasing it.¹¹

Intended to be Acted Upon

The representation must have been intended to have been acted upon in order for there to be an actionable misrepresentation.

⁹ *Esso Petroleum Co Ltd v Mardon* (1976) QB 801.

¹⁰ *Edgington v Fitzmaurice* (1885) 24 Ch D 459.

¹¹ *Horsfall v Thomas* (1862) 1 H & C 90.



***Peek v Gurney* (1873) LR 6 HL 377**

Facts: A company prospectus containing false statements was intended to induce the purchase of shares on the formation of the company. The plaintiffs who purchased shares in the market alleged misrepresentation and concealment of facts.

Issue: Whether the information in the prospectus was considered a misrepresentation.

Held: When the plaintiffs purchased shares after the original allotment, they could not rely on the misstatements in the prospectus to rescind the share purchase agreements. There had been no intention by those making the misstatements that those statements should be relied on other than by those persons purchasing shares as part of the original allotment.

Actually Acted Upon

Finally, in order to show that the representation induced the representee to enter into the contract, it must be shown that the representee did actually act upon the false statement. For example, if the representee goes on to make his/her own investigations in order to determine the truth of the statement, he/she may be held to have entered into the contract on his/her own judgement rather than having been induced by the statement of the representor.

***Attwood v Small* (1838) 6 Cl & F 232**

Facts: The seller of a coal mine made a false statement about the mine's earning potential. However, before purchasing the mine, the buyers appointed their own agent to verify the truth of the seller's statement. After conducting an examination of the mine, the agent confirmed the accuracy of the seller's statement. However, it later turned out that the earning capacity was far less than that as represented by the seller. Therefore, the buyers sought to have the sale contract rescinded for misrepresentation.

Issue: Whether the seller's statement was considered a misrepresentation.

Held: Since the buyers had relied entirely on their own agent's confirmation as to the mine's earning potential, they could not have the contract rescinded on the basis of the seller's misrepresentation.

In a case like *Attwood v Small*, if the representee relied partly on its own (or its agent's) judgement and partly on the representor's false statement, the seller's false statement would have constituted an actionable misrepresentation. Further, a representee will still have an actionable misrepresentation claim notwithstanding his/her own verification of the representor's statement if that statement was made fraudulently (See Section 3.2.2.1).¹²

With regard to whether the representee had an opportunity to discover the truth of the representor's statement but did not take that opportunity (such as by inspecting goods for sale), there can still be an actionable misrepresentation if the statement nevertheless induced him/her into the contract.

¹² *Clinicare Ltd v Orchard Homes & Developments Ltd* (2004) EWHC 1694.

Redgrave v Hurd (1881) 20 Ch D 1

Facts: This case concerned the purchase of a share in a law practice. The buyer could have simply checked the bundle of papers that were said to contain proof of part of the income from the share before purchasing it but, instead, bought the relevant share of the practice without so checking. It later turned out that the income had been misrepresented.

Issue: Whether the buyer could rescind the sale contract by relying on the grounds of misrepresentation.

Held: The buyer could rescind the sale contract notwithstanding his failure to simply check through the bundle of papers.

See also *Welltech Investment Ltd v Easy Fair Industries Ltd* (1996) 4 HKC 711. A buyer of commercial premises could rescind the sale contract for misrepresentation notwithstanding the fact that the buyer could have simply checked the Deed of Mutual Covenant ('DMC') and the sub-DMC to discover the true position. It is no defence to an action for rescission, in such circumstances, that the representee could have used due diligence to discover the truth.

It should be noted, however, that – in the context of negligent misrepresentation (See Section 3.2.2.2) – a failure to check the truth of a statement could possibly be regarded (in certain factual situations) as constituting **contributory negligence** (See Section 4.2.4.1) which could proportionately reduce the measure of damages available. (Note that the concept of contributory negligence is irrelevant in the context of fraudulent misrepresentation; in that situation, the representor will be fully liable for damages.) Nevertheless, the representee could still have the contract rescinded.

Apply and Analyse 1

Apply

X offered to sell his restaurant to Y and said: 'I intend to retire from the restaurant business'. Three months after Y bought the restaurant, X opened a rival restaurant on the same street. Analyse whether X made a misrepresentation.

Analysis

X made a statement of future intention. This is generally not a statement of fact. Therefore, X was free to change his mind unless he had no such real intention at the time of making the statement because a statement of present intention is a statement of fact capable of being falsely made.¹³ Although it may be evidentially difficult to prove that X was lying at the time of making the statement, if his lying state of mind can be ascertained then there can be an actionable misrepresentation.

¹³ *Edgington v Fitzmaurice* (1885) 24 Ch D 459.



Apply and Analyse 2

Apply

X wanted to get rid of his lazy (but nice) employee, Y. One day, Z wrote to X to ask for X's opinion of Y who had applied for a job at Z's firm. X said: 'Y is a wonderful guy. The sight of Y at work fills me with wonder.' Relying on this statement, Z hired Y but soon realised that Y was a hopeless employee. Analyse whether X made a misrepresentation.

Analysis

X stated a half-truth. X's statement was true but misleading because it did not reveal all relevant facts but, rather, implied that material facts (such as Y's laziness) did not exist.¹⁴ Therefore, this can constitute an actionable misrepresentation (See *Dimmock v Hallett* in Section 3.2.1.2). Furthermore, since the facts state that X 'wanted to get rid' of Y, it would seem that X's statement was intended to deceive Z and therefore may constitute a fraudulent misrepresentation (See Section 3.2.2.1). There was also no contractual relationship in this case as it covered fraudulent misrepresentation.

Apply and Analyse 3

Apply

Xi entered into negotiations with Yau to try to sell his junk boat to Yau. During these (pre-contractual) negotiations, Xi said: 'I think you should get the boat surveyed. It has always been reliable but I recently had to pay for the mast to be repaired'. Unknown to Yau, Xi had used paint and other means to conceal other shoddily repaired parts of the boat. Yau purchased the boat without further inspection but soon found out that recent repairs to the boat included the rudder, keel and hull.

Yau now wants to sue Xi for misrepresentation. Yau argues that Xi's statement was: (1) an active concealment of defects to the boat or, (2) at least, a half-truth. However, Xi argues that there is no actionable misrepresentation because (3) the *caveat emptor* principle applies and, (4) in any event, Yau's failure to have the boat properly surveyed demonstrates that he was not induced to purchase the boat by Xi's statement. Analyse whether Yau has a case based on these four arguments.

Analysis

With regard to argument (1), although Xi used paint and other means to conceal other shoddily repaired parts of the boat, such active concealment could never have come to Yau's attention because Yau never made any further inspection of the boat before purchasing it.¹⁵ As such, the active concealment cannot be said to have induced Yau into the contract with Xi.

With regard to argument (2), Xi only mentioned that the mast had been repaired and, as such, this would have given Yau a misleading impression that the boat did not require

¹⁴ *Robertson v Diccio* (1972) 70 LGR 589.

¹⁵ *Horsfall v Thomas* (1862) 1 H & C 90.

Apply and Analyse 3 (continued)

any further repairs or had any other problems. Xi was misleading Yau by omission insofar as, effectively, implying that the material facts omitted do not exist and, as such, would very likely constitute a half-truth (See *Dimmock v Hallett* in Section 3.2.1.2).

With regard to argument (3), the general principle of *caveat emptor*¹⁶ would not apply to these facts given that it is very likely that Xi's statement constituted a half-truth (as noted above) which, as an exception to the principle of *caveat emptor*, would constitute an actionable misrepresentation.

With regard to argument (4), the mere fact that Yau failed to have the boat surveyed (after Xi's recommendation that he do so) does not prevent his reliance on Xi's statement as to the condition of the boat. Even though Yau had the opportunity to discover the truth of Xi's statement, it provides no defence for Xi if Yau can show that he was induced by Xi's statement to enter into the contract (*Redgrave v Hurd* and *Welltech Investment Ltd v Easy Fair Industries Ltd* in Section 3.2.1.4).

Therefore, it seems that Yau would have good grounds for bringing an action for misrepresentation against Xi on the basis that Xi's statement was a half-truth that induced Yau to purchase the boat.

3.2.2 Types of Misrepresentation

There are three types of misrepresentation: (1) fraudulent misrepresentation, (2) negligent misrepresentation and (3) innocent misrepresentation. The distinction is particularly important in relation to the damages recoverable.

3.2.2.1 Fraudulent Misrepresentation

Fraudulent misrepresentation occurs when a false statement is made (1) knowingly, (2) without belief in its truth or (3) recklessly, without care as to whether it is true or false.¹⁷ Essentially, it is a statement made without honest belief. This would include situations where there has been a subsequent change of circumstances that make a previously made statement now false but the statement maker has deliberately not corrected the impression given by that previous (truthful) statement before it is relied on in entering into the contract.¹⁸

3.2.2.2 Negligent Misrepresentation

Where a false statement is made honestly – in the belief that it is true – but the statement maker failed to exercise reasonable care and skill in coming to that conclusion, the statement would constitute a negligent misrepresentation.

3.2.2.3 Innocent Misrepresentation

Where a false statement is made honestly – in the belief that it is true – and there are reasonable grounds for the statement maker to believe in its truth, the statement would constitute an innocent misrepresentation.

¹⁶ *Keates v The Earl of Cadogan* (1851) 10 CB 591.

¹⁷ *Derry v Peek* (1889) 14 App Cas 337.

¹⁸ *Banks v Cox* (2002) EWHC 2166.



Note that many older cases often refer to innocent misrepresentation as being any misrepresentation that was not fraudulent. However, since the development of the concepts of negligent misrepresentation and innocent misrepresentation essentially means wholly innocent (i.e. not even tainted by negligence).

3.2.3 Remedies Available for Misrepresentation

Where the representee can establish an actionable misrepresentation, he/she may be able to rescind the contract and/or recover damages. However, there are certain limits to the availability of such remedies, depending on the circumstances of the particular case.

3.2.3.1 Rescission

The effect of a vitiating factor like misrepresentation is to render the contract between the representor and representee voidable, essentially allowing for the contract to be rescinded (or set aside) and the parties being restored to their pre-contractual positions.

Rescission of the contract is an equitable remedy available for all types of misrepresentation where the contract is between the representor and representee. However, rescission will not be possible if the representor's statement induced the representee to enter into a contract with a **third party**, unless that third party had knowledge (actual or constructive) of the misrepresentation.¹⁹

Requirement of Notice

Once a misrepresentation has been established, rescission will only be possible where the representee has given notice to the representor that he is rescinding the contract.²⁰ However, it may be possible to waive this requirement, at least in the context of fraudulent misrepresentation (See Section 3.2.2.1).

Car and Universal Finance Co Ltd v Caldwell (1961) 1 QB 525

Facts: A rogue fraudulently persuaded a car owner to sell his car to the rogue. The rogue paid for the car by cheque. Soon after, the rogue sold the car on to the plaintiff finance company (a third party). The rogue subsequently absconded. However, before the rogue sold the car to the finance company, the original owner (and the representee in this case) had discovered the fraud and had notified the police and the Automobile Association, seeking their help in recovering the car.

Issue: Whether the original owner could rescind the contract and recover the car.

Held: The car could be returned to the original owner. The original owner's notifications (to the police and the Automobile Association) were sufficient to constitute notice to the representor (i.e. the rogue). This meant that, since the plaintiff finance company (the third party) had bought the car after the original owner's contract with the rogue had been rescinded, the plaintiff finance company had not acquired good title to the car from the rogue.

¹⁹ *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773.

²⁰ *Scarfe v Jardine* (1882) 7 App Cas 345.

It is worth noting that, if the plaintiff finance company in *Car and Universal Finance Co Ltd v Caldwell* had bought the car from the rogue before the original owner's contract with the rogue had been rescinded, then the finance company would have been able to keep the car, provided that it bought the car in good faith and without notice of the rogue's fraud/voidable title. Indeed, this is a statutory exception to the **rule of *nemo dat quod non habet*** (i.e. that a person cannot confer better legal title than he, himself, has), as per s.25 of the Sale of Goods Ordinance (Cap.26) (See the concept of sale under voidable title in Section 3.17.3.3, where statutory exceptions to *nemo dat quod non habet* are discussed).

3.2.3.2 Bars to Rescission

Since misrepresentation only renders a contract voidable (rather than void), the representee's ability to have the contract rescinded may be lost.

Affirmation of the Contract

If the representee indicates to the representor that he is affirming the contract – i.e. that he intends to continue with the contract – notwithstanding his discovery of the misrepresentation, and knows that he has a right to rescind the contract, he will lose the right to rescission.²¹ Further, the representee's indication that he/she is so affirming may be through express words or by conduct, such as where a representee has been induced into a lease agreement by a misrepresentation but, after discovering the truth, nevertheless continues to live there and pay the rent.²²

Lapse of Time

If there is a significant time delay in seeking rescission, the representee may lose the right to rescind through lapse of time. However, the delay will be measured by reference to when the time started to run. Where there has been a fraudulent misrepresentation, time will begin to run from the time when the fraud was (or could have reasonably been) discovered. Where the misrepresentation was negligent or innocent, time will begin to run from the time of contract formation.

***Leaf v International Galleries* (1950) 2 KB 86**

(See The Test of Essential Difference in Section 3.1.2.3)

Facts: This case concerned the purchase of a painting. The defendant sellers had innocently (or, at least, not fraudulently) misrepresented that the painting was by John Constable, thereby inducing the plaintiff to purchase it. Five years after the purchase, when the plaintiff sought to sell the painting, he/she discovered that it was not by John Constable and was, therefore, worth far less than he thought. As such, the plaintiff sought to have his purchase contract with the defendants set aside.

Issue: Whether the plaintiff could rescind the contract.

Held: Rescission was barred because of the lapse of time since, as a non-fraudulent misrepresentation, time began to run from the date of contract formation (i.e. five years earlier).

²¹ *Habib Bank Ltd v Tufail* (2006) EWCA Civ 374.

²² *Kennard v Ashman* (1894) 10 TLR 213.



Restitution Is Impossible

Another bar to obtain the remedy of rescission is where restitution is impossible, i.e. where it is no longer possible to restore the parties to their original, pre-contractual positions. Such a situation could occur where the nature of the subject matter has been irreversibly changed.²³ For example, if the representee has been induced to buy a live pig by a misrepresentation, he/she will not be able to rescind the contract if he/she has already slaughtered the pig. Another example would be in relation to the sale of a business: restitution may be impossible where there have been changes made to the business by the time the claim for rescission is made in court.²⁴

However, the right to rescind will not be lost where the subject matter deteriorates for the very reason that it lacks the quality that it was falsely represented as having. Furthermore, if the deterioration or decline in value of the subject matter is due to some external cause (unrelated to the misrepresentation), this will not be a bar to rescission. For example, where a misrepresentation induces the purchase of shares, those shares can be returned despite any post-purchase fall in value.²⁵ Note also that an inability to make precise restitution will, also, not stand as a bar to rescission, provided that substantial restitution can be made. For example, where account is taken of any interim profits gained, and/or deterioration caused, in dealing with the subject matter.²⁶

Third Party Interests

The right to have a contract rescinded may be lost due to third party rights. For example, on the facts of *Car and Universal Finance Co Ltd v Caldwell* (See Section 3.2.3.1), if the third party (the finance company in this case) who bought the car from the rogue did so before the original owner had given notice to rescind its earlier sale contract with the rogue, the third party would be able to claim good title to the car (assuming that he bought it in good faith without notice of the rogue's fraud/voidable title) (s.25 of the Sale of Goods Ordinance (Cap.26)). Another example would be where X's misrepresentation induces Y to stand as a guarantor for X's loan from Z bank. In this situation, Z bank would still be able to enforce its guarantee with Y if Z bank could show that Z bank was not put on inquiry or that Z bank at least took reasonable steps to make clear to Y the nature of the guarantee.²⁷

No Partial Rescission

For the sake of completeness, it is worth noting that a contract cannot be rescinded in part. Rather, the remedy of rescission is an all or nothing.²⁸

²³ *Clarke v Dickson* (1858) EB & E 148.

²⁴ *Thomas Witter v TBP Industries Ltd* (1996) 2 All ER 573.

²⁵ *Armstrong v Jackson* (1917) 2 KB 822.

²⁶ *Erlanger v New Sombrero Phosphate Co* (1878) 3 App Cas 1218.

²⁷ *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773.

²⁸ *TSB Bank Plc v Camfield* (1995) 1 WLR 430 and *Bank of China (Hong Kong) Ltd v Well Lok Printing Ltd & Ors* (2006) HKEC 1819.

Apply and Analyse 4

Apply

A bought goods from B last week and used them in his manufacturing process. A has now discovered that B had fraudulently misrepresented the quality of the goods. Analyse whether A can have the contract rescinded.

Analysis

No. The ability to rescind was lost because restitution is no longer possible, i.e. it was no longer possible to restore the parties to their pre-contractual positions because the goods have been used in the manufacturing process and therefore have (presumably) been irreversibly changed.²⁹

Apply and Analyse 5

Apply

C bought a painting from D seven years ago. It hangs in his private gallery. C recently discovered that D had fraudulently misrepresented the authenticity of the painting at the time of the sale. Analyse whether C can have the contract rescinded.

Analysis

Yes. Assuming that the fraud could not have been discovered earlier by using reasonable diligence, the ability to rescind is not lost through lapse of time. In the case of fraudulent misrepresentation, time will run from the time when the fraud was, or could with reasonable diligence have been, discovered (See *Leaf v International Galleries* in Section 3.2.3.2), whereas, if D's misrepresentation had been made negligently or innocently, the ability to rescind would likely be lost due to the lapse of time (such time running from the moment of sale).

Apply and Analyse 6

Apply

E bought goods from F last week and sold them on to X. E has now discovered that F had fraudulently misrepresented the quality of the goods. Analyse whether E can have the contract rescinded.

Analysis

No. The ability to rescind will be lost if it would adversely affect a third party's rights (See *Car and Universal Finance Co Ltd v Caldwell* in Section 3.2.3.1). Since E has now transferred ownership of the goods to X (a third party), E cannot rescind his contract with F.

²⁹ *Clarke v Dickson* (1858) EB & E 148.



Apply and Analyse 7

Apply

G bought a painting from H seven years ago. It hangs in G's private gallery. Last year, G discovered that H had fraudulently misrepresented the authenticity of the painting at the time of sale. G emailed H, saying 'Hmmm . . . thanks for selling me a fake! I should demand an immediate refund from you – but, even though it's a fake, I still love this painting'. One year has passed and G has now changed his mind and wants to claim back the contract price from H. Analyse whether G can have the contract rescinded.

Analysis

No. G has, essentially, affirmed the contract despite discovering the misrepresentation³⁰ – G has told H that G still loves the painting, which may be viewed, together with the one-year time-lapse since discovering the truth, as G having indicated that he intended to continue with the contract by keeping the painting. Accordingly, G is unlikely to now be permitted to change his mind and rescind the contract.

3.2.3.3 Damages

A representee may recover damages for misrepresentation at common law or under statute. (See Section 3.11)

At Common Law

Fraudulent Misrepresentation: The Tort of Deceit

Fraudulent misrepresentation at common law is known as the tort of deceit. As such, the tortious measure of damages is applicable (See Chapter 4 The Law of Tort and Negligence), i.e. the damages are intended to compensate the representee for his/her reliance loss insofar as putting him/her into the position he/she would have been in had the contract not been entered into in the first place.

Remoteness

With regard to the issue of remoteness, the foreseeability of loss is irrelevant. A representee can recover all losses directly flowing from the transaction entered into as a result of the fraudulent misrepresentation, regardless of whether such losses were reasonably foreseeable.³¹

Calculation

With regard to calculating the amount recoverable, this may be assessed by reference to the difference in value between the price paid (as a result of the misrepresentation) and the actual value of the subject-matter, judged as at the date of contract formation. However, it is possible for a representee to recover damages that take into account a fall in the value of the subject matter after the time of contract formation if (1) the misrepresentation continued to operate after the date of contract formation such as to induce the representee to retain the asset/

³⁰ *Habib Bank Ltd v Tufail* (2006) EWCA Civ 374.

³¹ *Doyle v Olby Ironmongers Ltd* (1969) 2 QB 158.

subject matter rather than sell it; (2) the circumstances are such that the representee is locked into the property/subject matter; or (3) a hidden flaw was unknown to the market at the time of contract formation so that the true value of the subject matter was not reflected.

Smith New Court Securities Ltd v Scrimgeour Vickers (Asset Management) Ltd (1997) AC 254

Facts: The plaintiffs were induced by a fraudulent misrepresentation to buy shares in a company and to hold on to the shares as part of a long-term investment. The plaintiffs eventually sold the shares at a huge loss. The plaintiffs then claimed damages for the fraudulent misrepresentation.

Issue: How were the damages to be calculated? In particular, should they be based on (1) the difference in value between what the plaintiffs paid for the shares and the price they received from the subsequent sale of those shares (i.e. a difference of GB£11 million) or (2) the difference in value between what the plaintiffs paid for the shares and the actual value of those shares at the time of contract formation (i.e. a difference of GB£1 million)?

Held: The plaintiffs could recover the full extent of the loss, i.e. GB£11 million.

With regard to loss of profits, damages reflecting this may be recoverable (being part of the loss flowing directly from the fraud) but only on the tortious measure (*East v Maurer* (1991) 1 WLR 461). In other words, damages for loss of profits will not be calculated on the usual contract measure of expectation loss (i.e. not the profits that would have been made had the representation been true) but, rather, such damages will be measured according to the profit that would have been made had the representation not been made at all.

East v Maurer (1991) 1 WLR 461

Facts: This case concerned a fraudulent misrepresentation by a seller of a hair salon that the seller would not continue to run a rival salon in the immediate geographic area.

Issue: How the damages payable to the buyer should be calculated?

Held: The buyer's loss of profits was to be calculated by reference to the profits that the buyer would probably have made if he had purchased another, hypothetical, hair salon at that price.

However, the representee must be able to show that he/she made a net loss from the contract that he/she was induced to enter into because recovery is not based on the representation being true. Therefore, if the representee did make a profit (albeit not as high as



represented), he/she will not be able to recover loss of profits.³² The reason for this is that, had the representation not been made, the representee would not have entered into the contract and therefore would have made no profit from it at all.

Nevertheless, if the representee can prove that he/she would have – in the absence of the misrepresentation – entered into another contract on more favourable terms and made even more profit, the court may allow him/her to recover damages to reflect the higher profits that he/she would have made from that other contract. This is consistent with the aim of putting the representee into the position he/she would have been had the misrepresentation not been made at all (i.e. the tortious measure).

Causation

Once it is established that the representee was induced to enter into the contract based on a fraudulent misrepresentation, it is irrelevant whether he/she would have still entered into the contract even if he/she had known the truth: a contract induced (to whatever degree) by a fraudulent misrepresentation is voidable and can be rescinded. However, causation will be relevant to the recovery of damages insofar as determining whether the alleged loss was caused by the misrepresentation (*East v Maurer* (1991) 1 WLR 461).

Mitigation

A representee will still have a duty to mitigate his/her loss once he/she discovers the fraud. In other words, he/she should take reasonable steps to minimise the losses caused by the misrepresentation; otherwise any reasonably avoidable losses will not be recoverable by way of damages (See Section 3.11.3.3).

Negligent Misrepresentation: The Tort of Negligent Misstatement

Negligent misrepresentation at common law is known as 'negligent misstatement'.

Duty of Care

In order to establish negligent misrepresentation at common law, the representee must show that the representor owed him/her a **duty of care**, i.e. an obligation to exercise reasonable care in making the statement. This would require the representee to show the existence of a special relationship (See negligent misrepresentation in Section 4.2.5.1 and *Hedley Byrne & Co Ltd v Heller & Partners Ltd* (1964) AC 465).

In that (1) the representor reasonably foresaw that the representee would rely on the statement, (2) there was sufficient proximity between the parties and (3) it is fair, just and reasonable for the law to impose such a duty of care.³³

For example, in the context of advice, the requisite relationship between the representor and the representee would exist where (1) the advice is required by the representee for a purpose that is known to the representor; (2) the representor knows that his/her advice will be communicated to the representee in order that it should be used by the representee for that purpose; (3) it is known that the advice is likely to be acted on by the representee and (4) the advice is so acted on by the representee to his/her detriment.³⁴

³² *Downs v Chappell* (1997) 1 WLR 426.

³³ *Caparo Industries Plc v Dickman* (1990) 2 AC 605.

³⁴ *Caparo Industries Plc v Dickman* (1990) 2 AC 605.

Other examples of where a special relationship may be established include (1) by way of an assumption of responsibility, i.e. where the representor can be said to have assumed responsibility to the representee for the statement made;³⁵ or (2) where the representor holds himself/herself out as possessing some special knowledge or skill in relation to the making of the statement, knowing that the representee will rely on that statement.³⁶

Burden of Proof

The burden of proving the existence of a special relationship (for the purposes of establishing a duty of care) – as well as establishing a breach of that duty – lies with the representee.

Remoteness

The remoteness test for negligent misrepresentation at common law is whether the loss was a reasonably foreseeable consequence of the misstatement.³⁷ Note also that the damages will be assessed as at the date of the negligently induced transaction. For example, damages for a negligent property survey will be assessed as the difference between the price paid and the actual value of the property on the date of purchase – the representor will not be liable for any subsequent decline in the property's value caused by a dramatic fall in the general property market.³⁸

Innocent Misrepresentation

There is no common law right to damages for innocent misrepresentation (*Redgrave v Hurd* (1881) 20 Ch D 1).

Under Statute

The statutory regime for recovering damages for misrepresentation is the Misrepresentation Ordinance (Cap.284) ('MO').

S.3(1) of the MO

S.3(1) of the MO creates a statutory liability for negligent misrepresentation. The section reads as follows:

'Where a person has entered into a contract after a misrepresentation has been made to him by another party thereto and as a result thereof he has suffered loss, then, if the person making the misrepresentation would be liable to damages in respect thereof had the misrepresentation been made fraudulently, that person shall be so liable notwithstanding that the misrepresentation was not made fraudulently, unless he proves that he had reasonable grounds to believe and did believe up to the time the contract was made that the facts represented were true.'

The Relationship Between Representee and Representor

Unlike when establishing negligent misrepresentation at common law, there is no requirement to establish a special relationship between the representee and representor when seeking to recover damages under s.3(1) of the MO. However, it is essential to note that damages may

³⁵ *Customs and Excise Commissioners v Barclays Bank Plc* (2006) 3 WLR 1.

³⁶ *Esso Petroleum Co Ltd v Mardon* (1976) QB 801.

³⁷ *Overseas Tankship (UK) Ltd v Morts Dock and Engineering Co Ltd (Wagon Mound No. 1)* (1961) AC 388.

³⁸ *South Australia Asset Management Corp v York Montague Ltd* (1997) AC 191.



only be recovered under this statutory provision where the representee was induced to enter into the contract with the representor. Therefore, in *Hedley Byrne & Co Ltd v Heller & Partners Ltd* (See Section 4.2.5.1), the plaintiff advertising agents would not be able to recover damages under s.3(1) of the MO because the defendant bank's misrepresentation induced the plaintiff to enter into a contract with a third party.

Burden of Proof

Unlike when establishing negligent misrepresentation at common law, s.3(1) of the MO reverses the burden of proof. At common law, the representee would have to prove negligence. However, under s.3(1) of the MO, once the representee has shown there to be a false statement of fact that induced him/her to enter into the contract, the representor will be liable unless he/she can prove that he/she had reasonable grounds to believe (and did believe) that the facts he/she represented were true at the time of contract formation.

Remoteness

Interestingly, the remoteness test for claiming damages for negligent misrepresentation under s.3(1) of the MO is the same as that for fraudulent misrepresentation (the tort of deceit) at common law. As can be seen from the wording of s.3(1) of the MO, the representor will be liable to pay damages as if he/she had made the representation fraudulently, even though s.3(1) of the MO concerns non-fraudulent misrepresentation. This anomaly is often referred to as the **fiction of fraud**. It essentially means that the assessment of damages for an honest, albeit negligent, misrepresentation under s.3(1) of the MO will be measured in the same way as that for a dishonest/fraudulent misrepresentation at common law, i.e. all losses directly flowing from the contract entered into, regardless of foreseeability.³⁹

Mitigation

A representee making a claim under s.3(1) of the MO will have a duty to take reasonable steps to mitigate his/her loss after discovering the misrepresentation.⁴⁰ Failure to do so will, of course, affect the extent to which he/she can recover damages for his losses.

S.3(2) of the MO

S.3(2) of the MO provides for damages in lieu of rescission. The section reads as follows:

"Where a person has entered into a contract after a misrepresentation has been made to him otherwise than fraudulently, and he would be entitled, by reason of the misrepresentation, to rescind the contract, then, if it is claimed, in any proceedings arising out of the contract, that the contract ought to be or has been rescinded, the court or arbitrator may declare the contract subsisting and award damages in lieu of rescission, if of opinion that it would be equitable to do so, having regard to the nature of the misrepresentation and the loss that would be caused by it if the contract were upheld, as well as to the loss that rescission would cause to the other party."

Discretionary Remedy for Non-fraudulent Misrepresentation

Damages under s.3(2) of the MO are available at the discretion of the court for a non-fraudulent misrepresentation. Essentially, the court can declare the contract as subsisting (i.e. remaining in effect) and award a sum of money in lieu of rescission in the interests of

³⁹ *Roycoot Trust Ltd v Rogerson* (1991) 2 QB 297 and *Long Year Development Ltd v Tse Fuk Man & Anor* (1991) 2 HKC 393.

⁴⁰ *Pankhania v Hackney LBC* (2004) 1 EGLR 135.

equity and fairness. An example would be where the non-fraudulent misrepresentation is trivial or wholly innocent.

When deciding whether to exercise its discretion to award damages under s.3(2) of the MO, the court will have regard to the following: (1) the importance of the representation in relation to the subject matter of the contract; (2) the loss that would be suffered by the representee if the contract was upheld and (3) the loss that would be suffered by the representor if the contract was rescinded.⁴¹

However, the court's discretion to award damages under s.3(2) of the MO would be lost if the remedy of rescission, itself, has been lost (See Section 3.2.3.2). This is consistent with the wording of s.3(2) of the MO, which provides for the court's discretion to award damages in lieu of rescission where the representee 'would be . . . entitled to rescind'. This may – on occasion – leave a representee without any remedy at all. For example, imagine that X makes an innocent misrepresentation to Y which induces Y to enter into a contract with X but that Y's delay in bringing a claim against X is such that Y is barred from rescinding the contract due to lapse of time. In this situation, Y can neither recover damages under s.3(1) of the MO (because it was a wholly innocent misrepresentation, i.e. X had reasonable grounds for believing in the statement's truth) nor can Y claim damages under s.3(2) of the MO (because the remedy of rescission is now barred).

Measure of Damages

Damages under s.3(2) of the MO would be in a lower amount than those under s.3(1) of the MO. Other than the fact that s.3(2) of the MO damages may be awarded in situations where there has been a wholly innocent misrepresentation (i.e. not even negligent), the wording of s.3(3) of the MO also points to a different measure. According to s.3(3) of the MO:

'Damages may be awarded against a person under subsection (2) whether or not he is liable to damages under subsection (1), but where he is so liable any award under subsection (2) shall be taken into account in assessing his liability under subsection (1).'

Essentially, if the representor is liable to pay damages under s.3(1) of the MO, then any such award must take into account any damages also awarded under s.3(2) of the MO. Indeed, the difference in measuring damages under these sections is evident from the language used: s.3(1) of the MO provides for damages for losses suffered as a result of entering into the contract, whereas s.3(2) of the MO provides for damages for losses caused by the misrepresentation if the contract was upheld. Such a reading of s.3(2) prevents hardship to a representor, who makes only a minor misrepresentation, from having to pay damages to such an extent that he/she loses the whole benefit of the bargain despite such a minor misrepresentation.⁴²

Nevertheless, the actual measure of recovery under s.3(2) of the MO is somewhat unclear. It has been suggested that damages under s.3(2) of the MO should never exceed the sum that could have been awarded if the representation was a term of the contract (See Section 3.11). Another view is that the measure should be the difference between the actual value of the subject-matter received and the value which the subject-matter would have had if the representation was true.⁴³ What is striking about both of these views is that they suggest that the contractual measure of damages (i.e. based on expectation loss) would apply. However,

⁴¹ *William Sindall Plc v Cambridgeshire CC* (1994) 1 WLR 1016.

⁴² *William Sindall Plc v Cambridgeshire CC* (1994) 1 WLR 1016.

⁴³ *William Sindall Plc v Cambridgeshire CC* (1994) 1 WLR 1016.

such a suggestion is seemingly illogical because it would mean that, for example, a wholly innocent misrepresentation is compensated according to the contractual measure which would be higher than the damages available for negligent misrepresentation or even fraudulent misrepresentation, thereby not reflective of the representor's culpability.

Apply and Analyse 8

Apply

Andrew was considering buying Bernie's village house as an investment. By a fraudulent misrepresentation, Bernie induced Andrew to buy the house for HK\$18 million although its actual value was only HK\$12 million. When Andrew discovered the fraud two weeks later, the value of the house had been reduced to HK\$8 million due to serious damage caused by the collapse of a supporting wall. At that point, a buyer offered HK\$8 million for the house. However, Andrew did not sell the house until three months later, when Andrew only received HK\$7.5 million for the house because of a general decline in the property market.

Andrew wished to rescind the contract with Bernie for fraudulent misrepresentation and claim damages. Analyse the facts and relevant law and explain the likely amount of damages that Andrew can recover and how it would be calculated.

Analysis

Although rescission is barred (given that legal title to the property is now in the hands of a third party), Andrew can still claim damages – and, to this end, he is likely to recover HK\$10 million. Since this was a fraudulent misrepresentation, Andrew is entitled to recover all losses directly flowing from the sale agreement with Bernie.⁴⁴ This loss includes the HK\$6 million paid over and above the market value (from HK\$18 million to HK\$12 million), as a result of Bernie's misrepresentation, as well as the HK\$4 million fall in market price (i.e. from HK\$12 million to HK\$8 million) below that previous market value due to the collapsed wall because Andrew would not have been exposed to the risk of the collapsed wall at all had he not been induced into the contract by the fraud (See *Smith New Court Securities Ltd v Scrimgeour Vickers (Asset Management) Ltd* in Section 3.2.3.3). However, Andrew would not be entitled to recover the HK\$500,000 loss from the general decline in the property market (i.e. from HK\$8 million to HK\$7.5 million) because he failed to mitigate his loss (See Section 3.11.3.3) insofar as he did not sell the property at the time when he was offered HK\$8 million for it.

3.2.3.4 Contributory Negligence

If the representee's own negligence contributes to his/her decision to enter into the contract, any award of damages may be reduced to reflect this to the extent that the court considers just and equitable, having regard to the representee's share in the responsibility for his/her loss (See s.21(1) of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23)). However, any contributory negligence by the representee will be irrelevant and not taken into account where the misrepresentation was made fraudulently⁴⁵ (See Section 4.2.4.1).

⁴⁴ *Doyle v Olby Ironmongers Ltd* (1969) 2 QB 158.

⁴⁵ *Standard Chartered Bank v Pakistan National Shipping Corp (No. 2)* (2003) 1 AC 959.

Apply and Analyse 9

Apply

A made a negligent misrepresentation to B which induced B to enter into a contract with A. Other than seeking the remedy of rescission, B also sought to recover damages. Analyse whether B should bring his damages claim for the negligent misrepresentation at common law or under statute.

Analysis

Although B could choose to bring his claim either at common law, or under statute, it is better for B to bring his claim for damages under the statutory provision, i.e. s.3(1) of the Misrepresentation Ordinance (Cap.284). The advantages of doing this include: (1) there is no need for B to establish any special relationship with A, (2) the burden of proof is reversed so that A would have the burden of showing that he had reasonable grounds for believing the truth of the statement at the time of contract formation, and (3) the measure of damages will be higher since the test of remoteness is the same as that for the tort of deceit, i.e. all losses directly flowing from entering into the contract (so-called 'fiction of fraud').

Apply and Analyse 10

Apply

J made a negligent misrepresentation to K that induces K to enter into a contract with a third party L. Although K would be unable to rescind the K-L contract (unless L had actual or constructive knowledge of the misrepresentation),⁴⁶ K may nevertheless claim damages from J. Analyse whether K should bring his damages claim for the negligent misrepresentation at common law or under statute.

Analysis

Since K was induced to contract with L, K cannot recover damages from J under s.3(1) of the Misrepresentation Ordinance (Cap.284) because damages are only available where the representee is induced to enter into a contract with the representor himself. Therefore, K may only recover damages from J at common law.

Apply and Analyse 11

Apply

X made a fraudulent misrepresentation to Y, which induced Y to enter into a contract with X. Other than seeking the remedy of rescission, Y also seeks to recover damages. Tactically, Y is considering whether to seek damages under s.3(1) of the Misrepresentation Ordinance (Cap.284) ('MO') since this provides the fraudulent measure in any event (due to the 'fiction of fraud') and the burden is on the representor to show that he had reasonable grounds

⁴⁶ *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773.

Apply and Analyse 11 (continued)

for believing the truth of the statement, making it easier than Y having the burden of proving fraud at common law in a claim for the tort of deceit. Analyse what else Y should bear in mind in deciding whether to seek recovery of damages under s.3(1) of the MO or at common law for the tort of deceit.

Analysis

Although tactically Y may seek damages under s.3(1) of the MO, notwithstanding the fact that the misrepresentation was made fraudulently rather than negligently, Y should also bear in mind the following. First, if Y's own negligence has contributed to his decision to enter into the contract, then Y's damages may be proportionately reduced by way of contributory negligence if Y brought the claim under s.3(1) of the MO. See s.21(1) of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23).⁴⁷ The reason for this is because, by falling foul of s.3(1) of the MO, X will only be found to have been negligent in making the representation and therefore Y is capable of being contributorily negligent, whereas, if Y brought the claim at common law for the tort of deceit, any negligence on the part of Y in entering into the contract will be irrelevant. Second, if there has been a significant time delay in Y bringing his action for misrepresentation, and does so under s.3(1) of the MO, he may find that he would be barred from having the contract rescinded due to lapse of time. This is because, again, s.3(1) of the MO was designed for cases of negligent misrepresentation where, for the purposes of obtaining the remedy of rescission, time begins to run from the time of contract formation (See *Leaf v International Galleries* in Section 3.2.3.2). On the other hand, if Y brought the claim at common law for the tort of deceit, time begins to run from the time when the fraud was (or could have reasonably been) discovered.

3.2.3.5 Exempting Liability for Misrepresentation

It may be possible for a representor to exempt his/her liability for non-fraudulent misrepresentation by way of a non-reliance clause. These are dealt with in Section 2.13.

► Knowledge Check Questions**Question 4**

Describe what actionable misrepresentation is.

Question 5

Explain whether a party will have to disclose facts which, if known to the other party, would affect the other party's decision to enter into the contract. If not, state whether there are any exceptions.

⁴⁷ *Gran Gelato Ltd v Richcliff (Group) Ltd* (1992) Ch 560.

► Knowledge Check Questions (*continued*)

Question 6

Explain the extent to which, if at all, the following are considered statements of fact: (1) statements of opinion; (2) statements of future intention and (3) statements of law.

Question 7

(1) If a representation is incorporated into the contract as a term and turns out to be false, state whether the representee can choose to have the contract rescinded for misrepresentation. (2) If he/she can, state whether he/she can also claim damages for breach of contract?

Question 8

Describe the three types of misrepresentation.

Question 9

If the court finds there to have been a misrepresentation, list the bars to the representee obtaining rescission of the contract as a remedy.

Question 10

Describe to what extent, if at all, damages are available for misrepresentation.

Question 11

List the advantages of bringing a claim for negligent misrepresentation under s.3(1) of the Misrepresentation Ordinance (Cap.284) ('MO') rather than at common law.

Question 12

State when a representee would be unable to bring a claim for misrepresentation under the MO.

Question 13

If a representee has been fraudulently induced by the representor to enter into a contract with the representor, describe when it might be better for the representee to bring the claim at common law for the tort of deceit, rather than make use of the advantages of bringing the claim under the MO.

Question 14

Explain the effect of ss.3(2) and 3(3) of the MO.

Question 15

A agreed to buy B's apartment. During the pre-contractual negotiations, B refused to answer any of A's questions. In fact, the Government plans to build a funeral home opposite B's apartment have recently been publicised in the local area. B realises that the value of his apartment (which will directly face the funeral home) will significantly fall when these Government plans are given more widespread publicity – but B also knows that, for the moment, A is unaware of the Government's intention to build the funeral home. A buys

► Knowledge Check Questions (*continued*)

the apartment and, very soon afterwards, discovers the Government's plan. A wants to sue B for misrepresentation. Explain whether A is entitled to sue B for misrepresentation on the basis that:

- (1) B had a duty to disclose the plan to build the funeral home.
- (2) B had a duty to disclose the plan to build the funeral home as being a change of circumstances.
- (3) B had told a half-truth.
- (4) A and B were in a fiduciary relationship.

Question 16

Explain whether the following misstatements (made non-fraudulently) could constitute actionable misrepresentation:

- (1) A misstatement by a vendor to a purchaser as to the conditions of his/her house put up for sale.
- (2) A misstatement by a private car owner to a potential buyer as to a highly technical specification of the car.
- (3) A misstatement made negligently by a financial adviser to a client in relation to future movements of the financial market.

Question 17

Describe to what extent, if at all, a contracting party can preclude its liability for misrepresentation.

➤ 3.3 DURESS

In the context of contract law, **duress** refers to the use of illegitimate pressure to induce a party to enter into a contract. It is a vitiating factor that makes a contract voidable.

3.3.1 Types of Duress

There are three types of duress:

1. Duress to the person;
2. Duress to goods; and
3. Economic duress.

Duress to the person would include, for example, threats of violence or death to a person or their loved ones unless that person enters into a contract.⁴⁸ Duress to goods would include, for example, threats to unlawfully detain or destroy a person's goods unless that person enters into a contract.⁴⁹ Economic duress would include, for example, a threat to a person's business interests unless that person enters into a contract. Economic duress that is the most commonly pleaded and will be the focus of this section.

3.3.2 Economic Duress

3.3.2.1 A Typical Context: Threatening Breach

As noted above, **economic duress** concerns threats to business interests. It will often take the form of one contracting party threatening to breach their contractual undertakings unless the other contracting party agrees to a variation of the contract.

3.3.2.2 The Requirements

In order for a contracting party to establish that the contract was entered into due to economic duress, that party must show that there was (1) illegitimate pressure, (2) a causal link and (3) no practicable alternative.

Illegitimate Pressure

Some of the relevant factors in determining whether there was **illegitimate pressure** include, for example, whether the party who is alleged to have caused the duress did so in good faith or bad faith; whether the alleged victim of the duress protested against the alleged duress at the time it was caused and whether the alleged victim of the duress affirmed the contract and sought to rely on it.⁵⁰

Essentially, the illegitimate pressure should take the form of a threat to commit a crime, a tort or (more usually) a breach of contract. However, it is important to distinguish illegitimate pressure from the rough and tumble pressure of normal commercial bargaining.⁵¹ Nevertheless, the borderline between economic duress and legitimate commercial pressure is not always clear.⁵²

Tung Wing Steel Co Ltd v George Wimpey International Ltd HCA **No. 3285/1984**

Facts: The defendant regularly purchased steel rods from the plaintiff on a standing offer basis. (A standing offer is an offer from a potential supplier to provide goods and/or services at pre-arranged prices, under set terms and conditions, when and if required.) However, after some time, the plaintiff increased the price of the steel rods.

⁴⁸ *Barton v Armstrong* (1976) AC 104.

⁴⁹ *Astley v Reynolds* (1731) 2 Str 915.

⁵⁰ *DSND Subsea Ltd v Petroleum Geo Services ASA* (2000) BLR 530.

⁵¹ *Pao On v Lau Yiu Long* (1980) AC 614.

⁵² *Atlas Express Ltd v Kafco (Importers and Distributors) Ltd* (1989) QB 833.

Tung Wing Steel Co Ltd v George Wimpey International Ltd HCA No. 3285/1984 (continued)

As a result, the defendant reluctantly agreed to pay the new price because of a penalty clause (See Section 3.11.4) in the plaintiff's construction contract with a third party. Later, when it came time to settle the plaintiff's invoice, the defendant refused to pay the price increase, arguing that it had only agreed to pay the new price under economic duress.

Issue: Whether the buyer was under economic duress to pay the new price.

Held: There was no economic duress in this case because there was no illegitimate pressure. The plaintiff had no obligation to contract with the defendant, that the plaintiff was engaging in a highly competitive business and that the defendant could have bought the rods from another supplier.

Causal Link

Once it is established that there was illegitimate pressure, the party alleging economic duress must then show a causal link between that pressure and that party's entry into the contract or contract variation. In particular, the alleged victim must show that it would not have agreed to enter into the contract or vary the existing contract but for the economic duress.⁵³ In other words, the alleged victim must show that the economic duress was at least a significant cause in its decision to contract or vary the contract.⁵⁴ An example might be where a creditor is pressured by a debtor to vary their contract by accepting a lesser sum, knowing that the creditor is in financial difficulties and urgently needed at least some money.⁵⁵

No Practicable Alternative

After establishing the illegitimate pressure and a causal link, the party alleging the economic duress must show that it had no practicable alternative (or no practical choice) other than to submit to the economic duress and enter into the contract or variation thereof.

Estinah v Golden Hand Indonesian Employment Agency (2001) 4 HKC 607

Facts: This case concerned a foreign domestic helper who brought legal proceedings against an Employment Agency, claiming the difference between the amount she paid to the Agency and the maximum that the Agency is allowed to charge by law (i.e. a sum not exceeding 10% of the employee's first month's wages). See Sch.2 of the Employment Agency Regulations (Cap.57A). The Agency had charged her HK\$10,000 – grossly in excess of the fee payable under the law, bearing in mind that her monthly salary was HK\$3,000. The Agency told her that, if she did not pay the HK\$10,000, the Agency would not complete the necessary procedures for her employment in Hong Kong and would only take her to the Immigration Department to make the necessary application when she had paid.

⁵³ *Huyton SA v Peter Cremer GmbH & Co* (1999) 1 Lloyd's Rep 620.

⁵⁴ *Dimskal Shipping Co SA v International Transport Workers Federation (The Evia Luck)* (No.2) (1992) 2 AC 152.

⁵⁵ *D & C Builders Ltd v Rees* (1966) 2 QB 617.

Estinah v Golden Hand Indonesian Employment Agency (2001) 4 HKC 607 (continued)

Issue: Whether the foreign domestic helper was under economic duress to pay the extra 10% to the Employment Agency.

Held: The foreign domestic helper had paid the Agency Fee under economic duress because she was left with no practical choice but to submit to the Agency's demand. Accordingly, the foreign domestic helper was able to recover the fee paid in excess of that statutorily permitted.

3.3.2.3 Remedy

Once economic duress has been established, the contract is voidable and is therefore capable of being rescinded. If the victim of the economic duress can establish that the pressure constituted the tort of intimidation, the victim may also be able to obtain damages.⁵⁶ However, if the economic duress only related to the variation of an existing contract, rescission would only apply to the varied or modified part of the contract – the parties will still be bound by the original contractual obligations. Nevertheless, economic duress only makes the contract voidable and it is important to note that any right to rescission may be lost, such as through the victim's affirmation of the contract.

North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd (The Atlantic Baron) (1979) QB 705

Facts: This case concerned a contract to build and deliver a ship. During the construction of the ship, the value of the US dollar fell by 10%. Despite the contract having no provision for price variation relative to the US dollar, the defendant ship builder threatened to terminate the contract unless the plaintiff shipping company paid an extra 10% in the purchase price. Since the plaintiff desperately needed the ship in order to fulfil its own contractual obligations owed to a third party, the plaintiff reluctantly agreed to pay the extra 10%. Accordingly, the defendant continued to build the ship and eventually delivered it to the plaintiff. However, later, the plaintiff sought to recover the additional 10% that it had paid to the defendant on the grounds of, *inter alia*, economic duress.

Issue: Whether the plaintiff was under economic duress to pay the extra 10%.

Held: The agreement to pay the extra 10% was vitiated by economic duress. However, the plaintiff's delay in bringing the legal proceedings amounted to an affirmation of the contract variation and, therefore, the loss of the ability to rescind. In particular, the agreement to pay the extra sum (under duress) occurred in June 1973 but the plaintiff made no protest about this until 17 months later in November 1974 – i.e. after the ship had been delivered to them and they were no longer under duress – and did not initiate legal proceedings for another eight months after that, in July 1975. Such delay in both protesting and taking legal action effectively meant that, notwithstanding the finding of economic duress, the plaintiff had affirmed the contract variation and, accordingly, the plaintiff was unable to recover the extra 10% it had paid.

⁵⁶ *Universe Tankships Inc of Monrovia v International Transport Workers Federation (The Universe Sentinel)* (1983) 1 AC 366.



Apply and Analyse 12

Apply

X and Y enter into a contract. X breaches the contract. Y threatens to take out court proceedings against X for the breach unless X agrees to pay Y a particular sum of money. X agrees and pays the sum to Y. Analyse whether X can later claim that X's agreement to pay Y the stipulated sum was vitiated by economic duress.

Analysis

Unlikely – otherwise no compromise or settlement agreement would ever be secure. However, the party making the threat to take legal proceedings against a party must have legitimate grounds to take such proceedings.

Apply and Analyse 13

Apply

Refer to the facts in *Williams v Roffey Bros & Nicholls (Contractors) Ltd* (1991) 1 QB 1 in Section 2.6.9.3 on Consideration and Practical Benefit. Analyse whether these facts present a basis for arguing economic duress.

Analysis

Although it was a high probability of late completion (in breach of the subcontract) by the subcontractor that caused the main contractors to offer more money to the subcontractors to complete the work on time (in accordance with the subcontract), it was nevertheless the main contractors who offered to pay more money; there was no demand from the subcontractor for the extra payment. Further, although the main contractors' reason for making the offer of more money was due to the lack of progress being made by the subcontractor, and the resultant pressure on the main contractors being subject to a time penalty (See Section 3.11.4) in their contract with the Housing Authority for late completion, such lack of progress by the subcontractor was purely the result of his failure to properly supervise his workforce and properly estimate the cost of the work. There was no bad faith or intention to put such pressure on the main contractors.

► Knowledge Check Questions

Question 18

List what a party must show in order to argue that it entered into a contract as a result of economic duress.

Question 19

Describe the remedy for a party who is the victim of economic duress.

3.4 UNDUE INFLUENCE

In the context of contract law, the equitable doctrine of **undue influence** is designed to provide a remedial relief to a person who enters into a disadvantageous contract as a result of being unduly influenced by another party but where such influence does not amount to duress (See Section 3.3). In this sense, it is wider than the common law doctrine of duress.

3.4.1 Types of Undue Influence

There are two types of undue influence: (1) actual undue influence and (2) presumed undue influence. Actual undue influence ('Class 1') concerns overt acts of improper pressure, such as unlawful threats.⁵⁷ However, although there is some overlap with the common law doctrine of duress, actual undue influence is a wider concept insofar as it does not require any illegitimate threats or, indeed, any threats at all. Presumed undue influence ('Class 2') is a more contentious concept and will be the focus of this section.

3.4.2 Presumed Undue Influence

There will be a **rebuttable presumption** of undue influence where there is shown to be the existence of (1) a relationship of trust and confidence and (2) a transaction calling for an explanation.⁵⁸

3.4.2.1 Relationship of Trust and Confidence

A relationship of trust and confidence between the alleged victim and the person alleged to have exercised undue influence can be established by either of two ways: (1) those relationships automatically categorised as such as a matter of law ('Class 2A') or (2) those relationships falling outside Class 2A but where the alleged victim can show evidence of there being trust and confidence ('Class 2B').

Class 2A relationships are those where there is an irrebuttable presumption of influence (albeit not undue – just influence). This means that there is no need to prove the existence of trust and confidence between the parties and, more importantly, no evidence to the contrary can contradict the existence of trust and confidence. Such relationships include parent–child (albeit normally only up until the child's twenty-first birthday), religious leader–disciple, doctor–patient, solicitor–client and fiancé–fiancée. Interestingly, however, they do not include husband–wife.

Any relationship falling outside Class 2A will be classified as a Class 2B and will require the alleged victim to show evidence of there being trust and confidence between the parties. Examples would include financial adviser–advisee, manager–music artist, close friends,

⁵⁷ *Williams v Bayley* (1866) LR 1 HK 200.

⁵⁸ *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773 and *Li Sau Ying v Bank of China (Hong Kong) Ltd* (2005) 1 HKLRD 106.



employer–employee and husband–wife. Once such evidence of trust and confidence is shown, there will then be a rebuttable presumption of influence (albeit not undue – just influence).

3.4.2.2 Transaction Calling for Explanation

Since not every transaction between the parties in relationships of trust and confidence can be said to have been brought about by undue influence, there is a need to also show that the transaction was one that requires an explanation. Essentially, a transaction calling for an explanation is one that requires something more than might usually be expected. In the context of contract law, it could include any contract where the bargain seems very one-sided, i.e. heavily in favour of one party.

3.4.2.3 Rebutting the Presumption

Once the alleged victim of the undue influence has established that there is a relationship of trust and confidence as well as the contractual transaction being one that calls for an explanation, there will thus be established a rebuttable presumption of undue influence. In other words, the burden of proof then shifts to the person alleged to have exercised the undue influence to prove that the alleged victim freely exercised his independent will in entering into the transaction – and this will be a question of fact.⁵⁹ If the presumption cannot be rebutted with sufficient evidence, the presumption stands and the contract can be rescinded.

3.4.2.4 Remedy

Rescission is the remedy for undue influence. However, undue influence only renders a contract voidable. In other words, the ability to have a contract rescinded may be lost through affirmation of the contract, delay in bringing legal proceedings, third party rights or the impossibility of restitution (See Section 3.2.3.2).

Note that, if rescission is barred, it might be possible for the victim of the undue influence to obtain damages in lieu of rescission, at the court's discretion. These would likely be calculated by way of the difference between the amount for which the victim of the undue influence parted with the subject matter and its fair value at the time of the transaction.⁶⁰

3.4.2.5 A Typical Context: Spouse Surety

Probably one of the most typical contexts that involve allegations of undue influence is that of spouse surety – i.e. where a spouse (usually the wife) stands as **surety** for her husband's debt. Commonly, this will involve her charging her half of their jointly owned family home to the bank so as to secure the bank's loan to the husband. However, if the husband defaults on the loan and the bank seeks to enforce the security (by selling the family home), it then raises the question as to what extent the presumption of undue influence can operate between the husband and wife so that the wife may have her guarantee contract with the bank set aside in order to protect the family home. Put another way, to what extent is the bank (as a third party)

⁵⁹ *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773.

⁶⁰ *Mahoney v Purnell* (1996) 3 All ER 61.

at risk where the wife alleges that she was unduly influenced by her husband into entering into a guarantee with the bank? Will the bank be able to enforce her guarantee upon her husband's default on the loan repayment?

Setting Aside the Wife's Guarantee

The wife may have an (indirect) interest in her husband obtaining a bank loan – such as where the loan is to be used to finance the husband's business, particularly where such business is the sole source of the family income. Indeed, wives frequently enter into such guarantee arrangements, charging their half of the jointly owned family home to banks in order for their husbands to obtain loans, sometimes happily and sometimes with reservations. However, it is well recognised that, even if a wife reluctantly stands as a guarantor for her husband's loan, this is not sufficient to establish undue influence:⁶¹ even if a relationship of trust and confidence can be established (i.e. as a Class 2B), the surety of the arrangement is not something that calls for an explanation in the context of a mutually loyal married couple. Nevertheless, a wife may still be able to have her guarantee with the bank set aside if she can show that the bank was: (1) put on inquiry and (2) failed to take reasonable steps.⁶²

Put on Inquiry

A bank will be put on inquiry whenever a wife offers to stand as surety for her husband's debts.⁶³ However, this would not include where there is a joint loan for joint purposes, such as a joint loan to fund a refurbishment of the family home. Although a bank is not expected to inquire into the surety-debtor relationship,⁶⁴ it will essentially be put on inquiry wherever the surety-debtor relationship is non-commercial (which would include unmarried couples).

Failure to Take Reasonable Steps

A bank will have failed to take reasonable steps if it did not satisfy itself that the wife was made aware – in a meaningful way – of the practical implications of the proposed transaction. The safest way for a bank to do this would be by obtaining a solicitor's confirmation letter, confirming that an independent solicitor has explained to the wife the nature and effect of the suretyship documents before she signs them. Having proof that the wife has received such independent advice will be enough for the bank to properly enforce her guarantee. If the wife had not – in actual fact – been properly advised as to the nature and effect of the documents before she signed them, the bank can nevertheless rely on the solicitor's confirmation letter to enforce the guarantee (assuming, of course, that the bank did not know that she was improperly advised). In this situation, the wife's only remedy would be to sue the solicitor for professional negligence in giving the advice.

However, if the bank fails to take the reasonable step of seeking and obtaining an independent solicitor's confirmation letter, then it runs the risk of not being able to enforce the wife's guarantee of her husband's debt. Nevertheless, depending on the circumstances, such as whether there are any young children living in the home, the court might order the sale of the family home to at least realise the husband's half-share of the proceeds.

⁶¹ *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773.

⁶² *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773.

⁶³ *Royal Bank of Scotland Plc v Etridge (No. 2)* (2002) 2 AC 773.

⁶⁴ *Li Sau Ying v Bank of China (Hong Kong) Ltd* (2005) 1 HKLRD 106.

► Knowledge Check Questions

Question 20

List what is needed to establish undue influence.

Question 21

In the context of spouse surety, list what a wife must show in order for her to have her guarantee of her husband's loan with the bank set aside.

3.5 UNCONSCIONABILITY

In the context of contract law, **unconscionability** essentially concerns the exploitation by one party of another party's weakness. If established, unconscionability will render the contract voidable and it can thus be set aside or rescinded.

In England, there is a judicial reluctance to accept the existence of a general doctrine of unconscionability due to concerns that it could lead to uncertainty, in particular as how it may be defined (*Union Eagle Ltd v Golden Achievement Ltd* (1997) AC 514). As such, the English courts prefer to rely on more established doctrines – including misrepresentation (See Section 3.2), duress (See Section 3.3) and undue influence (See Section 3.4) – as a means of administering justice where a person has been exploited or been taken advantage of. However, notwithstanding the difficulty in defining what is meant by unconscionable, there is some English case law where the concept of unconscionability has been used (at least in part) to justify the setting aside of a contract. Likewise, there are some Hong Kong examples.

***Evelyn Semana Bachicha v Poon Shiu Man Henry* (2000) 3 HKC 452**

Facts: This case concerned a settlement agreement between a domestic helper and her employer. The domestic helper had resigned from her job due to exploitation and successfully claimed damages from the employer – totalling around HK\$50,000 – based on constructive dismissal. The employer appealed against this finding and argued that, based on a pre-trial settlement agreement with the domestic helper, damages were limited to HK\$975. However, the domestic helper argued that the settlement agreement was an unconscionable bargain.

Issue: Whether the settlement agreement was an unconscionable bargain.

Held: In favour of the domestic helper – the settlement agreement with the employer was an unconscionable bargain. Essentially (1) there was no legal representative present at the time of signing the settlement agreement, (2) the domestic helper was at an

Evelyn Semana Bachicha v Poon Shiu Man Henry (2000) 3 HKC 452 (continued)

economic and social disadvantage such that there was a clear inequality of bargaining power, (3) the employer was fully aware of the circumstances causing the domestic helper to resign from her job, and (4) the employer had obtained an oppressive bargain by unconscionable means.

Lo Wo & Ors v Cheung Chan Ka Joseph & Anor (2001) 3 HKC 70

Facts: This case concerned a real estate sale agreement between three elderly sisters and a large property developer. The three elderly sisters had a half-share of a flat. The property developer offered to buy the flat at one-third of the price it had paid to the owner of the other half of the flat. Being simple and unsophisticated, the three elderly sisters accepted the offer but later sought to have the sale agreement set aside on the basis of unconscionability.

Issue: Whether the real estate sale agreement was an unconscionable bargain.

Held: In favour of the elderly sisters – the sale was set aside. Essentially (1) the price offered was grossly under-value, (2) the agreement was entered into in haste, (3) HK\$50,000 cash deposit was given to the elderly sisters as an enticement (representing a large sum in the elderly elderly sisters' eyes) and (4) the elderly sisters were deprived of independent representation and advice.

3.5.1 The Requirements

Based on developments in Australia,⁶⁵ the courts in Hong Kong have endorsed the existence of a separate doctrine of unconscionability.⁶⁶ Although it has been acknowledged that it is impossible to definitively describe all the situations where the court will make a finding of unconscionability, there is essentially a two-stage test where the alleged victim of the unconscionability must show (1) that he/she had a special disadvantage, which (2) the other party unconscientiously took advantage of. Once the victim has shown evidence to satisfy these two hurdles, then, unless the party who is alleged to have exercised the unconscionability can show that the transaction was fair, just and reasonable, the court can set aside or rescind the contract on the basis of his unconscionable conduct.

3.5.1.1 Special Disadvantage

In order to show a special disadvantage, the alleged victim of the unconscionability must show that his/her disadvantage was such as to seriously affect his/her ability to make a decision as to his/her own best interests. This could include, for example, illness, age, physical or mental disability, impecuniosity, illiteracy or lack of education, or simply lack of advice. Again, however, it must be something that seriously affects the ability to make a decision in his/her own best interests.

⁶⁵ *Commercial Bank of Australia Ltd v Amadio* (1982–1983) 151 CLR 447.

⁶⁶ *Ming Shiu Chung v Ming Shiu Sum* (2006) 2 HKLRD 831.

3.5.1.2 Unconscientiously Took Advantage

Once it has been established that the alleged victim of the unconscionable conduct was suffering a special disadvantage, the alleged victim must then show that the other party unconscientiously took advantage of that special disadvantage. In other words, the alleged victim must show that the other party knew⁶⁷ of the special disadvantage and then unconscientiously procured or accepted the alleged victim's assent to the impugned transaction. In this context, knowledge could also include constructive knowledge (i.e. what he/she ought to have known) or wilful ignorance.

3.5.2 As Distinct from Undue Influence

Although there is a similarity between the concepts of unconscionable conduct and undue influence (See Section 3.4), there is a subtle distinction.

Unconscionable conduct occurs where the will of the innocent party – even if independent and voluntary – is the result of a disadvantageous position in which he/she is placed and of the other party unconscientiously taking advantage of that position. It looks to the conduct of the stronger party in attempting to enforce – or retain the benefit of – a dealing with a person suffering from a special disability in circumstances where it is not consistent with equity or good conscience that he/she should do so. Undue influence, however, occurs where the will of the innocent party is not independent and voluntary because it is overborne. It looks to the quality of the consent or assent of the weaker party.

3.5.3 Unconscionable Contracts Ordinance (Cap.458)

The Unconscionable Contracts Ordinance (Cap.458) provides statutory protection for consumers against unfair contractual terms. It is dealt with in Section 2.14.

► Knowledge Check Questions

Question 22

Describe the two-stage test for establishing unconscionability as a means of having a contracted rescinded.

Question 23

Explain how the doctrine of unconscionability is different from the doctrine of undue influence.



3.6 ILLEGALITY

An agreement may satisfy all the requirements for a valid contract (See Chapter 2 Principles of Contract and Consumer Law in Hong Kong (Part I)) yet be unenforceable because it is illegal. The law on illegality (*vis-à-vis* a contract) is easily the most inconsistent and contradictory of all

⁶⁷ *Kakavas v Crown Melbourne Ltd* (2013) HCA 25.

areas of contract law. In fact, the Law Commission of England and Wales has referred to the law on illegality as an intricate web of tangled rules that are difficult to ascertain and distinguish (See 'The Illegality Defence' (Law Com. No. 320, 2010)). As such, this topic will be dealt with only briefly in this chapter.

3.6.1 Sources of Illegality

The **illegality** comes from the violation of either (1) a common law rule, (2) a statutory rule, or (3) public interest. Thus, illegality includes contracts involving the commission of a crime (in an agreement to commit a crime, the agreement itself will constitute the crime of conspiracy) or a tort (See Chapter 4 The Law of Tort and Negligence) or breach of a legislative provision. In addition, a contract may be tainted with illegality on the grounds of public policy, such as contracts to promote sexual immorality.⁶⁸

3.6.2 Occurrence and Consequences of Illegality

Contracts may be illegal at the time of contract formation or in the way that they have been performed. However, a contract that is entered into with the intention of using it to achieve an illegal purpose will not be tainted with illegality if that illegal purpose is remote from the contract itself.

The consequences of illegality vary depending on the context. Where the contract is illegal for breach of a common law rule, the general principle is that the contract is void *ab initio* and unenforceable, subject to certain exceptions. Where the illegality comes from a statutory violation, the consequences depend on the terms of the statute. With regard to recovering any benefits – such as money – conferred on one party by another under an illegal contract, the general rule is that such benefits cannot be recovered.⁶⁹ Although the general rule may deter entry into illegal contracts, it may lead to the **unjust enrichment** of one party and, as such, there are a number of exceptions to the general rule where a claim for restitution can be made.⁷⁰ Please note that restitution simply means restoring the benefits conferred back to the party that conferred them.

3.6.2.1 Illegal at the Time of Contract Formation

Contracts may be illegal at the time when they are entered into because they cannot be performed in accordance with their terms without the commission of an illegal act. A classic example would be a contract to murder. Another example would be where the parties do not possess a licence to buy and sell a particular good as required by statute.⁷¹ Such contracts are void *ab initio* because they are illegal from the outset.

3.6.2.2 Illegal Mode of Performance

Sometimes, the illegality may not come from the formation of the contract but from its performance because it is carried out in an illegal manner. For example, this could be where a ship owner violates a statutory law by overloading his/her ship in the performance of certain

⁶⁸ *Pearce v Brooks* (1866) LR 1 Ex 213.

⁶⁹ *Holman v Johnson* (1775) 1 Cowp 341.

⁷⁰ *Mohamed v Alaga & Co (a firm)* (1996) CLC 377.

⁷¹ *Re Mahmoud and Ispahani* (1921) 2 KB 716.



contracts for the carriage of goods.⁸⁹ Such illegality will not automatically render the contract unenforceable – rather, it depends on whether it was the purpose of the statutory or common law rule that a breach committed in the performance of the contract should invalidate the contract. For example, in a contract to transport goods, if the driver commits the criminal offence of speeding in the performance of the contract, this would not render the contract unenforceable.

3.6.2.3 Illegal Purpose

A contract that is entered into with the intention of using it to achieve an illegal purpose will not be illegal if that illegal purpose is remote from the contract itself. For example, if a person enters into a contract for the purpose of defrauding the Inland Revenue Department.⁷²

Illustrative Example 1

This example is involved in the gambling contracts. X and Y enter into a loan agreement, whereby X will lend HK\$5,000 to Y, knowing that Y will use the money to gamble in an unauthorised casino in Mong Kok. Y loses all of the money and is unable to repay X. X will not be able to successfully sue Y to recover the money because this loan agreement is an illegal contract and the money lent cannot be recovered. According to the Gambling Ordinance (Cap.148) ('GO'), gambling (including gaming, betting and bookmaking) and lotteries are unlawful, except where specifically authorised (ss.3 and 4 of the GO). Any person who provides money or other property to another person knowing that it will be used for, or in connection with, unlawful gambling or unlawful lotteries commits an offence (s.14 of the GO). This would, of course, include loan agreements where the creditor knows that the debtor will use it for the purposes of unlawful gambling. Such loan agreements are therefore illegal and the loaned money is irrecoverable.⁷³

Illustrative Example 2

This case is related to the restraint of trade. Cheng enters into a contract with Lam for the sale of Cheng's hair salon business in Wan Chai. The contract contains a clause (Clause 10) whereby Cheng promises that she will not open a rival hair salon anywhere on Hong Kong island for the next five years. Some two years after entering into the agreement, Cheng plans to set up a hair salon in Admiralty. Whether or not Lam can enforce Clause 10 depends on several issues. Clause 10 could be void and unenforceable for restraint of trade. **Restraint of trade** involves one party agreeing to restrict its freedom to trade or conduct business in a particular geographical area for a specified period of time. Restraint of trade clauses are void unless they can be shown to be

⁷² *St John Shipping Corp v Joseph Rank Ltd* (1957) 1 QB 267.

⁷³ *M'Kinnel v Robinson* (1838) 3 M & W 434.

Illustrative Example 2 (continued)

reasonable.⁷⁴ As such, whether Lam can enforce Clause 10 will depend on issues such as (1) whether Clause 10 is reasonable with regard to the parties, (2) whether Clause 10 is unreasonable with regard to the public interest – bearing in mind that the public interest includes competition in the marketplace, (3) whether Lam is protecting a legitimate interest – or is just trying to prevent competition, (4) whether Clause 10 is wider than is needed to protect Lam’s interests and (5) whether the scope of the restraint and the area and period of time are properly balanced against each other.

► Knowledge Check Questions

Question 24

Explain the sources of illegality that make a contract unenforceable.

Question 25

State the factors that are taken into account when the court is considering the validity of a restraint of trade clause.

⁷⁴ *Nordenfelt v Maxim Nordenfelt Guns & Ammunition Co Ltd* (1894) AC 535.



DISCHARGE OF THE CONTRACT

Whereas the vitiating factors (discussed above) will render a contract void or voidable, this is different from the discharge (or termination) of a valid contract. Such a discharge of a contract may occur as a result of the parties' full performance of its terms; an agreement to do so by the contracting parties; breach of fundamental contractual terms, at the election of the non-breaching party, or frustration of the performance of the contract due to some supervening event outside the control of the parties.

3.7 PERFORMANCE

A contract is most commonly discharged by way of performance, i.e. when both parties have fully performed the contract according to its terms.

3.7.1 Performance must be Complete and Precise

For the contract to be fully discharged, the performance has to be complete and precise. The case below exemplifies this concept.

Re Moore & Co and Landauer & Co (1921) 2 KB 519

Facts: This case concerned a contract for the sale of 3,000 tins of fruit. The contract stated that the tins were to be packed in cases of 30 tins per case. However, some of the tins delivered were packed in cases of 24 tins per case.

Issue: Whether the contract was properly performed.

Held: The contract was not properly performed. Even though the consignment was no less commercially valuable, the failure to perform according to the terms constituted a breach of contract (See Section 3.9), thereby entitling the buyers to reject the whole consignment.

Although trivial defects in performance may, possibly, be ignored pursuant to the so-called ***de minimis rule*** (*de minimis non curat lex*, Latin for ‘the law is not interested in trivial matters’), some obligations are very strict so that even an apparent trivial defect will constitute a breach.

Arcos Ltd v EA Ronaasen & Son (1933) AC 470

Facts: Timber was supplied at a mere one-sixteenth of an inch thicker than contractually specified.

Issue: Whether there was a breach of contract.

Held: Although the timber could still be used for the purpose intended, such a minor defect still constituted a breach of contract.

3.7.2 Entire Obligations

When the performance of one party (‘X’) is conditional upon the complete and precise performance of the other party (‘Y’), the general rule is that incomplete performance by Y will mean that Y cannot recover anything from X. Albeit there exists a statutory exception under s.16 of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23) (See Section 3.10).

⁹⁵ Albeit there exists a statutory exception under s.16 of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23) (See Section 3.10).



Essentially, Y's obligation is said to be entire. Whether an obligation is entire will depend on the intentions of the parties, objectively ascertained as against all the background facts. For example, if a shoemaker agrees to make a pair of shoes for a customer, he/she cannot simply make one shoe and demand that the customer pays half of the price – rather, without express stipulation, the parties' intention at the time of contracting can be objectively ascertained as being that both shoes must be made before payment is due.⁷⁵

When expressly provided for in a contract, **entire obligations** serve as a deterrent to incomplete performance.

***Cutter v Powell* (1795) 6 Term Rep 320**

Facts: Cutter (a seaman) agreed to serve as a member of a crew on a ship, sailing from Jamaica to Liverpool. The contract stated he would be paid 'ten days after the ship arrives in Liverpool . . . provided he proceeds, continues and does his duty . . . from hence to the port of Liverpool'. However, during the voyage, Cutter died. Later, his widow (and administratrix) claimed a proportion of her late husband's wages, commensurate with the work he had done before he died.

Issue: Whether the seaman has discharged the entire agreement and the widow could claim a proportion of her husband's wages based on the work that had been performed.

Held: The widow's claim failed. Cutter's contract stated that nothing was to be paid until he had served for the whole voyage.

In *Cutter v Powell*, Cutter had agreed to the entire obligation in return for being paid a higher sum of money upon completing the voyage. In essence, this shifted the risk of completing the voyage onto Cutter, himself. If Cutter had agreed to the ordinary (lower) rates of pay, Cutter's widow would have been entitled to receive some money for the work that Cutter had done before he died.

3.7.2.1 Distinguished from Entire Contracts

Imagine that a builder has supplied work and labour for the construction of a house under a lump sum contract but has departed from the terms of the contract to some extent. In this situation, the builder is entitled to payment for his/her work and labour, unless (1) the work that he/she has done is of no benefit to the owner, (2) the work that he/she has done is entirely different from the work he/she was contracted to do, or (3) he/she has abandoned the work and left it unfinished.⁷⁶

The reason why the builder can recover payment is because of the **doctrine of substantial performance** – but this doctrine does not apply to entire obligations. The builder's contract was an entire contract which is something different, albeit often confused with entire obligations.⁷⁷

3.7.2.2 Sale of Goods Context

As a general rule, a contract for the sale of goods imposes an entire obligation with regard to the quantity contracted for.⁷⁸ Therefore, if the seller delivers the incorrect quantity (more or less),

⁷⁵ *Hall & Barker* (1878) LR 9 Ch D 673.

⁷⁶ *H Dakin & Co Ltd v Lee* (1916) 1 KB 566.

⁷⁷ *Hoening v Isaacs* (1952) 2 All ER 176.

⁷⁸ *Oxendale v Wetherell* (1829) 9 B & C 386.

the buyer may reject the goods. However, this is subject to three qualifications: (1) a contractual provision to the contrary – e.g. where delivery is to be of ‘about 300 units’ or ‘300 units, 5% more or less’, (2) wholly trivial discrepancies – e.g. an excess of 55 lb in a contract for the delivery of 4,950 tons⁷⁹ and (3) delivery by instalments, which were to be paid for separately – i.e. a shortfall in delivery of one instalment does not automatically entitle the buyer to repudiate the whole contract (See Section 3.9) but, rather, depends on whether the breach is severable, such that it only gives rise to damages but not **termination** of the whole contract (s.33(2) of the Sale of Goods Ordinance (Cap.26). Note, however, that if the buyer does accept delivery of the incorrect quantity, he/she must pay at the contract rate, *pro rata* (s.32(1) and also The Contract of Sale under the Sale of Goods Ordinance (Cap.26)).

3.7.3 Severable Obligations

When payment is due from time to time as performance is rendered, such payment is called a **severable obligation**. In other words, a contract can be divided into stages so that a party is entitled to some payment upon completion of each stage. For example, in an employment contract, the salary is usually paid each month and construction contracts often contain progress payment provisions, where payment is to be made at specified stages of completed work.

3.7.4 The Danger of Unjust Enrichment

If a party chooses to terminate the contract for breach of an entire obligation, he/she must nevertheless make payment for the partial performance if he/she voluntarily accepts it. Otherwise, the partial performance would, in many cases, result in some benefit having been conferred on him/her and, therefore, leave him/her unjustly enriched.⁸⁰

Note, however, that the acceptance of the partial performance does not have to be voluntary in its fullest sense. For example, where a seller of goods has delivered the incorrect quantity, the buyer may do acts that constitute acceptance, even before he/she knows about the defect in performance, such as still retaining those goods after the lapse of a reasonable time, notwithstanding that he/she did not know of the incorrect quantity (s.37(4) of the Sale of Goods Ordinance (Cap.26)).

3.7.5 Wrongful Prevention of Performance

If one party (‘X’) wrongfully refuses to let the other party (‘Y’) complete his/her contractual obligations, Y can claim damages for breach of contract or (possibly) recover payment on a *quantum meruit* (‘the amount he deserves’) basis for the work that Y has done so far.

Planché v Colburn (1831) 8 Bing 14

Facts: The plaintiff agreed to write a book (to be published as part of a series) and receive GB£100 upon completion. The plaintiff carried out research and wrote part of the book before the defendants subsequently decided to abandon the publication project.

Issue: Whether the plaintiff was entitled to payment on a *quantum meruit* basis.

Held: The plaintiff was entitled to payment on a *quantum meruit* basis.

⁷⁹ *Shipton Anderson & Co v Weil Bros* (1912) 1 KB 574.

⁸⁰ *Sumpter v Hedges* (1898) 1 QB 673.

As a general rule, recovery under *quantum meruit* is only possible if there is no contract. However, one of the exceptions to this general rule is in cases of entire obligations where, although partial performance does not entitle a party to payment, if the non-breaching party voluntarily accepts the benefit of the partial performance, he/she will have to pay a reasonable value for the benefit conferred on him/her (albeit, in *Planché* it was the non-breaching party who was making the claim based on *quantum meruit*).

► Knowledge Check Questions

Question 26

Describe the *de minimis* rule and state whether it is an absolute rule.

Question 27

Explain the difference between entire obligations and entire contracts.

Question 28

Explain what it means to recover on a *quantum meruit* basis and what the general restriction on such recovery is.



3.8 AGREEMENT

A contract may be terminated by agreement (See Section 2.6.10). As with all agreements (other than those by deed), there is a need for consideration. Where a contract is wholly or partly executory (i.e. both parties still have some obligations left to perform under the contract), the consideration for an agreement to terminate the contract would be the mutual release by both parties giving up the right to have the remainder of their respective contractual rights performed in return for each party not performing their outstanding obligations.

However, where one party, X, has already performed all of its contractual obligations, the other party, Y, would have to provide some other form of consideration in return for X giving up its right to have Y perform Y's outstanding obligations.⁸¹

However, it may be possible to discharge a contract without consideration. Other than by deed which would require adherence to certain formalities (See Section 2.6), there may be an agreed term of the contract that allows for discharge. One example of such a term would be a *force majeure* clause (See Section 3.10), which stipulates that, on the occurrence of a specified event that is outside the control of the contracting parties, both parties shall be automatically discharged from their respective contractual obligations under that contract.⁸² A further example would be a termination clause in an employment contract, allowing either party to terminate the employment upon giving a specified period of notice.

⁸¹ *British Russian Gazette and Trade Outlook Ltd v Associated Newspapers Ltd* (1933) 2 KB 616.

⁸² *Tsakiroglou & Co Ltd v Noble Thorl GmbH* (1962) AC 93.

► Knowledge Check Questions

Question 29

If the contracting parties agree to terminate their contract, state whether they generally have to each provide consideration for such an agreement. If so, explain how this is done.

Question 30

Describe when consideration is not required in an agreement to terminate.

3.9 BREACH

The types of breach of contract and their consequences are covered here.

3.9.1 Types of Breach

Breach of contract occurs when a contracting party (1) fails to perform, (2) defectively performs, (3) refuses to perform or (4) otherwise makes it known that it will not be able to perform its contractual obligations. Failure to perform or defective performance constitutes an actual breach. Refusal to perform or making it known that it will not be able to perform constitutes anticipatory breach.

3.9.1.1 Actual Breach

Actual breach occurs where a party fails to perform or defectively performs its contractual obligations. Generally speaking, liability is strict insofar as it does not depend on any proof of fault. For example, under s.16 of the Sale of Goods Ordinance (Cap.26), there is an implied condition (See Section 2.12) that goods sold will be of a merchantable quality and so the seller will be in breach of contract if the goods fall below this standard, even if it has taken all reasonable steps to ensure the quality.

However, a contract may impose a duty to take reasonable care, i.e. the contractual obligation will be qualified. For example, under s.5 of the Supply of Services (Implied Terms) Ordinance (Cap.457), there is an implied term that services will be supplied using reasonable care and skill. This means that breach can only be established upon proof that the supplier failed to exercise reasonable care and skill in the provision of the service. As such, so long as the service is provided with reasonable care and skill, one could not sue a doctor for failing to improve one's health nor sue a lawyer for failing to win one's case.

3.9.1.2 Anticipatory Breach

Anticipatory breach occurs where a party refuses to perform or otherwise makes it known to the other party that it will be unable to perform its contractual obligations. Since an anticipatory breach occurs before the contractually fixed date for performance, it is not technically a breach at all but the law entitles the other (non-breaching) party to treat it as a breach of contract.



3.9.2 Consequences of Breach

At common law, the consequences of breach of contract will be termination of the contract (at the non-breaching party's option) and/or monetary compensation being paid to the non-breaching party (See Section 3.11). This will depend on the seriousness of the breach and, in particular, which type of promissory term that has been breached, be it a condition, warranty or innominate term.

3.9.2.1 Types of Promissory Terms

Conditions

A **condition** is a contractual term that goes to the root of the contract. If breached, the breach will be classed as repudiatory and entitle the non-breaching party to choose to terminate the contract as well as recovering damages.

The court will usually give effect to the parties' intentions if any particular term was intended by them to be a condition. Note, however, that a term that is expressly labelled as a 'condition' in the contract will not, by itself, be automatically conclusive of its type. Further, if the parties do not stipulate or classify a particular term as a condition, the court will only classify it thus if the breach of that term results in the non-breaching party being deprived of substantially the whole benefit of the contract (*Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* (1962) 2 QB 26) or, at least, where the effects are considered sufficiently serious.⁸³

However, it should be noted that some terms – by reason of custom, precedent or statute – are automatically classified as conditions, such as time is of the essence clauses. For example, in *Union Eagle Ltd v Golden Achievement Ltd* (1997) UKPC 5, a 'time is of the essence' clause meant that one party's late performance by a mere 10 minutes entitled the other party to treat the contract as repudiated and so terminate it. Another example can be found in s.16(2) of the Sale of Goods Ordinance (Cap.26), which makes it an implied condition that goods supplied are of a merchantable quality.

Warranties

A **warranty** is a contractual term of lesser importance. If breached, the non-breaching party will only be entitled to damages. Such a breach is said to be non-repudiatory and so the non-breaching party cannot choose to terminate the contract.

For example, in a contract to sell a dark blue car, it is very likely that it will be a condition that it has a functioning engine but a warranty that it is dark blue in colour. A functioning engine can be said to go to the root of the contract since the car will not serve its main purpose without it. However, the colour is likely to be a term of lesser importance since it will not affect the car's drivability (indeed, damages from the breach can be used to pay for a colour re-spray).

⁸³ *Bunge Corp v Tradax Export SA* (1981) 1 WLR 711.

Innominate Terms

An **innominate contractual term** is one that, as the name suggests, has no pre-breach classification. If breached, the non-breaching party's rights will depend on the seriousness of the effects of the breach. If the effects of breach are serious, the breach will be treated as repudiatory and the non-breaching party has a right to terminate the contract and/or recover damages. If the effects are not serious, the breach will be treated as non-repudiatory and the non-breaching party will only have a right to recover damages.

Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd (1962) 2 QB 26

Facts: Some charterers hired a ship for 24 months. There was a seaworthiness clause in the charter contract (known as a 'charterparty') that the ship was 'in every way fitted for ordinary cargo service'. The ship, itself, was old and required experienced and competent maintenance and engine room staff. However, such staff on board were insufficient in number and the chief engineer turned out to be incompetent. As a result, there were many machinery breakdowns requiring repairs and causing delays. Therefore, the charterers purported to terminate the contract for breach of condition, in particular the seaworthiness clause. The ship owners argued that there had not been a breach of condition and that the charterers were therefore not entitled to terminate the charterparty. Accordingly, the ship owners sued the charterers for wrongful repudiation.

Issue: Whether the charterers had breached the contract.

Held: The charterers had breached the contract through their wrongful repudiation. Although the ship owners had breached the seaworthiness clause in the charterparty by supplying insufficient and incompetent staff with the ship, the seaworthiness clause was nevertheless not to be treated as a condition. The delays (caused by breakdowns and repairs) were not so serious as to sufficiently or detrimentally interfere with the commercial purpose of the charterparty – rather, the charterparty still had more than half of its term still to run (more than 12 months).

The court noted that there are some terms that are so complex in nature that they cannot be pre-determined as conditions or warranties and, as such, the legal consequences of breach will depend on the seriousness of those consequences. In particular, in order for such a term to be treated as a condition (thereby entitling the non-breaching party to terminate the contract and recover damages), it must be shown that the breach deprived the non-breaching party of substantially the whole benefit of the contract. If that cannot be established, the breached term will effectively be treated as a warranty, entitling the non-breaching party to damages only.

3.9.2.2 Entitlements after Breach

Damages

At common law, damages are available as of right for any type of breach, regardless of whether it concerns a condition or a warranty, subject to the existence of a valid exemption clause (See Section 2.13). The topic of damages will be dealt with later (See Section 3.11) but, essentially, they are designed to compensate the non-breaching party for any loss caused by the breach. Note that if no loss can be established, the non-breaching party will be entitled to nominal damages, such as HK\$1, as the law's recognition that there was a breach.



Termination or Affirmation

A non-breaching party is only entitled to terminate the contract where there is a repudiatory breach, i.e. breach of a condition or breach of an innominate term that effectively deprives the non-breaching party of substantially the whole benefit of the contract. Essentially, the non-breaching party has a choice to terminate the contract or affirm (i.e. continue with) the contract.

Of course, where there is a right to terminate, there is also a right to damages. However, if a party that has the right to terminate but, instead, chooses to affirm the contract, that party will only be entitled to damages when there has been an actual breach. Therefore, if that party decides to affirm after an anticipatory breach, it will have to wait until the fixed date for performance (after which date there will be an actual breach) before damages can be claimed.

Apply and Analyse 14

Apply

Oberon contracted to sell his apartment to Puck for HK\$20 million. Puck paid a 10% deposit in accordance with the contract, which also contained the following clauses:

- 7. *Full payment of the Balance (i.e. Purchase Price minus the Deposit) must be received by 14:00 on 2nd October 2018 at the Vendor's bank account (details of which to be provided by the Vendor before the payment deadline).*
- 10. *Time shall in every respect be of the essence.*
- 18. *Late payment shall render the Purchaser's deposit absolutely forfeited to the Vendor who may also choose to terminate the contract.'*

At 13:55, on 2 October 2018, Oberon informed Puck of Oberon's relevant bank details for the money transfer. Puck then quickly made the money transfer, which arrived in Oberon's bank account a few minutes later, at 14:05. Oberon claimed that Puck's lateness is a breach of contract which entitled Oberon to terminate the sale agreement and keep Puck's deposit. Puck wanted the sale agreement specifically enforced. Analyse the legal position of Puck and explain whether he can have the sale agreement specifically enforced.

Analysis

Technically, Puck was late in making payment and is, therefore, in breach of contract. Given that Clause 10 ('time is of the essence') is, as a matter of custom and precedent, automatically classified as a condition (See *Union Eagle Ltd v Golden Achievement Ltd* in Section 3.9.2.1), this means that its breach would (*prima facie*) entitle Oberon to terminate the contract and keep Puck's deposit. However, Puck's lateness was due to the fact that Oberon only gave him the relevant bank transfer details a mere five minutes before the payment deadline – and it has been well established that a party cannot take advantage of his/her own breach of contract to the detriment of the other party (See *Union Eagle Ltd v Golden Achievement Ltd* (1997) UKPC 5).⁸⁴ The question then becomes whether Oberon did breach the contract.

⁸⁴ *Kensland Realty Ltd v Whale View Investment Ltd* (2001) 4 HKCFAR 381.

Apply and Analyse 14 (continued)

According to Clause 7, Oberon had an obligation to provide his bank details before the payment deadline – which he did. However, under these circumstances, it is likely that a term can be implied (See Section 2.12) that Oberon would provide his bank details at a reasonable time before the payment deadline in order to give Puck a reasonable time to effect the transaction by arranging and making the transfer of money before the deadline. Such a term would very likely pass the business efficacy test and/or the officious bystander test (See Section 2.12.1.2). Therefore, by providing the bank details a mere five minutes before the deadline, it seems very likely that Oberon had breached this implied term (See *Union Eagle Ltd v Golden Achievement Ltd* (1997) UKPC 5).⁸⁵

Given that the court is likely to find that Oberon has breached the contract (before, and also causing, Puck's late payment), Puck may be able to obtain the remedy of specific performance (See Section 3.15), i.e. obtain a court order that forces Oberon to sell the apartment to Puck, as per the contract, as opposed to damages. Of course, specific performance is a discretionary remedy but, given that the subject matter is land/real estate, there is a good chance that it will be awarded, subject to the usual limitations imposed on equitable remedies, such as Puck showing that he has come with clean hands (See Section 3.15).

► Knowledge Check Questions

Question 31

List the four ways in which a breach of contract can occur.

Question 32

Describe what an anticipatory breach is.

Question 33

Briefly explain the distinction between (1) a condition, (2) a warranty and (3) an innominate term. What is the consequence of breaching each of them?

Question 34

If an innocent party chooses to terminate the contract after a breach of a condition, explain why he/she should inform the breaching party of his/her acceptance of the (repudiatory) breach and the reason why he/she is no longer performing his/her own contractual obligations.

⁸⁵ *Kensland Realty Ltd v Whale View Investment Ltd* (2001) 4 HKCFAR 381.



3.10 FRUSTRATION

A contract can be discharged where some supervening event – outside the control of the parties – makes performance of the contract either (1) impossible, (2) illegal or (3) something radically different from what was originally envisaged. In any one of these circumstances, the contract is said to be frustrated and will be automatically discharged, regardless of the intentions of the parties.

3.10.1 Grounds for Invoking the Doctrine of Frustration

3.10.1.1 Performance Becomes Impossible

Performance may become impossible when the subject matter of the contract is destroyed.

***Taylor v Caldwell* (1863) 3 B & S 826**

Facts: This case concerned a contract for the hire of a music hall. However, before the hall was due to be used, it was destroyed by a fire. Since the hirer was now unable to use the hall for the planned music concert, he sued the defendant owner of the music hall for breach of contract, i.e. for failing to provide the music hall as agreed, and sought to recover the wasted concert advertising expenses (See Section 3.11.1.2).

Issue: Whether the hire contract was frustrated.

Held: The hire contract was frustrated. The supervening fire had made the performance of the contract impossible and, since it was not the fault of either party, it had the effect of releasing the parties from their respective contractual obligations.

Taylor v Caldwell is the seminal case on **frustration**. The juristic basis for invoking the doctrine of frustration in that case was (according to the court) the existence of an implied condition (See Section 2.12) that both parties would be excused from their respective obligations if performance of the contract became impossible through no fault of either of them.

However, note that destruction of the subject matter – due to no fault of the contracting parties – may not always be sufficient to constitute frustration. For example, X agrees to build a house for Y. When X has halfway finished the building, the half-completed house is destroyed by fire caused by lightning. In this situation, assuming that parties had not otherwise agreed anything to the contrary, the risk of completing the building work is on X – therefore, if the house is destroyed before completion, there is no frustration because building the house is still possible. This can, however, be contrasted with a contract to renovate an existing house; if that house is destroyed by fire, then the contract is frustrated because the renovation work is no longer possible.⁸⁶

⁸⁶ *Appleby v Myers* (1866–1867) LR 2 CP 651.

Other examples of frustration through impossibility of performance would include: the death of a party in a contract involving a personal service, such as employment,⁸⁷ and where the subject matter that is essential for performance is unavailable, such as where a concert venue is declared unsafe but no other venue is available at such short notice for performance of the concert.⁸⁸ A contract can also be frustrated where the method of performing the contract, as stipulated in the contract, has become impossible through no fault of the parties.⁸⁹

3.10.1.2 Performance Becomes Illegal

A contract may be frustrated where the law changes – after the contract is formed – such that it makes performance of the contract illegal. For example, this could happen where legislation is passed or where war breaks out between the contracting parties' respective countries, thereby making it illegal to trade with the enemy.

***Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* (1943) AC 32**

Facts: A British company had a contract to manufacture and deliver machines to a Polish company in Gdynia, Poland. However, before the manufacture was completed, Gdynia was occupied by the German Army.

Issue: Whether the manufacturing contract was frustrated.

Held: The manufacturing contract was frustrated. Since Britain was at war with Germany at the time, Gdynia became enemy territory and therefore it would be illegal for the British company to complete the contract and deliver the machinery.

If the illegality is only temporary, the contract will only be frustrated if such temporary illegality affects contract performance in a substantial way. For example, a six-year war-time building restriction would not frustrate a 99-year lease where there is still 90 years remaining after the restrictions are lifted.⁹⁰

Also note that, if at the time of contract formation there is a law in force that requires a licence from a Government authority before the contract can be performed (such as a licence to build or import goods), the contract will not be frustrated if such a licence is refused after the contract was formed.⁹¹ Therefore, to avoid a breach of contract from non-performance (due to not having the requisite licence), the contract should make clear that the obligation to perform is subject to a condition precedent that the requisite licence is obtained.

3.10.1.3 Purpose Becomes Frustrated

Where the common purpose for which the contract was entered into becomes no longer achievable due to some supervening event, the contract may be discharged by frustration.

⁸⁷ *Stubbs v Holywell Railway Co* (1867) LR 2 Ex 311.

⁸⁸ *Gamerco SA v ICM/Fairwarning (Agency) Ltd* (1995) 1 WLR 1226.

⁸⁹ *Nickoll & Knight v Ashton Edridge & Co* (1901) 2 KB 126.

⁹⁰ *Cricklewood Property & Investment Trust Ltd v Leighton's Investment Trust Ltd* (1945) AC 221.

⁹¹ *Maritime National Fish Ltd v Ocean Trawlers Ltd* (1935) AC 524.



Put another way, the contract can be said to be frustrated where, due to a supervening event, if the contract was to continue, performance would be radically different from that originally envisaged by the parties.

Krell v Henry (1903) 2 KB 740

Facts: This case concerned the hiring of a room in a London flat for the purpose of viewing the Coronation Procession of King Edward VII. The procession was due to take place on 26 and 27 June 1902. Krell, the owner of a flat in Pall Mall, London, hired out the rooms – overlooking the street – for the purpose of viewing the Coronation Procession. Henry hired one of the rooms (for the daytime only) for the 26 and 27 June 1902, paying GB£25 deposit, with the balance of GB£50 due on the 24 June 1902. However, on 24 June 1902, it was announced that the Coronation Procession was cancelled due to the King's ill health. As such, Henry had no use for the room and did not turn up. When Krell sued for the balance of the hire fee, Henry denied liability, stating that Henry had not received what Henry had bargained for (i.e. to see the Coronation Procession) and demanded Henry's deposit back.

Issue: Whether the hiring contract was frustrated.

Held: In favour of Henry – the contract had been frustrated. The common foundation (i.e. that which went to the root of the contract and was essential for its performance) had perished or failed to come into existence. In this case, the happening of the Coronation Procession on 26 and 27 June 1902 went to the root of the hire contract between Krell and Henry.

In *Krell v Henry*, Krell tried to argue that if, as the court held, the contract could be frustrated on this basis, then it would mean that a person who hired a taxi to take him to Epsom to see the Derby Day horse races but, upon arrival at Epsom, discovered that the races had been cancelled, could argue that his contract was frustrated and therefore has no obligation to pay the taxi driver. However, the court disagreed with this analogy because the taxi driver is indifferent about the purpose for which he has been hired, even though the passenger is hiring him for the sole purpose of getting to Epsom to see the horse races. Therefore, the happening of the Derby Day horse races is not the common foundation of the contract. In the *Krell and Henry* contract, however, Krell was hiring out his rooms for the daytime for the sole purpose of people viewing the Coronation Procession – and Henry agreed to hire the room in question for that sole purpose. As such, the happening of the Coronation Procession on 26 and 27 June 1902 was the common foundation of their contract.

Herne Bay Steam Boat Co v Hutton (1903) 2 KB 683

Facts: This case arose from the cancellation of the Naval Review – by the newly crowned King Edward VII – which was due to take place on 28 June 1902. Herne Bay Steam Boat Company ('Herne Bay') was the owner of a steamboat called 'Cynthia' and this boat was hired by Hutton for the 28 and 29 June 1902. Hutton made known to Herne Bay his purpose for hiring the boat – essentially, to take out a group of people for the purpose

Herne Bay Steam Boat Co v Hutton (1903) 2 KB 683 (continued)

of viewing the King's Naval Review and for a day's cruise around the fleet and the Isle of Wight. Hutton paid GB£50 to Herne Bay, in advance, as a deposit. However, after the announcement of the cancellation of the Naval Review, Hutton did not use the boat. Nevertheless, Herne Bay sued for the balance of the hire fee. Hutton claimed that he was not liable to pay because the contract had been frustrated by the cancellation of the Naval Review.

Issue: Whether the contract was frustrated.

Held: The contract was not frustrated. The happening of the Naval Review was not the common foundation of the contract. This case fell within the 'taxi to Epsom' analogy as argued by Krell in *Krell v Henry* insofar as Herne Bay was indifferent as to the purpose of the hire. Further, in any event, part of Hutton's purpose for the hire could still be realised since he could still cruise around the Isle of Wight.

Certainly, this ground for invoking the doctrine of frustration is extremely narrow and rarely successful.

3.10.2 Limitations on Invoking the Doctrine of Frustration

3.10.2.1 Express Contractual Provisions

Except where performance would be illegal (See Section 3.10.1.2), a contract will not be frustrated where there is an express provision that deals with the consequences of the supervening event. The classic example is the so-called **force majeure clause**. A *force majeure* clause will usually set out a wide set of possible supervening events and the consequences of those events. It is a boiler-plate clause found in most commercial contracts.

***Force majeure* Clauses**

Although *force majeure* clauses will vary from contract to contract, they all contain three common features (1) events that trigger the operation of the clause, (2) reporting obligations on the party that wishes to invoke the protection of the clause, and (3) consequences of the occurrence of the *force majeure* event.

With regard to (1), the trigger events, these events will be wider than those covered by the doctrine of frustration. For example, whereas the doctrine of frustration covers supervening events that make the contract physically impossible to perform, the *force majeure* clause may include events that make the contract commercially impracticable to perform.

With regard to (2), reporting the trigger event, this will include how to report it, how soon to report it and to whom to report it.

With regard to (3), consequences, the *force majeure* clause allows for much wider and flexible consequences than those under the doctrine of frustration. Whereas frustration leads to the automatic discharge of the contract, with perhaps some haphazard loss apportionment under statute (see below), the *force majeure* clause could stipulate, for example, that the contract is to be suspended, varied or extended for a specified period of time.



Other Clauses

Other clauses that could oust the doctrine of frustration would include, for example:

(1) hardship clauses (whereby the parties agree to use their best endeavours to renegotiate out of the performance problems, in good faith, so as to alleviate the hardship on one party) and (2) intervener clauses (whereby the parties agree that a specific third party – such as an arbitrator – will have the authority to resolve any problem or dispute over performance).

3.10.2.2 Foreseen and Foreseeable Events

If the supervening event was foreseen or foreseeable, the contract cannot be discharged by frustration.⁹² Where the event was within the parties' contemplation, they could have made provision for it, such as by taking out appropriate insurance. Therefore, if one of the parties cannot perform their contractual obligations due to a foreseen or foreseeable supervening event, they will be in breach of contract.

Walton Harvey Ltd v Walker & Homfrays Ltd (1931) 1 Ch 274

Facts: A hotel owner contracted with an advertising agency to put advertising signs on the roof of the hotel for seven years. However, before the seven years had elapsed, the local Government authority made a compulsory purchase of the hotel (pursuant to a Compulsory Purchase Order) and demolished it. The advertising agency sued the hotel owner for breach of contract but the hotel owner claimed that the contract was frustrated.

Issue: Whether the contract was frustrated.

Held: The contract was not frustrated. The hotel owner knew of the risk of the compulsory purchase by the local Government authority, i.e. it was within their contemplation at the time when they entered into the contract with the advertising agency, and they could have provided against that risk but chose not to. Therefore, the hotel owner was liable in damages for breach of contract.

However, it is accepted that most events are, to some extent, foreseeable (albeit improbable) and it would be extremely difficult and commercially inconvenient to provide for all of them. Nevertheless, such foreseeability will not automatically preclude the doctrine of frustration – rather, it is a matter of degree the less likely that the event would occur, the more likely it would constitute frustration.⁹³

3.10.2.3 Self-Induced Frustration

If the alleged frustrating event was self-induced by one of the parties, then it will not constitute frustration. In this sense, the phrase **self-induced frustration** is actually a misnomer: it is not frustration at all.

⁹² *Davis Contractors Ltd v Fareham Urban District Council* (1956) AC 696.

⁹³ *Edwinton Commercial Corp & Anor v Tsavliris Russ (Worldwide Salvage & Towage) Ltd (The Sea Angel)* (2007) EWCA Civ 547.

J Lauritzen AS v Wijsmuller BV (The Super Servant Two) (1990)

1 Lloyd's Rep 1

Facts: The defendant had contracted to transport the plaintiff's oil rig by ship, using either Super Servant One ('SS1') or Super Servant Two ('SS2') (both being ships owned by the defendant), at the defendant's option. Before the contract was performed, the defendant had decided to allocate SS2 to perform the contract with the plaintiff and SS1 to perform other contracts. Later, before the performance of the plaintiff's contract, SS2, sank whilst transporting another oil rig. However, since the defendant had allocated SS1 to perform other contracts, the defendant had no ship to perform the contract with the plaintiff and so claimed that the contract had been frustrated by the sinking of SS2.

Issue: Whether the contract was frustrated.

Held: The contract was not frustrated. The defendant had chosen not to allocate SS1 to perform the plaintiff's contract – the existence of their choice (as per the contract) in allocating SS1 or SS2 to perform the plaintiff's contract was sufficient to constitute self-induced frustration by them choosing to allocate SS1 to perform the other contracts. Further, if SS2 had sunk due to the defendant's negligence, then the defendant would not be able to invoke the doctrine of frustration.

The decision in *J Lauritzen AS v Wijsmuller BV* may seem harsh because it was impossible for the defendant to perform all the contracts – essentially, the defendant was left with a choice between breaching its contract with the plaintiff or breaching the other contracts to which it had allocated the remaining ship, SS1. In other words, the defendants were forced into non-performance of at least one of the contracts – so, effectively, there was no real choice.⁹⁴ Note, however, that if the contract had specifically stipulated SS2 as the only ship/method to be used to transport the plaintiff's oil rig then, assuming the SS2 was not sunk due to the fault/negligence of the defendant, the defendant may have been successful in invoking the doctrine of frustration in respect of its contract with the plaintiff.

3.10.3 Consequences of Frustration

3.10.3.1 Automatic Discharge

As noted above, when a contract is frustrated, it is automatically discharged (i.e. terminated), regardless of the intentions of the parties, even if the parties continue to behave as if the contract was still in force.⁹⁵ This means that the parties are released from their respective contractual obligations.

3.10.3.2 Loss Apportionment

When the frustrated contract is discharged, it may lead to unfairness to either or both parties in respect of (1) money paid or payable before the frustrating event and (2) goods or services provided before the frustrating event. As such, it is possible for there to be some loss

⁹⁴ Contrast with the facts in *Maritime National Fish Ltd v Ocean Trawlers Ltd* (1935) AC 524 where the defendants did have a real choice and could have avoided the alleged frustrating event without breaching any contract.

⁹⁵ *Hirji Muljiv Cheong Yue Steamship Co Ltd* (1926) AC 497.



apportionment in the interests of fairness, especially given that neither party was at fault. In particular, the parties may obtain some relief by virtue of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23) ('LARCO').

Money Paid or Payable before the Frustrating Event

At common law, advance payments – made before the frustrating event – could only be recovered where there was a total failure of consideration (See Section 2.6), i.e. where the party who paid money in advance received no part at all of what they bargained for (*Fibrosa Spolka Akcyjna v Fairbairn Lawson Combe Barbour Ltd* (1943) AC 32). Therefore, if that party received at least some of what they bargained for, they could not recover any advance payments because there would only be a partial failure of consideration.⁹⁶

Of course, the position at common law can lead to unfairness where a party is unable to recover any advance payment where he received only a small part of what he bargained for. However, this has been tempered by s.16(2) of the LARCO.

Under s.16(2) of the LARCO, the court may – if it considers it just to do so – allow a party to retain or recover all or part of any sum paid or payable before the contract was discharged by frustration, albeit not an amount in excess of expenses incurred in performance of the contract up until the frustrating event. In this regard, it affords some protection for both the payor and payee.

For the payor, sums that were payable before the frustrating event are no longer payable; sums actually paid before the frustrating event are *prima facie* recoverable (contrast the position at common law which precludes such recovery unless there is a total failure of consideration). For the payee, a just sum may be retained or recovered from sums already paid or payable before the frustrating event, at the discretion of the court, but is limited to no more than the advance sum paid or payable and no more than the value of the actual expenses incurred by the payee (i.e. whichever sum is lower).

Illustrative Example 3

X pays HK\$20,000 to Y as an advance payment. The contract is subsequently frustrated. If Y incurred pre-frustration expenses of HK\$30,000, the maximum that he could retain or recover as a just sum would be HK\$20,000 (i.e. the amount of the advance payment), but if Y only incurred pre-frustration expenses of HK\$5,000, the maximum that he could retain or recover as a just sum would be HK\$5,000 (i.e. the amount of his actual expenses).

Although s.16(2) of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23) ('LARCO') does not provide any protection for a party who incurs expenses without having required any advance payment, or where he/she incurs more expenses than the amount of the advance payment, he/she may nevertheless possibly be able to recover some money under s.16(3) of the LARCO if his/her pre-frustration expenditure results in a valuable benefit being obtained by the other party (see below).

⁹⁶ *Whincup v Hughes* (1870–1871) LR 6 CP 78.

Goods or Services Provided before the Frustrating Event

At common law, a party cannot recover a sum of money based on rights that have not yet accrued at the time of the frustrating event. For example, where a builder agrees to build a wall for HK\$100,000, payable upon completion, he/she will not be entitled to recover the HK\$100,000 (or any part of it, even to take account of any partial performance) if the contract is frustrated before completion.⁹⁷

Of course, the position at common law can lead to unfairness such that, as in this example, the builder receives nothing for his/her part-performance. However, this has been tempered by s.16(3) of the LARCO.

Under s.16(3) of the LARCO, a party who, through his/her performance of the contract before the frustrating event, causes a 'valuable benefit' to be conferred on the other party, will be able to recover a 'just sum', at the discretion of the court, albeit not exceeding the value of the said benefit. In determining the 'just sum', the court will have regard to all the circumstances, including: how much expense was incurred by the party obtaining the valuable benefit (in performance of the contract), such as sums paid or payable and retained or recoverable under s.16(2) of the LARCO before the frustrating event and the effect (in relation to the benefit obtained) of the circumstances giving rise to the frustration of the contract.

S.16(3) of the LARCO is a very complex and, arguably, unnecessarily complicated legislative provision that creates ambiguity. It is modelled on s.1(3) of the UK's Law Reform (Frustrated Contracts) Act 1943. However, it has been interpreted as involving a two-stage test: (1) first, identification and valuation of the benefit obtained (the end product, not the value of a service provided or cost of performance) and, (2) second, assessment of the just sum (not exceeding the value of the benefit obtained).⁹⁸

Apply and Analyse 15

Apply

Dolphin Ltd had sponsored five local yachtsmen to each use one of Dolphin Ltd's new range of one-man yachts in the 'Hong Kong Solo-Sailing Championship 2019' for a sponsorship fee of HK\$100,000, payable immediately after completing the competition. However, due to a Typhoon No. 8 two days before the competition, one of the five specially designed yachts had been destroyed whilst in the marina. As such, Dolphin Ltd were only able to supply four yachts for the competition and, since one of their sponsored yachtsmen, Eric, was the least likely of the five to win the competition (based on his past performance), Dolphin Ltd decided to allocate the four remaining yachts to the other sponsored yachtsmen. Eric said that he intended to sue Dolphin Ltd for breach of contract. However, Dolphin Ltd argued that their sponsorship contract with Eric was discharged by frustration.

1. Analyse the legal position of Dolphin Ltd and whether it was in breach of contract.
2. Analyse whether your answer would be different if each of the five yachts had been custom-built to the specific requirements of each yachtsman (e.g. based on their height, weight or dexterity) and it was Eric's tailored yacht that was destroyed by the typhoon.

⁹⁷ *Appleby v Myers* (1866–1867) LR 2 CP 651 (See Section 3.7.2).

⁹⁸ *BP Exploration Co (Libya) Ltd v Hunt (No.2)* (1979) 1 WLR 783.



Apply and Analyse 15 (continued)

Analysis

1. Dolphin Ltd had no choice but to not perform one of the sponsorship contracts because they simply did not have enough specialised one-man yachts for each of the five sponsored yachtsmen. However, Dolphin Ltd cannot rely upon the doctrine of frustration to have the contract discharged because their non-performance of that contract was self-induced (See *J Lauritzen AS v Wijsmuller BV* in Section 3.10.2.3): regardless of the fact that Dolphin Ltd had no choice but to not perform one of the contracts, they nevertheless chose not to perform their contract with Eric. Therefore, Dolphin Ltd was very unlikely to succeed with the frustration defence and, subject to there being any relevant *force majeure* clause, Dolphin Ltd was likely to be in breach of contract.
2. If each of the five yachts had been custom-built to the specific requirements of each yachtsman, then, assuming it was Eric's tailored yacht that was destroyed by the typhoon, Dolphin Ltd may be able to argue the frustration point. However, this assumes that there had been no negligence on the part of Dolphin Ltd (e.g. in mooring the yacht at that location) and that it was impossible for Dolphin Ltd to perform the contract as opposed to being simply 'impracticable'⁹⁹.

► Knowledge Check Questions

Question 35

Briefly outline the grounds for invoking the doctrine of frustration.

Question 36

Describe what a *force majeure* clause is. List its three essential features. Explain its effect on the doctrine of frustration.

Question 37

Describe to what extent foreseeability of (allegedly) frustrating events precludes the operation of the doctrine of frustration.

Question 38

Explain whether an event caused by a party's own negligence ever constitutes a frustrating event.

Question 39

State the consequences of a contract being frustrated.

⁹⁹ *Tsakiroglou & Co Ltd v Noblee Thorl GmbH* (1962) AC 93.



REMEDIES

When a term of a contract is breached, the non-breaching party is entitled to the monetary remedy of damages from the party in breach to compensate him/her for the loss suffered as a result of such breach. Where such (common law) damages would not be adequate to compensate for the loss suffered, the non-breaching party may request that the court grant him/her an equitable remedy, such as to compel the breaching party to properly perform his/her contractual obligations or for him/her to refrain from committing a particular act. In addition to this, the contract itself may provide for certain remedies, such as a pre-agreed sum of money to be paid by one party in the event of his/her breach.

3.11 DAMAGES

Damages (or monetary compensation) are the primary remedy for breach of contract. They are available as of right.¹⁰⁰ The basic aim is to compensate the non-breaching party, not to punish the party in breach. Indeed, there are no punitive damages in Hong Kong contract law, even where the breach was deliberate.¹⁰¹

3.11.1 Types of Loss Protected

3.11.1.1 Expectation Loss

Damages are often measured on the basis of **expectation loss**, viz to compensate the non-breaching party for the loss of the benefit of the promised performance. In other words, this is to put the non-breaching party in the same position (as far as money can do that) as it would have been had the contract been properly performed. In the commercial context, this would usually mean loss of profits. For example, if X breaches its contract by failing to deliver a machine to Y, Y may be able to recover the loss of profits that could have been earned in using the machine (i.e. Y's consequential loss). However, where the contract does not concern the making of profit, damages can be calculated by reference to the **difference in value**.

3.11.1.2 Reliance Loss

In some circumstances, the non-breaching party may prefer – or be obliged – to recover damages based on a **reliance loss** measure, i.e. damages to compensate the non-breaching party for its wasted expenditure arising from its own performance of its contractual obligations or preparation for such performance. In essence, damages for reliance loss aim to put the non-breaching party into the same position as it would have been had the contract never been entered into in the first place.

3.11.1.3 Restitution

Claiming restitution is not a claim for damages: **restitution** aims to deprive the breaching party of a benefit where he/she has been unjustly enriched at the non-breaching party's expense. Generally, restitution can only be claimed where there has been a total failure of consideration. For example, where a seller fails to deliver goods for which it has been paid in advance, the buyer can claim back the price it paid for those goods. Note the overlap here, with reliance loss damages insofar as the non-breaching party is put back into the position it would have been had the contract not been entered into.

Possibility of Combining Restitution, Reliance Loss and Expectation Loss

Provided that there is no **double recovery**, it may sometimes be possible that more than one type of loss can be recovered for breach of contract. For example, if a seller of machinery is in breach of contract for supplying defective machinery, thereby entitling the buyer to reject

¹⁰⁰ *Photo Production Ltd v Securicor Transport Ltd* (1980) AC 827.

¹⁰¹ *Addis v Gramophone Co Ltd* (1909) AC 488.

the machinery, the buyer could possibly recover (1) the price already paid for the machinery (restitution), (2) the wasted expenditure from installation of the machinery (reliance loss) and (3) the consequential loss of profits from being unable to use the machinery (expectation loss).¹⁰²

3.11.1.4 Incidental Loss

For the sake of completeness, it is worth noting that a non-breaching party may be able to recover damages for so-called **incidental loss**, i.e. loss by way of expenses incurred after the breach. This could include, for example, administrative costs involved in buying substitute goods,¹⁰³ sending back defective goods or wasted employee time.¹⁰⁴

3.11.2 Date for Assessment of Damages

S.53(3) Damages for non-delivery

‘As a general rule, damages will be assessed as at the time of breach (or when the loss is suffered), which will usually be when performance was due.¹⁰⁵ Where there is an available market for the goods in question, the measure of damages is prima facie to be ascertained by the difference between the contract price and the market or current price of the goods at the time or times when they ought to have been delivered, or, if no time was fixed for delivery, then at the time of the neglect or refusal to deliver.’

As seen from the above extract from the SOGO, damages will normally be assessed at the time of breach. However, assessment of damages as at the date of breach is not an absolute rule and the court may fix another date as may be appropriate in the interests of justice and fair compensation. Indeed, it may be that damages are reduced to take into account events that happened after the breach, but which came to the knowledge of the court before the date of the court hearing, so as to reflect the actual loss suffered.

Golden Straight Corp v Nippon Yusen Kubishika Kaisha (The Golden Victory) (2007) 2 WLR 691

Facts: This case concerned a time-charter of a ship for the period of July 1998 to December 2005. The charter contract contained a war clause, which entitled either party (i.e. the charterers or the ship owners) to terminate the charter in the event of war breaking out between the USA, UK and Iraq.

In December 2001, the charterers, in breach of the charter contract, repudiated the contract and this repudiation was accepted by the ship owners. As such, the ship owners claimed damages for the remaining period of the charter, i.e. up to December 2005.

Meanwhile, before the legal dispute over damages was resolved, war broke out in Iraq (involving the UK and USA) in March 2003, which would have entitled the charterer to

¹⁰² *Millar's Machinery Co Ltd v David Way & Son* (1935) 40 Com Cas 204.

¹⁰³ *Robert Stewart & Sons Ltd v Carapanayoti* (1962) 1 WLR 34.

¹⁰⁴ *Standard Chartered Bank v Pakistan National Shipping Corp* (2001) EWCA Civ 55.

¹⁰⁵ *Johnson v Agnew* (1980) AC 367.



Golden Straight Corp v Nippon Yusen Kubishika Kaisha (The Golden Victory) (2007) 2 WLR 691 (continued)

lawfully terminate the charter contract under the war clause had it not already (in breach) repudiated the contract.

Accordingly, the charterers argued that, in light of this post-breach event (the Iraq war), they would have terminated the charter in March 2003 (invoking the war clause) and so damages for their earlier repudiation could only be recovered from December 2001 (the date of their repudiation) to March 2003 (the date of outbreak of war).

In other words, the charterers argued that the ship owners could only recover damages for 14 months of the charter rather than 4 years. However, the ship owners argued that the loss should be assessed as at the time when they accepted the charterers' repudiation, without reference to any subsequent events, and that they should therefore be able to recover for the full four years remaining on the charter contract.

Issue: How to determine the date for assessment of damages.

Held: By a majority of 3:2, in favour of the charterers – despite the general rule that damages should be assessed as at the time of breach (i.e. without reference to subsequent events). Accordingly, damages could only be recovered from the time when the ship owners accepted the charterers' repudiation up to the outbreak of war when the charterers would have invoked the war clause and lawfully terminated the charter. (There was sufficient evidence that the charterers would have so terminated in any event.)

The majority of the court considered that departure from the general rule was justified on the facts of this case in the interests of fair compensation and so as not to place the non-breaching party in a better position than it would have been had the contract not been breached. The subsequent event was known to the court before the issue of damages was resolved and this had diminished the value of the ship owners' contractual rights.

3.11.3 Limitations to an Award of Damages

3.11.3.1 Causation

A non-breaching party will only be able to recover damages for loss caused by a breach of contract. For example, in *C&P Haulage Co Ltd v Middleton* (1983) EWCA Civ 5, despite the wrongful repudiation by the garage owner, the tenant's loss (i.e. the wasted cost of the installed equipment and improvements) was caused by a term in the licence agreement and not by the wrongful repudiation; the benefit of the equipment and improvements would automatically become the property of the garage owner even if he had lawfully terminated the agreement at the expiry of the relevant six-month licence period.

3.11.3.2 Remoteness

A non-breaching party cannot recover damages for loss that is too remote, i.e. too improbable to be within the scope of contractual liability.

***Hadley v Baxendale* (1854) 9 Ex 341**

Facts: The plaintiff mill owners' mill shaft had broken, resulting in them contracting with a company (in another city) to make a new one. However, since the company required the broken shaft to be used as a pattern for the new one, the mill owners engaged the defendant carriers to take the broken shaft to the company and return with the new one. However, in breach of contract, the carriers returned with the new shaft late, thereby delaying the resumption of production at the mill. As such, the mill owners sued the carriers to recover damages for loss of profit from lost production.

Issue: Whether the loss of profit from the lost production was too remote to be within the scope of contractual liability.

Held: The loss of profit was not recoverable – such loss was too remote a consequence of the carriers' breach. The court laid down a two-limb test for determining remoteness (see below).

Two-Limb Test

A two-limb test of remoteness is derived from the judgment in *Hadley v Baxendale*. The test deals with both normal loss and special loss.

1. Normal loss

Normal losses are those that occur naturally from the breach, i.e. according to the usual course of things. Damages are recoverable for such losses regardless of whether the breaching party actually foresaw such losses as a consequence of the breach. The breaching party will be liable to pay damages for losses that can objectively be said to have been within his/her reasonable contemplation as a likely result of the breach.

2. Special loss

Special losses are those incurred from special circumstances and may be recovered provided that the breaching party knew of these special circumstances. Essentially, it is the breaching party's actual knowledge of the special circumstances that is the basis for saying that the resulting loss from breach was within his/her reasonable contemplation.

There is, of course, some overlap between the two limbs.¹⁰⁶ Essentially, the rule is that the lesser the likelihood of a particular loss occurring, the greater the knowledge required of the breaching party. However, it is important to note that, for both limbs, the relevant knowledge (or reasonable contemplation) is assessed as at the time of contracting, not at the time of breach.¹⁰⁷

¹⁰⁶ *Chen v Lord Energy Ltd* (2002) 1 HKLRD 495.

¹⁰⁷ *Jackson v Royal Bank of Scotland* (2005) 1 WLR 377.

Victoria Laundry (Windsor) Ltd v Newman Industries Ltd (1949) 2 KB 528

Facts: This case concerned a breach of contract through late delivery of a boiler to a laundry company. The sellers of the boiler were aware of the buyers' business – and the buyers had informed the sellers that they intended to use the boiler immediately after delivery. When the boiler was delivered late, the laundry company sued the sellers for lost profit, which included (1) the general loss of business and (2) the loss of a highly lucrative Government contract that they could and would have accepted.

Issue: Whether (1) the general loss of business and (2) the loss of special contract with the Government could be recovered.

Held: Damages could only be recovered for (1) the general loss of business because such loss was within the reasonable contemplation of the sellers as liable to result from any delay in delivery of the boiler (particularly since the laundry company had informed the sellers of their intention to use the boiler immediately). However, damages were not recoverable for (2) the laundry company's loss of profit from the special contract with the Government because the sellers did not know of this special potential contract and therefore could not have reasonably foreseen loss of profit from this as liable to result from their breach through late delivery of the boiler.

The test of foreseeability was clarified in *Koufos v C. Czarnikow Ltd (The Heron II)* (1969) 1 AC 350 as being one where the loss is of a kind that the breaching party ought to have realised was not unlikely to result from the breach.

Assumption of Responsibility

Even if, under the two-limb test, the loss can be said to have been within the reasonable contemplation of the breaching party, there may be some cases in which other factors justify a conclusion that the parties did not intend a party to be held responsible for the loss incurred from that party's breach. In other words, the court may refuse to allow recovery of damages, notwithstanding that the loss in question was within the reasonable contemplation of the breaching party, if the court finds that the parties did not intend (objectively ascertained through interpretation of the contract wording and as against its commercial background) that the breaching party was assuming responsibility for the type of loss that the non-breaching party is claiming.

***Transfield Shipping Inc v Mercator Shipping Inc (The Achilles)* (2008) 2 Lloyd's Rep 275**

Facts: This case concerned ship owners claiming damages from charterers for late delivery of the ship back to the owners. The owners sought to recover losses from a follow-on charter contract (with different charterers), which would have been secured with the new charterers at a higher rate than they actually managed to negotiate. The reason for the lower rate with the new charterers was that there was a sharp fall in the market rate for ship hire in the period after the date when the previous charterers were required to return the ship. Therefore, the previous charterers' delay (breach) resulted in the ship owners loss of a more profitable follow-on charter.

Transfield Shipping Inc v Mercator Shipping Inc (The Achilleas) (2008)
2 Lloyd's Rep 275 (continued)

Issue: Whether the ship owners could recover the difference between the higher sum and the accrual (lower) sum.

Held: Although the ship owners could recover some damages, they could not recover the difference between the rate that they could have secured with the new charterers (had the previous charterers not been in breach) and the actual rate that they secured.

The claimed difference between the higher sum and the accrual (lower) sum was refused on the basis that such loss was not reasonably foreseeable (as per the two-limb test) but one judge also considered that the exceptional financial loss from the follow-on charter contract was not a type for which the previous charterers were assuming responsibility when they originally entered into the contract.

It is now clear that assumption of responsibility, as at the time of entering into a contract, is a highly relevant consideration for the court's determination of a claim for damages, even where the losses may be regarded as being within the breaching party's reasonable contemplation.¹⁰⁸ Again, whether the parties intended that there be such an assumption of responsibility (at the time of contract formation) will be considered objectively.

3.11.3.3 Mitigation

After a breach of contract has occurred, the non-breaching party must take reasonable steps to mitigate (i.e. minimise) its loss. There is no legal obligation for the non-breaching party to do this but any loss that could have been avoided by taking such reasonable steps will not be recoverable in damages. However, the non-breaching party is only required to take reasonable steps – there is no requirement, for example, to go to extreme lengths in order to mitigate the loss or take steps that could jeopardise its commercial reputation.¹⁰⁹ Nevertheless, it will be a question of fact, in each individual case, as to whether reasonable steps have been taken and the burden of proof will fall on the breaching party to prove that the non-breaching party failed to mitigate its loss.

Apply and Analyse 16

Apply

X agreed to buy one tonne of apples from Y. However, when Y delivered the apples, X refuses to take delivery of, or pay for, them (i.e. X breaches the contract). Analyse the best course of action Y should take under the circumstances.

Analysis

In this situation, Y should attempt to mitigate its loss by selling the apples to another party, even if this means selling them at a reduced price, rather than allowing them to rot in Y's warehouse and become worthless. Y would not, on these facts, be required to take an

¹⁰⁸ *Richly Bright International Ltd v De Monsa Investments Ltd* (2015) 18 HKCFAR 232.

¹⁰⁹ *Pilkington v Wood* (1953) Ch 770 and *James Finlay & Co Ltd v Kwik Hoo Tong* (1929) 1 KB 400.

Apply and Analyse 16 (continued)

excessive measure such as sending the apples by air freight to the other side of the world in order to find a potential buyer, but Y should take steps to find a local buyer. If Y takes reasonable steps to sell the apples, Y is likely to recover damages from X to reflect the difference between the price at which X was supposed to buy them and the lower price at which Y sold them to someone else (i.e. what should, effectively, be the prevailing market price) (See Section 3.11.1.1). However, if Y takes no steps, or no reasonable steps, and simply allows the apples to rot, X can rely on this fact in court to prevent Y from recovering the full extent of its loss.

Provided that the non-breaching party takes reasonable steps to mitigate its loss, it may be able to recover damages to reflect any further loss caused by such steps. If the court is satisfied that the non-breaching party – placed in a difficult situation by reason of the breach – has acted reasonably in adopting remedial measures to try and minimise loss, the non-breaching will still be able to recover damages for any additional losses it sustains as a result of such action.

Banco de Portugal v Waterlow (1932) AC 452

Facts: The breach of contract resulted in many forged bank notes going into circulation. However, the bank decided to honour the forged bank notes, thereby increasing its losses.

Issue: Whether the bank could recover the extra losses arising from its honouring of forged money.

Held: The bank could recover the extra loss caused by it (knowingly) honouring the forged money. The bank's decision to honour the forged notes was reasonable in order to avoid a currency crisis and/or to maintain public confidence, and such reasonableness should be assessed as at the time when the steps were taken. It is often easy, after an emergency situation has passed, to criticise the steps taken to deal with it but, in many situations, it will not be open for the breaching party to suggest that other, less damaging, action should have been taken.

If the non-breaching party's act of **mitigation** is so successful that it actually wipes out the loss altogether (and, perhaps, even results in a more profitable outcome for the non-breaching party), it will only be able to recover nominal damages for the breach.¹¹⁰ As noted previously, damages are designed to compensate for loss – therefore, if there is no loss, there is nothing to compensate for.

Finally, with regard to anticipatory breach of contract (See Section 3.9.1.2), the non-breaching party should mitigate any loss as soon as it accepts the breach. However, if the non-breaching party elects to affirm the contract, then it has no duty to mitigate until the actual breach occurs (i.e. on the due date for performance).

¹¹⁰ *British Westinghouse Electric and Manufacturing Co Ltd v Underground Electric Railways Co of London Ltd* (1912) AC 673.

3.11.3.4 Non-money Losses

General Rule

As a general rule, damages cannot be recovered under the law of contract for losses that have no monetary value, such as disappointment or distress due to the breach of contract.¹¹¹ The courts generally regard a breach of contract as a mere incident of commercial life that parties are expected to meet with a certain degree of mental fortitude.¹¹²

Exceptions

There are certain, albeit rare, situations where damages may be recovered for non-money (or **non-pecuniary**) losses in order to ensure some sense of justice for the non-breaching party. An example of this might be the damages for 'loss of amenity' that were awarded in *Ruxley Electronics and Construction Ltd v Forsyth* (1996) 1 AC 344 to reflect Mr. Forsyth's disappointment in not obtaining his specified depth of swimming pool, where it was held that the **cost of cure** was unreasonable and the diminution in value was zero. Note that damages for loss of amenity would be extremely unlikely in the context of commercial contracts, where a company's losses are measured in monetary terms only.¹¹³ Two other situations where damages may be awarded to reflect mental distress or disappointment are set out below.

Breach Causing Physical Inconvenience Causing Distress

This exception to the general rule is where distress results directly from physical inconvenience caused by the breach. For example, X hires Y to conduct a property survey on a house before X decides to buy it. Y negligently carries out the survey (in breach of an implied obligation to use reasonable care and skill) and wrongly reports that the property is in a good condition. X buys the property. X later discovers that the property is not in a good condition, thereby necessitating repair works to be carried out inside the property whilst X is living there. This physical inconvenience (such as drilling, hammering noises, the smell of paint, dust creation, etc.) causes mental distress to X. In this situation, X may be able to recover damages for the mental distress caused by the physical inconvenience as a result of the breach of contract.

Farley v Skinner (No. 2) (2002) 2 AC 732

Facts: This case concerned a breach of contract by a negligent property survey of a house close to an airport. The plaintiff engaged the defendant surveyor to investigate whether the house would be affected by aircraft noise. The defendant negligently reported that aircraft noise would not affect the house or disturb its occupants. In reliance on the report, the plaintiff bought the house and spent money on refurbishments. However, the plaintiff soon discovered that aircraft noise was a problem; in fact, the house was close to a navigation beacon where aircraft were stacked before being given permission to land.

Issue: Whether the plaintiff could recover damages in respect of his distress caused by the physical discomfort.

Held: Although there was no difference in value between the price paid for the house and its market value, the plaintiff could recover damages for distress caused by the physical discomfort that resulted from the defendant's breach of contract.

¹¹¹ *Addis v Gramophone Co Ltd* (1909) AC 488.

¹¹² *Johnson v Gore Wood & Co (a firm)* (2002) 2 AC 1.

¹¹³ *Regus (UK) Ltd v Epcot Solutions Ltd* (2007) 2 All ER (Comm) 766.

It is important to note that damages are not recoverable for distress caused only by the fact that the breach has occurred. Rather, damages for distress can only be recovered where the distress is the result of physical inconvenience or consequences caused by the breach of contract.

Purpose of the Contract to Provide Pleasure or Relaxation

Where the very purpose of the contract was to provide pleasure or relaxation, the non-breaching party may recover damages where that purpose is not achieved.¹¹⁴ A prime example of such a contract is the purchase of a holiday.

Jarvis v Swan Tours Ltd (1973) QB 233

Facts: The plaintiff booked a winter holiday with the defendant tour operator. In their brochure, the defendant promised that the holiday would be like a house party, with special entertainment and proper skiing facilities. However, it turned out that the ski facilities were inadequate, the entertainment was nothing special and, by the second week of the holiday, all other guests (apart from the plaintiff) had gone home.

Issue: Whether the plaintiff could recover damages from the defendant in respect of the disappointing winter holiday.

Held: The plaintiff could recover not only the cost of the holiday but also damages for his disappointment and loss of enjoyment, contrary to what he had been promised by the defendant.

Apply and Analyse 17

Apply

Jake decided to set up his own business, manufacturing and selling tailor-made wooden furniture. Jake contracted with Simon, a local builder, to build him a little workshop on a small piece of land that Jake owned in the New Territories, to be completed by 1 February. However, due to a shortage of labour and materials, Simon did not complete the building work until 1 May. Jake now wants to know whether he can claim damages to cover (1) the lost profit from cancelled orders between 1 February and 1 May and (2) the mental distress caused to Jake as a result of delays in being able to start the business. Analyse the legal position of Jake and explain the likelihood of success for each claim.

Analysis

With regard to (1), the issue concerns remoteness of loss: did the loss of profit arise naturally from the breach (i.e. according to the usual course of things)? In other words, can the loss reasonably be supposed to have been within the reasonable contemplation of the parties as a likely result of the breach (See *Hadley v Baxendale* in Section 3.11.3.2)? Did Simon know (or should he have known) that the breach would not unlikely result in the loss that occurred (See *Koufos v C. Czarnikow Ltd* in Section 3.11.3.2)? To this end, it would be important to establish whether Simon knew that Jake intended to use the workshop for business purposes, as opposed to using it for mere personal or hobby purposes.

¹¹⁴ *Watts v Morrow* (1991) 1 WLR 1421.

Apply and Analyse 17 (continued)

If there was any special loss being claimed, from a particularly lucrative or special order, Jake could only recover damages for this if such a special order had been specifically brought to Simon's attention at the time of entering into the contract so that he could have reasonably foreseen such a special loss of profit as a liability resulting from his breach (See *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* in Section 3.11.3.2).

However, even if the particular loss was found to have been within the reasonable contemplation of Simon as being not unlikely to result from a breach, there may be other factors that justify a conclusion that, on an objective interpretation, the parties did not intend Simon to be responsible for the loss that occurred. In other words, the court may come to the conclusion that Simon did not assume responsibility for the loss of profit, meaning that Jake could not recover damages for this (*Transfield Shipping Inc v Mercator Shipping Inc (The Achilles)* (2008) UKHL 48).

With regard to (2), damages for mental distress are normally not available for breach of contract (*Addis v Gramophone Co Ltd*). In any event, it is unlikely that the facts in Jake's case fall into any of the exceptions to the general rule: the distress does not appear to have been caused by any physical inconvenience (such as to offend the senses) resulting from the breach (*Farley v Skinner* (2001) UKHL 49), nor could it properly be said that the very purpose of the contract to build a workshop was to provide pleasure or relaxation (*Jarvis v Swan Tours Ltd*), particularly if it was for a commercial purpose.

3.11.4 Liquidated Damages

As can be seen from the above, there are many uncertainties when it comes to predicting whether – and the extent of – an award of damages will be made by the court. For example, issues of remoteness, mitigation or even contributory negligence may be hotly contested. Therefore, in order to avoid any protracted (if at all) litigation in quantifying damages, the parties may agree to incorporate a **liquidated damages** clause (often referred to as a penalty clause) in their contract. This clause will set out a definite sum of money (or mechanism for determining it) that will be paid by the breaching party to the non-breaching party in the event of a breach. The sum must be based on a genuine pre-estimation of the likely loss that would be likely to occur in the event of a breach of the contract and will be payable regardless of whether the actual loss sustained was higher or lower.¹¹⁵

Provided that this sum is not disproportionately high or unconscionable, the court will likely uphold the liquidated damages clause and not determine any award of damages itself. However, if the sum specified is excessive or unconscionable to the likely loss that could conceivably occur as a result of a breach, then the court will hold the clause to be a penalty,¹¹⁶ and therefore unenforceable, and so go on to determine damages payable in the usual way. For a distinction between liquidated damages and the forfeiture of a deposit, see Section 3.14.

¹¹⁵ *Dunlop Pneumatic Tyre Ltd v New Garage and Motor Co Ltd* (1915) AC 79 and *Philips Hong Kong Ltd v A-G of Hong Kong* (1993) 61 BLR 41.

¹¹⁶ *Cavendish Square Holding BV v Talal El Makdessi and Parking Eye Ltd v Beavis* (2015) UKSC 67.



3.11.5 Equitable Damages

Other than common law damages, it is possible for damages to be awarded in equity under s.17 of the High Court Ordinance (Cap.4). Such **equitable damages** are available in lieu of or in addition to the equitable remedies of a specific performance and injunctions (See Sections 3.15 and 3.16). The same rules governing common law damages will apply¹¹⁷ but the difference is that equitable damages may also be awarded for an anticipated (rather than accrued) cause of action.¹¹⁸

Apply and Analyse 18

Apply

Simon owns a 1962 Volvo P1800 car. He engaged Saint Motor Restorations Ltd ('SMRL'), a company specialising in restoring and preserving classic cars, to repair the engine of the car. In particular, Simon specified in the contract that SMRL must use authentic parts from another Volvo P1800 for repairing the interior of the engine, and that the car must be ready for collection by 31 March. He told SMRL, in general terms, that he used the classic Volvo for film and television work, but gave no further details.

Despite extensive searches, SMRL found it impossible to locate authentic parts from another Volvo P1800 to repair the engine. As such, SMRL commissioned a company in mainland China to produce exact replicas of the parts needed to repair the engine. However, since the parts took time to manufacture, SMRL was not able to deliver the repaired car to Simon until 2 April. Simon was very upset because this delay resulted in him missing an opportunity to show his car on 1 April to a film director who was auditioning classic Volvos for an exceptionally lucrative film role. Further, Simon was very shocked to discover that the car now contains replica engine parts, saying that his favourite classic car has now been adulterated and that this has caused him to lapse into depression.

Analyse the legal position of Simon and explain the measure of damages he might expect to receive for breach of contract.

Analysis

There appear to be two breaches of this contract: (1) the failure to use authentic car parts (replicas were used) and (2) the failure to deliver the car by 31 March (delivery was made on 2 April).

As to breach (1), it would be reasonable to consider the following questions, (a) What is the cost of cure? This seems to be wholly disproportionate – it would require the purchase of another (seemingly rare) 1962 Volvo P1800 car and the removal therefrom of the requisite parts (See *Ruxley Electronics and Construction Ltd v Forsyth* in Section 3.11.3.4), (b) What about difference in market value? Does the car have a lower market value with these replica parts? Probably not – especially since they are unseen (interior of the engine), and (c) What about the consumer surplus, i.e. the loss to Simon

¹¹⁷ *Johnson v Agnew* (1980) AC 367.

¹¹⁸ *Biggin v Minton* (1977) 1 WLR 701.

Apply and Analyse 18 (continued)

that is over and above the market value of such loss or loss of pleasurable amenity (see *Ruxley Electronics and Construction Ltd v Forsyth* in Section 3.11.3.4)? Indeed, such non-pecuniary loss – including Simon’s depression – would need to be considered with reference to an appropriate case law (See *Ruxley Electronics and Construction Ltd v Forsyth* in Section 3.11.3.4¹¹⁹ and *Farley v Skinner* in Section 3.11.3.4).

As to breach (2), the potential limitations on a damages award would include remoteness. It would be necessary to consider loss of chance here¹²⁰, including the loss of opportunity to make a profit from the lucrative film role. However, Simon mentioned only in general terms about the use of the car for television/film work – therefore, he is unlikely to be able to recover this special loss since SMRL did not know the specifics of this particular opportunity (See *Hadley v Baxendale* in Section 3.11.3.2) and, in any event, it seems unlikely that SMRL assumed responsibility (*Transfield Shipping Inc v Mercator Shipping Inc (The Achilles)* (2008) UKHL 48). for the loss of an opportunity to obtain a film contract for late delivery, especially when the car was delivered only two days late.

► Knowledge Check Questions

Question 40

State whether the following statements are true or false:

- (1) Damages are the primary remedy for breach of contract.
- (2) Damages are available as of right for breach of contract.
- (3) Damages are designed to compensate, not punish.
- (4) There are no punitive damages in Hong Kong contract law, even for deliberate breaches.

Question 41

Explain the types of loss protected by way of damages in cases of breach of contract.

Question 42

Explain the rule against double recovery.

Question 43

Describe at what date damages for breach of contract will be assessed.

Question 44

Describe to what extent, if at all, an innocent party’s contributory negligence can affect his/her recovery of damages.

¹¹⁹ *Watts v Morrow* (1991) 1 WLR 1421.

¹²⁰ *Chaplin v Hicks* (1911) 2 KB 786.

► Knowledge Check Questions (*continued*)

Question 45

Explain the remoteness rule in relation to damages for breach of contract. In particular, briefly outline the test in *Hadley v Baxendale*.

Question 46

Explain what is meant by assumption of responsibility in relation to remoteness of loss.

Question 47

Describe to what extent, if at all, non-money losses can be recovered for breach of contract.

Question 48

Explain what is meant by a duty to mitigate loss.

Question 49

Describe what liquidated damages are.

➤ 3.12 ACTION FOR AN AGREED SUM (THE PRICE)

In an action for an agreed sum, the plaintiff is seeking to enforce the defendant's contractual obligation to pay the plaintiff an agreed amount of money after the plaintiff has performed his/her own contractual obligations. In other words, the plaintiff is claiming the price for the goods or services that he/she has already rendered.

3.12.1 A Claim in Debt

A **claim in debt** is the most common type of contractual claim – more common than a claim for of damages (See Section 3.11).

Essentially, an action for an agreed sum is a claim in debt, rather than a claim for damages – albeit, if a plaintiff suffers any loss over and above the agreed sum, he/she can claim both the agreed sum and damages.

3.12.2 Distinguished from Damages

An action for an agreed sum can be distinguished from a claim for damages insofar as (1) there is no need to quantify the loss, (2) the rules on remoteness and mitigation do not apply, and (3) since it is a clearly stipulated debt amount, legal proceedings are much less complicated and, as such, the matter can be disposed of relatively quickly (through a court procedure known as summary judgment. See Order 14 of both the Rules of the High Court (Cap.4A) and Rules of the District Court (Cap.336H).

3.12.3 Difficulties in Recovering the Agreed Sum

Recovering the agreed sum can be difficult or impossible where (1) the defendant argues that the plaintiff's performance was defective and that this, therefore, discharges his/her duty to pay, (2) the defendant is unable to pay, or (3) the defendant prevents the plaintiff from completing performance – indeed, anything less than complete performance by the plaintiff will mean that the plaintiff can only recover damages (for his/her actual loss). Certainly, a debt is only payable when a party has fully and properly performed its contractual obligations; otherwise, it can only recover damages.¹²¹

3.12.4 Claiming the Agreed Sum after Anticipatory Breach

When claiming the agreed sum, the plaintiff does not need to have mitigated his/her loss because (assuming that he/she has fully completed his/her own contractual obligations) the duty to pay the price has already arisen – therefore, mitigation is irrelevant. However, in the context of an anticipatory breach (See Section 3.9.1.2), the issue arises as to whether the plaintiff can affirm the contract, continue with his/her own obligations and then sue the defendant for the price.

Illustrative Example 4

X informed Y that X did not intend to continue with the contract (an anticipatory breach) – i.e. X wanted to end their agreement and had no intention of paying the price – before Y has performed Y's own contractual obligations. Y may want to know whether he can, nevertheless, continue to perform and fulfil his own obligations under the contract so as to enable him to claim for the price agreed under their contract.

White & Carter (Councils) Ltd v McGregor (1962) AC 413

Facts: This case concerned an anticipatory breach of an advertising contract. The plaintiff was an advertising contractor and the defendant was the owner of a car garage business. The plaintiff agreed to advertise the defendant's business, for three years, on the side of public litter bins. However, on the same day as they formed their contract (i.e. before the plaintiff had started to perform its obligations to advertise), the defendant sought to repudiate (or terminate) the contract and requested the plaintiff to cancel the contract. The plaintiff refused to cancel the contract and chose to affirm it, proceeding to advertise the defendant's business. After performing its contractual obligations, the plaintiff later sued the defendant for the agreed price.

Issue: Whether the plaintiff could successfully claim the agreed sum.

Held: The plaintiff was entitled to the agreed price after the anticipatory breach.

¹²¹ *Jervis v Harris* (1996) Ch 195.



Apply and Analyse 19

Apply

On 22 October 2018, Adam contracted to sell 50 cases of wine to Beatrix, delivery to take place on 21 November 2018. At 01:00 on 3 November 2018, whilst Adam was still making arrangements for the shipment of the wine, Adam received an email from Beatrix informing Adam that Beatrix no longer wanted the wine and that she would not take delivery of it. Adam seeks your advice as to whether Adam should (1) sue Beatrix, now, for breach of contract, or (2) just ignore Beatrix's email and continue as per the contract. Analyse the legal position of Adam with regard to these options.

Analysis

Beatrix committed a serious/repudiatory breach, which would entitle Adam to terminate (now) and claim damages. However, Adam would have to mitigate his losses from the moment of choosing to terminate, as well as informing Beatrix that Adam was accepting Beatrix's repudiation.¹²²

Alternatively, Adam could affirm the contract and claim the agreed sum (the price). However, first, if Adam decides to affirm the contract, he should be aware of the risks following that decision. If Adam later (inadvertently) breaches the contract himself (e.g. if he is unable to ship the wine at all or on time), he then be excused simply on the basis that Beatrix breached the contract before his breach;¹²³ also, if the contract is frustrated (See Section 3.10) after Adam has affirmed but before the due date of Beatrix's performance (i.e. acceptance of delivery), thus having the effect of discharging both parties from their respective contractual obligations without damages being payable to either (albeit some loss apportionment being possible under the Law Amendment and Reform (Consolidation) Ordinance (Cap.23)), Adam will have no remedial damages.¹²⁴ (Note, also, from a practical viewpoint, if Beatrix later becomes bankrupt, Adam could end up with nothing, even if there is an actual breach.)

With regard to claiming the agreed sum (the price), Adam will not be able to recover this if Beatrix can show that Adam had no legitimate interest in continuing with the contract as opposed to simply claiming damages (See *White & Carter (Councils) Ltd v McGregor* in Section 3.12.4 and *Ocean Marine Navigation Ltd v Koch Carbon Inc*).¹²⁵ Although Adam could, instead, choose to terminate and claim damages, the advantages of affirming and claiming the agreed sum include: the ability to obtain summary judgment (See Order 14 of both the Rules of the High Court (Cap.4A) and the Rules of the District Court (Cap.336H)) – a much quicker process, there being no requirement to prove or quantify loss (See Section 3.11) and the rules on remoteness and mitigation being irrelevant (See Section 3.11).

On balance, particularly given that it is likely (on the facts available) that Beatrix could show that Adam has no legitimate interest in continuing with the contract, Adam would be better off choosing to terminate the contract and claim damages. Indeed, Beatrix's

¹²² *Kar Ho Development Co Ltd v Axis Investment Ltd* (2001) 1 HKC 86.

¹²³ *Fercometal SARL v Mediterranean Shipping Co. SA (The Simona)* (1989) AC 788.

¹²⁴ *Avery v Bowden* (1855) E & B 714.

¹²⁵ *Ocean Marine Navigation Ltd v Koch Carbon Inc (The Dynamic)* (2003) 2 Lloyd's Rep 693.

Apply and Analyse 19 (continued)

notification came over two weeks before the delivery date and – more importantly – at a time when Adam was still only in the (unfinalised) process of making arrangements for shipment. Accordingly, it is better for Adam to inform Beatrix of Adam's acceptance of Beatrix's repudiation and then mitigate Adam's loss (e.g. sell the wine to someone else) and claim damages (e.g. loss of the profits over and above those that Adam would have made on his contract with Beatrix).

► Knowledge Check Questions

Question 50

Describe what an action for the agreed sum (the price) is and explain how it is different from a claim for damages.

➤ 3.13 LIQUIDATED DAMAGES

Liquidated damages were dealt with in Section 3.11.4. For a distinction between liquidated damages and the forfeiture of a deposit, see Section 3.14.

➤ 3.14 DEPOSITS AND PART PAYMENTS

This section deals with post-breach recovery of deposits and part payments. It is largely based on, and summarised from, a very thorough survey of this area of law by the Court of Final Appeal.¹²⁶

3.14.1 The Issue Concerning Deposits and Part Payments

A contracting party may be required to pay money to the other party in advance of the contract's performance, such as contracts for the sale of land where completion usually takes place some time after execution of the contract. The issue that arises concerns cases where completion does not happen due to the default of the party who made the advance payment. Such non-completion constitutes a breach of contract (See Section 3.9) and allows the innocent party to recover damages (See Section 3.11). However, the question arises as to whether the

¹²⁶ *Polyset Ltd v Panhandat Ltd* (2002) 5 HKCFAR 234.



innocent party is nevertheless entitled to forfeit the advance payment received from the party in breach, particularly where the breach has caused the innocent party no loss or only loss that is less in value than the advance payment.

3.14.2 Recovering Advance Payments Depends on How They Are Characterised

Whether the advance payment is characterised as either a **deposit** or **part payment** depends on the parties' intentions to be ascertained by construing their agreement.¹²⁷ If they are found to have merely been intended as advance part payments on account of what is due under the contract, they are in principle recoverable by the payor, subject to the innocent party's right to set off his/her claim for damages.¹²⁸

3.14.3 Recoverability of Part Payments

The recoverability of part payments has been explained on the basis that these advance payments are impliedly conditional (See Section 2.12) on the contract being completed. A common example is in respect of sales of land and real estate. Essentially, when a contract stipulates for payment of part of the purchase money in advance, the seller is entitled to enforce such payment before the time has arrived for conveying the land. However, the seller's entitlement to retain that money is conditional upon the subsequent completion of the contract.¹²⁹

Another explanation for the general recoverability of advance part payments is that the payor acquires a restitutionary claim upon a total failure of consideration (See Section 2.6) where the contract is terminated before the other party has performed any part of the contractual duties in respect of which payment was made.¹³⁰

3.14.4 Some Part Payments Cannot be Recovered

However, not all part payments are recoverable. In some contracts, the payments may be intended to be unconditional, such as where they are intended to be spent by the payee to help finance his/her performance of the contract – for example, in shipbuilding contracts.¹³¹ In such situations, the payee's right to keep the instalments is unconditional. The part performance that the payee renders also means that there is no total failure of consideration.

3.14.5 The Nature of a Deposit

The legal nature of a deposit is, essentially, a guarantee that the contract will be performed. If the sale successfully goes ahead as contracted for, the deposit forms part of the payment of the purchase price for which it was deposited. However, if the buyer defaults and the contract does not go ahead (i.e. if the buyer repudiates the contract), then the buyer has no

¹²⁷ *Mayson v Clouet* (1924) AC 980.

¹²⁸ *Dies v British and International Mining and Finance Corp Ltd* (1939) 1 KB 724.

¹²⁹ *McDonald v Dennys Lascelles Ltd* (1933) 48 CLR.

¹³⁰ *Stoczni Gdanska SA v Latvian Shipping Co* (1998) 1 WLR 574.

¹³¹ *Stoczni Gdanska SA v Latvian Shipping Co* (1998) 1 WLR 574 and *Hyundai Heavy Industries Co Ltd v Papadopoulos* (1980) 1 WLR 1129.

right to recover the deposit.¹³² In this sense, a deposit is not merely a part payment but, rather, is also an 'earnest' to ensure completion of the contract, creating a motive for the payor to perform the rest of the contract or else see his deposit forfeited.

An example clause may state that the money is paid as a deposit and in part payment of the Purchase Price (emphasis added): such a clause relates to two alternatives, essentially that (1) in the event of the buyer defaulting on the completion, the money is to be forfeited, and (2) in the event of the purchase being completed, the money is to be taken in part payment of the purchase price.

3.14.6 Deposits can be Forfeited

Insofar as deposits are a guarantee of performance, they have been regarded as subject to forfeiture regardless of whether non-performance by the party in breach has caused, or would be likely to cause, the innocent party any, or as much, loss.¹³³

As such, the purpose of a deposit is not to provide compensation for loss resulting from the breach of a contract. This is done by way of a claim for damages. Indeed, having forfeited the deposit for failure to complete, the seller remains entitled at common law to sue for damages, albeit taking into account the forfeited deposit where such damages exceed its amount. This is reflected in standard clauses in contracts for the sale of land, which provide for the seller to forfeit the buyer's deposit and additionally to recover, for example, any negative difference in value arising from the sale of the property to another buyer, with such difference being treated as liquidated damages (See Section 3.11.4), giving credit for the forfeited deposit.¹³⁴

The focus of a deposit's operation is on the period elapsing between its payment and completion of the contract's performance. In entering into the contract, the seller agrees to take his/her property off the market and to commit himself/herself to the buyer in exchange for the buyer's promise that the purchase will be duly completed and the seller duly paid at the completion date. The deposit is paid as an earnest, i.e. something of value given to signify serious intent of the buyer. It is also the consideration for the seller depriving himself/herself of the ability to continue trying to sell the property – with the possibility of obtaining an even better price – while awaiting completion. Unlike the seller, the buyer is able to profit by re-selling the property during this period, in reliance on the contract. If, at the end of the period, completion does take place, the purpose of the deposit is spent and it becomes absorbed as part of the purchase price. If, on the other hand, completion does not occur as promised, the deposit's forfeiture follows, regardless of whether the seller has suffered any loss as a result.

▶ Knowledge Check Questions

Question 51

Describe to what extent, if at all, advance payments are recoverable by the payor notwithstanding his/her breach of contract/failure to complete the contract.

¹³² *Howe v Smith* (1884) 27 Ch D 89.

¹³³ *Hinton v Sparkes* (1868) LR 3 CP 161 and *Howe v Smith* (1884) 27 Ch D 89.

¹³⁴ *Shuttleworth v Clews* (1910) 1 Ch 176.

► Knowledge Check Questions (*continued*)

Question 52

Describe what the nature of a deposit is.

3.15 SPECIFIC PERFORMANCE

Specific performance is an equitable remedy – only available at the discretion of the court – where a contracting party is compelled (by court order) to perform its contractual obligations. Unlike common law damages (See Section 3.11), the party who is a victim of another party's breach of contract (See Section 3.9) is not entitled to the equitable remedy specific performance. (Contrast this with civil law regimes – such as in mainland China – where specific performance is the primary remedy for breach of contract.)

Nevertheless, the court may order specific performance if the victim of the breach of contract can show that monetary damages would be an inadequate remedy in the circumstances. However, in some contractual contexts, specific performance will never be granted.

3.15.1 Reasons for Claiming Specific Performance

The principal reason for the victim of a breach of contract seeking specific performance is where some or all of his/her loss is not recoverable – adequately or at all – through an award of damages. Other reasons may include where the victim's loss is simply too remote to claim damages¹³⁵ or where he/she is trying to avoid the requirement of taking reasonable steps to mitigate his/her loss (See Section 3.11). Nevertheless, the main reason for claiming specific performance is where the victim simply believes that damages would be an inadequate remedy.

3.15.2 Limitations on the Availability of Specific Performance

3.15.2.1 Where the Party Claiming Is Not Ready, Willing and Able to Perform His/Her Own Obligations

The party claiming specific performance must be ready, willing and able to perform his/her own obligations under the contract, both at the date of instituting legal proceedings and at the date of trial when the order for specific performance is sought.¹³⁶

¹³⁵ *The Stena Nautica* (No.2) (1982) 2 Lloyd's Rep 336.

¹³⁶ *Lau Suk Ching Peggy v Ma Hing Lam & Ors* (2010) 3 HKLRD 247.

3.15.2.2 Where Damages Are an Adequate Remedy

An order for specific performance is not usually awarded in the sale of goods contracts where such goods are readily available on the market.¹³⁷ For example, where there is a breach by way of non-delivery of goods, damages will be an adequate remedy if substitute goods can be purchased elsewhere. In this situation, the award of damages would reflect any difference between the contract price and the market price (assuming the latter is higher) (See Section 3.11.1). However, an award of damages would be inadequate where there is no possibility of obtaining a substitute. For example, where the subject matter is a unique good, such as an original work by the painter Rembrandt.

As a general rule, specific performance is more readily available as a remedy for breach of land sale contracts since land is usually regarded as something unique, no two pieces of land being exactly the same. However, this premise may be brought into question where, for example, land (real estate) is purchased purely for commercial purposes, such as two adjacent same-sized flats in the same apartment block that will yield the same rental income. Nevertheless, generally speaking, contracts for land and real estate would be more likely to satisfy the requirement of uniqueness.

3.15.2.3 Where the Court Chooses Not to Exercise Its Discretion

Unlike common law damages, which are available as of right for breach of contract, all equitable remedies – including specific performance – are only available at the court's discretion. However, the court will not exercise its discretion arbitrarily but will adhere (as far as possible) to various principles that have developed over time in the general field of equity (See *Co-operative Insurance Society Ltd v Argyll Stores (Holdings) Ltd* (1998) AC 1).¹³⁸

The Equitable Maxims

In exercising its discretion, the court will have regard to the so-called **maxims of equity** – a set of general principles that govern the way in which equity will operate. For example, he/she who comes to equity must come with clean hands, meaning that the party seeking an order for specific performance must, itself, have not acted in an underhand (albeit not necessarily illegal) way.

***Quadrant Visual Communications Ltd v Hutchison Telephone (UK) Ltd* (1993) 1 BCLC 442**

Facts: A contract for the sale of a mobile phone business provided that the sale price of the business would be calculated partly by reference to the number of new customers/subscribers during the period between contract formation and completion. After the contract was formed, the plaintiff seller gave away free handsets as part of a marketing strategy to increase the number of subscribers (and thereby increase the price payable for the sale of the business), deliberately concealing this strategy from the defendant buyer. A dispute later arose between the buyer and seller of the business.

Issue: Whether an order of specific performance would be granted.

Held: The seller's conduct was such that it did not come with clean hands and, as such, there could be no order for specific performance.

¹³⁷ *Whiteley Ltd v Hilt* (1918) 2 KB 808.

¹³⁸ *Lamare v Dixon* (1873) LR 6 HL 414.

Essentially, the clean hands maxim comes into play in situations where the party seeking specific performance has used some unfair means either in inducing the other party into the contract or, during its performance, albeit that is not quite sufficient to invalidate or vitiate the contract – for example, hurrying a party into signing a sales contract before that party has had an opportunity to discover and appreciate the true value of the subject matter¹³⁹ or even taking advantage of another party's drunkenness.¹⁴⁰

Another example of a maxim of equity is 'delay defeats equity' (sometimes referred to as 'the doctrine of laches'). Although there is a six-year limitation period in which to commence legal proceedings for damages for breach of contract (s.4 of the Limitation Ordinance (Cap.347)), this does not apply to specific performance. However, a party seeking an order for specific performance must act promptly in bringing its claim or it may be precluded from obtaining remedial relief from specific performance.¹⁴¹ What constitutes delay or promptness depends very much on the facts of each case – the court will take into account the extent, impact and reasons for any delay.

Would-Be Hardship to the Other Party

Specific performance may also be refused where it would cause hardship to the party in breach – for example, where the cost of performing the contract to the party in breach is out of all proportion to the benefit to be gained by the innocent party from such performance.¹⁴²

Patel v Ali (1984) Ch 283

Facts: A vendor of a house became disabled after the sale of it. The buyer demanded specific performance for the property to be conveyed.

Issue: Whether an order for specific performance would be granted.

Held: An application for specific performance for the sale of a house was refused. The defendant seller's circumstances had disastrously changed, including her husband becoming bankrupt and herself having to have her leg amputated at the hip bone as a result of suffering from bone cancer. As such, the plaintiff buyer could not force the defendant to sell the home.

Lack of Mutuality of the Remedy

The court may refuse to order specific performance on the grounds that it would not be available against the party seeking it at the suit of the other party. In other words, this is where the party in breach would not be able to specifically enforce the innocent party's obligations owed to it if that innocent party was in breach of contract. For example, an innocent party whose obligations include the rendering of a personal service would not be able to obtain specific performance against the other (breaching) party because that other party could not specifically enforce the innocent party's obligation to perform the personal service owed to it (see below).¹⁴³

¹³⁹ *Walters v Morgan* (1861) 3 DF & J 718.

¹⁴⁰ *Malins v Freeman* (1837) 2 Keen 25.

¹⁴¹ *Mills v Haywood* (1877) 6 Ch D 196.

¹⁴² *Tito v Waddell (No. 2)* (1977) Ch 106.

¹⁴³ *Ogden v Fissick* (1862) D F & J 426.

Vagueness of the Contract

An order for specific performance may be refused where the contract is too vague (See Section 2.8) to be enforced specifically, essentially making it impossible to draw up the terms of the order with sufficient precision – for example, where the contract was to build a railway station without any indication as to the dimensions, style or materials to be used.¹⁴⁴

Mutual Co-operation Required

Specific performance may not be granted by the court where performance of the contract requires mutual co-operation between the parties whose relationship has now broken down.¹⁴⁵

3.15.3 Contracts that are Simply not Specifically Enforceable

3.15.3.1 Contracts for a Personal Service

Contracts to perform a personal service cannot be specifically enforced since this would interfere with a person's liberty¹⁴⁶ (or possibly even be tantamount to slavery¹⁴⁷). However, there are some exceptions. For example, since modern-day employer–employee relationships are arguably less personal than the old master–servant relationship, the court may be willing to specifically enforce some contracts involving a personal service.¹⁴⁸

3.15.3.2 Contracts Requiring Constant Supervision

The court will usually not order specific performance where performance of the contractual duties would require constant supervision by the court to ensure compliance with the order. For example, a tenant would be unable to specifically enforce a term in a lease agreement that requires the landlord to provide a resident porter to be in constant attendance at the leased property – an order to specifically enforce such constant attendance would require constant supervision by the court to ensure that the obligation was being constantly performed.¹⁴⁹ However, a lease agreement requiring a landlord to simply employ a resident porter could be specifically enforced.¹⁵⁰

Nevertheless, contracts involving complex obligations would require constant supervision since it would be difficult to set out precisely what the party against whom the order is made must do in order to comply with the order to avoid being in contempt of court. Accordingly, specific performance will not be ordered in such situations.

¹⁴⁴ *Wilson v Northampton and Banbury Railway Co* (1873-74) LR 9 Ch App 279.

¹⁴⁵ *Vertex Data Science Ltd v Powergen Retail Ltd* (2006) 2 Lloyd's Rep 591.

¹⁴⁶ *Johnson v Shrewsbury and Birmingham Rly Co* (1853) 3 DM & G 358.

¹⁴⁷ *De Francesco v Barnum* (1890) 45 Ch D 430.

¹⁴⁸ *C.H. Giles & Co Ltd v Morris* (1972) 1 WLR 307.

¹⁴⁹ *Ryan v Mutual Tontine Westminster Chambers Association* (1893) 1 Ch 116.

¹⁵⁰ *Posner v Scott-Lewis* (1987) Ch 25.



***Co-operative Insurance Society Ltd v Argyll Stores (Holdings) Ltd* (1998) AC 1**

Facts: The defendant rented a commercial unit in the plaintiff's shopping mall for the purposes of carrying on business as a supermarket. Under the lease agreement, the defendant agreed to keep its shop open for trade during usual business hours. After some years, due to poor sales performance, the defendant gave notice to the plaintiff of its intention to cease trading at the unit. However, the plaintiff was concerned that such closure of the supermarket would adversely affect the remaining businesses in the shopping mall and, as such, sought an order for specific performance to force the defendant to carry on business as a supermarket as per the lease agreement.

Issue: Whether an order of specific performance would be granted.

Held: Specific performance was refused. Compliance with such an order would require constant supervision and so it could give rise to an indefinite series of court rulings in order to ensure that such an order was being duly executed.

3.15.4 Practical Considerations

The granting or refusal of the remedy of specific performance remains a matter for the court's discretion – indeed, as noted above, there are no binding rules but only a set of general principles, largely founded upon practical considerations. Indeed, the practical considerations of each particular case are highly determinative of whether specific performance is a suitable remedy.

***Beswick v Beswick* (1968) AC 58**

Facts: The facts of this case are set out in Section 2.10.1.2. It will be recalled that Mrs. Beswick brought an action against her late husband's nephew who had promised his uncle (in exchange for the uncle's coal delivery business) that he would pay weekly instalments of a specified sum to his uncle's widow (Mrs. Beswick) for the remainder of her life. Mrs. Beswick sought to specifically enforce the nephew's promise to pay her a weekly sum.

Issue: Whether an order of specific performance would be granted.

Held: An order for specific performance was granted by the court.

► Knowledge Check Questions

Question 53

State what specific performance is.

Question 54

Briefly outline the limitations and preclusions on the availability of specific performance.

3.16 INJUNCTIONS

3.16.1 Nature of the Remedy

An **injunction** is a court order compelling a party to do or not to do a particular act. Along with a specific performance, it is an equitable remedy available at the discretion of the court and only where the common law remedy of damages would be inadequate (See Section 3.15). Injunctions may be final or perpetual (granted after a court hearing and when judgment has been given) or interim/interlocutory (granted before or during a trial, before the court has had a proper opportunity to hear the case and resolve the issues).

3.16.2 Type of Injunction

There are essentially two types of injunction: (1) prohibitory injunction and (2) mandatory injunction.

3.16.2.1 Prohibitory Injunctions

A **prohibitory injunction** orders a person not to do a wrongful act so as to prevent the breach of a negative stipulation in a contract – for example, an order not to plant trees so as to prevent the breach of a covenant not to restrict a neighbour's view.

Indirect Specific Performance

A prohibitory injunction is, effectively, designed to enforce a negative contractual promise and, in this regard, it can have the same effect as the remedy of specific performance, albeit the latter being designed to enforce a positive contractual promise (See Section 3.15). As such, a prohibitory injunction may constitute **indirect specific performance**. Therefore, a prohibitory injunction will not be granted where it would have the same effect as an order for specific performance in circumstances where an order for specific performance has been, or would be, refused (See Section 3.15.2). In other words, if specific performance of the corresponding *positive* promise would be refused, then so too should a prohibitory injunction that enforces the corresponding negative promise.

For example, since contracts involving a personal service will usually not be specifically enforced (See Section 3.15), then neither will a prohibitory injunction, which would amount to the same thing.

Lumley v Wagner (1852) 21 LJ Ch 898

Facts: The defendant agreed to sing for the plaintiff's theatre – twice a week for three months – and not to sing at any other theatre without the plaintiff's written consent. However, the defendant later agreed to sing for a third party rival theatre without such consent from the plaintiff. The plaintiff sought an injunction to restrain the defendant from singing at rival theatres for three months.

Issue: Whether an order of specific performance would be granted.

Held: An injunction was granted. The court rejected the defendant's argument that such an injunction amounted to indirect specific performance of the defendant's obligation to sing for the plaintiff only. Although it could not compel the defendant to sing for the plaintiff, granting an injunction to compel the defendant to abstain from committing an act that she has agreed not to do is not the same thing.

See also *Warner Bros Pictures Inc v Nelson* (1937) 1 KB 209 (injunction granted against a film actress, restraining her from working in any acting role for any other film company for three years¹⁵¹).

Although there are cases where an injunction has been refused on the grounds that it would amount to an indirect specific performance,¹⁵² it seems that the key to whether a court will grant an injunction in relation to a personal service will be whether there is a realistic alternative paid employment in which they can engage without being effectively compelled to work for a particular party.

***Beacon College Ltd v Yiu Man Hau Alfred & Ors* (2001) 4 HKC 433**

Facts: This case concerned an employment contract at a private tutorial school operated by the plaintiff. The defendant teachers resigned from this school so that they could join a rival private tutorial school. The plaintiff then sought an injunction based on a covenant in the defendants' employment contract not to join a rival school for a specified period of time, i.e. to enforce the negative obligation as per their contract. The defendants argued that such an injunction (which would apply throughout the whole of Hong Kong) would have the practical effect of compelling them to work for the plaintiff (i.e. indirect specific performance of a personal service) as they could only earn income as private tutors by working for the plaintiff.

Issue: Whether the injunction would be granted against the teachers.

Held: Injunction granted against the teachers. Whilst an employee cannot be compelled to perform a positive covenant by way of an injunction¹⁵³ (i.e. through an indirect specific performance), a negative covenant against an employee working for any other employee may be enforced by way of an injunction. See *Warner Bros Pictures Inc v Nelson* (1937) 1 KB 209. Essentially, such an injunction could be granted where the employee has some other reasonable means of earning a living (i.e. other than working for the employer who is seeking the injunction). Also, the longer the term for which the injunction is sought, the less likely it was to be granted.¹⁵⁴

Having weighed up the facts and law relevant to this case, an injunction could be granted against the defendant teachers because the defendants could choose to teach at Government (or Government-aided) schools and that, although such schools have a different teaching and learning environment *vis-à-vis* private tutorial schools, teaching at such schools would still be a realistic alternative for the defendants since they could utilise their expertise and practise their skill and earn a reasonable income. Although the defendants may be reluctant to adapt to the learning environment of conventional days schools, and find the salary less attractive, such that continuing to work for the plaintiff was a more attractive option, this is not the same as compelling the teachers to resume working for the plaintiff.

¹⁵¹ Albeit note, in *Warren v Mendy* (1989) 1 WLR 853, that the court thought that an injunction lasting for two years or more might practically be to compel performance of the contract.

¹⁵² *Mortimer v Beckett* (1920) 1 Ch 571 (boxer and sole manager/agent) and *Page One Records Ltd v Britton* (1968) 1 WLR 157 (music group and sole manager/agent).

¹⁵³ *Whitwood Chemical Co v Hardman* (1891) 2 Ch 416.

¹⁵⁴ *Warren v Mendy* (1989) 1 WLR 853.

As illustrated by *Beacon College Ltd v Yiu Man Hau Alfred & Ors*, the existence of a realistic alternative to performance of the agreement is enough to counter an argument that an injunction would amount to indirect specific performance of a contract involving a personal service. Indeed, even a professionally or financially less attractive alternative to performance of the contract can, nevertheless, constitute such a realistic alternative.

3.16.2.2 Mandatory Injunctions

A **mandatory injunction** orders a person to either (1) cease continuing a wrongful omission – such as an order to stop allowing trees to grow that restricts a neighbour’s view or (2) actually undo something that has already been done in breach of a negative stipulation in a contract – such as an order to cut down trees that have already been planted in breach of a covenant not to restrict a neighbour’s view.

Mandatory injunctions are more difficult to obtain than prohibitory injunctions and may be refused on the grounds of (1) triviality of the damage caused by the defendant to the plaintiff seeking the injunction and (2) where there is a disproportion between the detriment that the injunction would cause the defendant relative to the benefit that such an injunction would confer on the plaintiff.¹⁵⁵

Further to this, a mandatory injunction may also be refused where it would run contrary to the public interest.

Wrotham Park Estate Co Ltd v Parkside Homes Ltd (1974) 1 WLR 798

Facts: A housing estate was built in breach of a restrictive covenant. The plaintiff sought a mandatory injunction ordering the demolition of the housing estate.

Issue: Whether the injunction would be granted to demolish the houses.

Held: An injunction to demolish the houses was refused. It would be unpardonable and an unnecessary waste of much needed housing.

In *Wrotham Park Estate Co Ltd v Parkside Homes Ltd*, the court awarded damages in lieu of the injunction. These damages were assessed according to what might reasonably have been demanded by the plaintiff as compensation for breach of the covenant – in this case, being 5% of the housing developer’s anticipated profit (See Section 3.11.5).

3.16.3 Limitations on the Availability of Injunctions

The usual limitations that apply to all equitable remedies apply also to injunctions, including the equitable maxims of ‘he who comes to equity must come with clean hands’ and ‘delay defeats equity’ (See Section 3.15 for other limiting factors taken into account by the court with regard to equitable remedies). Again, the decision whether to grant an injunction is at the court’s discretion.

¹⁵⁵ *Shepherd Homes Ltd v Sandham* (1971) Ch 340.



► Knowledge Check Questions

Question 55

Identify the difference between a prohibitory injunction and a mandatory injunction.

Question 56

Explain what is meant by indirect specific performance and how it affects a court's decision as to whether to grant a prohibitory injunction.



CONSUMER LAW LEGISLATION

The general principles of contract law, discussed so far in Chapters 2 and 3, apply to all contracts. However, there are certain statutory provisions which are of particular relevance in the business-to-consumer context. They concern contracts entered into by consumers for the purchase of goods and the supply of services. Indeed, due to the usual inequality of bargaining power between an ordinary individual person and a commercial business, consumers enjoy more legal protection than businesses dealing with other businesses, including statutory protection against unfair trade practices.

3.17 STATUTORY REGIME FOR THE SALE OF GOODS: THE CONTRACT OF SALE UNDER THE SALE OF GOODS ORDINANCE (Cap.26)

Much of the common law surrounding the purchase of goods has been codified in statute, most particularly under the Sale of Goods Ordinance (Cap.26) ('SOGO'). As such, other than the general principles of contract law (discussed in Chapters 2 and 3), consumers and businesses should be aware of the relevant provisions in the SOGO (Exhibit 3.1). In particular, consumers should be aware of the key statutory provisions for the purchase of goods, which are summarized as below.

Section	Sale of Goods Ordinance (Cap.26)
3(1)	Definition of a contract of sale of goods
5	Mode or form of contract
2(1)	Definition of goods
7(1)	Existing goods and future goods
10(1) and (2)	Price of goods
–	Implied terms
12(1)	<i>Stipulations as to time</i>
13(1) and (2)	<i>When a condition is to be treated as a warranty</i>
14(1)	<i>Implied undertaking as to legal title, etc.</i>
15(1) and (2)	<i>Sale by description</i>
16(2) and (3)	<i>Implied undertakings as to quality or fitness</i>
17(2)	<i>Sale by sample</i>
2A(1), (2) and (3)	Dealing as a consumer
18, 19(1) and (2), 20, 21	Passing property in (or legal title to) goods
22	Passing of risk
23(1) and (2), 24(1), 25, 27(1) and (2)	Sale by a party with no legal title to the goods
29, 30	Performance of the contract
31(1) and (2)	Place and time of delivery of the goods
32(1), (2), (3) and (4)	Delivery of the wrong quantity of goods
33(1), 34(1)	Other issues with delivery
37(1), (2), (3), (4) and (5), 38, 39	Acceptance of the goods

► **EXHIBIT 3.1 Business-to-consumer transactions: Key statutory provisions in the SOGO and the CECO**

Section	Sale of Goods Ordinance (Cap.26)
–	Rights of the unpaid seller
42	• <i>Withholding delivery</i>
43(1), 45(1)	• <i>Lien</i>
46	• <i>Stoppage in transit</i>
50(2), (3) and (4)	• <i>Resale</i>
51, 52, 53, 54, 55	Actions for breach of the contract of sale

Section	Control of Exemption Clauses Ordinance (Cap.71)
3	The reasonableness test
11(2) and (3)	Seller's liability for breach of obligations under ss. 14, 15, 16 and 17 of the SOGO

► **EXHIBIT 3.1 Business-to-consumer transactions: Key statutory provisions in the SOGO and the CECO (continued)**

Unless otherwise stated, all references to statutory provisions in Section 3.17 are made to the SOGO.

3.17.1 The Contract of Sale of Goods

According to s.3(1), a contract of sale of goods is defined as:

'... a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer for a money consideration, called the price.'

3.17.1.1 Mode or Form of Contract

No particular mode or form of contract is required: it may be in writing, oral, partly oral and partly in writing, or even implied by the conduct of the parties (s.5). However, where one party is a company, its Articles of Association may require a particular mode or form of contract to be used, such as the requirement of being in writing with a signature or company seal.

3.17.1.2 Goods

Goods are defined as including all personal **chattels** (i.e. tangible goods). Specific examples include cultivated crops and things attached to or forming part of the land which are agreed to be severed before the sale or under the contract of sale (s.2(1)). It does not include land, itself, or any chattel that has become a fixture of the land. However, a tenant's fixtures may be removed upon the expiration of the tenancy and so retain their nature as chattels upon removal. It also does not include money.

Apply and Analyse 20

Apply

X contracted with Y (an artist) to paint X's portrait. Analyse whether this contract is governed by the Sales of Goods Ordinance (Cap.26).

Apply and Analyse 20 (continued)**Analysis**

No. The portrait painting contract is a contract for a service (Supply of Service (Implied Terms) Ordinance (Cap.457)). Although the physical portrait (paint and canvas) is to be delivered to X by Y, such physical materials are merely incidental to the contract for the service involving Y's skill and labour.¹⁵⁶

3.17.1.3 Existing Goods and Future Goods

The classes of goods covered by the SOGO essentially include existing goods (those currently owned or possessed by the seller) and future goods (those not yet owned or manufactured by the seller) (s.7(1)). The classification is particularly important in considering (1) the passing of risk (which, unless otherwise agreed, essentially passes from the seller to the buyer when the legal title to – or property therein – is transferred to the buyer, even if physical delivery has not yet occurred (s.22), (2) issues of insolvency (See Section 12.3.3), and (3) the possible exceptions to the *nemo dat quod non habet* principle (s.23(1)) (See Sections 2.9 and 3.2).

3.17.1.4 Retention of Title

A contract of sale may be conditional (s.3(2)). For example, a clause in the contract may state that the seller retains legal title to the goods until he/she has received payment of the price, notwithstanding the fact that the goods have already been physically transferred to the buyer and are within the buyer's possession. Such **retention of title** clauses are commonly referred to as Romalpa clauses and are often inserted into contracts by sellers in an attempt to enable the sellers to assert legal ownership of, and repossess, the goods in the event of non-payment by the buyer – and especially where the buyer is bankrupt or insolvent and the seller is an unsecured creditor (See Section 13.4.2.9).

***Aluminium Industrie Vaassen BV (AIV) v Romalpa Aluminium Ltd* (1976) 1 WLR 676**

Facts: This case concerned a retention of title clause in a contract of sale of aluminium foil from the supplier, AIV, to Romalpa. The contract of sale stated that ownership of the foil would only be transferred when the purchase price had been paid in full, even when delivery had been made to the buyer. When Romalpa became insolvent, AIV contended that its contract was effective to retain the title to the goods and did not need to share the proceeds with other creditors in the liquidation.

¹⁵⁶ *Robinson v Graves* (1935) 1 KB 579.

Aluminium Industrie Vaassen BV (AIV) v Romalpa Aluminium Ltd (1976) 1 WLR 676 (continued)

Issue: Whether AIV could retain the title to the goods by relying on the retention of title clause.

Held: It was held that the retention of title clause was effective and AIV was still the owner of the aluminium foil. Hence, it was still owed from the proceeds of the sale of Romalpa's finished goods ahead of the unsecured and secured creditors.

3.17.1.5 Price

The price is the consideration (See Section 2.6) for the promise of transfer of ownership of the goods. If the price is not expressly agreed, left to be fixed in a manner agreed or determined by the parties' course of dealing, the buyer must pay a reasonable price according to the circumstances (a question of fact) (ss.10(1) and (2)). A reasonable price may be, for example, the prevailing market rate for such goods in Hong Kong.

3.17.1.6 Implied Terms

By virtue of the SOGO, certain terms are implied into a contract, irrespective of whether they are expressly provided for by the parties (ss.12 to 17).

Stipulations as to Time

Unless the parties intended otherwise (either expressly or impliedly), any stipulation as to time of payment will not be deemed as 'of the essence' (s.12(1)). As such, unless expressed or implied otherwise, late payment by the buyer will not entitle the seller to treat such a breach as repudiatory and terminate the contract (See Section 3.9).¹⁵⁷

When a Condition Is to Be Treated as a Warranty

Where a seller is subject to a condition under a contract of sale, the buyer may waive the condition or treat any breach thereof as a breach of warranty and thus waive his/her right to treat the contract as terminated (ss.3.9 and 13(1)). Whether a term of the contract is a condition (a breach of which entitles the non-breaching party to terminate the contract and recover damages) or a warranty (a breach of which entitles the non-breaching party to recover damages only) is a matter of interpretation of the contract (s.13(2)).

Unless there exists a term expressly or impliedly providing otherwise, if the buyer accepts the goods or part thereof, any breach of a condition to be fulfilled by the seller will only be treated as a breach of warranty and not as grounds for rejecting the goods and treating the contract as terminated (s.13(3)).

¹⁵⁷ *Kensland Realty Ltd v Whale View Investment Ltd* (2001) 4 HKCFAR 381.



Implied Undertaking as to Legal Title, Etc

It is an implied condition that the seller has the right to sell the goods or will have such right at the time when legal title to the goods is supposed to pass to the buyer (s.14(1)(a)). This is in line with the *nemo dat quod non habet* principle insofar as no one can pass any, or better, legal title to goods if that person has no such title. Further, it is an implied warranty that the goods are free and will remain free until the time when the legal title to them is to pass to the buyer, from any charge or encumbrance not disclosed or known to the buyer before the contract is made (s.14(1)(b)).

Furthermore, it is an implied warranty that the buyer will enjoy quiet possession of the goods, except insofar as any other person is entitled to the benefit of any charge or encumbrance over the goods that was disclosed to or known by the buyer before the contract was made (s.14(1)(b)).

Importantly, the seller's liability for breach of his/her implied undertaking as to legal title to the goods, etc., cannot be exempted by reference to any contract term in any circumstance, regardless of whether the buyer is a consumer or not (s.11(1) of the Control of Exemption Clauses Ordinance (Cap.71) ('CECO')).

Sale by Description

It is an implied condition that goods sold by description will correspond with that description (s.15(1)). A contract of sale by description remains so notwithstanding that the buyer himself/herself selected the goods (s.15(2)).

Where the buyer is a consumer, the seller cannot exempt his/her liability for breach of this implied condition by reference to any contract term (s.11(2) of the CECO); if the buyer is not a consumer, the seller may exempt such liability insofar as it satisfies the requirement of reasonableness (s.11(3) of the CECO).

Implied Undertakings as to Quality or Fitness

Where the seller sells goods in the course of a business, there is an implied condition that the goods sold will be of a merchantable (i.e. satisfactory) quality ('the term merchantable quality' is defined in s.2(5)) unless (1) any defects have been specifically drawn to the buyer's attention before the contract was made, (2) the buyer has examined or inspected the goods, before the contract was made and such examination or inspection would have revealed any defects, or (3) in the case of a contract of sale by sample, any defects would have been apparent upon a reasonable examination or inspection of the sample (s.16(2)).

Further, where the seller sells goods in the course of a business and the buyer makes known to the seller (expressly or implied) any particular purpose for which the goods are being bought, there is an implied condition that the goods will be reasonably fit for that purpose unless, under the circumstances, the buyer did not rely, or it was not reasonable for him/her to rely, on the seller's skill or judgement (s.16(3)).

Where the buyer is a consumer, the seller cannot exempt his liability for breach of either of these implied conditions by reference to any contract term (s.11(2) of the CECO); if the buyer is not a consumer, the seller may exempt such liability insofar as it satisfies the requirement of reasonableness (s.11(3) of the CECO).

Sale by Sample

Where there is an express or implied term in the contract that the sale is to be by sample, there is an implied condition that (1) the bulk of the goods will correspond with the sample in quality, (2) the buyer will have a reasonable opportunity to compare the bulk of the goods with the sample, and (3) the goods will be free from any defects, which render them unmerchantable or unsatisfactory, that would not have been apparent upon reasonable examination or inspection of the sample (s.17(2)).

Where the buyer is a consumer, the seller cannot exempt his liability for breach of any of these implied conditions by reference to any contract term (s.11(2) of the CECO); if the buyer is not a consumer, the seller may exempt such liability insofar as it satisfies the requirement of reasonableness (s.11(3) of the CECO).

3.17.2 Dealing as a Consumer

The extent to which, if at all, a seller will be able to exempt his liability for breach of any implied obligations owed to the buyer will depend on whether the buyer is a consumer or a business. Businesses – i.e. commercial entities – are presumed to have greater bargaining power and more resources to obtain legal advice, as well as being able to more readily absorb any financial losses. Individual consumers, on the other hand, are presumed to require more protection and so have greater rights against the sellers.

According to the SOGO, a party to a contract of sale deals as a consumer in relation to the other party if (1) he/she neither makes the contract in a business capacity nor holds himself/herself out as doing so, (2) the other party does make the contract in a business capacity, and (3) the goods sold are of a type ordinarily supplied for personal use or consumption (s.2A(1)).

A buyer of goods sold at auction – or by competitive tender – is not to be regarded as dealing as a consumer in any circumstances (s.2A(2)). Further, in all circumstances, the burden of proof is on the party claiming that the other party does not deal as a consumer to prove such (s.2A(3)).

Apply and Analyse 21

Apply

Betty is a 97 year old retired nurse. She buys a printing press from Acme Printers Ltd ('APL'). Betty claims that the printing press is not of merchantable quality (as required under s.16(2) of the Sale of Goods Ordinance (Cap.26) ('SOGO')) but APL pointed to an exemption clause

Apply and Analyse 21 (continued)

in its contract with Betty that exempts its liability for breach of any implied term as to the printing press being of merchantable quality. Assuming that the printing press is found to be not of merchantable quality, analyse whether APL can exempt its liability.

Analysis

If APL can demonstrate that the exemption clause is reasonable under the Control of Exemption Clauses Ordinance (Cap.71) ('CECO') (s.3 of the CECO), APL would be able to avoid liability if Betty is not held to be a consumer (s.11(3) of the CECO). However, if Betty is categorised as a consumer, APL would not be able to avoid such liability at all (s.11(2) of the CECO). The question then becomes: is Betty a consumer for the purposes of the SOGO? Since the subject of the sale – a printing press – is not ordinarily supplied for private use or consumption (s.2A(1)(c)),¹⁵⁸ it is very unlikely that Betty will be regarded as a consumer in this transaction. Accordingly, if the exemption clause is held to be reasonable, APL can successfully exempt its liability.

3.17.3 Passing Property in (or Legal Title to) the Goods

The time at which **property in (or legal title to) the goods** passes from the seller to the buyer will depend on whether the goods in question are **specific goods** or unascertained goods. 'Property in' means the title to the absolute legal interest in the goods (See G. Battersby and A.D. Preston, 'The Concepts of 'Property', 'Title' and 'Owner' used in the Sale of Goods Act 1893' (1972) 35 MLR 268). Specific goods are defined as goods identified and agreed upon at the time a contract of sale is made (s.2(1)); goods that are not so identified and agreed constitute unascertained goods.

Illustrative Example 5

X enters a wine shop and selects a case of wine, pointing out a particular case, informing the sales assistant that he wishes to purchase that exact case. In this situation, the goods are specific. However, if X then places an order for five bottles of a particular Prosecco (having seen a display bottle of such in the shop), those five bottles (located in the shop's warehouse, amongst hundreds of such bottles of the same Prosecco) are unascertained goods.

Property in unascertained goods cannot pass until the goods are ascertained (s.18). Goods will become ascertained when they are identified, marked or segregated in some way – this will be a question of fact, depending on the particular circumstances.

¹⁵⁸ *Artech Printing Ltd v Yee Fat Printing Equipment Ltd* CACV92/2000.

3.17.3.1 Intention of the Parties

When the goods are specified (or ascertained), the property therein (or legal title thereto) is transferred from the seller to the buyer at such time as the parties intend (s.19(1)), having regard to the terms of the contract, the parties' conduct, and the overall circumstances (s.19(2)).

If the parties' intention is neither expressed nor implied, the time at which the property in (or legal title to) the goods passes to the buyer will be determined according to specified statutory rules (s.20). These rules are summarised in Exhibit 3.2.

Rule	Provide for
Rule 1	Property in specific goods will pass to the buyer at the time when the contract is made (unless there are any conditions that must be fulfilled before the property can so pass), regardless of the time of payment or delivery.
Rule 2	Property in specific goods that require the seller to do something to those goods (in order to put them into a deliverable state) will pass to the buyer only after the seller has done the requisite thing and the buyer is notified of such.
Rule 3	Property in specific goods that require the seller to weigh, measure, test or do some other act with regard to the goods (in order to ascertain the price) will pass to the buyer only after the seller has done the requisite act and the buyer is notified of such.
Rule 4	Property in specific goods that are delivered to the buyer on approval or on sale-or-return will pass to the buyer when the buyer signifies to the seller his approval or acceptance of the goods or does any other act adopting the transaction. If the buyer does not so signify his approval or acceptance of the goods but nevertheless retains the goods without notifying the seller that he is rejecting them, property will pass to the buyer upon the expiration of the fixed time for the return of the goods or, if no such time has been fixed, upon the expiration of a reasonable time (the latter being a question of fact, based on the particular circumstances).
Rule 5	Property in unascertained goods by description will pass to the buyer when the goods have been identified and agreed (either expressly or implied) by both the buyer and seller as being the actual goods for sale. This may also occur where, in accordance with the contract, the seller delivers such goods to the buyer (or carrier or other person on behalf of the buyer for delivery to the buyer) without having reserved the right of disposal. The right of disposal means that certain conditions must be fulfilled before the property in goods passes from the seller to the buyer, such as payment of the price (See s.21 of the SOGO).

► **EXHIBIT 3.2 Statutory rules for intention of the parties under the SOGO**

3.17.3.2 Passing of Risk

Determining the exact time when property in (or legal title to) the goods passes is necessary for determining which party bears the risk associated with ownership of those goods, i.e. the risk of loss or damage. Unless otherwise agreed between the parties, the goods remain at the seller's risk until property therein is transferred to the buyer, regardless of whether such goods have been delivered to the buyer (s.22). However, where delivery to the buyer is delayed due to



the fault of either the buyer or seller, the party at fault will assume the risk of those goods for any loss or damage that might not have occurred but for that party's fault (s.22).

3.17.3.3 Sale by a Party with No Legal Title to the Goods

The general principle of *nemo dat quod non habet* has been discussed elsewhere (See Section 2.9.1). This principle is, essentially, that no one can pass better legal title than he/she has. This old common law principle is also enshrined in the SOGO which, essentially, provides that goods sold by a person who is not the owner thereof (i.e. who does not have legal title thereto) – and who does not sell them under the authority or with the consent of the owner – cannot pass better legal title to the goods than he/she has (s.23(1)). This means that the buyer of such goods acquires no legal title to them (even if he/she bought them in good faith, without knowledge of the seller's lack of title to them) and so he does not become the owner.

Statutory Exceptions to Nemo Dat Quod Non Habet

There are established exceptions to the *nemo dat quod non habet* principle, both at common law and under the SOGO. The statutory exceptions are summarised in Exhibit 3.3.

Reference	Exception to <i>nemo dat quod non habet</i> principle	Description
S.23(1) of the SOGO	Estoppel	Where the owner of the goods has conducted himself in a way that would make it unconscionable for him to deny the innocent buyer's legal title to the goods, such as where the owner's conduct gave the impression that the person selling the goods without authority actually did have authority to sell (e.g. by referring to the seller as his agent) – in this situation, the (original) owner will be estopped from denying the seller's authority to sell the goods.
S.23(2)(a) of the SOGO (see also Chapter 5 'Aspects of Agency Law')	Mercantile agent	Where the seller of the goods is the mercantile agent of the true owner and the latter consents to the agent's possession of those goods (or documents of legal title thereto), any sale by that agent in the ordinary course of the agent's business will be valid as if the true owner had expressly authorised the agent to sell the goods.
S.23(2)(b) of the SOGO	Power of sale	Where the seller has a special common law power of sale, a statutory power of sale or sells the goods under the order of a court.
S.24(1) of the SOGO	Market overt	Where the goods are openly sold in a shop or market in Hong Kong (in the ordinary course of business of that shop or market), the buyer will acquire good legal title to the goods, provided that he bought them in good faith and without any knowledge of the seller's defect in legal title to them.

► EXHIBIT 3.3 Statutory exceptions to the *nemo dat quod non habet* principle

Reference	Exception to <i>nemo dat quod non habet</i> principle	Description
S.25 of the SOGO	Sale under voidable title	Where the seller of goods has voidable (albeit not yet avoided) legal title to those goods, such as where they have been sold under a fraudulent misrepresentation (See Sections 2.9.2.1 and 3.2), the buyer will acquire good legal title to the goods provided that he bought them in good faith and without any knowledge of the seller's defect in legal title to them.
S.27(1) of the SOGO	Seller in possession after sale	Where the seller sells goods but retains possession thereof (or documents of legal title thereto) and sells the goods again to another buyer, that later buyer will receive good legal title to the goods, provided that he bought them in good faith and without knowledge of the previous sale.
S.27(2) of the SOGO	Buyer in possession after sale	Where the buyer of goods has been given possession of those goods (or documents of legal title thereto) by the seller but has not yet paid the purchase price, that buyer is able to pass good legal title to another buyer, provided that the later buyer bought the goods in good faith and without any knowledge of the previous buyer's failure to fulfil his purchase obligation of paying the price to the original seller.

► **EXHIBIT 3.3** Statutory exceptions to the *nemo dat quod non habet* principle (Continued)

R v Tai Shing Jewellery Co (1983) 2 HKC 441

Facts: A jewellery company had bought silver coins from a seller at its premises. The seller was subsequently convicted of robbery and it was found that he had obtained the coins in the course of the robbery. The jewellery company wished to establish legal title to the coins based on the market overt rule.

Issue: Whether the jewellery company could establish legal title by relying on the market overt rule.

Held: It was held that s.24 of the SOGO does not cover shops buying from people on their premises. The market overt rule only covers members of the public who buy from shops in the normal way.

3.17.4 Performance of the Contract

It is the duty of the seller to deliver the goods – and the duty of the buyer to accept and pay for them – in accordance with the terms of the contract of sale (s.29). Unless otherwise agreed, the respective duties of delivery and payment should occur at the same time (s.30).



3.17.4.1 Delivery of the Goods

Place and Time of Delivery

The place of delivery will be that agreed – expressly or impliedly – by the buyer and seller or, in the absence of such agreement, delivery will be at the seller's business address or, if he/she has no such business address, his residential address. However, if the goods sold are specific goods that are – to the knowledge of both the buyer and seller – located at some other place at the time of making the contract of sale, then such a place will be the place of delivery (unless otherwise expressly agreed or implied by the parties) (s.31(1)).

The timing of delivery of the goods will be that as contractually fixed by the buyer and seller or, if no such time is fixed, the seller must deliver the goods within a reasonable time (s.31(2)).

Delivery of the Wrong Quantity

Subject to any trade custom, course of dealing (See Section 2.12) or special agreement between the buyer and seller (s.32(4)), the following rules apply to delivery of the wrong quantity of goods:

1. Where the quantity is less than contracted for, the buyer may reject them all, but if he/she accepts them he/she must pay for them at the contract rate (s.32(1)).
2. Where the quantity is more than contracted for, the buyer may accept the amount contracted for and reject the rest or simply reject all of them, but if he/she accepts all of them, he/she must pay for them at the contract rate (s.32(2)).
3. Where the goods contracted for are mixed with other goods, the buyer may accept the goods so contracted for and reject the rest or simply reject all of them (s.32(3)).

Other Issues with Delivery

A buyer can refuse to accept delivery of goods by instalment unless such was agreed by the buyer and seller (s.33(1)). Where the seller is contractually obligated to send the goods to the buyer, his/her delivery of such goods to a carrier (for the purpose of forwarding to the buyer) will, on the face of it, be deemed as the seller's delivery to the buyer (s.34(1)).

3.17.4.2 Acceptance of the Goods

A buyer is deemed to have accepted the goods when he/she makes this known to the seller or, when the goods have been delivered to him/her, he/she does any act in relation to the goods that is inconsistent with them still being owned by the seller (s.37(1)).

Master Weaving Ltd v Hanbo Enterprises Ltd HCA 676/2012

Facts: In this case, the plaintiff (a fabrics manufacturer) sued the defendant (a garment manufacturer) for unpaid goods (fabrics).

Issue: Whether the goods had been accepted by the defendant in the context of performance of the contract.

Held: The goods had been accepted by the defendant buyer. First, the defendant's issuance of a cargo receipt – certifying that the goods were received in good order and condition from the plaintiff, thereby causing payment to be released to the plaintiff under a letter of credit – was viewed by the court as the defendant intimating the plaintiff seller that it was accepting those goods, as per s.37(1)(a). Second, the defendant's continued use of the goods, despite having discovered their defects, was viewed by the court as an act in relation to the goods, which was inconsistent with the ownership of the plaintiff seller, as per s.37(1)(b).

Nevertheless, this is subject to an important proviso: where the goods delivered have not been previously examined by the buyer, the buyer is not deemed to have accepted them until he/she has had a reasonable opportunity of such examination in order to ascertain whether they conform with the goods as contracted for and, where the contract for sale was by sample, in order to compare the bulk with the sample (s.37(2)). Where the buyer deals as a consumer, this proviso overrides any agreement, waiver, etc., to the contrary (s.37(3)).

The buyer is also deemed to have accepted the goods when after the lapse of a reasonable time (including the time for examining the goods when not previously examined) he/she retains the goods without making known to the seller that he/she has rejected them (ss.37(4) and (5)).

Unless otherwise agreed, where the goods are delivered to the buyer and the buyer refuses to accept them (and has the right to do so), he/she has no obligation to return the goods to the seller – it is for the seller to collect them (s.38).

Where, though, the seller is ready to deliver the goods and request the buyer to take such delivery but the buyer does not, within a reasonable time, take such delivery, then the buyer will be liable to the seller for any resulting loss caused, as well as any reasonable charge for the care and custody of the goods (s.39).

3.17.5 Rights of the Unpaid Seller Against the Goods

An unpaid seller (e.g. where the buyer's cheque has bounced) may seek a personal remedy against the buyer for the price of the goods or damages (See Sections 3.11 and 3.12) or a remedy against the goods. The remedies against the goods are summarised in Exhibit 3.4.

Reference	Remedies against goods	Description
s.42 of the SOGO	Withholding delivery	Where property in (or legal title to) the goods has not passed to the buyer, the unpaid seller may withhold delivery of the goods.
s.43(1) of the SOGO (See Chapter 13 Receivership, Liquidation and Winding-up)	Lien	Even if property in (or legal title to) the goods has passed to the buyer, the unpaid seller of goods who is in possession of those goods is entitled to retain such possession (i.e. the seller has a 'lien' on the goods) until the buyer pays the price, provided that: the goods were not sold on credit or, where the goods were sold on credit, the term of such credit has expired or where the buyer has become insolvent.
s.45(1) of the SOGO		However, the unpaid seller will lose his right of retention of (or lien over) the goods where: he delivers those goods to a carrier or bailee (i.e. a third party) for the purpose of transmission to the buyer without reserving the right of disposal of the goods or where the buyer (or the buyer's agent) lawfully obtains possession of the goods or where the unpaid seller waives his right of retention of (or lien over) the goods.
s.46 of the SOGO (See also Chapter 13 Receivership, Liquidation and Winding-up)	Stoppage in transit	Even if property in (or legal title to) the goods has passed to the buyer, the unpaid seller has the right of stopping the goods in transit (i.e. where those goods are still in the process of transmission to the buyer via a carrier) if the unpaid seller discovers that the buyer has become insolvent – in this situation, the unpaid seller may retain those goods until he has been paid for them.
s.50(2) of the SOGO	Re-sale	Even if property in (or legal title to) the goods has passed to the buyer, where the unpaid seller has exercised his right of lien or stoppage in transit and then re-sells the goods, the new buyer acquires good legal title to those goods as against the original buyer.
s.50(3) of the SOGO		Also, where the goods are perishable – or where the unpaid seller notifies the buyer of his intention to re-sell the goods and the buyer does not, within a reasonable time, pay the price – the unpaid seller may re-sell the goods and recover damages (See Section 3.11) from the original buyer for any loss occasioned by his breach of contract.
s.50(4) of the SOGO		Further, where the unpaid seller has expressly reserved a right of re-sale in case the buyer defaults on paying the price, and the buyer does so default, the unpaid seller may re-sell the goods and still claim damages (See Section 3.11) against the original buyer.

► **EXHIBIT 3.4 Remedies against goods**

3.17.6 Actions for Breach of the Contract of Sale

The SOGO further provides for remedies of the seller, including: an action for the price (where the buyer fails or refuses to pay for the goods) (s.51) and damages for non-acceptance (where the buyer fails or refuses to accept and pay for the goods) (s.52). Further to this, the SOGO

also provides for remedies of the buyer, including damages or specific performance for non-delivery (where the seller fails or refuses to deliver the goods) (ss.53 and 54) and damages for breach of warranty by the seller (s.55). These remedies are considered elsewhere in this work (See Sections 3.11, 3.12 and 3.15).

► Knowledge Check Questions

Question 57

Describe to what extent, if at all, a seller can exempt his liability for breach of his obligations under ss.14 to 17 of the Sales of Goods Ordinance (Cap.26).

Question 58

Explain what happens if the price of the goods is neither fixed by the parties nor is there an agreed mechanism in the contract for determining what the price should be.

Question 59

If a seller is concerned about the solvency of a buyer and his/her ability to pay for the goods sold (but nevertheless wishes to enter into a contract of sale with the buyer), describe what the seller might do in order to protect his/her interests.

Question 60

Describe when property in (or legal title to) goods passes from the seller to the buyer.

Question 61

State when the risk of loss or damage to the goods passes from the seller to the buyer.

Question 62

Explain the '*nemo dat quod non habet*' rule and the 'market overt' rule.

Question 63

Generally, describe when a buyer is deemed to have accepted the goods. Describe to what extent the seller must afford a reasonable opportunity for the buyer to examine the goods.

Question 64

Other than an action for the agreed sum (the price) or damages, briefly state the remedies available to an unpaid seller.



3.18 STATUTORY REGIME FOR THE SUPPLY OF SERVICES: CONTRACTS FOR THE SUPPLY OF SERVICES UNDER THE SUPPLY OF SERVICES (IMPLIED TERMS) ORDINANCE (Cap.457)

The Supply of Services (Implied Terms) Ordinance (Cap.457) ('SSITO') controls exemption clauses which affect the supply of services (Exhibit 3.5) (s.8 of the SSITO). (Note that the SSITO concerns **contracts for the supply of a service**, not the **contracts of service** – the former refers to one-off pieces of work, whereas the latter refers to continuous relationships, such as employment (ss.3(1) and (2) of the SSITO). The SSITO provides for implied terms in law (See Section 2.12) which include the supplier carrying out the service with reasonable care and skill (s.5 of the SSITO); the supplier carrying out the service within a reasonable time where none has been specified (s.6(1) of the SSITO) and the party contracting with the supplier paying a reasonable price for the service where none has been specified (s.7(1) of the SSITO).

Importantly, however, where one of the parties deals as a consumer (s.4 of the SSITO), the other party cannot – by reference to any express term – exempt any liability arising under the contract by virtue of the SSITO (s.8(1) of the SSITO). For non-consumer contracts, though, it is possible to exempt such liability if the exemption clause satisfies the reasonableness test in the CECO (s.8(2) of the SSITO).

Section	Supply of Services (Implied Terms) Ordinance (Cap.457)
3(1) and (2)	Definition of a contract for the supply of services
–	Implied terms
5	• <i>Care and skill</i>
6(1)	• <i>Time for performance</i>
7(1)	• <i>Consideration</i>
8(1) and (2)	Exclusion or restriction of implied terms

► **EXHIBIT 3.5 Business-to-consumer transactions: Key statutory provisions for the supply of services under the SSITO**

Apply and Analyse 22

Apply

Helen regularly hires Dust-Busters Ltd ('DBL') to clean her apartment every other Wednesday morning. Each time the cleaning work is carried out, Helen receives an invoice in the post, on the following day. At the bottom of the invoice, in clear bold lettering, is printed the following:

Exemption of liability:

- (1) Dust-Busters Ltd shall not be liable for any loss or damage caused to any of the customer's property within the premises to be cleaned as a result of any act or omission by any employee, whether through negligence or otherwise.
- (2) Notwithstanding the above, if any liability for damage to any property within the premises to be cleaned shall arise, whether through negligence or otherwise, such liability shall be limited to a total of HK\$500.

Last Wednesday, whilst cleaning Helen's apartment, one of DBL's cleaners negligently knocked Helen's HK\$10,000 vase from a shelf, causing it to fall to the floor and smash into pieces. Further, the impact of the fall caused a huge dent in the wooden floor of the apartment. Since Helen was concerned as to how her landlady would react to the dent in the floor, she immediately had the dent repaired by a professional, the following day, at the market-rate cost of HK\$1,500. Analyse whether Helen can recover the cost of the vase and the repaired floor from Dust-Busters Ltd.

Analysis

Under the Supply of Services (Implied Terms) Ordinance (Cap.457) ('SSITO'), where there is a contract for the supply of a service (where the supplier acts in the course of a business), there is an implied term that the supplier will carry out that service with reasonable care and skill (s.5 of the SSITO). Where the supplier's customer is a consumer, the supplier cannot, by reference to any term, exempt any liability for breach of any obligations arising under the SSITO (s.8(1) of the SSITO) – including the obligation to carry out the service with reasonable care and skill. In this scenario, clause (1) attempts to exclude liability for negligence and clause (2) attempts to limit liability for negligence – however, neither is possible under the SSITO since Helen is clearly a consumer (ss.4(1) and 8(1) of the SSITO). Accordingly, Helen can recover damages for the broken vase and the damaged floor.

Thomsen & Anor v Johnson Burglar Alarms Co Ltd (2001) 3 HKLRD 571

Facts: In this case, the defendant was acting in the course of a business as a supplier of a security alarm service, which included the installation and maintenance of burglar alarm systems. The plaintiffs purchased one of the burglar alarm systems and later engaged the defendant to carry out repair works. However, this repair work was not properly executed, ultimately resulting in the plaintiffs being burgled.

Issue: Whether the defendant was in breach of its duty to exercise reasonable skill, care and diligence.

Held: The defendant was in breach of its duty to exercise reasonable skill, care and diligence implied under the contract to repair at common law (See Chapter 4 The Law of Tort and Negligence) or by s.5 of the Supply of Services (Implied Terms) Ordinance (Cap.457) (i.e. under statute). According to the court, the same duty arises from each of these sources.

► **Knowledge Check Questions**

Question 65

Identify the difference between a contract for the supply of a service and a contract of service. State whether the Supply of Services (Implied Terms) Ordinance (Cap.457) ('SSITO') covers both types of contract.

Question 66

Briefly state the terms implied into a contract under the SSITO.

Question 67

Describe to what extent, if at all, a supplier can exempt his/her liability arising under the SSITO.

3.19 STATUTORY REGIME TO PROTECT CONSUMERS FROM UNFAIR TRADE PRACTICES: CONSUMER PROTECTION UNDER THE TRADE DESCRIPTIONS ORDINANCE (Cap.362)

In relation to consumers, the Trade Descriptions Ordinance (Cap.362) ('TDO') prohibits various unfair trade practices being used against them (Exhibit 3.6). The principal enforcement agency of the TDO is the Customs and Excise Department and examples of successful prosecutions are detailed in this section. Traders who commit offences contrary to the prohibitions on unfair trade practices against consumers will face a penalty of up to HK\$500,000 by way of a fine and imprisonment of up to five years (s.18(1) of the TDO). Further, convicted traders may also be ordered to pay reasonable compensation to any person who has suffered financial loss as a result of the trader's offence (s.18A(1) of the TDO). However, it is important to note that certain

persons and products fall outside the scope of the TDO and are, instead, regulated by other ordinances (Sch. 3 and 4 of the TDO).

Section	Trade Descriptions Ordinance (Cap.362)
2(1), 13D	Definition of average consumer
2(1)	Definitions generally
–	Offences
7(1) and (3)	• <i>False trade descriptions of goods</i>
7A(1) and (2)	• <i>False trade descriptions of services</i>
13E(1), (2), (4) and (5)	• <i>Misleading omissions</i>
13F(1), (2), (3) and (4)	• <i>Aggressive commercial practices</i>
13G(1), (2) and (3)	• <i>Bait advertising</i>
13H	• <i>Bait and switch</i>
13I	• <i>Wrongly accepting payment</i>
13D	Determining effect on average consumer
18(1)	Penalties for committing offences
Schedule 3	Persons exempt from the statutory regulation
Schedule 4	Products exempt from the statutory regulation

► **EXHIBIT 3.6 Business-to-consumer transactions: Key statutory provisions for protection from unfair trade practices under the TDO**

Unless otherwise stated, all references to statutory provisions in Section 3.19 are made to the TDO.

3.19.1 Offences

The relevant TDO offences against consumers are: (1) false trade descriptions, (2) misleading omissions, (3) aggressive commercial practices, (4) bait advertising and (5) bait and switch.

3.19.1.1 False Trade Descriptions

S.7 makes it an offence for a trader to apply a false description to any goods, or supply or offer to supply any goods to which a false description has been applied (s.7(1)(a)).

A trader will also commit an offence if he/she has possession of any goods for sale (or for any purpose of trade or manufacture) to which a false description has been applied (See s.7(1)(b) of the TDO). A trader may also commit an offence if he/she is in possession of any instrument for the purpose of making or applying a false trade description (s.7(3)).

S.7A of the TDO makes it an offence for a trader to apply a false trade description to a service supplied or offered to be supplied to a consumer, or supply or offer to supply to a consumer a service to which a false trade description has been applied (s.7A(1)).

However, in this context, service does not include those services that are regulated under other legislation, including the Insurance Ordinance (Cap.41), the Banking Ordinance (Cap.155), the Mandatory Provident Fund Schemes Ordinance (Cap.485) and the Securities and Futures Ordinance (Cap.571) (s.7A(2) and Sch.4).



Illustrative Example 6

In the opening case, Clean Gym sold its Premium membership to Johnny on the basis that Johnny would have unlimited access to all of Clean Gym's facilities. However, since the Premium membership's unlimited access is limited to weekdays only, it would seem that Clean Gym has applied a false trade description (s.7A of the Trade Descriptions Ordinance ('TDO')). Note that these facts may also fall within s.13E of the TDO (see below).

KCS14225/2017

Facts: A Chinese medicinal herbs shop sold an amount of *Cordyceps sinensis* to a customer. When the HK Government laboratory tested the herbs, it was revealed that it did not contain *Cordyceps sinensis*.

Issue: Whether the proprietor of the shop was found guilty for applying false trade description to the goods.

Held: The proprietor of the shop was found guilty for supplying Chinese medicinal herbs with a false trade description.

KTCC717/2017

Facts: A badminton coach made claims that he was a former member of the Hong Kong badminton team and had participated in the Asian Games in different forms of promotional media. An investigation found that he had only participated in a youth development training programme at one point and had never been a part of the Hong Kong badminton team for the Asian Games.

Issue: Whether the badminton coach was found guilty for applying false trade description to the service.

Held: The badminton coach was found guilty for applying a false trade description to a service he was offering.

3.19.1.2 Misleading Omissions

S.13E makes it an offence for a trader to engage in a commercial practice, in relation to a consumer, that is a misleading omission. The commercial practice will be misleading if (1) it omits or hides material information, (2) it provides material information in a manner that is unclear, unintelligible, ambiguous or untimely, (3) it fails to identify its commercial intent (unless this is apparent from the context) – and, as a result, causes, or is likely to cause, the average consumer (that is, one who is reasonably well informed, reasonably observant and circumspect (s.2) to make a transactional decision that he would not otherwise make (ss.13E(1) and (2)).

Material information includes, for example, the main characteristics of the product; the identity of the trader; the address of the trader's usual place of business; the price or manner in which the price is calculated and, essentially, any information that the average consumer needs in order to make an informed transaction decision in that particular sales context (ss.13E(4) and (5)).

Illustrative Example 7

In the opening case, Clean Gym sold its Premium membership to Johnny on the basis that Johnny would have priority sign-up for the Yoga Club as soon as a place became vacant. However, since the priority sign-up is only available for Premium and Diamond members after 24 months of continued membership, it would seem that Clean Gym has engaged in a commercial practice that is a misleading omission.

ESCC3747/2014

Facts: A customer at a herbal and dried goods store made a purchase of fish maw that was stored in a glass bottle. A tag with the number '580' in large font was printed on the tag but with the words 'per tael' printed in a smaller font size. The salesman misled the customer into thinking that the price was HK\$580 per catty (which is 16 times the weight of a tael). After the fish maw was cut and packaged, the customer was presented with a bill for HK\$10,000 when the salesman revealed that the fish maw was priced at HK\$580 per tael.

Issue: Whether the salesman was found guilty of the practice of misleading omission.

Held: The salesman was found guilty of the practice of misleading omission.

KCS22095/2017

Facts: A Japanese restaurant had a practice of adding a 10% surcharge for their dinner service. This surcharge, however, was not indicated on the menu and nor were the customers informed of it in any other way before the bills were presented at the end of the meal.

Issue: Whether the restaurant was found guilty of the practice of misleading omission.

Held: The restaurant was found guilty of the practice of misleading omission.

3.19.1.3 Aggressive Commercial Practices

S.13F makes it an offence for a trader to engage in any commercial practice, in relation to a consumer, that is aggressive. The commercial practice will be aggressive if (1) it significantly impairs, or is likely significantly to impair, the average consumer's freedom of choice or conduct in relation to the product concerned through the use of harassment, coercion or undue influence, and (2) as a result, it causes, or is likely to cause, the consumer to make a transactional decision that he would not otherwise make (ss.13F(1) and (2)).

In determining whether the trader has used harassment, coercion or undue influence, account will be taken of such factors as its timing, location, nature or persistence; the use of threatening or abusive language or behaviour; the exploitation of any specific misfortune or



circumstance of the consumer that is likely to impair his/her judgement or influence his/her decision; any onerous or disproportionate non-contractual barriers imposed by the trader where the consumer wishes to exercise its contractual rights, including its right to terminate or switch to another product and any threat to take action that cannot legally be taken (s.13F(3)).

Coercion includes the use of physical force. Undue influence means exploiting a position of power, in relation to the consumer, so as to apply pressure, even without using or threatening to use physical force, in a way that significantly impairs his ability to make an informed decision (s.13F(4)).

Illustrative Example 8

In the opening case, Johnny was taken into a side room where he was subjected to one hour of persistent attempts at persuading him to purchase the Premium membership, including the use of intimidating tactics from Clean Gym's muscular staff members, such as punching the wall and raising voices. Based on this kind of pressure and threatening behaviour, it would seem that Clean Gym was engaged in an aggressive commercial practice.

KCCC3903/2014

Facts: After examining a customer's chest, three staff members of a beauty salon told her that they had found lumps that could become breast cancer, which could be prevented by purchasing a HK\$140,000 body treatment package. Although the customer was reluctant to make the purchase, the beauty salon staff continued with their aggressive tactics for over one and a half hours and caused the customer extreme anxiety and stress. In order to get out of the salon, the customer was forced to make the purchase unwillingly.

Issue: Whether the staff members of the beauty salon were engaged in aggressive commercial practices.

Held: All three staff members of the beauty salon were found guilty of using aggressive commercial practices.

KTCC1294/2017

Facts: A fitness centre consultant made use of a customer's credit card to purchase a two-year fitness membership without her permission, by claiming it was for a free trial plan. When the customer asked for a cancellation on the transaction, the sales manager of the fitness centre responded aggressively to her and tried to prevent her from leaving the establishment.

Issue: Whether the fitness consultant and sales manager were applying false trade description to the service supplied and aggressive commercial practices.

Held: Both the fitness consultant and the sales manager were found guilty: the fitness consultant for providing a false trade description to a service supplied and the sales manager for using aggressive commercial practice.

3.19.1.4 Bait Advertising

S.13G makes it an offence for a trader to engage in any commercial practice, in relation to a consumer, that constitutes bait advertising. Essentially, bait advertising is advertising by a trader of products for supply at a specified price where there are no reasonable grounds for believing that the trader will be able to offer for supply those products at that price – or – the trader fails to offer those products for supply at that price – for a period that is, and in quantities that are, reasonable. In assessing the reasonable period and quantities in this context, regard will be had to the nature of the market in which the trader carries on business and the nature of the advertisement (ss.13G(1) and (2)).

However, the advertisement will not constitute bait advertising if it clearly states the period for which, or quantities in which, the products are offered for supply at that price and the trader offers those products for supply at that price for that period or in those quantities (s.13G(3)).

3.19.1.5 Bait and Switch

S.13H makes it an offence for a trader to engage in any commercial practice, in relation to a consumer, that constitutes bait and switch. Essentially, bait and switch is where a trader makes an invitation to purchase a product at a specified price and, afterwards, with the intention of promoting a different product, either refuses to show or demonstrate the product to consumers – or – refuses to take orders for the product or to deliver it within a reasonable time – or – shows or demonstrates a defective sample of the product.

Illustrative Example 9

In the opening case, Clean Gym offered 50% off Yoga Club membership. However, when Johnny sought to purchase this membership, he was told that the Yoga Club was full and Clean Gym's staff immediately tried to sell Johnny a different membership (the Premium membership). Based on this fact, it would seem that Clean Gym may have engaged in a commercial practice that constitutes bait advertising or bait and switch.

3.19.1.6 Wrongly Accepting Payment

S.13I makes it an offence for a trader to engage in any commercial practice, in relation to a consumer, that constitutes wrongly accepting payment for a product. Essentially, the offence is committed where the trader accepts payment and, at the time of that acceptance the trader intends not to supply the product – or – the trader intends to supply a materially different product – or – there are no reasonable grounds for believing that the trader will be able to supply the product either within the time period specified by the trader (at or before the time when payment was accepted) or, if no time period was specified, within a reasonable period.



Illustrative Example 10

In the opening case, Clean Gym has seemingly closed down and gone into liquidation. If this is true, Clean Gym would have known about the impending closure and liquidation quite some time before Johnny signed up either as a Premium member (two weeks ago) or Diamond member (one week ago). Therefore, Clean Gym would have no reasonable grounds for believing that they could provide the membership facilities at the time when Johnny signed-up and paid the 12 months' membership fee in advance. Accordingly, it would seem that Clean Gym has engaged in a commercial practice that constitutes wrongly accepting payment.

KTCC5094/2016

Facts: The proprietor of a storage company did not inform any of the customers that the company had been wound up and would no longer be operating. The proprietor also continued to collect payments from customers even after the company had closed. When customers went to the offices of the now-dissolved company, they were not able to retrieve the belonging that had been stored with the company and were also not able to get any refunds.

Issue: Whether the proprietor of the storage company was found guilty of wrongly accepting payment.

Held: The proprietor was found guilty of wrongly accepting payment in the course of business.

3.19.2 Some Relevant Definitions

The following are some relevant definitions set out in the TDO. Such definitions are also indicative of the scope of the TDO.

Average consumer: a consumer who is reasonably well informed, reasonably observant and circumspect (s.13D).

Commercial practice: any act, omission, course of conduct, representation or commercial communication (including advertising and marketing) by a trader that is directly connected with the promotion of a product to consumers or the sale or supply of a product to or from consumers, whether occurring before, during or after a commercial transaction (if any) in relation to a product (s.2).

Consumer: an individual who, in relation to a commercial practice, is acting, or purporting to act, primarily for purposes that are unrelated to the person's trade or business (s.2).

Excluded products: goods and services that are excluded from the ambit of the TDO. These goods and services are, essentially, those that are sold or supplied under the regulation of

other ordinances, by a person regulated, licensed, registered, recognised or authorised under other ordinances, including the:

1. Insurance Ordinance (Cap.41);
2. Banking Ordinance (Cap.155);
3. Mandatory Provident Fund Schemes Ordinance (Cap.485); and
4. Securities and Futures Ordinance (Cap.571) (Sch.4).

Exempt persons: those persons who fall outside the definition of trader and are, therefore, excluded from the ambit of the TDO. These are, essentially, those persons whose commercial practices are regulated by professional bodies established under specific ordinances relevant to their respective professions. Such exempt persons include, for example:

1. Certified Public Accountants;
2. Medical Doctors and Chinese Medicine Practitioners;
3. Pharmacists;
4. Veterinary Surgeons;
5. Dentists and Dental Hygienists;
6. Barristers, Solicitors and Public Notaries;
7. Nurses and Midwives;
8. Radiographers, Physiotherapists and Optometrists;
9. Architects, Surveyors and Engineers; and
10. Estate Agents (Sch.3).

Product: any goods or service, but does *not* include any goods or service that constitute excluded products (s.2 and Sch. 4).

Trade description (in relation to goods): an indication, direct or indirect, and by whatever means given, with respect to the goods or any part of the goods including an indication of any of the following matters:

1. Quantity (which includes length, width, height, area, volume, capacity, weight and number), size or gauge;
2. Method of manufacture, production, processing or reconditioning;
3. Composition;
4. Fitness for purpose, strength, performance, behaviour or accuracy;
5. Availability;
6. Compliance with a standard specified or recognised by any person;



7. Price, how price is calculated or the existence of any price advantage or discount;
8. Liability to pay duty on them under the laws of Hong Kong, generally or in specified circumstances;
9. Testing by any person and results thereof;
10. Approval by any person or conformity with a type approved by any person;
11. A person by whom they have been acquired or who has agreed to acquire them;
12. Their being of the same kind as goods supplied to a person;
13. Place or date of manufacture, production, processing or reconditioning;
14. Person by whom manufactured, produced, processed or reconditioned;
15. Other history, including previous ownership or use;
16. Availability in a particular place of (a) a service for the inspection, repair or maintenance of the goods or (b) spare parts for the goods;
17. Warranty given in respect of the service or spare parts referred to in (16) above;
18. The person by whom the service or spare parts referred to in (16) above are provided;
19. The scope of the service referred to in (16)(a) above;
20. The period for which the service or spare parts referred to in (16) above are available; and
21. The charge or cost at which the service or spare parts referred to in (16) above are available (s.2 of TDO).

Trade description (in relation to a service): an indication, direct or indirect, and by whatever means given, with respect to the service or any part of the service including an indication of any of the following matters:

1. Nature, scope, quantity (including the number of occasions on which, and the length of time for which, the service is supplied or to be supplied), standard, quality, value or grade;
2. Fitness for purpose, strength, performance, effectiveness, benefits or risks;
3. Method and procedure by which, manner in which, and location at which the service is supplied or is to be supplied;
4. Availability;
5. Testing by any person and the results of the testing;
6. Approval by any person or conformity with a type approved by any person;
7. A person by whom it has been acquired or who has agreed to acquire it;
8. The person by whom the service is supplied or to be supplied;

9. After-sales service assistance concerning the service; and

10. Price, how price is calculated or the existence of any price advantage or discount (s.2)

Trader: any person (other than an 'exempt person') who, in relation to a commercial practice, is acting, or purporting to act, for purposes relating to the person's trade or business (s.2 and Sch. 4 of the TDO).

► Knowledge Check Questions

Question 68

The following situations are adapted from illustrative scenarios imagined by the Consumer Council (See Consumer Council website: https://www.consumer.org.hk/ws_en/unfair_trade_practices/page_id118). Read each scenario and identify which, if any, TDO offence appears to have been committed.

- (1) **Facts:** Consumer X noticed a poster outside Electrical Appliance Store Y promoting Juice Blender Z, priced at HK\$588. Store Y's sales assistant stood at the doorway and asked X if she needed any help. X informed her that she would like to see Blender Z with a view to purchasing it. Store Y's sales assistant said 'Sure – please come inside'. Once inside Store, Y, the sales assistant said 'Actually, Blender Z is outdated – why don't you take a look at this new multifunctional Juice Blender A? It's only HK\$888'. When X asked for a demonstration of Blender Z, the sales assistant said that Blender Z's functions were 'very average' and continued to promote Blender A as being better, offering to demonstrate Blender A instead. X replied that she still wanted Blender Z and asked, again, for a demonstration of Blender Z. The sales assistant responded by saying 'Blender Z is not very good – Blender A is much better and has many more functions. You will be much more impressed with its performance'.
- (2) **Facts:** Consumer X saw an advertisement for Computer Model Y by Computer Company Z, stating that the price included 'free worldwide maintenance'. Based on this, X bought Model Y. Later, whilst X was on a business trip in Germany, his Model Y broke down and so X took it to a local maintenance agent – designated by Z – and requested for a free repair. However, Company Z's designated maintenance agent refused to repair X's Model Y for free, explaining that Model Y does not enjoy free maintenance.
- (3) **Facts:** Consumer X saw a newspaper advertisement stating that Clothing Shop Y was having a huge sale and that the price of its down jackets was being reduced to HK\$399. Based on this, X went to Shop Y to buy one of the down jackets. Whilst inside Shop Y, X saw a sign above some down jackets stating 'Clearance Price: HK\$399'. X took one of the jackets and proceeded to the cashier. However, the cashier asked for HK\$799. When X pointed to the 'Clearance Price' sign above the jackets on the rack, the cashier told X that the discounted price only applies if a customer spends over HK\$700 on regular-priced items.

► **Knowledge Check Questions (continued)**

- (4) **Facts:** Consumer X saw an online promotion on a Group-Purchasing Website Y for laser hair removal. The original price of the treatment was HK\$3,999 and the current discounted price was HK\$999. Based on this discount, X decided to buy the treatment. One week later, X arrived at the treatment centre, presented the Website Y coupon and proceeded to the treatment room where she undressed and lay on the treatment bed. When the beauty therapist entered the room, she informed X that X must purchase the specialised gel for the treatment since the Website Y coupon does not include this. The beauty therapist told X that she could buy it now at a discounted price of HK\$700, instead of the original price of HK\$1,000. X replied that she was not informed on Website Y that the gel had to be purchased separately. However, the beauty therapist simply stated that the laser treatment cannot be conducted without the specialised gel.
- (5) **Facts:** Consumer X and his family have just moved into a new apartment. X visited Interior Design Company Y and asked for a quotation for renovation of the apartment. Company Y's manager quoted a price of HK\$360,000 to be paid in three instalments. X agreed with the price and paid the first instalment of HK\$120,000 at that moment. Company Y's manager assured X that the renovation work would begin next week and would definitely be completed within two months. Two weeks later, the renovation work had still not begun and therefore X telephoned Company Y to make enquiries. However, the call went unanswered. After calling back multiple times that day, X decided to visit Company Y in person. However, Company Y's business sign had been removed and, looking through the shop door window, X could see that the shop was empty. X then noticed a banner inside the shop window which read 'For Lease'.
- (6) **Facts:** Consumer X saw a magazine advertisement of Tutorial Centre Y, stating that its Physics class is taught by Tutor Z (a well-known 'super-tutor'). Therefore X went to enrol at Centre Y. X was required to pay the whole year's fee in advance of the first class. To her disappointment, when X arrived at the first class, the tutor was *not* Tutor Z. When X complained to Centre Y's administrative staff, they told X that Tutor Z is only responsible for writing the teaching materials for the class but that the class is actually taught by another tutor.
- (7) **Facts:** Consumer X's mother recently died. X went to Funeral Undertakers Y to arrange his mother's funeral, stating that he would like the 'Standard Economy' funeral package. Undertakers Y's staff member could see that X was extremely heartbroken and upset and told X that the Standard Economy package is not really good enough for the passing of a mother and that she would be unable to rest in peace unless X chose the more expensive 'Gold Premium' funeral package. X replied that he was not wealthy and that he thought that the Standard Economy package was sufficient. Undertakers Y's staff member responded that X's family members and friends would think that X is an uncaring son if he did not purchase the Gold Premium package, adding that this more expensive package would ensure blessings and protection by X's ancestors against misfortune and curses. After repeating this point about ensuring blessings and avoiding misfortune, over and over again for the next hour, X finally succumbed and agreed to buy the more expensive Gold Premium package.

► **Knowledge Check Questions (continued)**

- (8) **Facts:** Consumer X saw an online advertisement by Computer Hardware Company Y, promoting Company Y's forthcoming 'Crazy Christmas Discount Sale' where laptops would be on sale at half price. Based on this, X turned up at Company Y's store on the first day of the Crazy Christmas Discount Sale, ready to purchase one of the half-price laptops. However, Company Y's sale assistant informed X that only 20 laptops were discounted to half price and that they have all already been sold. X returned home disappointed, without making any purchase.
- (9) **Facts:** As Consumer X walked past Travel Agency Y, she noticed a poster in the window stating that there was a promotion on return flights to Phuket at 'HK\$888 each for today only'. Looking forward to a cheap flight to Thailand, X immediately went inside Agency Y to purchase two tickets for her and her husband. However, Agency Y's sale representative said that all the discounted tickets to Phuket had sold out. X asked how this was possible given that Agency Y had only been open for business for fifteen minutes. Agency Y's sale representative replied that they only offer one discounted ticket at each of their branches.
- (10) **Facts:** Consumer X saw a five-seater family car on display in Car Showroom Y. A sign above the car stated 'Special Sale: HK\$88,888'. X approached a salesman and informed him that he wanted to buy the car. The salesman apologised and told X that the car is currently out of stock. When X tried to place an order, the salesman told him that he would have to wait five to six months before the ordered car would arrive and, instead, suggested that X buy the seven-seater car that was parked next to the five-seater. X replied that he is in no hurry and is happy to wait five to six months for the five-seater car to arrive. The salesman shook his head and refused to take X's order, telling X that it was 'company policy' not to take pre-orders on this five-seater model of car. The salesman, again, tried to sell the seven-seater car to X, telling him it was more spacious and had more comfortable seats.
- (11) **Facts:** Consumer X received a telephone call from Telecommunications Company Y. The telemarketer of Company Y promoted a fixed long-distance call service, stating that, if X joined the service scheme, X could make a call to Canada for as little as HK\$0.10 per minute. Since X had relatives living in Canada, X found the offer very attractive. The telemarketer explained that the service contract lasts for 24 months and that it cannot be terminated during that period. X agreed to these terms and the telemarketer then registered a 24-month fixed line long-distance call service contract for X. One month later, X received a telephone bill for HK\$150, despite never having used the telephone since the beginning of the service contract. When X called Company Y to enquire as to the reason for the charge, Company Y's customer service representative told X that HK\$150 is the fixed monthly service fee, as per the terms and conditions in the contract. When X replied that he had not been informed of the fixed monthly service fee by the telemarketer prior to entering into the contract, Company Y's customer service representative reminded X that the service contract cannot be terminated any time during the 24-month period.

► **Knowledge Check Questions (continued)**

- (12) **Facts:** Consumer X was browsing in Electrical Appliance Store Y when he saw a display table displaying a replica of Mobile Phone Z next to a sign stating 'Special Sale on Z Phones – only HK\$1,499'. When X asked a sales assistant if he could see an actual Phone Z and try out its functions, the sales assistant promptly agreed and took out a Phone Z from a drawer labelled 'Defective Mobiles' and handed it to X. Whilst X was trying out Phone Z's features, he noticed that the camera was not working properly and informed the sales assistant. The sales assistant replied 'Oh, really? Why don't you try out Mobile Phone A instead? It has better functions and only costs HK\$1,888'. X asked whether there was another Phone Z for him to try but the sales assistant simply continued to promote Phone A, telling X that Phone A had a better camera. X reluctantly took a look at Phone A and tried out its functions. When the sales assistant was quietly asked by a new colleague why she showed X a defective Phone Z, the sales assistant whispered 'How else can I promote the more expensive A Phone?'
- (13) **Facts:** Consumer X bought a discounted dining voucher from Group-Purchasing Website Y for HK\$100. The voucher entitled him to enjoy a five-course sea food dinner, at Restaurant Z, normally priced at HK\$388. The Website Y voucher clearly stated that it is only valid between 1 and 31 May (inclusive) this year – and that customers must make a reservation at Restaurant Z two days in advance. However, when X tried to make a booking two days in advance, the receptionist at Restaurant Z informed X that Restaurant Z was fully booked on the day X requested. One week later, X called Restaurant Z again to make a booking but the receptionist informed X that Restaurant Z was fully booked for the next four weeks and suggested that X call back in a few days' time to see if there had been any cancellations. When X called back three days later, Restaurant Z's receptionist again informed him that Restaurant Z was fully booked. Frustrated, X told the receptionist that Restaurant Z is always fully booked when he tries to make a reservation and then asked the receptionist how many seats were in the restaurant. The receptionist replied saying that there was a total of 60 seats, 20 of which are reserved for Website Y voucher-holders. After checking Website Y, X could see that a total of 5,627 of this type of voucher had been sold. X then did a quick calculation and concluded that: since there are 20 seats per day reserved for Website Y voucher-holders and, assuming that Restaurant Z can serve two rounds of diners each evening, Restaurant Z can only serve 1,240 Website Y voucher-holders in the 31-day voucher-validity period and therefore Website Y had oversold 4,387 vouchers.
- (14) **Facts:** Consumer X feels that Money Lender Y has used deceptive tactics to induce him to apply for a loan and has charged very high administrative fees, as well as a very high rate of interest.
- (15) **Facts:** Consumer X saw a newspaper advertisement stating that, for tomorrow only, Supermarket Y was selling one-litre bottles of Brand Z cooking oil for only HK\$1 each. The next day, X went to Supermarket Y very shortly after it had opened – however, Supermarket Y was already extremely crowded. When X finally forced her way through the crowd, she discovered that Brand Z was no longer on the

► **Knowledge Check Questions (continued)**

shelf. When X asked Supermarket Y's sale assistant whether there was any more Brand Z in the stock room, she was told that Supermarket Y had run out of stock as only 30 bottles of Brand Z were available for that day. Disappointed, X walked out.

- (16) **Facts:** Consumer X sought to rent a particular storage room at Storage Company Y. A staff member of Company Y claimed that the area of the storage room was 54 square feet while the actual area was only 44 square feet upon investigation.
- (17) **Facts:** As Consumer X walked past Chinese Medicine Shop Y, she noticed that the American ginseng in the window display looked to be of good quality and was marked at a reasonable price. X then decided to buy some for her elderly father. Shop Y's owner asked her to take a seat as it would take a short while for the shop assistant to slice the ginseng. Whilst X sat waiting, Shop Y's owner told X that she looked pale and seemed to be suffering from bad circulation and that she should consider taking some rhino horn to improve her health. At that point, Shop Y's owner quietly told the shop assistant to also powder some rhino horn. The sliced ginseng and powdered rhino horn were then placed in a paper bag and handed to X. As soon as X noticed the powdered rhino horn, she told Shop Y's owner that she was only buying the ginseng. Shop Y's owner then became angry and started shouting, stating that the rhino horn had already been powdered for her and that she must now buy it. Shop Y's owner and the shop assistant both angrily insisted that X must pay for both the ginseng and the rhino horn. The shop assistant stood by the doorway, refusing to let X leave the shop until she paid. Feeling intimidated, X handed over the cash.
- (18) **Facts:** Consumer X bought some bread from Bakery Y after seeing a sign outside Bakery Y stating that all of Bakery Y's bread products are 'naturally made' with 'no artificial additives'. However, X later discovered from a current employee of Bakery Y that some of Bakery Y's bread products contained artificial essences.
- (19) **Facts:** Consumer X has conclusive proof that a Chinese Medicine Practitioner Y has repeatedly provided prescriptions to X with false information, habitually omitting some items of medical herbs.
- (20) **Facts:** Consumer X attended a 6 p.m. talk at Travel Service Company Y. The theme of the talk concerned a Time-Share Scheme. The speaker promoted the Time-Share Scheme as enabling a 'wonderful experience of the high life, in a luxury resort house on dates that you can choose, all for an annual fee of only HK\$38,000. Consumer X was not interested and began to doze off. The talk ended at around 7.30 p.m. and, just as X was about to leave, two of Company Y's staff members called out to him and informed him that, if he registers this evening with his HKID card, he will have the chance of winning free flights and accommodation to Japan. As such, X gave the staff members his HKID card for registration purposes. At this point, one of the staff members complimented X on his taste in clothing and the other staff member also proceeded to compliment X on his overall appearance. The staff members then began a sales pitch, stating that a stylish man like X would probably be interested in a personalised travel package, suitable for a sophisticated



► **Knowledge Check Questions (*continued*)**

person who enjoys the finer things in life. Seeing that X was feeling flattered, the staff members immediately offered a special 'Diamond Membership' deal, whereby X could travel for an unlimited number of times to specific destinations – at a 30% discounted price – for an annual fee of HK\$50,000. X replied that the fee was too expensive and needed more time to think about it. The staff members said that X could pay by way of monthly instalments but X was still undecided and asked for his HKID card back. The staff members then offered the cheaper 'Ruby Membership' at HK\$40,000 per year but X still refused to commit himself, stating that he did not really have the money. The staff members continued their sales pitch, offering a cheaper 'Sapphire Membership' at HK\$30,000, at which point X just requested his HKID card back. The two staff members then said that they would return his HKID card and let him leave if he simply signed up to become a Sapphire Member. Feeling very tired, hot and agitated, X looked at his watch and saw that it was now almost 11:00 p.m. Being eager to just leave, X signed up for the Sapphire Membership and handed over his credit card details for the fee payment.

Question 69

State the maximum penalty for a trader who commits any offence under the TDO in relation to false trade descriptions; misleading omissions; aggressive commercial practices; bait advertising; bait and switch; wrongly accepting payment.



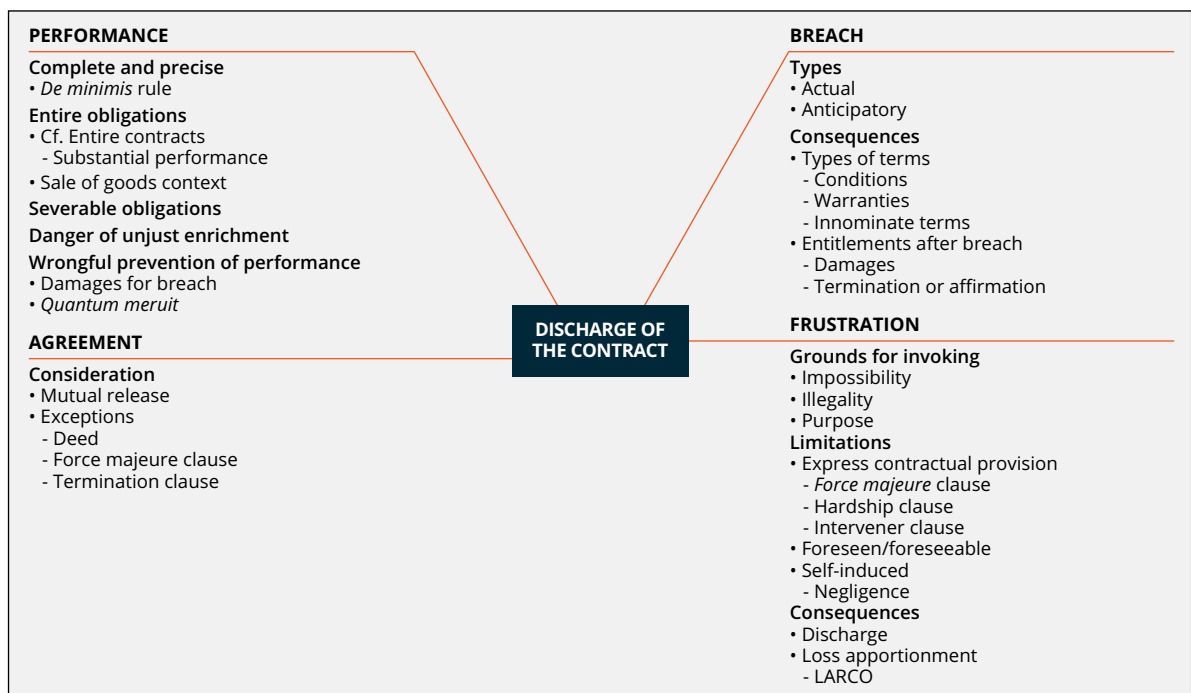
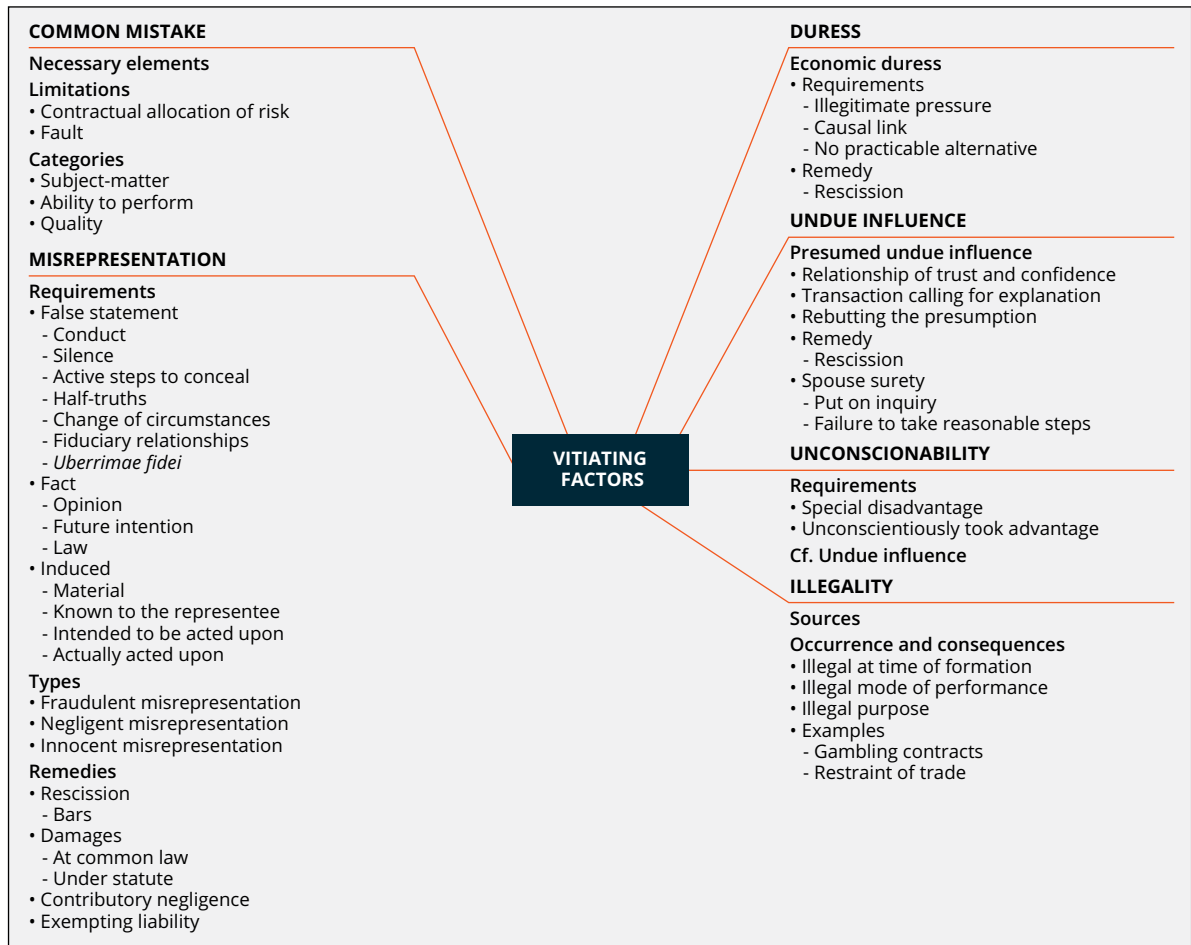
SUMMARY

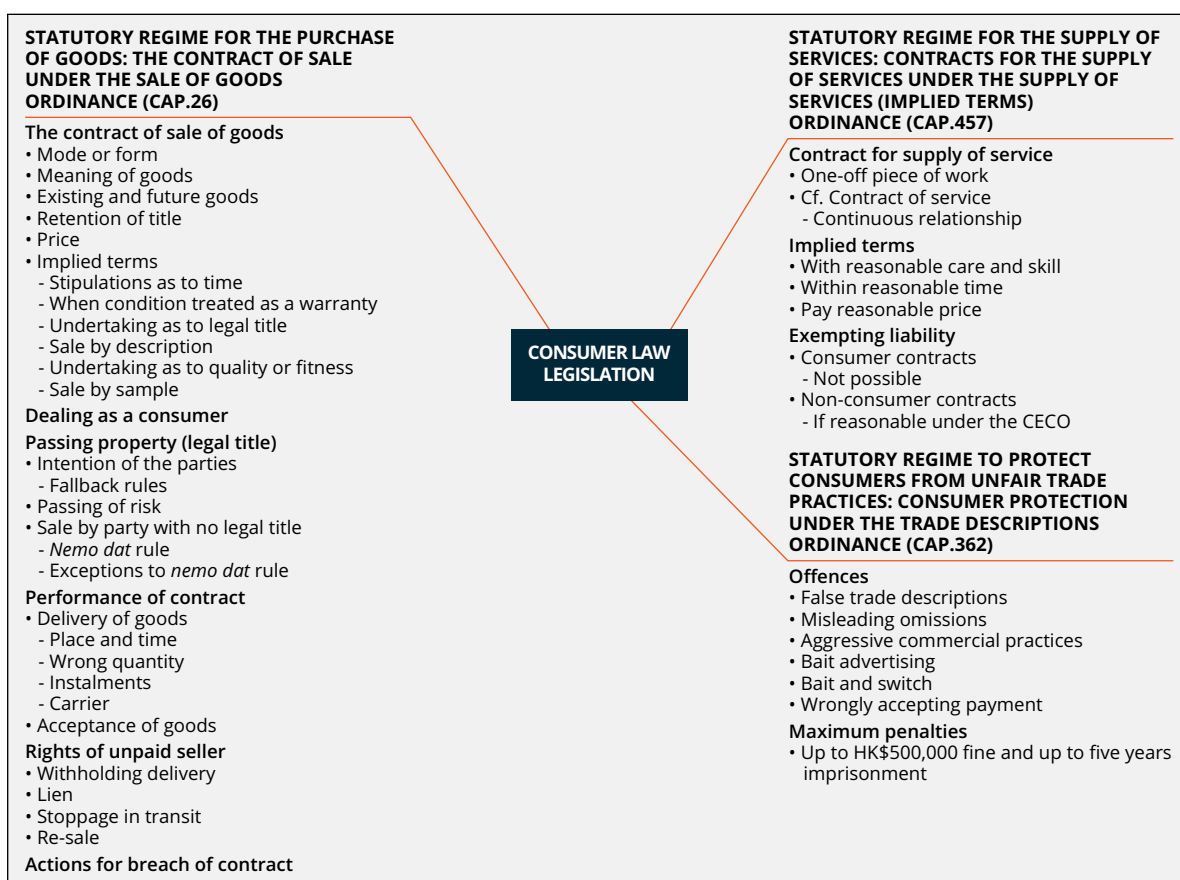
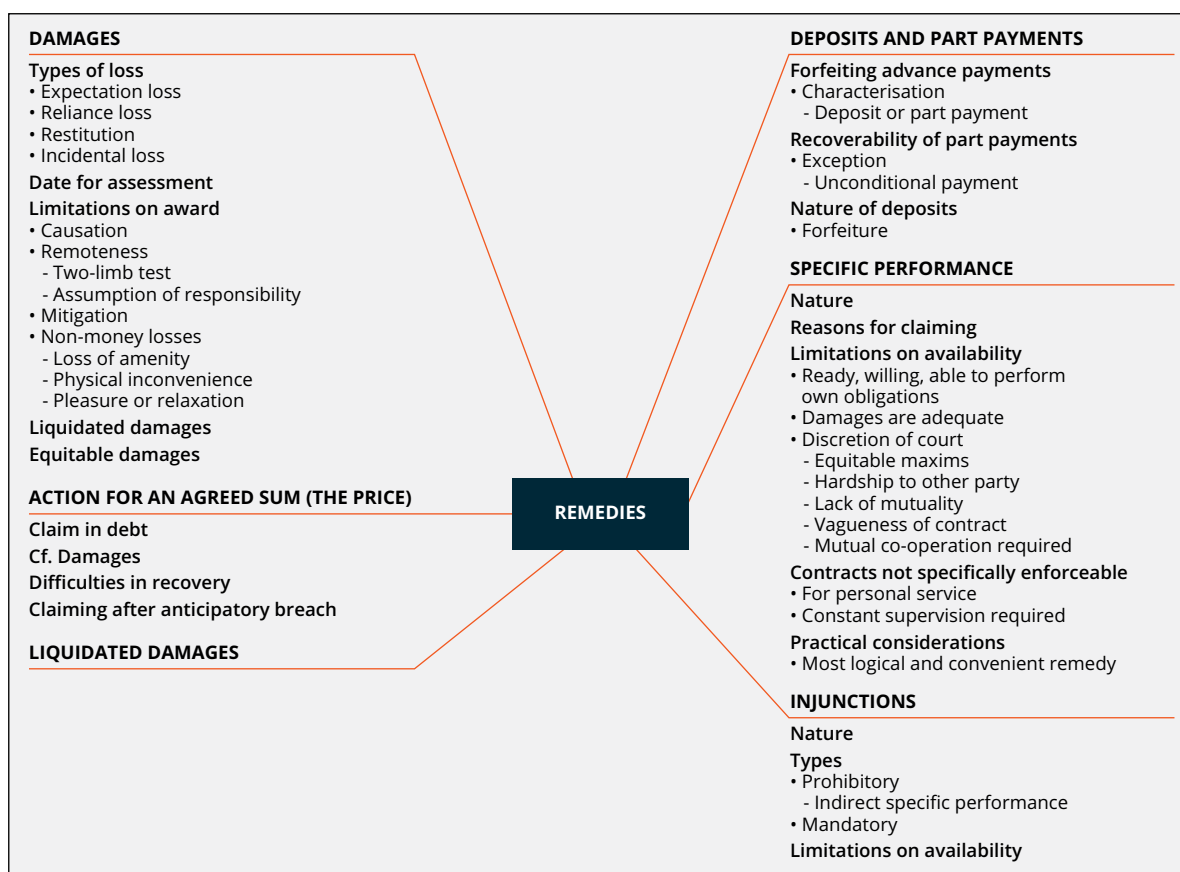
- Where both parties have – through no fault of either of them – made the same mistake as to the existence of a state of affairs, before entering into a contract, which makes the contract impossible to perform, the contract can be avoided.
- Where one party induces another party to enter into a contract based on a false statement of fact, the contract is voidable and capable of being set aside.
- Where one party uses illegitimate pressure to induce a party to enter into a contract (or amend the terms of an existing contract), the contract (or the amendment) is voidable and capable of being set aside.
- Where one party is influenced into entering into a disadvantageous contract by and with a party with whom he/she has a pre-existing relationship of trust and confidence, that contract is voidable and capable of being set aside.
- Where one party knowingly and unconscientiously takes advantage of a special disability being suffered by another party that affects his ability to make a decision in his/her own best interests, any contract entered into between those parties as a result of such advantage-taking is voidable and can be set aside.
- Where the type of contract entered into is illegal or contrary to public policy, or where performance of the contract would be illegal, the contract will be either void or, at least, unenforceable.
- A contract will come to an end after it has been fully and properly performed, or through agreement between the parties, usually by way of a mutual release of any outstanding rights and obligations.
- A contract may also come to an end after breach of an important term that goes to the root of the contract, at the innocent party's choice.
- Under certain circumstances, a contract may come to an end where it has – through no fault of the parties – become impossible or illegal to perform, or where performance would be something radically different from that originally envisaged by the parties, regardless of the intentions of the parties.
- The primary remedy for breach of contract is monetary compensation, for loss suffered, through an award of damages – available to the innocent party as of right – albeit the extent of such damages is controlled and subject to limitations in the interests of fair compensation.
- The amount of damages (or method for calculating), in the event of breach, may be stipulated in the contract in advance but must not be (or lead to) an excessive or disproportionate sum or else it will be categorised as an unenforceable penalty.
- After one party has performed all of its obligations under the contract, it may bring a claim in debt for payment of the outstanding price owed to it, which is different (and more straightforward) from a claim for damages.



- When a party breaches a contract, it may have to forfeit its deposit but may be able to recover any part payment, subject to the innocent party's right to set-off. However, whether an advance payment constitutes a deposit or part payment will depend on the parties' intentions, objectively ascertained.
- Where damages would be inadequate to compensate an innocent party for a breach of contract, the court may – at its discretion – order the breaching party to either fulfil its positive contractual obligations, refrain from any or further breach of its negative contractual obligations or undo the effects of a breach of its negative contractual obligations.
- Other than the general principles of contract law, the purchase of goods and supply of services are governed by the Sale of Goods Ordinance and the Supply of Services (Implied Terms) Ordinance, respectively. These pieces of legislation contain specific provisions relevant to both consumers and businesses, including various terms that are statutorily implied into a contract of sale, with extra legal protection for consumers.
- Consumers are afforded some protection from unfair trade practices by virtue of the Trade Descriptions Ordinance ('TDO').
- Under the TDO, it is an offence, punishable by a fine and/or imprisonment, for a trader to engage in particular unfair trade practices against consumers. In particular:
 - Traders must not use false trade descriptions in relation to goods or services supplied by them to consumers.
 - Traders must not engage in misleading omissions when transacting with consumers.
 - Traders must not use aggressive tactics – including harassment, coercion or undue influence – when transacting with consumers.
 - Traders must not engage in bait tactics to lure consumers when there are no reasonable grounds for the trader to believe that it can supply the goods or services so used as bait.
 - Traders must not engage in bait tactics to lure consumers and then seek to offer a different good or service instead of that used as bait.
 - Traders must not accept payment from consumers for goods or services that, at the time, the trader intends not to supply or has no reasonable grounds for believing it can supply within a reasonable or contractually specified time period.

MIND MAP





► Answers to Knowledge Check Questions

Question 1

When both contracting parties make the same mistake and the mistake was only discovered after the contract was formed.

Question 2

(1) Where one of the parties has (expressly or impliedly) assumed the risk of the true state of affairs and (2) where one of the parties is at fault for the non-existent state of affairs.

Question 3

(1) Mistake as to subject matter – where performance is impossible because the subject matter of the contract no longer exists at the time when the contract is entered into; (2) mistake as to ability to perform – where performance of the contract would be physically or legally impossible, or where the purpose of entering into the contract becomes impossible to realise and (3) mistake as to quality – where there has been a mistake about some special quality, relating to the subject matter, which goes to the root of the matter.

Question 4

A false statement of fact which induces a party to enter into a contract.

Question 5

As a general rule, there is no such duty to disclose (known as the caveat emptor principle). However, exceptions to this rule include where there is or has been: (1) an active step to conceal a material fact; (2) a half-truth statement that, although strictly true, implies that a material fact does not exist; (3) a change of circumstances, rendering a previous statement now untrue or misleading; (4) a fiduciary relationship between the representor and representee and (5) a contract that is *uberrimae fidei* and so requires disclosure of all material facts (e.g. an insurance contract).

Question 6

(1) Only insofar as the statement was a forecast made by an expert who intended such a forecast to be relied upon; (2) only insofar as the statement maker had no real intention at the time of making it and (3) only insofar as it is a statement of the effect of the law on a given set of facts.

Question 7

(1) Yes. (2) No. When a contract is rescinded it is treated as if it had never existed – a damages claim cannot be founded upon a non-existent contract.

Question 8

(1) Fraudulent misrepresentation (made knowingly, without belief in its truth or recklessly, without care as to whether it is true or false); (2) negligent misrepresentation (made honestly but without exercising reasonable care and skill) and (3) innocent misrepresentation (made honestly, with reasonable grounds for believing in its truth).



Question 9

Affirmation of the contract; lapse of time; impossibility of restitution and third party interests.

Question 10

At common law: for fraudulent misrepresentation, the representee can recover all losses directly flowing from the transaction entered into as a result of the misrepresentation; for negligent misrepresentation, the representee can recover those losses that were a reasonably foreseeable consequence of the misstatement; however, for innocent misrepresentation, no damages are available. Under statute (i.e. the Misrepresentation Ordinance (Cap.284) ('MO')); for negligent misrepresentation, all losses directly flowing from the transaction entered into as a result of the misrepresentation (i.e. *as if* the statement had been made fraudulently – hence the 'fiction of fraud'); for non-fraudulent misrepresentation, damages are available in lieu of rescission (provided that rescission is not barred).

Question 11

The advantages include: (1) there is no need for the representee to prove a 'special relationship' with the representor so as to establish a duty of care; (2) the burden of proof is reversed so that it is for the representor to prove that he had reasonable grounds for believing the truth of the statement and (3) the remoteness rule to measure damages is that applicable to fraudulent misrepresentation (i.e. the tort of deceit) insofar as the representee can recover all losses directly flowing from the transaction, regardless of foreseeability (even though the misrepresentation may have only been of the negligent variety – this is known as the 'fiction of fraud').

Question 12

Where the representee was induced into a contract with someone other than the representor – the MO only applies to misrepresentations leading to the representee entering into a contract with the representor.

Question 13

Where the representee has been contributorily negligent: such contributory negligence is taken into account when assessing damages for claims for (negligent) misrepresentation under the MO – i.e. the representee's damages may be reduced (under the Law Amendment and Reform (Consolidation) Ordinance (Cap.23) ('LARCO') – but not in cases of fraud or deceit.

Question 14

S.3(2) of the MO provides for damages in lieu of rescission, at the court's discretion, where it would be equitable and fair to do so, having particular regard to the loss caused to the representee if the contract is upheld as well as the loss to the representor if the contract was rescinded. For example, damages in lieu of rescission may be awarded where the (non-fraudulent) misrepresentation is trivial or wholly innocent. S.3(3) of the MO essentially provides that any damages awarded under s.3(1) of the MO must take into account any award made under s.3(2) of the MO.

Question 15

The answer is No to all of these scenarios:

As a general rule, there is no duty to disclose facts that, if known by the other party, might affect that other party's decision to enter into the contract and, accordingly, silence is not a 'statement'. Rather, it is *caveat emptor* ('let the buyer beware'). On these facts, there is nothing to invoke any exception to this general rule.

- (1) In order to invoke the 'change of circumstances' exception to the general rule of no duty of disclosure, A would have to show that B originally made a statement that was true but was later rendered untrue or misleading due to a change of circumstances and B failed to correct the impression held by A based on B's original statement. This is not applicable on these facts since B never made an original statement at all.
- (2) B consistently refused to answer any of A's questions – therefore, there can be no possibility of a 'half-truth', i.e. where a party makes a statement that is true but misleading insofar as it omits relevant facts or important qualifications.
- (3) The relationship between a vendor and purchaser under a contract for the sale of real estate is not a fiduciary relationship. Rather, fiduciary relationships comprise solicitor–client, agent–principal, trustee–beneficiary, etc., and impose a special duty of care, including a duty to disclose all material facts. There is no such relationship or duty between A and B.

Question 16

- (1) Yes. The vendor is in the best position to know the true conditions of the house – as such, his special knowledge thereof may render his statement as being one of fact.
- (2) No. A private car owner is presumably in no better position than the buyer to know the specification of the car – as such, being made without any particular expertise, the statement is likely to be one of opinion rather than fact.
- (3) Yes. This statement is a forecast made by an expert – as such, it is likely to constitute a misrepresentation if it is made negligently and with the intention that it be relied upon.

Question 17

The use of a 'non-reliance' clause may enable a party to exempt its liability for non-fraudulent misrepresentation, subject to the clause passing the 'reasonableness' test under the CECO.

Question 18

- (1) Illegitimate pressure (2) causing him to enter into the contract/contract variation (3) without having a practicable alternative other than to submit to that pressure.

Question 19

Rescission – the contract/contract variation is voidable, subject to the usual bars of rescission.

Question 20

- (1) A relationship of trust and confidence and (2) a transaction that calls for an explanation.



Question 21

The wife must show that the bank (1) was put on inquiry and (2) failed to take reasonable steps to satisfy itself that the wife was properly made aware of the practical implications of standing as surety for her husband's debts.

Question 22

The alleged victim of the unconscionability must show that: (1) he/she had a special disadvantage (such as to seriously affect his ability to make a decision in his own best interests) and (2) the other party knew and unconscientiously took advantage of this by procuring or accepting the alleged victim's assent to the impugned transaction.

Question 23

Unconscionability looks to the conduct of the stronger party in attempting to enforce – or retain the benefit of – a dealing with a person suffering from a special disability in circumstances where it is not consistent with equity or good conscience that he should do so, even if the will of the alleged victim is independent and voluntary. However, undue influence occurs where the will of the innocent party is *not* independent and voluntary because it is overborne: rather, this doctrine looks to the quality of the consent or assent of the weaker party. In practice, the distinction is subtle.

Question 24

Illegality comes from the violation of either: (1) a common law rule; (2) a statutory rule or (3) public interest. In other words, this occurs where the contract involves the commission of a crime or a tort or breach of a legislative provision, or even where it offends public policy (e.g. contracts to promote sexual immorality).

Question 25

(1) Whether it is reasonable with regard to the parties; (2) whether it is unreasonable with regard to the public interest, bearing in mind that the public interest includes competition in the marketplace; (3) whether it is protecting a legitimate interest – or is simply trying to prevent competition; (4) whether it is wider than is needed to protect the interests of the party who seeks to enforce it and (5) whether the scope of the restraint and the area and period of time are properly balanced against each other.

Question 26

It is a general rule that the law is not interested in trivial defects in performance of a contract. However, there may be circumstances that justify a finding of non-performance despite the defect being only trivial.

Question 27

'Entire obligations' is when performance of one party ('X') is conditional upon the complete and precise performance of the other party ('Y') – in such a situation, the general rule is that incomplete performance by Y will mean that Y cannot recover anything from X. However, in the context of 'entire contracts', the doctrine of substantial performance means that a party can still recover money, notwithstanding his/her departure from the terms of the contract, unless the work done is of no benefit to the other party or is entirely different from what was contracted for, or he/she has abandoned the work and left it unfinished.

Question 28

Literally, 'as much as he deserves' – allowing for recovery according to the work a person has actually done. Generally, such recovery is only possible where there is no contract at all.

Question 29

Yes. Where both parties still have some obligations left to perform under the contract, the consideration for an agreement to terminate the contract would be by way of mutual release, i.e. by both parties giving up the right to have the remainder of their respective contractual rights performed in return for each party not performing its outstanding obligations. However, where one party has already performed all of its contractual obligations, the other party would have to provide some *new* consideration in return for not having to perform its outstanding obligations.

Question 30

First, when the agreement is by way of a deed. Second, where the underlying contract provides for termination in particular circumstances, such as by way of a *force majeure* clause or a termination clause.

Question 31

Breach of contract occurs when a contracting party (1) fails to perform, (2) defectively performs, (3) refuses to perform or (4) otherwise makes it known that it will not be able to perform its contractual obligations.

Question 32

This occurs when one party refuses to perform his contractual obligations or otherwise makes it known that he is unable to perform them.

Question 33

(1) A condition is a contractual term that goes to the root of the contract – if breached, the innocent party can choose to terminate the contract as well as recovering damages; (2) a warranty is a contractual term of lesser importance – if breached, the innocent party will only be entitled to recover damages and (3) an innominate term has no pre-breach classification – if breached, the innocent party's rights will depend on the seriousness of the effects of the breach. If the breach is such as to deprive the innocent party of substantially the whole benefit of the contract, then it will be treated as a breach of a condition (i.e. allowing the innocent party to terminate and claim recover damages); otherwise it will be treated as a breach of a warranty (permitting recovery of damages only).

Question 34

The contract will remain in force unless and until the innocent party unequivocally communicates his acceptance of the breach – moreover, if he fails to state the reason for his/her own non-performance, the breaching party may be able to 'turn the tables' and sue him for breach (for non-performance).



Question 35

When some event occurs, after the contract has been made but before its obligations have been fully completed, which is outside the control of the parties, this makes performance of the contract either: (1) impossible; (2) illegal or (3) something radically different from what was originally envisaged.

Question 36

A *force majeure* clause sets out exactly what is to happen, in relation to the contract, on the occurrence of stipulated events that are outside the control of the parties (i.e. the *force majeure* events). The three essential features of such a clause include stipulations as to: (1) the events that trigger the operation of the clause; (2) the reporting obligations on the party that wishes to invoke the protection of the clause and (3) the consequences of the occurrence of the *force majeure* event. Such a clause automatically ousts the doctrine of frustration.

Question 37

Since it would be extremely difficult and commercially inconvenient for a party to make provision for all foreseeable events (however improbable), foreseeability of the occurrence of the (alleged) frustrating event will not automatically preclude the doctrine of frustration – it is a matter of degree. In other words, the less likely that the event would occur, the more likely that it would constitute an actual frustrating event.

Question 38

No. This would be ‘self-induced frustration’, which is not frustration at all. Negligence is a failure to exercise reasonable care and skill – this is within the control of a party.

Question 39

Automatic discharge – and the possibility of some loss apportionment under the LARCO.

Question 40

Statements (1), (2), (3) and (4) are all true.

Question 41

(a) Expectation loss, i.e. the innocent party's loss of the benefit expected from the contract (including: loss of profits; difference in value between what was promised and what was actually received; cost of curing the defect in performance and loss of chance). (b) Reliance loss, i.e. the innocent party's wasted expenditure in reliance on the contract. (c) Incidental loss, i.e. the innocent party's expenses incurred after breach.

Question 42

An innocent victim of a breach of contract cannot claim both his loss of profits (expectation loss) and his wasted expenditure (reliance loss) since the profits would not have been possible, in any event, without the initial capital expenditure. Therefore, the rule against double recovery prevents the innocent party from being over-compensated for the breach. Essentially, he/she cannot recover twice for the same loss.

Question 43

Generally, such assessment will be as at the date of breach (or when the loss is suffered), which will usually be when performance was due. However, this is not an absolute rule – the court may fix another date that it considers appropriate in the interests of justice and fair compensation, taking into account post-breach events so as to reflect actual loss suffered.

Question 44

If it is such as to break the causal link between the other party's breach and the loss suffered by the innocent party, it will relieve the breaching party from having to pay damages at all. On the other hand, if the innocent party's own negligence is only a contributing factor in the loss caused by the other party's breach, his damages will be proportionately reduced (under the LARCO) to reflect the degree of loss caused by his own negligence.

Question 45

Essentially, an innocent party cannot recover damages for loss that is too remote – i.e. too improbable to be within the scope of contractual liability. In order to determine whether loss is too remote to be recovered, the two-limb test in *Hadley v Baxendale* is usually applied. The first limb of this test concerns 'normal' loss, which allows for recovery of losses occurring naturally from the breach because the breaching party can be said to have had such losses within his/her reasonable contemplation as a likely result of breach. The second limb of the test concerns recovery of 'special' loss, which does not occur naturally and so cannot be said to have been within the reasonable contemplation of the breaching party – such loss may be recovered, however, if the breaching party actually knew of the special circumstances that would give rise to the special loss in the case of breach.

Question 46

Other than making reference to the two-limb test in *Hadley v Baxendale*, even if the loss can be said to have been within the reasonable contemplation of the breaching party, there may be some cases in which other factors justify a conclusion that the parties did *not intend* a particular party to be held responsible for the loss actually incurred from that party's breach. Essentially, if the court finds that the parties did not intend (objectively ascertained through interpretation of the contract wording and as against its commercial background) that the breaching party was assuming responsibility for the type of loss suffered by the innocent party, such loss will not be recoverable.

Question 47

Generally, damages cannot be recovered for losses that have no monetary value, such as disappointment or distress due to the breach of contract. However, exceptions to the general rule include: (1) where there has been a 'loss of amenity' (damages can be awarded – albeit nominally – in the interests of doing justice where, for example, the cost of cure would be disproportionately high but diminution in value is zero); (2) where the breach causes physical inconvenience which, in turn, causes psychological distress and (3) where the very purpose of the contract was to provide pleasure or relaxation and, due to the breach, this is not realised.



Question 48

After a breach of contract, the innocent party must take reasonable steps to minimise his loss. Although there is no legal obligation to do this, an innocent party will not be able to recover damages for those (additional) losses suffered as a result of his failure to mitigate.

Question 49

This is a definite sum of money (or mechanism for determining it) that is agreed, in the contract, to be paid by the breaching party in the event of his breach. The sum must be based on a genuine pre-estimation of the likely loss that would likely occur in the event of a breach of the contract and this sum will be payable regardless of whether the actual loss sustained is higher or lower. Note that a liquidated damages clause will be unenforceable if the court considers the stipulated sum to be disproportionately high or unconscionable.

Question 50

It is a claim in debt, seeking to enforce one party's contractual obligation to pay an agreed amount of money after the other party has fully performed its own contractual obligations. Unlike a claim for damages, there is no need to quantify the loss and the rules on remoteness and mitigation do not apply. Further, since it is a clearly stipulated debt amount, legal proceedings are much quicker.

Question 51

Assuming the advance payment is characterised as a part payment (*not* a deposit), the breaching payor may recover that sum, subject to the innocent party's right to set off his claim for damages.

Question 52

Essentially, it is a guarantee that a contract will be performed. If the contract is not performed, the deposit can be forfeited by the innocent payee, regardless of whether any loss has actually been suffered.

Question 53

It is an equitable remedy that compels a contracting party – by a court order – to perform its contractual obligations.

Question 54

(1) Where the party claiming this remedy is not ready, willing and able to perform his own obligations under the contract. (2) Where damages are an adequate remedy. (3) Where the court chooses not to exercise its discretion to award this remedy, based on: (a) any of the various equitable maxims, such as where the party claiming did not 'come with clean hands' or (b) undue hardship that would be caused to the breaching party or (c) lack of mutuality of the remedy insofar as it would not be available the other way round, i.e. to the breaching party if the innocent party was in breach or (d) vagueness of the contract, making it impossible to draw up a court order with precision or (e) mutual co-operation between the parties not being possible. (4) Where the contract is for a personal service. (5) Where performance of the contract would require constant supervision to ensure compliance with the court order.

Question 55

Both are equitable remedies, available at the discretion of the court. A prohibitory injunction compels a person not to do a wrongful act so as to prevent breach of a negative stipulation in a contract. A mandatory injunction, however, compels a person to either cease continuing a wrongful omission or to actually undo something that has already been done in breach of a negative stipulation in a contract.

Question 56

Since a prohibitory injunction seeks to enforce a negative contractual promise, it can have the same effect as the remedy of specific performance, even though the latter is designed to enforce a positive contractual promise – hence a prohibitory injunction may, in some circumstances, amount to ‘indirect specific performance’. Therefore, a court will not grant a prohibitory injunction where it would have the same effect as an order for specific performance in circumstances where an order for specific performance, itself, would not be available, such as in the case of contracts for a personal service.

Question 57

S.14: not at all. Ss.15 to 17: not at all if the buyer is a consumer – however, if the buyer is not a consumer, then only if such exemption satisfies the reasonableness test under the CECO.

Question 58

Assuming that the price cannot be determined by a course of dealing between the parties, the buyer must pay a ‘reasonable’ price by reference to the circumstances.

Question 59

Insert a *Romalpa* clause (i.e. a retention of title clause) to enable the seller to assert legal ownership of, and repossess, the goods in the event of non-payment by the buyer.

Question 60

Assuming the goods are ascertained – i.e. they are ‘specific’ goods (identified, marked or segregated in some way) – then property in (or legal title to) those goods will pass at such a time as the parties intended, by reference to their contract, conduct and overall circumstances. If no such intention can be ascertained, the goods will pass according to specified statutory ‘Rules’ laid out in the SOGO.

Question 61

Unless otherwise agreed between the parties, the goods remain at the seller’s risk until property therein (or legal title thereto) is transferred to the buyer (regardless of whether such goods have been delivered). However, if delivery to the buyer is delayed due to the fault of either the buyer or seller, the party at fault will assume the risk of those goods.

Question 62

The *nemo dat* rule is a general principle that essentially states that no one can pass better legal title than he himself has. One of various exceptions to this principle is the so-called market overt rule, provided for in the SOGO, which essentially states that if goods are openly sold in a shop or market (in the ordinary course of business of that shop or market), the buyer will acquire good legal title to those goods, provided that he bought them in



good faith and without any knowledge that the seller did not actually have good legal title to those goods.

Question 63

(1) When the buyer makes this known to the seller – or, after the goods have been delivered, he/she does any act in relation to the goods that is inconsistent with them still being owned by the seller – or he/she still retains the delivered goods, after a lapse of reasonable time, without making known his/her rejection of them. (2) If the goods delivered have not been previously examined by the buyer, the buyer is not deemed to have accepted them until he/she has had a reasonable opportunity to do so in order to ascertain whether they conform with the goods/sample as contracted for. In relation to consumer buyers, this is an absolute rule.

Question 64

(1) If property in (or legal title to) the goods has not passed, the seller can withhold delivery. However, even if property in (or legal title to) the goods has passed, the seller may, in certain circumstances: (2) have a lien over the goods; (3) stop the goods in transit and (4) re-sell the goods to a third party.

Question 65

Contracts for the supply of a service are those for one-off pieces of work, whereas contracts of service involve continuous relationships, such as employment. SSITO only covers contracts for the supply of a service.

Question 66

(1) The supplier must carry out the service with reasonable care and skill; (2) the supplier must carry out the service within a reasonable time where none has been specified and (3) the party contracting with the supplier must pay a reasonable price for the service where none has been specified.

Question 67

If one of the parties deals as a consumer, the supplier of the service cannot exempt any liability at all arising under the SSITO. However, for non-consumer contracts, a supplier can exempt his liability insofar as the exemption satisfies the reasonableness test under the CECO.

Question 68

- (1) Bait and switch (s.13H).
- (2) False trade description of a good (s.7).
- (3) Misleading omission (s.13E).
- (4) Misleading omission (s.13E).
- (5) Wrongly accepting payment (s.13I).
- (6) False trade description of a service (s.7A).
- (7) Aggressive commercial practice (s.13F).

- (8) Bait advertising (s.13G).
- (9) Bait advertising (s.13G).
- (10) Bait and switch (s.13H).
- (11) Misleading omission (s.13E).
- (12) Bait and switch (s.13H).
- (13) Wrongly accepting payment (s.13I).
- (14) None. This is a suspected deception case and may also involve the Money Lenders Ordinance (Cap.163). Therefore, the case should be referred to the Police for investigation.
- (15) Bait advertising (s.13G).
- (16) False trade description of a service (s.7A).
- (17) Aggressive commercial practice (s.13F).
- (18) False trade description of a good (s.7).
- (19) None. A registered Chinese Medicine Practitioner is an 'exempt person' under Schedule 3 of the TDO. For the purposes of the TDO, a 'trader' does not include an exempt person (s.2). The commercial practices of exempt persons are regulated by the professional bodies established under the respective ordinances – in this case, the Chinese Medicine Ordinance (Cap.549).
- (20) Aggressive commercial practice (s.13F).

Question 69

A fine of up to HK\$500,000 and imprisonment of up to five years.

EXAM PRACTICE

QUESTION 1

Sarah Chung, the owner of Chung Theatre and having dreams of becoming a renowned opera singer, entered into a contract with Madam Wang, a famous Cantonese opera singer, whereby Madam Wang agreed to be a personal singing coach to Sarah for one year. The contract, dated 25 September 2018, also contained the following clauses:

Clause 7: *For the duration of this Contract, Madam Wang will only give opera performances at Chung Theatre.*

Clause 8: *For the duration of this Contract, Madam Wang will only give opera performances in duet with Sarah Chung.*

On 10 October 2018, Madam Wang and Sarah were due to perform a special duet at Chung Theatre. However, one hour before the performance was scheduled to take place, Sarah fell down some steps, knocking her unconscious and breaking her leg. Madam Wang heard that Sarah had been rushed to hospital and decided to perform solo, rather than cancelling the performance and disappointing her fans.



The following day, whilst out shopping in Causeway Bay, Madam Wang decided to walk over to the Victoria Park. There she saw a charity concert taking place, with various local musicians performing in the hope of raising money for a local orphanage. The charity event organiser instantly recognised Madam Wang and persuaded her to go on stage and perform, impromptu, one of her opera pieces.

Later that day, whilst in hospital, Sarah found out about Madam Wang's solo performance at Sarah's theatre and, soon after, saw the local television news bulletin, which reported on the Victoria Park charity concert and showed footage of Madam Wang's impromptu performance. Sarah immediately telephoned Madam Wang and told her that she was terminating their contract.

Analyse the legal position of Madam Wang and whether Sarah Chung was entitled to terminate their contract.

QUESTION 2

Jason was in the business of interior design and decoration. In April 2018, Jason was hired by Karen to renovate her newly bought flat for the fee of HK\$1,000,000. Jason agreed to complete the job before the end of October 2018. Karen paid an advance of HK\$100,000 and agreed to pay HK\$700,000 by the end of August 2018, and the balance upon completion of the job.

Soon after Jason started the renovation work, the property market became extremely vibrant. Decoration workers were in great demand and their fees doubled. Jason found it very hard to keep the cost of his job down to his original budget. Jason had tried to contact Karen to inform her about the situation but she was out of town and could not be contacted for quite a while. In late August 2018, only about 10% of the job was completed. Jason told Karen that he could not complete the job on time without raising the fee by 50%. Karen reluctantly agreed ('Variation 1'). She paid HK\$700,000 at the end of August 2018.

Jason finished the work on time, and issued an invoice for HK\$700,000 to Karen (i.e. the balance of HK\$200,000 as per the original contract, *plus* the extra 50% of the original fee (HK\$500,000) as per Variation 1. Karen refused to pay the full amount, thinking that she was coerced into agreeing to the additional fee. Karen gave Jason HK\$200,000 and told him to 'take it or leave it', adding that she would complain to the Consumer Council if Jason insisted on the full invoice amount of HK\$700,000. As Jason was running into cash flow problems, he reluctantly accepted the payment ('Variation 2') and issued a receipt one week later. Five months later, Jason wanted to claim the remaining invoice balance of HK\$500,000. Analyse the legal position of Jason and explain how, if at all, he could claim the HK\$500,000 invoice balance.

QUESTION 3

On 10 August 2019, Mrs. Smith bought a new refrigerator from Bounty Household Appliances Ltd ('BHAL'). The refrigerator was a 'Churchill X series' but was part of a product range that was being discontinued and was therefore advertised as 'Discontinued Model Discount: 50% Off'. Mrs. Smith purchased the refrigerator for HK\$2,000, instead of the usual price of HK\$4,000.

Two days later, the refrigerator was delivered and installed in Mrs. Smith's newly fitted kitchen. However, one week later, Mrs. Smith noticed a large scratch on the door of the refrigerator. Mrs. Smith said that the scratch was very noticeable and that the refrigerator is therefore not of merchantable quality as per statutory requirements. Mrs. Smith said that the

purpose of the refrigerator is not just to keep food cool but also to look suitably decorative, complementing her newly fitted kitchen units. As such, Mrs. Smith asked BHAL to either replace the refrigerator, refund the purchase price or pay for the cost of repair (i.e. replacing the door).

Although there is no evidence either way as to whether the scratch appeared before the purchase (because the model on display in the shop was not the actual one delivered to Mrs. Smith), BHAL accepted that the refrigerator was scratched before delivery but refused to accede to any of Mrs. Smith's requests and denies that it has any liability.

Analyse the legal position of BHAL and explain to what extent, if at all, it can defend the allegation by Mrs. Smith that there has been a breach of its statutory obligation to supply goods of a merchantable quality.

QUESTION 4

Pippa enjoys growing orchids in her spare time. Last month, she bought a new jar of specialist fertiliser from Plants' Corner Ltd, as she does every month. The sale contract for the fertiliser provided:

Clause 1: *The buyer must notify Plants' Corner Ltd of any defects in the products within one week of purchase.*

Clause 2: *Any liability for defective products is limited to the contract price.*

The jar of fertiliser that Pippa purchased turned out to be contaminated, resulting in all of her orchids starting to wither and die two weeks after the fertiliser had been administered.

Analyse whether Pippa would have a claim in contract against Plants' Corner Ltd, for damages (a) at all and (b), if so, whether those damages are limited to the contract price.

QUESTION 5

Antonio owned a popular pizza takeaway shop. Antonio entered into negotiations with Mau who was interested in buying the business, including the physical premises and goodwill. During these negotiations, Antonio made the following statements:

Statement 1: *'It's time for me to retire – I feel I haven't got the energy to run a business anymore. I'm aiming to retire in Thailand.'*

Statement 2: *'The premises are in good structural condition – in fact, I've recently decorated the place, so you could move straight in and start trading immediately – but I think you should get the place independently surveyed, nonetheless.'*

Relying on these statements, Mau decided to buy the business (including the premises and the goodwill) but without viewing inside the premises and without obtaining a surveyor's report. Mau did not like the colour scheme inside the shop and so decided to redecorate it very shortly after completing the purchase. However, Mau soon noticed that Antonio had used thick coats of paint and strips of cardboard to disguise a significant amount of structural wood rot in the shop premises. Furthermore, three months later, Mau saw that Antonio had opened a new rival pizza shop on the opposite side of the street.

Mau wrote to Antonio, threatening to sue Antonio for misrepresentation because of Antonio's Statements 1 and 2 above – concerning retirement and the premises being in good

¹⁵⁹ *Rainy Sky SA v Kookmin Bank* (2011) UKSC 50.



structural condition. Antonio wrote back, simply stating that, as to Statement 1, Antonio is entitled to change his mind and, as to Statement 2, Antonio did also advise Mau to obtain an independent surveyor's report and so Mau cannot claim that Mau was induced into purchasing the premises by Antonio's statement as to their condition, especially since it was no more than an opinion.

Analyse whether Antonio made any actionable representations to Mau.

QUESTION 6

Upon his retirement from the navy, Nelson decided to buy his own small boat and start a business providing coastal sea tours around Hong Kong and the outlying islands. Nelson engaged the services of Donald – a professional boat-restorer – for HK\$30,000 to repair and renovate the small second-hand boat that Nelson had recently purchased. Nelson stipulated that: (1) since he was due to provide his first sea tour to a small group of rich Macanese businessmen on 1 August (who had agreed to pay Nelson HK\$1 million, i.e. 20 times the normal price), the work must be completed by 31 July 2020 at the latest and (2) Donald must use 'English oak' wood when replacing rotten planking on the hull. Donald agreed and began work on the boat.

Due to difficulties in sourcing materials, Donald fell behind schedule and did not complete the repair and renovation work until 15 August 2020. As a result, Nelson had to cancel three pre-booked tours for the first two weeks of August 2020, including the particularly lucrative one for the Macanese businessmen. Furthermore, Nelson has just discovered that Donald used Irish oak wood to replace rotten planking on the hull. Although there is no difference in quality or suitability for purpose between English oak and Irish oak, Nelson wanted and expressly stipulated English oak wood to be used, for personal reasons. Nelson wanted to sue Donald for damages for the following:

Claim 1: *The Loss of profits from the three cancelled tours;*

Claim 2: *The cost of replacing the Irish oak planking with English oak planking; and*

Claim 3: *The emotional stress caused by the cancelled tours and knowledge that non-English oak has been used to repair the hull.*

Analyse the considerations of the court when determining whether, and/or to what extent, Nelson is entitled to the Claims 1 to 3.

QUESTION 7

Whilst walking around Central during her lunch hour, Jenny was handed a leaflet advertising an 80% discount for the 'Excel Treatment' package at First Facials Beauty Salon ('FFBS'). Jenny was very interested and, after work, she went to FFBS, seeking to purchase the 'Excel Treatment' package deal. However, when Jenny enquired at the reception desk, she was told that the 'Excel Treatment' package was no longer on offer but, instead, she was offered a 10% discount if she joined FFBS's 'Premier Treatment' package (which is much more expensive) today. The receptionist told Jenny that the 'Premier Treatment' package would entitle Jenny to unlimited Premier facial treatments at FFBS. Jenny told the receptionist that the 'Premier Treatment' package was too expensive and that she could not afford it. The receptionist then called a member of FFBS's sales staff, Peggy, who promptly arrived at the reception desk and proceeded to try to persuade Jenny to buy the 'Premier Treatment' package, reiterating the unlimited access to all Premier facial treatments.

After a couple of minutes of hard sales talk, Peggy ushered Jenny into a side-room where an older senior sales member, Bertha, was. Jenny felt very intimidated as Peggy stood between Jenny and the door and, along with Bertha, continued to pressure Jenny to purchase the 'Premier Treatment' package, their voices getting louder. Jenny maintained that she could not afford this package and that she was only interested in the discounted 'Excel Treatment' package, prompting Bertha to forcefully slap the desk in the room and speak even louder. After about one and a half hours, Jenny could sense Peggy's and Bertha's impatience and so agreed to purchase the 'Premier Treatment' package. The 'Premier Treatment' package was designed to covering a minimum of 36 months, with no break clause, and the first 18 months had to be paid in advance. Reluctantly, Jenny provided the sales staff with her credit card details.

The following week, when Jenny tried to make an appointment for a Premier facial treatment for the upcoming Saturday, she was told by a different receptionist that the 'Premier Treatment' package facial treatments are only available on weekdays. The receptionist directed Jenny's attention to the small print in the 'Terms & Conditions' booklet available at the reception desk. Essentially, according to the Terms & Conditions, for unlimited 'Premier Treatment' package facial treatments at any time (including weekends and public holidays), Jenny would have to upgrade to the much more expensive 'Dynasty Treatment' package. Reluctantly, Jenny upgraded her package there and then, over the phone, and then made a facial treatment booking for the upcoming Saturday.

When Jenny arrived at FFBS as scheduled on the following Saturday, she discovered that the doors were locked and could see that the lights were off. She could also see through the glass doors that everything in the reception area, including sofas, tables, etc., had been taken away and saw some official notice taped to the door from the High Court Bailiff.

Analyse whether FFBS has committed any offences under the Trade Descriptions Ordinance (Cap.362) and, if so, what the consequences would be.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Essentially, the main issue here is whether Sarah has a legal right to terminate her contract with Madam Wang ('MW'). There are two sub-issues to consider here (a) whether MW breached the contract and (b), if so, whether the terms that were breached were conditions?

With regard to the first issue (whether MW breached the contract), it should be noted that, if MW did not breach, Sarah cannot terminate the contract (assuming, of course, that Sarah has no other right, under other terms of the contract, to terminate – such as by giving notice). Second, even if there was a breach, Sarah can only terminate if MW breached a condition of the contract or an innominate term that deprived Sarah of substantially the whole benefit of the contract (See *Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* in Section 3.9.2.1).

As to the first sub-issue (whether there was a breach), it is appropriate to deal with each clause separately.



With regard to Clause 8, it might be argued that there was no breach because there is genuine ambiguity in the meaning of the clause and such ambiguity comes out in favour of MW when applying the principle of business common sense.¹⁵⁹ Indeed, Clause 8 could be read in two possible ways, i.e. (a) that MW can only perform at all if MW does so with Sarah or (b) that MW can perform solo but, if MW wants to sing in duet, MW can only duet with Sarah. However, taking a business common sense approach, it could be argued that Clause 8 should be interpreted as meaning (b) because, otherwise, Sarah's theatre would lose income if Sarah was in some way incapacitated, ill or otherwise not available since MW would be unable to at least perform solo. Therefore, it can be argued that there had been no breach of Clause 8.

However, even if interpretation (a) is preferred (meaning that there is a *prima facie* breach), it might be argued that, although MW was not expressly allowed to perform solo, such a term may possibly be implied at least as an exception in circumstances where Sarah is unable to perform (e.g. in an emergency), rather than risk losing income or the good will of a fully paid-up audience, which becomes disappointed at any last-minute cancellation of the opera performance. It seems that such a term could be implied in fact by applying either the business efficacy test¹⁶⁰ or the officious bystander test¹⁶¹). If so, again, it can be argued that there had been no breach of Clause 8.

Turning to Clause 7, it would seem that MW breached the contract by performing at the charity concert in Victoria Park. However, although MW was not expressly permitted to sing at a venue other than Chung Theatre, it may be questioned as to whether an exception can be implied into the contract, such as where the performance was not for commercial purposes (e.g. a charity event). Indeed, it could be argued that, looking objectively, through the eyes of a reasonable person, giving the wording its ordinary meaning in the context of the contract as a whole and as against its background facts at the time of contract formation¹⁶², the purpose of Clause 7 is to prevent rival theatres from gaining prestige and/or profit from MW's performances. Therefore, performance at a charity event would not frustrate this purpose.

However, it should be remembered that courts only rarely imply terms in fact and do so within strict constraints¹⁶³, especially since such an exception does not seem to clearly pass the business efficacy test or officious bystander test. For example, can it be said that such an exception is necessary to make the contract work¹⁶⁴? or is it so obvious that it goes without saying¹⁶⁵? In any event, terms cannot be implied where they would contradict an express term of the contract¹⁶⁶ – and Clause 7 is an unambiguous express term. Therefore, it seems likely that MW has breached Clause 7.

As to the second sub-issue (whether, assuming there was a breach, termination was possible), this will depend on what type of clause was breached. Sarah would only be

¹⁶⁰ *The Moorcock* (1889) 14 PD 64.

¹⁶¹ *Shirlaw v Southern Foundries (1926) Ltd* (1939) 2 KB 206.

¹⁶² *Investors Compensation Scheme v West Bromwich Building Society* (1998) 1 WLR 896.

¹⁶³ *Phillips Electronics Grand Public SA v British Sky Broadcasting Ltd* (1995) CA.

¹⁶⁴ *The Moorcock* (1889) 14 PD 64.

¹⁶⁵ *Shirlaw v Southern Foundries (1926) Ltd* (1939) 2 KB 206.

¹⁶⁶ *BP Exploration Co (Lybia) Ltd v Hunt (No.2)* (1979) 1 WLR 783.

able to terminate the contract (in addition to obtaining damages) if the breached clause is a condition or an innominate term, which, having been breached, has deprived her of substantially the whole benefit of the contract (See *Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd* in Section 3.9.2.1).

Taking Clause 8 first, assuming that the court finds that it was breached (which seems unlikely, as discussed above), was it a condition? It does not seem to be labelled as a 'condition (albeit such a label would not be conclusive evidence in any event) and, more importantly, it does not seem to go to the root of the contract: rather, the contract appears to be principally about Sarah employing MW to be her singing coach (rather than being about singing in duet with Sarah).

The question then becomes whether Clause 8 is an innominate term, which, having been breached, has deprived Sarah of substantially the whole benefit of the contract. Looking at the consequences of the alleged breach, it seems clear that Sarah has not been deprived of substantially the whole benefit of the contract: Sarah can still receive coaching from MW and, in any event, Sarah can still perform future duets with MW for the remainder of the contract period. Therefore, it is unlikely that any breach of Clause 8 will give Sarah a right to terminate the contract.

In relation to Clause 7, assuming that the court finds that it was breached (which seems likely, as discussed above), was it a condition? Again, it is not labelled as such, but that would not be conclusive evidence in any event. As to whether it goes to the root of the contract, one potential argument might be that the contract was principally concerned with publicity for, and raising the profile of, Chung Theatre insofar as showing exclusive performances by MW. However, there is no evidence for this. (Perhaps evidence could be sought to find out how MW was remunerated under the contract: for example, did MW receive a flat-rate salary? – which might provide evidence suggestive of coaching being central to the contract – or did MW receive money based on ticket sales? – which might provide evidence suggestive of exclusive performances being central to the contract.)

The question then becomes whether Clause 7 is an innominate term, which, having been breached, has deprived Sarah of substantially the whole benefit of the contract. If MW had taken up extra employment at another (rival) theatre, then maybe it could be argued that Sarah was deprived of substantially the whole benefit of the contract – but, again, only if MW's exclusive performances at Chung Theatre were regarded as central to the contract. Nevertheless, in this case, MW only gave a one-off performance at a different venue – and did so for charity (i.e. not for commercial purposes or the profit of a rival theatre). Furthermore, it is very unlikely that this charity performance would have adversely affected Chung Theatre – if anything, it would have raised the theatre's profile and increased ticket sales from people who heard MW perform at the charity event (possibly for the first time ever) and now want to hear more, and so will pay to hear her at Chung Theatre. Therefore, it is unlikely that any breach of Clause 7 will give Sarah a right to terminate the contract.

In conclusion, based on the above, it seems that: (a) Clause 7 has likely been breached but it is unlikely that Clause 8 has been breached and (b) in any event, neither of these clauses are conditions or innominate terms, breach of which has deprived Sarah of substantially the whole benefit of the contract. Therefore, insofar as there has been a breach (i.e. in relation to Clause 7), such a breach did not give Sarah a right to terminate MW's contract: rather, it would constitute a breach of warranty, giving rise to a claim for damages only.



Nevertheless, given that damages are designed to compensate for loss sustained as a result of breach, it is questionable as to what loss Sarah has suffered from such a breach – indeed, Sarah may have actually benefited from MW's charity event performance by way of publicity and increased ticket sales at Chung Theatre. In this situation, since damages are available as of right for any breach of contract¹⁶⁷ the damages would be simply a nominal sum.

QUESTION 2

Jason may want to argue that Karen exercised economic duress in getting him to agree to Variation 2, i.e. to accept HK\$200,000 in full and final settlement. Of course, Jason will argue that Variation 1 (to pay him an extra HK\$500,000) was valid. Therefore, it is first necessary to consider whether Variation 2 is supported by consideration because, if not, then there is no valid contract at all – so there can, logically, be no contract for any alleged duress to vitiate.

What was the consideration for Variation 2? Jason accepted less money (assuming that Variation 1 is valid, see below) in return for Karen refraining from complaining to the Consumer Council and, further, giving Jason HK\$200,000. At this point, it should be noted that, assuming Variation 1 is valid, Karen's HK\$200,000 is a sum less than she agreed to pay under Variation 1 (her existing contractual obligation) and part payment of a debt cannot constitute valid consideration for a promise to discharge the remainder (See *Foakes v Beer Ltd* in Section 2.6.11.2). Furthermore, although Jason was able to reduce his cash flow problems by accepting at least the HK\$200,000, this cannot stand as a 'practical benefit' because such a concept does not apply in relation to promises to accept less (See *Re Selectmove Ltd* in Section 2.6.11.2).

However, assuming that the court finds that the consideration for Variation 2 was valid, it is then necessary to go on to consider whether Variation 2 was vitiated by economic duress. First, did Karen use 'illegitimate pressure' toward Jason? The threat to complain to the Consumer Council is a lawful threat and is unlikely to constitute illegitimate pressure (unless it is viewed as 'blackmail'). However, when Karen said of the HK\$200,000 'take it or leave it', that might be viewed as a threat to make Jason forfeit the entire outstanding HK\$700,000 unless he agrees to settle with HK\$200,000. Again, assuming that Variation 1 is valid (see below), this threat would constitute illegitimate pressure because it is a threat to breach the contract (i.e. a threat to breach Variation 1). Other factors that may help determine whether there was illegitimate pressure include whether Jason protested at the time and whether Karen acted in bad faith¹⁶⁸. Jason reluctantly accepted but did he protest/ make known his reluctance to Karen? Karen seems to have known that Jason was having financial problems because he told her that he could not complete without raising the fee – did she take advantage of his financial problems?

Assuming that illegitimate pressure can be established, Jason would have to show a causal link between that pressure and his agreement to Variation 2. Can Jason show that he would not have agreed to Variation 2 but for Karen's illegitimate pressure?¹⁶⁹ In other words, can he show that the illegitimate pressure was at least a 'significant cause' in his decision?¹⁷⁰

¹⁶⁷ *Photo Production Ltd v Securicor Transport Ltd* (1980) AC 827.

¹⁶⁸ *DSND Subsea Ltd v Petroleum Geo Services ASA* (2000) BLR 530.

¹⁶⁹ *Huyton SA v Peter Cremer GmbH & Co* (1999) 1 Lloyd's Rep 620.

¹⁷⁰ *Dimskal Shipping Co SA v International Transport Workers Federation (The Evia Luck)* (No.2) (1992) 2 AC 152.

Can Jason argue that he would not have accepted the HK\$200,000 in full settlement had it not been for Karen's threat to go to the Consumer Council? This is unlikely – if Jason was innocent, he would have nothing to fear – plus, the Consumer Council has no enforcement (or other meaningful) power, in any event. However, what about Karen's threat to make Jason forfeit the whole HK\$700,000 unless he accepted HK\$200,000 in full settlement? It is likely that this can be said to have caused Jason to agree to Variation 2. This is especially so if he can show that his business was under heavy financial pressure at the time and could not afford to accept larger losses – i.e. HK\$200,000 is better than HK\$0.¹⁷¹

Next, Jason would have to show that he had no practicable alternative other than to submit to Karen's illegitimate pressure and agree to Variation 2. What would a reasonable man have done in Jason's position? Could Jason have taken legal proceedings? Perhaps not – he had cash flow problems and needed money as soon as possible to avoid bankruptcy. Therefore, it is likely that Jason can show that he had no practical choice but to agree to Variation 2.

If Jason can thus establish economic duress, his remedies could include having Variation 2 rescinded – but this equitable (discretionary) remedy may possibly be refused because of Jason's delay/affirmation (*North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd (The Atlantic Baron)* (1979) QB 705), given that it is now already five months since Variation 2 and that Jason issued a receipt one week after accepting the HK\$200,000. It would be very unlikely that Jason could claim damages – unless he could show that Karen's illegitimate pressure constituted the tort of intimidation.¹⁷² Nevertheless, if the court does allow Variation 2 to be rescinded, Jason can sue Karen for the HK\$500,000 balance as per Variation 1.

This then raises the question as to the validity of Variation 1. Karen may try and argue that Variation 1 was invalid on the basis of there being no consideration or, alternatively, that Jason exercised economic duress against her. First, as to the consideration point, Karen agreed to pay an extra 50% (i.e. HK\$500,000) in return for Jason finishing the renovation work on time. However, finishing on time was an existing contractual obligation, performance of which would generally not constitute valid consideration for Karen's promise to pay the extra money (See *Stilk v Myrick* in Section 2.6.9.3). It is therefore appropriate to consider whether Jason's performance of his existing duty constituted a 'practical benefit' for Karen (See *Williams v Roffey* in Section 2.6.9.3). However, it is unlikely that Jason would be able to satisfy the criteria establishing a 'practical benefit' because, first, it was Jason who asked for more money – i.e. Karen did not offer or initiate the promise of it – and, second, even if Karen did offer or initiate the promise of the extra money, this must not have been done as a result of economic duress (See *Williams v Roffey* in Section 2.6.9.3).

This then raises the question of whether Jason exercised economic duress against Karen. First, did Jason use 'illegitimate pressure'? Probably, he did – he essentially threatened to breach the original contract by saying that he would not be able to finish on time unless Karen paid extra. Nevertheless, did he act in 'good faith' – and did Karen protest at the time?¹⁷³ Certainly, it could be argued that Jason acted in good faith by trying to contact Karen

¹⁷¹ *D & C Builders Ltd v Rees* (1966) 2 QB 617.

¹⁷² *Universe Tankships Inc of Monrovia v International Transport Workers Federation (The Universe Sentinel)* (1983) 1 AC 366.

¹⁷³ *DSND Subsea Ltd v Petroleum Geo Services ASA* (2000) BLR 530.



early on, soon after he started the work, thereby giving her a chance to find someone else to do it. Furthermore, he was only asking for an extra 50% whilst market rates had actually doubled. Although Karen 'reluctantly agreed', did she clearly protest to Jason at the time? Further still, can it be argued that Jason's demand of an extra 50% is just part of the 'rough and tumble' of everyday commerce/business?¹⁷⁴ Perhaps this argument would have less weight given that Karen is, effectively, a consumer and not a commercial entity.

The next question, assuming that there was illegitimate pressure applied by Jason toward Karen, is whether there is the requisite causal link between such pressure and Karen entering into Variation 1. Probably there is: why else would Karen have agreed to pay an extra 50%? Indeed, if she did not pay it, she would have to engage someone else who, based on recent market rates, would have charged double Jason's original rate – whereas, by agreeing to pay Jason the sum requested, she would only have to pay an extra 50%.

Next, the question is whether Karen had a practicable alternative – i.e. a practical choice not to accede to Jason's demand. What would a reasonable person have done in Karen's position? Would they have refused to pay the extra, affirmed the contract and simply waited for actual breach (i.e. the date by when the work should have been completed) and then sued Jason for damages? Probably not – this would require waiting a long time and causing even more delay to the completion time by only then engaging some other person to do the renovation works. Alternatively, would they have immediately employed someone else after Jason made the demand – even for double the fee of Jason's original fee – as well as then suing Jason for anticipatory breach and claiming damages to compensate for having to pay the 100% increase in the fee (i.e. the cost of cure)? Arguably, this latter course of action was a practicable alternative and, if the court accepts this view, there can be no economic duress.

In conclusion, it is very difficult to advise on the chances of Jason's success in obtaining the extra HK\$500,000 that he was promised under Variation 1. There are many fact-specific issues to consider, many of which cannot be properly dealt with here without further information. The doctrines of both consideration and economic duress are highly relevant in determining Jason's success. Jason must first show that he provided valid consideration for Karen's agreement to pay extra as per Variation 1 (this seems unlikely, even on the 'practical benefit' analysis). However, if he can, it seems reasonably likely that he can then counter an argument by Karen that he obtained her agreement through economic duress. On the other hand, for Karen to show that she is only obligated to pay Jason the HK\$200,000 in full and final settlement, she would need to show that Variation 2 was validly formed (this seems unlikely, and the practical benefit analysis cannot apply in this context) and, even if it was, that she did not exercise any economic duress toward Jason (but, as discussed above, this seems unlikely). However, even if economic duress is made out in relation to Variation 2, Jason may have lost the ability to rescind it based on delay and affirmation.

QUESTION 3

First, it is clear that this sale contract is governed by the SOGO: it falls within the definition of a contract of sale of goods, there being a transfer of property in goods for money consideration (s.3(1) of the SOGO). By virtue of the SOGO, there is an implied term that goods supplied will be of a 'merchantable quality' (s.16(2) of the SOGO) and merchantable quality includes reference to

¹⁷⁴ *Pao On v Lau Yiu Long* (1980) AC 614.

having a particular standard of 'appearance and finish' and being 'free from defects (including minor defects)' (ss.2(5)(b) and (c) of the SOGO). Clearly, the scratch on the refrigerator door can be viewed as both a minor defect and relating to its appearance and finish.

However, both the freedom from minor defects and having a particular standard of appearance and finish are qualified under the SOGO insofar as it is 'reasonable' to expect the goods in question to so be or have, having regard to any description applied to them, the price and all the other relevant circumstances (s.2(5) of the SOGO).

Applying the statutory wording to the facts in this case, Bounty Household Appliances Ltd ('BHAL') could argue that the description of the refrigerator as being a 'Discontinued Model' and at a Discount price of '50% Off' are relevant circumstances that should be taken into account when assessing the reasonableness of appearance and finish and minor defects insofar as it is arguable that it would be unreasonable for Mrs. Smith to expect, under those circumstances, a perfectly flawless refrigerator. Rather, it could be argued that her expectations were unreasonably high given the hugely discounted price that she paid and the fact that the model is a discontinued line. Furthermore, the fact that it took Mrs. Smith one week after installation in her kitchen to notice the scratch on the refrigerator door arguably demonstrates how minor the blemish or defect actually is.

Furthermore, the SOGO also defines goods as being of merchantable quality where they are fit for the purpose or purposes for which goods of that kind are commonly bought (s.2(5)(a) of the SOGO). In this case, any reasonable person would accept that a refrigerator is, at least, commonly bought for the purpose of storing food at a cool temperature. Even if Mrs. Smith tries to argue that the purpose of the refrigerator was to look suitably decorative and complement her newly fitted kitchen units, this is arguably not the purpose for which such goods are commonly bought: any reasonable person would acknowledge that the primary and common purpose of a refrigerator is the cool storage of food, not kitchen decoration (especially given the relevant circumstances of a heavily discounted price being paid due to the discontinuation of this particular model).

Further still, even if the decorative value of the refrigerator was one of the particular (albeit, objectively uncommon) purposes for which Mrs. Smith bought it, she would not even be able to rely on the provision in the SOGO implying a term that goods sold will be fit for such a 'particular' purpose (notwithstanding that it is not a common purpose) because it seems that she did not make known to BHAL, expressly or implied, that particular purpose (s.16(3) of the SOGO) for which she was buying the refrigerator.

As such, under the circumstances, it seems that BHAL has a strong argument to defend the allegation by Mrs. Smith with regard to its statutory obligation to supply goods of a merchantable quality.

QUESTION 4

It seems there has been a breach of contract, in particular a breach of an implied condition that the goods purchased will be of merchantable quality (s.16 of the SOGO and the Contract of Sale under the SOGO). Both Clause 1 and Clause 2 are clearly incorporated into the contract (See Section 2.11) and, by way of a straightforward interpretation, Clause 2 expressly seeks to limit liability for breach. Has Plants Corner Ltd, therefore, successfully exempted its liability for breach?



First, Clause 2 attempts to limit Plants' Corner Ltd's liability for breach of an implied condition, i.e. merchantable quality (s.16(2) of the SOGO) and, perhaps, fitness for purpose (s.16(3) of the SOGO). However, assuming that Pippa is a consumer, such liability can never be exempted (s.11(2) of the CECO). Of course, if Pippa bred orchids as part of her business, then Clause 2 would be subject to the reasonableness test under s.3 of the CECO. (s.11(3) of the CECO).

Second, Clause 1 does not exempt liability or reduce the amount to be claimed. Therefore, it falls outside the scope of s.11 of the CECO. However, s.5 of the CECO states that where the CECO prevents the exemption of liability (such as in s.11(2) of the CECO), it also prevents liability from being made subject to restrictive or onerous conditions (s.5(1)(a) of the CECO). In other words, it prevents what is, effectively, an indirect exemption clause from escaping statutory control. In this case, the orchids withered and died two weeks after the fertiliser was administered – therefore, expecting customers to make complaints and notify Plants' Corner Ltd within one week is arguably an onerous condition. Again, assuming Pippa is a consumer, Clause 1 will be ineffective.

Accordingly, Pippa can (a) claim damages and (b) such damages are not limited to the contract price.

QUESTION 5

With regard to Statement 1, this was a statement of future intention. Such statements are generally not statements of fact. Therefore, Antonio is free to change his mind unless Mau could somehow prove that Antonio had no such real intention at the time of making the statement; a statement of present intention *is* a statement of fact capable of being falsely made (*Edgington v Fitzmaurice* (1885) 24 Ch D 459). Although it may be evidentially difficult for Mau to prove that Antonio was lying at the time of making the statement about Antonio's intention to retire, if Antonio's lying state of mind *can* be proved then there would be an actionable misrepresentation (*East v Maurer* (1991) 1 WLR 461).

With regard to Statement 2, although it seems that Antonio used paint and strips of cardboard to disguise the structural wood rot, such active concealment could never have come to Mau's attention before entering into the purchase contract because Mau never viewed inside the premises before the purchase (*Horsfall v Thomas* (1862) 1 H & C 90). Therefore, any active concealment by Antonio cannot be said to have induced Mau into the contract with Antonio.

However, the fact that Antonio stated that the premises are 'in good structural condition' might be sufficient for Mau to establish an actionable misrepresentation because, since Antonio said he had recently decorated, Antonio must have realised that he had no reasonable grounds for making such a statement given that he had painted over the wood rot. Therefore, even if Antonio argued that his statement as to the condition of the premises is merely an opinion and therefore not one of fact (*Bisset v Wilkinson* (1927) AC 177), Antonio is nevertheless in a better position to know the truth as to the said condition and so, by making the statement, he is effectively representing that he has reasonable grounds for believing it to be true. This means that, since he cannot have had such reasonable grounds for so believing (as noted above), then his statement that the premises are 'in good structural condition' can constitute an actionable misrepresentation (*Smith v Land & House Property Corp* (1884) 28 Ch D 7).

The mere fact that Mau failed to have the premises surveyed (after Antonio's advice that he do so) does not prevent Mau's reliance on Antonio's statement that the premises are 'in good structural condition'. Indeed, even though Mau had the opportunity to discover the truth of Antonio's statement, it provides no defence for Antonio if Mau can show that Mau was nevertheless induced into the purchase by Antonio's statement about the condition of the premises (*Redgrave v Hurd* (1881) 20 Ch D 1 and *Welltech Investment Ltd v Easy Fair Industries Ltd* (1996) 4 HKC 711).

Therefore, even if Mau cannot prove the falsity of Antonio's statement regarding Antonio's intention to retire, Mau would at least seemingly have a good case for bringing an action for misrepresentation against Antonio on the basis of Antonio's statement as to the condition of the premises, which he seemingly had no reasonable grounds for believing.

QUESTION 6

With regard to the Claim 1, Nelson is seeking loss of profits for breach of the express term that the repair and renovation work must be completed by 31 July 2020 at the latest. Here, the issue concerns remoteness of loss: Did the loss of profit arise naturally from the breach (i.e. according to the usual course of things)? In other words, can the loss reasonably be supposed to have been within the 'reasonable contemplation' of the parties as a likely result of the breach (*Hadley v Baxendale* (1854) 9 Ex 341)? Did Donald know (or should he have known) that the breach would 'not unlikely' result in the loss that occurred (*The Heron II* (1969) 1 AC 350)? It is unclear from the facts whether Donald knew that Nelson intended to use the boat for business purposes, as opposed to using it for mere personal recreational purposes. However, if Nelson mentioned this to Donald, it might be possible for Nelson to claim the lost profit from the cancelled tours (subject to any mitigation, such as by Nelson's rescheduling of those tours to a later date).

Further, it is questionable whether Nelson could claim the loss of profits from the Macanese businessmen's scheduled tour (even if this was not rescheduled at all) because this contract, at 20 times more than the usual tour price, would constitute 'special' loss, which could only be successfully claimed if the particularly lucrative nature of that contract had been specifically brought to Donald's attention at the time of entering into the repair and renovation contract with Nelson so that Donald could be said to have reasonably foreseen such special loss of profit as 'liable to result' from Donald's breach by being late in finishing the contracted works (*Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* (1949) 2 KB 528). Again, it is not clear from the facts whether Nelson explained the *reason* why the repair and renovation work must be completed by 31 July 2020 at the latest.

However, even if the particular profit losses suffered by Nelson were found to have been within the reasonable contemplation of Donald as being 'not unlikely' to result (or 'liable to result') from the breach, there may be other factors which justify a conclusion that, on an objective interpretation, the parties did not intend Donald to be responsible for the losses which occurred. Essentially, the court may come to the conclusion that Donald did not assume responsibility for the loss of profits, meaning that Nelson would not be able to recover damages for these (*Transfield Shipping Inc v Mercator Shipping Inc (The Achilles)* (2008) 2 Lloyd's Rep 275). On the facts, Donald was only two weeks late so it might be argued, objectively, that the parties did not intend that Donald would be responsible for such loss of profits, particularly the loss of the extremely lucrative Macanese businessmen's tour, and especially when Donald was only being paid HK\$30,000 for the repair and renovation work.



With regard to the Claim 2, Nelson is essentially seeking 'cost of cure' damages, to replace the Irish oak planking, for breaching the express term that only English oak was to be used on the hull. Given that, according to the facts, there is no difference in quality or suitability for purpose between English oak and Irish oak, such damages would be wholly disproportionate to the benefit to be gained from such replacement (*Ruxley Electronics and Construction Ltd v Forsyth* (1996) 1 AC 344). What about damages to reflect the 'difference in market value'? Does the boat have a lower market value with Irish oak planking rather than English oak planking? This is extremely doubtful. What about the 'consumer surplus' – i.e. that loss to Nelson which is over and above the market value of such loss or loss of pleasurable amenity (*Ruxley Electronics* (above))? Such non-pecuniary loss might be compensated with mere nominal damages, given that there has nevertheless been a breach and so (some) damages are available *as of right* (*Photo Production Ltd v Securicor Transport Ltd* (1980) AC 827).

With regard to the Claim 3, the damages for emotional stress are normally not available for breach of contract (*Addis v Gramophone Ltd* (1909) AC 488). In any event, it is unlikely that the facts in Nelson's case fall into any of the exceptions to the general rule. The stress does not appear to have been caused by any *physical inconvenience* (such as to offend the senses) resulting from the breach (*Farley v Skinner* (No. 2) (2002) 2 AC 732), nor could it be said that the very purpose of the contract to repair and renovate the boat was to provide pleasure or relaxation (*Jarvis v Swan Tours Ltd* (1973) QB 233); rather, it was for a commercial purpose, to facilitate Nelson's business venture.

QUESTION 7

First of all, First Facials Beauty Salon ('FFBS') offered an 80% discount for the 'Excel Treatment' package. However, when Jenny sought to purchase the 'Excel Treatment' package, she was told that the 'Excel Treatment' package was no longer on offer and the FFBS staff immediately tried to sell Jenny a different package (i.e. the much more expensive 'Premier Treatment' package). Therefore, it would seem that FFBS has engaged in a commercial practice that constitutes bait advertising (s.13G of the Trade Description Ordinance ('TDO'), as well as bait and switch (s.13H of the TDO). The fact that the leaflets advertising the 'Excel Treatment' package at an 80% discount were handed out on the same day that the FFBS staff informed Jenny that such a package was not available shows that FFBS could have had no reasonable grounds for believing that it could provide the package as advertised at that price. Furthermore, after Jenny was lured into the salon based on the leaflet advertisement, FFBS staff refused to sell the package as advertised but proceeded to try and sell a different package.

Secondly, Jenny was taken into a side room where she was subjected to one and a half hours of persistent hard sales talk, where Peggy and Bertha (the two sales staff of FFBS) tried to persuade her to purchase the 'Premier Treatment' package, along with their acts of intimidation, such as by Peggy standing between Jenny and the exit door, Bertha forcefully slapping the desk and both of them raising their voices. Based on this kind of pressure and threatening behaviour, it would seem that FFBS had engaged in aggressive commercial practice (s.13F of the TDO) that has impaired Jenny's freedom of choice by intimidating her and causing her to yield and agree to buy the package.

Thirdly, FFBS sold its 'Premier Treatment' package to Jenny on the basis that Jenny would be entitled to 'unlimited' premier facial treatments at FFBS. However, since those 'unlimited'

premier facials are limited to weekdays only, it would seem that FFBS has applied a false trade description (s.7A of the TDO) to the package sold or, at the very least, has engaged in a commercial practice that is a misleading omission (s.13E of the TDO) due to the fact that FFBS omitted material information about the so-called 'unlimited' nature of the package – something that would cause or likely cause an average consumer, such as Jenny, to make a decision that they would not otherwise make.

Finally, FFBS has seemingly closed down and has had some legal action taken against it, perhaps for rental arrears or other monies owed to creditors. If this is true, FFBS would have known about the impending closure and money troubles quite some time before Jenny bought either the 'Premier Treatment' package (about two weeks earlier) or the 'Dynasty Treatment' package (about one week earlier). Therefore, FFBS would have no reasonable grounds for believing that it could provide the facial treatment packages at the time when Jenny bought them. Therefore, it would seem that FFBS has engaged in a commercial practice that constitutes wrongly accepting payment (s.13I of the TDO).

As such, if a court determines that FFBS staff did commit some or all of the above offences under the TDO, the relevant persons could be fined up to HK\$500,000 and imprisoned for up to five years (s.18(1) of the TDO). In addition to this, any such convicted persons may also be ordered to pay reasonable compensation to Jenny for the financial loss she has suffered as a result of the offences (s.18A(1) of the TDO), such as the advance payment she made for the 'Premier Treatment' package and subsequent upgrade to the 'Dynasty Treatment' package.

4

The Law of Tort and Negligence



CHAPTER TOPIC LIST

4.1 What is Tort?

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- 4.1.3 Limitation Period

4.2 Tort of Negligence

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4.5 Defamation

4.5.1 Essential Elements of Defamation

4.5.2 Defences

4.5.3 Remedies for Defamation



LEARNING OUTCOMES

PRINCIPAL LO4: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE LAW OF TORT AND NEGLIGENCE

LO4.01: Analyse and apply the law of tort as it relates to negligence and business liability

4.01.01 Analyse the legal meaning and effects of tort

4.01.02 Analyse the required elements to establish a legal action in the law of negligence

4.01.03 Apply the concepts of damages and defences as they relate to negligence

4.01.04 Apply the concept of defamation and defences to defamation cases

4.01.05 Analyse the features of employers' liability in tort, occupiers' liability and vicarious liability

4.01.06 Explain and apply the principal concepts of tort of negligence, including:

- The duty of care
- Standard of care
- Breach of duty of care
- Damage
- Causation
- Remoteness of damage
- Defences



OPENING CASE

CAR ACCIDENT

Sam has just obtained his driver's licence last week on the day of his twenty-fifth birthday. To celebrate, Sam's girlfriend, Vivian, hosted a party at a karaoke bar and invited several of Sam's close friends to attend. Sam had around five cans of beer during the party.

The party ended at around 3 a.m. Sam thought he was sober enough to drive Vivian and another guest, Sarah, home. Vivian was sitting in the front passenger seat and Sarah was sitting in the seat behind Vivian. Both Vivian and Sarah did not wear their seatbelts.

Sam was driving at a speed of 60 km per hour (kph) in a one-way lane. Several cars and trucks were parked alongside the lane and blocked Sam's partial view of the side walk on both sides. As Sam drove through the lane, suddenly a pedestrian, Jake, dashed out from the right behind a truck. Sam immediately pressed the brake and swerved left to avoid Jake. In doing so he hit a car, which was parked on the left-hand side of the road, at a speed of 50 kph. As a result, Vivian and Sarah were severely injured. Sam sustained bruises on his head. 



OVERVIEW

Tort is a civil wrong committed upon a person or property independent of contract. This chapter consists of two parts: (1) the first part sets a general introduction of the basic principles and concepts of the law of negligence and (2) the second part continues with specific types of negligence.

The first part begins with an overview of the three basic elements of negligence: (1) duty of care, (2) breach of duty of care and (3) causation and remoteness of damage; followed by a more detailed examination on the appropriate tests to establish each of the three basic elements. Finally, it reviews the defence of contributory negligence and voluntary assumption of risk.

The second part provides an overview of accountants' and auditors' liability in tort, employers' liability, occupiers' liability, vicarious liability and defamation.



4.1 WHAT IS TORT?

A **tort** is a wrongful act or omission, other than a breach of contract or trust, that results in an injury of another or damage to a property and for which the injured party is entitled to compensation.

4.1.1 Types of Tort

There are three types of tortious liability: (1) intentional tort, (2) negligence and (3) strict liability.

4.1.1.1 Intentional Tort

An injured party of a direct and deliberated act may sue the wrongdoer for **intentional tort**. Examples include trespass (i.e. assault and false imprisonment), sexual harassment and defamation.

4.1.1.2 Negligence

Negligence is concerned with circumstances where the wrongdoer has failed to exercise the care in which the circumstances demand. First, to establish a claim for negligence, the injured party must demonstrate that the wrongdoer owed him/her a duty of care. Duty of care can be established by common law or legislation. Second, the wrongdoer breached that duty. Third, the act or omission done by the wrongdoer in breach of the duty caused the damage or loss being claimed.



4.1.1.3 Strict Liability

Strict liability defines circumstances in which liability is imposed without requiring proof of fault (intention or negligence). Liability is assumed once it is established that the wrongdoer is responsible for the act. An example is vicarious liability (See Section 4.3.5).

4.1.2 Meaning and Scope of Tort

The source of tort law could be from common law or legislation. A plaintiff may rely on multiple grounds in the same action. For example, when an employee is injured at work, he/she may rely on the common law duty to provide a safe system of work and the statutory duties imposed under the Occupational Safety and Health Ordinance (Cap.509) to claim against his/her employer.

At other times, two separate actions may be required. Returning to the example in the previous paragraph, the employee has to take out an action for statutory compensation under the Employees' Compensation Ordinance (Cap.282) and a separate action for negligence under the common law. However, even if the employee succeeds in both actions, he/she would not be compensated twice for more than what he/she is entitled at law.

4.1.2.1 Tort and Crime

While criminal law focuses on punishing the wrongdoer, tort law is concerned with compensating the victim. Often the same incident can lead to a criminal charge on the wrongdoer followed by a civil action in tort for damages. Take our opening case as an example, Sam may be charged with careless driving at a criminal court by the police and penalised with a fine (paid to the government) and/or other sentence(s). Subsequently, Vivian and Sarah may also sue Sam at a civil court in tort for damages (i.e. compensation at law) caused by the accident.

4.1.2.2 Tort and Contract

Although both contract law and tort law deal with rights and duties, they give rise to very different causes of action. Contractual obligation derives from a contract and concerns only the parties of the contract, whereas tortious liability is imposed by law and applies to all persons. Often the same fact may bring about both contractual liability and tortious liability, yet the plaintiff can only recover once. Generally, compensation in tort aims to put the injured party back to the position that, but for the tort, he/she was in before the injury was committed, whereas compensation in breach of contract aims to put the non-breaching party back to the position where the contract has been performed.

4.1.3 Limitation Period

Each type of cause of action has a different **limitation period** prescribed by legislation in which a claimant can commence an action in that cause. Unless it is otherwise provided in the legislation, no action shall be launched upon the expiration of the limitation period. S.4(1) of the Limitation Ordinance (Cap.347) ('LO') provides that the limitation of action of tort in general shall be six years. However, s.27 of the LO specifies that the time limit for commencement of action for personal injuries shall be three years instead. For fatal cases, the three years limitation period shall run from the date of death of the deceased or the date of the personal representative's knowledge of the death, whichever is the later.

► Knowledge Check Questions

Question 1

Based on the opening case, identify the kind of tortious liability Sam would be likely to incur.

Question 2

Supposing Sarah died seven days after the accident, state when her personal representative(s) are barred from commencing an action in tort against Sam.

➤ 4.2 TORT OF NEGLIGENCE

During the last two centuries of industrialisation, a new branch of tort, the tort of negligence, evolved to impose liability on careless acts resulting in injuries and losses over third parties. It should not be confused with the use of the word 'negligence' as a state of mind. Negligence in tort arises when someone fails to recognise the risk of a particular action or fails to appreciate and guard against the risk and, as a result, another innocent individual is injured.

The tort of negligence is also often misconceived simply as careless conduct without reference to duty of care. A careless conduct may not give rise to an actionable tort unless there is a breach of duty. The modern tort of negligence consists of three components: (1) duty, (2) breach and (3) resulting damage.

4.2.1 Duty of Care

4.2.1.1 Development before *Donoghue v Stevenson*

The history of imposing liability on careless conducts could be dated back to as far as the fourteenth century when the law of negligence had yet to become an independent branch of law. For a long time, liability was restricted to specific situations of bad performance of a person exercising 'public' or 'common' callings, such as carrier, innkeeper, surgeon, attorney, smith and barber. Other early examples of negligence include performance of a bailment¹. Gradually by the end of the sixteenth century, liability had expanded to include pure non-performance of an undertaking or assumption of duty.

As a result of industrialisation, the number of tort actions hiked and new categories of duty were created that are not necessarily coincident to contract. Examples include duty of care on occupiers of premises² and on owners of inherently dangerous goods³.

So far, liability for negligence is still quite restrictive to preceding cases. By the late nineteenth century, the quest for a general principle of negligence defining when a duty would be imposed had begun.

¹ *Coggs v Bernard* (1702) 2 Ld Raym 917.

² *Indermaur v Dames* (1866) L.R. 1 CP 274.

³ *Langridge v Levy* (1837) 2 M & W 519.



4.2.1.2 *Donoghue v Stevenson*: Neighbour Principle

Donoghue v Stevenson is the leading Scottish case that gave rise to the famous **neighbour principle**.

***Donoghue v Stevenson* (1932) AC 562**

Facts: The appellant drank a bottle of ginger-beer manufactured by the respondent which her friend purchased from a retail outlet. While drinking, the appellant found decomposed remains of a snail inside the beer. The appellant suffered from shock and severe gastroenteritis. The appellant instituted a proceeding against the respondent for negligence.

Issue: Whether the respondent as a manufacturer of an article intended for consumption owed a duty of care to the customer to ensure that there was no noxious element in the article.

Held: (By Lord Akin) 'The rule that you are to love your neighbour becomes in law, you must not injure your neighbour; and the lawyer's question, Who is my **neighbour**, receives a restricted reply. You must take reasonable care to avoid acts or omissions which you can reasonably foresee would be likely to injure your neighbour. Who, then, in law is my neighbour? The answer seems to be – persons who are so closely and directly affected by my act that I ought reasonably to have them in contemplation as being so affected when I am directing my mind to the acts or omissions which are called in question'.

Lord Akin's neighbour principle creates a general test to establish duty of care without the necessity to rely on recognised categories of liability. The court also acknowledged that negligence is an open concept and the categories of liability should not be closed. The neighbour principle provided the basis for further elaboration on new categories of negligence.

Subsequently, in *Anns v Merton London Borough Council* (1964) AC 465, the court reformulated the neighbour principle into a two-fold test. The first fold focused on whether or not there is sufficient proximity or neighbourhood in the relationship between the wrongdoer and the plaintiff to establish a duty of care. The second fold concerned whether there is any policy reason that ought to negate or reduce the scope of the duty. This 'Anns two-fold test' was widely adopted by the court in the UK and overseas for quite some years. However, gradually it attracted criticisms.

In *Yuen Kun Yeu v Attorney General of Hong Kong* (1988) AC 175 at 191PC, the Privy Council commented that the first stage of the 'Anns two-fold test' was over-ambiguous and it had neglected a very important ingredient – foreseeability of harm.

Criticisms of the 'Anns two-fold test' continued to culminate and eventually in *Caparo Industries plc v Dickman* (1990) 2 AC 605, the House of Lords further refined the principle into a three-fold test, as follows:

1. The plaintiff's damage or injury was foreseeable by the wrongdoer.
2. There was a close and direct relationship of proximity.
3. It was fair, just and reasonable to create a duty of care.

4.2.1.3 Foreseeability

The concept of foreseeability derives from the standard of a reasonable person (e.g. whether a reasonable person in the same circumstances is able to foresee the injury or damage suffered by the plaintiff).

***Palsgraf v Long Island Railroad Co* (1928) 248 NY 339**

Facts: While a passenger was running to catch a train, he was negligently pushed by the defendant, an employee of the railway company. The passenger was carrying a package containing fireworks, which dropped and exploded. The shock waves caused a metal scale on the other side of the platform to tumble, injuring the plaintiff who was waiting for a train.

Issue: Whether the injury suffered by the plaintiff was foreseeable by the wrongdoer.

Held: The majority of the court held the defendant did not owe a duty to the plaintiff as a reasonable person of ordinary vigilance would not have foreseen the risk of the plaintiff's injury in the circumstances.

Even if a particular type of harm is foreseeable, the wrongdoer may still not be liable if the actual injury suffered by the plaintiff is unforeseeable by the wrongdoer. Unless the wrongdoer possessed actual knowledge of any extraordinary risk, the extent of reasonable foresight is confined to people of ordinary health or susceptibility. This is not to be confused with the 'thin skull' rule in causation.

Foreseeability focuses on whether the wrongdoer could foresee the harm done by his/her action given the circumstances that form his/her knowledge. The 'thin skull' rule only applies when the plaintiff has been satisfied that the harm is foreseeable by the wrongdoer. In that case, the wrongdoer will be liable for all the damage irrespective of whether such damage was aggravated by a peculiar predisposition of the plaintiff. See Section 4.2.3.2 on the 'thin skull' rule.

***Bourhill v Young* (1943) AC 92**

Facts: An accident occurred as a result of the defendant recklessly driving his motor cycle. At the time of the collision, the plaintiff was standing about 45 to 50 feet away from the scene. Though the plaintiff did not witness the accident, she heard the noise created by the collision of the two vehicles. The plaintiff was eight months pregnant. The plaintiff alleged that she suffered a nervous shock as a result of the horrific sound of the collision, which caused her to give birth to a still-born child.



Bourhill v Young (1943) AC 92 (continued)

Issue: Given the circumstance of where the defendant was situated, the issue was whether the plaintiff's injury was within the range of potential harm that the defendant could have reasonably contemplated.

Held: Notwithstanding the defendant's duty to other road users, the court rejected the defendant's liability, and held that, at the time of the accident, the plaintiff was outside the range of the defendant's vision. The plaintiff, situated as she was, was too remote from the scene of the accident and the defendant could not have foreseen the plaintiff's nervous shock.

4.2.1.4 Proximity

Foreseeability itself is too wide to capture liability. One may foresee numerous consequences resulting from our own acts or omissions, but that does not mean one shall always be responsible for all or any of those consequences. A sufficient degree of proximity is also essential to hold one liable.

Proximity has become a term of art. It can be judged by physical closeness, as in the case of a nervous shock resulting from witnessing a horrific accident⁴ or, on the other hand, by reference to cause and effect, as in cases of defective manufacture. Proximity may also be established by exercising control or management over certain activities, such as employers' liability.

4.2.1.5 Fairness, Justice and Reasonableness

Even if the injury was reasonably foreseeable by the defendant and there was sufficient proximity in the relationship of the parties, duty of care may not be established unless the court is satisfied that it is fair, just and reasonable in the circumstances to hold the defendant liable. It is ultimately an issue of policy to prevent opening a floodgate of cases that are against the public interest.

As held in *Barrett v Enfield London Borough Council* (2001) 2 AC 550, when considering whether it is fair, just and reasonable to impose liability in negligence on a particular class, the court is balancing the detriment of the public interest to all cases from holding such a class liable in negligence against the consequence of the plaintiffs not having a cause of action to recover their loss. In other words, the court is determining whether there is any judicial policy to limit the scope of liability in the circumstances. There are a few identifiable concerns that the court has frequently referred to: (1) promoting individual autonomy, (2) preventing indeterminate liability and (3) protecting the vulnerable.

Promoting Individual Autonomy

In order to promote individual autonomy, the common law draws a significant distinction between positive acts and failures to act. This rests on the policy to respect one's freedom of action including engaging in dangerous activities. Therefore, the court refrains from imposing duty on a person to prevent harm suffered by others unless there is any special responsibility held by the defendant, such as a paternalistic relationship of supervision or control, or the defendant intentionally attracts or invites others to a risky situation that he/she has created or controls.

⁴ *McLoughlin v O'Brian* (1982) 2 All ER 298.

Preventing Indeterminate Liability

The court also takes a policy consideration of not opening a floodgate of cases that may create an unwanted ripple effect of indeterminate liability. For instance, the court is cautious in granting psychiatric damage for a secondary victim and pure economic loss.

Protecting the Vulnerable

There is a concern to protect the vulnerable who lack reasonable means to protect themselves in the circumstances. For instance, the court has imposed a duty on the surveyor to the potential buyer of a defective house. However, in situations where the person is in a position to look after his/her own interest, the imposition of a duty was found to be unnecessary or inappropriate. In *James McNaughton Paper Group Ltd v Hicks Anderson & Co* (1991) 1 All ER 134, (1991) 2 QB 113, (1990) EWCA Civ.11, an accountant was hired to prepare the company's financial statements during a takeover. The final draft accounts were shown to the prospective purchaser. It was subsequently found that the draft accounts were inaccurate. The accountant was found not liable to the prospective purchaser of the company because the accountant could not have foreseen that the prospective purchaser would rely on the draft accounts without consulting his own accountant (See Section 4.2.5.2).

4.2.2 Breach of Duty of Care

The question following the establishment of a duty of care is whether the defendant has breached such a duty. The test is an objective one.

In *Blyth v Birmingham Waterworks Co* (1856) 11 Exch 781, p. 784, Alderson B explained the concept of a **reasonable person** as negligence is the omission to do something which a reasonable man, guided upon those considerations which ordinarily regulate the conduct of human affairs, would do, or doing something which a prudent and reasonable man would not do.

The test for reasonableness is highly fact-sensitive. The court will look into the whole surrounding circumstances to determine what a reasonable man ought to do in the situation. Decisions in individual cases on the issue of reasonableness only provide general guidance but no more.

The wrongdoer is not obliged to take all available measures to avoid the harm. He/She is only required to take the reasonable steps in the balance of costs and benefits given the circumstances. The court may also take into account the common practice of those in a similar position to determine what the wrongdoer is reasonably expected to do.

4.2.2.1 Reasonable Person

The character of a reasonable person has been described by Laidlaw J.A in *Arland v Taylor* (1955) O.R. 131 as 'a mythical creature of the law whose conduct is the standard by which the courts measure the conduct of all other persons and find it to be proper or improper in particular circumstances as they may exist from time to time. He is not an extraordinary or unusual creature; he is not superhuman; he is not required to display the highest skill of which anyone is capable; he is not a genius who can perform uncommon feats, nor is he possessed of unusual powers of foresight. He is a person of normal intelligence who makes prudence a



guide to his conduct. He does nothing that a prudent man would not do and does not omit to do anything a prudent man would do. He acts in accord with general and approved practice. His conduct is guided by considerations which ordinarily regulate the conduct of human affairs. His conduct is the standard adopted in the community by persons of ordinary intelligence and prudence'.

By adopting a reasonable standard, the court is only requiring a minimum level of performance, but not seeking for perfection.

4.2.2.2 Standard of Care

Although the court does not factor in the wrongdoer's personal equation, the objective test of a reasonable person does not operate in a vacuum or in isolation of the surrounding circumstances. The court would consider elements such as knowledge, skill, physical and intellectual deficiencies and age, to determine the standard of care that is called for in that particular case.

The wrongdoer is deemed to have possessed the knowledge that a reasonable man ought to have and acted reasonably according to his/her knowledge. The court will look into the context of the scientific and technological development at the time of the incident.

Roe v Minister of Health (1954) 2 QB 66

Facts: Two patients underwent minor operations. Disinfectant had seeped into the anesthetic injected into the patients through the invisible cracks in the sealed glass ampoules used to store the anesthetic. As a result, the patients were permanently paralysed. The patients claimed against the Minister of Health as successor in title of the trustees of the hospital and the anesthetist for damages for personal injuries.

Issue: The standard of medical knowledge the anesthetist and other members of the hospital staff taking part in the operation ought to have had at the time of the operation.

Held: In rejecting liability on the anesthetist, the Court of Appeal reiterated that the standard of medical knowledge should be assessed at the time of the incident. As per Lord Denning, '[m]edical science has conferred great benefits on mankind, but these benefits are attended by considerable risks. Every surgical operation is attended by risks. We cannot take the benefits without taking the risks. Every advance in technique is also attended by risks. Doctors, like the rest of us, have to learn by experience; and experience often teaches in a hard way. Something goes wrong and shows up a weakness, and then it is put right. That is just what happened here . . . We must not look at the 1947 accident with 1954 spectacles'.

Skill

Persons with special skills such as lawyers, accountants, engineers, physicians and surgeons ought to acquire the standard of competence that is expected of them in their profession. In *Bolam v Friern Hospital Management Committee* (1957) 2 All ER 118, McNair J gave the classic

exposition of the test for professional standards by evaluating the conduct against common practice. This is commonly referred to as the '**Bolam test**':

'[A doctor] is not guilty of negligence if he has acted in accordance with a practice accepted as proper by a responsible body of medical men skilled in that particular art. . . . [A] man is not negligent, if he is acting in accordance with such a practice, merely because there is a body of opinion who would take a contrary view. At the same time, that does not mean that a medical man can obstinately and pig-headedly carry on with some old technique if it has been proved to be contrary to what is really substantially the whole of informed medical opinion'.

The 'Bolam test' does not promote a standard of perfection. The skilled person is not required to rigidly comply with the common practice without any wriggle room. They have the discretion to exercise their clinical judgment in their practice so long as they act with the ordinary care required.

Ho Ying Wai v Keliston Marine (Far East) Ltd & Anor (2003) 1 HKLRD 343

Facts: The plaintiff is a commercial diver. He was referred by his employer to the defendant, a general practitioner who had no experience or special knowledge relating to the physical requirement of a commercial diver, to conduct medical exams for his fitness for the job as a commercial diver. The defendant failed to detect a pneumothorax in the plaintiff's lung. The plaintiff's conditions deteriorated as he continued to dive.

Issue: The plaintiff argued that the defendant had breached his duty of care by failing to provide a proper medical examination and to refer the plaintiff to a specialist in medicine in relation to commercial diving.

Held: The court held the defendant liable. It was held that the defendant had acted below the standard of a competent medical practitioner by failing to conduct a thorough examination and make adequate inquiry of the plaintiff's medical history. The defendant, by accepting the retainer to conduct the fitness exam, was expected to acquire the competency of a reasonably competent practitioner in that field. His failure to make himself familiar with the Hong Kong Code of Practice for Diving and guidance in relation to diving medicine and professional divers' medical examinations was another breach of his duty.

Inexperience is not a defence for failing to meet the professional standard expected of an ordinary skilled person exercising and professing to have that special skill. The test is focused on the activity in question, not on the person. The standard of care depends on the type of work that is normally undertaken by the vocation or profession that the person belongs to or claims to belong.

4.2.2.3 Factors Affecting Breach of Duty

Though the court would use the reasonable man test in Section 4.2.2.1 to measure whether the wrongdoer has breached the duty of care, there are some other factors that would influence the court to decide whether or not the defendant has exercised reasonable care in bringing out the negligent act. The factors that contribute to decide whether there is a breach of duty are:

1. Likelihood of the risk;
2. Seriousness of the risk;



3. Cost of avoiding harm; and
4. Codes of practice.

Likelihood of the Risk

If the risk of an activity that brings about injury is reasonably foreseeable (and hence the likelihood of the risk is high), the defendant should be expected to take greater care to reduce the risk of injury. To take considerable precautions against a frequent risk is a way to show that the defendant has acted in a reasonable manner, and thus he/she may not have breached the duty of care.

Bolton v. Stone (1951) AC 850

Facts: The plaintiff was walking just outside a cricket ground and was hit and injured by a cricket ball. The cricket ground was surrounded by a fence to prevent any ball from being hit out of the ground to the road nearby. According to previous statistics, fewer than 10 flying balls were found to have caused injury to passers-by in about 30 years.

Issue: Was it reasonable to take further action to prevent a small risk that was foreseeable.

Held: The court stated that to decide whether the defendant owners had behaved with reasonable care depended upon foreseeability and risk. On the issue of foreseeability and risk, the court considered that someone might be hit by a ball out of the ground was foreseeable, thus the owners were expected to take preventive measures against the risk. However, the chance of such cause for injury to pedestrians was so low, and the measures taken by setting the fence around the cricket ground were reasonable. It was not necessary for the defendant to have taken further action to prevent the low risk. This was also explained by the court that spending high costs to avoid such a low risk was impractical, as a reasonable man would not have increased the height of his surrounding fence as a precaution against the extremely small risk.

Seriousness of the Risk

In addition to the likelihood of the risk, the court must also examine the seriousness of the risk. The more serious the potential risk, the greater the precautions that the tortfeasor should have taken.

Paris v. Stepney Borough Council (1951) AC 367

Facts: The employer was sued for negligence when they failed to provide safety goggles to a worker with only one eye. Without such protection given by the goggles, the worker lost his complete eyesight after a metal shaving went into his good eye during his work.

Issue: Was the employer negligent for failing to provide goggles to the worker with one good eye only.

Paris v. Stepney Borough Council (1951) AC 367 (continued)

Held: The court decided that, while the handicap did not make the risk of injury more serious, the threat to the well-being of the plaintiff was greater (due to the fact that he had only one good eye) and therefore the defendant was held to a higher standard. The defendant was found to have been negligent in not providing the plaintiff with a pair of goggles.

Cost of Avoiding Harm

The costs issue preventing the harm is also considered when the court determines whether there is a breach of duty. Some risks can be eliminated at high expense. In *Bolton v. Stone* [1951], the cricket ground owners may extend the fence upward to such a height that no cricket ball off the ground is able to fly over the fence and hit any pedestrian on the other side. It is obvious that the cost to avoid such a risk is very high. On the contrary, in *Paris v. Stepney Borough Council* [1951], the cost of buying a pair of goggles to allow the worker to ward off the risk during his work is comparatively low, such that it is unreasonable for the employer not to give the goggles to the worker as a preventive measure. Thus, the court has to do a balancing act between the costs that the defendant has absorbed and the benefits to the victim and the community to determine the breach of duty.

Latimer v. A.E.C. Ltd (1953) AC 643

Facts: Due to a rainstorm, the floor of an industrial factory was flooded and became very slippery when the water mixed with oil leakage from a machine. The defendants, the factory owner and the employer, applied sawdust to cover most of the floor for safety purposes. The plaintiff workman walked over the floor with no sawdust, fell and was injured. He sued his employer for negligence.

Issue: Was the employer negligent in failing to close down the part of the factory with the slippery floor.

Held: The court held that the tortfeasor was not required to prevent any form of harm no matter how high the cost was. The defendants had done all that was reasonably possible to minimize the risk and were not obliged to spend a fortune to eliminate the risk entirely. Thus, the court decided that the defendants had not breached the duty and the risk of injury was not sufficient to require the defendants to close down the factory.

Codes of Practice

Professional bodies usually have codes of practice for their members. The rules in the code may impose higher standards on members than that required by law. As a rule, members would be negligent in failing to follow closely a code of practice. They may also need to pay attention to whether the code of practice has been improved and modified from time to time to cover special situations.

Rimmer v. Liverpool City Council (1984) 1 All ER 930

Facts: The defendant landlord leased a flat to the plaintiff tenant. The tenant seriously injured his hand by a thin plate glass door in his home when accidentally falling down onto the floor. The tenant had previously complained to his landlord about a thin plate glass door. It was found that no code of practice was provided for the landlord's reference about the specification of the glass used for the doors at the time of building the flat. Thinner unwired glass instead of thicker wired glass was then chosen. The landlord was not aware of the two codes of practice that were published by the British Standards Institution, which were helpful to the landlord in deciding the use of the appropriate glass for the doors.

Issue: Whether there was a breach of duty of the landlord for failing to replace the thinner glass by the thicker one before the tenant had sustained the hand injury.

Held: As there was a reasonably foreseeable risk of injury from the work done by using thin glass, the landlord owed a duty to the tenant to replace the glass with a thicker and safer type. The codes of practice should have alerted the landlord about the appropriate specification about the glass used.

4.2.3 Causation and Remoteness of Damage

Causation in tort means there must be a direct causal link between the defendant's negligent action or omission, both to the cause of the accident and to the cause of the plaintiff's injury and damages.

Causation is a question of facts. It is an evidential burden imposed upon the plaintiff to prove, on the balance of probabilities, the alleging negligence. Once that has been done, the evidential burden then shifts to the defendant to show that the incident did not happen through any want of care on his/her part.

The plaintiff may rely on direct or circumstantial evidence to prove his/her claim. Negligence can also be proven by drawing an inference from the facts that make it more probable that it was negligence on the part of the defendant that caused the plaintiff's injury, rather than any other cause.

Expert evidence is often adduced to support the causation of the defendant's negligence to the plaintiff's injury and damage.

4.2.3.1 But For Test

Despite having a causal link, it must be established that by the **but for test** the wrongdoer's action or omission, the plaintiff would not have suffered his/her injury or damage. If the injury would have occurred regardless of the wrongdoer's fault, then it was not caused by the wrongdoer.

Barnett v Chelsea Hospital Management Committee (1969) 1 QB 428

Facts: The plaintiff's husband and two other men visited the Casualty Department of the Chelsea Hospital about their vomiting. They were told to consult their family doctor instead. The plaintiff's husband was in fact subject to arsenic poisoning and died. The plaintiff sued the hospital for negligence by failing to conduct a physical examination on her husband before turning him down.

Issue: Has the plaintiff established the causation of damage by showing that the hospital's failure to treat her husband was the cause of her husband's death.

Held: When the plaintiff presented herself to be ill at the hospital, the close and direct relationship between the parties imposed a duty of care on the hospital to the plaintiff's husband. The hospital was negligent by failing to treat the plaintiff's husband. Despite that, the hospital was held not liable for the husband's death because even if he had received proper medical attention from the hospital, he would have died in any event. Hence, the causation of the damage was not established.

Sometimes there can be multiple causes to the plaintiff's injury. In that case, it is sufficient to establish causation if the wrongdoer's negligence is a material contribution to the plaintiff's injury.

McGhee v National Coal Board (1973) 1 WLR 1

Facts: The plaintiff was employed to work in emptying pip kilns at a brickworks. The working conditions were hot and dusty. The plaintiff was found to have contracted dermatitis. The plaintiff sued his employer for failing to provide adequate washing facilities and caused the plaintiff's contraction of the disease.

Issue: According to the medical evidence, the dermatitis was caused by repeated minute abrasions of the outer horny layer of the skin followed by some injury to the underlying cells. However, the precise cause of the disease was not yet scientifically known. Whether the plaintiff could prove the employer's negligence was the cause of his contraction of the disease?

Held: Medical evidence supports that if the plaintiff sweated for a considerable time, the outer layer of his skin would soften and easily be injured. This would cause the abrasion to cumulate. Washing was the only practicable way of removing the danger of contracting dermatitis. Although the medical evidence could not establish that, had the plaintiff washed his body immediately at work, he would not have contracted the disease, yet, in the absence of precise knowledge of all the material factors relating to the disease, it was sufficient to prove the causation of damage by showing that the employer's negligence had materially increased the risk of the plaintiff's injury and made a material contribution to the plaintiff's injury.



If there are multiple simultaneous causes of the plaintiff's injury, the plaintiff could not make profit from his/her injury. If one of the wrongdoers paid compensation to the plaintiff in full, he/she may claim against the other wrongdoers for contribution to the extent of their respective responsibilities.

4.2.3.2 Thin Skull Rule

Once the type of the plaintiff's injury is foreseeable, the wrongdoer is liable to its full extent. The **thin skull rule** says that the wrongdoer shall take the victim as he/she finds him/her.

Smith v Leech Brian & Co (1961) 3 All 1159

Facts: The plaintiff's husband was employed by the defendant to remove galvanised articles from a tank of molten metal. One day at work, a drop of molten metal splashed on his lip and caused a burn. The burn triggered cancer in his tissue which already had a pre-malignant condition and he died three years later.

Issue: Whether the defendant could have foreseen the plaintiff's husband's burn on his lip which had led to his death.

Held: The burn was a foreseeable consequence of the defendant's negligence and it caused the plaintiff's husband's death. To hold the defendant liable, it is unnecessary to show that the death by cancer was foreseeable, nor that an ordinary person would die as a result of the burn. As long as the injury itself is foreseeable, the defendant was liable to its full extent.

The thin skull rule only takes the plaintiff's pre-existing conditions as his/her original position. The defendant needs not to put the plaintiff in a position better than his/her original position. In other words, the defendant is only responsible to the full extent of injury he/she caused, but not of any consequential effects on the pre-existing conditions that he/she would suffer anyway.

4.2.3.3 Intervening Causes

The fact that the defendant's act or omission in fact caused the plaintiff's injury or damage is not enough. It must also establish legal causation, namely, the injury was not too remote and is a direct consequence of the defendant's act or omission.

Novus actus interveniens refers to a subsequent independent act that breaks the chain of causation that is treated as a new and independent cause of the plaintiff's injury. It can be a result of natural forces or human reactions. If the intervening event is something that the wrongdoer ought to have reasonably anticipated, he/she is still liable for it. Otherwise, it breaks the causal link of the defendant's negligent act or omission, and the defendant is not liable for the injury that was caused by the intervening event.

Leung Sin Fai v Perfect World Co Ltd & Ors Checkson Metal & Die-Casting Factory Ltd (Third Party) (1998) 2 HKLRD 115

Facts: The defendant failed to provide any designated area for his worker to take a break or rest at work. The plaintiff, one of his employees, took a usual break in a toilet that had no lighting in it. Unknown to the defendant, someone had placed inflammable liquid in one of the toilet bowls. The plaintiff attempted to check the time in the gloom, so he flicked his lighter, causing an explosion.

Issue: Whether the fact that someone unknown to the defendant had placed inflammable liquid into the toilet bowl was a *novus actus interveniens*.

Held: The court held that the defendant was not liable because he could not have reasonably foreseen that another person would have poured the inflammable liquid into the toilet bowl.

Hui Kay Cheong, Herman v Chi Wo Properties Ltd (1992) HKDCLR 51

Facts: The plaintiff and his wife were blindfolded and robbed at their home. When they went to the management office to phone the police, they found that the guard was asleep and there was no guard at a guard post situated close to the driveway. They sued the management company for negligence by failing to provide adequate security in the building.

Issue: Whether the robbery was a *novus actus interveniens*.

Held: No. The management company was held liable. According to the management agreement, the management company was responsible for taking all reasonably necessary measures to protect the building and its occupants from all criminal activities. The building was completely unprotected at the time of the robbery with the result that the robbers were free to come in and out of the building as they pleased. The burglary was a highly foreseeable consequence of the management company's failure to safeguard the building. Therefore, it was not a *novus actus interveniens*.

Illustrative Example 1

While driving on the highway, X did not notice that Y's car was pulled off to the side of the road with rear signal lights flashing some distance away from X. In negligence, X's car crashed into Y's car from behind and Y suffered a serious leg injury. Y was then sent to the hospital. It was found that the surgery performed by the hospital's operation team was negligent, which caused permanent disability to both legs of Y. It was later proved that the car accident only caused a bone fracture to Y's legs, which could have been cured in three months.

Illustrative Example 1 (continued)

The facts of this scenario show that there is no apparent link between permanent disability of Y's legs and X's negligence. Y's present status was caused by medical negligence, which was an intervening event that broke the chain of causation between X's negligence and Y's disability. In this way, X was not liable for the permanent disability after Y's operation was done.

4.2.3.4 *Res Ipsa Loquitur*

Res Ipsa Loquitur, which means a prima facie case, is a rule of evidence that in essence describes the use of common sense to assess the evidence. It applies to cases where the plaintiff is only able to prove the happening of the accident without attribution to a precise act or omission of the wrongdoer that causes the accident. However, on evidence, the accident is more likely than not to have been caused by the wrongdoer's negligence. In such a case, the court can draw a presumptive inference of negligence on the part of the wrongdoer. The wrongdoer is liable unless he/she could rebut the inference by proving that he/she had exercised all due care or that the accident was caused by an act not involving his/her negligence.

As per Bokhary PJ in the leading case in Hong Kong, *Sanfield Building Contractors Ltd v Li Kai Cheong* (2003) 3 HKLRD 48, CFA, p. 211C-F:

'This mode of inferential reasoning applies only to accidents of unknown cause. But it matters not that the immediate cause of an accident (e.g. brake failure or a burst tyre) is known. As long as the cause on which the issue of liability actually turns (e.g. why the brakes failed or the tyre burst) is unknown, the accident is regarded as one of unknown cause. The *res ipsa loquitur* mode of inferential reasoning comes into play where an accident of unknown cause is one that would not normally happen without negligence on the part of the defendant in control of the object or activity which injured the plaintiff or damaged his property. In such a situation the court is able to infer negligence on the defendant's part unless he offers an acceptable explanation consistent with his having taken reasonable care. The 'essence' of this was identified by Lord Radcliffe in *Barkway v South Wales Transport Co Ltd* (1950) 1 All ER 392 at p.403G. It is, his Lordship said, that 'an event which in the ordinary course of things is more likely than not to have been caused by negligence is by itself evidence of negligence'.

***Sanfield Building Contractors Ltd v Li Kai Cheong* (2003) 3 HKLRD 48**

Facts: The plaintiff was a sub-sub-subcontractor for installing metal window frames on a site. On the day of the accident, the plaintiff had not commenced his work to install the window frames but was employed as a general worker by the subcontractor. The top of a 3.8 meter high movable scaffold was entangled with wiring dangling on the ceiling. The plaintiff climbed up the movable scaffold to free it from the wiring, the scaffold toppled over the edge of a light well and fell some 15 meter down to the ground. The plaintiff was severely injured. The plaintiff sued against the principal contractor and sub-contractor for negligence.

Issue: Whether there was a prima facie case of negligence on the part of the defendants.

Sanfield Building Contractors Ltd v Li Kai Cheong (2003) 3 HKLRD 48 (continued)

Held: The movable scaffold was of the type that would not normally topple by itself. The defendants argued that the accident was caused by a latent defect in the movable scaffold and so this was not discoverable by the exercise of reasonable care. The Court of First Instance rejected the defendants' contention of latent defect and instead applied *res ipsa loquitur*. It was found that the accident was caused by some unknown defect of the scaffold and the defendants had provided no acceptable explanation consistent with them having taken reasonable care. The principal contractor appealed to the Court of Appeal and Court of Final Appeal, but both appeals were dismissed.

4.2.4 Defences to Negligence

4.2.4.1 Contributory Negligence

Contributory negligence is an act or omission by the plaintiff which directly or materially contributes to his/her injury. It must be established that the plaintiff has exposed himself/herself to the risk. A classic example is a passenger failing to fasten a seat belt and thus causing him/her to suffer an injury from a car accident.

The onus of proof for contributory negligence is on the wrongdoer. It is not a complete defence of the plaintiff's claim but allows apportionment of the damage to the extent of the plaintiff's liability. The elements are similar to those of proving negligence in respect of causation and standard of care. However, the plaintiff does not need to owe a duty to the wrongdoer.

The essential question is to prove that it is the plaintiff's fault and not his/her conduct that has caused his/her own injury. Therefore, not every passenger who fails to wear his/her seat belt in an accident is contributory negligent.

Chan Wing Kin & Anor v Fannie Co (1983) HKLR 102

Facts: The second plaintiff, a pregnant woman, was sitting as a front seat passenger in the car driven by her husband, the first plaintiff. The plaintiffs' car collided with the defendant's vehicle and, as a result, both plaintiffs were injured. Due to her pregnancy, the second plaintiff didn't wear a seat belt while she was aboard.

Issue: Whether the second plaintiff's failure to wear a seat belt constituted contributory negligence.

Held: The court accepted the second plaintiff's submission that wearing a seat belt would have caused more harm to her unborn child than not wearing one. It was

Chan Wing Kin & Anor v Fonnio Co (1983) HKLR 102 (continued)

not unreasonable or imprudent for the second plaintiff not to wear a seat belt in her circumstances. The second plaintiff was also not bound by any policy or legal requirement to sit in the rear seat. It would be incumbent upon the passenger to take all available steps to reduce or extinguish her risk of injury in the event of an accident. Hence, the second plaintiff did not constitute contributory negligence.

S.21 of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23) ('LARCO') provides that:

1. Where any person suffers damage as the result partly of his own fault and partly of the fault of any other person or persons, a claim in respect of that damage shall not be defeated by reason of the fault of the person suffering the damage, but the damages recoverable in respect thereof shall be reduced to such extent as the court thinks just and equitable having regard to the claimant's share in the responsibility for the damage:

Provided that:

- (a) this subsection shall not operate to defeat any defence arising under a contract; and
 - (b) where any contract or enactment providing for the limitation of liability is applicable to the claim, the amount of damages recoverable by the claimant by virtue of this subsection shall not exceed the maximum limit so applicable.
2. Where damages are recoverable by any person by virtue of subsection 1 subject to such reduction as is therein mentioned, the court shall find and record the total damages that would have been recoverable if the claimant had not been at fault.
 3. Where any person dies as the result partly of his own fault and partly of the fault of any other person or persons, and accordingly if an action were brought for the benefit of the estate under section 20, the damages recoverable would be reduced under subsection 1, any damages recoverable in an action under the Fatal Accidents Ordinance (Cap.22) shall be reduced to a proportionate extent.

By virtue of s.21(2) of the LARCO, the court is required to make a finding of the total amount of damages awardable to the plaintiff regardless of his/her liability and then proceed to reduce the damage by apportionment in accordance to the extent of the plaintiff's contributory negligence.

4.2.4.2 Voluntary Assumption of Risk

Volenti Non Fit Injuria is when the plaintiff assumes the risk of a wrongdoer's conduct. To establish the defence, it must be proved that the wrongdoer is negligent and the plaintiff was aware of the risk and consented to it. It is a complete defence, so if the wrongdoer succeeds, the plaintiff would not be entitled to any damages. The requirements for a successful plea are, therefore, much more stringent than proving contributory negligence.

Simms v Leigh Rugby Football Club (1969) 2 All ER 923

Facts: The plaintiff was a member of a visiting team playing rugby football on the defendant's club ground. During a game, the plaintiff broke his leg as he was tackled and thrown towards a concrete wall running at a distance of about 7 feet 3 inches along the touchline. The plaintiff sued the defendant for occupier's liability.

Issue: Whether the defendant could rely on the defence of a voluntary assumption of risk.

Held: A rugby football player was deemed willingly to accept the risks of playing on such a ground as complies with the by-laws of the Rugby Football League. The League's by-law prescribed that the distance had to be at least 7 feet. There was insufficient evidence to support that the plaintiff had hit his leg on the concrete wall. There was no previous occurrence of an accident of a similar nature. However, even if the plaintiff did hit his leg on the concrete wall, the club was not liable because the plaintiff, by participating in the game, must have willingly accepted the risks involved in playing on that field.

The basis of the defence relied on the plaintiff's voluntary consent to the risk involved in the activity. Mere knowledge is insufficient to prove the plaintiff's consent. There must be an explicit or implied agreement before the act of the wrongdoer's relevant act of negligence to waive any liability resulting from the lack of reasonable care by the defendant. Implied knowledge usually will not be successful unless the plaintiff has full knowledge of the nature and extent of the risk involved.

Generally speaking, the defendant may contract out or restrict his/her liability in negligence, whether personal or vicarious, subject to common law and statutory restrictions. In common law, a person is free to contract out his/her liability in negligence unless the waiver would infringe on a public right or against a public policy. There are several legislations that restrict the agreements to contract out or limit a person's liability in negligence. Examples of these include:

1. S.415(2) of Companies Ordinance (Cap.622) ('CO') provides that if a provision purports to exempt an auditor of the company from any liability that would otherwise attach to the auditor in connection with any negligence, default, breach of duty or breach of trust occurring in the course of performance of the duties as auditor in relation to the company, the provision is void.
2. S.415(3) of the CO provides that if, by a provision, the company directly or indirectly provides an indemnity for an auditor of the company, or an auditor of an associated company of the company, against any liability attaching to the auditor in connection with any negligence, default, breach of duty or breach of trust occurring in the course of performance of the duties as auditor in relation to the company or associated company (as the case may be), the provision is void.
3. S.7 of the Control of Exemption Clauses Ordinance (Cap.71) ('CECO') provides:
 - (a) A person cannot by reference to any contract term or to a notice given to persons generally or to particular persons exclude or restrict his liability for death or personal injury resulting from negligence.

- (b) In the case of other loss or damage, a person cannot so exclude or restrict his liability for negligence except in so far as the term or notice satisfies the requirement of reasonableness.
 - (c) Where a contract term or notice purports to exclude or restrict liability for negligence a person's agreement to or awareness of it is not of itself to be taken as indicating his voluntary acceptance of any risk.
4. S.2(2) of the CECO provides that in the case of both contract and tort, ss.7 to 12 of the CECO apply (except where the contrary is stated in s.11(4) of the CECO) only to business liability, that is liability for breach of obligations or duties arising–
- (a) from things done or omitted to be done by a person in the course of a business (whether his/her own business or another's); or
 - (b) from the occupation of premises used for business purposes of the occupier, and references to liability are to be read accordingly. However, liability of an occupier of premises for breach of an obligation or duty towards a person obtaining access to the premises for recreational or educational purposes, being liability for loss or damage suffered by reason of the dangerous state of the premises, is not a business liability of the occupier unless granting that person such access for the purposes concerned falls within the business purposes of the occupier.

4.2.5 Actions Against Accountants and Auditors in Tort

In *Bolam v Friern Hospital Management Committee* (1957) 1 WLR 582, the court established the Bolam test. When a person undertakes a task that requires special skills or competence to complete, the Bolam test assumes that he/she possesses the same level of skills as an ordinary competent practitioner in the relevant specialty. Inexperience is not a defence to fall short of the standard. To decide the standard of care calling for a particular specialty, professional practice or opinion should be acquired (See Section 4.2.2.2).

4.2.5.1 Duty to Client in Tort

Often the legal relationship between a professional and his/her clients arise from contract. Regardless of the terms of the agreement, it is well settled that professionals also hold a parallel tortious duty towards their clients.

***Caparo Industries plc v Dickman* (1990) 2 AC 605**

Facts: Dickman and the other appellants were chartered accountants. They were auditors of a public limited company. The audited account was announced to the public. Caparo Industries plc ('Carparo'), in reliance of the accounts, purchased shares of the public company in the market. The accounts turned out to be inaccurate and misleading. Caparo sued Dickman for negligent misstatement.

Issue: Who did Dickman owe a duty of care to.

Caparo Industries plc v Dickman (1990) 2 AC 605 (continued)

Held: When a professional agreed to advise or provide information in full awareness that his advice or information given would be relied upon by his client, he has voluntarily assumed responsibility towards his client to ensure accuracy of his statement. Since the statutory requirement for an audit of a public company is to enable shareholders of the company to exercise their class rights and for making decisions as to future investment in the company, Dickman owed a duty of care to the shareholders of the company to ensure the contents of the audit report is accurate. However, such duty did not expand to non-shareholders contemplating investment in the company in reliance on the published account.

Negligent Misrepresentation

Where there is a special relationship between the maker of a statement and the recipient, such as solicitor/client, accountant/client and banker/customer, the representor has a duty of care not to make any representation that he/she has no reasonable grounds to believe is true. The injured recipient may sue the statement maker for negligent misrepresentation and for the remedy of rescission and/or damages.

Hedley Byrne & Co Ltd v Heller & Partners Ltd (1964) AC 465

Facts: The plaintiff was a firm of advertising agents. It was engaged by its client, Easipower Ltd ('Easipower'), to conduct an advertising campaign. The plaintiff, on behalf of Easipower, made substantial orders on credit terms for advertising time and television programmes and advertising space in certain newspapers. The plaintiff would be liable if Easipower failed to pay. Being doubtful of Easipower's financial position, the plaintiff instructed its bank to enquire with the Easipower's bank that Easipower had dealt with before, as to the creditworthiness of Easipower. The defendant replied that Easipower was a 'respectably constituted company considered good for its ordinary business engagements'. However, the advice was negligently given as Easipower was in financial difficulty. Relying on the defendant's inaccurate advice, the plaintiff spent money for Easipower and lost £17,000 when Easipower went into liquidation. The plaintiff sued the defendant for negligent misrepresentation.

Issue: What kind of relationship must the plaintiff establish in order to give rise to a cause of action for negligent misrepresentation.

Held: The defendant was not liable to negligent misrepresentation because it was made clear that the statement was made 'without responsibility' from the defendant. In explaining its decision, the House of Lords stated:

1. (Per Lord Reid) 'Liability for negligent misrepresentation could not be found on the *Donoghue v Stevenson's* neighbour principle alone; the representor must have also expressly or impliedly undertaken responsibilities for their statement. In the absence of any contract, an innocent (not fraudulent) but negligent misrepresentation could only give rise to an action when there is a 'special relationship' between the representor and recipient.'



Hedley Byrne & Co Ltd v Heller & Partners Ltd (1964) AC 465 (continued)

2. (Per Lord Morris) 'A 'special relationship' arises when someone of special skills undertook, irrespective of contract, to apply that skill for the assistance of another person who relied upon such skill.'
3. (Per Lord Devlin) 'The 'special relationship' required to establish a duty of care arose in relationships 'equivalent to contract' where there was an assumption of responsibility which, but for the absence of consideration, would constitute a contract. The responsibility was not one implied by law, but one which was voluntarily accepted either generally where a general relationship was created or specifically in relation to a particular transaction. Where there was a general relationship (such as that of solicitor/client, banker/customer, although there were others yet to be established) it was unnecessary to prove any more than its existence, and the duty followed. Where a particular relationship was created ad hoc (as in the instant case) the facts had to be examined to see if there was an express or implied undertaking of responsibility.'
4. (Per Lord Pearce) 'To impose a duty of care, the relationship between the parties had normally to concern a business or professional transaction whose nature made clear the gravity of the inquiry.'

4.2.5.2 Duty to Third Parties

In addition to his/her clients, a professional may also be liable to other third parties when sufficient proximity is established on fact. In *Caparo Industries plc v Dickman*, the House of Lords held that while an auditor of a public company owes the shareholders a duty of care, such a duty does not extend to potential investors who rely on their accounts as the fact does not support that the defendant knew or had reason to know that his statement would be communicated to the plaintiff.

In *James McNaughton Paper Group Ltd v Hicks Anderson & Co* (1991) 2 QB 113, it was held that in determining whether a duty of care is owed to a third party in respect of a statement made by a professional, the following criteria are to be taken into consideration:

1. The purpose for which the statement was made, particularly whether the intended recipient is the advisee or a third party;
2. The purpose for which the statement was communicated;
3. The relationship between the advisor, the advisee and the relevant third party;
4. The size of any class to which the advisee belongs;
5. The knowledge of the advisor of the purpose of which the statement was made or the purpose of which the statement was communicated to the advisee; and
6. Reliance by the advisee.

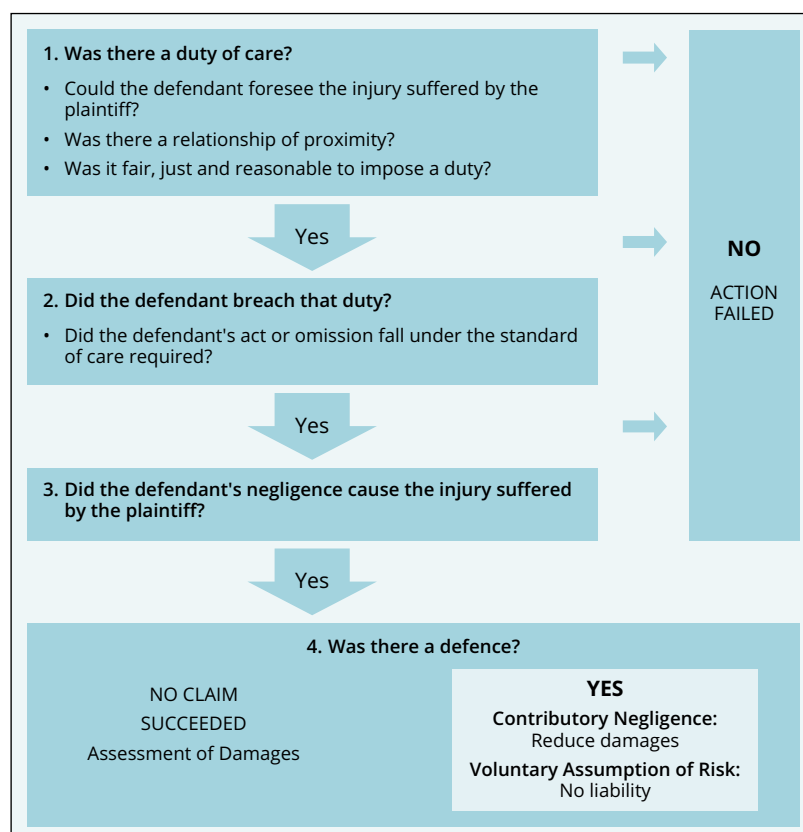
4.2.6 Damages for Negligence

Damages in the majority of cases are pecuniary compensations in the form of a lump sum awarded at one time. The purpose of granting damages is to compensate the plaintiff for his/her loss and damage. There are four other types of damages in which the court is exempted from the general principle to compensate for loss:

1. **Nominal damages** are awarded when the plaintiff has established a cause of action but failed to prove any loss or damage.
2. **Exemplary damages** are awarded for wanton tortious conduct, for the purpose to punish rather than to compensate.
3. **Liquidated damages** when there is a contractual agreement on the sum of damages in advance of any breach.
4. **Restitutionary damages** are awarded when the defendant generates benefits from his/her tort and the plaintiff suffers no loss or the loss he/she suffers is proportionately less than the benefit to the defendant.

Other types of non-pecuniary loss may be granted by the court such as pain and suffering and loss of amenities, physical inconvenience and discomfort, social discredit and mental distress.

Exhibit 4.1 illustrates the requirements to bring a successful claim for negligence.



► **EXHIBIT 4.1** Bringing a successful claim for negligence



► Knowledge Check Questions

Question 3

Based on the opening case, identify which persons Sam owes a duty of care to.

Question 4

Jake's fiancée, Jenny, was talking with Jake on the phone while the accident took place. Jenny overheard the accident and suffered a heart attack. Describe whether Sam would be liable for Jenny's injury.

Question 5

List the three common policy considerations that the court has recognised in considering the fairness, justice and reasonableness to impose liability in negligence.

Question 6

If Sam got his licence last year instead of last week, describe how it affects his standard of care.

Question 7

If Sam is a driving instructor, describe how it affects his standard of care.

Question 8

Suppose Sarah had only sustained a minor bone fracture from the collision. Unknown to Jake and the surgeon, Sarah suffered from hemophilia and she bled out during the surgery. Explain whether Sam was liable for Sarah's death.

Question 9

Sarah did not have hemophilia but the surgeon had accidentally left a piece of gauze inside Sarah's body and it eventually led to an infection. As a result, Sarah died two days after the surgery. Explain whether Sam was liable for Sarah's death.

Question 10

Explain to what extent the fact that Vivian and Sarah had forgotten to wear their seat belts affects Sam's liability.

Question 11

Suppose the blood test indicates that the level of alcohol in Sam's body was three times in excess of the prescribed level allowed by law. It was determined that the accident was caused by Sam's impaired driving. Vivian and Sarah knew that Sam was drunk after consuming five cans of beer and his ability to drive was severely impaired. Instead of calling for a taxi, they decided that it was just a short ride and took the risk to allow Sam to drive the car despite his condition. Describe the kind of defence Sam could raise.

Question 12

Describe the standard of care an auditor owes the shareholders of a public company.

► Knowledge Check Questions (*continued*)

Question 13

Explain whether an in-house accountant of a company holds the same standard of care as a forensic accountant.

Question 14

Explain the purpose of granting pecuniary compensation to a plaintiff in tort.

➤ 4.3 EMPLOYERS' LIABILITY IN TORT

The common law imposes a personal and non-delegable duty on the employers to take reasonable care for the safety of their employees at work. As per Lord Brandon in *McDermid v Nash Dredging & Reclamation Co Ltd* (1987) AC 906 at 919, the phrase 'personal and non-delegable' means if such duty is not performed, it is not a defence to show that the employer has delegated its performance to someone else, even one whom he/she believed to be competent to perform it on his/her behalf. The scope of employers' duty is divided into four separate heads:

1. To provide a safe place of work;
2. To employ competent employees and provide supervision;
3. To provide and maintain adequate plant and appliances; and
4. To provide a safe system of work.

In addition to the common law, the legislation also imposes similar statutory obligations on the employers.

S.6A of the Factories and Industrial Undertakings Ordinance (Cap.59) ('FIUO') states that it shall be the duty of every proprietor of an industrial undertaking to ensure, so far as is reasonably practicable, the health and safety at work of all persons employed by him/her at the industrial undertaking. Failure to provide this would render the proprietor of an industrial undertaking liable to an offence under the section.

S.18 of the FIUO further provides that the onus is on the industrial undertaking to prove that it was not necessary, not practicable or not reasonably practicable to do more than was in fact done to satisfy the duty or requirement, or that he/she has taken all reasonable steps, or practicable steps or done the appropriate thing to satisfy the duty or requirement.

To succeed in his/her claim, the employee must establish that his/her damage or injury arose in the course of employment. Whether or not an act is performed during the course of employment is a question of fact. In summary, it includes works that the employee is employed to do, activities that are incidental to the performance of the employee's duty and other business that concerns the employer and employee. The scope of the employee's duty is set in the employment agreement (See Section 4.3.6).



4.3.1 Safe Place of Work

The duty of employers is to exercise reasonable skills and care to ensure safety of their employees on both their own premises and other premises where their employees are directed to work. It is insufficient to merely provide warning of unusual dangers⁵. The extent of its duty is to take reasonable precautions to make the work place as safe as care and skills can make it. The employer's duty may only be excused if the danger is due to a latent defect that is not discoverable by reasonable skills and care.

Latimer v A.E.C. Ltd (1953) AC 643

Facts: During an unusually heavy rainstorm, the floors of a large factory were flooded with an oily cooling mixture, which was normally contained in a channel in the floor, causing the floor to become slippery. So far as the amount supplied permitted, sawdust was spread on the floor, but some areas were left untreated. P was working in a gangway that had not been treated with sawdust. He slipped and fell when he attempted to load a heavy barrel on to a trolley.

Issue: Whether the employer was negligent in ensuring the work place was safe.

Held: The employers were not negligent as they had done all a reasonable employer could have been expected to do to keep the work place safe. The floors were of sound construction and properly maintained. Given the flood was caused in exceptional circumstances, namely an unordinary heavy rainstorm, a temporary inefficiency in keeping the floor safe in this case did not constitute a breach of duty.

4.3.2 Employ Competent Employees and Provide Supervision

The employer is under a duty to employ competent employees and to ensure the safety of his/her employees by associating employees only with persons of ordinary skills and care⁶. He/She must also provide adequate supervision and proper instructions to his/her employees, in particular to those who lack experience or are younger. The obligation is not absolute but to exercise reasonable care and skills to prevent danger that is reasonably anticipated.

Yuen Chung Shun v On Ascent Ltd (2016) 4 HKLRD 250

Facts: P was employed by D as a cook and kitchen supervisor. P injured his lower back while he and his assistant were lifting a cauldron, which was 60% filled with hot water and weighed at least 120 kg, from a trolley on to a gas stove to make soup. P previously filled the cauldron with cold water from the tap and boiled it on the stove. However, the restaurant received complaints from customers that the soup lacked body. To improve

⁵ *London Graving Dock v Horton* (1951) AC 737.

⁶ *Hutchinson v York, Newcastle and Berwick Ry* (1850) 5 Ex 343.

Yuen Chung Shun v On Ascent Ltd (2016) 4 HKLRD 250 (continued)

the quality of the soup, D's two directors told P to take hot water from the water heater installed near the other end of the kitchen for washing dishes. P admitted that the new system was risky but he had to do as directed. D denied having given such instructions or known of P's hazardous work system.

Issue: Whether D failed to supervise P.

Held: The court held that D was liable for the accident but P was also contributory negligent. D had not given P any specific instruction to draw hot water from the water heater. Rather, P had devised and adopted this system on his own initiative several months before he was injured to hasten the soup-making process and knew it was risky. However, D's directors had failed completely in their duty of care to P to provide effective supervision, leaving it to him to design and implement all operations in the kitchen without any oversight. It was highly probable that if the directors had exercised some reasonable form of supervision, the injury to P would have been avoided.

4.3.3 Inspection and Maintenance

To fulfil his/her duty, an employer must also carry out regular inspections and keep proper maintenance and repair to the plant and appliances. The employer can discharge his/her duty if it is demonstrated that he has taken all reasonable steps in the circumstances. In *Davie v New Merton Board Mills* (1959) 1 All ER 346, the employer was held to have discharged his/her duty by purchasing the tool from a reputable supplier or manufacturer. The employer is also not liable if the danger is caused by any latent defect that is not apparent by ordinary inspection.

Pearce v Round Oak Steel Works Ltd (1969) 1 WLR 595

Facts: In the course of his employment, P was injured by a 15 lb weight falling off a machine onto his foot. The weight was held by a bolt which was found to be broken because of metal fatigue, which a routine inspection would not have disclosed.

Issue: Whether D (P's employer) discharged his obligation to use reasonable care in inspection and maintenance when they bought the machine.

Held: D failed to discharge his duty. Even in cases where there was a latent defect, D must prove that the accident happened despite all reasonable care on their part, and this was not only in inspection and maintenance but also reasonable care when they first bought the article. In reference to *Davie v New Merton Board Mills Ltd* (1959) AC 604, the court affirmed that D was not liable for the negligence of the manufacturer of an article which he bought, provided that he had been careful to deal with a reputable seller and make reasonable inspections of the article to ensure that it was in good order and condition. The onus is on D to prove that he has discharged such a duty.

4.3.4 Safe System of Work

The employer's duty is to prescribe a safe system of work wanted in the circumstances. It is a continuous duty to keep himself/herself up to date with the development of new skills and knowledge that may improve the safety of the system. The employer is required to take reasonable steps, such as adequate supervision and proper instructions, to ensure that the system is closely followed by the employees.

Cathay Pacific Airways Ltd v Wong Sau Lai (2006) 2 HKLRD 586

Facts: P was employed by Cathay Pacific Airways Ltd ('Cathay') as a cabin attendant. P was injured when she attempted to take out a bottle of wine that was placed at the back of the drawer of the cart and the drawer toppled over and hit her knee. At trial, Cathay was found to be responsible for 50% for the accident and P was held to be responsible for the remaining 50%. It was held that P had pulled the drawer out excessively and/or was not supporting it properly with her left hand and forearm. Cathay appealed to the Court of Appeal and the Court of Final Appeal and both appeals were dismissed.

Issue: Whether the system of work was defective.

Held: The Court of Appeal in majority held that the system of work that Cathay provided was unsafe as it exposed an employee to unnecessary risk.

The system of work devised by Cathay entailed the pulling out of the drawer by no more than one-third of its length. There was no stopping mechanism installed to prevent the drawers from falling off or being pulled excessively. It was reasonably foreseeable that P may have momentarily failed to follow the standard procedure as she was required to work under pressure.

When considering whether an employer was in breach of its obligation to provide a safe system of work, it is relevant, but not a pre-condition, to see if it can be managed by proposing an acceptable alternative system of work. Cathay could have eliminated or minimised any risk of injury by providing unobstructed access to the bottles without necessitating any pulling out of the drawer. Hence, Cathay failed to take all reasonable steps to ensure the system of work was safe.

Apply and Analyse 1

Apply

David worked as a clerk in a freight forwarding company in an industrial building. Paul, a colleague of David, had a habit of playing pranks on David, though the acts did not cause any physical injuries. The management was informed about the pranks but they did not do anything to stop Paul from doing the mischievous acts again.

One day when David was having a heated debate over the phone with a client about an unsettled invoice, he did not notice that he was standing up from his chair. Paul, who was sitting next to David, slightly pushed the chair away from David. As the floor area close to where David was sitting was uneven and slanted to the side, upon the push, the chair slid away gradually from its original position. David had also complained to the management twice about the slanted plane in his floor area but, again, they totally ignored his request.

Apply and Analyse 1 (continued)

When David finished his telephone conversation, his mind was still occupied by what the client had said and did not take the chance to check the position of his chair. As soon as David attempted to sit down, he fell on to the floor and seriously hurt his lower back. The medical bills cost him a fortune.

Analyse on what grounds David may take action against his employer for the back injury.

Analysis

For his fellow colleague Paul's conduct, David may have a good action based on the ground that the employer has breached the duty of care by not taking steps to protect David from the danger posted by his fellow colleague Paul. As a result, David may sue his employer either under vicarious liability or for their breach of duty of care.

On the other hand, the common law also imposes a duty on the employer to take reasonable care of the safety of the employees. David could argue that the condition of the floor area on which he was sitting posed a challenge to the occupational safety. In the circumstance, the danger was not due to a latent defect and the employer had been notified about its existence. Thus, the employer may breach the duty of exercising reasonable care and skill to ensure safety of their employees on their own premises. An action based on breach of occupational safety is more appropriate in a case that involves an injured employee who is not a mere visitor in the workplace.

4.3.5 Vicarious Liability

Vicarious liability refers to the liability that one incurs through the action or omission committed by a delegate, representative or substitute. Vicarious liability commonly arises between employers and employees. It is a strict liability that means the employer is liable for every act done by his employees within the course of their employment (See Section 4.3.6).

As the House of Lords held in *Dubai Aluminum Co Ltd v Salaam* (2003) 2 AC 366, once the liability of the employee is established, the innocent state of mind of the employer is irrelevant to hold the employer vicariously liable for any wrongful act done by the employee during the course of employment. The scope of the employer's liability is not confined to common law torts and extends to equitable wrongs of dishonest participation in breach of trust.

***Dubai Aluminum Co Ltd v Salaam* (2003) 2 AC 366**

Facts: A is a partner of a solicitor's firm, F. A's client, S, engaged in a fraud against D and A had drafted documents that wrongfully assisted the fraud. F settled D's claim for fraud. F sought a contribution from S on the basis that F was vicariously liable for the wrongful acts committed by A during his course of employment, namely wrongfully assist his client in a fraudulent scam. F appealed to the House of Lords. The Court of Appeal held that F was not vicariously liable for A on the basis that A had not been acting in the ordinary course of business of the firm.



Dubai Aluminum Co Ltd v Salaam (2003) 2 AC 366 (continued)

Issue: Whether F was vicariously liable for the wrongful tort committed by A.

Held: For F to be vicariously liable for A's action, it must be established that A's wrongful conduct could fairly and properly be regarded as having been done in the ordinary course of the firm's business. Based on the factual background of the case, it was held by the House of Lords that A was acting in his capacity as a partner and drafting the documents had been in the course of F's employment. Given that the nature of vicarious liability is to have F, the employer, to step into the shoes of A, the employee, and be jointly liable for the damage to D, F's innocence is irrelevant.

4.3.6 Course of Employment

The court has been using the test propounded by Salmond (also known as the 'Salmond Test') to determine the scope of an employer's liability over an employee's tort. Accordingly, an employee's tort is deemed to have been committed in the course of his/her employment if: (1) it is a wrongful act authorised by his/her employer or (2) it is a wrongful and unauthorised mode of doing an act that was authorised by the employer.

Subsequently, in the leading case *Lister v Hesley Hall Ltd* (2002) 1 AC 215, the House of Lords held that the Salmond Test is unhelpful in cases of an intentional wrong where the employee is set to benefit himself/herself. The House of Lords developed the 'Close Connection Test' in which the essential question is whether the tort committed by the employee is so closely connected with his/her employment that it would be fair and just to hold the employer vicariously liable.

Ming An Insurance Co (HK) Ltd v Ritz Carlton Ltd (2002) 3 HKLRD 844

Facts: The plaintiff was the insurer of Mr. Lo, who was employed by the defendant's hotel as a doorman and part of his job duty included acting as a 'car jockey', which involved moving cars that caused an obstruction in the hotel forecourt. Sometimes limousines and their chauffeurs are hired from a third party limousine service. A limousine would only be moved by the plaintiff when its chauffeur was off duty. The employees of the defendant developed a practice of taking a ride out of the hotel premises to collect food, sometimes by taxi and sometimes by a chauffeur driven limousine. The plaintiff was never authorised to drive the limousines to collect food. The accident in question involved the plaintiff using keys left in his custody by an off-duty chauffeur to drive a bellboy in a limousine to collect food.

Issue: What is the proper test for an employer's liability when an employee committed a tort by doing an unauthorised conduct.

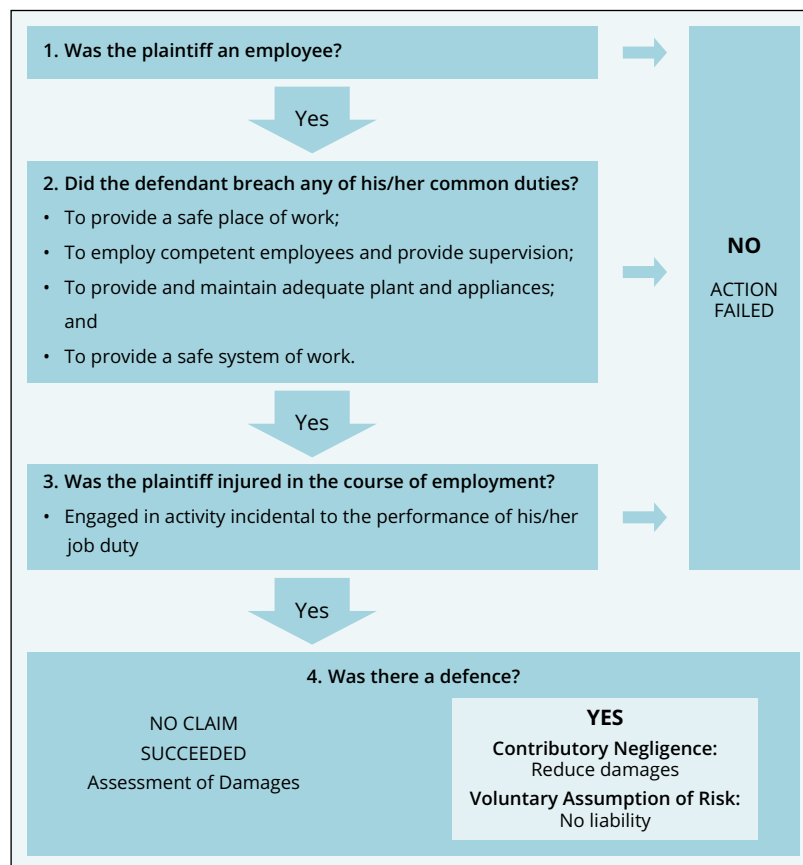
Held: As the basic principle of vicarious liability, it would be fair and just to hold an employer vicariously liable for any tortious act done by his employee that was closely

Ming An Insurance Co (HK) Ltd v Ritz Carlton Ltd (2002) 3 HKLRD 844 (continued)

connected with his employment. This 'close connection' criterion is a development of the Salmond Test. In applying the 'close connection' criterion, the concept of employment must be viewed broadly into the nature of employment which was not to be ascertained merely by attempting to tabulate the employee's duty. It is necessary to stand back and see how employer's activities were actually carried out and how that exposed the public to the risk of tortious harm caused by the employee.

In applying the Close Connection Test, although the plaintiff was not authorised to drive the limousines for the purpose of collecting food, he was routinely authorised to drive limousines during the course of his employment along the route where the accident occurred. A prevailing practice to collect food from outside the premises existed and could be said to be 'implied authorised' by the employer. It was properly regarded as incidental to the employment of the employee involved. Furthermore, the plaintiff was wearing the hotel uniform during the accident and the accident occurred during working hours. Hence, the 'Close Connection Test' was satisfied and the employer was liable.

Exhibit 4.2 shows the requirements to bring a successful claim for employers' liability.



► **EXHIBIT 4.2** Bringing a successful claim for an employer's liability

► Knowledge Check Questions

Question 15

Jenny is a shop manager of a fast food chain. One of the cleaners, Andrew, accidentally spilt some apple juice on a co-worker, Benny. Benny has a history of violence and had been caught having heated disputes with a few of the other co-workers. Jenny raised her concern about Benny to her employer but nothing had been done about it. This time Benny was very upset and started shouting at Andrew. Jenny tried to intervene and in the heat of the moment Benny punched Jenny on her face. As a result, Jenny sustained a black eye. Explain whether Jenny's employer was liable for her injury.

Question 16

Suppose Benny (the customer) was actually Jenny's old boyfriend and he punched Jenny solely to get revenge on her for cheating on him with another store manager. Explain whether Jenny's employer was liable for her injury.

Question 17

Part of Jenny's responsibilities is to train the kitchen staff. One of the chain's signature recipes is spicy fried chicken. It was Tommy's first day of work. Jenny had demonstrated to Tommy once how to use the deep fryer. No further instructions were given to Tommy. The restaurant was filled with customers and there was a shortage of kitchen staff. Tommy was assigned to cook fried chickens using the deep fryer by himself. Jenny was working as the cashier, which had a clear view of the kitchen. After coming back from a short break, Tommy forgot to put on the gloves hanging at the back of the kitchen. Tommy burned his hand while using the deep fryer. Explain whether Tommy's employer, the owner of the restaurant, was responsible for his injury.

➤ 4.4 OCCUPIERS' LIABILITY

The major source of law governing occupiers' liability in Hong Kong is the Occupiers Liability Ordinance (Cap.314) ('OLO'). S.3 of the OLO imposes a common duty of care on the occupiers of premises to ensure their visitors are reasonably safe when using the premises.

4.4.1 Scope of Occupiers' Liability

In light of the construction of the OLO, it is commonly viewed that the OLO only imposes liability on an occupier in relation to dangers arising from the physical state of the premises. In respect of dangerous activities occurring inside the premises, the plaintiff will have to rely on the general law of negligence.

4.4.2 Who is an Occupier?

According to s.2(2) of the OLO, an **occupier** is someone who is liable for any person who he/she has, explicitly or by implication, invited or permitted to enter or use the premises.

S.2(3) of the OLO defines occupiers as those who occupy or control over any fixed and movable structures, including any vessels, vehicles or aircrafts. The test for whether a person is an occupier depends on occupancy and control, not ownership. It is a question of fact.

Generally, an occupier is the one who has immediate control and supervision of the premises and has the power to restrict entry into the premises. It may also be someone who has constructive control over the premises, through his/her agents or servants. The occupier needs not to have entire or exclusive control and he/she may attain control without legal authority. Hence, even a squatter can be regarded as an occupier.

S.4 of the OLO allows the landlord to assign his/her duty over the premises to his/her tenant. If an accident occurs, then the tenant, not the landlord, would be liable as an occupier.

Chu Wo Heung & Anor v Hui Lai Wa & Ors (2002) 3 HKLRD 209

Facts: The plaintiff was fatally injured when a metal pipe came off an awning during inclement weather. The awning was an inherently dangerous structure that posed a risk to passers-by. The awning was built by one of the shop owners of a building (the fourth defendant) that was managed by the fifth defendant ('D5').

Issue: Whether D5, the Building Manager, was an occupier of the awning.

Held: D5 was an occupier of the awning as it exercised a degree of control over the awning. The awning was erected on the external wall, which was a common part of the building. According to the deed of mutual covenant ('DMC'), any projections or structures extending outside the building could not be installed without D5's permission. DMC also provided that D5 has the vicarious power over the external wall. By permitting the construction of the awning, D5 owed a duty of care to the public to ensure that it would not pose any hazard and would be reasonably safe. The scope of D5's occupier liability included any accident that happened within the boundary of the building. This extended to the accident in question as it was caused by a structure attached to the external wall that D5 had control over.

4.4.3 Common Duty of Care

S.3(2) of the OLO defines the **common duty of care** as a duty to take such care as in all the circumstances of the case is reasonable to see that the visitor will be reasonably safe in using the premises for the purposes for which he/she is invited or permitted by the occupier to be there.

The duty is to ensure that the visitor but not the premises is reasonably safe. In other words, the occupier is not obliged to ensure that the premises are free of danger. The occupier would discharge his/her duty so long as he/she has taken reasonable measures to keep his/her visitors safe in his/her premises. A different standard of care may be imposed depending on the circumstances. The court will take into account factors such as the foreseeability of the risk, the cost of preventing the danger and the frequency of accidents causing such injury. Warning of dangers itself is usually insufficient unless in all the circumstances it was enough to enable the visitor to be reasonably safe.

Wood v Wah Tung (E&M) Ltd v Others (2000) HKEC 277

Facts: The plaintiff was employed by a subcontractor of the principal contractor at a construction site at the airport as a quality control inspector. His duty was to inspect the pipework including the fitting of the sump pump installed by the workers of his employer. He was injured while inspecting the pipework located in an L-shape sump pump room. The power failed so there was no lighting inside the room and the plaintiff had to use his own torch for lighting. The floor was flooded with water that overflowed into the corridor. The water was about 2 inches deep, murky and filled with debris. The plaintiff fell into the sump pump pit and was covered in water up to his chest. He sued his employer and the main contractors for their occupiers' liability.

Issue: Whether the defendants breached their common duty over their visitor.

Held: Although defendants denied having any knowledge of the flooding and power failure on the date of the accident, flooding and power failure was a regular state of affairs in the airport terminal while under construction. Similar accidents of people falling into uncovered holes had occurred prior to the accident in question. Hence, it is a foreseeable risk that a worker may fall into unfenced holes. A general reminder of work safety is inadequate in the circumstances. The defendants should have drawn their workers' attention to the danger of falling into uncovered or unfenced holes. The sump pump room was concealed with no natural lighting. Giving that power failure was a frequent occurrence in the construction site, the defendants should have placed warning signs at the entrance about the presence of those uncovered or unfenced holes. Hence, the defendants were found liable for breaching their common duty.

4.4.3.1 Children

S.3(3)(a) of the OLO provides that an occupier should expect that children are generally less careful than adults. The standard of care that applies to adults may not apply to children. An occupier's liability to children extends to traps or allurements that may take the form of some objects of attraction, tempting the child to meddle. Unlike places such as playgrounds or public parks, occupiers of places that do not normally attract unaccompanied children to attend may reasonably rely on the guardians or parents to devise means of safeguarding their children.

Cooke v Midland Great Western Rly of Ireland (1909) AC 229

Facts: A railway company kept a turntable unlocked on their land close to a public road. The company's staff knew that children were in the habit of trespassing through an open gap in the fencing and playing with the turntable. The plaintiff is a child between four and five years old who had been seriously injured while playing with other children on the turntable.

Issue: Whether the railway company was liable in failing to keep children out of a dangerous situation.

Held: The railway company knew that children have been habitually playing on its property. Despite that, they allowed their property to be open to all comers, including children, and placed an unlocked turntable attractive to children and dangerous as a plaything. Hence, the railway company was liable.

Latham v R Johnson & Nephew Ltd (1913) 1 K.B 398

Facts: The defendants were owners of a plot of unfenced waste land. It was accessible by a path leading from the back of the house in which the plaintiff, a three-year old child, lived with her parents. The public, including children, were allowed to traverse the land. Children of all ages were in the habit of playing upon heaps of sand, stone and other material deposited by the defendants. The plaintiff went to the land unaccompanied by any older person and a paving stone fell from the heaps and injured her.

Issue: To what extent did the defendants owe a duty to the plaintiff.

Held: To bring a case within the category of actionable negligence, there must be a wrongful act or a breach of some positive duty. A visitor or licensee is expected to take reasonable care for his/her own safety against natural risk, and is entitled to expect that the occupier shall on his/her part use reasonable care to prevent danger from unusual dangers that he/she knows or ought to know. In order to hold the defendants liable, there must be allurement or a trap, or abnormally dangerous animals or things. A 'trap', 'attraction' or 'allurement' involves concealment or surprise of an appearance of safety. There was no allurement or trap in the present case.

The use of land for depositing stones was a normal use and those stones did not pose any abnormal risk. In cases involving a licensee, the fact that the plaintiff was a child did not make any difference in the duty of care. For these reasons, the defendants were held not liable.

Illustrative Example 2

A villa with a small garden is located in between two walking paths. The garden was built with fences to prevent people from walking through it to reach the path on either side. A 10-year-old child went through a broken fence and his left arm was severely cut by accident. On the facts, the child was a trespasser to whom the occupier did not owe a duty. However, the occupier (i.e. the garden owner) should have reasonable grounds to believe that the broken fence, which was a present danger, would cause injury to any visitor to the garden. Unless the villa and the garden owner had warned against any visitor by notice about the possibility of getting hurt by the broken fence, the garden owner would be liable to the cut wound.

4.4.3.2 Skilled Visitors

S.3(3)(b) of the OLO provides that an occupier may expect that a person, in the exercise of his/her calling, will appreciate and guard against any special risks ordinarily incident to it, so far as the occupier leaves him/her free to do so. This section only exempts the occupiers' liability from injury that was incident to the visitor's calling or trade. However, it does not extend to injury that was caused by a defect in the premises.

Roles v Nathan (1963) 1 W.L.R 1117

Facts: Two chimney sweeps were employed by the defendant to seal up the hole in a flue of an old coke burning boiler. They had been warned by another expert called by the defendant about the danger from the gas and were recommended not to stay too long in the hole. However, they disregarded the warning and continued to work in the boiler room. They were found dead in the boiler room from inhalation of carbon monoxide.

Issue: Whether the defendant held any occupiers' liability to the sweeps.

Held: When a specialist is called to deal with a defective installation on his premises, he can reasonably expect the specialist to appreciate and guard against dangers arising from the defect. The Court of Appeal, in overturning the trial judge's decision, held the defendant not liable under s.2(3) of the Occupiers' Liability Act 1957 (equivalent to s.3(3)(b) of the OLO) as the risk was incidental to the sweeps' calling.

4.4.3.3 Warnings

S.3(4)(a) of the OLO provides that where damage is caused to a visitor by a danger of which he had been warned by the occupier, the warning is not to be treated without more as absolving the occupier from liability, unless in all the circumstances it was enough to enable the visitor to be reasonably safe.

Whether a warning is adequate to discharge the defendant from his/her duty is a matter of fact and depends on the circumstances. If a warning is required, it must be averted specifically to the danger (See *Wood v Wah Tung (E&M) Ltd v Others*). Where the danger is obvious to visitors, warning may not even be necessary.

Tomlinson v Congleton BC (2004) 1 AC 46

Facts: The plaintiff, although warned about the danger of swimming in the lake, dived into the shallow water at the edge of the lake and struck his head on the bottom.

Issue: Whether the occupier of the park, where the lake was located, is liable for the plaintiff's injury.

Held: The lake did not present a risk due to the state of the premises or anything done or omitted to be done on the premises. Accordingly, there was nothing that gave rise to a duty on the part of the occupier to warn visitors about obvious dangers including not to dive or swim in the lake.

4.4.3.4 Independent Contractor

S.3(4)(b) of the OLO provides that an occupier may discharge his/her duty to a visitor 'where damage is caused to a visitor by a danger due to the faulty execution of any work of construction, maintenance or repair by an independent contractor employed by the occupier, the occupier is not to be treated without more as answerable for the danger if in all the circumstances he/she had acted reasonably in entrusting the work to an independent

contractor and had taken such steps (if any) as he/she reasonably ought in order to satisfy himself/herself that the contractor was competent and that the work had been properly done’.

S.3(4)(b) of the OLO applies only when it is reasonable in the circumstances for the occupier to entrust the work to an independent contractor. Even so, the occupier is under the duty to engage a competent contractor. Otherwise, he/she may still be liable.

Luen Hing Fat Coating & Finishing Factory Ltd v Waan Chuen Ming (2011)
2 HKLRD 223

Facts: The defendant engaged the plaintiff's employer, an independent contractor, to repair a machine in his factory. The defendant lent the independent contractor equipment, which was not intrinsically dangerous or faulty, to do the work. The defendant's supervisor, knowing that the independent contractor had used that equipment using an unsafe method, failed to take any steps to stop or warn the independent contractor about the danger. The plaintiff was seriously injured while improperly using the equipment to reinstall part of the machine.

Issue: Whether the defendant was liable for the plaintiff's injury.

Held: While a person may not be liable for his independent contractor's tort, he may still be liable for his own negligence including failure to take reasonable care to engage a competent contractor. In the present case, the defendant had failed to engage an independent contractor who had the equipment needed to do the work in a safe manner. It was the defendant's supervisor's responsibility to ensure the independent contractor had operated the work safely. Given that the plaintiff, as an employee, was in a vulnerable position to safeguard his own safety, it was just, fair and reasonable to hold the defendant liable for his injury.

4.4.4 Defences

4.4.4.1 *Volenti Non Fit Injuria*

S.3(5) of the OLO provides that:

‘The common duty of care does not impose on an occupier any obligation to a visitor in respect of risks willingly accepted as his/her by the visitor (the question whether a risk was so accepted to be decided on the same principles as in other cases in which one person owes a duty of care to another)’.

Unless a visitor has free choice of whether or not to enter premises, the defence will not succeed, even if the visitor has actual or constructive notice of the risk involved.

4.4.4.2 Exclusion of Liability

S.3(1) of the OLO allows an occupier to extend, restrict, modify or exclude his/her liability to any visitor or visitors by agreement. However, the application of this section is subject to restrictions imposed by other legislation or common law. S.7 of the Control of Exemption Clauses Ordinance (Cap.71) provides that:

1. A person cannot by reference to any contract term or to a notice given to persons generally or to particular persons exclude or restrict his/her liability for death or personal injury resulting from negligence.
2. In the case of other loss or damage, a person cannot so exclude or restrict his/her liability for negligence except in so far as the term or notice satisfies the requirement of reasonableness.
3. Where a contract term or notice purports to exclude or restrict liability for negligence a person's agreement to or awareness of it is not of itself to be taken as indicating his/her voluntary acceptance of any risk.

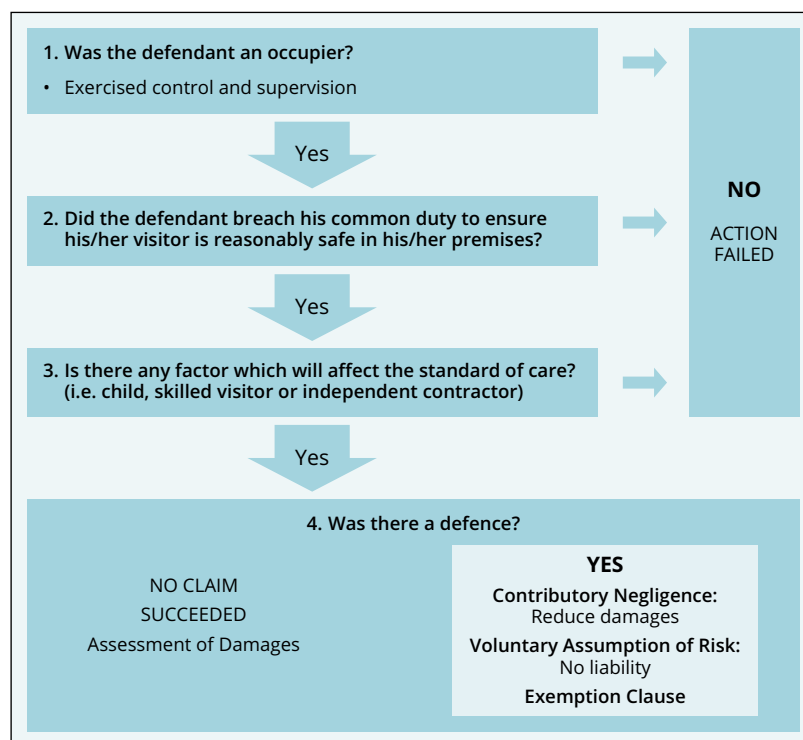
Contributory Negligence

The general defence of contributory negligence also applies to occupiers' liability (See Section 4.2.4.1).

4.4.5 Duty to Trespassers

The OLO does not govern occupiers' liability over trespassers. Common law regards trespassers as outlaws. Generally speaking, an occupier owes no duty to a trespasser to take reasonable care for his/her safety, even for a concealed danger, unless it is deliberately intended to inflict harm to the trespasser.

Exhibit 4.3 shows the requirements to bring a successful claim for occupiers' liability.



► **EXHIBIT 4.3** Bringing a successful claim for occupiers' liability

► Knowledge Check Questions

Question 18

Security & Co is responsible for the management of a shopping arcade. Last Friday, the amber rainstorm warning signal was on for almost the entire afternoon. Sally, the manager of Security & Co, had posted a big 'Beware of Wet Floor' warning on the floor and installed a non-slippery carpet at every entrance of the shopping arcade. She also instructed her employee to keep the floor dry by mopping the floor every 10 minutes. June was a customer of the shopping arcade and she accidentally slipped and fell at one of the entrances. Explain whether Security & Co would be liable for June's injury.

Question 19

Suppose June slipped inside one of the shops instead of at the entrance of the shopping arcade. Explain whether Security & Co would be liable for June's injury.

Question 20

Explain to what extent will an employer be vicariously liable for the conduct of his/her employees.

➤ 4.5 DEFAMATION

Defamation is publication of a false statement to damage someone's reputation. The tort of defamation restricts our freedom of speech. Therefore, the scope and extent of it should be determined in light of Article 16 of s.8 of the Hong Kong Bill of Rights Ordinance (Cap.383).

There are two types of defamation: (1) libel and (2) slander. Libel is a defamatory statement published in permanent form and slander is a defamatory statement published in transient or non-permanent form.

4.5.1 Essential Elements of Defamation

There are three essential elements of tort of defamation: (1) a defamatory statement, (2) in reference to the plaintiff, and (3) one that is published.

4.5.1.1 Defamatory Statement

A **defamatory statement** is a false statement that damages someone's reputation. It includes imputation of a person's professional competence, moral character or religious convictions without any lawful justification or basis. A trading company or other public body may also sue in its corporate capacity for a defamatory statement disparaging its goodwill and corporate image.

The defendant's intention is irrelevant in determining whether or not a statement bears a defamatory meaning. The court will look at the natural and ordinary meaning that the statement would have conveyed to the ordinary reasonable viewers.

Language that is not defamatory on its face value may become so when the context and extrinsic circumstances in which it was made is taken into account. Legal innuendo is an indirect intimation that the plaintiff alleges of a special defamatory meaning arising by virtue of extrinsic circumstances known to the recipients. It needs to be pleaded separately.

***Cheung Ng Sheong Steven v Eastweek Publisher Ltd & Anor*
(1995) 3 HKC 601**

Facts: The plaintiff is a distinguished professor and the Head of the Department of Economics at the University of Hong Kong. The defendant published an article in the Eastweek Magazine stating that the plaintiff failed to give lectures to his students. He refused to take group photographs with his students and he failed to discharge his professional duties as a professor.

Issue: Whether the article constitutes a libel.

Held: It is a libel since the plaintiff's moral character or ability is attacked by the defendant's magazine without lawful justification.

Apply and Analyse 2

Apply

Mimi, a famous columnist, remarked that the TV actor Boris, who starred as a humorously unintelligent character in a late-night comedy series was 'a dummy and a pathetic loser that only idiots would love'. After reading this column, Boris was filled with anger and storms into your law firm requesting you to file a tortious action against Mimi on the grounds of defamation.

Analyse whether Boris has a legal ground to pursue a tortious action against Mimi on the ground of libel.

Analysis

In order for the first step for a defamation action to succeed, Boris has to prove that the comment or statement in question must be defamatory. A statement is defamatory if it 'tends to lower the person in the estimation of right-thinking members of society' or exposes the person to 'hatred, contempt or ridicule'. Thus, a statement is defamatory if an ordinary and reasonable person, after hearing that statement, would tend to think of the individual in question less well as a person or think that the individual was not capable of performing the job in his/her trade effectively.

A remark may not be defamatory in itself, no matter how unpleasant and rude it sounds. At first sight, the remark made by Mimi was a ridicule showing contempt and disrespect. The next question we need to ask is – did the statement make a right-thinking member of society think less well of Boris, expose Boris to hatred or contempt, or make one think that Boris was not capable of doing his role in the comedy? It seems that the comment with the words 'a dummy' and 'a pathetic loser' matched the character that Boris was playing, as the character possessed the trait of stupidity when it was created.

Apply and Analyse 2 (continued)

The phrase 'that only idiots would love' may describe Mimi's impression that nobody would love a character that was so stupid in real life. On the other hand, the statement as a whole may be seen as laudatory in that Boris has been playing the character so well in a way that brought out the special traits in the character.

For these reasons, the statement is not likely to make Boris an object of social ridicule, though he earned his living as an actor. Thus, it is not likely that Boris has legal grounds to pursue a tortious action against Mimi on the grounds of defamation.

4.5.1.2 Reference to Plaintiff

The plaintiff must prove that the defamatory statement referred to him/her. It can be a direct reference to his/her name, position or designation. It is also sufficient to hold the wrongdoer liable without direct reference if the world would apply the statement to the plaintiff. Conversely, even if the wrongdoer intended to impute the plaintiff, the action would still fail if ordinary audiences do not see the statement to be aiming at the plaintiff. The fact that the wrongdoer is unaware of the plaintiff's existence when the defamatory statement was made is no defence.

Tung Lo Court (IO) v Tsui Wai Yip (2015) 4 HKLRD 397

Facts: The plaintiff is the incorporated owners ('IOs') of the building while the defendant is an owner of one of its residential units. The IOs day-to-day affairs were conducted by the management committee. The IOs and the defendant along with other owners had a dispute over various matters including renovation of the building, management of the building and non-payment of management fees. In the course of the disputes, the parties published various defamatory statements against each other openly to the owners of the building. The IOs issued nine letters, displayed one banner and posted a copy of the bill of costs prepared by its solicitor. In response, the defendant issued four letters. Three of the four letters were addressed to the management committee. The parties took cross-action against each other for defamation. The trial judge ruled the plaintiff and defendant were both liable for defamation. The defendant appealed against the trial judge's decision.

Issue: Whether the defamatory letters issued by the defendant were referable to the IOs.

Held: The IOs is a corporation that may have its reputation to uphold and can sue for defamation. When a defamatory statement is made against the IOs to discredit its integrity or ability to perform its functions and duties, the IOs is entitled to sue the defendant for defamation to protect its reputation. Of all the four open letters published by the defendant, only one had expressly named the IOs. All the other three letters had named the management committee instead. The IOs and the management committee are separate legal entities. The Court of Appeal reiterated that defamation is a purely personal action. Only the person defamed has the right to sue. If a corporation is defamed, only the corporation has the right to sue.

If the defamatory statement is spoken of a class or body of persons, the plaintiff must prove that the statement is aiming at him/her in the plaintiff's personal capacity. The test is (1) whether the statement can be regarded as capable of referring to the plaintiff as an individual and (2) if the statement is capable of leading a reasonable person who knows the plaintiff to the conclusion that the statement is referring to him/her.

Charles Sin Cho Chiu v Tin Tin Publication Development Ltd & Anor
HCA 6662/1997

Facts: The plaintiff is a senior practicing solicitor. He was the Chairman of the United Stock Exchange of Hong Kong and a member of the Institute of Security Dealers Ltd. The first defendant was the publisher of the Tin Tin Daily News and the second defendant was the editor of Tin Tin at the material time. The article did not name the plaintiff but mentioned about seven members of the General Committee of the United Stock Exchange who were arrested and charged with corruption. The article referred to the seven members as 'the so-called '7 Honourable Men'. The article went on and stated that '... Headmaster Li eventually concluded this court case, which had lingered on for many years due to (his) denial (of guilt), with a short term sentence of one and half years, but the remaining '6 Honourable Men' have not been sentenced to prison together because of the guilty plea on the part of Headmaster Li. On the contrary, (they) are acquitted for insufficient evidence. ...' The article also mentioned that 'most of the members of the present Delegation' had backgrounds that could be described as 'tainted'.

Issue: Whether the article referred to the plaintiff.

Held: So far as the corruption imputation is concerned, the court found that the article had made direct reference to the plaintiff as one of the '7 Honourable Men' charged and prosecuted for the alleged corruption offences. In respect of referring to the plaintiff as one of the 'tainted elements' and unfit to act as a representative of the securities industry, the court confirmed that it is an actionable tort if a defamatory statement refers to several individual persons at once. It was held that the article clearly referred to some individual members of the delegation and not all of the members or the whole delegation as a class. The issue was whether the plaintiff could be identified as one of 'most of the members'. The court found that it was not difficult for ordinary readers of the article, having taken into account the article as a whole, to find that the article had referred to the plaintiff as one of 'most of the members' who were 'tainted elements'.

4.5.1.3 Publication

Another essential element of defamation is that the statement must be communicated to a person other than the plaintiff. It includes oral and written publication to a third party, except the spouse of the defendant.

4.5.2 Defences

4.5.2.1 Justification

Justification is a full defence. The wrongdoer must prove that the statement was true or substantially true. It is the imputation of the statement that must be justified, not the literal truth of the words. The wrongdoer may rely on other published statements or materials to prove that the statement was true.

As determination of defamatory meaning does not depend on the wrongdoer's intention, the fact that the wrongdoer was acting in good faith is not a ground for justification.

When a statement contains more than one allegation, the common law requires the wrongdoer to prove that all of the allegations are true. The position has now been altered as s.26 of the Defamation Ordinance (Cap.21) provides that:

'In an action for libel or slander in respect of words containing two or more distinct charges against the plaintiff, a defence of justification shall not fail by reason only that the truth of every charge is not proved if the words not proved to be true do not materially injure the plaintiff's reputation having regard to the truth of the remaining charges'.

4.5.2.2 Fair Comment

A wrongdoer claiming **fair comment** must satisfy the following tests:

1. The comment must be on a matter of public interest.
2. The comment must be recognisable as a comment, not an imputation of fact.
3. The comment must be based on fact.
4. The comment could be objectively identified as an opinion on the proved fact.
5. The comment must be one that could have been made by an honest person.

In order to establish fair comment, the comment must be based on true facts that are not invented or misstated. The fact must be sufficiently stated or reasonably known by the audience so that the audience can decide on the merit of the comment.

Even if the wrongdoer has successfully proven that the comment is capable of being a fair comment, he/she could still fail in his/her defence if he/she was actuated by malice. Malice is defined as the wrongdoer either knowing or recklessly disregards whether his/her comment is untrue.

4.5.2.3 Absolute and Qualified Privilege

Absolute Privilege

Sometimes by reason of public policy, a person may be entirely free of any possibility of liability for defamation. This occurs when the maker of the statement has an **absolute privilege**. The objective is to protect the greater public interest of the society over private interest of an individual's reputation.

Absolute privilege generally includes statements made in the course of judicial or quasi-judicial proceedings; statements made by public officers in the course of their public duties; and proceedings and papers of the Legislative Council.



Qualified Privilege

The defence of **qualified privilege** arises on occasions where the maker of the statement has a legal, social and moral duty to communicate the fact, and the recipient has a corresponding interest or duty to receive it. The maker of the statement does not need to prove that the statement is made based upon true facts. However, he/she may lose the protection if the statement was made in malice. Instances of qualified privilege include a fair and accurate news report or broadcast of court proceedings and legislatures.

4.5.2.4 Consent

The plaintiff cannot sue for defamation if he/she has impliedly or expressly consented to the publication of the statement. **Consent** is a question of fact. The mere fact that the plaintiff has said something defamatory privately does not necessarily mean that he/she would subsequently agree with the wrongdoer to publish what he/she has said. Further permission is necessary; otherwise, the wrongdoer cannot rely on the defence if he/she has acted beyond the scope of the consent given by the plaintiff.

4.5.3 Remedies for Defamation

4.5.3.1 General Consideration

It is not an easy task to determine the appropriate damage for defamation. In assessing the damages, the objective of the court is to strike a balance between compensating the plaintiff for his/her injury of reputation and esteem, and its likely effect on the freedom of opinion and expression.

There are two major types of remedies available to a plaintiff in an action for defamation: (1) damages and (2) injunction.

4.5.3.2 Types of Damages

There are five types of damages:

Nominal damages may be awarded when the plaintiff's injury is not serious or the plaintiff suffers no loss or damage. Therefore, only a very small sum of money is granted for damages.

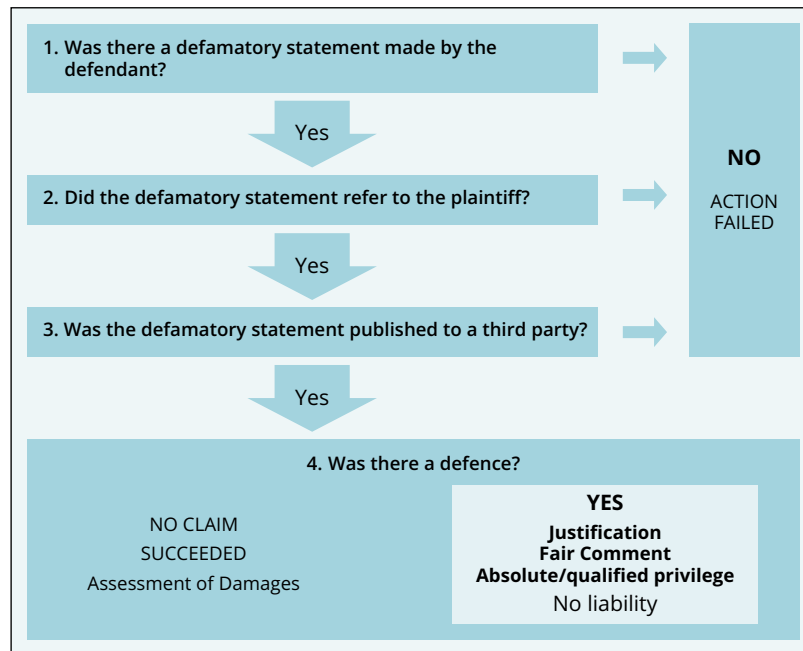
General compensatory damages may be awarded to restore the plaintiff to the position he/she would have been but for the tort.

Aggravated damages may be awarded in circumstances where the defendant's conduct has been particularly oppressive with a malicious intent to increase the plaintiff's humiliation and anxiety.

Exemplary damages may be awarded with the objective to punish and deter the wrongdoer for his/her outrageous and oppressive conduct.

Special damages may be awarded for any consequential damage that was the natural and probable result of the publication of the defamatory statement, such as loss of business or loss of hospitality of a friend.

Exhibit 4.4 shows the requirement to bring a successful claim for defamation.



► **EXHIBIT 4.4** Bringing a successful claim for defamation

► Knowledge Check Questions

Question 21

Mark is an ex-employee of Wood Work Ltd ('WWL'), a local furniture manufacturing company. Mark and the owner of WWL, Joe, used to be good friends. Last year, Mark had a dispute with Joe. Their relationship quickly turned sour and Mark decided to leave WWL.

Mark applied to Star Furniture Ltd ('SFL'), a long-term customer of WWL, for a similar position to the one he held in WWL. In his cover letter, Mark made some comments about WWL for having a poor management system, exploiting its employees and overcharging its customers.

The cover letter was sent directly to Alan, the CEO of SFL. After reading the cover letter, Alan disregarded Mark's comments and threw the letter to the bin.

Joe now wants to sue Mark for defamation. Please answer the following questions with explanation:

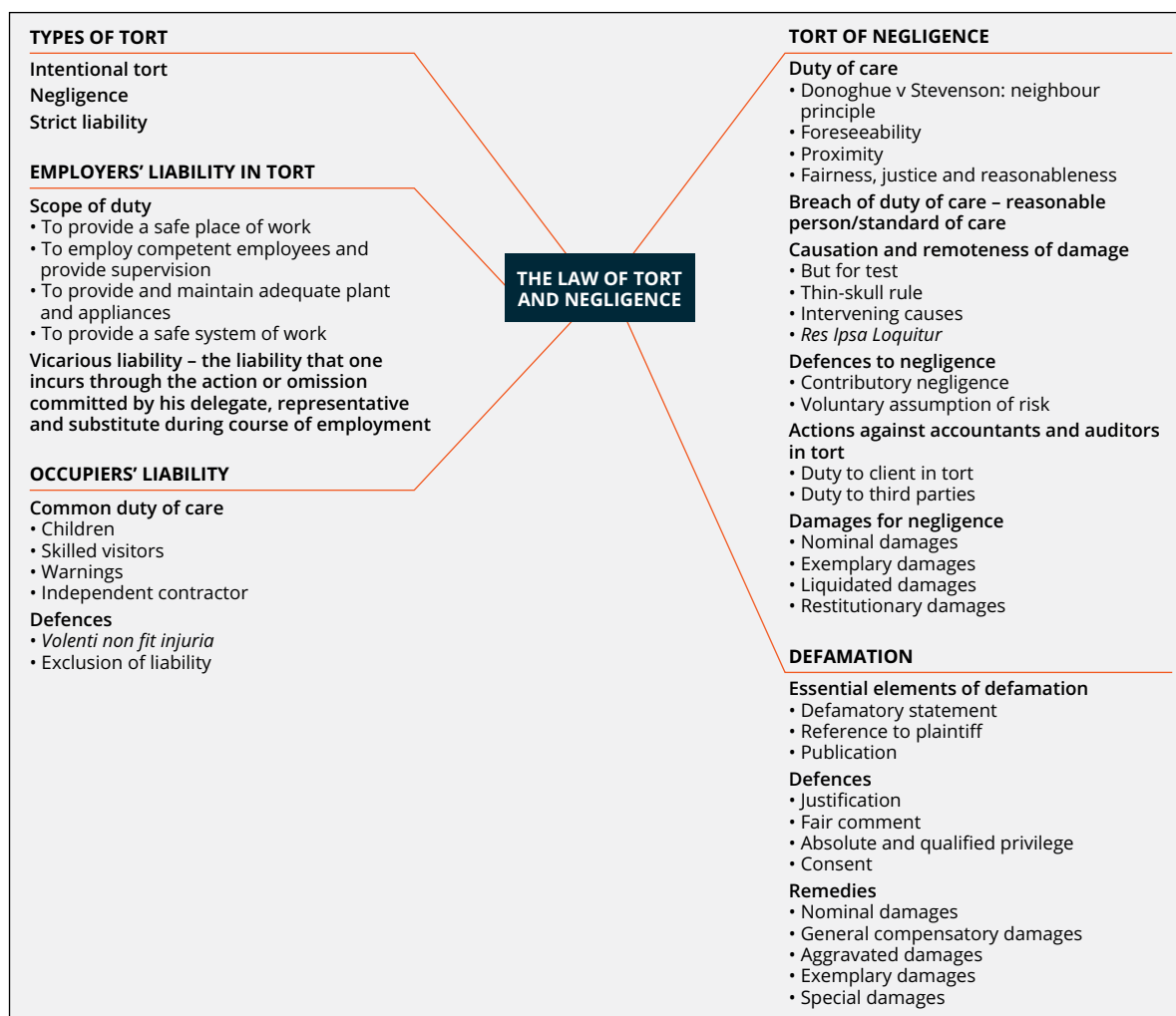
1. Explain whether Mark's cover letter constituted a publication.
2. Explain whether Mark's comments were defamatory to Joe.



SUMMARY

- A tort is a wrongful act or omission that results in the injury of another or property and for which the injured party is entitled to compensation.
- Negligence is concerned with loss or damage caused by acts or omission where the defendant did not take the care required of him/her by society.
- For a party to succeed in a claim for negligence, they must show: the defendant owed the plaintiff a duty of care; the defendant breached that duty; and the act or omission in breach of this duty caused the damage or loss being claimed.
- The three-fold test that determines whether the defendant owes the plaintiff a duty of care:
 - Was the plaintiff's injury or damage foreseeable by the defendant?
 - Was there a close and direct relationship of proximity?
 - Would it be just, fair and reasonable to impose a duty of care?
- An act or omission breaches the duty of care if it falls below the standard expected of the defendant.
- Professionals ought to acquire the standard of competence that is expected of them in their profession.
- Having established that the defendant has breached his/her duty of care, the plaintiff must also prove that 'but for' the defendant's act or omission his/her loss or damage would not have happened.
- To break the chain of causation, a *novus actus interveniens* has to be unforeseeable to the defendant.
- The thin skull rule means the defendant will take the victim as he/she finds him/her.
- Where there is a special relationship between the representor and recipient, the representor has a duty of care not to make any representation that he/she has no reasonable grounds to believe.
- Contributory negligence is a defence that the plaintiff himself/herself has committed some act or omission which has contributed to his/her loss or damage.
- It is a complete defence if the plaintiff has voluntarily consented to the risk involved in the activity.
- An employer has a personal and non-delegable duty to take reasonable care for the safety of his/her employees at work.
- Any activity is regarded to be done in the course of employment if it is incidental to the performance of the employee's duty and other business that concerns the employer and employee.
- An occupier of the premises has a common duty of care to ensure his/her visitors are reasonably safe when using his premises.
- Defamation is the publication of an untrue statement that discredits the plaintiff's reputation.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Negligence.

Question 2

Three years from the date of Sarah's death.

Question 3

Sam owed a duty of care to Vivian, Sarah and Jake. A driver not only owes duty of care to his passengers but also to other road users.

Question 4

Applying *Bourhill v Young*, Sam would not be liable because he could not have foreseen Jenny's injury.

**Question 5**

Promoting individual autonomy, preventing indeterminate liability and protecting the vulnerable.

Question 6

It does not affect Sam's standard of care as experience is irrelevant to standard of care.

Question 7

Sam is expected to meet the standard of care of a reasonable driving instructor.

Question 8

Sam was liable for Sarah's death. Since Sarah's injury was foreseeable in the circumstances, in applying the thin skull rule, Sam has to take Sarah's injury to its full extent.

Question 9

Sam was not liable for Sarah's death. The surgeon's negligence was a new and unforeseeable independent cause that breaks the chain of causation.

Question 10

Since Vivian and Sarah put themselves into a risky situation, they were liable for contributory negligence. Sam's liability should be apportioned to reflect the extent of their contributory negligence.

Question 11

Sam may raise the defence of voluntary assumption of risk. Vivian and Sarah accepted the risk of taking Sam's ride despite knowing fully that Sam's ability to drive was severely impaired by alcohol.

Question 12

An accountant does not need to take all means to guarantee the accuracy of his/her work. He/She is only required to exercise reasonable care to examine the books of the company to ensure the accounts he/she put before the shareholders accurately state the company's true financial status.

Question 13

An in-house accountant of a company does not hold the same standard of care as a forensic accountant. Forensic accounting is a specialty that not all accountants are required to acquire.

Question 14

The purpose of granting pecuniary damage is to compensate the plaintiff for his/her loss caused by the defendant's negligence.

Question 15

Jenny was injured in the course of her employment. The employer knew about the violent history of Benny and fails to take any measure to avoid the risk. The employer is liable for failing to take reasonable measures to ensure the competency of its employee.

Question 16

Although Jenny was injured while she was on duty, she was assaulted by her ex-boyfriend for a reason that has no connection with her employment. Her employer was not liable for her injury.

Question 17

An employer has a non-delegable responsibility to take all reasonable steps to ensure the safety of his/her employees at work. The owner of the restaurant was vicariously liable for any negligence on Jenny's part in ensuring Tommy's safety at work. A simple demonstration was insufficient to discharge Jenny's duty as a manager to supervise Tommy's work and to create a safe system of work. Jenny should have explicitly instructed Tommy to put on the gloves when operating the deep fryer. Signs or written instructions should be posted in the vicinity of the deep fryer to remind the kitchen staff of the safety procedures. Since it was Tommy's first day of work and he was unfamiliar with the operation of the deep fryer, Jenny should have also supervised Tommy when he operated the deep fryer.

Question 18

Security & Co has control and supervision of the entrances so it is an occupier. As an occupier, Security & Co had a common duty of care to ensure that its visitors are reasonably safe when using the premises. Jenny had instructed her staff to install a non-slippery carpet at the entrance and to mop the floor every 10 minutes. A warning sign was also posted on the floor to remind the customers of the danger. Security & Co has discharged its duty so it is not liable for June's injury.

Question 19

Security & Co has no immediate control inside the shops so it is not an occupier. Hence, it did not hold any liability for June's injury.

Question 20

An employer is vicariously liable for what his/her employees have done in the course of their employment.

Question 21

1. The cover letter was sent to Alan, a third person, so it constituted a publication.
2. The comments were defamatory as they injure Wood Work Ltd's reputation. However, since defamation is a personal action and the comments were about Wood Work Ltd instead of Joe, Joe had no cause of action against Mark.

 EXAM PRACTICE
QUESTION 1

Hillside Ski Resort hosts an inner tube racing competition. The race arena is managed and maintained by Hillside Ski Resort. Competitors race in teams of two. Benny and his friend participated in the competition as a team. In the course of the game, Benny accidentally crashed and cut his forehead.

- (a) Analyse whether Hillside Ski Resort owed Benny a duty of care.
- (b) Analyse whether consent could be a defence in Benny's case.
- (c) If Benny's injury was caused by a dangerous and defective race track of which he was not aware, analyse whether the answer of (b) would be different.

QUESTION 2

K & B Accountants ('K & B') was instructed by Global Trade Limited ('GTL') to prepare its annual account. GTL was in the course of negotiating a takeover by the MK Group. MK Group suggested that the valuation of the shares should be made based on the values certified by K & B and examined by the MK Group's auditors. The chairman of GTL was in a hurry to close the deal so he rushed K & B to provide a draft annual report. Unknown to K & B, the draft annual report was passed to MK Group for their consideration. The takeover went ahead before K & B finalised its report. MK Group's auditor subsequently discovered errors in the draft annual report.

Analyse whether MK Group could sue K & B for negligence.

QUESTION 3

Terry was hired by the Polman couple as a limousine driver. Terry had to wear a uniform provided by Mr. Polman. Terry's daily work schedule was packed with routine routes: each morning at 7:45 am Terry had to take Polman's three sons to different schools. Around 8:45 am Terry returned to North Crescent, the Polman's residence, and drove the Polman couple to their offices in Central. Between 10:00 am and 10:30 am, Terry picked up one of the maids with fresh food from the wet market. When Terry returned to North Crescent at about 11:30 am, the other maid was ready to get into his car to pick up the two sons from their primary schools.

What appeared a challenge to Terry was that each week Mr. Polman had two regular lunch meetings with business associates in Kowloon. There was always some traffic on the road at those hours and Terry had to get his car ready in the waiting zone close to Mr. Polman's office. As a result, Terry had to take his lunch after 2:30 pm in the afternoon. Terry often drove the limousine to get his late lunch and Mr. Polman acquiesced with this action with no complaint.

One afternoon while Terry was on his way to get his lunch, he turned around a junction corner without noticing a pedestrian walking across the road. The pedestrian, an old man, was seriously injured and was sent to hospital. The old man's family took an action against Mr. Polman for compensation.

Analyse whether Mr. Polman should be vicariously liable for Terry's negligence.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) A duty of care arose when the plaintiff's injury was foreseeable by the defendant, the plaintiff and the defendant's relationship in close proximity, and it is fair, just and reasonable to impose the duty. Hillside Ski Resort was the host of the competition. It had control and supervision on the race tracks. Hence, it owed a duty of care to the competitors of the game including Benny.

- (b) A defence of voluntary assumption of risk may be raised when the plaintiff knew the full nature of the game and consented to take the risk it involved. As a sport player, Benny was held to have consented to the ordinary risk involved in the sport game.
- (c) Since Benny was unaware of the defects in the race track, he would not have full knowledge of the nature of the risk involved. Consent is no longer a defence available.

QUESTION 2

According to *Caparo Industries Plc v Dickman* (1990) 2 AC 605, the tests of the duty of care are foreseeability, proximity and whether it is fair, just and reasonable to impose that duty.

As held in *James McNaughton Paper Group Ltd v Hicks Anderson & Co* (1991) 2 QB 113, it was held that in determining whether a duty of care is owed to a third party in respect of a statement made by a professional, the following criteria are to be taken into consideration:

1. The purpose for which the statement was made, particularly whether the intended recipient is the advisee or a third party;
2. The purpose for which the statement was communicated;
3. The relationship between the advisor, advisee and relevant third party;
4. The size of any class to which the advisee belongs;
5. The knowledge of the advisor of the purpose for which the statement was made or the purpose for which the statement was communicated to the advisee; and
6. Reliance by the advisee.

K & B was instructed to prepare the annual report for the purpose of valuation of the shares. However, when the Chairman of GTL asked K & B to provide a draft annual report, K & B did not know that the draft annual report would be passed to MK Group when making their decision to set the price of the takeover. K & B could not have foreseen that MK Group would rely on their draft annual report. MK Group was a sophisticated buyer and it was agreed that MK Group would instruct its own auditor to verify the report before making a decision. A duty of care was not established.

QUESTION 3

Vicarious liability arises when an employee has committed a wrongful act in the course of his/her employment and the employer is then deemed to have committed the same act. An employee has committed a wrongful act 'in the course of the employment' if that wrongful act is either (1) authorised by his/her employer or (2) done in an unauthorised mode but authorised by the employer. On the facts it is obvious that Terry had committed the tortious offence by hitting down the pedestrian. The act of driving the car to take lunch was not officially consented and authorised by Mr. Polman. Since the act was not taking place in the course of employment, at this point Mr. Polman was argued not to be vicariously liable for Terry's negligence. The simple analysis above might not be conclusive if we look at the judgment in *Ming An Insurance Co (HK) Ltd v Ritz Carlton Ltd* (2002) 3 HKLRD 844. The facts of Terry's case are similar to those in the Ming An case. In the Ming An case, the Court of Final Appeal applied the 'close connection test' when determining whether the employer would be held responsible for the employee's tortious act. The appropriate question that one has to ask is whether the employee's unauthorised act is so closely connected with the employment' such that imposing vicarious liability on the employer for the tortious act is

fair and just. In other words, it is necessary for us to see how the employer's activities were carried out by its employee and how they exposed the public to the risk of tortious harm done by the employee.

On the facts, driving the limousine by Terry to take lunch was not authorised and consented by his employer. The practice of getting lunch by Terry using the car, as the court said in the Ming An case, did serve the purpose of both the employer and the employee. It was understood that it was in the interest of Mr. Polman that Terry had sufficient food in the afternoon. The practice of driving the car for lunch using the limousine was also implied authorisation by the conduct of the employer, who had knowledge about the use of the car by Terry and said nothing to stop him from doing so. It follows that the driving act leading to the injury was incidental to Terry's employment. His tortious act was so closely connected with his employment and was still within the scope of his employment. The analysis above concludes that it was fair and just to hold Mr. Polman vicariously liable for Terry's act.

5

Aspects of Agency Law



CHAPTER TOPIC LIST

5.1 Formation of Agency

- 5.1.1 What is Agency?
- 5.1.2 By Written Agreement
- 5.1.3 By Estoppel
- 5.1.4 By Ratification
- 5.1.5 By Necessity

5.2 Types of Agent's Authority

- 5.2.1 Actual Authority
- 5.2.2 Usual Authority
- 5.2.3 Apparent Authority

5.3 Duties of Agent

- 5.3.1 To Follow Principal's Instructions
- 5.3.2 To Exercise Duty of Care and Skill
- 5.3.3 To Avoid Conflict of Interest
- 5.3.4 To Avoid Secret Profit
- 5.3.5 To Account for Transactions

5.4 Rights of Agent

- 5.4.1 To Earn Renumeration
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5.5 Liabilities of Agent

- 5.5.1 Personal Liability
- 5.5.2 Breach of Warranty of Authority

5.6 Duties of Principal

- 5.6.1 To Pay Renumeration
- 5.6.2 To Pay Indemnity

5.7 Rights of Principal

- 5.7.1 To Sue for Breach of Agency
- 5.7.2 To Recover Secret Profit

5.8 Principal's Liability to Third Party

- 5.8.1 Disclosed Principal
- 5.8.2 Undisclosed Principal



LEARNING OUTCOMES

PRINCIPAL LO9: ANALYSE THE KEY ASPECTS OF AGENCY RELATIONSHIP
LO9.01: Analyse the essential elements of agency relationship
9.01.01 Define the role of an agent, both disclosed and undisclosed, and analyse such relationships with regard to partners and company directors
9.01.02 Analyse how an agency is created
9.01.03 Explain the different types of authority of an agent
9.01.04 Analyse the rights, duties and liabilities of an agent and a principal



OPENING CASE

AN IMPERFECT SALE

Nick & Co was appointed as a sales agent of Rich Technology Limited ('RTL'), a company that manufactured industrial 3D printers. Nikky was one of the partners of Nick & Co. In the agency agreement, to avoid any doubt, there is a clause stating that Nikky was working as an agent but not as an employee of RTL. Nick & Co's agency duties include promotion of the printers at exhibitions and trade shows. To sweeten the deals with business customers, Nick & Co is able to offer a discount of up to 20% on the selling price of the products. RTL also agreed to pay Nick & Co 20% commission on all products that Nick & Co sells.

Recently, RTL produced a new prototype of 3D printers that had incorporated some revolutionary features. In a recent trade show, RTL rented a booth to display its 3D printers and the new prototype. Nick & Co managed to receive a good number of orders on the first day.

On the last day, Brian, a long-lost friend of Nikky, offered a very high price for the prototype. Nikky declined the offer and explained that the prototype was only for demonstration purposes. Brian said he was willing to increase his offer further and to pay an additional HK\$10,000 to Nikky under the table if Nikky would accept Brian's offer. Thinking that RTL would not refuse such a lucrative offer for the imperfect prototype, Nikky finally consented to the sale and accepted the remuneration of HK\$10,000.

After the trade show was over, the board was angry at what Nikky had done with the prototype. Apart from not paying any commission to Nick & Co for the sales made in the trade show, the board threatened to terminate the agency relationship if Nikky was not able to get the prototype back from Brian in a week. Nikky had finally liaised with Brian and was desperate to find that Brian had already resold the prototype to RTL's archrival in the industry. 



OVERVIEW

Agents take a very important part in the commercial world since many business transactions are done only through these intermediaries. An agent is appointed by a principal to negotiate or perform a contract on his/her behalf. Under normal circumstances, when the contract is concluded, the agent would drop out of the scene. By law, the principal has become a party to the contract and is bound by its terms to perform his/her obligations. However, there are circumstances where the agent would become personally liable for the contract. For example, the agent can be liable to third parties for his/her act in the situation where the principal has not been disclosed to the third party and the agent acted in his/her own name.

Though an agency is mostly likely to be created by a written contract, such a relationship may arise by conduct, necessity or implication with no formal written contractual agreement between the agent and the principal. An agent owes express and implied duties to his/her principal and has rights to seek indemnity for remunerations and losses/expenses incurred in the course of his/her agency. The agent may incur personal liabilities when exceeding his/her permitted authority.

The general principles of contract law are always referred to by courts when there is a dispute, for example, over the rights and obligations of the agent and his/her principal. The principal has the right to sue the agent for secret profits and other breaches in the agency agreement. Other important issues covered by common law are remuneration and the rights and duties of the agent and termination of the agency relationship.

In this chapter, we shall also take a look under the common law at the following issues regarding agency:

1. Describe the alternative ways an agency relationship can be created;
2. Explain how agency may arise by written agreement, by estoppel, by ratification and by necessity;
3. Explain actual authority, usual authority and apparent authority and distinguish between them;
4. Explain the duties owed by an agent to his/her principal;
5. Explain the rights of action a third party may have against an agent in terms of either personal liability or breach of warranty of authority; and
6. Explain the rights and powers of unpaid agents against their principals.

5.1 FORMATION OF AGENCY

5.1.1 What is Agency?

5.1.1.1 Concepts

Agency is a relationship that arises when one person (the principal) delegates authority to another person (the agent) to act on the principal's behalf. More often, the principal would require the agent to deal with a third party by instructing the agent to sign an agreement with the third party. One way of delegation of authority is to use a Power of Attorney, which is a written legal document that lists the matters delegated to the agent and gives the agent the scope of authority to act. The production of it would be conclusive evidence of the existence of such an agency subject to evidence to the contrary (say revocation of the Power of Attorney). Another formal way of appointment is to have an agreement (i.e. Agency Agreement) signed between the principal and the agent. The contract will be valid and binding on the principal.

Illustrative Example 1

An insurance company appoints insurance agents in teams to promote life insurance products. In their agency agreements, the insurance agents are given a 'fixed remuneration' for some time (in some cases over 12 months), which are the advance payments from their future commissions. If the agent quits the job in a short period of time, he/she may be required to return the fixed remuneration to the insurance company. Therefore, the insurance agents are not employees and their appointment comes from agency contracts. Once an application for the insurance protection is signed by a prospective client and the underwriting department has approved the application, the insurance company becomes a party to the insurance and is thus bound to observe all the terms under the policy. The insurance agents have no role to play in any term in the insurance policy.

5.1.1.2 Common Law and Statutory Provisions

The law of agency in Hong Kong is governed by principles of equity and contract. These principles govern the rights and liabilities of the principal and the agent and the relationship between them.

Legislations that directly or indirectly refer to the principles of agency include the following:

1. **Securities and Futures Ordinance (Cap.571)**: The principal is the client of licensed persons and the agent is licensed persons.
2. **Sale of Goods Ordinance (Cap.26) ('SOGO')**: S.23 of the SOGO provides that a sale by an agent without actual authority given by the owner of the goods (the principal) will give the buyer (the third party) a good title if the sale is within the agent's apparent authority or usual authority.

3. **Powers of Attorney Ordinance (Cap.31):** The principal is the donor of the power of attorney and the agent is the donee of the power.
4. **Insurance Ordinance (Cap.41):** The principal is the insurance company and the agent is the insurance agent.
5. **Factors Ordinance (Cap.48):** The principal is the owner of the goods and the agent is the mercantile agent.
6. **Prevention of Bribery Ordinance (Cap.201) ('POBO'):** The principal is the employer and the agent is the employee. S.9 of the POBO provides that it is an offence for an employee, without lawful authority or reasonable excuse, to solicit or accept advantage or reward to do some act in relation to his/her principal's affairs. Here, the employee is the agent and the employer is the principal. The employee has acted contrary to this section if, for example, he/she accepts secret money from a third party in a transaction that he/she acted on behalf of the employer (the principal).
7. **Estate Agents Ordinance (Cap.511) ('EAO'):** The principal is the seller or buyer of real estate and the agent is the estate agent.

For example, we have specific statutory provisions under the EAO governing the registration, licensing and practice of estate agents in Hong Kong. The estate agents in Hong Kong can represent both the buyer and the seller and enjoy a commission from both sides. S.45 of the EAO requires an estate agent to execute an estate agency agreement with a client in order to pursue a claim against the client for remuneration. In other words, the law requires an estate agent to sign an agency agreement with the client such that a principal-agent relationship must be established before the agent could claim remuneration from the client as the principal.

There are other duties that an estate agent has under the agency agreement with his/her clients:

1. The estate agent has the duty to supply the property information such as ownership, encumbrances and user restrictions to a prospective purchaser. He/She must also carry out a land search update of the relevant property before the signing of a sale and purchase agreement by the client.
2. An estate agent has to disclose to the client any beneficial interest he/she has in the property being dealt with – for example, the interest in the property owned by the spouse or a relative that the agent is related to.

5.1.1.3 Role of An Agent in the Context of Partners and Directors

Partners as Agents

S.7 of the Partnership Ordinance (Cap.38) provides that every partner is an agent of the firm and his/her other partners for the purpose of the business of the partnership. In a business context, a **partner** in a partnership is acting as the agent of all the partners. What this means is that the acts of a partner will bind other partners in a way that all other partners are held responsible for the acts of that partner.

Directors as Agents

The powers conferred in the articles on directors are conferred on directors collectively and not individually. Strictly speaking, a **director** is not an agent of his/her company until he/she has



authorisation from the board, as evidenced by, usually, board minutes, to show that he/she is authorised to act as the agent. Thus, an individual director, except a Chief Executive Officer ('CEO') or a Managing Director ('MD'), has no actual authority to act for or make decisions on behalf of the company.

Individual directors as agents derive their authority from three sources: (1) from their company as their principal, (2) from the company's articles and (3) from the Companies Ordinance (Cap.622) ('CO').

Board of Directors as Agents

The **board of directors** is considered to be the soul of the company and is the company's agent. The decision on a business transaction made by the board binds the company. Since the board members may be too busy to be involved in day-to-day operations, by the articles the board has the power to delegate its work to the CEO or MD or any designated director. After appointment the CEO or MD or any authorised director becomes the agent of the board as well as the agent of the company to oversee the daily operation of the company internally and in relation to an outsider. It should be noted that the board may revoke at any time the power it has delegated to the CEO, MD or an individual director.

If a party to a contract does not receive any delivery of goods over a contract signed by the CEO or MD for the company, the default in performance is the company's default, which means the company is held responsible for the liability in the breach of contract.

In the following sections, we are going to explore how the agency is formed. An agency can be created by written agreement, by estoppel, by ratification or by necessity.

5.1.2 By Written Agreement

The agency is created by the principal, expressly in writing or in verbal form, who instructs the agent to do a certain act or perform a duty on the principal's behalf subject to the remuneration or commission and other terms and conditions as provided in the agreement. The agent will carry out his obligations in return for remuneration or commission from the principal.

Illustrative Example 2

In the opening case, we see that Nick & Co had signed an agency agreement with Rich Technology Limited. Nick & Co's main duty was to promote and sell the printers at exhibitions and trade shows. In return, Nick & Co was remunerated at a commission rate of 20% on all the products it had sold to clients.

5.1.3 By Estoppel

Agency by estoppel arises where the principal holds out a person as his/her agent to a third party by words or by conduct as having the authority to make contracts on his/her behalf. This rule is also known as 'agency by holding out'. There is one important point we should note. It is the principal who has made a confirmation to a third party that the agent has such authority to represent the principal. The confirmation comes in the form of a representation, expressly or implied, from the words or conduct of the principal, and the third party must have relied on it

in good faith to incur a loss. The principal is prevented from denying the existence of an agency relationship with the agent and his/her authority to act for the principal. The principal is not liable to a third party if the representation in question comes from the agent himself/herself, but not by the principal or someone who has the authority from the principal.

Freeman & Lockyer v Buckhurst Park Property Ltd (1964)

Facts: The board of directors of a company allowed a director K to act as if he were appointed as the Managing Director. K hired an architectural firm in several company projects and his company settled all contracts except for the most recent one. The company argued that K had no authority to enter into such a contract, as he was not officially appointed by the company as the managing director.

Issue: If K was never officially appointed by the company as the Managing Director and the company had been holding out that he was, did K have the authority as an agent to enter into contracts on behalf of the principal company?

Held: The company held K out as the agency by estoppel, because its approval of the payment of the contracts (i.e. the representation made by the conduct of the company) signed by K in the past implied that K had the authority as the Managing Director to approve such a contract. For the rule of agency by estoppel, K had ostensible authority to sign on behalf of the company in those contracts due to the agency by estoppel. Accordingly, the company was bound by the contracts to settle the outstanding payment.

Illustrative Example 3

Suppose K wants to sell his car and asks his best friend M to find a buyer and do the negotiations for him. M has successfully found a potential buyer W, who has checked with K on the phone about M's authority as an agent. W relies on K's confirmation that M represents K as his agent, and thus agrees with M to take out a loan to buy the car.

K has come to a better deal later with another friend who makes a higher offer for his car. K then refuses to sell his car to W using the excuse that M is not his actual agent. Under the principle of agency by estoppel, as K has allowed M to purport to be his agent, an agency was established between K and M, even though no formal agency agreement had ever been made between the parties. K is bound by the act of M, his agent.

5.1.4 By Ratification

There may be times when the agent, without the principal's authority or having exceeded his/her authority, signs a contract with the third party. In this case, the agent will be solely responsible for his/her act, and could be sued by the third party on the grounds of breach of



warranty of authority (See Section 5.5.2). However, if the agent has narrated all the facts to the principal, who then approves what the agent has signed, the agent's liability is absolved and the contract is binding on the principal and the third party. This act of the principal giving approval to the agent's previous act is **agency by ratification**.

Illustrative Example 4

The principal appoints an agent to find and buy a vintage watch. If the agent has exceeded his/her authority by buying a vintage necklace instead, the principal will not be liable for the transaction and the agent has to bear the legal consequences arising from the transaction. For example, the agent has to bear all the buying costs as if the agent bought the vintage necklace as his/her own.

However, if the principal elects to ratify the purchase, then the principal is bound by the contract and has to pay for the necklace. After ratification, the agent does not have any liability over the contract to the third party and is still entitled to the remuneration to be agreed between the principal and the agent, since the new work (buying a vintage necklace) and its remuneration have not been previously agreed.

There are conditions that must be satisfied before ratification will become effective:

1. The principal must exist at the time of the transaction and the agent must have been expressly contracted as an agent.
2. The principal must have been made aware of all the material facts of the transaction that the agent has completed with the third party.
3. The principal must ratify the whole transaction but not any part of it.
4. The principal must ratify the transaction within a reasonable time.

Kelner v Baxter (1866)

Facts: The promoters signed a contract for purchase of wine on behalf of a hotel before it was incorporated. Promoters are individuals who take up the duty to set up a company for the purpose of running a project. Before the wine sellers received their payment, the company went into liquidation.

Issue: Were the promoters, seeing themselves as the agents of the company before incorporation, liable for the purchase?

Held: As the company did not exist at the time of the contract, the company was not empowered to ratify the contract and the promoters were personally liable to the seller for the outstanding payment for the wine.

Gimex Development Ltd v Cua Wai Tai & Another (2000)

Facts: The defendants, a couple, bought a property under construction and sold their interest to the plaintiff. The wife had appointed her husband as her agent for the sale of her interest in the property, but her husband appointed W to take up his role as the agent. The wife knew about the change and the fact that W was going to act for her as the agent.

Issue: Did the sub-agent W have the authority to represent the wife's interest in the sale of her interest?

Held: As a general rule, the husband (an agent) had no right to delegate his role to a sub-agent without asking for the permission of his wife (the principal). However, the fact that the wife did not object to such an arrangement amounted to ratification of her husband's act by acquiescence (i.e. acceptance of the status without any protest). Thus, the sub-agent W had the authority to represent the wife in the sale of her interest.

5.1.5 By Necessity

Agency by necessity is created due to the urgency of the circumstances where it is necessary for the agent to act as an agent to protect the property of the principal. There is no prior agreement between the parties to create such a relationship. The principal and the agent may not even know that this type of relationship has already been created between them under law. Although the agent in the situation has no express authority from the principal to preserve the property, the authority is presumed because of the urgent circumstances.

Great Northern Railway v Swaffield (1874)

Facts: A horse had been consigned to the railway station for S to collect. S failed to collect the horse and the staff of the railway station hired a stable for the horse. S refused to reimburse the railway station for the stabling charges. The railway station argued that they acted as the agent of S.

Issue: Whether the railway station was entitled to act as an agent to be reimbursed by S for the charges.

Held: The courts stated that the railway station had satisfied the following three conditions, which were important to establish an agency by necessity:

1. The agent must have been entrusted with the principal's property.
2. There was an emergency and the principal could not be contacted.
3. The agent acted *bona fide* in the interest of the principal.

Thus, the railway station was able to be reimbursed for the stabling charges from S, since a principal-agent relationship was created under agency by necessity.

Illustrative Example 5

The owner of a frozen food supplier, the principal in this case, sends out freezer trucks to deliver frozen food. When the freezer in a truck broke down and the frozen food was in danger of turning bad, the refrigerated truck driver (the 'Driver') can exercise the authority to safeguard the food that he is delivering. However, the frozen food supplier cannot be contacted as he is on holiday and his cell phone has been switched off. Since it is impossible at the moment for the Driver to communicate with the buyer to take instructions, the Driver has to do what is reasonably necessary to preserve the food in a desirable state. The Driver may pay out of his pocket to buy loads of ice cubes from a supermarket to keep the temperature inside the truck down.

On the facts the situation, the Driver has satisfied all three requirements in the agency of necessity:

1. The Driver has been entrusted with the property of the principal (i.e. the frozen food supplier).
2. There was an emergency where the freezer had broken down and the frozen food was likely to turn bad very soon. The principal could not be contacted because no device of mobile communication was available.
3. The Driver acted *bona fide* in the interest of the principal to preserve the frozen food.

The Driver is thus entitled to be reimbursed for the expenses from the principal, the owner of the frozen food supplier.

► Knowledge Check Questions

Question 1

Describe how the relationship of agency arises.

5.2 TYPES OF AGENT'S AUTHORITY

There are two types of agent's authority: (1) actual authority and (2) apparent authority.

5.2.1 Actual Authority

The **actual authority** that the agent possesses will normally be spelt out in a written agreement, but such actual authority may also be implied (See Section 5.2.1.2).

Illustrative Example 6

A manufacturing company (the principal) has outsourced its sales activities to an experienced marketing company (the agent). By a sales agency agreement, the marketing company is appointed as an agent to work for the principal company to sell the products to its business customers (the third party). In the opening case, we see that the actual authority that Nick & Co has is to secure contracts of sale of the printers at exhibitions and trade shows with customers.

If it is written in the agreement that, to perform its duties, the sales agent can offer a fixed discount to its business customers, the sales agent is then given the actual authority to secure sales contracts with its customers using a discount strategy. In the opening case, Nick & Co is authorised to give up to 20% discount on all the products it sells to its customers.

Actual authority can be expressed and/or implied.

5.2.1.1 Express Actual Authority

Express actual authority means the authority given to an agent who has expressly agreed with the principal to perform particular acts. The scope of this authority can be derived from the contract.

Ireland v Livingston (1872)

Facts: The principal L gave instructions in writing to his commission agent G requesting 500 tons of sugar at a fixed price. According to G's interpretation, L also requested that the cargo should be shipped to London, Liverpool or the Clyde. Specifically if it was not possible to receive the cargo at London, L would like to receive the cargo either at Liverpool or the Clyde. As it was difficult for G to obtain 500 tons at one time and to get a vessel to take the entire 500 tons of sugar, G shipped around 400 tons in one shipment to Liverpool. L refused to take the delivery because he wanted to receive the whole lot of 500 tons of cargo in either London, Liverpool or the Clyde.

Issue: Did the agent act contrary to the principal's instructions of shipping the cargo in one whole lot rather than in two separate shipments?

Held: The principal was bound to accept the cargo as the agent had express actual authority to deliver the cargo according to the written instructions. If a principal gives a written order to an agent under ambiguous terms so as to give two different meanings, and the agent honestly acted on one of them, the principal is not allowed to repudiate the act as unauthorised on the ground that the order should be read according to the alternative meaning.



Wong Wai Hing & Another v Hui Wei Lee (2001)

Facts: The defendant D was persuaded to invest in a restaurant in Canada by the two plaintiffs. Later D wanted her investment back and had hired a debt collector Y to chase the plaintiffs for the money. In the agreement between D and Y, it was stipulated that D was not held responsible for any criminal liabilities in the course of the debt collecting service. It turned out that the service involved acts amounting to assault and intimidation of both plaintiffs.

Issue: Was D as the principal of Y held responsible for the illegal act committed by the debt collector?

Held: The debt collector was expressly authorised by the defendant to collect the debt and the agreement did not restrict the class of acts done by the debt collector. Thus, the defendant was held liable for the acts.

Illustrative Example 7

In a sales agency contract, we have the following clauses in which the principal company delegates its authority in written words to its sales agent:

1. Clause 2.1: The Company hereby appoints the Agent as its exclusive agent in the territory specified in Schedule A attached hereto (hereinafter referred to as 'Territory'), for the sale of the products as specified in Schedule B hereto (hereinafter referred to as 'Products'). Schedules A and B may be amended by mutual written consent of the parties.
2. Clause 2.2: The Agent shall not, in the Territory, deal in any products and/or goods, nor shall it represent any other suppliers or manufacturers of any products and/or goods, which are in the opinion of the Company similar to or competitive with the Products to be supplied or manufactured by the Company pursuant hereto.

In Clause 2.1, the principal company authorises the sale agent to have exclusive right to sell products specified in Schedule B within the specified territories in Schedule A. According to this clause, the company cannot appoint some other agents selling the same products in the same territories since such a right to sell is exclusive to the appointed agent. The scope of products and that of the territories may expand or be reduced where there is a consent of the parties in writing.

In Clause 2.2, the principal company has set limitations on the authority of the sales agent to represent itself in selling products in the list of Schedule A in the assigned territories in Schedule B. The clause is to deter the sales agent from working with other suppliers or manufacturers of any other similar products that are in direct competition with the business of the principal company.

5.2.1.2 Implied Actual Authority

Due to the relationship of the parties, one party can perform a certain act on behalf of the other. The agency arrangement is not created by any oral or written instructions from one party, but is implied from the relationship of the parties. For example, the law firm has the implied actual authority to charge disbursements incurred in the case on clients where no such authority is mentioned in the signed legal retainer (i.e. an agreement to retain the services of the law firm by a client).

An agent may also gain implied actual authority from their position, for example the ordinary scope of authority for a company director.

Hely-Hutchinson v Brayhead Ltd (1968)

Facts: R, the Managing Director and Chairman of the defendant company, entered into various contracts on the company's behalf, and other directors in the board knew about this practice. C was the Managing Director of a company with whom R had contracted. When C sued the company under a contract of indemnity, the company claimed that R had no authority to enter the contract on its behalf.

Issue: If R was never formally appointed by the board, did he have the authority to sign the contract in question?

Held: R had the implied actual authority to give an indemnity on behalf of the company. This was because the board of the defendant company had, by its consent and acquiescence, permitted R to act as the Managing Director. Though R did not have the express authority from the nature of office as the Chairman to sign contracts without board approval, he had implied authority from the acquiescence of the board in his practice of entering contracts on behalf of the company over a long period of time.

Illustrative Example 8

X instructed Y to buy some stamps from the post office for him for mailing a specific mail and gave Y HK\$40. At the post office, Y found that that the stamps now cost HK\$44 for that mail and there was a shortage of funds of HK\$4. The express authority of Y was to buy the stamps for that mailing, but presumably Y would also have X's implied authority to pay the difference in the fees to complete his duty of buying the required stamps.

5.2.2 Usual Authority

Usual authority is a type of actual implied authority that the agent in a trade, business and profession has to enable him/her to perform his/her duty effectively. In other words, the usual authority comes with the position that the agent occupies and may exceed the actual authority that the agent has in order to get his/her work done.



Illustrative Example 9

An agent of a used car dealer (the principal) has the usual authority to show his solicited customers (the third party) around in order to see what cars are available for sale. He may also allow his customers to test-drive the cars to make sure that their performance is up to their standard. No such authority was written into his agency agreement.

In the opening case, Nick & Co had such authority to test the performance of printers with its customers to see how good they were. It had also the usual authority to collect sales money from the customer when the contract was signed.

5.2.3 Apparent Authority

An **apparent authority**, or ostensible authority, is the authority that the agent has in the eyes of the third party. The agent does not have the authority in the first place, but that authority is vested in the agent as soon as the principal has made a representation by words or by conduct to the third party that the agent has the authority or is capable of acting on his/her behalf. In other words, the principal intentionally allows the agent to appear before the third party to be his/her agent but in fact there is no actual principal-agent relationship, or such a relationship has already come to an end. The principal is said to hold out the agent as his/her agent as having authority to act on his/her behalf (despite the absence or expiry of express or implied authority of the agent). Accordingly, the agent has the apparent authority to act on behalf of the principal (and the principal is bound by the act of the agent).

To sum up the above, we are able to establish the apparent authority if the following requirements have been met:

1. The principal, or someone authorised by him/her, must have represented to the third party that the agent had authority to act on behalf of the principal. This representation, which may be of fact or of law, may be made by words or conduct or may be implied by previous dealings between the parties or from the principal's conduct.
2. The third party must have relied on the representation.
3. The third party must have relied on representation to his/her detriment.

Panorama Developments (Guildford) Ltd v Fidelis Furnishing Fabrics (1971)

Facts: The company secretary S of Company Y hired cars from Company W. S alleged that the car hire was for the company use but actually it was for his private use. Company Y refused to pay on the grounds that S had no express or implied authority to enter the car hire contract.

Issue: Was Company Y bound by the car hire contract signed by its company secretary S, even if S had no express or implied authority to enter such a contract?

Held: As S was carrying the title of company secretary, in the eyes of Company W, he had the authority to hire cars for his company. Even though S did not have either express or implied authority, he was held out by Company Y to be its agent and thus he had apparent authority to hire the cars on the company's credit. Therefore, Company Y had to pay the invoices.

Apply and Analyse 1

Apply

Stan was the Managing Director of Kofa Technology Limited ('KTL'). Stan knew the Manager of Cherry Wine Cellar quite well as he had ordered a considerable amount from the shop before. Three weeks before Christmas Eve, Stan gave a call to the Cherry Wine Cellar and ordered 20 bottles of quality red wine on the company's account for the Christmas party. Stan actually left KTL for misconduct on 16 December and came to Cherry Wine Cellar in person to collect the bottles of wine on 22 December. Stan never showed up again. Analyse whether KTL was bound to pay the invoice for the red wine.

Analysis

An agent can bind the principal to a contract when acting with authority, actual or apparent. Apparent authority is the authority of a person as it reasonably appears to others (*Freeman & Lockyer v Buckhurst Park Property Ltd* and *Panorama Developments (Guildford) Ltd v Fidelis Furnishing Fabrics*).

It would be reasonable for Cherry Wine Cellar to assume that Stan had the authority appropriate to a Managing Director due to the past dealings. Such authority would surely include the purchase of red wine on the company's account. Accordingly, Stan, acting within apparent authority, has made his former company (i.e. KTL) liable to settle the invoice. It was not a defence for KTL to argue that Stan had left KTL and thus he did not have the authority to order the wine. Moreover, there was no reasonable way for Cherry Wine Cellar to know that Stan was no longer employed by KTL.

► Knowledge Check Question

Question 2

State when an unauthorised act of an agent may bind the principal.

5.3 DUTIES OF AGENT

5.3.1 To Follow Principal's Instructions

The agent has a contractual duty to follow the principal's instructions and failure to do so will amount to a breach of agency (i.e. agency agreement).



Illustrative Example 10

The principal has given instructions to the agent to sell his used books in the market for HK\$150 with no discount but the agent has sold to a third party for HK\$100. The agent has breached the agency and the breach will require the agent to pay the principal HK\$50, the difference between the price that the agent was instructed to sell the used books at and the price he actually sold them, as damages.

Illustrative Example 11

In the opening case, the act of selling the prototype by Nikky to Brian was a breach of duty as an agent to follow the principal's instructions. Rich Technology Limited is able to sue Nikky for the breach of agency and to seek damages therefrom.

5.3.2 To Exercise Duty of Care and Skill

Where the principal selects the agent on the basis that the agent has certain skills, knowledge or expertise, the agent must perform his/her duties with an accepted standard of skill and competence.

Chaudhry v Prabhakar (1988)

Facts: The plaintiff C requested a close friend P, who had some knowledge of cars, to find her a suitable used car with no record of accident. P picked up a car with a repaired bonnet and recommended it to C. Later C found that the car was unroadworthy due to a previous accident. The trial court held that P was in breach of his duty to take reasonable care. P appealed against its decision.

Issue: Was P in breach of his duty to C?

Held: P was in breach of the duty of care and skill owed to C. C had relied on P's skills to get a good used car. As P came to notice the condition of the bonnet, he should have been aware that the car had been damaged in an accident.

Illustrative Example 12

A general insurance agent (the agent) took out an insurance policy over a building upon a client's instructions. The agent confirmed with his client that the policy would cover damage resulting from fire to natural disaster including flood. Later, the insurer (the principal) issued an insurance policy to the client (the third party). A flood later damaged the building during the insurance term. It was then found that the policy did not cover loss or damage against flood. In this case, the insurance agent had failed to exercise reasonable care and skill in discharging his duties (i.e. by taking out a policy in accordance with his client's instructions). The client, as the principal of the agent, could take an action against the insurance agent for damages on the grounds of breach of duty of care and skill exercised by a prudent agent.

5.3.3 To Avoid Conflict of Interest

Agency is a fiduciary relationship that imposes a strict obligation on the agent not to promote personal interests in preference to those of the principal. The agent should not put himself/herself in a position where his/her personal interests come ahead of or clash with those of the principal.

Boardman v Phipps (1966)

Facts: The defendant was a solicitor handling a family trust. He took advantage of the trust by buying majority shares of a company held under the trust. Later, the defendant made a huge profit from the capital distribution by the company. A beneficiary under the trust sued the defendant on the grounds of conflict of interest.

Issue: Was the defendant in breach of his duty to avoid conflict of interests?

Held: Fiduciaries may not earn secret profits from their fiduciary duties nor may they permit any possible conflict between their personal interests and their fiduciary duties. The defendant earned profits in the performance of his fiduciary duties, and therefore there was a conflict between those two interests because he was not acting entirely in the interests of the beneficiaries but also in his personal capacity. The defendant was therefore liable for the profit earned.

Illustrative Example 13

John (the principal), the Managing Director of a chain store selling cosmetics and skin care products, instructs Evan (the agent) as John's agent to find suitable sites for John's retail outlets. Evan is approached by another cosmetics operator to carry out the search of similar premises. We see that there is a high risk of conflict of interest on the side of Evan as, for example, in his own interest, could choose to represent whoever could pay a higher price for the outlet. If Evan decides not to inform John about taking up of similar task and to seek John's advice, he would breach the duty as an agent of avoiding conflict of interest with his own. If John has knowledge about the double representation by Evan, he can terminate the agency and refuse to pay commission to Evan.

In the opening case, we see that Brian paid HK\$10,000 to Nikky under the table for the sale of the prototype. Nikky had placed herself in a position where her interests were in conflict with her agency. Though the sale of the prototype might have brought a windfall to Nick & Co, the fact that Nikky had accepted secret profits was a blatant breach of her fiduciary duty as an agent.

5.3.4 To Avoid Secret Profit

The agent must not make a secret profit or acquire any benefit in the course of the agency without the principal's consent.



Cook v Deeks (1916)

Facts: Three of the four directors (the agents) negotiated a construction contract for their company (the principal), but finally took the contract in their own names. Later, the same directors and shareholders passed a special resolution confirming that the company had no interest in the contract.

Issue: Were the directors required to account to the company for their profits made in the contract?

Held: The resolution was ratification to justify the acts of the three directors and shareholders. It was ineffective. The directors were required to return the secret profit to the company.

Illustrative Example 14

K, an estate agent, acts for a buyer to look for a property of around HK\$10 million for investment and has found one for sale for HK\$9 million, which is below the market price. If K buys that property himself and resells it to the buyer at a profit, K is in breach of his fiduciary duty not to make a secret profit.

5.3.5 To Account for Transactions

The agent must account to the principal for all money he/she receives on the principal's behalf and the agent must keep a proper record of all transactions. The agent is also liable to account for any profit that he/she has made from transactions that were undisclosed to the principal.

Illustrative Example 15

In the opening case, Nikky had to account for the secret money of HK\$10,000 to Rich Technology Limited ('RTL') under the table for the sale of the prototype to Brian. The money came to Nikky by way of her capacity as an agent and she should have informed RTL about its existence.

Apply and Analyse 2

Apply

Robby was an estate agent and was instructed by Danny to list Danny's three-storey villa for sale at a price of HK\$52,000,000. Robby knew that the villa was worth around HK\$53,000,000 in the uptrend market. Robby arranged for his cousin, Morris, to disguise himself as the buyer to complete the purchase. After two months, Morris subsequently resold the villa for HK\$53,600,000. Under a secret agreement with Robby, Morris was able to pocket half of the profit made from the sale. Analyse the types of duties that Robby might have breached.

Apply and Analyse 2 (continued)

Analysis

On the facts, Robby has breached his duty of skill and care and duty to avoid conflict of interest to his principal. Robby should have informed his principal, Danny, of the true value of the villa. Failure to do so would entitle Danny to sue for damages for breach of agency duty. In addition, Robby has also breached his duty not to make a secret profit at the expense of his principal. Danny can sue for any commission paid to Robby and an amount equal to the secret profit. On the other hand, Robby was likely to have breached the legislation imposed on an estate agent about his breaches of duty.

► Knowledge Check Question

Question 3

State the duty imposed on the agent when working in a transaction in which he/she has a personal interest.

➤ 5.4 RIGHTS OF AGENT

5.4.1 To Earn Remuneration

The agent is entitled to remuneration under the contract of agency with the principal. Usually the amount of remuneration will be written as one of the terms in the contract and may be a percentage of the transaction price with the third party. The agent will have the remuneration only when the transaction with the third party is complete.

5.4.2 To Get Indemnity

The agent may incur expenses while fulfilling the contract of agency. The agent is entitled to reimbursement of reasonable expenses from the principal. However, the principal needs not reimburse the agent if the expenses come from a negligent act or an act that is not authorised by the principal.

If the agent, acting under the principal's instructions and within authority, becomes liable to legal action by a third party or a related party based on a contract or tort, the principal has to indemnify the agent for all the legal costs incurred from the action.

Illustrative Example 16

C has successfully secured an exclusive distribution agreement with a famous game developer and manufacturer L in Hong Kong. Under the agreement this means that C is appointed as the exclusive agent in Hong Kong in distributing electronic game consoles with the game installed, which all bear the trade mark 'GG-bogs', to retail outlets. If C is sued by a reputable software company on the grounds of a trade mark infringement against its registered Hong Kong trade mark 'GG-box', L, as the principal of C, has to indemnify C for the losses (e.g. compensation paid by C to the software company) and the legal costs incurred by C in the infringement proceedings in court.

5.4.3 To Exercise Lien

If the principal has outstanding remuneration or reimbursement of expenses that the agent is entitled to, the agent has the right of lien over the principal's goods. A **lien** is a common law right that enables the agent to retain possession of the principal's goods until the outstanding amount has been cleared and settled. A lien cannot be exercised unless the goods or documents have come to the agent's possession in the course of the agency and the agent has acquired their possession lawfully.

Illustrative Example 17

W, an auctioneer, sells a vintage car at a public auction on behalf of Z, a principal and owner. Upon getting a final bidder and receiving a cheque as payment for the car, W may refuse to pass the cheque to Z until the remuneration is fully paid. In this case, W has a lien over the cheque and could exercise a lien over it before Z has paid what W is entitled to as remuneration.

► Knowledge Check Question**Question 4**

Describe how an agent is likely to obtain his expenses if the principal refuses to pay.

5.5 LIABILITIES OF AGENT

5.5.1 Personal Liability

There are circumstances where the agent incurs a liability over the contract he/she signs on behalf of the principal:

1. **Where the agent acts for a non-existing principal**

The agent incurs liability when he/she acts as if acting on behalf of a principal, but that principal does not exist. In that case, the agent acts for himself/herself, and thus he/she must be held responsible for what has been done (*Kelner v Baxter* (1866)).

2. **Where the agent acts in excess of authority** (See Section 5.5.2)

In circumstances where the agent acts in excess of authority, the principal may ratify the agent's act and is bound by the transaction. If the principal has decided not to ratify the agent's act, the third party can hold the agent liable by an action for breach of warranty of authority.

3. **Where the agent acts for an undisclosed principal** (See Section 5.8.2)

Sometimes an agent is appointed to act on behalf of a principal with a third party and this agent does not disclose the existence of the principal. In such cases the third party (after knowing the identity of the principal and the agency relationship) can sue the undisclosed principal if there is a breach of the contract made. Either the principal or agent is liable to this third party.

4. **Where the agent has committed a tortious act out of authority**

An agent acting within actual authority can seek indemnity from the principal if sued by the victim of the tortious act of the agent. Where the agent commits a tortious act on a third party while acting outside his/her authority, the agent is personally liable for the victim.

5.5.2 Breach of Warranty of Authority

As the agent only signs a contract on behalf of the principal, the agent is not a party to the contract and will not be held personally liable for it. An exception is when the agent has made a representation to the third party that he/she has authority to represent the principal but in fact has none. If the third party relies on such representation and incurs a loss, he/she could have an action against the agent on the grounds of the agent's **breach of warranty of authority**. The remedy for breach of warranty of authority is damages, which is the actual loss incurred by the third party.

Collen v Wright (1857)

Facts: The defendant contracted as an agent to lease out farm land. The defendant wrongly believed that he had the authority to enter into such a lease with a third party, but in fact he did not have such authority.

Issue: If an agent made a contract with a third party beyond the scope of his authority, was he liable to the third party for damage on a breach of warranty of authority?

Held: The defendant was liable to the plaintiff on a breach of warranty of authority.

Illustrative Example 18

K, an agent, signs a contract on behalf of his principal with M, a third party, claiming that he is able to supply M with the goods as stipulated in the contract for 30% less than the selling price in the market. K is deemed to warrant that he has the authority to do so. If M later discovers that K has no authority to give such a deep discount, M can sue K for damages on the grounds of breach of warranty of authority. The damages are the difference between the actual price paid by M in the market and the discounted price.

► Knowledge Check Question**Question 5**

State the key element that a third party should prove when suing an agent for breach of warranty of authority.

 5.6 DUTIES OF PRINCIPAL**5.6.1 To Pay Remuneration**

The agent is entitled to the remuneration agreed by the principal or (in the absence of any agreement) as is customary in a particular business. The amount of remuneration depends upon the agency agreement except where it is regulated by law. In general, a commission agent must substantially complete the transaction before obtaining the commission, subject to the wording of the contract.

Illustrative Example 19

After a successful sale of the house to the buyer, the principal buyer will pay 1% of the sales price to the estate agent as remuneration according to the practice in the industry. As it is the obligation of the agent to find a buyer to complete the purchase, the act of merely introducing a purchaser is not enough for the agent to earn a commission. The agent is expected to finalise and complete the sale before he/she is entitled to the commission. If the sale fails to be secured in the middle of the transaction because the buyer was unwilling to complete, the agent should be entitled to nothing (unless otherwise provided in the agency agreement).

5.6.2 To Pay Indemnity

The principal must compensate the agent for all expenses or losses incurred in the course of the agency. The exceptional circumstances that the agent is not entitled to indemnity are as follows:

1. The agent's unauthorised actions that lead to the expenses or losses.
2. The agent's default or negligence that increases the expenses or losses.

► Knowledge Check Question

Question 6

Describe when the principal has to pay indemnity to the agent.

► 5.7 RIGHTS OF PRINCIPAL

5.7.1 To Sue for Breach of Agency

If the agent does not follow the principal's lawful and reasonable instructions or any specific terms in the agency, the principal could sue the agent for breach of contract. In that case, the agency is terminated and the damages follow the general principles of contract law.

Illustrative Example 20

In the opening case, it was understood by Nikky that the prototype was for demonstration purposes only and Rich Technology Limited ('RTL') would never allow her to sell it to the customers. It was irrelevant that Nikky thought that her principal would accept Brian's offer for the imperfect prototype. RTL is able to sue Nikky for the breach of agency and seek damages from her.

5.7.2 To Recover Secret Profit

The principal is entitled to recover any secret profit or commission obtained by the agent.

Regal Hastings Ltd v Gulliver (1942)

Facts: The parent company (the principal) owned a subsidiary company that was running a cinema business. The parent company was very tight in cashflow and did not intend to invest further in its subsidiary. Two directors of the parent company (the agents) sat on the board of the subsidiary company and decided to revitalise the business using their own investments. They bought the shares in a subsidiary company without approval by the shareholders of the parent company. The directors ran the business of the subsidiary company for a while with great success and sold the acquired shares to third parties at huge profit.

Issue: Were the directors required to return the secret profits made by the sale of shares of the subsidiary company?

Held: The directors as fiduciaries of the parent company should not make any unauthorised profit from their position. They should account for the profit made from the sale of the shares in the subsidiary company to the third parties. It should be noted that the directors in this case assumed the role of agents and the parent company was their principal. For any secret profit made, the directors were required to return the profit to the principal.

► **Knowledge Check Question**

Question 7

Describe the rights of the principal when there is a breach of duty by the agent.

► 5.8 PRINCIPAL'S LIABILITY TO THIRD PARTY

The principal's liability to a third party depends on whether the principal has been disclosed or undisclosed.

5.8.1 Disclosed Principal

The term '**disclosed principal**' refers to the two situations: (1) one is where the agent discloses to the third party the principal's existence and his/her name and (2) the other is about the principal's existence without a name. In both situations, the agent is out of the picture when finishing his/her task of getting the contract signed. The rule of privity of contract helps us understand this situation. According to the rule, only parties to a contract are able to sue or be sued. The principal and the third party can sue the other party or be sued by the other party on the contract. Neither the principal nor the third party is able to sue the agent on the contract, as the agent does not have any rights and liabilities over it by the rule of privity. So long as the agent acts as an agent for the principal, the agent cannot be personally liable on the contract.

with or without disclosure of the principal's name. For a detailed discussion on privity of contract, see Section 2.10.1 Privity of Contract.

Illustrative Example 21

K is appointed as agent to buy from X a vintage car on behalf of W. X knows that K is an agent of W. If X has breached the sales contract due to late delivery, W is entitled to request for damages. K is only the agent and the sales contract only binds X and W. The rule of privity of contract does not empower K to sue over the contract for W.

5.8.2 Undisclosed Principal

The agent may enter into contract with the third party without revealing the fact that the agent is acting upon instructions of the principal. This is a case of **undisclosed principal** where the third party has no actual notice of his/her existence and the agent acted as though he/she was the principal. The consequence is that the agent may sue or be sued on the contract. However, the third party may leave the agent alone and has the option to sue the principal instead under common law. Sometimes it may be a better option to sue the principal because he/she is more resourceful than the agent in terms of financial arrangement when it comes to damages for the third party.

On the other hand, the undisclosed principal has the right to intervene and sue the third party directly if the third party is in breach. The agent's right of action against the third party is lost when the undisclosed principal decides to take up action against the third party.

Watteau v Fenwick (1893)

Facts: The principal had restricted his agent's authority to order bottled beer and mineral water only from suppliers for the business in a public house. However, the agent ordered cigars from a third party. The third party believed that he dealt directly with the agent. The principal refused to pay for the cigars. When the third party knew about the existence of the agency agreement, he sued the principal for the price. The principal claimed that the agent had no actual authority to make such a contract on his behalf.

Issue: Was the principal bound by the contract if the principal was undisclosed?

Held: Once it is established that the defendant was the principal, the ordinary rules of principal and agent apply. Thus, the principal is liable for acts of the agent, even though the relationship was unknown to the plaintiff.

Illustrative Example 22

In Illustrative Example 21, W stresses that K should not disclose his existence to X. If K has paid a deposit as required under the sales contract with X but the delivery date has been late for weeks, W may come up before X and request for a refund.

**Illustrative Example 22 (continued)**

If the vintage car is ready for delivery but W decides not to collect the car through K, K is held liable to pay the balance. If it so happens that X knows the actual buyer is W and K is only W's agent, X has the option to take action against W instead of K for breach of contract.

▶ Knowledge Check Question**Question 8**

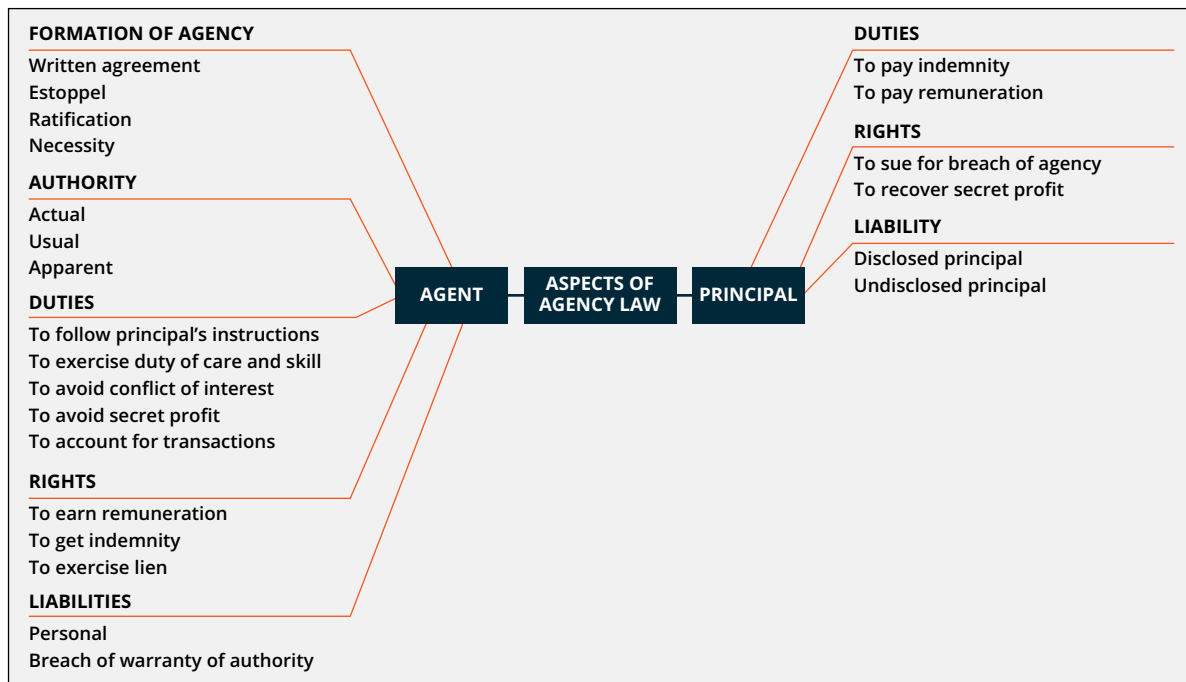
Define undisclosed principal and explain the liability that the agent may incur when acting for an undisclosed principal.



SUMMARY

- Agency is a relationship in which an agent is authorised by a principal to achieve a legal relationship between the principal and the third party. The duties of an agent to a principal are fiduciary in nature.
- Agency can be created expressly or by implication.
- An agency of estoppel may be formed where a person, by words or actions, makes it reasonable for a third party to think they are dealing with the agent of a particular principal.
- Ratification of an agency occurs where a principal adopts within an appropriate time an act or agreement undertaken without authority by the agent.
- An agency of necessity arises in urgent or compelling situations requiring the property of the principal to be protected or preserved and it is effectively impossible to contact the owner.
- Agents have actual or apparent authority. Actual authority is the authority that is actually given by the principal to the agent, either expressly or by implication. Apparent authority is the authority an agent has judged to be the reasonable perspective of the third party.
- Agents acting within their actual or apparent authority can effect a binding contract between the principal and the third party. Agents acting beyond their actual and apparent authority will not bind the principal.
- The duties of an agent to a principal are:
 - To follow the principal's instructions
 - To exercise duty of care and skill
 - To avoid conflict of interest
 - To avoid secret profits
 - To account for transactions
- Disclosure of the identity of the principal or indicating one's own capacity as that of an agent prevents an agent from being personally liable on any contract that results from the negotiations.
- Unless the doctrine of undisclosed principal is applicable, an agent who contracts without disclosing the name or the existence of a principal will be personally liable on the contract.
- Third party can sue an agent for breach of warranty of authority where an agent exceeds his/her actual and apparent authority and a loss is caused to the third party.
- The principal has a duty to reward an agent as provided in his/her contract of agency including, if necessary, the implied terms of such a duty. A principal is bound to reimburse expenses incurred by the agent on the principal's behalf in the course of discharge of an agent's duty and to indemnify the agent against any losses that are actually those of the principal.
- In the event of a breach of the obligations of a principal to his/her agent, an agent may exercise a lien against the principal's property of which the agent still has possession.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

The agency relationship between the principal and the agent may arise by a contract. The contract could be express, written or oral or it may be an implied agreement. It may also arise by operation of law, by ratification or by estoppel.

Question 2

An unauthorised act of an agent may bind the principal, when the principal, by his/her representation, has led a third party to believe that a person has the authority to represent him/her. The principal is prevented from denying the existence of the agency relationship with that person and is therefore bound by it.

Question 3

An agent has a duty not to place himself/herself in a situation where his/her personal interest is in conflict with the business interest. An agent is also under such duty not to profit by carrying out that transaction unless he/she has made a full disclosure of the position to the principal and has received permission to take the profit.

Question 4

If the agent has in his/her possession goods or documents belonging to the principal, he/she may exercise a right of lien over these, until he/she is indemnified or reimbursed for all of his/her expenses.

Question 5

The third party should prove that an agent warranted that he/she has authority to perform an act, which is later found to be without such authority.

Question 6

The agent must be compensated for all expenses or loss incurred in acting on behalf of the principal. However, an agent cannot claim indemnity in respect of his/her unauthorised act unless it is ratified. He/she does not have a right of indemnity for losses caused by his/her own default or negligence.

Question 7

If the agent fails to follow the principal's lawful and reasonable instructions, the principal could sue the agent for damages due to a breach of agency. If the agent has received secret profits in any transaction acting on behalf of the principal, he/she is required to return such profits to the principal.

Question 8

An undisclosed principal refers to the situation where the agent does not disclose the existence or the identity of the principal and signs a contract with a third party as if he were the principal. Once the principal remains undisclosed, the agent may sue and be sued on the contract. In that case, the agent can enforce the contract against the third party, but his/her right of action is lost when the principal decides to intervene.

EXAM PRACTICE

QUESTION 1

Matt was the Manager of the Crown Blue Hotel (the 'Hotel'). Matt's service contract shows that he was restricted not to place an order for goods worth more than HK\$100,000 unless he had sought the authority of the board. Matt was also expressly forbidden from ordering any alcohol.

Analyse the following three contracts with different suppliers signed by Matt:

- (a) Mia, an Account Manager of Cohan Food Distributors, visited and told Matt that her company was running a sales promotion. Special discounts were given to buyers on orders of food over HK\$150,000 at one time. Matt informed Mia that he needed the approval from the board for orders over HK\$100,000. The next morning Matt told Mia that the board had given him the green light to sign the food contract, but in fact Matt had never obtained such approval. Matt finally signed a contract of HK\$200,000 with Mia in his own name.
- (b) Mia also convinced Matt to buy HK\$50,000 worth of brandy by offering him 10 boxes of Cuban cigars and hence Matt signed a contract for the brandy at HK\$50,000.
- (c) Matt had received from a local firm a quotation of HK\$1,200,000 for the redecoration work of the Hotel. Matt referred the work to Standard Design Limited ('SDL') in which Matt was a director. Matt knew that SDL could give a better quotation. Matt entered into a contract with SDL and agreed to pay HK\$900,000 for the entire redecoration.



QUESTION 2

The board of directors of KYC Limited ('KYCL') appointed Ian as the new Managing Director. The announcement of such an appointment was all sent to suppliers and business customers. On the service contract, KYCL restricted Ian's authority to sign any contract that had an amount over HK\$2.5 million.

Weeks later Ian visited Koey Limited ('KL'), KYCL's main supplier, and agreed to purchase wooden sofas for HK\$3 million. In fact, Ian planned to resell the wooden sofas to KL's client company, which was wholly owned by Ian's best friend, for HK\$5 million and keep the profit for himself. Shortly afterwards, KYCL found out what Ian did and they told KL that they would not honour the signed agreement signed by Ian. KL's factory had already produced the wooden frames for the sofas and was on schedule to pass them to the workers for further processing.

Analyse whether Ian had the authority to bind KYCL in respect of the transaction.

QUESTION 3

Maggie and Miriam are the directors of a holding company named Coven Beauty Limited ('CBL'), which is a listed company running 15 beauty parlours all over Hong Kong. CBL has a wholly owned listed company named Nono Vie Limited ('NVL'), which is also managed by Maggie and Miriam as the directors. The business of NVL is manufacturing and marketing skin care machines. Due to the fast development of new skincare technology, 5,500 unsold skin modelling machines had become obsolete and had been stored in the warehouse for two years.

Phyllis, a customer and friend of Maggie and Miriam, comes to know about the skin modelling machines, proposes to revamp the machines and converts them into brand new machines that the market would buy. Maggie and Miriam brought the idea to the board of directors of CBL about injection of cash into NVL. Other directors rejected the proposal because the company was running out of funds for new projects.

Maggie, Miriam and Phyllis met over coffee again and decided that they would personally invest a fortune in equal share in Phyllis' new company in the research and development of the skin modelling machines. The whole plan is that the machines are sold to Phyllis' new company at cost and the new company would sell the improved models to NVL for next promotional sale. Though Maggie and Miriam would get some profit from the investment personally in Phyllis' new company, they are more eager to see a rise in the share price of NVL if the plan comes to a success.

With aggressive sales promotion by the skin care consultants at the beauty parlours, the new model was a huge success and all the machines were sold out within three weeks. Maggie and Miriam were able to rack in great return when they had sold half of their shares in NVL to a third party investor. Extra shares were bought by Maggie and Miriam from the two existing shareholders before the skin modelling machine came into market. Winnie, one of the shareholders of NVL, after learning about the situation, comes to you to seek your advice.

Advise Winnie about the legality of the acts of Maggie and Miriam in the area of agency law and what their liabilities are.

[Note: You are not required to discuss whether Maggie and Miriam have breached their director's duties.]

ANSWERS TO EXAM PRACTICE

QUESTION 1

On the facts, Matt had limits placed on his actual authority in that under the terms of his contract, he should not enter into certain contracts on behalf of Crown Blue Hotel (the 'Hotel'). However, Matt, as a Manager, would also have usual or apparent authority. The Hotel (i.e. the principal of Matt) would be bound by the acts of Matt if he was acting within his authority.

Usual authority is the authority given to someone that comes with the post. Apparent authority is the type of authority that the principal has given the agent as having such authority. The representation may be made by the principal in giving the agent a position in which he/she would have usual authority to enter into certain transactions, for example, the appointment of Matt as a Manager of the Hotel.

- (a) Matt had acted outside his actual authority in signing the contract for the order for food, since his authority was limited to placing orders up to HK\$100,000. However, the Hotel would still be bound by the contract if Matt had acted within his usual or apparent authority. Whether Mia could bind the Hotel to the contract would depend on whether it was reasonable to accept Matt's statement that he had been given the authority to make the contract. We are given very limited information on what Mia had thought about Matt's statement, but it was reasonable to assume that Mia had not doubted about the validity of what Matt said. The Hotel was, therefore, bound by the transaction when Mia reasonably relied on Matt's statement that the Hotel had given him authority to enter into the transaction (*Freeman & Lockyer v Buckhurst Park Property Ltd* (1964)).
- (b) Matt had also entered into a contract to purchase HK\$50,000 worth of alcohol. Matt was, therefore, acting outside of his actual authority. As regards his usual or apparent authority, it might be argued that a manager usually had the authority to order alcohol for the hotel. In this case, the Hotel was still bound by the contract based on his usual or apparent authority (*Panorama Developments (Guildford) Ltd v Fidelis Furnishing Fabrics* (1971)).

If the Hotel was not liable on the contracts for the food and alcohol, Mia might have a claim against Matt based on the breach of warranty of authority (*Collen v Wright* (1857)).

On the other hand, Matt had been offered 10 boxes of Cuban cigars in return for entering into the contract to purchase alcohol. An agent has fiduciary duties to his/her principal and is under a duty to avoid a conflict of interest and not to take secret profit. The Cuban cigars could be seen as a secret profit, as Matt was able to resell them into cash. In this case, Matt had breached the duty to avoid a conflict of interest and to take secret profit. Matt was required to return the 10 boxes of Cuban cigars to the Hotel.

- (c) The Hotel required redecoration and, in fact, the quote of HK\$900,000 provided by Standard Design Ltd ('SDL') was less than the local firm's quote of HK\$1,200,000. Matt was a director of SDL. However, even if the Hotel had benefited from the transaction, Matt was still in breach of his fiduciary duty not to put himself in a position where there was a conflict of interest (*Boardman v Phipps* (1966)). Matt might be liable for any profit he had made as a result of the transaction.



QUESTION 2

Ian, the new Managing Director of KYC Limited ('KYCL'), was the agent of KYCL. There was an express term in Ian's service agreement that Ian could not sign any contracts over HK\$2,500,000. Therefore, when Ian agreed to complete the transaction with Koey Limited ('KL') with a contract of HK\$3,000,000, he was clearly acting outside his actual authority. To determine whether KYCL was bound by Ian's act, it is necessary to see if Ian had apparent authority. The requirements for apparent authority are explained as follows:

- (a) The principal, or someone authorised by him, must have represented to the third party that the agent had authority to act on behalf of the principal. This representation, which may be of fact or law, may be made by words or conduct or may be implied by previous dealings between the parties or from the principal's conduct. In this case, the necessary representation was satisfied when KYCL had notified the suppliers of Ian's appointment.
- (b) The third party must have relied on the representation. It appears that KL relied on the representation that Ian was given all the actual authority by KYCL as the Managing Director in the transaction, when agreeing to sell the wooden sofas to KYCL.
- (c) The third party must have relied on representation to his detriment. This third requirement appears to have been satisfied simply by the fact that KL entered into the contract itself and KL's factory had started its production process (*Freeman & Lockyer v Buckhurst Park Properties Ltd* (1964)).

The above analysis shows that it is highly likely for KL to establish that Ian had apparent authority to order the wooden sofas due to KYCL's representation. In other words, Ian had apparent authority to bind KYCL in the contract with KL.

QUESTION 3

The scenario is similar to that in *Regal (Hastings) Ltd v Gulliver* [1967] 2 AC 134.

In *Regal (Hastings) Ltd* case, the parent company was very tight in cash flow and did not intend to invest further in its subsidiary. Two directors of both of the parent company and the subsidiary decided to invest their own money into the business of the subsidiary. They bought the shares in a subsidiary and made a profit without approval by the shareholders of the parent company. The House of Lords held that the directors as fiduciaries and agents of the parent company should not make any unauthorised profit from their position.

Maggie and Miriam are the directors of their parent company Coven Beauty Limited ('CBL'). In this case, they assume the role of agents and the parent company is their principal. There are two transactions that Maggie and Miriam have participated: (1) the sale of the skin modelling machines to CBL through Phyllis and (2) the sale of the shares in Nono Vie Limited ('NVL') to a third party investor.

For the first transaction, it is obvious that the profit made from the sale of skin modelling machines by Maggie and Miriam through their friend Phyllis is amounted to a breach of their duty of not accepting any secret profit by way of their office as agents and directors of the company. In other words, Maggie and Miriam have obtained a benefit only by reason of the fact that they are agents and in the course of the execution of their office, they are accountable for the profits which they have made from the sale of skin modelling machines.

For the second transaction, it seems that the sale of the shares in NVL has nothing to do with any breach of directors' duties. This is untrue because, by the application of the no-profit principle for the directors in *Regal (Hastings) Ltd* case, Maggie and Miriam subscribed for shares without the consent of the board of CBL and they obtained the profit just because of their office as directors. For any secret profit made, the directors (i.e. Maggie and Miriam in this case) are liable to account for the profit to the company and are required to return the profit to the principal (i.e. CBL).

6

Money Laundering, Bribery and Corruption



CHAPTER TOPIC LIST

6.1 Money Laundering in Hong Kong

- 6.1.1** Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405)
- 6.1.2** Organized and Serious Crimes Ordinance (Cap.455)
- 6.1.3** Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap.615)
- 6.1.4** United Nations (Anti-Terrorism Measures) Ordinance (Cap.575)

- 6.1.5** The Joint Financial Intelligence Unit

6.2 Bribery and Corruption in Hong Kong

- 6.2.1** Overview of the Prevention of Bribery Ordinance (Cap.201)
- 6.2.2** Independent Commission Against Corruption



LEARNING OUTCOMES

PRINCIPAL LO8: APPLY THE KEY CONCEPTS AND PRINCIPLES OF PREVENTION OF BRIBERY & CORRUPTION AND ANTI-MONEY LAUNDERING LAWS
--

LO8.01: Apply the key provisions of the prevention of bribery & corruption and anti-money laundering laws in Hong Kong

8.01.01 State the scope and apply the key provisions of the Prevention of Bribery Ordinance
--

8.01.02 State the role of the Independent Commission Against Corruption
--

8.01.03 Apply the obligations and requirements under the anti-money laundering legislation

8.01.04 Analyse the role of accountants as trust or company service providers
--



OPENING CASE

A DUBIOUS CASE ABOUT MONEY TRANSFER

Ryan is the Head of the Accounting and Finance Department in a mid-sized company named Kelleman Logistics Limited (the 'Company'), a subsidiary of a large group of companies incorporated in Hong Kong. Its business is to ship containers with goods for clients from Asia Pacific to the United States and European Union. Apart from the two vessels that the Company owns, Ryan also outsources business to two other freight forwarding companies. As Ryan needs to place orders to these suppliers, he is working late regularly, during which he processes the major part of the Company's transactions.

Time and again Ryan is using different bank accounts to carry out transfers in foreign currencies. In most cases, these activities are not linked to the business activities of the Company. In addition, the balance of the accounts is usually close to zero, but the total amount of the transfers and the volume of transactions is considerably high. The transactions posted in the general ledger are split into small amounts and many transactions are in exact thousands, each of which is less than HK\$10,000.

The internal policy of the Company is to supervise transactions that are above HK\$10,000. The proceeds from the transactions are deposited at different branches of the same bank. Ryan makes short-term investments outside the office hours, mainly using electronic platforms, in marketable securities and derivatives. However, Ryan would transfer the money to different online payment accounts to unknown parties on a daily basis. Ryan's activities have been made known to some other colleagues, who do not readily inform the senior management about this.

The Company recently hired a new Accounting Supervisor named Heather to assist Ryan and she has reasons to believe that Ryan's transactions are outside the corporate goals of the Company. Ryan's activities seem not to be legitimate transactions. 



OVERVIEW

Money laundering and bribery are still rampant all over the world, even if legislation and practices are always undergoing changes to combat the insidious acts. Most countries have become aware of the need to raise awareness amongst the public and private sectors of the risks arising from the nature of activities of their client base, the nature of transactions undertaken on behalf of their clients and the business activities associated with international financial institutions.

As there are no hard and fast rules for recognising money laundering, terrorist financing and complex economic crimes, the private sectors should remain alert and vigilant to such risks by applying their professional judgment, experience and skepticism.

In this chapter, we use separate units to explore the key concepts and principles of money laundering and corruption, respectively. Specific sections of the applicable legislation will be discussed. At the end of each of the two units, we shall discuss the important bodies, namely the Joint Financial Intelligence Unit ('JFIU') and Independent Commission Against Corruption ('ICAC'), which try their best to keep Hong Kong a corruption-free and top-ranking anti-money laundering city.



6.1 MONEY LAUNDERING IN HONG KONG

Money laundering is the process by which criminals have changed the identity of money or property in such a way that they appear to be derived from a legitimate source. After artificial and extensive processes, the original ownership and control of the proceeds of criminal conduct have been successfully hidden. Money laundering is also used to describe funds that are acquired and used for terrorist activities. Serious crimes like drug trafficking, terrorism, controlled prostitution, illegal gambling, arms trafficking, tax evasion, **bribery**, theft and fraud, insider dealing and market manipulation are related activities of money laundering offences in most jurisdictions.

The reason why money laundering must be stamped out is because the community should confiscate the money or property that were acquired from criminal activities, and the contaminated money and property should not become the major source of funds for terrorist activities to disrupt the world order. Countries have undivided consensus to act against money laundering and have called for the need for close international co-operation throughout the years.

Professional accountants can help prevent fraud and money laundering in their own organisations using expertise and professional skepticism. Under the *Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants*, published by the Hong Kong Institute of Certified Public Accountants in February 2018, accountants should regularly conduct customer due diligence and ongoing monitoring of existing and new clients. Moreover,

accountants should have the necessary skills and position to explain the risks and potential consequences of an unauthorised use of company accounts. They should act with integrity and refuse to become associated with unethical and illicit practices inside the organisations. They are also expected to educate staff and management within the organisation for proper adherence to internal policies and procedures in respect of the accounting function and any irregularities they may identify in their work.

Illustrative Example 1

In the opening case, Ryan's acts of using the company accounts are suspicious. Huge volumes of money transfers in foreign currencies using different bank accounts that are unrelated to business activities, the almost zero balance of the accounts and the daily money transfer to unknown parties using online payment accounts all add up to the likelihood of money laundering practices. If the new accountant supervisor Heather believes that Ryan and others are behaving or acting unethically, she should first consider raising the matter internally to the Compliance Officer and the management. At the same time, Heather should submit a suspicious transaction report to the Joint Financial Intelligence Unit or the designated Compliance Officer in the company as soon as reasonable or practicable to avoid the non-disclosure penalty under four specific anti-money laundering legislation, any one of which is applicable (See Section 6.1.5).

As to the legislation that is used to penalise people in money laundering malpractice, the relevant laws include the following:

1. Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405);
2. Organized and Serious Crimes Ordinance (Cap.455);
3. Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap.615); and
4. United Nations (Anti-Terrorism Measures) Ordinance (Cap.575).

6.1.1 Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405)

6.1.1.1 Overview of Legislation

The Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405) ('DTROPO') was modelled upon the UK's Drug Trafficking Offences Act 1986. The legislation was passed to give the courts power to take away the property or money that drug traders have gained in trafficking transactions.

6.1.1.2 Key Provisions on Anti-money Laundering

The key anti-money laundering provisions under the DTROPO include the following:

1. Provisions dealing with offences

Under s.25(1) of the DTROPO, a person commits an offence if he/she deals with a property, knowing or having reasonable grounds to believe that the whole or part of the property directly or indirectly represents the proceeds of drug trafficking.

Under s.25A, **tipping-off** is another offence under the DTROPO. A person commits an offence if, knowing or suspecting that a disclosure has been made, he/she discloses

to any other person any matter that is likely to prejudice any investigation that might be conducted following that first-mentioned disclosure. The maximum penalty for this offence upon conviction is imprisonment for three years and a fine.

2. Provisions dealing with obligations

Under s.25A(1) of the DTROPO, a person should make a disclosure to an authorised officer (e.g. a police officer or Customs and Excise officer) as soon as it is reasonable to do so, if he/she knows or suspects that the whole or part of the property, directly or indirectly, represents the proceeds of drug trafficking.

3. Provisions dealing with penalty

By s.25(3) of the DTROPO, on conviction upon indictment under s.25(1) of the DTROPO, the defendant will be sentenced to a maximum of 14 years imprisonment and a fine of HK\$5 million.

By s.25A(8) of the DTROPO, any person, who fails to disclose his/her knowledge or suspicion as required under s.25A(1) of the DTROPO, will be sentenced to a maximum of three years imprisonment and a fine of HK\$500,000.

4. Provisions dealing with court action

S.3 of the DTROPO gives the court the power to issue confiscation orders. In this context, a **confiscation order** is an order for the seizure of property from a person convicted of drug trafficking or an order requiring a convicted person to pay a specified amount of money. The application of procedure for enforcing a confiscation order requires the court to specify a period that is less than six months from the issue of the order for the defendant to pay under that order.

Under ss.10 and 11 of the DTROPO, the Court of First Instance may grant a **restraint order** (i.e. an order prohibiting any person from dealing with any realisable property) or a **charging order** (i.e. an order made imposing a charge on any realisable property for securing the payment of money to the government).

By ss.10(16) and 11(14) of the DTROPO, a person, who knowingly deals in any realisable property in contravention of a restraint order or charging order, is liable to a fine of HK\$500,000, or to the value of the realisable property, whichever is the greater, and to imprisonment for five years. On a summary conviction, such a person is liable to a fine of HK\$250,000 and to imprisonment for two years.

6.1.1.3 Case Law

Seng Yuet Fong v HKSAR (1999) KCQ3, FAMC No. 26 of 1998

Facts: The applicant was convicted under s.25(1)(a) of the DTROPO assisting her brother to retain the benefit of drug trafficking. The applicant applied for leave to appeal against the conviction to the Court of Appeal ('CA') but her application was dismissed. The CA wanted the Court of Final Appeal ('CFA') to certify the question of law, among others, shown as follows.

Issue: Under s.25(1) of the DTROPO, was it correct that the objective element in the phrase 'having reasonable grounds for belief' was related to a common sense, right thinking member of the community and that the prosecution had to prove that these grounds were known to the defendant?

Seng Yuet Fong v HKSAR (1999) KCQ3, FAMC No. 26 of 1998 (continued)

Held: The CFA confirmed that the phrase 'having reasonable grounds for belief' contained both the objective and subjective elements. The prosecution had to prove both elements to get the defendant convicted – first, there were grounds that a common sense, right thinking member of the community would consider were sufficient to lead a person to believe that the person being assisted was a drug trafficker or had benefited from the drug trafficking (the 'objective element'); second, the defendant knew these grounds (the 'subjective element').

6.1.2 Organized and Serious Crimes Ordinance (Cap.455)

6.1.2.1 Overview of Legislation

The Organized and Serious Crimes Ordinance (Cap.455) ('OSCO'), enacted in 1994, was to:

1. Empower the Hong Kong Police and the Customs and Excise Department to investigate organised crime and triad activities;
2. Give the courts jurisdiction to confiscate the proceeds of organised and serious crimes to issue restraint orders and charging orders on the defendant property;
3. Create money laundering offences in relation to the proceeds of indictable offences; and
4. Enable the courts to impose a greater sentence where the offence amounts to an organised crime, a triad related offence or other serious offences.

It should be noted that ss.25 and 25A of the OSCO share similar sections with ss.25 and 25A of the DTROPO, respectively.

Illustrative Example 2

In the opening case, the ways that Ryan had been using the company accounts were suspicious. This leads one to suspect that there was a likelihood that Ryan had been involved in money laundering practices. If the money in question was related to the proceeds of indictable offences, or those of drug trafficking, then Ryan had committed the money laundering offence and would be caught either under the Organized and Serious Crimes Ordinance (Cap.455) or the Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405), as the case may be.

6.1.2.2 Key Provisions on Anti-money Laundering

The key anti-money laundering provisions under the OSCO include the following:

1. Provisions dealing with offences

Under s.25(1) of the OSCO, a person commits an offence if he/she deals with a property, knowing or having reasonable grounds to believe that any property which, in whole or in part, directly or indirectly, represents any person's proceeds of an indictable offence. An **indictable offence** is defined in the Crimes Ordinance

(Cap.200) as one that is not triable summarily. In general, less serious offences are tried summarily before the Magistrates' Courts. For the purposes of DTROPO/OSCO, an indictable offence is one that may be tried either summarily or on indictment. For indictable offences that are tried summarily, they may be heard before the Magistrates' Courts, District Court or Court of First Instance. Examples of indictable offences taken from Schedules 1 of the OSCO are murder (common law offence) and theft (s.9 of the Theft Ordinance (Cap.210)).

By s.25A of the OSCO, a person commits an offence of tipping-off if, knowing or suspecting that a disclosure has been made, he/she discloses to any other person any matter that is likely to prejudice a future investigation following the disclosure. The maximum penalty for the offence upon conviction is imprisonment for three years and a fine.

2. Provisions dealing with obligations

Under s.25A(1) of the OSCO, a person should make a disclosure to an authorised officer (e.g. a police officer or Customs and Excise officer) as soon as it is reasonable to do so, if he/she knows or suspects that the whole or part of the property, directly or indirectly, represents the proceeds of an indictable offence.

3. Provisions dealing with penalty

By s.25(3) of the OSCO, on conviction upon indictment under s.25(1) of the OSCO, the defendant will be sentenced to a maximum of 14 years imprisonment and a fine of HK\$5 million.

By s.25A(8) of the OSCO, any person, who fails to disclose his/her knowledge or suspicion as required under s.25A(1) of the OSCO, will be sentenced to a maximum of three years imprisonment and a fine of HK\$500,000.

4. Provisions dealing with court action

Like DTROPO, s.8 of the OSCO also enables the court to issue a confiscation order. A confiscation order may be made when the court believes that the person has acquired the property as a result of his/her criminal activities or has obtained financial benefit from such criminal activities. Under s.14 of the OSCO, the Court of First Instance may grant a 'restraint order' or a 'charging order'.

6.1.2.3 Case Law

Oei Hengky Wiryo v HKSAR (No. 2) (2007) 10 HKCFAR 98

Facts: The appellant was a native and resident of Indonesia. He appealed against his convictions on a charge of conspiracy to commit bookmaking, contrary to s.7(1)(a) of the Gambling Ordinance (Cap.148), and two charges of money laundering acts, contrary to ss.25(1) and 25(3) of the OSCO. The money laundering charges were related to the proceeds of the bookmaking.

Issue: Did s.25(1) of the OSCO require the prosecution to prove that the relevant funds were the proceeds of an indictable offence or was it enough to prove that the defendant knew or had reasonable grounds to believe that they were such proceeds?

Oei Hengky Wiryo v HKSAR (No. 2) (2007) 10 HKCFAR 98 (continued)

Held: It is not necessary for the prosecution to prove that the proceeds being dealt with were in fact proceeds of a **predicate offence** (i.e. the underlying criminal offence that generated the proceeds). A defendant could be convicted under s.25(1) of the OSCO if he/she had reasonable grounds to believe that the property represented the proceeds of crime, without the prosecution having to prove that the property was in fact the proceeds of crime.

HKSAR v Pang Hung Fai (FACC 8 of 2013)

Facts: The appellant and Mr. Kwok ('Kwok') had been close friends for 30 years and both were in the garment business. Kwok was the Chairman and a major shareholder of a Hong Kong listed company ('TFC'). In 2008, Kwok devised a fraud scheme in which he allowed TFC to grant 40 million of its share options to two mainlanders. The options were gradually sold in the stock market but the two cheques of HK\$14 million by the two mainlanders were never presented for payment. In other words, TFC had never received any money for the share options.

The appellant owned a Hong Kong company ('MIL') in which he was a director and sole shareholder. He was requested by Kwok to arrange a transfer of money (from the sale of TFC's share options) from the two mainlanders into MIL's account. The same amount was then remitted by the appellant to a company account in Cambodia controlled by Kwok. The appellant alleged that he had no knowledge of the share dealings among the parties and was unable to contact Kwok since the remittance of the money to Cambodia.

The appellant was convicted under s.25(1) of the OSCO based on the evidence that he had reasonable grounds to believe that the property (i.e. the money from the sale of TFC's share options) he dealt with was the proceeds of an indictable offence (i.e. Kwok's conspiracy to defraud TFC).

Issues: The Court of Final Appeal was asked to consider the following legal issues:

1. To decide whether the appellant had reasonable grounds to believe that the property represented the proceeds of an indictable offence, was the prosecution entitled to consider the appellant's own perception and evaluation of the facts as contributing factors to form such reasonable grounds?
2. Which was the appropriate applicable test in evaluating the content of a reasonable man's belief when determining the causal link between the facts in the grounds and the requisite belief: the 'would believe' test or 'could believe' test?

Held:

1. The personal belief, perception or prejudice of the defendant might be taken into consideration in determining whether he/she had 'reasonable grounds to believe' under s.25(1) of the OSCO. The lower courts should have taken into account the appellant's trust in Kwok. He and Kwok had been close friends for over 30 years. He knew that Kwok was the Chairman of a listed company and had never known

HKSAR v Pang Hung Fai (FACC 8 of 2013) (continued)

Kwok to have done anything dishonest or dishonourable. They had also helped each other with unsecured, interest-free loans on some occasions when cash-flow difficulties came up in their businesses. The Court of Final Appeal found that, on entirely reasonable grounds, the appellant had trusted Kwok implicitly (without asking questions about why Kwok could not use one of his own accounts to receive incoming funds) and had no reason to suspect that the money received in the MIL account was derived from a criminal offence. By his own perception and evaluation of the relevant facts, the appellant did not have reasonable grounds to believe that the proceeds in question came from an indictable offence.

2. In determining whether the defendant's grounds of belief are reasonable, the Court of Final Appeal confirmed that the test was whether a reasonable person, after looking at the grounds, 'would believe' that the property dealt with represented the proceeds of an indictable offence. The Court of Appeal had been wrong in following a long line of earlier authority applying the 'could believe' test, which was of an inappropriately low standard, compared to the 'would believe' test.

In determining whether there were 'reasonable grounds to believe' for the purpose of an offence under s.25(1) of the OSCO, the test adopted was found in *Seng Yuet Fong v HKSAR* (1999) KCQ3: first, the accused had grounds for believing; second, the grounds had to be reasonable such that anyone looking at those grounds objectively would believe so.

HKSAR v Yang Sigai (2016) HKEC 2068, FACV No. 8 of 2015

Facts: The appellant, a Chinese citizen, operated an illegal fund transfer business to overcome exchange control restrictions for customers and was convicted in the District Court on three counts of money laundering. He was convicted of dealing with property having a reasonable belief that the property (i.e. money deposits from overseas into the bank accounts of two Hong Kong companies controlled by the appellant) represented the proceeds of an indictable offence under s.25 of the OSCO. The property was derived from an act committed overseas that constituted an indictable offence in Hong Kong. The appellant argued before the Court of Final Appeal that, by s.25(4) of the OSCO, he was guilty only when he was aware of the criminal nature of that conduct, as the property in question was from overseas.

Issue: In order to prove that the defendant had committed an offence contrary to s.25(1) of the OSCO where the property dealt with came from overseas, did the prosecution need to identify the underlying conduct and prove that the appellant was aware of the nature of that conduct and was an indictable offence?

Held: Under s.25(1) of the OSCO, the underlying offence was not required to be identified and this was the position confirmed by the Court of Final Appeal in its earlier decision. In other words, s.25(1) of the OSCO did not require proof of knowledge of the actual conduct that had produced the relevant property.

HKSAR v Yeung Ka Sing Carson (FACC Nos. 5 and 6 of 2015)

Facts: The defendant, a Hong Kong businessman and owner of Birmingham City Football Club, was charged with 'dealing with property known or believed to represent proceeds of an indictable offence', contrary to ss.25(1) and 25(3) of the OSCO. Each of the five charges related to a course of dealing by the defendant regarding over 900 deposits into five separate bank accounts in six years. The defendant alleged that the money receipt had legitimate sources (e.g. casino gains, share earnings and return on investments). The court did not believe his explanation of the source of the proceeds.

Issues:

1. Did the prosecution need to prove the predicate offence (i.e. the underlying criminal offence that generated the proceeds) in a charge of dealing with property known or believed to represent the proceeds of an indictable offence?
2. What was the correct formulation in considering whether a defendant had reasonable grounds to believe in the context of s.25(1) of the OSCO?

Held:

1. The Court of Final Appeal ('CFA') upheld its decision in *Oei Hengky Wiryo v HKSAR (No. 2)* (2007) 10 HKCFAR 98 and confirmed that the prosecution did not have to prove that the property being dealt with was the proceeds of crime. To secure a conviction, it is enough for the prosecution to establish that the defendant had reasonable grounds to believe that the property was the proceeds of crime.
2. The CFA confirmed that the better and less complicated test to determine was that used in *Seng Yuet Fong v HKSAR* (1999) KCQ3, FAMC No. 26 of 1998: 'To convict, the jury had to find that the accused had grounds for believing; and there was the additional requirement that the grounds must be reasonable: that is, that anyone looking at those grounds objectively would so believe.'

Apply and Analyse 1**Apply**

Caleb was the proprietor of an e-business and his major business was to resell cosmetics from South Korea on his e-commerce store. Time and again Caleb paid merchandise fees to his Korean suppliers through his e-business's online banking.

At one point one of his suppliers, X-cosmos, had sent him an e-mail requesting to use his bank account to receive an amount of about HK\$6,500,000 from a Russian client. Further discussion revealed that the source of the funds, which was confirmed to be illicit money collected from tax evasion, was from a renowned businessman in Moscow. X-cosmos once thought of using his PayPal business account to collect the funds over several transfers, but PayPal imposed a very high rate of surcharge, which increased the cost in this transaction. The plan was that, with the assistance of Caleb, the total funds could be collected physically by the cronies of the businessman in Hong Kong. X-cosmos was willing to pay the assistance money of HK\$100,000 to Caleb if he would collect the funds for the businessman and arrange the delivery of the money to a designated person in Hong Kong.

Analyse whether Caleb would have committed any offence under the anti-money laundering legislation in Hong Kong.

Apply and Analyse 1 (continued)

Analysis

The money that Caleb was to collect from the Russian businessman derived from tax evasion. Though the act was committed overseas, tax evasion constituted an indictable offence in Hong Kong. Dealing with the illicit money derived from tax evasion was sufficient to allow Caleb to fall prey to s.25 of the Organized and Serious Crimes Ordinance (Cap.455) ('OSCO'). The section specifically addressed the crime dealing with property by the defendant having a reasonable belief that the money represented the proceeds of an indictable offence.

If the money turned out not to be derived from tax evasion, Caleb was still considered to have acted contrary to s.25 of the OSCO. The prosecution did not have to prove that the money being dealt with was the proceeds of crime (*Oei Hengky Wiryong v HKSAR (No. 2)* (2007)). In other words, Caleb would be convicted under s.25 of the OSCO if it were proved that he had reasonable grounds to believe that the money was the proceeds of crime (*Seng Yuet Fong v HKSAR* (1999)).

6.1.3 Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap.615)

6.1.3.1 Overview of Legislation

Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap.615) ('AMLO') is the first anti-money laundering-specific legislation that came into effect on 1 April 2012. Terrorist financing can be defined as the financial support of terrorism or to those who plan or engage in terrorism. Terrorist financiers transfer legal or illicit funds in a way to conceal their source and ultimate intention to use the funds to support terrorism.

To stop billions of dollars of dirty money from going through channels offered by financial institutions, Hong Kong has since taken a firmer stance against money laundering and terrorist financing and imposed a tougher penalty regime for violations of anti-money laundering regulations and laws. At the same time, Hong Kong has been stepping up its enforcement resources to deal with suspicious transactions reported by financial institutions.

The AMLO has introduced criminal charges or civil sanctions for breaching the requirements imposed under the AMLO. Furthermore, the Securities and Futures Commission ('SFC'), the Hong Kong Monetary Authority ('HKMA') and the Office of the Commissioner of Insurance are empowered by the AMLO to impose supervisory sanctions for non-compliance. Disciplinary actions may include public reprimand, remedial action and fines of up to HK\$10 million, or three times the amount of profit gained or costs avoided as a result of such contravention.

6.1.3.2 Key Provisions on Anti-Money Laundering

From 1 March 2018, Anti-Money Laundering and Counter-Terrorist Financing (Financial Institutions) (Amendment) Ordinance 2018 requires designated non-financial businesses and professions ('DNFBPs'), such as accountants, estate agents, lawyers and trust company service providers, to fulfil the same customer due diligence and record-keeping requirements as the financial institutions ('FIs'), such as banks, securities firms, insurance companies and money changers. The amendment pushes Hong Kong to bring its legislation close to the



international standards set by the Financial Action Task Force ('FATF'), an inter-governmental body established in 1989 to set standards and promote implementation of legal, regulatory and operational measures for combating money laundering and terrorist financing.

The following key anti-money laundering provisions under the AMLO are applicable to FIs and/or DNFBPs:

1. Provisions dealing with offences

S.5 of the AMLO makes it a criminal offence if FIs knowingly or with the intent to defraud any relevant authorities ('RAs'), such as the HKMA or the SFC, contravenes a specified provision of the AMLO, which is listed in s.5(11) of the AMLO.

2. Provisions dealing with obligations

S.5A of the AMLO imposes anti-money laundering and countering terrorist financing requirements on the following DNFBPs:

- (i) Accounting professional or a legal professional, when he/she prepares for or carries out for a client a transaction that involves:
 - (a) The buying or selling of real estate;
 - (b) The managing of client money, securities or other assets;
 - (c) The management of bank, savings or securities accounts;
 - (d) The organization of contributions for the creation, operation or management of corporations;
 - (e) The creation, operation or management of legal persons or legal arrangements;
 - (f) The buying or selling of business entities;
 - (g) Trust or company services.
- (ii) An estate agent, when he/she is involved in a transaction concerning the buying or selling of real estate for a client.
- (iii) A Trust or Company Service Provider ('TCSP') licensee, when he/she prepares for or carries out for a client a transaction concerning trust or company service.

Schedule 2 of the AMLO imposes requirements relating to customer due diligence (Part 2 of Schedule 2) and record-keeping (Part 3 of Schedule 2) on FIs or DNFBPs, and empowers the RAs with the powers to supervise compliance with the requirements. In addition, Schedule 2 of the AMLO also requires FIs or DNFBPs to take all reasonable measures to ensure that proper safeguards exist to prevent a contravention of any requirement under Parts 2 and 3 of the AMLO, and to mitigate money laundering and terrorist financing risks.

3. Provisions dealing with penalty

By s.5(5) of the AMLO, if an FI knowingly contravenes a specified provision, it is liable to a maximum term of imprisonment of two years and a fine of HK\$1,000,000 upon conviction. By s.5(6) of the AMLO, if the FI contravenes a specified provision with the intent to defraud RAs, a maximum imprisonment of seven years and a fine of HK\$1,000,000 are imposed.

S.23 of the AMLO shows the requirement that RAs have to follow guidelines to exercise their powers to impose a pecuniary penalty on FIs.

No provisions are found in the AMLO imposing DNFBPs criminal sanctions for failing to comply with the requirements. For non-compliance, accountants, lawyers and estate agents are penalised under mechanisms applicable to each profession, whereas TCSPs will be regulated under the TCSP licensing system.

4. Provisions dealing with disciplinary actions

S.21 of the AMLO allows RAs to take disciplinary actions against FIs for contravention of a specified provision in the AMLO. The actions may include a public reprimand, remedial action to remove the contravention and a pecuniary penalty under s.21(2) of the AMLO.

6.1.3.3 Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants

In February 2018, the Hong Kong Institute of Certified Public Accountants ('HKICPA') published an important document with the title *Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants* (the 'HKICPA Guidelines') to comply with the AMLO. This is a set of guidelines for its members, which is based on the set published under s.7 of the AMLO. The HKICPA Guidelines apply to practices and members working in practices. 'Practices' refers to practice units under the Professional Accountants Ordinance (Cap.50) and TCSPs, where the proprietors, partners or directors are all HKICPA members.

The HKICPA Guidelines also refer to other major anti-money laundering legislation, namely, the DTROPO, the OSCO and the United Nations (Anti-Terrorism Measures) Ordinance (Cap.575) ('UNATMO'). The HKICPA Guidelines form part of *the Code of Ethics for Professional Accountants*. A member who does not comply with the HKICPA Guidelines would not be liable to legal proceedings, but such a breach serves as admissible evidence in court proceedings under the AMLO.

In the HKICPA Guidelines, the use of the word 'must' indicates a mandatory requirement or a statutory obligation for the members, whereas the use of the words 'should', 'would' and 'may' only provide guidance for complying with statutory and regulatory requirements, and suggest good practice recommended by the FATF.

In light of the increased focus on anti-money laundering laws and regulations, the prospective and practising accountants should familiarise themselves with all applicable requirements of the HKICPA Guidelines and the AMLO. The following is a summary of major sections in the HKICPA Guidelines published in February 2018.

6.1.3.4 Customer Due Diligence (HKICPA Guidelines, Section 620)

Information obtained from customer due diligence ('CDD') is important to provide grounds for knowledge or suspicion of money laundering and facilitate making suspicious transaction reports ('STRs'). Through CDD, the practices know the true identity of each client, the type of business and transactions undertaken and the source and the use of funds. A standard level of due diligence should be applied to all clients. A simplified CDD ('SDD') and an enhanced CDD ('EDD') may be necessary in lower-risk and high-risk scenarios, respectively.

Examples of possible risk factors are:

1. The public profile of the clients indicating involvement with political exposed persons ('PEPs');
2. The use of corporate structures, trusts and the use of nominee and bearer shares and rationale;



3. A request to remain anonymous or use undue levels of secrecy with a transaction;
4. Involvement in cash-intensive businesses;
5. Nature, scope and location of business activities generating the funds/assets, having regard to sensitive or high-risk activities; and
6. Where the origin of wealth (for high risk clients and PEPs) or ownership cannot be easily verified.

A PEP is defined in the AMLO as:

1. An individual who possesses a prominent public function in a place outside mainland China, e.g. a head of state or government, senior government, judicial or military official, senior executive of a state-owned corporation (not including a middle-ranking or more junior official);
2. A spouse, a partner, a child or a parent of an individual described in (1) above, or a spouse or a partner of a child of such an individual; or
3. A close associate of an individual described in (1). The AMLO defines a 'close associate' as:
 - (a) An individual who has close business relations with a PEP; or
 - (b) An individual who is the beneficial owner of a legal person or trust that is set up for the benefit of a PEP.

Illustrative Example 3

In the opening case, in her daily work the new Accounting Supervisor Heather may come across new clients. It is important for her to know the true identity of each client, the type of business and transactions undertaken. A simplified customer due diligence or an enhanced customer due diligence may be necessary. To play safe, Heather should have a checklist of risk factors to help her identify whether the new client may be involved in a money laundering scheme.

6.1.3.5 Ongoing Monitoring (HKICPA Guidelines, Section 630)

Practices shall conduct an effective ongoing monitoring process on their clients as follows:

1. Reviewing regularly the clients' documents and information to ensure their most recent status and relevance;
2. Being on alert with clients' transactions that are inconsistent with their nature of business, risk profile and source of funds; and
3. Identifying transactions that involve abnormally huge amounts of funds or unusual patterns of activity (e.g. having no apparent economic or lawful purpose), examining their background and purposes and put the findings in writing.

A checklist for monitoring activities includes:

1. The nature and type of activities (e.g. high attention should be drawn to abnormal amounts and/or their high frequency of transactions);

2. The nature of a series of transactions;
3. The amount of any transactions, especially substantial ones;
4. The destination of a payment or receipt; and
5. The client's normal activity or turnover.

Practices must take additional measures, such as conducting more frequent reviews, when monitoring relationships pose a higher risk: e.g. (1) a client has not been physically present for identification purposes or (2) a client, or its beneficial owner, is known as a PEP.

6.1.3.6 Making Suspicious Transaction Reports (HKICPA Guidelines, Section 640)

The practices are required to report property that they know or suspect that such property represents the proceeds of crime or terrorist property under existing anti-money laundering and counter-terrorist financing legislation, i.e. the DTROPO, the OSCO, and the United Nations (Anti-Terrorism Measures) Ordinance (Cap.575).

Practices must appoint a Money Laundering Reporting Officer ('MLRO') as a central reference point for reporting suspicious transactions. The MLRO has the duty of the following:

1. To report all relevant details in STRs to the JFIU without delay about cases where there are suspicious circumstances and to co-operate with the JFIU in further investigation.
2. To record the reasons for cases not to make STRs to the JFIU;
3. To keep a register of all reports made by the employees and by the practice to the JFIU;
4. To provide a written acknowledgement of a report by the employees upon their request;
5. To advise the reporting employees about the offence of tipping-off; and
6. To keep a record of discussions about internal reports.

It should be noted that staff may consult their supervisors or managers whether a STR is necessary, but the management should not see themselves as taking up the money laundering reporting function to filter reports. To ensure speedy reporting and confidentiality, the reporting lines should be cut down to the minimum.

Once knowledge or suspicion of an money laundering and terrorist financing transaction or activity has been established, the following general requirements apply:

1. Practices must make a report to an authorised officer (e.g. a police officer or a Customs and Excise officer). A member working in a practice may discharge his/her responsibility by making a report to the MLRO designated by his/her employer.
2. The report must be made as soon as reasonably practical.
3. Practices must ensure that they have internal controls to prevent staff from committing the offence of tipping-off. A person commits an offence of tipping-off if, knowing or suspecting that an STR has been made, he/she discloses to a third party any matter likely to prejudice an investigation in the near future. The offence carries a maximum penalty of a three-year imprisonment and a fine of HK\$500,000.
4. If further CDD on a client is necessary, and an STR may have already been made, to avoid unintentional tipping-off, the practice should not put the client on alert that the relevant agencies have already paid special attention to them.



If a person has formed a suspicion on whether any act or property is connected with money laundering and terrorist financing transaction, there is always a duty to report on that suspicion to the JFIU or appointed Compliance Officer in his/her company. Suspicion is more than speculation but less than proof or knowledge. A person may form a suspicion without knowing all the elements that make up a criminal offence or the details of the plan for the illegal act.

Apply and Analyse 2

Apply

Gerald, a solicitor in a boutique law firm, met a client Hugo in 2016, introduced by Gerald's business friends. In 2017, Hugo intended to buy five immovable properties ('5 Properties'). Hugo stated that he had some success in previous investment in immovable property sales and presented his personal bank cheque to Gerald to pay the purchase price for the 5 Properties. Within six months from the time the 5 Properties were purchased, Hugo instructed another law firm to resell the 5 Properties at a higher price. The 5 Properties were subsequently resold one at a time by the law firm unrelated to Gerald's firm, all at a profit.

Gerald left his law firm in 2019 and took up the partner role in a medium-sized law firm. One day Gerald came across a new conveyancing file that his colleague just received the day before. Gerald's interest was aroused after finding out from the file that Hugo, his previous client, was buying a new property without a mortgage. Gerald remembered from the news report months ago that Hugo had sold four of the 5 Properties to two people, one of whom was a fugitive offender in money laundering.

Analyse the appropriate actions available to Gerald under the anti-money laundering and counter-terrorist financing legislation.

Analysis

What immediately comes to Gerald's mind should be the obligations under the Anti-Money Laundering and Counter-Terrorist Financing (Financial Institutions) (Amendment) Ordinance 2018. The amendment in 2018 requires designated non-financial businesses and professions, such as accountants, estate agents, lawyers and trust company service providers, to fulfil customer due diligence and record keeping requirements as the financial institutions do.

In this transaction of the purchase of real property, the immediate act that Gerald should take is to conduct client due diligence on Hugo. There are two indications that Hugo's purchase would be abnormal. Firstly, the purchase of the property using all cash without mortgage brings up the question of the source of money. Secondly, that the news report showed that Hugo's last property sale involving a fugitive offender in money laundering may not be relevant to the present transaction, but that would sufficiently raise Gerald's suspicion. If Gerald thinks that the customer due diligence report has given a negative impact on Hugo, Gerald may decline the offer of legal service to Hugo.

If there is information that supports Gerald's knowledge or suspicion of money laundering or terrorist financing activities in Hugo's case, Gerald has a duty to report on that suspicion to the Joint Financial Intelligent Unit ('JFIU') as soon as reasonably practicable. Gerald is advised that he may believe the activity is suspicious without knowing the details of the plan for money laundering. His report is still welcomed by the JFIU simply based on his suspicion on the legality of Hugo's transaction.

6.1.3.7 Record Keeping (HKICPA Guidelines, Section 660)

The information maintained for any client must be sufficient and has to ensure that:

1. The beneficial owner of the client can be properly identified and verified;
2. The audit trail for transactions is clear and complete;
3. Suitable copies (original on microfilm or in computer database) of all client and transaction records and information are available on a timely basis to a relevant authority (e.g. the HKMA, the SFC or the Insurance Authority); and
4. Evidence of compliance with requirements specified in other sections of the HKICPA Guidelines (e.g. relating to client identification, verification and risk assessments, STRs and staff training).

Records must be retained for at least five years after the transaction or cessation of the business relationship.

6.1.3.8 Role of Accountants as Trust or Company Service Providers

Overview of Trust or Company Service Provider Licensing Regime

A new licensing regime for trust or company service providers ('TCSPs') came into force on 1 March 2018. Under the new licensing regime introduced by the AMLO, TCSPs must apply for licence from the Registrar of Companies.

The TCSP licensing regime is set to fulfil the international requirements as promulgated by the FATF, an inter-governmental body that sets standards and promotes measures for combating money laundering and terrorist financing. This regime safeguards the integrity of Hong Kong as an international financial centre and adds credibility to foreign companies doing business in Hong Kong.

Upon successful application, the TCSPs get a licence that is valid for three years, or a shorter period determined by the Registrar (s.53O of the AMLO). The Registrar also has the power to grant, renew, suspend or revoke a licence, and impose conditions on a licence.

Prospective TCSPs must satisfy a fit and proper test before they receive their licence to provide trust or company services ('TCS') (s.53H of the AMLO). Under s.53I of the AMLO, in determining whether an applicant is fit and proper, the Registrar must consider the matters such as whether:

1. The individual applicant has been convicted under offences related to money laundering or terrorist financing in Hong Kong or outside Hong Kong;
2. The individual applicant is an undischarged bankrupt or in bankruptcy proceedings;
3. The individual applicant fails to comply with a requirement imposed under the AMLO.
4. The corporate applicant has been in liquidation or under a winding-up order.

Statutory Definition of TCSP

S.1 of Part 1 of Schedule 1 to the AMLO gives a statutory definition for a TCS business. Such a business refers to the business carried out by a person in Hong Kong to offer the following services:



1. Forming corporations or other legal persons;
2. Acting, or arranging for another person to act
 - (a) As a director or a secretary of a corporation;
 - (b) As a partner of a partnership; or
 - (c) In a similar position in relation to other legal persons;
3. Providing a registered office and business address for a corporation, a partnership or any other legal arrangement;
4. Acting, or arranging for another person to act
 - (a) As a trustee of an express trust or a similar legal arrangement; or
 - (b) As a nominee shareholder for a person other than a listed corporation.

Disapplication of TCSP Licensing Regime to Exempted Persons

Under s.53B of the AMLO, the TCSP licensing requirement does not apply to:

1. A qualified accounting professional,
2. A qualified legal professional;
3. The HKSAR Government;
4. An authorized institution, as defined under s.2(1) of the Banking Ordinance (Cap.155);
5. A licensed corporation, as defined under s.1 of Part 1 of Schedule 1 to the Securities and Futures Ordinance (Cap.571), that operates a TCS business that is ancillary to the corporation's principal business; or
6. A person prescribed by the Secretary for Financial Services and the Treasury by regulation.

Offence of Carrying Business Without Licence

By s.53F(1) of the AMLO, a person commits an offence if he/she carries on a TCS business in Hong Kong without a licence. Upon conviction he/she is liable to a fine of HK\$100,000 and a six-month imprisonment under s.53F(2) of the AMLO.

Obligations of TCSP under the AMLO

As discussed, accounting professionals and legal professionals receive exemption from the new TCSP licensing requirements. These professionals are still subject to the regulation of their respective professional bodies. In other words, while qualified accountants are exempt from obtaining the licence to carry on the TCS business, like other TCSPs, they need to comply with CDD, ongoing monitoring and record-keeping requirements under Schedule 2 of the AMLO.

The Registrar of Companies will issue a public reprimand to the TCSPs which have been defaulted in complying with the requirements, order them to take specific action and impose a pecuniary penalty not exceeding HK\$500,000.

6.1.4 United Nations (Anti-Terrorism Measures) Ordinance (Cap.575)

6.1.4.1 Overview of Legislation

The United Nations (Anti-Terrorism Measures) Ordinance ('UNATMO') is to further implement a decision of the Security Council of the United Nations in its resolutions relating to measures for the prevention of terrorist acts and relating to the prevention of travel for the purpose of terrorist acts or terrorist training. The UNATMO has specific sections to combat money laundering.

6.1.4.2 Key Provisions on Anti-Money Laundering

The key anti-money laundering provisions under the UNATMO include the following:

1. Provisions dealing with offences

Under s.7 of the UNATMO, a person commits an offence if he/she provides or collects property, with the intention or knowing or having reasonable grounds to believe that the property is to be used to commit terrorist acts.

Under s.8 of the UNATMO, a person commits an offence if he/she offers property or financial services to benefit the terrorist or terrorist associate.

Under s.8A of the UNATMO, a person must not, except under the authority of a licence granted by the Secretary for Security, directly or indirectly, deal with any property knowing that, or being reckless as to whether, the property is:

- (a) terrorist property;
- (b) wholly or jointly owned or controlled, directly or indirectly, by a terrorist or terrorist associate; or
- (c) held by a person on behalf of, or at the direction of, a terrorist or terrorist associate.

2. Provisions dealing with obligations

S.12(1) of the UNATMO states that it is an offence if a person, who knows or suspects that any property is proceeds of terrorist act, fails to report such knowledge or suspicions to an authorised officer as soon as practicable.

Under s.12(5) of the UNATMO, if a person knows or suspects that a disclosure has been made, he/she shall not disclose to any other person any matter that is likely to prejudice any investigation that might be conducted following that first-mentioned disclosure.

3. Provisions dealing with penalty

By s.6 of the UNATMO, if the Secretary for Security has reasonable grounds to suspect that funds held by an individual are terrorist property, the Secretary of Security may by notice in writing direct that the funds should not be made available to any person. In other words, the property will be frozen if the Secretary for Security has reasonable grounds to believe that the property in question belongs to the terrorists.

Under ss.14(1) and 14(1A) of the UNATMO, the maximum penalty for acting contrary to ss.7, 8, and 8A is 14-year imprisonment and a fine.

Under s.14(5) of the UNATMO, a person is liable to a maximum penalty of a three-month imprisonment and a fine if the person fails to contravene s.12(1) of the UNATMO.

Under s.14(6) of the UNATMO, a person is liable to a maximum penalty of a three-year imprisonment and a fine if the person fails to contravene s.12(5) of the UNATMO.

4. Provisions dealing with court action

By s.13 of the UNATMO, upon application by the Secretary for Justice that any property specified in the application is terrorist property, the Court of First Instance may order the forfeiture of that property.

In relation to targeted financial sanctions and the financing of terrorism, s.650 of the HKICPA Guidelines states that practices may refer to sanctions lists maintained by the UN Security Council for stopping funds and financial assets made available to the individuals and entities on the lists. Practices should conduct regular name checks to see whether their existing and new clients and the beneficial owners would be on the lists. Practices should report to the HKICPA any actions taken in compliance with the targeted financial sanctions, including attempted transactions. If practices suspect that an activity or transaction is terrorist related, they must make a STR to the JFIU.

Exhibit 6.1 summarises the key provisions of the legislation covering anti-money laundering.

	DTROPO (Cap.405)	OSCO (Cap.455)	UNATMO (Cap.575)
Offences	By s.25, a person commits an offence if he/she deals with a property, knowing or having reasonable grounds to believe that the whole or part of the property directly or indirectly represents the proceeds of drug trafficking. By s.25A(8), any person who fails to disclose his/her knowledge or suspicion as required under s.25A(1), will be sentenced to a maximum of 3 years imprisonment and a fine of HK\$500,000.	By s.25, a person commits an offence if he/she deals with a property, knowing or having reasonable grounds to believe that the whole or part of the property directly or indirectly represents the proceeds of an indictable offence. By s.25A(8), any person who fails to disclose his/her knowledge or suspicion as required under s.25A(1), will be sentenced to a maximum of 3 years imprisonment and a fine of HK\$500,000.	Under s.7, a person commits an offence if he/she provides or collects property, with intention or knowing or having reasonable grounds to believe that the property is used to commit terrorist acts. Under s.8, a person commits an offence if he/she offers property or financial services to benefit the terrorist or terrorist associate.
Obligations	By s.25A, a person should make a disclosure to an authorised officer as soon as it is reasonable to do so, if he/she knows or suspects that the whole or part of the property, directly or indirectly, represents the proceeds of drug trafficking.	By s.25A, a person should make a disclosure to an authorised officer as soon as it is reasonable to do so, if he/she knows or suspects that the whole or part of the property, directly or indirectly, represents the proceeds of an indictable offence.	S.12(1) states that it is an offence if a person who knows or suspects that any property represents the proceeds of a terrorist act, but fails to report such knowledge or suspicion to an authorised officer as soon as practicable.
Court Action	S.3 gives the court the power to issue confiscation orders. Under ss.10 and 11, the Court of First Instance may grant a 'restraint order' or a 'charging order'.	S.8 gives the court the power to issue confiscation orders. Under s.14, the Court of First Instance may grant a 'restraint order' or a 'charging order'.	By s.13, upon application by the Secretary for Justice that any property specified in the application is terrorist property, the Court of First Instance may order the forfeiture of that property.

► **EXHIBIT 6.1 Comparison between major sections of AML legislation**

	DTROPO (Cap.405)	OSCO (Cap.455)	UNATMO (Cap.575)
Penalties	By s.25(3), on conviction upon indictment under s.25(1), the defendant will be sentenced to a maximum of 14 years imprisonment and a fine of HK\$5 million. By s.25A(8), any person that fails to disclose his/her knowledge or suspicion as required under s.25A(1), will be sentenced to a maximum of 3 years imprisonment and a fine of HK\$500,000.	By s.25(3), on conviction upon indictment under s.25(1), the defendant will be sentenced to a maximum of 14 years imprisonment and a fine of HK\$5 million. By s.25A(8), any person that fails to disclose his/her knowledge or suspicion as required under s.25A(1), will be sentenced to a maximum of 3 years imprisonment and a fine of HK\$500,000.	By s.6, if the Secretary for Security has reasonable grounds to suspect that funds held by an individual are terrorist property, the Secretary for Security may by notice in writing direct that the funds should not be made available to any person. Under ss.14(1) and 14(1A), a maximum penalty for acting contrary to ss.7, 8, and 8A is 14-year imprisonment and a fine. By s.14(5), a person is liable to a maximum of 3-month imprisonment and a fine if he/she fails to make a disclosure to an authorised officer.
Tipping-Off	By s.25A(5), a person commits an offence if, knowing or suspecting that a disclosure has been made, he/she discloses to another person any matter that is likely to prejudice any investigation following the disclosure. By s.25A(8), the maximum penalty for the offence upon conviction is imprisonment for 3 years and a fine of HK\$500,000.	By s.25A(5), a person commits an offence if, knowing or suspecting that a disclosure has been made he/she discloses to another person any matter that is likely to prejudice any investigation following the disclosure. By s.25A(8), the maximum penalty for the offence upon conviction is imprisonment for 3 years and a fine of HK\$500,000.	By s.12(5), a person commits an offence if, knowing or suspecting that a disclosure has been made he/she discloses to another person any matter that is likely to prejudice any investigation following the disclosure. By s.14(6), the maximum penalty for the offence upon conviction is imprisonment for 3 years and a fine.

► **EXHIBIT 6.1 Comparison between major sections of AML legislation (Continued)**

6.1.5 The Joint Financial Intelligence Unit

The **Joint Financial Intelligence Unit ('JFIU')**, set up in 1989, is a joint operation by the Hong Kong Police Force and the Hong Kong Customs and Excise Department. The JFIU does not investigate suspicious financial transactions, but it is the central hub for gathering reports (known as '**suspicious transaction reports**') about suspicious financial or money laundering activity from various sectors, one of which is banking. The reports are the results under s.25A of both the DTROPO and the OSCO, and s.12 of the UNATMO, since under these sections people who know or suspect that any property represents proceeds of an indictable offence or drug trafficking, or is terrorist property must report their knowledge or suspicions to the authorities as soon as is reasonable or practicable.

It was reported that suspicious transaction reports have nearly tripled in the five years to 2017. In 2017, the JFIU received 92,115 reports of transactions with suspected links to money laundering or terrorist financing. This figure is at an all-time high when compared with the record number of 20,287 in 2011. The alarming increase in the number is partly due to stepped-up monitoring and better compliance since the passing of the AMLO in 2012.



Though the FIU has no investigating power over suspicious financial transactions, it may refer the reports to local and overseas enforcement departments for investigation and action. The JFIU also offers advice on how to spot and stop money laundering and the qualified staff offer practical guidance and assistance to the financial sector to combat money laundering.

The JFIU has developed a 'SAFE' approach to assist Hong Kong companies in identifying suspicious transactions and business activities:

1. 'Screen' the customer and transaction to look for suspicious activity indicators;
2. 'Ask' the customer questions to clarify suspicious circumstances;
3. 'Find' out whether the transaction is what is expected from the customer; and
4. 'Evaluate' and decide whether the transaction is really suspicious.

► Knowledge Check Questions

Question 1

Describe the purposes and sanctions of the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap.615).

Question 2

Describe the function of the Joint Financial Intelligence Unit in Hong Kong.

Question 3

Explain the meaning of the phrase 'having reasonable grounds for belief' in s.25(1) of the Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405).

Question 4

Describe the meaning of tipping-off in the Organized and Serious Crimes Ordinance (Cap.455).

Question 5

Describe when the court will issue a confiscation order.

Question 6

Explain the legal principle regarding the nature of the proceeds in *Oei Hengky Wiryo v HKSAR* (No. 2) (2007).

Question 7

Describe the judgment given in the case *HKSAR v Pang Hung Fai* (FACC 8 of 2013).

Question 8

Explain the correct formulation in considering whether a defendant has 'reasonable grounds to believe' in s.25(1) of Organized and Serious Crimes Ordinance (Cap.455) according to *HKSAR v Yeung Ka Sing Carson* (2015).

► Knowledge Check Questions (*continued*)

Question 9

Describe the important changes introduced in the Anti-Money Laundering and Counter-Terrorist Financing (Financial Institutions) (Amendment) Ordinance 2018.

Question 10

Describe the requirements under the following sections in *Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants* (2018).

1. Section 620, Customer Due Diligence; and
2. Section 640, Making Suspicious Transaction Reports.

Question 11

Describe the factors that the Registrar of Companies will consider when issuing a TCSP licence to an individual applicant.

6.2 BRIBERY IN HONG KONG

The culture of bribe (usually money or money-worth items including the ‘tea money’ commonly known in Hong Kong) was prevalent in Hong Kong during the 1950s. The bribe was so common and acceptable as a part of life that citizens living in the city were accustomed to pay the bribe for all basic services. During the 1960s to 1970s, the police force devoured much dirty money from all walks of life, and the anti-corruption unit had their hands tied when it came to investigation of blatant cases of bribery and enforcement of penalty on the wrongdoers. Since the establishment of the powerful anti-graft organisation, the Independent Commission Against Corruption, in 1974, the corrupted practice was gradually kept at bay.

6.2.1 Overview of the Prevention of Bribery Ordinance (Cap.201)

The Prevention of Bribery Ordinance (Cap.201) (‘POBO’) aims to keep a fair and corruption-free society, thus safeguarding legitimate interests of both employers and employees.

In the POBO, the word ‘**advantage**’ is used to cover bribes that are offered, solicited or accepted in the public and the private sectors. ‘Advantage’, according to s.2 of the POBO, covers the following:

1. A gift, loan, fee, reward or commission in the form of money, security, property or interest in such property;
2. An office, employment or contract;



3. Payment or release of a loan;
4. A service or favour;
5. A promise of an advantage;
6. Exercise of or forbearance from the exercise of right, power or duty; and
7. A promise of any of the above.

Thus, advantages can be tangible (e.g. business gifts) or intangible (e.g. free services, favours). It is interesting to note that the advantage does not cover entertainment, which is defined under s.2 of the POBO as the provision of food or drink (e.g. lunches, dinners and the like) or any other entertainment provided at the same time with food and drink (e.g. singing and dancing).

The POBO includes a range of offences governing both private and public sectors, and we shall examine them one by one.

6.2.1.1 On Agents

S.9 of the POBO is widely used to deal with corrupt transactions with agents. The term '**agent**' is defined in s.2 of the POBO as a public servant and any person employed by or acting for another. According to s.9(1) of the POBO, it is an offence for an agent, which includes an employee of a principal (generally an employer), without lawful authority or reasonable excuse, to solicit or accept any advantage as an inducement to or reward on account of doing some act in relation to his principal's affairs.

S.9(3) of the POBO covers the criminal offence by an agent who uses any receipt, account or other document with a false or erroneous statement to deceive his/her principal.

S.9(5) of the POBO offers some leeway to the agent where he/she has been offered or accepted an advantage without prior permission; such permission should be applied for and given as soon as reasonably possible after such an offer or acceptance.

Illustrative Example 4

Directors of limited companies satisfy the meaning of agents under the Prevention of Bribery Ordinance (Cap.201) ('POBO'). Shareholders may not be the agents unless they are authorised by the company to act on its behalf or they have taken up the capacity of directors at the same time. Before soliciting or accepting any advantage in the course of business, directors should have obtained permission from the Board of Directors, which is generally seen as the principal.

Other employees, such as sourcing managers or credit analysts in a money lending business, satisfy the definition of 'agents', and are subject to s.9 of the POBO. Their jobs create some opportunities for them to exploit and request advantages from other parties in ordinary business transactions.

Illustrative Example 5

A Bank Manager agreed to arrange overdraft facilities for his customer, T, in return for a fixed-rate commission based on all the orders received in T's business. T's business was qualified to get the overdraft facilities, but the offer was not as high as what T wanted, and the procedures took more than a week.

The Internal Audit Department later found an unusual overdraft in T's business account that put the bank on enquiry. The Bank Manager was finally charged under s.9(1) of the Prevention of Bribery Ordinance (Cap.201) for unauthorised solicitation of an advantage as an agent to offer an unauthorised overdraft to the customer.

Illustrative Example 6

A merchandiser of a garment firm solicited commissions from two local suppliers for sending them monthly purchase orders. She had been in the merchandising business for over 20 years and her duties allowed her to search for different sources of garment accessories like buttons or zippers and negotiate the prices with the suppliers. She requested the suppliers to put her 'mark-ups' on the top of every purchase order and to return her share in cash in an envelope on a monthly basis. She would cease any business relationship when the supplier did not satisfy her request. She was later convicted of unauthorised soliciting and accepting an advantage as an agent under s.9(1) of the Prevention of Bribery Ordinance (Cap.201).

Apply and Analyse 3

Apply

Betty and Sara work as cleaning workers in a residential estate and their duty is to keep the common areas of four building blocks clean and neat. The cleaning job gives the two ladies opportunities to know the household occupants staying in the buildings.

Two or three days before the Chinese New Year, Betty and Sara were asked by families on various floors to dispose of broken items from their homes. Betty and Sara were willing to take up the chores because they could resell some of the unwanted goods to recycling shops for some cash. Their practice had been known by the property management company but the management does not expressly show any consent to the act.

Analyse whether Betty and Sara have committed an offence under the Prevention of Bribery Ordinance (Cap.201) ('POBO').

Analysis

Betty and Sara may have acted contrary to the POBO if their practice satisfies all of the following conditions in s.9(1) of the POBO. According to s.9(1) of the POBO, it is an offence for an employee to:

- (a) solicit or accept any advantage;
- (b) as an inducement to or reward on account of doing some act;

Apply and Analyse 3 (continued)

- (c) in relation to his/her employer's affairs or business; and
- (d) without lawful authority or reasonable excuse.

Based on the facts of case, we should consider the following in analysing whether Betty and Sara have acted contrary to the POBO or not:

- (i) First, the removal of unwanted goods and sale of the unwanted items could be considered as 'the act' in condition (b) while the cash received from selling the broken items could be considered as 'the inducement' under condition (b).
- (ii) Second, the employer's affairs mentioned in condition (c) should cover provision of cleaning work around the common areas of the buildings and may reasonably include removal work of unwanted items from family homes.
- (iii) Third, Betty and Sara do not have lawful authority or reasonable excuse to accept the unwanted items and resell them for cash, as the employer does not expressly agree with the practice. As such, they fail to comply with condition (d).
- (iv) As to the condition in (a), the cash from the sale of the unwanted goods may be argued as an 'advantage' under s.2 of the POBO though they have little resale value. It is however difficult to say that the abandoned items are 'gifts' and that the household families are trying to tip Betty and Sara to get benefits from their employer. The 'benefits' they get is seeing the broken items go away in an instance. Thus, s.9 of the POBO may not be applicable to both Betty and Sara in this case.

To conclude our analysis, it is not likely that Betty and Sara have committed an offence under the POBO.

6.2.1.2 On Public Servants

Public servants include prescribed officers and employees of public bodies (e.g. MTR and hospitals). Prescribed officers mainly refer to persons holding an office of emolument in the government, officials of the HKMA, members of the ICAC and judicial officers (s.2 of the POBO). It should be noted that prescribed officers are subject to ss.3, 4, 5 and 10 of the POBO while employees of public bodies are subject to ss.4 and 5 of the POBO (as set out below). The following are POBO sections that deal with such offences committed without lawful authority or a reasonable excuse to obtain the advantage:

1. S.3 states that it is an offence for prescribed officers to solicit or accept advantage without the permission of the Chief Executive of the HKSAR Government.
2. S.4 states that it is an offence for public servants to solicit or accept advantage as an inducement to or reward for performing duties. The offeror of the advantage is also guilty of an offence.
3. S.5 states that it is an offence for public servants to solicit or accept an advantage as an inducement to or reward for giving assistance or using influence in matters relating to a contract. The offeror of the advantage shall also be guilty of an offence.
4. S.10 states that it is an offence for prescribed officers to maintain a standard of living or to have assets not commensurate with their official emoluments.

5. S.11 states that both the giver and the acceptor of a bribe are still guilty even if the purpose of the bribe has not been carried out.
6. S.12 is the penalty section. The maximum penalty for an offence under ss.5 or 6 is a 10-year imprisonment and a HK\$500,000 fine, whereas that for an offence under s.10 is a 10-year imprisonment and a HK\$1,000,000 fine. The maximum penalty for an offence under other sections is a 7-year imprisonment and a HK\$500,000 fine.

An agent in the private sector or a prescribed officer is unable to put forward the following defences listed under s.11 of the POBO:

1. He/She did not have the power, right or opportunity to do or stop an act in return for a reward in relation to his/her principal's affairs;
2. He/She accepted the advantage without intending to do or to stop the act in (1); or
3. He/She did not in fact do or stop the act in (1).

Exhibit 6.2 provides an overview of the major sections of the POBO.

Section	Applicable to	Content
2	Public/private	Definition for advantage: a gift, loan, fee, reward or commission, security, property, promise, offer or service, and so on.
2	Private	Definition for agent: includes a public servant and any person employed by or acting for another.
2	Public/private	Definition for entertainment: food or drink.
2	Public/private	Definition for principal: an employer or public body.
2	Public	Definition for public servant: a prescribed officer and any employee of a public body.
3	Public	An offence for a public servant to solicit or accept advantage without permission of the Chief Executive of the HKSAR Government.
4	Public	An offence for an offer or offering an advantage to a public servant performing, abstaining from or hindering an act.
5	Public	An offence for an offer or offering an advantage to a public servant who will then give assistance in gaining a contract.
6	Private	An offence for an agent to offer an advantage to a person who will then withdraw a tender and refrain from making a tender for a contract with a public body.
7	Private	An offence for an agent to offer an advantage to a person who will then refrain from bidding at an auction conducted by or on behalf of a public body.
8	Private	An offence for an agent to offer an advantage to a public servant in a department that the agent is dealing with.
9(1)	Private	An offence for an agent, without lawful authority or reasonable excuse, to solicit or accept any advantage to do an act in relation to his/her principal's affairs.
9(3)	Private	An offence for an agent to use receipt, account or other document with a false or erroneous statement to deceive his/her principal.

► **EXHIBIT 6.2 Summary of major sections of the POBO**

Section	Applicable to	Content
9(5)	Private	Permission should be applied for and given as soon as possible after such an offer or acceptance of an advantage.
10	Public	An offence for a public servant to maintain a standard of living or to have assets not commensurate with official emoluments.
11	Private	Both the offeror and recipient of a bribe are guilty even though the purpose of the bribe was not carried out.
12	Public/private	Maximum penalty for an offence under ss.5 or 6: 10-year imprisonment and HK\$500,000 fine. Maximum penalty for an offence under s.10: 10-year imprisonment and a HK\$1,000,000 fine. Maximum penalty for an offence under other sections: 7-year imprisonment and a HK\$500,000 fine.
19	Private	No defence to any charge of giving or accepting an advantage to show that the act of giving the advantage is customary.
24	Public/private	The burden of proving a defence of lawful authority or reasonable excuse lies upon the accused (i.e. the accused has to prove that he/she has lawful authority or a reasonable excuse to accept an advantage).

► **EXHIBIT 6.2** Summary of major sections of the POBO (*Continued*)

6.2.1.3 Case Law

HKSAR v Leung Yat Ming & Another (1999) 2 HKLRD 402

Facts: The two defendants, a husband and wife, worked as university professors. The defendant wife filed an application for rent allowance with the employer university, which was approved. The application imposed a term on the applicants in that no employees, their spouses or their relatives should have an interest in the flat rented by the employee.

Before the application for the rent allowance, the defendant husband used a limited company to own a flat. The company was wholly owned and controlled by him through nominee directors and shareholders (so the arrangement made it difficult to find out his interest in the company). He rented his own flat to his limited company and reported the same to his employer. The defendants argued that it was the company that owned the rented flat and they did not own the rented flat.

Issue: Were the defendants liable under the POBO for obtaining an advantage since they had no apparent interest in the rented flat?

Held: The court saw the company as a cloak of deception and decided to lift the corporate veil. The court treated the limited company and the defendant husband as one entity. By piercing the veil, the defendants were considered to have a financial interest in the flat by the husband owning the shares in his company and that the wife knew of this financial interest. The two defendants were convicted under s.9(3) of the POBO as agents with an intent to deceive their principals (i.e. their employers) by a receipt or document containing false statements (i.e. the application).

Court Case ESCC 114/2017

Facts: The defendant was an engineer of the Hong Kong Police Force. He was eligible to join a home financing scheme to get a housing benefit, but the restriction was that his wife was not able to enjoy a similar allowance at the same time. In the application for a housing loan and monthly allowance with the government, the defendant had deliberately given two pieces of false information:

1. He indicated his marital status as single.
2. He did not provide any information about the housing benefits that his wife had been receiving from her employer.

Based on the false information in the application, the government approved the requested loan and monthly allowance and the defendant had already received over HK\$1,900,000 in total to repay the mortgage loan on his property.

Issue: Which section under the POBO covered the act of the defendant?

Held: The defendant had committed an offence under s.9(3) of the POBO for using a false document to defraud the government of the housing loan and monthly allowance. The defendant was sentenced to nine months imprisonment but the sentence was suspended for two years.

Court Case KCCC 3310/2017

Facts: The defendant was a Property Manager overseeing the management affairs of a private residential estate (the 'Estate'). On one occasion, the defendant needed to order festive flowers as decoration for the Estate during the Chinese New Year. He requested the service contractor of the Estate to send him a quotation for the flowers, but instructed the contractor to get one from another supplier with a good business relationship with the contractor. The arrangement was that the actual order for the flowers from the service contractor cost about HK\$4,000, but the amount on the quotation was HK\$25,000. In this way, the defendant was able to pocket the difference of HK\$21,000 from the arrangement.

Issue: Which section under the POBO covered the act of the defendant?

Held: The defendant had committed an offence under s.9(3) of the POBO as an agent using false documents with the intent to deceive the Incorporated Owners of the Estate with a view to obtaining an advantage. By definition of the term 'agent' under s.2 of the POBO, though the defendant was working in the property management company as an employee and hence an agent, he was also acting as an agent of the residential estate in ordering the festive flowers, and thus s.9(3) of the POBO was still applicable.

6.2.2 Independent Commission Against Corruption

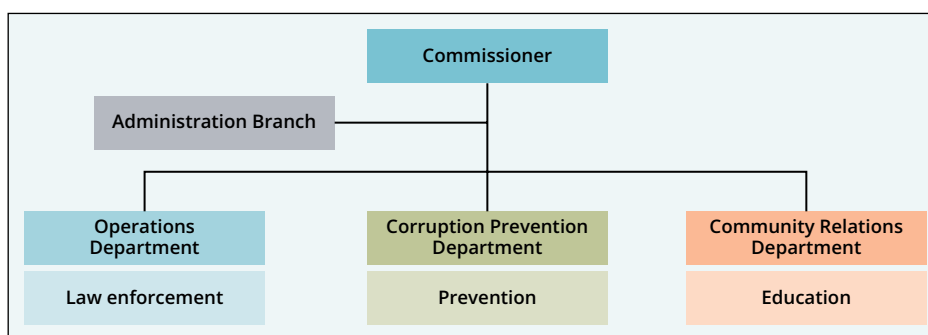
The **Independent Commission Against Corruption** ('ICAC') was established by Governor Sir Murray MacLehose in February 1974. The ICAC Commissioner, the Head of the ICAC, has been appointed since 1997 by the State Council of the People's Republic of China upon the

recommendation of the Chief Executive of the HKSAR Government. The Basic Law stipulates that the ICAC functions independently and is directly accountable to the Chief Executive of the HKSAR Government.

6.2.2.1 Divisions

The main aim of the ICAC is to eradicate corruption in Hong Kong through law enforcement, corruption prevention and community education. The names of its three divisions entirely reflect these ideologies: (1) Operations, (2) Corruption Prevention and (3) Community Relations (Exhibit 6.3). The Operations Department, the investigative arm of the ICAC, is the largest division, and is responsible for all landmark corruption cases. The Independent Commission Against Corruption Ordinance (Cap.204) ('ICACO') has set out statutory duties for each division:

1. The Operations Department is to receive and examine allegations of corrupt practices and to investigate suspected offences under the ICACO, the POBO and the Elections (Corrupt and Illegal Conduct) Ordinance (Cap.554) ('ECICO').
2. The Corruption Prevention Department is to examine and review the practices and procedures of government and public bodies that are conducive to corruption and to advise private organisations or individuals on the ways to prevent corruption.
3. The Community Relations Department is to educate the public against the insidious practice of corruption and to secure public support in fighting corruption.



► **EXHIBIT 6.3 ICAC organisational chart** (Source: <https://www.icac.org.hk/en/about/struct/index.html>.)

6.2.2.2 Investigative Power

The ICAC is conferred legal powers to investigate corruption under the POBO and the ICACO.

Under the POBO

S.13 Special powers of investigation

By s.13(1)(b)(i), an investigating officer is authorised to investigate and inspect accounts, books, documents or articles of any person named or identified by the ICAC Commissioner.

By s.13(b)(ii), an investigating officer is authorised to require any person to produce and disclose accounts, books, documents or articles for the purposes of investigation, and to take copies of the documents and photographs of the articles.

By s.13(3), any person in s.13(1)(b)(i) who, without reasonable excuse, fails or neglects to produce or disclose such information, and any person who obstructs the investigating officer, shall be guilty of an offence and shall be liable to a fine of HK\$20,000 and to imprisonment for one year.

By s.13A, the ICAC Commissioner could apply for an order from the Court of First Instance to request material relevant to the investigation from the Inland Revenue Department.

S.14 Power to obtain information

By s.14(1), an investigating officer is authorised to request the suspects to provide details of their property, income, expenditure, liabilities and overseas remittance for the purpose of investigation.

Under s.14C, the ICAC can apply to the court for a restraining order against a suspected person or any third person on accessing property such as money in a bank account or immovable property.

S.17 Further powers of search

By s.17(1A), the court empowers the investigating officer to enter and search the premises or place, by force if necessary.

S.17A Surrender of travel document

This section confers the ICAC with the powers to request travel documents from the suspects in order to stop them from leaving Hong Kong.

Under the ICACO

S.10 Power of arrest

1. An authorised officer may arrest a person without warrant if he/she reasonably suspects that such a person is guilty of an offence under the ICACO, the POBO or the ECICO or, being a prescribed officer, is guilty of an offence of blackmail committed by or through the misuse of office.
2. During the course of an investigation, if an authorised officer found another offence (such as theft and related offences, blackmail, fraud, conspiracy to defraud, offence of perverting or obstructing the course of justice, etc.), he/she may arrest a person without warrant if he/she reasonably suspects that such a person is guilty of that other offence, which was connected with the suspected offence under the POBO or the ECICO.
3. The authorised officer may use reasonable force in his/her arrest, or enter and search premises of the suspect.

S.10A Procedure after arrest

1. The arrested suspect may be taken forthwith to a police station and be dealt with by the police or may be taken to the offices of the ICAC.
2. The arrested suspect who is taken to the ICAC offices may be detained there, or released from custody upon depositing a reasonable sum of money and/or entering into such recognisance (i.e. obligation undertaken to appear before the court) with sureties (i.e. guarantors).

S.10AA Arrest of persons granted bail

1. An authorised officer may arrest without warrant any person if he/she has reasonable grounds to believe that any condition on such a person, who was released from custody or admitted to bail, has been or is likely to be broken.

2. Any arrested person should be brought before a magistrate within a period of 24 hours after arrest or as soon as practicable after the expiry of that period.

S.12 Duties of the ICAC Commissioner

The ICAC Commissioner has the duty to perform the following:

1. Receive, consider and investigate complaints alleging corrupt practices.
2. Investigate a suspected offence under the ICACO, the POBO and the ECICO.
3. Investigate a suspected offence of blackmail or conspiracy to commit an offence of blackmail by a prescribed officer or through the misuse of his office.
4. Investigate the suspected conspiracy to commit an offence under the POBO and the ECICO.
5. Investigate any conduct of a prescribed officer that is connected with corrupt practices and to report to the Chief Executive of the HKSAR Government.
6. Examine and revise the practices and procedures of government departments and public bodies to eliminate corrupt practices.
7. Instruct and advise any person of the ways to eliminate corrupt practices.
8. Advise heads of government departments or of public bodies of changes in practices or procedures to stop corrupt practices.
9. Educate the public against corruption, and foster public support in combatting corruption.

S.13 Powers of the ICAC Commissioner

1. The ICAC Commissioner is empowered to perform the following:
 - (a) Authorise any officer to conduct an enquiry or examination;
 - (b) Authorise any person to perform duties under the POBO; and
 - (c) Enter any government premises and require any prescribed officer to answer questions concerning the duties of any public servant and to produce standing orders, directions, office manuals or instructions.
2. The ICAC Commissioner or any authorised officer shall have the power to:
 - (a) Access all records, books and other documents relating to the work of any government department or under the control of any prescribed officer; and
 - (b) Photograph or make copies of such records, books and other documents.

Apply and Analyse 4

Apply

Ken worked in a trading company as a merchandiser and was in financial difficulties. He sent several text messages to a supplier in Country X, Mrs. Xu of Traders Pro Ltd, to solicit a loan of RMB20,000. In order not to tarnish the business relationship, the supplier promised to fulfil Ken's request by sending the money to his wife's bank account in Hong Kong. Ken planned to repay the loan by inflating his weekly travel expenses in his business trips and falsifying receipts for the purpose of his employer.

Apply and Analyse 4 (continued)

After a month, Ken proposed to Mrs. Xu in text messages that Ken would give Mrs. Xu more business on a monthly basis if Trades Pro Ltd would pay Ken RMB20,000 as a monthly remuneration. Mrs. Xu replied that she was not prepared to answer Ken's request but would forget totally about the previous loan of RMB20,000 to him. In return, Ken sent out three extra purchase orders to Traders Pro Ltd during that month.

Analyse what offences Ken has committed according to the scenario above.

Analysis

Ken was an agent of his employer. In fact, the loan had turned into a rebate by Traders Pro Ltd that Ken did not need to repay. Though the payment was not paid into Ken's personal bank account, the receiving account (Ken's wife's bank account) was readily controlled by Ken. In that case, Ken was the ultimate beneficiary of the money and was able to take out the money as he wished. The money was considered as an advantage under s.9 of the Prevention of Bribery Ordinance ('POBO').

Though the company from which Ken solicited bribes was outside Hong Kong, he had still committed an offence of soliciting an advantage under s.9 of the POBO, since the acceptance of the bribery took place in Hong Kong. The loan deposited into Ken's wife's bank account in Hong Kong was in return for extra orders sent to Traders Pro Ltd. There was no evidence to show that Mrs. Xu requested extra orders from Ken, but her conduct of forfeiting the loan was a strong implication that Ken should do her a favour.

Ken has committed an offence under s.9(1) of the POBO, as it is an offence for him as an agent of his employer, without lawful authority or reasonable excuse, to accept advantage as an inducement to send extra orders to Traders Pro Ltd in relation to his principal's business.

► Knowledge Check Questions

Question 12

Identify the types of persons that the Prevention of Bribery Ordinance (Cap.201) ('POBO') would include in bribery charges.

Question 13

Describe the meaning of the following terms under s.2 of the POBO:

1. Advantage
2. Agent
3. Entertainment

Question 14

Describe the criminal offence under s.9(3) of the POBO.



► **Knowledge Check Questions (*continued*)**

Question 15

Describe the criminal offence under s.11 of the POBO and the possible defence available.

Question 16

Describe the statutory duties of the Independent Commission Against Corruption ('ICAC') in Hong Kong.

Question 17

Describe the investigative power of ICAC under ss.13 and 14 of the POBO.



SUMMARY

Money Laundering

- Money laundering covers methods to change the identity of crime-related money so that it becomes clean and legitimate. In Hong Kong, various legislations like the Drug Trafficking (Recovery of Proceeds) Ordinance, Organized and Serious Crimes Ordinance, Anti-Money Laundering and Counter-Terrorist Financing Ordinance and United Nations (Anti-Terrorism Measures) Ordinance were enacted to stop illegal money from entering the laundering channels or going into the hands of the criminals after becoming clean.

Drug Trafficking (Recovery of Proceeds) Ordinance ('DTROPO')

- Under s.25(1), a person commits an offence if he/she deals with a property, knowing or having reasonable grounds to believe that the whole or part of the property, directly or indirectly, represents the proceeds of drug trafficking.
- Under s.25A(1), a person should make a disclosure to an authorised officer (e.g. a police officer or Customs and Excise officer) as soon as it is reasonable to do so, if he/she knows or suspects that the whole or part of the property, directly or indirectly, represents the proceeds of drug trafficking.
- S.3 gives the court the power to issue confiscation orders. Under ss.10 and 11, the Court of First Instance may grant a 'restraint order' or a 'charging order', respectively.

Organized and Serious Crimes Ordinance ('OSCO')

- Under s.25(1), a person commits an offence if he/she deals with a property, knowing or having reasonable grounds to believe that any property which, in whole or in part, directly or indirectly, represents any person's proceeds of an indictable offence. An indictable offence is one that is not triable summarily. For the purposes of DTROPO and OSCO, an indictable offence is one that may be tried either summarily or on indictment.
- S.8 enables the court to issue confiscation orders. S.14 enables the Court of First Instance to grant a 'restraint order' or a 'charging order'.

Anti-Money Laundering and Counter-Terrorist Financing Ordinance ('AMLO')

- S.5 makes it a criminal offence if a financial institution ('FIs') knowingly or with the intent to defraud a relevant authority contravenes a specified provision of the AMLO.
- S.5A, newly added by the amendment to AMLO in 2018, imposes anti-money laundering and countering terrorist financing requirements on designated non-financial businesses and professions ('DNFBPs') such as accountants, lawyers, estate agents and trust or company service provider licensees to fulfil the same customer due diligence ('CDD') and record-keeping requirements as the FIs.
- Schedule 2 imposes requirements relating to CDD and record-keeping on the FIs and DNFBPs, which also have to take reasonable measures to ensure proper safeguards to prevent from contravening the requirements under Part 2 and Part 3, and to mitigate money laundering and terrorist financing risks.



United Nations (Anti-Terrorism Measures) Ordinance ('UNATMO')

- Under s.7, a person commits an offence if he/she provides or collects property, with the intention or knowing or having reasonable grounds to believe that the property is used to commit terrorist acts.
- Under s.8, a person commits an offence if he/she offers property or financial services to benefit the terrorist or terrorist associate.
- S.12 states that it is an offence if a person, who knows or suspects that any property is from the proceeds of a terrorist act, fails to report such knowledge or suspicions to an authorised officer as soon as practicable.

Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants ('HKICPA Guidelines')

- The HKICPA Guidelines, published in 2018 to comply with the AMLO, apply to practices and members working in practices. Practices refers to practice units under the Professional Accountants Ordinance and trust or company service providers, where the proprietors, partners or directors are all HKICPA members. Some of the important sections are shown as follows:
 - Section 620: Customer Due Diligence
 - Section 630: Ongoing Monitoring
 - Section 640: Making Suspicious Transaction Reports
 - Section 660: Record Keeping

Prevention of Bribery Ordinance ('POBO')

- Bribery is an act of offering or accepting advantage (in money terms or other benefits) without lawful authority or reasonable excuse in the public and the private sectors.
- By s.9(1), it is an offence for an agent, which includes an employee of a principal, without lawful authority or reasonable excuse, to solicit or accept any advantage as an inducement to or reward on account of doing some act in relation to his/her principal's affairs.
- S.9(3) covers the criminal offence where an agent uses any receipt, account or other document with a false or erroneous statement to deceive his/her principal. Under s.9(5), this section offers some leeway to the agent where he/she has been offered or accepted an advantage without prior permission, as long as such permission is applied for and given as soon as reasonably possible after such an offer or acceptance.
- S.10 deals with the public servant where it is an offence for prescribed officers to maintain a standard of living or to have assets not commensurate with the official emoluments.

- Under the POBO, the Independent Commission Against Corruption ('ICAC') has certain powers in its investigation:
 - By s.13, an investigating officer is authorised to investigate and inspect accounts, books, documents or articles of any person and to require any person to produce and disclose accounts, books, documents or articles for the purposes of investigation, and to take copies of the documents and photographs of articles.
 - By s.13A, the ICAC Commissioner could apply for an order from the Court of First Instance to request material relevant to the investigation from the Inland Revenue Department.
 - By s.14(1), an investigating officer is authorised to request the suspects to provide details of their property, income, expenditure, liabilities and overseas remittances. Under s.14C, the ICAC can apply to the court for a restraining order against a suspected person or any other person on the property.
 - By s.17(1A), the court empowers an investigating officer to enter and search the premises or place, by force if necessary. S.17A confers the ICAC with the powers to request travel documents from the suspects in order to stop them from leaving Hong Kong.

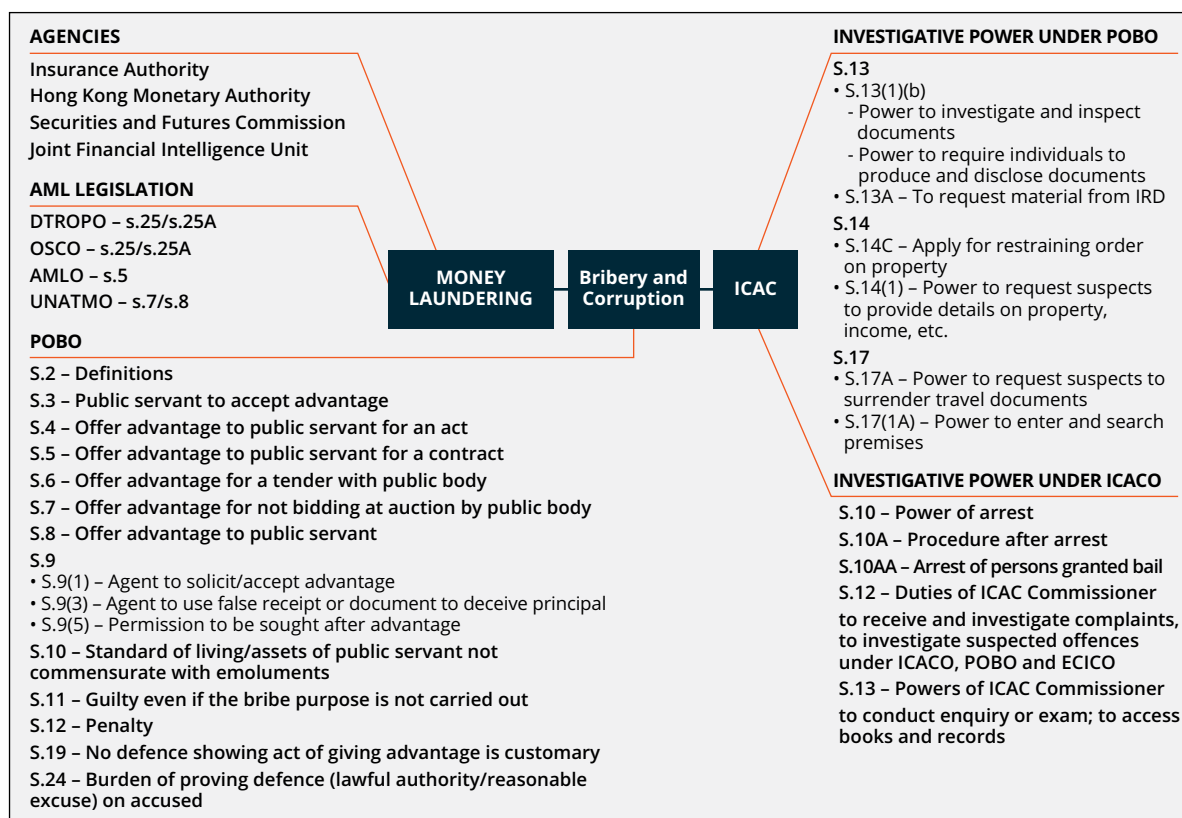
Independent Commission Against Corruption Ordinance ('ICACO')

- Under s.10, an authorised officer may arrest a person without a warrant if he/she reasonably suspects that such a person is guilty of an offence under the ICACO, the POBO or Elections (Corrupt and Illegal Conduct) Ordinance ('ECICO') or, being a prescribed officer, is guilty of an offence of blackmail committed by or through the misuse of office. The authorised officer may use reasonable force in his/her arrest, or to enter and search premises of the suspect.

During the course of investigation, if an authorised officer found another offence, he/she may arrest a person without warrant if he/she reasonably suspects that such a person is guilty of that other offence, which was connected with the suspected offence under the POBO or the ECICO.

- Under s.13, the ICAC Commissioner may authorise any officer to conduct an enquiry or examination, with access to all records, books and other documents relating to the work of any government department or under the control of any prescribed officer, and to photograph or make copies of such records, books and other documents.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

The Anti-Money Laundering and Counter-Terrorist Financing Ordinance introduces criminal charges or civil sanctions, supervisory sanctions and disciplinary actions.

Question 2

The Joint Financial Intelligence Unit ('JFIU') gathers reports about suspicious money laundering activities from various sectors and refers the reports to the enforcement departments for investigation and action. The JFIU also offers advice and practical guidance on how to identify and combat money laundering.

Question 3

In *Seng Yuet Fong v HKSAR* (1999), the phrase 'having reasonable grounds for belief' contained both the objective and subjective elements. First, there are grounds that a common sense, right thinking person would consider sufficient to believe that the suspect being assisted is a drug trafficker or has benefited from drug trafficking (the 'objective element'); second, the defendant has known these grounds (the 'subjective element').

Question 4

S.25A of the Organized Serious Crimes Ordinance (Cap.455) ('OSCO') is the tipping-off section in which a person commits such an offence of 'tipping-off' if, knowing or suspecting that a disclosure has been made, he/she discloses to any other person any matter that is likely to prejudice a future investigation following the disclosure. The maximum penalty for the offence upon conviction is imprisonment for three years and a fine.

Question 5

The court may issue a confiscation order under Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405) ('DTROPO') or the OSCO when it believes that the person has acquired the property as a result of his/her criminal activities or has obtained financial benefit from such criminal activities.

Question 6

The case law *Oei Hengky Wiryo v HKSAR (No. 2)* (2007) confirms that it is not necessary for the prosecution to prove that the proceeds being dealt with are in fact proceeds of a predicate offence in order to get the defendant convicted. In other words, the defendant could be convicted under s.25(1) of the OSCO if he/she had reasonable grounds to believe that the property he/she dealt with represented the proceeds of crime, without the prosecution having to prove that the property was in fact the proceeds of the crime.

Question 7

The Court of Final Appeal was asked to consider the following issues in the case of *HKSAR v Pang Hung Fai* (FACC 8 of 2013):

1. To decide whether the appellant has reasonable grounds to believe that the property represented the proceeds of an indictable offence, the court is entitled to consider the appellant's own perception and evaluation of the facts as contributing factors to form such reasonable grounds.
2. The appropriate test in evaluating whether the defendant's grounds of belief are reasonable is the 'would believe' test. Furthermore, to decide whether there were 'reasonable grounds to believe', the test adopted is the one in *Seng Yuet Fong v HKSAR* (1999). First, the defendant has grounds for believing; Second, the grounds have to be reasonable such that anyone looking at those grounds objectively would believe so.

Question 8

The Court of Final Appeal in *HKSAR v Yeung Ka Sing Carson* (2015) confirmed that the test to determine whether a defendant has reasonable grounds to believe in s.25(1) of the OSCO was the one used in *Seng Yuet Fong v HKSAR* (1999): 'To convict, the jury had to find that the accused had grounds for believing; and there was the additional requirement that the grounds must be reasonable: that is, that anyone looking at those grounds objectively would so believe.'

Question 9

The Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap.615) requires designated non-financial businesses and professions, such as accountants, estate agents, lawyers and trust or company service providers, to fulfil the same customer due diligence and record-keeping requirements as financial institutions (such as banks, securities firms, insurance companies and money changers).

Question 10

1. Under s.620 of the Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants issued by the Hong Kong Institute of Certified Public Accountants ('HKICPA Guidelines'), through customer due diligence ('CDD'), the practices know the true identity of each client, the type of business and transactions undertaken and the source and the use of funds. A standard level of due diligence should be applied to all clients. A simplified CDD and an enhanced CDD may be necessary in lower-risk and high-risk scenarios, respectively. Information obtained from CDD is important to provide grounds for knowledge or suspicion of money laundering and facilitate making suspicious transaction reports ('STR').
2. Under s.640 of the HKICPA Guidelines, the practices are required to report property that they know or suspect that such property represents the proceeds of crime or terrorist property under existing AML legislation, i.e. the DTROPO, the OSCO, the Anti-Money Laundering and Counter-Terrorist Financing Ordinance ('AMLO') and the United Nations (Anti-Terrorism Measures) Ordinance ('UNATMO'). Practices must appoint a Money Laundering Reporting Officer as a central reference point for reporting suspicious transactions.

Staff may consult their supervisors or managers whether a STR is necessary, but the management should not see themselves as taking up the money laundering reporting function to filter reports. To ensure speedy reporting and confidentiality, the reporting lines should be cut down to a minimum.

Once knowledge or suspicion of an money laundering and terrorist financing transaction or activity has been established, the practices must make a report to an authorised officer, and the report must be made as soon as reasonably practical. Practices must also ensure that they have internal controls to prevent staff from committing the offence of 'tipping-off'. If a further CDD on a client is necessary and a STR may have already been made, to avoid 'unintentional tipping-off', the practice should not put the client on an alert that the relevant agencies have already paid special attention to him/her.

Question 11

Under s.53H, the Registrar of Companies will consider the following licensing factors to see whether the individual applicant:

1. has been convicted under offences related to anti-money laundering or terrorist financing in or outside hong kong;
2. Is an undischarged bankrupt or in bankruptcy proceedings; or
3. Fails to comply with a requirement imposed under the AMLO.

Question 12

The subject of the Prevention of Bribery Ordinance (Cap.201) ('POBO') covers agents (employees in private sectors), public servants and employees of public bodies.

Question 13

1. The term 'advantage' as defined under s.2 of the POBO covers the following:
 - A gift, loan, fee, reward or commission in the form of money, security or property;
 - An office, employment or contract;
 - Payment or release of a loan;
 - A service or favour;
 - Exercise of rights or its forbearance, power or duty; and
 - Promise of any of the above.
2. The term 'agent' is defined, under s.2 of the POBO, as a public servant and any person employed by or acting for another.
3. Under s.2 of the POBO, the term 'entertainment' means 'the provision of food or drink' or any other entertainment (e.g. singing and dancing) provided at the same time with food and drink.

Question 14

S.9(3) of the POBO covers the offence that an agent uses any receipt, account or other document with false or erroneous statements in order to deceive his/her principal.

Question 15

S.11 of the POBO states that both the giver and the acceptor of a bribe are guilty under this section notwithstanding that the purpose of the bribe has not been carried out. The defence available for the acceptor (but not the giver) is that he/she has lawful authority or a reasonable excuse to do the act (e.g. the principal has given consent to the act).

Question 16

The statutory duties of the Independent Commission Against Corruption ('ICAC') include the following:

1. To examine allegations of corruption and to investigate suspected offences.
2. To examine and review the practices and procedures of government and public bodies that are conducive to corruption.
3. To educate the public against corruption.

Question 17

Under s.13 of the POBO, an investigating officer is authorised to investigate and inspect accounts, books, documents or articles of any person. The POBO also allows the officer to request any person to produce and disclose accounts, books, documents or articles for the purposes of investigation and to take copies of the documents and photographs of articles.

By s.14 of the POBO, an investigating officer is authorised to request the suspects to provide details of their property, income, expenditure, liabilities and overseas remittances for the purpose of investigation.

EXAM PRACTICE

QUESTION 1

Henry was a junior accounting staff working at Pau & Co., a medium-sized auditing firm in Hong Kong. Henry was approached by an existing client and entrepreneur, Mr. McNarma, with instructions to receive an amount of HK\$50 million into the company account of Pau & Co. from an unknown source. The money was intended to be used for setting up a new limited company and its related operating expenses. Thinking that Mr. McNarma was already a company client, Henry did not conduct due diligence on the source of the money. A week later, Mr. McNarma said that he had decided not to go forward to set up a new limited company. Mr. McNarma then instructed Henry not to return the deposited money to Mr. McNarma's own account but to transfer it to a third party. Assume you are the Compliance Officer of Pau & Co.

- Analyse the legal obligations of Pau & Co. under the anti-money laundering and counter-terrorist financing legislation in Hong Kong.
- Analyse Henry's liability if he gave a telephone call to Mr. McNarma immediately upon knowing that the Compliance Officer has disallowed his transfer instruction and already sent him a letter explaining such a company's decision.

QUESTION 2

Thanks to intelligence that was received, the police successfully raided a small workshop where lethal bombs were made in an industrial building. Three offenders were caught red-handed on the spot mixing chemicals for the bombs, but two others fled through the back exit. The offenders belonged to a group of dissidents named Hong Kong Solidarity. In the past months, this group claimed to acquire their independence by using guns and bombs. In one previous decided case, the court had already confirmed that the members of Hong Kong Solidarity were all terrorists so that the United Nations (Anti-Terrorism Measures) Ordinance (Cap.575) ('UNATMO') was applicable to them.

The Security Bureau found that the account opened by Hong Kong Solidarity had received donations from various unknown sources. On further investigation, one of the sources the police could trace back was a trading company, which was wholly controlled by the two fleeing directors and suspects. The police reviewed the footage of the surveillance camera, which revealed that the caretaker of the industrial building was a paid lookout for the suspects in the building unit during the police raid.

Analyse whether the directors of the trading company and the caretaker have committed an offence under the UNATMO and what are the legal consequences under the UNATMO.

QUESTION 3

A group named Middle East Alliance ('MEA') set up a charitable donation program on its website. According to the website, it was claimed that the funds would be donated to the villagers who suffered from the aftermath of the earthquake in Turkey.

However, there was a strong indication that part of the donations would actually be used as financial support for extreme terrorist activities. Moreover, it was further found that MEA had supported drug lords in Afghanistan to traffic over 5,000 kilos of heroin and use the drug proceeds to supply weapons for Taliban activities in eastern Afghanistan. A recent TV

special report had given a brief history of how MEA was established and how it became the fund-raiser of the international crime ring.

The point-of-contact in Hong Kong for MEA is a person named Pilo, who collected the donations from e-wallets and credit cards. The money was then used to buy jewellery and gemstones for future sale. Karta, a Hong Kong citizen, was hired to work remotely on the Internet with Pilo as an assistant to help remit funds by different third-party online payment systems. Karta thought that he was working for a jewellery trader. In the course of Karta's work, Karta found out that Pilo was one of the leaders of MEA and the funds in his daily transfer consisted of illicit money from serious crimes. Recently, the Security Bureau newly added MEA to the lists of designated individuals and entities under the United Nations (Anti-Terrorism Measures) Ordinance (Cap.575).

As finding a job was not easy at the moment, Karta thought that he should wait for a while to earn more in his position. Karta eventually decided that the best moment to leave and quit his job was when Pilo asked Karta to bring the jewellery and gemstones across the Hong Kong-Shenzhen border for the next 'buyer'.

Analyse the possible offences that Karta has committed under the anti-money laundering legislation in Hong Kong.

QUESTION 4

Adrian had been working for his boss Mr. Watson for two years as an accountant and his boss now asked him to manage a trading business selling used cars. Mr. Watson told him that he had established a good connection with a used car dealer, Caveat Used Cars Company Limited ('Caveat Cars'), in the United Kingdom, and he had no problem reselling the used cars to clients in the mainland China through his business partner, Daifa Autos Trading Company Limited ('Daifa Autos'), who was also running a used car business. Mr. Watson's plan was to directly ship the used cars to the mainland China from the United Kingdom. He would receive cash money from Daifa Autos through an online third party payment system 'PayMeFast' account, and would use such money to settle the purchase price to Caveat Cars by internet banking. Mr. Watson would then split the profits in a ratio of 60:40 with Daifa Autos, and the amount would be transferred to his 'PayMeFast' account.

Adrian checked with Mr. Watson why Mr. Watson did not set up a company to run the business and Mr. Watson explained that it was difficult to open a bank account these days in Hong Kong, and that the formalities in account opening might take up to two or three months to complete in banks with reputable names. As Mr. Watson was always flying to the United Kingdom or mainland China on business, he found that he was too busy to manage his 'PayMeFast' account to transfer funds to Caveat Cars. Thus, Mr. Watson had authorised Adrian to manage his bank account by settling payments and collecting profits. Mr. Watson also required Adrian to transfer the profits to three other online accounts linked to different email accounts, which were alleged to be Mr. Watson's own accounts.

Adrian had never seen any invoices issued by Caveat Cars to Daifa Autos. For the past months, Adrian observed in Mr. Watson's 'PayMeFast' account that cash payments were received every one or two days and that the daily accumulated transaction amount received was over US\$10,000. On average, the monthly profits that Mr. Watson was entitled after the split were over US\$30,000.



Based on the above facts, answer the following questions:

- (a) Analyse the activities that might cause Adrian to be suspicious that Mr. Watson was involved in a money laundering business.
- (b) Analyse what Adrian should do if he suspected that the money collected in Mr. Watson's account actually came from:
 - (i) Money laundering.
 - (ii) Drug trafficking.
- (c) Analyse the consequence if Mr. Watson was proved to be a money launderer for illicit money and his office premises was financed by such money.

QUESTION 5

Johnny started a coffee machine business with his three friends who had also been working with him in another business for some years. A company named Faris Trading Limited ('FTL') was incorporated for such a purpose and the four became directors, each of them holding equal shares. As Johnny had secured good business connections with suppliers in Europe and Hong Kong retailers for years, the board of directors appointed Johnny as the Managing Director of FTL. According to the company policy, as a managing director, Johnny is authorised to accept gifts of value not exceeding HK\$500 from the same business customer in any year.

The business turned out to be a big success and the coffee machine became a household name in many medium-sized enterprises in Hong Kong. One of his Hong Kong retailers, Regis Company Limited ('RCL'), learned that Johnny was in financial trouble due to bad foreign exchange trades and so RCL offered him a cash gift of HK\$100,000. RCL hoped that the gift would secure future contracts for a long-term discount offer of 20%, and promised 5% of the invoice amount as a cash rebate to Johnny. On a regular basis, RCL also bought Johnny regular dinner.

The case was brought to the attention of the Independent Commission Against Corruption by a Hong Kong coffee machine retailer of FTL. After a long interview with Johnny, the investigators found it difficult to believe Johnny's explanation for the source of funds of HK\$100,000 and the regular cash deposit in his bank account. Johnny finally admitted that the cash was a gift from RCL and argued that he had already disclosed to the board of directors of FTL about his acceptance of the money. Further investigation revealed that the cash was related to the discount offer on the sale of the coffee machine to RCL, and that Johnny only told one of the directors in the board about the secret money he received.

Analyse the possibility that (a) Johnny and (b) RCL may have committed an offence under the Prevention of Bribery Ordinance (Cap.201).

QUESTION 6

Sam was a famous cook in Hong Kong since 1988 and now owned over 15 eateries. Recently he invested in a fleet of autonomous human-sized robots that could take orders and serve dishes to tables. He had deployed them in every restaurant and the arrival of the robots aroused an unprecedented excitement over the food and drink industry. The robots cost a fortune to his restaurant chain but Sam saw the investment as a good bargain to attract high public attention and thus to rake in huge business profits. The first batch of five robots was already on board in two of his flagship restaurants and the performance of those robots was up to his expectations.

As Sam was in need of cash to complete his robot orders for his restaurants, he discussed his intended loan of HK\$50 million with Midas Bank, which had been his major banker since the establishment of his first restaurant. Chris, the Customer Relations Officer of the Loans Department of Bank XYZ, had some meetings with Sam and reviewed his application. At the meetings in Sam's office, Sam offered Chris small but expensive gifts, expressing his strong wish to get the bank approval on the loan. Chris did not reject the gifts and advised Sam that the loan might be arranged in a way that the first loan of HK\$25 million would be available in one week and the balance would reach Sam's business account in two months. However, the loan did not get approved as the final decision of approval came from Chris's superior rather than Chris himself.

Analyse the liability and any defences that Sam might have if the above facts were reported to the Independent Commission Against Corruption.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) The Compliance Officer should consider that the following fund transfer instructions are suspicious:
- (i) The deposit of money into the company account from an unknown source; and
 - (ii) The transfer of money unused to a third party.

In this case, Pau & Co. would be potentially liable if Henry had omitted to do an ongoing monitoring process on Mr. McNarma's case. Under s.630 of the Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants issued by the Hong Kong Institute of Certified Public Accountants ('HKICPA Guidelines'), Pau & Co. has to:

- (i) Keep an eye on the clients' transactions that are inconsistent with their nature of business and risk profile and source of funds; and
- (ii) Examine and put on record the background and purposes of the abnormally huge amounts of funds.

Though Mr. McNarma was already a company client, it is an obligation of the Compliance Officer to conduct an effective ongoing monitoring process on his case. The unknown source of funds and the instruction of transfer should give red flags that the transaction was abnormal.

Another potential liability is when the Compliance Officer fails to report to send the Suspicious Transaction Report ('STR') to the Joint Financial Intelligence Unit as soon as practicable after he/she suspected that such property represents the proceeds of crime or terrorist property under existing anti-money laundering legislation.

- (b) The issue is whether Henry would assume criminal liability of tipping-off by calling Mr. McNarma on the phone about the status of his money. The offence carries a maximum penalty of a three-year imprisonment and a fine under the existing anti-money laundering legislation. On the facts, it is unclear whether the STR had been filed, and nothing was said about whether Henry knew or suspected that an STR had been made. However, the message that Henry wanted to deliver to Mr. McNarma was that the

transfer instruction was not fulfilled and a company letter with explanation had been sent out. Such a conversation is not likely to prejudice a probable investigation, if any, by the relevant authorities in the future. Thus, Henry may not be liable for the act of tipping-off.

QUESTION 2

The Fleeing Directors

As the two directors have transferred funds to the terrorist group 'Hong Kong Solidarity' to assist the terrorist acts, they have acted contrary to s.7 of United Nations (Anti-Terrorism Measures) Ordinance (Cap.575) ('UNATMO'), which provides that a person shall not provide or collect by any means any property with the intention that the property be used, or knowing that the property will be used, to commit one or more terrorist acts. The maximum penalty for the directors acting contrary to s.7 of the UNATMO is 14-year imprisonment and a fine.

By s.13 of the UNATMO, the legal consequence is that the court may issue the order of forfeiture on terrorist property, if satisfied on an application made by the Secretary for Justice. In that case, the money in the bank account of 'Hong Kong Solidarity' will be forfeited by the HKSAR Government upon receiving the order of forfeiture from the court.

The Caretaker

The most relevant section that catches the caretaker is s.12(1) of the UNATMO. S.12(1) of the UNATMO states that where a person knows or suspects that any property is terrorist property, then the person shall disclose to an authorized officer the information on which the knowledge or suspicion is based as soon as practicable. The maximum penalty for the offence upon conviction is imprisonment for three months and a fine under s.14(5) of the UNATMO.

Although the caretaker served as a lookout only, we are not certain whether he/she knows or suspects about the nature of funds accepted in the account being terrorist property. Unless we could prove his/her knowledge or suspicion, the prosecution may not find s.12(1) of the UNATMO helpful. Notwithstanding the caretaker may not be caught under the UNATMO, he/she may be liable under other criminal provisions in the Hong Kong Laws.

QUESTION 3

On the facts, Karta was dealing with the following property that came within his reach:

- (i) The money that he helped transfer using online payment systems;
- (ii) The jewellery and gemstones that he passed to unknown buyers personally.

As it was confirmed that the sources of the above property came from drug trafficking, crimes and terrorism, Karta may have acted contrary to the following sections of various anti-money laundering legislation:

- (i) Under s.7 of the United Nations (Anti-Terrorism Measures) Ordinance (Cap.575) ('UNATMO'), Karta has committed an offence as he helped to collect property with reasonable grounds to believe that the property is to be used to commit terrorist acts.
- (ii) Karta may also be caught under s.12 of the UNATMO for failing to report to an authorised officer as soon as it was reasonable that he knew the property he was dealing with represented the proceeds of terrorist acts.

- (iii) Karta has committed an offence under s.25A of the Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405) that he dealt with property, knowing them as the proceeds of drug trafficking.
- (iv) Karta has also committed a crime under s.25A of the Organized and Serious Crimes Ordinance (Cap.455) for failing to disclose to an authorised officer as soon as it is reasonable that he knew the property he was dealing with represented the proceeds of an indictable offence.

QUESTION 4

- (a) The activities that might cause Adrian to become suspicious that Mr. Watson was involved in a money laundering business include the following:
 - (i) Mr. Watson did not set up a company to run his business and the profit money collected was likely to be illicit money and Mr. Watson wanted to conceal its identity.
 - (ii) Mr. Watson used a third party system to transfer money to unknown parties, and there was no valid reason to explain the transfer. With no documents to support the transfer, it is difficult to make a reasonable man to believe that the payment to the United Kingdom or to mainland China was for the purpose of buying and selling used cars.
 - (iii) The frequency of cash receipts in Mr. Watson's account and the monthly profit was abnormally high.

(b)

- (i) What Adrian is obliged to do is, under s.25A of the Organized and Serious Crime Ordinance (Cap.455) ('OSCO'), to file suspicious transaction reports ('STRs') to the Joint Financial Intelligence Unit ('JFIU'), which is operated by both the Police and the Customs Office. The JFIU would analyse and disseminate intelligence on STRs to local and overseas law enforcement agencies for follow-up action.

Adrian may also make a disclosure to an authorised officer (e.g. a police officer or Customs and Excise officer) as soon as it is reasonable to do so for what he suspects might be that the whole or part of the property represents the proceeds of an indictable offence (s.25A(1) of the OSCO). By s.25A(8) of the OSCO, if Adrian fails to disclose his suspicion as required under s.25A of the OSCO, he will be sentenced to a maximum of three years imprisonment and a fine.

- (ii) If Adrian suspected that the financial transactions were proceeds of drug trafficking, under s.25A of the Drug Trafficking (Recovery of Proceeds) Ordinance (Cap.405) ('DTROPO'), which shares a similar content to s.25A of the OSCO, he is obliged to file the STRs to the JFIU. The maximum penalty for not filing any report is imprisonment for three years and a fine (s.25A(8) of the DTROPO).

Adrian may also disclose his suspicion to an authorised officer (e.g. a police officer or Customs and Excise officer) as soon as it is reasonable about the property representing the proceeds of drug trafficking (s.25A(1) of the DTROPO). If Adrian fails to disclose this, he will be sentenced to a maximum of three years imprisonment and a fine under s.25A(8) of the DTROPO.

- (c) Mr. Watson is likely to have committed an offence under s.25(1) of the OSCO, in which he deals with a property, knowing or having reasonable grounds to believe that any property which, directly or indirectly, represents proceeds (i.e. illicit money) of an indictable offence.



S.8 of the OSCO enables the court to issue a confiscation order to Mr. Watson.

A confiscation order may be made when the court believes that Mr. Watson has acquired his office as a result of his criminal activities or has obtained financial benefit from his criminal activities. A confiscation order in this context is an order for the seizure of property from Mr. Watson or an order requiring him to pay a specified amount of money.

Under s.14 of the OSCO, the Court of First Instance may grant a 'restraint order' or a 'charging order' over his office. A restraint order is an order prohibiting any person from dealing with any realisable property. A charging order is one that is imposed on any realisable property in order to secure the payment of money to the HKSAR Government. In that case, Mr. Watson is not able to sell his office premises in an open property market.

QUESTION 5

(a) Johnny

Johnny is likely to have acted contrary to s.9 of the Prevention of Bribery Ordinance (Cap.201) ('POBO'), which states that it is an offence for an agent, which includes an employee of a principal, without lawful authority or reasonable excuse, to solicit or accept any advantage as an inducement to or reward on account of doing some act in relation to his/her principal's affairs.

He would have committed an offence if the prosecution is successful in proving the following factors shown in s.9(1) of the POBO:

1. That Johnny is an agent of Faris Trading Limited ('FTL');
2. That Johnny has solicited or accepted the advantage;
3. That Johnny has solicited or accepted without the permission of his principal; and
4. That Johnny has no lawful authority or reasonable excuse to solicit or accept the advantage.

First, we may have no problem to see that the Board of Directors of FTL (the 'Board') is the principal, which has appointed Johnny as the Managing Director. The appointment has made Johnny the agent of FTL.

Second, it is obvious that the cash gift and the regular rebates are all 'advantages' under s.2 of the POBO as they are 'gifts, reward or commission in the form of money'. Johnny has accepted them by his conduct, though he did not solicit RCL to do so. As to the regular dinners offered by RCL to Johnny, as the 'advantage' defined under the POBO does not cover 'the provision of food or drink', Johnny had not received any advantage by accepting the dinners.

Third, before Johnny solicits or accepts any advantage in the course of business without acting contrary to s.9 of the POBO, Johnny should have obtained permission from the Board or he should seek the permission as soon as reasonably possible after such an offer or acceptance. In fact, Johnny has never had the intention to ask for such permission from the Board before or after the acceptance of the advantages. Though Johnny may argue that he did actually inform one of the directors, such an act did not amount to the act of asking for permission. Permission must be given by the Board as a

whole to represent the principal's permission, and it is unreasonable for Johnny to check with just one director for his 'permission'.

Fourth, the company policy officially allows Johnny to accept gifts from business customers, but the value of the gift should not exceed HK\$500 in any year from one customer. The cash gift and the regular rebates are 'advantages' and their value would go beyond HK\$500. Johnny is not able to defend himself by arguing that the company policy gave him 'lawful authority' or a 'reasonable excuse' to accept the 'advantages'.

The analysis above shows that Johnny's acts of accepting cash gifts and cash rebates without the principal's permission, the lawful authority or a reasonable excuse are likely to be an offence under s.9 of the POBO. Johnny is advised that he has committed bribery under s.9 of the POBO.

(b) Regis Company Limited ('RCL')

Under s.9 of the POBO, advantage covers cash gift and cash rebates that a third party offers to an agent. RCL has offered such advantages to Johnny, but s.9 of the POBO is not used to penalise the company as an artificial person. The persons in RCL who have decided to make such an offer have committed an offence under s.9 of the POBO.

QUESTION 6

(a) Offence that Sam committed

Sam had offered Chris small but expensive gifts in return for the approval of the loan. The gifts in question were obviously an 'advantage' as defined under s.9 of Prevention of Bribery Ordinance (Cap.201) ('POBO'). Under s.9(2) of the POBO, Sam is likely to be guilty if Sam, without lawful authority or reasonable excuse, offered an advantage to an agent (in this case it was Chris) as an inducement to or reward for Chris to get the loan approved.

(b) Defences available for Sam

Sam could not avail himself the defence of arguing that the intended loan did not get approved and thus the purpose of the bribe was defeated. This was because the bribery was still there. Under s.11 of the POBO, as long as Sam, the offeror of the bribe, intended to induce the acceptor, Chris, to extend the favour for Sam, both parties had already committed bribery even if the acceptor did not actually have the power to do the favour, or did not carry out the favour.

On the other hand, Sam could not defend himself by putting forward the argument that it was a customary practice to offer gifts in his meetings to attendees. Sam, the offeror, cannot get away from his liability by a claim that offering the gifts (i.e. offering bribes) is an established custom in the trade. Under s.19 of the POBO, it is stated that in any proceedings for an offence under the POBO, it shall not be a defence to show that any advantage is customary in any profession, trade, vocation or calling. In other words, the court will not accept the defence of customary practice to reduce the liability of either the offeror or acceptor of the advantage under the POBO.

To conclude, Sam was not likely to have any defences available under the POBO against his conviction for offering bribes under s.9 of the POBO.

7

Introduction to Employment Law in Hong Kong



CHAPTER TOPIC LIST

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LEARNING OUTCOMES

PRINCIPAL LO7: ANALYSE AND APPLY THE KEY CONCEPTS AND PRINCIPLES OF THE EMPLOYMENT LAWS

LO7.01: Analyse and apply the key provisions of the employment laws in Hong Kong

7.01.01 Analyse the scope and apply the key provisions of the Employment Ordinance, in particular in relation to the following:

- Minimum wages
- Holidays
- Severance and long service payments
- Mandatory Provident Fund ('MPF') and other retirement benefits
- Termination of employment

7.01.02 Analyse the scope and apply the key provisions of the following Ordinances:

- Sex Discrimination Ordinance
- Disability Discrimination Ordinance
- Family Status Discrimination Ordinance
- Race Discrimination Ordinance

 OPENING CASE

DISMISSAL FROM EMPLOYMENT

Julie is a single mother of a four year old child. She has worked as an Administrative Assistant for People's Choice Accountants ('People's Choice') for 18 months.

Although Julie has always been late and occasionally has been absent from work, Julie has completed all required work and provided outstanding help and support to the accountants. Julie has been given warnings at the six months and one year reviews about her attendance and lateness problem. Julie explained that as a single mother she has been experiencing an issue with getting her child ready for school in the morning. Her child has been sick a lot lately so she has had to take leave from work to take care of her child. She lives far away from the office and there is always a traffic jam on her commute to work.

Julie has missed work for more than a week this month, so her manager issued a final warning to Julie last week that something had to be changed. Julie's child was sick again this week, so she was absent on Monday and Thursday. When she returned to work on Friday, her manager fired her without providing a reason.

Julie is frustrated and would like to know if there is any protection of her employment under the Employment Ordinance and on anti-discrimination grounds. 



OVERVIEW

This chapter is an introduction to the employment law in Hong Kong. It will go through the major legislations and common law principles that govern the employment relationships in Hong Kong. Starting from the formation of employment contracts, this chapter will review the various legal tests to determine the employment status. Then, it will offer an overview of the rights and duties that arise from an employment relationship: standard terms of an employment contract, expressed and implied terms and duties, remuneration and benefits and termination of an employment contract. Finally, it will outline the background and context of the four anti-discrimination ordinances and their application to employment related issues.



7.1 INTRODUCTION

Employment law governs the relationship between employers and employees. It concerns the terms and conditions of employment contracts, employees' work safety and anti-discrimination in the workforce.

7.1.1 Sources of Law

There are various sources of employment law in Hong Kong: (1) international law, (2) common law and (3) domestic legislation.

7.1.1.1 International Law

The International Covenant on Civil and Political Rights ('ICCPR') and the International Covenant on Economic, Social and Cultural Rights ('ICESCR') provide general human rights protections in relation to employment law including anti-discrimination (Article 2 of ICCPR and Article 2 of ICESCR), anti-slavery (Article 8 of ICCPR), freedom of assembly (Article 21 of ICCPR) and association (Article 22 of ICCPR and Article 8 of ICESCR), and the minimum employment terms and conditions (Article 7 of ICESCR). These international agreements are implemented in Hong Kong by virtue of Articles 39 and 153 of the Basic Law.

7.1.1.2 Common Law

The common law provides the foundations of employment law in the formation of employment contract, determination of employee status, implied duties of employers and employees and vicarious liability of employers.

7.1.1.3 Domestic Legislation

The Employment Ordinance (Cap.57) ('EO') is the major statutory framework in Hong Kong that governs the terms and conditions of employment. It recognises the imbalance of power between employers and employees. The main objective of the EO is to provide statutory protections on the employees' basic rights and entitlements.

Occupational safety is another major theme of employee protections. The Occupational Safety and Health Ordinance (Cap.509) covers occupational safety in the workplace in general and the Factories and Industrial Undertakings Ordinance (Cap.59) focuses on work safety in specific industrial settings.

The Employees' Compensation Ordinance (Cap.282) offers a legal mechanism for employees to claim against their employers for any injury or occupational disease they sustained in the course of employment.

There are four major pieces of anti-discrimination legislation in Hong Kong: (1) Sex Discrimination Ordinance (Cap.480); (2) Disability Discrimination Ordinance (Cap.487); (3) Family Status Discrimination Ordinance (Cap.527); and (4) Race Discrimination Ordinance (Cap.602). Together, they offer the legal framework to promote an anti-discrimination environment in the workforce.

In the opening case, so long as Julie has satisfied all the criteria of an employee in Hong Kong, she would be entitled to the legal protection under all of the above legislations.

7.1.2 Application of the Employment Ordinance

The EO was enacted in 1968. As provided by s.4(2) of the EO, it applies to all employees (See Section 7.2), regardless of their nature of work, in Hong Kong except: (1) a family member who is employed and lives in the same dwelling as the employer; (2) an overseas contract worker; (3) a person serving under a crew agreement within the meaning of Merchant Shipping (Seafarers) Ordinance (Cap.478) or on board a ship that is not registered in Hong Kong; (4) an apprentice under the Apprenticeship Ordinance (Cap.47) according to s.2A of the EO; and (5) a civil servant.

S.70 of the EO provides that any expressed clause of the employment contract that extinguishes and reduces any rights, benefits and protections conferred to the employee by the EO shall be void.

► Knowledge Check Questions

Question 1

Describe the sources of employment law in Hong Kong.

Question 2

Explain when the Employment Ordinance (Cap.57) applies.

7.2 WHO IS AN EMPLOYEE?

Employment law distinguishes employees from independent contractors. Independent contractors do not share the same rights and protections enjoyed by the employees (Exhibit 7.1). Whether a person is an employee or independent contractor is a matter of law, which looks into the true nature of the contractual relationship between the parties. A contract of service governs the relationship of an employee and a contract for service governs the relationship of a self-employed worker or an independent contractor. Labeling someone as an employee or independent contractor does not conclude the status of his/her employment.

	Employees (Contract of Service)	Independent contractors (Contract for Service)
Tools/Equipment	Provided by the employer	Self-provided
Pay/Remuneration	Not affected by the way the work is done and bears no financial risk	Prospect of profit and bears financial risk
Mode/Method of Work	Determined by the employer	Self-determined
Subcontract Work to Other	No	Yes
Discipline by the Company	Yes	No

► EXHIBIT 7.1 Differences between employees and independent contractors

The court has developed several tests to determine the employment status: (1) the control test, (2) the organisation test (also referred to as the integration test/the enterprise test) and (3) the multifactor test.

7.2.1 The Control Test

The **control test** focuses on the degree of power and control that the employer has over the person of service.

Ready Mixed Concrete (South East) Ltd v Minister of Pensions and National Insurance (1968) 2 QB 497

Facts: The plaintiff is engaged in the business of making and selling concrete. It introduced a new scheme of delivery by owner-drivers. The plaintiff entered into a contract for service and a hire-purchase agreement with the owner-driver. During the term of the contract for service, the owner-driver became the owner of the lorry. The owner-driver had to carry and deliver concrete to the customers on the plaintiff's demand.

Issue: Whether the owner-drivers were employees of the plaintiff or independent contractors.

Ready Mixed Concrete (South East) Ltd v Minister of Pensions and National Insurance (1968) 2 QB 497 (continued)

Held: The owner-driver was an independent contractor. According to the terms of the service agreement, the owner-driver was required to operate the truck himself or to hire a competent driver at his own expense. He must wear the plaintiff uniform, comply with all rules and regulations or requirements of the plaintiff and carry out all reasonable orders from the plaintiff as if he was an employee of the company. The owner-driver must also maintain and repair the lorry in the manner as required by the plaintiff at his own expense.

Mackenna J. explained the test to determine whether a contract was a contract of service. A contract of service consists of three basic conditions:

1. The servant agreed that he would provide his service or skill in consideration of a wage or other remuneration;
2. The servant, expressly or implied, agreed to perform his service under a sufficient degree of control of the other person to make that person a master; and
3. The other provisions of the contract were consistent with its being a contract of service.

Although the control test is no longer the only test for determining an employment relationship, it remains the most important factor of consideration. For many cases, particularly ones involving employment of skilled workers, actual control and supervision over the employee may not be necessary. It is the right to exercise control and supervision that matters.

7.2.2 The Organisation Test

The **organisation test** concerns whether the performer's work is integrated into the employer's enterprise or whether it is merely an ancillary to it. It becomes the preferred test by the court to reflect the changes in the organisational and management structure of more advanced work settings.

Stevenson, Jordan and Harrison Ltd v Macdonald and Evans (1952)

1 TLR 101

Facts: A management engineer wrote a book based mainly on information he gained as an employee of the plaintiff. Part of the information consisted of lectures the engineer delivered publicly when he was an employee of the plaintiff and the other part consisted of materials he acquired from a particular assignment for a client of the plaintiff. The author passed away before the book was published. The plaintiff claimed the copyright of his work.

Stevenson, Jordan and Harrison Ltd v Macdonald and Evans (1952)
I TLR 101 (continued)

Issue: Whether the author wrote the book under the employment contract and the work was in the course of his employment.

Held: As per Lord Denning, ‘. . . under a contract of service, a man is employed as part of the business, and his work is done as an integral part of the business; whereas, under a contract for services, his work, although done for the business, is not integrated into it but only accessory to it.’

The employment contract that the author entered with the plaintiff was a mixed contract. It consisted of partly a contract of service and partly a contract for service. The part of book that is based on those public lectures was mainly ‘know-how’ of the author’s profession that did not integrate with the plaintiff’s business. It was work made outside the employment contract and it should be severed from other parts of the work that were based on tasks that the author was assigned under the employment contract.

It is often used to distinguish advanced workers from independent contractors. Often these advanced workers enjoy a high degree of independence and judgement in their work, but they do not have sufficient autonomy in the management of their work to become independent contractors. The crucial question is whether their work has become part and parcel of the employer’s organisation.

7.2.3 The Multifactor Test

The court gradually recognises that there is no single convenient test that can effectively determine the nature of employment. A more flexible approach that takes into account a range of relevant factors is adopted.

In *Lee Ting Sang v Chung Chi-Keung* (1990) 1 HKLR 764, the Privy Council endorsed the flexible approach stated by Cooke J in *Market Investigations v Minister of Social Security* (1969) 2 QB 173. It was held that the control test is too narrow and is no longer regarded as the sole determining factor. There is no exhaustive list that had been compiled and there will never be an exhaustive list that can be compiled to determine employment status. Other important determining factors include the ownership of tools, the freedom to derogate work to others, the risk of loss and the chance of profit.

The **multifactor test** is subsequently affirmed by the Court of Final Appeal in the case of *Poon Chau Nam v Yim Siu Cheung* (2007) 1 HKLRD 951. It was held that the modern approach to determine the employment status of a person would examine all the features of the relationship and decide an overall impression of the nature of the employment. It is not a mechanical exercise of running through items of a checklist to see whether they are present or absent from the situation.

Poon Chau Nam v Yim Siu Cheung (2007) 1 HKLRD 951

Facts: P was injured in the course of performing a job assigned by D. P was hired on a case by case basis. It was up to D to assign work to P but there was no mutual obligation that D would supply work to P and P would take up work from D. P was free to take up work from others as he wished. D paid P a daily wage of HK\$550, plus overtime and travelling expenses. D would normally supply equipment to P to complete his job. P was responsible for purchasing his own MPF as a self-employed person.

Issue: Whether P was an employee or independent contractor.

Held: The modern approach to determine whether there is an employment relationship that involves a 'nuanced and not a mechanical approach: painting a picture from the accumulation of detail'. Factors to be taken into account include the degree of control exercised by the employer, whether the person performing the work has his own equipment, whether he hires his own helpers, the degree of financial risk he took, the degree of responsibility for investment and management he has and whether and how far he has an opportunity to profit from sound management in the performance of his task.

A contract of employment of a casual worker may arise when: (1) there is an umbrella or global contract, that is an overarching continuous agreement between parties for a series of specific engagements within a time span; and (2) a contract in relation to a specific engagement. Whether there is a mutual obligation to supply work and to take up work is only relevant to employment arising from (1) and is irrelevant to employment arising from (2).

Taking into consideration the background that gave rise to P's employment, P was an employee of D for each specific engagement entered.

Relevant factors of the multifactor test are:

1. **Degree of control**

Control entails various features, including working under a regular timetable, devotion of energy exclusively to the employer, provision of transportation to work, close control and supervision of work, instructions on how and where to perform work, submission to the employer's internal rules and regulations as well as wearing uniforms.

2. **Ownership of tools**

Generally, an employer's provision of tools and equipment is consistent with an employment relationship, though it is not a determining factor to rule out an independent contract. It is not uncommon that some employers of artisans and high-skilled workers will require the employees to provide their own tools and equipment to perform work.

3. **Freedom to delegate work to others**

The concept of employment devolves from the employer's control over the employee and the basic obligation of the employee to perform work personally. Freedom to delegate work or hire others to perform the work usually supports self-employment

or independent contractors. However, having authority to hire does not necessarily suggest the person is an employer, such as in the cases of a supervisor and foreman who are employed to recruit subordinates.

4. Financial risk and prospect of profit

The main distinction between an employee and a self-employed contractor is that an employee usually does not bear any financial risk and prospect of profit beyond his/her remuneration and overtime pay.

The court will consider all of the above factors and other relevant circumstances in deriving a conclusion. How much weight is given to each factor varies from case to case.

7.2.4 Who is Employable?

Not everyone is employable under the law. According to s.2(1) of the Age of Majority (Related Provisions) Ordinance (Cap.410), a person reaches the age of majority when he/she attains 18 years of age. A minor is one whose age is below 18 years. The law restricts the employment of minors.

According to s.4(1) of the Employment of Children Regulations (Cap.57B) ('ECR'), it is generally prohibited to employ any child under the age of 13.

S.5 of the ECR provides that a child who is between the ages of 13 and 15 may be employed if he/she has completed Form III of secondary education and the parent has consented in writing to the employment.

The Employment of Young Persons (Industry) Regulation (Cap.57C) sets out the manner in which a young person between the ages of 15 and 18 may be employed.

In addition to the age requirements as mentioned, s.17I of the Immigration Ordinance (Cap.115) provides that it is an offence to employ anyone who is not lawfully employable, that is anyone who is not a holder of a valid Hong Kong Permanent Resident Identity Card or a valid working visa.

► Knowledge Check Questions

Question 3

Explain why it is important for an employee to establish his/her status as an employee in his/her agreement signed with his/her employer.

Question 4

Explain the control test and its significance in determining an employment status.

Question 5

Describe the multifactor test and how it is applied in determining the nature of employment.

7.3 CONTRACT OF EMPLOYMENT

A contract of employment is an agreement between two parties that creates the relationship of employer and employee. It may be written or oral, and may include express terms of contract and implied terms from the EO. For reference, a sample employment contract is provided in Appendix 7.A.

7.3.1 Common Terms

Regardless of whether the employment contract is made orally or in writing, there are some common terms that most contracts would cover.

1. **Job duties or job description:** The contract should describe the scope of employment and outline the main duties of the employee. It is relevant to the determination of whether a specific act done by an employee is within the course of employment.
2. **Probation period:** It is lawful and reasonable to provide for a period of probation, which is intended to enable the parties to evaluate each other. It allows the employer to assess the employee's long-term capability to perform his/her job and the employee can also assess the quality of the employer and its working conditions.

Pursuant to s.6(3) of the EO, either party of the employment contract may terminate the contract at any time during the first month without notice or payment in lieu of notice. After the first month, the parties may agree on a termination notice period of not less than seven days. If the employment contract is silent on the notice period, notice of not less than seven days is required.

3. **Duration and term of contract:** In the absence of any express agreement to the contrary, every contract of employment that is a continuous contract shall be deemed to be a contract for one month renewable from month to month as provided in s.5(1) of the EO. Even if the parties agree that the duration of the contract is to be over one month, it is deemed to be a contract for one month renewable from month to month unless the contract is in writing. The onus of proof is on the employer to prove that the contract is not renewable from month to month.

A fixed-term contract can be determined by reference to a fixed term or the completion of a task or project. In contrast to an indefinite contract, a fixed-term contract will be terminated at the end of the term without notice of termination. A party may by agreement request the other party to provide a notice of termination in order to terminate a fixed-term contract prior to the expiration of the term.

4. **Rest days:** Every employee under continuous employment is entitled to at least one rest day in every seven days of work.
5. **Remuneration:** The employer must pay a wage no less than the minimum wage set by the Minimum Wage Ordinance (Cap.608) (See Section 7.4.2.4).
6. **Place of employment:** The contract of employment may specify a particular place or location where the employee shall perform his/her work.



7.3.2 Implied Duties of Employers

Under the common law, employers are subject to the implied duties to provide a reasonable amount of work pay, to indemnify an employee and to provide a safe working environment.

1. **Duty to provide a reasonable amount of work pay**

If the payment of remuneration is calculated by the hours of work done or the quantity of work performed, the employer has an implied duty to provide enough work for the employee to earn a reasonable wage.

2. **Duty to indemnify the employee**

The employer is under an implied obligation to indemnify any costs or expenses the employee has reasonably incurred to execute the contract of employment.

3. **Duty to provide a safe working environment**

The employer is under a duty to take reasonable care and precautions for his/her employee's safety at work (See Section 4.3.1).

7.3.3 Implied Duties of Employees

Under the common law, employees are obliged to fulfil the following implied duties:

1. To carry out lawful and reasonable orders given by the employer;
2. To perform his/her work with reasonable care and skill;
3. To serve the employer with fidelity and good faith;
4. Not to disclose a trade secret or confidential information obtained during or after the employment;
5. To account to the employer; and
6. To indemnify the employer.

These duties are further explained below:

1. **Duty to carry out lawful and reasonable orders given by the employer**

It is a condition essential to an employment contract that the employee shall not wilfully disobey any lawful and reasonable orders given by the employer. Although a minor disobedience, such as lateness, may not warrant dismissal, persistent and repeated lateness has been held as a valid reason for summary dismissal. Whether an order is reasonable is a matter of fact that needs to be assessed in the context it is given. For any order that is *prima facie* (on the face) lawful and reasonable, the burden is on the employee to justify his/her disobedience (See Section 7.6.2).

2. **Duty to perform his/her work with reasonable care and skill**

The employee has to perform the work with reasonable care and skill. Failure to provide this may give rise to a claim of negligence. Under the common law, an employer may be held vicariously liable for any tort committed by the employee during the course of employment. It is a strict liability, that is the employer is liable regardless of the employer's innocent state of mind (See Section 4.3.5).

This duty may extend to an implied obligation to indemnify the employer for any tortious liability resulting from any negligence on the part of the employee in performing his work without reasonable skill and competence.

3. **Duty to serve the employer with fidelity and good faith**

It is the primary duty of the employee to serve his/her employer with fidelity and good faith. There is a fiduciary relationship between the employer and the employee. This fiduciary relationship is built on mutual trust and confidence. As a fiduciary, the employee undertakes or agrees to place the interest of his/her employer ahead of his/her and he/she should not take any position in conflict with the interest of the employer.

The employee has a fiduciary duty not to persuade customers to shift to a new employer. In the case of *Kao Lee & Yip v Koo Hoi Yan* (2003) 3 HKLRD 296, the court affirmed that, generally, the employee is not in breach of his fiduciary duty with an intention to leave and for making arrangements for his future, including setting up in direct competition with the employer after termination of employment, as long as he keeps it within reasonable limits. Application of the principle is a matter of degree. It would not be permissible to solicit clients while still in the employment of the old firm or employer. Whether or not an act amounts to solicitation is a question of fact. An employee merely informing a client that he will leave the firm does not amount to solicitation. However, if a client approaches the employee with the intention that if the employee leaves his firm or employer, the client would transfer his business to the employee's new firm or employer, the employee will be in breach of his fiduciary duties if he was to go along with the proposition without obtaining consent from his employer.

It is common for employers to include restrictive covenants in the employment contract to restrain employees from competing against the business or working in the trade within a time period after termination of the employment contract. However, the court has adopted a very stringent attitude towards enforcement of these non-competition or restraint of trade covenants against employees. The starting point is that they are generally unenforceable unless they can be shown to be in the reasonable interests of the parties and in the public interest. The burden of proof is on the party seeking to enforce it. The scope and duration of the restrictions must not be greater than reasonably necessary to protect the legitimate interests of the employer, such as the protection of trade secrets, customer connections and loyalties. The party relying on the restrictive covenant must ensure that it is reasonably drafted. Otherwise, it will be struck out. The court will not re-write the covenant to make it reasonable¹.

The duty of good faith includes the obligation not to disrupt the business of the employer. It is not permissible for an employee to work for another employer in a role that is inconsistent with the current employment. He/She is also not to direct customers to make any direct payment into his/her personal bank account.

¹ *Degreeasia Limited t/a Hong Kong Institute of Continuing Education v Paules Lee Siu Yuk and Others*, HCA 1686/2006.



4. **Duty not to disclose trade secrets or confidential information obtained during or after the employment**

There is a general duty on an employee of confidentiality to his/her employer not to disclose any confidential information or trade secret he obtained in the course of employment. After termination of employment, any expressed or implied protection on confidentiality is restricted to trade secrets only².

In the case of *Kuoni Travel (China) Ltd v Kelly Frances Richards*, HCA 1265/2006, unreported, it was held that in determining whether information is confidential, the court will consider the following matters: (1) the nature of the employment; (2) the nature of the information itself; (3) whether the employer impressed on the employee the confidentiality of the information; and (4) whether the information can be easily isolated from other information which the employee is free to use or disclose.

An information is a trade secret if: (1) it is used in a trade or business; (2) it is confidential (i.e. not already in the public domain); (3) can be easily isolated from other information that the employee is free to use so that the employee of average intelligence and honesty would think it is improper to disclose it to his/her new employer; (4) the information which, if disclosed, would cause real or significant harm to the owner of the information; and (5) the owner of the information must restrict its usage or at least must not encourage or permit publication of the information.

5. **Duty to account for property and secret profit obtained in the course of employment**

An employee is obliged to account to his/her employer for any property provided to him/her, any profits he/she made through his/her employment and any secret profit or commission that he/she received in the course of employment.

6. **Duty to indemnify the employer**

The employee has an implied duty to indemnify his/her employer for any tortious liability results from his/her own negligence in performing work.

Apply and Analyse 1

Apply

Sandy was a sales trainee for 10 months in PR2 Limited ('PR2'), a public relations company. Sandy felt very unhappy with her experience so far because she was assigned a work desk with work space that was shared with two other colleagues and the inclined visual angle of the flatbed display panel for her desktop computer could not be adjusted and as a result she developed a drastic pain in her neck and shoulders. Sandy had made two formal complaints about these matters to the Human Resources Department but received no responses for remedial action. Sandy wondered if PR2 had breached the employment contract with her.

Analyse whether there was a breach of the employment contract by PR2.

² *Deacons v White & Case Ltd Liability Partnership* (2003) 3 HKLRD 670 at para 128.

Apply and Analyse 1 (continued)

Analysis

Organisations are legally responsible for establishing and maintaining a working environment where employees are able to work safely, without risk to their physical and psychological health and welfare. There is an implied term in the employment contract that it is an employer's duty to protect the health, safety and welfare of their employees who might be affected by their business. Employers must do whatever is reasonably practicable to achieve this.

Considering the facts, first, failure to provide an appropriate work space may not lead to a breach of the implied term. However, if the narrow work space had gradually brought Sandy's long-term stresses on her body due to her improper posture, she was forced to hold when doing her work and her physical health was largely compromised. Second, where the employer's failure to provide a usable flatbed display panel could lead to a reduction in an employee's actual work performance, there is a likelihood that the pain in Sandy's neck and shoulders was the consequence of her display panel with a fixed inclined visual angle.

Therefore, PR2 had not offered sufficient protection for the workers from injuries and risks to their health that could have been effectively controlled in the workplace if PR2 had attended the needs. In that case, PR2 had breached its implied duty of providing a safe working environment to Sandy and she could have a claim against PR2 for damages for the breach.

Apply and Analyse 2

Apply

Sandy has now completed her training and she decided not to renew her employment with PR2. On the last day of her employment, Sandy was engaged in conversation with one of her clients, John. In the course of their conversation, Sandy told John that it was her final day with PR2 and John asked Sandy about her new place of employment. Sandy just told John that she would be working with one of PR2's major competitors, CRQ Limited ('CRQ'). Three months later, John moved all his accounts from PR2 to CRQ.

Analyse whether Sandy had breached any of her implied duties to PR2.

Analysis

As an employee of PR2, Sandy had a fiduciary duty to act in the interest of PR2 and to avoid any conflict of interests. Part of that duty includes not to solicit clients from PR2. What constitutes solicitation is a matter to be determined by the facts.

In this case, Sandy had only informed John that she was leaving PR2 to go to CRQ. Three months had lapsed before John actually moved his accounts to CRQ and there was no evidence to suggest that John withdrew his accounts from PR2 because of Sandy. Without any indication that Sandy had knowledge about John's intention to move his accounts from PR2 to CRQ, the conversation between Sandy and John would not constitute solicitation.

Apply and Analyse 3

Apply

During her employment at PR2, Sandy had been using her personal laptop computer to perform her job duties. The email addresses and identities of the contact person of her customers were saved in her personal contact list. There is a clause in her employment contract to restrict Sandy from using any of the confidential information she obtained during her employment for her own interest after the termination of the contract. PR2 did not ask Sandy to erase all work files from her personal laptop when she left the company. Several months later, PR2 found out about the customers list.

Analyse whether PR2 can sue Sandy for breach of her duty of confidentiality.

Analysis

To determine whether information is confidential, the court will look at factors such as the nature of employment, the nature of information, whether the employer has impressed on the employee that the information is confidential and whether the information can be easily accessed publicly.

Customer contacts are usually regarded as the asset of the business, which require years to build up. Although the names and contact information of individual customers may be publicly available, the list of the customers with relevant contact persons required effort to compile. It is confidential information which Sandy cannot use to advance her own interest; otherwise, Sandy would have breached her duty of confidentiality and good faith.

► Knowledge Check Questions

Question 6

Describe the implied duties of an employee.

7.4 REMUNERATION AND BENEFITS

7.4.1 Continuous Employment

Many of the substantial benefits under the EO require the employee to have continued employment for a period of time in order to be entitled to it. The First Schedule of the EO provides that to be qualified for **continuous employment**, the worker must have worked for at least 18 hours per week for the previous four weeks (also referred to as '4-18 requirement').

In case of a dispute, the onus of proof that it is not a continuous contract will be vested on the employer as provided by s.3(2) of the EO. Once it is satisfied that it is a continuous contract, the employee will enjoy the same benefits regardless of whether he/she has been working full-time or part-time.

7.4.2 Wages

7.4.2.1 Definition of Wages

S.2(1) of the EO provides that **wages** are all remuneration, earnings, allowances including travelling allowances and attendance allowances, attendance bonus, commission, overtime pay, tips and service charges, however designated or calculated, capable of being expressed in terms of money payable to an employee in respect of work done or to be done under the contract of employment, except for the following:

1. The value of any accommodation, education, food, fuel, light, medical care or water provided by the employer;
2. Any contribution paid by the employer on his/her own account to any retirement scheme;
3. Any commission that is of a gratuitous nature or which is payable only at the discretion of the employer;
4. Any attendance allowance or attendance bonus that is of a gratuitous nature or that is payable only at the discretion of the employer;
5. Any travelling allowance that is of a non-recurrent nature;
6. Any travelling allowance payable to the employee to defray actual expenses incurred by him/her by the nature of his employment;
7. The value of any travelling concession;
8. Any sum payable to the employee to defray special expenses incurred by him/her by the nature of his employment;
9. Any end of year payment, or any proportion thereof, that is payable under Part IIA of the EO;
10. Any gratuity payable on completion or termination of a contract of employment; or
11. Any annual bonus, or any proportion thereof, that is of a gratuitous nature or that is payable only at the discretion of the employer.

7.4.2.2 Timing and Payment of Wages

S.23 of the EO provides that wages shall become due at expiry of the wage period and must be paid as soon as is practicable, but in any event no later than seven days after the end of the wage period. The court has interpreted 'as soon as is practicable' narrowly, and it is more than at the convenience of the employer.

The parties have the freedom to agree upon the paid period. However, if it is not explicitly stated to the contrary, it is presumed the paid period shall be one month according to s.22 of the EO.

When an employment contract is terminated, the employer shall pay the termination payment as soon as is practicable, but in any event no later than seven days after the termination of the contract.

The termination payment includes the equivalent of the amount earned by the employee for work done over the period commencing on the last expiry of his/her wage period and the



termination of contract, payment in lieu of notice, payment in lieu of unused annual leave, long service payment, severance payment and any other sum due to the employee in respect of his/her contract of employment as provided by s.25(2) of the EO.

7.4.2.3 Deductions from Wages

Employers can only make deductions from the wages of an employee or from any other sum due to the employee only for reasons that fall within one of the categories prescribed by the EO. Any agreement purported to contract out the restrictions shall be voided.

The following are the categories of lawful deductions that may be made by an employer from the wages of his/her employee as provided by s.32 of the EO:

1. Deductions for absence from work. If under the contract of employment, wages are calculated on a basis of time, the employer may make deductions from wages for absence from work, provided that such deductions shall not exceed a sum proportionate to the period of time during which the employee was absent from work.
2. Deductions for damage to or loss of goods, equipment or property belonging to the employer or lost money for which he/she is required to account. The employer must show that the damage or loss is directly attributable to the employee's neglect or default. The total amount recoverable by deduction in any one case shall not exceed the equivalent in value of the damage or loss suffered by the employer or HK\$300, whichever is the less, and the total amount of deduction in any one wage period shall not exceed a quarter of the wages payable to the employee.
3. Deductions in respect of meals supplied by the employer at the request of the employee.
4. Deductions for accommodation provided by the employer for the employee or his/her family.
5. Deductions for recovery of any advance or overpayment of wages by the employer to the employee.
6. Deductions for the recovery of any loan made by the employer to the employee with the consent of the employee.
7. Deductions for contributions paid by the employer for the purpose of any medical benefit scheme, superannuation scheme, retirement scheme or thrift scheme lawfully established for the benefit of the employee or his/her dependent, with the consent of the employee.
8. Deductions in respect of paternity leave under s.15L of the EO.
9. Deductions that are required or authorised under any enactment to be made from the wages of an employee.
10. Other deductions made at the request in writing of the employee and with the approval of the Commissioner for Labour.

In the case where the employee terminates the contract of employment without giving sufficient notice or payment in lieu of notice, the employer may deduct from the payment of termination an amount equal to the payment of wages in lieu of the outstanding notice as provided by s.25(3) of the EO.

Apply and Analyse 4

Apply

Jack has been working as a packaging worker for years for a Hong Kong employer (the 'Employer') who offers him fixed wages and a monthly attendance bonus if he has not been absent from work during the wage period. In May 2020, Jack found that his wages were lower than what had been stipulated in the contract. The Employer argued that no attendance bonus should be paid because Jack had taken two days of annual leave in May 2020, and such an arrangement was reasonable. However, Jack considered this as an unlawful deduction of his attendance bonus since he was entitled to annual leave, which was approved by the Employer.

Analyse whether the Employer is entitled to deduct Jack's attendance bonus from his salary payment under the Employment Ordinance (Cap.57) ('EO').

Analysis

The issue is whether it was legally permissible for the Employer to deduct Jack's attendance bonus from his May 2020 salary payment if Jack took annual leave within that wage period. Jack is entitled to annual leave under s.41AA of the EO, enjoying up to three days in a row if the leave entitlement does not exceed 10 days. However, s.32 of the EO allows deductions for absence from work, and such deductions must be proportional to the time of absence if the wages are calculated on a basis of time. On the facts, it is reasonably assumed that Jack's wages are not calculated on the basis of time because the wages and the attendance bonus are meant to be a fixed monthly amount. Therefore, the deduction of the attendance bonus is not an unlawful one under the EO.

7.4.2.4 Minimum Wage Ordinance (Cap.608)

An employee is entitled to be paid wages of not less than the minimum wage set out under the Minimum Wage Ordinance (Cap.608) ('MWO'). According to s.8(2) of the MWO, the minimum wage of an employee for a wage period is the amount derived by multiplying the total number of hours worked by the employee in the wage period by the minimum hourly wage rate for the employee. With effect from 1 May 2019, the current minimum hourly wage rate is HK\$37.5.

7.4.2.5 Liability to Pay Wages for Subcontractor's Employees

Under s.43C of the EO, the principal contractor or superior subcontractor is obliged to pay the wages of employees of subcontractors on any work that the subcontractor has been contracted to perform, when such wages are not paid within the payment period by the subcontractor. The liability is limited to the wages of an employee whose employment relates wholly to the work that the principal contractor has contracted to perform and whose place of employment is wholly on the site of the building works.

The employee must serve a notice in writing to the principal contractor within 60 days after the date on which the wages become due. The principal contractor shall pay the wages due within 30 days of receipt of the notice.

7.4.2.6 Record Keeping Obligations

Every employer is obliged to keep and maintain a record of the wage and employment history of each employee covering the period of his/her employment during the preceding 12 months. The wage records shall be kept at the employer's place of business or at the place where the employee is employed and for a period of six months after the employee ceases to be employed according to s.49A of the EO.

7.4.3 Mandatory Provident Fund ('MPF')

To provide adequate financial provision upon retirement, the Mandatory Provident Fund Schemes Ordinance (Cap.485) ('MPFSO') was enacted in 1995 for the purpose of funding benefits on retirement. The MPF scheme commenced on 1 December 2000.

The MPF Schemes Authority is established to oversee the administration and management of registered schemes and to provide control and regulation of the approved trustees in sales and marketing schemes, as well as giving advice in relation to the registered schemes.

S.7(1A) of the MPFSO provides that employers shall take all reasonable steps to ensure their relevant employees become a member of a registered MPF scheme. For the purpose of this section, 'relevant employee' means any employee between the age of 18 years and 65 years who has been under continuous employment for at least 60 days, with the exception of the following categories of employees:

1. Domestic employees;
2. Self-employed hawkers;
3. People covered by statutory pension or provident fund schemes, such as civil servants and subsidised or grant school teachers;
4. People from overseas who enter Hong Kong for employment for less than 13 months or who are covered by overseas retirement schemes; and
5. Employees of the European Union Office of the European Commission in Hong Kong.

Under the MPF scheme, both employers and employees are required to pay a minimum contribution of 5% of relevant income to an MPF scheme, subject to the minimum and maximum relevant income levels (Exhibit 7.2).

Monthly relevant income	Amount of mandatory contributions payable by employer	Amount of mandatory contributions payable by employee
Less than HK\$7,100	Relevant income × 5%	No contributions required
HK\$7,100 to HK\$30,000	Relevant income × 5%	Relevant income × 5%
More than HK\$30,000	HK\$1,500	HK\$1,500

► **EXHIBIT 7.2 Payable amounts under the MPF scheme for employers and employees**

S.2 of the MPFSO defines relevant income as any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite or allowance, expressed in monetary terms paid or payable by an employer (directly or indirectly) to that relevant employee in consideration of his employment under the contract, but does not include severance payments or long service payments (See Part IV.12 of the *Mandatory Provident Fund Schemes Authority Guidelines*).

Self-employed persons are also covered by the MPF scheme. They are required to contribute 5% of their relevant income to an MPF scheme, subject to the minimum and maximum relevant income levels (Exhibit 7.3).

Relevant income	Mandatory contributions
Less than HK\$7,100 per month (or HK\$85,200 per year)	No contributions required
HK\$7,100 to HK\$30,000 per month (or HK\$85,200 to HK\$360,000 per year)	Relevant income × 5%
More than HK\$30,000 per month (or HK\$360,000 per year)	HK\$1,500 per month (or HK\$18,000 per year)

► **EXHIBIT 7.3 Payable amounts under MPF scheme for self-employed persons**

► **Knowledge Check Questions**

Question 7

Describe how much an employer may deduct from the pay of his/her employee for damaging the goods to be shipped to the customers.

Question 8

Jenny is a foreign domestic helper working under a continuous employment contract of two years with a monthly salary of HK\$4,520. Explain how much Jenny and her employer are required to pay for the monthly mandatory provident fund contributions.

Question 9

David is working eight hours per day five days per week. His weekly salary is HK\$1,400. Explain whether his employer meets the minimum wage requirement.

7.5 REST DAYS, HOLIDAYS AND LEAVE

7.5.1 Rest Days

S.17 of the EO provides that employees who have been employed under a continuous contract by the same employer are entitled to not less than one rest day in every period of seven days. See Section 7.4.1 for the definition of continuous employment.



It is up to the employer to appoint the rest day and it may be set on a regular or irregular basis. If an irregular rest day is adopted, the employer must inform the employee of the dates of the appointed rest days either orally or in writing before the beginning of each month.

An employer may request an employee to work on a rest day in the event of a breakdown of machinery or plant or other unforeseeable emergency, but the employer should substitute another rest day within 30 days of the original rest day.

If the statutory rest day falls on a statutory holiday, the employer is obliged to provide another rest day in addition to the statutory holiday.

7.5.2 Statutory Holidays

S.39 of the EO provides that every employee regardless of the length of employment is entitled to the following 12 statutory holidays:

1. The first day of January
2. Lunar New Year's day
3. The second day of the Lunar New Year
4. The third day of the Lunar New Year
5. Ching Ming Festival
6. Labour Day, being the first day of May
7. Tuen Ng Festival
8. Hong Kong Special Administrative Region Establishment Day, being the first day of July
9. The day following the Chinese Mid-Autumn Festival
10. Chung Yeung Festival
11. National Day, being the first day of October
12. Chinese Winter Solstice Festival or Christmas Day (at the option of the employer)

If the employer requires the employee to work on a statutory holiday, he/she should provide a substituted holiday within 60 days before or after the statutory holiday. The employer is forbidden to make any form of payment to the employee in lieu of granting a holiday.

7.5.2.1 Statutory Holidays versus General Holidays

The General Holidays Ordinance (Cap.149) ('GHO') provides the following 17 general holidays, in which 12 of them overlap the statutory holidays under EO.

1. The first day of January
2. Lunar New Year's Day
3. The second day of the Lunar New Year
4. The third day of the Lunar New Year
5. Ching Ming Festival
6. Good Friday

7. The day following Good Friday
8. Easter Monday
9. Labour Day, being the first day of May
10. Buddha's birthday
11. Tuen Ng Festival
12. Hong Kong Special Administrative Region Establishment Day, being the first day of July
13. The day following the Chinese Mid-Autumn Festival
14. Chung Yeung Festival
15. National Day, being the first day of October
16. Christmas Day
17. The first weekday after Christmas

Any organisation that is not a bank, educational establishment, public office or government department is not obliged by the GHO to keep the day as a holiday on the general holidays. Employers and employees are free to negotiate any amount of payment as they see fit for any general holiday that is not a statutory holiday.

7.5.3 Annual Leave

S.41AA of the EO provides that every employee who has been under continuous employment for over 12 months is entitled to paid annual leave calculated in accordance with the EO (Exhibit 7.4).

Years of service	Annual leave entitlements
1	7
2	7
3	8
4	9
5	10
6	11
7	12
8	13
9 or above	14

► EXHIBIT 7.4 Paid annual leave according to years of service

Paid annual leave should be granted in an unbroken period unless the employee provides consent to do otherwise. Upon the employee's request, the paid annual leave can be divided in the following manner:

1. If the leave entitlement is not exceeding 10 days, up to 3 days can be granted separately and the balance should be taken consecutively.
2. If the leave entitlement is exceeding 10 days, at least 7 days should be taken consecutively.



An employee may choose to accept payment in lieu of the part of his/her leave entitlement exceeding 10 days. The daily rate of annual leave pay shall be in a sum equivalent to the average daily wages earned by the employee in the 12 months preceding the annual leave.

7.5.4 Sick Leave

An employee under a continuous contract with the employer for one month or more is entitled to sickness allowance if the following conditions are fulfilled:

1. The sick leave taken is not less than four consecutive days (except for a female employee for her pregnancy check-up or post-confinement medical treatment or miscarriage).
2. The sick leave is supported by an appropriate medical certificate.
3. The employee has accumulated a sufficient number of paid sick leave days immediately before the commencement of the sick days taken.

An employee shall not be entitled to sickness allowance under the following circumstances:

1. The employee without reasonable excuse refuses treatment by a company doctor of a medical scheme registered by the Director of Health or disregards the advice of the doctor.
2. The sickness day falls on a statutory holiday on which the employee is entitled to holiday pay.
3. Compensation is payable under the Employees' Compensation Ordinance (Cap.282).

The daily rate of sickness allowance is a sum equivalent to four-fifths of the average daily wages earned by the employee in the 12 months period prior to the sickness day.

An employee can accumulate paid sickness days at the rate of two paid sickness days for each completed month of the employee's employment during the first 12 months and four paid sickness days for each completed month of employment thereafter. For the entire employment period, an employee cannot accumulate paid sickness days in excess of 120 days at any one time.

7.5.5 Maternity and Paternity Leave

With effect from 11 December 2020, the statutory maternity leave was increased from 10 to 14 weeks by the Employment (Amendment) Ordinance 2020. The additional maternity leave pay is based on rate of maternity leave pay mentioned below (i.e. four-fifths of average daily wages) and the total four-week additional pay is capped at HK\$80,000 per employee. The HKSAR Government agrees to reimburse employers for their extra payment for the extended period of maternity leave. A female employee is eligible to paid maternity leave for 14 weeks if:

1. She has been employed under a continuous contract for not less than 40 weeks immediately before the commencement of her scheduled maternity leave.
2. She has given notice to her employer about her pregnancy and her intention to take maternity leave with the support of a medical certificate that confirms her pregnancy.
3. She has produced a medical certificate specifying the expected date of confinement (i.e. date of delivery of a child) if so required by her employer.

The daily rate of maternity leave pay is equivalent to four-fifths of the average daily wages earned by the employee in the 12 months period preceding the first day of the maternity leave. The average shall be calculated with the exclusion of any day that she is not paid her wage or full wage. The maternity leave pay should be paid on the normal pay day of the employee.

In case the length of employment under a continuous contract is less than 40 weeks, the employee is still eligible to maternity leave for 14 weeks without pay if she has informed her employer about her pregnancy and her intention to take maternity leave with the support of a medical certificate that confirms her pregnancy.

Upon agreement of her employer, the employee may start her maternity leave two to four weeks before the expected date of confinement. If no agreement has been reached, the maternity leave shall commence four weeks before the expected date of confinement.

A male employee is entitled to paternity leave for five days for each confinement of his spouse/partner if he:

1. Is the father of a newborn child or a father to be.
2. Has been employed under a continuous contract.
3. Has given notice to the employer about his intention to take paternity leave at least three months before the expected date of confinement and the date of his paternity leave before taking the leave. If he fails to give notice three months in advance, he must notify his employer the date of his paternity leave at least five days before his leave.

► Knowledge Check Questions

Question 10

Explain how the law would allow an employee to best utilise his/her annual leave.



7.6 TERMINATION OF EMPLOYMENT CONTRACT

An employer may only lawfully terminate an employment contract upon giving a valid notice or payment in lieu of notice to the employee or if there are sufficient grounds to justify a summary dismissal.

7.6.1 Termination by Notice or Payment in Lieu of Notice

Either the employer or the employee can terminate the contract of employment by giving notice or payment in lieu of notice. Where the contract is silent about the period of notice, not less than one month's notice must be given. Alternatively, an amount not less than one month's wages should be paid as provided by s.6 of the EO. The parties may not contract out the notice period but may waive it at the time notice is required.



Within the first month of the probation period, either the employer or employee may terminate the employment contract without giving notice of termination. After the first month of the probation period, the employment contract may not be terminated by less than seven days' notice.

Notice may be given orally or in writing but it must be made in clear and unambiguous language in order to be effective. The notice must be made to the employee personally. It does not come into effect until the employee has actual knowledge of the notice. On the other hand, the employee needs not give notice of resignation to the employer personally. The parties are free to agree on the method of service of the notice.

The parties may agree that a payment of the wage can serve in lieu of notice to terminate the employment contract. The payment shall be equivalent to the full amount of wage for the notice period. A payment in lieu of notice would bring an end to the employment contract immediately and it may be made unilaterally.

7.6.2 Reasons for Dismissal

An employer is not obliged under the common law or statutory duty to provide the reason of dismissal of an employee at the time of termination. However, when an employee has been employed under a continuous period of not less than 24 months, he/she is presumed to have been dismissed because the employer intends to extinguish or reduce any rights, benefit or protection conferred by the EO, unless the employer can justify the dismissal by a valid reason.

S.32K of the EO provides that the following shall be a valid reason recognised by law:

- (a) The misconduct of the employee (i.e. persistent lateness, drunkenness, fighting, gambling, immorality, etc.).
- (b) The incapability or disqualifications of the employee for performing work of the kind that he/she was employed by the employer to do.
- (c) The redundancy of the employee or other genuine operational requirements of the business of the employer.
- (d) The fact that either the employee or the employer or both would be in contravention of the law if the employee were to continue in the employment of the employer.
- (e) Any other reasons that in the opinion of the court or the Labor Tribunal were sufficient cause to warrant a summary dismissal.

If the employer is unable to justify the dismissal with a valid reason pursuant to s.32K of the EO, the dismissal is deemed to be unreasonable. In this event, the employee may claim against the employer for **unreasonable dismissal**. In determining whether a dismissal is unreasonable, the court will consider all surrounding circumstances including the length of employment and the benefits or protection conferred by the EO, which may be extinguished or reduced by reason of the dismissal as provided by s.32L(2) of the EO.

Thomas Vincent v South China Morning Post Publishers (2005)
4 HKLRD 258 (CFA)

Facts: The plaintiff was a sports sub-editor with South China Morning Post Publishers ('SCMPP'). He had plagiarised many parts of an article from the Sunday Times and passed it off as his own in the paper's magazine, Premier Soccer. SCMPP dismissed him for his misconduct.

Issue: Was it an unreasonable dismissal.

Held: The Court of Final Appeal affirmed that the conduct of the employee within the meaning of s.32K of the EO must be something factual and real. The conduct of the employee relied upon by the employer must be relevant to dismissal. Ordinarily speaking, the employer should not instantly dismiss a first offender without any warning or granting him a further chance. In the present case, the dismissal was held to be unreasonable because SCMPP dismissed the plaintiff without any formal disciplinary process or any prior warning.

In the opening case, Julie was not informed of the reason for which People's Choice terminated her employment. As stated above, People's Choice was not obliged to provide Julie with a reason at the time of termination. People's Choice would have to justify their decision when Julie challenged the legitimacy of her dismissal.

People's Choice may rely on the grounds set out in s.32K of the EO to justify their decision to dismiss Julie, particularly on the grounds of misconduct. Generally, occasional minor lateness does not warrant a reason for dismissal. Only when the lateness has become persistent and repeated and the employer has given sufficient warning is the employer entitled to dismiss the employee for misconduct. According to the facts of the opening case, three warning letters were issued to Julie about her lateness and absenteeism. The final warning was given the week before her dismissal. In the circumstances, People's Choice has justified the dismissal by reason of misconduct.

Ying Kee Safes and Furniture Limited v Wong Yam Tak HCLA 105/1995,
unreported

Facts: Wong was summarily dismissed by Ying Kee Safes and Furniture Ltd ('Ying Kee') without notice and payment in lieu of notice. Wong filed a case against Ying Kee at the Labor Tribunal for wrongful dismissal. The Presiding Officer of the tribunal found that there were no fixed working hours and Wong could call it a day so long as he finished his assignments. It was implicitly held in the Labor Tribunal's finding that since there is no specific work time, Wong did not commit misconduct. The Labor Tribunal's ruled that Ying Kee failed to justify the dismissal and awarded Wong a sum of HK\$83,000. Ying Kee appealed the Labor Tribunal's decision.

Issue: Whether Ying Kee was entitled to dismiss Wong by reason of wilful misconduct.

***Ying Kee Safes and Furniture Limited v Wong Yam Tak* HCLA 105/1995, unreported (continued)**

Held: Despite there being no specific work hours, Wong's supervisor did speak to him about his lateness. Ying Kee also introduced a punch card system and Wong was requested to clock in for work. The new system implied that there were particular work hours. The Presiding Officer's finding was unsupported by the evidence. Lateness is considered by law as an unauthorised absence and is a form of misconduct. Wong was warned about his lateness and was requested to report for work punctually. Notwithstanding this requirement, Wong persisted in being late to work. Whilst an isolated incident of lateness may not warrant dismissal, persistent and repeated lateness is a sufficient ground for summary dismissal by reason of disobeying a lawful order.

7.6.3 Summary Dismissal

It is implied in an employment relationship that there is a mutual duty of good faith on both parties. In the case where the conduct of the employee amounts to a serious breach of good faith, the employer may summarily dismiss an employee without notice or payment in lieu of notice. Summary dismissal is considered to be a drastic measure. The employer should treat it as last resort.

S.9(1)(a) of the EO provides statutory grounds for **summary dismissal** when the employee has committed very serious misconduct or fails to improve himself/herself after repeated warnings, such as:

1. Willfully disobeys a lawful and reasonable order;
2. Misconducts himself/herself, such conduct being inconsistent with the due and faithful discharge of his/her duties;
3. Is guilty of fraud or dishonesty;
4. Is habitually neglectful in his/her duties.

S. 9(1)(b) of the EO further provides that the employer can also rely on any other ground on which he/she would be entitled to terminate the contract without notice at common law.

The EO specifically prohibits employers to summarily dismiss an employee for taking part in a strike.

7.6.4 Statutory Restrictions on Termination of Employment Contract

An employer may be liable for unlawful dismissal if he/she dismisses the following employees:

1. A pregnant female employee;
2. An employee on paid sick leave;
3. An employee who is a witness in the court against the employer;
4. An employee who is a trade union member who actively seeks to improve working conditions; or
5. An injured employee before having settlement on the compensation.

In the event the above employee has committed serious misconduct, the employer may still summarily dismiss that employee if the criteria for summary dismissal has been satisfied.

7.6.5 Remedies for Unlawful Dismissal

An employee who has been unlawfully dismissed by his/her employer may be entitled to one of the three statutory remedies: (1) an order for reinstatement, (2) an order for re-engagement or (3) an award of terminal payment as provided by ss.32N and 33M of the EO.

An **order for reinstatement** is an order that the employer shall restore the dismissed employee to his previous employment position with the same rights and privileges, including seniority and pension rights. The court or tribunal must first consider an order for reinstatement prior to giving consideration of whether to make an order for re-engagement.

An **order for re-engagement** is an order that the employee shall be engaged by the employer, or by a successor of the employer or by an associated company, in an employment on terms comparable to his/her original terms of employment or in other suitable employment that the court thinks fit.

With effect of the Employment (Amendment) (No.2) Ordinance 2018, when an employee makes a claim for reinstatement or re-engagement against his/her employer for unreasonable or unlawful dismissal, the Labor Tribunal may make an order for reinstatement or re-engagement without the employer's consent if such an order is appropriate and reasonably practicable. If the employer failed to comply with the order, the employee may be entitled to an additional award of a sum equivalent to three times the employee's average monthly salary, subject to a maximum of HK\$72,000. The employer may be subject to a criminal charge for wilfully and without reasonable excuse failing to pay the further sum.

If no order for reinstatement or re-engagement is made, the court or tribunal may make an award for terminal payments to be payable by the employer to the employee as it considers just and appropriate in the circumstances according to s.32O of the EO.

7.6.6 Constructive Dismissal

S.10 of the EO provides that an employee may terminate his/her contract of employment without notice or payment in lieu of the following conditions:

- (a) If he/she reasonably fears physical danger by violence or disease such as was not contemplated by his/her contract of employment expressly or by necessary implication.
- (aa) (i) If he/she was employed under the contract for not less than five years; and (ii) if by a certificate in the form specified by the Commissioner under s.49 and issued by a registered medical practitioner or registered Chinese medicine practitioner, he/she is certified as being permanently unfit for a particular type of work specified in the certificate for a reason or reasons stated therein; and (iii) if he/she is engaged in that type of work under the contract.
- (b) If he/she is subjected to ill-treatment by the employer.
- (c) On any other ground on which he/she would be entitled to terminate the contract without notice at common law.



When the employer has conducted himself/herself in such a way that amounts to a repudiation or fundamental breach of what goes to the root of the employment contract, the employee may unilaterally terminate the employment by reason of constructive dismissal.

What amounts to a fundamental breach is a matter of fact that is to be determined in the context. Circumstances that have been found to be sufficient grounds for constructive dismissal include: (1) failure to provide a sufficient amount of work, (2) failure to pay statutory remuneration and benefits, (3) transfer without consent of the employee, (4) failure to provide a safe and decent environment at work and (5) unlawful discriminatory conduct.

7.6.7 Severance Payments and Long Service Payments

7.6.7.1 Severance Payments

Under s.31B(1) of the EO, an employee is eligible for **severance payment** if he/she has been employed under a continuous contract for not less than 24 months and is dismissed by reason of redundancy or is laid off. If the employee quits voluntarily, he/she cannot claim for severance payment.

What amounts to redundancy is a question of fact. The test is whether the employee who has been dismissed is surplus to the employer's requirement. According to s.31B(2) of the EO, an employee is taken to be dismissed by reason of redundancy if the dismissal is due to the fact that:

1. The employer closes or intends to close his/her business.
2. The employer has ceased, or intends to cease, the business in the place where the employee was employed.
3. The requirement of the business for the employee to carry out work of a particular kind, or for the employee to carry out work of a particular kind in the place where the employee was employed, ceases or diminishes or is expected to cease or diminish.

An employee is considered to be laid off if the total number of days on which no work is provided or no wages are paid exceeds half of the total number of normal working days in any four executive weeks or one-third of the total number of normal working days in any 26 consecutive weeks.

7.6.7.2 Long Service Payments

An employee who has worked for the employer for not less than five years under a continuous contract who is dismissed but not summarily dismissed due to his/her serious misconduct, or due to redundancy, is entitled for long service payment if one of the following circumstances occurs:

1. The employee dies.
2. If the employee terminates his/her employment as a result of illness.
3. The employee retires after the age of 65.

The amount of severance payment and long service payment is calculated by the following formula:

1. For a monthly paid employee:
 $\text{'2/3 of the last month's wages'} \times \text{'reckonable years of service'}$
2. For daily-rated/piece-rated employee:
 $\text{'any 18 days' wages chosen by the employee out of his/her last 30 normal working days'} \times \text{'reckonable years of service'}$

The maximum amount of severance payment or long service payment is HK\$390,000.

Apply and Analyse 5

Apply

Walter was a production worker at Delta Manufacturing Limited ('DML') for over three years. Walter had always worked at DML's factory at Sheung Shui, New Territories. A week ago, DML decided to move all its production workers to its new factory at Nan Shan, Shenzhen, because of a lack of work in Hong Kong and the factory lease was to expire in a month. Walter refused to move to Nan Shan, which took him more than 1.5 hours to travel from home to the work place. Walter was then dismissed by DML management without notice.

Analyse whether Walter had a claim of severance payment against DML.

Analysis

The starting point for a redundancy claim is that Walter must satisfy the following conditions under s.31B(1) of the Employment Ordinance (Cap.57) ('EO'):

1. He has been in at least two years' continuous employment; and
2. He has not refused suitable alternative employment.

Walter has over two years of continuous service and the issue is whether he has been dismissed for redundancy. Under s.31B(2) of the EO, there is a statutory presumption that the dismissal was due to redundancy. Thus, an employee is taken to be dismissed by reason of redundancy if, under s.31B(2) of the EO, the dismissal is due to the fact that:

1. The employer closes or intends to close its business;
2. The employer has ceased or intends to cease, the business in the place where the employee was employed; or
3. The requirement of the business for employees to carry out work of a particular kind ceases or diminishes or is expected to cease or diminish.

S.31B(2) of the EO is likely to be applicable here as there was a lack of work at the factory in the New Territories and DML decided to move all its production workers to its new factory at Shenzhen. The move provided strong evidence to show that DML intended to close its business in Hong Kong and set up the same business in mainland China.



Apply and Analyse 5 (continued)

On the facts of this scenario, there is no mention that a clause in the employment contract required Walter to work between different work places, and such a term might not be implied, since Walter had always worked in the old factory. Walter appeared to have been made redundant according to the above analysis and was entitled to severance payment.

Apply and Analyse 6

Apply

David was the editor of a worldwide financial blog owned by a finance company, RP Finance Ltd. David was not involved in the publication of materials on the blog. As a standard procedure, any materials published on the blog must be reviewed and approved by the management of RP Finance Ltd before being published. Last month, an article about a renowned investment banker was published on the financial blog without being reviewed and approved. The article contained a hyperlink to an anti-semitic video clip without any further comment. There was no suggestion that the author of the article intended to associate the investment banker with the video. The management of RP Finance Ltd worried that the investment banker would sue the blog for defamation. RP Finance Ltd summarily dismissed David by reason of gross misconduct. In the termination email, it was stated that the article contained highly inappropriate reference of an anti-semitic video and David as the editor of the blog should take full responsibility for the publication of the article.

David was very upset about his dismissal and wanted to sue his employer, RP Finance Ltd, for wrongful dismissal. Analyse whether David had a claim and what remedy was he entitled to.

Analysis

S.9(1) of the Employment Ordinance (Cap.57) provides that an employer may summarily dismiss an employee if that employee has committed very serious misconduct or failed to improve after repeated warnings. Summary dismissal is regarded as the last resort, so only in extraordinary circumstances should an employer summarily dismiss an employee without any prior warnings.

In the present case, there is no evidence to suggest that David has habitually misconducted himself or neglected his duties. The termination email has specifically attributed the publication of the article as the reason to dismiss David.

The article only contained a hyperlink to an anti-semitic video without any further comment. There was no evidence to suggest that the article intended to associate the investment banker with the video. RP Finance Ltd failed to establish any real risk that it will be exposed to any potential lawsuit for defamation. Moreover, David was only the editor of the blog and he did not take any responsibility in its publication. It was not David's fault that the article was mistakenly published before it was reviewed and approved. Hence, David's dismissal was not justified.

David can seek for an order of reinstatement or terminal payment.

► Knowledge Check Questions

Question 11

Describe the remedies that the Labour Tribunal would award to a female employee if she is terminated upon her application to her employer for maternity leave.

Question 12

Describe one fundamental difference between the action on the grounds of summary dismissal and that of constructive dismissal.

Question 13

Explain when an employee becomes eligible for a severance payment.

► 7.7 LABOUR TRIBUNAL

The Labour Tribunal was established upon the enactment of the Labour Tribunal Ordinance (Cap.25). The Labour Tribunal has an exclusive jurisdiction to enquire into, hear and determine any claim for damage arising from failure of a person to comply with the provisions of the EO, the MWO or the Apprenticeship Ordinance (Cap.47). The Labour Tribunal does not have jurisdiction in relation to any claims founded in tort, claims involving bankruptcy or winding-up and any claim specified in the Schedule of the Minor Employment Claims Adjudication Board Ordinance (Cap.453).

► Knowledge Check Questions

Question 14

Describe the jurisdiction of the Labour Tribunal.

► 7.8 DISCRIMINATION LAW

Hong Kong has four major anti-discrimination ordinances: (1) Sex Discrimination Ordinance (Cap.480) ('SDO'), (2) Disability Discrimination Ordinance (Cap.487) ('DDO'), (3) Family Status Discrimination Ordinance (Cap.527) ('FSDO') and (4) Race Discrimination Ordinance (Cap.602) ('RDO').



To enhance implementation of the anti-discrimination ordinances into the workforce, the Equal Opportunities Commission ('EOC') issued four codes of practice (See *Code of Practice on Employment* under the SDO), which provide practical guidelines for employers to eliminate discrimination, promote equality of opportunity and eliminate harassment.

Not all differentiation treatments constitute unlawful discrimination; it may be legally justified if the differentiation is reasonable and the objective is to achieve a purpose that is legitimate under the law. There are two types of discriminations: (1) direct discrimination and (2) indirect discrimination.

7.8.1 Direct Discrimination

Direct discrimination occurs when a person or an organisation treats another person less favourably on the grounds of gender, sexual orientation, marital status, pregnancy, disability, family status or race. Classic examples of direct discrimination in employment are when an employer rejected a job applicant because of his sexual orientation or refuses to promote a female employee because she is pregnant.

In *Secretary for Justice v Chan Wah and Others* (2000) 3 HKLRD 641, the Court of Final Appeal adopted the 'but for' test enunciated by Lord Goff in *R v Birmingham City Council Ex parte Equal Opportunities Commission* (1989) 1 AC 1155. There is discrimination if the less favourable treatment is based on a prohibited ground. The 'but for' test is an objective one. The intention or motive of the discriminator may be relevant to determine the appropriate remedies, but it is not necessary to consider such intention and motive to establish liability.

In comparing with a real or hypothetical comparator, the court would determine whether the less favourable treatment would still occur but for the prohibited ground if all other relevant circumstances are equalised. There must be a causing link between the less favourable treatment and the prohibited ground.

The burden of proof is on the applicant who claims discrimination on a balance of probabilities that the discrimination occurs on the prohibited ground.

In cases where the reason for differentiation is obvious, the court would focus on finding the appropriate comparator. In others, where the reason why is unclear, the court would adopt a two-part test as in *M v Secretary for Justice*.

***M v Secretary for Justice* (2009) 2 HKLRD 298**

Facts: P was employed by the Government as an Administrative Officer on three years' probation. Despite the fact that P was given opportunities to improve his performance, P still underperformed and was seen to be 'under severe stress'. Unknown to P and his employer, P was in fact suffering from a psychiatric condition known as Generalised Anxiety Disorder. P's illness was the cause of his poor performance at work. P was recommended to resign or otherwise his employment would be terminated. P brought an action against the Government for discrimination by reason of his disability under s.6(a) of the DDO. His claim was dismissed at the first instance and P appealed.

M v Secretary for Justice (2009) 2 HKLRD 298 (continued)

Issue: What is the appropriate approach to determine whether P was treated less favourably by reason of his disability?

Held: The Court of Appeal affirmed that there is a two-part test: (1) a comparison of the complainant's treatment with the treatment of a suitable comparator (the comparator question); (2) if the less favourable treatment was established, the court would then consider whether the less favourable treatment was 'on the grounds' of the complainant's disability (the causation question).

The comparison 'shall be such that relevant circumstances in the one case are the same, or not materially different, in the other'. Hence, the disabled person should be compared with an able-bodied person having the same condition. Given the circumstances, P has failed to demonstrate that he was treated unfavourably in comparison to his able counterpart.

As to the causation test, the employer's actual knowledge of P's disability is irrelevant. Proof of conscious unfairness is not necessary. It is sufficient if the employer has treated P unfavourably because of his manifestation of a disability. Knowledge of the manifestation of a disability was knowledge of the disability itself. In this present case, the fact that P was dismissed by reason of his underperformance and disturbed behaviour satisfies the test.

This two-part test is not a watertight compartment. As held in *Shamoon v Chief Constable of Royal Ulster Constabulary* (2003) ICR 337, if identifying the appropriate comparator is a striking problem, the court should focus on the factual enquiry of the reason behind the less favourable treatment in question instead (See *Sit Ka Yin v Equal Opportunities Commission* (2010)).

Sit Ka Yin Priscilla v Equal Opportunities Commission (2010) HKEC 208

Facts: P was a former Director of the Gender Division employed by the Equal Opportunities Commission. She was suing her former employer and supervising officers for disability and sex discrimination. The gist of P's sex discrimination claim was that she did not receive the same promotional opportunities and treatments in comparison with her male counterpart. For her disability discrimination claim, P complained that despite their knowledge of P's disabilities, the EOC terminated P's employment without giving any warning or explanation. Her supervisors also made a number of unjustifiable criticisms against P for her work performance whilst ignoring the poor work performance of other employees.

Issue: How should the court approach the evidence in cases involving multiple complaints over a long period of time?

Held: In cases involving a lot of complaints and incidents over a long period of employment, the approach to evidence is to look at it in the round, in the context of employment and human relations, and the dignity and rights accorded to a person by equal opportunities legislation.



7.8.2 Indirect Discrimination

Indirect discrimination occurs when a person or an organisation makes a decision or puts in place a particular policy, practice or procedure that appears to treat everyone equally, but which in practice leads to a less favourable treatment on a particular group. An example of indirect discrimination in employment is while all recruitment criteria should be equal for all applicants in both genders, setting a height standard that is favourable to male applicants discriminates against female applicants.

The court takes a group approach in the comparison test. The focus of the test is on the population of the claimants as a whole and not the individuals. The appropriate pool of comparators should be drawn from the pool of population who share similar qualities.

University of Manchester v Jones (1993) ICR 474

Facts: The applicant, who obtained her university degree as a mature student, applied for a job opening at the University of Manchester as a Career Advisor. The job posting specified that the university was looking for candidates between the ages of 27 and 35. At the age of 46, A was not selected for an interview. In the letter explaining his decision, the head of the department stated that the university posted such age criteria to balance the number of older persons already on the advisory staff. A sued the university on the grounds of sex discrimination. A argued that the age range set by the university was a condition rather than a mere preference, which brings female mature students into a less favourable position. An Industrial Tribunal found that the age range posted by the university constituted sex discrimination. The university appealed and the Employment Appeal Tribunal upheld the appeal and reversed the decision of the Industrial Tribunal.

Issue: What is the appropriate pool of comparators in these circumstances?

Held: The Industrial Tribunal had set the pool of comparators to be students who had obtained degrees at the age of 25 or over, and found that the proportion of women graduates having obtained degrees as mature students who could comply with the condition was considerably smaller than the proportion of male mature students. The Court of Appeal affirmed the Employment Appeal Tribunal's decision in finding that the industrial tribunal had erred in choosing the pool of comparators. The correct pool, or relevant population, for comparison was that of all men and women who graduated with the necessary experience.

In *Equal Opportunities Commission v Director of Education* (2001) 2 HKLRD 690, the court affirmed that the justification test for indirect discrimination consists of three steps: (1) whether the difference in treatment pursued a legitimate aim; (2) the differentiation treatment is rationally connected to the legitimate aim; and (3) it is necessary to accomplish the legitimate aim. In applying the test, the Court of Appeal in the *University of Manchester v Jones* case affirmed the approach to take an objective balance between the discriminatory effect of the condition and the reasonable needs of the person applying the condition.

Although intention or motive of the discriminator is unnecessary to determine liability, it is relevant to assessment of appropriate damages.

Apply and Analyse 7

Apply

Due to the economic downturn, a food processing company has decided to select employees in the 220-member workforce to join the redundancy program. The employer finally dismissed 57 employees, 45 of whom are female. Before the redundancy program, there were a total of 98 female employees.

Kathleen is one of the employees to receive the pink slip (i.e. termination notice). She was informed by the Human Resources Department that 18 women and 12 men were terminated in the redundancy program.

Analyse whether Kathleen had been discriminated in the redundancy program.

Analysis

By using a redundancy program indifferently to both genders in their employment termination, the company is not discriminatory on the grounds of gender. However, on the facts the number of women who have been laid off (45 out of 98) is significantly higher than that of men. The company is found to have acted unlawfully since the redundancy program is in relation to indirect discrimination.

Indirect discrimination occurs when an organisation makes a decision based on a policy, practice or procedure that appears to treat both genders equally, but which leads to a less favourable treatment on one gender. This has occurred when the redundancy program is discriminatory to women in that a greater number of women are laid off than that of men. As it appears in the case that the employer has treated the women less favorably than men, the employer is found to have indirectly discriminated against women in the redundancy program.

7.8.2.1 Harassment

Harassment consists of any unwelcome behaviour in circumstances where a reasonable person would have anticipated that the harassed person would be offended, humiliated or intimidated.

7.8.2.2 Victimisation

Victimisation arises when the discriminator treats a person less favourably than other persons in comparable circumstances because either (1) that other person, or any person, has brought proceedings under one of the anti-discrimination ordinances; (2) the victimised person, or a third party, has given evidence or information in connection with proceedings brought against the discriminator under the ordinance; (3) the victimised person has otherwise done anything under or by reference to one of the anti-discrimination ordinances in relation to the discriminator; or (4) the victimised person has alleged that the discriminator or any other person has committed an act that would amount to a contravention of one of the ordinances.

Victimisation is a form of direct discrimination. In *Chang Ying Kwan v Wyeth (HK) Ltd* (2001) 2 HKC 129, the court affirmed that the same 'but for test' applies to cases of victimisation.

Chang Ying Kwan v Wyeth (HK) Ltd (2001) 2 HKC 129

Facts: Chang was employed as a Product Manager in Wyeth's Pharmaceutical Marketing Division. She became pregnant two years after she joined the company. She complained that she was subject to unlawful discrimination because of her pregnancy. She was forced by the executives of Wyeth to resign. After her refusal to resign, she made a complaint to the Equal Opportunities Commission ('EOC') against Wyeth. Since then she has been victimised because she filed a complaint with the EOC. Wyeth has unreasonably refused to increase her salary and put her under unnecessary and unreasonable pressure. Her complaint to the management was not properly investigated.

Issue: Was Chang subject to discrimination and victimisation because she was pregnant and she has filed a complaint with the EOC.

Held: Chang joined Wyeth in 1995. She received a warning in December 1996; notwithstanding the warning she received a salary increase of 10% in January 1997.

Chang informed Wyeth's Human Resources Department that she was pregnant in September 1997. She was asked by Wyeth to either resign or demote to the position of Marketing Assistant in October 1997. She did not receive any salary increase despite other employees receiving an increase. She was required to make various reports to the management but other product managers were not subject to the same requirement. She also received a warning for taking unauthorised leave, but other employees in a similar situation had never received any warning.

The court refused to accept Wyeth's explanation that Chang was asked to resign or transfer to another position because of her unsatisfactory performance. It was held that Chang was discriminated and victimised because of her pregnancy.

7.8.3 The Sex Discrimination Ordinance (Cap.480)

The SDO is enacted for the purpose of eliminating sex discrimination on the grounds of marital status or pregnancy, and sexual harassment and promoting equality of opportunity between men and women generally. Under the SDO, it is unlawful to discriminate in employment on the prohibited grounds, to sexually harass another person in employment and to discriminate in employment by way of victimisation.

Sexual harassment consists of two types. The first type is commonly known as 'abuse of authority' or '*quid pro quo*', which includes unwelcome sexual advances, unwelcomed requests for sexual favour or other unwelcome behaviour in circumstances where a reasonable person would have anticipated that the harassed person would be offended, humiliated or intimidated. The second type is commonly referred to as 'hostile environment' harassment, which focuses on the creation of a hostile sexual harassment environment for an individual.

The court takes a subjective approach in determining whether the behaviour is unwelcomed by the victim. The Court of Appeal in *Chen v Tamara Rus* (2001) 3 HKLRD 541 affirmed that the word 'unwelcome' related to the parties concerned. Once it was established that the event under consideration was unwelcomed by the victim, it is a matter of objective assessment of whether it could be anticipated that he/she would be offended or humiliated or intimidated by the event.

B v King of the King Group Limited DCEO 9/2010

Facts: B was employed by the defendant, King of the King Group Ltd, as a dim sum worker. One of her co-workers sexually harassed B by deliberately touching her chest and making sexual remarks about B. B complained to the defendant. B wanted to report the matter to the police, but the defendant persuaded her not to do so and promised to dismiss that co-worker. B agreed not to report to the police if that co-worker apologised to her. The defendant arranged a meeting, during which that co-worker apologised but in a very disrespectful manner. Feeling insulted, B slapped that co-worker in his face. B was then dismissed by the defendant because fighting at work constituted misconduct. B filed a complaint with the Equal Opportunities Commission against the defendant for vicariously being liable for the sexual harassment that B experienced at work.

Issue: Whether the defendant shall be vicariously liable because it has failed to take reasonable steps to prevent sexual harassment to occur in the workforce.

Held: The court held that the acts committed by B's co-worker amounted to unlawful sexual harassment. The defendant is liable for failing to take reasonable steps to prevent B from being sexually harassed by her co-worker. B's dismissal was unrelated to her being sexually harassed or being a female. The court awarded B HK\$80,000 as damages for B's emotional distress.

7.8.4 The Disability Discrimination Ordinance (Cap.487)

The DDO is mandated to eliminate unlawful discrimination, harassment and victimisation against persons on the grounds of their or their associates' disability in respect of their employment, accommodation, education, access to partnerships, membership of trade unions and clubs, access to premises, educational establishments, sporting activities and the provision of goods, services and facilities.

Disability harassment occurs when a person engages in unwelcome conduct on account of another person's disability, or the disability of an associate of that person in circumstances in which a reasonable person, having regard for all the circumstances, would have anticipated that the person would be offended, humiliated or intimidated by that conduct as provided by s.3(6) of the DDO. It also contains the subjective unwelcome conduct test and the objective reasonable person test.

7.8.5 The Family Status Discrimination Ordinance (Cap.527)

The FSDO is enacted to eliminate unlawful discrimination on the ground of family status.

Family status means the status of having responsibility for the care of an immediate family member. Immediate family member refers to someone who is related to the person concerned by blood, marriage or adoption of affinity. Examples include father, mother, brothers, sisters, husband, wife, sons, daughters, grandparents, grandchildren, nieces, nephews, father-in-law, mother-in-law and the spouse's brothers and sisters.



Direct discrimination in relation to family status occurs when a person who has family status or a particular family status is treated less favourably than a person who does not have family status or the same family status, in the same or not materially different circumstances according to s.5(a) of the FSDO.

Indirect discrimination in relation to family status occurs when a requirement or condition exists, which on the face of it appears neutral, but in fact has an unfair effect on persons with family status or a particular family status as provided by s.5(b) of the FSDO.

In the opening case, Julie's explanation of being absent or late was because she had to take care of her sick child. In this case, Julie may rely on s.8(2)(c) of the FSDO, which provides that it is unlawful for the employer to dismiss an employee by reason of her family status.

Just like any other claim for direct discrimination, Julie had to show on a balance of probabilities that she was treated less favourably by People's Choice than a person who does not have such a family status. The 'but for' test is applied. In other words, Julie had to demonstrate that but for her being a single mother who needs to take care of her child, People's Choice would not have dismissed her. Once the court is satisfied that the circumstances that gave rise to Julie's dismissal disclosed a possibility that she was being discriminated, it would turn to People's Choice for an adequate explanation. Arguably on the facts provided, Julie was terminated due to her family status as People's Choice had no issue with Julie's work performance. Julie's family status was made known to People's Choice. If People's Choice offered no adequate explanation, the court may infer discrimination as a matter of common sense and consequently held People's Choice liable for discrimination and award damages to Julie.

7.8.6 The Race Discrimination Ordinance (Cap.602)

The RDO is enacted to eliminate unlawful discrimination, harassment and vilification on the grounds of race, to prohibit serious vilification of persons on those grounds and to promote equality and harmony between people of different races. Vilification is defined as any public activity to incite hatred towards, serious contempt for or severe ridicule of another person(s) on the grounds of race.

Racial harassment occurs when a person engages in unwelcome conduct towards another person, on the grounds of the race of that person or their near relative, in circumstances in which a reasonable person, having regard for all the circumstances, would have anticipated that the other person would be offended, humiliated or intimidated by that conduct according to s.7(1) of the RDO. It also arises when a person alone, or together with other persons, engages in conduct that creates a hostile or intimidating environment for that other person (s.7(2) of the RDO).

Racial vilification occurs when a person, by any activity in public, incites hatred towards, serious contempt for or severe ridicule of another person or members of a class of persons on the ground of their race. A classic example is posting demeaning or degrading remarks on websites to incite hatred towards people of a racial group.

7.8.7 Exceptions

The ordinances contain a number of exceptions with differentiated treatments that are not considered discrimination. Some of the major exceptions are:

1. **Genuine occupational qualifications**

The SDO, DDO and RDO all provide for the exception of general occupational qualifications, which only applies in very limited circumstances. The onus is on the employer to demonstrate, in these circumstances, that the exception applies to the position in question. This exception applies to recruitment criteria, opportunities for promotion or transfer to or training for such employment.

2. **A person with a disability who is unable to carry out the inherent requirements of the job**

S.12(2) of the DDO specifically provides that it is not discrimination against a disabled person, if taking into account (1) the person's past training, qualifications and experience relevant to the particular employment, and (2) where the person is already employed by the employer, the person's performance as an employee and all other relevant factors that is reasonable to take into account, the person because of his/her disability would be unable to carry out the inherent requirements of the particular job, or, in order to carry out those requirements, would impose unjustifiable hardship on the employer.

When determining what constitutes unjustifiable hardship, the court will take into account all relevant circumstances of the particular case including: (1) the reasonableness of any accommodation to be made available to a person with a disability, (2) the nature of the benefit or detriment likely to accrue or be suffered by any persons concerned, (3) the effect of the disability of a person concerned and (4) the financial circumstances of the estimated amount of expenditure required to be made by the employer according to s.4 of the DDO.

3. **Religion**

S.22(1) of the SDO provides for the exception to discriminate in cases with employment for the purposes of an organised religion where the employment is limited to one sex so as to comply with the doctrines of the religion or to avoid offending the religious sensibilities common to its followers.

S.23 of the RDO also provides a similar exception.

7.8.8 Remedies

The four major anti-discrimination ordinances each provide a number of possible remedies that the court may order (s.76(3A) of the SDO, s.72(4) of the DDO, s.54(3) of the FSDO and s.70(4) of the RDO):

1. Make a declaration that the respondent has engaged in conduct or committed an act that is unlawful under the relevant ordinance and order the respondent not to repeat the act.



2. Order that the respondent shall perform any reasonable act or course of conduct to redress any loss or damage suffered by the claimant.
3. Order that the respondent shall employ or re-employ the claimant.
4. Order that the respondent shall promote the claimant.
5. Order that the respondent pay to the claimant damages by way of compensation for any loss or damage suffered by reason of respondent's conduct or act.
6. Order that the respondent shall pay to the claimant punitive or exemplary damages.
7. Make an order declaring void in whole or in part any contract or agreement made in contravention of the relevant ordinance.

In *Ma Bik Yung v Ko Chuen* (2002) 2 HKLRD 1, the Court of Final Appeal held that the court has a wide discretion in assessing the appropriate remedies in the circumstances of the case. The court should take a global approach of the whole circumstances. However, the court shall not force an unwilling respondent to apologise for his conduct.

7.8.9 Discrimination Legislation (Miscellaneous Amendments) Ordinance 2020

Discrimination Legislation (Miscellaneous Amendments) Ordinance 2020 ('DL(MA)O') came into force in June 2020. The DL(MA)O enhances the protection from discrimination and harassment in the four anti-discrimination Ordinances (i.e. the SDO, the DDO, the RDO and the FSDO as discussed in previous sections). The amendments have given wider interpretations and expanded scopes of protection, thus providing more comprehensive protection against discrimination and harassment.

The SDO, the DDO, the RDO and the FSDO, after DL(MA)O, implement the following amendments:

Harassment at Workplace

New provisions in the SDO (s.23A), the DDO (s.22A) and the RDO (s.24A) make it unlawful for a workplace participant to harass another workplace participant at a common workplace. The term 'workplace participants' covers employees and employers, contract workers and their principal, commission agents and their principal, partners in a firm, interns and volunteers. Thus, a victim is protected under the SDO, the DDO and the RDO even if the harasser is a co-worker or a common workplace participant like an intern or volunteer, who has no employment relationship with the victim.

Racial Discrimination

The amendment replaces references to 'near relative' in the RDO with references to 'associate' (s.5 of the RDO). The RDO after amendment now protects an associate of a person from direct racial discrimination and racial harassment. Under the RDO, an 'associate' includes a spouse, a relative and a carer of a person; another person living with the person on a genuine domestic basis; and another person who is in a business, sporting or recreational relationship with the person.

Award of Damages

Before DL(MA)O, a victim of unlawful indirect discrimination receives no award of damages if the discriminator can prove that there was no intention to treat the victim unfavourably. The

SDO, the FSDO and the RDO have been amended in favour of the victim, such that damages are available for indirect discrimination on grounds of sex, family status and race, without proof of intention of the wrongdoer.

7.8.10 Sex Discrimination (Amendment) Ordinance 2021

The Sex Discrimination (Amendment) Ordinance 2021, which came into effect on 19 June 2021, introduces protection against breastfeeding discrimination. Now the SDO offers protection to breastfeeding woman against a number of unlawful situations: direct discrimination, indirect discrimination, harassment on grounds of breastfeeding and victimisation. It should be noted that the breastfed child need not be the biological child of the breastfeeding woman, and the SDO prescribes no time limit within which a woman is protected from discrimination and harassment.

Direct Discrimination (s.8A(1)(a) of the SDO)

It is unlawful to treat a woman less favourably on the ground that she is breastfeeding when compared with the treatment given, or that would be given, to a woman who is not breastfeeding.

Indirect Discrimination (s.8A(1)(b) of the SDO)

The SDO makes it unlawful to apply a condition or requirement in the employment (1) where the proportion of breastfeeding woman who can comply with is considerably smaller than the proportion of people who are not breastfeeding and can comply with it, and (2) where the condition or requirement causes a detriment to breastfeeding woman, but is not objectively justifiable.

Harassment (s.2A(1) and (2) of the SDO)

It is unlawful for a person in the employment:

- To engage in unwelcome conduct towards a woman on the ground that she is breastfeeding if a reasonable person would have anticipated that the woman would be offended, humiliated or intimidated by that conduct; or
- To engage in conduct that creates a hostile or intimidating working environment for a woman who is breastfeeding.

Victimisation

A person has acted contrary to the SDO if he/she victimises a woman who brings proceedings against, gives evidence or makes a claim against that discriminator of breastfeeding discrimination or harassment.

► Knowledge Check Questions

Question 15

Describe the test used to determine whether a particular arrangement involves direct discrimination.

Question 16

Explain the difference between direct discrimination and indirect discrimination.



SUMMARY

Source of employment law

- There are three major sources of employment law in Hong Kong: (1) international law (the International Covenant on Civil and Political Rights and International Covenant on Economic, Social and Cultural Rights), (2) the common law and (3) the domestic legislation (e.g. the Employment Ordinance, the Employees' Compensation Ordinance and the Occupational Safety and Health Ordinance).

Employment status of employee

- A contract of service governs the relationship between an employee and an employer. A contract for services governs the relationship between an independent contractor and a party that hires the contractor.
- The courts have developed some tests to determine the employment status of the employee: the control test, the organisation test (or the integration test/the enterprise test) and the multifactor test (or the economic reality test).
- A contract of employment may include express terms of contract and implied terms from the Employment Ordinance. Implied terms usually cover duties of the employer and employees to the other party, respectively. For example, the employer has the duty to provide the employee with a safe working environment while the employee has the duty to serve the employer with fidelity and good faith.

Contract of employment

- Wages mean all remuneration, earnings, allowances including travelling allowances and attendance allowances, attendance bonus, commission, overtime pay, tips and service charges etc. The wages must be paid no later than seven days after the end of the wage period.
- Under the Mandatory Provident Fund ('MPF') scheme, both employers and employees are required to pay a minimum contribution of 5% of relevant income to an MPF scheme, subject to a minimum income level (no payment if monthly relevant income is under HK\$7,100) and a maximum income level (payment of HK\$1,500 if monthly income is above HK\$30,000).

Termination of contract

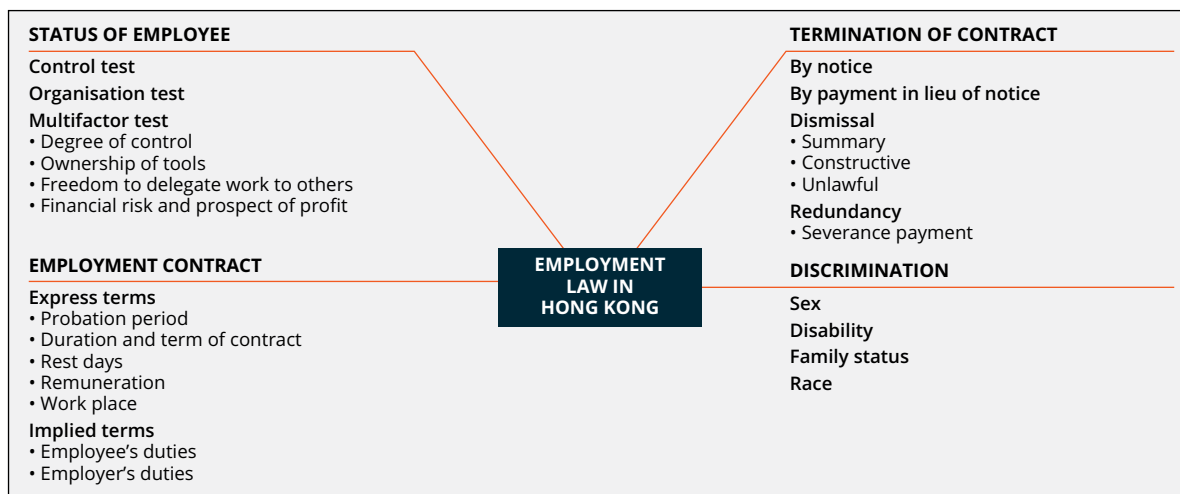
- The employer or the employee may terminate the contract of employment by giving notice or payment in lieu of notice. If no period of notice is specified, at least one month's notice must be given. Within the first month of the probation period, either party may terminate the contract without giving notice. After the first month of such a period, the contract may not be terminated by less than seven days' notice.
- Summary dismissal takes place when the employer terminates the contract with an employee without notice or payment in lieu of notice when the employee has committed very serious misconduct, such as wilfully disobeying a lawful and reasonable order or the employee is guilty of fraud or dishonesty.

- Constructive dismissal could be a reason for the employee to unilaterally terminate the employment without notice or payment in lieu of notice when, Sufficient grounds include a failure for the employer to provide a sufficient amount of work, failure to pay statutory remuneration and benefits, transfer without the consent of the employee, failure to provide a safe and decent environment at work or an unlawful discriminatory conduct.
- Unlawful dismissal is found when an employer dismisses, for example, a pregnant female employee, an employee on paid sick leave or an employee who is a witness in the court against the employer, etc. An employee who has been unreasonably dismissed by his employer may be entitled to one of the three statutory remedies: (1) an order for reinstatement, (2) an order for re-engagement or (3) an award of terminal payment.
- Severance payment must be paid by an employer to an employee if an employee is dismissed by reason of redundancy on the grounds that the employer closes or intends to close his/her business or the work of the employee ceases or diminishes. The employee in question must have been employed under a continuous contract for not less than 24 months to get the severance payment.
- The Labour Tribunal has an exclusive jurisdiction to enquire into, hear and determine any claim for damages that arise from failure of a person to comply with the provisions of the Employment Ordinance, the Minimum Wage Ordinance or the Apprenticeship Ordinance.

Discrimination

- Statutory laws are enforced to eliminate four major types of discrimination: discrimination against (1) sex, (2) disability, (3) family status and (4) race. The Equal Opportunities Commission issued codes of practice as guidelines for employers to eliminate discrimination and promote equality of opportunity.
- The Sex Discrimination Ordinance is to eliminate sex discrimination on the grounds of marital status or pregnancy, sexual harassment and promoting equality of opportunity between men and women. Sexual harassment consists of two types: (1) abuse of authority and (2) hostile environment harassment.
- The Disability Discrimination Ordinance is to eliminate unlawful discrimination, harassment and victimisation against persons on the grounds of their disability in respect of employment, accommodation, educational establishments and the provision of goods, services and facilities, etc.
- The Family Status Discrimination Ordinance is to eliminate unlawful discrimination on the grounds of family status. Family status refers the status of having the responsibility to take care of an immediate family member.
- The Race Discrimination Ordinance is to eliminate unlawful discrimination, harassment and vilification on the grounds of race and to promote equality and harmony between people of different races.
- The remedies for the victims of the discrimination would be, for example, that the respondent will perform any reasonable act or course of conduct to redress any loss or damage, or the respondent will pay compensation to the claimant.

MIND MAP



7.A SAMPLE EMPLOYMENT CONTRACT

The sample employment contract below illustrates some key terms and conditions for reference only.

THIS EMPLOYMENT AGREEMENT (the 'Agreement') is entered between [NAME OF EMPLOYER], incorporated under the laws of the Hong Kong Administrative Region (the 'Employer') and [NAME OF EMPLOYEE], HKID No [NUMBER] (the 'Employee').

The Employer agrees to employ the Employee on the terms and conditions as set out herein below:

1. *Employment*

- 1.1 The Employee is subject to a [PERIOD] probation period (the 'Probation Period').
- 1.2 The Employee will be employed for a fixed period, beginning [DATE] and ending automatically on [DATE] (the 'Term').
- 1.3 The Employee shall be employed by the Employer as [JOB TITLE]. The Employee's duties will include [LIST JOB DUTIES], and such duties may be amended by the Employer from time to time.
- 1.4 The Employee shall be employed at [LOCATION OF WORK].
- 1.5 The Employee's normal working hours shall be [TIME] to [TIME] on [DAY] to [DAY].
- 1.6 The Employee shall have [DAY(S)] days of paid annual leave.
- 1.7 The Employee shall have [DAY(S)] days of paid sick leave.

2. *Remuneration*

- 2.1 The Employer shall pay to the Employee a monthly salary of [AMOUNT]. The Employee's salary shall be paid on a [MONTHLY/WEEKLY/BI-WEEKLY] basis by [DIRECT DEPOSIT/CHEQUE].
- 2.2 The Employer and Employee shall each contribute to the Mandatory Provident Fund Scheme in accordance with the requirements set by the Mandatory Provident Funds Schemes Ordinance.

3. Termination

3.1 During the Probation Period:

- (i) Within the first month of the Probation Period, this Agreement may be terminated without notice or payment in lieu of notice.
- (ii) After the first month of the Probation Period, this Agreement may be terminated with a notice period of [DAY(S)/WEEK(S)/MONTH(S)] or an equivalent amount of payment in lieu of notice.

3.2 After the Probation Period, this Agreement may be terminated with a notice period of [DAYS/WEEK(S)/MONTH(S)] or an equivalent amount of payment in lieu of notice.

The Employee [NAME OF EMPLOYEE] and Employer's representative [NAME AND TITLE OF REPRESENTATIVE] signed and agreed all the terms of this Agreement on [DATE].

Employee

Employer

► Answers to Knowledge Check Questions

Question 1

The sources of employment law in Hong Kong are as follows:

1. International law (the International Covenant on Civil and Political Rights and International Covenant on Economic, Social and Cultural Rights);
2. Common law (case law related to employment contract, employee status, implied duties of employers and employees and vicarious liability); and
3. Domestic legislation (e.g. the Occupational Safety and Health Ordinance (Cap.509); the Factories and Industrial Undertakings Ordinance and the Employees' Compensation Ordinance (Cap.59)).

Question 2

The Employment Ordinance (Cap.57) applies to all employees in Hong Kong, regardless of their nature, except:

1. A family member who lives in the same dwelling as the employer;
2. An overseas contract worker;
3. A person serving under a crew agreement under the Merchant Shipping (Seafarers) Ordinance (Cap.478) or on board a ship that is not registered in Hong Kong;
4. An apprentice whose contract is registered under the Apprenticeship Ordinance; and
5. A civil servant.

Question 3

Only an employee is entitled to benefits such as annual leave, severance pay or compensation under the Employment Ordinance (Cap.57) and Employees' Compensation Ordinance (Cap.282), respectively.

**Question 4**

The control test focuses on the degree of power and control an employer has over the person of service. It can be determined by examining whether the employer has the power to determine the time, place and method of work and to supervise the work done. The control test is less relevant to skilled workers who often enjoy some degree of autonomy but not to the extent enjoyed by independent contractors.

Question 5

Instead of focusing on individual factors in isolation, the multifactor test looks at multiple factors from a boarder view. There is no single formula that fits for all. The court will take into consideration whole circumstances in relation to factors such as the degree of control, the ownerships of tools, the freedom to delegate work to others and the financial risk and prospect of profit.

Question 6

The implied duties of an employee are:

1. Duty to carry out lawful and reasonable orders given by the employer;
2. Duty to perform the job with reasonable care and skill;
3. Duty to serve the employer with fidelity and good faith;
4. Duty not to disclose trade secrets or confidential information obtained during or after the employment;
5. Duty to account for property and secret profit obtained in the course of employment; and
6. Duty to indemnify the employer.

Question 7

The employer is entitled to deduct the loss incurred due to the damage or loss of items directly attributable to the employee's neglect or default. The total amount recoverable by deduction in one case shall not exceed HK\$300.

Question 8

Domestic employees are exempted from the Mandatory Provident Fund ('MPF') Scheme, so no mandatory MPF contributions are required.

Question 9

David works for eight hours per day and five days per week. The hourly rate that he is receiving is HK\$35/hour (HK\$1,400/40 hours), which is below the minimum wage of HK\$37.5.

Question 10

The employee is entitled to the following arrangement upon his/her request:

1. If the annual leave is 10 days or less, the employee could break down the leave into two parts, such that he could take a maximum of 3 days in one part.
2. If the annual leave is over 10 days, at least a period of 7 days should be taken in a row.

Question 11

The wrongful termination enables the female employee to get reinstatement with the original terms or re-engagement with a comparable position for the employee's employment restoration, or to get terminal payments and/or award of compensation not exceeding HK\$150,000 if termination of the employment is the only option.

Question 12

The fundamental difference is that summary dismissal is initiated by the employer and constructive dismissal by the employee.

Question 13

Any employee who has been continuously employed for over 24 months is entitled to severance payment if he/she is dismissed by reason of redundancy, his/her fixed term employment contract expired without being renewed due to redundancy or he/she is laid off.

Question 14

The Labour Tribunal has an exclusive jurisdiction to hear cases that involve claim for damage arising from failure of a person to comply with the provisions of the Employment Ordinance (Cap.57), the Minimum Wage Ordinance (Cap.608) or the Apprenticeship Ordinance (Cap.47).

Question 15

As stated by the Court of Final Appeal in *Secretary for Justice & Others v Chan Wah and Others* (CFA, December 2000), the 'but for test' was used to decide whether direct discrimination existed. This test is to ask whether the victim would have received less favorable treatment but for a prohibited ground, such as a person's gender, marital status, pregnancy, disability, family status or race. There must be a link between the less favorable treatment and the prohibited ground.

Question 16

Indirect discrimination exists when a person is treated less favourably than any others in the same group due to a requirement imposed on all persons. It appears that every candidate for interview in the group is subject to the same requirement and thus there is no direct discrimination. However, an employer may use a requirement (e.g. ability to speak fluent Cantonese) to exclude certain persons from the group of prospective candidates for a job opening. The use of such requirements amounts to indirect discrimination.

For direct discrimination, a person is treated less favourably than any others in the same group due to an attribute in that person. A candidate is not given an interview because the position is reserved for a female candidate with the same capabilities as the male candidate. This is an example of direct discrimination against the male candidate.

EXAM PRACTICE

QUESTION 1

XTransport Limited ('XTL') recruits drivers to provide car riding services to clients. The drivers use their own vehicles approved by XTL and receive video training for the processes and responsibilities from the pick-up point to the drop-off point. Remuneration for an approved driver depends on the number of ride services they have offered within a month. Clients may use a specified phone application developed by XTL to send their orders for rides. The phone application would then send orders to the cell phones of the drivers in the neighbourhood. XTL would charge the credit card of the client using the phone application for the services offered.

Analyse whether the drivers could be considered as the employees of XTL under the Employment Ordinance (Cap.57) using:

- (a) The control test; and
- (b) The organisation test.

QUESTION 2

Sam worked as a driver with Luber Car Services Limited ('LCSL') since 2015. He had signed a written agreement with LCSL with the following terms:

1. He is self-employed.
2. He needs to pay monthly rent for hiring LCSL's limousine.
3. He can work flexible hours according to his own schedule and can take leave with notice to LCSL one day in advance.

In February 2019, Sam's service was no longer required and terminated immediately.

Analyse whether Sam could request compensation from LCSL for the immediate termination of his service.

QUESTION 3

Cosec Engineering Limited ('CEL') recently announced that it conducted a restructuring process due to successive losses for three years and needed to regrade some staff members. Flora was one of the targeted members who had worked at CEL for five years. Flora suffered a loss of status from the title of Accounts Manager to Assistant Accounts Manager, so her salary pay was HK\$5,000 less than what she was paid each month before. The new contract was on different terms from her original contract and included a new clause that it was mandatory for Flora to work overtime from 7:00 to 8:00 in the evenings. Flora rejected the new package and resigned with payment to CEL in lieu of notice.

Analyse as to whether Flora has a claim for constructive dismissal and redundancy against CEL.

QUESTION 4

Jacky holds a degree in computer programming and has worked as a Computer Programmer for seven years. He saw that Best Program Limited ('BPL') posted a job advertisement for hiring a computer programmer with four to seven years of experience. It was specified in the advertisement that the eligible candidate must be fluent in both oral and written

Chinese language. Jacky is a Southeast Asian who speaks Cantonese fluently but could not read or write Chinese. Despite that, Jacky applied for the job. Jacky received no response from BPL regarding his application, but he saw the same position continued to be advertised. Over the next few months, Jacky applied to the position several times but still did not receive any response. Jacky has been working in similar positions before with satisfactory performance. Jacky felt that proficiency in the Chinese language was unnecessary for the job position and BPL was using the language requirement to exclude non-Chinese applicants from the position. Jacky wants to complain to the Equal Opportunities Commission.

Analyse whether Jacky has a case for racial discrimination against BPL.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) The control test states that an employer–employee relationship exists between parties if one party offering the contract is able to exercise a direct control over the other offering the services over the contract. Based on the facts of this case, the following factors are relevant in determining whether the drivers are employees of XTransport Limited ('XTL'):
 - (i) XTL has the power to select their drivers by approving their vehicles before they use to deliver customers.
 - (ii) XTL has a set of procedures in the video training that the drivers have to follow.
 - (iii) XTL has the right of control of sending orders to the drivers using their custom-made phone application.
 - (iv) The remuneration paid to the drivers is issued on a monthly basis.

By the above aspects, we could reasonably conclude that XTL is able to exert high control over the drivers and thus the drivers should be regarded as employees of XTL.

- (b) The organisation test requires us to decide whether the drivers' services are an integral part of or ancillary to XTL's business. XTL's business offers car riding services and the drivers offer such services to customers. The income of XTL all come from the drivers' car riding services offered to the customers. Without the drivers, XTL's business would come to a halt. Therefore, the drivers' services are an integral part of XTL's business. By applying the organisation test, the drivers should be regarded as the employees of XTL.

QUESTION 2

In common law, there are several tests to determine the status of whether someone is an employee or independent contractor. The original test used by the courts to determine if the relationship was one of employer–employee was the control test. As employees became more skilled, the control test was inadequate.

The court also used the organisation test to see whether the performer's work was integrated as part of the employer's organisation, or was an ancillary to it (*Ready Mixed Concrete (South East) Ltd v Minister of Pensions and National Insurance* (1968) 2QB 497).



On the facts, the main business of Luber Car Services Limited ('LCSL') requires drivers to give services to their clients and thus drivers are important assets to Luber. It seems that, as a driver of LCSL, Sam is considered part of LCSL in offering the limousine services.

In the 1960s, the English courts adopted the multifactor test to determine the employment status of an individual. The factors that the court needs to consider when applying the multifactor test derived from *Market Investigations v Minister of Social Security* (1969) 2 QB 173, which was adopted in *Lee Ting Sang v Chung Chi-Keung* (1990) 1 HKLR 764 and later reaffirmed by *Poon Chau Nam v Yim Siu Cheung* (2007) 1 HKLRD 951:

1. The degree of control exercised by the employer on the employee;
2. Whether the employee has his/her own equipment;
3. Whether the employee hired his/her own helpers;
4. What degree of financial risk the employee took;
5. The degree of responsibility for investment and management the employee had; and
6. Whether and how far the employee had an opportunity of profiting from sound management in the performance of his task.

In the agreement with LCSL, the fact that Sam is self-employed was not conclusive since LCSL had a certain control over Sam when he wanted to take leave (by notifying LCSL in advance). Sam did not have his own limousine, which was supplied by LCSL for a rent. Sam did not have any helper that could help him out during his leave. These facts may point to a regular employment status.

On the other hand, Sam had to do some investment in his job by paying a monthly rent for his business equipment (i.e. the limousine), and it was believed that he needed to take financial risks when he had road accidents with other car users. Though Sam had no assistance from any helper, he was able to profit from sound management of his work days in performing his driving task. Sam's work hours were flexible and he could take days off whenever he wanted. These facts may point to a self-employment status.

When applying the multifactor test and going through the above facts, it is likely for us to conclude that the overall evidence point to Sam as an independent contractor due to a lack of mutual obligations between the parties. If Sam was self-employed, he was not able to seek compensation under the Employment Ordinance (Cap.57) from LCSL for the immediate termination of his service.

QUESTION 3

1. Constructive Dismissal (s.10 of the Employment Ordinance)

Before we decide whether Flora may put forward a claim of constructive dismissal under s.10 of the Employment Ordinance (Cap.57) ('EO') and seek damages, we have to check whether Flora's situation is to be covered by the section. S.10 of the EO states that Flora may terminate her employment contract without notice or payment in lieu:

- (a) If she reasonably fears physical danger by violence or disease not stated in the employment contract;

- (aa) If she has been under employment for not less than five years and was certified by a registered medical practitioner or registered Chinese medicine practitioner as being permanently unfit for the type of work she is doing;
- (b) If she is subjected to ill-treatment by Cosec Engineering Limited ('CEL'); or
- (c) On other grounds CEL would be entitled to terminate the contract without notice at common law.

At first sight, ss.10(a), 10(aa) and 10(b) of the EO do not cover the situation that Flora was in. Referring to the facts in the scenario, we observe that CEL had unilaterally changed the terms of Flora's contract by downgrading her position and lowering her salary pay. The changes appeared to be permanent and this amounted to a breach of the contract by her employer. Though Flora was offered another similar post, her salary and working hours had been changed and she was entitled to reject such an offer.

Most importantly, as a result of the changes, Flora's resignation was due to a repudiatory breach on the part of the employer. She had good grounds to terminate the contract at common law due to the breach of her employer (s.10(c) of the EO). Thus, she was constructively dismissed under s.10 of the EO, and that enabled her to resign and claim damages under constructive dismissal.

2. Redundancy (s.31B(2) of the Employment Ordinance)

In order for her to claim redundancy, Flora must show that her dismissal falls under s.31B of the EO. The relevant point covered by s.31B(2) of the EO is that dismissal by redundancy takes place when the requirement of the business for the employee to carry out work of a particular kind ceases or diminishes. If the employer's requirements for the type of work in Flora's job had been reduced, then there would be a redundancy, even if CEL still employed the same number of people doing other work. However, if Flora's job has remained the same and the restructuring exercise was for cost saving reasons only, the requirements of CEL for Flora's work have not been decreased and a redundancy did not take place.

On the facts, Flora was downgraded in her title and suffered a loss of status. She was now earning HK\$5,000 less per month than before. The regrading was on different terms from Flora's original contract and included a clause that imposed a mandatory overtime requirement on Flora. In this case, the compulsory overtime seems to suggest that there was no reduction of work. Therefore, there does not appear to be a redundancy. To conclude, it seems that the requirements of Flora's work did not appear to have diminished and therefore no redundancy had occurred. It is likely that Flora might fail to have a strong ground for severance payment.

QUESTION 4

Under the Race Discrimination Ordinance (Cap.602), it is unlawful to refuse to hire an applicant on the grounds of his/her race. Indirect discrimination occurs when an employer sets hiring criteria that appear to treat everyone equally, but which in practice lead to a less favourable treatment of a particular group. In the present case, although Best Program Limited ('BPL') did not specify any racial preference for Chinese applicants, the requirement of being fluent in both oral and written Chinese put non-Chinese applicants in a less favourable position. It amounted to indirect discrimination if BPL failed to demonstrate that such a language requirement was relevant and necessary to the position.



Jacky holds all requisite academic qualifications and relevant work experience for the job advertised. The fact that BPL continued to advertise for the position indicated the position has not been filled and BPL was still in need to hire for the position. As said, the Chinese proficiency requirement had put non-Chinese applicants, such as Jacky, in a less favourable position. The burden was on BPL to explain that their decision not to consider Jacky's application was not based on Jacky's race. Applying the overall facts of the case, BPL's decision would constitute indirect racial discrimination against Jacky.



Part B

Companies: Law and Financial Regulation

- 
- Chapter 8** Incorporation in Hong Kong
 - Chapter 9** Internal Administration of a Company
 - Chapter 10** Contentious Matters
 - Chapter 11** Company Capital and Financing Companies
 - Chapter 12** Listed Companies and the Regulation of Financial Markets
 - Chapter 13** Receivership, Liquidation and Winding-up

8

Incorporation in Hong Kong



CHAPTER TOPIC LIST

8.1 What is a Company?

- 8.1.1** The Doctrine of Separate Legal Entity
- 8.1.2** Limited Liability

8.2 Companies versus Sole Traders and Partnerships

- 8.2.1** Different Forms of Business
- 8.2.2** Differences in Formation and Formalities
- 8.2.3** Differences in Legal Status
- 8.2.4** Differences in Management
- 8.2.5** Differences in Liability
- 8.2.6** Joint Ventures

8.3 Companies Law in Hong Kong

- 8.3.1** March 2014 – The New Companies Ordinance (Cap.622)
- 8.3.2** Background to the Companies Ordinance Re-write
- 8.3.3** The Anatomy of the Companies Ordinance (Cap.622)

- 8.3.4** The Provisions Remaining in the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32)

- 8.3.5** Other Laws and Regulations That Affect Companies in Hong Kong

8.4 Regulating Companies in Hong Kong

- 8.4.1** Registrar of Companies and the Companies Registry
- 8.4.2** Official Receiver's Office

8.5 Formation and Constitution of Companies

- 8.5.1** Types of Companies
- 8.5.2** Procedures for Incorporation
- 8.5.3** Constitution of the Company
- 8.5.4** Other Incorporation and Ongoing Requirements
- 8.5.5** Registration of Dormant Companies
- 8.5.6** De-registration of Companies

LEARNING OUTCOMES

PRINCIPAL LO1 ANALYSE AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN THE DIFFERENT FORMS OF LEGAL ENTITIES

Forms of business entities

LO1.01: Analyse the structures of different types of businesses and apply the relevant legislations

1.01.01 Analyse the structures of the following types of businesses:

- Sole traders
- Partnerships
- Companies
- Joint ventures

1.01.02 Analyse the rights, duties and liabilities of a partner

1.01.03 Apply the concept of separate legal personality

1.01.04 Apply the concept of limited liability

1.01.05 Analyse the relationship between separate legal personality and limited liability

1.01.06 State the key provisions in joint venture agreements

1.01.07 Explain the registration obligations under the Business Registration Ordinance

1.01.08 Explain and apply the non-Hong Kong company provisions under the Companies Ordinance

1.01.09 Apply the Transfer of Businesses (Protection of Creditors) Ordinance

Formation of companies

LO1.02: Explain and apply the process of forming an incorporated body

1.02.01 Illustrate and apply the procedures in the formation of a registered company and the role of the Registrar of Companies

1.02.02 Explain the relevance of the provisions contained in a company's articles

1.02.03 Analyse the legal effects of a company's article and apply the legal requirements for the alteration of a company's articles

1.02.04 Apply the concepts of:

- The object clauses of a company
- The contractual capacity of a company (*)
and analyse the legal effects of the abolition of *ultra vires*

1.02.05 Apply the requirements for registration of dormant companies

1.02.06 Apply the requirements for the de-registration of companies

1.02.10 Apply the requirements for the register of significant controllers

Administration of companies

LO1.04: Analyse how companies make decisions and manage their activities, and apply the rules and requirements to practical business situations

1.04.05 Analyse the appointment, role, duties and resignation of a company secretary

1.04.13 Apply the rules and requirements regarding administration of companies to practical business situations

For the topics marked with (*), please refer to discussions in Chapter 10.



OPENING CASE

GENESIS OF IMPRESSIVE TECHNOLOGIES LTD

Impressive Technologies Ltd ('ITL') is an information technology solutions venture. Andrew, Bruce, Chris and Denise have been friends since university, when they all studied computer science together. All four have moved on into IT positions in different financial institutions and frequently contact one another when they encounter difficult problems they cannot solve on their own. It occurs to Andrew that if four of them pool their resources, they could form a successful business creating, consulting and selling IT solutions. The others agree with Andrew, but have no idea how to go about starting such a business and are still lacking in the start-up capital needed to start the business. They then approach other friends who agree to join the business. With other friends in agreement, the group decides to name their venture ITL.

The group agrees that each member of the group should have an equal say in the venture and that the share of each member's profit will be proportionate to their contribution of start-up capital and work. Andrew, Bruce, Chris and Denise will each receive 10%, with the remaining 60% to be split by their other friends. The group of friends must now decide how they will proceed in order to formalise their business venture. 



OVERVIEW

This chapter concerns the nature of a company as a vehicle for business, in the context of other vehicles for business. It also sets out for students the regulatory context for companies in Hong Kong, including the laws primarily applicable to companies and the regulators who are primarily responsible for company regulation. Finally, this chapter examines in detail the different types of companies that may be formed in Hong Kong, the process by which companies are formed, the constitutions by which companies are governed and the role of the company secretary as the chief administrator of the company.

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622) ('CO').



8.1 WHAT IS A COMPANY?

The legal definition of a company in Hong Kong is a company that is formed and registered under the Companies Ordinance (s.2). Unfortunately, this legal definition does not explain what a company is – a company is a legal entity that has been formed by a person or an association of persons as a vehicle for carrying out the purposes given to it by the person(s) who formed it. Part B of this study text concerns the laws regarding companies in Hong Kong.

This section will look at the doctrine of separate legal entity and the rights and powers of a company as a separate legal entity, as well as its obligations and liabilities. It will then consider how a company may limit the liability of its members, officers and employees for its debts.

8.1.1 The Doctrine of Separate Legal Entity

Central to the question of what is a company is the concept of a company being an entirely separate entity at law from the person(s) who formed it. This doctrine of **separate legal entity** arises out of a longstanding English House of Lords case as follows.

Salomon v A. Salomon and Co Ltd (1897) AC 22

Facts: Mr. Salomon was a boot-maker. In order to expand his business, he formed a company with family members and sold his boot-making business to the company. In return for selling his business to the company, Mr. Salomon received a mixture of cash, shares and debentures, and by way of security, he took a charge over the assets of the company. Subsequently, Mr. Salomon caused fresh debentures to be issued by the



Salomon v A. Salomon and Co Ltd (1897) AC 22 (continued)

company to a Mr. Broderip, who extended a loan to Mr. Salomon using the debentures as security. The company ultimately went into liquidation, and because Mr. Broderip had transferred the debentures and therefore the charge over the company's assets, he received payment for his loan out of those assets first. The company's other creditors, whose debts were unsecured, received nothing out of the liquidation.

Issue: The liquidator sought to set aside Mr. Salomon's transfer of the business to the company as invalid. Both at first instance and at the Court of Appeal, it was held that Mr. Salomon should be liable for the company's debts. The case was appealed to the House of Lords.

Held: The House of Lords held that a company at law is a different person, even if it is effectively operated by one person. As such, Mr. Salomon was found not to be liable for the debts of the company.

Thus, at law, a company is considered to be a legal person separate from its founders or members. A company thus has rights and powers and may accrue obligations and responsibilities similar to that of a natural person.

8.1.1.1 A Company's Rights and Powers as a Separate Legal Entity

S.115 Company's Capacity, etc.

1. A company has the capacity, rights, powers and privileges of a natural person of full age.
2. Without limiting subsection 1, a company:
 - (a) may do any act that it is permitted or required to do by its articles or any Ordinance or rule of law; and
 - (b) has the power to acquire, hold and dispose of land.

...

As seen from the above extract from the CO, under s.115, companies in Hong Kong have the capacity, rights, powers and privileges of a natural person of full age, allowing companies to do anything a natural person can do, such as entering into contracts – even with its own members, such as Mr. Salomon's contract to sell his business to his own company.

Under the CO, the power of companies to acquire, hold and dispose of land is explicitly set out (s.115(2)). However, in accordance with the doctrine of separate legal entity, members of a company that owns real property do not have any direct interest in that property – only the company owns the real property. For example, Lindley LJ held in the following case that a sale of property by a shareholder to a company of which he is a member is not a sale to that shareholder himself.

Farrar v Farrars Limited (1888) 40 Ch. D. 395

Facts: Mr. Farrar was a member (i.e. shareholder) of Company F. Mr. Farrar sold a piece of land to Company F under his power to sell as a mortgagee.

Issue: Whether the sale could be set aside on the ground that Mr. Farrar was a shareholder in Company F.

Held: The sale could not be set aside on the simple ground that Mr. Farrar was a shareholder in Company F because a sale by a person to a corporation of which he is a member is not, either in form or substance, a sale by him to himself along with other people.

8.1.1.2 A Company's Obligations and Liabilities as a Separate Legal Entity

Companies having the capacity of a natural person also means they are able to incur obligations and liabilities of their own. The different obligations and liabilities that companies can incur will be explored throughout this text. One good example, as will be seen further on in this chapter, is that of the criminal offences for failing to comply with requirements for the registration of documents, as both the company itself and the responsible persons of the company (generally, directors, shadow directors, managers and company secretaries of the company s.3) are liable for the criminal fines that are incurred for such breaches.

The importance of the concept of a company being a separate legal entity will be explored further, for example, in relation to a company's power to enter into contracts in its own name in order for it to carry on a business. However, there may be circumstances in which the courts may look through the company as a separate legal entity in order to attach liability to the persons behind the company. This is known as 'lifting the corporate veil', which will be discussed in Chapter 10 Contentious Matters.

8.1.2 Limited Liability

One important and attractive aspect of using a company as a vehicle is the ability to limit **the liabilities** of members, or officers and employees, for the debts of the company.

The liability status of the company is dependent upon the type of company that has been incorporated, pursuant to s.66. It is not, however, connected to the doctrine of separate legal entity – the act of incorporation does not inherently limit liability, as companies can be formed under s.66 where the liability of the members may be unlimited.

8.1.2.1 Limiting the Liability of Members of the Company

The liability of the members of a company for the debts of the company can be limited in two ways under the CO: (1) the company may be one that is limited by shares, so that the liability of the members is limited to any amount that remains unpaid on the shares they hold, or (2) the company may be limited by guarantee, so that the liability of members is limited to a specified amount that is the limit for which members may be held liable for the debts of the company. A company may also be formed as an unlimited company, in which case the members of the company are personally liable for the debts of the company. These different types of companies will be discussed further below.



8.1.2.2 Limiting the Liability of Officers and Employees of the Company

Given that a company is a separate legal entity, its relationship with its officers (defined as its directors, managers and company secretaries under s.2) and employees would be contractual, and subject to the laws of employment and agency. As such, the officers and employees would not generally be liable for the debts of the company.

As will be discussed further on in this study text, officers and employees of a company may be personally liable for their actions that are purportedly on behalf of the company, but such liability shall be determined by the operation of tort law, employment law and agency law principles.

The liability of officers and employees of the company, however, is not connected to the limits of the liability of members – the nature of the relationship with the company is different.

► Knowledge Check Questions

Question 1

Explain the doctrine of separate legal entity. Explain why the doctrine of separate legal entity is important for companies as business vehicles.

Question 2

Explain the concept of limited liability. Explain why the concept of limited liability is important for companies as business vehicles.



8.2 COMPANIES VERSUS SOLE TRADERS AND PARTNERSHIPS

The advantages of the company as a separate legal entity and in the limitation of liability have been touched on above. In addition to companies, however, there are other forms of carrying on a business, such as sole traders (also called 'sole proprietorships') and partnerships. This raises the issue of how a company compares to other forms of **business vehicles** and why companies may be considered preferable. This section will compare sole traders and partnerships with companies in respect of differences as to formation and formalities, legal status, management and liability – a summary of these comparisons may be found in Appendix 8.A.

8.2.1 Different Forms of Business

8.2.1.1 Sole Trader

A person may operate a business as a **sole trader**. A sole trader is relatively easy to set up – the main legal requirement is to register the business under the Business Registration Ordinance (Cap.310) ('BRO'). The sole trader carries on the business in his/her own name and is entitled

to all the profits arising thereof, but is also personally liable for all the losses that occur. Thus, a sole trader has no separate legal personality and bears unlimited liability. The business of a sole trader is regulated by the general law, such as the principles of contract and tort law, but otherwise is not subject to a specific legal regime.

Illustrative Example 1

If a business has incurred a liability of HK\$50,000 in June 2018, the sole trader is held responsible for HK\$50,000. If the liability has gone up to HK\$70,000 in August 2018, he/she has to find the means to settle the total of HK\$70,000. The liability is unlimited in the sense that if the debts of the business keep going up, the sole trader does not have a cut-off maximum point where he/she could just pay off the debt at that point and his/her rest of the liability is relieved.

8.2.1.2 Partnership

Two or more persons may also enter into a **partnership** to carry on a business – they jointly own the business and share the profits and the liabilities for losses. The Partnership Ordinance (Cap.38) ('PO') applies to partnerships in Hong Kong – partnership is defined by the PO as a relation which subsists between persons carrying on a business in common with a view to profit (s.3(1) of the PO). A partnership is formed by contractual agreement, and the PO sets out certain rules for determining whether or not a partnership exists (s.4 of the PO). A partnership must also be registered under the BRO.

S.3(1) of the PO defines partnership as the relation which subsists between persons carrying on business in common with a view to profit. 'Business' in the definition can be any kind of trade, profession or occupation and 'in common' means only one business is being run. The word 'subsist' means 'exist'. The phrase 'with a view to profit' means that the partners involved want to generate profit through cooperation among partners and share such profits among themselves. The ratio of profit sharing for each partner is usually laid down in the partnership agreement. If people work together in a venture with no intention to make any profit, for example running a non-profit making club to exchange information of their interests on a monthly basis among members, there is no partnership.

A partnership does not create and is not a separate legal entity from the partners in the partnership. The rights and liabilities of partners against one another are governed by the terms of the partnership agreement as well as the provisions of the PO. Under s.26 of the PO, subject to the terms of the partnership agreement, all partners are entitled to share equally in the capital and profits of the business, but must also contribute equally to the losses sustained by the partnership, and every partner in the partnership may take part in the management of the business. No partner is entitled to remuneration for acting in the partnership business as partners are remunerated by way of their share in the profits. Whilst ordinary matters in the partnership business may be decided by a majority of the partners, no person may be introduced as a partner without the consent of all existing partners, and no changes may be made to the nature of the partnership business without the consent of all existing partners.



Partners have rights enforceable against each other, namely:

1. Right to share profits and losses

The partnership agreement usually states that profits are shared in the same ratio as that of the capital contribution from every partner. If the partnership incurs a loss, the partners usually share the losses according to their respective profit-sharing ratio.

2. Right to be reimbursed by the firm

If a partner pays out of his/her own pocket for the items used in the course of the partnership's business, he/she is entitled to get reimbursements from the partnership.

3. Right to manage the business

Every partner has the right to participate in the management of the business. In the partnership agreement, all partners may agree that a partner manages a part of the business (e.g. sales and marketing, or finance).

4. Right to access to books

All partners have the right of access to the books and accounts at the principal place of business.

5. Right to admit new partners

New partners can only be admitted with the consent of all partners.

6. Right to stay in partnership

A partner could not be expelled out of the partnership unless the partnership agreement contains a clause with the express power of expulsion.

Partners also owe **fiduciary duties** to one another, which arises out of a core obligation of a fiduciary of loyalty and good faith. Duties of a fiduciary include the duty not to place oneself in a position where his/her interests may conflict with the duties owed to the partnership, and the duty not to make a profit from their position as a partner¹.

For example, such duties include:

1. Duty to act in good faith

A partnership is based upon mutual trust and confidence and thus each partner owes a duty of acting with utmost good faith towards the firm and other partners. Thus, the fiduciary nature of the relationship imposes on each partner a duty to act in good faith, always in the best interests of the firm.

2. Duty to make full disclosure

S.30 of the PO states that all partners must render true accounts and full information relating to all things affecting the partnership to the other partners.

In *Law v Law* (1905), a partner X sold his interests in his partnership to another partner Y in a manufacturing business. Later X found that the value of the business was much higher since Y failed to disclose other assets possessed by the business. It

¹ These principles are set out in the judgment of *Kao Lee & Yip v Koo Hoi Yan Donald* (2003) 2 HKC 113, which concerned the partner of a law firm advising and setting up a rival law firm.

was held that X could terminate the sale of interest to Y as the latter did not make full disclosure of the assets in the business and paid less for X's share of the partnership interests.

3. Duty to account

S.31(1) of the PO states that a partner must account for any profit made by him/her and, without the consent of the others, refrain from using the firm's property, name or business connections.

In *Bentley v Craven* (1853), C, one of the partners in a sugar refinery, was the buyer for the firm. He bought the sugar at a discounted price and resold it to the firm at the market price, which was much higher. It was held that the firm was entitled to claim the profits made by the partner in question. In other words, where a partner sells goods back to the partnership for a personal profit, that partner is liable to the partnership for all the profit made.

4. Duty not to compete

S.32 of the PO clearly states that where a partner is found to have been involved in a competing business, without the consent of the partnership, he/she is liable to account to the partnership for all the profit made in the course of that business. In other words, if a partner carries on a business of the same nature to compete with the firm without the consent of the other partners, he/she must pay over to the firm all profits made by him/her in that business.

Each partner in a partnership is **jointly liable** for all the debts and obligations of the partnership (s.11 of the PO). Each partner is an **agent** of the partnership, and can thus bind all other partners in the partnership to contracts. The basis of this binding power arises out of the law of agency, but has been enacted in statute under s.7 of the PO as follows.

S.7 Power of Partner to Bind Firm

Every partner is an agent of the firm and his other partners for the purpose of the business of the partnership. The acts of every partner who does any act for carrying on in the usual way business of the kind carried on by the firm of which he is a member bind the firm and his partners, unless the partner so acting has in fact no authority to act for the firm in the particular matter and the person with whom he is dealing either knows that he has no authority or does not know or believes him to be a partner.

As seen from the above extract from the PO, a partner may bind the partnership, even if he/she does not have actual authority from his/her partners to do so, but it appears from the usual way the business of the partnership is carried out that they have the authority to enter into such a transaction.

Under s.12 of the PO, each partner in a partnership is also **jointly and severally liable** (s.14 of the PO) for losses and injuries caused by any wrongful act or omission of any partner who was acting in the ordinary course of business or with the authority of the partnership.

A partnership can be dissolved in the following circumstances:

1. Expiry of a fixed term of partnership.
2. Where one of the partners gives notice to the partnership.
3. Completion of the project if the partnership was formed for a specific project.
4. Notice of termination is served by one or more partners for a partnership at will (i.e. a partnership with no fixed term) (s.34 of the PO).
5. Death or bankruptcy of one or more of the partners (s.35 of the PO).
6. If the activities of the partnership have become unlawful due to a change of law (s.36 of the PO).
7. Where one or more partners apply to a court for an order for dissolution (s.37 of the PO).

The features of sole traders and partnerships may be contrasted with companies as in Section 8.2.2.

8.2.1.3 Limited Partnerships

As aforementioned, the liabilities of partners in a partnership are unlimited in general. However, the Limited Partnerships Ordinance (Cap.37) ('LPO') provides an alternate form of partnership that provides limited liabilities for partners. A limited partnership consists of at least one 'general partner' and other 'limited partners'. All general partners shall be liable for all debts and obligations of the partnership, whilst the limited partners shall contribute a sum into the partnership at the time of entering into the partnership and shall not be liable for any debts or obligations beyond the amounts they contributed. In exchange for the limited liability, the LPO also restricts the rights of a limited partner, for example, a limited partner shall not take part in the management of the partnership business and a limited partner does not have the power to bind the other partners. If a limited partner acts in breach, he/she shall be liable for all the debts or obligations of the partnership thus incurred whilst he/she takes part in the management of the partnership as though he/she was a general partner. The provisions of the PO apply to limited partnerships subject to modifications in the LPO including those aforementioned.

A limited partnership shall be registered with the Registrar of Companies. The following particulars would be required for the registration and available for public inspection:

1. Name of the partnership;
2. General nature of the business;
3. Principal place of the business;
4. Full name of each partner;
5. Term of the partnership and date of commencement;
6. A statement that the partnership is limited and the description of every limited partner; and
7. The sum contributed by every limited partner, in cash or otherwise.

8.2.1.4 Recent Development – Limited Partnerships for Investment Funds

A recent development is also worth noting. On 31 August 2020, the Limited Partnership Fund Ordinance (Cap.637) ('LPFO') came into effect. The LPFO provides an adapted form of limited partnership known as the limited partnership funds. It is intended to be used as an investment fund vehicle, for example, for private equity or venture capital funds.

Unlike general limited partnerships, partners (including limited partners) in a limited partnership fund have freedom of contract in respect of the operation of the fund. In particular, limited partners were expressly provided with the power to determine matters commonly seen in private equity funds (s.16(2) of the LPFO), such as the admission and withdrawal of partners in the fund, the transfer of interest in the fund, the governance procedures of the fund, the scope of fiduciary duties of the general partner and the terms of the fund and dissolution procedures.

In order to qualify to be a limited partnership fund, the fund has to satisfy the conditions set out in the LPFO, including:

1. It has one general partner who must be either a natural person or a Hong Kong or non-Hong Kong company or limited partnership registered in Hong Kong, and at least one limited partner.
2. It complies with the requirements as to naming under the LPFO.
3. It has a registered office in Hong Kong.
4. An investment manager has to be appointed. The general partner can serve as the investment manager.
5. A responsible person has to be appointed for the purpose of carrying out anti-money laundering measures. The general partner can serve as the responsible person.
6. An independent auditor has to be appointed.
7. It is not established for an unlawful purpose.
8. Partners of the fund are not comprised only of corporation in the same group of companies.

One can immediately see the similarity between a limited partnership fund and a company, for example, the freedom of contract of all partners vis-à-vis the power of directors to enter a contract on behalf of the company; the requirement as to the appointment of auditors. However, there are also stark differences. The LPFO specifically provides that a limited partner does not owe fiduciary duty to the general partner or any other limited partner (s.26(2) of the LPFO). Further, a limited partnership fund does not have a legal personality (s.15(b) of the LPFO). A limited partner also does not have day-to-day management rights or control over the assets held by the funds (s.26(3) of the LPFO).

8.2.2 Differences in Formation and Formalities

There are no formalities for sole traders save for registration under the BRO. Partnerships are formed by agreement and are not subject to other formalities, but should also be registered under the BRO.

By contrast, companies are formed by registration of the incorporation form and a copy of the Articles of Association under the CO, and are subject to further formalities after their formation, including the filing of documents, holding of meetings and maintaining registers (Exhibit 8.1).

Sole trader	Partnership	Company
• Business registration	• Business registration • Partnership agreement	• Business registration • Registration of incorporation form and articles, subject to further requirements annually

► **EXHIBIT 8.1** Differences in formation and formalities

8.2.3 Differences in Legal Status

Sole traders carry out business in their capacity as individuals and are personally liable for obligations arising out of their business.

Partnerships are not separate legal entities and profits are jointly shared by partners. A change in membership effectively creates a new partnership; e.g. every time a new partner is accepted, a new partnership is formed between the old partners and the incoming new partner.

By contrast, a company is a separate legal entity. Profits may be shared with members of the company as dividends. A company has **perpetual succession** – that is, it continues to exist despite changes to its membership (Exhibit 8.2).

Sole trader	Partnership	Company
• Not separate legal entity • Business in the individual person's own name	• Not separate legal entity • Change in membership creates new partnership	• Separate legal entity in perpetual succession

► **EXHIBIT 8.2** Differences in legal status

8.2.4 Differences in Management

Sole traders manage their businesses on their own, whilst all partners in a partnership have the right to manage the business of the partnership.

By contrast, members of a company do not usually have the right to manage the day-to-day business of the company, which is instead managed by the directors of the company, who owe directors' duties to the company (Exhibit 8.3).

Sole trader	Partnership	Company
• Individual manages business	• All partners have right to manage	• Managed by directors

► **EXHIBIT 8.3** Differences in management

8.2.5 Differences in Liability

As mentioned above, sole traders are personally liable for obligations arising out of their businesses.

In a partnership, partners are jointly and severally liable for obligations that arise out of their businesses. Partners are also agents for one another and have the power to make transactions that are binding upon the partnership. The PO provides that:

1. Partners are jointly liable with other partners for all debts and obligations of the partnership incurred (s.12 of the PO).
2. Partners are jointly and severally liable for the wrongful acts or omissions of any partner who has acted in the ordinary course of business or with the authority of the other partners (s.13 of the PO).
3. If a partner misapplies money or other property of a third party, his/her fellow partners are jointly and severally liable to cover the loss of that third party (s.14 of the PO).

Illustrative Example 2

If a partnership has incurred a liability to a third party T of HK\$500,000 and one partner (partner A) is unavailable to pay, the other partners are jointly held responsible for HK\$500,000 (that is, the remaining partners must also pay for partner A's portion). No matter who contributes what amount, the final amount must be HK\$500,000 for T. In a situation where a partner may need to contribute more than he/she has promised in the partnership agreement, he/she has the right to chase other partners for the extra amount he/she has contributed.

By contrast, by virtue of the fact that a company is a separate legal entity, the liability of its members for its obligations can therefore be limited. Further, directors and employees of the company will not be personally liable for the obligations of the company. The members of the company are not agents for the company and nor is the company an agent of its members. Directors and employees must be conferred with agent authority in order to act as agents of the company. Directors and employees are also not agents of the members of the company (Exhibit 8.4).

Sole trader	Partnership	Company
Personally liable	Partners jointly and severally liable, agents for one another and can bind partnership	Liability of members can be limited, directors and employees not personally liable. Company is not an agent of members and vice versa

► EXHIBIT 8.4 Differences in liability



Apply and Analyse 1

Apply

Identify the advantages a company offers over other forms of business. Applying the differences between the different forms of business, analyse in what circumstances would a sole trader or partnership be more appropriate than a company.

Analysis

Reference may be made to Section 8.5 in respect of the details for the formation of a company. Further reference may also be made to Section 9.1 in respect of a company's continuing financial reporting obligations.

The key disadvantages in using a company as a business vehicle are the formalities for formation and the ongoing obligations in respect of the operation and administration of the company. The practical implication of these disadvantages is the need for a certain level of knowledge in respect of the requirements of the formalities and ongoing obligations, and the cost – whether in terms of time or money – in complying with those requirements.

However, a company as a business vehicle also offers two key advantages: (1) a company is a legal entity that is separate from its members, which is able to take on obligations and liabilities separate from its members, and, (2) depending on the form of incorporation, a company can limit the liability of its members for its obligations.

Whilst sole traders and partnerships are relatively simple to form, as forms of business vehicles, they also represent a potentially higher risk of liability. A sole trader carries on a business in his/her own name, meaning that he/she is personally liable for all the obligations that arise out of the business. A partnership may carry even more risk, given that partners are agents of the partnership and thus each agent can make transactions that are binding upon the partnership, and all partners may be jointly and severally liable for the obligations that arise out of such transactions.

On this basis, it is arguable that a company is to be preferred as a business vehicle for investors who do not wish to take great risks in respect of the liability for the business. However, given the initial costs associated with the formation of a company, for small or even medium-sized enterprises where potential liabilities are relatively small, it may be preferable to opt for a sole trader, or a partnership where the partners agree in the partnership agreement to place a limit on the liability partners may incur on behalf of the partnership, such as a financial limit on the agreements that may be entered into by a partner.

Another aspect of the different business vehicles is the management of the business. Whilst the members of a company generally do not manage the company, which is instead managed by the directors, the partners in a partnership have an express statutory right to management. It is possible for members of a company to also be directors of the company, but it may also be said on the basis of this difference that a company may be preferable as a business vehicle for persons interested in a passive role in the business, such as a passive investor.

8.2.6 Joint Ventures

A joint venture is often established for the purpose of a single project. It is an application of the aforementioned ways of conducting a business, namely sole trader, partnership and company. A good example is when a company plans to start its operations in another country by joining forces with a well-selected local company. With no solid expertise, the company may start its capital contribution and enter into a joint venture agreement with the target local company which has the same or a similar business.

8.2.6.1 Nature of Joint Ventures

A joint venture can be entered into by individuals, partnerships or companies. The parties are able to enjoy the synergy brought by the capital, loans, real properties, assets (tangible or intangible), technology transfer or technical skills that each party contributed to the joint venture. Each party usually takes a certain number of seats on the board of directors. Others might not take an active part in the company's affairs but may have nominated directors and/or appointed chief executive/financial officers in the management of the joint venture.

8.2.6.2 Types of Joint Ventures

Corporate Joint Venture

Most joint venture companies in Hong Kong are incorporated as private companies limited by shares and the parties of the joint venture are the shareholders with different shareholdings. No legislation in Hong Kong is specifically passed to govern the structure of a joint venture as a limited company. The parties may also wish to have a separate written contract (i.e. a shareholders' agreement) to regulate their legal relationship, apart from the regulations contained in the articles of association of the limited company.

Illustrative Example 3

Limited companies A and B form a joint venture to run a new business using a new limited company. Both parties become the shareholders of the new company, with the ratio of their holdings of 45% and 55%, respectively. In their shareholders' agreement, B may appoint three members and A may appoint another two members to the board of directors. All matters shall be decided by the board by a simple majority of votes.

A joint venture established by way of incorporation as a limited company is subject to the company articles, Companies Ordinance (Cap.622) and Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

Partnership Joint Venture

If the joint venture is structured in the form of a partnership, the members should have a partnership agreement prepared and signed. The rights and responsibilities of the members of the joint venture are regulated by the contract law and the partnership law as well. This type of joint venture may not be welcomed by parties because of the joint and several liabilities that the innocent member of the partnership may suffer.



Contractual Joint Venture

In a contractual joint venture, the relationship between the parties to a joint venture is governed essentially by contract law. As there is no new entity formed for such a joint venture, each party does not lose its own identity. Each party is responsible for its own management of personnel and resources. A joint venture agreement (i.e. the contract) is used to clearly lay down all the rights and responsibilities of the parties, rights of management and control, and rights to the profits or earnings, etc.

8.2.6.3 Key Provisions in Joint Venture Agreements

In a joint venture agreement, the following are the usual clauses that parties would often include:

1. Date on which the agreement is executed;
2. Names, addresses and identification of the members forming the joint venture;
3. Name of the joint venture;
4. Principal place and territory of business of the joint venture;
5. Purpose and business nature of the joint venture;
6. Duration of the joint venture;
7. Amount of capital contribution by each party;
8. Percentage of profits and losses that are shared between the parties;
9. Rights of one party upon default of the other party; and
10. Liability (or risk) allocation upon default or foreseeable events.

There may be some other clauses in the agreement. Some typical clauses for a corporate joint venture are shown as follows:

Management and Control Clause

1. The Board of Directors of the joint venture (hereinafter referred to as the 'Board') shall consist of six (6) directors of whom Party A shall be entitled to four (4) nominee directors and Party B shall be entitled to two (2) nominee directors. Any increase in the strength of the Board shall be in the same proportion.
2. Party A shall have the right to appoint and nominate a managing director of the joint venture. The managing director shall be in charge of the day-to-day operations and management of the joint venture. The managing director shall be vested with substantial powers of management, which he/she shall exercise subject to the overall control and direction by the Board.
3. All matters shall be decided by the Board by a simple majority of votes.

Confidentiality Clause

4. Each Party and/or its Affiliate(s) shall limit disclosure of any Confidential Information (as defined hereafter) to those of its employees, agents and representatives on a need-to-know basis. Either Party prior to making disclosure of any Confidential Information shall exert best efforts to cause the receiving party to execute papers and documents to effect substantial compliance with the provisions of this Clause.

Assignment Clause

5. Neither party shall assign or transfer his/her rights or duties in the joint venture without the express written consent of the other party. Any transfer or assignment made without the consent of the other party shall not relieve the transferor or assignor of his/her duties or obligations under this Agreement.

Arbitration Clause

6. The parties declare that the terms of this Agreement are controlling to each of them. Any matter in dispute, and which is not provided for in this Agreement, shall be submitted to arbitration.

Termination Clause

7. (1) Either Party shall have the right to terminate this Agreement by giving 15 days written notice to the other Parties if that other Party or Parties voluntarily or otherwise commits a material breach of any of the terms and conditions of this Agreement, provided that if the breach can be remedied, the right aforesaid shall be exercisable only if the breach is not remedied within 45 days of a written notice requiring to remedy the same.
- (2) On termination of this Agreement for any cause, the joint venture shall be wound up in accordance with the laws of the Hong Kong Special Administrative Region.

 Knowledge Check Questions**Question 3**

Explain how the doctrine of separate legal entity differentiates companies from other forms of business vehicles.

Question 4

Explain how the concept of limited liability differentiates companies from other forms of business vehicles.

 8.3 COMPANIES LAW IN HONG KONG

The primary piece of legislation that regulates companies in Hong Kong is the Companies Ordinance (Cap.622).

Throughout Part B of this study text, the provisions of the Companies Ordinance will continue to be explored in detail as to how it regulates different aspects of companies in Hong Kong. This section will provide the background to how the Companies Ordinance was re-written in 2014, look at recent amendments and proposed amendments to the Companies Ordinance,

provide an overview of the Companies Ordinance, consider the provisions of the old Companies Ordinance that are still in force and briefly consider other statutes that affect companies in Hong Kong.

8.3.1 March 2014 – The New Companies Ordinance (Cap.622)

The Companies Ordinance (Cap.622) ('CO') came into force on 3 March 2014 and, due to the long history of its predecessor, continues to be referred to as the 'new' Companies Ordinance by lawyers, accountants and even the Companies Registry.

8.3.2 Background to the Companies Ordinance Re-write

The predecessor Companies Ordinance (Cap.32) ('Old CO') first came into force in 1933. As the regulation of companies evolved, amendments were made to the Ordinance and new sections, divisions and parts continued to be added in a fairly irregular manner. The Old CO became unwieldy and difficult to navigate.

In 2006, a comprehensive exercise was made to rewrite the Companies Ordinance and after five rounds of consultation, the new Companies Ordinance was finally passed by the Legislative Council in July 2012.

The re-writing exercise went beyond re-numbering and re-structuring the company law provisions. It also introduced reforms to enhance corporate governance, to ensure better regulation, to facilitate business and to modernise the company law of Hong Kong. The major initiatives of the re-writing exercise are (<https://www.cr.gov.hk/en/publications/docs/ec5-2012-annex-e.pdf>):

1. Strengthening the accountability of directors;
2. Enhancing shareholder engagement in the decision-making process;
3. Improving the disclosure of company information;
4. Fostering shareholder protection;
5. Strengthening auditors' rights;
6. Ensuring the accuracy of information on the public register;
7. Improving the registration of charges;
8. Refining the scheme for deregistration of companies;
9. Improving the enforcement regime;
10. Streamlining procedures;
11. Facilitating simplified reporting;
12. Facilitating business operations;
13. Rewriting the law in simple and plain language;
14. Abolishing par value for shares;
15. Abolishing memorandum of association;
16. Removing the power to issue share warrants; and
17. Clarifying the rules on indemnification of directors against liabilities to third parties.

8.3.2.1 Recent Amendment: Companies (Amendment) Ordinance 2018

The Companies (Amendment) Ordinance 2018 is the first time the Companies Ordinance has been updated since it came into force in 2014. The purpose of the amendments is to close regulatory gaps in Hong Kong's anti-money laundering and terrorist financing regulations in accordance with the recommendations of the Financial Action Task Force, an inter-governmental body that sets international standards for combating money laundering and preventing terrorist financing.

In order to prevent the misuse of companies for money laundering and terrorist financing, adequate and accurate information on the beneficial owners and control of companies should be obtained and accessible in a timely fashion by the relevant authorities.

The focus of the CO is on legal ownership of companies rather than identifying ultimate beneficial owners and controllers. In order to enhance transparency of ownership, the Companies Ordinance was amended by the Companies (Amendment) Ordinance 2018 by requiring companies to maintain a significant controllers register that may be inspected by the relevant authorities in order to prevent, detect and investigate money laundering and terrorist financing via companies in Hong Kong.

The significant controllers register requirements have been implemented by adding a new Division 2A to Part 12 of the CO, consisting of 37 new sections including ss.653A to 653ZK and adding 3 new schedules 5A to 5C to the CO. These provisions came into force on 1 March 2018.

8.3.2.2 New Amendment: Companies (Amendment) (No. 2) Ordinance 2018

A new bill was proposed in the Legislative Council in March 2018 concerning further amendments to the Companies Ordinance under the Companies (Amendment) Bill 2018 and was passed as the Companies (Amendment) (No. 2) Ordinance 2018 in December 2018, coming into force on 1 February 2019. The proposed amendments include:

1. Expanding the scope for simplified reporting pursuant to the 'Small and Medium-sized Entity Financial Reporting Framework and Financial Reporting Standard' issued by the Hong Kong Institute of Certified Public Accountants ('HKICPA');
2. Updating the accounting-related provisions of the Companies Ordinance in the context of the Hong Kong Financial Reporting Standard 10 issued by the HKICPA;
3. Introducing requirements for non-Hong Kong companies to display their names and disclose their liability status to align them with the requirements for local companies;
4. Standardising the penalty provisions for breaches of requirements for financial statements and reports under the Companies Ordinance; and
5. Streamlining and clarifying reporting and other provisions.

8.3.3 The Anatomy of the Companies Ordinance (Cap.622)

The Companies Ordinance is one of the largest pieces of legislation in Hong Kong. It consists of 958 sections, divided into 21 parts and supplemented by 13 schedules. Each part contains the laws specific to a particular aspect of companies regulations, with the more important parts for the purposes of this text highlighted in yellow in Exhibit 8.5.

CO (Cap.622)	Provides for
Part 1	Preliminary provisions of the Ordinance, including the interpretation clause and provisions setting out the different types of companies and the application of the Ordinance
Part 2	The Registrar of Companies and the Companies Register
Part 3	The formation of companies and related matters
Part 4	Share capital
Part 5	Transactions in relation to share capital
Part 6	Distribution of profits and assets
Part 7	Debentures
Part 8	Registration of charges
Part 9	Accounts and audit
Part 10	Directors and company secretaries
Part 11	Fair dealing by directors
Part 12	Company administration and internal procedures
Part 13	Company arrangements, amalgamation and compulsory share acquisitions in takeovers and share buy-backs
Part 14	Remedies for protection of the companies' and members' interests
Part 15	Dissolution of companies by striking them off the register of companies or deregistration
Part 16	Non-Hong Kong companies
Part 17	Companies that were not formed, but registrable in the companies register under the Companies Ordinance
Part 18	Communications to and by companies
Part 19	Powers of investigation and enquiry
Part 20	Various miscellaneous provisions
Part 21	Consequential, transitional and saving provisions necessitated by the enactment of the new Companies Ordinance to ensure a smooth transition from the old Companies Ordinance to the new one

► **EXHIBIT 8.5 The anatomy of the Companies Ordinance (Cap.622)**

The Schedules to the CO supplement various parts of the CO by providing further details that might not be practical to set out at length in the provisions of the CO itself. These may be found in Appendix 8.B.

In addition to the Schedules, further provisions related to the regulation of companies under the CO have been enacted as subsidiary legislation. As the legislative process to alter or amend the contents of subsidiary legislation is simpler and faster than amending primary legislation, the provisions contained in subsidiary legislation have the flexibility of being updated from time to time. A table of subsidiary legislation in relation to the CO is set out in Appendix 8.C.

8.3.4 The Provisions Remaining in the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32)

The introduction of the new CO, however, did not mean the end of its predecessor. Whilst the majority of the provisions in the Old CO have been repealed, some provisions in that Ordinance remain active, including those on winding-up and insolvency of companies, disqualification of directors, prospectuses and prevention of evasion of the Societies Ordinance (Cap.151). Once the new CO came into force, the Old CO was renamed the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) ('CWUMPO').

The provisions that remain in force in the CWUMPO are found in Exhibit 8.6.

CWUMPO (Cap.32)	Provides for
Part I	The interpretation provision
Part II	The prospectus and allotment provisions
Part IVA	Disqualification of directors
Part V	Regulation of the winding-up process
Part VI	Receivers and managers
Part VIII	The application of the Ordinance to companies formed or registered under former Ordinances
Part IX	The application of the Ordinance to companies not formed, but registered under former Ordinances
Part X	Winding-up of unregistered companies
Part XII	Restrictions on the sale of shares and offers of shares for sale
Part XIII	Miscellaneous offences, injunctions, general provisions as to offences and general provisions on the Chief Executive in Council
Part XIII A	Prevention of evasion of the Societies Ordinance
Part XV	Transitional and saving provisions

► **EXHIBIT 8.6 Provisions remaining in force in the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32)**

Some of the Schedules of the CWUMPO still remain in force. These are set out in the table in Appendix 8.D.

The subsidiary legislations in relation to the CWUMPO that remain in force are set out in the table in Appendix 8.E.

8.3.5 Other Laws and Regulations That Affect Companies in Hong Kong

Whilst companies in Hong Kong are primarily regulated by the CO and the CWUMPO, other statutes also affect companies in Hong Kong. The impact of some of these statutes may be obvious: for example, the need for companies to register their businesses under the BRO or the levels of fines for criminal offences under the CO as set out in the Criminal Procedure Ordinance (Cap.221). These and other statutory provisions to the regulation of companies will be set out in this study text where relevant.



8.3.5.1 Business Registration Ordinance (Cap.310)

Under the provisions of the BRO, every person carrying on business in Hong Kong must register his/her business with the Business Registration Office of the Inland Revenue Department.

'Business' means any form of trade, commerce, craftsmanship and profession. The BRO requires every company incorporated in Hong Kong or a non-Hong Kong company registered under the Companies Ordinance to complete registration under the BRO. A non-Hong Kong corporation that has a representative or liaison office in Hong Kong is also required to obtain such registration.

In general, an application for business registration must be made within one month of the commencement of business. The application must be made in a prescribed form, accompanied by supporting documents and payment of the business registration fee.

The valid business or branch registration certificate must be displayed in a conspicuous place at the place of business and should be produced for official inspection on demand. If the registration certificate is in an electronic record, a printed copy of it should be displayed. (See Section 8.5.4.3)

8.3.5.2 Transfer of Businesses (Protection of Creditors) Ordinance (Cap.49)

A trader may sell his/her business to a buyer by signing an agreement to transfer the business. The terms in the agreement mainly cover the transfer of assets and that of the liability of the business. As the sale of the business will not affect the rights and obligations of the debtors to the business, the trader needs not ask for their consent before the transfer, but he/she needs to give them notice about it.

Who assumes the liability of the business as a whole will change when the business is transferred to the buyer. Under s.3 of the Transfer of Business (Protection of Creditors) Ordinance (Cap.49) ('TOBO'), after the transfer the buyer will become liable for all the debts previously arising out of carrying on the business by the trader. In relation to the outsiders (e.g. creditors of the business to be transferred), the buyer is unable to get away from such liability using any term in the agreement of transfer.

S.4 of the TOBO puts the buyer of the business in a protected position by using a notice of transfer. The buyer will not become liable to the debts of the sole trader's business if he/she has given a notice of transfer in the manner and within a certain period shown as follows:

1. A notice shall be given by publication in (s.5(3) of the TOBO):
 - (a) the Gazette;
 - (b) any two approved Chinese language newspapers circulating in Hong Kong; and
 - (c) one approved English language newspaper circulating in Hong Kong.
2. The notice must be given not more than four months or less than one month before the date of transfer of the business (s.4(1) of the TOBO). The notice shall become complete upon the expiration of one month after the start date of the publication of the notice.
3. The notice will allow a period of one month from the date it is published for any creditors of the transferor's business to make claims (s.4(2) of the TOBO).

See also Ong, The Transfer of Businesses and Protection of Creditors in Hong Kong SAR (Part I), Hong Kong Lawyer (March 2006) and Part II of that article in the April 2006 issue.

8.3.5.3 Securities and Futures Ordinance (Cap.571)

One ordinance that should be mentioned at this juncture that affects companies in Hong Kong is the Securities and Futures Ordinance (Cap.571) ('SFO'). The SFO not only regulates securities and futures markets in Hong Kong but also contains important provisions including those disclosure requirements imposed on shareholders and directors of listed companies.

8.3.5.4 Securities and Futures (Open-ended Fund Companies) Rules (Cap.571AQ)

Part IVA of the Securities and Futures Ordinance (Cap.571) ('SFO') together with Cap.571AQ (which came into effect on 30 July 2018) above introduces a new fund structure for the funds market in Hong Kong, i.e. Open-ended Fund Companies ('OFC'). As the Securities and Future Commission ('SFC') has supervising powers over OFC generally, the Code on Open-Ended Fund Companies ('OFC Code') issued by the SFC in September 2000 is also applicable to the OFC.

An OFC is an open-ended collective investment scheme structured in corporate form with limited liability and variable share capital. The main purpose of this type of company is to serve as an investment fund vehicle and manage investments for the benefits of its shareholders. As an OFC is intended primarily to be an investment vehicle, it was legislated under the SFO rather than the CO. It is not meant to be a traditional company engaging in commercial trade and business.

The main advantage of using an OFC as a fund vehicle is the relaxation of the rules as to variation of share capital as compared to traditional companies. There is no requirement for shareholders' approval in relation to redemption of shares such that shares can be freely redeemed by its shareholder investors. The statute has imposed safeguards to shareholder directors by ensuring that an OFC meets the following basic requirements as to directors and auditors:

1. Unlike traditional companies, a director must be 'eligible', i.e. the experience and expertise of the persons appointed as directors taken together must be appropriate for carrying on the business of the company (s.100 of the SFO). Any appointment in contravention to this requirement is of no effect.
2. The OFC must have at least two directors, with at least one of them being independent from the custodian (5.2 of the OFC Code and s.100 of the SFO).
3. The directors of OFC must consist of natural persons only; any appointment of the body corporate is void.
4. The OFC must have an investment manager (1) who holds a licence or otherwise registered to carry out Type 9 regulated activities within the SFO and (2) who would be responsible for managing the scheme property of the company (s.112Z of the SFO).
5. The OFC must have a custodian and all the scheme property of the OFC must be entrusted to the custodian for safe keeping (s.112ZA of the SFO).
6. The OFC must appoint an auditor (s.112ZB of the SFO).



8.3.5.5 Listing Rules

Similarly, whilst the Listing Rules of the Stock Exchange of Hong Kong are not statutory in nature, they provide for the regulation of companies listed on the Stock Exchange, including the additional reporting requirements for companies and the imposition of additional duties on shareholders and officers of the company.

8.3.5.6 The New Companies Ordinance

It is worth noting here that although the new CO has replaced its predecessor, many of the provisions of the new CO are similar to their predecessors, and the majority of the provisions in the Old CO have equivalents in the new CO. Two documents mapping the provisions from the predecessor to the new CO can be found on the Companies Registry website (https://www.cr.gov.hk/en/companies_ordinance/reference-tables_index.htm). As such, case law and precedents relating to the provisions of the Old CO may still be applicable to their equivalent provisions in the new CO, particularly where the provisions are identical or sufficiently similar.

► Knowledge Check Questions

Question 5

Briefly describe how companies law in Hong Kong was developed in the re-writing exercise in 2014.



8.4 REGULATING COMPANIES IN HONG KONG

This section describes the role and functions of the regulatory bodies of companies in Hong Kong, namely (1) the Registrar of Companies and Companies Registry and (2) the Official Receiver.

Other relating regulatory bodies concerning listed companies (such as the Financial Reporting Council, the Securities and Futures Commission, etc.) will be discussed in Chapter 12 Listed Companies and the Regulation of Financial Markets.

8.4.1 Registrar of Companies and the Companies Registry

Under s.27, the Registrar of Companies is required to keep records of companies in Hong Kong. Applications for incorporation are also made to the Registrar of Companies. The role of the Companies Registry (<https://www.cr.gov.hk/en/about/role.htm>) is thus to register all documentation that companies are obliged to disclose under the Companies and other Ordinances, and to ensure that companies comply with the administrative requirements imposed on them by the Companies and other Ordinances. The Registrar of Companies is also empowered to remove companies from the Companies Registry. Members of the public are able to search for the information that is held by the Companies Registry.

The Registrar of Companies is also responsible for the enforcement of the provisions of the Companies Ordinance and is delegated the authority to prosecute companies for non-compliance. The Registrar is empowered to issue summonses in the Magistrates' Courts

for companies that breach requirements to register documents. However, the Registrar does not have any investigatory powers under the Companies Ordinance, and thus prosecutions in its own name are usually of filing offences, where breaches are easily detected and simple to prove.

8.4.2 Official Receiver's Office

The Official Receiver is appointed under s.75 of the Bankruptcy Ordinance (Cap.6). The Official Receiver's Office provides insolvency services to creditors and the public (<https://www.oro.gov.hk/eng/aboutus/respon.htm>). Under s.194 of the CWUMPO, the Official Receiver acts as a liquidator for companies being wound up if no private liquidator has been appointed. The Official Receiver also oversees liquidations being conducted by private liquidators (s.204 of the CWUMPO).

► Knowledge Check Questions

Question 6

Identify the regulators of companies in Hong Kong and describe their responsibilities.



8.5 FORMATION AND CONSTITUTION OF COMPANIES

The procedure by which companies are formed will be explored below, taking into consideration the types of companies that may be formed in Hong Kong, the constitutional documents with which they are formed, the other requirements for incorporation, and the role of the company secretary.

8.5.1 Types of Companies

There are five different types of companies that may be formed in Hong Kong under the Companies Ordinance (s.66):

1. Public companies limited by shares;
2. Private companies limited by shares;
3. Public unlimited companies with share capital;
4. Private unlimited companies with share capital; and
5. Companies limited by guarantee without share capital.

Each of these terms, private company, public company, company limited by shares, unlimited company and company limited by guarantee, will be examined in turn.

8.5.1.1 Private versus Public Companies

S.11 Private Company

1. For the purposes of this Ordinance, a company is a private company if:
 - (a) its articles
 - (i) restrict a member's right to transfer shares;
 - (ii) limit the number of members to 50; and
 - (iii) prohibit any invitation to the public to subscribe for any shares or debentures of the company; and
 - (b) it is not a company limited by guarantee.
- ...

S.12 Public Company

For the purposes of this Ordinance, a company is a public company if:

- (a) it is not a private company and
- (b) it is not a company limited by guarantee.

The definition of a **private company** above, extracted from the CO, sets out three requirements under ss.11(1)(a)(i) to (iii). By contrast, the definition of a **public company** in s.12(a) is simply a company that 'is not a private company'.

The definitions of both private and public companies exclude from their scope of companies that are limited by guarantee (See Section 8.5.1.4).

In order for a company to be a private company, it must fulfil all three requirements in respect of its articles:

1. First, the company must restrict the right of its members to transfer its shares. This is commonly achieved by providing directors with the power to refuse to register the transfer of shares through the articles of the company – for example, Article 2 of the Model Articles for Private Companies Limited by Shares (Schedule 2 of the Companies (Model Articles) Notice (Cap.622H)) provides directors with such a power, which is reinforced under Article 64. The other common way to restrict a member's right to transfer their shares is by right of pre-emption in the company's articles. This means that before a member may transfer their shares to another party, those shares must first be offered to existing members of the company.
2. Second, the number of members of a private company must be restricted by the articles to 50 or less. This reflects the generally smaller size of private companies as compared with public companies, which have no statutorily imposed restrictions on member numbers.

3. Finally, in order to be a private company, the articles must prohibit invitations to the public to subscribe for shares or debentures of the company (See Section 12.2).

Because the shares of a private company are not freely transferable, and the number of members of a private company is restricted, and a private company cannot invite the public to subscribe for its shares or debentures, the regulatory requirements imposed on private companies are less onerous to comply with. For example, s.359 creates a reporting exemption for various types of private company, such that, under s.380(7), those companies are exempt from the requirements under ss.380(1), (2), (5) and (6) for financial statements (See Section 9.1).

As the regulatory requirements for private companies are less onerous, most companies in Hong Kong are private companies. According to the Companies Registry statistics (<https://www.cr.gov.hk/en/statistics/index.htm>) on the number of local companies that have remained registered in the Companies Register since 2014, the total number of private companies was 1,384,436 as of March 2018, as compared with only 733 public companies for the same month.

As mentioned above, those companies whose articles fail to meet the requirements in s.11(1)(a) are considered public companies under s.12(a). This may mean that the right of members to transfer their shares or the number of members is unrestricted, or the company's articles allow it to invite the public to subscribe for shares or debentures. Only public companies may be listed on the stock exchange – under Listing Rule 8.03 of the Stock Exchange of Hong Kong, a company is required to be a public company before it may seek to list on the Stock Exchange.

(Public) Listed versus Unlisted Companies

Under s.2, a listed company is defined as a company that has any of its shares listed on a recognised stock market. This is consistent with the definition of 'listed' under the SFO. The recognised stock market is the Stock Exchange of Hong Kong, operated by the Hong Kong Exchanges and Clearing Limited (See Section 12.3). Pursuant to the definitions in s.2, an unlisted company is a company, either public or private, that does not have any of its shares listed on a recognised stock market.

As their shares can be bought and sold on the Stock Exchange by members of the public, listed companies are subject to greater regulation than unlisted companies, including the Listing Rules ('LRs') of the Stock Exchange. As mentioned above, for example, the requirement that companies must be public companies before they may be listed is set out in LR 8.03.

8.5.1.2 Companies Limited by Shares

The doctrine of limited liability (See Section 8.1.2) means that limits may be set on the liability of a company's members for its debts. Depending on the type of company, the liability of members may be limited by shares, by guarantee or may be unlimited.

S.8 Company Limited by Shares

1. For the purposes of this Ordinance, a company is a company limited by shares if the liability of its members is limited by the company's articles to any amount unpaid on the shares held by the members.

...

As seen in the above extract from the CO, a company is defined as being a **company limited by shares** if the company's articles state that the liability of its members is limited. S.83(1) reinforces this by requiring that the articles of a limited company must state that the liability of members is limited. The limit of members' liability is any amount unpaid in respect of the shares held by respective members.

Illustrative Example 4

In the opening case, Andrew, Bruce, Chris and Denise are all to receive 10% of the profits made from Impressive Technologies Ltd ('ITL'). It is proposed that ITL be one limited by shares, and that shares be issued at the issue price of HK\$100 per share.

In addition to that, it is now known that Chris and Denise shall each take up 1,000 shares in ITL, thus reflecting their 10% entitlement to profit. Chris pays the full amount of HK\$100,000 to ITL. As each person's entitlement to profit is reflective of their contribution of capital and work, and Denise is a little short on cash, Denise only pays HK\$50,000, promising to pay the rest at a later date. Both receive their 1,000 shares.

In the event that ITL is liquidated, the liability of both Chris and Denise would be HK\$100,000 each. As ITL is limited by shares, the limit of the liability of each member is the amount unpaid on the shares they hold. In Chris' case, he will not be required to make any further contribution to satisfy any creditors of ITL, as he has already paid in full and there is no amount unpaid. In Denise's case, she will be liable to contribute the outstanding HK\$50,000, pursuant to s.8(1) of the Companies Ordinance (Cap.622) in respect of members' liability being limited 'to any amount unpaid on the shares held by members'. However, even if the assets of ITL are insufficient to satisfy its creditors in the event of liquidation, the creditors cannot pursue members of ITL such as Chris and Denise for any contribution (beyond the amounts unpaid on the shares they hold) because ITL is one in which liability is limited by shares.

8.5.1.3 Unlimited Companies

S.10 defines an **unlimited company** as one where no limit is placed on the liability of its members. This means that members of the unlimited company are fully liable for the company's debts if the company is wound up and there are insufficient assets to meet those debts.

However, unlike a general partnership, where general partners may have either **joint liability** or **joint and several liability** for the debts of the partnership, the members of an unlimited company are severally liable – that is, each member is only liable for their own separate obligation. Nonetheless, unlimited companies are rare due to the liability they impose on members.

8.5.1.4 Companies Limited by Guarantee

S.9 Company Limited by Guarantee

1. For the purposes of this Ordinance, a company is a company limited by guarantee if:

- (a) it does not have a share capital; and
- (b) the liability of its members is limited by the company's articles to the amount that the members undertake, by those articles, to contribute to the assets of the company in the event of its being wound up.

The above extract from the CO defines a **company limited by guarantee** as one which:

(1) has no share capital and (2) the company's articles state that the liability of members is limited to the amount that the members have guaranteed they will contribute in the future if the company is wound up.

This form of incorporation (without share capital) is useful in situations where members do not contribute any money upfront; for example, if the company is set up for a non-profit purpose, such as to run a charity or a non-profit making club, there is no need to raise money from members for the company's operations.

Instead, in the event that a company limited by guarantee is wound up and its assets are insufficient to meet its debts, each of its members may be required to make a contribution towards those assets, up to the limit of the guarantee. For example, if the articles of a company limited by guarantee state that the maximum liability of members is HK\$1,000, and the company is wound up, each member may be liable to contribute up to HK\$1,000 each if the company's assets are insufficient to satisfy its debts. However, even if the debts remain unsatisfied after such a contribution, members cannot be made further liable beyond their HK\$1,000 guarantee.

Due to the lack of share capital, companies limited by guarantee are no longer considered either private or public companies (See Section 8.5.1.1 and the exclusions under ss.11(1)(b) and 12(b)).

Apply and Analyse 2

Apply

Xavier, Yvonne and Zoey have started a food truck business. Xavier will contribute the start-up capital needed to purchase the truck and outfit it with cooking equipment, whilst Yvonne and Zoey will be responsible for buying, cooking, service and pricing of food. They agree that after deducting expenses, the profits should be equally split between them. Analyse why a private company limited by shares would be the most appropriate way for them to incorporate their venture.



Apply and Analyse 2 (continued)

Analysis

As stated in s.66, there are five types of companies that may be formed under the Companies Ordinance (Cap.622). See Section 8.5.1 Types of Companies and review the features of each type of company in Sections 8.5.1.1 to 8.5.1.4.

First, a company limited by guarantee without share capital may not be effective for a group trying to raise start-up capital amongst themselves. Xavier will be putting money towards the truck and equipment, whilst Yvonne and Zoey will be spending money to buy the food to be sold. The lack of share capital structure may also frustrate their intention to formalise their arrangement to share profits proportionately amongst themselves.

Next, unlimited companies with share capital, whether public or private, also may not be a good fit for their venture. Whilst these types of companies possess the share capital feature that is necessary for them to raise start-up capital from members of the company, and the number of shares allotted to each member can reflect the proportions they intend to share profits in, members of unlimited companies are subject to unlimited liability for the company's debts in the event of winding-up. This potential liability may be serious, for example, where there is a problem with the food. The members of the group would probably prefer not to be subject to such liabilities that might potentially be greater than the money they have invested in starting the business in the event the company is wound up.

Finally, a public company would not be appropriate, even if limited by shares, as there are only three members in the business and thus only three potential members of the company. Even if they were to add other members at a later date, it is doubtful that the number of members of the company could ever reach 50 or more given the type of small-scale business they are engaged in.

It thus appears that a private company limited by shares is the most suitable way for them to incorporate their venture: the number of members would be limited, members' potential liabilities would be limited, start-up capital can be raised in exchange for holdings in the share capital and the share capital structure may be used to reflect the proportional profit sharing arrangement.

8.5.1.5 Companies Formed Under the Companies Ordinance

Consider again the types of companies that may be formed under s.66:

1. Public companies limited by shares;
2. Private companies limited by shares;
3. Public unlimited companies with share capital;
4. Private unlimited companies with share capital; and
5. Companies limited by guarantee without share capital.

It can thus be seen that these five types of companies are compounds of the features as set out above, such that:

A 'public company limited by shares' is one that (1) does not restrict members' rights to transfer shares, or has not limited the number of members to 50, or does not prohibit invitations to the public to subscribe for shares or debentures in its articles *and* (2) limits the liability of its members for the company's debts to the amount unpaid on shares held by members.

A 'private company limited by shares' is one that (1) restricts members' rights to transfer shares, limits the number of members to 50, prohibits invitations to the public to subscribe for shares or debentures in its articles *and* (2) limits the liability of its members for the company's debts to the amount unpaid on shares held by members.

A 'public unlimited company with share capital' is a company that (1) does not restrict members' rights to transfer shares, or has not limited the number of members to 50, or does not prohibit invitations to the public to subscribe for shares or debentures in its articles *and* (2) does not limit the liability of its members for the company's debts, and has issued shares.

A 'private unlimited company with share capital' is a company that (1) restricts members' rights to transfer shares, limits the number of members to 50, prohibits invitations to the public to subscribe for shares or debentures in its articles *and* (2) does not limit the liability of its members for the company's debts, and has issued shares.

A 'company limited by guarantee without share capital' is one that (1) does not have share capital or issue shares *and* (2) limits the liability of its members for the company's debts to the amount guaranteed by members.

Which of these five types of companies should be formed will depend on the needs of the business or activity in which the company is to be engaged. For example, the uses of companies limited by guarantee have already been discussed (See Section 8.5.1.4).

Whether or not the other forms of companies should be used will depend on:

1. Whether the persons forming the company intend for the company to meet all three requirements of a private company or not; and
2. Whether they wish to limit the liabilities of members or not.

8.5.1.6 Companies Not Formed but Registrable under the Companies Ordinance

Part 17 provides for the registration of companies that were not formed under the CO or any of its predecessor Ordinances (e.g. Old CO). Such companies include hospitals, schools, universities and other institutions formed under ordinances other than the CO.

Under s.807, such companies may only be registered as unlimited companies or companies limited by guarantee. Pursuant to s.818, the effect of such companies being registered is that the CO will apply to those companies as if they had been formed under the CO.

Excluded from the scope of Part 17 are partnerships and foreign companies, as it was not the legislative intent to bring them under the scope of the CO.

8.5.1.7 Non-Hong Kong Companies – Application of Hong Kong Law

The CO defines a company as one that is formed and registered under the Companies Ordinance. The application of the CO is therefore only to Hong Kong companies.

However, provision is made in Part 16 for the registration of non-Hong Kong companies. Under the interpretation provisions of s.2, a non-Hong Kong company is defined as one that is incorporated outside of Hong Kong but establishes a 'place of business' in Hong Kong. Part 16 thus provides for requirements for such non-Hong Kong companies that are doing business in Hong Kong, including their registration, their corporate names, their authorised representatives, their returns and accounts, other obligations, and their striking off.

It should be noted that s.774 further extends the definition of 'place of business' to include a share transfer office and a share registration office of a company.

S.776 requires that non-Hong Kong companies must apply for registration with the Companies Registrar within a month of establishing Hong Kong as a place of business.

Kam Leung Sui Kwan v Kam Kwan Lai and Others (2015) 18 HKCFAR 501

Facts: Yung Kee Holdings Limited was the ultimate holding company of a large group of companies. It owned the shares of nine subsidiary companies. For tax purposes, it had been incorporated in the British Virgin Islands and its registered office was in Tortola.

A petition for winding-up or, alternatively, to have his shares bought out by the other shareholders was brought by Kam, a shareholder, against Yung Kee Holdings Limited. The petition was brought on the grounds that the affairs of the company were being carried on in a manner that was unfairly prejudicial to Kam.

Issue: The preliminary issue facing the courts was whether or not the company was a non-Hong Kong company that they could exercise their jurisdiction over and apply the Companies Ordinance to. The case was taken to the Court of Final Appeal.

Held: The Court of Final Appeal held that a place of business is a place where or from which the company carries on or intends to carry on business. The meaning of 'business' in this context is not restricted to commercial transactions or transactions that create legal obligations. However, in this case, as the company was a holding company, its functions were purely administrative. Therefore, discussing company affairs and holding board meetings in Hong Kong was insufficient to establish Hong Kong as its place of business.

Ultimately, in the above case of *Kam Leung Sui Kwan v Kam Kwan Lai and others*, although the company had not established Hong Kong as its place of business, the Court of Final Appeal went on to find that there was a relevant connection to Hong Kong as all the assets held by Yung Kee Holdings Limited were located in Hong Kong. This enabled the court to exercise its jurisdiction to consider the winding-up petition. The jurisdiction of the courts in respect of winding-up will be discussed in Chapter 13 Receivership, Liquidation and Winding-up.

In addition to Part 16, certain other provisions of the CO are applicable to non-Hong Kong companies. These include:

1. Part 8 deals with the registration of charges. The provisions of Part 8 are extended to registered non-Hong Kong companies under s.336. See Chapter 11 Company Capital and Financing Companies.
2. Part 14 provides remedies for the protection of companies' or members' interests. Under s.722, the definition of 'company' for the purposes of that Part includes non-Hong Kong companies – whether or not registered under s.776; i.e. the application of Part 14 differs from Part 16 in the sense that Part 14 applies to both registered and non-registered non-Hong Kong companies while Part 16 applies to registered non-Hong Kong companies only. Whether or not the courts will exercise their powers to provide such remedies against non-Hong Kong companies would be a matter of jurisdiction; for example, if there was a sufficient connection to Hong Kong, such as where the assets of a non-Hong Kong company were located in Hong Kong. Unfair prejudice remedies will be discussed in detail in Chapter 10 Contentious Matters.

Certain provisions under the CWUMPO also apply to non-Hong Kong companies. For the purposes of the CWUMPO, such companies are dealt with as unregistered companies, and the provisions on disqualification of directors under Part IVA and winding-up by the courts under Part V will apply. Furthermore, s.342 of the CWUMPO regulates offers for subscription or purchase of shares or debentures of companies incorporated outside Hong Kong, whether or not they have established a place of business in Hong Kong.

The Non-Hong Kong Companies (Disclosure of Company Name, Place of Incorporation and Members' Limited Liability) Regulation (Cap. 622M) came into operation on 1 August 2019. It is an extension of the regime in the main ordinance.

It requires a non-Hong Kong company to:

1. display its name and place of incorporation at every business venue;
2. if its members' liabilities are limited, exhibit a notice of that fact at every business venue; and
3. upon liquidation, state in every advertisement of the company in Hong Kong its name and place of incorporation and the limited liability of its members (if applicable).

The Regulation specifically points out that the use of abbreviations such as 'Co.', 'Coy.' and '&' is acceptable.

For any non-Hong Kong company in contravention of these rules, every person responsible for that company and agent authorising the contravention commits an offence and is liable to a level three fine.

8.5.2 Procedures for Incorporation

A company is formed by one or more persons signing the articles of the company that is to be formed and delivering to the Registrar of Companies an incorporation form and a copy of those articles for registration.

S.67 Formation of Company

1. Any one or more persons may form a company by:
 - (a) signing the articles of the company intended to be formed; and
 - (b) delivering to the Registrar for registration
 - (i) an incorporation form in the specified form; and
 - (ii) a copy of the articles.
2. A company may only be formed for a lawful purpose.

It should be noted in the above extract from the CO that a company may only be formed for lawful purposes.

8.5.2.1 Incorporation Form

S.68 sets out the required content of the incorporation form, but the requirements of the form are located in Schedule 2, where reference is made in ss.1 to 5, 7 to 8 and s.68 of Schedule 2 (Exhibit 8.7).

Section	Provides for:
Section 1	The requirements as to the particulars and statements relating to the company. These include: the proposed name of the company; the proposed address of the company's registered office; whether or not the company is limited by shares, by guarantee or an unlimited company; whether the company is private or public.
Section 2	The name(s) and address(es) of founder member(s); that is, the person(s) who sign(s) on the company's articles, as mentioned above.
Section 3	The requirements for proposed officers of the company. For directors who are natural persons, these include: their names; their addresses; and their identity card number or the number and issuing country of their passport. For a director that is a body corporate, the requirements are the corporate name of the body corporate and the address of its registered or principal office.
Section 4	The signatory to the incorporation form and directors who are natural persons that they consent to be directors and they are natural persons who have attained the age of 18 years.
Section 5	The requirements for the company secretary. For a company that is a natural person, these include: their names; their correspondence address; and their identity card number or the number and issuing country of their passport. For a company secretary that is a body corporate, the requirements are the corporate name of the body corporate and the address of its registered or principal office. For a company secretary who is a partner in a firm where all the partners will jointly serve as the company secretaries of the company, the firm's name and address of the firm's principal office.
Section 7	Statements that the company's articles have been signed by each proposed member of the company on its formation, and that the contents of the company's articles delivered for registration under s.67(1) are the same as the articles signed by the proposed members.
Section 8	Statements in respect of: the total number of shares the company proposes to issue; the total amount of share capital to be subscribed by the founding members of the company on formation; the amount paid up and unpaid on the shares proposed to be issued; and the number of shares proposed to be issued to each founding member and the share capital to be subscribed for by each founding member. Where the share capital is divided into different classes of shares, a statement is required in respect of the different classes, as well as the foregoing details in respect of each class, and the particulars of voting rights, dividend distribution, capital distribution and redeemability.

► **EXHIBIT 8.7** Requirements for the incorporation form in Schedule 2 of the Companies Ordinance (Cap.622)

8.5.2.2 Articles of Association

Under s.75, a company is required to have articles. The articles of a company prescribe the regulation of the company's administration and internal management. Previously, companies were governed by both a memorandum of association as well as articles of association, but in order to simplify the process of incorporation, the memorandum of association has been abolished under the new CO. 'Articles' is defined in s.2, which includes a reference to the memorandum of association for a company that was formed under a former CO. Ss.76 and 77 further require that the articles must be printed in English or Chinese, and the articles must be divided into paragraphs that are numbered consecutively.

The content and effect of the articles are set out in Sub-division 3 of Division 2 of Part 3. Ss.81 to 85 set out requirements as to the company's name, its objects, the liabilities of members, and capital and initial shareholdings.

- S.81: It requires that the articles must state the name of the company.
- S.82(2): It provides the articles of a company and may state the objects of the company. Historically, the memorandum of a company had to state a company's objects. Following reforms in 1997, the requirement was removed, and an objects clause is generally optional in the articles. However, under s.82(1), only limited companies seeking to remove the word 'limited' from their names pursuant to s.103 must state in the articles the objects of the company. S.103 deals with companies formed to promote commerce, art, science, religion, charity or other useful objects, and will apply the profits to the promotion of those objects and further prohibit the payment of dividends to the company's members.
- S.84: As has already been mentioned above, the articles of a limited company must state that the liability of its members is limited (s.83(1); See Section 8.5.1.2), whereas the articles of an unlimited company must state that the liability of its members is unlimited (s.83(2); See Section 8.5.1.3).
- S.84: It further requires that the articles of a company limited by shares must state that the liability of members is limited to the amount unpaid on the shares held by members (See Section 8.5.1.2 and Illustrative Example 4), whereas the articles of a company limited by guarantee must state that members of the company undertake to make a contribution not exceeding a specified amount to the company's assets for the payment of the company's debts and liabilities, costs, charges and expenses of winding-up the company, and for the adjustment among contributories of their rights, in the event the company is wound up (See Section 8.5.1.4).
- S.85: It requires the articles of a company with share capital must set out the information required under s.8 of Schedule 2 (See Section 8.5.2.1), and may optionally also state the maximum number of shares the company may issue.

Companies have the option of creating their own articles from scratch, which must comply with the foregoing requirements, or they may adopt the model articles. Under s.78, a set of model articles may be prescribed by the Financial Secretary. The model articles are set out under the Companies (Model Articles) Notice (enacted as subsidiary legislation (Cap. 622H)). Under s.79, the model articles or any of its provisions may be adopted or modified by companies for their use as articles.



8.5.2.3 Registration with the Registrar of Companies

As stated in Section 8.5.2, under s.67(1)(b), a company is formed when the incorporation form and a copy of the articles are delivered to the Registrar of Companies for registration. Documents may be delivered in paper form or submitted by soft copy online to the e-Registry at <https://www.eregistry.gov.hk/icris-ext/apps/por01a/index?m=n>. After the documents have been registered, the Registrar will issue a certificate of incorporation under s.71(1), certifying that the company is incorporated under the CO and is a limited or unlimited company. The certificate is conclusive evidence that the registration requirements of the CO have been complied with and that the company is registered (s.72).

Of particular importance is the date of incorporation as stated in the certificate of incorporation. Under s.73, on and after that date, the company shall be capable of exercising its functions as an incorporated company, and has perpetual succession (s.73(2)). Further, the founder members become the company's members on that date and become liable as members in the event of the company being wound up after that date.

8.5.2.4 Shelf Companies

An alternative to incorporation for persons seeking to set up their own companies is to acquire a shelf company. A shelf company is a company that has already been incorporated, usually with a nominal amount of share capital, but is not used for any activities. Such shelf companies are usually incorporated by and can be acquired from accountants, solicitors or other corporate service providers.

If a client of an accountant, solicitor or corporate service provider wishes to acquire a corporate vehicle, this may be achieved by transferring the shares in the shelf company to the client, appointing new directors and a new company secretary to replace the pre-existing ones used to incorporate the shelf company, and to change the company name and registered office of the company.

In the past, the activation of shelf companies was preferred to incorporation as it would be faster and more convenient than incorporation, registration of which could take a number of days. With the e-Registry significantly speeding up the registration of the incorporation process, shelf companies may decrease in use and relevance.

8.5.3 Constitution of the Company

As the articles of association have been discussed above in the context of incorporation, this is a convenient juncture to explore the constitution of a company – in particular, the articles of association and **objects clauses**.

Persons dealing with a company, whether members of the company itself or parties entering into transactions with the company, need to know their rights and obligations in relation to the company, and how their relationship with the company will be regulated. Previously, this could be determined by the company's constitution, which was made up of its memorandum of association and articles of association. The memorandum of association has since been abolished, and under the new CO, the articles are the only constitutional document of the company.

8.5.3.1 Governing the Company – the Articles of Association: Their Legal Nature and Model Articles

The **articles of association** are the set of rules by which the company's internal affairs are governed.

As mentioned above, model articles are set out for reference in the Companies (Model Articles) Notice (Cap.622H). In that Notice, three sets of Model Articles are set out in the Schedules: Model Articles for Public Companies Limited by Shares (Schedule 1 of the Companies (Model Articles) Notice (Cap.622H)); Model Articles for Private Companies Limited by Shares (Schedule 2 of the Companies (Model Articles) Notice (Cap.622H)); and Model Articles for Companies Limited by Guarantee (Schedule 3 of the Companies (Model Articles) Notice (Cap.622H)).

An examination of the contents of the Model Articles for Private Companies Limited by Shares ('Model Articles') will provide a clear illustration of how the articles of a company govern its internal affairs. The Model Articles are divided into six parts (Exhibit 8.8).

Part	Provides for:
Part 1	The interpretation clause, which defines the terms used in the articles.
Part 2	That the company is a private one, and the members' right to transfer shares is restricted under the articles, the number of members is limited to 50 and invitations to the public to subscribe for shares or debentures is prohibited.
Part 3	The directors and company secretary. Part 3, Division 1 sets out the directors' powers and responsibilities; Division 2 sets out the requirements for the decision-taking procedure by directors; Division 3 provides for the appointment and retirement of directors; Division 4 regulates the use of alternates for directors; Division 5 provides for directors' indemnity and insurance; Division 6 sets out how a company secretary may be appointed or removed.
Part 4	The decision-making procedure by members. This includes: the organisation of general meetings under Division 1; voting at general meetings under Division 2; and the application of those rules for class meetings under Division 3.
Part 5	Shares and distributions. Part 5, Division 1 regulates the issue of shares; Division 2 provides for interests in shares; Division 3 regulates share certificates; Division 4 regulates the transfer and transmission of shares; Division 5 regulates the alteration and reduction of share capital, share buy-backs and allotments of shares; Division 6 regulates distributions by the company, such as payment of dividends; Division 7 regulates the capitalisation of profits.
Part 6	Miscellaneous provisions. These include the requirements for communications to and by the company under Division 1 and the administrative arrangements for company seals, inspection of records, insurance for auditors, and the winding-up of the company.

EXHIBIT 8.8 Model Articles for Private Companies Limited by Shares

In this way, it can be seen that the relationships between the company and directors and company and members are clearly set out under the articles, and parties dealing with the company are also able to discover the company's decision-making process for themselves.



S.86 Effect of Articles

1. Subject to this Ordinance, a company's articles, once registered under this Ordinance or a former Companies Ordinance

- (a) have effect as a contract under seal:
 - (i) between the company and each member; and
 - (ii) between a member and each other member; and
- (b) are to be regarded as containing covenants on the part of the company and of each member to observe all the provisions of the articles.

2. Without limiting subsection (1), the articles are enforceable:

- (a) by the company against each member;
- (b) by a member against the company; and
- (c) by a member against each other member.

...

As seen in the above extract from the CO, the articles of a company constitute a statutory contract (that is an enforceable contract specifically created by a statute) between the company and each member, and between members.

8.5.3.2 Enforcement of the Articles of Association

S.86(2) sets out who can enforce the articles and against whom the articles can be enforced. The articles may be enforced by the company against its members, by members of the company against the company and by members against each other. The articles are enforced as contractual terms between the parties.

It should be noted, however, that not all articles may be equally enforceable as between all the parties to the statutory contract. For example, in the case of *Ng Kin Kenneth* below, it was held that the articles of association concerned only provided for arbitration of disputes between members of the company, not disputes between the members and the company.

Ng Kin Kenneth v HK Football Association Ltd (1994) 1 HKC 734

Facts: The Council of the defendant decided that the plaintiff, a football referee, was unwelcome to take part in their activities or register as an official of the defendant and its member clubs. The plaintiff took the case to court on the basis that the defendant had no such power in its Articles or rules to make such a decision. The defendant's articles state that 'All members of the Association . . . shall submit and refer all differences and questions coming within the provisions of the Laws of the Game or the Rules of the Association to the decision of the Council . . . the fact of membership as aforesaid shall constitute an agreement . . . enforceable as an agreement under the Arbitration Ordinance'. The defendant thus sought to stay the case on the basis of its Articles, so that the matter could be arbitrated instead of being litigated in court.

Ng Kin Kenneth v HK Football Association Ltd (1994) 1 HKC 734 (continued)

Issue: Whether or not the Article created an agreement to arbitrate between the defendant company and the plaintiff.

Held: The plaintiff argued, and the judge agreed, that the wording of the article only deals with disputes between members concerning the Rules or Laws of the Game and does not deal with the arbitration of disputes between the defendant company and its members. The judge thus declined to grant a stay of the case.

The above case illustrates how the drafting of articles may create rights that are only enforceable as between members against each other and not against the company, or for the company against the members.

S.86(2) does not confer any rights of enforcement upon directors. Thus, directors are unable to enforce the articles against either the company or its members. However, directors who are members of the company can enforce the articles, though they must do so in their capacity as members, not directors. A shareholder having dual capacity can only sue on the articles in the capacity of a shareholder, not as in any third party capacity².

The idea that the articles constitute a contract raises the question as to whether or not third parties who have been conferred a benefit under that contract might have a right to enforce it. The Contracts (Rights of Third Parties) Ordinance (Cap.623) ('CRTPO') provides for the enforcement of contractual terms by third parties. S.3(2)(g) of the CRTPO states that the CRTPO does not apply to a company's articles having effect as a contract under seal under s.86.

Illustrative Example 5

In the opening case, Andrew, Bruce, Chris and Denise are all to receive 10% of the profits made out of Impressive Technologies Ltd ('ITL'). It is proposed that ITL be one limited by shares and that shares be issued at HK\$100 per share. As was the case in Illustrative Example 4, Chris and Denise each take up 1,000 shares, reflecting their 10% entitlement to profit. Chris pays the full amount of HK\$100,000 to ITL. As each person's entitlement to profit is reflective of their contribution of capital and work, and Denise is a little short on cash, she only pays HK\$50,000, promising to pay the rest at a later date.

However, for the purposes of this illustrative example, in forming ITL, the team decides to adopt the Model Articles in Schedule 2 of the Companies (Model Articles) Notice (Cap.622H). Article 56 of the Model Articles states: 'No share is to be issued unless the share is fully paid'.

In accordance with the Model Articles, Chris will receive his 1,000 shares. However, as Denise has only paid HK\$50,000, under Article 56, she can only be issued 500 shares, until she pays the outstanding HK\$50,000 for the other 500 shares.

Referring back to Section 8.5.1.3 and the limit of liability of members for the company's debts, as Chris does not hold any shares on which an amount is unpaid, in the event that ITL is liquidated, Chris also will not be required in these circumstances to make any further contribution to satisfy any creditors of ITL.

² *Eley v Positive Government Security Life Assurance Co Ltd* (1875) 1 Ex D 88.



8.5.3.3 Alteration of Articles: Procedures and Limitations

Under the CO, a company's articles may be altered (s.87(1)). The alteration of articles is regulated by Sub-division 4 of Division 2 of Part 3. S.88(2) provides that a company can only alter its articles by **special resolution**; that is, a resolution passed by a majority of at least 75% of the members of the company (s.564(1)). The exception to this requirement is altering articles in respect of the maximum number of shares the company may issue (s.88(3)), which may be made by ordinary resolution; that is by a simple majority (s.563(1)). For the business of the company as decided by members, see Section 9.2.4.4.

Upon making such an alteration to the articles, the company must deliver to the Registrar of Companies a notice of the alteration and a copy of the altered articles certified by an officer (defined as director, manager or company secretary under s.2) of the company within 15 days (s.88(5)). It is an offence to fail to meet this requirement and the company and every responsible person shall be liable to a fine at Level 3 (HK\$10,000) and a further fine of HK\$300 for each day the offence continues (s.88(6)). Levels of fines for offences are set out in Schedule 8 of the Criminal Procedure Ordinance (Cap.221).

Statutory restrictions on the alteration of articles include alterations to the articles that require an existing member to take or subscribe for more shares than the number of shares they hold on the date of alteration, or increases a members' liability to contribute to the company's share capital, or in any way increases a members' liability to pay money to the company (s.92(1)). Where the share capital of a company is divided into different classes, with different rights for each type of share, special provisions are also made to restrict the way in which those rights may be altered (ss.180 and 188).

Whilst the alteration of a company's articles are subject to certain requirements and restrictions, at the same time, the company may not impose further conditions on the alteration of articles by writing such further conditions into the articles themselves. Under s.88(4), as long as an alteration is made in accordance with the requirements set out in s.88, such an alteration will be valid.

8.5.3.4 Objects Clauses and the *Ultra Vires* Doctrine

One provision that may be in a company's constitution is an objects clause. As stated in Section 8.5.2.2, the objects of a company were historically set out in the memorandum of association. Such objects were important for defining the capacity of what the company could do, protecting shareholders and investors from changes in the direction of the business the company undertook and ensuring the basis on which monies were invested in the company would remain the same. Actions of the company that fell outside the scope of the objects of the company were considered ***ultra vires*** (beyond the company's legal power or authority) and therefore void; e.g. in the *Ashbury Railway Carriage and Iron Co Ltd v Riche* case below, it was held that a loan agreement was entered into beyond the company's legal power.

Ashbury Railway Carriage and Iron Co Ltd v Riche (1875) LR 7 HL 653

Facts: Ashbury Railway Carriage's objects were to 'make and sell, or lend on hire, railway carriages'. The company agreed to give Riche a loan to build a railway in Belgium, but the company subsequently refused the agreement. Riche then sued on the agreement.

Issue: Whether or not the loan agreement was beyond the scope of the objects clause and *ultra vires*.

Held: The House of Lords held that the loan agreement was beyond the scope of the objects in Ashbury Railway Carriage's memorandum of association, and thus *ultra vires* and void.

The case of *Ashbury* is a classic English precedent on the *ultra vires* doctrine, but also illustrates the potential harshness of the doctrine. In the context of doing business, it was excessively strict to require that a company's legal capacity to enter into dealings was determined by the scope of an objects clause. It was plainly unrealistic for companies to forego business opportunities simply on the basis of their objects clauses. It also exposed companies to potential abuses. For example, take a case where if the company had performed their part of a deal, the performance of which may be outside the scope of the objects clause, and the other party refused to perform their part on the basis that what the company had done was *ultra vires*, would lead to the other party receiving the benefit of the company's performance with no consideration in return.

The problems with the *ultra vires* doctrine thus led to the drafting of more and wider objects clauses, thus seemingly defeating the purpose of protection of objects clauses.

8.5.3.5 Reform of the *Ultra Vires* Doctrine in Hong Kong

As stated above, the memorandum of association has now been abolished and objects clauses are now optional (s.82(2); See Section 8.5.2.2).

The capacity of a company is now set out in s.115, which states that a company has the rights, powers and privileges of a natural person of full age. Whilst a company obviously may not do all things a natural person has the capacity to do, such as enter into marriage, s.115 makes it clear that the legal capacity of a company is no longer restricted by any stated objects.

Where the objects of a company are stated in its articles, s.116 requires that the company must not do any act that it is not authorised to do by the articles, and members of the company may bring legal action to restrain the company from doing any act that would be in breach of the objects of the company. Whilst this is somewhat similar to the *ultra vires* doctrine, two important qualifications are set out in s.116: (1) the act done by the company in breach of its objects will not be invalid only for such a breach and (2) legal action cannot be brought against acts that are done to fulfil legal obligations that arise from the act in breach of the objects.

Apply and Analyse 3

Apply

Xavier, Yvonne and Zoey have incorporated a company, Foodie T Ltd, for their food truck business. All three are members and directors of the company. They include in the articles of Foodie T Ltd an objects clause that states: 'To carry on the business of selling prepared food from a mobile retail vehicle'. However, Xavier subsequently signs a deal for Foodie T Ltd to use the truck to deliver goods when it is not serving food. Analyse whether or not the *ultra vires* doctrine might still apply where a company opts to include objects clauses in its articles.

Analysis

Given that s.115 of the Companies Ordinance (Cap.622) ('CO') gives companies the capacity of a natural person of full age, it can no longer be said that Foodie T Ltd does not have the capacity to enter into such a contract, despite the objects clause.

However, s.116(1) of the CO states that 'if the objects of a company are stated in its articles, the company must not do any act that it is not authorised to do by its articles'. Thus, Foodie T Ltd should not have entered into the contract to deliver goods as its stated object is to carry on the business of selling prepared food, which does not include the delivery of goods.

Previously, under the *ultra vires* doctrine, entering into the agreement for the delivery of goods would be void. However, under s.116(5) of the CO, an act of a company shall not be invalid only because the company does such an act in breach of s.116(1) of the CO.

S.116(3) of the CO empowers members of the company, such as Yvonne and Zoey, to bring proceedings in court to restrain the company from doing an act that would breach s.116(1) of the CO. However, under s.116(4) of the CO, such proceedings may not be brought against acts that fulfil a legal obligation that arises from the act that breached s.116(1) of the CO; that is, as Foodie T Ltd has already entered the agreement that is outside the scope of the objects clause, it is too late to restrain the performance of that contract.

However, the analysis does not end there, as Yvonne and Zoey are likely to have a cause of action against Xavier for entering into such a contract on the basis of the breach of his duties as a director. Directors' duties will be discussed further in Chapter 10 Contentious Matters.

8.5.4 Other Incorporation and Ongoing Requirements

In addition to the registration of the incorporation form and articles, there are other requirements for incorporation concerning the company name, the company's registered office, business registration, common seal, the members, directors and secretary of the company, and registers of such persons. Most of these initial requirements are also required to be maintained throughout the company's existence. These are dealt with in turn below.

8.5.4.1 Company Name

Division 3 of Part 3 sets out provisions in respect of company names. For the purposes of incorporation, Sub-division 1 in respect of restrictions on company names and Sub-division 2 in respect of the word 'limited' for limited companies are pertinent.

Under s.100, the restrictions on company names may broadly be separated into two types: (1) those names that have already been registered under the Companies or other Ordinance that would constitute a criminal offence or is offensive or against the public interest (s.100(1)), and (2) names that would give the impression the company is connected with the Central People's Government, the Government of the HKSAR and any of their respective departments or agencies (s.100(2)). These restrictions may be further extended by the Financial Secretary under s.101, who may specify by an order published in the Government Gazette any word or expression that may not be registered as a name by the Registrar of Companies. Pursuant to s.101, the Companies (Words and Expressions in Company Names) Order (Cap.622A) was enacted, under which expressions such as 'chamber of commerce' and 'tourism board' or words such as 'trust' and 'savings' as listed in the Schedule to the Order may not be registered as part of a company name.

S.102 Limited Company Must Not Be Registered Without 'Limited' as Last Word of Name, etc.

A limited company must not be registered by:

- (a) if the company has an English name only, a name without 'Limited' as the last word of the name;
- (b) if the company has a Chinese name only, a name without '有限公司' as the last four characters of the name; or
- (c) if the company has both an English name and a Chinese name:
 - (i) an English name without 'Limited' as the last word of the name and
 - (ii) a Chinese name without '有限公司' as the last four characters of the name.

As seen in the above extract from the CO, limited companies must be registered with the word 'Limited' as the last word of their English names and the Chinese equivalent for their Chinese names. It can also be seen from the extract that by implication (i.e. by virtue of the fact that no other languages are mentioned), companies registered in Hong Kong must either have an English name, a Chinese name, or both. This is in line with the official languages of the HKSAR. Under paragraph 3 of the Companies Registry's 'Guideline on Registration of Company Names for Hong Kong Companies' (https://www.cr.gov.hk/en/companies_ordinance/docs/Guide_RegCompName-e.pdf), a company name with a combination of English words/letters and Chinese characters is not allowed'. Thus, company names must be wholly in English or wholly in Chinese.

As mentioned above, the Registrar of Companies may licence companies to dispense with the word 'limited' from their names (s.103).

8.5.4.2 Registered Office

Companies are required to have a **registered office** in Hong Kong, to which all communications and notices to the company may be addressed (s.658(1)). This address should be stated on the incorporation form, and with effect from the date of registration, that address shall be regarded as the address of the company's registered office (s.658(2)).



A document is considered served on a company by leaving it at, or sending it by post, to the company's registered office (s.827). This has been held by courts to be the case even if the registered office is vacated or the company does not learn of the service.

Ho Kwok Wah v Group Jewellery Arts Ltd and Others (2000) 3 HKC 595

Facts: A summons to court was sent by the third defendant, Ms. Lim, to the registered office of the company run by the plaintiff, even though the third defendant knew that the plaintiff had in fact vacated the registered office. As the plaintiff did not receive the summons to court and was not aware of the case, the plaintiff did not defend the action and judgment was entered against the plaintiff as a result of this failure to defend. The plaintiff then brought an action to set the judgment aside to allow them to fight the case.

Issue: The judge at first instance took a dim view of this tactic, which he felt was deliberate in order to win the judgment in the absence of the plaintiff, and which he found was irregular. The case was appealed to the Court of Appeal.

Held: The Court of Appeal held that the judgment was not irregular as the document had been sent to the registered office of the company, in accordance with the provisions of the Companies Ordinance. The judgment was thus held to be properly obtained.

It is a criminal offence for a company not to have a registered office and the company, and every responsible person of the company, shall be liable to a Level 5 fine (HK\$50,000) and a further HK\$1,000 fine for each day that the offence continues (s.658(5)). Levels of fines for offences are set out in Schedule 8 of the Criminal Procedure Ordinance (Cap.221).

8.5.4.3 Business Registration

The BRO requires that every person carrying on a business shall make an application to the Commissioner of Inland Revenue for the registration of their business (s.5 of the BRO).

S.5A (Business Registration Ordinance). Simultaneous Business Registration Applications of Companies Incorporated Under Companies Ordinance

1. At the time an incorporation submission is made, the person who made the submission must:
 - (a) pay to the Commissioner the prescribed business registration fee and levy; and
 - (b) deliver a notice in a form specified by the Commissioner under Section 5D(1), to indicate whether the person intends that the company to be formed will make an election under Section 6(5C)(c).

S.5A (Business Registration Ordinance). Simultaneous Business Registration Applications of Companies Incorporated Under Companies Ordinance (*continued*)

2. If the person complies with Subsection (1), on the incorporation of the company,
 - (a) the company is deemed to have made a business registration application; and
 - (b) if the person has, under Subsection (1)(b), indicated the intent to make an election under Section 6(5C)(c), the company is deemed to have made an election under Section 6(5C)(c).

As seen in the above extract from the BRO, when registration is made for the purposes of incorporation, payment should also be made to the Commissioner of Inland Revenue for the required business registration fee and levy along with the delivery of a notice for the simultaneous business registration. The effect of doing so is that the company is then deemed to have made a business registration, saving it the trouble of having to make a separate application.

8.5.4.4 Common Seal

Previously, every company was required to have an engraved seal for the purposes of executing documents on behalf of the company. The execution of documents and deeds is dealt with in detail in Chapter 10 Contentious Matters.

Under the current provisions of the CO, a company is not required to have a **common seal**. If a company chooses to have such a seal, it must be a metallic seal, with the company's name engraved in legible form. It is an offence for the common seal to fail to meet this requirement and the company and every responsible person shall be liable to a fine at Level 3 (HK\$10,000) (s.124). Levels of fines for offences are set out in Schedule 8 of the Criminal Procedure Ordinance (Cap.221). Official seals and company chops are also dealt with in detail in Chapter 10 Contentious Matters.

8.5.4.5 Registers to Be Maintained by the Company

Companies must maintain registers of its members, directors and company secretaries under the CO. By virtue of the fact that it is an offence to fail to maintain these registers, which is subject to a daily fine for continuing offences, such registers should be maintained from the incorporation of the company.

Register of Members

Under s.627, a register of the **members of a company** must be kept, in English or Chinese (s.627(1)). In the register must be entered the names and addresses of each member, the date on which each member was entered into the register and the date on which such persons may cease to be members of the company (s.627(2)). Where the company is one that has share capital, the shares held by each member, including the share number, and the amount paid or agreed to be paid for the shares should also be entered in the register of members (s.627(3)). These particulars of the members must be entered into the register within 2 months after the company receives notice of them and must be maintained for 10 years after such persons cease to be members of the company (ss.627(4) and (6)).



Register of Directors

Under s.641, a register of the directors of the company must be kept, in English or Chinese. In the register must be entered the names, addresses and ID card numbers of each director or, in the case of directors who are incorporated bodies, the corporate name and address of its registered or principal office (s.641(1)). In the case of a listed corporation, shareholding of a director must also be disclosed (See Chapter 12 Listed Companies and the Regulation of Financial Markets).

Register of Company Secretaries

Under s.648, a register of company secretaries must be kept, in English or Chinese (s.643). In the register must be entered the names, addresses and ID card numbers of each company secretary or, in the case of company secretaries who are incorporated bodies, the corporate name and address of its registered or principal office or, if the partners of a firm are joint company secretaries, the name and principal office of the firm (s.650).

All registers should be kept at the company's registered office and the Registrar should be notified where the register is kept within 15 days of the register first being kept. The Registrar should also be notified if there is any change in the place where the register of company secretaries is kept, within 15 days after the change (ss.628(1), (2) and (3); 641(3), (4) and (5); 648(3), (4) and (5)). It is an offence to fail to meet any of these requirements and the company and every responsible person shall be liable to a fine at Level 4 (HK\$25,000) and a further fine of HK\$700 for each day the offence continues (ss.627(7) and 628(5); 641(7); 648(7)). Levels of fines for offences are set out in Schedule 8 of the Criminal Procedure Ordinance (Cap.221).

The registers, like other company records, may be kept in hard or electronic form. If they are kept in electronic form, the company must ensure they are capable of being reproduced in hard copy form. Pursuant to ss.631, 642 and 649, members are entitled on request and without charge to inspect these registers. Others are entitled, on request in the prescribed manner and payment of the prescribed fee, to inspect these registers and be provided copies of the registers or any part of them. The manner of request and fees are provided for in the Company Records (Inspection and Provision of Copies) Regulation (enacted as subsidiary legislation (Cap. 622I)). Annual returns shall be filed and kept at the Companies Registry (See Chapter 9 Internal Administration of a Company).

8.5.4.5.1 Register of Significant Controllers

The register of significant controllers (Part 12 of the Division 2A) is a new requirement that was added to the CO in February 2018, which came into effect on 1 March 2018 (Companies (Amendment) Ordinance 2018 (Order No.3 of 2018)). It concerns persons who hold more than 25% of the share capital of a company with share capital, or the rights in more than 25% of the capital or profits of the company for a company without share capital, or more than 25% of the voting rights in the company, or the right to appoint or remove a majority of the board of directors of the company, or the right to exercise significant influence or control over the company (Part 1 of the Schedule 5A). Companies are now required to keep a register of its significant controllers, even if the company does not have a significant controller. The register must include the names, addresses and ID card numbers of each significant controller, the

date on which they became significant controllers and the nature of that person's control over the company or, in the case of incorporated significant controllers, the corporate name and address of its registered or principal office, the legal form and law that governs the entity, the date on which it became a significant controller and the nature of its control over the company (Schedule 5B of the CO). These details should be entered in the register within seven days after they have been confirmed by the person or entity (ss.653J(1) and (2)). It is an offence to fail to meet any of these requirements, and the company and every responsible person shall be liable to a fine at Level 4 (HK\$25,000) and a further fine of HK\$700 for each day the offence continues (ss.653H(4), 653I(3) and 653J(3)). Levels of fines for offences are set out in Schedule 8 of the Criminal Procedure Ordinance (Cap.221).

In addition to the register of significant controllers, at least one designated representative must be designated by the company in order to provide assistance to regulators in respect of compliance with these and other requirements. A designated representative must be a natural person, resident in Hong Kong, and a director, employee or member of the company or an accounting professional, legal professional or a person licenced to carry on a trust or company service business in Hong Kong under the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap.615) (s.653z).

8.5.4.5.2 Applicability

As discussed briefly in Section 8.3.2.1, a new Division 2A to Part 12 has been inserted into the CO regarding the reporting requirements of the significant controllers register for companies.

These provisions for the disclosure of significant controllers are applicable to 'applicable companies', i.e. companies incorporated under the CO or its predecessors. Listed companies are excluded from the definition as the disclosure of the significant shareholders of these companies is governed by the disclosure regime under the SFO already. All applicable companies need to maintain a register of persons known to be a significant controller.

A company is required to take reasonable steps to ascertain and identify the significant controller(s). This includes an obligation to send enquiry notices to the person a company knows or has reasonable cause to believe is a significant controller.

8.5.4.5.3 Inspection

The register for significant controllers needs to be kept at the company's registered office or a prescribed place in Hong Kong as notified to the Registrar. The register shall be open to inspection by (1) persons whose names are entered on the register as significant controllers; and (2) a 'law enforcement officer'. This includes not only the police, but also enforcement officers or other agencies, such as the Companies Registry, the Customs and Excise Department, the Hong Kong Monetary Authority, the Immigration Department, the Inland Revenue Department, the Insurance authority, the Independent Commission Against Corruption and the Securities and Futures Commission or any department.

8.5.4.5.4 Significant Controller

A significant controller can be a person or legal entity such as a company. These are known as registrable persons and registrable legal entities in the CO. A registrable legal entity (1) must be a member of the applicable company (i.e. the company whose control is in question); and (2) must have significant control over the company. It is noted that the definition of registrable persons includes not only a natural person but also a corporation sole, a government of



a country or territory, an international organisation (with at least 2 or more countries as members) and a local authority or local government in a country or territory, provided the entity has significant control over the company.

The concept of significant controller goes beyond shareholder and centres on a person/entity's actual control over the company's affairs. In summary, the concept of significant controller is defined as a person/entity who has significant control if:

- (1) The person/entity holds directly or indirectly more than 25% of the issued shares or voting rights in the company;
- (2) The person/entity holds directly or indirectly the right to appoint or remove a majority of the board of directors of the company;
- (3) The person/entity has the right to exercise or actually exercises significant influence or control over the company; and
- (4) The person/entity has the right to exercise or actually exercise significant influence or control over the activities of a trust or firm, not being a legal person under the relevant laws, whose trustees or members meet one of the above criteria.

A person/entity holds shares indirectly where he/she has a majority stake in a legal entity that holds the shares or in a chain of such legal entities which hold a majority stake in the entity below with the last entity in the chain holding the shares. A 'majority stake' means a majority of voting rights, the right to appoint a majority of the board, the control of a majority of voting rights through shareholders' agreements or otherwise the right to actually exercise dominant influence or control over the entity. For the purpose of these provisions, a share held by a nominee for a beneficiary is regarded as being held by the beneficiary. See Schedule 5A of the CO for further details on the concept of significant control.

Further, it is noted that a person is excluded from the definition of a registrable person if he/she has significant control in the company: (1) through a listed company; or (2) through a chain of companies with the last one being a listed company.

The concept of 'significant influence' is not precisely defined. It seems that, where a person can ensure that a company generally adopts the activities which the person desires, it would indicate significant influence. In considering whether a person has significant influence, all relationships that the person has with the company or other individuals that are responsible for the management of the company have to be considered. The cumulative effect of such relationships might indicate a person's significant influence.

Other Registers

Other registers also required under the CO to include the register of debenture holders (Division 2 of Part 7), the register of charges (Division 7 of Part 8), and a register of loans, quasi-loans and other dealings in favour of the directors, bodies corporate controlled by the directors and entities connected with the directors (s.384). The registers of debentures or charges are created only after the company issues a series of debentures (s.308(1)) or after charges affecting the property of the company are created (ss.352(1) and (2)). Similarly, the register of particulars under s.384 is only required in the context of the notes to financial statements (Part 9, Division 4, Subdivision 3) rather than upon incorporation.

(For the register of directors, see Chapter 9 Internal Administration of a Company. For the register of shares and charges, see Chapter 11 Company Capital and Financing Companies. For the registration of director's shareholdings, see Chapter 12 Listed Companies and the Regulation of Financial Markets.)

HKSAR v Best Time Holdings Limited

Facts: In November 2018, the defendant was charged for the offences of failing to keep the significant controllers register at its registered office (s.653M(1)) and failing to display continuously the company name in legible characters at its registered office (s.3(1) of the Companies (Disclosure of Company Name and Liability Status) Regulation, Cap. 622B).

Issue: Whether the defendant breached the regulations of Cap.622 and Cap.622B.

Held: The defendant was convicted and a fine of HK\$8,000 was imposed.

HKSAR v Haihua Shipping Service Co., Limited

Facts: In January 2019, the defendant was charged for five offences. The defendant was charged for failing to keep (1) the register of members (s.628(1)), (2) the register of directors (s.641(3)), (3) the register of company secretaries (s.648(3)) and (4) the significant controllers register (s.653M(1)) at its registered office. Further, it was charged for the offence of failing to display continuously the company name in legible characters at its registered office (s.3(1) of the Companies (Disclosure of Company Name and Liability Status) Regulation, Cap. 622B).

Issue: Whether the defendant breached the regulations of Cap.622 and Cap.622B.

Held: The defendant was convicted and a fine of HK\$10,000 was imposed.

Apply and Analyse 4

Apply

Xavier runs an ice-cream business through Company X. Xavier is the sole shareholder and director of Company X. Xavier is retiring and sells Company X to Yvonne. As a result, Yvonne becomes the new shareholder and director of Company X.

Identify (1) the relevant register that needs to be updated and (2) the relevant information about Yvonne that is required to be updated to the register(s).

Register of Members

Xavier's date of ceasing to be a member of the company needs to be registered on the Register of the Members of the Company (s.627(2) of the Companies Ordinance (Cap.622) ('CO').

Yvonne's particulars need to be updated on the Register of Members of the Company (s.627(2) of the CO). Such particulars include:

- Her name;
- Her address;
- Date of registration; and
- Number of shares she holds.

Apply and Analyse 4 (continued)

Register of Directors

Xavier's name shall be removed from the Register of Directors. A Notice of Change in Particulars of Company Secretary and Director (Form ND2B) shall be filed.

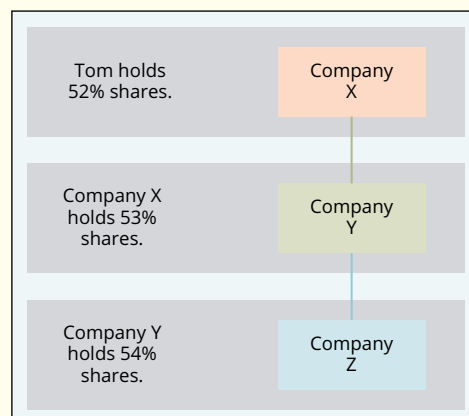
Yvonne's particulars need to be updated on the Register of Directors of the Company (s.643 of the CO). Such particulars include:

- Her name;
- Her usual residential address and a correspondence address; and
- Her identity card or passport number and, in the latter case, the issuing country.

Apply and Analyse 5

Apply

Tom holds 52% of the shares in Company X. Company X holds 53% of the shares in Company Y. Company Y holds 54% of the shares in Company Z. Analyse the registrable person(s)/entity(ies) of Company Z.



Analysis:

Tom is a registrable person of Company Z. He holds 54% of the shares indirectly through Company X and Company Y, i.e. he has a majority stake in Company X, which in turn has a majority stake in Company Y.

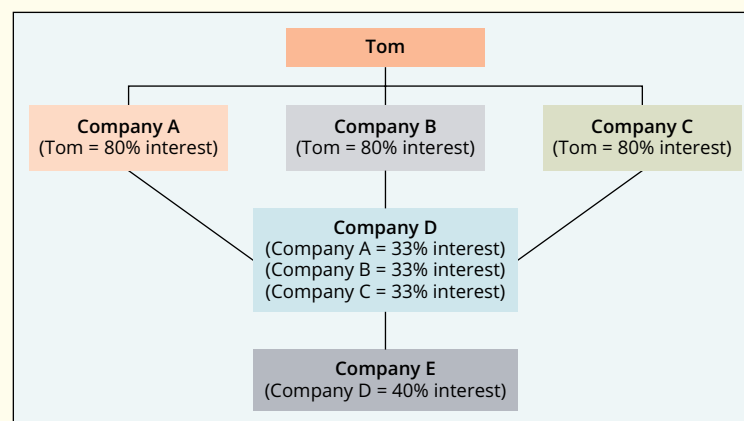
Company Y is a registrable entity of Company Z. Company Y has significant control over Company Z through directly holding 54% of Company Z's shares and being a member of this company.

Company X is not a registrable entity of Company Z. Although Company X has significant control over Company Z, Company X is not a member of Company Z.

Apply and Analyse 6

Apply

Tom has 80% interest in A Co., B Co. and C Co., each of which holds 33% shares in D Co. D Co. owns 40% shares in E Co. Identify the significant controller(s) of E Co.



Analysis:

D Co. is a registrable entity, being a 40% shareholder in E Co.

Tom is arguably a registrable person. It is true that neither A Co., B Co. nor C Co. has a majority stake in D Co. individually. Therefore, Tom cannot be considered to be holding D Co.'s 40% of the shares in E Co. in a chain of companies indirectly. However, due to Tom's 80% ownership in A Co., B Co. and C Co., Tom essentially controls the voting power of D Co., which in turn controls 40% of the voting power in E Co. Arguably, this renders Tom a person who can exercise significant influence or control over E Co.

Neither A Co., B Co. nor C Co. can be considered a registrable entity of E Co. as they are not a member of E Co.

8.5.4.6 Founder Members on Incorporation

The persons who sign on the company's articles for the purposes of incorporation under s.67(1)(a) are the founder members. Their names and addresses are required in the incorporation form (See Section 8.5.2.1; s.2 of Schedule 2). On incorporation, they become members of the company.

Historically, companies were required to have a minimum of two members. Under s.67(1), companies may now be formed by 'one or more persons', thus allowing one-person companies to be formed, although for the purposes of the register of members, there must be a statement in the register that the company only has one member (s.629(1)). It is an offence to fail to meet this requirement, and the company and every responsible person shall be liable to a fine at Level 4 (HK\$25,000) and a further fine of HK\$700 for each day the offence continues (s.629(3)). Levels of fines for offences are set out in Schedule 8 of the Criminal Procedure Ordinance (Cap.221).

The role of members will be further explored in Chapter 9 and 10 (See Section 9.2 The Business of the Company as Decided by Members and Section 10.4 Shareholders' Remedies).



8.5.4.7 Requirement to Have Directors

Sub-division 1 of Division 1 of Part 10 sets out the requirements of companies to have directors. Private companies (s.11; See Section 8.5.1.1) are required to have at least one director (s.454(1)), whereas public companies (s.12; See Section 8.5.1.1) and companies limited by guarantee (s.9; See Section 8.5.1.4) must have at least two directors (s.453(2)). Their names, addresses and ID card numbers are required in the incorporation form (s.3 of Schedule 2; See Section 8.5.2.1). On incorporation, they become the first directors of the company (ss.453(3) and 454(2)).

The role of directors will be further explored in Section 9.3.

8.5.4.8 The Role, Appointment, Duties and Resignation of the Company Secretary

Under the CO, companies in Hong Kong are required to have **company secretaries** (s.474(1)). It is a requirement in the incorporation form that a person is named as company secretary and their names, addresses and ID card numbers are also required (s.5 of Schedule 2; See Section 8.5.2.1). Upon incorporation, that person shall be the first company secretary of the company (s.474(2)).

The company secretary is the chief administrative officer in a company. Their role is neither clerical nor secretarial, but is administrative, particularly in ensuring compliance with the regulatory requirements that a company is subject to.

Some of these regulatory requirements, such as the register of members, directors and company secretaries, have already been touched upon above (See Section 8.5.4.5) and, as already discussed, failure to comply with those requirements may attract criminal liability for both the company itself and the responsible persons. As other similar regulatory requirements will be covered further on in this study text, it would be convenient to explore the role and duties of company secretaries at this juncture. Students should bear the role and duties of the company secretary in mind as they learn about other regulatory requirements.

Appointment – Qualifications for Company Secretary

Division 4 of Part 10 provides for the appointment and resignation of company secretaries. This Division includes the aforementioned requirement for companies to have company secretaries, the circumstances in which a director may not be a company secretary, the power of the Registrar of Companies to direct a company to appoint a company secretary and the resignation of a company secretary. The first company secretary is named in the incorporation form and directors may appoint a company secretary for a term and at such remuneration and such conditions as they think fit under the Articles, such as Article 33 of the Model Articles for Private Companies Limited by Shares (Schedule 2, Companies (Model Articles) Notice (Cap.622H)).

As implied in s.5 of Schedule 2 in respect of the particulars of the company secretary in the incorporation form, a company secretary may be a natural person, a body corporate or a firm of partners (s.5 of Schedule 2; See Section 8.5.2.1). Under s.474(4), the CO further requires that where a company secretary is a natural person, they should ordinarily reside in Hong Kong, or if they are a body corporate, the registered office or place of business of the body corporate should be in Hong Kong.

A director of a company may also serve as its company secretary (s.475(1)), provided that the company is not a private company that has only one director (s.475(2)). Further, a private company that only has one director may not appoint as its company secretary a body corporate that has as its sole director the director of that same company (s.475(3)). However,

under s.479(1), where it is provided that something is to be done by or to both a director and a company secretary, such a requirement shall not be satisfied by its being done by or to the same person acting as both director and company secretary simultaneously, or a director in place of the company secretary.

It should be noted that for the purposes of a company listed on the Stock Exchange of Hong Kong ('SEHK'), a company secretary must have sufficient academic or professional qualifications or relevant experience in order to be considered by the SEHK to be capable of discharging the functions of a company secretary. The academic and professional qualifications for these purposes are membership of the Hong Kong Institute of Chartered Secretaries, solicitors or barristers, or certified public accountants (Listing Rule 3.28).

Illustrative Example 6

In the opening case Andrew, Bruce, Chris and Denise are all named as directors of Impressive Technologies Ltd ('ITL') on its incorporation. Bruce is also named as the company secretary of ITL.

In the early days of ITL, the other directors were often unavailable as they were busy building the business of ITL on-site with clients. Bruce was left with the day to day running of ITL's offices, including having to execute agreements on behalf of ITL such as for computer and office equipment.

Under s.127(3)(b)(i) of the Companies Ordinance (Cap.622) ('CO'), a company may execute a document (in the case of a company with two or more directors) by having it signed on the company's behalf by any of the directors and the company secretary.

Despite the other directors being unavailable, Bruce may not execute the agreements on behalf of the company as both director and company secretary. S.479 of the CO states that a provision requiring or authorising a thing to be done by or to a director and a company secretary of a company is not satisfied by its being done by or to the same person acting both as director and company secretary, and this applied to all provisions of the CO, including s.127 of the CO. This is to ensure that where a director is also the company secretary there is oversight by other directors as to that director's authority in the two capacities. It should further be noted that under ss.127(6) and (7) of the CO, where a document purports to have been signed in accordance with s.127(3) of the CO, it shall be regarded as having been executed in favour of a purchaser in good faith for valuable consideration in the case of a property transaction, including lessees and mortgagees. In such circumstances, the company would be bound despite the breach of s.479 of the CO. Where it is provided that something is to be done by or to both a director and a company secretary, such requirement shall not be satisfied by its being done by or to the same person acting as both director and company secretary simultaneously, or a director in place of the company secretary.



Role and Responsibilities of Company Secretary

As mentioned above, the company secretary's role is administrative, and concerns compliance with regulatory requirements – examples of the work of the company secretary include: notice and arrangement of board and shareholder meetings; maintenance of the aforementioned registers (See Section 8.5.4.5); filing required documents with the Registrar of Companies; and where the company is one listed on the Stock Exchange, to deal with the regulatory requirements of listed companies as well. The following extract from 'The Essential Company Secretary' of the Hong Kong Institute of Chartered Secretaries ('HKICS') which set out the duties and responsibilities of company secretaries in Hong Kong may further clarify the role and requirements of a company secretary.

'3.1 A Member serving as a company secretary is regarded as both an officer and part of the senior management team, and is at the centre of the board's decision making process. The Member is expected to use his or her influence to promote good corporate governance.'

'3.2 Specifically, the Member should assist directors in their legitimate pursuit of profit and growth with integrity and independence, and also seek to protect the interests of the company, its shareholders and its employees, to the best of his or her ability.'

Paras 3.1 and 3.2, The Essential Company Secretary, HKICS, October 2013

Examples of the role of the company secretary under the CO include the power of the company secretary to: (1) execute, alongside a director, documents on behalf of the company (s.127(3)(b)(ii)); (2) certify true copies of an instrument that creates a charge that is to be delivered for registration (s.333(4)); and (3) to sign directors' reports on behalf of the board of directors (s.391(1)(b)).

The HKICS, the professional body for the study and practice of secretaryship in Hong Kong (https://www.hkics.org.hk/index.php?_room=1) and a member of the International Institute of Chartered Secretaries & Administrators, publishes a one-stop guide called 'The Essential Company Secretary' (https://www.hkics.org.hk/media/publication/attachment/PUBLICATION_A_2357_The%20Essential%20Company%20Secretary.pdf). This sets out the professional conduct required from company secretaries, some of their specific responsibilities, principles towards good corporate governance and considerations as to the reputation of the profession of company secretaries.

In respect of the regulatory requirements imposed on companies, the following extract illustrates the importance of the role of the company secretary in the administration of the company and complying with those requirements.

'3.4 The Member is required to be familiar with applicable ordinances, rules and regulations which impose numerous obligations on companies regarding the conduct of their affairs. In various instances, the company and each of its officers, which includes the company secretary, when in default are liable to a fine and, in some cases, imprisonment for the officers.'

'3.5 In view of potential liabilities, company secretaries cannot afford to ignore any cases of non-compliance with legislation or regulation that come to their attention, even if the directors have purported to make someone else responsible for those matters. As an officer of the company, the company secretary has a duty to monitor these matters, regardless of the terms of his or her

employment and should draw such cases to the attention of the directors and advise them of their own and the company's duties and obligations.'

Paras 3.4 and 3.5, The Essential Company Secretary, HKICS, October 2013

It is worth noting in paragraph 3.5 above that the duty of the company secretary as an officer of the company is to monitor compliance with the obligations or requirements that arise from the ordinances, rules and regulations that apply to the company.

The specific responsibilities of the company secretary as referred to in paragraph 4.3 of *The Essential Company Secretary* are set out in Appendix III of that guide, in the form of a list of questions the company secretary should consider. This includes: (1) the company secretary's relationship with the members of the board of directors; (2) the administration of its meetings, committees and delegations of authority; (3) the administration of the information and documentation to the board and its committees; (4) the conduct of board and committee meetings; (5) the form and retention of documentation; (6) the induction of new directors; (7) monitoring and training in respect of connected transactions; (8) monitoring and reminding about disclosure of interests; (9) compliance with continuing disclosure obligations; and (10) training for directors and senior management.

For the purposes of a company listed on the SEHK, the Corporate Governance Code further provides:

'Principle

The company secretary plays an important role in supporting the board by ensuring good information flow within the board and that board policy and procedures are followed. The company secretary is responsible for advising the board through the chairman and/or the chief executive on governance matters and should also facilitate induction and professional development of directors.'

...

'4. All directors should have access to the advice and services of the company secretary to ensure that board procedures, and all applicable law, rules and regulations, are followed.'

Section F, Company Secretary, Corporate Governance Code, Listing Rules

This extract not only emphasises the day-to-day role of the company secretary in ensuring that laws, rules and regulations are complied with in the context of the company's internal procedures, but also the role of the company secretary in providing guidance to the company's directors.

Duties of Company Secretary

The company secretary is considered an officer of the company, along with directors and managers ('Officer' is defined in s.2). This gives rise to fiduciary duties that a company secretary owes as an officer of the company.

In relation to the professional conduct of company secretaries, the HKICS requires that complete integrity, honesty, diligence and due care is exercised in carrying out responsibilities and to safeguard the legitimate interests of their employers and clients (paragraphs 2.4.1 and 2.4.2, *The Essential Company Secretary*, HKICS, October 2013). Of particular interest is the counterpart to these requirements (extracted below), which illustrate the conflicts of interest that a company secretary must avoid:

'2.5 Members shall not:

2.5.1 enter into any agreement or undertake any activity that may be in conflict with the legitimate interests of their employers or clients or that may prejudice the proper performance of their duties;

2.5.2 use confidential information obtained in the performance of their duties for any personal gain or in a manner that would be illegal or inconsistent with or detrimental to the interests of their employers or clients;

2.5.3 knowingly be a party to any illegal or unethical activity;'

...

Paras 2.5.1 to 2.5.3, The Essential Company Secretary, HKICS, October 2013

These conflicts of interest may be compared with, and are similar to, the conflicts of interest that directors of companies should avoid (See Section 10.3.5).

Illustrative Example 7

In the opening case, as before Bruce has been named company secretary of Impressive Technologies Ltd ('ITL'). In forming ITL, the team decides to adopt the Model Articles in Schedule 2 of the Companies (Model Articles) Notice (Cap.622H). Article 56 of the Model Articles states: 'No share is to be issued unless the share is fully paid'.

It is proposed that ITL be one limited by shares, and that shares be issued at HK\$100 per share. Denise is entitled to 1,000 shares, reflecting her 10% entitlement to profit. However, as was the case in the previous illustrative example, as she is a little short on cash, Denise only pays HK\$50,000 and is only issued 500 shares. Knowing that the other members are unlikely to check the register, Denise asks Bruce to record her shareholding in the register of members as 1,000 shares first, promising to pay the rest at a later date, as she is concerned other shareholders might take up the remaining 500 shares before she is able to pay for them.

In this illustrative example, should Bruce do so, it would be a clear breach of his duties as company secretary, as to make such a record on the register of members would constitute a crime of fraud. It would also be unethical to do so, as Denise has not made the full contribution to the capital of the company but would be recorded as holding more shares than her actual contribution of capital.

Resignation of Company Secretary

S.477 provides for the resignation of company secretaries. In particular, notice must be delivered by the company to the Registrar of Companies (s.474(2)) in accordance with the requirements of s.652(2), including delivery of the notice within 15 days after the change in company secretaries, in accordance with the specified form, Form ND4 – Notice of Resignation of Company Secretary and Director. It is an offence to fail to meet these requirements, and the company and every responsible person shall be liable to a fine at Level 4 (HK\$25,000) and a further fine of HK\$700 for each day the offence continues (s.652(3)). Levels of fines for

offences are set out in Schedule 8 of the Criminal Procedure Ordinance (Cap.221)). Notice of resignation does not take effect until it is given in writing in accordance with the requirements of the company's articles or the agreement with the company, by leaving the notice with the registered office of the company or sending it to the company in hard copy or electronic form (s.474(5)).

Where the resigning company secretary has reasonable grounds to believe the company will not deliver the notice, the resigning company secretary must deliver to the Registrar of Companies the notice of resignation (s.474(3)), including whether the resignation is required by the articles or by agreement with the company or by notice, and if notice had been given as required (s.474(4)).

► Knowledge Check Questions

Question 7

List the types of companies that can be formed in Hong Kong.

Question 8

Explain how companies are formed in Hong Kong.

Question 9

Explain what the articles of association for companies are.

Question 10

Explain what the *ultra vires* doctrine for companies is.

Question 11

Briefly describe the role of the company secretary in a company.

Question 12

Explain the actions a company can take if it intends to voluntarily cease to be dormant.

Question 13

Describe the conditions that allow a company to apply for deregistration.

8.5.5 Registration of Dormant Companies

A company that does not actively engage in any trading activities can seek a status as a dormant company. The provisions for dormant companies are less onerous in terms of their obligations to comply with the filing requirements under the CO. In order to become a dormant company, a company must pass a special resolution declaring the company to be dormant and delivering the resolution to the Registrar under s.5. A dormant company is exempted from preparing financial statements or directors' reports, the holding of annual general meetings, the filing of annual returns or even the appointment of an auditor (ss.477, 661 and 663).



A dormant company would lose its status automatically upon entering into any 'accounting transaction' (s.5(5)(b)), i.e. a transaction required by s.373 to be entered in the company's accounting records, excluding a transaction arising from the payment of any fee that the company is required by the CO to pay. If a dormant company enters into any accounting transaction, any member or director of the company who has knowledge of this would be held personally liable for any debt or liability of the company arising out of the said accounting transaction. Passing of a resolution to alter rights of a class of shares or to transfer shares would not amount to accounting transactions. A company may also voluntarily cease to be dormant by passing a special resolution for the intention to enter into an accounting transaction and delivering the same to the Registrar (s.5(5)(a)).

A public company and the following classes of private companies (as set out in s.5(7)) cannot be dormant companies:

1. Authorised institutions as defined in the Banking Ordinance (Cap.155);
2. Insurers as defined in the Insurance Ordinance (Cap. 41);
3. Corporations licensed under Part V of the Securities and Futures Ordinance (Cap. 571);
4. Approved trustees as defined in the Mandatory Provident Fund Schemes Ordinance (Cap. 485);
5. Companies which have a subsidiary falling under any of the previous categories; and
6. Companies which fall under any of the previous categories at any time during the preceding five years.

8.5.6 De-registration of Companies

A company, or its director or member, may apply to the Registrar for deregistration (s.750(1)). The application can only be made if the following conditions are satisfied:

1. All members agree to the deregistration;
2. The company has not commenced operation or has not been in operation or carried on business during the three months before the application;
3. The company has no outstanding liabilities;
4. The company is not a party to any legal proceedings;
5. The company's assets do not consist of any immovable property situated in Hong Kong; and
6. If the company is a holding company, none of its subsidiary's assets consist of any immovable property in Hong Kong.

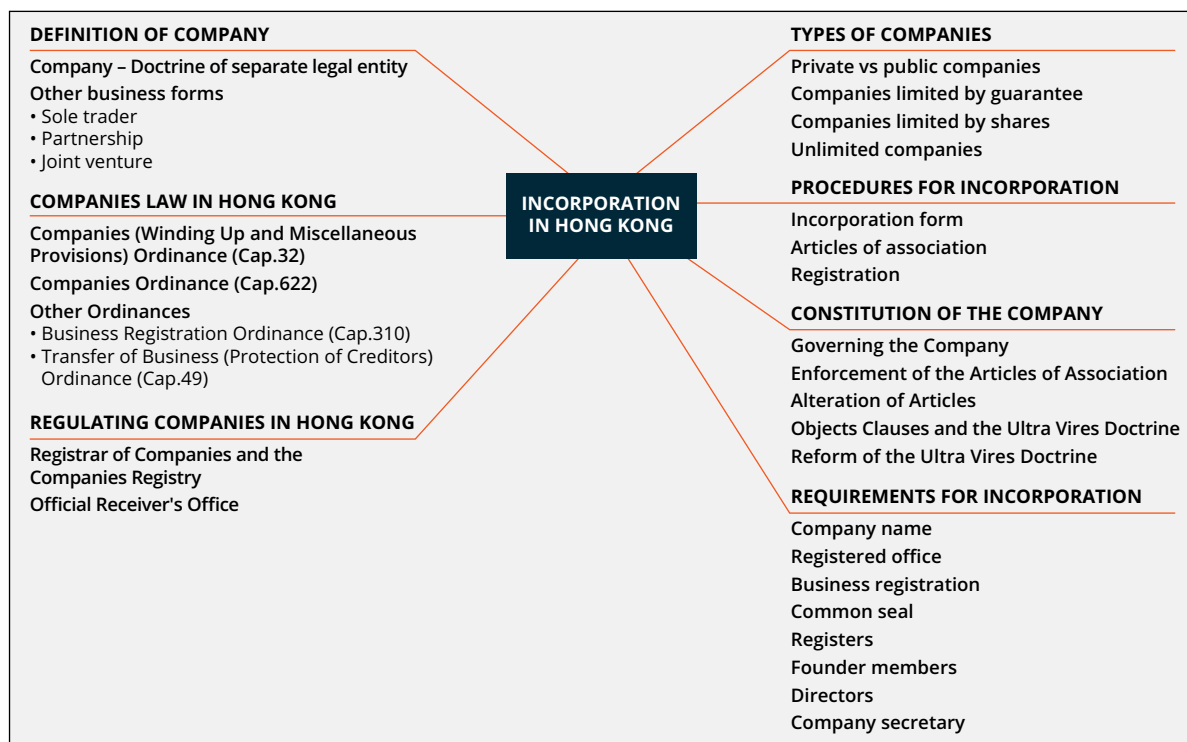


SUMMARY

- A company is a legal entity that is formed as a vehicle for carrying on the purposes of the person(s) that formed the company, particularly in business.
- Other vehicles for business include sole traders and partnership.
- A company differs from the other vehicles for business in terms of formation and formalities, in its legal status, in its management, and in its liabilities, amongst other differences. These differences may form the basis for deciding which type of vehicle may be the best for different types of business.
- A company is a separate legal entity from its members, and has the rights and powers of a natural person of full age. It may also incur obligations and liabilities like a natural person.
- A company can limit the liability of its members for its debts. Officers and employees of the company are generally not personally liable for those debts.
- Companies in Hong Kong are regulated by the Companies Ordinance (Cap.622) ('CO'), which provides for most aspects of the administration of companies.
- Provisions relating to the winding-up and insolvency of companies, disqualification of directors, and prospectuses are set out in the Companies (Winding Up and Miscellaneous Provisions) Ordinance.
- Aspects of the administration of listed companies are set out in the Securities and Futures Ordinance and the Listing Rules of the Stock Exchange of Hong Kong, amongst other sources of regulation.
- The Registrar of Companies is responsible for the registration of all documentation as required under the CO from companies in Hong Kong.
- The Official Receiver has oversight of liquidations of companies being wound up conducted in Hong Kong and can act as a liquidator if no private liquidator is appointed.
- Five types of companies may be formed in Hong Kong, depending on the limits of liability and number of members.
- Other types of companies in Hong Kong include companies that may be registered under the CO (such companies include hospitals, schools, universities and other institutions formed under ordinances other than the CO) and non-Hong Kong companies.
- A company is incorporated by registering a copy of its signed articles of association and an incorporation form with the Companies Registrar.
- Other requirements for incorporation include: (1) to observe restrictions in respect of the company name; (2) to have a registered office; (3) to have a business registration; (4) to maintain registers; (5) to have members; (6) to have directors; and (7) to have company secretaries.
- The articles of a company serve as the rule book for its internal governance. They take the form of a statutory contract between the company and each of its members, and between the members themselves, and may be enforced as such.

- The articles of a company may include its objects. Companies should not do anything that is outside of the scope of those objects.
- The company secretary is the chief administrative officer of the company and ensures compliance with the regulatory requirements of the company.
- The company secretary is both an officer of the company and part of its senior management. As an officer of the company, the company secretary has fiduciary duties that are owed to the company.

MIND MAP



APPENDIX 8.A: Summary of Differences in Sole Trader, Partnership and Company

	Sole trader	Partnership	Company
Formation and formalities	• Business registration	• Business registration • Partnership agreement	• Business registration • Registration of incorporation form and articles, subject to further requirements annually
Legal status	• Not separate legal entity • Business in the individual person's own name	• Not separate legal entity • Change in membership creates new partnership	• Separate legal entity in perpetual succession
Management	• Individual manage business	• All partners have right to manage	• Managed by directors
Liability	• Personally liable	• Partners jointly and severally liable • Agents for one another • Can bind partnership	• Liability of members can be limited • Directors and employees not personally liable • Company not agent of members and vice versa

APPENDIX 8.B: Schedules to the Companies Ordinance (Cap.622)

Schedule	Relates to	Provides for
Schedule 1	Part 1	Additional provisions concerning parent and subsidiary undertakings
Schedule 2	Part 3	Contents of the form used for incorporation
Schedule 3	Part 9	Qualifying conditions for a reporting exemption under Part 9
Schedule 4	Part 9	Required disclosures in the financial statements
Schedule 5	Part 9	Contents of the directors' report
Schedule 5A	Part 12	The requirements for 'significant control'
Schedule 5B	Part 12	The particulars to be registered for significant controllers
Schedule 5C	Part 12	Additional matters in respect of registers of significant controllers
Schedule 6	Part 12	Information to be contained in the annual return and the documents the annual return must be accompanied by
Schedule 7	Part 20	Offences the Registrar may give notice to a suspected offender about without instituting proceedings under Part 20
Schedule 8	Part 20	Paperless holding and transfer of shares and debentures. Not yet in force
Schedule 9	Part 21	Consequential and related amendments in relation to the predecessor Companies Ordinance
Schedule 10	Part 21	Has already been omitted as it contained consequential and related amendments to ordinances other than the Companies Ordinance that have been taken in already
Schedule 11	Part 21	Further transitional and saving provisions

APPENDIX 8.C: Subsidiary Legislation of the Companies Ordinance (Cap.622)

Subsid legislation	Cap.	Relates to	Provides for
Companies (Words and Expressions in Company Names) Order	622A	Part 3	Listing the words and expressions that may not be used in company names
Companies (Disclosure of Company Name and Liability Status) Regulation	622B	Part 12	Regulating the display of a company's name and its limited or otherwise liability status
Companies (Accounting Standards (Prescribed Body)) Regulation	622C	Part 9	Hong Kong Institute of Certified Public Accountants as the issuing body of accounting standards for the purposes of financial statements
Companies (Directors' Report) Regulation	622D	Part 9	The requirements for directors' reports
Companies (Summary Financial Reports) Regulation	622E	Part 9	Form and contents for summary financial reports
Companies (Revision of Financial Statements and Reports) Regulation	622F	Part 9	Regulations concerning the revision of financial statements and reports

Subsid legislation	Cap.	Relates to	Provides for
Companies (Disclosure of Information about Benefits of Directors) Regulation	622G	Part 9	The requirements for disclosing information about directors' benefits in financial statements
Companies (Model Articles) Notice	622H	Part 3	The Model Articles companies may adopt
Company Records (Inspection and Provision of Copies) Regulation	622I	Parts 9 and 13	Regulations for keeping, inspecting and providing copies of company records
Companies (Non-Hong Kong Companies) Regulation	622J	Part 16	Further regulations for non-Hong Kong companies
Companies (Fees) Regulation	622K	Parts 2 and 20	Various fees that may be payable under Parts 2 and 20
Companies (Unfair Prejudice Petitions) Proceedings Rules	622L	Part 14	Procedure for unfair prejudice petitions
Non-Hong Kong Companies (Disclosure of Company Name, Place of Incorporation and Members' Liability) Regulation	622M	Part 16	Further regulations for non-Hong Kong companies

APPENDIX 8.D: Schedules to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) Still in Force

Schedule	Provides for
Third Schedule	Matters to be specified in prospectuses and reports to be set out therein
Fourth Schedule	The form of statement in lieu of a prospectus to be delivered to the Registrar by a company that does not issue a prospectus or that does not go to allotment on a prospectus issued, and reports to be set out therein
Twelfth Schedule	The punishment of offences under this Ordinance
Fifteenth Schedule	The matters for determining unfitness of directors
Seventeenth Schedule	Specified offers
Eighteenth Schedule	Warnings and other statements to be contained in documents regulated by the Companies (Winding Up and Miscellaneous Provisions) Ordinance
Nineteenth Schedule	The contents and publication requirements of advertisements under the CWUMPO
Twentieth Schedule	The amendment of a prospectus consisting of one document
Twenty-First Schedule	Provisions in accordance with which a prospectus that may consist of more than one document should comply with
Twenty-Second Schedule	The specified persons for the purposes of civil liability for misstatements in a prospectus
Twenty-Third Schedule	Parent and subsidiary undertakings
Twenty-Fifth Schedule	The powers of a liquidator in winding-up
Twenty-Sixth Schedule	The transitional and saving provisions for the Companies (Winding Up and Miscellaneous Provisions) (Amendment) Ordinance 2016



APPENDIX 8.E: Subsidiary Legislation of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) Still in Force

Cap.	Subsidiary legislation
32B	Companies (Forms) Regulations
32C	Companies (Fees and Percentages) Order
32H	Companies (Winding-up) Rules
32I	Companies (Disqualification Orders) Regulation
32J	Companies (Reports on Conduct of Directors) Regulation
32K	Companies (Disqualification of Directors) Proceedings Rules
32L	Companies (Exemption of Companies and Prospectuses from Compliance with Provisions) Notice

► Answers to Knowledge Check Questions

Question 1

The doctrine of a separate legal entity states that a company is a completely separate legal person or entity from the person or persons who formed the company. The significance of this is that as a business vehicle, the company is able to incur obligations and liabilities on its own, which are not incurred nor make liable the members of the company.

Question 2

The concept of limited liability may be applied to companies so that the liability of members for the debts and obligations of a company is limited. The significance of this is that as a business vehicle, if the company is a limited liability company, it limits the exposure of its members for the liabilities of the company.

Question 3

The doctrine of separate legal entity means that a company incurs obligations and liabilities in its own name, and not in the name of its members. A sole trader incurs obligations and liabilities for himself/herself personally, and a partnership incurs obligations and liabilities for the partnership and each partner in it.

Question 4

Sole traders incur personal liabilities, and partners in a partnership incur liabilities that are joint and several, making each partner personally liable. By contrast, the concept of limited liability means that the members of a company can limit their personal liability for the obligations of the company.

Question 5

The Companies Ordinance (Cap.622) ('CO') replaced its predecessor, the previous Companies Ordinance (Cap.32), in March 2014. A number of reforms was introduced to company law in Hong Kong and the navigability was improved. Two important matters arise out of the CO: first, that many of its provisions are similar to the provisions of its predecessor, meaning that some of the case law precedents under the old Companies Ordinance may continue to be applicable, and, second, that some provisions in the old Companies Ordinance remain active and in force as the Companies (Winding Up and Miscellaneous Provisions) Ordinance.

Question 6

The Registrar of Companies, under whom the Companies Registry is responsible for the registration of documents required under the Companies Ordinance; the Official Receiver, which has responsibility over liquidations of companies in Hong Kong; and the Financial Reporting Council, which investigates auditor irregularities and financial reporting compliance of listed companies.

Question 7

Five types of companies can be formed in Hong Kong under s.66 of the CO:

1. Public companies limited by shares;
2. Private companies limited by shares;
3. Public unlimited companies with share capital;
4. Private unlimited companies with share capital; and
5. Companies limited by guarantee without share capital.

The type of company formed will depend on whether those forming the company (1) intend for the company to meet the requirements of a private company (otherwise, it is a public company) *and* (2) intend to limit the liability of the members for the company's debts (otherwise, it is an unlimited company). Companies limited by guarantee are a separate type of company where liability of members is limited by the members' guarantee, and does not have share capital or issue shares. This type of incorporation is useful as a vehicle for charities and non-profit organisations.

Question 8

Companies in Hong Kong are formed by delivering to the Registrar of Companies a copy of the signed articles of association of the company to be formed, and the incorporation form, which sets out extensive information in relation to the company to be formed. Companies in Hong Kong may only be formed for lawful purposes.

Question 9

The articles of association of a company are the rules by which a company's internal affairs are governed. They constitute a statutory contract between the company and each member, and also between the members themselves, and are enforceable as such.



Question 10

Where a company has included in its articles an objects clause, that is, a clause stating the purposes of the company, such a clause serves to restrict what a company may or may not do. Previously, if a company acted in breach of its objects clause, such an act would be void for being *ultra vires*, that is, beyond the company's legal power to do. The Companies Ordinance has reformed the doctrine so that an act in breach of an objects clause is now not necessarily void, and legal action may not be brought against acts in fulfilment of legal obligations that arise out of the breach.

Question 11

The company secretary is the chief administrative officer of a company and is primarily responsible for ensuring compliance with the administrative requirements imposed on companies by the Companies Ordinance.

Question 12

Voluntary loss of dormancy must be achieved through a special resolution. A company can voluntarily cease to be dormant by passing and delivering to the Registrar a special resolution of the intention to enter into a financial transaction.

Question 13

In order to apply for de-registration, a company must not have carried on business for three months before the application. Before applying, all members must agree to the de-registration and the company must not hold any assets consisting of immovable property located in Hong Kong. Finally, the company cannot be a party to legal proceedings when applying for de-registration.

EXAM PRACTICE

QUESTION 1

1. Bruce and Clark want to form a decorator business in Hong Kong. Bruce wants to keep the start-up costs low and does not want to have to deal with too many formalities. Clark, however, is concerned about being personally liable in the future, for example, if there are workplace accidents. Both would like to be sure of their rights to manage the business.
2. Diana is setting up a private company limited by shares called Ar Ma Zone for her maternity wear company. She has adopted the Model Articles for the company's articles of association, a copy of which the founder members have signed, and appointed directors and a company secretary.
3. Maurice, Desmond and Gareth are directors and shareholders of Bizzney Ltd. Bizzney Ltd's articles include an objects clause that the purpose of Bizzney Ltd is 'to carry on the business of publishing children's comics'. Gareth then signs a deal on behalf of Bizzney Ltd to publish a gossip magazine.

- (a) Analyse whether a partnership or company would be the preferable business vehicle for Bruce and Clark's decorator business.
- (b) Analyse what other steps Diana needs to take to incorporate her company.
- (c) Analyse whether or not Bizzney Ltd is *ultra vires*, and if Maurice and Desmond can prevent the publication of the gossip magazine.

QUESTION 2

1. Alex is an established rich businessman in the real estate business, owning various valuable lands in Sai Kung under his own name. Alex's son, Brian, wishes to create a start-up company in big data science in Hong Kong. Brian sets up a company for this purpose, namely, B Co. Both Alex and Brian are shareholders and directors of B Co. Brian now wishes to borrow money from a friend, Charlie, for his business. Brian explains to Charlie that the loan agreement would be entered into jointly by his company, B Co., and himself. However, Brian, as a director of B Co., would sign the agreement on behalf of B Co. Brian tells Charlie not to worry as his father is rich and would be able to repay the debt even if there was a default on the loan.
 2. David has just won the lottery in Hong Kong. He wants to fulfil his dream of opening stalls around the world selling Hong Kong street snacks. He intends to carry out the following activities through three companies that he incorporated in the British Virgin Islands: (1) Through Fish Ball Co., he would open up fish ball stalls in London. All revenue of Fish Ball Co. would be kept in the UK. However, the board meetings would be held in Hong Kong, where David resides. (2) Through Carrot Co., David would further incorporate two companies in Hong Kong, Red Carrot Co. and Green Carrot Co. Both of these companies would be wholly owned subsidiaries of Carrot Co. Carrot Co., through its subsidiaries, would set up stalls selling carrots in Hong Kong. All board meetings of Carrot Co. (including those discussing the operational direction of the subsidiaries) would be held in Hong Kong. (3) Through Pig Skin Co., David would set up stalls selling pig skin in New York. All financial and corporate activities of Pig Skin Co. would be conducted entirely in New York. The only exception is the share transfer and share registration office, which would be kept in Hong Kong. The registered offices of all three British Virgin Islands companies are in the British Virgin Islands.
 3. Edmond wants to incorporate three companies, X Co., Y Co. and Z Co. Edmond wants the articles of associations for each company to provide the following conditions, respectively: (1) X Co., there cannot be over 100 members; (2) Y Co., its members, which are limited to 10 in number and can only be the relatives of Edmond, may not transfer their shares without the approval of the directors; (3) Z Co., an invitation may be made in MTR stations to anyone who wishes to be subscribed for shares.
- (a) Determine the liabilities of Alex, Brian and B Co. in the event of a default.
 - (b) Analyse whether registration under Part 16 of the Companies Ordinance (Cap.622) is required for each of the companies: Fish Ball Co., Carrot Co. and Pig Skin Co.
 - (c) Analyse whether X Co., Y Co. and Z Co. may be incorporated as a private company within the definition of the Companies Ordinance (Cap.622).

ANSWERS TO EXAM PRACTICE

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622) ('CO').

Answers provided below are not full sample answers. Students are expected to provide full explanation in exams.

QUESTION 1

- (a) In respect of formation and formalities, Bruce and Clark could simply form a partnership by way of a partnership agreement, which would need to be registered under the Business Registration Ordinance (Cap.310) ('BRO'). However, in order to form a company, Bruce and Clark would need to register an incorporation form with an extensive number of details, as well as a signed copy of the articles of association of the company to be formed. Moreover, a company would be subject to many further ongoing requirements, such as the filing of documents, holding of meetings, and the maintenance of registers. Given the complexity and potential cost of setting up a company, Bruce may prefer to form a partnership instead.

A company, however, would be a separate legal entity incurring obligations and liabilities in its own name, which would enable Bruce and Clark to limit their personal exposure. By contrast, a partnership formed by Bruce and Clark would not constitute a separate legal entity, and they would be jointly and severally liable for the obligations of the partnership. Given the potential for personal liability in a partnership, Clark may prefer to form a company instead.

In a partnership, all partners have the right to manage the business of the partnership. In a company, the directors manage the business of the company. Bruce and Clark can choose to be partners, or opt to both be appointed as directors of their own company, and are thus able to participate in the management of the company in this way. Without further details as to the needs of their decorating business, it may be difficult to conclude whether a partnership or company would be preferable. However, the purchase of insurance against workplace accidents for the decorator business may help alleviate Clark's concern about potential liabilities, and the lower cost and limited formalities of forming a partnership may thus be preferable in this case.

- (b) Companies are incorporated in Hong Kong by delivering to the Registrar of Companies for registration the incorporation form and a copy of the signed articles of the company to be formed.

From the facts, Diana should establish a registered address for the company to be formed. She should also seek a business registration if she has not yet done so, which may be made simultaneously with her incorporation submission by paying the Commissioner of Inland Revenue the required business registration fee and levy, and delivering a notice for simultaneous business registration under s.5A of the BRO.

It should be noted that the proposed company name in its current form may not be registrable. First, under s.102, a limited company must be registered with the word 'Limited' as the last word of the English name of the company or '有限公司' as the last four characters of the Chinese name of the company. Second, under the Companies Registry's *'Guideline on Registration of Company Names for Hong Kong Companies'*, a combination of English words and Chinese characters is not allowed for a company name.

- (c) Under s.116(1), where the objects of a company are stated in its articles, the company must not do any act that it is not authorised to do by its articles. Bizzney Ltd should not have entered into any contract to publish anything other than children's comics.

Under s.116(3), members of the company (i.e. Maurice and Desmond) may bring court proceedings to restrain Bizzney Ltd from doing any act in breach of s.116(1). Previously, under the *ultra vires* doctrine, the agreement for publishing the gossip magazine would be void. However, under s.116(5), an act of a company shall not be invalid just because it breaches s.116(1).

Unfortunately, for Maurice and Desmond, under s.116(4), proceedings to restrain Bizzney Ltd from publishing the gossip magazine may not be brought, as proceedings may not be brought against acts to fulfil legal obligations that arise from the act that breached s.116(1). In this case, the act of publishing in fulfilment of the contract Gareth signed on behalf of Bizzney Ltd, Maurice and Desmond may thus have to pursue other legal remedies against Gareth, for example in respect of his director's duties.

QUESTION 2

- (a) (i) Alex has no liability. Since the loan agreement was entered into by B Co. and Brian jointly, Alex is not a party to the agreement. Alex has no liability as a shareholder of B Co. In law, the rights and obligations of the company and its shareholders are separate. Charlie cannot enforce the loan agreement against Alex or his lands.
- (ii) Brian is liable. Although Brian has no liability merely by being a shareholder or director of B Co., he personally entered into the loan agreement. His obligations and liabilities are distinct from that of B Co. under the doctrine of a separate legal entity of a company. Thus, he is liable in his own capacity in the event of a default.
- (iii) B. Co. is liable. Its obligations and liabilities are distinct and separate from those of its shareholder, Brian.
- (b) (i) Fish Ball Co. does not need to be registered. Part 16 requires those non-Hong Kong companies that have established a place of business in Hong Kong to be registered. Virtually all business of Fish Ball Co. is done in the UK. Only board meetings would be held in Hong Kong. Applying the Court of Final Appeal ('CFA') ruling in the *Kam Leung Sui Kwan* case, the mere holding of board meetings in Hong Kong is insufficient to establish Hong Kong as its place of business.
- (ii) Carrot Co. needs to be registered. Except for its place of incorporation and registered office, all its corporate and business activities are carried out in Hong Kong. The CFA held in the *Kam Leung Sui Kwan* case that the place of business connotes a place where or from which the company either carries on or possibly intends to carry on business. Even though Carrot Co. is only a holding company, its business and all its board meetings are held in Hong Kong. Thus, Carrot Co. has established a place of business in Hong Kong and is required to be registered according to s.776(2).
- (iii) Pig Skin Co. needs to be registered. S.774 defines place of business as including a share transfer office and a share registration office. Thus, Pig Skin Co. has established a place of business within the definition of the CO and is required to be registered under s.776(2).

(c) Analysis:

- (i) X Co. is not a private company because a private company must limit the number of its members to 50.
- (ii) Y Co. can be incorporated as a private company as it fulfils all the requirements set out in s.11.
- (iii) Z Co. is not a private company because a private company must prohibit any invitation to the public to subscribe for any shares.

9

Internal Administration of a Company

CHAPTER TOPIC LIST

9.1 Audit and Accounts

- 9.1.1** Accounting Records Required to be Kept
- 9.1.2** Annual Financial Statements
- 9.1.3** Directors' Inspection
- 9.1.4** Members' Inspection
- 9.1.5** Auditors

9.2 The Business of the Company as Decided by Members

- 9.2.1** Types of Meetings: Annual and General Meetings

9.2.2 Matters Requiring the Calling of Meetings

9.2.3 Notice to be Given

9.2.4 Procedures of Members' Meetings

9.2.5 Decisions without Meetings

9.3 The Board of Directors

9.3.1 Types of Directors

9.3.2 Appointment of Directors

9.3.3 Procedures of Board Meetings

9.3.4 Vacation of Office

9.3.5 Disqualification of Directors



LEARNING OUTCOMES

PRINCIPAL LO1: ANALYSE AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN THE DIFFERENT FORMS OF LEGAL ENTITIES

Formation of companies

LO1.02: Explain and apply the process of forming an incorporated body

1.02.07 Apply the requirements for the registration of:

- Shares (*)
- Charges (*)
- Directors
- Directors' shareholdings (#)

1.02.08 Apply the accounting and audit requirements of a company

1.02.09 Apply the requirements for record keeping and returns

Administration of companies

LO1.04: Analyse how companies make decisions and manage their activities, and apply the rules and requirements to practical business situations

1.04.01 Analyse how a director is appointed and removed

1.04.04 Apply the concepts of:

- Insider dealing (#)
 - Disqualification order
 - The Corporate Governance Code in the Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited ('Listing Rules') (#)
- in relation to a director of a company

1.04.07 Analyse the duties and liabilities of auditors and their appointment, removal, resignation and replacement

1.04.08 Analyse the business of a company decided by directors and matters requiring the approval of the shareholders in general meetings

1.04.09 Describe different types of meetings: an annual general meeting and a general meeting

1.04.10 Explain and analyse the relevant matters in relation to company meetings including:

- Procedures for convening a meeting
- Members' resolution
- Quorum, proxy and voting
- Passing members' resolution without meeting
- Corporate Governance Report as required by the Listing Rules (#)

1.04.13 Apply the rules and requirements regarding administration of companies to practical business situations

For the topics marked with (*), please refer to discussions in Chapter 11.

For the topics marked with (#), please refer to discussions in Chapter 12.



OPENING CASE

MANAGEMENT OF IMPRESSIVE TECHNOLOGIES LTD

Refer to Chapter 8 for the opening case 'Genesis of Impressive Technologies LTD'.

Impressive Technologies ('ITL') has now been incorporated in Hong Kong as a private company limited by shares under the Companies Ordinance. Andrew, Bruce, Chris and Denise each holds 25% of the shares (the remaining group of friends decided not to invest after all). For the sake of convenience, Andrew and Bruce were appointed as the directors of ITL upon its incorporation.

ITL now needs to make a few important decisions in order to push the business forward. Chris wishes to participate in the discussion of such matters. However, Andrew explains to Chris that Chris cannot participate in the decision-making process as Chris is not a director. Chris also complains that sometimes Andrew and Bruce would convene meetings without informing Chris. Chris wishes to find out whether he is entitled to receive notice of and attend any meetings held, and if so, which ones. Chris wants to find out what the difference is between members' meetings and board of directors' meeting.

Denise does not want to be a director or be involved in the general management of the company. Nevertheless, Denise wants to know what sort of control she has over the general management of ITL as a 25% shareholder. Denise understands that there is a certain requirement as to the book-keeping and preparation of annual financial statements of the company. She is quite content to simply rely on such documents to keep track of the running of the company. However, she is not sure whether there are any statutory procedures in place to ensure that such accounts are true and accurate. She understands that there are professionals called auditors who can assist in safeguarding the accounting process.

To add to this, a lawyer friend reminded them to keep proper records otherwise they might commit a criminal offence. The group of friends must now grapple with the internal administration and management of ITL as a company. 



OVERVIEW

This chapter discusses the internal management of a company. It first sets out the audit and accounting requirements of a company, explaining the basic features of annual financial statements, auditing requirements and inspection powers by directors and members. Thereafter, the discussion moves on to the way a company's affairs are managed by its shareholders and directors. The focus will be on the decision-making process of the shareholders and the directors, respectively.

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622).



9.1 AUDIT AND ACCOUNTS

A financial account is a core element in the management of a company. It often provides the most basic and important information about the business and affairs of a company. The Companies Ordinance (Cap.622) ('CO') requires financial records and annual audited financial statements to be kept by companies. Such financial records provide a useful tool for shareholders and potential investors to understand the business.

9.1.1 Accounting Records Required to be Kept

S.373(2) requires that a company must keep accounting records to the specified standard.

S.373 Company must keep accounting records

1. A company must keep accounting records that comply with subsections (2) and (3).
2. The accounting records must be sufficient-
 - (a) to show and explain the company's transactions;
 - (b) to disclose with reasonable accuracy, at any time, the company's financial position and financial performance; and
 - (c) to enable the directors to ensure that the financial statements comply with this Ordinance.
3. In particular, the accounting records must contain-
 - (a) daily entries of all sums of money received and expended by the company and the matters in respect of which the receipt and expenditure take place; and
 - (b) a record of the company's assets and liabilities.



Accounting records must be kept at a company's registered office or any place approved by the directors as provided by s.374(1). The accounts (1) must disclose with reasonable accuracy the financial position of the business in question at intervals of not more than six months and (2) must be sufficient to enable the directors to ensure the preparation of financial statements (See Section 9.1.2) according to s.374(3). Listed companies are subject to more onerous financial reporting duties as set down by the Listing Rules (See Chapter 12).

In keeping with modern technologies, the CO provides that the accounting records can be kept in hard copy or electronic form (s.376(2)). Further, the records must be retained for seven years (s.377).

It is a criminal offence for a director of a company to fail to take all reasonable steps to ensure that proper accounting records have been kept by the company (ss.373(5) to (7)).

9.1.2 Annual Financial Statements

Under the CO, directors of a company are required to prepare audited financial statements, a directors' report and an auditor's report each financial year (s.379).

9.1.2.1 Financial Year

A financial year of a company is determined based on a concept called the 'accounting reference period'. The calculation of the accounting reference period is described below.

After incorporation, the first accounting reference period of a company begins on the date of incorporation and ends on the date that is the last day of the month of the anniversary of the company's date of incorporation. The calculation of the latter date is known as the 'primary accounting reference date'.

Subsequently, the accounting reference period for each financial year commences on the date following the end of the previous financial year and ends on the 'accounting reference date', which is the same date each year as the primary accounting reference date.

The directors may specify a particular day as the primary accounting reference date. However, this date must fall within 18 months of the company's incorporation (ss.369(5)(a) and (b)). Subsequently, the financial year can be shortened or lengthened. However, such change must not render the financial year longer than 18 months. Further, the financial year cannot be changed more than once every five years (ss.371(5) and (6)).

Illustrative Example 1

For example, say a company was incorporated on 25 March 2016. The first accounting reference period for it would be from 25 March 2016 to 31 March 2017. Thereafter, in the next year the accounting reference period would be from 1 April 2017 to 31 March 2018.

9.1.2.2 Contents of Financial Statements

As a general principle, the annual financial statements must give a true and fair view of the financial position of the company as at the end of the financial year (s.380). The detailed requirements are to be found in the applicable accounting standards issued by a body specified by regulations, namely the Hong Kong Institute of Certified Public Accountants ('HKICPA'). See s.2 of the Companies (Accounting Standards) (Prescribed Body) Regulation (Cap.622C). The CO only provides that those accounting standards must be complied with in the preparation of the financial statements.

Accordingly, the HKICPA has issued the 'Hong Kong Financial Reporting Standards' ('HKFRS'). The HKFRS and the relevant 'interpretations' issued by the HKICPA are applicable to Hong Kong companies. In general, the requirements in the HKFRS are on a par with the international standard, i.e. the International Financial Reporting Standards issued by the International Financial Reporting Standards Foundation. It is noted that, for small-sized and medium-sized companies, a less onerous reporting standard is applicable, i.e. the *Financial Reporting Framework and Financial Report Standard for Small-Sized and Medium-Sized entities* ('FRF and FRS for SMEs'). This is in recognition of the fact that the high standard adopted in the HKFRS may not be necessary for companies of these sizes. For companies qualifying for this standard, see Section 9.1.2.4.

In order for financial statements to be in compliance with the general principle of giving a true and fair view of the company, they need to include the following:

1. **Statement of profit or loss and comprehensive income (formerly named as 'income statement'):** This statement shows the company's financial performance in a given period of time, i.e. whether the company had made a profit or a loss in the relevant financial year. This statement should show information such as revenue, operating expenses, tax expenses and depreciation of fixed assets, etc. Ultimately, this statement should show a net figure indicating the profit or loss of the company for a period. This figure could be obtained by deducting all expenses from the revenue, thus showing a profit or a loss.
2. **Statement of financial position (formerly named as 'balance sheet'):** This statement provides a snapshot of what a company owns (i.e. assets) and owes (i.e. liabilities) and its shareholders' equity (i.e. capital and reserves). It deals with items such as capital, reserves and liabilities of a company at a given date. This statement should provide a summary of the company's current and non-current assets, current and non-current liabilities (including loans and debt securities) and shareholder's equity (i.e. capital). It must be signed by two directors on behalf of all directors (s.387(1)).
3. **Directors' emolument:** A financial statement must contain information (in the form of notes) on directors' emolument such as the emoluments, retirement benefits, payments made in respect of termination, loans, etc. (s.383(1)).
4. **Corporate group undertakings:** Holding companies are required to prepare consolidated financial statements (s.379(2)). This means that the consolidated financial statements must take into account all subsidiary undertakings. The term 'undertakings' is widely defined in Schedule 1 and refers to: (1) a body corporate (i.e. a company), (2) a partnership or (3) any unincorporated association carrying on a trade or business, for profit or not.

9.1.2.3 Directors' Report

Directors are required to prepare a directors' report each financial year (s.388(1)). It is an offence if a director fails to take reasonable steps to ensure compliance.

The purpose of a directors' report is to provide a narrative supplement to the financial statements. The report should explain the principal activities of the company in the course of the financial year (s.390). Thus, it would deal with such matters as profit and loss of the company and the state of the company's affairs generally, giving a business review of the company (Schedule 5). It also deals with matters such as dividends and shares issued. The general purpose is that the report must contain the particulars of matters that are material for the members' appreciation of the state of the company's affairs (s.390(2)(a)). More specific requirements relating to the directors' report can be found at ss.390, 543(2), Schedule 5 and the Companies (Directors' Report) Regulation (Cap.622D).

The directors' report must be approved by the directors and be signed by a director or the company secretary on behalf of all the directors (s.391(1)).

9.1.2.4 Simplified Reporting

For certain companies, a lower standard of reporting is applicable. These companies are exempted from the requirements of the accounting standards mentioned in Section 9.1.2.2. They only need to comply with the aforementioned accounting standard for small-sized and medium-sized businesses, i.e. the FRF and FRS for SMEs (See Section 9.1.2.2).

The following companies are exempted:

1. **Small private company:** Small private companies are exempted. In order to qualify for the exemption, a company needs to satisfy any two of the following conditions (s.361):
 - 1.1 Total revenue not exceeding HK\$100 million.
 - 1.2 Total assets not exceeding HK\$100 million.
 - 1.3 Average number of employees (during the financial year) not exceeding 100.

Any company that is not initially a small private company may become one by satisfying any two of the above conditions in any two consecutive financial years (ss.359(3) and (4)). Conversely, a company that originally qualified as a small private company may be disqualified if any two of the conditions above are not satisfied for two consecutive financial years. The company would be disqualified in the financial year immediately following those two consecutive years. For the requirements applicable to companies limited by guarantee, see s.363 and Schedule 3.

Illustrative Example 2

In the opening case, the first financial year of Impressive Technologies Ltd ('ITL') reported a total net profit of HK\$1 million and a total revenue of HK\$5.5 million. In its second financial year, it recorded a significant growth, seeing a revenue of HK\$101 million. It has also increased the number of its staff members from 50 to 98. In its third financial year, there was a profit of HK\$30 million out of a revenue of HK\$150 million. The number of staff members also doubled. In its fourth financial year, ITL recorded a deterioration in

Illustrative Example 2 (*continued*)

its business, with a drop in the profit down to HK\$1 million out of a revenue of HK\$102 million. It also cut back the number of its staff members to 111 people. Explain whether ITL was qualified for simplified accounting in the respective financial years.

ITL was only qualified for exemption in the first three financial years. In the second financial year, only one criterion was not met, i.e. the revenue criteria. In the third financial year, two criteria were not met but the same could not be said for the previous year. However, in the fourth financial year, both the revenue and the staff requirements were not met for two consecutive years. Thus, ITL lost its qualification for exemption in the fifth financial year.

2. **Private companies electing for simplified reporting:** A company may choose the less onerous standard of reporting by an approval of at least 75% of votes of the members, providing that there is no vote vetoing the adoption of the simplified reporting (s.360). (An alternative is that all members give their approval for the lower standard in writing (s.359(1)(b).) In addition, any two of the following conditions must be satisfied (Schedule 3):

- 2.1 Total revenue not exceeding HK\$200 million.
- 2.2 Total assets not exceeding HK\$200 million.
- 2.3 Average number of employees (during the financial year) not exceeding 100.

A company satisfying these requirements is known as an eligible private company.

3. **Companies that cannot qualify for exemption:** Despite the aforementioned, certain types of companies cannot qualify for the exemption at all. These are companies that by themselves or through their subsidiary:
 - 3.1 Carry on a banking business holding a valid banking licence pursuant to the Banking Ordinance (Cap.155) (s.359(4)(a)).
 - 3.2 Are corporations licenced under Part V of the Securities and Futures Ordinance (Cap.571) to carry on regulated activities (s.359(4)(b)).
 - 3.3 Carry on any insurance business otherwise than solely as an agent (s.359(4)(c)(i)).
 - 3.4 Carry on a trade or business in accepting loans of money (s.359(4)(c)(ii)).
4. **Corporate groups:** Groups of private companies or companies limited by guarantee can be eligible for exemption if the requirements at ss.364 and 365 are satisfied.

Companies (Amendment) (No.2) Ordinance 2018 commenced operation on 1 February 2019 and has expanded the scope of application of the simplified reporting procedures. The procedures are now applicable to:

1. Holding companies of corporate groups comprising small private companies or eligible private companies and small guarantee companies (mixed groups) and
2. Holding companies of groups of small private companies, eligible private companies, small guarantee companies or mixed groups with non-Hong Kong subsidiaries.



Further, the definitions of 'holding company' and 'parent undertaking' were updated to reflect the current accounting standards. The basis for determining whether an entity is a 'subsidiary' of the 'parent undertaking' is the concept of 'control' as set out in Schedule 1.

9.1.2.5 Publication

There is no general duty on private companies to publish or disclose their financial statements to the public. Thus, the public has no right to inspect or obtain copies of financial statements from the Companies Registry. However, the financial statements of public companies and companies limited by guarantee are required to be lodged at the Registry together with the annual returns (Schedule 6 and s.7). As such, these are accessible to the public because documents on the register of the Registry are open to public inspection (s.45).

Private companies do not need to lodge their financial statements with the Registry. Thus, it is sufficient for private companies to file their annual returns in accordance with provisions ss.662 to 664, as follows:

1. A private company must deliver to the Registrar for registration an annual return within 42 days after the company's return date (s.662(1)).
2. The company's return date is the anniversary of the date of the company's incorporation in each year (s.662(2)).
3. A company that fails to file its annual return commits an offence and is liable to a fine (s.662(6)).
4. A company's annual return must be in the specified form ('NAR1') and contains information specified in the form, e.g. the company name, the type of company, the address of the registered office, the particulars of members and share capital, the particulars of directors or reserve directors and the particulars of the company secretary (See s.664 and Schedule 6).

Illustrative Example 3

In the opening case, Impressive Technologies Ltd ('ITL') was incorporated in Hong Kong on 24 June 2010. Andrew, Bruce, Chris and Denise each held 3,000 shares. Andrew and Bruce were appointed as directors. Assuming the date is now 24 June 2019. After being a director for nine years, Bruce decided to step down. Further, Bruce also wished to leave the company entirely. He therefore resigned and sold his shares to the other three shareholders on 23 June 2019. As a result, on or before 5 August 2019 (i.e. 42 days after the anniversary of the date of incorporation of ITL), the company would need to file an annual return recording that (1) Andrew was the only director, (2) Bruce's shareholdings reduced to zero on 23 June 2019 and (3) each of Andrew, Chris and Denise's shareholdings increased to 4,000 shares on 23 June 2019.

9.1.2.6 Disclosure

A company is required to send the following documents to its members at least 21 days before the annual general meeting: (1) financial statements, (2) the directors' report and (3) the auditor's report (collectively known as the reporting documents) (s.429). These may be sent via electronic means (such as email) with the agreement of the members (s.831). However, a

summary of the financial report can be sent to members in place of the above documents, provided that the members agreed to this alternative arrangement (s.442).

It is noted that members of the public do not have a right to obtain financial statements of a private company. However, the reporting documents of public companies and private companies are required to be lodged at the Registry and as such are available for public inspection (s.664).

9.1.3 Directors' Inspection

As a matter of statute, accounting records of a company must be open to inspection by the company's directors at all times without charge (s.374(1)(b)). Directors are entitled to make copies of the records so inspected (s.375).

At common law, a director also has a right to access a company's documents. It is worth noting that the common law right is wider than that stated in s.374(1)(b). In *Tsai Shao Chung v Asia Television Ltd*, the Court of Appeal held that the common law rights of directors to access a company's documents extend to cover such documents as corporate material, corporate records and accounts, corporate information and accounting and other records or documents belonging to the company. The idea is that a director is entitled to inspect any documents that would reasonably be of assistance to enable him/her to carry out his/her duties.

A director may apply to the court for assistance to inspect the company's records (s.378).

The right of inspection is conferred on directors individually. Thus, each director can exercise this right on his/her own (without acting collectively as the board of directors). (See *Tsai Shao Chung v Asia Television Ltd* (2012) 4 HKLRD 52.) The right is exercisable by both executive and non-executive directors¹. One example of the need for such an application is where a director needs the inspection to investigate any alleged misfeasance (wrongdoing) on the part of another director.

***Re Baldwin Construction Ltd* (2001) 3 HKLRD 430**

Facts: A, B, C and D were directors of two companies. There was a fallout between A and B on one side and C and D on the other side. C and D sought inspection of documents of the companies from A and B. A and B refused the inspection and opposed the inspection application on the basis that C and D's application was motivated by vindictiveness.

Issue: Whether inspection should be granted.

Held: Inspection was granted. As a general rule, the director's rights and powers in relation to the inspection of company documents were not a matter of discretion with the court. Such a right was implied in the Companies Ordinance. Only if it could be proved that a director intended to abuse the confidence in relation to the company's affairs and to injure the company in a material way could the director's right of inspection be interfered with. C and D were entitled to inspect the company documents without explaining why the inspection was sought. It was immaterial that the purpose of the inspection might be to discover misfeasance on the part of A and B. That was not an abuse of confidence on C and D's parts.

¹ *Re Alvares & Marsal Asia Ltd* (2009) 4 HKLRD 727 (CA).

However, the court will not allow the directors to abuse this right. No inspection application would be allowed if it is found that (1) the director intends to misuse confidential information in a way that would lead to damage to the company or (2) if the director seeks inspection for a collateral purpose other than in pursuit of his/her duties as a director and to the benefit of the company². Litigations in this area are usually generated by disputes between shareholders each controlling part of the board of directors.

Apply and Analyse 1

Apply

In the opening case, the four shareholders of Impressive Technologies Ltd ('ITL') fell out with each other. Andrew and Denise were dissatisfied with the way Bruce was handling the company. Chris took a neutral position. In fact, Andrew and Denise suspected that Bruce embezzled money from ITL through his own company Doggy Co. However, since the financial accounts of ITL had always been in the hands of the Bruce, Andrew and Denise had nothing to show that Bruce had actually committed any misconduct. Denise wanted to take action to expose and remove Bruce. Andrew wanted to do the same as Andrew had discovered that Bruce had been having an affair with Andrew's wife. Andrew wanted to obtain the accounting records so that Andrew could report to the police for any potential criminal offence committed by Bruce. Andrew now applies to the court for an order of inspection of the company's accounts. Analyse whether Andrew's application should be granted.

Analysis

As a general rule, the director's rights and powers in relation to inspection of company documents was not a matter of discretion with the court. Such a right was implied in the Companies Ordinance (Cap.622). Thus, a director would only be refused this right if (1) the right was abused and the director wanted to use the information to injure the company or (2) the director seeks inspection for a collateral purpose other than in execution of his/her director duties. In the present case, Andrew was motivated by multifacet purposes. First, Andrew wanted to expose Bruce's embezzlement. This seems to be in line with Andrew's duties. Second, Andrew wanted to report Bruce to the police and used this right as a means of obtaining incriminating evidence. This is arguably not an abuse of Andrew's right. It is by any measure a proper thing to report a suspected crime to the police. It is not an action that would damage the company, as opposed to actions such as selling material information to competitors. Although this urge to report to the police is motivated by personal reasons, it seemed that it would still be justified if there were evidence of Bruce's embezzlement.

² *Re Peaktop Technologies (USA) Hong Kong Ltd* (2007) 4 HKLRD 207 and *Re Fook Lam Moon Restaurant Ltd* (2011) 1 HKLRD 964.

9.1.4 Members' Inspection

Members also have a right to inspect companies' records (without charge) and request for copies (for a prescribed fee) (s.620). In addition, members generally have a right to receive copies of the annual financial statements and other reporting documents (s.831). This can now be done electronically either via email or publication on a website (s.833).

However, the members' right to inspect is less extensive than that of the directors. This is a reflection of the doctrine of separate legal entity. A company is a separate entity to its shareholders (See Section 8.1). A member's right to inspect records covers (1) minutes of general meetings (s.620); (2) register of members (s.631); (3) register of directors and company secretaries (ss.642 and 649); (4) register of debenture holders (s.310); and (5) the register of charges (s.355).

At common law, members have no general right to inspect a company's books of account or other company documents. It is noted that the company's articles may provide for a wide scope of right of inspection for members. In the Model Articles for Private Companies Limited by Shares ('the Model Articles,' unless otherwise specified for public companies limited by shares), the right to inspect a company's documents (except those company records stated in the last paragraph) by members is subject to approval by directors (or by the company in a general meeting) (See Section 9.2).

If a member wishes to inspect records of the company, he/she may apply to the court (s.740). Any member(s) wishing to make such an application must satisfy the following conditions (s.740(6)):

1. The applicant members must hold at least 2.5% of the voting rights in the company; or
2. The application is made by at least five members of the company.

Again such application for inspection must not be misused. The court may only make an order for inspection if it is satisfied that (1) the application is made in good faith and (2) the inspection applied for is for a proper purpose. Unlike in the case of directors, it is for the members making such an inspection application to justify that it is required for a proper purpose. A proper purpose must relate to the applicant's status as the shareholder, e.g. for the purpose of protecting against a change in value of the member's shares³, where a transaction might adversely affect a shareholder's investment and he/she seeks to investigate such a transaction or where a shareholder seeks to access information in relation to possible misconduct by directors⁴.

It is noted that as long as the primary or dominate purpose of the application is proper, it is irrelevant that the applicant member(s) might have some secondary purpose which might be improper. The reason for this is that, just because an applicant may be hostile towards a director, it does not mean that there is no proper purpose.

Documents that may be inspected under such an application according to s.740 are wide, covering any 'record or document' of the company. However, it does not include records of the subsidiaries of the company save for those already in possession of the company, thus forming part of the record of the latter (*Wong Kar Gee Mimi*).

³ *Wong Kar Gee Mimi* (2011) 5 HKLRD 241.

⁴ See examples summarised in *Re Lehman Brown Ltd* (2011) 5 HKLRD 668 (31).

9.1.5 Auditors

The CO requires every company to appoint an auditor (s.394). The main role of the auditor is to ensure truth and comprehensiveness in the company's financial reporting. Whilst the company is responsible for preparing financial statements, an auditor ensures the truthfulness of these statements.

The Accounting and Financial Reporting Council ('AFRC') would become a full-fledged independent regulator of the accounting profession since 1 October 2022 (See Accounting and Financial Reporting Council Ordinance (Cap.588)). For further information on the AFRC, see Chapters 1 and 12, respectively.

9.1.5.1 Qualifications and Appointments

Qualifications

S.393 requires that only a person meeting requirements provided in the Professional Accountants Ordinance (Cap.50) ('PAO') is eligible to be appointed as a company's auditor. S.29(2) of the PAO provides that an auditor for the company must be a certified public accountant holding a practicing certificate. A firm of certified public accountants in practice can be appointed as an auditor under the name of the firm (s.28A(2) of the PAO). In this case, all the partners of the firm would be deemed to be appointed as auditors of the company (s.399). A corporate practice can also be appointed as an auditor (s.29(2) of the PAO). A corporate practice means a company vehicle through which an account(s) practice was registered as such. However, employees of the company cannot be appointed as auditors of that company to avoid conflict of interest (s.393(2)). Further restrictions can be found in the HKICPA's Code of Ethics for Professional Accountants, which provides for situations where the independence of the auditor could be compromised or seen to be compromised.

Appointments

An auditor must be appointed for each financial year of a company (s.394). The first auditor of a company may be appointed by the directors any time before the company's first annual general meeting ('AGM') (See Section 9.2). This is usually done because audited financial statements are required to be presented at the first AGM. At the first AGM, the members may either reappoint the first auditor or appoint a new auditor (s.396), i.e. the appointment needs to be refreshed annually. It is worth noting that, in the circumstances in which a company dispenses with the requirement for an AGM, the existing auditor will be deemed to be re-appointed (s.403).

9.1.5.2 Auditor's Duties and Auditor's Report

The main duties of an auditor are in relation to the preparation of the auditor's report. In addition to financial statements and a director's report, the CO requires the appointed auditors to prepare a report to the members on those financial statements, i.e. the auditor's report (s.405).

The general requirement is that the auditor's report must state whether the financial statements have been properly prepared in compliance with the CO. Specifically, the auditor's report must provide, in the opinion of the auditors:

1. Whether the statements give a true and fair view of the state of the company's affairs (s.406(1)(b)).

2. Whether the director's report is consistent with the financial statements (s.406(2)).
3. Whether adequate accounting records have been kept by the company (s.407(2)).
4. Whether the financial statements are in agreement with the accounting records (s.407(2)).

The auditors have a duty to carry out investigations so as to enable them to form an opinion on items 3 and 4 above (s.407(1)).

The auditor's report is essentially the auditor's opinion as to the compliance of the financial statements. Such opinion may be qualified or unqualified. For example, a qualified opinion may be subject to matters that the auditors cannot investigate due to whatever reasons or that certain information provided is limited in scope.

The auditor's report ought to include the name and signature of the auditor(s) (s.409). Copies of the auditor's report need to be sent to members before the AGMs (s.430). A copy of the auditor's report shall also be presented before the company in the AGMs (s.429).

In addition to those specific duties in relation to the preparation of the auditors' report, auditors also owe a common law duty of care in the performance of the auditing functions. This duty is both tortious and contractual (as an implied term in the contract of the auditors' engagement). The auditors must take reasonable care and skill in the conduct of the audit and the making of the auditors' report. However, it depends on the individual circumstances of a case as to what is a reasonable amount of care (See Section 9.1.5.4).

Re Kingston Cotton Mill Co (No. 2) (1896) 2 Ch 279

Facts: Before the company was wound up, the balance sheets signed by the auditors grossly overstated the value of the company's stock-in-trade at the end of each year. This happened for a few years before the winding-up. The auditors relied on certificates as to the value of the stock-in-trade, willfully false, provided by the manager of the company. If the auditors had compared the different books and added to the stock-in-trade at the beginning of the year the amounts purchased during the year and deducted the amounts sold, they would have seen that the statement of the stock-in-trade at the end of the year was so large as to call for explanation. However, the auditors did not do so. Dividends were paid for some years on the basis of the wrong balance sheets.

Issue: Whether the auditors were in breach of duty such that they were liable for the wrongly paid dividends.

Held: The answer is no. It was not part of the duty of the auditors to take stock. The auditors were justified in relying on the certificates provided by the manager, a person of acknowledged competence and high reputation, and were not bound to check his certificates in the absence of anything to raise suspicion. The auditors were not liable for the dividends wrongfully paid.

Apply and Analyse 2

Apply

P Firm has been auditing F Co's accounts for years. Suddenly, F Co entered into liquidation due to multiple defaults on loans. It was discovered by the liquidators that F Co had been 'cooking' its books and records for some time to give the pretence of a healthy business. In fact, F Co had been making circular payments to companies set up by its directors to generate fake business. P Firm had handled the fabricated invoices over the years. The invoices were fabricated professionally and do not appear on first glance to be fake. However, if a sample visit or stocktaking had been done, it would have been obvious that the invoices were bogus. The liquidator now wished to sue P Firm on the basis of breach of its duties. Analyse P Firm's liability.

Analysis

It is trite that auditors owe a common law duty of care in the performance of the auditing functions. This duty is both tortious and contractual (as an implied term in the contract of the auditors' engagement). The auditors must take reasonable care and skill in the conduct of the audit and the making of the auditors' report. However, it depends on the individual circumstances of a case as to what is a reasonable amount of care. In the present case, it seems that the fabricated invoices were done professionally such that an auditor might not be expected to raise any suspicion on it. It therefore depends on whether the circumstances were such that it was reasonable for the auditors to conduct a sample visit or stocktaking, which they failed to do. This would depend on the size of F Co's business and the size of the bogus invoices. If they were large and contained a material part of F Co's business, P Firm would likely be liable for failure to conduct sample checking or stocktaking.

9.1.5.3 Auditor's Rights

In order to enable auditors to carry out their functions and duties properly, the CO confers on them numerous rights. For example:

1. The auditors have a right of access to the accounting records of the company. They are entitled to request from the company's officers or any person holding or accountable for any accounting records such information and explanation that the auditors reasonably require for the performance of their duties (s.412(1)). Failure to comply with the request is a criminal offence unless it can be shown that it was not reasonably practicable for the person to provide the information or explanation (ss.413(1) and (2)).
2. The auditors have a right to attend any general meeting of the company and to receive notice of it (s.411(1)(a)). They are also entitled to speak on matters that concern them as auditors in the meeting (s.411(1)(b)).
3. In the case of companies with a multi-layered structure, auditors may require such information and explanation as is reasonably required from the subsidiary undertaking (s.412(2)).
4. When an auditor is being replaced, the outgoing auditors may provide information to the incoming auditors without acting in breach of duties, provided that they act in good faith and reasonably believe that the information provided is relevant to the performance of the incoming auditors' performance of their duties (s.414).

9.1.5.4 Auditor's Liabilities and Indemnities

Auditors may be subject to potential (1) criminal liabilities and (2) civil liabilities.

Criminal Liabilities

An auditor or specified personnel within an audit firm may commit a criminal offence if he/she knowingly or recklessly causes a statement required to be contained in an auditor's report to be omitted from the report (s.408). For further information on the persons potentially liable, see s.408(2) of the CO. Such a statement as required refers to (1) a statement that, in the opinion of the auditor, the financial statements are not in agreement with the accounting records in any material respect (s.407(2)(b)) and (2) a statement that the auditor has failed to obtain all information or explanations (that are to the best of the auditor's knowledge and belief) necessary and material for the purpose of the audit (s.407(3)).

However, it is important to note that an auditor is not liable for omitting a statement if an auditor did not hold an opinion on it. Criminal liability does not depend on the correctness of the auditor's opinion. It depends on whether the auditor actually held an opinion but failed to include this opinion in his/her report. Thus, if an auditor honestly came to the belief that all necessary information and explanations were provided, an omission to include a statement to the contrary would not render the auditor liable. This is the case even if the auditor's belief was found to be erroneous or arrived at negligently.

Civil Liabilities

Auditors owe a duty of care in common law to the company in the performance of their auditing functions. Such duty arises in both tort and contract (as an implied term). See generally the law on tort (Chapter 4 The Law of Tort and Negligence) and that on contract (Chapter 2 Principles of Contract and Consumer Law in Hong Kong (Part 1)).

The auditors must take reasonable care and skill in the conduct of their audits and the making of the auditor's report. What amounts to a breach of this duty of care must be determined on the circumstances of a particular case.

As a general example, it can be said that an auditor's duty of care is only to provide a reasonable assurance on the financial statements of the company. Auditor's reports are not warranties as to the state of the company's accounts or the company's finances⁵. The auditor is not an insurer and does not guarantee that the accounts correctly show the true position of the company's affairs.⁶

Although auditors are required to examine the company's books and make reasonable enquiries, they are not bound to play 'Sherlock Holmes' in the performance of their tasks. An auditor is not bound to be a detective or to approach his/her work with suspicion or with a foregone conclusion that there is something wrong. It has been described vividly in cases that an auditor 'is a watch-dog, but not a bloodhound' (See *Re Kingston Cotton Mill Co (No. 2)* (1896) 2 Ch 279, 288). Thus, an auditor is entitled to rely on assurances and explanations given by the company without further verification. However, such reliance must be reasonable (See *Re Thomas Gerrard & Son Ltd* below).

⁵ *Topping Chanece Development Ltd v CCIF CPA Ltd* (2015) 3 HKC 71, 83.

⁶ *Re London and General Bank (No. 2)* (1895) 2 Ch 673, 683.

Re Thomas Gerrard & Son Ltd (1968) Ch 455

Facts: X, the Managing Director of a company falsified the company's books by use of altered invoices. This generated an inflated profit on paper. The company's auditor Y obtained information about the falsification and the altered invoices. However, Y accepted X's explanation of the alterations because they believed X to be of the highest integrity. Accordingly, Y certified the accounts and caused tax to be paid on inflated profits. The fraud was later discovered and the company went into liquidation. The liquidators claimed against the auditors for negligence and breach of duty in relation to the audit of the accounts.

Issue: Whether the auditor Y was liable for negligence and breach of duty of care.

Held: The auditor Y was liable. An auditor must use reasonable skill and care in carrying out his statutory duty as an officer of the company to make a report to the members containing the required statements. On the discovery of the altered accounts, it was the duty of the auditors to make an exhaustive enquiry and to inform the board of directors. It was a breach of their duties for failing to do so. Y was not entitled to rest content with the assurances given by X, however implicitly Y might have trusted X.

The Registrar of Hong Kong Institute of Certified Public Accountants v Wong Tak Man Stephen (2017) 20 HKCFAR 556

Facts: There was a complaint that firm D1 and its engagement partner D2 have been in breach of s.34(1)(a)(vi) of the Professional Accountants Ordinance (Cap.50) ('PAO') in that they failed or neglected to observe, maintain or otherwise apply a professional standard. D2 was instructed to audit the financial statements of a listed company C. C held shares in another listed company that were reclassified as available-for-sale financial assets in late 2007. The shares were recorded in C's balance sheet as costing HK\$0.53 per share. However, the quoted market price of the shares began to fall and in the year ended 30 June 2009, a cumulative loss of around HK\$22 million was recognised as a deficit in an investment revaluation reserve. After an impairment review, D2 considered it was not appropriate to transfer the accumulated fair value loss from equity to profit or loss, according to his own interpretation of the Hong Kong Accounting Standard ('HKAS'). D2 eventually issued an unqualified opinion on the financial statements.

Issue: Whether D1 and D2 failed to apply a professional standard.

Held: The Disciplinary Committee of the Hong Kong Institute of Certified Public Accountants found that D1 and D2 were in breach. The relevant accounting standard provides that if the fair value of a financial asset should decline to an extent that provides objective evidence that impairment loss has been incurred, the cumulative loss should be removed from equity and recognised in profit or loss. The Court of Appeal dismissed D1 and D2's appeal. The Court of Final Appeal upheld the decision, finding that the relevant accounting principle (p.59 of HKAS 39) straightforwardly required objective evidence of a loss event that had an impact on the estimated future cash flows of the financial asset and assumed the continued existence of the financial asset and an assessment of the income it was likely to generate. There was no reason to strain the notion of cash flow to include possible loss on a future sale where no such sale was contemplated. There was no basis to read into the s.34(1)(a)(vi) of the PAO some standard of reasonableness capable of exonerating D1 and D2.

Guang Xin Enterprises Ltd v Kwan Wong Tan & Fong (2002) 2 HKLRD 319

Facts: The plaintiff P was an investment holding company that went into a creditors' voluntary liquidation. The defendant D was a firm of accountants who acted as P's auditors from 1994 to 1996. P now brought a trading loss claim against D. P claimed that D negligently failed to discover that some of P's investments were grossly overstated. If D had discovered the true position, P would have ceased business. D applied to strike out P's claim because the law does not recognise a trading loss claim against an auditor.

Issue: Whether it is possible to bring a trading loss claim against an auditor.

Held: P's claim was struck out. Trading loss was not a head of recoverable damage. It was not within the scope of an auditor's duty to guard against such kind of damage. An auditor's duty was to provide accurate information to shareholders as a body to enable them to enjoy and exercise their rights and interests as shareholders. An auditor was not a business advisor and did not promise to save the company from trading losses flowing from a decision to trade based on inaccurate financial information provided by the auditor. Although a decision to continue trading based on inaccurate financial statement might lead to trading losses, giving the opportunity to incur trading losses was not the same as causing those trading losses.

The general standard demanded of the auditors is that they would act in accordance with the prevailing professional standards. For example, see *The Registrar of Hong Kong Institute of Certified Public Accountants v Wong Tak Man Stephen*. Auditors will be held to the standard laid down by their profession, not that of a layperson.

It is worth noting that the duty of care of the auditors is owed to the company. Thus, generally, auditors do not owe a duty of care to members of the public at large who might rely on the accounts, such as shareholders and creditors (See the discussion on proximity in Section 4.2.1.4 and *Guang Xin Enterprises Ltd v Kwan Wong Tan & Fong*). However, in special circumstances, auditors may be held to owe a duty of care to third parties, e.g. where the auditors were appointed to conduct a special audit before an acquisition. The auditors in such a case may be held to be liable to the potential purchaser as there is sufficient proximity⁷.

Duty to Report

Aside from the duties to perform their functions with care as aforementioned, auditors also owe a duty to report to the company immediately of any impropriety or fraud discovered.

Further, auditors are under a duty to report certain matters to a third party, which is usually a regulatory authority. Such duty to report may override the duty of confidentiality owed to the company by the auditors. For example, an auditor of a listed company is immune from civil liability in respect of his communicating in good faith to the Securities and Futures Commission (s.381 of the Securities and Futures Ordinance (Cap.571)).

⁷ *Yue Xiu Finance Co Ltd v Agnew* (1995) 2 HKLR 186.



Indemnities

Any provisions in a company's articles purporting to exempt an auditor from its duty of care are void and have no effect (s.415(2)). Similarly, any provisions in a company's articles purporting to indemnify an auditor for breach of its duty of care are void and have no effect (s.415(3)).

9.1.5.5 Ceasing to Hold Office: Resignation, Retirement, Removal, Disqualification and Replacement

An auditor may cease to hold office in a number of ways.

Resignation

An auditor may resign at any time by depositing a written notice at the registered office of the company (s.417). On resignation, an auditor must give a statement to the company of any circumstances that should be brought to the attention of the members or creditors, or a statement that there are no such circumstances, i.e. a statement of circumstances (s.424). The company must send the statement of circumstances to its members. This is to ensure that, if the resignation is prompted by an obstruction to the auditors from performing their duties, such obstruction or prevention could be brought to light.

Further, if the auditor considers that any circumstances in the statement ought to be brought to the attention of the members or creditors, he/she may by notice require the directors to convene a general meeting to receive and consider such explanation of the circumstances connected with the auditor's resignation (which the auditor may also wish to place before the meeting) (s.421). Further, the auditor may request for a cessation statement to be sent to the members explaining circumstances connected with the resignation. The auditor has a right to attend the meeting and to receive all notices and communications that the members are entitled to receive in relation to such a meeting (s.422(1)(c)).

However, such a statement of circumstances is not a tool for publicity by the auditor. Any person (including the company) aggrieved by the auditor's statement may apply to the court for an order directing that copies of the notice need not be sent out (s.426(3)). The court may grant an order to that effect if satisfied that the auditor is using the notice to secure needless publicity for a defamatory matter.

Retirement

An auditor's appointment is also terminated when his/her term of office expires and he/she is not re-appointed (s.416(1)(a)). A retiring auditor in this case is also under a duty to provide a statement of circumstances (s.425). Further, an auditor also has a right to call a meeting and send a cessation statement explaining any circumstances relating to his/her termination and non-appointment (s.422(2)).

Removal

An auditor may be removed from office by an ordinary **resolution** of members in general meetings (s.419) (See Section 9.2). Such removal does not deprive the auditor of any compensation or damages payable to him/her, in contract or otherwise, in respect of the termination of his/her appointment (s.420). If an auditor is to be removed at a general meeting, **special notice** must be given to the company (s.419(2)) and a copy must be sent to the auditor

being removed (s.419(3)). The auditor has a right to give a cessation statement (s.422(3)) and to attend the general meeting (s.411).

Disqualification

If an auditor ceases to be eligible or becomes disqualified for the appointment as an auditor of the company, the auditor must immediately cease to be an auditor of the company (s.418). Further, the auditor must notify the company of the cessation in writing within 14 days from the date of cessation (s.418(1)(b)). Failure to do so amounts to a criminal offence (s.418(2)).

Replacement

Directors may appoint the first auditors pending the first AGM of a company (s.395(2)). Then, a company must appoint auditors for a financial year by a resolution passed at the AGM held in respect of the previous financial year (s.396(1)). However, if the company is not required to hold an AGM (e.g. being a one-member company, see other examples in s.612), the company must appoint an auditor by resolution passed at a general meeting if the auditors are not re-appointed automatically (s.396(3)). However, if there is a casual vacancy in the office of auditor, the directors may appoint an auditor to fill the position. If the directors have not done so within a month of the vacancy, the members may pass a resolution at a general meeting to appoint a person instead (s.397).

► Knowledge Check Questions

Question 1

Explain the key contents of financial statements. Describe the purposes of the directors' report and auditors' report. Describe simplified reporting and under what circumstances a company is qualified for it.

Question 2

Explain the roles, duties, powers and liabilities of an auditor. List the ways an auditor would cease to hold office.



9.2 THE BUSINESS OF THE COMPANY AS DECIDED BY MEMBERS

The two main organs of a company are: (1) the members (i.e. shareholders) and (2) the board of directors. These are the decision-making bodies of a company.

There is a division of labour between the two organs. In modern company law, the power of general management of the company is given to the directors, as opposed to the members. As such, the directors have the power to make decisions as to the general management of the company. The members, on the other hand, play a supervisory role. The members,



through general meetings, have the power to appoint and remove directors or to alter company's articles.

9.2.1 Types of Meetings: Annual and General Meetings

A general meeting is an occasion for members of a company to discuss and vote on decisions concerning the affairs of the company. It is the main medium through which members can participate in the management of the company. (For other decision-making processes, see Section 9.2.5)

The CO and the Model Articles provide rules that govern the manners in which general meetings are called and conducted. These will be explained below. For further reading, it is noted that a complex set of technical rules have been developed concerning the law of meetings⁸.

There are two types of general meetings: (1) AGMs and (2) general meetings ('GMs').

9.2.1.1 Annual General Meetings

As is obvious from its name, **annual general meetings** ('AGMs') are the general meetings that are required to be held annually after the end of each financial year of a company (s.610(1)).

At the AGM, the directors need to present a copy of the reporting documents (s.430), i.e. the financial statements, the directors' report and the auditor's report. The AGM is the annual forum that allows members to review these company documents and make an enquiry to the board about the affairs of the company. For many companies, the AGM is the only general meeting that would be held in a year. Thus, a lot of important decisions would be made at the AGM, e.g. it is a common practice for companies to elect directors, to appoint auditors, to consider and declare dividends and to approve financial statements.

For private companies and companies limited by guarantee, the AGM must be held within nine months after the end of the company's accounting reference period (s.610(1)(a)).

The requirement to hold AGMs is a statutory requirement (s.610(1)). If a company has failed to hold an AGM within the time designated, members may apply to the court for an order to call or to direct the directors to call an AGM (ss.610(7) and (8)). However, a company is not required to hold an AGM if everything that is required to be done at the AGM has been done by a written resolution and the copies of the documents required to be laid before the company at the AGM have been provided to each member on or before the written resolution is circulated (s.612).

⁸ Cordes, Madeleine & others. *Shackleton on the Law and Practice of Meetings* (14th edn), Sweet & Maxwell, London, 2017.

Re Belgravia Properties Ltd (2013) 5 HKLRD 337

Facts: T owns 60% of shares in the company, which last held an annual general meeting ('AGM') four years ago. T attempted to replace the directors of the company by use of an ordinary resolution with special notice in accordance with the company's articles. T consequently sought an order under the Companies Ordinance for the company to convene an AGM for the removal and appointment of its directors.

Issue: Whether an order to convene an AGM for the removal and appointment of directors should be granted.

Held: Order granted. Members of a company had a right under the Companies Ordinance to convene an AGM every year. This was a fundamental entitlement. Once default had been shown, the court should normally exercise its discretion in favour of holding a meeting thereby remedying the default, save in exceptional cases supported by cogent evidence. No such exceptional circumstances were present in this case. The company's argument that the court may only exercise its jurisdiction when it was impracticable to call a meeting was rejected. There was no such requirement.

9.2.1.2 General Meetings

Any general meeting that is not an AGM is classified as a GM. A GM may be held any time in a year insofar as the requirements of notice and other procedures are satisfied (See Section 9.2.3).

A GM is generally convened by the directors (s.565). However, shareholders together holding no less than one-twentieth of the company's paid-up capital carrying voting rights may also make a requisition to the directors, requiring the directors to convene a general meeting (ss.566 to 568). Such a meeting would be called at the expense of the company (s.568). Shareholders may convene general meetings in the extraordinary situation that there are insufficient directors in the company (s.569).

9.2.2 Matters Requiring the Calling of Meetings

As aforementioned, the division of labour in a company is such that only certain matters are reserved for the decision of the shareholders in general meetings. As to what these matters are, the first place to look is the company's articles. The articles may provide that certain matters require the shareholders' approval. For example, the Model Articles provide that the members may, by special resolution, 'direct the directors to take, or refrain from taking, specified action' (Art. 4). A general meeting must be convened for the resolution of such matters, unless a decision of the shareholders can be reached by written resolutions without meetings (See Section 9.2.5).

Further, the CO also reserves the following powers to the shareholders:

1. A company may change name by special resolution (s.107);
2. Alteration of a company's articles or objects (ss.88 and 89);
3. Alteration in articles to the maximum number of shares that the company may issue (s.88(3));

4. Allotment of shares or granting rights to subscribe for, or to convert any security into, shares in the company (s.141);
5. Removing a director before the end of the director's term of office (s.462);
6. Making a payment out of capital in respect of the redemption or buy-back of its own shares (ss.257 to 266); and
7. Giving financial assistance for the purpose of the acquisition of a share in the company or its holding company (ss.283 to 289).

At common law, the GM is given a residual power in situations: (1) where the board of directors cannot function effectively and (2) where it is necessary for the shareholders to exercise the company's inherent powers. These powers were residual because they can only be exercised in those specific situations, not generally. The general power of the management remains with the directors.

9.2.2.1 Board Not Functional

The board may become dysfunctional in various ways, e.g. by death or resignation of directors causing an insufficient number of directors to meet the quorum requirements for board meetings⁹; opposing factions on the board of directors refusing to meet and hold board meetings, i.e. a deadlock situation as in *Re Commonwealth Printing Press Ltd*, SCt(HK) (unrep.), HCCW 15/1974, 31 May 1974.

***Re Commonwealth Printing Press Ltd*, SCt(HK) (unrep.), HCCW 15/1974, 31 May 1974**

Facts: The board of directors of the company is divided into two factions: Party A and Party B. It was alleged that the two factions are in complete deadlock over the signature of cheques on behalf of the company and the appointment of the Managing Director. A petition to wind up the company was presented on the basis of this deadlock.

Issue: Whether there was deadlock between the directors such that the company should be wound up.

Held: There was no deadlock. It was apparent and clear that the directors were vested with a power to appoint a Managing Director by the articles. However, they were unable or unwilling to do so simply because two factions of directors failed to see eye to eye and failed to exercise their power. In the circumstances where for some reason the board cannot or will not exercise the powers vested in them, the general meeting may do so. Action by the general meeting had been held effective where there was a deadlock on the board. Thus, there was an alternative to resolve the situation, i.e. by general meetings. There was no deadlock and it would not be just to wind up the company.

⁹ *Cheung Tse Ming v Cheung Yuk May* (unrep.), HCA 9995/1995 (1996) HKLY 199.

Re Mandarin Capital Advisory Ltd (2011) 2 HKLRD 1003

Facts: The plaintiff P was the majority shareholder and the defendant D was the minority shareholder of the company C. C provided investment advisory services exclusively to another company X. The articles of C required that the quorum for a general meeting shall be two members. X at some point indicated that it had lost confidence in D and that if D remained a director, X might terminate the services of C. D refused to resign. Further, D refused to attend a general meeting ('GM') called for the purpose of determining his removal as a director of C. P applied to the court for an order to convene a GM to remove D as a director and that one member was sufficient to constitute a quorum.

Issue: Whether an order should be granted to call such a meeting.

Held: Order granted. P had to satisfy a twofold test: (1) it was impracticable to call a meeting and (2) the court should exercise its discretion to convene a meeting. In this case, D's refusal led to such an impracticability. The court also exercised its discretion because the statutory procedure was designed to address such problems, i.e. to realise the statutory right of a majority shareholder to remove a director. In order for D to succeed in his defence, he, as a minority shareholder, needed to show that he would be entitled to prevent P from removing him as a director. This depended on whether the case was a quasi-partnership or any shareholders' agreement for D's participation in the management. D failed to prove such an agreement or partnership.

9.2.2.2 Necessity

It may also be necessary for shareholders to exercise their residual power to ratify acts done by directors. A ratification is necessary where the directors have acted in excess of their powers or authority or otherwise in breach of their fiduciary duties. (See Section 10.3)

Apply and Analyse 3

Apply

Future Co. Ltd ('FCL') has four shareholders, Andrew, Bruce, Candice and Daniel, in equal shares. FCL is engaged in the business of publication and adopts the Model Articles.¹⁰ Andrew and Bruce were appointed as the only directors of FCL. Andrew and Bruce wanted to achieve the following matters in the upcoming board meeting: (1) to change the name of the company to 'Future and Bright Co.'; (2) to approve a particular big transaction; (3) to hire several key editors for the business; and (4) to amend the articles such that the object of FCL would be to include book-selling as well as publishing. Andrew and Bruce believed that they could decide the same in their capacities as directors through board meetings. Analyse whether Andrew and Bruce can decide the above matters through board meetings.

¹⁰ That is Model Articles of Association for Private Companies Limited by Shares at Schedule 2 of Companies (Model Articles) Notice (Cap.622H).

Apply and Analyse 3 (continued)

Analysis

Andrew and Bruce may not achieve matters (1) and (4) by passing resolutions at board meetings. These were matters that concern the fundamentals of the company and are specifically reserved to members under the CO. They need to be either voted on in general meetings or passed by written resolutions of the members. Subject to any adjustment made in the articles of FCL, Andrew and Bruce may decide matters (2) and (3) through board meetings.

9.2.3 Notice to be Given

There are strict rules governing the notice that is to be given to the shareholders in order to convene a general meeting. Sufficient notice must be given as to the time, place and matters to be decided at the meeting. The function of the notice is to inform the shareholders as to the purpose of the meeting and to confine the scope of the meeting such that it cannot decide matters of which notice has not been given.

An AGM requires a 21 days' notice unless all shareholders consent for a shorter period of notice. However, the articles may provide for a longer period of notice (s.571(1)(a)).

A GM requires a 14 days' notice to be given (s.571(1)(b)). Again, a shorter notice can be given if agreed by a majority of shareholders representing at least 95% of the voting rights (ss.571(3)).

If certain resolutions are to be proposed at the general meeting, a special notice needs to be given of such resolutions, i.e. notice of the intention to move the relevant resolution given 28 days before the meeting (s.578(1)) or, if not practicable, notice of the same 14 days before the meeting by an advertisement in a newspaper (or in any other manner allowed by the articles) (s.578(3)). In addition to the notice of the general meeting, the special notice of the proposed resolution must be given to the members at the same time and in the same manner as the notice of the meeting (s.578(2)). If this is not practicable, the company must give members special notice of the resolution at least 14 days before the meeting either by advertisement in a newspaper circulating generally in Hong Kong or in any other manner allowed by the company's articles (s.578(3)).

Resolutions that require special notice under the CO are:

1. An ordinary resolution to remove a director during the term of his office (for which notice must also be given to the said director) (s.462); and
2. An ordinary resolution to remove an auditor during the term of his office (for which notice must also be given to the said auditor) (s.419).

Special notice is a notice of the intention to move a particular resolution given not less than 28 days before the meeting (s.578(1)). When the notice of the meeting is given, notice of those particular resolutions must also be given (s.578(2)).

9.2.4 Procedures of Members' Meetings

The law has developed a number of rules governing the procedures to be adopted in a general meeting.

9.2.4.1 Chairperson

A **chairperson** is a person appointed to chair the general meeting, i.e. to ensure that the business of the company is conducted in a proper manner.

It is customary for a company's articles to provide for rules as to the appointment of a chairperson for the general meeting. For example, the Model Articles provide that preference is given to those in control of the board of directors to be appointed as the chairperson. Hence, the chairperson (if appointed) of the board of directors shall also be appointed as chairman at every general meeting (Art. 40(1)). If such a person is unwilling to act or is not present within 15 minutes of a scheduled meeting, other directors present at the general meeting shall elect one of themselves to chair the meeting (Art. 40(3)). It is noted that, without any provisions in the articles, any member may be elected to be the chairperson of a general meeting by a resolution passed at the meeting (s.586).

The duty of a chairperson is to act entirely neutrally at the meeting, allowing different opinions to be fully and fairly presented and debated¹¹.

The chairperson's power is concerned with the proceedings of the meeting, i.e. nominating who is to speak, dealing with the order of business, putting questions to the meeting and declaring resolutions carried or not carried. Further, the chairperson also has a limited power of adjournment. For example, a chairperson may adjourn a meeting so as to give all persons entitled a reasonable opportunity of voting¹². For companies adopting the Model Articles, a chairperson may also adjourn a meeting if it was necessary to protect the safety of the attendees or to ensure the business of the meeting is conducted in an orderly manner (Art. 42(3)(b)). A chairperson may adjourn a meeting (1) with the consent of any meeting at which a quorum is present and (2) after specifying the date, time and place of adjournment (Art. 42(3)(a) to (5)). A declaration by the chairperson as to the passing of a resolution is conclusive evidence of the same (s.590(1)).

9.2.4.2 Quorum

A **quorum** means the minimum number of persons required to be present for business to be transacted at a GM. The general rule is that a meeting requires the presence of at least two persons, which is sensible conceptually.

The CO provides that two members present in person shall constitute a quorum for a GM, unless the articles provide otherwise (s.585(3)). For example, the Model Articles provide that two members present in person or by proxy shall be a quorum (Art. 39(1)). A major exception to this is the case of a one-member company, in which case the sole member present in person or by proxy is a quorum (s.585(1)).

A meeting cannot proceed without a quorum. A purported meeting held without a quorum is therefore invalid (*Re Alma Spinning Co (Bottomley's case)* (1880) 16 Ch D 681).

¹¹ *R v Bradford Council, ex p Wilson* (1990) 2 QB 375 at 380G.

¹² *R v D'Oyly* (1840) 12 Ad & El 139 at 159.



9.2.4.3 Voting and Proxies

Voting

The general principle that every member of a company has a right to vote is subject only to the articles. In the case of class shares, holders of certain classes of shares may have no or only limited voting rights.

In GMs, the default mode of voting is by a show of hands. However, at common law, every member has a right to demand a poll even after a show of hands. Again this is subject to the articles. For example, under the Model Articles, a poll can be demanded by (1) a chairperson, (2) at least two members present in person or by proxy or (3) any member or members representing 5% of the total voting rights of all members having the right to vote at the meeting. Any provisions in the articles shall be void if they seek to prevent a poll demanded by (1) five members having the right to vote, (2) members representing at least 5% of the total voting rights or (3) the chairperson (s.591(2)).

A chairperson has a duty to demand a poll he/she knows from the proxy received by the company that the result on a show of hands will be different from that on a poll (s.592).

The end of a voting process is marked by the chairperson declaring the voting results. After that, a person may no longer change or retract his/her vote on the basis of a mistake or error.

Proxy

A **proxy** means an agent properly appointed with authority to vote at a GM in the interest of the appointing member. The proxy does not need to be a member of the company himself/herself (s.596(1)). Any member entitled to attend and vote in a general meeting has a right to appoint another person to be his/her proxy (s.596(1)).

A proxy may be appointed in two forms: ordinary and two-way. An ordinary proxy form allows the proxy to exercise discretion to vote. (However, the proxy is still subject to fiduciary duty to vote according to the instruction of the appointor.) A two-way proxy form specifically instructs the proxy to vote for or against the resolution. The directors have a duty to ensure any proxy form sent to members allows the members to give instruction on the casting of a vote (s.601).

A proxy may vote both on a show of hands and on a poll (s.588). However, where a member has appointed more than one proxy, the proxies are not entitled to vote on a show of hands (s.588(2)).

A member may revoke any proxy appointed. However, notice of the revocation must be received by the company before the commencement of the relevant meeting. Otherwise, the revocation would not be effective (s.604(3)). However, a member may attend the meeting to vote in person despite the appointment of a proxy. In this case, the vote of the proxy would not be counted (s.605). Thus, the member would have effectively revoked the proxy regardless of the notice requirements.

If a shareholder is a body corporate, it may appoint any person as a representative to vote on its behalf (s.606). The appointment must be effected by resolution of the directors or otherwise a governing body of the body corporate (s.606). The person so authorised is entitled to exercise the same power on behalf of the body corporate as that body corporate could exercise if it were an individual member (s.606(2)).

9.2.4.4 Resolutions

Any decision made at a general meeting is known as a resolution (passed by the participants of that meeting). There are two types of resolutions that may be passed at GMs: (1) ordinary resolutions and (2) special resolutions.

An ordinary resolution is one that requires a simple majority to pass (s.563). The ordinary resolution is the default position, which means that if any provisions in the CO or any documents referring to a resolution of the company or members without specifying the type of resolution required, an ordinary resolution would suffice unless the articles provide otherwise (s.562(3)). Most of the decisions made at the GMs were done by ordinary resolutions.

A special resolution is one that requires a majority of 75% or more of the votes cast to pass (s.564). Further, the wording of the proposed special resolution must be included in the notice of the meeting, together with the intention that the resolution is intended to be proposed as a special resolution (s.564(4)(a)). If such notice has been given, the resolution can only be passed as a special resolution (s.564(4)(b)).

The following matters require a special resolution:

1. Alteration of the company's constitution (s.88(2));
2. Change of company's name (s.107);
3. Authorisation as to the reduction of capital (s.215); and
4. Winding-up of a company (See Chapter 13 Receivership, Liquidation and Winding-up).

A copy of the special resolution (except for a change of name) must be filed with the Companies Registry within 15 days (s.622). (However, there is no requirement that ordinary resolutions should be similarly filed.) Any written resolution passed other than or in lieu of general meetings must also be kept (s.618(1)(a)) (See Section 9.2.5).

9.2.4.5 Minutes and Records

A company is required to keep a record of all **minutes** of all the proceedings of general meetings (s.618(1)(b)). Even a one-person company must keep written records of all decisions made by the sole member (s.618(1)(c)). Such records may be kept in hard copy form or in electronic form (s.655(7)). The minutes must be kept for at least 10 years from the date of the resolution, meeting or decision (s.618(2)). Members may inspect any books containing minutes without charge (s.620) or be provided with a copy of the minutes for a prescribed fee (s.620).

In the context of company law, minutes refer to those record of resolution and matters ancillary thereto¹³. These should include the following:

1. Nature and type of the meeting, time of commencement and details of this kind;
2. Full and accurate record of all business done including a list of persons present and all resolutions passed at the meeting;
3. Record of all appointments made and the terms of reference of any committee that is set up;

¹³ *August Investments Pty Ltd v Poseidon Ltd* (1971) 2 SASR 60, 62.

4. Incidents occurring at the meeting that may be of significance; and
5. Time of closure of the meeting and, unless on a regular day, the time and place of the next meeting.

The minutes of meetings is an important element of good corporate governance. They keep all stakeholders informed of the decisions and matters transacted in previous GMs.

9.2.4.6 Irregularities

If any of the procedures aforementioned were not complied with, it is said to be an irregularity. An irregularity may raise issues as to the validity of the meeting or resolutions purportedly made on the basis of the irregular procedure. The CO does not provide any consequences on such procedural irregularities. Thus, the situation is governed by common law.

At common law, the **irregularity principle** has been developed. It was summarised by Le Pichon J in *Yip Peter v Asian Electronics Ltd* (1998) 2 HKC 96, 102:

'The irregularity principle really comes to this: the lawfulness of a decision taken by a meeting of members or board cannot be questioned if the only facts alleged to make it unlawful is a mere informality and irregularity and the intention of the meeting is clear. This is particularly so if there is no evidence that the decision of the meeting would have been different if the correct procedure had been observed.'

The principle behind the irregularity principle is that a court of equity refuses to intervene into an irregularity that has been permitted by certain persons, i.e. those who have the power to correct the irregularity by calling a fresh meeting and dealing with the matter with all due formality. In such a situation, the irregularity principle provides that the court of equity would not intervene. Effectively, under the irregularity principle, the majority shareholders are the only persons who can complain about a technical miscarriage of a meeting, unless the irregularity amounts to a fraud on minority or that the irregularity is one as to substance. (See Section 10.4)

Baillie v Oriental Telephone and Electric Co Ltd (1915) 1 Ch 503

Facts: The directors of a company caused a resolution to be passed to alter the articles so as to increase the fixed remuneration of the directors (by adding a remuneration on a percentage of the net profits of the company). The auditors pointed out that the increase of remuneration ought to be sanctioned by the shareholders. Thus, a general meeting was called to ratify the special resolution passed to alter the articles in relation to the remuneration. The notice set out the proposed resolutions but did not give particulars as to the amount of the remuneration that had been received by the directors (which was very large). The resolutions were passed by the requisite majority.

Subsequently, a shareholder commenced an action for a declaration that the resolutions were not binding on the ground of insufficient notice of the meeting at which they were passed and for an injunction to restrain the company and the directors from acting on the resolutions.

Baillie v Oriental Telephone and Electric Co Ltd (1915) 1 Ch 503 (continued)

Issue: Whether the resolutions were binding.

Held: The notice did not give a sufficiently full and frank disclosure to the shareholders of the facts upon which they were asked to vote. The resolutions were invalid and not binding upon the company. The company cannot unilaterally alter the requirement as to the special notice required by the statute.

9.2.4.7 Electronic Communication

Traditionally, notices were sent by way of post or personal service/delivery. Facsimile has also been accepted as a means of communication. However, with the advancement of technology, other means of electronic communication have become possible.

The CO has now expressly provided for electronic means of communication to be acceptable (See Part 18, Communications to and by Companies). Thus, the following documents may be sent in electronic form:

1. Circulation by the company of a written resolution;
2. Notice by the company for a general meeting;
3. Members' request to circulate a written resolution; and
4. Documents relating to proxy.

Further, it is noted that general meetings can also be held via electronic means. It is provided in the CO that a company may hold a general meeting at two or more places using any technology that enables the members of the company who are not together at the same place to listen, speak and vote at the meeting (s.584).

9.2.5 Decisions without Meetings

Another way the members of a company may make decisions is by way of written resolutions. A **written resolution** is a resolution in writing passed without a meeting being held. Anything that may be done through an ordinary or a special resolution passed at a GM may be done by a written resolution, with the exception of the removal of an auditor or director before expiry of term of office (s.548).

A written resolution can only be passed when all of the members entitled to vote have signified their agreement to it (s.556(1)). A member signifies agreement to a proposed written resolution when the company receives from the member or the person acting on behalf of the member the document containing (1) the written resolution and (2) indication of the member's agreement to it (s.556(2)).

Both directors and shareholders may propose written resolutions (s.549). Specifically, any member(s) holding not less than 5% of the total voting rights of all members entitled to vote on the resolution has the power to require the company to circulate proposed written resolutions (ss.549(b) and 522). A member may also request the company to circulate with the proposed written resolution, a statement of not more than 1,000 words on the subject matter (s.551). Each member may only request for the circulation of one such statement (s.551(3)).

Upon a written resolution being proposed by a qualifying member or by the directors, the company is under a duty to circulate the proposed written resolutions (together with any statements submitted) to the members within 21 days at the company's expense (ss.552 and 553).

Illustrative Example 4

In the opening case, Impressive Technologies Ltd ('ITL') was in a liquidity problem and required urgent funding. Andrew and Bruce, the directors, wanted to mortgage a real property owned by ITL in order to obtain short-term funding. However, the articles of ITL provide that any mortgage of the company's properties can only be taken out with the shareholders' approval and that the quorum for shareholders' meetings shall be four. Chris was currently in Cuba at the time. In these circumstances, it would not be possible for a shareholders' meeting to be held. Andrew therefore proposed a written resolution. Andrew, Bruce and Denise all signed the resolution. Chris faxed back to ITL the signed copy of the resolution, with the original to be delivered by FedEx as soon as possible. In these circumstances, Andrew and Bruce proceeded to take out the loan and the mortgage relying on the written resolution signed by all shareholders.

► Knowledge Check Questions

Question 3

Explain the differences between an annual general meeting ('AGM') and general meeting ('GM'). Describe the purpose of an AGM. Explain what business is required to be or is usually transacted at an AGM. Explain in what circumstances a GM is necessary.

Question 4

Describe how notices of GMs are given. Describe the irregularity principle. Explain whether a resolution is valid if a proper meeting procedure has not been complied with.



9.3 THE BOARD OF DIRECTORS

The power and duties of the general management of the company rest with the directors. Directors act and make decisions collectively through the board. The management power is granted to the board as a whole.

9.3.1 Types of Directors

The CO defines a director as any person occupying the position of director by whatever name called (s.2(1)). This definition might sound circular. However, it is necessary to cover those

people, though not formally appointed as a director, to exercise the function as a director such that the law treats them as directors (as explained below). This is important so that a person who is within the definition is subject to fiduciary duties owed by directors generally. As will be seen below, this is a wide definition and seems to cover types (1), (2) and (7) directors discussed below.

Broadly speaking, directors can be classified as follow:

1. Appointed director (*de jure* director);
2. *De facto* director;
3. Shadow director;
4. Alternate director;
5. Nominee director;
6. Reserve director; and
7. Executive director, non-executive director and independent non-executive director.

9.3.1.1 Appointed Director (*de jure* Director)

This is the most common type of director. It simply means whoever is appointed or elected to sit on a board or is appointed as a director. The term '***de jure* director**' means 'director in law'. This type of director is covered by the statutory definition cited above.

Appointed directors also include such directors as managing director/chief executive officer ('CEO'), executive directors and non-executive directors (See Section 9.3.1.7). These categories are based on the functions a director is appointed to perform. The roles and functions of these directors are not fixed by law and are determined solely by the terms of their engagement/contract with the company.

A managing director is usually the director appointed by the board as the company's CEO. He/she would be both a director and an employee of the company. A managing director or CEO is the main person in charge of managing the day-to-day operation of the company.

9.3.1.2 *De facto* Director

A ***de facto* director** is someone who acts as a director of the company even though he/she has not been formally or properly appointed as a director. The term '*de facto* director' means 'director in fact'. Millett J in *Re Hyudrodan (Corby) Ltd* (1994) BBC 161 defines a *de facto* director as a person who assumes to act as a director. He/She is held out as a director by the company, and claims and purports to be a director, although never actually or validly appointed as such. In summary, if a person is perceived internally and externally as a director, such a person would be treated in law as a *de facto* director and be subject to the same duty as that imposed on an appointed director.

A *de facto* director is covered by the statutory definition aforementioned.

Deputy Commissioner of Taxation v Austin (1998) 28 ACSR 565

Facts: The tax authority brought these proceedings against a former director A of a family company for indemnification of tax. The proceedings were brought on the basis that A acted as a *de facto* director of the company. After his resignation, A carried out such significant tasks as countersigning company cheques, negotiating settlements with creditors and attempting to organise the sale of the business. A argued that he was only acting in circumstances of emergency or as a friend of those legally bound to run the company.

Issue: Whether A owed fiduciary duties as a director.

Held: The test was whether A had occupied or acted in the position of a director. It was not necessary to show that A performed duties that could only be legally performed as a director. This is a question of degree, requiring consideration of the duties performed by that person in the context of the operations and circumstances of the particular company concerned.

The fact that A was acting in circumstances of emergency or as a friend of those legally bound to run the company did not necessarily mean he was not acting as a *de facto* director. The length of time he so acted puts the matter beyond the realm where it could be said that because of an informal act of assistance he was not acting in the position of director. In the context of this case, it was clear that A exercised the top level of management functions in relation to the company. He was the driving force of the operation for the relevant period. Because of the breadth of activities undertaken by him, it could not be said that he was acting as a specialist aide or consultant. A was a *de facto* director.

9.3.1.3 Shadow Director

The CO defines a **shadow director** as a person in accordance with those directions or instructions (excluding advice given in a professional capacity) the directors, or a majority of the directors, of the body corporate are accustomed to act (s.2). Essentially, a shadow director is a puppet master who controls the actions of the board¹⁴.

A shadow director is thus distinguishable from a *de facto* director¹⁵ and is not included in the general definition of 'director' in the CO cited above. Although the CO has imposed similar duties on shadow directors as those applicable to directors, a shadow director does not necessarily owe fiduciary duties towards the company, unlike the *de facto* and *de jure* directors (See Section 10.3).

9.3.1.4 Alternate Director

An **alternate director** is a person appointed to act in the place of a director when the latter is unable to attend meetings. Unless the articles provide otherwise, an alternate director is deemed to be the agent of the director who appoints him/her and the director who appoints

¹⁴ *Re Unisoft Group Ltd (No. 2)* (1994) BCC 766.

¹⁵ However, the court has recently pointed out that such distinction may have been eroded in recent years; see *The Liquidator of Wing Fai Construction Company Limited (In Liquidation) v Yip Kwong Robert & Ors* (unrep.), 24 Nov 2017, per G Lam J.

the alternate director is vicariously liable for any tort committed (s.478(1)). However, the alternate director himself/herself remains personally liable for any act or omission (s.478(2)).

An alternate director is generally subject to the same fiduciary duties as a director. However, an alternate director is only subject to such duties if he/she actually has assumed the directorial authority. The mere appointment is insufficient *per se* to trigger such duties¹⁶.

9.3.1.5 Nominee Director

A **nominee director** is a general term that refers to directors appointed by some third party nominator. Such a third party is usually a particular stakeholder in the company but not necessarily a shareholder, e.g. a counterparty in a joint venture, a creditor, a holding company or even the employees.

9.3.1.6 Reserve Director

A **reserve director** is designed for private companies with only one member, who is also the sole director. In these companies, the sole member may nominate a person of 18 years or above to be a reserve director of the company to act in the place of the sole director in the event of his/her death (s.455). The reserve director will cease to hold office if (1) he/she resigns, (2) his/her appointment is revoked or (3) the director in respect of whom the reserve director was nominated has ceased to be the sole director for reasons other than the death of that director (s.455(2)).

9.3.1.7 Executive Director, Non-executive Director and Independent Non-executive Director

For private companies, the distinction between **Executive Director** ('ED'), **Non-executive Director** ('NED') and **Independent Non-executive Director** ('INED') is mainly a commercial distinction rather than a legal one. For listed companies, the Listing Rules require that there are at least three INEDs appointed and they must represent at least one-third of the board.

Generally speaking, an ED is a director who is a full-time employee of the company who is in charge of the management of the company (on the director level). On the other hand, an NED does not have full-time employment with the company. The nature of the position is more part-time. An NED is usually an outsider to the company who is appointed to sit on the audit committee of a company. It provides an objective and more balanced view to the board. It serves as a check on the ED's control of the company management.

An INED is similar to an NED save that there is an additional requirement as to its independence. An INED mainly exists in listed companies. One-third of the board of a listed company should be comprised of INEDs (see Section 12.2.3.3). An INED must be distanced from the company in terms of interest. The Stock Exchange of Hong Kong Limited must be satisfied as to the character, integrity, independence and experience of the INED. For example, in the Main Board Listing Rules (For the difference between the Main Board and the Growth Enterprise Market Board, see Section 12.2.3.1), Chapter 3.13 of the Main Board Listing Rules provides that an INED's independence is more likely to be questioned where he/she:

1. Holds more than 1% of the shares in the company;
2. Has received financial assistance or securities from the company or a core connected person of the company;

¹⁶ *Playcorp Pty Ltd v Shaw* (1993) 10 ACSR 212.

3. Is a principal/partner/director of a professional adviser to the company or controlling shareholders within two years of the appointment, e.g. the legal adviser of the controlling shareholder; or
4. Is financially dependent on the listed company or any of its holding company or subsidiaries.

The role of INEDs in listed companies is usually filled by professionals such as accountants, lawyers or bankers.

9.3.1.8 New Corporate Governance Requirements for Board and Directors

To further enhance corporate governance standards among listed issuers in Hong Kong, the Hong Kong Stock Exchange regularly reviews and improves the Listing Rules and the Corporate Governance Code. The most recent changes focus in the areas of corporate culture, director independence, diversity, nomination committee, communications with shareholders and Environmental, Social and Governance reporting. The changes took effect on 1 January 2022.

The following three amendments in the Listing Rules and the Corporate Governance Code that are related to the board and its members deserve our attention:

9.3.1.8.1 Long-serving INEDs

If the board is found to have an INED serving over nine years, the new Code requires that a separate resolution by shareholders should be made to approve his/her further appointment. Furthermore, where all the INEDs have served more than nine years on the board, the board of the listed issuer, under the new Code, is bound:

- To disclose the length of the tenure of each existing INED on a named basis in the shareholders' circular; and
- To appoint a new INED at the next annual general meeting in the financial year commencing on or after 1 January 2023.

9.3.1.8.2 Gender Diversity in Board

To promote diversity, single gender board will no longer be acceptable in Hong Kong. The board of listed companies needs to annually review the implementation and effectiveness of their policy on board diversity. The new Code requires the listed companies to explain in its policy on:

- The number and timelines set for achieving board gender diversity; and
- The measures adopted to achieve gender diversity.

Latest by 31 December 2024, the single gender board must appoint at least one director of a different gender. Listed companies which fail to observe the new Code must publish an announcement stating the reasons. A grace period of three months after 31 December 2024 is then granted to the company to pick and invite a capable member on board.

9.3.1.8.3 Nomination Committee

A new Listing Rule 3.27A, a formerly code provision in the then Appendix 14, requires the listed companies to set up a nomination committee ('NC'), which took effect from 1 January 2022. This NC is chaired by the chairman of the board or an INED. The majority of the members are INEDs.

The duties of the NC are:

- To review the structure and skills, knowledge and experience of the board at least annually;

- To identify qualified individuals to become board members, or make recommendations to the board on selection of members;
- To make recommendations to the board on the appointment, re-appointment of directors and succession planning; and
- To assess the independence of INEDs.

Where the board proposes a resolution to elect an individual as an INED at the general meeting, it should set out in the circular to the shareholders:

- The process used for identifying the candidate and the reason why he/she should be independent and be elected;
- The reason why the candidate is able to devote enough time to the board if he/she is holding seven or more listed company directorship;
- The perspectives, skills and experience that the candidate would contribute to the board; and
- How the candidate contributes to board diversity.

9.3.2 Appointment of Directors

The first director(s) of a company is/are named in the incorporation form submitted to the Registrar of the Companies Registry (the 'Registrar') (ss.453(2) and 454(2)).

Subsequent directors are appointed in accordance with the terms of the articles. The Model Articles for Private Companies Limited by Shares provide that the general meeting has the power to appoint new directors by ordinary resolution (Art. 22). The Model Articles for Public Companies Limited by Shares, on the other hand, provide that the first directors are required to retire from office at the first AGM (Art. 24).

A private company is required to have at least one director (s.454(1)). A public company and a company limited by guarantee are required to have at least two directors (ss.453(1)) and 453(2)).

Further, the first directors appointed for a company must give their consent to act in writing. Such consent should be registered at the Registry not later than 15 days after the date of incorporation of the company (s.74).

9.3.3 Procedures of Board Meetings

The proceedings of board meetings are largely governed by the articles instead of statutes (unlike the case of general meetings). It will be discussed below that the regime provided in the Model Articles is a default position. That is, the 'Model Articles for Private Companies Limited by Shares' as set out in Schedule 2 of the Companies (Model Articles) Notice (Cap.622H). As discussed at Chapter 8, a private company is free to adopt the procedures in the Model Articles for Private Companies Limited by Shares in a whole or make any modifications necessary. It is important to bear in mind that all of the rules below are subject to modification as provided in the articles actually adopted by the company.

It will be noted below that the rules governing directors' meetings are more flexible and informal than those governing the general meetings of members. This is perhaps a reflection of (1) the need to protect shareholders' interests in general meetings and (2) the nature of

board meetings being to transact day-to-day business of the company and hence a degree of flexibility is necessary.

9.3.3.1 Calling of Meetings

Under the Model Articles, any director may call a directors' meeting by giving notice to all the directors or by authorising the secretary to do the same (Art. 9).

9.3.3.2 Notice to be Given

Notice must be given to each director (Art. 9(3)) and to any alternate director appointed (Art. 29). However, such notice need not be in writing (Art. 9(3)). The notice must indicate the proposed date, time and venue of the board meeting (Art. 9(2)). The articles would usually specify a period for the purpose of giving notice. However, if no such period is provided the period must be reasonable. For example, notice of less than 10 minutes may be sufficient if the directors' office is five minutes from the venue of the board meeting (See *Browne v L Trinidad* (1887) 37 Ch D 1). The test of reasonableness to an extent depends on whether the notice is given early enough to enable directors to attend. A failure to comply may render the meeting ineffective and void.

***Yick Hok Wing v Chan Yook Ming & Ors* (1997) 1 HKC 49**

Facts: X and Y were both directors and shareholders of the company, which carried on a restaurant business. In the morning of 17 July 1995, Y called for a directors' meeting to be held at 1:15 pm on the same day. The notice of meeting was delivered by hand to X's office but X was only aware of that well after 1 pm and could not attend the meeting. The meeting was held with the necessary quorum and passed resolutions: (1) appointing Z as an additional director; (2) authorising Y to sign cheques singly and (3) removing X from being secretary of the company. X eventually commenced proceedings against Y and sought injunctions to prevent the resolutions passed on the 17 July 1995 meeting from being carried into effect.

Issue: Whether the meeting on 17 July 1995 was validly convened and whether the irregularity principle applied.

Held: The meeting on 17 July 1995 and the resolutions passed therein are not valid and therefore do not bind the company. The short notice itself did not render the subsequent meeting invalid. The court would be reluctant to interfere with an irregularity in convening a meeting that could be called at any time. However, where there was *prima facie* evidence to suggest that the notice of meeting was highly irregular, the court was entitled to examine the intention of those convening the meeting by considering the nature and effect of the resolutions passed in order to decide whether the directors were competent to act in the meeting.

Unlike in the case of GMs, there is no general requirement to state the business to be transacted in the board meetings. The rationale is that it is the director's duty to go when there is any business of the company to be done and to attend to whatever business at whatever moment that the company needs. However, some notice would be required if the business

to be transacted was important. If a director is beyond physical reach and has the board's permission to be absent from office, it is unnecessary to send notice to the director¹⁷.

9.3.3.3 Chairperson

The directors may elect one of themselves to be the chairperson of the meeting (Art. 13). If no chairperson is elected, or if a chairperson is elected but absent within 10 minutes after the time appointed for the meeting, the directors present have the power to choose any other one of the directors to chair the meeting (Art. 13(4)).

9.3.3.4 Quorum

Under the Model Articles, the quorum for a board meeting is two unless the directors have determined otherwise (Art. 11). If a director has an interest in a transaction, arrangement or contract to be discussed at the meeting, that director must not be counted in calculating the quorum (subject to a few exceptions stated at Art. 16). An alternate director will be counted towards the quorum if the article so provides.

9.3.3.5 Voting and Minutes

Resolutions of the board of directors are passed by a majority of votes (Art. 7(1)(a)). If the for and against votes are equal, the chairperson of the meeting has a second or casting vote (Art. 14). A director interested in the transaction may be prohibited from voting (Art. 16).

9.3.3.6 Informal Decisions: Written Resolutions, Informal Meetings, Unanimous Consent

The directors may make decisions by a written resolution, which is valid and effective as if the same has been passed at a board meeting duly convened (Art. 7(1)(b) and 8(2)). Similar to the case in general meetings, a written resolution requires the unanimous approval by the directors eligible to vote on the matters. Such approval is usually indicated by signature. However, other indications in writing are also sufficient under the Model Articles (Art. 8(2)). It is noted that the position of the Model Articles for Public Companies is different in this regard in that signing is needed.

A board meeting can be held informally. This is a recognition of the fact that some companies are family businesses and board meetings are often held in an informal way. The validity of the meeting does not depend on its formality. However, in order for the board meeting to be valid, the directors must treat the meeting as a board meeting. The intention of the directors is to be ascertained objectively.

A decision of the directors may be made when all directors entitled to vote on a matter indicate to each other by any means that they share a common view on a matter (Art. 7(1)(b) and 8). The general rule is that, unless the articles prohibit it, the decisions of the board can be made in the absence of any meetings or written resolution. This is the case if all directors unanimously agree or acquiesce with the decision. It is noted that the position of the Model Articles for Public Companies is different in this regard in that all decisions must be made by a meeting or written resolutions.

¹⁷ *Halifax Sugar Refining Co v Franklyn* (1890) 59 LJ Ch 591.

Barron v Potter (1914) 1 Ch 895

Facts: Before a general meeting was held, Director X met Director Y as they alighted from a train onto a station platform because Director Y had objected to meeting with Director X prior. However, Director Y had no intention to treat this as a board meeting as he came into the office for the purpose of attending the general meetings. Despite Director Y's objection, Director X went on to propose to vote and declare the new directors elected. Director Y thereby initiated an action for an injunction to restrain the additional directors purportedly appointed from acting and a declaration that the appointment was invalid.

Issue: Whether the appointment of some additional directors was valid.

Held: The appointment was invalid. A board meeting can be held under informal circumstances, but the casual meeting of two directors even at the office of the company cannot be treated as a board meeting at the option of one against the will and intention of the other, and it makes no difference that a notice convening a board meeting has been sent by the one to the other if such notice has not in fact been received by the other.

It is also noted that a meeting can be held regardless of where a director is, so long as the directors can communicate with each other any information or opinions on any particular item of the business of the meeting (Art. 10).

Illustrative Example 5

Three friends, Brodo, Kam and Collum, decided to set up a start-up company, Old Hare Co., to promote the hare-eating culture and sell the same for profit. All three friends are the directors of Old Hare Co. The shareholders are the three friends and some of their immediate family members. They grew up in the countryside and are not used to working in offices. Therefore, they prefer to transact their business more casually. They also prefer a quick and easy method to make decisions, especially when their views usually are unanimous (such as in the matters of borrowing or committing into particularly large business decisions).

This can be achieved under the CO and if Old Hare Co. adopts the Model Articles¹⁸. The Articles 7(1)(b) and 8(2) provide that the three directors can pass a written resolution that will be valid and effective as if the same has been passed at a board meeting. Thus, when their views are unanimous, the three directors may simply sign on a piece of paper instead of having to meet at all.

¹⁸ Model Articles of Association for Private Companies Limited by Shares at Schedule 2 of Companies (Model Articles) Notice (Cap.622H).

Illustrative Example 5 (*continued*)

Further, a board meeting can be held informally. The three directors usually work separately in the day and meet for dinner in the evening. If they prefer, they can treat the dinner meeting as a board meeting. However, in order to have this effect, they must have treated the dinner as such. The intention is judged objectively. To prevent future arguments, they should circulate amongst themselves emails that the dinner will usually be treated as a board meeting unless otherwise stated in writing. This would prevent the chance of having future arguments as to whether the decisions made at the dinner would be binding. Minutes should also be taken as a good measure.

9.3.3.7 Irregularities in Board Meetings

The rule regarding irregularities in relation to board meetings is different from that in GMs. The general rule is that an irregularity in the convening or holding of a board meeting would render the meeting void. Any decisions made thereunder would be invalid¹⁹.

However, it is noted that the articles may provide that the irregularity would not affect the validity of decisions.

The irregularity principle discussed above in relation to GMs has a limited application in the case of board meetings. In *Yip Peter v Asian Electronics Ltd* (1998) 2 HKC 96, Le Pichon J accepted that the irregularity principle could be applied as a basis for the validity of a resolution passed in a meeting held on insufficient notice. However, it was held in *Billion Express Industrial Ltd v Tsang Hung Kong* (2012) 5 HKC 51 that, even if the result of the meeting would have been the same, the exclusion of a director from a meeting by the deliberate withholding of notice was an irregularity that invalidated the meeting. The reason is that the company is entitled to have the collective wisdom and contribution of all directors. A director has a right to participate in board meetings to provide his/her opinion to the board as part of the collective wisdom that the company is entitled to obtain from its board. It is again noted that the irregularity principle has no application if the correct procedure had been observed.

Apply and Analyse 4

Apply

Advanced Co. Ltd ('ACL') has three shareholders: Alice (30%), Betty (30%) and Cathy (40%), who are also the only directors of ACL. ACL adopts the Model Articles²⁰. The three directors have approved a transaction to acquire a small business and Alice was appointed to execute the transaction on behalf of ACL. Three days before signing the acquisition agreement, the owners of the target company suddenly adjusted the purchase price upwards by 20%. As the matter was urgent, Alice immediately called a board meeting.

¹⁹ *Grand Field Group Holdings Ltd v Tsang Wai Lun Wayland (No. 2)* (2010) 4 HKLRD 487.

²⁰ Model Articles of Association for Private Companies Limited by Shares at Schedule 2 of Companies (Model Articles) Notice (Cap.622H).

Apply and Analyse 4 (continued)

However, due to a recent argument between Alice and Cathy and the fact that Cathy was out of town, Alice decided not to tell Cathy about the meeting. Alice believed that the urgency of the meeting would justify such a decision. As a result, only Betty was informed and attended the meeting. At the meeting, Alice and Betty approved the increased purchase price. After the transaction was completed, Cathy discovered this and was furious. As it transpired, Betty had a beneficial interest in the vendor companies. Analyse whether the decision made in the board meeting was valid and binding on ACL.

Analysis

The meeting was convened in breach of the Article 9(3) of the Model Articles, which provide that the notice must be given to each director within a reasonable time before the meeting. The urgency of the situation does not absolve the duty to give such notice. Depending on the location of Cathy, the notice ought to be given such as to allow sufficient time for Cathy to return for the meeting (assuming the time frame before execution allows). The notice must indicate the proposed date, time and venue of the board meeting. The meeting was invalidly convened due to this breach.

In any event, the meeting was not validly convened as it failed to attain the sufficient quorum. Article 11 of the Model Articles provides that the quorum of a board meeting is two unless the directors have determined otherwise. However, Article 16 of the Model Articles provides that if a director has an interest in a transaction, the director must not be counted in calculating the quorum. As it transpired that Betty had a stake in the acquisition, her presence does not count toward a quorum.

Under these conditions, the general rule is that an irregularity in the convening or holding of a board meeting would render the meeting void. Any decisions made thereunder would be invalid.

9.3.4 Vacation of Office

A director may vacate his office in a number of ways. Generally, under the Model Articles, a person would cease to be a director if he/she (Art. 25):

1. Ceases to be a director within the definition of the CO;
2. Becomes bankrupt or makes any arrangement or composition with his creditors generally;
3. Becomes a mentally incapacitated person;
4. Resigns;
5. Has been absent from directors' meeting without prior permissions from other directors for more than six months; or
6. Is removed from office by an ordinary resolution.

9.3.4.1 Retirement

Some articles may provide for the rotation of directors, namely automatic retirement of directors after a certain term. For example, under the Model Articles for Public Companies Limited by Shares, one-third of the directors are to retire from office by rotation every year after the first AGM (Art. 24). Even in cases of private companies, any resolution appointing a director may specify the term of the appointment.

9.3.4.2 Removal by Directors or by Members

The shareholders may remove a director through an ordinary resolution notwithstanding anything in the articles stating the contrary (s.462). Special notice is required for such a resolution (s.462(4)). However, such a removal would not prevent a director from claiming compensation or damages because of the termination (s.462(9)).

The company must send a copy of the notice of the resolution to remove the director to the director concerned (s.463). The director is entitled to be heard at the meeting at which the proposed resolution is voted on. Further, the director may make such representations in writing to the company as he/she so wishes (but not exceeding a reasonable length) (s.463).

If the articles so provide, the board may have a power to compel a director to resign through written request of the other directors²¹.

It is noted that in the situation of a quasi-partnership, a director may be able to contest or even restrain the company from removal. For unfair prejudice remedies, see Section 10.4.4.

9.3.4.3 Resignation

A director may resign at any time subject to the articles (s.464(1)). However, where the articles require notice to be given, the resignation does not take effect until the notice is given properly in accordance with the requirements (s.464(5)).

9.3.4.4 Notification of Changes to the Registrar

When there is a change in the directors of the company, the company must (1) notify the Registrar of the change within 15 days of the change (ss.645(4)) and (2) update its register of directors (s.641).

9.3.5 Disqualification of Directors

(Unless otherwise stated, the section references made in Section 9.3.5 shall be to those sections in the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) ('CWUMPO').)

Part IVA provides for the disqualification regime of directors by the court.

Under Part IVA, the court may make a disqualification order against a person from being a director. Such orders may be made on the following grounds (s.168):

1. Conviction of certain indictable offences (s.168E);
2. Persistent breaches of the CO (Cap.622 and Cap.32) (s.168F);

²¹ *Samuel Tak Lee v Chou Wen Hsien* (1984) 1 WLR 1202.

3. Fraudulent trading or other fraud in winding-up (s.168G);
4. Conduct of directors of insolvent companies that renders them unfit to manage companies (s.168H); and
5. Disqualification expedient in the public interest on application from the Financial Secretary (s.168I).

An order on the basis of the aforementioned may be applied for by the Registrar, Official Receiver, Financial Secretary or by any past or present member or creditor of any company concerned (ss.168P(2)(a) and 168P(2)(b)).

It is also noted that if any person ceases to be a director or reserve director of the company including disqualification as aforesaid, or if there is any change in the particulars of the directors as contained in the register of directors of a company, the company must within 15 days after the cessation or change report the same to the Registry (s.645(4) of the CO (Cap.622)).

Official Receiver v Chan Kin Hang Danvil (2012) 4 HKLRD J3

Facts: The defendant director D was a director of an accounting services limited company C. C submitted several tenders to the Official Receiver for appointment to be liquidators. As a result, D was appointed provisional liquidator or liquidator of several companies. Those tenders stated that a solicitor S was also a director of C. The tenders were signed by D. However, it transpired that S was in fact not a director of C but listed only as a recognised professional. Further, an employee of C, X, who was not a professionally qualified employee, was also appointed as joint liquidator in several of the winding-ups. In performance of their duties, X and D failed to submit and report receipts they have received forthwith. The sums under the receipts were only remitted to the Official Receiver nearly one year after the receipt and only on the Official Receiver's enquiry. No explanation was given as to the failure to remit the sum and for what purpose the sum had been applied before the remittance. Further, C also failed to provide the Official Receiver with certified bank statements and accounts of liquidation. D failed to explain his non-compliance until service of statutory demands.

Issue: Whether D should be disqualified to act as a director pursuant to s.168G of the Companies Ordinance (Cap.32).

Held: D was to be disqualified to act as a director for seven years and X to be disqualified for three years. The power to make a disqualification is discretionary, unlike in cases where directors of insolvent companies considered unfit to be concerned with the management (which is mandatory). In order to exercise the discretion, the court must be satisfied that D and X have been guilty of a breach of their duties as liquidators or provisional liquidators of the companies. The breach must be sufficiently serious to warrant disqualification.

As a general rule, the period of disqualification should reflect the gravity of the misconduct and be effective to protect the public and serve as a deterrent to others who might be inclined towards similar misconduct. The brackets of disqualification are: over

Official Receiver v Chan Kin Hang Danvil (2012) 4 HKLRD J3 (continued)

10 years (top bracket); 6 to 10 years (middle bracket); and 2 to 5 years (minimum bracket). This case was considered a serious case but did not merit the top bracket. Thus, a seven year disqualification was appropriate for D. X's misconduct fell within the minimum bracket. His failure was to stand to one side and allow D to commit misconduct. Thus, a period of three years was appropriate.

The case was upheld on appeal.

9.3.5.1 Conviction of Indictable Offences

A person may be disqualified for being convicted of an indictable offence (whether on indictment or summarily):

1. In connection with the promotion, formation, management or liquidation of a company;
2. In connection with the receivership or management of a company's property; or
3. That necessarily involves a finding that the person has acted fraudulently or dishonestly.

In the course of a proceeding for the prosecution of an offence, the court may make a disqualification order if it thinks fit, whether or not any person applies for such an order (s.168P(4)).

The maximum disqualification periods for an order made on this basis are 15 years (Court of First Instance), 10 years (District Court) and 5 years (Magistrates' Courts).

9.3.5.2 Persistent Breaches of the Companies Ordinances

A disqualification order may be made against a person who has been persistently in default of the provisions in the Companies Ordinance (Cap.32) ('Old CO') relating to the filing of any return, account or other documents with the Registrar (s.168F).

A person is conclusively proved to be persistently in default where he/she has been adjudged guilty of three or more defaults in the five-year period ending on the date of the application for the disqualification order (s.168F(2)). An adjudication of guilt includes not only a conviction but a court order requiring a person to comply with the relevant provisions in the Old CO.

The meaning of 'persistence' has also been described as 'to persist is to continue firmly or obstinately in a state, opinion, purpose, or course of action, especially against opposition' and also 'to persist is to do more than to continue, although repetition is involved. It implies an element of determination'²².

The maximum disqualification period for an order made on this basis is five years.

9.3.5.3 Fraud or Breach of Duty as to Company in Winding-Up

The court may make a disqualification in respect of a person (1) who has been declared to be liable for fraudulent trading under s.275 (s.168L); or (2) who appears to the court to be guilty of an offence of fraudulent trading (whether actually convicted or not) (s.168G).

²² *Director of Corporate Enforcement v McGowan* (2008) IESC 28.

The maximum periods of disqualification under ss.168L and 168G are both 15 years. The court held in *Re Well Bond Group Ltd* (2008) 5 HKLRD 147 that an order over 10 years is for very serious cases, 6 to 10 years is for serious cases that did not merit over 10 years, and 5 years or less for relatively less serious cases.

9.3.5.4 Directors Unfit to Manage Companies

A court must make a disqualification order against a person if it is satisfied of the following two conditions (s.168H(1)):

1. The person is or has been a director of a company that has become insolvent, whether while he/she was a director of that company or subsequently; and
2. His/Her conduct as a director of that company (or considered together with another company) makes him/her unfit to be concerned in the management of a company.

The jurisdiction of the court under this basis is mandatory, i.e. the court must impose the order if satisfied as to the above. This is different from the case in the previous three grounds, in which the court's jurisdiction to impose a disqualification is discretionary, i.e. the court may impose an order if those bases were satisfied.

In determining whether a person is unfit, the court shall have regard to matters listed in Schedule 15, which include: (1) the breach of duties, (2) the misapplication of company property or money, (3) the director's responsibility for non-compliance of statutory provisions relating to book keeping, preparation of financial statements and filing of documents, and (4) the extent of the director's responsibility for the insolvency of a company.

A disqualification order imposed on these grounds has a minimum period of 1 year and a maximum period of 15 years (s.168H(4)). The brackets aforementioned in Section 9.3.5.3 is also applicable in this case. There are some mitigation factors that may be taken into account by the court, namely cooperation with the liquidator, admission of allegations, age, health, the length of time the director has been in jeopardy or relevant prison sentence served for the same conduct. However, each case must be decided on its own facts.

9.3.5.5 Disqualification Expedient in the Public Interest on Application from the Financial Secretary

In special cases, the Financial Secretary may appoint inspectors to investigate a company's affairs or require the production of documents (Part 19, Divisions 2 and 3 of the CO (Cap.622)). If it appears to the Financial Secretary that it is expedient in the public interest that a disqualification order should be made against any person, the Financial Secretary may apply for the same (s.879(6) of the CO (Cap.622)). On such an application, the court may make an order if it is satisfied that the person is unfit to be concerned in the management of a company based on his/her conduct in relation to that company (s.168J(1)).

The maximum period of disqualification on this ground is 15 years.

9.3.5.6 Scope of the Order

The scope of a disqualification order may be that a person must not, without the leave of the court (1) be a director of a company; (2) be a liquidator of a company; (3) be a receiver or manager of a company's property; or (4) in any way, whether directly or indirectly, be

concerned or take part in the management or formation of a company (s.168D(1)). Thus, a disqualification order is not an absolute ban. Leave may be granted by the court for the disqualified person to be involved in a company's business again.

9.3.5.7 Contravention

Any person acting in contravention of a disqualification order commits an offence and is liable to imprisonment for a maximum of two years and a maximum fine of HK\$150,000 (s.168M). Further, such a person would be personally liable for debts and liabilities of the company incurred at a time when he/she was involved in the management of the company (s.168O(1)).

9.3.5.8 Disqualification Relating to Public Companies

The Market Misconduct Tribunal also has power to impose a disqualification order for market misconducts. This will be discussed in Chapter 12 Listed Companies and the Regulation of Financial Markets.

► Knowledge Check Questions

Question 5

Explain the differences between the different types of directors.

Question 6

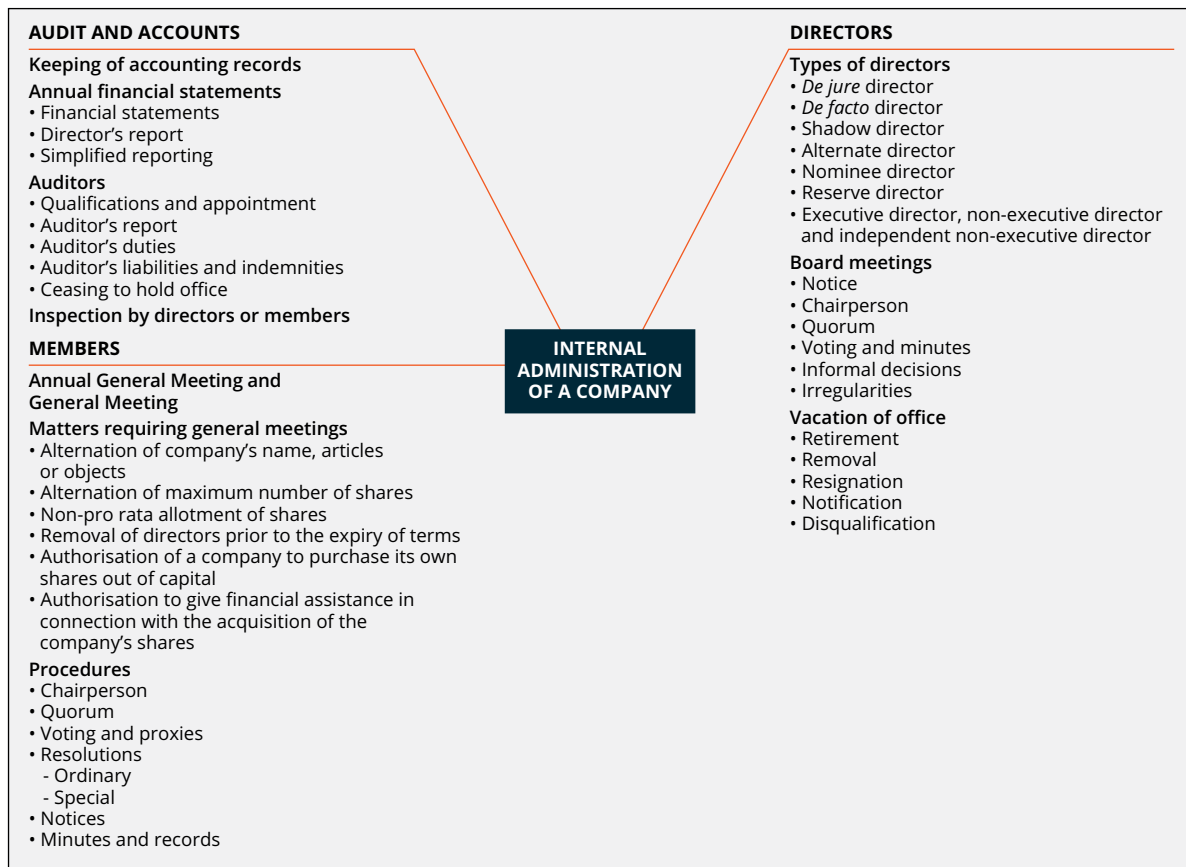
Describe how directors make decisions, the procedures for board meetings and the situations in which a director would be disqualified from office.



SUMMARY

- A company is required to keep its accounting records to the standard required by the statute.
- A company is required to prepare audited financial statements each financial year.
- Financial statements must give a true and fair view of the financial position of the company as at the end of the financial year.
- Financial statements usually include these elements: statement of profit or loss and comprehensive income, statement of financial position, directors' emolument, corporate group undertakings.
- Directors are required to prepare a director's report each financial year.
- Small-sized and medium-sized entities fulfilling the statutory conditions in ss.360 to 365 of the Companies Ordinance (Cap.622) ('CO') are exempted from the normal financial reporting standards. Instead, they only need to comply with the Financial Reporting Framework and Financial Report Standard for small-sized and medium-sized entities.
- Directors have a statutory and common law right to inspect and make copies of the documents of a company.
- Members fulfilling certain conditions also may apply to the court for inspection of companies' records under the CO.
- An auditor's role is to ensure truth and comprehensiveness in the company's financial reporting. A company must appoint an auditor for each financial year. The main duty of an auditor is the preparation of the auditor's report.
- In modern company law, the power of general management of the company rests with the directors, while the shareholders play a supervisory role.
- Shareholders make decisions mainly by attending general meetings. A company is required to hold an annual general meeting every year. The CO and the company's articles provide the rules as to the procedure of members' meetings. Members may also pass a written resolution (with all voting members' consent) without a meeting being held.
- There are different types of directors, with different levels of duties imposed on them. Procedures as to the proceedings of board meetings are largely governed by the company's articles. Directors can retire, resign or can be removed by other directors or by members.
- A person may be disqualified to act as a director by the court on the grounds that (1) he/she was convicted of certain indictable offences; (2) he/she was persistent on breaches of the Companies Ordinance (Cap.622 or Cap.32); (3) he/she conducted fraudulent trading or committed other fraud in the winding-up of any company; or (4) on the application from the Financial Secretary, the disqualification is expedient in the public interest. See Part IVA of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Financial statements aim to provide a true and fair view of the financial position of the company. They need to include: (1) a statement of profit or loss and comprehensive income (profit and loss account); (2) a statement of financial position (balance sheet); (3) directors' emolument; and (4) corporate group undertakings. The auditors' report aims to show whether, in the opinions of the auditors, the financial statements have been properly prepared in compliance with the relevant rules.

The director's report is prepared by the directors as a narrative supplement to the financial information. It should explain the principal activities of the company in the course of the financial year.

Simplified reporting means that for smaller and medium-sized companies, they only need to comply with a less onerous accounting standard when preparing the financial statements (thus lowering the costs). Companies satisfying the conditions set out in s.361 of the Companies Ordinance (Cap.622) ('CO') shall qualify for such exemption.

Question 2

The main duties of an auditor is the preparation of the auditor's report. The role of the auditor is to provide an audit on the company's accounts to show that they have been properly prepared. The main role of the auditor is to ensure truth and comprehensiveness

in the company's financial reporting. The auditor has a right of access to the accounting records of the company and the right to attend meetings of the company. Further, the auditor may also request information and explanation as reasonably required from a subsidiary undertaking. These are provided by ss.411 to 414 of the CO.

An auditor commits an offence if he/she knowingly or recklessly causes a statement required to be contained in the auditor's report to be omitted from the report (s.408 of the CO). An auditor may also incur civil liabilities for failing to take reasonable care and skill in the conduct of the audit. However, an auditor is a watch-dog, but not a bloodhound. Thus, the auditor is entitled to rely on assurances and explanations given by the company without further verification. An auditor is not an insurer and does not guarantee that the accounts correctly show the true position of the company's affairs.

An auditor may cease to hold office by resignation, retirement, removal, disqualification and replacement.

Question 3

General meetings are occasions where shareholders transact their businesses. The annual general meeting ('AGM') is the annual meeting that is required to be held after the end of each financial year of a company (s.610(1) of the CO). All other general meetings are considered to be general meetings ('GM').

The purpose of an AGM is to report the company's position to the shareholders. This is done by presentation of the reporting documents, i.e. the financial statements, the directors' report and the auditor's report. This is required by s.430 of the CO.

It is a common practice for companies to elect directors, the appointment of auditors, the consideration and declaration of dividends and the approval of financial statements at the AGM.

A GM is necessary if during the financial years, some matters arise for members to determine, e.g. altering the company's name, articles or objectives (ss.88, 89 and 107 of the CO) or the allotment of shares (s.141 of the CO). The power to do these matters is reserved for the shareholders; thus they cannot be determined merely by the board of the directors.

Question 4

An AGM requires 21 days' notice unless a shorter period is consented. A GM requires 14 days' notice. For some resolution (such as one to remove a director or an auditor), special notice must be given. A special notice is a notice to move a particular resolution given not less than 28 days before the meeting. The special notice must also contain notice of the particular resolution to be moved.

The irregularity principle provides that the lawfulness of a decision taken by a meeting of members or board cannot be questioned if the only facts alleged to make it unlawful is a mere informality and irregularity and the intention of the meeting is clear (per Le Pichon J in *Yip Peter v Asian Electronics Ltd* (1998) 2 HKC 96). A resolution therefore may be valid even if a proper procedure has not been complied with but the intention of the directors or shareholders was clear.

Question 5

A director properly appointed as such is a director in law (*de jure* director). This includes directors such as the managing directors, executive directors or non-executive directors.

Where a person is not appointed by a director but either acts as such or offers himself/herself out to third parties to be a director, he/she may be considered a director in fact of the company (*de facto* director). Where there is a person in accordance with whose directions or instructions the directors, or a majority of the directors, are accustomed to act, such a person is considered to be a shadow director of the company. An alternate director is a person appointed to act in the place of a director where the latter is unable to attend meetings. A nominee director refers to a director appointed by some third party who nominated the person to the board, usually to look after the third party's interest. A reserve director is someone nominated as such in the case of a one-man company, i.e. the company only has a sole shareholder who also acts as its sole director. The reserve director may act in place of the sole director in the event of the latter's death. Managing directors, executive directors or non-executive directors are mainly a commercial distinction rather than a legal one. It depicts the kind of work the director is responsible for in respect of the company. However, for listed companies, at least three Independent Non-executive Directors must be appointed and they must represent at least one-third of the board. There are no requirements for a managing director, executive director, non-executive director or independent non-executive director in the case of private companies.

Question 6

Directors make decisions collectively at board meetings. The procedures for board meetings are determined largely by the articles of association of the company. Although the procedures are similar to those of members' meetings, they tend to be more flexible and informal. This is because the nature of board meetings is to transact day-to-day business of the company and requires a degree of flexibility. The basic procedural elements include: (1) notice, (2) appointment of the chairperson, (3) quorum, (4) voting and minutes and (5) resolutions. A director may cease to hold office by retirement, removal (by directors or by members), resignation and disqualification.

EXAM PRACTICE

QUESTION 1

Andrew, Bruce and Clark were the only directors and shareholders of Advance Ltd. Their shareholdings were 25%, 25% and 50%, respectively. Advance Ltd had adopted the Model Articles for Private Companies Limited by Shares, which is set out in the Companies (Model Articles) Notice (Cap.622H) as its articles of association, with the only additional article that the quorum for directors' meeting shall be three where there were three or more directors appointed.

Initially, only Bruce and Clark were appointed directors of Advance Ltd. Andrew was an experienced lawyer and was the most experienced out of the three. Due to his professional commitments, Andrew had not been appointed as a director but worked part-time for Advance Ltd as the in-house counsel. However, at times when Advance Ltd needed to enter into any agreement but Bruce and Clark were not free, Andrew would sign such agreements on behalf of Advance Ltd as its director. Both Bruce and Clark would consult Andrew on the business decisions of Advance Ltd, not only on the legal aspects but also commercial matters. Both Bruce and Clark would always follow Andrew's recommendations when making important decisions for Advance Ltd.

Advance Ltd was a company in the business of sales of construction materials. It had just obtained a huge contract for supplying such materials for the third runway construction of the Hong Kong International Airport. Given Andrew's significant involvement in this, he was finally appointed director. At Andrew's suggestion, Andrew and Clark, at a directors' meeting, resolved to engage a company of logistic contractors for the delivery of the construction materials, Trayter Co. Unbeknown to Clark, Andrew actually owned 50% shares in Trayter Co. The other shareholder of Trayter Co was Andrew's brother, Don.

Bruce and Clark found out that Andrew had been stealing money from Advance Ltd. Bruce and Clark called a general meeting, where they passed a shareholder's resolution to remove Andrew as a director under s.462 of the Companies Ordinance (Cap.622) ('CO'). Andrew was not notified of the meeting and did not attend.

- (a) Analyse whether Andrew owed directors' duties before his appointment as a director.
- (b) Analyse whether the decision to engage Trayter Co was valid and effective.
- (c) Analyse whether or not Bruce and Clark's removal of Andrew was effective.

QUESTION 2

Tom, Jerry and Harry are shareholders of X Co, and their shareholdings are 30%, 30% and 40%, respectively. Jerry is the only director. X Co is a company in the business of selling motorcycle parts. It has two shops, one in Mongkok (managed by Tom) and the other one in Wan Chai (managed by Jerry). Each month Tom and Jerry would submit their respective accounts to X Co's auditors at F Firm for consolidation.

Tom and Jerry had a falling out. Jerry had been stealing Tom's ice cream for years and Tom finally had enough of it. Tom wanted to kick Jerry out of the company by accusing Jerry of misconduct or negligence. As it happened, Tom did come across some invoices belonging to the Wan Chai store issued by Jerry to a company owned by Jerry's wife Linda. Linda's company ran a musical instrument shop completely unrelated to motorcycles. Tom believed this was a good opportunity and asked Jerry to provide documents of the Wan Chai store for inspection but Jerry refused.

After Tom and Harry obtained the documents of the Wan Chai store, they found that Jerry had indeed been misappropriating money from the store by issuing bogus invoices to Linda's company. Tom and Harry asked Jerry to step down from his position as a director. Jerry refused and denied that the invoices were fictitious. Tom and Harry wanted to remove Jerry forcefully by using their positions as shareholders.

After Jerry was removed, Tom and Harry felt that Jerry could not have carried out the fraudulent scheme for years without the assistance or negligence of the auditors at F Firm. Therefore, Tom and Harry wished to claim against F Firm for compensation. Tom and Harry felt that if F Firm had done reasonable investigation, they would have discovered Jerry's fraud. F Firm denied liability and said that F Firm asked Jerry about the invoices but Jerry assured F Firm that the invoices were genuine.

- (a) Analyse Tom's remedy as to Jerry's refusal of inspection.
- (b) Apply the corporate governance rules in the statute to explain the procedure that Tom and Harry can adopt to remove Jerry as a director.
- (c) Analyse whether F Firm was liable for negligence.

ANSWERS TO EXAM PRACTICE

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622).

QUESTION 1

- (a) Whilst Bruce and Clark were named as directors, Andrew only worked as a part-time in-house counsel. Nonetheless, both Bruce and Clark consulted with Andrew in respect of the business decisions of Advance Ltd, and always followed Andrew's recommendations. Even if Andrew was not formally appointed as a director of Advance Ltd, he would be considered a shadow director under s.2, which states that a shadow director means a person in accordance with whose directions or instructions (excluding advice given in a professional capacity) the directors, or a majority of the directors, of the body corporate are accustomed to act.

An argument could be made that due to Andrew's experience as a lawyer, he was giving advice in a professional capacity. However, it was obvious that the matters Andrew advised on went beyond legal aspects. Thus, it was likely that Andrew would be considered a shadow director.

A shadow director does not necessarily owe the same duties as a director in law or in fact. However, it does not matter in the present case. Andrew not only made decisions for Advance Ltd, but also held himself out to third parties as the company's director when signing agreements. Although Andrew was not appointed in law as a director, he should be considered a *de facto* director of Advance Ltd.

- (b) Advance Ltd had adopted the Model Articles for Private Companies Limited by Shares ('Model Articles').

Article 16(3)(a) of the Model Articles provides that a director interested in a transaction should not vote in respect of that transaction. In the present case, Andrew was in a position of conflict of interest as he owned shares in Trayter Co. His interest in Trayter Co conflicted with the interest of Advance Ltd. He should not have voted in the decision to engage Trayter Co in the first place.

Article 16(3)(b) of the Model Articles provides that a director's vote cannot be counted towards a quorum in any decisions in which that director has an interest. Article 11(2) of the Model Articles provides that the quorum for a directors' meeting is two should the same not otherwise be fixed. However, Advance Ltd's additional article provides that the quorum shall be three, where three or more directors have been appointed. Thus, the additional articles began to apply when Andrew was appointed as a director. Since Andrew's vote did not count towards a quorum, the decision to engage Trayter Co was inquorate. *Prima facie*, it was invalid and ineffective.

- (c) Whilst shareholders may remove directors by ordinary resolution at a general meeting under s.462, a special notice is required under that section. S.578 provides that a special notice (1) needs to be given not less than 28 days before the meeting and (2) needs to state the particulars of the relevant resolutions proposed.

S.463 further provides that a director is entitled to be heard at the meeting at which the resolution to remove him/her is voted on and may also make representations in writing to the company. The failure of Bruce and Clark to comply with all of these requirements means that the shareholder resolution to remove Andrew as a director is *prima facie* invalid.

However, since Bruce and Clark together form the majority of shareholders, the irregularity principle applies. The principle provides that the lawfulness of a decision taken by a meeting of members or board cannot be questioned if the only facts alleged to make it unlawful is a mere informality and irregularity and the intention of the meeting is clear.

In the present case, it can be argued by Andrew that the irregularity principles do not assist Bruce and Clark because Andrew's complaint goes beyond mere procedure, i.e. Andrew lost the opportunity to make representation as to his proposed removal, which was provided by s.463.

QUESTION 2

- (a) As Tom is only a shareholder but not a director, he does not have the same right of inspection of a director as provided by s.375. A member's right of inspection is less extensive than that of a director. This is a reflection of the doctrine of separate legal entity. Only the directors should have day-to-day management of the company. The shareholders are distinct entities. Normally, a member only has a right to inspect the minutes of general meetings (s.620), register of members (s.631), register of directors and company secretaries (ss.742 and 649), register of debenture holders (s.310) and register of charges (s.355). There is no general right for members to inspect a company's book of accounts or other documents. Tom therefore has no general right to see the Wan Chai store documents.

It is not certain whether the articles of X Co give its members a wider right than the default position as set out in the CO. In the present case, it can only be assumed that it does not.

In these circumstances, a member such as Tom may apply to the court to inspect records of the company in accordance with s.740. In order to do so, Tom must either hold (1) at least 2.5% of the voting rights in the company or (2) make the application together with four other shareholders. In the present case, Tom satisfies condition (1). Tom is qualified to present an application. In order to succeed, Tom needs to show that (1) his application is made in good faith and (2) the inspection is for a proper purpose. In the present case, Tom can submit that the proper purpose is to investigate whether Jerry has been misappropriating funds from X Co., relying on the invoices to Linda's shop. It is difficult to imagine why a motorcycle trading company such as X Co would require materials from a musical instrument company. Tom can seek production of delivery notes and all such invoices and the accounts of the company. Jerry may argue that the application is not made in good faith because Tom wanted a personal vendetta as Tom was fed up with Jerry stealing Tom's ice cream. However, Tom may argue that the dominant purpose of the application is to investigate Jerry's misconduct, which is a legitimate purpose. It is therefore irrelevant that Tom might have some secondary purpose that might not be proper.

- (b) Shareholders may remove a director prior to the expiration of his/her term by ordinary resolutions passed at general meetings (s.462(1)). However, a special notice is required of a resolution to remove a director (s.462(4)). Therefore, it is possible for Tom and Harry to remove Jerry by out-voting him at a general meeting ('GM').

It is not known whether an annual general meeting is due to take place. It is therefore assumed that it is not taking place any time soon. A GM is therefore necessary to remove Jerry.

Normally a GM is convened by directors (s.565). However, shareholders together holding not less than one-twentieth of the company's paid-up share capital with voting rights can make a requisition to the directors requiring them to convene a general meeting (ss.566 to 568). Such a meeting would be called at the expense of the company (s.568). Accordingly, Tom and Harry (who together hold 70% of the shares) can require the director Jerry to convene a GM.

Since the resolution proposed is for the removal of Jerry, a special notice is required. A special notice is a notice of the intention to move a particular resolution given not less than 28 days before the meeting (s.578(1)). Thus, the notice of the proposed resolution of removing Jerry must be given when the notice of the meeting is given (s.578(2)). Further, since the resolution involves removing a director before term, X Co must also send a copy of the notice to the director concerned (s.463). In the present case, therefore, Jerry will receive notice both as a shareholder and a director. Jerry will also be entitled to be heard at the meeting and make representations in writing (s.463).

At the meeting, the resolution needs only to be passed as an ordinary resolution. Thus, a simple majority is sufficient. Tom and Harry holding 70% voting rights will be able to out-vote Jerry and thereby remove Jerry as a director.

- (c) F Firm as auditors have a duty at common law to perform their functions with a duty of care and to provide a reasonable assurance on the financial statements of the company. However, an auditor is not an insurer and does not guarantee that the accounts correctly show the true position of the company's affairs. Although auditors are required to examine the company's books and make reasonable enquiries, they are not bound to play 'Sherlock Holmes' in the performance of their tasks. An auditor is not bound to be a detective or to approach his/her work with suspicion or with a foregone conclusion that there is something wrong. It has been described vividly in cases that an auditor 'is a watch-dog, but not a bloodhound'.

The issue is therefore whether F Firm (1) ought to have done a reasonable investigation and (2) whether such an investigation, if done, would have discovered the fraud.

It seems in the present case that F Firm did have some cause to question the invoices. This can be inferred from the fact that F Firm saw fit to question Jerry about the invoices. However, F Firm ceased its chain of enquiry after being assured by Jerry that the invoices were genuine. An auditor is entitled to rely on assurances and explanations given by the company without further verification. However, such reliance must be reasonable. In the present case, it is not apparent on what basis Jerry gave this assurance. It seems that it was not reasonable for F Firm to simply rely on a bare assurance given by Jerry. F Firm should have made an exhaustive enquiry into the invoices, which they clearly failed to do. Under these premises, it is submitted that F Firm would likely be liable for negligence.

10

Contentious Matters



CHAPTER TOPIC LIST

10.1 Power of a Company to Enter into Contracts

- 10.1.1** Contractual Capacity of a Company
- 10.1.2** Formalities for Entering into a Contract
- 10.1.3** Protection of Persons Dealing with the Company – The Indoor Management Rule
- 10.1.4** Corporate Liability

10.2 Lifting the Corporate Veil

- 10.2.1** Separate Legal Entity – The Corporate Veil
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10.3 Directors' Duties

- 10.3.1** Types of Directors' Duties and Their Sources
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10.3.7 Breach of Directors' Duties

10.3.8 Remedies for Breach of Directors' Duties

10.4 Shareholders' Remedies

10.4.1 The Rule in *Foss v Harbottle*

10.4.2 Common Law Derivative Action

10.4.3 Statutory Derivative Action

10.4.4 Unfair Prejudice Remedies

10.4.5 Members' Personal Actions

10.4.6 Just and Equitable Grounds for Winding-up



LEARNING OUTCOMES

PRINCIPAL LO1: ANALYSE AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN THE DIFFERENT FORMS OF LEGAL ENTITIES

Formation of companies

LO1.02: Explain and apply the process of forming an incorporated body

1.02.04 Apply the concepts of:

- The object clauses of a company (*)
 - The contractual capacity of a company
- and analyse the legal effects of the abolition of *ultra vires* (*)

Administration of companies

LO1.04: Analyse how companies make decisions and manage their activities, and apply the rules and requirements to practical business situations

1.04.02 Analyse the fiduciary duties and other duties of a director and how he/she exercises powers and authority to act for a company

1.04.03 Analyse how a director exercises the duty of reasonable care, skill and diligence

1.04.11 Describe and apply the concepts of shareholders' rights and remedies, including derivative action and the unfair prejudice remedy, and just and equitable winding-up

1.04.12 State the rules about protection of outsiders

1.04.13 Apply the rules and requirements regarding administration of companies to practical business situations

For the topics marked with (*), please refer to discussions in Chapter 8.



OPENING CASE

TROUBLES OF IMPRESSIVE TECHNOLOGIES LTD

The story of Impressive Technologies Ltd ('ITL') continues. The business is growing and so is ITL, which starts to hire more people. A lot of different contracts need to be negotiated and signed by ITL daily. These cannot all be done by the directors. Andrew is concerned as to who has authority to sign contracts on behalf of ITL.

Meanwhile, Denise has discovered something alarming. Bruce has been negotiating to engage Eddie (an independent third party) as a subcontractor for ITL. However, Eddie has always had a bad relationship with Andrew. Eddie wonders if Bruce had sufficient authority to represent ITL and whether any contract signed by Bruce would also bind ITL. Eddie is concerned that Andrew might try to revoke the contract. Eddie does not know what sort of internal management ITL has in place about this kind of matter.

However, Denise has recently discovered that a main subcontractor of ITL is actually a company wholly owned and controlled by Andrew. Denise felt that she has been cheated in a way. Denise is concerned that Andrew might have overlooked more competent or competitive subcontractors in favour of his own companies. Further, it transpires that Bruce has set up a moonlighting business that takes up orders that ITL cannot undertake due to lack of capacity. Denise wonders if this is improper and whether ITL or she herself has any remedy against Bruce. Denise is eager to find out (1) if Andrew and Bruce have breached any of the duties they owe as directors and (2) if so, what remedies she has as a shareholder. In terms of seeking remedies against Andrew and Bruce, is there a difference between Denise (as a shareholder) and ITL itself? 



OVERVIEW

This chapter discusses the most contentious areas of company law, covering issues such as a company's power to enter into contracts, lifting the corporate veil, the director's duties and the shareholders' remedies. These are some of the most fundamental concepts of company law. A majority of company law litigations arises from this area. The previous chapters (i.e. Chapters 8 and 9) provide a regulatory framework of a company. However, those rules only provide a skeleton to the concept of a company. This chapter will put some flesh on that skeleton. The focus is on the legal principles underlying the interrelationships between different parties, i.e. directors, shareholders, the company itself and outsiders.

First, who has the power to enter into contracts on behalf of the company will be discussed. It must be remembered that a company is only a legal entity by virtue of the doctrine of separate legal entity. A company must act through human agents. Thus, the key question is who should be deemed in law to have the authority to act on behalf of the company. Thus, the acts or knowledge of those persons will be regarded as that of the company.

Second, under the doctrine of separate legal entities, the shareholders and the company are treated as separate entities. However, the company form can be abused, e.g. where the company is being used as a tool in fraud to evade obligations or to perpetrate criminal activities. In this case, it is necessary to disregard the separate legal entity and to attribute the company's wrongdoing or assets to the shareholders. In other words, the corporate veil is pierced or lifted. The shareholders can no longer hide behind the legal fiction that the company is a separate entity from themselves. This can only be done in specified situations, usually involving fraud or illegality or the evasion of legal rights in some form.

Third, the directors' duties to a company will be discussed. Generally, directors are under an obligation to place the company's interest before that of their own. Thus, directors must disclose any conflict of interest and must not pocket any secret profits.

Lastly, the remedies available to shareholders in relation to any breach of directors' duties or unfair prejudicial actions will be discussed. Normally, when a director has been in breach of his/her duties, the proper plaintiff would be the company (instead of its shareholders). However, in some circumstances, the shareholders may launch an action on behalf of the company. This is called a 'derivative action'. Another hotly contested area in company law is shareholder disputes. In some companies, it may be inequitable for a majority shareholder to exercise its legal right in a manner that is unfairly prejudicial to minority shareholders. In such a case, the minority shareholders may apply to the court for relief for unfair prejudice.

10.1 POWER OF A COMPANY TO ENTER INTO CONTRACTS

This chapter explores the mechanism the law has developed in relation to a company's contracting powers. It is an extension of the discussion of the doctrine of separate legal entity of a company in Section 8.1. Unlike a natural person, a company acts through agents. The rules that govern the situations in which a company is treated as being bound by the acts of its agents are discussed below. These rules are necessary for a number of reasons. One such reason is to protect third parties dealing with a company by ascertaining the situations where a company would be held liable for acts done by its agent purportedly on its behalf.

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622) ('CO').

10.1.1 Contractual Capacity of a Company

S.121 sets out the ways in which a company may enter into contracts:

1. A contract that is required by law to be in writing and under seal may be made by a company either (1) in writing under the company's seal (if any) (s.121(2)(a)), or (2) in writing executed in accordance with the steps set out in s.127(3) (s.121(2)(b)).
2. A contract that is required by law to be in writing and signed by the parties may be made on behalf of a company in writing signed by any person acting with the company's authority (expressed or implied) (s.121(3)).
3. An oral contract may be made on behalf of the company orally by any person acting with the company's authority (expressed or implied) (s.121(4)).

The general principles of agency law apply to determine whether a person has the authority to enter into a transaction on behalf of the company. This has been discussed in Chapter 5 Aspects of Agency Law.

10.1.2 Formalities for Entering into a Contract

There are some rules as to formalities applicable in contracts entered into by companies.

10.1.2.1 Common Seal

Historically, a common seal was required for every company. However, this is no longer the position under the CO (s.124(1)).

Nevertheless, if a company chooses to adopt a common seal, the rules governing the use of the common seal are still applicable. For example:

1. The common seal must be a metallic seal having the company's name engraved on it in legible form (s.124(2)). Anyone using a common seal without compliance with this requirement commits an offence (s.124(4)).
2. Where the common seal is affixed to a written contract, the contract is regarded as being entered into by the company directly (*Northside Developments Pty Ltd v Registrar-General* (1990) 176 CLR 146, 160).

3. The articles would usually provide for the detailed rules in relation to the use of the common seal. For example, the Model Articles provide that the seal can only be used by the authority of the board of directors, and every instrument to which the seal is to be affixed must be signed by a director and countersigned by the secretary or by a second director or by some other person authorised by the board for that person (Art. 81).
4. If the name of the seal is incorrect, any document affixed thereunder would still be considered validly executed if the common seal was indeed intended to be the seal of the company (*Good Lion Ltd v Chung Sai Wing* (2008) 6 HKC 443).
5. The proper execution of documents by a seal requires that the person(s) affixing the seal has the authority under the articles or from the company to do so. There are two aspects to this authority: (1) the authority to enter into the transaction in the first place and (2) the authority to formally execute the document.

A company may also execute a document as if the seal has been used but without actually using the seal. S.127(5) provides that a document is deemed to be executed as if it has been executed under the company's common seal if (1) it is signed by two directors of the company (or in a company with only one director, by that director) (s.127(3)(a)) or by any of the directors and the company secretary and (2) it is expressed (in whatever words) to be executed by the company.

10.1.2.2 Execution of Documents and Deeds

A deed may be executed by a company by (s.128(1)):

1. Execution in compliance with s.127;
2. Expression (in whatever words) that the document was executed by the company as a deed; and
3. Delivery of the document as a deed.

Delivery as a deed means that there was an intention to be bound by the deed as shown by words or by conduct. A document is presumed to be delivered as a deed upon execution in compliance with s.127, unless proved otherwise (s.128(2)).

It is noted that there is a common practice to have signatures of directors or other officers of the company attested in the document under seal. However, there is no strict legal requirement for such attestation.

Additionally, a company may also appoint an attorney to execute deeds on behalf of the company (s.129(1)). Deeds so executed bind the company as if the same was executed by the company (s.129(2)).

10.1.2.3 Official Seals and Company Chops

Official seals and company chops are to be distinguished from common seals in that:

1. Official seals are used for executing documents outside Hong Kong by a company (s.125).
2. Company chops are usually rubber chops used by a company for signing documents that are not deeds.



Official seals: A company may execute documents outside Hong Kong using an official seal (s.125). It is essentially a replica of the common seal but, additionally, it is engraved with the name of the place where it is to be used (s.125(2)). A document duly affixed with an official seal is binding on the company as if the same has been sealed with the common seal (s.125(6)). Similarly, a seal may be produced and used specifically for sealing securities (s.126).

Company chops: These are usually rubber chops used by Hong Kong companies. These chops are not the common seal and thus have no legal significance under the CO. The use of such chops does not carry with it any legal consequences *per se*. However, the use of such chops may relate to matters such as capacities and authorities of an agent signing or acting for the company. Thus, unlike the legal significance of the common seal, which is prescribed by statutes, the legal significance of these company chops is dependent on the circumstances of the case and generally governed by agency law (See Chapter 5).

10.1.3 Protection of Persons Dealing with the Company – The Indoor Management Rule

It can be observed from the aforementioned that the rules governing a company's capacity to enter into a contract can be quite complex, e.g. the rules on agency and affixation of the common seal. An issue thus arises. How is a third party contracting with a company supposed to know whether a particular agent has the authority to represent the company or not? Is such a third party required to look through a company's articles to ensure all the relevant rules have been complied with? Surely, this would be an unreasonably laborious task.

In order to resolve this issue, the common law has developed a rule to protect third parties dealing with a company, namely the **indoor management rule** (also known as the internal management rule). This rule provides that persons dealing with a company may assume that acts within its constitution and powers have been properly and duly performed and that such persons are not bound to enquire whether acts of internal management have been regular. This is provided so that those third parties are acting in good faith. This rule is derived from the case of *Royal British Bank v Turquand* (1856) 119 ER 775.

***Royal British Bank v Turquand* (1856) 119 ER 775**

Facts: The defendant director T caused A Co to grant a bond to the plaintiff P Bank. The bond was under A Co's common seal and signed by two directors and the secretary. However, when P Bank later sought to enforce the bond against A Co, A Co defended the action on the basis that the bond was invalid because the articles of association of A Co only give directors power to borrow up to an amount authorised by an ordinary resolution of the company. There was no resolution specifying such an amount.

Issue: Whether the bond was valid.

Held: The bond was valid. Although P Bank could be deemed to have constructive notice of the restrictions in the articles of association (for the same had been registered), P Bank could not be deemed to know whether any ordinary resolution thereunder provided had been passed (for the same was not registrable). The bond was valid because there was no requirement to look into the internal workings of A Co.

Illustrative Example 1

In the opening case, Andrew was expanding the business of Impressive Technologies Ltd ('ITL'). Andrew managed to locate a business opportunity for ITL to invest in a start-up company in programming, R Co. On behalf of ITL, Andrew signed a contract with R Co to invest HK\$1,000,000 into R Co in exchange for 30% of shares in R Co to be allotted to ITL. However, unbeknown to R Co, the articles of association of ITL expressly prohibit directors from entering into investment agreements with start-up companies. When the investment agreement was revealed to the other director, Bruce, he objected to the investment as he saw no growth potential in R Co. As a result, Bruce argued that ITL was not bound by the agreement because Andrew had no authority under the articles to enter into the agreement.

R Co can rely on the indoor management rule in this case to argue that ITL is bound by Andrew's action. R Co is entitled to assume that Andrew, being a director, was acting within the constitution of ITL and the powers have been properly and duly performed. R Co is not bound to enquire whether acts of internal management have been regular.

It has been said that the rule covers broadly three categories of cases (*Northside Developments Pty Ltd v Registrar-General* (1990) 170 CLR 146, 178):

1. The due appointments of directors, officers and agents.
2. The conferral of authority on officers and agents.
3. The satisfaction of conditions governing the exercise of authority in a particular case by officers and agent.

In these cases, the rule applies to bridge the link between the constitution of the company and the particular act done (or omitted) by a purported officer or agent of the company in a transaction.

***Pacific Foundation Finance Ltd v Fairyoung Holdings Ltd* (1999) 3 HKC 448**

Facts: The plaintiff A Co advanced a loan to the defendant B Co. The loan was to be remitted to B Co's controlling shareholder C Co. The loan was approved by the Managing Director C of B Co. However, C failed to disclose at the board meeting that he was the director and sole beneficial shareholder of C Co. The loan amount was allegedly used to pay off a debt owed by B Co to C Co. When A Co later sought to enforce the repayment against B Co, B Co argued that C Co had no authority from B Co to enter into the loan agreement. Thus, the approval of the loan was irregular. Further, B Co alleged that A Co had actual and constructive notice of the fact that C Co had no authority.

Issue: Whether the loan was enforceable.

Held: The loan was enforceable. Persons contracting with a company and dealing in good faith might assume that acts within its constitution and powers had been properly and duly



Pacific Foundation Finance Ltd v Fairyoung Holdings Ltd (1999) 3 HKC 448 (continued)

performed and were not bound to enquire whether acts of internal management had been regular. The rule was one of mixed law and fact. However, the rule was of no assistance to a party if that party had actual or constructive notice of the irregularity. There was no actual or constructive notice on the part of A Co. Thus, the loan was enforceable. B Co had no defence.

It is important to note that the indoor management rule does not apply where there is no actual or apparent authority. The indoor management rule cannot be used to create authority where none exists (See discussions on exceptions to the rule below). The indoor management rule only has scope for operation if it can be established independently that the person purporting to represent the company had actual or ostensible authority to enter into the transaction (See Section 5.2). Thus, conceptually, the indoor management rule is dependent upon the operation of normal agency principles (See Section 5.2.1.2). For authorities, see *Northside Developments Pty Ltd v Registrar-General* (1990) 170 CLR 146 and *Thanakharn Kasikorn Thai Chamkat v Akai Holdings Ltd* (2010) 13 HKCFAR 479 (59).

National Commercial Bank Ltd v Albert Hwang (2002) 2 HKLRD 408

Facts: This is a dispute concerning the sale of land. C represented to the plaintiff, the Purchaser, that he was the director and authorised representative of the defendant, the Vendor. Thus, a purported agreement for the sale and purchase of the land was entered. However, it later transpired that C was not a director or representative of the Vendor at all. C had subsequently absconded. The Vendor defended the action on the basis that C was not authorised by it to sign the sale and purchase agreement and receive the purchase money.

Issue: Whether the indoor management rule should apply.

Held: The indoor management rule does not apply. The rule only applied where there was some act on the part of the company which suggested to the other party that he/she was dealing with the company. There was no such action in this case. (The Purchaser actually sued the solicitors who purported to act on behalf of the Vendor. This issue was raised where the solicitors sought to rely on the indoor management rule to raise a defence.) Thus, the agreement would not have bound the Vendor.

At common law, there are a few exceptions to the indoor management rule:

1. The rule does not apply where the person dealing with the company has actual or constructive notice of the irregularity.
2. The rule does not apply where forgery is involved.
3. The rule does not apply to insiders of the company.

First, the rule does not apply where the person dealing with the company has actual or constructive notice of the irregularity. Thus, if a person knows or ought to have known that a certain thing has not been done, he/she cannot rely on the rule to assume that the thing has been done (*Morris v Kanssen* (1946) AC 459). This is consistent with the good faith requirement in the rule. It is important to note that this exception covers the situation of a constructive notice as well, i.e. where, given the circumstances, the person ought reasonably to have investigated whether the requirements of internal management were complied with, but he/she did not do so. The law would then deem the person to have notice of the non-compliance constructively. Whether a person would be put on enquiry depends on the particular circumstances of the case. However, see the discussion below on s.177 whereby the protection is extended to persons having knowledge of the irregularity.

***Wong Kam San v Yeung Wing Keung* (2007) 2 HKLRD 267**

Facts: The plaintiffs Ps and the defendants Ds were disputing the shareholding and control of the company C. There was a purported allotment of new shares to one of the Ds. This purported allotment was passed at an extraordinary general meeting ('EGM') and thereafter approved by a board meeting. However, for both meetings, notice was not given to the director and shareholder X, a company controlled by Ps. The purpose of the purported allotment was to dilute the shareholdings of Ps. It had the effect of reducing Ps' shareholding to 1%. Ps applied to set aside the purported allotment.

Issue: Whether the allotment was valid.

Held: The allotment was invalid and void. The new shares issued were cancelled. Ds could not rely on the indoor management rule because (1) some of the Ds were not *bona fide* purchasers as they had actual notice of the dispute and (2) insofar as those Ds without actual notice, the substantial change in the shareholding structure of C should have put Ds on enquiry as to the attitude of other shareholders and whether there was compliance with the proper rules. A reasonable *bona fide* purchaser would at least have asked to inspect the EGM minutes, which would have revealed that the meeting was inquorate.

***Bank of East Asia v Labour Buildings* (unrep.) HCMP 769/2002, 23 January 2008**

Facts: The plaintiff P Bank agreed to advance a loan to the defendant D Co. When P Bank tried to enforce the loan, D Co. resisted on the basis that, *inter alia*, its directors had no power to authorise borrowing beyond the share capital of D Co, and further that the requirement as to a special resolution was not complied with when D Co's directors approved the loan. Thus, the loan was made outside the directors' power and the meeting authorising the loan was in any event inquorate.

Issue: Whether the indoor management rule should apply.

Held: P Bank could not rely on the indoor management rule as it had notice of the irregularities. However, D Co adopted the loan subsequently despite the irregularity. Thus, P Bank was entitled to enforce the loan.



Second, the rule does not apply where forgery is involved. This would render the transaction or document tainted with forgery, a nullity. Thus, the rule does not operate to save the transaction in such situations. However, there is an exception to this exception. If an organ or official of the company with the authority to bind the company held the person who committed the forgery as having authority to execute the document in question, the company may be estopped (i.e. prevented) from denying the validity of the forgery (*Lovett v Carson Country Homes Ltd* (2009) 2 BCLC 196).

***Ruben v Great Fingall Consolidated* (1906) AC 439**

Facts: The plaintiff P lent a sum of money to the secretary X of the defendant D Co in good faith. The security was a share certificate of D Co issued to P by X, who certified that P was registered in D Co's register of shareholders as transferees of the shares. The certificate was in the right form in accordance with D Co's articles, i.e. it bore the seal of D Co and appeared to be signed by two of the directors and countersigned by the secretary. However, the seal of D Co was affixed to it by X fraudulently and without authority. The signatures of the two directors were also forged by X. P sued D Co for refusing to register P as owner of the shares.

Issue: Whether D Co is now estopped from disputing P's claim.

Held: D Co was not estopped from disputing the claim of P. There was no evidence that D Co ever held X as having authority on its behalf to do anything more than the mere ministerial act of delivering share certificates, when duly made, to the owners of shares. D Co was not prevented from disputing P's claim by virtue of the forged certificate.

Third, the rule does not apply to insiders of the company. If the person seeking to rely on the rule is an insider in the sense that he/she is involved in or has notice of the irregularity, then he/she is not entitled to do so.

***Morris v Kansenn* (1946) AC 459**

Facts: In the beginning X and Y were the only directors and shareholders of company C Co. Under X's arrangement, W was fraudulently appointed as a director in a meeting consisting only of X and W. Subsequently, through a series of purported meetings, X and W out-voted Y to (1) allot shares to W, (2) appoint Z as a director and further (3) allot shares to Z. The issue was whether those appointments and allotments were effective.

Issue: Whether the indoor management rule applied to validate the appointment and allotment.

Held: The indoor management rule did not apply to the allotment of shares to Z since in the transaction Z was himself purporting to act as a director. Further, the appointment and allotment cannot be validated by the codified indoor management rule in the Companies Act 1929. The rule was designed as machinery to avoid questions being raised as to the validity of transactions where there had been a slip in the appointment of a director and not to override substantive provisions relating to such appointments.

The indoor management rule has now been codified at ss.117 to 119. S.117(1) provides that:

'... in favour of a person dealing with a company in good faith, the power of the company's directors to bind the company, or authorise others to do so, is to be regarded as free of any limitation under any relevant document of the company.'

S.117 applies where the transaction is entered into by the board or through an agent acting under the authority of the board. Thus, to a large extent, the statutory codification has overlapped with the common law rule. It is noted that the qualification of good faith under s.117 is narrower than the common law exceptions aforementioned. Thus, the codification arguably affords a better protection to persons dealing with companies.

S.117(2) also goes on to narrow down the type of persons dealing with the company that is protected by the rule. Dealing with the company is defined widely as any person who is a party to any transaction or any other act to which the company is a party that is dealing with the company (s.117(2)(a)). Such a person is presumed to have acted in good faith unless the contrary is proved (s.117(2)(b)). Thus, it is for a company trying to argue that the indoor management rule does not apply to show that the third party is dealing in bad faith. The idea of bad faith is also further defined as a person is not to be regarded as acting in bad faith only because he/she knows that an act is beyond the directors' powers under any relevant documents of the company and he/she is not required to enquire as to the limitation on the power of the company's directors to bind the company or authorise other people to do so (ss.117(c) and (d)). Ss.117(c) and (d) give a better protection than the common law rule, which is not applicable where there is actual or constructive knowledge of the irregularity.

Further, in addition to the codified indoor management rule, there are two related rules protecting persons dealing with the company:

1. The acts of a director remain valid even if it was subsequently discovered that (1) his/her appointment is defective or (2) he/she is not qualified to hold office (s.461). However, persons having notice of the defect are not entitled to rely on this rule (*Morris v Kanssen* (1946) AC 459).
2. A document is regarded as having been executed by a company if the document purports to have been signed in accordance with s.127(3) (See Section 10.1.1). This shall be the case insofar as a good faith purchaser for value is concerned (s.127(6)). Thus, a person who purchases from the company in good faith is provided a presumption as to the validity of the execution of the relevant documents.

Apply and Analyse 1

Apply

F Co tried to borrow HK\$5 million from Kowloon Bank. Kowloon Bank agreed to grant the facility. Directors Anson and David signed the agreement on behalf of F Co. However, unbeknown to Kowloon Bank, the articles of association of F Co specifically provide that directors may not enter into any loan agreements exceeding HK\$1,000,000 without first obtaining the approval in general meetings by ordinary resolution. Apply the indoor management rule and analyse whether the facility was valid.



Apply and Analyse 1 (continued)

Analysis

The facility is likely to be considered valid by the court. The rule in the *Royal British Bank v Turquand* (1856) case, i.e. the indoor management rule, provides that there is no requirement for a third party dealing with a company to look into the regularity of the internal management of the company. Such a person may assume that acts within the company's constitution and powers have been properly and duly performed. Therefore, Kowloon Bank is not required to enquire whether Anson and David have properly complied with the articles of association of F Co.

10.1.4 Corporate Liability

After having looked at the rules governing the power of a company to enter into contracts, it is also necessary to review the other side of the coin, namely, under what situations shall a company be held liable under both civil and criminal law. Unlike a natural person, a company can only act through its human agents. The following rules delineate the situations where the human agents' acts or omissions will really be treated as that of the company, such that the latter would be held liable in law for those actions or omissions.

10.1.4.1 Civil Liabilities

The issue is whether a company can be treated as liable in civil wrongs committed by its agent. For example, if a director falsified the company's accounts without authorisation of the board (with the result that the tax authorities would be deceived as to the actual profits made by the company), should the company be then held accountable for the rogue director's action and asked to repay the shortfall in tax? To resolve this issue, the common law has developed a set of rules called the rules of attribution.

The leading authority on the rules of attribution is the case of *Meridian Global Funds Management Asia Ltd v Securities Commission* (1995) 2 AC 500. There are three categories of rules of attribution determining whether certain acts or the mental state of the agents are to be regarded as that of the company:

1. **Primary rules of attribution:** These are the rules that are either (1) set out in the corporate constitution (e.g. where articles specify that decisions of the board or of the members in a general meeting on particular matters are treated as decisions of the company) or (2) implied by principles of company law (such as the doctrine of unanimous consent of members).
2. **General rules of attribution:** These are the general laws of attribution applicable in the case of natural persons, i.e. the rules relating to agency law as discussed in Chapter 5 Aspects of Agency Law.
3. **Special rules of attribution:** If the above principles of attribution are not appropriate for determining how a particular law applies to the company, it is necessary for the court to fashion a special rule of attribution to determine whether the act or mental

state of a particular individual should be attributed to the company for the purposes of that particular law. This is a matter of interpretation of the substantive rule of law in question. If the rule is intended to apply to companies, then one asks the question: How was it intended to be applied and whose act (or whose knowledge) was for this purpose intended to count as the act of the company? Where the law is contained in a statute, the issue is determined as a matter of statutory interpretation, taking into account the language of the statutory provision and its content and policy.

***Meridian Global Funds Management Asia Ltd v Securities Commission*
(1995) 2 AC 500**

Facts: The Chief Investment Officer K and a Senior Portfolio Manager N of an investment management company used funds managed by the company to acquire shares in a public issuer. The acquisition was made with the company's authority but without knowledge of the board of directors. As a result of the acquisition, the company was required to give a certain notice to the regulating authorities. However, the company failed to do so. The company was later found to be in breach of its duty to give the required notice, on the basis that the knowledge of K and N should be attributed to the company. Insofar as K was concerned, he was the directing mind and will of the company, thus his knowledge was attributed to the company.

Issue: Whether the company was liable.

Held: The company was liable. A company's rights and obligations were determined by rules whereby the acts of natural persons were attributed to the company normally to be determined by reference to the rules of attribution.

It is unfortunate that there is no hard and fast rule determining the issue of attribution. Everything depends on the context of the case by application of the above principles. Purely for ease of understanding this matter, an old concept of 'directing mind and will' is explained herein. It used to be said that the acts and knowledge of those persons who can be described as the 'directing mind and will' of a company are attributable to the company. However, this concept has now been criticised in the *Meridian* case and does not represent the proper test in law for the purpose of attribution. Nevertheless, it is submitted that as a matter of general understanding, the test of 'directing mind and will' is a good starting point. Generally, a company's directing mind and will is its board of directors or managing director (for example, *Tesco Supermarkets Ltd v Natrass* (1972) AC 153).

This is a highly technical area of law. Disputes in this area usually concern some sort of fraud perpetrated by a director. The following two cases show that a director's fraudulent mind set or knowledge could be treated as both attributable or not attributable to the company, depending on the circumstances of the case.



Bilta (UK) Ltd v Nazir (No. 2) (2015) 2 WLR 1168

Facts: The directors procure a company to engage in a transaction to defraud the tax authorities. Subsequently, the liquidators of the company brought proceedings against the directors. The directors tried to rely on an illegality defence, i.e. that the company was a party to the fraud so that the company's own illegality bars the company from claiming against the director.

Issue: Whether the illegality bars the company from claiming against the directors.

Held: The argument was rejected. It was held that where a company had been the victim of wrongdoing by its directors or agents, the wrongdoing or the knowledge of the director or agent concerned would not be attributed to the company as a defence to a claim brought against the director or agent by the company. This was so even though the wrongdoing or knowledge may be attributed to the company in other types of proceedings.

Moulin Global Eyecare Trading Ltd v Commissioner of Inland Revenue (2014) 17 HKCFAR 218

Facts: A group of directors falsified the company's accounts for five years. This resulted in an overpayment of tax on the basis of the false accounts. After the company went into liquidation, the liquidators applied for a refund of the overpaid taxes. The issue at trial was whether the directors' knowledge of the fraud should be attributed to the company (such that a refund ought not be given).

Issue: Whether the fraudulent knowledge of the directors should be attributed to the company.

Held: The fraudulent knowledge of the directors must be attributed to the company in the present case. It was not appropriate to deny attribution on the basis of the directors' fraud. This would frustrate the purpose of the relevant tax statute.

It is also noted that a company may be held vicariously liable for tort or other civil wrongs committed by its employees or agents. The principles of vicarious liabilities have been discussed in Section 4.3.5. It suffices to point out that, conceptually, the basis of liability under the vicarious liability principle is different from that under the rules of attribution. In the former case, the acts of the agents of the company are not attributable to the company *per se*, but the law simply deems the company liable for acts committed by the agent. In the latter case, the acts of the agents of the company are treated as those of the company itself.

10.1.4.2 Criminal Liabilities

Historically, there was a time where corporations could not be held liable in criminal law. The basis of this is because, unlike civil liabilities, criminal liabilities requires proof of *mens rea*.

Mens rea is a concept of criminal law, meaning the mental element in a criminal offence. Generally speaking, proof of criminal liability usually requires proof of an intention to commit the crime. This can be contrasted in situations of civil liabilities whereby the intention of the defendant is generally irrelevant except in fraud cases. A corporation does not have a soul or a conscience. Further, it could not be imprisoned either. Thus, it was thought that a corporation

could not be held liable criminally (See Lo, Stefan, *Law Companies in Hong Kong*, 2nd edn, Sweet & Maxwell, Hong Kong, 2012, s.12.114). However, this is no longer the case in modern times.

In modern times, a company can be liable for criminal offences. The definition of 'persons' in criminal statutes cover a body of persons, corporate or unincorporate (s.3 of the Interpretation and General Clauses Ordinance (Cap.1)). As a matter of procedure, s.87 of the Magistrates Ordinance (Cap.227) ('MO') specifically provides that where a corporation is charged with a criminal offence, the procedure is the same as if the defendant were a natural person. Documents may be served on a director or other officer concerned in the management of the corporation (s.87(1A) of the MO). A corporation may appear before the magistrate by a representative appointed in writing by the corporation (s.87(2) of the MO).

As a matter of substantive law, a company may be criminally liable for both (1) offences of strict liability and (2) offences that require the proof of *mens rea*.

For strict liability offences, there is no requirement of *mens rea*. The situation is relatively straightforward. A company would be held liable if it fails to perform a certain duty or obligation under the relevant criminal statute. The action or omission by itself shall be sufficient. There is no need to prove any knowledge or the mental state of a company otherwise. It is however noted that the court has developed strict interpretation techniques as to whether a criminal statute requires the proof of *mens rea*. The general principle is that there is a presumption of *mens rea* in a criminal statute. However, this presumption can be displaced by the wordings of the statute. (For further information on this topic, see *Archbold Hong Kong 2018*, Sweet & Maxwell, Hong Kong, Chapter 16, The Mental Elements in Crime.) Many regulatory offences in the Companies Ordinance are offences of strict liability. For example, it is a criminal offence for a company to fail to take all reasonable steps to ensure that proper accounting records have been kept by the company (ss.373(5) to (7)).

As for offences that require the proof of *mens rea*, the basis of liability is said to be a doctrine of identification. A company will have imputed to it 'the acts and state of mind of those of its directing mind and will'. The principles of attribution developed from *Meridian Global Funds Management Asia Ltd v Securities Commission* (1995) 2 AC 500 are relevant to identify such directing minds and wills (See Section 10.1.4.1). It is noted that not every agent, executive or agent acting on behalf of the company can by his/her action make the company criminally liable. For every case, it is necessary for the judge or the jury to consider whether or not there were established facts that as a matter of law were necessary to identify the person concerned with the company.

***R v Chung Yat* (1978) HKLR 355**

Facts: The company used defective concrete in breach of ss.40(2), (5) and (6) of the Buildings Ordinance (Cap.123).

Issue: Whether the conviction of the company should be quashed.

Held: The company's appeal as to conviction was dismissed. The company had a statutory duty to ensure compliance with building regulations. It had delegated such responsibility to its directors who were the brains of the company and to the site foreman who acted as the eyes of the company on the site. The company was accordingly responsible where such individuals had acted with knowledge and recklessness in the use of the defective materials.



Tesco Stores Ltd v Brent LBC (1997) 1 WLR 1037

Facts: The company C was the owner of a chain of supermarket stores and was charged with a tax offence. C tried to raise a statutory defence on the bases that (1) the commission of the offence was due to default of another person, i.e. the manager of its store and (2) the company C had taken all reasonable precautions to avoid the commission of the offence.

Issue: Whether the manager who was at fault could be regarded as another person or whether he should be regarded as the company itself.

Held: For the purposes of identification, the 'directing mind and will' of the company would normally be the board of directors or the managing director. However, it could also include other superior officers carrying out the functions of management with full discretion to act independently of instructions from the board. Those persons are distinguished from the company's employees or agents who are subordinates of senior management. In the present case, the shop manager could not be identified as the company. The board never delegated any part of its function to him. Although there was a chain of command through regional and district supervisors, the board remained in control. The shop managers had to obey the directions and orders of their superiors.

Vicarious liability can also be imposed in criminal law. However, vicarious liability in criminal law is less compared to that in civil law. It is a matter of statutory interpretation as to whether a specific criminal statute provides for the imposition of vicarious liability. Generally, the courts have been prepared to apply vicarious liability to corporations in relation to statutory offences where there is due diligence or other similar defences available.

R v Gateway Foodmarkets Ltd (1997) IRLR 189

Facts: C Co ran several supermarket stores. It was charged for breach of a health and safety offence in relation to a lift accident injuring a manager in one of its stores. Unknown to C Co's head office, it had become the practice of that store for managers to fix the lifts on their own, contrary to the company's practice to engage contractors to do so. During one occasion where the manager of that store tried to fix the lift, the accident happened and he fell through a trap-door. Under the relevant offence, C Co would be liable if there had been a breach of duty of health and safety created by the servants of C Co.

Issue: Whether C Co's conviction should be quashed.

Held: C Co's conviction was upheld. Liability was imposed on C Co as the employer whenever there was a failure to ensure the health and safety at work of an employee unless all reasonable precautions had been taken by the employer or on its behalf. The breach of this duty did not depend on any failure by the company itself, i.e. those persons whose actions were attributable to the company under the rules of attribution. The failure at management level in a store was attributable to the company.

Ajax Engineers & Surveyors Ltd

Refer to the civil case of *Chan Kit Man v Rayable Consultants Ltd and Ajax Engineers & Surveyors Ltd* (1999) 2 HKLRD 577 for the relevant facts.

Facts: A Co was responsible for performing checks on lifts at a building site to ensure that they were in working order. An accident happened where a lift collapsed, resulting in the deaths of 12 workmen. It was alleged that the accident was a result of A Co's disregard for safety regulations and practices that ignored the safety of the workers. A Co was charged with the offence of corporate manslaughter.

Issue: Whether A Co should be convicted of corporate manslaughter and the sentence.

Verdict and Sentence: Six weeks into the trial, A Co changed its plea to a guilty plea and was accordingly convicted. A fine of HK\$3 million was imposed.

10.1.4.3 Liabilities of Individuals

Generally, attribution of acts of an agent to the company does not exclude liability for the agent. There is no exclusion based on the attribution. Such an agent remains criminally liable notwithstanding that the acts were treated also as carried out on behalf of a company. This is the case in both civil and criminal liabilities.

► Knowledge Check Questions

Question 1

Explain the proper execution of a document by common seals. Without using a common seal, describe the situations where a document would be deemed to be executed as if it had been executed using the common seal.

Question 2

Explain the indoor management rule and how it protects third parties.

10.2 LIFTING THE CORPORATE VEIL

It has been explained in Chapter 8 that a company is a legal entity in its own right, separate from that of its shareholders. This section is going to discuss the situations in which the law removes that separation, thus treating a company and its shareholder as one.

10.2.1 Separate Legal Entity – The Corporate Veil

The doctrine of separate legal entity has been discussed in Section 8.1. Essentially, a veil is imposed between the company and its shareholders such that the rights and liabilities of the company cannot be attributed to its shareholders.

However, sometimes it is necessary to lift or pierce this veil. This is often in situations where the corporate form and the limited liability doctrine have been abused by the shareholders, for example to evade certain legal obligations. The following sections discuss the ways the veil could be lifted or pierced.

10.2.2 Lifting the Veil by Statute

The rules concerning piercing the corporate veil are mainly the product of common law development. There is no formal codification of these rules. However, the effect of some statutory provisions is the same, i.e. lifting or piercing the corporate veil. However, these provisions do not apply generally. Instead, their application lies only in specific situations designated therein, most notably in the context of winding-up.

For example, s.275 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) provides that persons who are knowingly party to fraudulent trading by the company shall be personally liable. Fraudulent trading is committed where (1) there was a carrying on of any business of the company; (2) the business was carried on with an intent to defraud the creditors or for any fraudulent purpose and (3) the person concerned was knowingly party to the carrying on of such a business. If a shareholder engages in fraudulent trading in tandem with his/her company, such a shareholder cannot escape liability by blaming it all on the company. Hence, in such a situation, liability would be attached to the shareholder director. The corporate veil can be considered to be pierced by the statute, which directly imposed the liability on the person.

However, this type of piercing the veil depends on the drafting of the particular statutes. Many statutes can be regarded as having the effect of piercing the veil by imposing liabilities on the persons behind the company in particular circumstances.

10.2.3 Lifting the Veil under the Common Law

The general rules as to the piercing of the corporate veil were first developed in the common law.

10.2.3.1 Abuse of the Corporate Form as a Mere Façade

The general rule is that the corporate veil would be pierced where the company was used as a mere façade or a puppet of the controller to perpetrate fraud or evade some legal obligations or liabilities. A summary of the mere façade principles can be stated as follows (*Hashem v Shayif* (2008) EWHC 2380):

1. The piercing of the corporate veil is based on established principles. The court cannot pierce the veil only on the basis that it is in the interest of justice to do so.
2. The corporate veil can only be pierced if there is some impropriety. Such impropriety must be connected to the use of the company structure to avoid or conceal liability.
3. It is necessary to show control of the company by the wrongdoer. However, the mere fact that a company is owned or controlled by a particular person is not itself sufficient to justify piercing the corporate veil.
4. In order to pierce the veil, both control and impropriety must be shown, i.e. the abuse of the company form as a façade to conceal the wrongdoing of the wrongdoers. The motive of the wrongdoers might be relevant.

5. A company can be a façade, even though it was not originally incorporated with any deceptive intent. The real question is whether it has been used as a façade at the time of the relevant transactions.
6. The court will pierce the veil only so far as necessary to provide a remedy for the particular wrong that those controlling the company have done. Thus, the piercing of the veil for one purpose does not mean that the veil is pierced generally for all purposes.
7. The veil should only be pierced when other remedies prove to be of no assistance (*Prest v Petrodel Resources Ltd* (2013) 2 AC 415).

The scope of impropriety is broader than mere illegality. It covers the situations where a company has been used to evade existing legal obligations or where the company is used to perpetrate fraud or other conduct that might not necessarily be punishable under criminal law.

***Toptrans Ltd v Delta Resources Co Inc* (2005) 1 HKLRD 635**

Facts: P sued and obtained a judgment against D1 on the basis of a contract. However, D1's asset was not sufficient to satisfy the judgment debt. D2 was the guarantor of D1's obligation under the contract. In fact, D1 was also controlled by D2. Additionally, D2 also controlled a company C. P applied to lift the corporate veil of C on the basis that C was also controlled by D2, in order to allow for indirect satisfaction of the judgment against D1. The issue was whether C was a façade or front for D1.

Issue: Whether C was a façade or front for D1.

Held: Refusing to lift the veil. One well-recognised exception to the rule that prohibited the piercing of the corporate veil was that there had to be common control of the company that was the façade for the other company, the contracting party. Some element of 'shenanigans' had to be demonstrated to justify the piercing of the veil. Although D2 was the common controller of both D1 and C, this did not amount to control in the relevant sense. There was only a façade in the literal sense, which was insufficient, and control in the relevant sense required a façade in the legalistic sense. Evidence had not been made out to support the contention that the motive for using C was to draw attention away from D1 causing it to fade away, leaving C with assets but with no liabilities.

***Winland Enterprises Group Inc v Wex Pharmaceuticals Inc* (2012) 2 HKLRD 757**

Facts: P was a BVI company. C was a Canadian company engaged in the pharmaceutical industry. One of its subsidiaries, S1, held the China patent for a drug. Another one of its subsidiaries, S2, entered into an agreement with the plaintiff P for sole distributorship of the drug in Peru. The various companies (C, S1 and S2) shared common management, directors and staff. Subsequently, C abandoned the project of developing the drug and informed P of the same. P considered this a repudiation of its contract with S2 and thus sued for damages. In the action, P included C as a defendant despite the fact that C was



Winland Enterprises Group Inc v Wex Pharmaceuticals Inc (2012)
2 HKLRD 757 (continued)

not a party to the distribution agreement. P sued C on the basis that S2 was an alter ego of C and a façade to cloak the fact that the agreement was carried on by C to evade its legal obligation and liability.

Issue: Whether the corporate veil should be lifted.

Held: The corporate veil would not be lifted. While there was a good arguable case that S2 was a façade or puppet of C, that alone was not sufficient. On the evidence P had failed to show that C's use of S2 as a façade and as its puppet was to cloak the fact that the Agreement was carried on by C to evade its legal obligation and liability.

The principles of separate corporate personality had to be viewed with commercial realism. The law permitted the use of a corporate veil to avoid legal obligation and liability, which was precisely the reason the principle of separate corporate personality evolved. What the law did not permit, and when it would lift the corporate veil, was its use for illegitimate purposes such as evading legal obligation and liability. Fraud or concealment that might have such an effect was valid grounds for lifting the corporate veil.

In the modern commercial world, members of a group of companies might share the same common management, directors and staff. A subsidiary might appear to have a separate existence but no separate mind of its own. However, it was irrelevant that it was run by the same staff as, or at the direction of, the parent company. That it was a façade or puppet of its parent company was just some evidence from which the inference of illegitimate purpose might be drawn or on which to support such a finding behind the façade, but unless the use of a corporate veil for such a purpose was proved, this could not without more facts justify lifting the corporate veil.

Prest v Petrodel (2013) UKSC 34, (2013) 2 AC 415

Facts: This is the wife's ancillary application upon divorce. The wife seeks the transfer to her of a property held by the husband's companies. The husband argued that the property was held by his company but not himself. Thus, the wife was not entitled to claim the property.

Issue: Whether the corporate veil of the husband's companies should be pierced.

Held: The veil should not be pierced. The court has a limited power to pierce the corporate veil and to disregard the separate personality of a company in carefully defined circumstances. This power was necessary if the law were not to be disarmed in the face of abuse. However, this is so provided that the limits were recognised and respected. If a person were under an existing legal obligation or liability or subject to an existing legal restriction which he deliberately evaded or the enforcement of which he deliberately frustrated by interposing a company under his control, the court could pierce the corporate veil for the purpose, and only for the purpose. In so doing, the court would be depriving that company or its controller of the advantage which they would otherwise

Prest v Petrodel (2013) UKSC 34, (2013) 2 AC 415 (continued)

have obtained by the company's separate legal personality. As a result, the legal interest in the disputed properties was vested in the companies and, whatever the husband's reasons for organising matters in that way, in the present proceedings. Hence, there was no justification to pierce the corporate veils of the companies as a matter of general legal principle.

10.2.3.2 Evasion of Legal Obligations

The corporate veil may also be pierced where a company has been set up or used to evade an existing legal obligation of another person or entity. However, this rule only covers existing liabilities. It is not objectionable *per se* to use a company to avoid liabilities yet to arise.

Gilford Motor Co v Horne (1933) 1 Ch 935

Facts: The defendant director D was employed as the Managing Director of the plaintiff company P Co. There is a restraint of trade clause in the employment contract preventing D from engaging in a similar business after termination of the employment. Later D resigned and established a company D Co that engaged in a similar business to P Co (i.e. sale of motor vehicles and spare parts). D Co was co-owned by D's wife and a third party X. However, D Co was actually controlled and run by D himself. D's wife has no involvement with the management of D Co, whilst X worked as D Co's employee following D's instruction. P Co sued D and D Co for the breach of restrictive covenant. D argued that it was only D Co that was engaged in the business, not himself.

Issue: Whether the corporate veil should be lifted such that an injunction should be granted against D and D Co.

Held: An injunction against D and D Co was granted. It was found that D Co was formed as a device, a stratagem, in order to mask the effective carrying on of a business of D himself. The purpose of it was to try to enable D, under what was a cloak or a sham, to engage in a business that was a business in respect of which D had a fear that P Co might intervene and object. The reason for the creation of D Co was because of D's fear that he might be in breach of the restrictive covenant in D's employment contract with P Co if he carried on the business in his own name.

Jones v Lipman (1962) 1 WLR 832

Facts: By a sale and purchase agreement, the defendant vendor V agreed to sell a land to the plaintiff purchaser P. Before the transfer of the land was completed, V sold and transferred the land to a company V Co. V Co was owned by V himself. Because of this second sale, V was unable to complete the transaction with P. P sued for specific performance of the sale and purchase agreement with V (naming both V and V Co as defendants).



Jones v Lipman (1962) 1 WLR 832 (continued)

Issue: Whether the corporate veil should be lifted and specific performance should be granted.

Held: Specific performance was ordered. Thus, the corporate veil was effectively pierced. V Co was the creature of V, a mask to avoid recognition by the eye of equity and that, accordingly, a decree of specific performance could not be resisted by V. By his control of V Co, in which the property was then vested, V was in a position to cause the sale and purchase agreement to be completed.

Lee Sow Keng v Kelly McKenzie Ltd (2004) 3 HKLRD 517

Facts: The plaintiff P was a former employee of the company C Co. P gave two months notice to terminate the employment contract with C Co. The shareholders of C Co thus hatched a scheme to avoid paying any outstanding commission to P, as explained below.

C Co traded under the name 'Kelly McKenzie'. C Co was a profitable company and there is value attached to the goodwill of its trading name. A month after P's notice to terminate (but before P's departure), the shareholder defendants Ds founded another company called Kelly McKenzie Ltd. Afterwards, C Co summarily dismissed P. P initiated proceedings to sue C Co for outstanding commission. P obtained default judgment against C Co and successfully petitioned for C Co to be wound up. Meanwhile, Ds in fact had already directed the business of C Co to the new company with the name of Kelly McKenzie Ltd. Thus, Ds deliberately caused C Co not to defend its proceedings against P. Therefore P only obtained an empty judgment against C Co, i.e. a judgment that could not be satisfied. P subsequently sued Kelly McKenzie Ltd and Ds alleging that Kelly McKenzie Ltd is a sham and façade established by Ds to avoid payment of commission and other emoluments owed to P by C Co. P thus asked for Kelly McKenzie Ltd and Ds to be held liable to P for the payment of the judgment debt.

Issue: Whether the corporate veil should be pierced.

Held: The corporate veil was pierced. Ds had diverted the goodwill and business of C Co into Kelly McKenzie Ltd, rendering C Co without the funds to pay the judgment debt. Ds controlled both C Co and Kelly McKenzie Ltd and had no intention of paying the judgment debt. Thus, both Kelly McKenzie Ltd and Ds were liable for the judgment debt. Effectively both the corporate veil of both companies had been pierced, i.e. C Co (the liabilities of which were attributed to its shareholders Ds) and Kelly McKenzie Ltd (the assets of which were treated as those of its shareholders Ds).

China Ocean Shipping Co v Mitsui Bussan Kaisha Ltd (1995) 3 HKC 123

Facts: P obtained judgment against D Co. However, D Co failed to make payment in satisfaction of the judgment debt. P invited the court to lift the corporate veil and impose the payment obligation on D Co's parent company.

Issue: Whether the corporate veil should be pierced.

Held: There was no basis to pierce corporate veil. At the time when D Co was incorporated by its parent company, there was no contract entered into with P. It was only after D Co's incorporation that the contract was entered into, giving rise to legal obligations.

10.2.3.3 Fraud and Other Illegal Acts

The corporate veil would be pierced where a company has been set up or used for the purpose of fraud or a crime or some other unlawful conduct.

Re Darby (1911) 1 KB 95

Facts: Two well-known fraudsters A and B formed a Company X to obtain a licence to mine a quarry. After the licence was obtained, A and B incorporated a new Company Y. Company Y was used to attract investors for the mining business. Company Y issued debentures for public subscription. It was represented that Company X was a promoter of Company Y. However, it was never disclosed in the prospectuses of the debentures that A and B were the persons behind Company X.

Issue: Whether the corporate veil should be pierced.

Held: The corporate veil of Company X was pierced. A and B perpetrated a fraud on Company Y and its investors by concealing their identities, which implied a representation that Company X was of good standing and position. Since A and B were well-known fraudsters, it was unlikely that the investors of Company Y would have been willing to deal with them commercially. Thus, the corporate veil of Company X was pierced with the effect that A and B bore fiduciary duties to Company Y as promoters.

Illustrative Example 2

In the opening case, Impressive Technologies Ltd ('ITL') was owned by Andrew, Bruce, Chris and Denise in equal shares. Andrew had run the company as its director for years and had recently acquired the shares of all other shareholders. He continued to carry on the business of ITL as its sole shareholder and director. A few years later, ITL defaulted on a loan owing to Eddie. Eddie was a long-time creditor who have been providing loans to ITL since the days when it had four shareholders. As it transpired, ITL's business had dwindled in the hands of Andrew over the years and had incurred a substantial amount

Illustrative Example 2 (continued)

of net liabilities. In the circumstances, Eddie knew that he would only obtain an empty judgment if he sued ITL only. Thus, Eddie sued Andrew as well, arguing that the corporate veil should be pierced.

In the present case, it is not likely that the corporate veil would be pierced. Andrew did not create ITL for any specific purpose of abusing the corporate form. The business developed incrementally. Andrew acquired the business from other shareholders incrementally. Andrew did not create ITL for the purpose to avoid repaying his obligation to Eddie. The mere fact that Andrew was the sole shareholder and director was in itself not sufficient to pierce the corporate veil.

10.2.3.4 By the Principles of Agency Law

In some circumstances, a subsidiary company would be treated as the agent of the parent company or vice versa. Thus, obligations would be attached to the principal in such circumstances. However, this is not technically an example of piercing the corporate veil. This is simply the operation of agency law, which applies equally in the case of natural persons. In these cases, the separate entities of the parent and subsidiary companies are maintained.

Re FG (Films) Ltd (1953) 1 All ER 615

Facts: A Co is a company 90% owned by J. A Co entered into an agreement with B Co to produce a film called Film X. J was B Co's president. The entire film was actually funded and produced by B Co. A Co was only a producer in name. It had not employed any staff.

Issue: Whether A Co could be said to be the real maker of the Film X under a certain statute.

Held: A Co was not the maker of Film X. A Co only acted as the nominee of B Co throughout the production of Film X. A Co's intervention was purely cosmetic. A Co was brought into existence for the sole purpose of being put forward as having undertaken the arrangements necessary for the making of the film in order to enable itself to be labelled as the maker of the film.

10.2.3.5 Group Companies

In the modern world, a lot of businesses are operated in the form of a corporate group. The economic reality is that all companies in a corporate group actually operate as a single firm or enterprise. As a matter of business reality, third parties dealing with such a group often do not distinguish between each of the individual companies within the group. They usually consider themselves dealing with the corporate group as a single entity. However, as a matter of law, the doctrine of separate legal entity is maintained even within a corporate group. The corporate veil may only be pierced by applying the above principles.

Re Yung Kee Holdings Ltd (2014) 2 HKLRD 313

Facts: A BVI company C Co was the ultimate investment holding company of a group of company C Group. One of the 100% owned subsidiary of C Co was Y Co, a BVI company running a well-known restaurant in Hong Kong, i.e. Yung Kee Restaurant. After the original owner passed away, the shares of C Co were passed to his sons and family members. One of the sons petitioned for the winding-up of C Co on unfair prejudice grounds. The main issue was whether the Hong Kong court has jurisdiction to wind up the company. To do so there needs to be a sufficient degree of connection between C Co and Hong Kong. An argument was raised that there was such a connection on account of Y Co's restaurant business in Hong Kong.

Issue: Whether Y Co's business in Hong Kong could be used to show a connection between C Co and Hong Kong.

Held: The affairs of C Co's subsidiary in Hong Kong should not be regarded as establishing a sufficient degree of connection to found jurisdiction to wind up C Co. Each company in a group of companies was a separate legal entity. The complex corporate structure of the C Group was the result of professional advice adopted by the original owner to consciously distance the ultimate ownership of assets from Hong Kong with a view to avoiding the payment of estate duty. It would be difficult to adopt a contrary position that for the exercise of the winding-up jurisdiction, C Co should be regarded as having a sufficient connection with Hong Kong.

Apply and Analyse 2

Apply

Weasley Co is a holding company, which owns 100% of Ginny Co. Harry entered into an investment relationship with Ginny Co. Unfortunately, the relationship has gone sour and was unsuccessful. As a result, Ginny Co owes around HK\$1,000,000 to Harry. Harry has always known that Ginny Co is basically a shell company with no actual business. The directors of Ginny Co are actually the same people as those of Weasley Co. Therefore, Harry wants to go after Weasley Co for the HK\$1,000,000. Analyse Harry's legal position.

Analysis

Harry is in a tough spot. The contractual relationship he has is with Ginny Co. Thus, he has no claim in contract against Weasley Co directly. In light of the fact that Ginny Co is a shell company with no assets, any judgment Harry obtained against Ginny Co is likely to be an empty judgment, i.e. even if he can win the legal proceedings, Ginny Co has no assets sufficient to satisfy the judgment in favour of Harry. Harry would not be able to enforce the judgment against Weasley Co because of the doctrine of separate legal personality. Weasley Co and Ginny Co are two distinct entities. In that situation, Harry would be left with an empty victory.

Harry may wish to argue that the corporate veil between Weasley Co and Ginny Co should be lifted, such that the liabilities of Ginny Co should be attached to Weasley Co. If successful, this would allow Harry to obtain a judgment against Weasley Co directly,



Apply and Analyse 2 (continued)

which would have assets to satisfy the judgment. In support of his argument, Harry may wish to rely on the facts that (1) Weasley Co is the 100% owner of Ginny Co and can therefore dictate everything in Ginny Co and (2) the management is the same in the two companies. However, as seen from the case of *Toptrans Ltd v Delta Resources Co Inc* (2005) 1 HKLRD 635, mere common control is not sufficient to lift the veil. The veil can only be pierced if there is some impropriety. Here, Harry all along knew of the structure of the two companies. It was a conscious decision amongst the parties for the contracting parties to be Ginny Co and Harry. Thus, there was nothing inappropriate in the arrangement. The corporate veil is not likely to be lifted.

► Knowledge Check Questions

Question 3

Explain broadly the situations in which the corporate veil can be lifted at common law.

Question 4

Explain the reasons why it is sometimes necessary to pierce the corporate veil.

10.3 DIRECTORS' DUTIES

The law of directors' duties contributes to another most hotly contested area in company law. A majority of litigations in this area consist of the company (either acting by the shareholders directly or through liquidators) claiming against former directors who might have breached their duties in a number of ways, causing profits to themselves or loss to the company. Moreover, shareholders disputes may often involve a claim of breach of directors' duties. For example, where two factions of shareholders are fighting for control of the board, the faction not in control may very well try to accuse directors of the other faction (which is in control) of breach of duties. These allegations, if well founded, may lead to the removal of those directors and thus the power of the shareholders faction behind them.

Other than in the context of litigation, it is important to understand these duties as they provide the principles according to which a director should act in performance of their duties to manage the company.

10.3.1 Types of Directors' Duties and Their Sources

Historically, directors' duties were developed mainly from the rules of equity (See Section 1.2.1 for the distinction between equity and common law and also Chapter 5 Aspects of Agency Law). This may be due to the fact that the position of directors is in some sense similar to that of a trustee. Both were tasked with the responsibility to manage assets that do not belong to them.

Thus, the court of equity has developed rules that require trustees and directors to act in the best interest of the owners of those assets. Such equitable duties are known as fiduciary duties.

In modern times, some of these well-established duties have been codified in statutes. Further, regulatory authorities have published guidelines imposing duties on directors in specific areas. The following sources are a list of directors' duties:

1. Rules of equity;
2. Companies Ordinance (Cap.622);
3. Articles of Association of the company;
4. Employment contract between the director and the company;
5. Listing Rules (for directors of listed companies only, see Chapter 12 Listed Companies and the Regulation of Financial Markets); and
6. Guide on Directors' Duties published by the Companies Registry (non-binding but following the same principles laid down by the rules of equity and the CO).

The focus in this chapter is on those general fiduciary duties developed under the rules of equity and those codified under the CO, which follow the same principles. In summary, the fiduciary duties of directors can be categorised as follows:

1. Duty to act in good faith in the interests of the company;
2. Duty to exercise powers for proper purposes;
3. Duty to avoid conflicts of interests;
4. Duty not to make secret profits; and
5. Duty not to misappropriate company assets.

It is noted that, on top of the general fiduciary duties, both the articles of the company and the employment contract (if any) of a director may provide for more specific duties on the directors depending on the circumstances.

10.3.2 Application of Duties

Not every director owes the company the same duties. The duties of a director differ depending on the type of directors.

De jure (meaning in law) appointed directors (both executive and non-executive directors) owe general fiduciary duties to the company.

De facto (meaning in fact) directors owe fiduciary duties to the company insofar as they were performing the functions of a director.

Shadow directors do not owe the same fiduciary duties as *de jure* appointed directors or *de facto* directors (See Section 9.3.1.3). Unlike those directors, a shadow director does not undertake or agree to act in relation to the company in the same way. A shadow director does not assume any obligation of loyalty to the company and the company does not look to him/her to promote its interest. Instead, at all times the company looks at the *de facto* or *de jure* directors. It

is against these directors that the company may have a complaint for breach of a fiduciary duty. Thus, whether a shadow director owes fiduciary duties depends on whether in the particular situation of the case fiduciary obligations ought to be imposed. Otherwise, shadow directors do not owe general fiduciary duties to the company merely by virtue of being labelled as such.

Vivendi SA v Richards (2013) BCC 771

Facts: P Co alleged that its director D1 was in breach of his fiduciary duty in causing payments of over GB£10 million out of P Co. Further, P Co alleged that D2 (who was not appointed as a director) assisted D1 in the breach and/or was liable in breach of fiduciary duties as a shadow director. D1 was essentially the legman of D2. D2 owned a group of companies that ultimately purchased P Co at the material time. Although D2 was the beneficial owner of these companies, he preferred to hire professional directors to be appointed rather than being appointed a director himself. D1 was one of such directors he hired.

Issue: Whether D2 was a shadow director and what was the extent of D2's duty.

Held: D2 was a shadow director. The authorities differ on whether shadow directors owed fiduciary duties to the company. Some cases consider that they did. However, it had been decided in one case that indirect influence exerted by a paradigm shadow director who did not directly deal with or claim the right to deal directly with the company's assets would not usually be enough to impose fiduciary duties upon the shadow director.

There were a number of reasons for thinking that shadow directors commonly owed fiduciary duties to at least some degree, e.g. (1) a shadow director would have been assumed to act in relation to the company's affairs and to ask the *de jure* directors to exercise powers that existed exclusively for the benefit of the company; (2) a person who gave directions to *de jure* appointed directors in the belief that they would be acted on could fairly be described as assuming responsibility for the company's affairs; (3) some provisions in the statute reflected a perception that a shadow director could bear responsibility for a company's affairs; (4) there was a compelling analogy with the position of promoters, who owed fiduciary duties as a result of their acceptance and used powers that greatly affected the interests of the company; (5) a shadow director's role in a company's affairs may be every bit as important as that of a *de facto* director; (6) a shadow director may not subjectively wish to assume fiduciary duties that might not matter as such; and (7) public policy pointed towards fiduciary duties being imposed on shadow directors.

A shadow director would typically owe fiduciary duties in relation to at least the directions or instructions that he gave to the *de jure* directors. Particularly, a shadow director would normally owe a fiduciary duty of good faith or loyalty and could reasonably be expected to act in the company's interests rather than his/her own separate interests when giving directions and instructions.

This was a case in which D2 undertook to act on behalf of the company and was subject to the duty of good faith in relation to the directions and instructions he gave to D1.

It is also important to note that directors owe their duties to the company, not the shareholders, creditors or any associated companies. This affects who may be entitled to enforce such duties where there is a breach. These will be discussed further in Section 10.4.

It is only in special circumstances that directors would owe fiduciary duties to shareholders, e.g. circumstances that bring the directors into direct and close contact with shareholders in a manner capable of generating fiduciary obligations (*Peskin v Anderson* (2001) 1 BCLC 372). Directors are required to consider the interest of creditors of the company where the company has become insolvent (*Lonrho Ltd v Shell Petroleum Co Ltd* (1980) WLR 627). However, this duty to consider remains owed to the company and does not confer any cause of action on to the creditors directly (*Yukong Line Ltd of Korea v Rendsburg Investments Corp of Liberia (No. 2)* (1998) 1 WLR 294).

10.3.3 Duty to Act in Good Faith in the Interests of the Company

Directors must exercise their powers in good faith to do what in their opinion is in the interest of the company (*Re Smith & Fawcett Ltd* (1942) Ch 304). A failure to comply with the constitution of the company can amount to a breach of the duty to act in the best interests of the company. Thus, this duty can be moulded by the constitution of the company, e.g. charitable companies may provide for directors to promote the company's objective without seeking to maximise profits.

Tam Po Kei v Tam Bo Kin (No. 1) (2011) 1 HKLRD 537

Facts: The plaintiff shareholder complained that a purported declaration of dividends was wrongfully distributed in that the company's accounts were never considered or approved by the board of directors as required by the company's articles of association or approved by the shareholders at any meeting pursuant to the Companies Ordinance and the articles.

Issue: Whether the directors were in breach of fiduciary duties.

Held: The defendant director was liable to account for the dividends. During the period, the defendant was primarily responsible for the company's day-to-day affairs. He allowed the dividends to be wrongfully distributed. Dividends were not properly declared, but they were paid. *Prima facie*, withdrawals of the company's money described in its books as payment of dividends were improper. While the plaintiff had not proved who actually received such dividends, the available evidence left open the possibility that some of the dividends were paid to the defendant director.

The interests of the company are the interests of the members as a whole. This generally means the financial interest arising from the maximisation of the company's gains and profits. This duty allows directors to act in the long-term interest of the shareholders. Thus, benefits can be provided to employees insofar as the same is required for the benefit of the company.

It is noted that even for companies within the same corporate group, a director's duty is only to act for the benefit of the company in which he/she is a director. However, if some transactions benefit the corporate group as a whole, a director may not be in breach of his/her duties if his/her company can derive benefit from such a benefit therein.



Nominee directors are directors appointed by a third party, such as a creditor or a parent company. Commercially, these nominee directors are considered representatives of their appointers. However, as a matter of law, these directors owe the same fiduciary duties to the company. They must act in the interest of the company instead of that of the appointer. Nevertheless, nominee directors may take the interest of their appointers into account if doing so would not be a breach of their duties owed to the company.

Re Neath Rugby Ltd (No. 2), Hawkes v Cuddy (2009) 2 BCLC 427

Facts: A and B joined forces in acquiring a rugby club company A Co. A Co partly owned a subsidiary B Co with a third party. It was agreed that A Co would be able to nominate a director in B Co. B thus became the nominated director of B Co. A and B eventually fell out. A presented a petition on the basis of unfairly prejudicial conduct in the management of A Co. This was on the basis that B failed to promote A Co's interest when he acted as a nominee director on behalf of B Co.

Issue: What duties B (as a nominee director of B Co) owed to A Co.

Held: Petition was dismissed. The fact that a director of a company was nominated to that office by a shareholder did not, of itself, impose any duty on the director owed to his nominator. The director may owe duties to his nominator if he was an employee or officer of the nominator or by reason of a formal or informal agreement with his nominator. However, such duties could not detract from his duty to the company of which he was a director when he was acting as such. An appointed director, without being in breach of his duties to the company, may take the interests of his nominator into account, provided that his decisions as a director were in what he genuinely considered to be the best interests of the company; however, that was a very different thing from his being under a duty to his nominator by reason of his appointment by it.

It is important to note that the test is primarily a subjective one. If the director subjectively believes that a course of action is in the interest of the company, it will not amount to a breach of duty even though such belief might have been unreasonable. However, there is still the objective test, i.e. if the decision of the director was so unreasonable that no reasonable director could have regarded the same as being in the interest of the company, the court may refuse to accept the evidence of the director's honest belief in his/her action. However, this is a matter of evidence. The rule remains primarily a subjective one.

Regentscrest Plc v Cohen (2001) 2 BCLC 80

Facts: The plaintiff company was a property development company. The company's liquidators made a claim against a director of the company. The allegation was that the director had acted in breach of his fiduciary duty in voting to allow the company to waive the entitlement to certain sums under a contract, at a time when the company was insolvent. The liquidators sought damages accordingly.

Issue: Whether the director was in breach of fiduciary duties.

Regentscrest Plc v Cohen (2001) 2 BCLC 80 (continued)

Held: Whether the director was in breach of fiduciary duty was to be judged on a subjective basis. If he honestly believed that he was acting in the best interests of the company he was not in breach. The company was insolvent when the entitlement to the sum was waived but the director remained willing to support the company, had recently injected GB£5 million of his own resources into it and was still working with the other directors to try to ensure the company's survival as a going concern. The director genuinely believed that there was a real chance that the company would survive. There were good commercial reasons for waiving the entitlement to the money against the other party to the contract, who were also directors of the company. This was to retain the services of those directors and to enable the board to present a united front. It was clear that the company's chances of survival would have been impaired if it had commenced contested proceedings against two of its own directors at the time. In any event, it was doubtful whether those directors would have the financial resources to meet any judgment obtained against them by the company. In all the circumstances, the defendant directors could and did honestly believe that waiving the entitlement was in the best interest of the company. There was therefore no breach of fiduciary duty by the director.

There are two objective elements in the test. A director would be in breach of his/her duty if he/she (1) fails to consider entirely the question of whether the action is in the interest of the company or (2) takes into account irrelevant matters or omits to take into account relevant matters.

Further, as aforementioned, as part of his/her duty to act in the best interest of the company, a director is required to take into account the interest of the general body of creditors where the company is insolvent or is near insolvency.

Tradepower (Holdings) Ltd v Tradepower (Hong Kong) Ltd (2009) 12 HKCFAR 417

Facts: Before the liquidation of the company, two directors caused the company to enter into a disposition whereby some assets of the company were transferred to another company that those directors also owned and controlled. The liquidators of the company sued to set aside the disposition and made personal claims against the directors for breach of duties.

Issue: Whether the directors were in breach of fiduciary duties.

Held: The disposition was set aside. The directors were liable for breach of duties in causing the disposition to be made. In causing the disposition to be made without consideration in the first place, the directors were in *prima facie* breach of their fiduciary duties. The purported ratification of the disposition by themselves as shareholders was ineffective. Whilst the ratification might be effective where a company was perfectly solvent, it was ineffective where a company was insolvent or in serious financial difficulties. The effect of the conduct was to prejudice its creditors. It was not open to the members and directors of a company in financial difficulties to distribute the company's assets as if effecting an informal winding-up, to the prejudice of its creditors.



10.3.4 Duty to Exercise Powers for Proper Purposes

Directors are given the general management power of the company. Directors must exercise such power for proper purposes. Whether a purpose is a proper one depends on the articles of the company. The court will look at the relevant provisions in the articles conferring the particular power to the director and determine the purpose for which such power is conferred (if the same has not been expressly set out in the articles). If a director exercised his/her power for multiple purposes, it would be a breach of duty if the substantial or dominant purpose was an improper one.

Howard Smith Ltd v Ampol Petroleum Ltd (1974) AC 821

Facts: The directors resolved to make a share allotment. At trial one of the issues was the purpose for which the directors made this decision: (1) whether the director exercised the power for the purpose of raising capital to resolve a liquidity problem of the company or (2) whether it was to enable a takeover.

Issue: Whether the directors were in breach of fiduciary duties.

Held: There was an exercise of power for an improper purpose. Although there was a need for the company to raise capital by allotting shares, the substantial purpose of the directors was not to raise capital but to dilute the interest of a particular shareholder so as to procure the success of a takeover by a third party.

By way of examples, the following have been held by the court to be an exercise of power for an improper purpose:

1. Directors applying company's assets and funds for their own personal benefit rather than for that of the company.

Primlake Ltd v Matthews Associates (2007) 1 BCLC 666

Facts: The defendant M acted as a *de facto* director of the plaintiff company P Co. At M's request, payments were made by P Co to M totalling GB£900,000. M claimed that these were monies paid in respect of M's fees for services provided to P Co. P Co then entered into liquidation. The liquidators of P Co claimed that the payments were made without legal justification.

Issue: Whether the directors were in breach of fiduciary duties.

Held: M was a *de facto* director. He had control of P Co and had run its business, taking all decisions, both tactical and strategic. There was no legal justification for the payments to M and M knew that. M had been in breach of his duty as a *de facto* director of P Co by enriching himself at the company's expense. The money was not paid for P Co's benefit.

2. Directors exercising the power to allot shares not to raise capital for the company but to affect the share distribution among shareholders.

Wong Kam San v Yeung Wing Keung (2007) 2 HKLRD 267

Facts: The plaintiffs Ps and the defendants Ds were disputing the shareholding and control of the company C. There was a purported allotment allocating new shares to one of the Ds. The purported allotment was passed at an extraordinary general meeting and thereafter approved by a board meeting. However, for both meetings, notice was not given to director and shareholder X, a company controlled by Ps. The purpose of the purported allotment was to dilute the shareholdings of Ps. It had the effect of reducing Ps' shareholding to 1%. Ps applied to set aside the purported allotment.

Issue: Whether the purported allotment should be set aside.

Held: The director's power to allot shares was a fiduciary power that must be exercised for a proper purpose. If the substantial purpose of the allotment was to destroy an existing majority or to create a new majority that did not previously exist, as was the case here, even if it was not for the self-interest of the directors, that would be unconstitutional and unlawful.

10.3.5 Duty in Respect of Conflict of Interest

Directors have a duty not to place themselves in a position where there would be a conflict between their personal interest and the interest of the company. This is known as the **no-conflict rule**. A breach arises where there is (1) a real sensible possibility of conflict, (2) a substantial possibility of conflict or (3) simply a real conflict. For example, there would be a breach where a director enters into a transaction with his/her company. It is important to note that this duty can be breached even where the transaction is fair to the company commercially.

However, the existence of the no-conflict rule does not mean that directors are forbidden at all times to deal with their own companies. There would not be any breach of the rule if the transaction was entered into with the informed consent of the company or is permitted by the articles. The conflict needs to be disclosed in a general meeting to obtain the approval of the members.

Man Luen Corp v Sun King Electronic Printed Circuitry Board Factory Ltd (1981) HKC 407

Facts: A Co purchased goods from Firm B. Three directors of A Co were partners of Firm B. At the board meeting, those three directors had disclosed that they were to form Firm B in order to sell goods to A Co.

Issue: Whether the three directors were in breach of fiduciary duties.

Held: There was a breach of duty. The informed approval of the shareholders needed to be obtained. Thus, it was necessary for the directors to disclose the conflict to the members at a general meeting and obtain their consent.



For example, it has been held that the following transactions trigger the no-conflict rule:

1. Where the company enters into a transaction with another company in which the director is a shareholder.

Transvaal Lands Co v New Belgium (Transvaal) Land Development Co (1914) 2 Ch 488

Facts: A Co entered into a sale and purchase transaction with B Co. It was later discovered that A Co's director, X, was both a director and shareholder of B Co. X never disclosed his interest in B Co to A Co. However, X did abstain from voting at the transaction.

Issue: Whether A Co was entitled to set aside the transaction.

Held: A Co was entitled to set aside the transaction because of X's non-disclosure. Even a small shareholding in B Co would give rise to the need for disclosure.

2. Transaction with a close relative of the director may give rise to conflict. However, there is no general rule that this must be so. The real question is whether on the circumstances of the individual case there is a real risk of conflict between the duty of the director and his/her personal loyalty.

Newgate Stud Co v Penfold (2008) 1 BCLC 46

Facts: The plaintiff company C Co claimed against the defendant director D for breach of duties. C Co was beneficially owned by F and operated F's horse racing and bloodstock interest. D was the racing and bloodstock manager and a director of C Co. Meanwhile, D was an independent contractor. D also operated a bloodstock business with his wife in partnership. It was subsequently discovered that broodmares of C Co had been sold to the partnership of D. C Co alleged that those interests were neither disclosed to nor approved by F. C Co claimed against D for breach of fiduciary duties.

Issue: Whether D was in breach of fiduciary duties.

Held: Judgment for C Co. D owed fiduciary duties to C Co, with the result that any transaction between C Co and D would be set aside unless D could show that he obtained the informed consent of F. This rule was strictly applied, so that a transaction was liable to be set aside even if it was beneficial to C Co. D never obtained informed consent for the bidding of the horses. D failed to disclose that the purchaser was a partnership to which he was a party.

3. As a general rule, a person is in breach of the no-conflict rule by being directors to two competing companies unless there has been informed consent from both companies.

It is noted that the general no-conflict rule is subject to modifications as specified by provisions in the articles and the CO.

For example, the Model Articles provide that where a director has a material interest in any transaction, arrangement or contract with the company that is significant in relation to the company's business:

1. The director must declare the nature and extent of the interest to the other directors;
2. The director must not vote in respect of the matter; and
3. The director must not be counted for quorum purposes in respect of the matter.

It is arguable that, for a company adopting the Model Articles, disclosure to shareholders is not necessary if the above provisions are satisfied (assuming that the articles do not otherwise provide for any requirement of disclosure to members).

Similarly, the CO provides for certain disclosure requirements:

1. S.536 requires that any director who, directly or indirectly, has a material interest in a transaction, arrangement or contract with the company must declare the nature and extent of the interest to the directors.
2. S.538(1) requires that such a disclosure be made at a board meeting or by written notices to the other directors.
3. S.538(4) provides that a director can also comply with the requirements by giving a general notice with respect to a category of contracts in which he or she is interested as specified in the notice. This avoids the need to make repeated declarations.

There are also specific provisions in the CO dealing with loans made to directors:

1. S.500(1) provides that a company may only make loans to directors or the body corporate controlled by such a director with the approval of the members.
2. The approval by members required is known as a 'prescribed approval'. The specific rules as to obtaining a prescribed approval are set out at s.496.
3. It is noted that this restriction on loans also applies to those loans made to any director of the company's holding company (and any body corporate controlled by such a director) (s.500(2)).
4. The exceptions to this rule are listed at the Sub-division 3 of Division 2 of Part 11 of the CO, for example:
 - (a) Where the value of the loan does not exceed 5% of the company's net assets. In calculation of the 5%, outstanding liabilities of the director to the company are aggregated and taken into account (s.505);
 - (b) Where the loan was for the purpose of meeting expenditure a director incurred for the purpose of the company or for the purpose of enabling the director to properly perform his duties as an officer of the company (s.506); or
 - (c) The loan is part of a transaction in the ordinary course of business (s.511) or a transaction in favour of a company in the same group of companies (s.512).
5. Breach of these provisions would allow the relevant transactions to be voidable by the company. Further, the director may be required to account to the company for any gains made and to indemnify the company for any loss suffered (ss.513 to 515).

Two issues often arise out of the no-conflict rule, namely: (1) the misuse of company's assets and the making of secret profits by directors and (2) diversion of corporate opportunities to themselves by directors. These issues often give rise to hotly contested litigations. They will be discussed in Section 10.3.7.

Apply and Analyse 3

Apply

Carrie was a director of Doomsday Co. On behalf of the company, Carrie enters into a sale and purchase with a supplier Terminator Co. However, it was later discovered that Terminator Co. was actually solely owned by Carrie, although Carrie never told the other directors of Doomsday Co. about her ownership of Terminator Co. Analyse whether the contract between Doomsday Co. and Terminator Co. can be set aside.

Analysis

It is likely that Doomsday Co. can set aside the transaction. This is because Carrie was in a position of conflict between (1) her duty to Doomsday Co. to obtain the best price/quality supplier and (2) her interest in Terminator Co. to obtain the contract with Doomsday Co. Due to Carrie's failure to disclose her interest in Terminator Co. to the other directors of Doomsday Co. under s.536 of the Companies Ordinance (Cap.622), Doomsday Co. is entitled to set aside the transaction (*Transvaal Lands Co v New Belgium (Transvaal) Land Development Co* (1914) 2 Ch 488).

10.3.6 Duty of Care, Skill and Diligence

Directors are under a duty to exercise reasonable care, skill and diligence in the performance of their functions. This duty is actually partly developed from the common law, i.e. the tort of negligence. Historically, equity also demands trustees to exercise a degree of care when dealing with trust assets.

This duty has now been codified under the CO:

1. S.465(1) provides that a director must exercise reasonable care, skill and diligence.
2. S.465(2) provides the standard of care that a reasonably diligent person (1) with the general knowledge, skill and experience that may reasonably be expected of a person carrying out the function of that director (objective element) and (2) with the general knowledge, skill and experience that director has (subjective element). Thus, the standard of care involves both objective (i.e. s.465(2)(a)) and subjective (i.e. s.465(2)(b)) elements.
3. Shadow directors are also subject to this duty (s.465(5)).

It must be emphasised that this duty is not to impose an absolute duty on directors to make flawless commercial decisions. Mere error in judgment does not mean a breach of duty of care, even if loss is suffered by the company as a result.

Re City Equitable Fire Insurance Co Ltd (1925) Ch 407

Facts: During the winding-up of the company, it was discovered that the company had suffered a significant loss. The loss was partly due to depreciation of investment but largely due to a fraud by the managing director. Subsequently, the liquidators sought to sue the remaining directors for breach of duties, on the basis of negligence in respect of the loss occasioned by the investments and payments of dividends out of capital.

Issue: Whether the remaining directors were in breach of fiduciary duties.

Held: A director must bear in mind the following when discharging his/her duties. Firstly, he/she must act honestly. Secondly, he/she must exercise a degree of skill and diligence that would amount to the reasonable care which an ordinary person might be expected to take on his/her own behalf in those circumstances. However, a director need not exhibit a greater degree of skill than may reasonably be expected from a person of his/her knowledge and experience; in other words, he/she is not liable for simply errors of judgment. Further, he/she does not have to give continuous attention to his/her company's affairs. A director's duties are of an intermittent nature. A director shall perform his/her duties at periodical board meetings and meetings of any committee to which he/she is appointed. Although a director is not bound to attend all such meetings, he/she ought to attend them when reasonably able to do so. Lastly, in respect of all duties which may properly be left to some other official taking into account the exigencies of business and the articles of association, a director is justified in trusting that official to perform such duties honestly. This is of course subject to the absence of any grounds for suspicion.

It is not the duty of a director of a big insurance company to personally supervise the safe custody of the securities of the company. It would be impracticable for actual delivery thereof to be made to the directors on every purchase of securities, or on every sale, for the delivery to the brokers of the securities sold to await a meeting of the board or of a committee of directors. Out of necessity, the director must leave the duty of seeing that the securities are in safe custody to some official of the company in daily attendance at the office of the company. For example, he/she may delegate and defer to such persons as the manager, accountant or secretary. A director is not responsible for declaring a dividend unwisely. On the facts, none of the directors were negligent.

This duty requires the directors to monitor the company's performance and the general affairs of the company, namely:

1. To have a rudimentary understanding of the business of the company.
2. To keep themselves informed about the activities of the company. Directors do not need to be engaged in detailed inspection of day-to-day activities, but there needs to be a general monitoring of corporate affairs and policies. For example, directors would be expected to attend board meetings regularly. Such meetings also need to be held regularly so as to enable the board to carry out its function properly. Directors also need to ensure that the board has available means to audit the management of the company so that it can satisfy itself that the company is properly run.
3. While directors are not required to audit corporate books, they should maintain familiarity with the financial status of the company by a regular review of financial statements.



Directors may delegate particular functions to persons below them in the management chain and to rely on such persons' competence and integrity to a reasonable extent. However, this does not absolve a director from the duty to supervise the discharge of the delegated functions. Directors cannot entirely escape from their responsibility by claiming to be sleeping or passive directors only. If a director knows, or would have known by the exercise of ordinary care, any facts that would cause suspicion and put a prudent person on guard, then the director is required to exercise a degree of care to deal with the issue or potential issue.

In the premises, the scope of this duty to exercise reasonable care encompasses numerous aspects in the management of the company. The following is a list of instances where directors were found to be in breach of such a duty. This list is provided by way of examples and is by no means exhaustive.

1. To ensure that the company complies with legal or regulatory requirements (See Chapter 12 Listed Companies and the Regulation of Financial Markets for listed companies' directors' duty to exercise reasonable care not to disclose false information in annual reports).

Brumder v Motornet Service and Repairs Ltd (2013) 3 All ER 412 [49]

Facts: The plaintiff C was the sole director and shareholder of the defendant company D Co, which specialised in servicing vehicles. C suffered an accident at work where a finger was severed from his hand.

Issue: Whether C was in breach of fiduciary duties.

Held: Although D Co was in breach of health and safety regulations, C could not rely on any defence arising because he was a director of D Co. C was the only person through whom the employer company could act and could cause D Co to comply with the regulations. C as the director of D Co had completely failed to give any consideration to the health and safety regulations thus causing D Co to be in breach. Thus, C as a wrongdoer could not rely on any defence arising from the breach due to the common law principle that a person could not derive any advance from his own wrong.

2. To carry out due diligence when making investment on behalf of the company.

Re Rontex Intl Holdings Ltd (unrep.), HCMP 1869/2008, 18 March 2010

Facts: Three executive directors caused the company to make several investments, with the aim to expand the company's business to mainland China. However, the investment failed, resulting in substantial loss attributable to the company.

Issue: Whether the directors were in breach of fiduciary duties.

Held: The directors were in breach of their duties in failing to exercise reasonable care to carry out adequate due diligence or proper appraisal of the worth of the investments before making those investments.

3. To supervise other directors.

Dorchester Finance Co Ltd v Stebbing (1989) BCLC 498

Facts: A rogue executive director had knowingly misapplied the company's assets by granting substantial loans to himself and his accomplices. One of the issues was whether two non-executive directors with accounting backgrounds have been in breach of their duties of supervision. This was so despite the fact that they were unaware of those loans.

Issue: Whether the non-executive directors were in breach of fiduciary duties.

Held: The non-executive directors were in breach of their duties. They had failed to exercise due care by (1) signing blank cheques and allowing the rogue executive director to use the company's funds as he pleased and (2) not taking any involvement in the company's affairs.

4. To exercise independent judgment. Although the directors may act with the benefit of advice of the others or to delegate certain powers, they cannot fetter the exercise of their powers by binding themselves in a manner that would lead them to disregard their duties or act inconsistently with them. Any contract fettering with the directors' discretion would not be enforced by the courts.

Law Wai Duen v Bolidyn Construction Co Ltd (2001) 3 HKLRD 430

Facts: The four directors of the company were X, Y, Y's wife and their daughter. X and Y denied Y's wife and daughter access to the company's books. Y's wife applied to the company for inspection of the company's document. Y refused the application and claimed because he had fallen out with her and believed her application to be made out of vindictiveness. X refused the application claiming that he merely performed a technical role, being a director appointed to ensure the company's compliance with the building regulations, and thus was not responsible for the management of the company. Y's wife applied to the court for inspection.

Issue: Whether inspection should be granted.

Held: Inspection was granted. The right of inspection was essential to the performance of the directors' duty. Y's wife was entitled to inspection without explaining why inspection was sought. X was not at liberty to absolve himself entirely from responsibility in the management of the company. The duties and responsibilities arising from a directorship were the same, irrespective of whether one was an executive or non-executive director. Although X might rely on officials and fellow directors, he must at all times be at liberty to satisfy himself as to any matter in relation to the company's business. Hence, X could not take a neutral role to the request. His duties as a director obliged him to use such power as he had as a director to enable other directors to exercise their rights. By deferring to Y in refusing the application, X was in breach of his duty.

10.3.7 Breach of Directors' Duties

The majority of case law concerning the breach of fiduciary duties concerns two scenarios: (1) where the directors misappropriate company's assets and make secret profits and (2) where the directors divert corporate opportunities available to the company to themselves. These scenarios involve mainly breach of the no-conflict rule.

10.3.7.1 Misuse of Assets and Taking Secret Profits

A common scenario involving a breach of duty is where the directors have made secret profits by virtue of their positions. This is also known as the **no-profit rule**. Under this rule, directors must not obtain any benefit or gain by reasons of or through their position as directors of the company or by reasons of some opportunity or knowledge resulting from their position as directors. This rule is partly based on the no-conflict rule. Secret commissions and bribes are covered by the no-profit rule.

Boardman v Phipps (1967) 2 AC 46

Facts: The beneficiary B of a trust claimed an account of profits from the defendant solicitors S, who acted for the trust. The claim was in relation to S's purchase of shares in a company in which the trust had a substantial holding. S was not satisfied with that company's account and decided to make a takeover bid personally for the remaining shares in the company so as to obtain control. Once S had obtained control as Chairman of the company, S hoped to liquidate the assets in the company and make repayment of capital to the shareholders including the trust. As later events transpired, S actually acquired the shares at an undervalued price, thus making a substantial profit.

Issue: Whether S was liable to account for the profits.

Held: S was liable to account for the profits attributable to its shares, less its expenditure and allowance for skill and work in producing the profits. S had placed itself in a special position, which was of a fiduciary character. Out of the special position, S had obtained an opportunity to make a profit out of the shares and knowledge that the profit was there to be made. A profit was made and S was accountable accordingly.

Boston Deep Sea Fishing and Ice Co v Ansell (1888) 39 Ch D 339

Facts: The plaintiff company P Co employed the defendant D as Managing Director. However, unbeknown to P Co, D also received bonuses from an ice company and a fish-carrying company due to his directorship with P Co. D caused P Co to employ these companies in respect of P Co's fishing boats. P Co brought an action against D for an account of the bonuses received by him and for damages for breach of duty.

Issue: Whether D was liable to account for the bonuses received.

Held: D must account to P Co for the bonuses received. This was so despite the fact that P Co could not have received those bonuses.

The no-profit rule is of a very strict nature. It would be breached even if the director acted in good faith throughout. It does not matter that the company could not have obtained the profit for itself. It is also irrelevant that the company has suffered no loss. The reason for this is to completely eliminate the possibility of abuse by a fiduciary of his/her position.

It is trite that misappropriation of assets is a breach of fiduciary duty (See Section 10.3.4 Duty to Exercise Powers for Proper Purposes). Directors do not have the power to apply company assets for their own benefit or to make presents to themselves or others. This kind of case usually involves the directors siphoning off assets, essentially stealing from the company.

Bishopsgate Investment Management Ltd (in liquidation) v Maxwell (No. 2) (1994) 1 All ER 261

Facts: The plaintiff company in liquidation P Co sued its former director D for breach of duties. P Co was the trustee of a pension fund. However, it was discovered that a large sum of the trust funds had been lent to or been misappropriated. P Co alleged that D failed to take any adequate steps to ensure that the trust assets under the control of P Co were dealt with under due authority of the board. There were also positive conducts on the part of D in effecting the transfer of those assets to a company of which D was also a director. Those assets were later sold and P Co received nothing because the same had been transferred away.

Issue: Whether D was in breach of fiduciary duties.

Held: D was in breach of his fiduciary duty because he gave away the company's assets for no consideration to a private family company of which he was a director. That was *prima facie* a use of his powers as a director for an improper purpose. It is noted that this was actually an interlocutory decision for D to make an interim payment. Thus, no ultimate finding on the breach had been made.

Illustrative Example 3

In the opening case, business is booming for Impressive Technologies Ltd ('ITL'). It is now getting more orders than it can digest. It is now thinking of expanding the business in order to take up the extra work. Unbeknown to the other directors, Bruce (a director) has set up a moonlighting business that takes up orders that ITL cannot undertake due to a lack of capacity. This is clearly a breach of fiduciary duties on the part of Bruce. The profit Bruce earns from the moonlighting business is a secret profit he obtained by virtue of his position as a director. Bruce is liable to account to ITL for such profits.

10.3.7.2 Diversion of Corporate Opportunities

Another category of cases involving breach of duties is where the directors divert business opportunities away from the company, usually to themselves or to their associates. Again, liability could arise even if the company could not have taken up the opportunity.



Regal (Hastings) Ltd v Gulliver (1967) 2 AC 134 (HL)

Facts: R Co established a subsidiary A Co in order to acquire the leases of two cinemas. The landlord initially required the directors of R Co to provide guarantees for payments until the issued capital of R Co reached a certain amount. R Co. itself was not able to provide any further funds. As the directors were unwilling to provide guarantees, they instead chose to subscribe for shares in A Co, thus resulting in the rise in the share capital of R Co to the required amount. Subsequently, the directors sold their shares in A Co for substantial profits. After a change in ownership in R Co, the new management of R Co initiated proceedings against the directors for an account of profits arising from the sale of their shares in A Co.

Issue: Whether the directors were liable to account for profits.

Held: The directors were liable to account. They obtained the shares only because they were directors of R Co. The shares were obtained during the execution of the directors' duties. The knowledge and opportunity that enabled the directors to make the gain came to them solely because they were directors of R Co. The directors were liable to account despite the fact that R Co would not have been in a position to subscribe for the shares of A Co. It did not matter that the directors acted in good faith throughout and R Co suffered no loss.

Illustrative Example 4

In the opening case, Denise discovered that Bruce has set up a moonlighting business that took up orders that Impressive Technologies Ltd ('ITL') could not undertake due to lack of capacity. This is a breach of duty. Applying the *Regal (Hastings) Ltd* case above, although ITL could not undertake those opportunities themselves, it is nevertheless a breach of such duty for Bruce as a director to take up such opportunities. It is arguable that those opportunities did not necessarily come to Bruce in his position as a director. However, judging by the circumstantial facts, this is likely to be so. In any event, Bruce was in a position of conflict. It would be to the advantage of his moonlighting business for ITL's capacity to be filled up as soon as possible, whether by undervalue orders or reduced productivity. Bruce was in breach of his fiduciary duties as a director.

It is noted that a director may still be liable even if the opportunity comes to them in a personal capacity. In such a case, the director would still be liable if there was actual conflict in taking up the opportunity.

Chinese United Establishments Ltd v Cheung Siu Ki (1997) 2 HKC 212

Facts: In his personal capacity, C came to be aware of an opportunity to invest in a company H Co, which operated a taxi business. C formed P Co together with a few others to purchase 50% interest in H Co. C was a director of P Co. Later, C purchased the remaining 50% of shares of H Co through a corporate vehicle. P Co later sued C for breach of fiduciary duties. C argued that the opportunity came to him purely because of his friendship with the original owner of the 50% of shares, unrelated to P Co.

Issue: Whether the director was in breach of fiduciary duties.

Held: The director could be liable for diversion of a corporate opportunity where he entered into engagements in which he has or can have a personal interest conflicting with the interests of the company. C put himself in such conflict because a time would come for either C or P Co to realise their interest in H Co.

Thus, a director is under a duty to communicate to the company any potential business opportunity relevant to the company. It is important to note that a director cannot simply resign in order to take up such an opportunity, if that opportunity arose during his directorship.

In order to take up those business opportunities forbidden by the above principles, the directors would need to obtain the informed consent of the company. If the material facts of the business opportunity are disclosed to the company in a general meeting and there has been approval by the general meeting, then a director would not be liable in taking up the opportunity.

However, a director is not precluded by the above principles from taking up any business opportunity:

1. Outside the scope of the company's operations (unless the opportunity came to the director's knowledge in his capacity as director); or
2. That was not matured or maturing at the time.

10.3.8 Remedies for Breach of Directors' Duties

A company has the following remedies where there has been a breach of director's duty:

1. Avoidance of acts or transactions;
2. Restitution of company's property;
3. Disgorgement of profits or benefits;
4. Equitable compensation;
5. Relief against third party accessories; and
6. Common law compensation for loss (only for the breach of duty of care).

The above remedies are discussed in turn as below:

Avoidance of acts or transactions: Where a director caused the company to enter into a transaction in breach of his/her fiduciary duties (e.g. by failure to disclose conflict or for an improper purpose), the transaction is voidable. Voidable means the company may ask for



the transaction to be rescinded as if it had never happened. However, whether a transaction can actually be voided under this principle is subject to the restriction of whether counter-restitution is possible (See Section 3.2.3). It is noted that where the transaction entered into was without any authority from the company, then the transaction is void regardless of those restrictions.

Restitution of company's property: Where a director has received property of the company in breach of duty, the company is entitled to recover the property from the director. The director would be regarded as a constructive trustee of the property, i.e. the director would be deemed by the court as a trustee of the property in favour of the company despite there never having been any declaration of trust.

Disgorgement of profits or benefits: A director may also be required to give to the company any profits he/she has made as a result of a breach of fiduciary duty. However, allowance may be made to the director for the time, skill and financial contribution he/she had invested in order to generate that profit.

Equitable compensation: The court may also order the director to pay a sum of money to the company as representing a compensation for the loss suffered by the company as a result of his/her breach. Since this compensation is based on equity instead of common law, it is not constrained by common law principles such as foreseeability and remoteness.

Relief against third party accessories: A director in breach of his/her duty usually has assistance from third parties. This is particularly so in circumstances of secret profits and diversion of business opportunities. These third parties may know of the director's breach and assisted the director to obtain a profit from the breach or transfer assets away from the company. For example, the director may have transferred the property to a third party seemingly unrelated to him/her. In such a situation, it may not be beneficial for the company to sue the director for compensation for the value of the money (as the director may not have the means to satisfy any judgment obtained). Thus, it becomes necessary for the company to go after the third party assistant.

The company may claim against such third-party accessories in three situations:

1. A transaction (with a third party) is voidable unless the third party was a purchaser for value in good faith and had no notice of the breach.
2. The company may require the third party to return certain assets or sums received if the third party received those assets or money with knowledge of the breach. The test is whether the recipient's state of knowledge is such that it would be unconscionable for him/her to retain the benefit of the receipt. This doctrine is known as 'knowing receipt'.
3. The company may seek compensation for the loss it suffered from a third party where the third party has assisted the director in breach dishonestly. Although the dishonesty is a subjective mental state, the standard by which the law determines whether someone is dishonest is objective. If by ordinary standards a defendant's state of mind would be characterised as dishonest, it is irrelevant that the defendant judges by a different standard. This doctrine is known as 'dishonest assistance'.

Common law compensation for loss: This is only applicable in relation to the breach of the duty of care. Where a director has been negligent, the company can recover compensation for its losses under common law principles. See Chapter 4 The Law of Tort and Negligence.

► Knowledge Check Questions

Question 5

Explain the broad categories of the duties owed by a company's director.

Question 6

Explain the no-conflict rules and give examples of situations in which the rule would be infringed.

10.4 SHAREHOLDERS' REMEDIES

The remedies discussed in Section 10.3.8 are remedies available to the company. A distinction needs to be drawn between the company and the shareholders. Normally, it would be the board of directors who are able to take action on the company's behalf to sue the directors in breach. However, as explained in Section 10.4.1, sometimes the board may refuse to act, e.g. where the entire or majority of the board is implicated in the breach. In such circumstances, the shareholders would require their own remedies in relation to the breach.

The remedies discussed below are also known as remedies for minority shareholders. As explained in Section 9.2, members make decisions through general meetings by voting. This means that persons holding the majority of shares may out-vote minority shareholders. This is known as the doctrine of majority rule. Sometimes, the majority shareholders may vote to the detriment of the interest of the minority shareholders. The law has developed remedies to protect the interest of such minority shareholders. These remedies overlapped with those remedies for shareholders in relation to breach of the director's duty. The situation is often that the majority shareholders would be in control of the board. Thus, these remedies are made available for the minority shareholders to protect their interest where the majority acts against their interest and that of the company (in preference to their own interests).

10.4.1 The Rule in *Foss v Harbottle*

This rule is derived from the case of *Foss v Harbottle* (1843) 2 Hare 461. This is a basic concept underlying the remedies of derivative and unfair prejudice actions discussed in Sections 10.4.2 to 10.4.4.

There are two limbs to the rule in *Foss v Harbottle*:

1. The proper plaintiff principle; and
2. The irregularity principle.

Proper plaintiff principle: Where the directors have breached their duties owed to the company, the proper plaintiff to bring an action against the directors in breach is the company. Thus, the shareholders do not have standing (also called *locus standi*) to institute proceedings.

The exception is the derivative actions explained in Sections 10.4.2 and 10.4.3, where shareholders may initiate proceedings on behalf of the company under certain circumstances.

Irregularity principle: A member is not entitled to sue on the basis of a mere informality or irregularity where the irregularity is one that can be cured by a vote of the company in the general meeting and where the intention of the majority members is clear. The rationale is that in that situation any irregularity could be ratified by the ordinary resolution passed by the majority. There would be no need for the court to intervene.

10.4.2 Common Law Derivative Action

A **derivative action** means an action brought by an individual on behalf of the company. Thus, the cause of action is 'derived' from the company.

As aforementioned, where a wrong (such as a breach of fiduciary duty) is done to the company, the proper plaintiff to initiate proceedings is the company itself. However, where the company (i.e. controlled by its board) does not institute proceedings, then an individual member may bring a derivative action on behalf of the company.

Both the common law and the CO provide for the bringing of derivative actions.

At common law, there are two established grounds for bringing a derivative action:

1. In respect of *ultra vires* or illegal conduct; or
2. Where there is fraud on the company.

***Ultra vires* or illegal conduct:** Where the company has done something that is *ultra vires* (beyond the scope of its power) in the sense that it is unlawful for the company to do so, a member has the standing to bring a derivative action on behalf of the company in respect of that conduct. This includes the situation where the company has acted in breach of the CO (e.g. unlawful return of capital to shareholders against s.212 and unlawful financial assistance for the acquisition of shares against s.275). However, the court may strike out an action if a majority of independent members of the company are not in favour of the proceedings.

Ultra vires was once considered to be a fundamental principle of business law. Originally, it was intended to protect shareholders and creditors from management decisions that could change the nature of a company's business with the consent of those shareholders or creditors. Under *ultra vires*, a Hong Kong company was required to formally commit to business objectives in a memorandum of association. Business activity not identified in the memorandum of association's objects clause were determined to be *ultra vires*, which translates to 'beyond the powers of the company'. *Ultra vires* actions were considered void and unenforceable. Subsequent ratification was not permitted.

In practice, *ultra vires* did not achieve its objective because it was easy to circumvent. Specifically, a company could provide an exceptionally broad and lengthy objects clause in its memorandum of association with the intention of covering nearly any business decision or act. It also posed a threat to third parties, who could suffer if a company they did business with was acting in violation of the *ultra vires* doctrine. In such cases, a third party could be innocent of any violation but still suffer the consequences of nullified business dealings.

After much criticism, the *ultra vires* doctrine was abolished by the Companies Ordinance 1997. The primary reason for this change was that the 1997 amendment made it optional for companies to state their objectives in memoranda. After the 1997 amendment, the memorandum remained mandatory, but companies were no longer limited by the contents of their objects clause.

In 2012, the new Companies Ordinance determined that the memorandum was no longer important, so it has also been abolished. Companies formally incorporated in Hong Kong are now required to have articles, which comprise the only mandatory document. Currently, companies have the same 'capacity and the rights, powers and privileges of a natural person, in addition to what it can by virtue of its corporate status' (s.115).

Furthermore, if a company chose to pursue actions that were not outlined, those actions were not automatically invalidated. This was affirmed by the new CO, which served two purposes. First, it protected third parties entering into contracts. Second, it maintained the remedies available for shareholders to bring against a company, its directors or the management under common law or statute. Members of a company have an inherent right to sue for an injunction to restrain the company if they believe it is exceeding its powers.

Smith v Croft (No. 2) (1988) Ch 114

Facts: A Co was a company engaged in the business of guaranteeing the completion of films on time and within budget. The articles of A Co provided that a director should be remunerated at GB£150 per annum, with the chairman receiving an additional GB£100 per annum and any executive directors appointed also receiving additional remunerations. In one year, the executive directors acquired sufficient shares in A Co to obtain overall control in A Co. The plaintiff P was a minority shareholder in A Co. P sued the controlling executive directors for paying themselves excessive remunerations and excessive expenses. The defendant directors applied to strike out P's claim.

Issue: Whether P was entitled to bring an action on behalf of the company to recover money paid out of the company *ultra vires*.

Held: A minority shareholder had *locus standi* (i.e. the legal status to bring an action) to bring an action on behalf of a company to recover property or money transferred or paid away in an *ultra vires* transaction. However, he/she did not have an indefeasible right to prosecute such an action on behalf of the company. It was proper to have regard to the views of the independent shareholders and their votes should be disregarded only if the court was satisfied that they would be cast in favour of the defendant directors in order to support them rather than for the benefit of the company, or if there was a substantial risk of that happening. There was no evidence in this case to suggest that the votes of A Co would be cast otherwise than for reasons genuinely thought to be for the company's advantage. Accordingly, since the majority of the independent shareholders' votes including those of A Co would be cast against allowing the action to proceed, P's claim should be struck out.



Fraud on the company: A fraud on the company is a form of equitable fraud and thus is distinguished from common law fraud (as in the tort of deceit). In the company law context, this is also known as a 'fraud on the minority'. This concept goes beyond mere dishonesty and deceitful conduct (common law fraud) and covers breaches of fiduciary duties of directors. Thus, equitable fraud could be established despite the fact that the directors might have acted in good faith (as fiduciary duties may be breached even where the directors have acted in good faith).

Negligence by itself does not amount to fraud on the company, unless the directors have profited from it. A derivative action is available where the directors use their powers, intentionally or unintentionally, fraudulently or negligently, in a manner that benefits themselves at the expense of the company.

An element of control is required in order to establish fraud on the company. It must be established that the wrongdoer has control of the company, either of the board or the general meeting. The control required is such that it prevents the company from instituting proceedings (amounting to a form of abuse of that control and hence a fraud). It is considered a sufficient control if the control causes a deadlock in the company, thus preventing the company from taking action. Thus, it is not necessary that the wrongdoers must hold at least 50% of the voting rights before control could be established.

Waddington Ltd v Chan Chun Hoo (2008) 11 HKCFAR 370

Facts: The plaintiff P was a minority shareholder of C Co. It was alleged that the controlling shareholder of C Co, X, concluded a series of transactions in breach of his fiduciary duties. These included the sale and acquisition of assets incurring a loss to C Co but to the benefit of X personally. The defendant X challenged that P and C Co had no standing to bring the action as the loss was suffered by C Co's subsidiary. The loss to C Co was only reflective.

Issue: Whether P and C Co should be allowed to continue the action.

Held: Action was allowed to continue. In any common law derivative action, including multiple derivative actions, the plaintiff was required to show a *prima facie* case when his *locus standi* to sue derivatively on behalf of the company was challenged. The rule was that a plaintiff whose standing to bring the action was challenged was required to establish a *prima facie* case that the company was entitled to the relief claimed and that the action fell within an applicable exception to the rule in *Foss v Harbottle* (usually the fraud on the minority exception).

Illustrative Example 5

The four shareholders of Impressive Technologies Ltd ('ITL') (Andrew, Bruce, Chris and Denise) agree that the company would be run by Andrew who had the most experience in the business. It has later been discovered by Denise that Andrew caused ITL to contract a substantial amount of works to a company wholly owned and controlled by Andrew. It further transpired that some of the works were not actually done. Denise felt that this was a serious breach of fiduciary duty on the part of Andrew. Denise wanted to remove Andrew as a director and recover compensation for those works paid but not done from Andrew. However, Andrew refused to call a shareholder's meeting. As a result, Denise began a derivative action on behalf of ITL to (1) convene a shareholder's meeting to remove Andrew as a director and (2) recover the amounts Andrew caused to be paid to his own company for fictitious works that were never done.

10.4.3 Statutory Derivative Action

Division 4 of Part 14 sets out the statutory derivative action. A statutory derivative action may be brought for the purpose of:

1. Suing for misconduct committed against the company (s.732(1)).
2. Suing for any matter where the company has failed to bring proceedings in respect of the same because of misconduct committed against the company (s.732(2)).
3. Intervening in proceedings where the company has failed to diligently continue, discontinue or defend proceedings because of misconduct committed against the company (s.732(3)).

The word 'misconduct' is defined to mean fraud, negligence, breach of duty or default in compliance with any Ordinance or rule of law (s.731). This is wider than the concept of equitable fraud. As apparent from above, the statutory derivative actions may be used to institute or defend proceedings against third parties.

In order for a member to commence proceedings in reliance of the statutory derivative action provisions, permission from the court must first be obtained. Such permission is traditionally known as 'leave of the court'. The court may grant leave for a member to commence derivative proceedings on behalf of the company if it is satisfied that:

1. **Interest of the company:** On the face of the application, it appears to be in the company's interests that leave be granted (s.733(1)(a)). There may be situations where a company can legitimately refuse to pursue a cause of action for sound business or commercial reasons. However, this requirement is a low threshold as the member only needs to show that the application appears to be in the interest of the company. The court may take such factors into account, such as the character of the company (i.e. whether it is a small family company or a big business), the effect of the proposed litigation on the business of the company, the ability of the defendant to meet any judgment granted and the likely costs of the litigation.

2. **Serious question to be tried:** There is a serious question to be tried (s.733(1)(b)). This again has a low threshold. The member needs to show at least a probability that the company will succeed in its claim. It is not necessary to show that the company would definitely succeed or is likely to succeed. The prospect of success would only be relevant if it was so slim that it could not be said there was any prospect of success at all.
3. **No proceedings brought:** The company has not itself brought the proceedings (s.733(1)(b)). This is self-explanatory.
4. **Notice to company:** The member has served a written notice on the company of the member's intention to apply for leave (s.733(1)(c)).

The statutory derivative action can be brought on behalf of both companies incorporated in Hong Kong or non-Hong Kong companies that have established a place of business in Hong Kong.

Re Li Chung Shing Tong (Holdings) Ltd (2011) 5 HKLRD 274

Facts: C Co was a successful company in the business of selling a widely used traditional Chinese proprietary medicine called 'Po Chai Pills'. C Co was founded by F. The petitioners Ps were the sons (and their wives and sons) of F. Ps were minority shareholders in C Co, which was managed by the defendant director D, who was the second wife of F, together with other defendant directors. An incident occurred whereby some products of C Co were contaminated. Following an announcement by the Department of Health, C Co recalled the contaminated products. As it transpired, C Co was defrauded by its subcontractor for production of the pills. The subcontractor outsourced the manufacturing of the pills to a factory in mainland China without the authorisation of C Co. Ps sought leave to bring a statutory derivative action against the controlling directors of C Co for breach of duties.

Issue: Whether leave should be granted for Ps to bring the statutory derivative action.

Held: Leave was granted. The threshold for the 'interest of the company' criterion in the statute was low, requiring only the demonstration that the proposed action was *prima facie* in the interest of the company. In most situations, the demonstration of a serious question to be tried would be sufficient. At the leave stage, the court could only conduct a limited investigation. Thus, the court would be slow to find against the plaintiff unless his prospects of success were so slim that he could have no expectation of success. In the present case, it was *prima facie* in C Co's best interest to pursue the proposed action and there was a serious question to be tried. There was a strong case that one or other of the putative defendants had breached a duty to C Co and a strong presumption that it was *prima facie* in C Co's interest to pursue the action.

10.4.4 Unfair Prejudice Remedies

In addition to the derivative actions, the CO provides for another remedy for the purpose of protecting minority shareholders, i.e. the **unfair prejudice remedies**. This is a list of remedies available to a member of the company insofar as the ground of unfair prejudice can be established. Thus, s.724(1) provides that a member of a company may apply to the court for a remedy (See Sections 10.4.4.1 to 10.4.4.5) where:

1. The company's affairs are conducted in a manner unfairly prejudicial to the interest of the members generally or of one or more members; or
2. An actual or proposed act or omission of the company (including one done or made on behalf of the company) is or would be prejudicial.

There are a few elements to the test of unfair prejudice:

1. **Company's affairs:** The company's affairs are interpreted widely. This includes the company's goodwill, profit or loss, contracts and assets. It also includes the internal corporate management of the company such as voting rights and dividend policy. Insofar as a corporate group is concerned, it is necessary that the conduct complained of relates to the affairs of the company in question. Where a parent company acts to the detriment of the subsidiary, the conduct of the subsidiary in assistance of that would be considered affairs of the subsidiary.
2. **Affecting interest of the member:** The interest of the members include their financial interests (as reflected in the value of the shares, the shareholders' entitlement to dividends and the distribution of surplus of assets when the company is wound up). However, such interest must be that of the member in their capacity as a member. If a member has dual roles in a company such as employee, director, creditor, landlord or licensee, he/she may not rely on the remedy for conducts affecting his/her interest in those capacities but not his/her capacity as a member. Obviously, the interest of the petitioner applying for such a remedy must be affected in order for him/her to apply for the petition (s.724). This includes members who hold shares as a trustee as well.
3. **Unfair:** The word 'unfair' is interpreted in a liberal spirit in order to meet the circumstances of the case. The concept of fairness, however, is not a boundless notion allowing the court to do justice in any situation. Generally, a member of a company will not ordinarily be entitled to complain of unfairness unless there has been some breach of the terms on which he agreed that the affairs of the company should be conducted (such as the articles). However, there may also be situations where it would be unfair for those conducting the affairs of the company to rely upon their strict legal power. Thus, there could be unfairness even though the wrongdoings were acting strictly within their legal powers.



O'Neill v Phillips (1999) 1 WLR 1092

Facts: Initially P Co was owned by P entirely. At one point, P gave 25% of the shares to O, formerly a manual worker, and appointed O as a director. P hoped that O would take over the running of the company and take 50% of the profits. O took over the operation of the company and received half the profits. P indicated further that he would be willing to increase the percentage of O's shareholdings if certain targets were met. However, subsequently P became concerned about O's management of P Co and decided to resume personal command. P then told O that O would no longer receive 50% of the profits but only his salary and any dividends payable on the basis of O's 25% shares. O made an unfair prejudice petition on the basis of the termination of the 50% arrangement and the increase of shares arrangement.

Issue: Whether the petition should be dismissed.

Held: Petition dismissed. Although it might in certain circumstances be unfair for those conducting the affairs of a company to rely on their strict legal powers, ordinarily unfairness to a member required some breach of the terms on which he had agreed that the company's affairs should be conducted. Since P had not agreed unconditionally to give O more shares or to share equally in the profits, he could not be said to have acted unfairly in withdrawing from the negotiations. A member of a company who had not been excluded from participation in the management of the company was not entitled to demand a buyout on the basis of a breakdown in trust and confidence between the parties.

4. **Prejudice:** Prejudice has been described to mean injury, detriment or damage. Prejudice covers both damage to financial interests as well as other interests, such as a member's right under the CO or the constitution of the company.
5. **Assessed objectively:** Whether a conduct is unfairly prejudicial is assessed objectively. The question is whether a reasonable bystander, observing the consequences of the conduct, would regard it as having unfairly prejudiced the petitioning member's interest.

Broadly speaking, this remedy is designed to protect minority shareholders where the majority shareholders abuse their voting rights to act against the interests of the minority. Sometimes in these situations, the majority has done nothing wrong legally, i.e. no breach of articles, statutes or common law duties. Yet, the power has been exercised in such a way that the minority interest has been prejudiced. Most commonly, this happens in the context of a family company or quasi-partnerships where the minority shareholders have an expectation in not being excluded from management or have their shares diluted.

The following are some examples of unfairly prejudicial conducts:

1. Breaches of the CO can be unfair prejudicial conducts, e.g. providing financial assistance for the acquisition of the company's shares, or failing to obtain member approval for non-*pro rata* allotments of shares;
2. Breaches of the constitution or the shareholders' agreements;
3. Breaches of fiduciary duties of directors;

4. Excessive remuneration to directors (to the extent it amounts to a misappropriation of a company asset or unlawful return of capital, if the director is also a shareholder);
5. Serious mismanagement involving self-enriching practices;
6. Wrongful exclusion of a director from management. This is only applicable to companies formed on the basis of a personal relationship of trust and confidence (such as a quasi-partnership);
7. Unreasonably low dividends or long-term policy of not paying dividends;
8. Unfair exclusion from management in a quasi-partnership; and
9. Improper dilution of shares.

Re Ching Hing Construction Co Ltd (unrep.), HCCW 889/1999

Facts: A Co is a family company. The petitioners Ps issued a petition for unfair prejudice relief on various grounds. The main complaints of Ps were: (1) Ps were excluded from the management of the company in breach of a common understanding between shareholders and (2) excessive remunerations were paid to the directors whilst the company was trading at a loss.

Issue: Whether unfair prejudice remedies should be granted.

Held: As to complaint (1), as a matter of law, unfairness may arise from agreements or promises made or understandings reached during the life of the company that it would be unfair to allow the majority to ignore even if they were not enforceable at law. However, in the present case, it was found that the common understanding as alleged did not exist. In any event, the petitioners were not excluded from management as a matter of fact.

As to complaint (2), as a matter of law, the payment of excessive remuneration to directors, to the detriment of those members who are not directors, is one of the recognised forms of unfairly prejudicial conduct. If the controlling directors pay themselves remunerations as a means to distribute profits, that would be unfairly prejudicial to the interest of the non-director members. The test of whether the quantum of emolument is excessive is objective, with reference to objective commercial criteria. In the present case, as a matter of fact, it was not accepted that there had been any drawing of excessive remuneration with a view to depleting the company's assets. The remuneration drawn properly and reasonably reflected the workload the directors discharged and contributed.

The unfair prejudice remedies can be brought with respect to both companies incorporated in Hong Kong or non-Hong Kong companies that have established a place of business in Hong Kong.

Upon establishment of an unfair prejudicial claim, the court may make any order that it thinks fit for giving relief, including but not limited to (s.752):

1. Restraining the unfairly prejudicial conduct;
2. Ordering proceedings to be brought in the company's name;
3. Appointing a receiver or manager of the company's property or business;

4. Regulating the company's affairs in future;
5. Requiring the purchase of the shares of any member of the company by another member or by the company;
6. Any other order that the court thinks fit for any other purpose; or
7. Order the company or another person to pay damages to a member.

A few remedies commonly ordered by the court will be discussed below.

10.4.4.1 Court Order

The court may give specific orders to the company to perform certain actions or refrain from doing so. For example, a court order may provide for a general meeting to be held or not to be held, or for the alteration of the articles.

10.4.4.2 Appointment of Directors, Receivers or Managers

The court may also order to ensure the company can be properly run in future under the conduct of somebody accepted by the shareholders. For example, the court may order an authoritarian director to refrain from continuing to exercise any role over the company's affairs (especially where the director has acted fraudulently before and has misappropriated company property). The court may also in an appropriate case replace the entire board of directors with new directors appointed by the court for a fixed period of time, pending investigation and further decisions by shareholders in a general meeting. However, it is noted that it is only in special circumstances the court would interfere with the composition of the board. This is a recognition of the facts that the court is not in a good position to select those commercially appropriate to manage the company and that the court should not assume any active role in the managing or on-going supervision of the company.

10.4.4.3 Buy-out Orders

This is a fairly common remedy sought by shareholders petitioning for unfair prejudice remedies. However, the court may not order such a remedy if a lesser remedy is sufficient to address the issue. This is appropriate in cases where there has been a breakdown in the relationship between the parties. In such a case, it would be beneficial for the parties to go their own separate way without being in a position further to annoy, interfere with or injure each other. A buy-out order can be made both ways, i.e. the petitioner can either buy out the respondent or vice versa. The court shall have a broad discretion as to the basis of valuation of the price of the shares in a buy-out order.

10.4.4.4 Damages

The court may order the company or any other person to pay damages that the court thinks fit to a member of the company whose interests have been unfairly prejudiced. However, any reflective loss is not recoverable, i.e. loss suffered by the company that only the company is entitled to recover under the common law.

10.4.4.5 Alternative Relief

It is noted that where there is a readily available alternative relief that is more appropriate, the court may be prepared to strike out an unfair prejudice petition: for example, where the shareholders' agreement contains a mechanism for the purchase of the petitioner's share or

where the respondent simply offers to purchase the petitioner's shares. If such alternate relief gives all the relief that the petitioner can reasonably expect to obtain under the unfair prejudice remedies, the court may strike out the petition to avoid wasting time and costs.

Apply and Analyse 4

Apply

Running Co, a running products company, was set up by father X. Father X has four children. Upon his death, father X gave his 100% shares in Running Co to his four children in equal shares, asking them to properly manage the family business amongst the four of them. All four children were appointed directors. The children had thus managed the company in accordance with the father's instruction harmoniously for 10 years. After 10 years, three of the children fell out with the eldest child, Thomas. Thomas was removed as a director by the other three. His objection to the removal was outvoted at the general meeting. Analyse the remedies open to Thomas.

Analysis

Thomas may sue for unfair prejudice remedies. Although the three other children were merely exercising their rights as shareholders (and directors) to remove Thomas, Thomas can argue that the rights were exercised in a way that is unfairly prejudicial to his interest. It is clear that the four children (as shareholders) had an understanding that the company would be managed by all four of them together. This was in fact the intention of the father X. Thus, the subsequent exclusion of Thomas from management is unfairly prejudicial to his interest. Thomas is likely to ask for a buyout order since he is the minority shareholder, i.e. an order that the other three shareholders buy out Thomas' shares at a fair price determined by an objective third party or by agreement.

10.4.5 Members' Personal Actions

The rule in *Foss v Harbottle* as to a proper plaintiff does not apply where the member has a personal right of action. In other words, the member has a right to sue on his/her own. Such a right can arise out of (1) the company's constitution, (2) common law, (3) contract or (4) statute.

Company's constitution: The articles of the company have an effect as a contract under seal between (1) the company and each of its members and (2) between a member and each of the other members (s.86). Thus, the articles are enforceable by the members against the company and other members, and vice versa (s.86(2)). However, the irregularity principle still applies. If the majority could ratify the irregularity then the court may decline to grant any remedy in an application seeking strict compliance with the articles. Nevertheless, there are a new number of rights where an ordinary majority does not have the constitutional power to deal with (and hence the irregularity principle does not apply):

1. Right to transfer shares;
2. Right to have regulations in relation to forfeiture of shares complied with;
3. To uphold rights of pre-emption and other class rights;
4. Right to appoint directors as permitted by the articles;

5. Right to receive proper notice of general meetings;
6. Right to vote at a general meeting;
7. Right to have improper votes excluded; and
8. Right to propose amendments to resolutions at general meetings.

Common law: The common law has conferred on the members a few personal rights attached to their membership of the company, including the following:

1. Right to have decisions requiring a special resolution to be passed in accordance with the articles;
2. Right to restrain the company from engaging in conduct that contravenes the Companies Ordinance;
3. Right to receive dividends that have been declared;
4. Right to have a reasonable opportunity to be heard at general meetings;
5. Right to restrain improper dilution of voting power by the board; and
6. Right to restrain improper alteration of the articles.

Rayfield v Hands (1960) Ch 1

Facts: The plaintiff P was a shareholder in P Co. The articles of P Co required that if P were to sell his shares, P should inform the other directors (who were also shareholders) of his intention and the directors 'will take the said shares equally between them at a fair value'. Accordingly, P informed the directors of his intention to sell. However, the directors contended that they did not need to take and pay for the shares. P claimed for the determination of the fair value of the shares and an order for the directors to purchase his shares at the fair value so determined.

Issue: Whether the buy-out order should be granted.

Held: Upon the true construction of the articles, the directors were required to purchase P's shares at a fair price. The relevant article was concerned with the relationship between P as a member and the defendant directors as members of the company (not as directors). It was not necessary for P to join the company as a party in order to succeed in his action.

In addition to the above, the minority shareholders generally have a right of action where the action of the majority shareholders (including voting) may amount to a fraud on the minority. This is known as the 'doctrine of fraud on the minority'. The doctrine is based on the principle that, although there is no general requirement for shareholders to vote in good faith in the interest of the company, the power of the general meeting needs to be exercised subject to equitable consideration or constraints. Such equitable constraints mean that a shareholder may be prevented from voting in a way that will result in the destruction of the economic value of other shareholders' shares for no rational reason. The doctrine of fraud on the minority must be differentiated from derivative actions. For the former, it is the shareholders themselves who have the right to sue. In the case of the latter, the shareholders are merely suing on behalf of the company. The cause of action remains with the company.

Statute: The CO provides for such a cause of action, in addition to the unfair prejudice remedies aforementioned:

1. Right to restrain the company from acting outside its objects or power as stipulated in the articles (s.116);
2. Right to inspect company records (ss.739 to 743);
3. Right to receive a copy of the company's financial statements (s.430); and
4. Right to petition as a contributory for the winding-up of the company (s.179) (See Chapter 13 Receivership, Liquidation and Winding-up).

10.4.6 Just and Equitable Grounds for Winding-up

The members also have a right to petition for the winding up of the company on just and equitable grounds. This will be discussed in Chapter 13 Receivership, Liquidation and Winding-up.

Illustrative Example 6

In the opening case, Denise wants to know her remedies as to the subcontractor of Impressive Technologies Ltd ('ITL').

It is clear that both are breaches of directors' duties by Andrew and Bruce, respectively. As a shareholder, Denise has the following options: (1) Denise may initiate a derivative action on behalf of ITL against Andrew and Bruce for breach of directors' duties, (2) Denise may apply for unfair prejudice reliefs because Andrew and Bruce are also shareholders and will not entertain or support any proposal to remove themselves at general meetings. Denise may ask for the compulsory purchase of her shares by those two or (3) Denise may also apply for the winding-up of ITL on just and equitable grounds, as the substratum of the company is now lost due to Andrew and Bruce's actions.

► Knowledge Check Questions

Question 7

Describe briefly the different types of remedies available to shareholders.

Question 8

Explain the difference between statutory derivative actions and unfair prejudice actions. Describe the proper plaintiff rule.

Question 9

State the rule in *Foss v Harbottle* (1843).

Question 10

Explain the concept of *ultra vires* and how the new Companies Ordinance (Cap.622) protects shareholders and third parties.

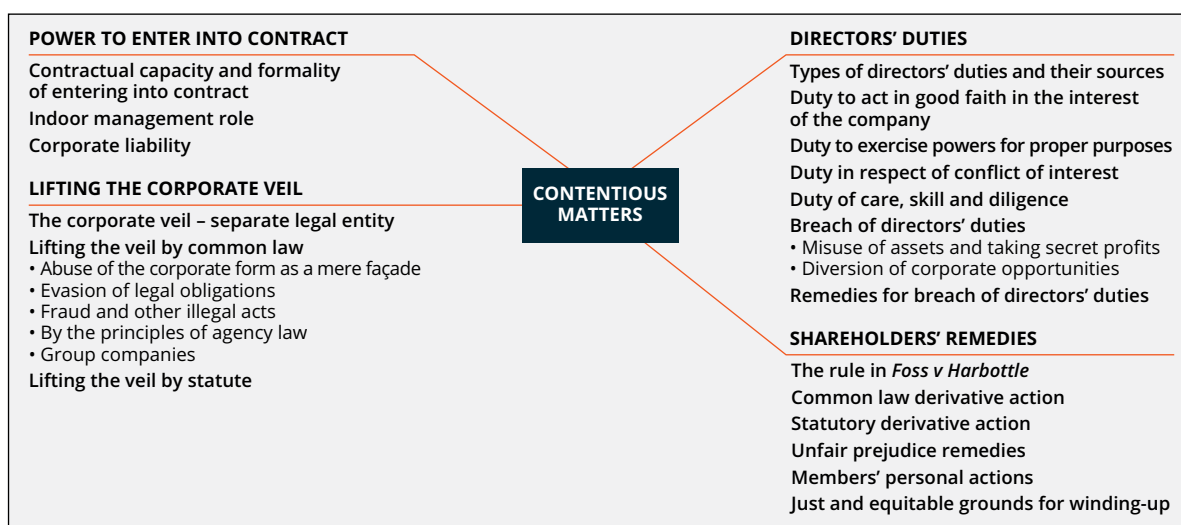


SUMMARY

- A company may enter into a contract in writing or orally through persons authorised to act for the company.
- The indoor management rule provides that persons dealing with a company may assume that acts within its constitution and powers have been properly and duly performed and that such persons are not bound to enquire whether the acts of internal management have been regular.
- A company may incur civil and criminal liabilities in its own right. The issue is typically persons whose knowledge and actions are attributed to the company so as to make the latter liable.
- The doctrine of separate legal entity imposes a corporate veil between the company and its shareholders such that the rights and obligations between the two are separate and distinct.
- The veil could be lifted where the company has been abused as a mere façade. It is necessary to show that control of the company by the wrongdoer and that the company was used for impropriety, namely fraud, made perpetration of an offence or evasion of legal obligations.
- Directors owe to the company various duties, including the duty to act in good faith and in the interest of the company, the duty to exercise powers for proper purposes, the duty not to place himself/herself in a position of conflict of interest and the duty of care, skill and diligence.
- It would be a breach of a director's fiduciary duties if he/she takes secret profits, misuses company's assets or diverts the company's business opportunities.
- Shareholders' remedies can be classified into four main groups: (1) derivative actions (by statute and under common law); (2) unfair prejudicial actions; (3) personal action under the general law and (4) application to wind up the company on just and equitable grounds.
- The rule in *Foss v Harbottle* has two limbs: (1) the proper plaintiff principle, where wrongs have been done to the company and the proper plaintiff to sue is the company (and not the shareholder) and (2) the irregularity principle, where a member is not entitled to sue on the basis of a mere informality or irregularity where the irregularity is one that can be cured by a voter of the company in the general meeting and where the intention of the majority members is clear.
- A derivative action may be brought by an individual on behalf of the company. At common law, a derivative action may be brought (1) in respect of *ultra vires* or illegal conduct or (2) where there is a fraud on the company. *Ultra vires* means that the company has done something beyond its power under the constitution or unlawful under the statute. Fraud on the company is a form of equitable fraud and goes beyond mere dishonesty and deceitful conduct. It covers breaches of fiduciary duties by the directors.

- A statutory derivative action may be brought for the purpose of (1) suing for misconduct committed against the company; (2) suing for any matter that the company has failed to bring proceedings in respect of the same because of misconduct committed against the company; and (3) intervening in proceedings where the company has failed to diligently continue, discontinue or defend proceedings because of misconduct committed against the company.
- A member of the company may apply for unfair prejudice remedies under s.724 of the Companies Ordinance (Cap.622) where (1) the company's affairs are conducted in a manner unfairly prejudicial to the interest of the members generally, or of one or more members, or (2) an actual or proposed act or omission of the company is or would be so prejudicial.
- The test for the grant of unfair prejudice remedies include: (1) the matter in complaint must concern company's affairs; (2) it must affect the interest of the member; (3) the conduct complained of must be unfair; (4) it must be prejudicial to the interest of the member; and (5) the above criteria would be assessed objectively.
- The proper plaintiff principle is not applicable if a member has a personal right of action, which can arise from the company's constitution, common law, contract or statute.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Where the common seal is affixed to a written contract, the contract is regarded as being entered into by the company. The proper execution of documents by a seal requires the person affixing the seal to have the authority under the articles to do so, namely the authority to enter into the transaction and to formally execute the document. The above requirements are only applicable where a company chooses to adopt a common seal. However, the common seal is not a mandatory requirement for every company (s.124(1) of the Companies Ordinance (Cap.622) ('CO')). A document would also be deemed to be executed as if it has been executed under seal if (1) it is signed by two directors of the company or by any of the directors and the company secretary and (2) the document is expressed (in whatever words) to be executed by the company (s.127(5) of the CO).

Question 2

The indoor management rule provides that the persons dealing with a company may assume that acts within its constitution and powers have been properly and duly performed. Such persons are not bound to enquire whether acts of internal management have been regular. This rule is derived from the case of *Royal British Bank v Turquand* (1856) 119 ER 775.

Question 3

The doctrine of separate legal entity imposed a corporate veil between the shareholders and the company such that the rights and liabilities of the two are separate and distinct. However, in some situations where this corporate form has been abused for the perpetration of a wrong, the corporate veil would be lifted. Generally, the piercing of the veil is based on established principles. It is necessary to show that there was a control of the company by the wrongdoer and that there is some impropriety that involves the abuse of the company form as a mere façade to conceal the wrongdoing of the wrongdoers. Broadly

speaking, the corporate veil could be lifted/pierced in the following situations: (1) where the company was used for the evasion of legal obligations; or (2) where the company was used for the purpose of fraud, crime or other unlawful conduct. It is worth noting that the doctrine of separate legal personality is maintained even within a corporate group. Thus, the corporate veil within a group may only be pierced by applying the above principles.

Question 4

The doctrine of separate legal entity imposes a veil between the company and its shareholders, such that the rights and liabilities of the company cannot be attributed to its shareholders.

However, it is sometimes necessary to lift or pierce this veil. This is often in situations where the corporate form and the limited liability doctrine have been abused by the shareholders, for example to evade certain legal obligations. The rules relating to the lifting or piercing of the veil are necessary to prevent the abuse of the corporate form.

Question 5

A director owes (1) a duty to act in good faith in the interests of the company; (2) a duty to exercise his/her power for proper purpose; (3) a duty not to place himself/herself in a position of conflict of interest with the company and (4) a duty to act with care, skill and diligence.

Question 6

A director is under a duty not to place himself/herself in a position where there would be a conflict between his personal interest and that of the company. However, this does not mean that a director is forbidden at all times to deal with his/her company. It means that the conflict needs to be disclosed in a general meeting and the approval of the members should be obtained. For example, it would be a breach of this duty for a director to (1) take secret profits by reason of his position of a director and (2) divert away corporate opportunities.

Question 7

The different types of remedies available to shareholders are:

1. A shareholder may launch a common law or statutory derivative action on behalf of the company.
2. A shareholder may launch an action for unfair prejudiced beliefs.
3. A shareholder may sue under the general law of contract and tort.
4. A shareholder may petition for the winding-up of the company on just and equitable grounds.

Question 8

Statutory derivative actions are actions brought by shareholders on behalf of the company, with respect to wrong done to the company, whilst unfair prejudiced actions are actions brought by the shareholders personally (usually minority shareholders) with respect to unfair prejudice to them as shareholders. The proper plaintiff rule provides that where there is a wrong done to the company, e.g. a breach of directors' fiduciary duties, the proper plaintiff to bring an action is the company instead of the shareholder. Thus, only the company may sue for such wrongs. Sometimes when the wrongdoers are also in



control of the company, they may prevent the company from suing effectively themselves. In this situation, a shareholder may bring a derivative action on behalf of the company with respect to such wrongs.

Question 9

This is a rule derived from the case of *Foss v Harbottle* (1843) 2 Hare 461. There are two limbs to the rule in *Foss v Harbottle*: (1) the proper plaintiff principle and (2) the irregularity principle.

The proper plaintiff principle refers to the proper plaintiff to bring certain actions. For example, where the directors have breached their duties owed to the company, the proper plaintiff to bring an action against the directors in breach is the company.

The irregularity principle means that a member is not entitled to sue on the basis of a mere informality or irregularity where the irregularity is one that can be cured by a vote of the company in the general meeting and where the intention of the majority members is clear. The rationale is that in that situation any irregularity could be ratified by the ordinary resolution passed by the majority. There would be no need for the court to intervene.

Question 10

Ultra vires means that a company has acted beyond its authority, as outlined in the objects clause of its memorandum of association. The ultra vires doctrine was abolished by the Companies Ordinance 1997. In 2012, the new Companies Ordinance determined that the memorandum was no longer important, so it has also been abolished. This protects third parties by ensuring their business dealings are not automatically voided if the company they contract with is acting beyond the specific business purpose described in its articles. It also protects shareholders by continuing the remedies available under common law or statute.

EXAM PRACTICE

QUESTION 1

Advanced Ltd operates a business of selling car parts. Andy, Benny and Charlie are directors of Advanced Ltd.

Advanced Ltd has a warehouse in Tai Po, erected on a piece of land (the 'Land') through a subsidiary 100% owned by Advanced Ltd, namely, Puppet Ltd. In early 2018, the business of Advanced Ltd suffered a sudden drop and was in urgent need of cash flow. As a result, Advanced Ltd caused Puppet Ltd to sell the Land to a third party, Victim Ltd. Accordingly, Puppet Ltd entered into a sale and purchase agreement with Victim Ltd regarding the Land. However, before the sale was completed (i.e. before the Land was assigned to Victim Ltd), Advanced Ltd successfully obtained an urgent loan from the bank to solve its liquidity issue. Meanwhile, the property market had also undergone a sudden surge, causing the Land to double in value. In the light of the above, the directors of Puppet Ltd (who are also directors of Advanced Ltd) caused the Land to be assigned to Advanced Ltd for no consideration. This resulted in Puppet Ltd being in breach of its contractual obligations to Victim Ltd. Victim Ltd wanted to sue Puppet Ltd for breach of contract and the return of the Land. However, Puppet Ltd is a shell company with no assets. Puppet Ltd also claimed that since it no longer had legal title to the Land it was not possible for it to fulfil its contractual obligation to Victim Ltd.

Traitor Ltd is a major subcontractor of Advanced Ltd, taking around 50% of its logistic contracts. During an accounting exercise, Andy discovered that Traitor Ltd is actually owned by Benny. However, Benny was not a director of Traitor Ltd. Further, Andy discovered that Charlie had set up a company Cheeky Ltd in the same business as that of Advanced Ltd. Whenever there were orders that Advanced Ltd could not undertake due to lack of materials or capacities, Charlie would divert the corporate opportunity to Cheeky Ltd. Neither Benny nor Charlie had ever disclosed their interest in those companies to Advanced Ltd. Andy wonders what remedies Advanced Ltd has against Benny and Charlie.

- (a) Analyse whether Victim Ltd may claim against Advanced Ltd for recovery of the Land.
- (b) Analyse whether Advanced Ltd can claim against Benny and Charlie. If so, explain on what basis.

QUESTION 2

William, Henry and Megan were siblings and shareholders of their family business, Monarch Co. The shareholdings were 40%, 30% and 30%, respectively. The siblings recently took over the company after the death of their father, Charles. It was the wish of the father that all three siblings would manage the company together. William, Henry and Megan were all appointed directors.

Monarch Co. was expanding its business rapidly and required a loan of HK\$500,000 urgently. William approached a close female friend, Kate, for a loan to Monarch Co. Kate initially had some hesitation because she knew the articles of association contained a clause that a director had no power to enter any loan agreement exceeding HK\$100,000. Nevertheless, William assured Kate that both Henry and Megan approved the loan. Eventually, Kate agreed to lend the sum to Monarch Co. However, it soon transpired that Monarch Co.'s business was failing and was unable to repay the loan. Kate wished to get her money (principal and interest) back but Henry and Megan seemed to suggest that Monarch Co. was not bound by the agreement.

The demise of the company was actually caused by William and Henry's decision to invest heavily in a big data program. Megan vigorously objected to the decision. A big fall-out happened between the parties. William and Henry used their majority voting rights to convene meetings and remove Megan as a director.

Analyse the possible remedies available to (a) Kate and (b) Megan.

QUESTION 3

Tom, Sunny and Victor were the only three directors of Crumbling Co. They each had 10% of shares. They were siblings and sons to their father, Donald, who founded Crumbling Co in the first place and held 70% of its shares. Father Donald had retired a few years ago. However, the children would still consult Father Donald from time to time on company matters and followed Father Donald's instructions whenever Father Donald gave them directions on how to run the company better.

Under the advice of professional bankers, Tom made a small investment in bit coins earlier and reaped a huge profit for Crumbling Co. Another wave of crypto currency was raging and, without telling anyone, Tom made a bigger investment on it this time. He put 50% of the company's assets for the investment and also caused Crumbling Co to borrow an amount double that to put into the investment. The investment failed spectacularly. Crumbling Co is now in trouble.



Father Donald knew that a winding-up is near. Father Donald would be left without anything in that event because the assets of Crumbling Co were not sufficient to repay the creditors. Accordingly, Father Donald told Sunny to transfer all remaining cash of the company to a BVI entity under some fictitious invoices. The BVI entity was wholly owned by Father Donald. Sunny thought this was a good idea and acted accordingly. This was later found out by the liquidators.

Victor did not participate in any of the aforementioned transactions. However, Victor knew about both Tom's investment and Sunny's transactions. This was because Victor was in charge of the accounting of Crumbling Co. Victor knew the investment was a bad idea and what Sunny was doing was wrong. However, Victor did not do anything because he was the youngest in the family and he knew no one would listen to him.

Crumbling Co is now wound up. The liquidators wanted to commence proceedings in relation to the above transactions.

Analyse whether Tom, Sunny, Father Donald and Victor have breached duties of directors.

QUESTION 4

Anita and Betty are the only shareholders of Green Company Limited ('GCL'), which is a company selling organic farm products. Anita and Betty hold 70% and 30% shares of GCL, respectively. In fact, GCL was operated by their husbands, Marcus (husband of Anita) and Charlie (husband of Betty), who were the only directors appointed. A few things happened.

Charlie and Marcus could not decide on whether to invest in a start-up company called Aqua Company Limited ('ACL') supplying water-farmed lettuce. Marcus wondered if he could ask Anita to use the statutory derivative action procedures to compel GCL to make the investment.

At Marcus' request, Betty has secretly and personally advanced a sum of money to Marcus. However, Marcus has now failed to repay. Betty wonders if she can use the statutory derivative action procedures to remove Marcus as a director as a revenge.

As it transpired, Marcus has been outsourcing a majority of GCL's supply contracts to companies owned by himself at a price above the market rate. After discovering this, Betty and Charlie are furious. They wanted to take action against Marcus. However, Anita, being the majority shareholder of GCL, will inevitably vote down any proposal to remove Marcus or to commence action against Marcus on behalf of GCL.

Advise Betty as to the issue of ACL, the removal of Marcus and the outsourcing by Marcus.

ANSWERS TO EXAM PRACTICE

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622).

QUESTION 1

- (a) The issue is whether the corporate veil between Advanced Ltd and Puppet Ltd can be pierced or lifted. The corporate veil can be pierced or lifted where a company has been used as a sham, or to perpetrate a fraud or to evade a contractual obligation.

Based on the facts, it is likely that the court will find that Puppet Ltd assigned the Land to Advanced Ltd in an attempt to avoid its contractual obligation under the sale and purchase agreement to assign the Land to Victim Ltd. The commercial reason for Puppet Ltd to do so was because (1) the original incentive to sell the Land was gone and (2) the Land had doubled in value.

Further, Advanced Ltd and Puppet Ltd shared the same directors. The assignment to Advanced Ltd was also for no consideration. The assignment appears to be a sham rather than an arms-length transaction. The facts of this case are comparable to that of *Jones v Lipman* (1962) 1 WLR 832, where the defendant companies performed a similar transaction in order to avoid the obligation to transfer the land to the plaintiff in that case. In *Jones v Lipman*, the corporate veil was pierced and the plaintiff obtained specific performance of the contract for the transfer of the land. Thus, similarly in the present case, Victim Ltd may claim against Advanced Ltd for specific performance and the return of the Land. The corporate veil of Puppet Ltd should be pierced.

- (b) Advanced Ltd can claim against Benny and Charlie for breach of the fiduciary duties they owe as directors.

Under the no-conflict rule, directors have a duty not to place themselves in a position where there would be a conflict between their personal interest and that of the company. There would be a breach if there was real conflict or a real sensible possibility/substantial possibility of conflict.

Although Benny was not a director of Traitor Ltd, he was a shareholder of Traitor Ltd. Thus, Benny had an interest in the success of Traitor Ltd's business. This was in conflict with the interest of Advanced Ltd. This is similar to the *Transvaal Lands Co v New Belgium (Transvaal) Land Development Co* (1914) 2 Ch 488 case where the company entered into a sales and purchase transaction with a company owned by a director (who also acted as a director in the latter company). In that case, the plaintiff company's claim succeeded and the transaction was set aside because the director failed to disclose his interest. Similarly, in the present case, Advanced Ltd may claim against Benny for breach of fiduciary duties.

Advanced Ltd also can claim against Charlie for breach of the no-conflict rules. It is immaterial that Advanced Ltd could not have taken up the extra orders itself (for reasons of lack of capacity or resources). Directors are prohibited from taking secret profits or diverting corporate opportunities available to the company. Liability would arise even if the company could not have taken up the opportunity itself (*Regal (Hastings) Ltd v Gulliver* (1967) 2 AC 134 (HL)). In that case, the directors were held liable even though the opportunity to make the profit would not have been available to the company.

QUESTION 2

Kate's remedies

The issue is the indoor management rule. Kate is a third party dealing with Monarch Co. The indoor management rule at common law provides that Kate may assume that the acts were within Monarch Co's constitution and the power had been properly exercised (*Royal British Bank v Turquand* (1856)). However, at common law, the rule does not apply to someone with actual notice (*Wong Kam San v Yeung Wing Keung* (2007)). Kate here had actual notice that William was acting beyond his power because she knew the articles of Monarch Co provided that William could not borrow beyond HK\$100,000 on behalf of the



company. Therefore, the common law rule does not assist Kate here. Nevertheless, Kate may take advantage of the statute. S.177 codified the rule. S.177 provides that any person dealing with a company in good faith is to be regarded as free of any limitation under any relevant document of the company. However, unlike the common law rule, s.177 expressly provides protection to persons who had notice of the irregularity. S.177(2)(c) states that a person is not to be regarded as acting in bad faith by reason only of notice. Thus, Kate would not be prevented from relying on s.177 because of her notice. Besides, Kate's position is further strengthened by the fact that she was told by William that the other directors, i.e. Henry and Megan, seemed to have approved the loan. It cannot be said that Kate was acting in bad faith.

Megan's remedies

Megan is in the position of a minority shareholder. However, this is not the case that there is a wrong done to the company but the directors refused to take action. Thus, derivative action is not appropriate. Megan should explore the possibility of relying on the unfair prejudice provisions as set out at s.724. It is provided that a member of a company may apply to court for relief if the company's affairs are conducted in a manner unfairly prejudicial to the interest of some or all of the members. In this case, Megan was effectively excluded from the management of the company. There is no breach of duties or irregularity. William and Henry were merely exercising their voting rights as the members of the company. Megan was out-voted. However, Monarch Co was a family company. When the siblings took over, there was clearly an understanding that three of them would manage the company together, in accordance with the wish of their late father. In these circumstances, Megan may apply for unfair prejudice reliefs. The court has the power to give a variety of reliefs. It may order that William and Henry buy out Megan's shares or vice versa. Alternatively, the court may also order that Megan be reinstated as a director. However, this may seem to be pointless given that William and Henry can still out-vote Megan in board meetings. A buy-out order is the most realistic solution.

QUESTION 3

Tom

Tom was likely to be in breach of his fiduciary duty of care when making investments. As a director, Tom must act with a duty of care when making investments for the company. He needed to take reasonable care when making the investment. He needed not exhibit any more care than expected from a person of his knowledge and experience. He is not liable for mere errors of judgment (*Re City Equitable Fire Insurance Co Ltd* (1925)). Further, s.465(2) provides that the director must exercise such care, skill and diligence that would be exercised by a reasonably diligent person with (1) the general knowledge, skill and experience that may reasonably be expected of a person carrying out the functions carried out by the director in relation to that company and (2) the general knowledge, skill and experience that particular director has. In the present case, it did not seem that Tom had measured up to the standard. Unlike the previous investment he made, Tom did not obtain any professional advice. Tom failed to consult any other directors. It also sounded like a rush decision. It is not known what Tom's background is. If Tom's experience was such that he was a professional investor capable of making such a decision, Tom might argue that it was reasonable for him to make such a decision. The issue would then be the amount of research and professional preparation he put into making that decision. Based on the current evidence, Tom seems to have failed to act with reasonable care when making the investment in crypto currency.

Sunny

Sunny was definitely in breach of his directors' duties in fabricating invoices and misappropriating the company's assets (even though he might not have benefited from it directly).

Father Donald

The question is whether Father Donald owed any duties and was in breach of the same. Father Donald was not an appointed director. There was also no evidence that he held himself out as a director to any third parties. Thus, it did not seem that Father Donald was a director in law or in fact.

However, Father Donald seemed to be a shadow director. A shadow director is a person in accordance with whose directions or instructions the appointed directors are accustomed to act. It seems that Father Donald is clearly a shadow director in that the directors, who were his children, all followed his orders. In fact, Sunny also followed Father Donald's directions here. However, shadow directors do not owe the same fiduciary duties as directors in law/ in fact. The reason is that a shadow director does not assume any obligation of loyalty to the company and that the company does not look to him/her to protect its interest. It is against the directors in law or in fact, who acted in accordance with the shadow directors' instruction when they should not, that the company had a cause of action against. Thus, shadow directors do not owe general fiduciary duties to the company just by being identified as a shadow director. This was applied in the *Vivendi SA v Richards* (2013) case, where the defendant was found to be a shadow director. The court held that a shadow director would typically owe fiduciary duties in relation at least to the directions or instructions he/she gave to the directors in law. Thus, a shadow director would be expected to act in the company's interests rather than his/her own separate interests when giving directions and instructions. The shadow director in that case was held to owe a duty to the company accordingly.

In the present case, Father Donald also seems to owe the same duty insofar as Father Donald instructed Sunny to make the fictitious arrangement. Father Donald placed his own interest above that of the company. Thus, Father Donald will also be liable.

Victor

Victor may also be in breach of his fiduciary obligations. A director is under a duty to supervise other directors' actions to a reasonable extent (*Dorchester Finance Co Ltd v Stebbing* (1989)). In the present case, Victor knew of the wrongful breaches of Tom and Sunny yet Victor chose to remain silent. It was not a case where Victor believed those actions were justified. In fact, Victor knew Tom and Sunny to be wrong. In the circumstances, Victor ought to have voiced his objection or attempted to stop those actions. Thus, Victor was likely to be in breach of his fiduciary duties.

QUESTION 4

As to the issue of Aqua Company Limited ('ACL'), the statutory derivative action procedure is inappropriate. A statutory derivative action may only be brought for the following purposes: (1) suing for misconduct committed against the company (s.732(1)); (2) suing for any matter where the company has failed to bring proceedings in respect of the same because of misconduct committed against the company (s.732(2)); and (3) intervening in proceedings where the company has failed to diligently continue, discontinue or defend proceedings because of misconduct committed against the company (s.732(3)). Therefore, the statutory derivative action procedure cannot be used for the purpose of deciding such day-to-day corporate management decisions.



As to Betty's wish to remove Marcus due to the unpaid debt, the statutory derivative action procedure is again inappropriate and cannot be used. The procedures are intended to pursue misconduct committed against the company. Whilst the failure of Marcus to repay the debt may give rise to a cause of action to Betty personally, it has nothing to do with Green Company Limited ('GCL') itself. There is also no evidence based on the debt alone that Marcus has committed any misconduct against GCL. In the premises, Betty cannot use the statutory derivative procedure to remove Marcus as a director.

As to the Marcus' outsourcing to his own company, this is a misconduct. It is against the self-dealing rule. Marcus was in breach of his fiduciary duties as a director. Betty may consider bringing a statutory derivative action against Marcus as the case falls within the purposes for which such an action can be brought. Betty will need to obtain leave from the court to commence an action against Marcus for an account of the profits he made as a result of the self-dealing. In order to persuade the court to grant leave, Betty will need to show that:

- (1) It is in the interest of GCL to commence action against Marcus. This is a low threshold. Betty needs only to show that the application 'appears' to be in the interest of GCL. The court will take into account such factors as the character of the company, the effect of the proposed litigation on the business of the company and the ability of the defendant to meet the judgment. Therefore, Betty may potentially face an argument from Anita that it would be a waste of time and costs for GCL to commence action against Marcus.
- (2) There is a serious question to be tried. It means that there is a probability that GCL will succeed in its claim against Marcus. In the present case, it is likely that Betty will be able to satisfy this threshold as it is prima facie a breach of the rule against self-dealing as part of the fiduciary duties owed by Marcus as a director to GCL.
- (3) No proceedings have been brought by GCL. This should be self-evident.
- (4) Betty will also need to serve a notice on GCL as to her intention to apply for leave for statutory derivative action to be brought on behalf of GCL.

It is noted that as the statutory derivative action procedure is a relief for members of the company, only Betty is qualified to apply. Charlie, being only a director of GCL, cannot make use of the procedure.

11

Company Capital and Financing Companies



CHAPTER TOPIC LIST

11.1 Debt and Equity Financing

- 11.1.1 Financing Companies – Debt Financing versus Equity Financing
- 11.1.2 Choosing Between Debt Financing and Equity Financing
- 11.1.3 Types of Debt
- 11.1.4 Types of Equity

11.2 Debentures and Charges

- 11.2.1 Types of Debentures
- 11.2.2 Issue of Debentures
- 11.2.3 Transfer of Debentures
- 11.2.4 Types of Security
- 11.2.5 Fixed and Floating Charges
- 11.2.6 Registration of Charges
- 11.2.7 Priority Between Competing Charges
- 11.2.8 Unsecured Creditors and Their Remedies

11.3 Share Capital

- 11.3.1 Abolition of Authorised Capital
- 11.3.2 Types of Share Capital
- 11.3.3 Class Rights
- 11.3.4 Issue of Shares
- 11.3.5 Procedure for Issue
- 11.3.6 Transfer of Shares
- 11.3.7 Register of Members and Share Certificates
- 11.3.8 The Doctrine of Capital Maintenance
- 11.3.9 Altering the Share Capital – Increase, Reductions and Consolidation
- 11.3.10 Redemption of Shares and Share Buy-backs
- 11.3.11 Financial Assistance for Acquisition of Shares
- 11.3.12 Dividends and Distributions



LEARNING OUTCOMES

PRINCIPAL LO1: ANALYSE AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN THE DIFFERENT FORMS OF LEGAL ENTITIES

Formation of companies

LO1.02: Explain and apply the process of forming an incorporated body

1.02.07 Apply the requirements for the registration of:

- Shares
- Charges
- Directors (*)
- Directors' shareholdings (#)

Capital and financing of companies

LO1.03: Analyse the legal implications of issuing share capital and loan capital

1.03.01 Compare and contrast the different classes of share capital

1.03.02 Analyse the legal meaning of loan capital and debentures

1.03.03 Compare and contrast share capital from loan capital and the different rights held by shareholders and debenture holders

1.03.04 Describe and analyse the legal implications of raising share capital including:

- Issue of shares with or without prospectus (#)
- Principle of maintenance of capital
- Buy-back and redemption of shares
- The application of the Codes on Takeovers and Mergers and Share Buy-backs (#)
- Dividends including scrip dividend
- Changes to capital

1.03.05 Describe and analyse the legal implications of raising loan capital including:

- Borrowing powers
- Types of debentures and their creation
- Company charges
- Registration of charges
- Remedies of secured creditors and unsecured creditors

1.03.06 Compare and contrast the differences between fixed and floating charges and the priority in the event of receivership and winding-up

For the topic(s) marked with (*), please refer to discussions in Chapter 9.

For the topic(s) marked with (#), please refer to discussions in Chapter 12.



OPENING CASE

IT IS ALL ABOUT MONEY

Impressive Technologies Ltd's business is booming! Andrew and Bruce wish to take this opportunity to expand the business. This would incur such further costs as rental, staff and promotion. However, the company does not have sufficient cash reserves to do so. Andrew and Bruce wish to borrow money. They wonder how they can maximise the amount they can borrow. They understand they could potentially borrow more money if they offer securities such as mortgaging any premises they own. They also wish to maximise their borrowing power now by offering a charge on the company assets. They wish to find out further how to do so.

On the other hand, Denise wonders if there are other ways of raising funds without borrowing. She is not opposed to the idea of welcoming more shareholders into the business. However, she does not want a new shareholder to take over the company immediately. She wonders if she can restrict the rights of the incoming shareholders. She wonders what are the different kinds of shares she could issue to the investors. She understands this to be equity financing. 



OPENING CASE

This chapter focuses on an important aspect of business, corporate finance. The basic form of corporate financing is borrowing, i.e. debt financing. The most important aspects of corporate debt financing, namely, debentures and security, will be discussed. Additionally, a company may take advantage of its corporate form and raise funds by equity financing. This involves the issuing of shares. Such shares may have different rights attached to them. The rules in relation to share issue and transfer will also be discussed.

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622) ('CO').



11.1 DEBT AND EQUITY FINANCING

On a general level, there are two main ways for a company to obtain corporate finance: (1) borrowing (debt financing) and (2) issuing more shares (equity financing).

11.1.1 Financing Companies – Debt Financing versus Equity Financing

Debt financing is essentially borrowing. For example, debt financing includes borrowings or overdraft from banks or even from the members themselves. It also includes trade credit granted in the course of business. For example, a supplier of goods may deliver the goods first and allow the purchaser to make payment on a later date. This essentially allows the purchaser to borrow the amount equal to the purchase price until the payment date. Common jargon used in debt financing will be discussed in Section 11.1.3.

Equity financing means the increase of share capital of the company (and hence an increase of funds available to the company). Investors pay money into the company in exchange for shares. Equity financing can be broadly separated into public and private equity. Public equity refers to investing in shares of a public company usually tradable publicly on a listed stock exchange. A typical example of public equity financing is initial public offering ('IPO'). IPO is the process whereby the company offers its shares for the public to subscribe to for the first time. Further, the Main Board Listing Rules ('LR') provide rules governing different aspects of publicly traded equity securities. For example:

1. Chapter 7 of the LR provides the basic framework for the listing of equity securities on the exchange; and
2. Chapter 16 of the LR provides for the rules governing convertible equity securities, i.e. equity securities that are convertible into new securities or outstanding securities of a public company.

See Chapter 12 Listed Companies and the Regulation of Financial Markets for further details on the IPO and the Listing Rules generally.

Private equity includes investment in the shares of private companies. Equities can broadly be categorised by the types of equity (shares) issued: (1) ordinary shares; (2) preference shares; (3) redeemable shares; and (4) bearer shares. These shall be discussed in Section 11.1.4. It is noted in particular that the term 'equity' in this context is different from its meaning in accounting, e.g. share capital and retained profit.

11.1.2 Choosing Between Debt Financing and Equity Financing

The choice is a commercial one. A detailed discussion of the business advantages and disadvantages of one form of corporate financing over another would be beyond the scope of this chapter. However, it is important to note the legal mechanism underlying each form.

From a legal perspective, the main differences between debt and equity financing can be briefly stated as follows:

1. **Repayment obligation:** In debt financing, there is more certainty in the defining of the repayment obligation. The amount repayable is usually a fixed amount arrived at by a formula (e.g. principal + interest). Repayment may also be made periodically depending on the terms of the contract. The company's obligation to repay does not depend on the business performance of the company at all.

On the other hand, equity financing does not provide a fixed repayment period or amount. The investor's investments simply turn into shares. The capital in the shares is locked up and the return of capital will not be made except upon special circumstances like liquidation, permitted reduction of capital or share re-purchase. The return of the investment (i.e. dividends) depends entirely on the success of the business (which affects the value of the shares). There is also no general way to liquidate the shares, i.e. there is no guarantee that the shares could be sold and at what price (subject to any shareholders' agreement providing for compulsory buy-out). In this sense, share capital is also known as risk capital. The return depends on the success of the business.

However, it is important to note that the above discussion should be limited to defining the repayment obligation in the legal sense only. A distinction needs to be drawn between the obligation and the actual ability of the company to repay (i.e. the promise and the ability to fulfil that promise). The latter is a commercial matter.

2. **Control:** Generally, equity financing offers more control over the company's business. The investors become members of the company. Thus, they are entitled to exercise rights as shareholders. In this way, the investors may exercise a degree of control over the success of the business and therefore the success of their investments. For example, some subscription agreements may allow the investor to nominate a director to the board as its nominee. On the other hand, debt financing does not generally provide the same level of control. The investors remain outsiders. They cannot influence the company's ability to repay. The loan documents may, however, provide for a limited degree of control, e.g. to appoint a nominee director on behalf of the lender (See Section 9.3.1) or to appoint a receiver or manager over any security underlying the loan (See Section 13.3).
3. **Costs:** This is also a concern for the borrower. Generally speaking, debt financing usually involves lower costs than equity financing.

4. **Gearing ratio:** The gearing ratio reflects the relationship between a company's indebtedness and its equity capital. Generally, the gearing ratio can be calculated by dividing the total debt of a company by its total equity, i.e. total debt/total equity. This ratio indicates the company's credit worthiness. In debt financing, lenders usually determine the borrowing capacity of the company by reference to the gearing ratio.

Illustrative Example 1

In the opening case, the shareholders of Impressive Technologies Ltd ('ITL') (i.e. Andrew, Bruce, Chris and Denise) wished to raise funds to further expand their business. They required roughly HK\$1,000,000. Y Bank was willing to offer them an unsecured loan of HK\$500,000. Andrew's uncle John was interested in investing. John offered the shareholders a HK\$5,000,000 investment, in exchange for 49% shares in ITL. John was a very successful businessman and had big plans for ITL. The shareholders discussed it among themselves. All four of them were against the HK\$5,000,000 investment from John as they believed that John was trying to eventually take over ITL. Bruce, Chris and Denise were particularly skeptical about the offer. They believed it would be risky to give so many shares to an outsider. Although John's 49% shareholdings could still be outvoted if the existing shareholders acted collectively, Bruce, Chris and Denise worried that Andrew would side with John and take over ITL. Andrew denied that he would do such a thing. However, there was no way the other shareholders could trust him.

On the other hand, the offer by Y Bank was not attractive. Compared to the investment by John, the loan from Y Bank bears interest. The repayment schedule was also tight. The amount must be repaid within one year. The shareholders were concerned that if ITL defaulted on the loan, Y Bank would immediately call up the remainder of the loan and cause a liquidity problem for ITL. The principal amount also falls below the required amount.

In the end, the existing shareholders decided to counter-propose to John for a HK\$2,000,000 investment for 25% of shares in the company (leaving all existing shareholders with around 18.7% each). John accepted the deal. It transpired that John had secretly convinced Andrew to sell John his shares, thus giving John a 43.7% shareholding in ITL. Thus, John would be in a good position to take over ITL in future. It is noted that, technically, the transfer of shares from Andrew to John would still be subject to shareholders' approval. However, there does not seem to be any restrictions in the articles and shareholders' agreements restricting the transfer. Therefore, the approval would likely need to be given.

11.1.3 Types of Debt

A company's capacity to borrow can be limited by its constitution, i.e. the articles of association. However, if a company contracts beyond its borrowing capacity, the loan would nevertheless be valid (ss.116 to 117).

There are three terms commonly used in debt financing: (1) loans, (2) debentures and (3) bonds.

11.1.3.1 Loans – Secured versus Unsecured

A loan is the most basic form of debt financing. It is typically created by a simple loan agreement or a facility letter. In legal terms, a loan is a contract whereby one person lends or agrees to lend a sum of money to another, in consideration of a promise express or implied

to repay that sum on demand or at a fixed date in the future. Thus, this includes debentures and bonds. However, debentures and bonds will be discussed separately later as the law has developed particular rules applicable to these loan instruments.

A loan may be secured or unsecured. A secured loan means a loan by which the debtor's repayment obligation is secured by certain assets of the debtor. For example, a mortgage is a security whereby if the debtor defaults in the repayment of the mortgage loan, the creditor may enforce the security to sell the mortgaged property and retain the proceeds as repayment of the loan (but any surplus would be returned to the borrower). In this way, the lender's investment is secured by the underlying property even if the debtor fails to fulfil the promise to repay. This is only a general description as there are detailed rules and mechanics in relation to the granting of a mortgage (See Section 11.2.4.1).

Security is an important aspect of a loan transaction. The importance can be seen in the situation where a debtor's asset is insufficient to satisfy all its creditors. An unsecured creditor runs the risk that its lending might not be fully repaid (thus suffering a loss). In the event of default, while a secured creditor may enforce its interest on any secured property directly, an unsecured creditor cannot. The unsecured creditor can only apply for the debtor company to be wound up (or in the case of an individual, to be declared bankrupt). In such a case, the unsecured creditor is essentially asking the court to kill the company by selling all its assets and applying the proceeds to repay all of its debts. This includes not only the debt to the particular creditor but to all other creditors of the company.

Where the assets of the debtor company are insufficient for repayment of all its debts, the general rule is that the proceeds of the assets shall be divided equally (*pari passu*) among the creditors. The portion that the unsecured creditor ultimately obtains might be less than the amount it actually lent to the debtor.

11.1.3.2 Debentures

At common law, a **debenture** is not a precise term of art. On a general level, it refers to a document issued by a company that constitutes evidence of a loan. The CO defines debentures as including bonds and any other debt securities of the company, whether or not constituting a charge on the assets of the company (s.307).

Debentures issued by a company are required to be registered under the CO (s.308). The register needs to be open to inspection to members and debenture holders (i.e. creditors of the loan) free of charge for at least two hours a day during business hours (ss.310(1) and (2)). The register is also required to be open to inspection to any other person for a prescribed fee (s.310(3)). The system of the registration of debentures will be discussed further in Section 11.2.

There are different types of debentures including (1) redeemable and irredeemable debentures, (2) convertible debentures, (3) debentures stock and (4) bearer debentures (See Section 11.2.1).

11.1.3.3 Bonds

The term **bond** is not a legal term of art. Generally, it can be understood to be referring to a debt owed by the issuer of a bond to the holder of a bond. Thus, as seen above, a bond is also a form of debenture. Generally speaking, a bond refers to a type of debenture or loan that is tradable. The original investor (i.e. the bond holder) can sell the bond to another person. In the most basic form of a bearer bond, the debtor company (i.e. the bond issuer) shall be obliged to pay whoever is holding the bond when either the principal or interest is payable from time

to time. Examples of bonds include bonds issued by governments and eurobonds. The annual interest payment of a bond is known as 'a coupon'. The advantage of a bond is that it allows the original investor to exit at will. If the investors wish to terminate the investment, it may simply sell off the bond, thus pocketing the sale price. The legal aspects of the trading of bonds are highly technical and have evolved to involve a complicated system of clearing houses and trading firms. Discussion of these is beyond the scope of this book.

Similar to convertible debentures, convertible bonds are issued by companies to satisfy their raising capital needs. Convertible bond holders can have the option of exchanging it for a predetermined number of shares of the issuing company. An advantage of convertible bonds is the potential reduction in cash liabilities by the company. If the holder converts the bond into equity, then the debt liability immediately disappears. The downside is of course a dilution of the existing shareholders' equity. The coupon rate of a convertible bond is usually lower than that of conventional bonds. Convertible bonds are popular options for investment in start-up companies, as the value of the shares in these companies may grow exponentially if the start-up proves to be successful.

11.1.4 Types of Equity

It will be recalled from Chapter 8 that a person becomes a member of a company by acquiring a share in the company and thus becoming registered in the company's register of members. A person may either acquire a share by an **allotment of shares** from the company or by a transfer from an existing shareholder. It is noted that a distinction needs to be drawn between shareholders and members. A member does not necessarily mean a shareholder. For example, a company limited by guarantee does not have any shares and thus there are no shareholders. The provisions in the CO refer mainly to members instead of shareholders.

A company's shares may be divided into different classes. An important proviso is that this must be permitted by the company's articles and not prohibited by the CO. Different classes of shares may have different rights or obligations attached, e.g. voting rights. Having different classes of shares can accommodate potential investors with different needs. There are generally the following classes of shares discussed below.

11.1.4.1 Ordinary Shares

Ordinary shares refer to those shares with no special rights. The holder of these shares can be said to be the residual bearer of risk in a company. In the event of a winding-up, holders of ordinary shares are the last group of persons to receive a return on their investments.

11.1.4.2 Preference Shares

There are different kinds of preference shares. The preference can be made differently in each case. The special rights and restrictions attached to preference shares would usually be provided in the articles of the company or terms of issue. The following are a few examples of special rights or restrictions that may be attached to preference shares:

1. Right to receive dividends before ordinary shareholders.
2. Right to a fixed amount of dividends annually if the company has profits available for distribution in that year.
3. Priority over ordinary shareholders in the return of share capital in the winding-up of the company.

4. Limited voting rights, e.g. they may only vote at general meetings on matters relating to dividends or change of share capital.
5. Cumulative preference shares allow the holders to have a cumulative right to dividends. This means that, where the profits for a particular year are insufficient to pay the dividends to which preference holders are entitled in full, the deficiencies are to be made good out of profits in the subsequent years.
6. Participating preference shares allow the holders to have the right to participate in surplus profit or surplus to capital. Thus, in addition to a fixed dividend already conferred on to the preference shares, participating preference shareholders may have a further right to dividends after distribution of a fixed amount to ordinary shareholders, i.e. the surplus.
7. Convertible preference shares allow the holders to convert the shares into ordinary shares. The conditions of the conversion depend on the terms in each case. Commonly, the conversion rate is such that the ordinary shares thereby issued are effectively at a discount to the market price (or the net asset value in the case of a private company) of ordinary shares.

Although preferential shares are a form of equity financing, they display features of debt financing. For example, the provision for fixed dividends being distributed to holders and the priority of return of investment upon winding-up provide a level of certainty of return comparable to a loan.

In the context of public companies, it is also worth mentioning that the Main Board Listing Rules provides for the rules governing weighted voting rights. Generally, companies subscribe to the 'one-share, one-vote' principle. However, should the company so choose, it may issue different classes of shares, with some carrying more voting rights than others. This was introduced on 30 April 2018, notably following Alibaba's earlier lobbying attempt for the Hong Kong Exchanges and Clearing Limited to adopt such rules.

11.1.4.3 Redeemable Shares

Redeemable shares refer to those shares that allow either the company or the holders to redeem the shares in future. This means that the company may pay back the value of the shares to the shareholders and cancel the shares at its election or upon request by the shareholders. Normally, a company is restricted from doing so, i.e. purchasing shares from shareholders. This is known as the doctrine of maintenance of capital (See Section 11.3). However, s.234 now expressly allows companies to issue redeemable shares, provided that the company's articles do not prohibit the same.

Thus, a company may redeem any redeemable shares issued. A company limited by shares may issue redeemable shares (s.234(1)). However, a company may not do so if the only shares issued by the company were redeemable shares (s.234(3)). The articles of a company may prohibit or restrict the issue of redeemable shares (s.234(2)). The terms of the redeemable shares may be determined by the directors if they are authorised to do so by the company's articles or by resolution (s.235(1)). A company may redeem or buy back its own shares: (1) out of the distributable profits; (2) out of the proceeds of a fresh issue of shares made for that purpose; or (3) out of capital in accordance with Sub-division 6 of Division 4 of Part 5. Upon redemption, the shares are treated as cancelled (s.269(1)). However, a company must not

redeem or buy back its own shares unless they are fully paid (s.268). In other words, unpaid or partly paid shares are not redeemable.

11.1.4.4 Bearer Shares

Bearer shares refer to those shares that are not registered in the company's register of members. One advantage of bearer shares is their transferability. The holder of these shares would receive a share warrant from the company stating that the bearer of the warrant is entitled to a specified number of shares. Although historically bearer shares are allowed, this is no longer the case. S.139 effectively prohibits the issuing of bearer shares by prohibiting the issuing of a share warrant. The prohibition is partly due to the fact that bearer shares may be abused for money-laundering purposes (for the lack of transparency in its ownership and transfers).

Apply and Analyse 1

Apply

Helen was planning to invest into a start-up Troy Co. As a seasoned investor, Helen knew that 90% of the start-up failed within the first few years. On the other hand, if the start-up was successful and was bought by established companies, Helen's investment would have a huge return. Helen wished to be able to reap that reward but at the same time be able to protect her investment should Troy Co fail or go into liquidation.

Thus, Helen negotiated a deal with Troy Co, whereby she would invest HK\$30 million into Troy Co. In return, she would obtain an amount of preference shares that (1) could be converted into around 30% of total ordinary shares at Helen's election, (2) had priority in winding-up over ordinary shareholders and (3) had cumulative right to dividends. Analyse the advantage of this arrangement available to Helen.

Analysis

Helen believed that this deal would enable her to reap the most benefits whilst being protected in different circumstances. In the event that Troy Co was a huge success, it would be bought off by established players in the market. If Troy Co can be sold for HK\$150 million, Helen would be able to convert her preferential shares into 30% of total ordinary shares and sell them for HK\$45 million (30% of HK\$150 million). This would allow Helen a 50% return on her investment. On the other hand, if the company was only sold for a modest price, say HK\$80 million, Helen would be able to recover her invested value of HK\$30 million as the value of her preference shares. In the worst case that Troy Co failed and had to be wound up, Helen would be able to recover her investment before ordinary shareholders (but after payment to all creditors), whilst pocketing any dividends paid.

► Knowledge Check Questions

Question 1

Explain the difference between debt financing and equity financing.

Question 2

Describe the different types of equity.



11.2 DEBENTURES AND CHARGES

As explained above, a company can raise funds via the issue of debentures. Under the CO, the definition of debenture is broad and covers a majority of debt securities. If a document is considered to be a debenture, the rules under the CO concerning its registration shall become applicable. Before turning to the rules concerning registration, the common types of debentures that may be created shall first be discussed.

It is noteworthy that the CO imposes separate obligations on the company to register debentures and charges with (1) the Companies Registry and (2) the register kept by the company itself.

11.2.1 Types of Debentures

Debentures can be categorised based on the terms of the debentures and their legal effects.

11.2.1.1 Redeemable and Irredeemable Debentures

A debenture can be categorised as redeemable if it can be transferred back to or redeemed by the company. This is to say on a fixed date or based on some other conditions the company may repay the principal to the lender (debenture holder) and thus extinguish the debt. A company has the power to reissue redeemed debentures, either by reissuing the same debentures or by issuing new debentures in replacement (s.328). A company also has the power to issue irredeemable debentures, i.e. a debenture where there is no date specified for the repayment of the principal (but meanwhile interest may continue to accrue and be payable periodically) (s.327).

11.2.1.2 Convertible Debentures

A debenture can be considered a convertible one if it can be redeemed by an issue of shares by the issuer company to the debenture holder. Such a conversion can be automatic or dependent upon the choice of the debenture holder, depending on the terms of the particular debenture. Notably, s.140(1)(b) provides that a director may not grant rights to convert any security into shares without first obtaining the approval of the members. Thus, members' approval is required upon the issuing of convertible debentures.

11.2.1.3 Debenture Stock

A **debenture stock** is a debenture out of which various certificates can be issued for different values and to different investors. Normally, a debenture cannot be transferred for any amount other than its face value, e.g. a HK\$50,000 debenture cannot be transferred as two HK\$25,000 debentures to different persons. However, a debenture stock would allow the company to issue certificates to different subscribers. Each subscriber would be a creditor for an amount that is only a portion of the total value of the debenture stock. The holder of the stock can transfer or assign any amount only representing a fraction of the total value of the stock. All holders of the debenture stock would rank equally with each other in terms of repayment.

11.2.1.4 Bearer Debentures

A **bearer debenture** is a debenture that can be transferred by the mere delivery of the debenture instrument (document).

11.2.2 Issue of Debentures

Single debentures are usually concluded between the company and the lender in the normal course of business. The lenders are often the banks. The debenture instrument will be drafted and (depending on the debenture created) be registered in accordance with the CO provisions.

In general, a private company is prohibited from inviting the public to subscribe for debentures (or for shares) issued by the company (s.11(1)). Stock debenture is often employed by a non-private company which is issuing a debenture for subscription of the public.

11.2.2.1 Registration with the Companies Registry

S.316 provides that a company shall register with the Companies Registry an allotment of debentures or debenture stock within one month after the allotment. This provision does not cover the issue of a single debenture, e.g. an ordinary bank loan. However, this provision does cover allotments of debentures in a series and debenture stock.

11.2.2.2 Company's Register of Debentures

A company is required to keep a register of the debenture holders where it issued a series of debentures or stock debentures, except where the debentures were bearer debentures. The register shall contain the following information (s.308(2)):

1. The name, address and occupation or description of the holder and a statement of the amount of debentures held by each holder;
2. The date of entry on the register; and
3. The date on which any person ceases to be a holder.

However, it is important to note that this obligation does not cover the issue of a single debenture. Thus, where a company enters into an unsecured loan agreement with a bank, this does not have to be registered.

The register shall be made available for at least two hours a day during business hours to holders and members without charge, and to any other person on payment of a prescribed fee (s.310).

11.2.3 Transfer of Debentures

For those debentures registrable (i.e. those mentioned at Section 11.2.2.1 as required to be registered), there are some rules covering their transfer.

11.2.3.1 Instrument of Transfer

Every transfer must be effected by an instrument of transfer. A transfer of a debenture cannot be registered unless there is a proper instrument of transfer delivered to the company (s.320). The requirement is similar to that of the transfer of shares. However, there is no stamp duty payable on the transfer of debentures or debenture stocks.



However, an instrument is not necessary if the debenture holder dies, goes bankrupt or the right is transmitted by operation of the law (s.320(2)).

11.2.3.2 Registration of Transfer

A transfer of debentures or debenture stock needs to be registered within two months after the instrument of transfer is lodged with the company (s.321).

11.2.4 Types of Security

A company may grant security in various forms. The most usual forms of security are mortgages and charges. As explained above, the advantage of having a debt secured is that the lender may then have direct recourse against the secured property if the company is unable to repay the loan.

11.2.4.1 Mortgages

A mortgage is usually granted by a debtor in favour of a lender. Since the mortgage in this case would be granted by the debtor in favour of the lender, the debtor would also be known as 'the mortgagor' and the lender as 'the mortgagee' in that situation. A legal mortgage is created by a transfer of legal title in the property from the mortgagor to the mortgagee. The mortgagor retains a right to demand that the property be transferred back upon discharge of the liabilities secured by the mortgage, i.e. redemption of the mortgage. This right of the mortgagor to redeem the property is called 'the equity of redemption'. If there is only a binding agreement to grant a legal mortgage but no actual transfer of the mortgage, the mortgage thus created would take effect in equity only, and is thus known as 'an equitable mortgage'. The common properties subject to the mortgage are real properties (land) and shares.

A mortgagor can also be a third party. In such a case, the third party (who owns the asset) basically provides his/her own asset as security to a debt owed by the debtor to the lender.

If the mortgagor (i.e. the borrower) defaults on the underlying loan, the mortgagee (i.e. the lender) has the following rights:

1. To take possession of and sell the mortgaged property. The mortgagee may then use the proceeds to discharge the mortgagor's liabilities. This power to sell exists in common law and in statute, even if not expressly provided under the mortgage agreement (s.51 and Schedule 4 of the Conveyancing and Property Ordinance (Cap.219) ('CPO'), which is only applicable to land).
2. To have the mortgaged property vest absolutely, i.e. to take the mortgaged property as its own. Foreclosure would extinguish both the equity of redemption and the outstanding liabilities of the debtor. The precise circumstances where the mortgagee may invoke the right to foreclose depends on the terms of the mortgage.

It is also possible for shares to be mortgaged. Typically, even after mortgage, the mortgagor (i.e. the borrower) would still be allowed to exercise the voting rights of the shares. This is, however, subject to the drafting of the agreement. For example, it may provide that the lender shall have the voting right by proxy. In any event, it is typical that, once the borrower defaults on the loan, the lender will be entitled to treat the shares as his/her own and exercise voting rights thereon.

11.2.4.2 Charges

A **charge** gives the chargee (i.e. the 'lender') an equitable proprietary interest in the assets of the chargor (i.e. the 'debtor'), namely, a right to be paid out of the assets charged in the event of the default of the underlying payment obligation. Unlike mortgages, a charge does not require a transfer of title. The ownership of the charged assets remains with the chargor.

If the chargor defaults, the chargee may apply to the court to exercise a power of sale. This power of sale can either be expressly provided in the agreement or arise by common law.

A charge can be either fixed or floating. This depends on the way the charged property is identified. This will be explained later in Section 11.2.5.

11.2.4.3 Other Securities

Both mortgage and charge are considered non-possessory in the sense that their creation does not depend on the mortgagee or chargee having possession of the secured property.

A company may also grant possessory security such as a pledge. A pledge is created by transferring the possessory title (not ownership) of the property to the pledgee (i.e. the lender) to secure performance of an obligation. Possession is the actual physical possession of the secured asset. Ownership is the bundle of rights enjoyed by the owner of the asset, including the right to demand for possession of the same. It is worth noting that a pledgee has no right of foreclosure, unlike in the case of a mortgage.

Further, both mortgage and charge are real security in the sense that the secured creditor's interest is secured over certain assets. This can be contrasted with a personal security, such as a guarantee. Under a guarantee, the debt is secured by a third party (e.g. a guarantor) becoming contractually bound to discharge the liability of the debtor if the debtor defaults.

11.2.5 Fixed and Floating Charges

There are two types of charge namely (1) fixed charges and (2) floating charges.

11.2.5.1 Fixed versus Floating

A **fixed charge** is a charge secured over a specified asset (i.e. fixed on them). A **floating charge** is a charge that is not secured over a specified asset but is floating over or circulating assets of a company, including assets the company has yet to possess. A floating charge can be made over a class of assets (e.g. inventories) of a company, the assets within which class may change from time to time in the ordinary course of business of the company. Thus, the company is free to dispose of assets within that class so long as this is done in the ordinary course of business. It is only upon crystallisation that a floating charge shall become a fixed charge over a specific asset.

In *Re Yorkshire Woolcombers Association*, Romer LJ attempted to identify three core characteristics of a floating charge:

1. The charge is on a class of assets of a company, present and future;
2. That class is one which, in the ordinary course of the business of the company, would be changing from time to time; and
3. Until some future step is taken by or on behalf of the chargee, the company may carry on its business in the ordinary way and deal with the assets within the particular class of assets.

In other words, a fixed charge is one without more fasteners on ascertained and definite property or property capable of being ascertained and defined. A floating charge on the other hand is ambulatory and shifting in its nature, hovering over and so to speak floating with the property that it is intended to affect until some event occurs or some act is done that causes it to settle and fasten on the subject of the charge within its reach and grasp.

The strength of a floating charge is obvious. It allows the borrower to continue trading with the charged assets. It offers a lot more freedom and flexibility compared to a fixed charge. The weakness is that the lender's priority would be subject to subsequently created fixed charges. A floating charge offers less security in terms of priority for the lender. On the other hand, the strength of a fixed charge lies in the priority and the certainty it offers. The lender's interest would be protected by the value of the asset, which the debtor cannot deal with as freely as assets subject to a floating charge. However, this also means that the debtor can only create a fixed charge on existing assets, thus limiting the amount it can borrow on and restricting its control over the charged asset.

11.2.5.2 Crystallisation of Floating Charges

Crystallisation is the process where a floating charge crystallises and becomes fixed on to a specific asset, i.e. becoming a fixed charge. The idea of a floating charge is to allow a degree of flexibility to the chargor (often the debtor) to deal with the charged asset and use it as part of its ordinary business. The assumption underlying a floating charge is therefore that the company would continue to carry on business. Thus, a floating charge shall crystallise where:

1. The court makes an order for the compulsory winding-up of the company. However, it is noted that the mere presentation of a petition for winding-up does not cause crystallisation, and nor does the appointment of a provisional liquidator;
2. The company passes a resolution for voluntary winding-up; or
3. Upon the appointment of a receiver by the chargee (but this does not crystallise charges held by other chargees).

Additionally, the parties may agree on terms upon which crystallisation would take place, e.g.:

1. Default in the underlying obligation to pay;
2. Crystallisation of any other floating charges; and
3. Notice by the charge to convert the floating charge into a fixed charge.

After crystallisation, the chargor may no longer dispose of the charged asset, which is now subject to a fixed charge.

11.2.5.3 Nature of Floating Charges

This is a rather technical topic. The following is only stated for reference.

There are two main theories as to the judicial nature of a floating charge. Both concern the type of interest the chargee acquires under a floating charge:

1. **Future assets theory:** This theory provides that a floating charge does not create any proprietary interest of the subject (class of) assets immediately upon creation. The chargee would only acquire an equitable right in the form of a mere equity. The chargee

only acquires the proprietary interest upon crystallisation. In a way, a floating charge is in its nature an incomplete assignment that becomes complete upon crystallisation.

2. **Present interest theory:** Under this theory, the chargee immediately acquires an equitable proprietary interest over the (class of) assets of the company covered by the floating charge. The chargor could only deal with the assets pursuant to a licence granted by the chargee, i.e. allowing the chargor to dispose of the asset in the course of business.

This is a grey area of the law. There are conflicting authorities supporting both theories.

A floating charge may also be created by a type of clause known as the 'Romalpa clause' (coined from *Aluminium Industrie Vaassen BV v Romalpa Aluminium Ltd* (1976) WLR 676) or the 'title retention clause'. This type of clause is most commonly used in the context of the sale of goods. The effect is that the seller retains title to the goods sold as security for the purchase price. Thus, the title of the good will not pass on to the purchaser until the purchase price is paid. If the good has been turned into other products or sold, the seller would be able to assert title on such subsequent products or on the proceeds of sales. Thus, a floating charge is effectively created.

Illustrative Example 2

Impressive Technologies Ltd ('ITL') encountered a liquidity crisis. It urgently required HK\$1,500,000 borrowings to cover its short-term cash needs. The banks that were willing to lend to ITL required securities for the lending. Bank A offered to lend HK\$500,000 to be secured by a fixed charge over the ITL office unit (which it owned). However, ITL declined this offer as it was actually planning to sell its office unit for the cash and begin renting. Thus it would not be feasible to grant a fixed charge over it. Instead, ITL counterproposed borrowing HK\$1,000,000 secured by a floating charge over all of its assets. The floating charge would be crystallised upon default in payment by ITL. This was, however, refused by Bank A as being other than the office unit, and ITL's assets were comprised mainly of cash and receivables. The credit record of ITL's debtors was questionable. Bank A considered it too risky to lend on that basis.

11.2.6 Registration of Charges

The CO provides that charges of the company need to be registered. Failure to register renders the charge void against the liquidator and other creditors (s.337(4)). This system of registration aims to provide some transparency as to the credit worthiness of a company. It allows the prospective creditors of the company to ascertain whether the assets of the company are already encumbered with loans by existing creditors.

11.2.6.1 Charges to Be Registered

S.334 provides a list of charges that are registrable. These are called 'specified charges', which include:

1. A charge on uncalled share capital of the company;

2. A charge created or evidenced by an instrument that, if executed by a natural person, would require registration as a bill of sale;
3. A charge on land or any interest in land;
4. A charge on book debts of the company;
5. A charge on the goodwill or intellectual property of the company; and
6. A floating charge on the company's undertaking or property.

It is noted that, for the purpose of registration, the definition of charge includes 'mortgage' (s.333(1)). However, other securities such as pledges or liens need not be registered.

The CO only requires the registration of charges that are registrable, i.e. the specified charges. There is no obligation to register charges not falling within the definition of specified charges.

11.2.6.2 Registration of Charges

In order to register a charge, it is necessary to deliver to the Registrar of Companies: (1) a statement of the particulars of the charge in the specified form, and (2) a certified copy of an instrument creating or evidencing the charge (s.335(1)). A charge must be registered within one month of its creation (the period of one month starting on the day after the creation of the charge) (s.335(5)(a)). The court has a jurisdiction to extend the time for registration if it is satisfied that the failure to register was accidental, due to inadvertence or some other sufficient cause, or is not of a nature to prejudice the position of creditors or members of the company and it would be just and equitable to extend the time (s.346(3)). The court may make an order for extension on any terms and conditions that the court thinks just and expedient. This power to extend time is important because it is a criminal offence for a company and its responsible persons to fail to register the charge in time (s.337(2)). If late registration were allowed, then there would be no criminal liability (s.346(4)).

The company bears the obligation to register a charge that is registrable. However, the chargee may also register the charge (as it is primarily in the interest of the chargee to do so) (s.335(3)). The charge may recover from the company any fees paid for the registration (s.335(7)).

After registration, both the statement of particulars and the instrument of the charge would appear on the Registrar's register of charges. The public may access the register upon payment of a specified fee (s.45).

Failure to register a charge would render the charge void against the liquidator and creditor of the company (s.337(4)). However, the charge shall remain valid between the chargee and the company. Further, the charge shall also remain valid against such a person as an unsecured creditor and a purchaser of the charged property.

It is noted that the court may rectify the particulars in the register. Upon application by a company or any person interested, the court may order that any omission or misstatement in the particulars of a charge be rectified (ss.347(1)(a) and (b)). The court would not make such an order unless it is satisfied that the omission or misstatement (1) was accidental; (2) was due to inadvertence or to some other sufficient cause; (3) is not of a nature to prejudice the position of creditors or the members of the company or any registered non-Hong Kong company; or (4) it is just and equitable to grant the relief on other grounds (s.374(3)).

11.2.6.3 Company's Register of Charges

In addition to registration with the Companies Registry, a company must also keep its own register of charges (s.352). The scope of registration is wider for the company's own register. The company must register all fixed and floating charges affecting the company's property (s.352(2)). Although non-registration would not affect the validity of the charges, it would give rise to criminal liability (s.352(3)).

Members and creditors of the company are entitled to inspect the company's register of charges for a prescribed fee (s.355).

11.2.6.4 Non-Hong Kong Companies

The obligation of registered non-Hong Kong companies to register their charges is similar (See Section 8.5.1.7). Non-Hong Kong companies that are registered in Hong Kong are required to register those specified charges created on any of the company's property in Hong Kong (s.336). Similarly, non-registration would lead to the charge being void against any liquidator and creditor (s.337). There will also be criminal liability (s.337).

The procedure for registration of non-Hong Kong companies is the same as that for Hong Kong companies (s.336).

Apply and Analyse 2

Apply

Bobby Co was a British Virgin Islands company registered as a non-Hong Kong company in Hong Kong. It had recently granted a floating charge on all of its properties and a fixed charge on part of its book debts in favour of Bank X and Bank Y, respectively. Analyse the registration requirements of the charges.

Analysis

Both charges were specified charges within the definition of s.334 of the Companies Ordinance (Cap.622) ('CO'). Thus, both charges were registrable and should be registered with the Companies Registry while the register of charges should be kept by Bobby Co. Bobby Co should deliver to the Registrar of Companies (1) statements of the particulars of the charges in the specified forms and (2) certified copies of the instruments creating the charges. This should be done within one month of the creation of the charges (s.336 of the CO).

Bobby Co should also register both charges on the register of charges it kept. Both fixed and floating charges were registrable (s.353 of the CO). Non-registration would give rise to criminal liability.

11.2.7 Priority Between Competing Charges

When two or more charges have been created over the same property, this causes a problem. If the debtor company defaults, which creditor should get its money first? The law has developed a set of rules governing the priority of charges in such a situation.

The rules of priority between competing charges are based on common law. The fact that a charge is registered does not confer priority on a chargee. However, as discussed above, a charge that is registrable but not registered would be void against the liquidator and



other creditors, thus losing its priority. The rules of priority are different depending on the property charged.

11.2.7.1 Charges Over Real Property

Charges over land are required to be registered with the Land Registry pursuant to the Land Registration Ordinance (Cap.128) ('LRO'). This is in addition to the registration requirement under the CO in the case of land charged created by a company.

The rules of priority can be found in ss.2A, 3 and 5 of the LRO. The priority depends on a mechanism that depends on the time of registration of the charge:

1. All charges on land need to be registered within one month (s.5 of the LRO);
2. Where both charges are registered within one month of the execution of the charge instrument, then the first charge created will have priority over the second one (s.5 of the LRO);
3. Where the first charge is registered within one month, but the second charge is registered outside the one-month period, the first charge will have priority from the date of its creation (s.5 of the LRO);
4. Where the second charge is registered within one month but the first charge is registered outside the one-month period, the second charge will have priority over the first charge (ss.3(1) and 5 of the LRO);
5. Where both charges are registered outside the one-month period, then priority depends on the date of registration (s.3(1) of the LRO). However, if the first charge is not registered when the second charge is created, the first charge is void against the second charge, provided that the second chargee is a purchaser for value in good faith (i.e. an equity's darling) (s.3(2) of the LRO); and
6. Where both charges are not registered, the common law principles on priority would apply (See Section 11.2.7.2).

11.2.7.2 Charges Over Personal Property

Priority of charges over personal property is governed by common law rules:

1. **Fixed charge versus fixed charge:** The basic rule is that the first one in time prevails.

Re Weniger's Policy (1910) 2 Ch 291

Facts: Multiple persons claimed fixed charge over the same pot of funds that is not sufficient to satisfy all claims. X had a prior charge on the property. A subsequent charge was created for Y. Thereafter, X made a further advance to the property owner on the security of the same property.

Issue: Whether the further advancement by X has priority over Y.

Held: X's prior charge has priority over Y's subsequent charge. The rule was that the priority was determined by the order of the dates that the charges were created. The issue of whether X's further advancement has priority over Y's charge depends on the doctrine of notices. When making the further advancement on the same security, X must enquire whether notice of another charge had been received (i.e. Y's charge in the present case). If not, the priority of X's charge is postponed to that after Y's charge.

2. **Floating versus floating:** Generally, the first charge created in time prevails over the second one. However, a floating charge created later in time may have priority if the company reserved the power in the first created floating charge to create a later floating charge with priority over the first one. This may be achieved by inserting a clause to reserve the debtor's power to create subsequent floating charges with a higher priority. The priorities may be determined by a subordination agreement. It is an agreement with the provision that one creditor's interest ranks prior to or behind that of another. Both creditors would need to sign the agreement together with the debtor. Such an agreement would regulate the priorities amongst the parties.

Re Benjamin Cope & Sons Ltd (1914) 1 Ch 800

Facts: The company X Co created two floating charges by two series of debentures (i.e. the first and second series). All debenture documents contain the phrase that the debentures shall rank *pari passu* without regard to the date of issue. Two holders of a few debentures in the first series of debentures seek enforcement of the charges.

Issue: Whether the second series of floating charges rank *pari passu* to those in the first series or rank below the same.

Held: The first series of debentures have priority over the second series. Priority of the first series of debentures (being created earlier) cannot be displaced by floating charges subsequently created.

3. **Fixed charge versus floating charge:** Fixed charges generally prevail over floating charges. However, if an earlier floating charge crystallises before the creation of a later fixed charge, the crystallised floating charge shall have priority (for it has become a fixed charge).

A note of caution must be made here. This is stated as a general principle only. The priority of a crystallised floating charge is subject to many other factors, such as the issues of legal/equitable interest and notices. However, a detailed discussion of those concepts is beyond the scope of this chapter.

Wheatley v Silkstone and Haigh Moor Coal Co (1885) 29 Ch 715

Facts: The company X Co issued debentures creating a floating charge over the assets of X Co. Subsequently, X Co borrowed GB£4,000 from the plaintiff P, with one of the properties of X Co as a mortgage. X Co subsequently went into liquidation. P brought the action claiming for the GB£4,000 and a first charge on the mortgaged property.

Issue: Whether P or the debenture holders has a first charge on the mortgaged property.

Held: P's charge has priority over that of the debenture holder. The debentures created a floating charge over the properties of X Co. However, it did not prevent the subsequent creation of a fixed charge, i.e. the mortgage in favour of P. P's claim is not subject to the claim created by the debentures. P's fixed charge has priority.



It is noted that the aforementioned common law rules do not apply to charges over debts and choses in action, which shall be discussed in the next section.

11.2.7.3 Charges Over Debts and Choses in Action

A **chose in action** is a technical term in the law of personal property. Traditionally, common law draws a distinction between a chose in action and a chose in possession. In modern terms, these are also referred to as things in action and things in possession. **Choses in possession** are things capable of being physically possessed (i.e. tangible) and the rights in them can be asserted by use and enjoyment, such as a mobile phone. In contrast, a chose in action is abstract in nature and intangible. Rights in a chose in action can only be asserted by taking legal action or proceedings. A debt is therefore a chose in action.

Since a chose in action is also a kind of personal property, it is possible to have a charge over a chose in action. Priority in charges in a chose in action is determined by notice. As a general rule, the first chargee who gives notice to the debtor of the existence of the charge has priority.

11.2.7.4 Automatic Crystallisation Clauses

An automatic crystallisation clause in a floating charge agreement has the effect of automatically converting the floating charge to a fixed charge upon the occurrence of a certain event, e.g. where the company grants or attempts to grant a later charge having priority over the earlier floating charge. Such a clause can have the effect of protecting the priority of the interest of the floating chargee. The effectiveness of an automatic crystallisation clause against a subsequent chargee depends on the subsequent chargee's notice of such a clause. Arguably, there would be a constructive notice as long as the floating charge has been duly registered, because s.334 requires that the instrument creating the charge be registered. Constructive notice is a legal concept developed in contrast with actual notice. Actual notice means the person or entity actually have notice of the relevant information. Constructive notice means that although the person or entity may not have actual notice of the information, in certain situations the law treats them as having notice of the information anyway. Thus, the notice is a 'construct'.

A related kind of clause is a negative pledge clause, under which the chargor pledges not to create further securities on the charged properties. A common drafting practice is that the automatic crystallisation clause will be triggered should there be a breach of the negative pledge clause (*Cox v Dublin City Distillery (No. 2)* (1915) IR 345).

11.2.8 Unsecured Creditors and Their Remedies

In the event of winding-up, all charged assets would be realised. The priority of distribution of charged assets is as follows:

1. **Fixed charge:** The chargee would be entitled to the proceeds after deduction of (1) costs of preserving and realising the asset, (2) the receiver's remuneration and (3) other costs and expenses of the receivership. The surplus would then be made available to the general creditors first and the balance of the surplus (if any) to the members of the company.
2. **Floating charge:** The chargee would be entitled to the proceeds after the deduction of (1) costs of preserving and realising the asset, (2) the receiver's remuneration, (3) other

costs and expenses of the receivership and (4) satisfaction of claims of preferential creditors (which would include amounts owed to employees and statutory debts owed to the government; See Chapter 13 Receivership, Liquidation and Winding-up). The surplus would then be made available to the general creditors (and members).

Thus, it can be seen that an unsecured creditor is ranked last when it comes to the distribution of charged assets, subject to the interest of the chargees.

► Knowledge Check Questions

Question 3

Explain the nature of debentures and the types of debentures.

Question 4

Explain the difference between a fixed charge and a floating charge.

Question 5

Describe the registration procedure of a charge and the criteria for applying for an extension of time to register.

Question 6

Explain the nature of a mortgage.

➤ 11.3 SHARE CAPITAL

The share capital of a company is the total amount of funds injected by its shareholders to the company in return for those shares. The funds become the asset of the company known as the share capital once they are so injected. Upon winding-up, the company would repay the share capital to the shareholders (if it is solvent after winding-up). However, it is noted that the term 'share capital' may have some more specific meaning depending on the context.

11.3.1 Abolition of Authorised Capital

Historically, a company needs to state in its constitution the maximum amount of share capital the company is authorised to raise. However, under the CO, there is no longer such a requirement. Thus, there is no upper limit to the amount of share capital a company is authorised to raise.

11.3.2 Types of Share Capital

There are different types of share capital.

11.3.2.1 Issued Capital

The **issued capital** is the total value of shares actually issued to shareholders with reference to the issue price. However, this only reflects the value corresponding to the shares issued. The capital can be either paid up or not paid up.

11.3.2.2 Paid-Up and Unpaid Capital

The paid-up capital is the amount of issued capital actually paid by the shareholders. This amount also includes those amounts treated as paid by the shareholders, e.g. in the case of bonus shares or shares in lieu of dividends. On the other hand, unpaid capital refers to the amount of issued capital that has not been paid by shareholders. When every issued share is paid for, the paid-up capital should equal the issued capital.

11.3.2.3 Called-Up and Uncalled Capital

Called-up capital is the amount of paid-up capital plus the amounts due after the company made a call. When a company made a call the shareholders are required to pay in any unpaid amounts called for. Therefore, the uncalled capital is the amount of unpaid capital that has not been called.

Illustrative Example 3

At incorporation, a company had 10,000 shares issued at a price of HK\$50 per share. Only HK\$30 was paid for each share. Further, the company has made a call requiring all shareholders to pay the unpaid amount on the issued shares, calculated as follows:

$$\text{Issued capital} = 10,000 \times \text{HK\$}50 = \text{HK\$}500,000$$

$$\text{Paid-up capital} = 10,000 \times \text{HK\$}30 = \text{HK\$}300,000$$

$$\text{Unpaid capital} = 10,000 \times (\text{HK\$}50 - \text{HK\$}30) = \text{HK\$}200,000$$

$$\begin{aligned} \text{Called-up capital} &= \text{HK\$}300,000 \text{ (paid-up capital)} \\ &\quad + \text{HK\$}200,000 \text{ (unpaid capital but called)} \\ &= \text{HK\$}500,000 \end{aligned}$$

$$\text{Uncalled capital} = 0$$

11.3.3 Class Rights

Shares can be divided into different classes.

11.3.3.1 Classes of Shares

Shares of the different classes have different rights and obligations. For example, the concept of preferential shares discussed above is the example of a class share.

11.3.3.2 The Concept of Class Rights

Shares belong to the same class if the rights attached to those shares are in all respects uniform (s.178(1)). If a company proposes to vary rights attached to shares in a particular class,

there must be compliance with ss.176 to 184. Variation of class rights requires the consent of holders of shares in the class whose rights are proposed to be varied (s.180(1)(b)). The consent must be obtained with the written consent of 75% of shareholders or passed by a special resolution (s.180). However, these rules are subject to provision in the articles.

Class rights may be varied, subject to the provisions in the articles. The Model Articles for Private Companies Limited by Shares (Cap. 622H – Schedule 2) do not contain any provisions with respect to the variation of class rights. Failing any provisions in the articles governing the variation of class rights, the default position is provided in ss.180(1) and (3), namely:

1. S.180(1): Written consent of holders representing at least 75% of the total voting rights of holders of shares in the class must be obtained.
2. S.180(3): There must be a special resolution passed at a **class meeting**, namely, a general meeting of holders of shares in the class concerned as separate from a normal general meeting (of all shareholders).

Upon variation, the company must give written notice of the same to each of the shareholders in that class within 14 days afterwards (s.181). Further, within a month of the variation, the company must send to the Registrar (1) a notice in the specified form including a statement of capital as showing the capital on the day when the variation takes effect and (2) a copy of the resolution (or any other document) authorising the variation (s.184).

There is a distinction between the variation of class rights and changes that only affect the members' enjoyment of the rights.

White v Bristol Aeroplane Co Ltd (1953) Ch 65 (CA)

Facts: The defendant company D Co has previously issued preferential shares and ordinary shares. D Co proposed to issue (1) 660,000 new preferential shares that would rank *pari passu* with the existing preferential shares and (2) 2,640,000 new ordinary shares intending to rank *pari passu* with the existing ordinary shares. All of the above new shares (preferential and ordinary) were to be issued to the existing ordinary shareholders and paid for out of the reserve fund of D Co. The plaintiff preferential shareholder P brought proceedings on behalf of all preferential shareholders for an injunction to restrain the company from proceeding with the proposal without the sanction or permission of the preferential shareholders in a class meeting.

Issue: Whether D Co could proceed with the proposal without sanction from the preferential shareholders in a class meeting; in other words, whether the proposal amounts to a variation of class rights.

Held: The proposal did not affect the rights or privileges of the existing preferential shareholders. The preferential shareholders might be affected as a matter of business by reason of the new preferential shares issued to the ordinary shareholders (rendering the latter a majority over the existing preferential shareholders). In other words, this would only affect the enjoyment of the rights and not the rights themselves.



Upon variation, holders representing at least 10% of the total voting rights of the holders of shares in the class may apply to the court to have the variation disallowed (s.182(1)). The court may disallow the variation if it is satisfied that the variation would unfairly prejudice the members represented by the applicant (s.182(5)) (See Section 10.4.4).

11.3.3.3 Class Meetings

A class meeting is a meeting of holders of the same class of shares. A class meeting needs to be held where the consent of a class is required before certain matters can be decided, for example, variation of class rights.

11.3.4 Issue of Shares

This section discusses how shares are actually issued to the shareholders.

11.3.4.1 Shares Issued on Incorporation

The first shareholders of a company are the founder members of the company. The shares of the founder members are deemed to have been issued at the date of registration of the company. The names of the founder members will appear in the articles, which they will sign as founder members. Each founder member is deemed to have agreed to become a member of the company (s.112).

11.3.4.2 Shares Issued after Incorporation

After incorporation, the company may issue as many shares as it wishes unless its articles provide for a limit (s.85(2)). The process of a company issuing new shares is called an allotment. A company issues new shares by entering into a subscription agreement with the allottee, whereby the company agrees to allot shares and the allottee agrees to take up the shares. After the shares are allotted, the allottee shall be registered as a member (e.g. a shareholder) in the register of members.

An allotment can be made pro rata or non-pro rata. A pro rata allotment means that the new shares shall be issued to existing shareholders in proportion to their existing share holdings. This is also known as 'a rights issue'. A non-pro rata allotment means any allotment other than a pro rata one. Thus, any allotment that involves allottees other than the existing shareholders shall be a non-pro rata allotment. A non-pro rata offer of shares requires the prior approval of the members in a general meeting (ss.140 to 141). An ordinary resolution is sufficient for a non-pro rata allotment (s.141). This is also sometimes known as a pre-emptive right given to existing shareholders. The rationale was to afford them a chance to vote against a non-pro rata allotment that would dilute their existing shareholdings.

Illustrative Example 4

Gina, Henry and Ivan are shareholders of A Co, each holding 30, 30 and 40 shares, respectively (100 shares were issued in total). Over time, Gina and Ivan became less involved in the business of A Co. Henry's wife, Jenny, has been helping in the business of A Co for a long time. Therefore, it has been proposed that new shares be allotted to Henry and Jenny to reflect their contribution. Thus, 25 shares will be issued to Jenny and

Illustrative Example 4 (continued)

Henry each, such that the new shareholdings will be: Gina (30), Henry (55), Ivan (40) and Jenny (25). Together, Henry and Jenny will hold slightly over 50% of the shares in A Co. With the shares being allotted to Jenny, who previously did not hold any shares in A Co, the allotment is non-pro rata. Further, even without the allotment to Jenny, the allotment would be non-pro rata due to the fact that only Henry out of the existing shareholders would be allotted shares. Therefore, the approval of the members in a general meeting is required for this non-pro rata allotment of shares, which would effectively give control of A Co to Henry and Jenny. If necessary, Gina and Ivan can block this proposal with their existing majority of shares.

11.3.5 Procedure for Issue

An allotment of shares normally involves the following steps:

1. The allottee shall enter into a subscription contract with the company (or if there is no subscription contract, the allottee shall make an application for allotment to the company for its acceptance).
2. If the offer for subscription or allotment is non-pro rata, the shareholders' approval should be obtained, and the shareholders' approval will include authorisation to the board to allot the shares as approved.
3. The board shall thereafter approve the share allotment and issue share certificates upon receipt of the allotment money (the time of such payment depending on the terms of the subscription contract).
4. The allottee shall then be registered in the register of members. The allottee only becomes a member when he/she is registered as a member (s.2). Registration should be done within two months of allotment (s.143).
5. The company shall file a return of the allotment with the Registrar of Companies within a month of the allotment (s.142). The return contains such information as the number of shares allotted, name and address of the allottee and the amount paid on each share.

11.3.6 Transfer of Shares

A transfer of shares is effected by the registration of the transferee on the register of members, who becomes a member upon registration (s.112(3)). Generally, the procedure is as follows:

1. The parties to the transfer shall enter into a contract of sale and purchase of the shares.
2. The parties shall execute an instrument of transfer and deliver the same to the company (together with the share certificate in respect of the shares of the transferor) for approval on the transfer by the company (s.150).
3. Stamp duty is payable on the instrument of transfer. Contract notes need to be executed by both the purchaser and the vendor for the purpose of the transfer (s.19(1) of the Stamp Duty Ordinance (Cap.117)) ('SDO'). *Ad valorem* stamp duty is payable on each of the two contract notes at the rate of 0.1% of the consideration of the sale or the value of the shares, whichever one is higher (s.19(1) of the SDO).

4. The company directors will then authorise the registration of the transfer and update the register of members (s.627).
5. The company will cancel the old share certificate and issue a new certificate, which will be delivered to the transferee (s.155).

Further, shares may be transferred by the operation of law (i.e. without any voluntary act to transfer the shares). This is known as 'transmission of shares'. For example, shares would be transmitted where:

1. A shareholder dies;
2. A shareholder becomes bankrupt; or
3. There is a vesting order by the court vesting the ownership of the shares in the transmittee. (However, the transmittee does not become a member of the company until registration in the register of members.)

Apply and Analyse 3

Apply

Infinity Ltd has three shareholders, Harry (30%), Ron (30%) and Ginny (40%). Harry and Ron are the directors. Ginny is sick of the stupidity of Harry and Ron and wants to exit the company. Therefore, Ginny wants to transfer her 40% shares to Hermione. Analyse the share transfer procedures involved.

Analysis

First, Ginny and Hermione need to enter into a contract of sale and purchase of shares. It was not stated above what the consideration would be for the transfer, thus further instruction would be necessary. Second, both Ginny and Hermione need to execute an instrument of transfer of the 40% of shares for approval of Infinity Ltd, i.e. its board (see below). Third, the contract notes need to be executed by both Ginny and Hermione for payment of stamp duty. *Ad valorem* stamp duty is payable on each note, i.e. the bought note and the sold note, at the rate of 0.1% of the consideration or the value of the shares (whichever one is higher). Fourth, Infinity Ltd's directors, i.e. Harry and Ron, need to authorise the registration of the transfer and update the register of members. Finally, Infinity Ltd would cancel the old share certificates and issue a new one in the name of Hermione and deliver the same to her.

11.3.7 Register of Members and Share Certificates

Every company must keep a register of its members in either English or Chinese containing the following particulars (s.627):

1. The names and addresses of the members;
2. A statement of the shares held by each member (with a corresponding number of shares);
3. The consideration paid on the shares;
4. The date on which each person was entered as a member; and
5. The date on which any person ceased to be a member.

The register may be kept in electronic form (s.655). It must be kept at either the registered office of the company or any other place as long as it is in Hong Kong (s.628). Entries of former members are required to be kept for a period of 10 years from the time the person ceased to be a member (s.627(5)).

A share certificate states the shareholder's name and certifies that the shareholder is a registered owner of a specified number of shares (and the class the shares belong to). As aforementioned, a new share certificate will be issued upon transfer of shares. In the absence of evidence to the contrary, a share certificate is proof of the title of the shares (s.137). However, the actual title of the shares is determined by the register of members (s.2).

11.3.8 The Doctrine of Capital Maintenance

At common law, the **doctrine of capital maintenance** provides that the share capital may not be returned except on winding-up. Paid-up capital may be diminished or lost in the course of the company's trading. However, persons who deal with, and give credit to, a limited company naturally rely upon the fact that the company is trading with a certain amount of capital already paid, as well as upon the responsibility of its members for the capital remaining at call. They are entitled to assume that no part of the capital that has been paid into the coffers of the company has been subsequently paid out, except in the legitimate course of its business. Thus, share capital contributed by members of the company cannot be returned to the members except in a winding-up.

Under the doctrine, the following transactions are generally prohibited:

1. Reduction of share capital (See Section 11.3.9);
2. Self-acquisition of shares by the company (See Section 11.3.10);
3. Financial assistance for the acquisition of shares (See Section 11.3.11); and
4. Payment of dividends other than out of profits (See Section 11.3.12).

11.3.9 Altering the Share Capital – Increase, Reductions and Consolidation

A company may only reduce its share capital either (1) by special resolution supported by a solvency statement (Sub-division 2 of Division 3 of Part 5) or (2) by special resolution confirmed by the court (Sub-division 3 of Division 3 of Part 5).

The solvency statement must be made by all the directors, indicating that they are satisfied the company has passed the solvency test (s.220). Broadly speaking, a company is solvent if there are no grounds to suggest that the company is unable to pay its debts and if the company is able to pay those debts due within 12 months (or if there will be a winding-up of the company within 12 months, that the company will be able to pay its debts due within the 12 months after commencement of the winding-up) (s.205).

Similarly, where the court's confirmation is required, the court's main consideration will be whether the shareholders' and creditors' interests are prejudiced by the reduction of capital. It has been suggested that the following requirements need to be satisfied before the court will make a confirmation:

1. The shareholders are treated equitably;
2. The reduction proposals have been properly explained to the shareholders;

3. The creditors' interests are safeguarded; and
4. There is a discernible purpose for the reduction.

As long as those requirements are satisfied, a company may reduce its capital in any form, e.g.

1. By extinguishing or reducing liabilities on unpaid shares;
2. By cancelling any paid-up share capital that is lost or is not represented by available assets (where the company suffers significant losses); and
3. By paying the respective members any paid-up share capital that is in excess of the needs of the company (where the company makes a large profit and no longer requires a large share capital).

Re Fok Ying Tung Ming Yuan Development Co Ltd (2016) 2 HKLRD 292

Facts: The company was a Hong Kong private company limited by shares. In August 2014, the company passed a special resolution in accordance with s.226 under Sub-division 3 of Division 3 of Part 5 of the Companies Ordinance (Cap. 622) for the reduction of its share capital from HK\$3.105 million to around HK\$1.953 million. The proposed reduction was to be effected by the company paying to its shareholders HK\$371 on each of the issued and paid-up shares. A month after the special resolution was passed in September 2014, the company issued a petition in the High Court seeking the confirmation by the court of the reduction of capital pursuant to s.226. The petition was issued on the basis that the company's total capital exceeds its needs, hence justifying the reduction. One of the company's shareholders opposed the petition as the balance sheet of the company as of 31 December 2013 recorded an accumulated loss of HK\$748.5 million with the total capital being HK\$2.3 billion.

Issue: Whether the petition should be granted and what is the meaning of share capital for the purpose of s.226.

Held: The petition was dismissed. The reduction of capital required the confirmation of the court because of the need to ensure creditors are not prejudiced by the capital reduction. The main concern is to protect the current creditors. The court will also want to avoid confirming a reduction that could in some way prejudice the future creditors. There was an assumption that the creditors did business with a company relying on its capital as evidencing the amount available to them. Thus, the court would approach any reduction on the basis of the share capital in the company's balance sheet at the time of reduction. If a company was carrying on its balance sheet an accumulated loss that reduced its available capital, this was the amount of share capital for the purposes of a reduction. Thus, the special resolution in the present case was defective and the court refused to confirm the same.

It was important that the description of the capital reduction accurately reflected the balance sheet so that future creditors were not misled as to the capital of a company. In the present case, any knowledgeable person reading the proposed minutes recording the reduction of capital in the company would be likely to assume that as at the date of

Re Fok Ying Tung Ming Yuan Development Co Ltd (2016) 2 HKLRD 292 (continued)

the special resolution, the company did not have any accumulated losses. This would be wrong and misleading. In assessing the financial state of a company in the context of s.226, the court relies heavily on audited financial statements. It needed positive confirmation by auditors that they did express a true and fair view of the company's financial state. However, in the present case, the auditors had declined to do so by way of disclaimers of opinion. The court should be able to rely on up-to-date audited financial statements that were either unqualified or contained limited and immaterial qualifications.

Illustrative Example 5

In the opening case, Impressive Technology Ltd ('ITL') was dwindling. The four shareholders (Andrew, Bruce, Chris and Denise) lost interest in the business. As a result, they wanted a reduction in the share capital of ITL and a portion of their initial investment. Andrew and Bruce (as the only directors) produced a solvency statement to the effect that they were satisfied that ITL passed the solvency test, i.e. it would be able to pay its debt due within 12 months. As a result, a general meeting was called whereby the solvency statement was submitted. On the force of that, a special resolution was passed for the reduction of share capital.

Apply and Analyse 4

Apply

Queenie and Peter are siblings. They have just inherited the family business of Octopus Co from their recently deceased father, Tom. Peter actually has no interest in running the company and things have been left to Queenie. After a few years, both Queenie and Peter are in urgent need of some cash. Octopus Co is doing well financially and there is a surplus in the net assets and cash reserve. Queenie suggests to return half of the share capital to the shareholders. Peter agrees. Analyse the issue arising.

Analysis

If the shares in Octopus Co have all been paid-up, the situation involves a return of share capital to shareholders. If they have not been, the situation involves a reduction of liability on unpaid shares and perhaps also a return of share capital depending on the percentage of the unpaid shares. Either way, a special resolution with either (1) a solvency statement or (2) the court's sanction is necessary (s.211 of the Companies Ordinance (Cap.622)). In the present case, there is no dispute between Queenie and Peter about the decision. The company also seems to be solvent since it is doing well financially. It seems sufficient for the share reduction to be conducted by special resolution supported by a solvency statement. In any event, the court's sanction would also have been obtained since all shareholders are being treated equitably in the reduction and the creditors' interests are also safeguarded given the financial health of Octopus Co.



11.3.10 Redemption of Shares and Share Buy-backs

At common law, a company is generally prohibited from purchasing its own shares. This rule has now been codified by s.267, which prohibits a company limited by shares from acquiring its own shares, whether by redemption, buy-back, subscription or otherwise.

However, the CO also provides for exceptions to the rule against self-acquisition:

1. A company may redeem any redeemable shares issued. A company limited by shares may issue redeemable shares (s.234(1)). Upon redemption, the shares are treated as cancelled (s.269(1)).
2. A company may buy back or repurchase its shares. An unlisted company may buy back its own shares under a contract approved in advance by a special resolution of the members (s.244). Listed companies may buy back its shares on-market and off-market (See Section 12.3.4).

A share buy-back may be funded out of the share capital of a company (as opposed to the company's distributable profits or proceeds arising from fresh issue of shares made for the purpose of the redemption (ss.257(2)(a) and (b))). The pre-conditions are:

1. It must be approved by special resolution. Further, the payment for the redemption must be made no earlier than five weeks and no later than seven weeks after the date of that special resolution (s.258).
2. A solvency statement must be made by the directors. The statement must be made available to all members. The above special resolution must be passed within 15 days after the date of the solvency statement (s.259).

Illustrative Example 6

In the opening case, Impressive Technology Ltd's four shareholders had a fall-out. Denise felt that she could not remain in the company with the other three. As a result, Denise wanted to exit the company. Unfortunately, none of the three other shareholders had the cash to purchase Denise's shares. As a result, Denise proposed that Impressive Technology Ltd should buy her out. Under the Companies Ordinance (Cap.622) ('CO'), a company may buy back or repurchase its shares (s.244). Such a purchase may also be funded by the share capital of the company. Thus, the shareholders passed a resolution to approve the buy-back, as supported by a solvency statement produced by Andrew and Bruce (ss.258 and 259 of the CO). Impressive Technology Ltd thereafter paid for the repurchase within seven weeks in accordance with s.258 of the CO.

11.3.11 Financial Assistance for Acquisition of Shares

A company is prohibited from giving financial assistance directly or indirectly to any person for the purpose of acquiring shares in the company before or at the time of the acquisition (s.275(1)). This prohibition extends to a subsidiary giving financial assistance for the purpose of acquisition of shares in the holding company (s.275(1)).

Financial assistance is defined widely to include (1) a gift, (2) provision of a guarantee, security, indemnity or by way of a release or waive, (3) provision of a loan or (4) any other financial assistance given by a company whose net assets will thereby be reduced by a material extent (s.274(1)).

Breach of this rule shall give rise to criminal liabilities (s.275(4)). The validity of the underlying transaction would not be affected *per se* (i.e. by itself) (s.276). However, the transaction may still be set aside on other grounds, such as breach of fiduciary duties of the directors.

Ss.277 to 289 set out a few exceptions to the rule prohibiting the provision of financial assistance for acquisition of the company's shares:

1. Where the directors (but all directors not only those who voted in favour of the financial assistance) make a solvency statement and the assistance (1) does not exceed 5% of the paid-up capital, (2) is granted with the unanimous approval of the shareholders or (3) is passed by ordinary resolution (ss.283 to 285);
2. Where the financial assistance for the acquisition of shares is not the principal purpose of the transaction but only incidental to some larger purpose of the company (s.278). The financial assistance is not prohibited as long as it is given in good faith in the interest of the company; or
3. Where it is ordered by the court.

Carney v Herbert (1985) AC 301

Facts: The three plaintiffs and the defendant were the directors of A Co. and A Co.'s subsidiary N Co. The defendant and his wife controlled an independent company I Co. The three plaintiffs agreed to sell their shares in A Co. to I Co. The purchase price was to be paid by an initial payment followed by installments. Further, the purchase price was to be secured by (1) a personal guarantee from the defendant and (2) the mortgages by N Co. over its property.

The sale and purchase agreement was executed and the shares were transferred. The defendant made the initial payment by a cheque which had been honoured. The defendant and I Co. then immediately sold their shares to a third party at a hefty profit. Afterwards, it transpired that the post-dated cheques issued by I Co. in respect of the installment payments could not be honoured. The three plaintiffs sued the defendant under the personal guarantee. The defendant argued that the fact that the transaction was secured by a mortgage from N Co. violates the rules against providing financial assistance for the acquisition of shares in the holding company (i.e. A Co.) and renders the transaction illegal (due to consideration paid under an illegal contract not being recoverable).

Issue: Whether the sale of shares was illegal and whether it could be severed from the illegal mortgage such that the personal guarantee was enforceable.

Held: The mortgages were illegal as it amounts to providing financial assistance in the acquisition of shares in a holding company. The mortgages were illegal and void. However, this illegality could be severed from the lawful part of the contract, i.e. the personal guarantee. The mortgages were only ancillary to the overall transaction and could be severed. The three plaintiffs could enforce the personal guarantees against the defendant.

Ricco (Int'l) Co Ltd v Uni-Harvest Int'l Ltd (2017) 6 HKC 487

Facts: In August 2007, the plaintiff company made an allotment of shares. The allotment was recorded as fully paid up, but the plaintiff company did not actually receive any payment. In the plaintiff company's accounts, the allotment payment was booked as a loan by the accountant who handled the allotment. It was understood that the loan would be paid from later profit distribution of the plaintiff company. The plaintiff company now seeks to set aside the allotment for violation of the rule against the provision of financial assistance to acquisition of its own shares.

There was an argument that the case falls within the exception that (1) the principal purpose was not to give assistance but for some larger purpose and (2) the assistance was given in good faith in the interests of the company. There was an argument that the allotment was made for the purpose of business expansion. There was also a delay of 10 years in bringing the action by the plaintiff company.

Issue: There were three issues in this case namely: (1) whether a delay of 10 years means that the court should dismiss the application; (2) whether there was a breach of the rule against the provision of financial assistance to acquisition of its own shares; and (3) whether the case falls within the exception.

Held: Despite the 10 years delay, absent any prejudice, such delay could not *per se* operate as a bar to relief to the plaintiff company. The case is a blatant violation of the rule against the provision of financial assistance to acquisition of its own shares. The case does not fall within the exception. In considering whether a principal purpose of the transaction was not to give assistance but for some larger purpose, it was important to distinguish between 'a purpose' and 'the reason why a purpose was formed'. The reason or motive which induced the company to give assistance could not be a separate purpose justifying the assistance. Here, the business expansion was merely 'the reason for the allotment'.

Apply and Analyse 5***Apply***

Tommy is the sole shareholder and director of T Co. Tommy has invited Sammy to join his business venture. However, Sammy does not have sufficient cash to subscribe for shares in T Co. As a gesture of goodwill, Tommy offered to assist in two ways: (1) he will personally give Sammy's husband a sum of money equal to 50% of the subscription price as a way to help the family and (2) a loan will be provided by T Co to Sammy in an amount equal to 50% of the subscription price. Analyse the issues arising.

Analysis

It is prohibited for a company to provide financial assistance directly or indirectly to any person for the purpose of acquiring shares in the company (s.271(5) of Companies

Apply and Analyse 5 (continued)

Ordinance (Cap.622) ('CO')). Thus, Tommy's gift to Sammy's husband would likely be treated as an 'indirect' assistance given the timing and the amount. Further, loans are also classified as financial assistance and therefore the loan by T Co would be caught as well. Nevertheless, since Tommy is the only shareholder, the above transactions would have been allowed as having the unanimous approval of the shareholders (s.284 of the CO).

11.3.12 Dividends and Distributions

Dividends are the return the shareholders get from their investment in the company before winding-up, i.e. while the company is still a going concern. Dividends are the funds divided up in proportion to the shareholdings and paid to the shareholders whilst the company is a going concern.

Dividends must be paid in accordance with requirements specified in the articles. However, there is no general entitlement to have dividends paid whenever the company has made a profit. The articles of the company generally confer on the directors a discretion as to whether to recommend a declaration of dividends.

Directors are under a duty to act in the general interest of all classes of shareholders when recommending dividends and must not favour any one class at the expense of another.

11.3.12.1 Types of Dividends

There are different types of dividends:

1. **Interim and final dividends:** Final dividends refer to those dividends declared at the end of the financial year at the annual general meeting. It reflects the fruit of a year of trading. It is, however, noted that, in practice, final dividends of a year are actually often declared at a board meeting that takes place after the end of a financial year. The articles may also allow the distribution of interim dividends before the end of the financial year, where the company has made sufficient profits to justify the distribution of such dividends.
2. **Non-cash dividends:** Dividends need not only be cash. They can also be paid in the form of non-cash assets, if the articles allow. However, the directors must not discriminate between classes of shareholders in the distribution of assets as dividends.
3. **Bonus shares in lieu of cash dividends:** If the articles allow, dividends may also be paid by issuing bonus shares to shareholders. For example, the Model Articles permit dividends to be declared and to have the dividends paid for by way of issuing paid-up shares (or other non-cash assets) (Art. 77). Another way of paying dividends through shares is through a direct capitalisation of profits (Art. 79). The members pass an ordinary resolution in a general meeting to capitalise any profits of the company. The directors may issue new shares for the capitalised profit and apply the sum capitalised in the proportion in which the members would be entitled if the sum was distributed by way of dividends (Art. 79(2)). The shares can then be issued accordingly. This is known as 'the script issue' or 'the bonus issue of shares'.



11.3.12.2 Dividends and Distributions out of Profits Only

The doctrine of capital maintenance means that dividends may not be paid out of the capital of a company. Thus, dividends can only be paid out of profits. This has been codified in the CO, where s.297(1) provides that a company may only make a distribution (of dividends) out of profits available for distribution. The profits available for distribution are calculated by deducting a company's accumulated and realised loss from its accumulated and realised profits (s.297(2)). Thus, profits available means the aggregate profits of the company since the time of its incorporation. Therefore, accumulated loss from previous years must be made good before dividends may be distributed.

Since the distribution of dividends is linked to profit, the amount of dividends to be distributed is determined with reference to the company's latest financial statements, laid before the company in the annual general meetings (s.302). It is also possible to declare dividends on the basis of interim financial statements, provided such statements allow a reasonable judgment to be made as to the amounts of the financial items (ss.302 and 305). It is noted that the Hong Kong Institute of Certified Public Accountants ('HKICPA') has issued guidance on the distribution of dividends, e.g. *HKICPA's Guidance on the Determination of Realised Profits and Losses in the Context of Distributions under the Hong Kong Companies Ordinance* (May 2010).

A distribution of dividends is unlawful if it is in contravention of the CO and is made against the doctrine of capital maintenance or otherwise than out of distributable profits. Directors or auditors are liable for breach of duty if they cause the company to make an unlawful distribution. Members are also liable to repay any dividends distributed unlawfully (s.301). A member would be liable if he/she knows the facts resulting in the contravention, whether or not he/she actually knew that the distribution was unlawful in nature.

11.3.12.3 Declaration and Payment

The directors usually have the power to declare dividends as part of their powers to manage the affairs of the company. The power to declare dividends is usually provided for specifically in the articles. There is no general requirement to require that the declaration of dividends be made by members in general meetings, unless the articles provide otherwise. However, where the general meeting does resolve to declare dividends, the amount must not exceed that recommended by the directors (Art. 91(1)). Subject to s.297(2), directors may from time to time pay to the members such interim dividends as appear to be justified by the profits (Art. 91(2)). The declaration of dividends is a matter of internal management for the directors.

A shareholder is entitled to be paid dividends on the basis of the issue value of the shares (rather than the paid-up value). The articles, however, may provide for otherwise, e.g. that dividends are to be paid *pro rata* according to the paid-up value.

Dividends may be paid by a number of ways, e.g. by cash, by shares, by debenture or even by an agreed set-off of account between the shareholder and the company. In practice, the directors will set a date for the payment of dividends. This is commonly known as 'a record date'. Payment will then be made to all registered shareholders as of the record date.

Apply and Analyse 6

Apply

Sunny Co is a company first started by Sunny but the management of it has now been passed on to his nieces. As a shareholder, Sunny wants dividends to be distributed so he could repay his gambling debt. Sunny also demands that dividends be not paid to the other shareholder George, his brother. This is because George has done nothing for the company over the years. Its directors Crystal and Tiffany wonder if dividends are justified. After calculation, it was found that Sunny Co actually did not make a profit this year. However, considered with last year, the company actually made an accumulated profit. Analyse the issues arising.

Analysis

Unless otherwise provided for in the articles, it is primarily for the directors to consider the declaration of dividends. An unreasonable refusal to declare dividends may form the grounds for an application for unfair prejudicial relief. However, the decision is still primarily for Crystal and Tiffany. Dividends must be paid out of profits. Otherwise it would amount to a return of share capital contrary to the doctrine of capital maintenance. The profits available for distribution mean the accumulated profits. The profits of the company since the time of incorporation need to be taken into account. Thus, it is not sufficient to just look at this year and last year's profits. Crystal and Tiffany's decision must be based on the availability of the accumulated profits. Further, and in any event, Crystal and Tiffany cannot pay dividends to only some of the shareholders and not the others. Normally a shareholder is entitled to be paid a dividend (if declared) on the basis of the issue value of the shares. Thus, dividends must be paid to all including George.

► Knowledge Check Questions

Question 7

Explain the concept of class rights.

Question 8

Explain the doctrine of capital maintenance.

Question 9

Describe the procedure for issuing shares.

Question 10

Explain the rules in relation to the alteration of the share capital.



SUMMARY

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622) ('CO').

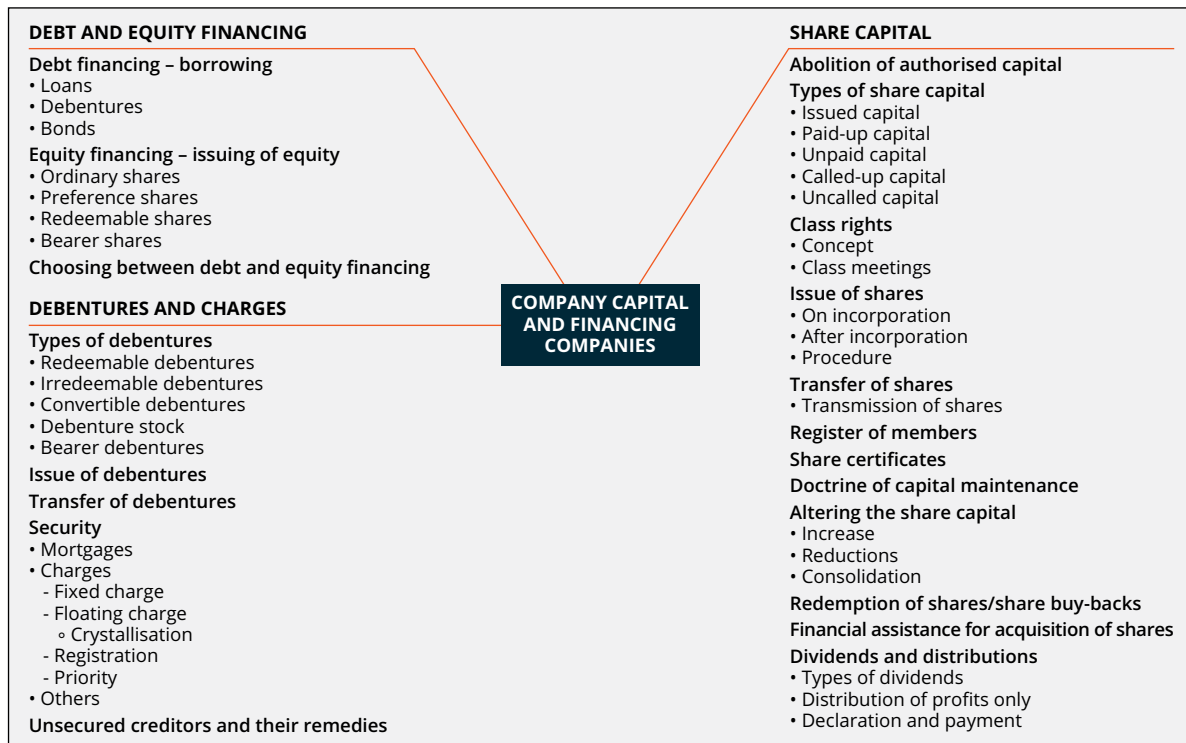
- A company may raise funds by debt financing and equity financing.
- Debt financing is the raising of funds by borrowing.
- Equity financing is the raising of funds by issuing shares.
- Different debt financing includes secured or unsecured loans, debentures and bonds.
- Different equity financing includes the issue of ordinary shares, preference shares, redeemable shares and bearer shares.
- At common law, a debenture is a document issued by the company that constitutes evidence of a loan. S.307 defines a 'debenture' as 'including bonds and any other debt securities of the company, whether or not constituting a charge on the assets of the company'.
- There are four types of debentures: (1) redeemable and irredeemable debentures; (2) convertible debentures; (3) debenture stock and (4) bearer debentures.
- A private company is prohibited from inviting the public to subscribe for debentures issued by it (s.11(1)).
- A company shall register an allotment of debenture within one month after the allotment (s.316).
- The transfer of debenture needs to be registered within two months after the instrument of transfer is lodged with the company (s.321).
- A company may grant security in various forms, including: (1) mortgages, (2) charges and (3) pledges.
- A charge may be fixed or floating. A fixed charge is a charge secured over a specified asset. A floating charge is a charge that is not secured over a specified asset but is floating over or circulating assets of a company.
- A floating charge becomes a fixed charge when it crystallises. Crystallisation may occur under many circumstances, most typically as a default in the underlying obligation to pay.
- Registrable charges need to be registered (s.335(1)).
- Priority of charges over real property: The rule is set out in the Land Registration Ordinance ('LRO'). All charges on land need to be registered within one month (s.5 of the LRO). Where both charges are registered within one month of the time of execution of the charge instrument, then the first charge created will have priority over the second one (s.5 of the LRO). Where the first charge is registered within one month, but the second charge is registered outside the one-month period, the first charge will have priority from the date of its creation (s.5 of the LRO). Where the second charge is registered within one month but the first charge is registered outside the one-month period, the second charge will have priority over the first charge (ss.3(1) and 5 of the LRO). Where both charges are registered outside the one-month period, then priority depends on the date of registration (s.3(1) of the LRO). However, if the first charge is

not registered when the second charge is created, the first charge is void against the second charge, provided that the second chargee is a purchaser for value in good faith (i.e. an equity's darling) (s.3(2)). Where both charges are not registered, the common law principles on priority would apply.

- Priority of charges over personal property:
 - Fixed charge versus fixed charge: The first one in time prevails.
 - Floating charge versus floating charge: Generally, the first one in time prevails. However, a floating charge created later in time may have priority if the company reserved the power in the first charge to create a later charge with priority.
 - Fixed charge versus floating charge: Fixed charge generally prevails. However, if an earlier floating charge crystallises before the creation of a later fixed charge, the crystallised floating charge shall have priority (for it has become a fixed charge).
- Priority of charges over personal property: determined by notice. Generally, the first chargee who gives notice to the debtor of the existence of the charge has priority.
- Historically, a company needs to state in its constitution the maximum amount of share capital the company is authorised to raise. However, this rule is abolished by the CO.
- Share capital can be: (1) issued capital; (2) paid-up and unpaid capital as well as (3) called-up and uncalled capital.
- Shares may be divided into different classes. Shares of the same class have the same rights and obligations. Variation of class rights requires a special resolution passed at a class meeting. A class meeting is a separate general meeting attended by the holders of the shares in the same class.
- Shares may be issued upon incorporation or afterwards (i.e. an allotment).
- Shares may be transferred (voluntarily) or transmitted (by operation of the law).
- Every company must keep a register of its members (s.627).
- The doctrine of capital maintenance requires that the share capital of a company may not be returned except on winding-up. The reason is any persons who deal with, and give credit to, a limited company naturally rely upon the fact that the company is trading with a certain amount of capital already paid, as well as upon the responsibility of its members for the capital remaining at call.
- Under the doctrine of capital maintenance, the following transactions are generally prohibited: (1) reduction of share capital; (2) self-acquisition of shares by the company; (3) financial assistance for the acquisition of shares and (4) payment of dividends other than out of profits.
- A company may only reduce its share capital either by special resolution supported by a solvency statement (Sub-division 2 of Division 3 of Part 5) or by special resolution confirmed by the court (Sub-division 3 of Division 3 of Part 5).
- At common law, a company is generally prohibited from purchasing its own shares. S.269(1) now allows a company to issue redeemable shares. Further, s.244 allows a private company to buy back shares under a contract approved in advance by a special resolution of its members. If the buy-back is funded by the share capital of the company, ss.258 and 259 must be followed, namely it must be approved by special resolution and a solvency statement must be made by the directors.

- A company is prohibited from giving financial assistance directly or indirectly to any person for the purpose of acquiring shares in the company before or at the time of the acquisition (s.275(1)).
- Dividends are the return the shareholders get from their investment in the company before winding-up, i.e. while the company is still a going concern. Dividends are the funds divided up in proportion to the shareholdings and paid to the shareholders whilst the company is a going concern.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Debt financing refers to the raising of funds via borrowing (of money). Equity financing means the raising of funds via an increase in the share capital of the company. Equity means the shares issued by the company.

Question 2

A company can raise funds by issuing different types of shares. Different types of shares may have different commercial values to different potential investors. Generally, there are the following types of shares: (1) ordinary shares (shares with no special rights); (2) preference shares (shares that have special rights and/or restrictions attached, which are usually provided in the articles of the company); (3) redeemable shares (shares that may be redeemed by the company or the holders in future; in other words, these are shares that may be re-purchased by the company or be cancelled at the election of the shareholders); and (4) bearer shares (shares that are not registered in the register. Thus, these shares have a high transferability. However, nowadays, bearer shares are prohibited under s.139 of the Companies Ordinance (Cap.622) ('CO').

Question 3

A debenture generally refers to a document issued by a company that constitutes evidence of a loan. For example, s.307 of the CO defines a debenture as including bonds and any other debt securities of the company whether or not constituting a charge on the assets of the company.



There are different types of debentures. Each of them is discussed as below:

1. A debenture can be redeemable or irredeemable. A redeemable debenture means that the company has the power to buy back the debenture from the holder, i.e. repaying the principal to the lender (debenture holder) and thus extinguishing the debt. An irredeemable debenture is one where no date is specified for the repayment of the principal sum lent thereunder (but meanwhile interest would continue to accrue and be due periodically).
2. A convertible debenture is one that can be converted into shares. This is achieved by the company effectively redeeming the debenture by issuing shares to the debenture holder.
3. A debenture stock is a debenture out of which various certificates can be issued for different values and to different investors. Effectively, this allows a debenture to be broken down into smaller pieces and be issued to different subscribers. Each subscriber is a creditor for a portion of the total value of the debenture stock.
4. A bearer debenture is a debenture that can be transferred by the delivery of the debenture instrument. Thus, whoever is in possession of the debenture is the debenture holder.

Question 4

Fixed charge and floating charge are securities given by a borrower to a lender over the borrower's assets. They give a right to the lender (the chargee) to be paid out of the charged asset in the event of the default of the underlying payment obligation of the debtor (the chargor). A fixed charge is a charge secured over a specified asset (thus fixed upon that asset). A floating charge is a charge that is not secured over a specified asset but floats over assets of a company generally. This includes assets the company has yet to possess. Thus, the company is free to dispose of assets under a floating charge from time to time provided that this is done in the normal course of business. A floating charge may crystallise under circumstances specified in the instrument creating the charge. Upon crystallisation, a floating charge becomes fixed over a specified asset and thus becomes a fixed charge.

Question 5

In order to register a charge, it is necessary to deliver to the Registrar of Companies: (1) a statement of the particulars of the charge in the specified form and (2) a certified copy of an instrument creating or evidencing the charge (s.335(1) of the CO). A charge must be registered within one month of its creation (the period of one month starting on a day after the creation of the charge) (s.335(5)(a) of the CO). The court has a jurisdiction to extend the time for registration if it is satisfied that the failure to register was accidental, due to inadvertence or some other sufficient cause or is not of a nature to prejudice the position of creditors or members of the company and it would be just and equitable to extend the time (s.346(3) of the CO). The court may make an order for extension on any terms and conditions that the court thinks just and expedient. This power to extend time is important because it is a criminal offence for a company and its responsible persons to fail to register the charge in time (s.337(2) of the CO). If late registration is allowed, then there would be no criminal liability (s.346(4) of the CO).

Question 6

A mortgage is usually granted by a debtor in favour of a lender. A legal mortgage is created by a transfer of a legal title in the property from the mortgagor to the mortgagee. The mortgagor retains a right to demand the property to be transferred back upon discharge of the liabilities secured by the mortgage, i.e. redemption of the mortgage. This right of the mortgagor to redeem the property is called the equity of redemption. If there is only a binding agreement to grant a legal mortgage but no actual transfer of the mortgage, the mortgage thus created would take effect in equity only, thus known as an equitable mortgage. The common properties subject to a mortgage are real properties (land) and shares.

If the mortgagor (i.e. the borrower) defaults on the underlying loan, the mortgagee (lender) has the following rights. The mortgagee can take possession of and sell the mortgaged property. The mortgagee may then use the proceeds to discharge the mortgagor's liabilities. This power to sell exists in common law and in statute, even if not expressly provided under the mortgage agreement (s.51 and See Schedule 4 of the Conveyancing and Property Ordinance (Cap.219), which is only applicable to land). The mortgagee also has the right to have the mortgaged property vested absolutely, i.e. to take the mortgaged property as its own. Foreclosure would extinguish both the equity of redemption and the outstanding liabilities of the debtor. The precise circumstances where the mortgagee may invoke the right to foreclosure depends on the terms of the mortgage.

Question 7

Shares of different classes have different rights and obligations, e.g. a preferential share is one example of class shares. Shares belong to the same class if the rights attached to those shares are in all respects uniform (s.178(1) of the CO). Variation of the rights of a class of shares must be done in compliance with ss.176 to 184 of the CO. Variation requires the consent of 75% of holders of shares in the same class, passed in a class meeting (a separate general meeting consisting only of holders of the class shares concerned) by special resolution (s.180 of the CO).

Question 8

At common law, the doctrine provides that the share capital of a company may not be returned except on winding-up. The basis for this is that persons who deal with a company naturally rely upon the fact that the company is trading with a certain amount of capital already paid (or that shareholders would be responsible to pay the same for unpaid share capital when being called upon to do so). Thus, the unauthorised return of capital to the members other than upon winding up is prohibited. Accordingly, this doctrine generally prohibits the following transactions: (1) reduction of share capital; (2) self-acquisition of shares by the company; (3) financial assistance for the acquisition of shares; and (4) payment of dividends other than out of profits. However, the statutes now provide for exceptions that allow the above transactions to take place when properly authorised and upon evidence of solvency. Notably, the reduction of share capital can only be done either by a special resolution supported by a solvency statement or by a special resolution confirmed by the court.



Question 9

An allotment of shares normally involves the following steps:

1. The allottee shall enter into a subscription contract with the company (or if there is no subscription contract, the allottee shall make an application for allotment to the company for its acceptance).
2. If the offer for a subscription or allotment is non-pro rata, shareholders' approval shall be obtained and shareholders' approval will include authorisation to the board to allot the shares as approved.
3. The board shall thereafter approve the share allotment and issue share certificates upon receipt of the allotment money (the time of such payment depending on the terms of the subscription contract).
4. The allottee shall then be registered in the register of members. The allottee only becomes a member when he/she is registered as a member (s.2 of the CO). Registration shall be done within two months of allotment (s.143 of the CO).
5. The company shall file a return of the allotment with the Registrar of Companies within a month of the allotment (s.142 of the CO). The return contains such information as the number of shares allotted, names and address of the allottee and the amount paid on each share.

Question 10

A company may only reduce its share capital either: (1) by special resolution supported by a solvency statement (Sub-division 2 of Division 3 of Part 5 of the CO, or (2) by special resolution confirmed by the court (Sub-division 3 of Division 3 of Part 5 of the CO).

The solvency statement must be made by all the directors, indicating that they are satisfied the company has passed the solvency test (s.220), there are no grounds to suggest that the company is unable to pay its debt and that the company is able to pay those debts due within 12 months (or if there will be a winding up of the company within 12 months, that the company will be able to pay its debts due within the 12 months after commencement of the winding-up) (s.205).

Where the court's confirmation is required, its main consideration will be whether the shareholders' and creditors' interests are prejudiced by the reduction of capital, taking into account the following factors: (1) whether the shareholders are treated equitably, (2) whether the reduction proposals have been properly explained to the shareholders, (3) whether the creditors' interests are safeguarded, and (4) whether there is a discernible purpose for the reduction.

As long as those requirements are satisfied, a company may reduce its capital in any form, e.g. (1) by extinguishing or reducing liabilities on unpaid shares, (2) by cancelling any paid-up share capital that is lost or is not represented by available assets (where the company suffers significant losses), and (3) by paying the respective members any paid-up share capital that is in excess of the needs of the company (where the company makes a large profit and no longer requires a large share capital).

EXAM PRACTICE

QUESTION 1

Tomorrow Ltd was a private company incorporated in Hong Kong under the Companies Ordinance (Cap.622). Harry, Ron, James and Simon were brothers, directors and shareholders of the company. Their shareholdings were 3,000, 500, 500 and 6,000, respectively. To make up for their smaller shareholdings, The shares owned by Ron and James were class shares that carry two voting rights per share.

Simon was getting old and wished to pass the baton on to the next generation of the family. Simon decided to sell 3,000 of his shares to Harry's son, Albert. Further, Simon also required money for his retirement. Simon decided to sell the rest of his shares back to Tomorrow Ltd. However, since Tomorrow Ltd's finance was not quite healthy, such a purchase might need to be funded out of the share capital of the company. Further, Simon also wished to cause Tomorrow Ltd to issue 200 class shares to Harry and Albert. Such shares would be in the same class as those of Ron and James at the moment. Simon wanted to weaken the influence of Ron and James over Tomorrow Ltd's affairs. As the history of the brothers transpired, Ron and James had gambling problems and often caused troubles for the company.

As a result, Simon called a general meeting (giving a 14 days' notice). Simon did not mention anything about the proposed resolutions in the notice of the general meeting as Simon thought Ron and James might be unhappy with the voting rights issue. At the general meeting, all three resolutions (i.e. the transfer of Simon's 3,000 shares to Albert, the repurchase of Simon's remaining shares by Tomorrow Ltd and the allotment of 200 class shares to Harry and Albert) were passed with the support of Harry and Simon (who together constituted the majority). Ron and James, however, voted against the resolutions. Being taken by surprise, Ron felt it was unfair that his own son Gellet was not given any shares. Further, Ron and James both felt cheated by the proposed issue of class shares, which would effectively dilute their voting power further.

- (a) Analyse the steps required for the sale of the shares by Simon to Albert.
- (b) Analyse whether the repurchase of Simon's shares by Tomorrow Ltd was valid.
- (c) Analyse whether the issue of class shares to Harry and Albert was valid.

QUESTION 2

Advanced Ltd operates a printing business. It granted a floating charge over its assets generally to Bank X for a loan of HK\$5,000,000. The term of this loan was for two years. There was an automatic crystallisation clause, the effect of which was to convert the floating charge into a fixed charge upon default of the borrower. Advanced Ltd defaulted within five months. After the default, Advanced Ltd further obtained a loan from Bank Y for HK\$1,000,000, as secured by a fixed charge on all of its printing machines. Primitive Ltd is a supplier of Advanced Ltd. It is concerned with the latter's financial health. Thus, it added a retention of title clause in the most recent supply contract with Advanced Ltd with respect to the ink and paper supplied. Advanced Ltd never paid the purchase price. All of the above charges were duly registered except for the charge to Bank X. Advanced Ltd entered into liquidation. Its assets only amounted to HK\$2,000,000.

Analyse the priority of the charges and which of the above creditors would get paid.



QUESTION 3

Analogue Co. Ltd ('ACL') is engaged in the business of mechanical watches. It is owned solely by Andrew, who is also the only director of ACL. ACL currently operates from a small shop in Central and owns the premises. Business is doing well and Andrew wants to expand the business. However, Andrew has already put his own life saving into ACL and has no more money. On the one hand, Andrew may approach his friend Bruce since Bruce has always wanted to chip into the business. On the other hand, Andrew may also approach his uncle since Andrew's uncle Chris is actually very wealthy. Andrew knew that Chris has no interest in the business at all but may be willing to support Andrew if the transaction makes business sense.

Analyse the options of fund raising methods open to Andrew, the nature of such fund raising methods as well as the advantages and disadvantages of those available options of fund raising methods.

QUESTION 4

Fancy Co. Ltd ('FCL') has three shareholders namely, Andy, Betty and Cathy, each holding 400, 300 and 300 shares of FCL, respectively. FCL was established 10 years ago by the three shareholders and their friends. It has been engaged in the business of selling soft drinks, and it has now developed into a mid-sized company.

Andy in fact has started another business of his own five years ago and has not been involved in the business of FCL in recent years. Andy wants to exit the investment. Betty and Cathy believe that it would be beneficial for the future development of FCL to acquire Andy's shares but they do not want to acquire Andy's entire shareholdings as that would require a lot of funds. In the end, it was agreed between the three shareholders that Betty and Cathy will each purchase 100 shares from Andy. The remaining 200 shares will be repurchased by FCL with its share capital. The three shareholders passed a special resolution approving the repurchase. However, it later transpired that the balance sheet upon which the special resolution was passed was inaccurate. In fact, FCL made a further profit of HK\$1 million than that stated on the balance sheet. Further, it transpired that Betty and Cathy's purchase of Andy's shares was actually secured by a guarantee from Wonderful Co. Ltd, a wholly owned subsidiary of FCL.

Analyse the validity of the sale of Andy's shares to (a) FCL and (b) Betty and Cathy.

ANSWERS TO EXAM PRACTICE

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622).

QUESTION 1

- (a) First, Simon and Albert should enter into a contract of sale and purchase of the 3,000 shares. Second, they should execute an instrument of transfer and deliver the same to Tomorrow Ltd for approval on the transfer (s.150). Third, they would need to execute contract notes for the transfer (s.19(1) of the Stamp Duty Ordinance (Cap.117) ('SDO')).

Ad valorem stamp duty is payable on each of the two contract notes (i.e. the bought note and the sold note) at the rate of 0.1% of the consideration of the sale or the value of the shares, whichever one was higher (s.19(1) of the SDO). The directors of Tomorrow Ltd should authorise the registration of the transfer and update the register of members (s.627). Thereafter, the old share certificates of Simon would be cancelled by Tomorrow Ltd and a new certificate would be issued to Albert (s.155).

- (b) Under the doctrine of capital maintenance, Tomorrow Ltd is prohibited from purchasing its own shares. Tomorrow Ltd might do so either by (1) a special resolution supported by a solvency statement by the directors (Sub-division 2 of Division 3 of Part 5) or (2) a special resolution confirmed by the court (Sub-division 3 of Division 3 of Part 5). As Simon clearly wished for the share repurchase to be approved, the proper procedure must have been complied with. This is to say, the contract to repurchase must be approved in advance by a special resolution of the members (s.244). Since the purchase of Simon's shares by Tomorrow Ltd would likely need to be funded out of the company's share capital, the conditions specified in ss.258 and 259 must be satisfied, namely that (1) the purchase was approved by special resolution and (2) a solvency statement must be made by the directors to show that the company was solvent.

Simon and Harry (who supported the resolution) together held 9,000 votes. Ron and James together held 2,000 votes (by virtue of the rights attached to their class shares, i.e. 2 votes per share). Thus, Simon and Harry would still be able to outvote Ron and James by a majority over 75% ($(9,000/(9,000 + 2,000)) = \text{around } 81\%$). This satisfies the majority requirement of a special resolution (s.564). However, the intention to pass the resolution as a special resolution was not stated in the notice to the meetings. Also, the proposed resolution itself was (apparently) also not included in the notice of the meeting (because Simon wished to surprise Ron and James). Thus, the notice was invalid.

Simon and Harry might wish to argue that, under the irregularity principle, this was an irregularity that could have been cured by them as the majority shareholders. However, in the present case, the requirement of s.259 as to the solvency statement was also not satisfied. The statement must be made by directors and must be provided to all members prior to the meeting (s.259). Thus, the irregularity seemed to be one going to the substance and could not be cured by Simon and Harry alone as the majority shareholders. As a result, the resolution may likely be declared not binding on the company.

- (c) The conditions for variation of class rights depend on the articles of Tomorrow Ltd. No details were given in the present case.

In the absence of any provisions in the articles providing for the variation of class rights, the default rule is provided by the Companies Ordinance. Thereunder, variation of class rights may only be made (1) with the written consent of holders representing at least 75% of the total voting rights of holders of the class shares concerned (s.180(1)), and (2) there must be a special resolution passed at a class meeting (s.180(3)).

However, it is noted that the resolution was only to issue new class shares to persons who were not originally holders of the shares in that class. Thus, the resolutions do not amount to a variation *per se*. It affects only the enjoyment of the class rights but not the rights themselves. It only prejudices the business or commercial interest of the original holders of the class shares. Analogy can be drawn to the case of *White v Bristol Aeroplane Co Ltd* (1953) Ch 65, where the issue of new class shares to the original ordinary shareholders were held not to amount to a variation. Thus, the



resolution in the present case also did not amount to a variation. Approvals as set out above were not necessary. The resolution was valid.

Again, the proposed resolution itself was (apparently) also not included in the notice of the meeting (because Simon wished to surprise Ron and James). Thus, the notice was invalid.

Ron and James might want to argue otherwise. However, it seems that in the present case something more is needed for Ron and James to argue that the irregularity was one going to the substance and could not be cured by Simon and Harry alone as the majority shareholders. For example, had either Simon or Harry failed to attend the meeting due to the insufficiency in the notice, there might have been a better argument to suggest that the notice rendered the resolution invalid. As a result, it might be difficult for Ron and James to argue that the resolution was not binding on this basis.

QUESTION 2

Bank X's floating charge

As regards Bank X's floating charge, it should have the lowest priority. Generally, a floating charge ranks below a fixed charge (i.e. Bank Y's charge) despite the fact that the latter may have been created subsequently. However, the effect of an automatic crystallisation clause is to convert the floating charge into a fixed charge upon the happening of predetermined events, such as the default of the borrower on the underlying loan. As a result, Bank X's charge ought to have been converted into a fixed charge prior to the grant of the fixed charge to Bank Y. Bank X's charge would have had priority over Bank Y but for the registration issue. Owing to the fact that Bank X's charge was not duly registered, s.337(4) rendered it void against the liquidator and the creditor of the company. Therefore, Bank X's charge, though still valid against the company, would be ranked lowest amongst the three charges (including the floating charge of Primitive Ltd, see below). If there were assets remaining after satisfaction of the other two charges, Bank X would be paid. However, in the present case, this was not possible.

Bank Y's fixed charge

Bank Y's fixed charge shall have the highest priority. Generally, a fixed charge has priority over a floating charge (i.e. the charge to Primitive Ltd, as will be explained below). Between fixed charges, the earlier one has priority. Bank Y's charge is the earliest fixed charge. Thus, it has the highest priority. It is likely to be able to recover its lending from the value of the printing machines.

Primitive Ltd's floating charge

Primitive Ltd also has a floating charge. By virtue of the retention of a title clause and the non-payment of the purchase price, Primitive Ltd has a floating charge over the ink and paper. It is therefore able to trace into the proceeds of any printed materials sold by Advanced Ltd produced using those raw materials. Primitive Ltd's interest would rank subsequent to Bank Y's fixed charge.

QUESTION 3

Loan borrowing from the bank

Firstly, Andrew can consider mortgaging the premises of Analogue Co. Ltd ('ACL') in exchange for a loan from the bank. A mortgage is a type of security. A legal mortgage is a transfer of

property from the mortgagor to the mortgagee. The mortgager (i.e. ACL) will have the right to demand the property to be transferred back upon discharge of the liabilities secured by the mortgage, which in the present case would be the bank loan.

The advantage is that it would encourage the bank to agree to lend to ACL and for a large amount depending on the value of the property. The disadvantage is that, should ACL default on the bank loan, the mortgagee bank will have the right to take possession of the property and sell the same. Alternatively, upon ACL's default, the mortgagee bank can also have the property vested in it absolutely, i.e. a foreclosure. A foreclosure would extinguish the equity of redemption that ACL has to redeem the property but at the same time also the outstanding liabilities of the debtor.

Equity financing from his friend Bruce

Secondly, Andrew can consider offering equity financing to Bruce, given the latter's interest in the business. This means offering to Bruce to subscribe for new shares in ACL. The simplest form of equity financing would be to offer a certain amount of ordinary shares to Bruce.

The advantage is that as long as Andrew retains more than 50% of the shares in ACL after the allotment, Andrew retains control in ACL. The disadvantage is that Andrew will have to share the future distribution of dividends with Bruce in proportion to their respective shareholdings. Andrew will also run the risk of falling out with Bruce and Bruce might commence litigation such as unfair prejudice proceedings seeking an order that either Andrew or Bruce buy out the other's shares.

Andrew can also consider offering redeemable shares to Bruce. Redeemable shares refer to those shares that allow either the company or the holders to redeem the shares in the future. This allows Andrew an option to regain total control and ownership of ACL in the future.

Debt financing from his Uncle Chris

Thirdly, as Chris obviously prefers to help in a more distanced way, Andrew can consider offering Chris debt financing with fixed periodic returns such as a loan. A loan would offer fixed monthly interest and principal repayments to Chris, irrespective of the well-being of the business.

The advantage is that Chris will get a return for his investment irrespective of the performance of the business. The only risk Chris runs is the collapse of the business, rendering Chris an unsecured creditor amongst other creditors upon ACL's winding-up. In that case, if ACL's assets are not sufficient to satisfy the claims of all creditors, Chris might not be able to recover the full sum of his loan. Since the loan is unlikely to be secured, Chris' claim would rank the lowest and after secured creditors upon ACL's winding-up. In order to entice Chris to lend, Andrew can offer a personal guarantee to secure the proposed loan to ACL.

QUESTION 4

Shares re-purchase by Fancy Co. Ltd ('FCL')

As to the repurchase of 200 shares by FCL from Andy, this engages the doctrine of the maintenance of capital of a company. It provides that the share capital of a company may not be returned except on winding-up. The basis is that persons who dealt with, and give credit to, a limited company would rely upon the fact that the company has a certain amount of capital already paid. However, the Companies Ordinance (Cap.622) provides that in a certain situation a company may buy back its own shares.



Firstly, it needs to be ascertained whether the shares held by Andy are ordinary shares or redeemable shares. A company may redeem any redeemable shares issued. Upon redemption, such shares are treated as cancelled (ss.234(1) and 269(1)). However, no evidence has been given in this regard. If Andy's shares were redeemable shares, no special procedure is necessary other than any stated in the articles of the company.

However, if Andy's shares were ordinary shares, the following apply. As FCL needs to buy back Andy's shares with its capital without making any application to the Court, two conditions must be met: (1) it must be approved by special resolution and (2) a solvency statement must be made by the directors and be made available to all members. The special resolution must be passed within 15 days of the date of the solvency statement. There is no evidence that in the present case such a statement has been made and provided to the shareholders 15 days before the special resolution was passed. This needs to be ascertained.

However, a further issue arises in the present case. On the assumption that such a statement has been provided, it would have been provided on the basis of an inaccurate balance sheet. This may be a basis upon which the court would refuse to confirm the repurchase (*Re Fok Ying Tung Ming Yuan Development Co Ltd* (2016) 2 HKLRD 292). However, unlike that case, the inaccurate balance sheet in the present case seems to suggest that FCL has more funds than it did. Thus, it is arguable that the inaccurate balance sheet did not cause any prejudice and confirmation should be granted anyway.

Shares purchase by Betty and Cathy

The share purchase might offend the rule that a company cannot offer financial assistance in the purchase of the company's shares. Assistance is defined quite broadly to include a gift, provision of guarantee, a security, an indemnity, a loan or any other financial assistance that would reduce the net assets of the company by a material extent. Breach of this rule would in fact give rise to criminal liability. This rule extends to a subsidiary giving financial assistance for the purpose of acquisition of shares in the holding company.

Therefore, in the present case, the provision of a guarantee from Wonderful Co. Ltd ('WCL') falls foul of this rule. WCL is a subsidiary of FCL. WCL provided a guarantee to secure the acquisition of shares of FCL by Betty and Cathy. Betty and Cathy might want to make use of the exception that the financial assistance for the acquisition is not for the principal purpose of the acquisition but for some larger purpose of the company and the assistance was provided in good faith in the interest of FCL, i.e. beneficial for the future development of FCL. However, as demonstrated in the *Ricco (Int'l) Co Ltd* (2017) 6 HKC 487 case, in considering whether a principal purpose of the transaction was not to give assistance but for some larger purpose, it was important to distinguish between 'a purpose' and 'the reason why a purpose was formed'. The reason or motive that induced the company to give assistance could not be a separate purpose justifying the assistance. Therefore, the benefit for the future development of the business was merely the reason for the acquisition by Betty and Cathy.

12

Listed Companies and the Regulation of Financial Markets



CHAPTER TOPIC LIST

12.1 Regulation of Financial Markets in Hong Kong

- 12.1.1** Financial Markets in Hong Kong
- 12.1.2** The Regulators of Financial Markets in Hong Kong
- 12.1.3** Overview of Financial Laws and Regulations

12.2 Public Issue of Shares

- 12.2.1** Prospectuses
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12.3 Public Listed Companies

- 12.3.1** Continuing Obligations of Disclosure and Inside Information

- 12.3.2** Specific Disclosure under the Listing Rules and Codes

- 12.3.3** Takeovers and Mergers

- 12.3.4** Share Buy-backs for Listed Companies

- 12.3.5** Governance

- 12.3.6** Financial Reporting under the Listing Rules

12.4 Financial Crimes

- 12.4.1** Market Misconduct under the Securities and Futures Ordinance

LEARNING OUTCOMES

PRINCIPAL LO1: ANALYSE AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN THE DIFFERENT FORMS OF LEGAL ENTITIES

Formation of companies

LO1.02: Explain and apply the process of forming an incorporated body

1.02.07 Apply the requirements for the registration of:

- Shares (#)
- Charges (#)
- Directors (*)
- Directors' shareholdings

Capital and financing of companies

LO1.03: Analyse the legal implications of issuing share capital and loan capital

1.03.04 Describe and analyse the legal implications of raising share capital including:

- Issue of shares with or without prospectus
- Principle of maintenance of capital (#)
- Buy-back and redemption of shares (#)
- The application of the Codes on Takeovers and Mergers and Share Buy-backs
- Dividends including scrip dividend (#)
- Changes to capital (#)

Administration of companies

LO1.04: Analyse how companies make decisions and manage their activities, and apply the rules and requirements to practical business situations

1.04.04 Apply the concepts of:

- Insider dealing
- Disqualification order (*)
- The Corporate Governance Code in the Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited ('Listing Rules') in relation to a director of a company

1.04.06 Describe the statutory requirements on the contents and format of a company's financial statements and the accounting related provisions of the Listing Rules

1.04.10 Explain and analyse the relevant matters in relation to company meetings including:

- Procedures for convening a meeting (*)
- Members' resolution (*)
- Quorum, proxy and voting (*)
- Passing members' resolution without meeting (*)
- Corporate Governance Report as required by the Listing Rules

1.04.13 Apply the rules and requirements regarding administration of companies to practical business situations


PRINCIPAL LO2: EXPLAIN AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS
LO2.01: Explain and apply the important rules and requirements applicable to public companies

- 2.01.01** Explain and apply the rules and requirements applicable to public companies in relation to the following areas:
- Fund-raising by public issuer - methods of listing, qualifications for listing
 - Prospectus contents and liabilities
 - Continuing obligations of listed companies (e.g. connected transactions, notifiable transactions, and mandatory disclosure of inside information)

LO2.02: Explain and apply the schemes of arrangement, reconstruction, and the take-over provisions under the Codes on Takeovers and Mergers and Share Buy-backs

- 2.02.01** Apply the Codes on Takeovers and Mergers and Share Buy-backs
- 2.02.02** Explain takeover by way of a scheme of arrangement or general offer
- 2.02.04** Explain the roles of a director and an accountant in a takeover

PRINCIPAL LO3: EXPLAIN THE KEY ASPECTS OF THE LEGAL SYSTEM AND THE KEY ROLES OF EXTERNAL REGULATORY BODIES IN HONG KONG
LO3.01: Describe the principal features of the Hong Kong legal environment and the key roles of external regulatory bodies

- 3.01.08** Identify important external regulatory bodies and describe their role, structures, duties and powers, in relation to the work of an accountant:
- The Hong Kong Monetary Authority
 - The Securities and Futures Commission
 - The Hong Kong Stock Exchange
 - The Accounting and Financial Reporting Council
 - The Insurance Authority

For the topics marked with (*), please refer to discussions in Chapter 9.

For the topics marked with (#), please refer to discussions in Chapter 11.

 OPENING CASE

GOING PUBLIC

After a few years of operation, Impressive Technologies Ltd has become a formidable player in the market. Andrew, Bruce, Chris and Denise are advised that they can choose to go public and earn a huge profit. They want to know what that means and what steps they need to take. They understand that essentially it is a process for the company to raise funds by offering the shares of the company to the public and to enable the shares to be publicly traded.

This is a process known as 'becoming listed'. Andrew, Bruce, Chris and Denise want to find out who the regulators are that monitor this process and, thus, whose guidelines they need to follow.

Also, after the company has been listed, the group of friends want to know what restrictions there might be regarding the trading of shares. They have heard that shareholders or directors of a listed company may commit market misconduct offences. They are nervous about this and want to find out what such misconduct offences might consist of. 



OVERVIEW

This chapter focuses on matters relating to public companies. Public companies are companies whose shares can be offered to and traded by the public. This is usually achieved by having the company's shares listed on a stock exchange, i.e. in Hong Kong's case, the Hong Kong Stock Exchange. The public trading of listed shares and other securities forms the major part of the financial market in Hong Kong.

First, this chapter provides an introduction to the major regulators of the financial market in Hong Kong. It then moves on to explain the process of listing and going public. The major part of this process is the regulations concerning the prospectus, which is the most important document in the listing process. The prospectus is the document introducing the company to the potential public investors, its business, management and financial performance. Detailed rules and regulations have been developed to ensure that the information contained in the prospectus is true and accurate. After a company's shares have been listed, the company would be subject to an additional regime of rules applicable to public companies in relation to the trading of its shares and its reporting duties. In Hong Kong, most notably requirements include the Main Board Listing Rules, the Growth Enterprise Market Listing Rules and the Codes on Takeovers and Mergers and Share Buy-backs. Finally, this chapter will provide an introduction to the concept of market misconduct offences. Market misconduct offences are both criminal and regulatory in nature. They can be committed by any market participants, most commonly the shareholders and directors of a public company.

Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622).

In this chapter, 'LR' stands for 'Main Board Listing Rules' while 'TC' stands for 'Codes of Takeovers and Mergers and Share Buy-backs'. Both 'LR' and 'TC' would appear in this chapter for cross-referencing purpose.



12.1 REGULATION OF FINANCIAL MARKETS IN HONG KONG

The main regulators of the financial market in Hong Kong are the **Hong Kong Exchange and Clearing Limited** ('HKEX') and the **Securities and Futures Commission** ('SFC'). The names of these organisations resonate throughout this chapter. In particular, HKEX operates the stock and futures markets in Hong Kong through two wholly owned subsidiaries, namely the Stock Exchange of Hong Kong Limited ('SEHK') and Hong Kong Futures Exchange Limited ('HKFE') respectively.

Surrounding the main structure built by the HKEX and the SFC are a number of different regulators in the background such as the **Hong Kong Monetary Authority** ('HKMA'), which is essentially a regulator for banks. It would also be discussed in this chapter because the banks play an important role in the financial market, as the biggest funder of listing projects. Other regulators in the financial market also include the **Insurance Authority** ('IA') and the **Accounting and Financial Reporting Council** ('AFRC').

12.1.1 Financial Markets in Hong Kong

A financial market is a market where financial securities and other financial assets are traded, such as equities (e.g. shares of public companies), bonds, international currencies and financial derivative products. Some of the main features of the financial market are explained below.

12.1.1.1 Banking and Foreign Exchange and the Linked Exchange Rate

A bank is an entity primarily concerned with the withdrawal and receiving of deposits. Commercial banks also provide loans and mortgages to the public. In the finance sector, investment banks play an important role. They provide services such as underwriting and the arrangement of corporate financing. These are crucial in corporate activities. Famous investment banks include Morgan Stanley and Goldman Sachs, etc.

The **foreign exchange market** (often referred to as the forex market) is a place for the sale and purchase of currencies of different countries. The forex market is the largest financial market in the world, owing to its global nature. The basic model of transaction is simple. An investor buys one type of currency by selling another type of currency. Thus, currency exchange is always quoted in pairs (HKD/EUR, HKD/GBP, etc.).

In Hong Kong, the **linked exchange rate system** was established in 1983. It is basically a system that requires both the stock and the flow of the monetary base of Hong Kong to be fully backed by foreign reserves. In other words, all money in Hong Kong is backed by a foreign reserve of US dollars. Broadly speaking, the monetary base of Hong Kong comprises three components, the first two of which are: (1) bank notes and coins; and (2) the sum of balances of all banks' clearing accounts maintained with the HKMA. These are the accounts clearing and settling transactions amongst the banks themselves and between banks and the HKMA. The third monetary base of Hong Kong is the outstanding amount of exchange funds bills and notes. These are Hong Kong dollar debt securities issued by the HKMA, constituting direct, unsecured, unconditional and general obligations of the HKSAR for the account of the exchange funds. These are essentially unsecured debt of the HKSAR.

12.1.1.2 Debt and Equity Markets

The distinction between debt and equity was explained in Chapter 11 Company Capital and Financing Companies. In Hong Kong, listed debt and equity are traded through the securities market with the SEHK, i.e. one of the two wholly owned subsidiaries of HKEX. The SEHK provides clearing, settlement and depository services for trading. The trading system is an order-driven system. There are three trading sessions: (1) Auction Session; (2) Continuous Trading; and (3) Auction Session.

All issuers of debt and equity securities listed on the SEHK are subject to the Listing Rules.

12.1.1.3 Derivative Markets

The HKEX also maintains a derivative market. A **derivative** is a kind of finance security. However, unlike debt or equity security, it does not have an intrinsic value *per se*. Its value derives from whatever securities (which could be equity or debt or both) bundled up under it.



Hence, it is a derivative. For example, a futures contract is a derivative. A **futures contract** is a contract for the sale of an asset at a predetermined price, but the transaction takes place in the future. The profit or loss under a futures contract depends on the direction of the market, i.e. the value of the asset going up or down. One party is predicting that the price of the asset would go up (or down), whilst the other party is predicting the opposite. Thus, a futures contract is a tool to hedge against the risk of uncertainty in the future. The futures contract's value depends on the underlying securities. Futures contracts can be traded on the HKFE, one of the two wholly owned subsidiaries of HKEX.

Derivatives can also be traded. At the HKEX, they are traded in real time. An electronic system automatically matches orders in real-time based on price/time priority. The trading times of derivatives depend on the type of contract.

12.1.1.4 Insurance Markets

The insurance industry plays a very important role in the financial system. Everyone needs insurance, including life insurance, health insurance, disability insurance, automobile insurance and fire insurance. From a finance perspective, insurance companies apply funds obtained from clients and make further investments. In this sense, insurance companies can be considered as financial intermediaries.

12.1.2 The Regulators of Financial Markets in Hong Kong

The main regulators of the financial markets in Hong Kong are the SFC and the HKEX. There are also other supporting regulators, e.g. the Financial Secretary, the HKMA, the AFRC and the IA.

12.1.2.1 The Financial Secretary

The **Financial Secretary** is responsible for formulation and implementation of policies in financial, monetary, economic, trade, development, innovation and technology matters. For example, the exchange fund as mentioned at Section 12.1.1.1 above is controlled by the Financial Secretary. Unlike the SFC and the HKEX, the Financial Secretary's role lies in the development and implementation of policies. It does not involve itself with direct regulation. Instead, it liaises with the SFC and the HKEX to study how to improve financial regulations. For example, upon the request of the Financial Secretary, the SFC submitted a report on improving Hong Kong's regulatory framework following the collapse of Lehman Brothers.

The Financial Secretary is also responsible for developing the budget of the HKSAR Government, which outlines the government's proposed spending in the coming financial year, for approval of the Legislative Council.

12.1.2.2 The Monetary Authority

As discussed in Section 1.8.1, the HKMA is the governing authority for maintaining monetary and banking stability. Its main functions are (See HKMA's website at <https://www.hkma.gov.hk/eng/about-the-hkma/hkma/about-hkma.shtml>):

1. Maintaining currency stability within the framework of the Linked Exchange Rate system;
2. Promoting the stability and integrity of the financial system, including the banking system;

3. Helping to maintain Hong Kong's status as an international financial centre, including the maintenance and development of Hong Kong's financial infrastructure; and
4. Managing the Exchange Fund.

In the context of financial market regulation, the HKMA focuses on banking activities. In particular, it oversees those financial market infrastructures ('FMIs') that facilitate the clearing, setting or recording of payments, securities, derivatives or other financial transactions that constitute an essential foundation for the smooth functioning of an advanced economy (See the HKMA's website at <https://www.hkma.gov.hk/eng/key-functions/>). The HKMA supports the financial structure underlying the financial markets and fosters financial stability.

12.1.2.3 The Securities and Futures Commission

As discussed in Section 1.8.2, the SFC is the main body regulating the securities and futures markets in Hong Kong. Its mission statement is that it strives to strengthen and protect the integrity and soundness of Hong Kong's securities and futures markets for the benefit of investors and the industry (See the SFC's website at <https://www.sfc.hk/web/EN/about-the-sfc/our-role/>). In general, the SFC monitors and regulates the activities of participants in the financial markets for the protection of investors and the entire industry.

The SFC is a statutory body established under the **Securities and Futures Ordinance** (Cap.571) ('SFO'). All of the SFC's investigative, remedial and disciplinary powers are derived from the SFO. These are discussed in more detail in the following sections, in particular at Section 12.4.

Pursuant to s.4 of the SFO, the SFC's regulatory objectives are:

1. To maintain and promote the fairness, efficiency, competitiveness, transparency and orderliness of the securities and futures industry;
2. To promote understanding by the public of financial services including the operation and functioning of the securities and futures industry;
3. To provide protection for members of the public investing in or holding financial products;
4. To minimise crime and misconduct in the securities and futures industry;
5. To reduce systemic risks in the securities and futures industry; and
6. To assist the Financial Secretary in maintaining the financial stability of Hong Kong by taking appropriate steps in relation to the securities and futures industry.

One of the most significant parts of the responsibility of the SFC is the regulation and the prosecution of market misconducts as defined under the SFO (See Section 12.4).

12.1.2.4 The Hong Kong Stock Exchange

As discussed in Section 1.8.3 and above, HKEX is one of the two most important regulators of the financial markets in Hong Kong. It regulates the trading carried out through its two wholly owned subsidiaries, i.e. the SEHK and the HKFE. The HKEX regulates those companies that seek



admission onto the Hong Kong Stock Exchange (usually by becoming a listed company) and those companies that are listed. It is also responsible for ensuring that the Hong Kong financial markets are fair, orderly and informed.

The most significant roles and responsibilities of the HKEX largely relate to the activities of listing, i.e. listing of shares of a company on the SEHK. It establishes and promulgates the Listing Rules, which prescribe listing requirements for listing applicants and listed issuers (See Sections 12.2 and 12.3). It also administers the Listing Rules. Breach of the Listing Rules may attract sanctions from the HKEX.

12.1.2.5 The Accounting and Financial Reporting Council

As discussed in Section 1.8.4, the AFRC is an independent statutory body set up under the Accounting and Financial Reporting Council Ordinance (Cap.588) ('AFRCO'). Some of the major roles of the AFRC is (1) to conduct independent investigations into possible auditing or reporting irregularities by auditors of listed entities and (2) to enquire into possible non-compliance with accounting requirements by listed entities (See the AFRC's website and s.9 of the AFRCO).

The main duty of the AFRC is to investigate relevant irregularities as defined under the AFRCO. For example, where a listed entity is concerned, if the auditor or reporting accountant (s.4 of the AFRCO):

1. Falsified or caused to be falsified a document;
2. Made a statement, in respect of a document, that was material and that he/she knew to be false or did not believe to be true;
3. Has been negligent in the conduct of his/her profession;
4. Has been guilty of professional misconduct; or
5. Did or omitted to do something that would reasonably be regarded as bringing or likely to bring discredit upon the auditor or reporting accountant himself/herself, the Hong Kong Institute of Certified Public Accountants ('HKICPA') or the accountancy profession.

Thus, the AFRC is an important organisation monitoring the auditing, accounting and reporting standards of participants in the financial market.

12.1.2.6 The Insurance Authority

Insurers play an important role in the financial market. Insurance companies by the nature of their business accumulate and maintain a large capital. This renders them large and important investors in the market. As established and governed by the **Insurance Ordinance** (Cap.41) ('IO'), the IA monitors licensed insurance companies and assists them to maintain financial stability in the financial market. For the statutory duties and powers of the IA, see Section 1.8.5 for details.

12.1.3 Overview of Financial Laws and Regulations

The main legislation governing the financial market is the SFO. Another important set of rules is the Listing Rules issued by the HKEX. However, the Listing Rules are not statutes. They are merely rules applicable to companies that choose to have their shares listed on the HKEX. Other supporting laws include the Banking Ordinance (Cap.155) ('BO') and the IO.

12.1.3.1 The Banking Ordinance (Cap.155)

The **Banking Ordinance** is a piece of legislation regulating the banking business and the business of taking deposits. It covers any entity falling within the definition of 'authorised institution', which includes all major banks. The purpose of the legislation is to promote stability and effective working of the banking system. It also contains provisions supervising money brokers. It is worth noting that money lenders are also regulated by the Money Lenders Ordinance (Cap.163).

12.1.3.2 The Securities and Futures Ordinance (Cap.571)

The SFO is the main legislation regulating the trading of securities, futures and leveraged foreign exchange contracts, financial intermediaries and financial markets of Hong Kong. The aim of the SFO is to promote market confidence, secure appropriate investor protection, reduce market malpractice and financial crime and facilitate innovation and competition.

The SFO provides for the establishment of a few important organisations. Part II of the SFO provides for the establishment of the SFC, which is the statutory regulator of the financial market in Hong Kong. It has enforcement powers in relation to market misconduct (See Section 12.4). Part XIII of the SFO provides for the establishment of the Market Misconduct Tribunal. The tribunal is an independent body from the SFC or the government. It is chaired by a judge or former judge of the High Court of Hong Kong. It is the place of trial for market misconduct proceedings (See Section 12.4).

Most importantly, the SFO provides a list of prohibited activities known as 'market misconduct offences'. Commission of market misconduct offences would give rise to both regulatory and criminal liabilities (See Section 12.4).

12.1.3.3 The Listing Rules: Legal Status and Enforcement

The Listing Rules of the Stock Exchange are made pursuant to s.23 of the SFO. However, it is not a legal statute. It is a set of rules applicable to all issuers who wish to have their shares listed on the HKEX. In this sense, the Listing Rules can be considered a playbook of the HKEX, binding all those who choose to participate and want their securities to be traded on the exchange. Broadly speaking, the Listing Rules have the following purposes:

1. Ensuring the applicants are suitable for listing;
2. Ensuring the issue and marketing of securities are conducted in a fair and orderly manner, with sufficient disclosure;
3. Ensuring all holders of listed securities are treated fairly and equally; and
4. Ensuring directors of a listed issuer act in the interest of its shareholders as a whole.

Since the Listing Rules are not statute, their breach does not give rise to any criminal or civil liability *per se*. A breach would, however, have regulatory consequences. The HKEX may impose: (1) a private reprimand; (2) a public statement with criticism; (3) a public censure; and (4) a requisition for rectification. Of course, the most severe consequence is the delisting of the relevant securities or the rejection of an application for listing.

12.1.3.4 The Insurance Ordinance (Cap.41)

The IO aims to ensure the solvency of insurance companies. However, the IO does not regulate private insurance policies in particular. Construction of insurance contracts remains a matter of common law. The IO created the main regulator of the insurance industry, i.e. the IA. Any company that carries on insurance business must be authorised to do so pursuant to the IO. The IO provides for requirements as to the fitness of directors, auditors, actuaries and the production of accounts of insurance companies.

► Knowledge Check Questions

Question 1

Explain the roles of the key regulators of financial markets in Hong Kong.

Question 2

Explain the difference between the Securities and Futures Ordinance (Cap.571) and the Listing Rules, from a legal perspective.



12.2 PUBLIC ISSUE OF SHARES

In the terms of the Companies Ordinance (Cap.622) ('CO'), a public company is defined negatively to mean a company that is neither a private company nor a company limited by guarantee (s.12). It can be recalled that one of the defining characteristics of a private company is that it is prohibited from making any invitation to the public for subscription of its shares or debentures (s.11(1)). Accordingly, the hallmark of a public company is that it is allowed to offer and issue its shares to the public. The first time a company offers its shares to the public is known as an **Initial Public Offering** ('IPO').

12.2.1 Prospectuses

In order to undertake an IPO, the company will need to issue a document called a 'prospectus'. As will be explained below, the **prospectus** is essentially a document that introduces the company to the potential investors in the public. It can take many forms. S.2 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) ('CWUMPO') defines prospectus widely to mean 'any prospectus, notice, circular, brochure, advertisement or other document

offering share or debentures . . .'. Therefore, a core theme of the regulation governing the prospectus is to ensure that the information it contains is true and accurate.

The main provisions governing the prospectus can be found in the CWUMPO. The Companies Ordinance (Cap.32) is the chapter for the old companies ordinance. The general provisions have now been replaced by the CO, which is the 'CO' mentioned in the previous chapters. However, those provisions governing the prospectus and winding-up have been retained in the CWUMPO.

Illustrative Example 1

In the opening case, Impressive Technologies Ltd is going public and is making an Initial Public Offering. Accordingly, it makes an announcement about this offering on 15 May 2019. For this purpose, it has issued a prospectus dated the same date for the purpose of introducing its company to the investors.

12.2.1.1 Requirement of Prospectus

S.38(3) of the CWUMPO prohibits a company from offering shares to the public without a prospectus that is in compliance with the provisions in the CWUMPO.

An offer to the public includes an offer that is made to the public generally or an offer that is only made to a section of the public. This definition is not without difficulty. What counts as a section of the public? It appears that the answer to that question depends on the characteristics of the group of offerees of the shares. There needs to be a rational connection between the characteristic that sets the members of a group apart and the nature of the offer made to them. If there is no rational connection, then the group would ordinarily be treated as a section of the public for the purpose of the offer.

Further, it is also important to note that an offer is not to be treated as made to the public if it is not calculated to result, directly or indirectly, in the shares or debentures becoming available for subscription or purchase by persons other than those receiving the offer (s.48A(2) of the CWUMPO). Thus, offers to employees under employee share schemes would not be regarded as an offer to the public.

Illustrative Example 2

In the opening case, Impressive Technologies Ltd ('ITL') is offering its shares to the public in the following way: a total of 200 million shares are available for subscription globally; 20 million of them are reserved for Hong Kong subscription and 180 million for international subscription.

ITL's announcement for Initial Public Offering and the prospectus are made public to investors. For example, these documents can be found on the HKEX website at http://www2.hkexnews.hk/New-Listings/New-Listing-Information/Main-Board?sc_lang=en.



12.2.1.2 Exemptions

The CWUMPO specifically provides for the following exemptions to the requirements of a prospectus for offering of shares to the public (Exhibit 12.1).

Exempted entity/ person	Provisions in CWUMPO	Definition
Underwriters	s.38(3)(a)	Offers in connection with an invitation to a person to enter into an underwriting agreement in good faith are exempted. An underwriter is the party that agrees to purchase all unsubscribed shares in an offering in case the (public) investors do not take up all the shares on offer. In this sense, the underwriter 'underwrites' the transaction. The purpose is to offset the risk of the fund-raising exercise being unsuccessful and there being insufficient investors to take up the shares on offer.
Professional investors	Sch.17	Offers to professional investors are exempted, which include financial institutions, banks, securities and futures intermediaries (i.e. brokers), insurance companies, trust corporations, registered Mandatory Provident Fund schemes and high net worth individuals (i.e. someone who has a portfolio of not less than HK\$8 million).
Large investment	Sch.17	Offers where the minimal consideration is not less than HK\$500,000 are exempted.
Small-scale offerings	Sch.17	Offers that are made to no more than 50 persons or offers for which the total consideration payable does not exceed HK\$5 million are exempted. Takeovers (and share repurchase): offers in connection with a takeover or merger or a share repurchase that are in compliance with the SFC's Codes on Takeovers and Mergers and Share Buy-backs are exempted.
Qualifying persons	Sch.17	Offers to qualifying persons are exempted, which include directors, employees, officers and consultants of a company. Non-renounceable offers to qualifying persons and to a company in the same group are similarly exempted.
Charity and educational establishments	Sch.17	Offers by a charitable trust or institution (of a public character) and those by an educational establishment are exempted.
Exemptions granted by the SFC	s.38A	The SFC has the power to grant exemptions. The SFC may grant such exemptions if it considers that the exemption will not prejudice the interest of the investing public and compliance with the prospectus requirements would be irrelevant or unduly burdensome or is otherwise unnecessary or inappropriate.

► **EXHIBIT 12.1 Exemptions to requirements of a prospectus under the CWUMPO**

12.2.1.3 Contents of a Prospectus

Generally, a prospectus must include sufficient particulars and information to enable a reasonable person to form a valid and justifiable opinion of the shares or debentures and the

financial condition and profitability of the company at the time of the issue of the prospectus, taking into account the nature of the shares or debentures being offered and the nature of the company, as well as the nature of the persons likely to consider acquiring them (Sch.3 of the CWUMPO).

Specifically, a prospectus is required to contain the following:

1. Information about the company's business, its share capital, directors, proposed directors, statement as to the gross trading income or sales turnover of the company for the previous three financial years (Sch.3 of the CWUMPO).
2. Details of the material contracts entered into in the ordinary course of the business of the company (Sch.3 of the CWUMPO).
3. Details of the offer of shares or debentures (Sch.3 of the CWUMPO).
4. Statement of the persons holding or beneficially interested in any substantial part of the share capital of the company and the amounts of the holdings in question (Sch.3 of the CWUMPO).
5. Various reports are required to be included (Sch.3 of the CWUMPO). An auditor's report on matters including: (1) the profits and losses; and (2) the assets and liabilities of the company must be included. Valuation report on land (or buildings) owned by the company exceeding HK\$3 million in value or comprising more than 10% of the assets of the company in value must also be included;
6. Written consent of experts is necessary where there are statements made by experts, e.g. an engineer, accountant, valuer or lawyer (s.38C of the CWUMPO).

A detailed checklist of information to be included in a prospectus can be found at ss.38(1), 38(1A), 38D(2), Sch.3 and Sch.18 Pt.1 of the CWUMPO.

The company and every person who knowingly issue a prospectus without those required information shall be liable to a fine (s.38(1B) of the CWUMPO).

Chapter 11A of the Main Board Listing Rules also sets out the relevant requirements on the contents of a prospectus. It should be noted that both the requirements under the Listing Rules and the CWUMPO need to be complied with as the Listing Rules are entirely independent of and without prejudice to the provisions of the CO relating to prospectuses. Accordingly, compliance with the Listing Rules does not guarantee compliance with the CO. Having said that, there are indeed substantial overlaps in the two. This is because the principles are the same, i.e. to provide sufficient particulars and information to enable investors to make an informed assessment of the activities, asset and liabilities, financial position, management and prospect of the companies applying to be listed.

12.2.1.4 Authorisation and Registration of Prospectus

Before a prospectus may be issued, s.38D(1) of the CWUMPO requires a prospectus to be: (1) authorised to be registered; and (2) registered. Generally, the registration of a prospectus must be authorised by the SFC. However, in the case of companies seeking the listing of their shares, application for authorisation of registration should be made to the HKEX, who would usually forward a copy of the listing documents to the SFC for review as well.



After the appropriate authorisation has been obtained, the prospectus would need to be registered by the Registrar of Companies (s.38D(7) of the CWUMPO).

12.2.1.5 Liability for Misstatement in Prospectus

Misstatements in prospectuses give rise to both civil and criminal liabilities.

Civil liabilities can arise under:

1. **CWUMPO:** S.40 of the CWUMPO provides that liabilities arise where a prospectus contains any statement which is false or any statement which is misleading in the form and context in which they are included in the prospectus, including material omissions. Any persons who subscribed for the shares or debentures based on the prospectus including the misstatement in the prospectus can claim compensation (s.40(7) of the CWUMPO). Directors, promoters, the company and any person who authorised the issue of the impugned prospectus are liable to pay compensation (s.40(1) of the CWUMPO). It is a defence to show that: (1) the prospectus was not issued with the consent of the person liable; or (2) the person liable had reasonable grounds to believe the truthfulness of the misstatements.
2. **SFO:** S.108 of the SFO provides that any person who makes a fraudulent, reckless or negligent misrepresentation which has induced another to enter into an agreement to subscribe for securities shall be liable to pay damages to any person who has sustained any pecuniary loss as a result of the reliance on the misrepresentation. It is noted that s.108 of the SFO does not apply in cases where s.40 of the CWUMPO applies. Further, s.277 of the SFO also provides that any person who (knowingly, recklessly or negligently) discloses false or misleading information as to a material fact that is likely to induce another to subscribe for securities commits a market misconduct. The concept of market misconducts is explained further in Section 12.4.
3. **General law of misrepresentation:** A misstatement in a prospectus will also give rise to liability under the general law of misrepresentation (See Section 3.2).

Criminal liability will also arise from misstatements in a prospectus in the following circumstances:

1. **CWUMPO:** S.40A of the CWUMPO provides that any person who authorised the issue of a prospectus containing any untrue statement commits an offence, unless it is proved that: (1) the statement was immaterial or (2) such person had reasonable grounds to believe and did, up to the time of the issue of the prospectus, believe that the statement was true.
2. **SFO:** S.107 of the SFO provides that any person who makes a fraudulent or reckless misrepresentation for the purpose of inducing another to enter into an agreement for acquisition or subscription for securities commits an offence. S.277 of the SFO provides that disclosure of false or misleading information inducing transactions of securities is an offence.
3. **General criminal law:** Misstatement in prospectuses may also give rise to liabilities under general criminal offences such as the offence of conspiracy to defraud.

12.2.2 Advertising Restrictions

The advertising of prospectuses is regulated. Again, the aim of the regulation is to ensure that the information in the prospectus is accurate.

The main provisions regulating the advertising of prospectuses are as follows:

1. **S.38B of the CWUMPO:** S.38B of the CWUMPO prohibits any person from publishing extracts from or an abridged version of a prospectus or any advertisement in relation to a prospectus or a proposed prospectus, with certain exceptions contained in Sch.19 of the CWUMPO, or any advertisements approved by the SFC (s.105 of the SFO).
2. **Ss.2, 38 and 38D of the CWUMPO:** S.2 defines prospectus widely to mean 'any prospectus, notice, circular, brochure, advertisement or other document offering share or debentures . . .'. S.38 requires that certain information must be contained in any documents within the definition of the prospectus. S.38D requires that such prospectus be registered. These provisions not only apply to the prospectus itself, but also to any advertisement or documents issued by third parties relating to the prospectus, which potentially include pre-IPO or pre-deal research reports prepared by analysts.
3. **S.103 of the SFO:** S.103(1) of the SFO prohibits the issue of an advertisement, invitation or document inviting offers from the public to acquire or subscribe for shares or other securities unless authorised by the SFC. This is intended to be a blanket prohibition covering all sorts of invitations for public offering. Naturally, a major exception to this blanket prohibition is any prospectus issued in compliance with the CWUMPO (s.103(3)(a) of the SFO).

12.2.3 Listing on the Stock Exchange

The shares of public companies can be traded publicly on the Stock Exchange of Hong Kong Limited ('SEHK') if these shares are listed at the boards of the SEHK. The SEHK is a wholly owned subsidiary of the HKEX. Technically, shares can also be traded without being listed with the SEHK. However, this will be done without the benefit of the clearing system of the SEHK and the protection offered to investors by the **Listing Rules of the Stock Exchange** (issued by the SEHK) ('Listing Rules'). Any reference to issuer means an issuer of securities within the definition of the Listing Rules. This covers an issuer that is a listed public company.

12.2.3.1 The Two Boards

There are two boards at the SEHK where shares may be listed: (1) the Main Board and (2) the Growth Enterprises Market Board (the 'GEM Board'). The **Main Board** is a market for established companies. Thus, listing on the Main Board requires a certain level of financial success, as shown by the company's track record. On the other hand, the **GEM Board** aims to provide a fund-raising market to new enterprises that have growth potential but fall short of the requirements of the Main Board. Thus, the listing requirements of the GEM Board are less stringent, compared with those of the Main Board.



Each board has its own set of listing rules, i.e. the Main Board Listing Rules and the GEM Board Listing Rules. With regard to the discussion and illustration below, all references below to 'Listing Rules' are to the Main Board Listing Rules.

12.2.3.2 Methods of Listing

The Listing Rules provide a number of different ways for shares to be listed on the stock exchange (See Chapter 7 of the Listing Rules), for example:

1. **Offers for subscription:** A company may offer its shares to the public for subscription;
2. **Offers for sale:** Offers to the public by or on behalf of the holders or allottees of securities already in issue or agreed to be subscribed;
3. **Placing:** A placing is the sale of securities by an issuer (i.e. a company which issues the securities) to persons selected or approved by the issuer or intermediary;
4. **Introduction:** This is applicable for securities already issued at such amount and so widely held that their adequate marketability when listed can be assumed;
5. **Rights issues:** Offers by way of rights to existing holders of securities to subscribe for securities in proportion to their existing holdings;
6. **Open offers:** Offers to existing holders of securities, whether in proportion to existing holdings or not;
7. **Capitalisation issues:** Allotment of further securities to existing shareholders, credited as fully paid up out of the issuer company's reserves or profits, in proportion to the holders' existing securities holdings;
8. **Consideration issues:** Issues of securities as consideration in a transaction (such as a takeover, merger or an acquisition of assets/business);
9. **Exchanges:** The listing of securities by an exchange or a substitution of securities for or a conversion of securities into other classes of securities.

12.2.3.3 Qualifications for Listing

There are certain thresholds to be met in order for a company's securities to be listed. Chapter 8 of the Listing Rules provides a few benchmarks for listing on the Main Board (as from Jan 2022):

1. The company must be incorporated and must be a public company.
2. The company must satisfy the profit test. This requires the company to have attained profits of at least HK\$35 million in the most recent year and an aggregate of at least HK\$45 million for the two preceding years. There also needs to be a track record of at least three financial years, a continuity in management for the three preceding financial years and continuity in ownership for the most recent audited financial year.
3. Alternatively to the profit test, the company may meet the required threshold by satisfying either of the two market capitalisation tests: (1) to have a market capitalisation of at least HK\$2 billion, revenue of at least HK\$500 million for the most recent audited financial year and positive cash flow from operating activities of at least

HK\$100 million in aggregate for the three preceding financial years; or (2) to have a market capitalisation of at least HK\$4 billion and revenue of at least HK\$500 million for the most recent audited financial year. For both of these tests, the requirements as to a three-year track record and continuity in management (three years) and ownership (one year) also apply.

4. There must be a sufficient public float, i.e. there must be a sufficient amount of securities being held by the public and there must be a sufficient spread of the holders. For example, at least 25% of the securities must be held by the public and there must be at least 300 shareholders in total. This requirement for a public float is to ensure an open market in the listed securities.
5. The expected market capitalisation at the time of listing to be held by the public must be at least HK\$125 million. The expected total market capitalisation at the time of listing must be at least HK\$500 million.
6. As to the management of the company, there must be at least two executive directors who are ordinarily resident in Hong Kong (meaning that the company has a sufficient presence in Hong Kong). There must also be at least three independent non-executive directors ('INEDs'). The number of INEDs appointed must also represent at least one-third of the board members. The character, experience, integrity and competence of any proposed directors must also pass the scrutiny of the HKEX.

As a comparison, the qualification for listing in the GEM Board is lower. This reflects the nature of the GEM Board being a market for growing enterprises (as at July 2019):

1. A new applicant must have an adequate trading record of at least two financial years. There must be a positive cash flow (before changes in working capital and taxes paid) of at least HK\$30 million in aggregate for the two financial years immediately preceding the issue of the listing documents.
2. The expected total market capitalisation of a new applicant at the time of listing must be at least HK\$150 million.
3. There must be two years of continuity in management and one year of continuity in ownership.
4. At least 25% of the securities must be held by the public and there must be at least 100 shareholders in total. This requirement of a public float is to ensure an open market in the listed securities.
5. The expected market capitalisation at the time of listing to be held by the public must be at least HK\$45 million.
6. As to the management of the company, there must also be at least three INEDs. The number of INEDs appointed must also represent at least one-third of the board members. The character, experience, integrity and competence of any proposed directors must also pass the scrutiny of the HKEX.

Exhibit 12.2 shows a comparison of the qualification requirements for listing on the Main Board and the GEM Board respectively.

	Main Board	GEM Board
Minimum financial requirements	The issuer must satisfy one of the three tests below: Profit test: latest year's profit of HK\$35 million, two preceding years' profit of HK\$45 million in aggregate and a market capitalisation of HK\$500 million. Market capitalisation/Revenue test: latest year's revenue HK\$500 million; and market capitalisation HK\$4 billion. Market capitalisation/Revenue/Cash flow test: latest year revenue of HK\$500 million, market capitalisation of HK\$2 billion and the three-year aggregate operating cash flow of HK\$100 million.	Positive two-year aggregate operating cash flow of HK\$30 million and a market capitalisation of HK\$150 million.
Public float	25% free float minimum	25% free float minimum
Minimum shareholders	300	100
Management continuity	3 years	2 years
Ownership continuity	1 year	1 year
INEDs	At least three, representing one-third of the board.	At least three, representing one-third of the board.

► **EXHIBIT 12.2 Qualification requirements for listing on Main Board and GEM Board (as of 1 Jan 2022)**

There are four updates in the listing rules that deserve attention.

Listing with a Weighted Voting Right Structure

The first one relates to the change of attitude towards weighted voting rights. There has been rigorous debates in recent years as to whether weighted voting rights should be allowed in the listed companies in Hong Kong. It should be recalled that Alibaba chose the United States over Hong Kong as the place of listing in 2014 because Hong Kong did not recognise listed companies with weighted voting rights. This debate has now been settled by the HKEX, who recently added Chapter 8A in the Listing Rules to cater for the listing of companies with weighted voting rights. Weighted voting rights refer to a corporate governance structure in which certain persons are given voting power, or other related rights, that is disproportionate to their shareholdings.

However, there are certain restrictions within Chapter 8A of the Listing Rules. Only innovative companies may apply for a listing with a weighted voting right structure. An innovative company is defined by the following characteristics:

1. The success of the company is attributable to the application of new technologies, innovations and/or a new business model;
2. Research and development is a significant contributor to its expected value and constitutes a major activity and expense;

3. It has unique features or intellectual property contributable to its success; and/or
4. It has an outsized market capitalisation/intangible asset value relative to its tangible asset value.

Further, such an innovative company must also satisfy the following basic criteria:

1. Market capitalization of at least HK\$40 billion; or
2. Market capitalization of at least HK\$10 billion and revenue of at least HK\$1 billion for most recent audited financial year.

Listing of Biotechnology Companies

The second change concerns the listing of biotechnology companies. The HKEX announced on 24 April 2018 the addition of Chapter 18A to the Listing Rules concerning the listing of pre-revenue biotech companies. A biotech company is defined as a company primarily engaged in the research and development, application and commercialisation of biotech products, i.e. products, processes or technologies involving the application of science and technology to produce commercial products with a medical or other biological application. The criteria for listing are:

1. A market capitalisation of at least HK\$1,500 million at the time of listing;
2. In operation in its current line of business for at least two financial years prior to listing under substantially the same management; and
3. Has available sufficient working capital to cover at least 125% of the group's costs for at least 12 months from the date of publication of listing documents (taking into account listing proceeds).

Listing using Special Purpose Acquisition Company

Since 1 January 2022, a new Chapter 18B was introduced to the Listing Rules to welcome a special type of company named 'Special Purpose Acquisition Company' ('SPAC') to list on the Main Board. The introduction of a SPAC listing regime in Hong Kong is a good move to enhance its continued competitiveness to attract the listings of companies from mainland China and South East Asia. Certain listing rules, such as Listing Rule 6.01(3)/13.24 (the requirement for sufficient operations and assets) and Listing Rules 14.89 to 14.90 (the prohibition on a fundamental change in principal business activities for one year post-listing), are not applicable to the SPAC.

De-SPAC Transaction

A point of interests for SPACs is that SPACs have no business when it comes into being. The purpose of going through the Initial Public Offering using SPACs is to raise capital to acquire a business in a private company (the 'Target Company'). It should be noted that the Target Company must satisfy all new listing requirements of the Main Board. If the Target Company with the desirable business is finally located within 36-month official deadline, and the acquisition of the Target Company is then approved by the shareholders, the merger process



between the SPAC and the target company begins. Such a merger between the SPAC and the target company is named as de-SPAC transaction.

12.2.3.4 Application Procedures and Listing Documents

The application is not done by the company itself but by a firm taking up the role of a sponsor. Every applicant must appoint a sponsor to assist it with its initial application for listing. A sponsor is the entity responsible for completing and submitting the listing application form on behalf of a company. For a company, the listing document will be a prospectus within the definition of the CWUMPO.

Applications are made to the Listing Division of the HKEX. All applications need to be approved by the Listing Committee of the HKEX.

12.2.3.5 The Role of Sponsors

A sponsor must be a corporation or authorised financial institution which is licensed or registered for Type 6 regulated activities (i.e. advising on corporate finance). A sponsor must be closely involved in the preparation of the listing documents. The sponsor is also expected to conduct a due diligence exercise on the issuer and information supplied by it in order to make a declaration as to the compliance of the listing documents with the listing rules. The sponsor must also use reasonable endeavours to address all questions or enquiries raised by the HKEX in connection with all listing applications.

A key aspect to performing the sponsor's role is to conduct the due diligence process. This is an important process aiming to:

1. Assist all parties involved to understand the issuer's (i.e. the company) business;
2. Identify risks and irregularities in the business;
3. Ensure satisfaction of listing criteria;
4. Ensure proper and adequate disclosure in the prospectus;
5. Ensure the issuer has adequate internal procedures, systems and controls to comply with the relevant legal and regulatory requirements once listed; and
6. Ensure that the issuer's directors have sufficient experience, qualifications and competence to perform their roles and comply with the relevant legal and regulatory rules.

The usual practice is for the sponsor (with the assistance of other professional parties such as the legal adviser) to prepare and circulate a due diligence questionnaire for the issuer to complete. The sponsor's due diligence duty will focus on the business, operation and industry of the issuer. For details on this issue, see Practice Note 21 of the HKEX and the SFC's *Code of Conduct for Persons Licensed by or Registered with the Securities and Futures Commission* (21st edn, November 2018).

Illustrative Example 3

A Co operates a money lending business. S Firm is hired as a sponsor. HKEX sends a letter to S Firm as the sponsor as to the compliance issues that may arise from some of A Co's transactions. HKEX queries whether some of A Co's transactions may be in breach of the money-laundering offences. S Firm conducts due diligence and obtains all documents relating to the impugned transactions. Further, S Firm engages counsel (i.e. a barrister) to advise on the matter. With the support of the counsel's advice, S Firm concludes that there are no compliance issues and answers the HKEX's questions accordingly. The HKEX is satisfied with the answers and the IPO is allowed to proceed.

12.2.3.6 Price Stabilisation

In the initial trading month following an IPO, the share price may fluctuate. **Price stabilisation** is recognised by the SFC as necessary to protect the investors. For example, there may be cases where the share price declines substantially immediately after listing. This would mean that the offer price has been fixed too high and the investors in the issued shares have been overcharged.

Therefore, the SFC has allowed some measures of price stabilisation to be undertaken by the underwriters. The Securities and Futures (Price Stabilizing) Rules (Cap.571W) provides that certain price stabilisation actions may be done within 30 days immediately following the IPO, in order to prevent the shares from dropping below the offer price.

Apply and Analyse 1

Apply

Bank U acted as a sponsor for the Initial Public Offering ('IPO') of F Co at the HKEX. F Co was a company that operated a main business of developing forests and selling logs in Mainland China. Two years after its listing, F Co's shares were suspended from trading due to the discovery of financial irregularity. Upon investigation by the SFC, it was found that some of the forests owned by F Co were actually rather problematic: (1) The forests of F Co was adversely affected by an earthquake in China; (2) F Co's legal ownership in the forests was also questionable. The certificates provided by F Co purportedly showing its rights to the forests contain anomalies (e.g. a mismatch between the name of a forest as disclosed in the prospectus and as stated in the corresponding certificates); and (3) F Co was not in compliance with the relevant Mainland forestry laws. Analyse the failings of Bank U in its role as sponsor.

Apply and Analyse 1 (continued)**Analysis**

As the sponsor of the IPO, Bank U should have conducted a full due diligence exercise and attended site visits to the forests because these were one of the major assets of F Co. Physical inspection was necessary. Bank U also failed to commission any study to investigate the impact of a nearby earthquake on F Co's forests. Further, Bank U failed to inspect the originals of the certificates of ownership of the forests provided by F Co. Had Bank U done this, it would have discovered the anomaly so contained. Bank U also completely failed to obtain proper evidence to show F Co's compliance with the relevant laws and regulations of F Co in Mainland China. It was not sufficient for F Co to argue that it had relied on written confirmations purportedly issued by the relevant forestry bureaux provided by F Co. Bank U should have verified whether the written confirmations were indeed issued by the relevant forestry bureaux and whether the information contained therein was accurate.

► Knowledge Check Questions**Question 3**

Explain the nature of a prospectus.

Question 4

Explain the difference between listing on the Main Board and that on the Growth Enterprise Market Board.

12.3 PUBLIC LISTED COMPANIES

A public listed company is subject to numerous continuing obligations that continue after the listing of its securities. These obligations are unique to public listed companies and do not apply to private companies. The main purpose is to ensure proper information is disclosed to the market in a timely manner.

12.3.1 Continuing Obligations of Disclosure and Inside Information

Chapter 13 of the Listing Rules provides numerous continuing obligations for issuers. The primary purpose of such obligations is to ensure the maintenance of a fair and orderly market in securities and that all users of the market have simultaneous access to the same information. For example, one of the continuing obligations includes the disclosure of such information as:

1. Any information necessary to avoid a false market in an issuer's security.
2. Advance to an entity (other than a subsidiary) exceeding 8% of the asset ratio of the issuer.

3. Financial assistance and guarantees to affiliated companies of an issuer.
4. Pledging of shares by the controlling shareholder.
5. Loan agreement with covenants relating to specific performance of the controlling shareholder.
6. Breach of loan agreement by an issuer.
7. Material matters that would impact on profit forecasts.
8. Winding-up and liquidation.
9. General change in issued shares (such as any offer or placing).
10. Monthly return in relation to movements in the issuer's securities.
11. Sufficiency as to public float of an issuer's securities.
12. Notice of annual general meeting.
13. Annual (and interim) reports and accounts.

The disclosure of inside information is another important aspect of a listed issuer's obligation of disclosure. However, this is now governed by the statutory regime under the SFO instead of the Listing Rules. Part XIVA of the SFO provides for a general duty of disclosure of inside information. In short, inside information is information that is sensitive to the stock price and not generally known to the public. The definition of inside information is further discussed below in Section 12.4.1.1.

12.3.2 Specific Disclosure under the Listing Rules and Codes

The Listing Rules also provide for specific disclosure obligations in relation to certain transactions or information.

12.3.2.1 Notifiable Transactions

Any transaction a listed issuer enters into may have an impact on the issuer's financial condition and resources or business prospects, e.g. in the case of large merger and acquisition transactions. However, not even the best businessman would know for certain how a transaction will turn out or how it will affect the company. The larger the transaction, the greater the risk if it goes wrong. In light of this, the Listing Rules aim to protect the investors of listed issuers by requiring (1) the disclosure of certain material transactions and (2) the approval of shareholders for transactions of a significant size.

Notifiable transactions can be categorised according to their size. The size of a transaction is determined by a range of different ratios:

1. Asset ratio (total asset of the subject of the transaction/total asset of the issuer);
2. Profits ratio (profits attributable to the subject of the transaction/profits of the issuer);
3. Revenue ratio (revenue attributable to the subject of the transaction/revenue of the issuer);
4. Consideration ratio (consideration/the issuer's total market capitalisation); and
5. Equity capital ratio (nominal value of the issuer's equity capital issued as consideration/nominal value of the issuer's existing equity capital).



There are six categories of notifiable transactions, depending on their size (in ascending order) (See Chapter 14.06 of the Listing Rules):

1. **Share transactions** (all ratios less than 5% and the consideration of the transaction involve the issue of shares by the issuer (i.e. the listed company));
2. **Disclosable transactions** (all ratios below 25% but one ratio above 5%);
3. **Major transactions** (all ratios below 75% (for disposals) or 100% (for acquisitions) but one ratio at or above 25%);
4. **Very substantial disposals** (at least one ratio is 75% or above);
5. **Very substantial acquisitions** (at least one ratio is 100% or above); and
6. **Reverse takeovers** (a very substantial acquisition which is part of a transaction or attempt to achieve a listing of the assets to be acquired and a means to circumvent the requirements for new applicants set out in the Listing Rules).

Different procedural requirements apply, depending on the category of transactions. The principal possible requirements are: (1) announcement to inform shareholders about the transaction; (2) circular sent to shareholders giving details about the transaction; and (3) approval by shareholders of the transaction before it is finalised.

An issuer must inform the HKEX about any notifiable transaction. Trading of the shares will usually be suspended pending announcement of the transaction.

SEHK Circular Dated 18 December 2018 in Relation to Golden Meditech Holdings Limited (Stock Code: 801)

Facts: Golden Meditech Holdings Ltd (the 'Company') had a 28.9% interest in Far East Co upon the listing of Far East Co on NASDAQ in December 2009. In March 2011, FG Co was set up for the purposes of privatisation of Far East Co, whereby the Company disposed of its shareholdings in Far East Co in exchange for an interest in FG Co. Upon completion of the privatisation, the Company's effective economic interest in Far East Co increased. However, no announcements were made and the shareholders' approval was not obtained.

Issue: Whether the Company and its directors were in breach of any Listing Rules.

Held: The Company and its directors were in breach of some Listing Rules. The privatisation was a very substantial disposal and thus a notifiable transaction within the meaning of Rules 14.48, 14.49 and 14.51. The transaction must be conditional upon the shareholders' approval being obtained at a general meeting and a circular must be issued to shareholders for this purpose. Further, an announcement should have been made after the terms of such a notifiable transaction have been finalised, pursuant to Rule 14.34.

12.3.2.2 Connected Transactions

Under Chapter 14A of the Listing Rules, there is another class of transactions that attracts disclosure and other obligations, i.e. connected transactions. In general terms,

connected transactions refer to those transactions between an issuer (or one of its subsidiaries) with a 'connected person'. The definition of a connected person is highly technical. Generally, for present purposes, suffice it to note that a connected person includes:

1. A director or chief executive of the issuer or its subsidiaries;
2. A substantial shareholder (10% or more) of the issuer;
3. Any past director of the issuer or its subsidiaries within the last 12 months;
4. Cohabitees, parents, brothers, sisters and all children of the above persons (or any connected persons). These are known as 'close relatives';
5. Companies in which close relatives of a connected person exercise 50% control of voting shares or control of the board;
6. Spouses, children, trustees and companies controlled by (i.e. with 30% shareholding or more) the above-mentioned persons or a connected person. These are known as 'associates'; and
7. A supervisor of the issuer or its subsidiaries (for Chinese companies).

The purpose of the rules in relation to connected transactions is to provide for the situation where an issuer enters into a transaction with a person who is not an independent third party to it (i.e. a connected person). In such cases, the transaction may potentially not be concluded on arm's length terms. The rules ensure that the interests of the shareholders as a whole are taken into account and minority shareholders are not prejudiced.

According to Chapter 14A of the Listing Rules, the following actions must be taken with respect to connected transactions:

1. The listed company must enter into a written agreement with all relevant parties in respect of the connected transaction (LR 14A.34);
2. The connected transaction's particulars must be included in the next published annual report and accounts of the listed company (LR 14A.71);
3. The listed company must notify the HKEX immediately after the terms of the connected transaction have been agreed upon and publish an announcement immediately (LR 14A.36);
4. The connected transaction must be approved by the company's independent shareholders. Any shareholder having a material interest in the transaction must abstain from voting (LR 14A.36–39);
5. The shareholders' approval referred to above can be replaced by a written approval by independent shareholders if: (1) no shareholder would be required to abstain from voting; and (2) the written approval was obtained from a shareholder or a closely allied group of shareholders who hold more than 50% of the voting rights in the general meeting (LR 14A.36–39);
6. An independent board committee (consisting only of INEDs) must be established to advise shareholders as to: (1) whether the terms of the connected transaction are fair and reasonable; (2) whether the transaction is in the interests of the company and the shareholders as a whole; (3) whether the connected transaction is on normal commercial terms and in the company's ordinary and usual course of business; and

- (4) how to vote, taking into consideration the views of the independent financial adviser (LR 14A.40–43);
7. An independent financial adviser must be appointed to advise the independent board committee and independent shareholders on the above-mentioned matters (LR 14A.44–45); and
 8. The listed company must issue a circular to its shareholders (as required by LR 14A.46–48) at the same time as notice of the general meeting to approve the transaction is given.

While rules as to notifiable transactions focus on the size of the transaction, those in relation to connected transactions focus on the parties involved in the transaction and their relationship with the issuer.

SEHK Circular Dated 20 July 2018 in Relation to SRE Group Limited (Stock Code: 1207)

Facts: S is the Founder, Chairman, Executive Director and substantial shareholder (at the time) of SRE Group Ltd (the 'Company'). Between 2011 and 2014, certain financing transactions had been executed by S purportedly acting for and on behalf of certain members of the Company's group with third party financial institutions, without the knowledge of the other directors of the Company. The transactions involved the provision of six guarantees and other financial assistance by the Company and/or its subsidiaries to guarantee the repayment obligations of loans owed by certain parties connected to S.

On 9 June 2015, S was required by the Chinese authorities to remain in custody at a designated residence. S's duties were suspended on 21 September 2015 and he was removed from office on 2 December 2015. On 24 September 2015, the Company had announced that, upon an internal review, it had discovered the relevant guarantees.

Issue: Whether the Company was in breach of obligations in relation to connected transactions under the Listing Rules.

Held: The Company was in breach. The guarantees are connected transactions and were in contravention of:

- Listing Rule 14A.35, whereby the Company failed to announce a connected transaction as soon as practicable after the terms had been agreed;
- Listing Rules 14A.36 and 46, whereby the Company had failed to obtain shareholders' approval at a general meeting and issue a circular to the shareholders for that purpose;
- Listing Rule 14A.49, whereby the Company had failed to disclose the connected transactions in its annual report.

This case raised a serious concern over the competence of S to ensure connected transactions were identified and reported to the board for approval. The Listing Rules provisions on notifiable and/or connected transactions are designed to safeguard and protect investors and shareholders. A director has responsibility to be answerable to the Company for the application of its assets and to put connected transactions forward for board approval. Shareholders' approval should also be obtained when required, before such transactions were entered into and executed.

12.3.2.3 Minimum Prescribed Holdings

An issuer is under a duty to maintain a **public float**, i.e. at least 25% of the issuer's total issued share capital is held by the public at all times. The requirement as to a public float is contained in Chapter 13 of the Listing Rules. If, at any time after listing, the percentage of shares held by the public falls below 25%, the issuer is under a duty to inform the HKEX and take steps to ensure compliance with the public float requirement.

The requirement as to a public float is to ensure there is an open market for the listed securities and that there is sufficient liquidity in the securities. If the public float falls below 25%, trading may be suspended.

12.3.2.4 Disclosure of Interests

The SFO has imposed a disclosure regime on listed corporations. Part XV of the SFO requires certain persons to disclose the interest they hold in the corporation's securities. Generally, such persons include two categories: (1) substantial shareholders of a listed corporation (i.e. individuals or corporations who are interested in 5% or more of any class of voting share capital of a listed company) (s.310 of the SFO); and (2) directors and chief executives of a listed corporation (s.341 of the SFO).

The word 'interest' is defined widely and covers not only those acquisitions under the person's own name but also those interests of his/her spouse, a company that he/she controls, limited liability partnerships or any trusts (ss.316 and 344 of the SFO) (This list is not exhaustive and serves only as an illustration). The listed company must also keep a register of the above-mentioned interest disclosed by its substantial shareholders (s.336 of the SFO) and by its directors and chief executives (s.352 of the SFO).

It should be noted that the disclosure obligation covers not only ownership of shares but also 'interest' in shares, which can include: (1) beneficial interest; or (2) interest through spouse or children or through a corporation under one's control (in both cases, the person will be deemed to be interested in shares held by those individuals/corporations).

The main objective of these provisions is to provide regulators and investors in the listed corporation with information about the ownership of listed corporations.

Apply and Analyse 2

Apply

In the opening case, Impressive Technologies Ltd ('ITL') has recently undergone an initial public offering ('IPO') and has now become a listed company on the Main Board of the HKEX. Only Andrew and Bruce remain as directors. By reason of the IPO, Andrew, Bruce, Chris and Denise had each become a 6% shareholder of ITL. Unlike Andrew and Bruce, Chris and Denise lead a private lifestyle and wish to hide their shareholdings. They therefore transferred their shareholdings to their respective wives. Andrew also transferred his 1% shareholding to his wife in recognition of her support over the years. Analyse the four shareholders' respective reporting obligations arising.



Apply and Analyse 2 (continued)

Analysis

It was not possible for Chris and Denis to hide their shareholdings. It is an obligation under Part XV of the Securities and Futures Ordinance ('SFO') that Chris and Denise must disclose their interest in ITL as the interest exceeds 5% of the voting shares. Andrew's wife's shareholding would also be subject to disclosure as the disclosure obligation under the SFO extends to spouses or children. Andrew would be deemed to be interested in his wife's shares.

12.3.3 Takeovers and Mergers

Takeovers and mergers relating to listed companies are primarily governed by the Codes of Takeovers and Mergers and Share Buy-backs ('Takeover Codes'). A takeover for this purpose is where a party (usually called a bidder or offeror in this context) proposes to buy a controlling stake in a listed company (usually called a 'target' in this context). The purposes of regulating this kind of transaction are:

1. To ensure that all parties (especially the minority shareholders) are treated fairly in a takeover transaction;
2. To ensure that all shareholders are given an opportunity to 'exit' upon a change of control; and
3. To ensure that disclosure is made in a timely and adequate manner to inform the shareholders about the merits of any takeover offer, so as to ensure a fair and informed market in the shares affected by the takeover.

12.3.3.1 How Takeovers Occur

Broadly speaking, a takeover of a listed company can occur in two ways:

1. **A takeover offer (i.e. a general offer or mandatory general offer under the Takeover Codes):**

Any offeror or bidder may make a general offer voluntarily. A **general offer** is an offer by the bidder or offeror that is open to all shareholders of the target to purchase shares from those shareholders. A voluntary general offer may be classified as 'recommended' or 'hostile', depending on the attitude of the board of directors towards the offer. Importantly, under certain circumstances, the Takeover Codes requires that the offeror make a general offer. This is known as a **mandatory offer**. Most commonly, this happens when a person initially holding less than 30% of the voting rights in the listed company acquires voting rights that increase that person's holding to reach 30% or more than 30% of the voting rights. It is important to note that the Takeover Codes is drafted in such a way as to catch **parties acting in concert**. Thus, if one or more persons is acting in concert, their collective shareholdings will be taken into consideration when determining whether a mandatory offer is required.

2. A scheme of arrangement under s.166 of the CO, sanctioned by the court:

A **scheme of arrangement** is a statutory procedure that involves either: (1) the cancellation of all the existing target shares and the subsequent issue of new target shares to the bidder (known as 'a cancellation scheme'); or (2) the transfer of all the existing target shares to the bidder (known as 'a transfer scheme'). In either scheme, the former shareholder would either obtain cash or new shares in return. The process of applying for a scheme of arrangement is driven by the target company. Thus, the scheme route is only available when the target is in favour of the offer. In the most common situations, a scheme of arrangement is used for the purpose of a takeover on a privatisation. A privatisation occurs when the controlling shareholder of a listed company decides to acquire 100% of the shares and delist the company (thus making it private). In order for a scheme to be binding, it needs to be: (1) approved by a majority representing at least 75% of the votes cast by the shareholders (excluding the offeror); (2) the number of votes cast against the scheme does not account for more than 10% of the votes attaching to all the disinterested shares; and (3) approved by the court.

12.3.3.2 Director's and Accountant's Roles under the Takeover Codes

Faced with an offer, the directors of the offeree company and accountants involved in the transaction must, under the general principles of directors' duties, comply with the Takeover Codes. The involvement of any accountants or auditors is largely in relation to the verification of any profit forecasts or accounts involved in documents issued in relation to the offer. The Takeover Codes expressly applies to directors and their professional advisers (thus including accountants and auditors). The directors should bear in mind the following general principles when performing their functions (See the General Principles of the Takeover Codes):

1. All shareholders are to be treated even-handedly.
2. An offeror should ensure that he/she can continue to implement an offer.
3. During the course of an offer or when one is in contemplation, no one may furnish information to some shareholders which is not made available to all shareholders.
4. Shareholders should be given sufficient information, advice and time to reach an informed decision on offer. No relevant information should be withheld.
5. All persons concerned with the offer should make full and prompt disclosure of all relevant information and take every precaution to avoid creating/continuance of a false market.
6. Rights of control should be exercised in good faith and not in oppression to the minority.
7. Directors of an offeror or an offeree company must only act in their official capacity and have no regard to their personal or family shareholdings or to their personal relationship with the company.
8. If a *bona fide* offer is made or is imminent, the board of the offeree company cannot take any action as to the affairs of the company that would result in the offer being frustrated without the shareholders' approval.



9. All parties should co-operate with and provide all relevant information to the relevant authorities, i.e. the Executive Director of the Corporate Finance Division of the SFC, the Disciplinary Panel and the Takeovers Appeal Committee.

The full text of the General Principles of the Takeover Codes can be found at <https://www.sfc.hk/web/EN/regulatory-functions/listings-and-takeovers/takeovers-and-mergers>.

The directors have an important role in the company's compliance with the Takeover Codes. Generally, directors are responsible for ensuring that the shareholders are properly informed and advised about the offer. The duties of directors include the following:

1. Any offer should first be put forward to the board of the offeree company (TC Rule 1.1).
2. A board which receives an offer must establish an independent committee of the board to make a recommendation:
 - (a) as to whether the offer is, or is not, fair and reasonable; and
 - (b) as to acceptance or voting (TC Rule 2.1).
3. As soon as practicable, the board must approve and retain a competent independent financial adviser to advise the committee on the offer in writing. The advice must then be made known to the shareholders (TC Rule 2.1).
4. If, after the offer, the shares are to be delisted, the resolution to delist must be approved by 75% of independent shareholders (TC Rule 2.2).
5. The board of the offeror company must obtain competent independent advice on any offer when it is being made as a reverse takeover (a transaction will be a reverse takeover if an offeror may as a result increase its existing issued voting share capital by more than 100% [Note to TC Rule 2.4(2)]) or when the directors are faced with a conflict of interest (TC Rule 2.4).
6. The offeror must make an announcement of the offer in accordance with TC Rule 3.
7. No action should be taken to frustrate a bona fide offer. The offeree company's board of directors must not, without the approval of the shareholders (TC Rule 4):
 - (a) issue any shares;
 - (b) create, issue or grant any convertible securities, options or warrants in respect of the shares of the company;
 - (c) sell, dispose of, or acquire assets of a material amount;
 - (d) enter into contracts, including service contracts, otherwise than in the ordinary course of business; or
 - (e) cause the offeree company or any subsidiary of an associated company to buy back, purchase or redeem any shares in the offeree company or provide financial assistance for any such buy-back purchase or redemption.
8. Once any offer has been made or is imminent, the board of the offeree company shall not resign until the first closing date of the offer, or the date when the offer becomes or is declared unconditional, or shareholders have voted on the waiver of a general obligation (TC Rule 7).

9. Information about companies involved in an offer must be made equally available to all shareholders as nearly as possible at the same time and in the same manner (TC Rule 8.1). The supply of such documentation shall be within such time and contain such information as provided in TC Rule 8.
10. The prospectus (and also any document or statement issued and made in relation to the offer) must satisfy the highest standard of accuracy. The information given must be adequately and fairly presented (TC Rule 9.1). The shareholders must be given sufficient information and advice to enable them to reach a properly informed decision as to the merits or demerits of an offer (TC Rule 9.2).
11. Directors are jointly and severally responsible for the accuracy of information contained in the document and they should confirm, having made all reasonable enquires, that to the best of their knowledge, the opinions expressed in the document have been arrived at after due and careful consideration and that there are no other facts not contained in the document, the omission of which would make any statement in the document misleading. All documents should contain a statement to the effect of the above (TC Rule 9.3).
12. A profit forecast must be compiled with due care and consideration by the directors (whose sole responsibility it is). The financial advisers must satisfy themselves that the forecast has been prepared in this manner by the directors (TC Rule 10.1).
13. Valuation of assets must be included in the offer document. The valuations should be supported by the opinion of a named independent valuer (TC Rule 11.1).
14. The filing and publication obligations of the documents relating to the offer must also be complied with (TC Rule 12).
15. Parties to an offer and their advisers must take care not to issue statements which, whilst not factually inaccurate, may mislead shareholders and the market or may create uncertainty (TC Rule 18).

Disciplinary Proceedings against Daqing Dairy and Its Directors

(SFC Takeovers Bulletin Issue 27, December 2013; Executive Statement dated 27 March 2013)

Facts: At all material times, Mr. W and Mr. C were respectively Daqing Dairy (D Co)'s Executive Director and its only Independent Non-executive Director. On 18 April 2013, D Co announced jointly with R Co (the Offeror) that the Offeror had acquired a 52.16% interest in D Co and that the Offeror would make a general offer pursuant to TC Rule 26.1. Despite repeated requests by the executive (here, the Executive Director of the Corporate Finance Division of the SFC or his delegate; see TC Definitions), D Co and its directors failed to issue an offeree board circular to shareholders in respect of the general offer, as required under TC Rule 8.4.

Issue: Whether Mr. W and Mr. C were in breach of the Takeover Codes.



Disciplinary Proceedings against Daqing Dairy and Its Directors (continued)

Held: Mr. W and Mr. C were in breach of the Takeover Codes. The failure to dispatch the offeree board circular within the time prescribed in TC Rule 9.4 prejudiced the interests of D Co's shareholders, as well as the investing public. As D Co failed to provide its shareholders with its latest corporate and financial information, the board's recommendation and the advice of the independent financial adviser with respect to the general offer as required by the Takeover Codes, the shareholders were unable to reach a properly informed decision on the general offer as envisaged by the Takeover Codes.

A 'Cold Shoulder Order' was imposed to deny Mr. W from directly or indirectly accessing the securities markets for two years. The executive also publicly censured D Co, Mr. W and Mr. C for breach of TC Rule 8.4.

Mr. W, as the only Executive Director, had a clear responsibility to ensure that D Co fully complied with the Takeover Codes. Sanction was therefore more severe. Mr. C's sanction reflected his role in the breach and the fact that he failed to take sufficient action to ensure that the offeree board circular was issued in compliance with TC Rule 8.4.

SFC Takeovers and Mergers Panel Decision in Relation to Shares of ENM Holdings Limited and Announcement Dated 2 July 2015

Facts: At the material times, Madam K was the largest shareholder of the ENM Holdings Ltd ('E Co'). Director Mr. C acquired around 9% of the share capital on Madam K's behalf. Madam K subsequently reimbursed Mr. C. Mr. C's son (Mr. OC) and a business associate (Mr. L) handled the reimbursement. Mr. C later transferred the shares equally to his daughter and his son Mr. OC. The acquisition by Mr. C was not disclosed to the public and remained undisclosed for a protracted period of time. Mr. C's shares, together with those of Madam K, would have triggered a mandatory offer obligation under the Takeover Codes.

Issue: Whether Mr. C, Mr. OC and Mr. L were in breach of the Takeover Codes.

Held: Mr. C, Mr. OC and Mr. L were in breach of the Takeover Codes. The arrangement enabled Madam K to hold shares in E Co secretly and avoid an obligation under the Takeover Codes to make a general offer. As a consequence, E Co's shareholders were deprived of their fundamental right to receive a general offer to buy their shares. A 'Cold Shoulder Order' was imposed to deny Mr. C from directly or indirectly accessing the securities markets for 10 years. Cold Shoulder Orders were imposed on Mr. OC and Mr. L, denying them too from directly or indirectly accessing the securities markets for a period of two years.

Apply and Analyse 3

Apply

A Co is a listed company. Bernice is currently the largest shareholder of A Co, holding 25% of the voting rights of A Co. Bernice's secret lover Catherine has been purchasing A Co's shares on behalf of Bernice. Catherine later on launders the shares to various offshore companies' securities accounts under her control. These shares amount to 7% of the company's shareholdings. Neither Catherine's shareholdings nor the offshore companies' shareholdings were disclosed to the public. Analyse whether there was any breach of the Takeover Codes.

Analysis

There was clearly a breach of the Takeover Codes. The arrangement enabled Bernice effectively to control more than 30% of the voting rights and therefore to circumvent the Takeover Codes requirement to make a mandatory offer. The shareholders of A Co were prejudiced as they were deprived of the opportunity to dispose of their shares in a company now substantially controlled by Bernice.

12.3.4 Share Buy-backs for Listed Companies

A listed company may buy back its shares in three ways:

1. **On-market buy-back:** The company may buy back its shares circulating in the stock market. However, before it does so, it must obtain authorisation by an ordinary resolution by its members. The notice for the general meeting needs to contain the terms of the proposed buy-back. The authorisation thus given by the members is only valid until the next annual general meeting (s.239(3)). Once authorisation is given, the company may buy back its own shares on the stock market at any time during the period that the authorisation remains valid, subject to terms approved by the members.
2. **Off-market buy-back by way of a general offer:** As explained above, a general offer is an offer to all members of a company to purchase the shares on the same terms. A company may also buy back its listed shares through a general offer. Members' approval by ordinary resolution is required before a general offer to buy-back may be made (s.238(1)). The notice to members must also contain the terms of the proposed general offer. The directors must also sign a statement to be issued together with the notice of the meetings. The statement should contain such particulars as would enable a reasonable person to form a valid and justifiable opinion as to the merits of the proposed general offer.
3. **Off-market buy-back by means other than general offer:** A listed company may also buy back shares off-market without making a general offer. The company may make an off-market offer to some of the members of the company, or make an offer to all members but on different terms. Since under such a mechanism there will be differential treatment amongst shareholders, a more onerous approval requirement applies. A special resolution of the members is required before a company may buy back shares under any offers mentioned above. Again, the notice of general meeting must contain the

terms of the proposed buy-back contracts. Other off-market buy-back methods include the scheme of arrangement procedure mentioned above at Section 12.3.3. In the case of listed companies, the Takeover Codes was meant to supplement the statutory regime of scheme of arrangement, rather than substitute it.

Further, any share buy-back by a listed company is regulated by the Takeover Codes, which provides additional requirements to those stated in the CO.

Illustrative Example 4

In the opening case, the price of listed shares of Impressive Technologies Ltd ('ITL') had been climbing for the last six months. It was puzzling to Andrew and Bruce why this was the case, although they were benefiting from it. It transpired that a group of investors led by Yvonne had been aggressively purchasing ITL's shares. This was discovered when the group acquired a 5% interest in ITL. An announcement was made pursuant to the obligations under the Listing Rules and the Securities and Futures Ordinance to disclose interests of substantial shareholders. Within two months, Chris and Denise sold their shares to the group led by Yvonne as well. Together with the shares Yvonne continued to accumulate, the group finally held more than 30% of the shares in ITL. As a result, the obligation to make a mandatory offer under the Takeover Codes had been triggered. The group accordingly made a mandatory offer to all shareholders of ITL. Upon completion, the group successfully privatised ITL.

12.3.5 Governance

In the case of listed corporations, there are additional requirements as to corporate governance imposed in addition to the CO.

12.3.5.1 Directors under the Securities and Futures Ordinance

Directors of a listed corporation are subject to additional duties under the SFO. Most notably, these include the requirements as to the disclosure of interests in the shares and debentures of the listed issuer and its associated companies, as imposed by Part XV of the SFO. Directors of a listed corporation are also vulnerable to the commission of market misconduct. They must use their best endeavours to ensure that the listed corporation is in compliance with the requirements as to the disclosure of inside information, as required under Part XIVA of the SFO. Directors may incur personal liability for breaches of such duties on the part of the listed corporation. Furthermore, the SFO also imposes liabilities on directors who approve prospectuses containing misleading information (ss.107, 108(1), 277, 281, 298, 384 and 391 of the SFO).

12.3.5.2 Corporate Governance Code

From 1 January 2022, Appendix 14 of the Listing Rules that provides code provisions as to the corporate governance was renamed as 'Corporate Governance Code' (the 'Code') from the current name of 'Corporate Governance Code and Corporate Governance Report'. The Code

contains 2 parts. Part 1 covers mandatory disclosure requirements in annual report, while Part 2 contains principles of good corporate governance ('Principles'), Code Provisions ('CPs') and Recommended Best Practices ('RBPs').

In Part 1, the listed companies must include a corporate governance report ('CG Report') prepared by the board of directors. Failure to produce the CG Report is a breach of the Listing Rules. The CG Report must contain all the information under 12 headings, including:

1. Corporate Governance Practices;
2. Board of Directors;
3. Board Committees;
4. Diversity; and
5. Investor Relations.

In Part 2, every set of Principles is followed by the CPs and the RBPs. A listed company would breach the Listing Rules if it deviates from a CP without providing reasons and explanations in the manner required by the Stock Exchange of Hong Kong. As to the RBPs under the same part, they are for guidance only and do not have the same vigour as the CPs. However, the listed companies are advised to make sure that they have complied with the RBPs for the relevant accounting period and give reasons for any deviation.

Every listed issuer must also include a CG Report in its summary financial reports and annual reports, as this is a mandatory requirement in Appendix 14 of Main Board Listing Rules and Appendix 15 of GEM Board Listing Rules. The CG Report must contain a narrative statement indicating overall compliance with and highlighting any deviation from the Code. This is known as a 'comply or explain' system. The CG Report is expected to state the extent to which the issuer has complied with the Code. Where the issuer has chosen to deviate from the Code, it is expected to explain the reason for doing so in the CG Report.

Exhibit 12.3 highlights the selected provisions in each section of the Code.

Part 2 – Principles of good corporate governance, code provisions and recommended best practices

Section A. Corporate Purpose, Strategy and Governance

CP A.1.1 – to require the board to align the company's culture with its purpose, value and strategy.

CP A.2.1 – to require the terms of reference of the board, or a committee performing same function, to include:

- (a) to develop and review policies and practices on corporate governance and make recommendations to the board;
- (b) to review the compliance with the Code and disclosure in the CG Report

► **EXHIBIT 12.3** Selected provisions in each section of the Code (as of Jan 2022)



Section B. Board Composition and Nomination

CPB.1.1 – to require the independent non-executive directors identified in all corporate communications that disclose the names of directors.

CP B.1.3 – to require the board to review board diversity policy annually.

CP B.1.4 – to require an issuer to establish mechanism to ensure that independent views and input are available to the board and disclose such mechanism in its CG Report.

CP B.2.3 – to require a separate resolution by shareholders for further appointment of an INED if he/she has served more than nine years.

CP B.2.4 – to require the board with long serving INEDs to:

- (a) appoint a new INED at the next annual general meeting in the financial year commencing on or after 1 January 2023; and
- (b) disclose the length of the tenure of the long-serving INEDs on a named basis in the shareholders' circular.

CP B.3.1 – to require the nomination committee to perform the following duties:

- (a) review the structure, size and composition (including the skills, knowledge and experience) of the board at least annually and make recommendations on any proposed changes to the board to complement the issuer's corporate strategy;
- (b) identify individuals suitably qualified to become board members and select or make recommendations to the board;
- (c) assess the independence of INEDs;
- (d) make recommendations to the board on the appointment or reappointment of directors and their succession planning.

Section C. Directors' Responsibilities, Delegation and Board Proceedings

CP C.1.2 – to require the non-executive directors to:

- (a) participate in board meetings to bring an independent judgement to bear on issues of strategy, policy, performance, accountability, resources, key appointments and standards of conduct;
- (b) take the lead where potential conflicts of interests arise;
- (c) serve on the audit, remuneration, nomination and other governance committees, if invited; and
- (d) scrutinise the issuer's performance in achieving agreed corporate goals and objectives, and monitoring performance reporting.

CP C.1.4 – to require all directors to participate in continuous professional development to develop and refresh their knowledge and skills.

CP C.1.6 – to require regular attendance and active participation of INEDs and other NEDs to give the board and committees their skills and expertise.

CP C.2.1 – to require the roles of chairman and chief executive separated.

CP C.2.5 – to require the chairman to take primary responsibility for establishing good corporate governance practices and procedures.

CP C.5.1 – to require the board to hold meetings at least four times a year at approximately quarterly intervals.

CP C.5.3 – to require the notice of a regular board meeting to be given to all directors at least 14 days before.

CP C.5.7 – to require an INED who has no material interest in the transaction should be present at the physical board meeting regarding the matter in which a substantial shareholder or a director has a conflict of interest.

CP C.6.1 – to require the company secretary an employee of the issuer who has day-to-day knowledge of the issuer's affairs. Where an issuer engages an external service provider as its company secretary, it should disclose the identity of a person with sufficient seniority at the issuer whom the external provider can contact.

CP C.6.3 – to require the company secretary to report to the board chairman and/or the chief executive.

► **EXHIBIT 12.3** Selected provisions in each section of the Code (as of Jan 2022) (Continued)

Section D. Audit, Internal Control and Risk Management

CP D.1.2 – to require the management to provide board members with monthly updates about the assessment of the company performance, position and prospects in sufficient detail.

CP D.2.1 – to require the board to oversee the issuer's risk management and internal control systems on an ongoing basis, to ensure that a review of the effectiveness of the issuer's and its subsidiaries' risk management and internal control systems has been conducted at least annually and to report to shareholders that it has done so in its Corporate Governance Report.

CP D.2.4 – to require disclosure in the CG Report how the issuers have complied with the risk management and internal control code provisions.

CP D.2.6 – to require establishment of a whistleblowing policy and system for employees about possible improprieties in any matter related to the issuer.

CP D.2.7 – to require establishment of policy and system that promote anti-corruption laws and regulations.

CP D.3.1 – to require full minutes of audit committee meetings to be kept by a duly appointed secretary of the meeting, and draft and final versions of minutes of the meetings to be sent to all committee members for their comment and records.

CP D.3.3 – to require the audit committee's terms of reference to include:

- (a) to be primarily responsible for making recommendations to the board on the appointment, reappointment and removal of the external auditor, and to approve their remuneration and terms of engagement;
- (b) to monitor integrity of the issuer's financial statements and annual report and accounts, half-year report and, if prepared for publication, quarterly reports, and to review significant financial reporting judgements contained in them.

Section E. Remuneration

CP E.1.1 – to require the remuneration committee to consult the chairman and/or chief executive about their remuneration proposals for other executive directors.

CP E.1.2 – to require the remuneration committee to include terms of reference:

- (a) to make recommendations to the board on the issuer's policy and structure for all directors' and senior management remuneration and on the establishment of a formal and transparent procedure for developing remuneration policy;
- (b) to review and approve the management's remuneration proposals with reference to the board's corporate goals and objectives.

CP E.1.5 – to require Issuers to disclose the directors' remuneration policy, details of any remuneration payable to members of senior management by band and other remuneration related matters in their annual reports.

Section F. Shareholders Engagement

CP F.1.1 – to require the issuer to have a policy on dividend payment and should disclose it in the annual report.

CP F.2.1 – to require each substantially separate issue at a general meeting, a separate resolution, rather than 'bundling' resolutions, should be proposed by the chairman of that meeting.

► **EXHIBIT 12.3** Selected provisions in each section of the Code (as of Jan 2022) (*Continued*)



12.3.5.3 Linkage between Corporate Governance Code and Environmental, Social and Governance Reporting

It is stressed in the Code that listed issuers should establish an effective governance structure for manage various types of risks (including environmental, social and governance risks). Accordingly, the Listing Rules were amended in a way such that the ESG Reporting Guide (Appendix 27) requires listed companies to publish their ESG reports with their annual reports at the same time (Exhibit 12.4).

Part 1 – Mandatory disclosure requirements

A. CORPORATE GOVERNANCE PRACTICES

The issuer must include in the CG Report a narrative statement explaining how the issuer has applied the principles in the Code and as to whether the issuer has met the Code's provisions, and explain any deviations from the Code.

B. BOARD OF DIRECTORS

The issuer must include in the CG Report the composition of the board, the number of board meetings held during the year, the attendance of board and committee meetings, the reasons why the issuer considers an independent non-executive director to be independent or otherwise and the relationship (including financial, family and any material relationship) between board members.

C. CHAIRMAN AND CHIEF EXECUTIVE

The issuer must include in the CG Report the identities of the chairman and the chief executive.

D. NON-EXECUTIVE DIRECTORS

The issuer must include in the CG Report the terms of appointment of the non-executive directors.

E. BOARD COMMITTEES

The issuer must include the following in the CG Report:

- (a) the role, function and composition of committees. The number of meetings held and a summary of the work should also be included.
- (b) For the audit committee, a report on how it met its responsibility in the relevant period should be included. Any breach and remedial steps should be included.
- (c) For the remuneration committee, a report on how to determine the policy for remuneration and how to assess performance of executive directors, should be included.
- (d) For the nomination committee, a report on the policy for the nomination of directors should be included.
- (e) For the risk committee, a report on how it met its responsibility in the relevant period should be included.

► EXHIBIT 12.4 Mandatory provisions of the Code

F. COMPANY SECRETARY

The issuer must include in the CG Report whether an external service provider was engaged and details of any non-compliance.

G. DIRECTORS' SECURITIES TRANSACTIONS

The issuer must include the following in the CG Report:

- (a) information on whether the issuer has adopted a code of conduct regarding directors' securities transactions at the required standard as set out in the Model Code;
- (b) whether specific enquiry of directors was complied with; and
- (c) information on any non-compliance with the Model Code, together with an explanation and the remedial steps taken.

H. RISK MANAGEMENT AND INTERNAL CONTROL

The issuer must include the following in the CG Report:

- (a) whether the issuer has an internal audit function,
- (b) how often the risk management and internal control systems are reviewed; and
- (c) whether the issuer considers its risk management and internal control systems effective and adequate.

I. AUDITOR'S REMUNERATION AND AUDITOR RELATED MATTERS

The issuer must include in the CG Report an analysis of remuneration in respect of audit and non-audit services provided by the auditors.

J. DIVERSITY

The issuer must include the following in the CG Report:

- (a) the issuer's policy on board diversity or a summary of the policy;
- (b) how and when gender diversity will be achieved; and
- (c) the gender ratio in the workforce (including senior management), any plans or measureable objectives for achieving gender diversity.

K. SHAREHOLDERS' RIGHTS

The issuer must include in the CG Report how shareholders can convene an extraordinary general meeting, the procedures by which enquires may be put to the board and the procedure for putting forward proposals at shareholders' meetings.

L. INVESTOR RELATIONS

The issuer must include the following in the CG Report:

- (a) any significant changes in the constitutional documents,
- (b) shareholders' communication policy, including channels for shareholders to communicate their views on various matters affecting the issuer, and steps taken to solicit and understand the views of shareholders and stakeholders, and
- (c) a statement of the issuer's review of the implementation and effectiveness of the shareholders' communication policy conducted during the year.

► EXHIBIT 12.4 Mandatory provisions of the Code (Continued)



Illustrative Example 5

In the opening case, Impressive Technologies Ltd ('ITL') was preparing its annual report. In the past year, its board only met three times because, during the spring quarter, a number of directors were away and it was not convenient to convene a meeting. Furthermore, no special matters called for a meeting and thus it was skipped. ITL also hired an audit firm to act as its company secretary this year. ITL's annual report must contain a narrative statement indicating its compliance with and highlighting deviation from the Corporate Governance Code. Hence, it must explain that: (1) it failed to conduct four board meetings a year at quarterly intervals in compliance with A.1.1 and provide the reason; and (2) the identity of a sufficiently senior (probably a partner) in the audit firm hired as its external secretary.

12.3.6 Financial Reporting under the Corporate Governance Code

The Code provides for certain standard to follow in terms of financial reporting (Section D.1 Financial Reporting of the Code). It is required that the management should provide sufficient explanation and information to the board to enable it to make an informed assessment of financial and other information put before it for approval. Management should provide all members of the board of directors with monthly updates giving a balanced and understandable assessment of the company's performance, position and prospects.

The directors should acknowledge in the report their responsibility for preparing the accounts. The report should contain sufficient information for investors to understand the severity and significance of matters. Where directors are aware of material uncertainties relating to events that may cast significant doubt on the issuer's ability to continue as a going concern, they should be clearly and prominently disclosed and discussed at length in the report. The directors should also include a discussion and analysis of the group's performance in the annual report, and an explanation of the basis on which the company generates or preserves value over the longer term.

Generally, the board should present a balanced, clear and understandable assessment in annual and interim reports and other financial disclosures required by the Listing Rules.

Illustrative Example 6

In the opening case, Impressive Technology Ltd has various subsidiaries. However, in the financial report, it has only incorporated the financial information of the main subsidiary. This is clearly insufficient under the principles of financial reporting as set out at C.1 of the Corporate Governance Code. The report should contain a balanced, clear and comprehensive assessment of the company's performance, position and prospects. Information concerning the group's performance should be included in the annual report.

► Knowledge Check Questions

Question 5

Explain what inside information is.

Question 6

Explain what a takeover offer is.

Question 7

Explain the main disclosure obligations under Part XV of the Securities and Futures Ordinance.

Question 8

Describe the main areas covered by the Corporate Governance Code.

➤ 12.4 FINANCIAL CRIMES

Financial crimes take the form of market abuse. The aim of the SFO is to promote market confidence, secure appropriate investor protection, reduce market malpractice and financial crime and facilitate innovation and competition. Thus, the prohibition against financial crimes forms the centrepiece of the SFO.

Unless otherwise stated, all references to statutory provisions in Section 12.4 are made to the Securities and Futures Ordinance (Cap.571).

12.4.1 Market Misconduct under the Securities and Futures Ordinance

The SFO provides a series of prohibited activities in relation to the trading of securities, called market misconduct. The focus is on the unfair market practice, such as trading with inside information (which gives the person an unfair advantage over the general market investors), or even market manipulation.

12.4.1.1 Types of Market Misconduct – Insider Dealing, False Trading, Price Rigging, Disclosure of Information about Prohibited Transactions, Disclosure of False or Misleading Information, Stock Market Manipulation

The SFO provides for several types of market misconduct. A number of them rest upon the notion of ‘inside information’. The term **inside information** of a listed corporation is defined as information (s.245):

1. That is about: (1) a listed corporation; or (2) a shareholder or officer of the corporation; or (3) the listed securities of the corporation or their derivatives;
2. That is specific, i.e. with sufficient particularity to be capable of being identified, defined and unequivocally expressed (*Securities and Futures Commission v Chan Pak Hoe Pablo* (2011) 5 HKC 484);



3. That is not generally known to the persons who are accustomed or would be likely to deal in the listed securities of the corporation; and
4. But would, if it were generally known to such persons, be likely materially to affect the price of the listed securities.

It is noted that this definition is highly technical. Substantial case law has been developed in connection with it. At a general level, 'inside information' can be understood to refer to price sensitive information not generally available to the public, i.e. information not generally known to the public but which would affect the price of the securities if known. The idea of 'inside information' is core to the market misconduct of insider dealing, which is discussed in Section 12.4.

Illustrative Example 7

In the opening case, Impressive Technologies Ltd ('ITL') is a listed company. It has been encountering financial troubles. Several banks commenced legal action against ITL two years ago to recover debts owed by ITL. Recently, the banks successfully obtained judgments against A Co and began enforcement proceedings. ITL never made any announcement about the legal actions commenced by the banks. The first announcement ITL had made was about the enforcement actions recently commenced. ITL has accordingly failed to comply with its obligations under Chapter 13 of the Listing Rules to disclose price sensitive information not generally known to the public. Obviously, both the information that: (1) the banks have commenced action against ITL; and (2) that the banks have obtained judgment against ITL are price sensitive information not generally known to the public.

Securities and Futures Commission v Chan Pak Hoe Pablo

Facts: D had over 10 years' experience in securities investment and was involved in finding a potential buyer for the majority shareholding held by G Co in a publicly listed company, U Co. In March 2008, G Co entered into negotiations to sell all its shares in U Co to another company GM Co at a proposed price of HK\$0.14 per share. D knew about the proposal as he was involved in the negotiation. He was privy to important negotiations and documents to the proposed transaction. Thereafter, whilst those negotiations were in progress, D acquired shares in U Co on 2 May and 19 June 2008. On 19 June 2008, U Co made an announcement that G Co was considering selling all its shareholdings to an independent third party. The share price increased by around 39%. After the announcement and on the same day, D sold all his shares in U Co and made a profit of HK\$120,387.62. However, ultimately the proposal fell through and U Co made an announcement on 27 June 2008 that G Co had broken off the negotiations.

Issue: Whether D was in possession of inside information.

Securities and Futures Commission v Chan Pak Hoe Pablo (continued)

Held: D was in possession of inside information. Specific information was information which possessed sufficient particularity to be capable of being identified, defined and unequivocally expressed. It was to be contrasted with mere rumour, with vague hopes and worries or with unsubstantiated conjecture, although what began as a vague hope or worry may over time have acquired sufficient substance and particularity to be properly defined as specific information. If and when such a transformation took place was a question of fact. The lack of precision of information did not prevent it from being specific.

The information to which D was privy was clearly specific information about U Co. The proposed sale was beyond the exploratory stage of 'testing the waters', mere rumour or a 'fishing expedition'. The fact that further negotiation was needed and approval was needed from the board of directors of U Co, the minority shareholders and the regulators did not take the information outside the meaning of specific information.

The SFO provides the following main types of **market misconduct offences**:

1. Insider dealing (s.270):

Primarily, **insider dealing** takes place when a person connected with a listed corporation and having information which he/she knows is inside information in relation to the corporation: (1) deals in the listed securities of the corporation or that of a related corporation; or (2) counsels or procures another person to do so. A person is connected with a corporation if he was a director, an employee or a substantial shareholder of the listed corporation or a related corporation (a related corporation means a parent, a subsidiary or a sister corporation (Schedule 1, Part 1, s.2) of that listed corporation (s.247). This is the 'dealing' limb of the misconduct. However, the misconduct of insider dealing also covers the situation where a person simply discloses inside information to another person, whilst knowing or having reasonable cause to believe that the other person will either deal or procure another to deal in the securities. The disclosure is sufficient to establish the misconduct. The misconduct covers both those persons who: (1) have the inside information in the first place; and (2) those who received the inside information from a person connected to the relevant corporation.

Ss.271 to 273 provide certain defences to the market misconduct of insider dealing. These provisions define that certain persons shall not be regarded as having engaged in market misconduct despite being engaged in an act of insider dealing. In summary, the defences include:

- (a) Directors' qualification shares (s.271(1)(a));
- (b) The performance in good faith of an underwriting agreement (s.271(1)(b));
- (c) The performance in good faith of functions as liquidator, receiver or trustee in bankruptcy (s.271(1)(c));



- (d) The absence of a profit or loss avoidance motive (s.271(3));
- (e) Effective information barriers (e.g. Chinese walls) (s.271(2));
- (f) Innocent agents (s.271(4));
- (g) Equality of information in an off-market transaction (s.271(5));
- (h) Known insider dealing with another person fairly without counselling or procuring the person to deal with him (ss.271(6) to (7));
- (i) Information obtained during negotiation and was used to achieve certain objectives in the negotiations (ss.271(6) to (10));
- (j) Trustees and personal representatives acting on advice from an appropriate person (s.272); and
- (k) Person exercising a right to subscribe for or buy listed securities where such right was acquired before the person obtained the relevant information (s.273).

In order to rely successfully on these defences, the onus is upon the defendant to establish the same on a balance of probabilities (See Insider Dealing Tribunal's Report on Success Holding Ltd Inquiry https://www.idt.gov.hk/english/doc/Success_Holdings_Ltd.pdf).

Securities and Futures Commission v Young Bik Fung (2016) 1 HKLRD 1249

Facts: D1 and D2 were solicitors in different firms who were formerly in a romantic relationship and now close friends. D3 and D4 were D2's siblings. The majority shareholders of a Hong Kong listed company, C Co, was in preparation of a privatisation of C Co. D2's firm was involved in the proposed privatisation of C Co. Although D2 was not a member of the team working on the proposed privatisation of C Co, D2 learnt about the transaction. The SFC contended that D2 tipped off D1, D3 and D4 before the announcement of the privatisation. As a result, D1, D3 and D4 acquired a total of 84,500 shares in C Co in advance and made profits on selling those shares. D1, D3 and D4 denied that they were acting on inside information and claimed that they had acted solely upon their own investment research and decisions.

Issue: Whether D1, D2, D3 and D4 had committed insider dealing.

Held: D1, D2 and D3 were in breach of the insider dealing provisions. The inferences to be drawn on the evidence were that: (1) D2 had acquired knowledge of the proposed privatisation through working at his law firm; (2) D2 shared this with D1 and D3 intending that they would trade on it; (3) D1 and D3 knew that the information was material confidential price sensitive information, i.e. inside information and traded based on that knowledge. The action against D4 failed for insufficient evidence.

Leung Chi Keung v Market Misconduct Tribunal (2012) 2 HKLRD 786

Facts: A listed company C Co wished to raise money by a top-up placement of its shares. S Firm was responsible for the placement. The placement was announced to the public on 26 January 2004. Y was the equity salesman in the sales department of S Firm. S Firm tasked Y with finding potential investors for the placement. Y worked in the public area of the firm. S Firm had a Chinese wall policy that prohibited inside information from the insider area from flowing to the public area (where Y worked). X was the director of Asian equities for an asset management company. Between 2 and 26 January 2004, Y gave information to X that C Co would carry out the proposed placement. X made use of the information by selling C Co's shares before the placements and made a profit for one of the funds he managed. X argued that he was not liable because Y was not a connected person as Y was working in the public area of S Firm and thus was not a person who would be expected to have access to confidential information. Furthermore, X argued that the information he had at the time in question was uncertain as no agreement had been reached and that, for the same reason, it could not be price sensitive.

Issue: Whether X was culpable of insider dealing.

Held: X was culpable of insider dealing. There were two elements in Hong Kong law prohibiting insider dealing: a person was guilty not merely because he dealt in certain shares whilst in possession of inside information. The first was an information connection, namely the relevant information must be specific information about a listed company or its securities which was non-public and price sensitive. The second was a person connection to the listed company, namely the relevant information must come from certain defined insiders.

Y was a connected person. The test is an objective one, i.e. what other people might reasonably expect of Y by virtue of Y's position. The Chinese wall policy is a relevant consideration. Although Y worked in the public area, Y was specifically tasked to source potential investors for the placement deal. In order to perform the task, someone in Y's position might reasonably be expected to be given access to relevant information of the placement such as the price, size and timing. X also knew that Y was a connected person.

The information X had was relevant information. It was in the nature of commercial negotiations that nothing was ever 'certain' until both parties signed on the dotted line. The less certain it was that a future event would take place, the less would X be able to prove the relevance of the information about it. In this case, the relevant information was about C Co's prospective placement, not any agreement between C Co and S Firm. X also knew the information to be relevant information.

2. False trading (s.274):

False trading takes place when a person does anything with the intention of creating a false or misleading appearance: (1) of active trading in securities or futures; or (2) with respect to the market for securities and futures. For example, a *prima facie* case of false

trading exists where: (1) transactions have taken place on-market but without a change in beneficial ownership of the securities (known as a 'wash sale'); or (2) the on-market transactions involve artificially matched sales and purchase of securities (known as 'matched orders'). It is important to note that it is not necessary that the action actually caused a false or misleading appearance. It is sufficient that there is a real chance that such action may lead to that consequence.

S.274(6) provides a statutory defence. The defendant must show that the purpose or purposes behind the transaction were not to create a false or misleading appearance. If there were more than one purpose to the transactions, the purposes must not include a purpose to create a false or misleading appearance. In other words, the defendant must prove a negative (as to his/her state of mind) on a balance of probabilities.

Apply and Analyse 4

Apply

Directors X, Y and Z of a listed company L Co authorised a stockbroker to acquire a significant number of shares in L Co. As it transpired, the acquisitions were made with a view to supporting the price of L Co. Analyse whether the directors committed the market misconduct of false trading.

Analysis

The Directors committed the market misconduct of false trading. It is enough for the purpose of the misconduct for an action to be undertaken that is calculated to create 'a false or misleading appearance with respect to the market for, or the price of any securities'. The object of the provision is to protect the market for securities against activities which will result in artificial or managed manipulation. It seeks to ensure that the market reflects the forces of genuine supply and demand.

HKSAR v Fu Kor Kuen Patrick (2012) 15 HKCFAR 524

Facts: For 20 days, the defendants bought and sold derivative warrants issued by M Ltd. everyday. At the end of each day, the defendants exited the market by selling the warrants. The purchaser would often be M Ltd itself at more or less the price as the defendants had paid originally. It transpired that the turnover of the defendants' trading of such warrants constituted the bulk of the total turnover in such warrants in the market on the respective days. Such transactions created a windfall that resulted in the profit/rebates of around HK\$1,000,000 to the defendants. The defendants were charged with the offence of creating a false or misleading appearance of active trading contrary to ss.295(1)(a) and (6) of the Securities and Future Ordinance (Cap. 571) ('SFO'). The defendants argued that they could utilize the statutory defence under s.295(7) that the acts giving rise to the charge were not for the purpose of creating a false or misleading appearance of active trading in securities.

HKSAR v Fu Kor Kuen Patrick (2012) 15 HKCFAR 524 (continued)

Issue: Whether the defendants were guilty of false trading and whether they could rely on the defence that the purpose of the activities was not false trading.

Held: The circular trading conducted by the defendants fell within the deeming provisions of s.295(5) of the SFO, i.e. that offering to sell and buy securities at a price that is substantially the same as the price at which they have made or proposes to make or knows that an associate of they have made or proposes to make, an offer to purchase the same or substantially the same number of them.

In order to rely on the statutory defence in s.295(7), the persuasive burden is on the defendants to prove the same on the balance of probabilities. It is open to the defendants to prove that the acts giving rise to the charge were not for the purpose of creating a false or misleading appearance of active trading. In the present case, the defendants were able to rely on the defence. They engaged in circular trading with the objective of earning commission rebates (commission farming). This was based on powerful circumstantial evidence that justified an inference that the defendants acted in pursuit of their economic interests. The buying and selling between the defendants was to enable them to achieve their commercial purpose of earning rebates.

3. Price rigging (s.275):

Price rigging takes place where a person: (1) enters into a sale or purchase of securities that does not involve a change in beneficial ownership of the securities, which has the effect of maintaining, increasing, reducing, stabilising or causing fluctuation in the price of the securities; or (2) enters into a fictitious or artificial transaction with the intention of having those effects on the price of the securities. The act of making an offer or invitation will constitute entering into a sale or purchase. However, the court should be cautious to draw a distinction between legitimate trading strategies intended to anticipate and respond to prevailing market forces and those designed to manipulate prices and deceive creditors.

S.275(4) provides a statutory defence similar to that in s.274(6). The defendant must show that the purpose or purposes behind the transaction were not to create a false or misleading appearance with respect to the price of the securities. If there was more than one purpose to the transactions, the purposes must not include a purpose to create a false or misleading appearance with respect to the price of the securities. In other words, the defendant must prove a negative (as to his/her state of mind) on a balance of probabilities.



Illustrative Example 8

In the opening case, Impressive Technologies Ltd ('ITL') is now a listed company on the Main Board of HKEX (#0666). Andrew is now the controlling shareholder of ITL and also the Chairman of the board. Andrew made purchases and sales of ITL's shares with his own funds using three trading accounts he maintained with different securities firms. All the purchases and sales are circular in the sense that there were no changes in the beneficial interests of the shares after the transactions; in other words, Andrew was simply passing shares from his left hand to his right hand. As a result of Andrew's transactions, the nominal price of the shares of ITL has increased. This was later discovered. Andrew was charged with the offence of price rigging. The price for the purpose of the offence refers to the nominal price of ITL's shares. Thus, Andrew committed the offence by entering into sale and purchase transactions of ITL's shares that did not involve a change in the beneficial ownership of the shares, whilst having the effect of increasing the price of ITL's shares.

HKSAR v Li Jialin (2014) 2 HKLRD 538

Facts: The defendant was the Chairman and controlling shareholder of a listed company C Ltd. The defendant effected purchase and sales of shares of C Ltd with his own funds using three trading accounts which involved no change in the beneficial ownership of the shares. The defendant's conduct increased the 'nominal' price of shares of C Ltd. The defendant challenged the prosecution way of calculating the 'prices' within the definition of the SFO.

Issue: Whether the defendant was guilty of price rigging and what constituted price for the purpose of the offence.

Held: The defendant was guilty of price rigging. The nominal price of a stock, i.e. the notional price adopted and displayed by the Hong Kong Stock Exchange, conformed best to the meaning of 'price' in s.296(1) of the SFO. It was precise, readily calculable and easily understood. It took into account actual transactions (i.e. the last traded price) as well as the most likely transaction price indicated by the highest bid and the lowest ask queues. It also reflected general or specific market sentiment which might govern those transactions. Thus, the nominal price of a shares was the appropriate measure of 'price' for the purpose of the SFO.

Thus, the defendant's transactions have increased the nominal price of shares of C Ltd. Thus, in its proper construction, the 'price' of shares of C Ltd was increased by the defendant's transactions that involved no change in beneficial ownership.

4. **Disclosure of information about prohibited transactions (s.276):**

It is a misconduct to disclose information about prohibited transaction to the effect that the price of securities or futures will be maintained, increased, reduced or stabilised. A prohibited transaction is any conduct or transaction that amounts to a market misconduct. This misconduct can be considered a 'secondary' misconduct. It aims to prevent the spread of information that the price of a security or futures will be affected by market misconduct. This is not uncommon as those engaged in market misconduct may hope to increase profits by spreading rumours that the price of a security or futures will be affected by the market misconduct. The intention is to influence ordinary investors to buy or sell the securities concerned, in order to maximise profit.

S.276(2) provides two statutory defences, namely:

- (a) where the benefit was received from an innocent party instead of from any party directly or indirectly entered or carried out the prohibited transaction in question (s.276(2)(a));
- (b) where the defendant has acted in good faith up to (but including) the time of the disclosure, circulation or dissemination of the information (s.276(2)(b)).

It seems that journalists in general would be able to make use of such a defence.

5. **Disclosure of false or misleading information inducing transactions (s.277):**

This misconduct is self-explanatory. It is prohibited to disclose information that induces or that is likely to induce another person to trade in securities, where the information is false or misleading as to a material fact (or omission of the same) and the person knows or is reckless or negligent as to such falsity or misleading quality.

There are three statutory defences.

S.277(2) provides for a defence to those persons who merely facilitate the reproduction of information, such as publishers. In order to take advantage of the defence, the defendant must show that:

- (a) The issue or reproduction of the information took place in the ordinary course of business;
- (b) The content of the information was not devised by the defendant;
- (c) The defendant did not in any way exercise control over the content of the information issued or reproduced; and
- (d) At the time of issue or reproduction, the defendant was ignorant as to the falsity or misleading nature of the information.

Similarly, s.277(3) provides for a defence to those persons who make available impugned information through an IT system. In order to take advantage of the defence, the defendant must show that:

- (a) The retransmission took place in the ordinary course of business;
- (b) The content of the information was not devised by the defendant;



- (c) The defendant did not in any way exercise control over the content of the information issued or reproduced;
- (d) The retransmission was accompanied by a message or acknowledgement by the user that the contents of the information were not devised by the defendant and that the defendant did not take responsibility for the same nor endorsed its accuracy.

Further, s.277(4) provides for a defence to those broadcasting live on financial information (e.g. any television programmes broadcasting live financial information). In order to take advantage of the defence, the defendant must show that:

- (a) The broadcast took place in the ordinary course of business;
- (b) The content of the information was not devised by the defendant;
- (c) The defendant did not in any way exercise control over the content of the information issued or reproduced;
- (d) The broadcaster defendant had reasonable grounds to believe (and did so believe) that it acted in accordance with the terms and conditions of any licence or code of practice issued under the Telecommunications Ordinance (Cap.106) or Broadcasting Ordinance (Cap.562);
- (e) At the time of the broadcast, the defendant was ignorant as to the falsity or misleading nature of the information; or if the defendant did know of the same, he/she: (1) could not have been reasonably expected to prevent the broadcast in the circumstances; or (2) had taken all reasonable steps to bring the fact that the information was false or misleading to the attention of a person in a position to take steps to prevent the broadcast.

6. **Stock market manipulation (s.278):**

Market manipulation occurs if a person engages in two or more transactions in securities that: (1) increase or are likely to increase the price of any securities traded; (2) reduce or are likely to reduce the same; or (3) maintain or stabilise or are likely to maintain or stabilise the price of securities. In order to establish the misconduct, the person must have the intention of inducing another person to deal in the relevant securities.

The Securities and Futures (Price Stabilizing) Rules (Cap.571W) (made pursuant to s.282 of the SFO) provide a defence for those engaging in legitimate price stabilising activities.

12.4.1.2 Dual Criminal and Civil Market Misconduct Regime

The SFO envisages a dual regime in punishing market misconduct: the civil (or regulatory) and the criminal regime. The above-mentioned market misconduct offences are primarily a creation for the civil regime as contained in Part XIII. These are distinguished from the market misconduct offences created under the criminal regime at Part XIV (discussed below). The civil market misconduct offences are enforced by the SFC at the Market Misconduct Tribunal, created under Part XIII.

The criminal regime is set out at Part XIV. Part XIV essentially creates market misconduct offences (ss.291 to 299) which are mirror images of the market misconduct in s.270 and ss.274 to 278. However, in prosecuting these market misconduct offences, the criminal standard of proof will apply, i.e. proof beyond a reasonable doubt. For example, s.291 (the criminal offence of insider dealing) is substantially the same as s.270 (the market misconduct offence of insider dealing).

12.4.1.3 Other Financial Market Offences under the Securities and Futures Ordinance (Cap.571)

In addition to the market misconduct offences, Part XIV also provides for some other offences relating to securities and futures trading:

1. Offence to employ fraudulent, deceptive devices (s.300).
2. Offence to falsely representing dealings in futures contracts (s.302).
3. Offence to provide false or misleading information (s.384).

Illustrative Example 9

Henry, Ivan, John and Kelvin are a group of banker friends working at different banks. They always have a drink every Friday to catch up. They sometimes chat about the deals they are undertaking, including upcoming mergers of certain listed companies or major acquisitions by certain listed companies. They never invest in the shares of those companies involved in the deals they are doing. Instead, they invest in the deals disclosed by the others. Once, Kelvin's sister Lina overheard their conversations and learned about an upcoming major acquisition by A Co. She told her dear friend Gina as an anecdote that she heard this from her banker brother. Gina went on to invest in A Co and reaps a huge profit when the news become public.

It was a breach of the insider trading provisions for Henry, Ivan, John and Kelvin to: (1) disclose to the others inside information knowing the others will invest in the same; and (2) invest in shares based on inside information provided by each other. They were in breach of both the dealing and procuring limbs of the insider dealing provisions. It was also a breach for Lina simply to disclose the information to Gina. This is because she received the inside information from her brother who can be treated as a connected person. It is, however, arguable that Lina may not expect Gina to deal in the securities, depending on Gina's normal behaviour, and whether she normally deals in listed securities. Gina was also in breach because she deals in the securities relying on information she knew is inside information.



► Knowledge Check Questions

Question 9

Explain what insider dealing is.

Question 10

Briefly explain the market misconduct offences prescribed by the Securities and Futures Ordinance other than insider dealing.

Question 11

Explain the defences to the market misconduct offence of false trading.

Question 12

Explain the defences to the market misconduct offence of price rigging.



SUMMARY

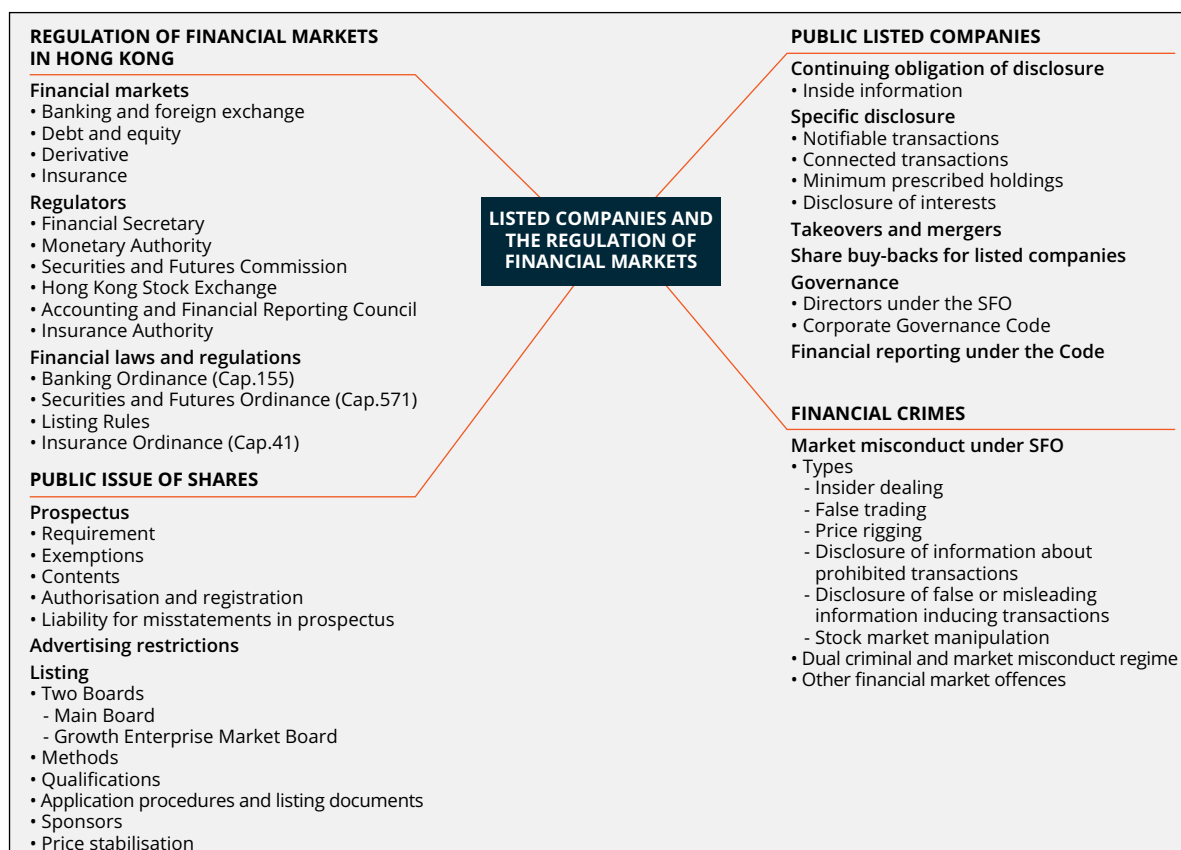
- Unless otherwise stated, all references to statutory provisions herein are made to the Companies Ordinance (Cap.622).
- The main regulators of the financial market in Hong Kong are the Hong Kong Exchange and Clearing Limited ('HKEX'), the Securities and Futures Commission ('SFC'), the Financial Secretary, the Monetary Authority, the Accounting and Financial Reporting Council and the Insurance Authority.
- A financial market is a market where financial securities and other financial assets are traded, such as equities (e.g. shares of public companies), bonds, international currencies and financial derivative products.
- In Hong Kong, listed debt and equity are traded through the securities market with the Stock Exchange of Hong Kong Limited ('SEHK'), i.e. one of the two wholly owned subsidiaries of the HKEX. The SEHK provides clearing, settlement and depository services for trading.
- A derivative is a kind of finance security. However, unlike debt or equity security, it does not have an intrinsic value *per se*.
- The insurance industry plays a very important role in the financial system. Generally, insurance companies amass huge amounts of capital owing to their nature. This makes them an integral part of the financial market.
- The main legislation governing the financial market is the Securities and Futures Ordinance ('SFO'). Another important set of rules is the Listing Rules issued by the HKEX. However, the Listing Rules are not statute. They are merely rules applicable to companies that choose to have their shares listed on the HKEX. Other supporting laws include the Banking Ordinance and the Insurance Ordinance.
- The hallmark of a public company is that it is allowed to offer and issue its shares to the public. The first time a company offers its shares to the public is known as an initial public offering ('IPO').
- In order to undertake an IPO, the company will need to issue a document called a 'prospectus'. The prospectus is essentially a document that introduces the company to the potential investors in the public. S.38(3) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance ('CWUMPO') prohibits a company from offering shares to the public without a prospectus that is in compliance with the provisions set out in the CWUMPO.
- Offers made to professional investors or underwritings are exempted from the requirements of a prospectus.
- Generally, a prospectus must contain sufficient particulars and information to enable a reasonable person to form a valid and justifiable opinion of the shares or debentures and the financial condition and profitability of the company at the time of the issue of the prospectus, taking into account the nature of the shares or debentures being offered and the nature of the company, and the nature of the persons likely to consider acquiring them (Sch.3 of the CWUMPO).



- Misstatements in prospectuses can give rise to both civil and criminal liabilities under the CWUMPO, the SFO and the general law of misrepresentation and criminal law.
- The advertising of prospectuses is regulated. Again, the theme of the regulation is to ensure that the information in the prospectus is accurate.
- The shares of public companies can be traded publicly at the SEHK if these shares are listed with the boards of the SEHK. The SEHK is a wholly owned subsidiary of the HKEX. There are two boards at the SEHK on which shares may be listed: the Main Board and the Growth Enterprises Market Board (the 'GEM Board'). The Main Board is a market for established companies. The GEM Board aims to provide a fund-raising market to new enterprises that have growth potential but fall short of the requirements for the Main Board.
- The Listing Rules provide a number of different ways for shares to be listed on the stock exchange, such as offers for subscription, offers for sale, placings, etc.
- The application for listing is not undertaken by the company itself but by a firm taking up the role of a sponsor. Every applicant must appoint a sponsor to assist it with its initial application for listing.
- A sponsor must be a corporation or authorised financial institution which is licensed or registered for Type 6 regulated activities (i.e. advising on corporate finance). A sponsor must be closely involved in the preparation of the listing documents and the due diligence process.
- In the initial trading month following an IPO, the share price may fluctuate. Price stabilisation is recognised by the SFC as necessary to protect the investors.
- A public listed company is subject to continuing disclosure obligations of information, including: (1) inside information; (2) notifiable transactions; (3) connected transactions; (4) public floats; and (5) interests in the listed company. The main purpose is to ensure proper information is disclosed to the market in a timely manner.
- Takeovers and mergers relating to listed companies are primarily governed by the Codes of Takeovers and Mergers and Share Buy-backs ('Takeover Codes').
- Any offeror or bidder may make a general offer voluntarily. A general offer is an offer by the bidder or offeror that is open to all shareholders of the target to purchase shares from those shareholders. Under certain circumstances, the Takeover Codes requires that the offeror to make a mandatory general offer. This usually occurs when a person who initially holds less than 30% of the voting rights in the listed company acquires voting rights which increase that person's holding to reach 30% or more than 30% of the voting rights.
- A scheme of arrangement is a statutory procedure that involves either: (1) the cancellation of all the existing target shares and the subsequent issue of new target shares to the bidder (known as 'a cancellation scheme'); or (2) the transfer of all the existing target shares to the bidder (known as 'a transfer scheme').
- The directors of the offeree company and accountants involved in the transaction are under the general principles of directors' duties to comply with the Takeover Codes.
- A listed company may buy back its shares in three ways: (1) on-market buy-back; (2) off-market buy-back by way of a general offer; and (3) off-market buy-back by means other than general offer.

- Directors of a listed corporation are subject to additional duties under the SFO. Most notably, these include the requirements as to the disclosure of interests in the shares and debentures of the listed issuer and its associated companies, as imposed by Part XV of the SFO.
- The Corporate Governance Code (the 'Code') set out the principles of good corporate governance. Every issuer must state whether it has complied with the Code for the relevant accounting period in its interim reports and annual reports. The Code provides for certain standard to follow in terms of financial reporting.
- The SFO provides the following main types of market misconduct offences: (1) insider dealing, (2) false trading, (3) price rigging, (4) disclosure of information about prohibited transactions, and (5) disclosure of false or misleading information inducing transactions and stock market manipulation.
- The SFO envisages a dual regime in punishing market misconduct: the civil (or regulatory) regime and the criminal regime. The civil regime is contained in Part XIII of the SFO. The criminal regime is set out at Part XIV of the SFO.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

The key regulators of the financial markets are the Hong Kong Stock Exchange ('HKEX') and the Securities and Futures Commission ('SFC'). The HKEX's role relates to listing, i.e. the listing of shares or other securities of a company on the exchange. It establishes and promulgates the Listing Rules that prescribe the listing requirements and obligations for applicants and listed companies (i.e. issuers). The SFC strives to strengthen and protect the integrity and soundness of Hong Kong's securities and futures markets for the benefit of investors and the industry. Generally, the SFC monitors and regulates activities of the participants in the financial markets for the protection of investors and the entire industry. Most significantly, the SFC develops policies and enforces the rules on market misconduct offences, such as insider dealing and market manipulation.

Question 2

The Securities and Futures Ordinance (Cap.571) ('SFO') is a statute and the main legislation regulating the trading of securities, futures, financial intermediaries and the financial markets of Hong Kong. It is law. It provides for criminal offences, non-compliance with which would attract criminal sanctions such as a fine or imprisonment. It also provides for other forms of civil liabilities, some of which may be enforced by the SFC in the courts.

The Listing Rules are a set of rules promulgated by the HKEX pursuant to s.23 of the SFO. They are not legal statute, but a set of rules applicable to all issuers (companies) who wish to have their shares listed on the HKEX. In a way, the Listing Rules can be considered as a 'playbook' of the HKEX. The Listing Rules cannot and do not provide for criminal or civil sanctions enforceable in the courts. Breaches of the Listing Rules are enforced by the HKEX, which can impose sanctions such as private reprimand, public criticism or even delisting.

Question 3

If a company wishes to offer its shares to the public for the first time, i.e. an initial public offering ('IPO'), it needs to issue a prospectus pursuant to s.38 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) ('CWUMPO'). A prospectus is a document that introduces the company to the potential investors in the public. There are extensive provisions in CWUMPO and the Listing Rules that ensure the information provided in the prospectus is true and accurate.

Question 4

The Main Board is a market for established companies. Thus, the listing on the Main Board requires a certain level of financial success, e.g. a three-year aggregate profit of HK\$80 million or higher and a market capitalisation of HK\$500 million or higher. The Growth Enterprise Market Board ('GEM Board') aims to provide a fund-raising market for new enterprises that have growth potential but fall short of the requirements of the Main Board. Thus, the listing requirements are less stringent for the GEM Board, e.g. a two-year aggregate operating cash flow or HK\$30 million or more and a market capitalisation of HK\$150 million or more.

Question 5

The SFO requires that inside information be disclosed to the public. Inside information is information: (1) about a listed corporation, a shareholder or officer of the same or the listed securities of the corporation; (2) that is specific; (3) not generally known to the persons who are accustomed or would be likely to deal in the listed securities of the corporation (the investing public); and (4) that, if it were available to such persons, would likely materially affect the price of the listed securities.

Question 6

A takeover offer may be a voluntary general offer or a mandatory general offer. A general offer is an offer by the bidder or offeror that is open to all the shareholders of the target company for the purchase of the latter's shares. It may be made voluntarily or mandatorily. A general offer is mandatory when a person who initially holds less than 30% of the voting rights in a listed company acquires voting rights which increase that person's shareholding to reach 30% or more than 30% of the voting rights. In considering whether the mandatory general offer provisions are triggered, the collective shareholdings of any parties acting in concert with the person shall be taken into consideration.



Question 7

Part XV of the SFO requires certain persons having an interest in a listed corporation to disclose the interest they hold in the corporation's securities. Generally, such persons include two categories: (1) substantial shareholders of a listed corporation (i.e. individuals or corporations who are 'interested' in 5% or more of any class of voting share capital of a listed company) (s.310 of the SFO); and (2) directors and chief executives of a listed corporation (s.341 of the SFO).

The word 'interest' is defined widely and covers not only those acquisitions under the person's own name but also those interests of his/her spouse, a company that his/her controls, limited liability partnerships or any trusts (ss.316 and 344 of the SFO) (This list is not exhaustive and serves only as an illustration). The listed company must also keep a register of the above-mentioned interest disclosed by its substantial shareholders (s.336 of the SFO) and by its directors and chief executives (s.352 of the SFO).

Question 8

There are six main areas covered by the Corporate Governance Code:

Section A. Corporate Purpose, Strategy and Governance

Section B. Board Composition and Nomination

Section C. Directors' Responsibilities, Delegation and Board Proceedings

Section D. Audit, Internal Control and Risk Management

Section E. Remuneration

Section F. Shareholders Engagement

Question 9

Insider dealing can take several forms. Primarily, insider dealing takes place when a person connected with a listed corporation and having information which he/she knows is inside information in relation to the corporation: (1) deals in the listed securities of the corporation or that of a related corporation; or (2) counsels or procures another person to do so. This is the 'dealing' limb of the misconduct. However, the misconduct of insider dealing also covers the situation where a person simply discloses inside information to another person, whilst knowing or having reasonable cause to believe that the other person will either deal or procure another to deal in the securities. The disclosure is sufficient to establish the misconduct offence. The misconduct covers both those persons who: (1) have the insider information in the first place; and (2) those who received the insider information from a person connected to the relevant corporation.

Question 10

The market misconduct offences prescribed by the SFO includes:

False trading takes place when a person does anything with the intention of creating a false or misleading appearance: (1) of active trading in securities or futures; or (2) with respect to the market for securities and futures.

Price rigging takes place where a person: (1) enters into a sale or purchase of securities that does not involve a change in beneficial ownership of the securities, which has the effect of maintaining, increasing, reducing, stabilising or causing fluctuation in the price

of the securities; or (2) enters into a fictitious or artificial transaction with the intention of having those effects on the price of the securities.

Disclosure of information about prohibited transactions is a misconduct offence to disclose information about a prohibited transaction to the effect that the price of securities or futures will be maintained, increased, reduced or stabilised. A prohibited transaction is any conduct or transaction that amounts to a market misconduct offence.

Disclosure of false or misleading information inducing transactions is prohibited to disclose information that induces or that is likely to induce another person to trade in securities, where the information is false or misleading as to a material fact (or omission of the same) and the person knows or is reckless or negligent as to such falsity or misleading quality.

Question 11

S.274(6) of the SFO provides a statutory defence for false trading. The defendant must show that the purpose or purposes behind the transaction was not to create a false or misleading appearance. If there was more than one purpose to the transactions, the purposes must not include a purpose to create a false or misleading appearance. In other words, the defendant must prove a negative (as to his/her state of mind) on a balance of probabilities.

Question 12

S.275(4) of the SFO provides a statutory defence for price rigging. The defendant must show that the purpose or purposes behind the transaction was not to create a false or misleading appearance with respect to the price of the securities. If there was more than one purpose to the transactions, the purposes must not include a purpose to create a false or misleading appearance with respect to the price of the securities. In other words, the defendant must prove a negative (as to his/her state of mind) on a balance of probabilities.

EXAM PRACTICE

QUESTION 1

Far East Co was a start-up company that had been successful in the big data science industry. Far East Co intended to become a listed company on the Hong Kong Stock Exchange. From March 2018 to March 2020, Far East Co accumulated a profit of HK\$30 million. However, from March 2020 to March 2021, Far East Co only made a profit of HK\$10 million. The market capitalisation of Far East Co is HK\$3 billion. The aggregate positive operating cash flow over the last three years of Far East Co was HK\$70 million.

Most of this was attributable to the huge increase of business in the last two years, which gave rise to a positive operating cash flow of HK\$60 million.

Three years later, Far East Co was listed on the Main Board of the Hong Kong Stock Exchange ('HKEX'). Far East Co was bidding for a major big data contract with the government. The preparation of the tender was highly confidential and not yet disclosable. Y was a junior staff member working for a subsidiary of Far East Co. Y told his father X of the bid and asked X to purchase shares in Far East Co.



S, the Chairman of the Board, the Founder and majority shareholder of Far East Co, made the following arrangements as to the corporate management of the company:

1. As the founder of Far East Co, S took up the position of the Chief Executive Officer.
 2. Far East Co had all along been run as a family business. After listing, S decided that things should be done the old way and decided not to disclose his remuneration in the annual report. He thought it was nobody else's business.
 3. S's long-time friend T was in some financial trouble. As a gesture of goodwill, S invited T to become Far East Co's company secretary for a fee. However, T would not thereby become Far East Co's employee because T had his own business to care for.
 4. As Far East Co was all along a family business, S's children U and V were both appointed directors of Far East Co. This remained the case after listing. However, S was a person of extreme privacy so he decided to exclude U and V's relationship with him from any documents.
- (a) Analyse the options of Far East Co's intended listing in 2022.
 - (b) Analyse whether Y and X were in breach of any market misconduct offence.
 - (c) Analyse the corporate governance issues arising from Far East Co with reference to the Corporate Governance Code.

QUESTION 2

Both Company X and Company Y are listed companies on the Main Board of HKEX (but independent of each other). Company X proposed to subscribe for certain convertible bonds to be issued by Company Y. According to the terms of the bonds, Company X had the right to convert the notes into new shares of Company Y at any time during the conversion period. Any outstanding amount would be redeemed by Company Y at the maturity date of the bonds. The total asset value of Company X was HK\$10 billion. The purchase price of the bonds was HK\$600 million.

Analyse the bases on which Company X should classify the transaction under Chapter 14 of the Main Board Listing Rules.

Company A and its subsidiaries were principally engaged in a variety of businesses, including property development and investment, hospitality and leisure, and asset management and investment. Company A owned several land properties in Tsim Sha Tsui. Company A sold one of such properties to Company B wholly owned by Company A's Chairman of the Board, Andrew. Furthermore, Company A recently entered into a substantial supply contract with Supplier C. It transpired that Supplier C was wholly owned by Andrew's wife.

Analyse whether the above-mentioned transactions were connected transactions and explain the actions necessary to be taken under the Listing Rules.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) The choices are between the Main Board and the GEM Board. However, Far East Co might not be qualified for listing on the Main Board.

For the Main Board, Far East Co has a market capitalisation of HK\$3 billion, which partly qualifies it for the profit test and cash flow test (which require a market

capitalisation of HK\$500 million and HK\$2 billion, respectively). Far East Co is not qualified under the revenue test, which requires a market capitalisation of HK\$4 billion. As for profit, Far East Co only has an aggregated profit in the last three years of HK\$40 million (30 + 10). Thus, it cannot pass the profit test either, which requires a three-year aggregate profit of HK\$80 million or more. Finally, it is also unlikely that Far East Co can qualify under the cash flow test, which requires a three-year aggregate positive operating cash flow equal to or more than HK\$100 million. Far East Co only has HK\$70 million.

However, it may be possible for Far East Co to qualify for a listing on the GEM Board, which requires only a positive two-year aggregate operating cash flow of HK\$30 million or more and a market capitalisation of HK\$150 million or more. Far East Co satisfies both of these criteria.

However, a listing application would still be subject to the requirements of continuity, namely two years of management continuity and one year of ownership continuity.

- (b) Y was in breach of the market misconduct of insider dealing (s.270 of the Securities and Futures Ordinance (Cap.571) ('SFO')). Y was a connected person within the definition in Schedule 1 of the SFO as he was employed by Far East Co. Although Y did not deal in Far East Co's securities himself, he counselled or procured X to do so. Thus, Y is guilty of insider dealing.

X was also guilty of insider dealing. Since X was Y's father, it would be reasonable to infer that X knew that Y was working for Far East Co. Thus, X received inside information from Y, whilst knowing Y was a connected person. In this situation, X would also be liable for insider dealing when he dealt in the shares of Far East Co.

- (c) S, in being both the Chairman of the Board and the Chief Executive Officer, is in breach of Code C.2.1, which requires that the roles of Chairman of the Board and Chief Executive Officer should not be performed by the same individual.

The decision not to disclose S's remuneration is a breach of Code E.1.5, which requires the disclosure of remuneration payable to members of senior management in the annual report.

The company secretary should be an employee of the issuer. If it is an external service provider, the identity of a senior person should be disclosed for contact. The concealment of T's appointment and contract is clearly a breach of the Code C.6.1.

Part 1 Mandatory Disclosure Requirements of Appendix 14 (Corporate Governance Code) about 'Board of Directors' requires the issuer to include in its Corporate Governance Report the relationship between board members, including family relationships. Thus, the non-disclosure of S's relationships with U and V is a breach of the Code.

QUESTION 2

Company X

The transaction would be a transaction within the definition of Rule 14.04 of the Listing Rules ('LR'). It is a provision of financial assistance by Company X. Company X is required to classify the transaction on the bases of six ratios (Rule 14.07), namely (1) the asset ratio



(total asset of the subject of the transaction/total asset of the issuer); (2) the profits ratio (profits attributable to the subject of the transaction/profits of the issuer); (3) the revenue ratio (revenue attributable to the subject of the transaction/revenue of the issuer); (4) the consideration ratio (consideration/the issuer's total market capitalisation); and (5) the equity capital ratio (the nominal value of the issuer's equity capital issued as consideration/nominal value of the issuer's existing equity capital).

On the bases of the above ratios, the transaction needs to be classified into one of the six transactions below: (1) a share transaction (all ratios less than 5% and the consideration of the transaction involve the issue of shares by the issuer (i.e. the listed company)); (2) a disclosable transaction (all ratios below 25% but one ratio above 5%); (3) a major transaction (all ratios below 75% (for disposal) or 100% (for acquisition) but one ratio at or above 25%); (4) a very substantial disposal (at least one ratio is 75% or above); (5) a very substantial acquisition (at least one ratio is 100% or above); and (6) a reverse takeover (a very substantial acquisition which is part of a transaction or attempt to achieve a listing of the assets to be acquired and a means to circumvent the requirements for new applicants set out in the Listing Rules).

Applying the above, the only information given in the present situation is the total asset value of Company X (HK\$10 billion) and the purchase price of the bonds (HK\$600 million). Applying the asset ratio = HK\$600 million/HK\$10 billion = 6%. Therefore, the transactions would be classified as a disclosable transaction at the very least. However, this is subject to the values of the other ratios, which cannot be calculated owing to a lack of information.

Company A

Pursuant to Chapter 14A of the Listing Rules, a connected transaction refers to a transaction between Company A and a 'connected person'. Andrew, being a director and the chairman of Company A is without doubt a connected person himself. Company B would be an associate and therefore a connected person being a company wholly owned by Andrew. Andrew's wife is an associate of a connected person (i.e. Andrew). Hence, Supplier C was also an associate, being a company controlled, or in this case wholly owned, by Andrew's wife. Therefore, Supplier C was a connected person. Both transactions were connected transactions.

According to Chapter 11A of the Listing Rules, the following actions must be taken:

1. Company A must enter into a written agreement with Company B and Supplier C respectively in respect of the connected transactions (LR 14A.34).
2. The connected transactions' particulars must be included in the next published annual report and accounts of Company A (LR 14A.49).
3. Company A must notify the HKEX as soon as possible after the terms of the connected transaction have been agreed upon and publish an announcement as soon as possible (LR 14A.35).
4. The connected transaction must be approved by Company A's independent shareholders. Andrew must abstain from voting (to the extent he has any interest in Company A) (LR 14A.36–39).

5. The shareholders' approval above can be replaced by a written approval by independent shareholders if: (1) no shareholder would be required to abstain from voting; and (2) the written approval was obtained from a shareholder or a closely allied group of shareholders who hold more than 50% of the voting rights in general meeting (LR 14A.36–39).
6. Company A must establish an independent board committee (consisting only of independent non-executive directors) to advise shareholders as to: (1) whether the terms of the connected transaction are fair and reasonable; (2) whether the transaction is in the interests of the company and the shareholders as a whole; (3) whether the connected transaction is on normal commercial terms and in the company's ordinary and usual course of business; and (4) how to vote, taking into consideration the views of the independent financial adviser (LR 14A.40–43).
7. Company A must appoint an independent financial adviser to advise the independent board committee and independent shareholders on the above-mentioned matters (LR 14A.44–45).
8. Company A must issue a circular to its shareholders in the terms required by LR 14A.46–48 at the same time as notice of the general meeting to approve the transaction is given.

13

Receivership, Liquidation and Winding-up



CHAPTER TOPIC LIST

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- 13.1.2** Receivership
- 13.1.3** Provisional Liquidation
- 13.1.4** Schemes of Arrangement
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13.2 Takeovers

- 13.2.1** General Offers and Compulsory Acquisitions
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13.3 Receivership

- 13.3.1** Privately Appointed Receivers and Managers
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- 13.4.1** Liquidators
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LEARNING OUTCOMES

PRINCIPAL LO1: ANALYSE AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN THE DIFFERENT FORMS OF LEGAL ENTITIES

Company liquidation and winding-up

LO1.05: Analyse and apply the rules and requirements regarding company liquidation and winding-up

1.05.01 Analyse the legal implications of the following types of liquidation:

- Compulsory winding-up by the court
- Members' voluntary winding-up
- Creditors' voluntary winding-up

1.05.02 Analyse the powers, duties and liabilities of a liquidator, and his/her appointment and resignation

1.05.03 Apply the procedures for liquidation

1.05.04 Apply the concept of avoidance powers such as unfair preference, extortionate transactions, fraudulent trading, etc

1.05.05 Describe the actions against delinquent officers

1.05.06 Describe the proof of debts and determine the priority in which the debts should be paid off

1.05.07 Analyse the appointment, powers, rights and duties of a receiver

1.05.08 Apply the rules and requirements regarding company liquidation and winding-up to practical business situations

PRINCIPAL LO2: EXPLAIN AND APPLY THE KEY ASPECTS OF CORPORATE LAWS AND REGULATIONS THAT GOVERN PUBLIC COMPANIES

LO2.02: Explain and apply the schemes of arrangement, reconstruction, and the take-over provisions under the Codes on Takeovers and Mergers and Share Buy-backs

2.02.01 Apply the Codes on Takeovers and Mergers and Share Buy-backs

2.02.02 Explain takeover by way of a scheme of arrangement or general offer

2.02.03 State the provisions on compulsory acquisition

2.02.04 Explain the roles of a director and an accountant in a takeover



OPENING CASE

JOURNEY'S END

All good things must come to an end. Unfortunately, the economy has taken a bad turn. Impressive Technologies Ltd ('ITL') has suffered as a result. The revenue has dropped, causing cash flow problems in ITL. Some bank loans are due in a few weeks' time, but ITL does not have sufficient cash to repay them. The directors Andrew and Bruce would like to know what their options are. They understand that they can perhaps negotiate a rescheduling of debts with the banks, but they do not know what that entails.

At this point in time, a white knight appears. Edward, a successful and established business owner in town, has always been interested in ITL. However, Edward has been waiting for the right moment to strike. Knowing that ITL is now in financial trouble, Edward knows this is his opportunity. Edward offers to allow his company, Empire Ltd, to take over ITL. The shareholders Andrew, Bruce, Chris and Denis are all eager to find out what this implies. In particular, as the directors of the company, Andrew and Bruce wonder whether they should recommend the takeover bid to ITL's shareholders.

Edward's takeover bids falls through eventually. ITL's debtors are knocking at the door. The company's biggest creditor, Stephen, is now contemplating the worst case scenario, i.e. the winding-up of the company. Stephen understands that he can ask the court for assistance in winding up the company. However, Stephen does not know what steps are to be taken. More importantly, Stephen wonders what the chances are that his loan would be repaid in the event that ITL is wound up. Stephen understands that he can also take advantage of the receivership procedures. Stephen wonders what that entails and whether that would be better than asking the court to wind up the company. Meanwhile, given the situation of ITL, Andrew and Bruce contemplate a voluntary winding-up of the company. Andrew and Bruce wonder what that entails and whether they can recoup their investments as shareholders in such a situation. 



OVERVIEW

This chapter will discuss what is meant by bringing a company to an end or, in other words, the way in which a company ceases to exist as a legal entity. This can occur for many reasons. The most common reason is insolvency. In such a case, an external manager might be appointed to manage particular assets of the company (i.e. receivership). The company may be able to negotiate with its creditors to extend the terms of its debt (i.e. debt rescheduling). Creditors may prefer to receive delayed payment of the debt owed to them rather than no payment at all.

In the worst case scenario, a company will need to be wound up, i.e. the company will cease to exist. Its assets will be applied to satisfy the claims of its creditors, with the remainder to be distributed to its members. This process is known as 'liquidation'. A winding-up may be voluntary or involuntary. In the former case, the members of the company themselves apply for the winding-up (or the winding-up was initiated by creditors but accepted by the members). In the latter case, it is a compulsory winding-up order made by the court. Usually, the order is made upon the application of creditors. However, there are also other reasons on which a court may grant a winding-up order.

Unless otherwise stated, all references to statutory provisions in Sections 13.1 to 13.3 are made to the Companies Ordinance (Cap.622) ('CO').



13.1 COMPANIES IN DIFFICULTY

Generally, a company can be considered to be in financial difficulty if it is insolvent. There are many tests that may indicate insolvency. Generally, it means that a company is unable to pay its debts as they fall due. This creates a cash flow problem for the company. When this occurs, a creditor can apply for a compulsory winding-up of the company on that basis, i.e. to kill the company (See Section 13.4.2).

Some preliminary ways to resolve a company's financial difficulties without resorting to the ultimate solution, i.e. the winding-up of the company, will be discussed below. These options are also known as corporate rescue.

13.1.1 Debt Rescheduling

Debt rescheduling is the alteration of current contractual obligations to pay debt. It is a contractual arrangement entered into by the debtor company with (some or all of) its creditors. Debt rescheduling can be achieved in many ways, including, for example, the deferral of the deadline to repay certain debts, the conversion of debt into equity, the giving of additional

security or consolidation of existing loans to reschedule interest payments. Debt restructuring allows a company to overcome cash flow difficulties.

Debt restructuring is more commonly adopted in the case of a large or even a listed company. As such, a company would have better prospects of fully repaying the debt after rescheduling. A large company will also be likely to have more assets available for the provision of security. With a little help, a large company is more likely to survive a short-term cash flow crisis, thus allowing the creditor to recover its investment in full. In contrast, a small company will often have exhausted the assets that it can offer as security. Also, lenders are usually unwilling to extend unsecured loans to small companies because of the uncertainty in the likelihood of repayment.

Illustrative Example 1

In the opening case, Impressive Technologies Ltd ('ITL') is in trouble. Its cash is running low as the business slows down. Banks are not willing to provide further facilities given the lack of securities. ITL is therefore considering a debt restructuring. It currently has two major creditors, A Bank and C Co. It is public knowledge that Andrew (who has become the biggest shareholder of the company holding 75% of its shares) has a rather successful side business. The side business is held by Advanced Co, which is co-owned by Andrew and ITL (50% each). It is therefore proposed that a debt restructuring for ITL should be conducted. ITL will transfer the profit-generating business and its valuable assets to Advanced Co that it co-owns with Andrew. Existing creditors are to be allotted new shares issued by Advanced Co. Some of the debts will remain in ITL, which is to be wound up. As such, the business of ITL will be reborn under the guise of Advanced Co, with its previous creditors now becoming its investors.

13.1.2 Receivership

A **receivership** is a kind of corporate rescue that involves a secured creditor enforcing its security against the charged assets of a debtor company. A receiver will collect, protect and receive property and income from the property charged on behalf of the creditor. A receiver can be appointed by the secured lender itself or by the court. A receiver's powers may be very wide, including the power to sell the secured property. Where a receiver is appointed in relation to the entire company, a receiver may (1) organise the sale of the entire business as a going concern rather than selling the company's assets piecemeal; (2) sell off the unprofitable elements of the business so that the remaining part can be saved and rebuilt or restructured; and (3) sell the profitable part of the business to a new company, leaving the old company that contains the unprofitable part to be wound up.

Receivership will be discussed further in Section 13.3.

13.1.3 Provisional Liquidation

The **provisional liquidation** of a company is the process whereby a company is brought to an end by the sale of its assets and the distribution of the proceeds to creditors and members (See Section 13.4). In the case of compulsory liquidation, the process begins with the

presentation of a petition with the court for the winding-up of the company. After consideration of all the relevant factors, the court shall make a winding-up order, i.e. an order that the company is to enter into compulsory liquidation. A liquidator is then appointed to execute the liquidation process.

A provisional liquidation is an interim measure that may be implemented at any time after the presentation of a winding-up petition, pending the outcome of that petition. If the court is satisfied that the assets of the company are in danger (of being dissipated, contrary to the insolvency rules), it may appoint a provisional liquidator to safeguard and protect the assets of the company. A provisional liquidator's powers are derived principally from the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) ('CWUMPO'), subject to modification by the court. The appointment of a provisional liquidator triggers a stay against all proceedings against the company, i.e. no proceedings against the company may be commenced or continued without the permission of the court.

Illustrative Example 2

In the opening case, Impressive Technologies Ltd ('ITL') is facing a dire situation. It transpires that one of its directors and shareholders, Bruce (holding 25% of the shares), has been siphoning off the assets of ITL to a British Virgin Islands ('BVI') company. Bruce is working with his accomplices within ITL. Alifa Investment Company Limited ('AICL'), a big creditor of ITL, hears of the matter and the poor financial situation in which ITL finds itself. AICL immediately presents a winding-up petition against ITL. On the application of AICL, provisional liquidators are appointed for ITL in order to: (1) preserve the assets of ITL; and (2) investigate the transactions entered into by Bruce and his accomplices on behalf of ITL. The provisional liquidators successfully trace some assets that have been siphoned off to a BVI company. Upon winding-up, the provisional liquidators are appointed as the liquidators of ITL. They initiate litigation in the BVI to recover the assets of ITL.

13.1.4 Schemes of Arrangement

The **scheme of arrangement** procedure is a collective decision-making procedure that allows the company and its shareholders and/or creditors to reach an agreement on the reorganisation of the rights and liabilities of the shareholders or creditors. It is the formal statutory procedure to arrange a debt reorganisation of a financially distressed company. Since the mid to late 1990s, the procedure has been used extensively as a formal restructuring procedure in Hong Kong. See Sections 12.3.3 and 13.2.2.

13.1.5 Compromise under s.199 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32)

S.199 of the CWUMPO also provides another compromise procedure without the making of a scheme of arrangement. S.199 of the CWUMPO provides that a liquidator or a provisional liquidator has the power to make a compromise or arrangement with the company's creditors (including those persons who claim to be the company's creditors) without going through the entire process of making a scheme of arrangement. However, the liquidator or provisional



liquidator may only exercise this power with the sanction of the court or the committee of inspection or the official receiver. It should be noted that s.199 of the CWUMPO is only applicable in special circumstances. The scheme of arrangement procedure remains the more appropriate forum for debt reorganisation or negotiation.

13.1.6 Provisional Supervision

Provisional supervision is a corporate rescue procedure proposed in the 1990s for the purpose of reform of the law on corporate rescue. However, the procedure was never adopted and never entered into force.

It therefore suffices for present purposes to provide a brief explanation of the provisional supervision procedure. Central to this procedure is the appointment (by the directors) of an independent insolvency specialist to act as a provisional supervisor to a company in trouble. The provisional supervisor takes over the management of the company from the directors. Following the appointment and within a period of between one and six months, the provisional supervisor makes a judgement on the viability of rescuing or restructuring the company. If the provisional supervisor concludes that company is beyond rescue, the company would then enter into liquidation. However, if the provisional supervisor finds that the company might be salvageable, he/she will prepare a rescue proposal. The proposal would then need to be approved by a majority of the creditors. Once approved, the proposal is binding on the company and all of its creditors. The provisional supervisor would then hand over the management power of the company back to the directors.

13.1.7 Amalgamation

Broadly speaking, amalgamation refers to the process of multiple companies combining together to form a new entity/company. Division 3 of Part 13 deals with the amalgamation of companies within a group. It focuses on a subsidiary defined as a wholly owned subsidiary, i.e. a subsidiary the members of which consist only of the holding company or the nominee/subsidiary of the holding company (s.678).

An amalgamation can be vertical (i.e. between a parent and a subsidiary) (s.680) or horizontal (between subsidiaries) (s.681). In a vertical amalgamation, the shares of the subsidiary will be cancelled without payment. The articles of association of the new amalgamated company will be the same as the parent company (s.680(2)). In a horizontal amalgamation, the shares of all but one of the amalgamating subsidiaries will be cancelled without payment. The articles of association of the new amalgamated company will be the same as the one subsidiary the shares of which were not cancelled.

For all these types of amalgamation:

1. The board of directors of each company must make a solvency statement that the respective companies are solvent, i.e. able to pay their debt 12 months after the amalgamation (s.679). The statement should also state that all secured creditors must have previously consented to the amalgamation (s.679(1)(b));
2. The directors should also issue a certificate on the solvency statement stating the grounds for their opinion that the companies were solvent (s.683);
3. The directors must also give written notice of the proposed amalgamation to every secured creditor of the companies and publish notice of the proposed amalgamation in English and Chinese newspapers in Hong Kong (ss.680(2) and 681(2)); and

4. Shareholders' approval must be obtained by special resolution passed on a poll at general meeting. A written resolution is not sufficient (ss.680(3) and 681(3)).

The amalgamation should be registered within 15 days after the approval of the amalgamation (s.684). On the effective date, each amalgamating company ceases to exist as a legal entity separate from the amalgamated company, and the amalgamated company succeeds to all the property, rights and privileges and all the liabilities and obligations of each amalgamating company (s.685(3)).

Any member or creditor (to whom the amalgamating companies are under obligation) who wishes to oppose the amalgamation may apply to the court. This is on the ground that the member or creditor would be unfairly prejudiced by the proposed amalgamation. The court may make any order it thinks fit, including direction that effect must not be given to the proposed amalgamation (s.686).

► Knowledge Check Questions

Question 1

Explain the concept of debt rescheduling.

Question 2

Explain the concept of receivership.

➤ 13.2 TAKEOVERS

As discussed in Section 12.3.3, takeovers and mergers relating to listed companies are primarily governed by the Securities and Futures Commission's *Codes on Takeovers and Mergers and Share Buy-backs* ('Takeover Codes' published by the Securities and Futures Commission). A takeover for this purpose is where a party (usually called a bidder or offeror in this context) proposes to buy a controlling stake in a listed company (usually called a target in this context). The purposes of regulating this kind of transaction are:

1. To ensure that all parties (especially the minority shareholders) are treated fairly in a takeover transaction;
2. To ensure that all shareholders are given an opportunity to exit upon a change of control; and
3. To ensure that disclosure is made in a timely and adequately manner to inform the shareholders about the merits of any takeover offer, so as to ensure a fair and informed market in the shares affected by the takeover.



13.2.1 General Offers and Compulsory Acquisitions

A **general offer** is an offer by the bidder or offeror that is open to all shareholders of the target to purchase shares from those shareholders.

A voluntary offer may be classified as recommended or hostile, depending on the attitude of the board of directors towards the offer.

Under certain circumstances, the Takeover Codes requires that the offeror make a general offer. This is known as a **mandatory offer**. Under Rule 26 of the Takeover Codes, the duty to make a mandatory offer is triggered if:

1. A person who initially holds less than 30% of the voting rights acquires voting rights that increase his/her holding to 30% or more of the voting rights of the target company;
2. A person who initially holds at least 30% but less than 50% of the voting rights acquires voting rights that increase his/her holding by more than 2% from the lowest percentage holding in the 12-month period ending on the date of the acquisition (this is also known as 'the 2% creeper rule'); and
3. The obligation would also be triggered if two or more persons acting in concert, whose collective holdings taken together were within the above brackets, acquire voting rights that fulfil the above conditions.

It should be noted that, in the context of the CO, a general offer is defined more narrowly as the situation of a share buy-back by a listed company. In the CO, a general offer is defined in s.707 as a listed company's offer to buy back shares in the company if: (1) the offer is to buy back all of the shares in the company; and (2) the terms of the offer are the same (subject to certain exceptions). The definition is made for the purpose of Division 5 of Part 13, which concerns compulsory acquisition after general offer for share buy-back.

Illustrative Example 3

Fancy Life Ltd ('FLL') is a public company listed on the Main Board of the Hong Kong Stock Exchange. Miserable Death Ltd ('MDL') is a company holding 41.66% shares in FLL, thus rendering MDL the substantial shareholder of FLL. MDL itself is a 100% owned subsidiary of Heaven Ltd ('HL'). HL is part of a group of companies ultimately owed by Lucy. Lucy wants to restructure the group and holds 100% of MDL directly. A transaction is proposed whereby HL will sell its 100% shares in MDL directly to Lucy. As a result, the mandatory offer provision is triggered. By virtue of the proposed transaction, Lucy will acquire 41.66% of the voting rights in FLL through her 100% ownership of MDL. Therefore, Rule 26 of the Takeover Codes requires Lucy to make a general offer to the shareholders of FLL.

Note: This case is loosely based on the Takeovers and Mergers Panel's decision regarding Cross-Harbour (Holdings) Limited (Stock Code 0032) dated 21 December 2015.

13.2.1.1 Procedure

Both the CO and the Takeover Codes contained procedural protections to minority shareholders in the event of a takeover. It is noted that the Takeover Codes provisions aimed at supplementing the statutory provisions in the CO instead of replacing the same. Whilst the Takeover Codes only applies to public and listed companies, the CO applies to both private and public companies.

In summary, the CO contains the following provisions regarding a takeover:

1. S.689 defines the definition of a takeover offer within the definition of the CO. Broadly speaking, it is an offer to acquire all shares, or all shares of any class, in a company and the terms of the offer are the same to all shareholders.
2. Ss.693 to 699 provide for the squeeze-out situation, i.e. where the offeror had acquired 90% of the shares in the company and wished to acquire the remainder. In such a case, the offeror may give notice to the holder of the remaining shares that the offeror desires to acquire their shares (s.693). The notice must be in the specified form and the specified time (s.694). After such notice has been given, the offeror is entitled and is bound to acquire the shares on the terms of the takeover offer, unless the court orders otherwise (s.695).
3. Ss.700 to 704 provide for the 'sell-out' situation, i.e. where the offeror had acquired 90% of the shares in the company and the remaining shareholders wished to sell their shares. In this case, the remaining shareholders (who did not accept the general offer) might send a letter requiring the offeror to acquire their shares (s.700). The offeror has the obligation to notify such remaining shareholders of their rights to be bought out (but this would not be necessary if the offeror had sent out notice of its desire to acquire the shares under the squeeze-out provisions) (s.701). The notice must be in the prescribed form and sent within the prescribed time (s.702). After the remaining shareholders sent the letter to the offeror, the offeror is entitled and bound to acquire the shares on the takeover offer terms, unless otherwise directed by the court (s.703).
4. Ss.705 to 721 contain similar provisions for compulsory acquisition after general offer for share buy-back (as opposed to takeover offers). S.707 provides that a listed company's offer to buy back shares in the company constitutes a general offer if it is to buy back all shares (or all the shares of any class) and the terms of the offer are the same. It is noted that members may give notice that they would not tender shares for buy-back under general offer (s.711). S.712 provides for similar squeeze-out provisions should the company successfully repurchase 90% of the shares. S.718 provides for similar sell-out provisions should the company successfully repurchase 90% of the shares.

The Takeover Codes laid down the general procedures to be followed in making an offer:

1. **Announcement:** The first step is for the offeror or potential offeror to make an announcement of the offer (TC 3.1). An announcement must be made by a potential offeror:
 - (a) When before the offeree is approached, there was rumour or speculation about a possible offer (or an undue movement in its share price/share turnover) and there



are reasonable grounds to conclude that it was the actions of the potential offeror (and anyone acting in concert) that had led to the situation (TC 3.1(a));

- (b) When negotiations or discussions are about to be extended to include more than a very restricted number of people (outside those on a need-to-know basis) (TC 3.1(b)); or
- (c) Immediately upon an acquisition of voting rights that gives rise to the obligation to make a mandatory offer (TC 3.1(c)).

An announcement may also be made by the offeree company when there was an approach to the offeree company. This occurs when:

- (a) There is a firm intention to make an offer, which is notified to the board of the offeree from a serious source (TC 3.2(a));
- (b) Following an approach, the offeree was subject to rumour or speculation about a possible offer (or there is undue movement in share price/share turnover), whether or not there is a firm intention to make an offer (TC 3.2(b));
- (c) When negotiations or discussions are about to be extended to include more than a very restricted number of people (outside those on a need-to-know basis) (TC 3.2(c)); or
- (d) The board of a company is aware of negotiations/discussions between a potential offeror and the shareholder(s) of 30% of the voting rights of a company or when the company is seeking potential offers; and: (1) the company was subject to rumour or speculation about a possible offer (or there is undue movement in share price/share turnover); or (2) the number of potential offerors/purchasers approached is about to include more than a very restricted number of people (TC 3.2(d)).

An announcement may also be made by a potential vendor when (TC 3.3):

- (a) There are negotiations/discussions between a potential offeror and the shareholder(s) of 30% of the voting rights of a company;
- (b) The company was subject to rumour or speculation about a possible offer (or there is undue movement in share price/share turnover); and
- (c) There are reasonable grounds to conclude that it was the actions of the potential vendor (and anyone acting in concert) that had led to the situation.

2. **Offer document:** The **offer document** is a document that includes the formal terms and conditions of the general offer. Usually, the offer document should be posted by the offeror within 21 days of the date of the announcement of the terms of the offer (TC 8.2). The offer document must contain such information as set out at Schedule 1 of the Takeover Codes, e.g.:

- (a) Information of the offeror, including the name and address of the offeror, its financial adviser and a list of the principal members of the offeror's concerted group;

- (b) The offeror's intention regarding the continuation of the business of the offeree company;
 - (c) The shareholdings of the offeror in the offeree company;
 - (d) Shareholdings in the offeror and offeree company in which directors of the offeror are interested;
 - (e) The precise particulars of the securities in respect of which the offer is made;
 - (f) Conditions of the offer, e.g. the price or other consideration to be paid for the securities;
 - (g) Certain financial and commercial information of the offeror if the proposed offer is a securities exchange offer;
 - (h) Details of any benefit which will be given to any director of the offeree company as compensation for loss of office or otherwise in connection with the offer; and
 - (i) A statement of the obligations of the offeror and the rights of the offeree company under the Rules 15, 16, 17, 19 and 20 of the Takeover Codes.
3. **Offeree circular:** Within 14 days of the posting of the offer document, the offeree company should send to its shareholders a circular in response (TC 8.4). The circular must contain such information as set out in Schedule 2 of the Takeover Codes, e.g.:
- (a) The views of the offeree board on the offer, i.e. the recommendation of the independent committee of the board of the offeree given in accordance with the Rule 2.1 of the Takeover Codes;
 - (b) The shareholdings of the offeree company in the offeror and other relevant information relating to shareholdings and dealings;
 - (c) The share capital of the offeree company;
 - (d) Financial information about the offeree company;
 - (e) Material contracts entered into within two years before the commencement of the offer period;
 - (f) Details of any arrangements affecting directors, e.g. benefits to be given to any director of the offeree company as compensation; and
 - (g) The directors' service agreements with the offeree company or any of its subsidiaries or associated companies.
4. **Compulsory acquisition:** In cases where the offeror has failed to acquire 100% of the shares in the offeree company, the offeror may compel a purchase of the remaining shares if:
- (a) Within four months of the posting of the offer document, the offeror has acquired (or contracted to acquire) 90% of the disinterested shares (TC 2.11) (disinterested shares are shares in the company other than those which are owned by the offeror or persons acting in concert with it (comment 6 to TC 2.11)).
 - (b) The conditions as laid down in ss.687 to 721 are satisfied.



5. **Offer period:** If an offer document and the offeree board circular are posted on the same day, the offer must initially be open for acceptance for at least 21 days after the date of posting of the offer document. In the case where the offeree circular is posted after the offer document (i.e. a case where the offeree company contests the offer), the offer must stay open for 28 days (TC 15.1). In any announcement of an extension of an offer, either the next closing date must be stated or, if the offer is unconditional as to acceptances, a statement may be made that the offer will remain open until further notice.

See the Securities and Futures Commission's website for Rules 2.11, 3.1–3.3, 8.2, 8.4, 15.1, 26 and Schedules 1 to 2 of the Takeover Codes (<https://www.sfc.hk/web/EN/regulatory-functions/listings-and-takeovers/takeovers-and-mergers/>).

It should also be noted that, when faced with a takeover, the directors and/or accountants of a company should take heed of the general principles as provided in the Takeover Codes (See Section 12.3.3) and the *Code of Ethics for Professional Accountants* issued by the Institute of Certified Public Accountants ('HKICPA Code of Ethics').

Ss.700.32 to 700.40 of the HKICPA Code of Ethics deal with an accountant's ethics during a takeover. In particular:

1. A member who provides takeover services for clients is required to comply with the Takeover Codes, which are expressly applied to professional advisers as well as to those engaged in the securities market. They should also be drawn to the contents of Annex II – Guidance note: Compliance with the Takeover Codes.
2. The Takeover Codes apply to what are described as public companies in Hong Kong and the persons to whom the Takeover Codes apply are stated to be as follows:
 - (a) Directors of public companies;
 - (b) Persons or groups of persons who seek to gain or consolidate control of public companies;
 - (c) Their professional advisers; and
 - (d) Those who are actively engaged in the securities market in all its aspects.
3. According to s.700.36 of the HKICPA Code of Ethics, Rule 2.1 of the Takeover Codes states the general principle that the financial adviser must be independent. Rule 2.6 of the Takeover Codes provides that a person who has, or had, a connection, financial or otherwise, with the offeror or offeree company of a kind likely to create a conflict of interest will not be regarded as a suitable person to give independent advice. Independence is particularly important in Hong Kong, where many companies are dominated by a single shareholder. Rule 2.7 of the Takeover Codes, which gives guidance on relationships which are inconsistent with the independence of the financial adviser, takes exception not only to a relationship between the financial adviser and the offeror or offeree company, but also to a relationship between the financial advisers with the controlling shareholder of either the offeror or offeree company.
4. In relation to Rule 2.1 of the Takeover Codes about the independence of a financial adviser, s.700.37 of the HKICPA Code of Ethics provides that the onus is on the financial

adviser to ensure that no conflict of interest exists which might affect, or be perceived to affect, the impartiality of the advice he/she gives. In the event of doubt, the financial adviser should disclose the conflict to the executive director of the Corporate Finance Division of the Securities and Futures Commission. The adviser should not assume that the executive is aware of the conflict or that the independence of the adviser is accepted by the executive merely because an announcement of the offer and appointment of the adviser is published. Consulting the executive is always advisable to minimise the risk of any objection to the appointment after it has been publicly announced. The financial adviser must also disclose all relevant information that the executive may require to make a fully informed decision.

5. For any takeovers subject to the Takeover Codes, a firm may find itself in a position that it is acting as a financial adviser to two or more parties in a takeover and to cease to act could damage the interest of the client. In such circumstances, the firm may continue to act as reporting accountants on any profit forecast and the provision of incidental advice consistent with its role. However, the firm should not act as the lead adviser for any party involved, issue any critique of its client's accounts and should implement proper safeguards. Firms should also be directed towards the sections of the Takeover Codes dealing with conflicts of interest, in particular to Note 1 'Conflicts of interest' at point 2.9 in the chapter headed 'Rules', including the possession of material confidential information. Members in doubt as to their position under the Takeover Codes should consult the Takeovers and Mergers Panel.
6. For takeovers not subject to the Takeover Codes, there is no public interest involved. Thus, the firm may continue to act for two parties as long as the interests of minority shareholders are protected. However, it would be desirable to have a wholly independent adviser.

13.2.2 Schemes of Arrangement

A scheme of arrangement is a statutory procedure that involves either:

1. The cancellation of all the existing target shares and the subsequent issue of new target shares to the bidder (known as 'a cancellation scheme'); or
2. The transfer of all the existing target shares to the bidder (known as 'a transfer scheme').

In either scheme, the former shareholder would either obtain cash or new shares in return, as approved by the court.

13.2.2.1 Procedure

The process of applying for a scheme of arrangement is driven by the target company. Thus, the scheme route is only available when the target is in favour of the offer. The most usual situation a scheme of arrangement is used for the purpose of a takeover is in the situation of 'privatisation'. A privatisation means when the controlling shareholder of a listed company decides to hold 100% shareholding and delist the company (thus making it private).

The procedures of sanctioning a scheme of arrangement are governed by Division 2 of Part 13. Firstly, a scheme needs to be devised and be proposed by the company or any creditor or member of the company. Secondly, an application would be made to the court pursuant to s.670 for an order of the meeting of members or creditors. Thirdly, the court may then



order such a meeting (as the situation applies) (s.670(2)). The meeting would thus be called in accordance with the court's direction (See the procedure stated at s.671). Fourthly, if the proposed scheme was agreed to by the members or creditors (i.e. 75% voting rights or in the value of debt), an application may be made to the court for sanction of the scheme. Fifthly, the court may sanction or refuse to sanction the scheme proposed and agreed to (s.673). Lastly, the scheme will become binding if the court makes a sanction order (s.673(5)).

13.2.2.2 Court Sanction

In determining whether to sanction a scheme that has been agreed, the court must ensure that the proper majority is obtained and that those persons entitled to attend the meeting were fairly represented and that the majority was acting in good faith and did not coerce the minority in order to promote the interests of the majority. The applicant must show that the scheme is one that an intelligent and honest person might reasonably approve.

For schemes that amount to a general offer or takeover offer within the definitions of ss.707 and 674(5) respectively, a test based on the 10% objection rule derived from the Takeover Codes is applicable in determining whether an agreement to the scheme has been obtained (in addition to the 75% majority requirement): the votes cast against the scheme at the meeting must not exceed 10% of the total voting rights attached to all disinterested shares in the company (s.674(2)). Broadly speaking, disinterested shares refer to those shares independent to the offeror (See the definition in detail at s.674(3)).

As discussed above, a general offer as defined in s.707 arises on a listed company's offer to buy back shares in the company if (1) the offer is to buy back all of the shares in the company; and (2) the terms of the offer are the same (subject to certain exceptions). The definition is made for the purpose of Division 5 of Part 13, which concerns compulsory acquisition after a general offer for share buy-back.

Under s.674(5), a takeover offer is defined as an offer to acquire shares in a company if (1) it is an offer to acquire all of the shares in the company and (2) the terms of the offer are the same (subject to certain exceptions).

It is also worth noting that the court has additional powers under s.675 to facilitate reconstruction or amalgamation. The power is available where there is an application to sanction an arrangement or compromise and it is shown that (1) the same is for the purpose of or in connection with a scheme for the reconstruction or the amalgamation of multiple companies; and (2) under the scheme, the property or undertaking of any company concerned is to be transferred to another.

Illustrative Example 4

In the opening case, Impressive Technologies Ltd ('ITL') has been a listed company for 10 years. Recently, its share price has fallen to its 10-year low. Andrew, Bruce and Charlie are seeking to privatise ITL with this opportunity. They propose a scheme of arrangement where the shares of the company would be cancelled, with new shares to be allotted to Andrew, Bruce and Charlie. An application to the court was made in accordance with s.670. The court ordered a meeting of members. A general meeting was then held and the resolution to privatise was passed with 83% support of the members. The court therefore sanctioned the scheme and made an order accordingly. The scheme became binding.

Re Hong Kong Building and Loan Agency Ltd (2019) HKCFI 2088; (2019) 4 HKLRD 373

Facts: C Ltd is a company the shares of which are listed on the Hong Kong Stock Exchange. It has called a scheme meeting and approved a scheme of arrangement between C Ltd and its creditors (the 'Scheme'). The Scheme involves a straightforward debt-for-equity swap. It was approved by 99.3% (in value of the debt voted) at the scheme meeting.

However, it transpired that certain modifications were made to the scheme (1) after the scheme documents were distributed to the Scheme creditors, (2) before the Scheme meeting and (3) at the Scheme meeting. The modifications related to interest accrued and to accrue on the principal of some of the debts outstanding, the postponement of the effective date and the revision of the timetable of the Scheme. C Ltd applied to the court for its sanction of the Scheme.

Issue: Whether the court should sanction the Scheme and whether the modifications affected the decisions as to whether the Scheme should be sanctioned.

Held: The Scheme was sanctioned. It was largely a question of common sense. If the amendments were mainly a matter of details that did not impact on a consideration of whether or not the Scheme should not be approved (like in the present case), they should not jeopardise the ability of the company to obtain a sanction of the Scheme. The relevant principle was that it was necessary for creditors to be given sufficient information about the Scheme to enable them to make an informed decision as to whether or not to support it. If the modifications were either sufficiently explained before a meeting or if at the meeting they were sufficiently minor that they were unlikely to infringe this principle, they would be unobjectionable. This was the case here.

Re: China Baowu (Penal Decision dated 19 July 2019)

Facts: MIS Ltd is a joint stock company incorporated in mainland China, the H shares of which are listed on the Main Board of the SEHK. M Group Ltd is a state-owned company in mainland China and holds shares equal to 45.54% of the voting rights in MIS Ltd. M Group Ltd is a wholly owned state asset of Anhui People's Government ('Anhui PG'). China Baowu ('CB') is a state-owned company in mainland China and is a wholly owned state asset of the Central State Council ('Central SC').

Anhui PG proposed to transfer 51% of the equity interest in M Group Ltd to CB for nil consideration. The proposed share transfer was published in accordance with Rule 3.7 of the Codes of Takeovers and Mergers and Share Buy-backs ('Takeover Codes').

Upon completion of the proposed transfer, CB would acquire control of M Group Ltd, which controls 45.54% voting rights in MIS Ltd. As such, CB would trigger a mandatory general offer pursuant to the chain principle¹ under Rule 26.1 of the Takeover Codes.

¹ This refers to the situation involving a chain of listed companies and whereby a general offer in the company higher in the chain would trigger an obligation to make an offer to a company lower in the chain. Assume that the holding Company A holds the shares of Company B and an offer is being made with respect to Company A's shares. The obligation to make an offer as to Company B's shares would be triggered if (1) the proportion of the value of Company B's shares to Company A's assets portfolio is equal to or more than 60% and (2) the main purpose is to acquire control in Company B.



Re: China Baowu (Penal Decision dated 19 July 2019) (continued)

The proposed share transfer was to further the state policy to consolidate and concentrate production capacity in relation to iron and steel production.

Issue: Whether a waiver (from making a general offer) should be granted to CB with respect to the proposed share transfer.²

Held: The waiver was not granted. The relevant considerations concerning a waiver have been set out at Note 6(a) to Rule 26.1 of the Takeover Codes. It is CB's argument that it is a party acting in concert with Anhui PG. This is rejected. The argument is based on future events that would only occur following the completion of the proposed share transfer. This is contrary to the requirements of Note 6(a) to Rule 26.1 of the Takeover Codes. Nothing shows that CB and Anhui PG had been actively cooperating to obtain or consolidate control of MIS Ltd at any time prior to the proposed share transfer. The historical relationship between M Group Ltd and CB had ceased to exist since 2001.

The following was further noted:

1. After the proposed share transfer, the leader of the group will change to CB. Anhui PG will cease to be an owner.
2. Although nil consideration had been agreed, it is clear that the proposed share transfer was for a non-commercial purpose. This would negate the importance of price as a factor in determining whether a control premium is being paid.
3. No evidence has been provided to demonstrate that CB and Anhui AG were acting in concert at any relevant time prior to the proposed share transfer.

Note 6(a) of Rule 26.1 of the Takeover Codes envisages that acquisitions by one member of a concert party from another which cause the purchaser's shareholding to cross a trigger point will normally result in obligations to make a mandatory offer. This is the starting point. Waivers are a concession that are granted only in a comparatively narrow range of circumstances.

Therefore, Note 6(a) of Rule 26.1 of the Takeover Codes was not applicable and no waiver should be granted.

² Under Rule 3.7 of the Takeover Codes, a company must make monthly announcements about the progress of their preliminary strategic review of the potential transaction until it announces a firm intention to make an offer. Under Rule 26.1 of the Takeovers Code, a general offer must be made if an entity acquires 30% or more of the voting rights of a company. Note 6(a) of Rule 26.1 clarifies the condition for waiving a general offer obligation, including that (1) the acquirer is a member of a group of companies comprising a company and its subsidiaries and the acquirer has acquired the voting rights from another member of such group of companies or (2) the acquirer is a member of a group of persons comprising an individual, his/her close relatives and related trusts, and the acquirer has acquired the voting rights from another member of such groups of persons.

► Knowledge Check Questions

Question 3

Explain the concepts of general offer, voluntary offer and mandatory offer.

Question 4

Explain a scheme of arrangement.

➤ 13.3 RECEIVERSHIP

Historically, **receivership** is a creditor's remedy whereby a secured creditor may enforce its security by appointing a receiver over the secured asset of the debtor company. As such, receivership is primarily a debt enforcement device. In modern times, the concept of receivership has expanded to allow receivership over the entire company. A receiver appointed on this basis is not confined to particular assets but may exercise managerial power over the entire business of a company.

A receiver can be appointed privately (i.e. out of court) or by the court.

13.3.1 Privately Appointed Receivers and Managers

A debenture commonly provides the creditors with a right to appoint a receiver or a manager upon events of default. A receiver's role is usually to collect, protect and receive certain charged assets. A manager has a broader role to carry on the business of the debtor. The use of a manager is more commonly seen in situations where the security provided for the debt is a charge over the whole or substantially the whole of the debtor's assets. The manager would have the power to decide whether to carry on or shut down the business of the company altogether.

A privately appointed receiver or manager acts as the agent of the debtor company in dealing with the latter's assets. The receiver or manager owes a duty to exercise his/her powers in good faith in the interest of the debenture holder (i.e. the creditor). This is in contrast with the position under general agency law where an agent would owe fiduciary duties towards its principal. Thus, it is often said that a receiver is the only non-fiduciary agent of a company. The rationale is that the receiver or manager was there to assist the debenture holders to collect or receive as many assets charged as possible in order to secure the underlying debt.

13.3.1.1 Qualifications for Appointment

Any receiver or manager appointed must be a natural person. A body corporate, i.e. a legal person, cannot be appointed as a receiver or manager. Any person who is an undischarged bankrupt or who is subject to a disqualification order is disqualified from being a receiver or manager of a company's property (ss.297A and 168D(1)(c) of the CWUMPO).



13.3.1.2 Rights and Powers of Receivers

A privately appointed receiver is not an officer of the court. It is primarily created by the agreement of the parties. The legal nature of a private receiver's powers stems from the company's powers to create security over borrowing.

Thus, the source of rights and powers of a privately appointed receiver can primarily be found in the debenture deed and the appointment instrument. It is typical for those instruments to provide that the receiver will have the powers to collect, to take possession, to control, use and dispose of the assets comprising the security. If a manager is appointed, there would typically be a power provided to manage the company's business.

A receiver also has implied powers under the Fourth Schedule of the Conveyancing and Property Ordinance (Cap.219). Such powers mainly concern the receiver's power to deal with the secured property and to effect conveyancing, e.g.:

1. To insure the mortgaged land or any part thereof for any sum not exceeding its full reinstatement value;
2. To take possession of the mortgaged land and, for that purpose, to take any legal proceedings;
3. To do all things necessary or desirable to preserve, maintain and manage the mortgaged land;
4. To lease, surrender and accept the surrender of leases of, the mortgaged land;
5. To exercise any powers or rights incidental to the ownership of the mortgaged land;
6. To settle, adjust, refer to arbitration, compromise and arrange any claim, demand or dispute relating to the mortgaged land;
7. To bring, prosecute, enforce, defend, compromise and abandon any claim, action, suit or proceeding in relation to the mortgaged land;
8. To sell and assign the mortgaged land, subject to any prior estates, interests and rights to which the mortgaged land is subject, but free from the mortgage and all other estates, interests and rights over which the mortgage has priority, in such manner and subject to such lawful conditions as the mortgagee or receiver thinks fit; with power to vary or rescind any contract for sale, buy in at any auction and to resell without being answerable to the mortgagor for any loss occasioned; and
9. To do all things necessary or desirable for realising the mortgaged land.

A receiver also has the power under the CWUMPO to obtain information from the company. S.300A of the CWUMPO provides that a receiver and manager must provide a notice of appointment to the company upon appointment. Within 14 days of the receipt of the notice, the company must submit a statement as to the company's affairs to the receiver and manager, containing such information as the company's assets, debts, liabilities, creditors' details and securities held by the creditors. This information will allow the receiver or manager to locate those assets subject to charge.

The receiver and manager may also have the power to initiate legal action to recover assets that the company may claim from a third party. A receiver would have the express power to initiate proceedings if the same is provided expressly in the debenture documents. Even in the absence of express provision, a receiver has an implied power to initiate proceedings in the name of the company. However, this must be done in order to exercise the express power of the receiver to collect and take possession of the assets subject to charge. However, a receiver may not necessarily have any implied power to defend proceedings.

***Super Master Holdings Ltd v Chung Nam Securities Ltd and Anor*
(unreported, 26 March 2004) HCA 4573/2003**

Facts: S is the owner of 50.3% of the shares in a listed company, L. S's shares were later mortgaged to a securities firm C Firm for a loan of HK\$13 million. S later defaulted on the loan. C Firm therefore wished to sell the shares, which were the security for the loan. However, C Firm could not sell the shares on the public market as such a sale would cause the price of the shares to fall dramatically given that S was the controlling owner of L. Further, such a sale would cause trading to be suspended, rendering C Firm unable to deal in the shares at all. Thus, C Firm tried to liquidate the shares by approaching high net worth individuals interested in acquiring a controlling interest in L. A potential buyer X approached and offered HK\$10 million for the shares. C Firm sold the shares to X. S is now suing C Firm for damages for the wrongful sale of the shares because S believed the sale was underpriced.

Issue: Whether C Firm was in breach of its duties for the sale of the shares to X.

Held: C Firm was not in breach of its duties for the sale of the shares to X. C Firm was entitled to exercise the power of sale for its own purpose. It was not a trustee of the power of sale for S. If C Firm's interest conflicted with that of S, C Firm was entitled to give preference to C Firm's own interest. However, C Firm must act in good faith and take reasonable care to obtain the true market value of the shares assessed at the moment C Firm chose to sell them. Thus, for example, C Firm would be entitled to accept the best bid in an auction, even though the auction might be badly attended and the bidding exceptionally low. Providing C Firm acted in good faith and took reasonable care, that was sufficient. Given these premises, there was nothing wrong with the sale of the shares by C Firm to X.

Although the *Super Master Holdings Ltd* case was a case about mortgagees, the same principles apply in the case of a receiver.

A receiver has an implied power to present a winding-up petition on behalf of the company. This is on the basis that the receiver has a right to possession of the secured assets. Winding-up is a way of protecting and preserving of those assets.

A receiver may seek directions from the court in connection with any matters arising from the performance of his/her functions (s.298A(1) of the CWUMPO).

13.3.1.3 Duties of Receivers

Similar to its rights and powers, a privately appointed receiver's duties are primarily contained in the appointment instrument of the receiver. The law of equity also provides that the receiver



should exercise his/her powers with a degree of care and in good faith for the purposes of his/her appointment.

Generally, a receiver can be said to have the following duties:

1. **To realise the assets subject to the security for the benefit of the debenture holder:** This is the receiver's primary duty. It is usually specifically stated in the terms of the appointment instrument, thus giving rise to a contractual obligation. This duty is primarily owed to its appointor.
2. **Equitable duty to act in good faith:** A receiver must act in good faith. This is to say, the receiver should act without fraud and without wilfully or recklessly sacrificing the interests of the security holder. The duty of good faith also carries with it a duty to act with a proper purpose.

***Forsyth v Blundell* (1973) 129 CLR 477**

Facts: A mortgagee M was conducting a sale of the properties. M concluded a private sale at the reserve price before the scheduled auction. This was despite the fact that there was still a party giving indication of bidding up to a price higher than the reserve price.

Issue: Whether M had acted in breach of his duties.

Held: M was in breach of his duty to act in good faith. He failed to attempt to bring potential purchasers into the bidding, despite them having expressed interest. M should not have wilfully or recklessly sacrificed the interests of the mortgagor or the chargor.

In the *Forsyth v Blundell* case above, the duties of M are analogous to the duties of a receiver. It can therefore be seen from the case that a receiver must exercise his powers in good faith. Receivership may not be abused as a commercial tool to undermine the debtor.

***Downsview Nominees Ltd v First City Corp Ltd* (1993) AC 295 (PC)**

Facts: Company A's assets were subject to two floating charges held by B and C (in chronological order, i.e. B's charge has priority). Company A defaulted on its debenture with C. C wanted to shut down the business of Company A. Company A did not want to be shut down and sought help from B. B caused R to be appointed as a receiver and manager of Company A, pursuant to the debenture between Company A and B. Despite C's position, R continued to carry on Company A's business. This resulted in substantial losses to Company A.

Issue: Whether R was in breach of his duties as a receiver and manager.

Held: R was in breach of his duties as a receiver and manager. R accepted his appointment as a receiver and manager not for the purpose of enforcing the security under the debenture between Company A and B but for the purpose of preventing C from enforcing its security. R was in breach of his duty to exercise his powers in good faith and for a proper purpose.

3. **Duty to take reasonable care:** A receiver must take reasonable care when performing his/her duties. This includes a duty to use reasonable care to obtain a proper price in the sale of the secured property and to seek professional advice on the valuation of the property. However, the mere fact that a higher price might have been obtained or that the terms of sale might be considered disadvantageous to the security holder does not necessarily mean that there was a breach of duty. The test is whether the receiver has taken reasonable care.

Tse Kwong Lam v Wong Chit Sen (1983) 3 All ER 54

Facts: The debtor, Company A, was constructing a building. For the purpose of this construction project, Company A borrowed a loan of HK\$1.4 million from B. The security for the loan was part of the building. Company A later defaulted on the loan. B exercised his power of sale by auction. At the auction, a company controlled by B also decided to bid in the auction. B did not seek advice from the auctioneer or other real estate agents on the reserve price or take steps to obtain a market price for the sale. B informed the auctioneer of the reserve price only shortly before the auction. As a result, the company controlled by B was the only bidder and purchased the property at the reserve price. Company A applied to set aside the sale on the basis that it was improper and undervalued.

Issue: Whether B acted in breach of duty in exercising his power to sell.

Held: B was in breach. Although there was no inflexible rule that a mortgagee exercising his power of sale cannot sell to a company he was interested in, he must show that the sale was made in good faith and that reasonable precautions have been taken to obtain the best price reasonably obtainable. This included a duty to take expert advice as to the method of sale and the amount of the reserve. B fell below the standard of care for failure to seek professional advice on the methods of sale and obtaining the best price, as well as the reserve price.

4. **Common law and statutory duty to provide information:** At common law, a receiver has a duty to provide information that would enable the board of directors of the debtor company to exercise its residual rights or to perform its duties. Thus, the company has a right to demand from the receiver information on a 'need to know' basis. Further, under s.300A of the CWUMPO (as extracted below), a receiver has an obligation to provide information to several interested parties.

S.300A Provisions as to Information Where Receiver or Manager Is Appointed

1. Where a receiver or manager of the whole or substantially the whole of the property of the company (in this section and in s.300B referred to as the receiver) is appointed on behalf of the holders of any debentures of the company secured by a floating charge, then subject to the provisions of this section and s.300B –
 - (a) The receiver shall forthwith send to the company notice of his/her appointment in the specified form; and

- (b) There shall, within 14 days after receipt of the notice, or such longer period as may be allowed by the court or by the receiver, be made and submitted to the receiver in accordance with s.300B a statement in the specified form as to the affairs of the company (the statement of affairs); and
- (c) The receiver shall within 2 months after receipt of the statement of affairs send –
 - (i) To the Registrar and to the court, a copy of the statement and of any comments he/she sees fit to make thereon and in the case of the Registrar also a summary of the statement and of his/her comments (if any) thereon;
 - (ii) To the company, a copy of any such comments as aforesaid or, if he/she does not see fit to make any comment, a notice to that effect; and
 - (iii) To any trustees for the debenture holders on whose behalf he/she was appointed and, so far as he/she is aware of their addresses, to all such debenture holders a copy of the said summary.
- 2. The receiver shall within two months, or such longer period as the court may allow after the expiration of the period of 12 months from the date of his/her appointment and of every subsequent period of 12 months, and within two months or such longer period as the court may allow after he/she ceases to act as receiver or manager of the property of the company, send to the Registrar, to any trustees for the debenture holders of the company on whose behalf he/she was appointed, to the company and (so far as he/she is aware of their addresses) to all such debenture holders an abstract in the specified form showing his/her receipts and payments during that period of 12 months or, where he/she ceases to act as aforesaid, during the period from the end of the period to which the last preceding abstract related up to the date of his/her so ceasing, and the aggregate amounts of his/her receipts and of his/her payments during all preceding periods since his/her appointment.

Apply and Analyse 1

Apply

Company A was in the business of printing and operating a factory. Earlier in the year, Company A granted a fixed charge over its factory machines to Bank B for a loan. Company A thereafter defaulted on the loan. Bank B appointed an accounting firm F Firm as the receiver of the fixed charge and to sell the factory machines. F Firm arranged an auction. Company A's owner and founder, Andrew, had a strong attachment to the machines. Andrew intended to bid for the machines at the auction. In an attempt to scare off other potential purchasers, Andrew openly stated that he would be willing to pay up to 10 times the reserve price at auction. However, F Firm withdrew the machines from the auction because Andrew's nemesis Bruce made an offer to F Firm five times over the reserve price to purchase the machines before the auction could take place. F Firm sold the machines to Bruce without informing Andrew. Analyse whether F Firm was in breach of its duties as a receiver.

Apply and Analyse 1 (continued)

Analysis

F Firm was likely to be in breach. It has an equitable duty to act in good faith when conducting the sale. Although it is not obliged to sell the machines at auction, it should exercise its power of sale in good faith and for the benefit of Bank B. In the circumstances, upon receiving Bruce's offer, F Firm should have at least invited Andrew to make an offer given Andrew's open attitude of being willing to pay a higher price. The failure of F Firm to invite Andrew to make an offer renders it likely to be held by the court as wilfully or recklessly sacrificing the interest of Bank B. A parallel can be drawn to the case of *Forsyth v Blundell*, where the mortgagee was held to be in breach of its duty to act in good faith when it failed to bring potential purchasers into the bidding despite them having expressed interest. The duties are analogous to that of a receiver and thus the case was applicable¹

13.3.1.4 Liabilities of Receivers

Other than its primary liability to the appointor and breach of the duties as mentioned above, a receiver's liability may arise from several aspects:

1. **Contractual liabilities:** A receiver is personally liable on any contract entered into with third parties by him/her in the performance of his/her functions. However, a receiver or manager has a statutory right to be indemnified out of the assets in respect of his/her personal contractual liabilities so incurred (s.298A(2) of the CWUMPO).
2. **Tort of trespass or conversion:** Sometimes, a third party's assets may be in the possession of the company. For example, where a third party has supplied stock or equipment to the company but with the title reserved to the third party. At times, when a receiver is appointed, he/she needs to act as quickly as possible to take control of the company's assets after appointment. There may be insufficient time for the receiver to ascertain and verify whether the title of some of the assets under the company's possession may actually belong to a third party. If the receiver deals with such assets in a manner inconsistent with the third party's right to possession or ownership, the receiver may have committed trespass or conversion.

13.3.1.5 Termination of Receivership

A receivership is usually terminated when the purpose of the appointment has been achieved. Typically, this means when the assets subject to the receivership have all been administered. However, it is always open to the appointor to terminate the receivership prior to that. A debenture usually confers a power onto the holder to remove the receiver or manager without the need to provide any reasons. The court also has an inherent jurisdiction to remove a receiver or manager who has been appointed privately. The court would usually only exercise its jurisdiction where there was misconduct on the part of the receiver. However, the court would only do so where the misconduct is flagrant. A receivership can also be terminated by the resignation of the receiver or manager.



Upon the termination of receivership, the company's management power reverts to the board of directors.

13.3.2 Court-appointed Receivers and Managers

Unlike privately appointed receivers, a receiver appointed by the court is an officer of the court. A court-appointed receiver must act not only lawfully but also fairly and honourably.

13.3.2.1 Jurisdiction of Court

The Court of First Instance has the power to appoint a receiver or manager under three sources:

1. S.21L of the High Court Ordinance (Cap.4) ('HCO'),
2. S.725 of the CWUMPO (in cases where it is necessary to exercise the power to protect the interests of minority shareholders); or
3. The Court of First Instance's inherent jurisdiction.

Generally, the ground for applying for a receiver appointment is for the protection or preservation of property or a company, pending some suit or proceedings. However, it may also be necessary to apply to the court where a secured creditor's interest is in jeopardy, either because the provisions in the debenture have proved to be insufficient or the power of appointment in the debenture is not yet exercisable. For example, this is the case where the company parts with the whole or substantially the whole of its assets and undertaking in a situation other than in the ordinary course of business, or where the company's share capital is exhausted and the company proposes to distribute its only assets amongst shareholders. Further, a member may also apply to the court for the exercise of this power in order to prevent misappropriation or dissipation of the company's assets. An appointment may also be sought where the board is not functional, either because there is simply no member left on the board or there is a deadlock between factions of directors/members.

The appointment of a receiver by the court is an equitable remedy. This may only be granted where the legal remedies are inadequate to meet the ends of justice. That is to say, the appointment of a receiver by the court is a last resort remedy and is not lightly granted. It will need to be shown that the applicant has some legal or equitable right that will be protected or enforced by the order sought and that no other remedy is adequate for that purpose. The test for the appointment of an interim receiver is similar to that for an interim injunction, which requires the court to take into consideration the following:

1. Whether there is a serious question to be tried;
2. Whether there is a real risk of dissipation of assets;
3. Whether there is no current effective protective regime, and some form of interim protection should be given to preserve the *status quo*; and
4. The risk of damage to the company if the appointment is made, and whether it can be adequately compensated by a cross-undertaking in damages.

Guo Jing Jing v Art Master Investment Ltd (unreported) HCA 1008/2009

Facts: Company X is owned by three members: A, B and C. C was B's step mother. The main asset of Company X was a hotel in Shanghai. Company X leased the hotel to D, C's uncle. As it transpired, D had subsequently sub-let the hotel to a third party for profit. A was also purportedly removed as a director by B and C. A issued a derivative action against B and C, alleging that they had misappropriated millions of RMB from Company X and caused Company X to enter into various transactions that were not in the interest of Company X but for the benefit of B and C themselves.

Issue: Whether an interim receiver should be appointed to protect the assets of the company pending the resolution of the derivative action.

Held: An interim receiver should be appointed. There was a serious question to be tried because there was inconsistent evidence provided by B and C. Furthermore, some of D's evidence also tended to support allegations by A. There was also a real risk of dissipation of Company X's assets. The way in which B and C responded to the allegations cast doubt on their integrity and commercial morality in managing Company X. Protective measures should be put in place to maintain the *status quo*.

Birmingham International Holdings Ltd (unreported, 28 August 2015) HCMP 395/2015

Facts: There was a fight within the board of B Co (which was a listed company). The directors split into two camps. The board was heavily divided. There were requisitions from shareholders supporting the two camps respectively to call for a general meeting for removal of the directors in the other camp. Before the general meetings at which such removal resolutions would be voted upon, one of the camps made an application to court and obtained a receivership order for receivers to be appointed in respect of B Co. An accountancy firm was appointed by the receivers. Subsequent to the appointment, that camp of directors resigned from the board. The receivers then removed the other camp of directors and appointed themselves as executive directors and took over the management of the company. The camp of directors that had been removed then applied for the discharge or variation of the receivership order.

Issue: Whether the receivership order should be discharged or continued.

Held: The receivership order should be continued. The receivers were putting considerable effort into responding to the Hong Kong Stock Exchange's requests and ensuring the resumption of trading of B Co's shares. There was a series of irregular contracts and transactions that suggested misappropriation by one camp of the directors. Although the court does not lightly deprive a shareholder of his rights to nominate and vote for directors, the unusual circumstances of the case call for unusual action to be taken. B Co was making progress in the hands of the receivers. The business of B Co was relatively simple, such that the adverse effect of having it run by outsiders was contained. The court also took into account the price of retaining professionals as receivers. However, here it was necessary and justified. The receivership order was continued.



13.3.2.2 Qualifications for Appointment

The requirements as to qualifications are the same as those applicable to privately appointed receivers.

13.3.2.3 Rights, Powers, Duties and Liabilities

The rights and powers of a court-appointed receiver are to be found and defined primarily in the appointment order. However, many of these are largely similar to those of a privately appointed receiver.

A court-appointed receiver is under a duty to act in the best interests of all the parties interested in the assets. This can be contrasted with the case of a privately appointed receiver, whose duty is to act in the interest of the appointor debenture holder.

Further, a court-appointed receiver is an officer of the court. Thus, he/she has a duty to act not only lawfully but also honourably. A court officer is expected to act with a standard of fairness and high-mindedness. In some circumstances, this may mean that a receiver may be denied its claim against a third party where it would be morally wrong to uphold it.

Re Tyler (1907) 1 KB 865

Facts: This case concerned the assets of a bankrupt. The particular asset concerned was a life insurance policy that was subject to a mortgage. Following bankruptcy, the mortgage was preserved by premium payments made by the wife of the bankrupt. The trustee in bankruptcy (an officer of the court) had knowledge of this.

Issue: Whether the trustee in bankruptcy should be allowed to retain the net proceeds of the policy after discharging the mortgage without repayment of the sum paid by the wife.

Held: The trustee in bankruptcy should not be allowed to retain such net proceeds without having regard to the wife's previous payments. No high-minded person would have denied repayments to the wife in such circumstances.

The duties of a trustee in bankruptcy are very similar to those of a court-appointed receiver. Therefore, cases on the duties of the former can provide useful guidance as to the duties of the latter.

Macau First Universal International Ltd v Ding Xiaohong (No 2) (2012) 2 HKLRD 494

Facts: In a dispute between two brothers (A and B) over the beneficial ownership of three companies Co 1, Co 2 and Co 3, an order was made to appoint an interim receiver over the assets of Co 1 and Co 2 pending the trial of the action. As a result, Rs were appointed the interim receiver. One of the brothers, B and persons in his camp, refused to recognise the effect of the receivership order. They obstructed the implementation of the receivership order such that Rs were not able to gain control of Co 3 or ascertain

Macau First Universal International Ltd v Ding Xiaohong (No 2) (2012)
2 HKLRD 494 (continued)

Co 3's financial position. B alleged variously that: (1) the receivership order was obtained based on fabricated evidence; (2) there was actual or apparent bias by Rs in favour of A; (3) Rs charged exorbitant costs; and (4) Rs were in breach of a prior consent order by purporting to remove a legal representative (who is in B's camp) from Co 3 (which Co 3 was a Chinese company).

Issue: Whether Rs should be removed.

Held: Rs should not be removed. The court could discharge a receiver if it was just to do so, for example if the original appointment should not have been made or if default, misconduct or other ground of unfitness was shown. However, where he had honestly done his best but failed to discharge his duties owing to their onerous and irksome nature, the court would be slow to do so. The court did not lightly remove its own officer and would pay due regard to the impact of his removal on his professional standing and, even if grounds for removal were made out, would take into account the disadvantages of removal in terms of cost and delay.

In the present case, B failed to make out allegations (1) to (3) on the facts. Although allegation (4) was made out, Rs should not be discharged. Rs' task was onerous and irksome, effectively having to implement a receivership order beyond the jurisdiction. The situation reflected more Rs zealous attitude in obtaining control in the face of the continued risk of dissipation of assets than deliberately flouting the earlier consent order. Rs had kept B and the court informed of the steps taken. The situation was not such as wholly to forfeit the court's confidence in them. Instead, a firm direction would be made that they should not pursue the removal of the legal representative of Co 3. Failure to comply might result in their discharge and a wasted costs order against them personally.

A court-appointed receiver may be entitled to such remuneration as the court deems just and so authorises. Furthermore, a receiver is also entitled to be indemnified against reasonable costs and expenses incurred in the performance of his/her duties out of the assets of the company.

13.3.2.4 Discharge of Receivers

As a court officer, a court-appointed receiver may only cease to act if properly discharged by a court order (unless the appointment order provides for the term of the receivership). The court would make an order for discharge in the following situations:

1. Where the purpose for the receivership has been achieved;
2. Where the appointment was defective in the first place;
3. Where the receiver applied for his/her own discharge, supported by such reasonable cause as ill-health;

4. Where a receiver has a conflict of interest; and
5. Where the receiver is to be removed for misconduct.

It should be noted that the court does not exercise its power to remove a receiver lightly. Sufficient cause must be shown. Even if the grounds for removal are made out, it is also necessary to take into account the costs and delay involved in the removal of the receiver.

Achieve Goal Holdings Ltd v Zhong Xin Ore-Material Holding Co Ltd (2018) HKCFI 2718

Facts: Two camps of shareholders in equal shares are fighting over the control of C Co. There was a deadlock in the management of C Co. Interim receivers ('IRs') were appointed for C Co pending the trial of the main action. One camp of shareholders applied for the removal of the IRs on the grounds that the IRs: (1) failed to act in the best interest of C Co; and (2) had been conducting themselves in a way which was, or was reasonably perceived to be, in close collaboration with another camp of shareholders. The basis was that the IRs acted upon the instructions of this camp of shareholders.

Issue: Whether the IRs should be discharged.

Held: The IRs should not be discharged. A receiver appointed by the court is an officer of the court who has to observe a high standard of conduct. An exact standard of fair conduct and high-mindedness is to be expected from a receiver as an officer of the court. Receivers are obliged not only to act lawfully but fairly and honourably. A receiver must act in accordance with the principles of justice and has a fiduciary duty to protect and gather in assets of the company. A receiver should manage the business of the company so as to enable both parties to the dispute to be reasonably confident that neither was benefiting at the other's expense. However, the court may discharge a receiver if it is just to do so. A receiver may be discharged for unfitness. He/She may also be discharged for any default or misconduct of such a degree as will forfeit the confidence of the court or which is liable to prejudice the interests of the parties. The court does not lightly remove its own officer and will, amongst other considerations, pay due regard to the impact of a removal on his professional standing and reputation.

In the present case, with regard to all of the circumstances, it has not been demonstrated that what the IRs did was against C Co's best interest. There is also no apparent bias against any camp of shareholders. This case has involved hostile litigation between the parties. This is not an occasion for the court to keep a score sheet and decide if the IRs have done well at each step. It is for the applicants to show that the IRs are unfit. This is not a case where the court's confidence in the IRs has been forfeited.

Apply and Analyse 2

Apply

Company X's shareholders split into two camps and were in dispute with each other. Camp A petitioned for the winding-up of the company on just and equitable grounds. An interim receiver, R Firm, has been appointed to manage Company X's business pending the resolution of Camp A's petition. R Firm, in managing Company X, made a few judgement calls with regard to the business. Before the decisions were taken, both Camp A and Camp B gave advice to R Firm as to how to proceed. Some of R Firm's decisions were in line with Camp A's suggestion, whilst some were in line with Camp B's. Unfortunately, some of the decisions made by R Firm led to Company X incurring a slight loss. Camp B shareholders complained that R Firm failed to exercise its duties properly and was acting in accordance with Camp A. Camp B therefore applied for the discharge of R Firm as the interim receiver. R Firm maintained that it had acted solely on its own judgement without favour to either camp of shareholders. Analyse whether R Firm should be discharged.

Analysis

It is unlikely that the court would discharge R Firm. A receiver might be discharged if it was just to do so or for unfitness. He/She might also be discharged for any default or misconduct of such a degree as would forfeit the confidence of the court or which is liable to prejudice the interests of the parties. However, a court-appointed receiver is an officer of the court. The court does not lightly remove its own officer. It will pay due regard to the impact of a removal on his/her professional standing and reputation.

In the present case, R Firm was faced with difficult business decisions. It relied on its own professional judgments in making these decisions. Some of them turned out to be unprofitable. However, this was not a cause to remove R Firm. A receiver is not an insurer of the success of the company. As long as R Firm took reasonable care in making its decisions that is sufficient. There is no evidence of gross incompetence of R Firm, nor is there any significant loss suffered by Company X. Further, there is no evidence that R Firm had favour for either camp of shareholders. It was not the case that R Firm's decisions were all consistent with one of the camps. This would have given rise to an impression or suspicion of undue bias or favour. However, in the present case, R Firm's decisions were in line with both camps on different occasions. It was only a coincidence that some of R Firm's decisions were consistent with Camp A's suggestions. There was no evidence of bias. R Firm is not likely to be removed.

► Knowledge Check Questions

Question 5

Explain the concept of receivership.

Question 6

In terms of termination of the receivership, describe the differences between a privately appointed receiver and a court-appointed receiver.

13.4 LIQUIDATION

Liquidation or winding-up is the process of (1) realisation of the company's assets for distribution to creditors and members of the company; and followed by (2) the dissolution of the company. Through this process a company is wound up. This process is conducted by a liquidator appointed by the court.

Winding-up can be commenced either compulsorily or voluntarily.

Unless otherwise stated, all references to statutory provisions in Section 13.4 are made to the Companies (Winding Up and Miscellaneous Provisions Ordinance) (Cap.32) ('CWUMPO').

13.4.1 Liquidators

A **liquidator** is the person appointed by the court (or in the case of voluntary winding-up, creditors or members) to carry out the winding-up of a company. More than one liquidator may be appointed, in which case those persons appointed shall act as joint liquidators.

Any person can be appointed a liquidator. There is no official regime of regulating or licensing liquidators as a profession. There is also no formal requirement on the professional qualifications that a liquidator must possess.

The role of the liquidator is to take over the management of the company, to protect and realise the company's assets and to distribute the proceeds in accordance with the rules of distribution as provided in the statutes.

13.4.1.1 Appointment for Compulsory Winding-up

Upon a winding-up order being made, a provisional liquidator will first be appointed. If there has not been a provisional liquidator appointed already during the winding-up proceedings, the official receiver will automatically become the provisional liquidator upon the making of the winding-up order. The provisional liquidator must then summon separate meetings of creditors and contributors with regard to making an application for the appointment of a liquidator (s.194(1)(b)). If the contributors and the creditors cannot agree on the appointment of liquidator(s), the court will make an appointment whilst giving greater weight to the decision of the majority creditors. The rationale is that the creditors have the primary interests in the outcome of the liquidation, as compared to the interests of the contributors.

The powers of a liquidator are provided in the statutes. The powers are conferred primarily to enable a liquidator to discharge his/her role of getting in and realising the company's assets for the benefit of the creditors and contributors. Thus, a liquidator has the following powers:

1. The power to take into custody or control all assets to which the company appears to be entitled (s.197);
2. The power to sell corporate assets (s.199(2)(a));
3. The power to carry on the company's business insofar as necessary for the beneficial winding-up of the company, e.g. so that the business may be sold as a going concern (s.199(1));

4. The power to make compromises with creditors (s.268);
5. The power to seek private or public examinations of persons for the purpose of facilitating investigation into the company's affairs (ss.221 to 222);
6. The power to conduct proceedings in the name of the company, including the commencement or defence of proceedings (ss.182, 266, 266A and 266B). This power is commonly exercised to enable the liquidators to seek misappropriated funds from fraudulent directors.

13.4.1.2 Appointment for Voluntary Winding-up

In the case of a shareholders' voluntary winding-up, a liquidator would be appointed by the shareholders by way of an ordinary resolution (s.235(1)). In the case of a creditors' voluntary winding-up, the creditors have the power to nominate the liquidator (s.242). Should the creditors fail to nominate any liquidator, the person nominated by the shareholders would be appointed the liquidator (s.242).

Compulsory and voluntary winding-up will be further discussed in Sections 13.4.2 and 13.4.3 respectively.

13.4.1.3 Statutory Duties

A liquidator has a statutory duty to give notice upon his/her appointment:

1. For a liquidator appointed in a compulsory winding-up, the liquidator must give notice to the Registrar of Companies and to the official receiver upon appointment as the liquidator of the company (s.195(1)).
2. For a liquidator appointed in a voluntary winding-up, within 21 days after his/her appointment, the liquidator thus appointed in a voluntary winding-up must publish in the Gazette a notice of the appointment, whilst delivering a notice to the Registrar.

The statutory duties of a liquidator differ depending on whether the appointment was made in a compulsory or a voluntary winding-up.

In a compulsory winding-up, a liquidator has the following statutory duties:

1. To report to the court on the company's financial status, the reasons of the failure of the company, whether there is a need for further enquiries into the promotion, formation or failure of the company or the conduct of the company's business (s.191(1));
2. To take custody of all assets to which the company is entitled (s.197);
3. To keep accounts properly and pay any sum received into the companies liquidation account (kept by the official receiver) (ss.202 to 203). In particular, a liquidator must send a printed copy of the account or summary by post to every creditor and contributory after the account has been audited (s.203(5)); and
4. To exercise his/her discretion unfettered (s.200(4)).

In a voluntary winding-up, a liquidator has the following statutory duties:

1. To summon a meeting of the creditors and lay before the meeting a statement of the assets and liabilities of the company (if the liquidator has formed the opinion that

the company will not be able to pay its debts in full within the period stated in the certificate of solvency) (s.237A(1)). This is because a voluntary winding-up should only proceed if the company is solvent;

2. After the affairs of the company have been fully wound up, the liquidator has a duty to prepare an account in respect of the winding-up and call a general meeting and a creditors' meeting to explain the account to members and creditors (ss.239(1) and 248(1)); and
3. To send a copy, within one week of the date of the meetings of the members and creditors, of the final account to the registrar (who shall register the accounts) (ss.283 to 284). The company will be dissolved three months after the registration of the accounts.

The principal liability resulting from a breach of the above-mentioned statutory duties is the removal of the liquidator under ss.196(1) and 252 (See Section 13.4.1.6). However, in serious cases, damages are to be awarded against him/her pursuant to s.276.

13.4.1.4 Fiduciary Duties

A liquidator is a fiduciary. Thus, he/she owes fiduciary duties to the company. This is comparable to those fiduciary duties owed by the directors (See Section 10.3). Most notably, a liquidator must not be in a position where his/her personal interests conflict with either the company or his/her duties. Thus, a liquidator must not make unauthorised payments to an entity connected to himself/herself. A liquidator must not use the company's funds for personal purposes unconnected with the liquidator.

A breach of the fiduciary duty may lead to the removal of the liquidator under ss.196(1) and 252 (See Section 13.4.1.6).

Advance Housing Pty Ltd (in liq) v Newcastle Classic Development Pty Ltd (1994) 14 ACSR 230

Facts: Company A went into liquidation. X was appointed the liquidator. X was a partner of Y Firm, an accountancy firm. As it transpired, Y Firm had provided accountancy services to Company A when Company A was approaching insolvency. Company A made a payment to Y Firm for the services rendered. There was a need to investigate whether the payment constituted an unfair preference.

Issue: Whether there was a conflict of duty on the part of the liquidator X.

Held: There was an inherent conflict in this situation. X was under a duty to conduct an investigation that would be in conflict with his interest in Y Firm.

As part of a liquidator's fiduciary duties, he/she must be impartial to different categories of stakeholders.

13.4.1.5 Duty of Care

A liquidator owes a duty of care in both equity and at common law to the company. This is again comparable to the duty of care owed by the directors to the company, as discussed at Section 10.3.

A liquidator may breach the duty of care in a number of situations:

1. For failure to take control of corporate property (which led to assets being transferred to another person);¹
2. For failure to take steps to terminate the winding-up process by carrying out court orders when the company becomes insolvent (thus increasing the cost of liquidation);²
3. For failure to pay corporate tax (resulting in a tax penalty to the company); and
4. For failure to form a judgment and make decisions without reasonable skill or care.³

13.4.1.6 Removal

The court has a power to remove a liquidator in both cases of compulsory and voluntary winding-up (ss.196(1) and 252). The ground for exercising this power is to do so on cause shown. Misconduct and personal unfitness may amount to a cause for such removal. Breach of statutory, fiduciary or other duties can also amount to such cause. A liquidator may also be removed for failing to show sufficient vigour in the performance of his/her duties, or for failing to proceed with liquidation with reasonable expedition.⁴ In a voluntary winding-up, the liquidator can also be removed by special resolution of the members (s.235A(1)) or by the court pursuant to an application by any creditor or contributory (s.235A(2)).

A liquidator may also resign pursuant to s.194(1) and Rules 154 to 155 of the Companies (Winding-up) Rules (Cap.32H) ('CWUR'). In the case of a winding-up ordered by the court, the liquidator must summon separate meetings of contributory and creditors and obtain approval from both. If the approval was not granted, the liquidator may apply for court approval (Rule 154 of CWUR). In the case of a voluntary winding-up, the liquidator should similarly summon a meeting of the creditors to seek approval of the resignation. Similarly, if the resignation is not accepted, the liquidator may apply to the court for approval (Rule 155 of CWUR).

***Re Action Industrial (Intl) Ltd* (unreported, 2 December 2009) HCCW 35/2007**

Facts: The official receiver applied for the removal of L1 and L2 of L Firm as liquidators of C Co. L1 made false declarations in his tendering document applying to be appointed as liquidator. L Firm in fact also did not meet the qualification stipulated in the tender. L1 and L2 had also failed to comply with the statutory duty to pay the proceeds of the mortgage sale of C Co's property without deduction to the companies liquidation account. L1 and L2 did not pay the proceeds until asked by the official receiver and,

¹ *Sydlow Pty Ltd v TG Kotselas Pty Ltd* (1996) 14 ACLC 847.

² *Pace v Antlers Pty Ltd* (1998) 89 FCR 485.

³ *Gray v Bridgestone Aust Ltd; Ewing v Flandri Pty Ltd* (1986) 4 ACLC 330.

⁴ *Re Kaypak Homecare Ltd* (1987) BCLC 409; *Re Rainbow Gate Ltd* (unreported, HCCW 593/1998).

Re Action Industrial (Intl) Ltd
(unreported, 2 December 2009) HCCW 35/2007 (continued)

in doing so, deducted a sum from the proceeds. No explanation was given for the deduction. Further, in breach of another statutory duty, L1 and L2 failed to provide security to the satisfaction of the official receiver within 21 days of their appointment.

Issue: Whether L1 and L2 should be removed as liquidators.

Held: L1 and L2 should be removed. The allegations are made out factually. The above matters render L1 and L2 not fit and proper persons to continue as liquidators of C Co.

Re Rainbow Gate Limited
(unreported, 20 December 2007) HCCW 593/1998

Facts: The official receiver applied for the removal of L as the liquidator of R Co. It was alleged that L (1) failed to pay to the companies liquidation account money received by him as liquidator (in breach of statutory duty); (2) misapplied the assets of the company for unlawful payments; (3) failed to submit the liquidator's accounts and send reports on the position of the liquidation (in breach of statutory duty); (4) failed to proceed with the liquidation with reasonable expedition; and (5) persistently failed to respond to enquiries raised by the official receiver.

Issue: Whether L should be removed as a liquidator.

Held: L should be removed. L's conduct was such as to warrant his removal as the liquidator of the company. Additionally, there would be an order that L should pay the cash balance held by him to the companies liquidation account and delivery of the up-to-date liquidator's accounts and supporting documents.

Apply and Analyse 3

Apply

Company S is insolvent. A winding-up order is made and F Firm is appointed its liquidator. It transpired that one team of F Firm has performed auditing for Company S in the 12 months before its insolvency. F Firm's fee is still outstanding. F Firm decided to pay its own fees first above everything else (including employees' salaries). Thereafter, F Firm did not proceed with the liquidation for another three years. A member of Company S applied for removing F Firm from being the liquidator. Analyse whether F Firm should be removed.

Analysis

The court has a power to remove a liquidator in cases of both compulsory and voluntary winding-up (ss.196(1) and 252 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32)). The ground for exercising this power is to do so on cause shown. Misconduct and personal unfitness may amount to a cause for such removal. Breach of statutory, fiduciary or other duties can also amount to such cause. A liquidator may also be removed for failing to show sufficient vigour in the performance of his/her duties, or for failing to proceed with the liquidation with reasonable expedition.

Apply and Analyse 3 (continued)

In the present case, F Firm obviously committed some misconduct by: (1) being in a position of conflict of interest relating to its own fee; (2) preferring its own fee above other debts having priority, such as the employees' salaries; and (3) failing to proceed with the liquidation with reasonable expedition.

In these circumstances, F Firm should be removed as the liquidator.

13.4.2 Compulsory Winding-up

Compulsory winding-up is a winding-up ordered by the court. This is in contrast with voluntary winding-up, which is initiated voluntarily by members or creditors.

13.4.2.1 Grounds for Compulsory Winding-up

S.177 provides that there are six grounds on which a court may make a winding-up order:

- (1) **The company has by special resolution resolved that the company be wound up by the court:** This is analogous to a voluntary winding-up in the sense that it is voluntary, i.e. initiated and agreed by the members. However, it is different to a true voluntary winding-up because this is nonetheless a winding-up ordered by the court. The procedural rules and the principles applicable to the liquidator remain different to the case of true voluntary winding-up. One of the reasons why members may prefer a compulsory winding-up on this ground to a voluntary winding-up may be because it is necessary to investigate the conduct of the company's management.
- (2) **The company does not commence its business within a year from its incorporation, or suspends its business for a whole year:** In order to wind up a company under this ground, it needs to be shown not only that business has not commenced within a year but also that the company has no intention of commencing or recommencing business.
- (3) **The company has no members:** This ground is self-explanatory.
- (4) **The company is unable to pay its debts:** This is one of the most common grounds used in petitions for the winding-up of companies. A company is deemed to be unable to pay its debts in three situations (s.178(1)): (a) where creditor has served a statutory demand on the company and the company failed to pay within 21 days (provided that the debt is at least HK\$10,000 in value). However, notwithstanding compliance with this procedure, the winding-up petition may still be refused if the company can show that there is a genuine dispute about the debt on substantial grounds; (b) where execution or other process issued on a judgment, decree or order of any court in favour of a creditor of the company is returned unsatisfied in whole or in part; or (c) if it is proved to the satisfaction of the court that the company is unable to pay its debts, taking into account contingent and prospective liabilities of the company. This is circular in a sense and is not in truth a deeming provision. There are various ways to establish this ground. For example, a persistent failure or neglect to pay its debt

is indicative of the company's inability to pay its debts. However, the mere fact that a company can only pay its debts by borrowing does not in itself show an inability to pay its debts. The courts have applied both the cash flow test and the balance sheet test in determining whether a company is unable to pay its debts. The cash flow test considers the company's expected net cash flow, i.e. whether its available and realisable assets are available to meet the debts payable, taking into account any borrowing arrangement to meet any liquidity issues. The balance sheet test looks at all of a company's assets and liabilities including stock, receivables and properties. The balance sheet test ultimately compares the total assets and total liabilities of a company.

Re ePlaza Ltd (unreported) HCCW 1122/2002

Facts: The petitioner petitioned for the winding-up of the company on the basis that the company was unable to pay its debts. The petitioner served two statutory demands for debts amounting to HK\$7,620 and HK\$535,304.60 respectively on the company. The company argued that the debt of HK\$535,304.60 was not due at the time the demand was served.

Issue: Whether the company should be deemed to be unable to pay its debts on the basis of the statutory demands.

Held: The petition was dismissed. There was a genuine dispute as to the debt. Although in some circumstances a persistent failure to pay a debt that is indisputably due would suggest an inability to pay, no such inference could be drawn on the facts of the present case.

Re Wah Nam Group Ltd (unreported, 26 July 2000) HCCW 166/2000

Facts: Some creditors had petitioned for the winding-up of the debtor company, which was a publicly listed company. The petition was presented on the basis of s.177(1)(d) of the Companies Ordinance (Cap.32) (the former ordinance), namely that the company is unable to pay its debts.

Issue: Whether the debtor company was unable to pay its debts.

Held: The company was insolvent, applying both the cash flow test and the balance sheet test. Under the cash flow test, the company was clearly insolvent as it was unable to pay its debts as they fell due. There were several debts due that the company had not been able to repay. Under the balance sheet test, a company would be regarded as insolvent if its liabilities exceed its realisable assets. Based on the pro forma balance sheet provided as evidence, it did not appear that the realisable assets of the company would exceed its liabilities.

- (5) ***An event, occurs in accordance with articles that provide that the company is to be dissolved:*** The articles of a company may provide that the company is to be dissolved

on the occurrence of certain events. For example, for a company set up by two or more business partners, the articles may provide that, upon the death of one member, the other member is obliged to buy out the interest of the deceased member, otherwise the company is to be wound up.

- (6) ***The court is of the opinion that it is just and equitable that the company should be wound up***: As suggested by the wordings, this is a general ground for winding-up. The court has traditionally declined to lay down categories of matters for which this ground can be relied upon for winding-up, for fear of unduly narrowing the ground. However, for illustrative purpose, there are established groups of cases in which a winding-up order has been granted on this just and equitable ground: (a) where there is a loss of substratum of the company; (b) where the company was formed to carry out fraud or for illegal purposes; (c) where in the case that the company was operated as a quasi-partnership and that the petitioner had a reasonable expectation based on an agreement between the partners of obtaining a financial benefit from the company but that expectation has been frustrated; (d) where justice or equity demands; (e) where there was a failure to comply with directions of the regulatory authorities; and (f) where the conduct of the management calls for the fullest investigation (such as fraud or misappropriation by anyone in control of the company). Typically, a petitioner would seek winding-up on just and equitable grounds as an alternative remedy to the unfair prejudice reliefs, as discussed above in Section 10.4.6.

Ebrahimi v Westbourne Galleries Ltd (1973) AC 360

Facts: Company A was a company running a rug business. It was originally set up by E and N as partners. They were the sole directors and shareholders of Company A. A few years later, N's son joined the business and was made a shareholder and director of Company A. The parties then fell out. N and his son removed E as a director by outvoting E. E applied to the court for a remedy for the company to be wound up on the just and equitable ground.

Issue: Whether it was just and equitable for the company to be wound up.

Held: A winding-up was ordered. In the case of a small company, the rights and obligations of a company went beyond bare company law requirements. E had been excluded from being involved in the management of Company A against his reasonable expectations. Since E was unable effectively to dispose of his interest, Company A should be wound up.

A limited company is more than a mere legal entity, with a personality in law of its own and that there is room in company law for recognition of the fact that behind it, or amongst it, there are individuals, with rights, expectations and obligations *inter se* which are not necessarily submerged in the company structure. That structure is defined by the company law statutes and by the articles of association under which shareholders agree to be bound. In most companies and in most contexts, this definition is sufficient and exhaustive, equally so whether the company is large or small. The just and equitable provision does not entitle one party to disregard the obligation he/she assumes by entering a company, nor the court to dispense him/her from it. It does, as equity always does, enable the court to subject the exercise of legal rights to equitable considerations; considerations, that is, of a personal character arising between one individual and another, which may make it unjust, or inequitable, to insist on legal rights, or to exercise them in a particular way.



13.4.2.2 Application to Court

An application for winding-up is made by way of petition (s.179). This is a form of commencing civil proceedings. The other common forms of beginning a civil action are by writ of summons and by way of originating summons.

In order to present a winding-up petition, an applicant must have the relevant standing (*locus standi*):

1. The company;
2. Any creditors of the company;
3. Any contributory of the company;
4. The trustee in bankruptcy or personal representative of a contributory;
5. The official receiver (where the company is already in voluntary winding-up);
6. The Financial Secretary (on the just and equitable grounds where it is in the public interest, following an investigation of the affairs of the company by an inspector or production of information pursuant to s.879 of the Companies Ordinance (Cap.622));
7. The registrar of companies (on the various grounds as provided at s.177(2); and
8. The Securities and Futures Commission (on just and equitable grounds pursuant to s.212 of the Securities and Futures Ordinance (Cap.571)).

The petition must be served on the company, the official receiver and the chief bailiff (Rules 23A and 25 of CWUR). Further, a notice of the petition must also be advertised in one circulating English newspaper and in one circulating Chinese newspaper at least seven days before the hearing of the petition (Rule 24 of CWUR). Every creditor or contributory shall be entitled to be furnished with a copy of the petition upon payment of the prescribed copying charges (Rule 27 of CWUR).

The first hearing of the petition would usually be on a Wednesday morning before a master. If there is no opposition, the master will grant a winding-up order against the company with the official receiver to act as provisional liquidator (unless there is already a private provisional liquidator previously appointed) (s.194(1)(a)). If the petition is contested, it will be adjourned for hearing before the companies judge on the next Monday.

Yeung Siu Ming v Man Lung Textiles Ltd (2018) HKCA 521

Facts: Shareholder A petitioned for the company to be wound up on just and equitable grounds or alternatively for unfair prejudice reliefs. It was disputed whether A was a registered shareholder and thus had the standing to issue the petition. The share register of the company was not produced in evidence. However, there is a share purchase agreement under which the petitioner purported to sell all the shares he was holding to the respondents. However, the respondents defaulted on payments.

Issue: Whether the petitioner had standing to issue the petition.

Yeung Siu Ming v Man Lung Textiles Ltd (2018) HKCA 521 (continued)

Held: Petitioner A had standing. In order to issue a petition of this kind, the petitioner must be a registered shareholder of the company. It is immaterial that he (the registered shareholder) might be holding the share beneficially or on trust for someone else. The dispute in the present case was not really about whether petitioner A was a registered shareholder. Rather, the dispute was about whether petitioner A held the shares beneficially, which did not affect petitioner A's standing to issue the petition. The agreement actually provides cogent evidence that petitioner A was the registered owner as it showed that petitioner A will sell the shares. However, until a share transfer was registered on the share register, petitioner A remained a registered shareholder.

Golden Gate International Kindergarten and Nursery Ltd (2018) HKCFI 641

Facts: X petitioned for the company to be wound up. X was a director and shareholder of the company. X petitioned on the basis that the company was insolvent. X argued that he was a contingent creditor of the company on the basis of a series of shareholders' loans. It was stated that the loans would not be repaid until the company's business became profitable. X relied on his knowledge as director to argue that the company was now insolvent. The other shareholders of the company opposed the petition.

Issue: Whether petitioner X had standing to issue the petition.

Held: X had no standing. The debt was based on a principal contingency that the company would make a profit. Thus, the contingency would never arise according to X's own case. X's case was that the company was insolvent; thus, it would not be required to pay the debt as it was not making a profit. The debt was subject to a contingency that could not arise if the company was insolvent. Thus, such a debt would not have been admissible to proof upon a winding-up according to s.263 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32). Thus, X could not be characterised as a contingent creditor since his debt could not be admitted to proof.

Apply and Analyse 4

Apply

John holds 50% of shares in Company X on behalf of his wife Cindy. The other 50% shares were held by Cindy's business partner Beatrice. Cindy and Beatrice had fallen out. John petitioned to wind up the company on just and equitable grounds. Beatrice challenges that John is not a real shareholder but merely a trustee of Cindy and thus has no standing to issue the petition. Analyse whether John has standing to issue the petition.

Analysis

It seems that John does have standing to issue the petition. In order to issue a petition, John must be a registered shareholder of the company, which he is. It is immaterial whether John is holding the shares on behalf of someone else (as in the *Yeung Siu Ming* case). To protect his position, John can produce copies of the company register and his share certificates as evidence to meet Beatrice's challenge.



13.4.2.3 Winding-up Order

After the making of a winding-up order, the winding-up of a company is deemed to have been commenced from the time of the presentation of the petition (s.184(2)). Absent any provisional liquidator already having been appointed, the official receiver shall become the provisional liquidator and take into custody all the property of the company (s.197). Upon appointment of a provisional liquidator or a liquidator, the power of directors ceases.

Any disposition of the company's property made after the commencement of the winding-up (i.e. after the presentation of the winding-up petition) is deemed to be void unless sanctioned by the court (other than those made by the provisional liquidator or liquidator) (s.182) (See Section 13.4.2.5).

Upon the making of the winding-up order, no action or proceeding can be proceeded with or commenced against the company except with the leave of the court (s.186).

13.4.2.4 Assets in Liquidation

The title to assets in liquidation remain with the company following the commencement of a winding-up, unless a vesting order is made under s.198. Both the legal and equitable ownership of the assets still remain with the company in the winding-up. Sometimes, it is said that the assets are under a statutory trust for the benefit of the creditors. However, there is no real trust. This only means that the assets are to be dealt with according to the statutory provisions in the winding-up process.

It is crucial in the liquidation to determine the assets available for distribution to the creditors and contributors. In general, the assets available for distribution are those assets held at the time of entry into liquidation as well as assets subsequently acquired by the liquidator on behalf of the company. The liquidators may exercise the following powers to ascertain the assets available for distribution:

1. To render void any dispositions of the company's property made after the commencement of winding-up (s.182) (See Section 13.4.2.5);
2. To invalidate unfair preferences given by the company to any creditor within a certain period before the commencement of the winding-up (ss.266, 266A and 266B) (See Section 13.4.2.6);
3. To invalidate certain floating charges granted by the company within 12 months before the commencement of the winding-up (s.267);
4. To impose personal liabilities on directors and others for fraudulent trading (s.275) (See Section 13.4.2.7).

It is important to note that those assets covered by a valid security in favour of a particular creditor are not available for distribution. One exception is that preferential creditors have a priority over a floating chargee over assets covered by the floating charge (s.265(3B)). Furthermore, assets held by the company on trust are also not available for distribution.

A liquidator may take legal action on behalf of the company to claim or recover assets legally belonging to the company.

A liquidator also has the power to disclaim any property that proves to be onerous (s.268). For example, there may be contracts which cause further depletion of the company's funds.

S.268(1) allows the liquidator to disclaim such property or contracts as (1) a land burdened with onerous covenants; (2) shares or stocks in any companies; and (3) unprofitable contracts or any other property that is unsaleable or not readily saleable, by reason of its binding the possessor thereof to the performance of any onerous act or to the payment of any sum of money.

Re Carrion Holdings Ltd (in liq) (No 2) (1984) 1 HKC 598

Facts: Before Company X went into liquidation, it purchased shares in Company Y and entered into a joint venture agreement with the shareholders of Company Y. Pursuant to this agreement, Company X was liable to contribute HK\$281 million as a unsecured loan to Company Y to purchase a piece of land for the purpose of the joint venture. By the time of the liquidation, the land has decreased significantly in value. The liquidators of Company X were of the opinion that the liability from the joint venture agreement would greatly outweigh its long-term benefits. It was unlikely that any profit would be accumulated by Company X. The liquidators applied to disclaim the joint venture agreement and the shares in Company Y.

Issue: Whether Company X should be allowed to disclaim the joint venture agreement and the shares in Company Y.

Held: The disclaimer was refused. Although normally the application would have succeeded on the basis that the joint venture agreement was unprofitable, in the present case the beneficial owners of Company Y were prepared to give an indemnity to Company X to cover any losses it might suffer under the joint venture agreement. Thus, the beneficial owner would be seriously prejudiced if the disclaimer was allowed.

There are also various provisions assisting liquidators in obtaining information about the company's assets:

1. Directors are required to submit a statement of affairs to the liquidator upon the making of the winding-up order, setting out the details of the company's assets along with various other matters (s.190).
2. Directors are required to attend personal interviews with the liquidators if required (s.190).
3. Relevant persons of the company may be required to produce to the court books and papers in a private examination (s.221). Such persons include (a) any officer of the company; (b) any person known or suspected to have in his/her possession any property of the company or supposed to be indebted to the company; or (c) any person whom the court deems capable of giving information concerning the promotion, formation, trade, dealings, affairs or property of the company. Such persons may also be examined by the court on oath orally or on written interrogatories over such matters as the promotion, formation, trade, dealings, affairs or property of the company (s.221(2)).
4. Certain persons may also be examined publicly before the court (s.222). Before a public examination can be ordered, the liquidator needs to have made a further report under

s.191(2) stating that a fraud has been committed by any person in the promotion or formation of the company, or by any officer of the company in relation to the company since its formation. Then, such person or officer may be required to attend before the court to be examined publicly as to the allegations.

13.4.2.5 Void Dispositions of Property

As discussed above, s.182 provides that any disposition of the company's assets made after the commencement of a compulsory winding-up is void, unless the court directs otherwise. This rule is to protect the company's assets from dissipation. It ensures that the creditor's right to distribution of the assets is protected. It is not uncommon that a controller of a company would try to dissipate or transfer away the assets of the company before it was wound up, especially in cases involving misfeasance and fraud.

The meaning of disposition includes not only any dealing in the company's tangible or intangible assets by sale, exchange, lease, charge, gift or loan, but also the conferment of a possessory or other lien on an asset and any other act which, in reducing or extinguishing the company's rights in an asset, transfers value to another person.

Because of this provision, following the presentation of a petition, it is often necessary for any company to apply to the court for a validating order (in those cases where the petition is contested). The effect of the validation order is to validate those payments legitimately made in the carrying on of the business (and thus not a depletion of the assets of the company in any way). For example, a validation order is necessary where it is in the best interests of the company to perform a certain contract to avoid liabilities for breach of contract. Payments of employees' salaries and other operational expenses are commonly covered by such a validation order. However, if it is shown that a company is insolvent, the court would not validate any transaction or even the carrying on of any business that is likely to have the effect of depleting the company's assets. For example, no validation would be granted where the business has been making a loss and the continued trading would only incur further losses.

Illustrative Example 5

In the opening case, Impressive Technologies Ltd ('ITL') is now being wound up. Andrew understands that there is a general rule as provided in s.182 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) that any disposition of the company's assets made after the commencement of a compulsory winding-up is void. Andrew is concerned that the employees' salaries might be affected. Further, although ITL is insolvent, its business is still a going concern. Thus, Andrew also worries that its daily business would be affected, e.g. trading credits/debts incurred might subsequently be held void. Therefore, ITL applies to the court for a validation order, approving the payment of salaries made in the normal course of the company's business. The validation order is granted.

13.4.2.6 Unfair Preferences

If a company is approaching or is already in insolvency and is expected to be wound up, there may be a need to look into transactions made before the commencement of the winding-up.

It might be the case that the controller of the company might seek to transfer away or dissipate the company's assets even before the commencement of the winding-up. It also might be the case that some creditors were simply paid immediately prior to the commencement of the winding-up, to the unfair disadvantage of the other creditors in the liquidation. Ss.266 and 266B thus provide the court the power to invalidate any such preferences and allow the liquidator to recover the company's funds or assets given as an unfair preference.

An unfair preference is given to a person if: (1) the person is a creditor of the company or a surety or a guarantor of any liabilities of the company; and (2) the company does anything or allows anything to be done which has the effect of putting that person into a position which, in the event of a winding-up, will be in a better position than he/she would have been in if that thing had not been done (s.50(3) of the Bankruptcy Ordinance (Cap.6) ('BO')).

A transaction containing the following elements is liable to be invalidated under ss.266 and 266B:

1. The company has given an unfair preference by the transaction (ss.50(1) and (3) of the BO).
2. The unfair preference was given within six months before the commencement of the winding-up (two years if the preference was given to an associate of the company) (ss.266(1) and 266(B)(1)(b) of the CWUMPO; s.51(1) of the BO).

The definition of an associate is highly technical and is set out in ss.265B and 265C.

Broadly speaking, a person is an associate of another person if that person is: (a) a spouse or cohabitant of the other person; (b) a relative of the other person or of the spouse/cohabitant; or (c) a spouse or cohabitant of that relative. A company is an associate of another company if (a) the companies are both controlled by the same person; (b) the companies are controlled by persons who are associates of each other; or (c) the companies were controlled by substantially the same group of people.

3. The company was influenced by a desire to put the creditor receiving the preference into a position which, in the event of a winding-up, is better than the position that creditor would have been in if the preference had not been given (s.266(4) of the CWUMPO; s.50(4) of the BO).
4. The company was insolvent at the time the preference was given or the company became insolvent as a consequence of the preference (s.266B(2) of the CWUMPO; s.51(2) of the BO).

For example, the following transactions amount to an unfair preference:

1. Repayment to an unsecured creditor;
2. Provision of security to an unsecured creditor in relation to a pre-existing debt; and
3. An undervalued transaction with an existing creditor (thus putting the creditor into a better position than he/she would have been in had the transaction not been entered into).

The following transactions do not amount to an unfair preference:

1. Provision of security to a new creditor;
2. Provision of security to an existing creditor in respect of a new loan; and
3. Payment to a secured creditor of an amount not exceeding the value of the security.



Liquidator of Almond Ltd v Cheong Chan Kao (2019) HKCFI 634

Facts: Company A is in liquidation. It has been discovered by the liquidator that there were three early repayments made by Company A to three banks. The repayments were made three months before Company A was wound up. It transpired that the debts were guaranteed by some of the directors.

Issue: Whether the three early repayments constituted unfair preferences.

Held: In order to establish unfair preference, the applicant needs to establish the following: (1) the company was insolvent when the payments were made; (2) the payments have the effect of putting the banks into a position which, in the event of the company's insolvent liquidation, would be better than the position the banks would have been in if the payments had not been made. The test in this regard is a purely objective test; and (3) the directors of the company, in deciding to make the payments, were influenced by a desire to produce the effect in (2).

In the present case, there was no doubt that the company was insolvent, thus (1) is satisfied. It was also found as a matter of fact that (2) and (3) were satisfied because the directors gave personal guarantees regarding those debts owed to the banks. Without further explanation (of which there was none), it could be inferred that the directors wanted to benefit themselves by selectively paying for the debts which were guaranteed by them rather than paying other creditors.

13.4.2.7 Fraudulent Trading and Extortionate Credit Transactions

S.275(1) provides that a person may be held liable for fraudulent trading. Fraudulent trading contains the following elements:

1. There was a carrying on of any business of the company.
2. The business was carried on (a) with an intent to defraud creditors; or (b) for any fraudulent purpose.
3. The person was knowingly a party to the carrying on of such business.

Any person committing fraudulent trading will incur both civil and criminal liability. Civilly, the person will be held personally responsible for all or any debts or liabilities of the company as the court may direct (without limitation of such liability) (s.275(1)). Criminally, such person is liable on indictment subject a maximum sentence of five-year imprisonment or a fine (with no maximum amount).

In order to establish liability, fraud or subjective dishonesty must be established. However, a director is not considered to have acted fraudulently merely because the company continued to trade where there was no reasonable prospect of the creditors ever receiving payment of such debts. Actual dishonesty must be found. A person would be regarded as being dishonest if the person acts in a way that he/she knows to be dishonest according to the standards of reasonable or honest people. If this is established, the person would be held to be dishonest even though he/she feels personally that the conduct is not dishonest (measured against his/her own standards).

Aktieselskabet Dansk Skibsfinansiering v Brothers (2000) 3 HKCFAR 70, (2000) 1 HKC 511

Facts: Company X was suffering a liquidity crisis and was having trouble making payments for the purchase of some ships. In an attempt to deal with the crisis, Director A obtained the agreement of a lender to revise the terms of financing for the ships. However, Company X was eventually unable to resolve the crisis and entered into liquidation. The liquidator commenced proceedings against Director A for fraudulent trading.

Issue: Whether Director A was liable for fraudulent trading.

Held: Director A had not acted fraudulently. Director A honestly believed that the parent company would provide the necessary support to enable the company to trade through the downturn in the trading cycle and return to prosperity. The fact that the likelihood of survival of the company was objectively low is not inconsistent with honesty. The court noted that in cases where fraud had been inferred from the evidence, there was almost always something else apart from the director's knowledge that there was no reasonable prospects of the creditors being paid, e.g. a misrepresentation to creditors of the company's position or its prospects of payment or dishonest intent to gain some personal advantage.

The court can also set aside or vary extortionate credit transactions entered into by the company within a certain period before the winding-up. S.264B provides that a transaction may be set aside on this ground if the following conditions are fulfilled:

1. The transaction is one that is extortionate. A transaction is deemed to be extortionate if, having regard to the risk accepted by the person providing the credit: (a) the terms of it are or were such as to require grossly exorbitant payments to be made (whether unconditionally or in certain contingencies) in respect of the provision of credit; or (b) it otherwise grossly contravenes ordinary principles of fair dealing.
2. The transaction was entered into within three years before the date of the winding-up order or the special resolution passed by the company to wind up.

The court has a wide discretion as to the setting aside of or varying an extortionate credit transaction fulfilling the above requirements. It may set aside the whole transaction or vary its terms in any way the court thinks fit (s.264B(4)).

13.4.2.8 Misfeasance

S.276 provides a summary procedure for the company to obtain compensation from any officers or persons that are liable to the company for misfeasance. According to s.276(1A), this provision is targeted at:

1. A person who is or has been an officer of the company;
2. A person who is or has acted as a provisional liquidator or liquidator of the company;
3. A person who is or has acted as a receiver or manager of the property of the company; or
4. A person taking or who has taken part in the promotion, formation or management of the company.

It is important to note that the provision simply provides an avenue to enforce existing rights, but it does not create any new cause of action. An application under s.276 may be made by the official receiver, the liquidator, any creditor or any contributory. An application can be made in relation to any situation where a person has misapplied, retained or become liable or accountable for any money or property of the company. It also covers the situation where a person has been guilty of any misfeasance or breach of duty to the court that is actionable by the company, including breach of fiduciary duty or duty of care by directors. S.276 also applies to misfeasance by any person who used to be related to the company, such as any person who has taken part in the formation or promotion of the company, or any past officers.

Liquidator of Wing Fai Construction Co Ltd v Yip Kwong Robert (unreported, 24 November 2017) HCCW 735/2002

Facts: Company W was now in liquidation. Its previous director was accused by the liquidators of siphoning off Company W's assets to unknown destinations through some related companies. Owing to the passage of time, a large number of documents relating to the transaction could not be recovered. Nevertheless, the liquidators brought an action pursuant to s.276 of the Companies (Winding Up and Miscellaneous Provisions) (Cap.32) for compensation against the former director and those allegedly assisting him.

Issue: Whether the director and his alleged accomplices should be made to pay compensation.

Held: The claim was dismissed. The director raised a defence that the transactions were part of an operation by the company to perpetrate a fraud on the banks. The transactions were meant to be circular transactions whereby the money would eventually return to Company W. In the process, the transactions would generate a false sense of cash flow to allow Company W to obtain credit. There was therefore no loss suffered by the company. The evidence available only showed half the picture, i.e. the payments-out. Documents relating to the payments-in had been lost and could not be recovered. In the premises, it was held that there was insufficient evidence for the liquidators to establish their claims.

13.4.2.9 Creditors' Claims

As the purpose of a liquidation is to realise and distribute the assets of the company to its creditors, there are rules governing the definition of a creditor entitled to claim under a winding-up and the priorities between different creditors.

Preferential, Secured and Unsecured Creditors

S.265(1) sets out the categories of preferential creditors. As a matter of public policy, it is deemed beneficial for these classes of persons to be paid first in a winding-up. Broadly speaking, the preferential creditors include the following persons:

1. **Employees' related payments:** Wages and salaries of employees, any labourer or workman, severance payments, long-service payments, wages in lieu of notice payable under the Employment Ordinance (Cap.57), compensation payable under the Employees' Compensation Ordinance (Cap.282), unpaid contribution under s.73(1)(n) of

the Occupational Retirement Schemes Ordinance (Cap.426), sums and interest payable to the Mandatory Provident Fund Schemes Authority under s.17(7) of the Mandatory Provident Fund Schemes Ordinance (Cap.485).

2. **Claims by the government:** All statutory debts due from the company to the government at the relevant date and which became due and payable within 12 months next before that date are preferential (s.265(1)(d)).
3. **Claims by bank depositors:** This is only applicable where the company being wound up is a bank holding deposits. In this case, the depositors of the bank rank as preferential creditors for up to HK\$500,000 (s.265(1)(db)).
4. **Claims of certain creditors of insurance companies:** This is only applicable where the company being wound up is an insurance company. s.265(1)(e) provides that certain debts in this case are preferential debts. Of these, most notably, any sum payable to a person in respect of any claim made under a contract of insurance made by the insurer as part of its general business carried on or from Hong Kong is preferential.

Proof of Debts

In order to be entitled to a claim in the winding-up, a creditor must be able to show that it is entitled to a provable debt (s.263). For a solvent company, provable debts mean all debts owed by the company, whether present or future, certain or contingent, liquidated or unliquidated. However, for an insolvent company, provable debts are set out by s.34 of the BO (as extracted below) (applicable to winding-up cases by virtue of s.263).

S.34 Description of Debts Provable in Bankruptcy

- (1) Demands in the nature of unliquidated damages arising otherwise than by reason of a contract, tort, promise or breach of trust shall not be provable in bankruptcy.
- (2) Subject to s.42(5), a person having notice of a petition in bankruptcy shall not prove in bankruptcy for any debt or liability contracted by the bankrupt after the date of his so having notice.
- (3) Save as aforesaid, all debts and liabilities, present or future, certain or contingent, to which the bankrupt is subject at the date of the bankruptcy order, or to which he may become subject before his discharge by reason of any obligation incurred before the date of the bankruptcy order, including a liability to pay further damages as provided for in s.56A(2)(b) of the HCO (following an award of provisional damages), shall be deemed to be debts provable in bankruptcy.
- (3A) Notwithstanding subsection (3), a debt owing to the Government in respect of a fine or monetary penalty imposed under an Ordinance shall not be provable in bankruptcy.
- (3B) For the purposes of this Ordinance, liability includes –
 - (a) Any compensation for work or labour done;
 - (b) Any obligation or possibility of an obligation to pay money or money's worth on the breach of any express or implied covenant, contract, agreement or undertaking, whether the breach does or does not occur, or is or is not likely to occur or capable of occurring, before the discharge of the bankrupt;



- (c) Generally, any express or implied engagement, agreement or undertaking to pay or capable of resulting in the payment of money or money's worth, whether the payment is, as respects amount, fixed or unliquidated, as respects time, present or future, certain or dependent on any one contingency or on two or more contingencies, or, as to mode of valuation, capable of being ascertained by fixed rules or as matter of opinion.

Priority of Debts

Generally, creditors' entitlement to the distribution of assets are in the following priority: preferential creditors, secured creditors and unsecured creditors. It should be noted that the interests of preferential creditors rank above floating charge holders (s.265).

However, before assets may be distributed in that order, two types of payments must be settled first (in the following order):

1. **Fixed charge holders:** Assets subject to a fixed charge are not dealt with in the liquidation. They do not form part of the free assets available for distribution. Any surplus, subject to deduction of the liquidator's costs and amounts to be paid to other secured creditors, will form part of the free assets.
2. **Liquidator's costs:** Following settlement of those assets subject to a fixed charge, a liquidator is entitled to have his/her remuneration and expenses rank repaid first before the remaining assets are distributed to the creditors generally (s.265(4)).

13.4.2.10 Realisation and Distribution of Assets

Those assets realised by the liquidator will be distributed to the creditors and contributories.

Those assets subject to fixed charges will be dealt with first, in the following order:

1. Costs of preserving and realising the assets (including receiver's remuneration and costs and expenses of the receivership).
2. Satisfaction of the chargee's interest.
3. Any surplus will form part of the free assets available for distribution to the creditors generally.

After having dealt with the assets subject to a fixed charge, the remaining assets (other than those subject to floating charges) shall form the free assets available for distribution to the creditors generally, in the following order:

1. Costs and expenses of the liquidation (including remuneration of the liquidator) (s.265(4)).
2. Amounts owing to the preferential creditors as mentioned above (s.265(1)).
3. Landlords who distrained goods of the company within three months before the date of the winding-up order (ss.265(5) and 265(5A)).
4. Ordinary creditors will be paid *pari passu* (in respect of provable debts).
5. Statutory interest, i.e. interest payable on provable debts and on taxed costs (s.264A).

6. Non-provable debts, e.g. claims that are deemed not provable in a liquidation, including a claim based on an illegal transaction, fines owing to the government, unliquidated claims arising other than out of contract, tort, promise or breach of trust.
7. Contributors' return of the share capital.
8. Any surplus shall then be paid to the contributors.

For assets subject to floating charges, technically these are not available for distribution to the general creditors. However, preferential creditors rank above floating chargees (s.265(1)). If the free assets available are not enough to satisfy the claims of the preferential creditors, those assets subject to a floating charge will be used to satisfy the preferential creditors' claims. Thus, the order of distribution for assets subject to a floating charge is as follows:

1. Costs of preserving and realising the assets (including receiver's remuneration, costs and expenses of the receivership, costs and expenses of discharging statutory duty to pay the preferential creditors);
2. Preferential creditors (to the extent their claims are not satisfied from the free assets);
3. Floating chargee; and
4. Any surplus will form part of the free assets available for distribution to the creditors generally.

13.4.2.11 Summary Procedure

If the value of a company's property is likely to be less than HK\$200,000, s.227F provides a summary procedure for the winding-up to be dealt with. The purpose is so that the winding-up could be dealt with in a more cost-effective manner. Under the summary procedure, the official receiver (or any provisional liquidator if so appointed) will be appointed as the liquidator. Thus, the meeting of creditors or contributors (for nomination of a liquidator) can be dispensed with.

13.4.2.12 Criminal Liabilities

Ss.271 to 275 set out a number of criminal offences that may be committed before or in the course of the winding-up, including:

1. The offence of concealing information about the company's property, liabilities or affairs, or destruction or falsification of the company's books and papers (s.271);
2. The offence of falsification of the company's books or papers with an intent to defraud or deceive any person (s.272);
3. The offence of fraudulent conduct before the company entered into liquidation (s.273). For example, where an officer of the company transferred away any property of the company with the intention to defraud creditors;
4. The offence of failing to keep proper books of accounts over the period of two years before the commencement of the winding-up (s.274); and
5. The offence of fraudulent trading (s.275).



Generally, the purposes of the offences are two-fold: (1) First, they aim to ensure that the officers of the company do not hide or remove the property of the company for the purposes of defeating the claims of the creditors; and (2) Secondly, they aim to ensure the assistance of the officers of the company, by the provision of full and accurate information to the liquidator about the company's assets, liabilities and affairs.

13.4.3 Voluntary Winding-up

A voluntary winding-up can be commenced in the following circumstances:

1. The articles provide that the company will cease to exist after a certain period or upon the occurrence of a certain events. After such period has expired or such event has occurred, members may pass an ordinary resolution for the voluntary winding-up of the company (s.228(1)(a)).
2. The members have passed a special resolution for the company to be wound up (s.228(1)(b)).
3. The majority of directors may pass a resolution to the effect that the company cannot by reason of its liabilities continue its business (s.228(A)).
4. The directors decided to wind up the company voluntarily and deliver a winding-up statement pursuant to s.228A (s.228(1)(d)).

There are two types of voluntary winding-up as recognised in the CWUMPO, namely (1) members' voluntary winding-up and (2) creditors' voluntary winding-up. The difference is whether the company is solvent at the time of the winding-up.

13.4.3.1 Members' Voluntary Winding-up

A members' voluntary winding-up is one where the directors have signed a certificate of solvency under s.233. In order to do so, the directors would need to make full enquiries about the affairs of the company and have formed the opinion that the company will be able to make full payment of its debt within 12 months of the commencement of the winding-up. The certificate must be issued within five weeks preceding the date of the members' resolution for winding-up. The certificate and the resolution must be filed with the Registrar within 15 days after the passing of the resolution (s.117(1)).

Even when a company is solvent, the members may nonetheless decide to wind up the company for different reasons, e.g. a corporate group may decide to wind up unnecessary subsidiaries during a restructure or a company may be a joint venture vehicle that has simply outlived its purpose.

The liquidator will be appointed by the members by way of an ordinary resolution (s.235(1)). It is common for the appointment to be made at the same general meeting where the members resolve for the company to be wound up. At any time during the course of the liquidation, the liquidator must summon a meeting of creditors if he/she is of the opinion that the company will not be able to pay its debts as certified in the solvency certificate (s.237A(1)). Thereafter, the members at the meeting may replace the liquidator or appoint a committee

of inspection. However, the creditor may at this point also present a petition for compulsory winding-up by the court.

Illustrative Example 6

The shareholders of Impressive Technologies Ltd ('ITL') Andrew, Bruce, Chris and Denis have fallen out. They have decided to close the company. The company is in a healthy state and all of them are expected to make a good return on their investments. Under these premises, Andrew and Bruce (as directors) issue a certificate by which ITL will be able to repay its debts in the next 12 months. Six weeks later, a general meeting is held. The resolution to wind up is passed by all four shareholders. The certificate and the resolution are thereafter lodged with the Companies Registry. Thereafter, a liquidator is appointed for the winding-up of ITL.

13.4.3.2 Creditors' Voluntary Winding-up

A creditors' winding-up is a voluntary winding-up where the directors do not file a certificate of solvency (s.233(4)). The company shall hold a creditors' meeting for a date not later than 14 days after the day on which the company is to hold a meeting at which the resolution for the voluntary winding up is to be proposed (s.241(1)). Notice of the creditors' meeting must be: (1) sent to the creditors at the same time as the notice of the general meeting; and (2) must be advertised once in the Gazette and once in an English language newspaper and a Chinese language newspaper circulating in Hong Kong (s.241(2)). Failure to comply with these procedures may render the liquidation invalid.

There are also certain formalities to follow for the creditors' meeting. The meeting is to be chaired by a director as appointed by the board (s.241(3)(b)). The directors must lay before the meeting a statement of the affairs of the company, a list of the creditors and the estimated amount of the creditors' claims (s.241(3)(a)). The creditors may appoint a liquidator at the meeting. Where the nominations of liquidators between the creditors and the members conflict, the creditors' choice prevails (although the members or directors may apply to the court within seven days of the nomination for determination of the appointment of the liquidator) (s.242).

Apply and Analyse 5

Apply

Angus and Conrad are two of the biggest creditors of Suprema Co. The company has recently resolved to enter into a voluntary winding-up. However, the directors did not file a certificate of insolvency. The company is required to hold a creditors' meeting. However, knowing that Angus would oppose to winding-up, the company opted only to send a notice to Conrad. As to Angus, the company only sent a notice to Angus's old address 2 days before the meeting (and in any event after the notice of general meetings have been given). The liquidation was thereafter passed at the meeting. Without Conrad's approval, however, the company appointed a liquidator of its own motion afterwards. Analyse whether the proper procedural requirements have been complied with.

Apply and Analyse 5 (continued)**Analysis**

The liquidation is invalidated by improper procedure. Where a resolution to enter into a voluntary winding-up is made without the support of a certificate of insolvency, a creditors' meeting must be held. Notices of the meeting must be sent to all creditors. Furthermore, such notice must be sent at the time of the general meeting. Thus, the notice to Conrad is apparently out of time. Also, notice must be given to all of the creditors. Sending a notice to an address for Angus that the company knew to be obsolete would not constitute sufficient notice. Thus, there was no notice given to Angus. Furthermore, there is also no evidence that the notice of the creditors' meeting has been advertised once in the Gazette or once in an English language newspaper and a Chinese language newspaper circulating in Hong Kong. All of the above non-compliance rendered the liquidation invalid.

Further, and in any event, the liquidator should have been appointed at the meeting by the creditors. It was also invalid for the company to appoint a liquidator subsequently without consulting Conrad.

13.4.3.3 Procedure for Voluntary Winding-up

After a company has passed the required resolution for winding-up, it must give notice of the resolution by advertisement in the Gazette within 14 days after the passing of the resolution (s.229(1)).

A voluntary winding-up is deemed to have been commenced at the time of the passing of the relevant resolution (s.230). Except for such business necessary for the benefit of the winding-up, a company must cease to carry on its business at the commencement of a voluntary winding-up (s.231).

Following appointment, the liquidator must give notice of his/her appointment within 21 days (s.253). The liquidator is required to keep an account of his/her receipts and payments and must have the account audited (s.255A).

In terms of the order of distribution, this is the same as in the case of a compulsory winding-up (ss.250 and 256).

It is worth noting that a number of provisions that apply to compulsory winding-up do not apply to voluntary winding-up. For example, there is no automatic stay of proceedings against the company and no invalidation of disposition of property from the commencement of the winding-up.

For a voluntary winding-up under s.228A, the following procedure needs to be adopted:

1. The majority of directors in a company must pass a resolution to the effect that:
 - (a) the company cannot by reason of its liabilities continue its business; (b) they consider it necessary that the company be wound up under s.228A because it is not reasonably practicable for it to be commenced under any other section in the CWUMPO; (c) meetings of the company and of its creditors will be summoned within 28 days after the delivery of a winding-up statement to the registrar of companies.

2. The directors should cause a meeting of the company to be summoned within 28 days of delivering a winding-up statement to the registrar.
3. The directors should appoint a person to act as the provisional liquidator in the winding-up of the company with effect from the commencement of the winding-up.
4. After taking the above actions, the directors must deliver a winding-up statement to the registrar.
5. The winding-up statement must be: (a) in the specified form; (b) signed by one of the directors; and (c) contain a statement by the director signing the statement certifying that a resolution has been passed in accordance with the above-mentioned procedure, a meeting of the company has been summoned (with date and time) and a provisional liquidator has been appointed (with name and address).

Further, it should be noted that the matters discussed in Sections 13.4.2.5 to 13.4.2.8 are equally applicable in the context of a voluntary winding-up.

13.4.3.4 Offences Prior to or during the Course of a Voluntary Winding-up

The offences in both a voluntary and a compulsory winding-up are essentially the same (See Section 13.4.2.12).

13.4.3.5 Dissolution of the Company

After the affairs of the company have been completely wound up and the assets realised and distributed, the only thing left to be done is the **dissolution** of the company. At this point, the court may make an order for dissolution of the company upon application by the liquidator (s.227). Alternatively, where the liquidator or the official receiver has delivered a certificate to the Registrar after the affairs of the company have been completely wound up and the liquidator has been granted a release, the company will be automatically dissolved upon the expiration of two years from the registration of the said certificate (s.226A). Once the company is dissolved, it ceases to exist. Should there be any property remaining in the company not dealt with in the liquidation, it shall be deemed to vest in the government under the principles of *bona vacantia*, i.e. ownerless goods (s.752).

► Knowledge Check Questions

Question 7

Explain the grounds upon which the court may compulsorily wind up a company.

Question 8

Explain the circumstances under which a person would be considered to have been given an unfair preference.

Question 9

Explain the ways of winding up a company voluntarily.

Question 10

Explain the fiduciary duties of a liquidator.



SUMMARY

Unless otherwise stated, all references to statutory provisions herein are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

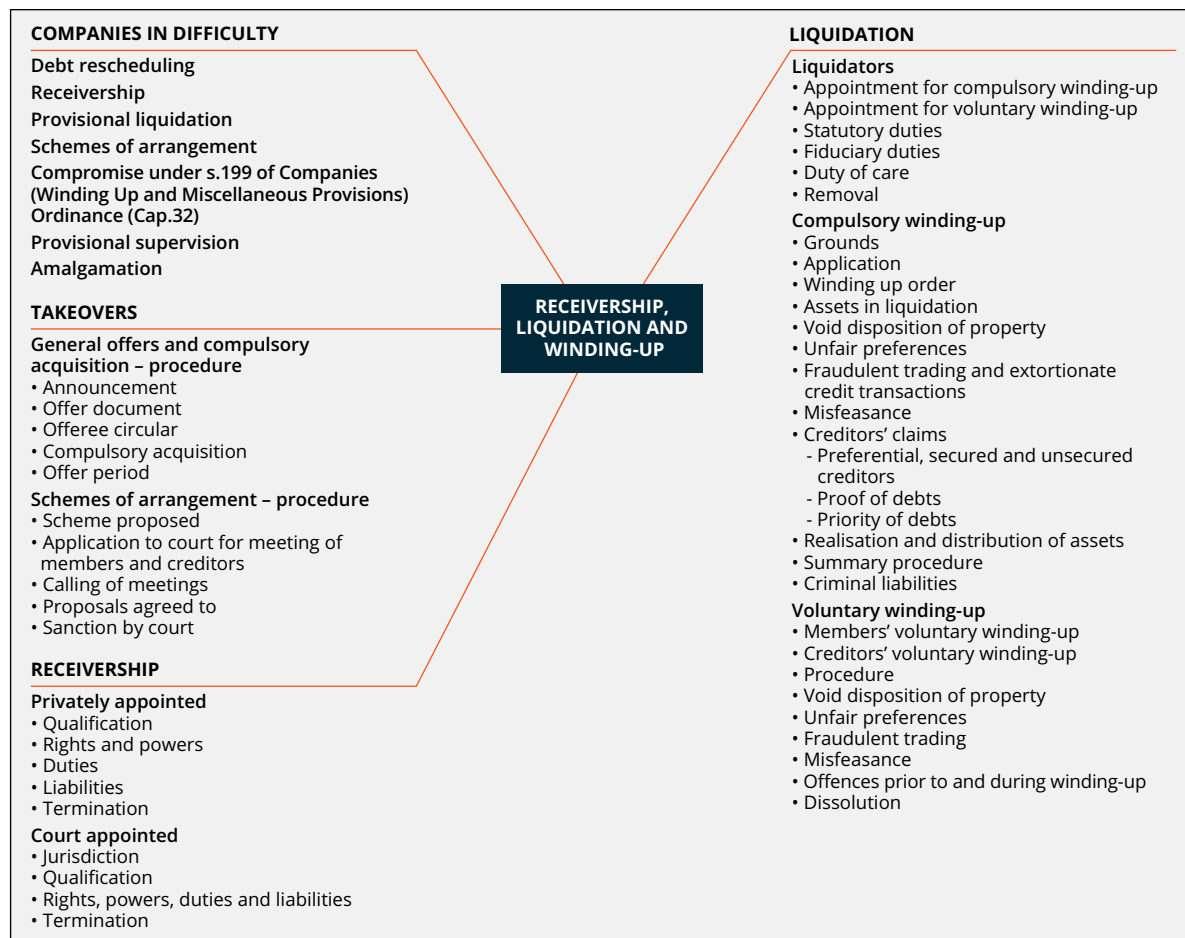
- Debt rescheduling is the alteration of current contractual obligations to pay debts. It is a contractual arrangement entered into by the debtor company with (some or all of) its creditors.
- A receivership is a kind of corporate rescue that involves a secured creditor enforcing its security against the charged assets of a debtor company.
- The liquidation is the process whereby a company is brought to an end by the sale of its assets and distribution of the proceeds to creditors and members.
- A provisional liquidation is an interim measure that may be implemented at any time after the presentation of a winding-up petition, pending the outcome of that petition.
- The scheme of arrangement procedure is a collective decision-making procedure that allows the company and its shareholders and/or creditors to reach an agreement on the reorganisation of the rights and liabilities of the shareholders or creditors.
- S.199 also provides another compromise procedure without the making of a scheme of arrangement. S.199 provides that a liquidator or a provisional liquidator has the power to make a compromise or arrangement with the company's creditors (including those persons who claim to be the company's creditors) without going through the entire process of making a scheme of arrangement.
- A takeover is where a party (usually called a bidder or offeror in this context) proposes to buy a controlling stake in a listed company (usually called a target in this context).
- A general offer is an offer by the bidder or offeror that is open to all shareholders of the target to purchase shares from those shareholders. A voluntary general offer may be classified as recommended or hostile, depending on the attitude of the board of directors towards the offer.
- The procedure of an offer includes: announcement of the offer, offer document by the offeror, offeree circular and, in the end, compulsory acquisition if applicable.
- A scheme of arrangement is a statutory procedure that involves either:
 - The cancellation of all the existing target shares and the subsequent issue of new target shares to the bidder (known as a cancellation scheme); or
 - The transfer of all the existing target shares to the bidder (known as a transfer scheme).
- A scheme needs to be sanctioned by the court. Approval of a scheme requires a 75% majority subject to the 10% objection rule.
- Historically, receivership is a creditor's remedy whereby a secured creditor may enforce its security by appointing a receiver over the secured assets of the debtor company. A receiver may be appointed privately or by the court.

- A debenture commonly provides the creditors with a right to appoint a receiver or a manager upon events of default. A receiver's role is usually to collect, protect and receive certain charged assets.
- Unlike privately appointed receivers, a receiver appointed by the court is an officer of the court. A court-appointed receiver must act not only lawfully but fairly and honourably.
- Liquidation or winding-up is the process of: (1) realisation of the company's assets for distribution to creditors and members of the company; and followed by (2) the dissolution of the company. Through this process a company is 'wound up'. This process is conducted by a liquidator appointed by the court.
- Upon a winding-up order being made, a provisional liquidator will first be appointed. The provisional liquidator shall then summon separate meetings of creditors and contributors with regard to making an application for the appointment of a liquidator (s.194(1)(b)).
- The powers of a liquidator are provided in the statutes. The powers are conferred primarily to enable a liquidator to discharge his/her role of gathering in and realising the company's assets for the benefit of the creditors and contributors.
- In the case of a shareholders' voluntary winding-up, a liquidator would be appointed by the shareholders by way of an ordinary resolution (s.235(1)).
- Compulsory winding-up is a winding-up ordered by the court.
- There are six grounds on which a court may make a winding-up order: (1) the company has by special resolution resolved that the company be wound up by the court; (2) the company does not commence its business within a year from its incorporation, or suspends its business for a whole year; (3) the company has no members; (4) the company is unable to pay its debts; (5) an event occurs in accordance with articles that provide that the company is to be dissolved; and (6) the court is of the opinion that it is just and equitable that the company should be wound up (s.177).
- Any disposition of the company's assets made after the commencement of a compulsory winding-up is void and, because of this, it is often necessary for a company to apply to the court for a validating order (in those cases where the petition is contested) (s.182).
- If a company is approaching or is in insolvency and is expected to be wound up, there may be a need to look into transactions made before the commencement of the winding-up. The court has a power to invalidate any unfair preferences and allow the liquidator to recover the company's funds or assets given as an unfair preference.
- In a winding-up, a person may be held liable for fraudulent trading under s.275(1). Any extortionate credit transactions may also be opened up.
- S.276 provides a summary procedure for the company to obtain compensation from any officers or persons that are liable to the company for misfeasance.
- In a winding-up, creditors have different priorities in their claims for the assets of the company.
- In order to be entitled to a claim in the winding-up, a creditor must be able to show that it is entitled to a provable debt (s.263).



- In the realisation of assets, those subject to a fixed charge will be dealt with first. Then, the remaining assets shall form the free assets available for distribution to the creditors (subject to the rights of preferential creditors and floating chargees).
- If the value of a company's property is likely to be less than HK\$200,000, s.227F provides a summary procedure for the winding-up to be dealt with.
- Ss.271 to 275 set out a number of criminal offences that may be committed before or in the course of the winding-up.
- There are two types of voluntary winding-up as recognised in the Companies (Winding Up and Miscellaneous Provisions) Ordinance, namely (1) members' voluntary winding-up and (2) creditors' voluntary winding-up. The difference is whether the company is solvent at the time of the winding-up.
- A members' voluntary winding-up is one where the directors have signed a certificate of solvency under s.233.
- A creditors' winding-up is a voluntary winding-up where the directors do not file a certificate of solvency (s.233(4)).
- After the affairs of the company have been completely wound up and the assets realised and distributed, the only thing left to be done is the dissolution of the company. At this point, the court may make an order for dissolution of the company upon application by the liquidator (s.227).

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Debt rescheduling is a contractual arrangement entered into by the debtor company with (some or all of) its creditors. Debt rescheduling can be achieved in many ways. For example, the deferral of the deadline to repay certain debts, the conversion of debt into equity, the giving of additional security or consolidation of existing loans to reschedule interest payments. Debt restructuring allows a company to overcome cash flow difficulties.

Question 2

Receivership is a kind of corporate rescue that involves a secured creditor enforcing its security against the charged assets of a debtor company. A receiver, who can be appointed by the secured lender itself or by the court, will collect, protect and receive property and income from the property charged on behalf of the creditor.



Question 3

A general offer is an offer by the bidder or offeror that is open to all shareholders of the target to purchase shares from those shareholders. A voluntary offer may be classified as recommended or hostile, depending on the attitude of the board of directors towards the offer. Under certain circumstances, the *Codes on Takeovers and Mergers and Share Buy-backs* requires that the offeror make a general offer. This is known as a mandatory offer. Broadly speaking, this occurs where the offeror and those acting in concert with him acquire a sufficient amount of shareholding.

Question 4

A scheme of arrangement is a statutory procedure that involves either:

1. The cancellation of all the existing target shares and the subsequent issue of new target shares to the bidder (known as a cancellation scheme); or
2. The transfer of all the existing target shares to the bidder (known as a transfer scheme).

In either scheme, the former shareholder would either obtain cash or new shares in return, as approved by the court.

Question 5

Historically, receivership is a creditor's remedy whereby a secured creditor may enforce its security by appointing a receiver over the secured assets of the debtor company. As such, receivership is primarily a debt enforcement device. In modern times, the concept of receivership has expanded to allow receivership over the entire company. A receiver appointed on this basis is not confined to particular assets but may exercise managerial power over the entire business of the company.

Question 6

The difference between a privately appointed receiver and a court-appointed receiver is that the latter is a court officer. The receiver is subject to the additional duty to act honourably. As a court officer, a court-appointed receiver may only cease to act if properly discharged by a court order (unless the appointment order provides for the term of the receivership). A private receivership is usually terminated when the purpose of the appointment has been achieved; typically, this means when the assets subject to the receivership have all been administered. However, it is always open to the appointor to terminate the receivership prior to that. This is because a privately appointed receiver is essentially a contractual being.

Question 7

S.177 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance provides that there are six grounds on which a court may make a winding-up order: (1) the company has by special resolution resolved that the company be wound up by the court; (2) the company does not commence its business within a year from its incorporation, or suspends its business for a whole year; (3) the company has no members; (4) the company is unable to pay its debts; (5) an event occurs in accordance with articles that provide that the company is to be dissolved; and (6) the court is of the opinion that it is just and equitable that the company should be wound up.

Question 8

An unfair preference is given to a person if: (1) the person is a creditor of the company or a surety or a guarantor of any liabilities of the company; and (2) the company does anything or allows anything to be done which has the effect of putting that person into a position which, in the event of a winding-up, will be in a better position than he/she would have been in if that thing had not been done (s.50(3) of the Banking Ordinance (Cap.6)).

Question 9

Voluntary winding-up may be a members' voluntary winding-up (MVWU), or a creditors' voluntary winding-up (CVWU). Whether to follow which way of winding-up is whether the company is solvent or not at the time of the winding-up.

If the company is solvent, a certificate of solvency (COS) should be signed by the directors before winding-up. The COS proves that the company will be able to pay its debt within 12 months of the commencement of the winding-up.

If the company is insolvent, then it must follow the route of CVWU. A creditors' meeting must be held and a liquidator may be appointed in the meeting.

Question 10

A liquidator owes fiduciary duties to the company in the following ways:

1. A liquidator must not put his/her personal interests in conflict with his/her duties to the company.
2. A liquidator must not exploit the company's funds for personal use.
3. A liquidator must form judgments and make decisions with reasonable care and skill.

EXAM PRACTICE

QUESTION 1

Advanced Technology Ltd ('ATL') is a company started by Andrew and Bruce as a Taiwanese whiskey distributor. Business was good in the first few years. However, since 2016 the business has suffered a downturn and ATL has struggled financially.

A winding-up petition was presented for ATL on 12 December 2018. A winding-up order was made on 5 March 2019. Before the winding-up, the following events happened.

On 10 August 2018, ATL had reached its overdraft limit with Bank X (HK\$2 million, unsecured). As part of Andrew and Bruce's efforts to continue to salvage the company, they tried to borrow more money from Bank X. Bank X was concerned that, since its loan was not secured, it might not be fully repaid if ATL were to be wound up soon. As a result, Andrew and Bruce proposed that, in exchange for an increase of the overdraft limit to HK\$3 million, ATL would grant Bank X a floating charge over all of the company's assets. The floating charge would secure all of the company's indebtedness to Bank X. Bank X agreed to accept a floating charge.

Unfortunately, despite this assistance from Bank X, the situation looked increasingly dire. The debt of ATL exceeded way beyond HK\$3 million. Nevertheless, in October 2018, a business opportunity arose when a trend of drinking Taiwanese whiskey started in the

city. The demand for Taiwanese whiskey surged. Andrew received several large orders for ATL that might salvage the business. However, in order to accept these orders, ATL would require some additional short-term liquidity. Andrew's uncle Charlie was a wealthy man and promised to inject funds into ATL sufficient to allow it to take on the orders. Relying on this, Andrew accepted the orders and contracted with several suppliers to supply ATL with whiskey. Unfortunately, Charlie died suddenly and, as a result, no funds were injected into ATL. ATL defaulted on its liability to the suppliers.

As of 12 December 2018, ATL still owed the following debts (in addition to its HK\$2,500,000 indebtedness to Bank X): (1) HK\$300,000 unsecured shareholder loan to Bruce; (2) HK\$500,000 owed to Bank Y under a floating charge; and (3) HK\$600,000 unpaid salary to employees.

Upon the making of the liquidation order, Tom was appointed as the liquidator. Analyse the issues arising from the following that Tom should consider:

- (a) The floating charge to Bank X;
- (b) Andrew's decision to continue to trade in October 2018; and
- (c) Which party should be paid first.

QUESTION 2

Company A was a listed company, the shares of which were listed on the Hong Kong Stock Exchange.

Dave owned 40% of Company A's shares. Dave was actually hoping to sell his shares soon. However, since the market price is low, Dave decided to wait and see. Three months ago, Dave acquired an additional 1% shareholding in Company A. Yesterday, Dave acquired another 1% shareholding in Company A, and now owns a 42% shareholding in Company A.

Company B was also a company the shares of which were listed on the Hong Kong Stock Exchange. Eva owned 20% of the shares in Company B. Company B was controlled by Eva's rival, Francis. Eva intended to use her 20% share to cause trouble for Company B. Eva therefore asked her husband, Frank, to also purchase 15% of the shares in Company B so that together they could join forces.

- (a) Analyse whether Dave is under any obligation to make a mandatory offer. If so, what are the procedural steps for Dave and Company A? Explain with reference to the Codes on Takeovers and Mergers and Share Buy-backs. Your answer should also address the situation where Dave failed to acquire 100% of the shareholding in Company A despite making a general offer.
- (b) Analyse whether Eva is under any obligation to make a mandatory offer.

QUESTION 3

Company X was a private company controlled by two camps of shareholders. Camp A and Camp B had disputes over the beneficial ownership of a wholly owned subsidiary, Company Y. Camp A alleged that the subsidiary had been validly sold to it. Pending the resolution of the dispute, F Firm was appointed as the interim receiver of Company Y. Unbeknownst to Camp B, F Firm's partner Frederick was a good friend of Camp A's boss, Andrew. Accordingly, F Firm had been acting according to Andrew's instructions in managing Company Y's affairs.

In return, Andrew would give favours to Frederick, such as taking Frederick on boat trips or buying Frederick expensive dinners. Under F Firm's management, Company Y's business was booming. However, Camp B discovered the connection and communicated with Frederick and Andrew, asking for F Firm to be removed as the interim receiver.

The differences between the two camps of shareholders could not be resolved. Company X was ordered by the court to be wound up on just and equitable grounds. R Firm was appointed the liquidator. R Firm's principal partner Robert was going through a difficult divorce and had allowed the business to fall into chaos. As a result, R Firm did not proceed with dealing with the liquidation at all for the next two years. Furthermore, it became apparent that R Firm had applied Company X's cash reserves to satisfy its only liquidity demands. It also transpired that, owing to a loss of personnel, R Firm's account of the liquidation had been incomplete and missing in material places. There was no report from R Firm as to the status of the liquidation, despite repeated requests from the shareholders. R Firm had missed the last court hearing for such purpose. Both camps of shareholders applied to have R Firm removed.

- (a) Analyse whether F Firm should be removed as the interim receiver of Company X.
- (b) Analyse whether R Firm should be removed as the liquidator of Company X.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) The issue is whether the floating charge constitutes an unfair preference. Ss.266 and 266B of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32) ('CWUMPO') provide that a transaction may be invalidated for giving an unfair preference to a creditor if: (1) the company has given an unfair preference by the transaction; (2) the unfair preference was given six months before the commencement of the winding-up; (3) the company was influenced by a desire to put the creditor receiving the preference into a position which, in the event of a winding-up, is better than the position that creditor would have been in if the preference had not been given; and (4) the company was insolvent at the time the preference was given or the company became insolvent in consequence of the preference.

Although the winding-up order was not made until 5 March 2019, the winding-up was deemed to have commenced at the time of the presentation of the petition (s.184(2) of the CWUMPO), i.e. on 12 December 2018. The precise date of the floating charge was not given. Assuming it was in August 2018 because that was the time when Advance Technology Ltd ('ATL') reached its overdraft limit), the floating charge would have been made within six months before the commencement of the winding-up.

It is clear that the floating charge gave an unfair preference to Bank X because Bank X was originally not a secured creditor. The floating charge would give Bank X's claim priority over all unsecured creditors' claims in the distribution of the company's assets on a liquidation. The grant of the floating charge also appeared to be motivated by this. Andrew and Bruce proposed the floating charge arrangement in response to Bank X's concern about its position as an unsecured creditor upon a winding-up. Thus, it seems likely that ATL was influenced by a desire to give an unfair advantage to Bank X upon a winding-up.



There is no explicit information as to the solvency status of ATL at the time the floating charge was granted in August 2018. However, given the dire status of the company's finances and the fact that ATL was looking for loans both from Bank X and from Charlie and its eventual winding-up, an inference might be drawn on the evidence available that ATL was insolvent at the time.

Thus, subject to the assumptions stated above, the floating charge was liable to be set aside as an unfair preference to Bank X. Tom – as the liquidator – should take out proceedings to set aside the floating charge.

- (b) The issue is whether Andrew's decision amounted to fraudulent trading within the definition of s.275(1) of the CWUMPO. If it was, Andrew might be held personally responsible for all the debts owed by ATL to the suppliers. In order to establish liability, fraud or subjective dishonesty must be established on the part of Andrew. A person would be regarded as being dishonest if the person acts in a way that he/she knows to be dishonest according to the standards of reasonable or honest people. If Andrew in the present case clearly knew that there was no hope, he could have paid for the products supplied, although he would be at risk of committing fraudulent trading. However, in the present case, it must be taken into account that originally Charlie agreed to provide short-term liquidity which would allow the suppliers to be paid. Such liquidity was not provided only because of the untimely death of Charlie, an event apparently not foreseen or foreseeable by Andrew. A parallel might be drawn with the *Aktieselskabet Dansk Skibsfinansiering v Brothers* (2000) 3 HKCFAR 70 case, whereby the liquidator was suing a director for obtaining revised financing for the ships of the company, whilst the company was in a liquidity crisis and had trouble making payments for the purchase of those ships. The Court of Final Appeal held that the director did not act fraudulently, on the ground that the director honestly believed that the parent company would provide the necessary support to enable the company make it through the trading cycle and return to prosperity. It was pointed out by the court that the fact that the likelihood of survival of the company was objectively low is not inconsistent with that honesty. Applying that reasoning in the present case, Andrew did not act fraudulently and should not be liable for fraudulent trading. No action should be taken against Andrew.
- (c) The HK\$600,000 outstanding wages was a preferential debt, as defined in s.265(1) of the CWUMPO. Thus, it should be paid first. The floating chargee's interest ranks later than that of the preferential creditors but prior to the general unsecured creditors. Thus, Bank Y debt of HK\$500,000 would be paid prior to the HK\$300,000 unsecured shareholder loan to Bruce.

QUESTION 2

- (a) According to Rule 26 of the Codes on Takeovers and Mergers and Share Buy-backs ('Takeover Codes'), the duty to make a mandatory offer is triggered if a person who initially holds less than 30% of the voting rights acquires voting rights that increase his/her holding to 30% or more of the voting rights of the target company. However, this is not the case here. Dave had already owned over 30% of the shares in Company A to begin with. Dave is a person who initially holds at least 30% of the voting rights in a target company. Dave would be required to make a mandatory offer if he acquired a further shareholding in the target company such that his shareholding was increased by more than 2% from the

lowest percentage holding in the 12-month period ending on the date of the acquisition. This is known as 'the 2% creeper rule'. Therefore, Dave's obligation to make a mandatory offer was triggered by his second acquisition of 1% of the shares yesterday.

Dave needs to take the following steps:

1. **Announcement:** Dave needs to make an announcement of the offer (TC 3.1). An announcement must be made by a potential offeror immediately upon an acquisition for voting rights that give rise to the obligation to make a mandatory offer (TC 3.1(c)). Since in the present case Dave seems to have acquired his shares from the market, Rule 3.1(c) of the Takeover Codes applies instead of Rules 3.1(a) and (b) of the Takeover Codes.
2. **Offer document:** The offer document is a document that includes the formal terms and conditions of the general offer. Dave should post the offer document within 21 days of the date of the announcement of the terms of the offer (TC 8.2). The offer document must contain the information as set out at Schedule 1 of the Takeover Codes, e.g. information regarding Dave, including his name and address and his intentions regarding the continuation of the business of Company A, as well as Dave's shareholdings in the Company A.
3. **Offeree circular:** Within 14 days of the posting of the offer document, Company A should send to its shareholders a circular in response (TC 8.4). The circular must contain the information as set out in Schedule 2 of the Takeover Codes, e.g. the views of Company A's board on the offer, i.e. the recommendation of the independent committee of the board of Company A given in accordance with Rule 2.1 of the Takeover Codes; or the shareholdings of Company A in the offeror and other relevant information relating to shareholdings and dealings; and other information such as share capital and financial information of Company A.
4. **Offer period:** The offer will be open for acceptance 28 days after Company A's circular. However, if the circular was posted on the same day as Dave's offer document, the offer must remain open for acceptance for at least 21 days (TC 15.1).

If Dave failed to acquire all of the shares despite the general offer, he might make a compulsory acquisition if he successfully acquired 90% of the shares in Company A within four months after the posting of the offer document (TC 2.11). This would be the case, provided that the conditions laid down in ss.687 to 721 of the CWUMPO were satisfied.

- (b) Eva would be required to make a mandatory offer. According to Rule 26 of the Takeover Codes, the duty to make a mandatory offer is triggered if a person who initially holds less than 30% of the voting rights acquires voting rights that increase his/her holding to 30% or more of the voting rights of the target company. This includes the situation where such shares were acquired by multiple people acting in concert. In the present case, it is clear that Eva and Frank are parties acting in concert. Thus, their collective shareholding would be considered together for the purpose of considering whether the mandatory offer obligations were triggered. Their collective shareholding was 35%, and they started with only 20% shareholdings collectively. In the circumstances, Eva would be required to make a general offer.



QUESTION 3

- (a) F Firm is likely to be removed as the interim receiver. The court would discharge a receiver if it was just to do so, for example if the original appointment should not have been made or if default, misconduct or other ground of unfitness was shown. However, where the interim receiver had honestly done his/her best but failed to discharge his/her duties owing to the onerous and irksome nature, the court would be slow to do so. The court did not lightly remove its own officer and would pay due regard to the impact of his/her removal on his/her professional standing and, even if grounds for removal were made out, would take into account the disadvantages of removal in terms of cost and delay. See the explanation by the court of the relevant principles in the *Macau First Universal International Ltd* case.

In the present case, F Firm clearly showed bias towards Camp A at the expense of Camp B. Although there were no signs of F Firm giving any favours to Camp A in its management of Company Y, F Firm should be removed for failure to discharge its duties impartially. Further, to the extent that Frederick simply followed the instructions given by Andrew, F Firm seems to have failed in its duty to exercise its own professional judgment in managing Company Y. It did not matter that Company Y's business did not suffer any loss as a result. In particular, Frederick has placed F Firm in a position of conflict by accepting the benefits from Andrew. Thus, F Firm should be removed as the interim receiver of Company X.

- (b) R Firm should be removed as the liquidator for multiple breaches of duties. The court has a power to remove a liquidator in cases of both compulsory and voluntary winding-up (ss.196(1) and 252 of the CWUMPO). The ground for exercising this power is to do so on cause shown. Misconduct and personal unfitness may amount to a cause for such removal. Breach of statutory, fiduciary or other duties can also amount to such cause. A liquidator may also be removed for failing to show sufficient vigour in the performance of his/her duties, or for failing to proceed with liquidation with reasonable expedition.

First, R Firm had a duty to proceed with the liquidation with reasonable expedition (*Re Kaypak Homecare Ltd*). R Firm had obviously failed in its duty in this regard for not moving the liquidation forward, despite the passage of two years.

Secondly, a liquidator is a fiduciary. Thus, he/she owes fiduciary duties to the company. This is comparable to those fiduciary duties owed by the directors. Thus, R Firm had placed itself in a position of conflict and was in breach of duties by misappropriating Company X's assets to satisfy its own needs. Further, this was an abuse of R Firm's statutory power as the liquidator to take into its custody or control all assets to which the company appears to be entitled (s.197 of the CWUMPO).

Thirdly, R Firm had a statutory duty to keep accounts properly and pay any sum received into the companies liquidation account (kept by the official receiver) (ss.202 to 203 of the CWUMPO). In particular, a liquidator must send a printed copy of the account or summary by post to every creditor and contributory after the account has been audited (s.203(5) of the CWUMPO). R Firm was in breach of this duty by keeping Company X's assets to itself and by failing to keep a proper and complete account of the liquidation.

Finally, R Firm also had a statutory duty to report to the court on the company's financial status, the reasons for the failure of the company and whether there was a need for further enquiries into the promotion, formation or failure of the company or the conduct of the company's business (s.191(1) of the CWUMPO). R Firm had completely failed in this respect.

In the circumstances, R Firm should be removed as the liquidator of Company X.

FURTHER READING

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GLOSSARY OF TERMS

absolute privilege involves statements made in the course of judicial or quasi-judicial proceedings; statements made by public officers in the course of their public duties; and proceeding and reports of the Legislative Council.

acceptance is a clear and unconditional assent to all the terms of an offer, properly communicated to the offeror.

Accounting and Financial Reporting Council is an independent statutory body. Some of the major roles are: (1) to conduct independent investigations into possible auditing or reporting irregularities by auditors of listed entities; and (2) to enquire into possible non-compliance with accounting requirements by listed entities.

actual authority is the authority that an agent is delegated by the principal in a written agreement.

advantage in the context of Prevention of Bribery Ordinance means a gift, loan, fee, reward or commission, security, property, promise, offer or service.

affirm/affirmation is when an innocent party decides to continue with the contract (i.e. to keep the contract alive) after a right to terminate (after a repudiatory breach) or seek rescission (e.g. for misrepresentation or economic duress).

agency by necessity is an agency that was created under an emergency such that the agent could be reimbursed by the principal all of the expenses used to protect the principal's property.

agent is a public servant or any person employed by or acting for another, including entering into binding contracts.

aggravated damages are awarded in circumstances where the defendant's conduct has been particularly oppressive with a malicious intent to increase the plaintiff's humiliation and anxiety.

allotment of share is the issue of a share after the incorporation of a company.

alternate director is a director appointed to act in place of a director when the latter is unable to attend meetings.

alternative dispute resolution involves non-court proceedings where parties would hire an independent third party to assist them in working out the best solutions for the parties.

annual general meeting is a general meeting of shareholders that is required to be held annually after the end of each financial year of a company.

anticipatory breach is where a party refuses, or is otherwise unable, to perform its contractual obligations (before the due date for performance).

apparent authority is the authority that an agent apparently has before the third party, such authority being due to the representation made by the principal to the third party that the agent has such authority.

articles of association are the rules and constitution, set out in a document, by which a company's internal affairs are governed.

battle of forms is the debate on which party's terms the contract is based, where an offer is made through a document containing the offeror's standard terms and the offeree accepts that offer via a document containing the offeree's standard terms.

bearer debenture is one that can be transferred by the delivery of the instrument.

bearer share is a share not registered in the register but proved by a warrant. Now prohibited.

board of directors is the soul of the company and the company's agent.

bolam test is a test for a professional standard by evaluating the conduct against common practice.

bona fide means genuine; in good faith.

bond is a debt owed by the issuer of a bond to the holder of a bond.

bonus share in lieu of dividend is dividends paid by issuing bonus shares to a shareholder.

breach is where a party fails to perform, or defectively performs, its contractual obligations.

breach of warranty of authority is the cause of action that a third party takes against the agent for the breach of warranting his/her authority from the principal.

bribery is a criminal act of offering or accepting advantage by agents or public servants without lawful authority or a reasonable excuse.

burden of proof is the obligation of a party in legal proceedings to produce the evidence that will prove the claims they have made against the other party.

business vehicle is the legal form used by a person to carry on its business.

but for test, where, but for the wrongdoer's action or omission, the plaintiff would not have suffered his/her injury or damage.

called up capital is an amount of paid-up capital plus the amounts due after the company made a call.

capacity is the ability to enter into a legally binding contract, including adults of sound mind.

causation is the causal link between one party's breach or misrepresentation and the other party's loss.

cause of action is fact or facts that give rise to a right of legal action/litigation.

caveat emptor or let the buyer beware is the general principle that a seller does not have to disclose facts which, if known by the buyer, would affect the buyer's decision to enter into the contract.

certainty of terms are contractual terms that are neither too vague nor incomplete.

chairperson is a person appointed to chair a general meeting or board meeting.

charge is a security over certain assets of the chargor (debtor). The chargee (lender) has a right to be paid out of the assets charged in the event of the default of the underlying payment obligation.

charging order is an order that is imposed on realisable property for securing the payment of money to the Hong Kong SAR Government.

chattel is a moveable, tangible piece of property (not real estate).

chinese customary law includes Qing law and customs followed in Hong Kong since 1843, most of which are related to marriage, divorce, adoption and succession.

chose in action means personal properties that are abstract in nature and intangible.

chose in possession means personal properties that are capable of being physically possessed.

claim in debt is an action for an agreed sum (the price) for goods or services fully rendered.

class meeting is a separate general meeting attended by holders of shares in the same class.

class rights are rights attached to shares within a class.

class shares are shares with the same rights and restrictions attached to them.

common duty of care is a duty to take such care as in all the circumstances of the case is reasonable to see that the visitor will be reasonably safe in using the premises for the purposes for which he/she is invited or permitted by the occupier to be there.

common law is a body of legal rules that have been made by judges in their judgments and that are binding on future courts.

common mistake is a mistake made by both contracting parties that is only discovered after the contract was formed.

common seal is a metallic seal adopted by the company to use as its common seal. Where the common seal is affixed to a written contract, the contract is regarded as being entered into by the company directly.

company chop is distinct from common seal and is usually made of rubber. There is no official effect under the Companies Ordinance (Cap.622).

company limited by guarantee is a company with no share capital where the liability of members for the company's debts is limited to the guarantee given by members under the articles of the company.

company limited by shares is a company where the liability of members for the company's debts is limited to the amount unpaid on shares held by the members.

company secretary is the chief administrative officer of a company.

compulsory acquisition means that the offeror may compel a purchase of the remaining shares if certain conditions are satisfied.

condition is a very important contractual term, going to the root of the contract (breach of which entitles the innocent party to terminate the contract).

confiscation order is an order for the seizure of property from a person convicted of drug trafficking or an order requiring a convicted person to pay a specified amount of money.

connected transactions refer to those transactions between an issuer (or one of its subsidiaries) with a connected person.

consideration is that which is given in return for something else under a contract, i.e. the price paid by one party for which the promise of another party is bought.

constructive dismissal is dismissal initiated by the employee which terminates his/her employment contract without notice or payment in lieu, for

example, where the employee reasonably fears physical danger by violence or disease in the workplace or the employer is found to have ill-treated the employee.

consumer surplus is an innocent party's subjective expectation interest in the performance of a contract that is over and above the objective market value.

continuous contract is where under such a contract the worker has worked for at least 18 hours per week for the previous four consecutive weeks with the same employer.

contract for (the supply of) a service is an agreement with an independent contractor for a one-off piece of work or carry out a particular project.

contract of service is an agreement between an employer and an employee.

contributory negligence is an innocent party's own negligence which contributes to his/her loss from the other party's breach of contract or misrepresentation.

control test is a test to find out the employment status by focusing on the degree of power and control that the employer has over the person of service.

convertible debenture is one that can be redeemed by an issue of shares by the issuer company to the debenture holder.

corporate governance code is provided at Appendix 14 of the Listing Rules. The Code sets out the principles of good corporate governance. There are two levels of recommendations: (1) the Code's provisions; and (2) the recommended best practices. Listed issuers are expected to comply with the Code.

corporate veil is a metaphorical veil that keeps the liabilities and rights of the company distinct and separate from the company's shareholders.

cost of cure is a monetary sum (as damages for breach of contract) required to cure a defect in contractual performance, i.e. to 'put right' the breach.

crystallisation of floating charge is the process where a floating charge becomes a fixed charge upon the happening of certain events.

damages is monetary compensation recoverable by an innocent party after suffering loss from a breach of contract.

de facto director is a 'director in fact', i.e. persons who have not been properly as directors but who act as directors of the company.

de jure director is a 'director in law', i.e. directors who have been properly appointed.

de minimis rule is the general rule that the law is not interested in trivial matters, i.e. very slight or minor breaches may be ignored.

debenture is a document issued by a company that constitutes evidence of a loan.

debenture stock is a debenture out of which various certificates can be issued for different values and to different investors.

debt financing is when funds are raised by borrowing.

debt rescheduling means the alteration of current contractual obligations to pay debts. It is a contractual arrangement entered into by the debtor company with (some or all of) its creditors.

deed is a contract which does not require consideration but which must comply with certain formalities.

deposit is a monetary sum paid in advance of contractual performance which may be forfeited to the innocent party in the event of non-performance.

derivative is a kind of finance security that does not have an intrinsic value *per se*. Its value derives from whatever securities (could be equity or debt or both) bundled up under it.

derivative action is an action brought by an individual on behalf of the company.

difference in value is a monetary sum, as damages for breach of contract, representing the difference in value between that which was promised and that which was actually received.

direct discrimination occurs when a person or an organisation treats the victim less favourably on the grounds of his/her sex, marital status, pregnancy, disability, family status or race.

disclosable transaction is one of the categories of notifiable transactions (all ratios below 25% but one ratio above 5%).

disclosure of false or misleading information inducing transactions is a market misconduct offence. This misconduct is self-explanatory. It is prohibited to disclose information that induces or that is likely to induce another person to trade in securities, where the information is false or misleading as to a material fact (or omission of the same) and the person knows or is reckless or negligent as to such falsity or misleading quality.

disclosure of information about prohibited transactions is a market misconduct offence. It is a misconduct to disclose information about a prohibited transaction to the effect that the price

of securities or futures will be maintained, increased, reduced or stabilised.

dissolution occurs upon which the company shall cease to exist.

distinguishing is a situation in which a judge refuses to apply the precedent because the material facts of the current case involved are different from those of the decided cases.

dividends are the return that shareholders get from their investments into the company before winding up. Funds are divided in proportion to the shareholdings and paid to the shareholders whilst the company is a going concern.

doctrine of capital maintenance is when share capital may not be returned except on winding-up.

doctrine of precedent is the rule that the decisions made by the higher court must be followed by the lower courts.

double recovery (rule against) is a rule that an innocent party cannot recover twice for the same loss.

duress is illegitimate pressure intended to induce a party to enter into a contract or a contract variation.

duty of care is a legal obligation to exercise reasonable care and skill.

economic duress is illegitimate economic pressure (e.g. a threat to a party's business interests) intended to induce a party to enter into a contract or a contract variation.

ejusdem generis rule is where a number of more specific words or terms is followed by a general word or phrase; that general word or phrase must be limited to the same class as the specific words.

entire obligations are when the performance of a contract by one party is conditional upon complete performance of the other party.

equitable damages is a monetary sum that can be awarded (in addition to common law damages) in lieu of or in addition to the equitable remedies of specific performance and injunctions.

equitable maxims are fundamental established principles that govern the way that equity (including equitable remedies) operate.

equity is a branch of law that is focused on fairness and natural justice, providing relief in specific situations where a strict application of common law or legislation may not.

equity financing is raising funds by issuing shares.

estoppel is an agency formed when the principal has given a representation (by words or by

conduct) to a third party that the agent has such authority but it turns out the agent has none. By relying on the representation, the third party has incurred a loss or altered his/her position.

executive director is generally a full-time employee of the company in charge of the management of the company.

exemplary damages are awarded with the objective to punish and deter the wrongdoer for his/her outrageous and oppressive conduct.

exemption clause is a term that seeks to exclude or limit a party's liability for breach of contract or negligence.

expectation loss is loss of the benefit expected from the contract that was breached, including: loss of profits; difference in value; cost of cure and loss of chance.

express term is a term expressly included in the contract, either written or oral.

fair comment is an opinion based on fact, which may be expressed if it is in the public interest.

false trading is a market misconduct offence. False trading takes place when a person does anything with the intention of creating a false or misleading appearance: (1) of active trading in securities or futures; or (2) with respect to the market for securities and futures.

fiction of fraud is an expression given to the fact that a party who successfully brings a claim for negligent misrepresentation under s.3(1) of the Misrepresentation Ordinance is able to claim damages to such an extent as if the misrepresentation had been made fraudulently under the common law tort of deceit (i.e. for all losses directly flowing from entering into the contract, regardless of foreseeability).

fiduciary is a person who holds a position of trust and confidence in relation to another person and so owes a special duty of loyalty, to avoid any conflict of interest and to generally act in that person's best interests.

fiduciary duty is a legal duty that arises out of being put in a position of trust to act with loyalty and in good faith to the person(s) to whom the duty is owed.

Financial Secretary is responsible for formulation and implementation of policies in financial, monetary, economic, trade, development, innovation and technology matters.

fixed charge is a charge secured over a specified asset.

floating charge is a charge floating over or circulating assets of a company.

force majeure clause is a contractual clause setting out exactly what is to happen, in relation to the contract, on the occurrence of stipulated events that are outside the control of the parties.

foreign exchange market is a place for the sale and purchase of currencies of different countries.

fraudulent misrepresentation is a false statement made knowingly, without belief in its truth, or without care as to whether it is true or false.

frustration occurs when a contract is discharged due to the occurrence of an event that is outside the control of the parties because it makes performance of the contract impossible, illegal or something radically different from what was originally envisaged.

futures contract is a contract for the sale of an asset at a predetermined price, but the transaction takes place in the future.

Growth Enterprise Market ('GEM') Board The GEM Board is one of the boards where shares may be listed at the Stock Exchange of Hong Kong. The GEM Board aims to provide a fund-raising market to new enterprises that have growth potential but fall short of the requirements of the Main Board. Therefore, the listing requirements for the GEM Board are less stringent compared with those of the Main Board.

general compensatory damages are awarded to restore the plaintiff to the position that he/she would have been but for the tort.

general offer is an offer by the bidder or offeror that is open to all shareholders of the target to purchase shares from those shareholders.

golden rule is where the courts turn when they have found that the use of the literal rule would produce an absurd result or an injustice.

good faith is carried out honestly and with a clear conscience.

half-truth is a statement that is true but misleading insofar as it omits relevant facts or important qualifications.

harassment consists of unwelcome acts in circumstances where the harassed person would be offended, humiliated or intimidated in the eyes of a reasonable person.

Hong Kong Exchange and Clearing Limited is the other main body regulating the financial market. The roles and responsibilities of the HKEx largely relate to the activities of listing, i.e. listing of shares of a company on the Stock Exchange of Hong Kong.

Hong Kong Monetary Authority is the governing authority for maintaining monetary and banking stability.

illegality is a violation of either a common law rule, a statutory rule or public interest, essentially involving the commission of a crime or a tort, or is contrary to public policy.

illegitimate pressure is a threat to commit a crime, tort or breach of contract.

implied assumpsit is where one party has not made any formal promise to do something or to pay a sum of money to another party but who, nevertheless, is presumed from his conduct to have assumed an obligation to do what is just and fair as a result.

implied term is a term that, although not expressly included in the contract, can be implied by reference to what the parties must have (objectively) intended or is one that is implied by law (particularly through legislation).

in lieu of means 'instead of'.

incidental loss involves expenses incurred by an innocent party after a breach of contract (i.e. those that do not fit easily into either category of expectation loss or reliance loss).

indemnity is part of the process of rescission where one contracting party restores a benefit to another contracting party after the latter conferred such benefit on a third party.

Independent Commission Against Corruption is an institution directly accountable to the Chief Executive of the Hong Kong SAR Government to eradicate corruption in Hong Kong through law enforcement, corruption prevention and community education. Its Operations Department is the largest division and is responsible for all landmark corruption cases.

independent non-executive director is a non-executive director with the additional requirement as to independence. For listed companies, at least three independent non-executive director are required to be appointed and they must represent at least one-third of the board.

indictable offence is an offence that is not triable summarily. For the purposes of Drug Trafficking (Recovery of Proceeds) Ordinance/Organized and Serious Crimes Ordinance, it is an offence that may be tried either summarily or on indictment.

indirect discrimination occurs when a person or an organisation makes a decision or puts forward a policy, practice or procedure that appears to treat everyone equally, but which in practice leads to a less favourable treatment on a particular group.

indirect specific performance is where a prohibitory injunction would have the same effect as a specific performance.

indoor management rule applies where persons dealing with a company may assume that acts within its constitution and powers have been properly and duly performed and that such persons are not bound to enquire whether the acts of internal management have been regular.

initial public offering means that the first time a company offers its shares to the public.

injunction is a court order compelling a party to do or not to do a particular act.

innominate term is a contractual term with no pre-breach classification (consequences of its breach depend upon their seriousness).

inside information includes: (1) about a listed corporation, a shareholder or officer of the same or the listed securities of the corporation; (2) that is specific; (3) not generally known to the persons who are accustomed or would be likely to deal in the listed securities of the corporation (the investing public); and (4) if such information were available to such persons, it would be likely materially to affect the price of the listed securities.

insider dealing is a market misconduct. Primarily, insider dealing takes place when a person connected with a listed corporation and having information which he/she knows is inside information in relation to the corporation: (1) deals in the listed securities of the corporation or that of a related corporation; or (2) counsels or procures another person to do so.

Insurance Authority is a statutory body established to regulate insurance companies and related matters.

intention to create legal relations is an intention to enter into a legally binding contract.

intentional tort is where an injured party of a direct and deliberated act may sue the wrongdoer.

interim and final dividends a final dividend is declared at the end of the financial year. However, it is noted that, in practice, final dividends of a year are actually often declared at a board meeting that takes place after the end of a financial year. An interim dividend is declared before the end of the financial year.

invitation to treat is a statement indicating a willingness to receive offers.

irredeemable debenture is one where there is no date specified for the repayment of the principal of the loan.

irregularity principle states that the lawfulness of a decision taken by a meeting of members or board cannot be questioned if the only facts alleged to make it unlawful is a mere informality and irregularity and the intention of the meeting.

issued capital is the total value of shares actually issued to shareholders with reference to the issued price.

joint and several liability occurs where each individual may be held liable for the collective liability.

Joint Financial Intelligence Unit is a joint operation by the Hong Kong Police Force and the Hong Kong Customs and Excise Department that refers the suspicious transaction reports to local and overseas enforcement departments for investigation and action.

joint liability is a collective liability.

justification is when the defamatory statement is proved to be true or substantially true.

lease is a contract for the rental of real estate.

legislation comprises laws that were passed by the legislature in three readings.

lessee is the party to whom property is leased.

lien is a right to retain possession of property belonging to another party until that party's debt has been paid.

limitation period is a deadline prescribed by legislation in which a claimant can commence an action in that cause.

limited liability occurs where a company may be formed as a company that places a financial limit on the liability of its members for the company's debts in the event the company becomes insolvent and is wound up.

limited partnership is an alternative form of partnership that provides limited liabilities for partners. A limited partnership consists of at least one 'general partner' and other 'limited partners'.

linked exchange rate system is a system that requires both stock and the flow of the monetary base of Hong Kong to be fully backed by foreign reserves (of US dollars).

liquidated damages are a definite sum of money (or mechanism for determining it) that is agreed, in the contract, to be paid by the breaching party in the event of his/her breach.

liquidation is the process whereby a company is brought to an end by the sale of its assets and distribution of the proceeds to creditors and members.

liquidator is the person appointed by the court (or in the case of voluntary winding-up, the creditors or members) to carry out the winding-up of a company.

literal rule is applied when the court gives ambiguous words their ordinary and natural meaning.

litigation is the process of taking legal action.

loss of chance is loss of an opportunity of obtaining a benefit under a contract that has been breached.

Main Board is one of the boards where shares may be listed at the Stock Exchange of Hong Kong. It is a market for established companies. Thus, listing on the Main Board requires a certain level of financial success, as shown by the company's track record.

major transaction is one of the categories of notifiable transactions (all ratios below 75% (for disposal) or 100% (for acquisition) but one ratio at or above 25%).

mandatory injunction is an injunction that compels a person to either cease continuing a wrongful omission or to actually undo something that has already been done in breach of a negative stipulation in a contract.

mandatory offer is a general offer required to be made by the Takeover Codes. Most commonly, this happens when a person who initially holds less than 30% of the voting rights in the listed company acquires voting rights which increase that person's holding to reach 30% or more than 30% of the voting rights.

market manipulation occurs if a person engages in two or more transactions in securities that: (1) increase or are likely to increase the price of any securities traded; (2) reduce or be likely to reduce the same; or (3) maintain or stabilise or be likely to maintain or stabilise the price of securities. In order to establish the misconduct offence, the person must have the intention of inducing another person to deal in the relevant securities.

market misconduct offences are a series of prohibited activities in relation to the trading of securities as provided by the Securities and Futures Ordinance.

market overt rule (an exception to the *nemo dat quod non habet* rule) occurs if goods are openly sold in a shop or market, the buyer will acquire good legal title to those goods, provided that he bought them in good faith and without any knowledge that the seller did not actually have good legal title to those goods.

member is a person whose name is entered on a company's register of members. These will generally be shareholders, except in cases where the company is one without shares.

minimum prescribed holding/public

float means minimal amount of the issued share capital that is at all times held by the public.

minutes are a record of the meetings.

mirror-image rule provides that acceptance must be an unconditional assent to the exact terms of the offer.

mischief rule is a rule of interpretation that requires the court to give meanings to the words or phrases that further the legislative intent of the legislature in the legislation.

misrepresentation/misstatement is a representation or statement that is not true.

mitigating factors are circumstances that the court takes into account to lessen the quantum of damages, such as the plaintiff's provocative behavior; damages granted for other publications that give rise to a similar effect; unintentional defamation and apology.

mitigation is an innocent party's act of minimising losses after a breach of contract.

money laundering is the process in which the identity or the source of money or property was changed as if they came from a legitimate source.

multifactor test is a list that can be compiled to determine employment status, such as degree of control, ownership of the tools, freedom to derogate work to others, risk of loss and the chance of profit.

negligence is a breach of a duty of care, i.e. a failure to take reasonable care or use reasonable skill.

negligent is the failure to exercise reasonable care or skill.

neighbour principle is established to create a general test to establish duty of care without the necessity to rely on recognised categories of liability. The principle has been refined to a three-fold test including (1) the plaintiff's damage or injury was foreseeable by the wrongdoer, (2) there was a close and direct relationship of proximity and (3) it was fair, just and reasonable to create a duty of care.

nemo dat quod non habet rule is a general principle that no one can pass better legal title than he himself has.

no-conflict rule is a rule that directors must not place themselves in a position where there would be a conflict between their personal interest and the interest of the company.

nominal damages are awarded when the plaintiff's injury is not severe or the plaintiff suffers no loss or damage.

nominee director is a director nominated by a third party.

non est factum means that, literally, it is not my deed – a doctrine that can be pleaded where a person who signed a document can show that he was unaware of the true nature of the document at the time of signing and so seeks not to be bound by its contents.

non-executive director is a person who generally does not have full-time employment with the company and the nature of involvement is more part-time.

non-pecuniary loss is non-money losses (e.g. emotional distress).

no-profit rule applies when a director must not obtain any benefit or gain by reasons of or through his position as a director of the company or by reasons of some opportunity or knowledge resulting from his/her position as a director.

normal loss is the loss suffered (from a breach of contract), which occurs naturally from the breach, i.e. according to the usual course of things.

notifiable transactions are transactions of a certain size that requires disclosure and shareholder approval. Whether a transaction is a notifiable transaction is to be determined by a range of different ratios: the asset ratio, the profits ratio, the revenue ratio, the consideration ratio and the equity capital ratio.

novus actus interveniens is a subsequent independent act that breaks the chain of causation that is treated as a new and independent cause of the plaintiff's injury.

objects clause is a clause in a company's constitution that states the purpose(s) for which the company had been formed.

offer is an expression of willingness to contract on specified terms without further negotiation.

offer document is a document that includes the formal terms and conditions of the general offer

offeree is the party to whom an offer is made.

offeree circular within 14 days of the posting of the offer document, the offeree company should send to its shareholders a circular in response

offeror is the party that makes an offer.

organisation test is a test to show whether the performer's work was integrated into the employer's organisation.

overruling is the result where a higher court declares that the precedent created by a lower court is no longer a binding authority.

pari passu means at the same rate or on an equal footing (without preference).

part payment is a monetary sum paid in advance of contractual performance that forms part of the ultimate contract price.

parties acting in concert means one or more persons acting in concert. Their collective shareholdings will be taken into consideration when determining whether a mandatory offer is required.

partnership is where two or more persons have entered an agreement to carry on a business.

payee is the party to whom a payment is made.

payor is the party who makes a payment.

perpetual succession is the continuation of a company's existence despite any changes in its membership.

postal rule is where an acceptance is posted by mail and becomes effective at the time of posting, subject to certain qualifications.

practical benefit is a benefit obtained by a promisor from a promisee's performance of his existing contractual duty owed to that promisor which, in certain circumstances, can constitute valid consideration for a further promise by the promisor.

predicate offence is the underlying criminal offence that generated the proceeds.

price rigging is a market misconduct offence. Price rigging takes place where a person: (1) enters into a sale or purchase of securities that does not involve a change in beneficial ownership of the securities, which has the effect of maintaining, increasing, reducing, stabilising or causing fluctuation in the price of the securities; or (2) enters into a fictitious or artificial transaction with the intention of having those effects on the price of the securities.

price stabilisation In the initial trading month following an initial public offering, the share price may fluctuate. Price stabilisation is recognised by the Securities and Futures Commission as necessary to protect the investors. For example, there may be cases where the share price declines substantially immediately after listing. This would mean that the offer price has been fixed too high and the investors of the issued shares have been overcharged.

prima facie means accepted as correct until proved otherwise.

private company is a company in which the rights of members to transfer shares is restricted, the number of members is limited to 50 and

invitations to the public to subscribe for shares or debentures of the company is prohibited.

privity is the legal relationship between the parties to a transaction.

prohibitory injunction is an injunction that compels a person not to do a wrongful act so as to prevent breach of a negative stipulation in a contract.

promisee is the party to whom a promise is made.

promisor is the party who makes a promise.

promissory estoppel is a doctrine that can be pleaded by one party (promisee) to stop another party (promisor) from going back on his promise not to enforce his/her strict contractual rights against that promisee.

proof of debt means debt provable upon a winding-up, a procedure to recognise creditors of the company.

property in (in the context of Sale of Goods Ordinance) means legal title to goods.

prospectus is the document a company needs to issue when undertaking an initial public offering. It is essentially a document that introduces the company to the potential investors in the public.

provisional liquidation is an interim measure that may be implemented at any time after the presentation of a winding-up petition, pending the outcome of that petition.

proximity is closeness in time or relationship.

proxy is an agent properly appointed with the authority to vote at a general meeting in the interest of the appointed member.

public company is a company that does not restrict the rights of members to transfer shares, does not limit the number of members to 50 or does not prohibit invitations to the public to subscribe for shares or debentures of the company.

puff is a statement that is marketing rhetoric and is not intended to be legally binding.

qualified privilege is where the maker of the statement has a legal, social and moral duty to communicate the fact and the recipient has a corresponding interest or duty to receive it.

quantum meruit means as much as he/she deserves with reference to recovery of a sum of money for work actually done (in the absence of a contract).

quorum is the minimum number of persons required to be present for business to be transacted at a general meeting or board meeting.

ratification is the act of the principal giving approval to the agent's previous act, which has gone beyond his/her authority.

reasonable person is a person of normal intelligence who makes prudence a guide to his conduct.

rebuttable presumption is a legal presumption that is capable of being refuted or disproved with sufficient evidence.

receivership is historically a creditor's remedy whereby a secured creditor may enforce its security by appointing a receiver over the secured assets of the debtor company.

registered office is the legal address of a company as registered with the Company's Registry.

reliance loss is the loss suffered (from a breach of contract) from wasted expenditure in reliance on the contract.

remoteness of loss is the extent to which the loss suffered (from a breach of contract) is recoverable.

representation is a statement of fact (whether true or false) made by one party which induces, or intends to induce, another party to enter into a contract.

representee is the party to whom a representation is made.

representor is the party who makes a representation.

repudiation involves words or conduct indicating that a party does not regard itself as being bound by its contractual obligations.

repudiatory breach is a breach that is sufficiently serious to entitle the innocent party to terminate the contract (e.g. breach of a condition).

res ipsa loquitur occurs where the plaintiff is only able to prove the happening of the accident without attribution to a precise act or omission of the wrongdoer that causes the accident; however, on evidence, the accident is more likely than not to have been caused by the wrongdoer's negligence.

rescission/rescind occurs when a contract is, essentially, cancelled or brought to an end to the extent that it is treated as being void.

reserve director is someone who (in the case of a company with only one member who is also the sole director) is nominated to act in the event of the sole director's death.

resolution concerns decisions made at a general meeting.

restitution is the act of restoring the contracting parties to their original (pre-contractual) position after rescission of the contract – particularly so as to avoid any unjust enrichment by either party.

restraint of trade is the restraining, by contract, of an individual from trading or being employed elsewhere.

restraint order is an order prohibiting any person from dealing with realisable property.

retention of title is the retaining of legal title over goods, notwithstanding that they may have already been delivered or accepted.

reverse takeover is one of the categories of notifiable transactions. It is a very substantial acquisition which is part of a transaction or attempt to achieve a listing of the assets to be acquired and a means to circumvent the requirements for new applicants set out in the Listing Rules.

reversing is the result where the decision made by the higher court is opposite to that of a lower court.

romalpa clause is a retention of title clause, i.e. a clause in a sale of goods contract that allows the seller to assert legal ownership and repossess the goods in the event of non-payment by the buyer.

rule in *Foss v Harbottle* is a rule that is derived from the case of *Foss v Harbottle* (1843) 2 Hare 461. It has two limbs: (1) the proper plaintiff principle, where wrongs have been done to the company, the proper plaintiff to sue is the company (and not the shareholder); (2) the irregularity principle, where a member is not entitled to sue on the basis of a mere informality or irregularity, where the irregularity is one that can be cured by a voter of the company in the general meeting and where the intention of the majority members is clear.

rules of equity are a set of legal principles to achieve fairness and natural justice that supplement the common law.

scheme of arrangement is a collective decision-making procedure that allows the company and its shareholders and/or creditors to reach an agreement on the reorganisation of the rights and liabilities of the shareholders or creditors.

Securities and Futures Commission is the main body regulating the securities and futures markets in Hong Kong.

self-induced frustration occurs where an alleged frustrating event was caused by one of the parties (deliberately or through his negligence) – it does not constitute frustration.

separate legal entity is a company at law that has a different person to the person(s) who created it.

severable obligations occur where a contract is divided into several stages so that a party is entitled to payment upon completion of each stage.

severance payment is a payment for the redundant employee provided the employee has a continuous contract for at least 24 months.

shadow director is a person who acts in accordance with those directions or instructions the directors or a majority of directors of a company are accustomed to act.

share transaction is one of the categories of notifiable transactions (all ratios less than 5%).

sole trader is a person carrying on a business as themselves, in their capacity as an individual.

special damages are awarded for any consequential damage that was the natural and probable result of the publication of the defamatory statement, such as a loss of business or loss of hospitality of friends.

special loss is the loss suffered (from a breach of contract), which does not occur naturally from the breach but, rather, from special circumstances.

special notice is a notice that is required to be given in respect of certain specified resolutions proposed to be moved at the general meeting.

special resolution is a resolution that must be passed by at least 75% of the members of a company in a vote.

specific goods are goods that are identified, marked or segregated in some way.

specific performance is an equitable remedy that compels a contracting party to perform its contractual obligations.

sponsor is an entity assisting a company intending to apply for an initial public offering. Every applicant must appoint a sponsor to assist it with its initial application for listing. A sponsor must be a corporation or authorised financial institution which is licensed or registered for Type 6 regulated activities (i.e. advising on corporate finance). A sponsor must be closely involved in the preparation of the listing documents and the due diligence process.

strict liability occurs in circumstances in which liability is imposed without requiring proof of fault.

subordinate legislation comprises the laws created by bodies other than the legislature.

substantial performance principle applies when one party's performance is deficient (albeit not intentionally) but is substantially performed in accordance with the contract, it would be unreasonable for the other party to deny the contractually agreed payment (albeit subject to a deduction in damages for any loss suffered as a result of the deficiency in performance).

summary dismissal is dismissal initiated by the employer which terminates the employment contract without notice or payment in lieu, where the conduct of the employee amounts to a serious breach of contract, such as guilty of fraud or dishonesty.

surety is given when a person takes legal responsibility for another person's performance of a contractual promise (e.g. to pay a debt).

suspicious transaction report is a report prepared for the JFIU stating what is known or suspected that a property represents the proceeds of an indictable offence, drug trafficking or terrorist act.

tenders are offers to carry out work, supply goods or buy land, shares or another asset at a stated fixed price.

termination is when a (valid) contract is brought to an end before it is completed, e.g. where an innocent party chooses to do so after the other party breaches a condition.

the Banking Ordinance (Cap.155) is a piece of legislation regulating banking business and the business of taking deposits.

the Insurance Ordinance (Cap.41) aims to ensure the solvency of insurance companies and Lloyd's Syndicates.

the listing rules of the stock exchange is a set of rules made pursuant to s.23 of the Securities and Futures Ordinance. However, it is not a legal statute. It is a set of rules applicable to all issuers who wish to have their shares listed on the Stock Exchange of Hong Kong.

the Securities and Futures Ordinance (Cap.571) is the main legislation regulating the trading of securities, futures and leveraged foreign exchange contracts, financial intermediaries and financial markets of Hong Kong. The aim of the Securities and Futures Ordinance is to promote market confidence, secure appropriate investor protection, reduce market malpractice and financial crime and facilitate innovation and competition.

thin skull rule is where the wrongdoer takes the victim as he finds him.

third party is a party that is not a party to the contract between the contracting parties.

third party rights are contractual rights enforceable by a party who is not privy to the contract.

tipping-off is an act of a person, after knowing or suspecting that a suspicious transaction reporting has been made, to disclose to a third party any matter likely to prejudice an investigation in the near future.

uberrimae fidei means of the utmost good faith and concerns the disclosure of all relevant and material facts that may affect one party's decision to enter into a contract with another party (e.g. as with insurance contracts).

ultra vires is something that is beyond a company's legal power to do.

unconscionability is exploitation by one party of another party's weakness.

unconscionable is so unfair, unreasonable and unjust as to affect the conscience.

undisclosed principal is an agent signing a contract with a third party without disclosing that the agent is acting on behalf of a principal.

undue influence is where the will of a party is not independent and voluntary because it is overborne by another party.

unfair prejudice remedies are remedies under s.724 of the Companies Ordinance (Cap.622) that allow the shareholders to apply for remedies where there has been unfair prejudice against the interest of (some of) the shareholders.

unilateral contract is a contract created when an offer is accepted simply by the performance of the act stipulated in the offer.

unilateral mistake is where only one party is mistaken (and the other party knows, or ought to have known, this).

unjust enrichment is when one party is unjustly enriched at the expense of another party.

unlimited company is a company where there is no limit on the liability of members for the company's debts.

unreasonable dismissal occurs when grounds for such a dismissal does not fall under s.32K of the Employment Ordinance, such as redundancy or misconduct of the employee.

usual authority is the usual authority that comes with the position that the agent is occupying.

very substantial acquisition is one of the categories of notifiable transactions. At least one ratio is 100% or above.

very substantial disposal is one of the categories of notifiable transactions. At least one ratio is 75% or above.

vetting is an assessment process to check the validity of the subordinate legislation.

vicarious liability is the liability of a person or institution for the acts or omissions of someone else who is complained about.

victimisation is a form of direct discrimination where the discriminator treats the victim less favorably than others because, for example, under one of the discrimination ordinances the victim has brought proceedings against the discriminator or has given evidence.

vitiating factor is something that affects the validity of a contract that has otherwise been properly formed.

void is not valid or legally binding – if the contract is ‘void *ab initio*’ it is void from the outset and was never valid.

voidable means capable of being avoided (i.e. made void) at some later point.

volenti non fit injuria is when the plaintiff assumes the risk of a wrongdoer’s conduct.

wages are all remunerations, earnings, allowances, attendance bonus, commission, overtime pay, tips and service charges.

warranty is a contractual term of less importance than a condition (breach of which entitles the innocent party to damages only).

written resolution contains written decisions of the members of a company made without a meeting.



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